Lebanon Economic Vision

FULL REPORT

Economic Vision Outline

Covered in this section

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A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

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   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
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   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
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   8. *Healthcare*
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B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

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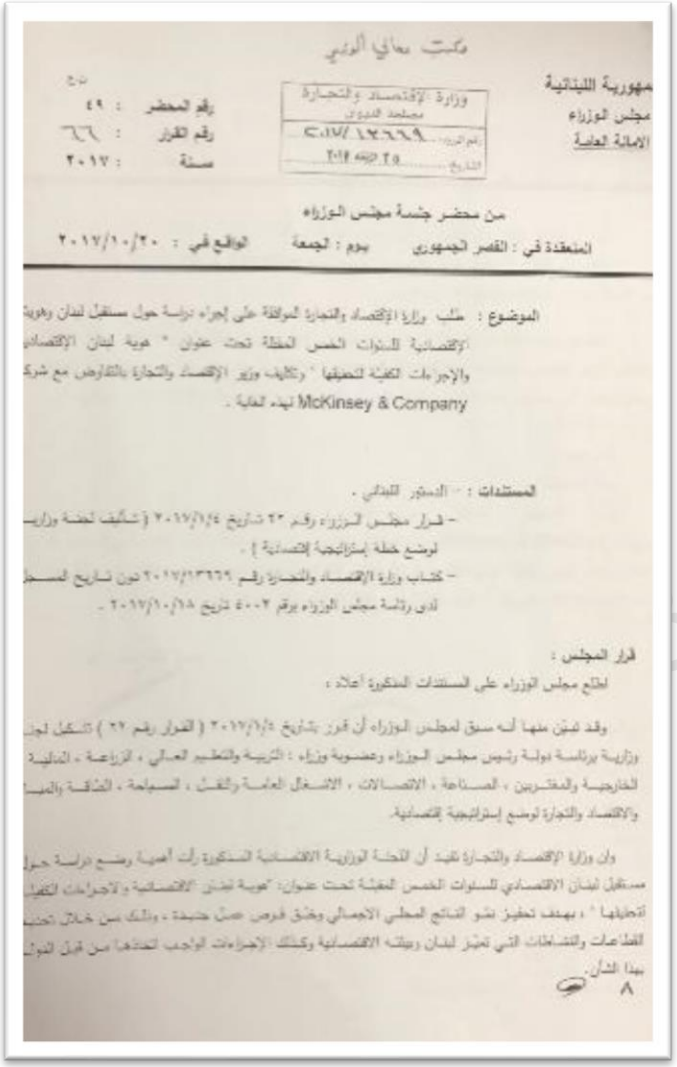
The study has been launched following a Council of Ministers decree in October 2017



مكتب سعادة الوزير

الجمهورية اللبنانية
مجلس الوزراء
الأمانة العامة

وزارة الاقتصاد والتجارة
مجلس الشورى

رقم المحضر : ٤٩
رقم القرار : ٦٦
سنة : ٢٠١٧

من محضر جلسة مجلس الوزراء

المنعقدة في : القصر الجمهوري يوم : الجمعة الواقع في : ٢٠١٧/١٠/٢٠

الموضوع : طلب وزارة الاقتصاد والتجارة الموافقة على إجراء دراسة حول مستقبل لبنان وهوية لبنان الاقتصادية للسنوات الخمس المقبلة تحت عنوان " هوية لبنان الاقتصادي والإجراءات الكفيلة لتحقيقها " وتكليف وزير الاقتصاد والتجارة بالتفاوض مع شركة McKinsey & Company لهذه الغاية .

المستندات : - الدستور اللبناني .
- قرار مجلس الوزراء رقم ٢٣ تاريخ ٢٠١٧/١/٤ [تشكيل لجنة وزارية لوضع خطة إستراتيجية إقتصادية] .
- كتاب وزارة الاقتصاد والتجارة رقم ٢٠١٧/١٣٦٦٩ تاريخ [illegible]
لدى رئاسة مجلس الوزراء برقم ٤٠٠٢ تاريخ ٢٠١٧/١٠/١٨ .

قرار المجلس :
اطلع مجلس الوزراء على المستندات المذكورة أعلاه ،

وقد تبين منها أنه سبق لمجلس الوزراء أن قرر بتاريخ ٢٠١٧/١/٤ (القرار رقم ٢٣) تشكيل لجنة وزارية برئاسة دولة رئيس مجلس الوزراء وعضوية وزراء : التربية والتعليم العالي ، الزراعة ، المالية ، الخارجية والمغتربين ، السياحة ، الاتصالات ، الأشغال العامة والنقل ، الصناعة ، الثقافة والطاقة والمياه والاقتصاد والتجارة لوضع إستراتيجية إقتصادية .

وان وزارة الاقتصاد والتجارة تفيد أن اللجنة الوزارية الاقتصادية المذكورة رأت أهمية وضع دراسة حول مستقبل لبنان الاقتصادي للسنوات الخمس المقبلة تحت عنوان: "هوية لبنان الاقتصادية والإجراءات الكفيلة لتحقيقها " ، بهدف تحفيز نمو الناتج المحلي الاجمالي وخلق فرص عمل جديدة ، وذلك من خلال تحديد القطاعات والقطاعات التي تميز لبنان وميزته الاقتصادية وكذلك الإجراءات الواجب اتخاذها من قبل الدولة بهذا الشأن .

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The Council of Ministers decree 2017/13669

- On October 20th, 2017, the Council of Ministers approved the launch of a study aimed at setting a Vision for Lebanon's Economy under the title 'Lebanon's Economic Vision, and ways to achieve it'
- The Economic Development agenda was highlighted as one of the key priorities following CEDRE in addition to CIP, Fiscal Reforms, Sector Reforms
- The Vision would aim to grow GDP and create jobs through selecting productive sectors that could become competitive and understand the government's role in that regard

01/22 Internal

Current efforts focus on syndication, to be followed by communication and implementation

Scope of work

Jan-Mar '18 → Mar-Jul '18 → Aug-Oct '18 → Nov'18 +

PRE-WORK INTERVIEWS

- ~15 Ministers
- Economic and Social Council
- ~30 Director Generals and regulators
- ~5 Members of Parliament
- ~30 Associations, syndicates and Orders
- ~10 NGOs and International Organizations
- ~75 Lebanese private sector leaders
- 20+ internal global experts

CONTENT DEVELOPMENT AND STUDY OUTPUT

- Analyse the current macro-economic and sector challenges and opportunities
- Select 5 productive sectors with high potential, set their aspirations, targets & initiatives
- Identify and detail out 4 enabler requirements
- Shortlist 3 flagship initiatives to kick-off within 6 months of approving the Vision

Today

SYNDICATION AND VISION REPORT DEVELOPMENT

- Adapt outcomes from the study into a report to be submitted to the Council of Ministers for approval
- Syndicate vision report with speaker of the parliament and MPs
- Engage with stakeholders including Lebanese diaspora, and potential investors
- Develop the communication plan including messaging and branding

★

VISION IMPLEMENTATION

- Design and launch the institutionalization mechanism

Internal

What's new this time?

Thorough syndication	**Widespread support and backing** from HE the President, HE the PM and HE the speaker of parliament and all Ministers
Comprehensive effort	**First comprehensive study**, with all covered topics being standalone, and the targets set forward achieved if all the proposed initiatives are executed
Fact-based scientific approach	**Detailed data-driven assessment** conducted across more than 20 economic topics
Actionable initiatives	**Comprehensive list of 160+ executable initiatives** to be launched covering six sectors and five enablers
Institutionalized implementation mechanism	**Detailed institutionalization mechanism** proposed to ensure success of the Vision implementation
Immediate tangible impact	**Three detailed flagship projects** developed to act as "quick-wins" and bring tangible change

2022 Internal

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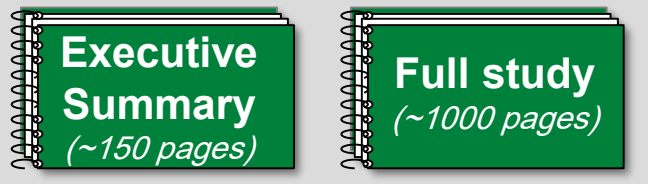

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Executive Summary

Vicious Economic Cycle

The Lebanese economy has been going through a vicious cycle, driven by:

- **A highly volatile economy** reliant on diaspora inflows rather than productive sectors
- **Corruption and fiscal challenges** driving an unconducive business environment

Promising Future

To overcome the economic challenges, **Lebanon should develop a National Vision** guided by:

- Consistent principles
- Indicators to be monitored to ensure the country is on the right track

Focused Approach

- **Five sectors** could have a significant contribution to Lebanon's economic aspirations
- **The sectors are to be supported by government action** in infrastructure, legislation, fiscal policy and public administration
- **An effective institutionalization mechanism should be set-up** to ensure the success of the implementation

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  - Flagship Projects
  - Implementation Mechanism

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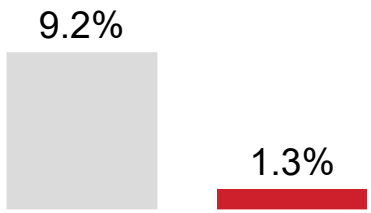
Summary of the economic & fiscal indicators

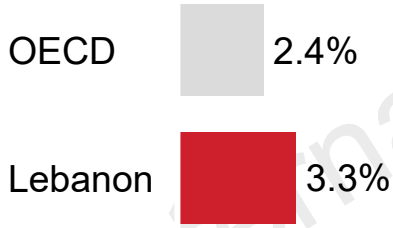
2006-2010[2] 2010-2017[2]

A Macro-economic

Real GDP growth, %



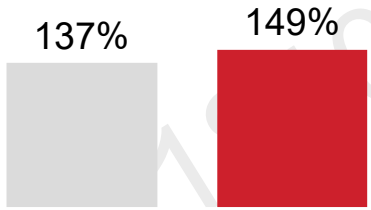
Real GDP volatility, %



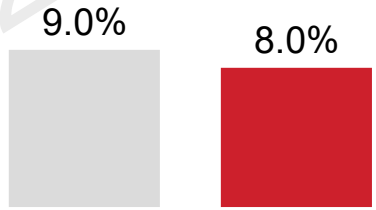
- Period of **high economic growth** between **2006 and 2010** before **near-stagnation** ★
- **Relatively high** GDP **volatility**

B Fiscal

Debt to GDP, % GDP[1]



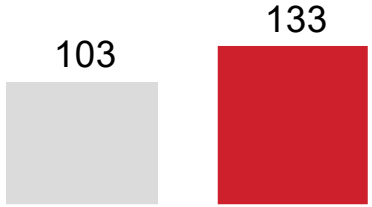
Fiscal deficit, % GDP[1]



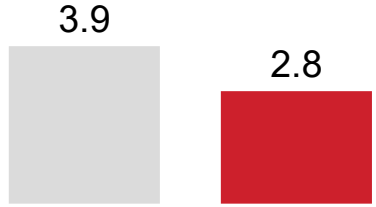
- **Growing public debt** burden, standing at ~150% of GDP
- **Sustained fiscal deficits** of ~8-9%

C Private sector

Ease of doing business, rank



Foreign Direct Investments, USD Bn



- **Worsening business environment**, dropping 30 ranks in 7 years
- **Reduction in FDI** into the country **by** an average of **~1 USD Bn**

1 GDP 2017 extrapolated from 2016 CAS numbers using IMF nominal growth rates

2 End of period for Debt and ease of doing business; average of periods for other metrics

Source: Central Administration of Statistics, IMF World Economic Outlook Database April 2018, Ministry of Finance, Corruption Perceptions Index 2017

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The Lebanese economic model seem to be stuck in a vicious circle

A1 … no incremental wealth generation …
- *30% GDP per capita growth in last 40 years vs. 120% world average*
- *8% in last 7 years vs.14% world average[1]*

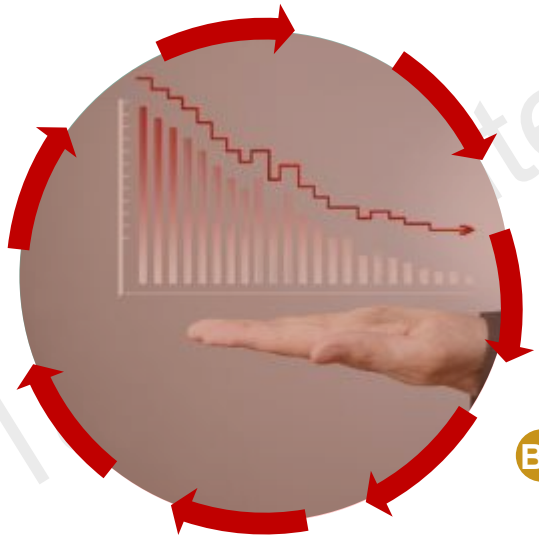
A2 … with a volatile growth
- *volatility ~1.4x that of OECD since 1992[1]*

driven by concentrated diaspora & regional inflows and sporadic donors' funds …
- *40% growth 2005-2010 vs 3% 2010-2015 in BoP inflows[2]*

A3 …and these inflows are mainly channelled into less productive sectors
- *flows mainly into consumption & real estate[3] …*

B1 … and into financing the governments' increasing size and indebtedness
- *Salaries 9% GDP vs. 6% benchmark[4]*
- *Fiscal deficit of 8% of GDP[5]*
- *3rd highest Debt to GDP at 149%*

leaving little room for CapEx …
- *4% of budget in last 10 years[5] vs. 10-20% benchmark[6]*



C1 … resulting in sub-par infrastructure
- *113th out of 137 countries[7]*

compounded with low legislative productivity
- *12 laws for business not passed*

and high perceived corruption …
- *146th out of 180 countries[8]*

C2 … creating an unconducive business environment
- *Drop in 28 positions on Doing Business since 2012 currently ranking 133/190[9]*

resulting in limited investments into productive areas …
- *FDI drop by 30% from 2010 to 2017)[2]*

C3 … driving a low contribution of productive sectors
- *14% of incremental GDP 2010-16 vs. 20% benchmark[10]*

and limiting job creation and productivity further perpetuating the cycle of …

2018 Internal

1 IMF World Economic Outlook Database April 2018 2 BDL Balance of Payments 3 Interviews
4 IMF Article IV of selected countries - benchmarks include Egypt, Jordan, Switzerland, UAE, Turkey, Hong Kong, Georgia, Romania, does not include 2018 salaries increase
5 MoF annual report & CAS GDP 6 IMF Article IV Singapore & UAE 7 WEF - Global Competitiveness Report 2017-2018
8 Corruption Perceptions Index 2017 9 World Bank - Ease of Doing Business 10 CAS GDP, IHS Markit Benchmarks are Egypt, Morocco, UAE, Korea, Singapore, Switzerland

A1 Over the last ~40 years, Lebanon has not created significant incremental wealth and has also lagged other countries in the last 7 years

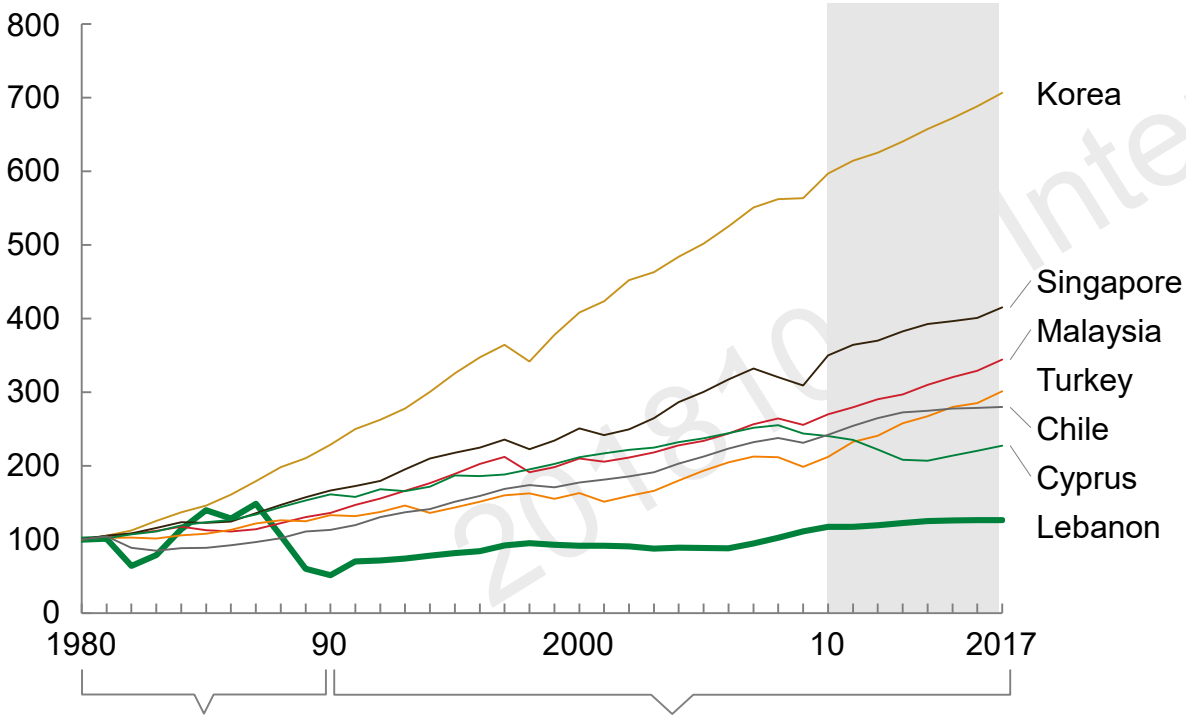
Global Rank | 2017 GDP per capita, K USD

Lebanon's GDP per capita in 2017 was only 30% more than that in 1980, whereas growth in Singapore and Korea reached 400% and 700% respectively

Even since 2010, GDP per capita grew by less than 10%

Comparison of Lebanon's real GDP per capita with select countries[1]

Real GDP per capita in 2017 prices, indexed 100 = countries' 1980 value



Real GDP per capita increase

Growth from 2010 to 2017

		Global Rank	2017 GDP per capita, K USD
Nauru ★	104%	1	9
Ethiopia	74%	2	1
Georgia	46%	9	4
Turkey	42%	15	11
Malaysia	27%	37	10
Poland	25%	43	14
Singapore	19%	72	58
USA	10%	116	60
Lebanon	8%	127	11
Venezuela	-34%	188	7
Yemen	-73%	191	1

1 Countries with similar or lower GDP per capita in 1980

Notes: Real GDP computed by applying IMF real growth rates to 2017 Nominal GDP; per capita computed using IMF population estimates

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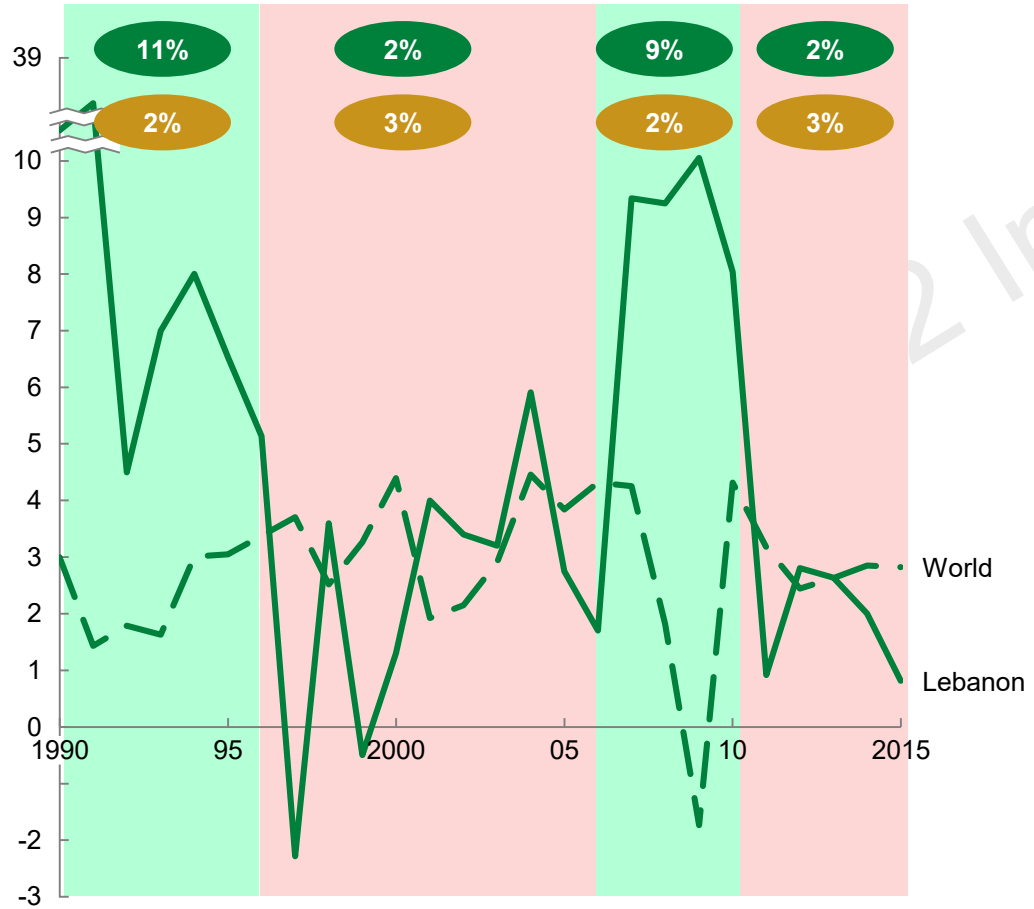
A2 Despite witnessing several periods of economic prosperity, growth has been highly volatile

World CAGR, % | Lebanon CAGR, %

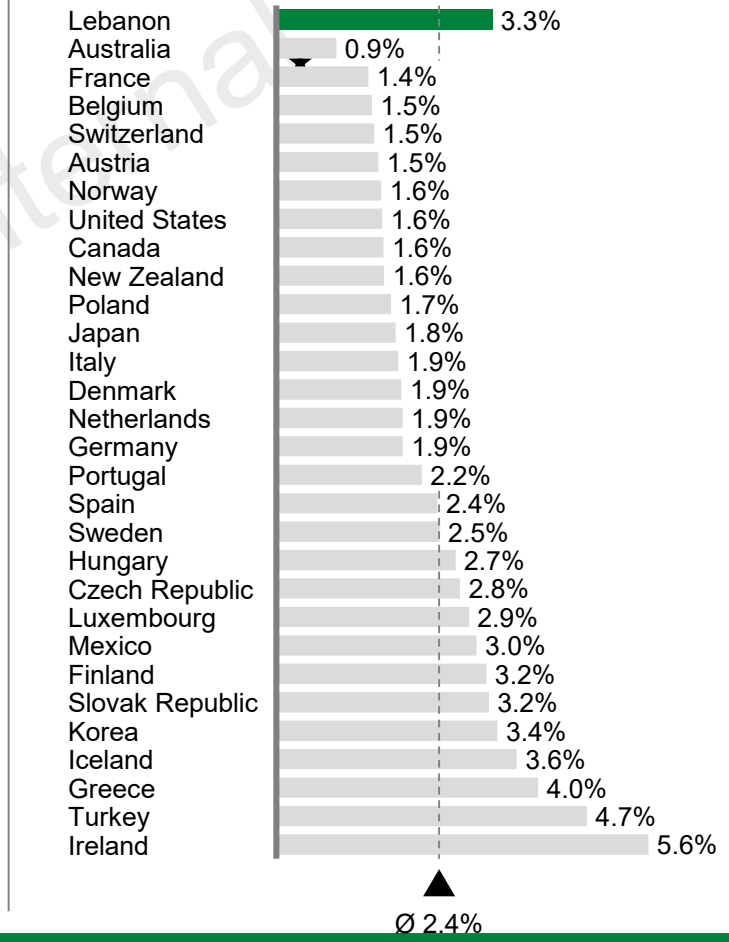
Despite witnessing several periods of growth since 1992…

GDP growth, % GDP constant prices, 2010



…growth has been highly volatile

Standard deviation (volatility) of real GDP growth
from 1992-2017, %

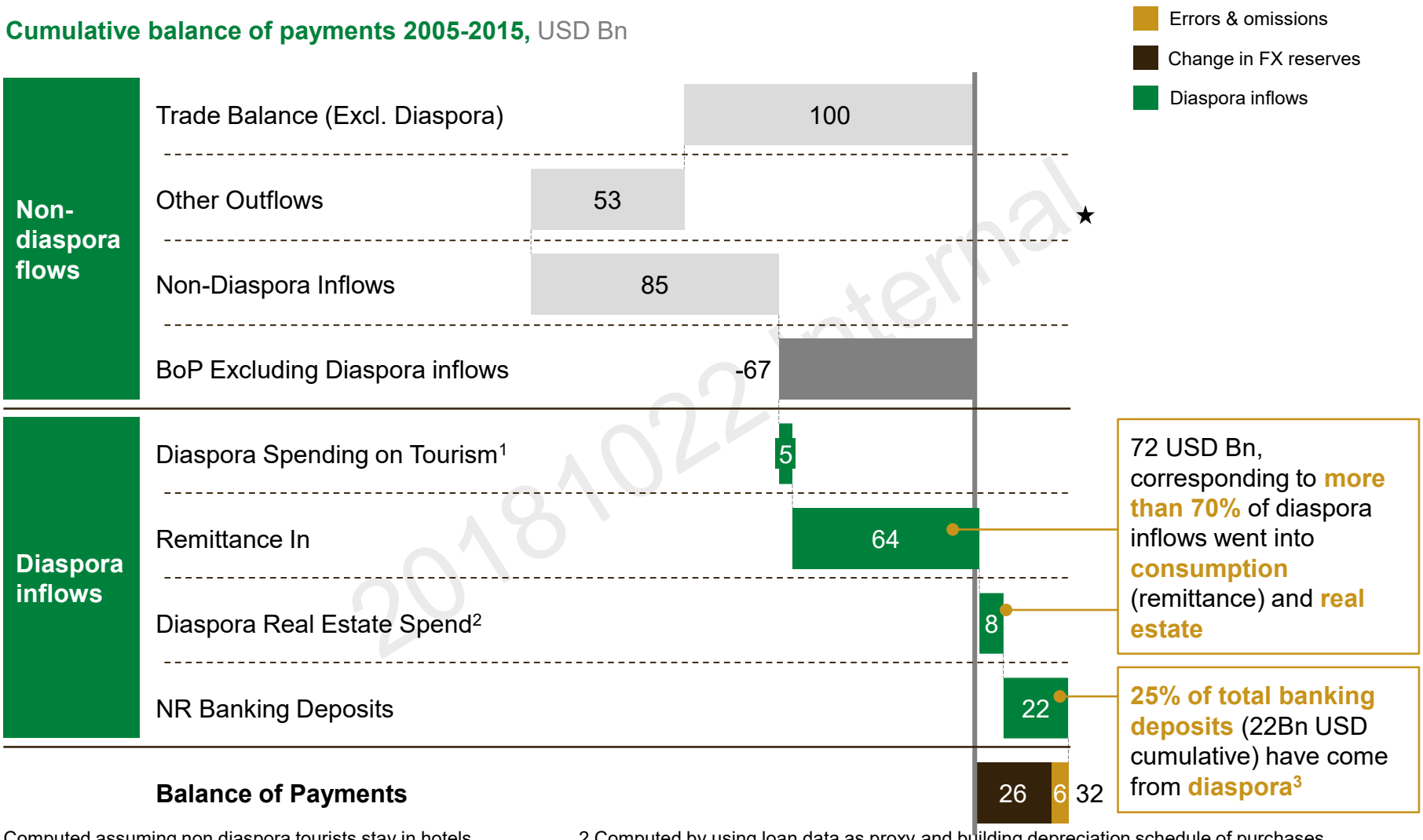


2 Internal

Source: IMF, World Bank

A2 Volatility has been influenced by the economy's reliance on diaspora inflows, channelled into real estate, banking and consumption sectors

Cumulative balance of payments 2005-2015, USD Bn



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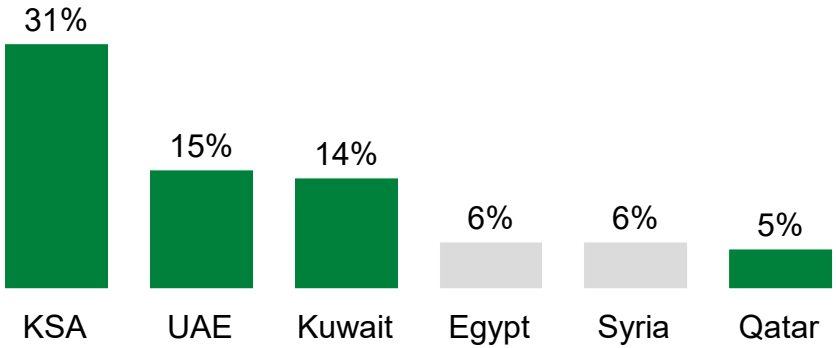
1 Computed assuming non diaspora tourists stay in hotels
2 Computed by using loan data as proxy and building depreciation schedule of purchases
3 Assuming all non-resident deposits are partially or fully related to Lebanese diaspora
Note: Sovereign exposure computed as BDL deposits and public sector loans minus 15% of deposits as required reserves, and assumed to purely finance fiscal deficit

Source: Banque du Liban statistics

A2 Inflows have been geographically concentrated in the GCC, further influencing volatility and the reliance on exogenous factors for growth

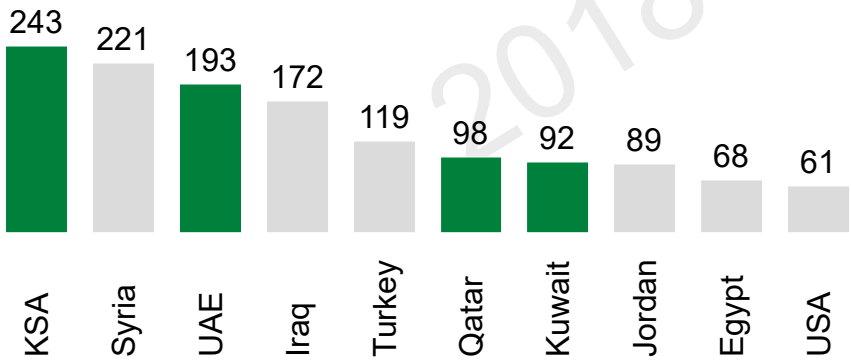
Tourism spending distribution by country of residence[1]

Percentage, 2016



Breakdown of Lebanese Exports by destination[2]

Mn USD, 2017



Remittances

Ranking, 2016

1. United Arab Emirates ★
2. Qatar
3. Saudi Arabia
4. USA
5. Australia
6. Kuwait

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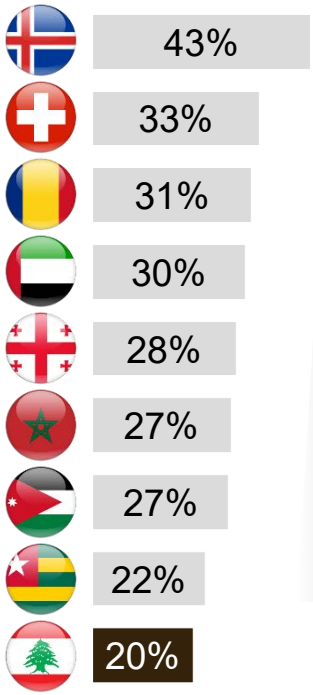
1 Global Blue Lebanon (through Bank Med report)
2 Excluding gold, diamonds, petroleum and other products not locally produced

Source: BDL, Customs

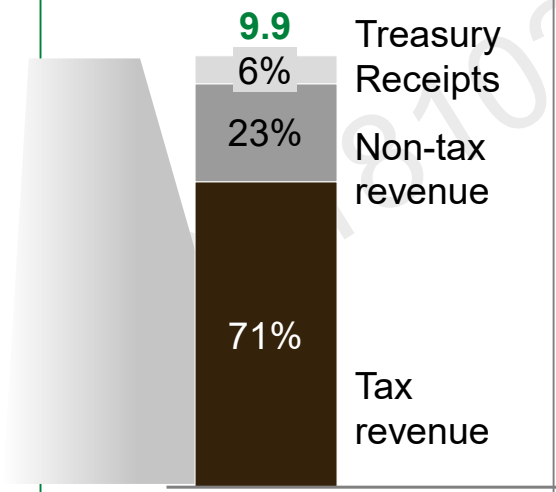
B1 The inflows also went into financing the governments' increasing size and indebtedness leaving little room for Capital Expenditures

Revenues have been constrained with low tax collection compared to benchmarks

Government revenues %GDP[1]

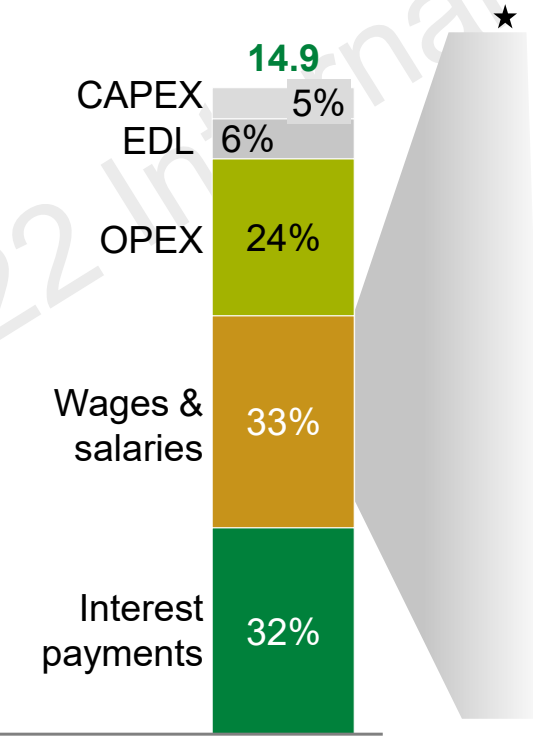


Government revenues, 2016 USD Bn

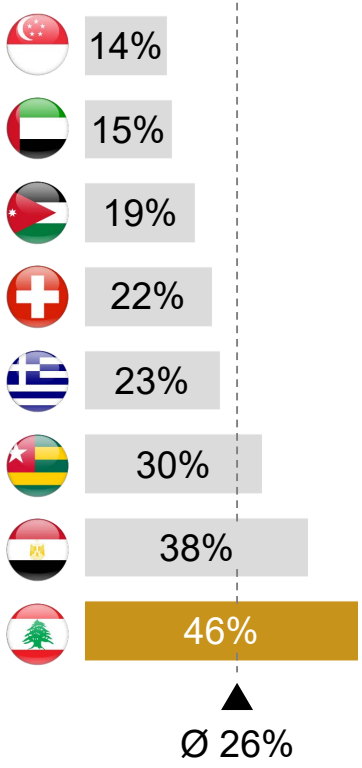


High government expenditures are driven by fiscal mismanagement with high wages & salaries

Government expenditures 2016 USD Bn



Wages & salaries %Gov. Revenues[1]



1 Average of 2012-2017, whenever data is available; for government revenues includes tax, non-tax & other revenues

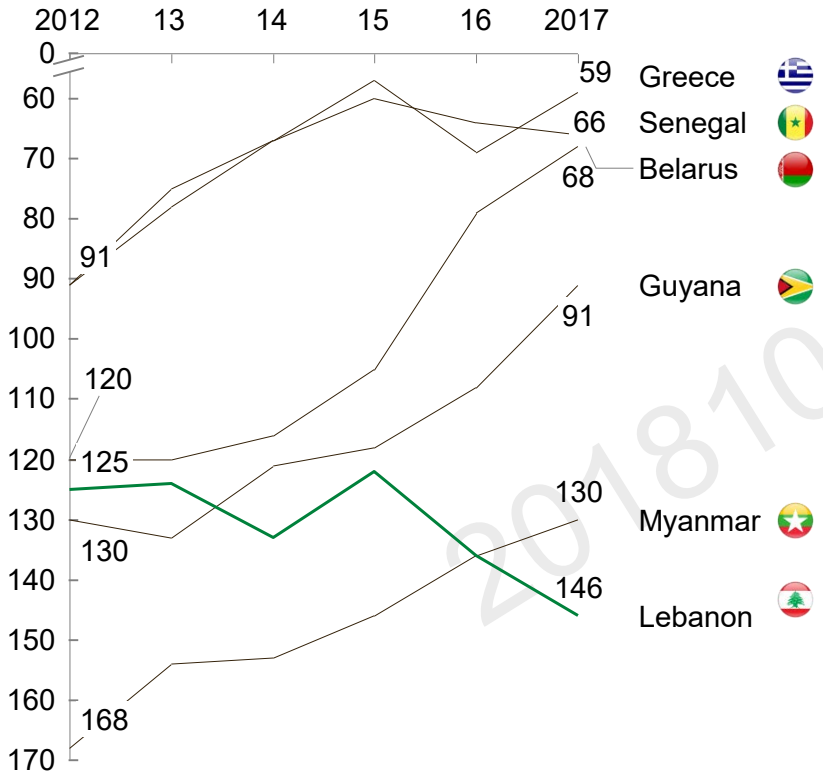
Source: Ministry of Finance; IMF Lebanon Selected Issues 2017; Countries' IMF Article IV

C1 Persistent corruption and legislative inefficiencies have further perpetuated the government's inability to spur economic growth

Whereas several countries improved, Lebanon's Corruption perception has recently been increasing

12 critical business environment laws, out of a total of 13 identified, have not been put in place

Corruption perception index,
country rank



Lebanon also ranked **180th out of 209** on WB's Control of Corruption index and **121st out of 137** on WEF's Irregular payment and bribes

Number of business environment laws by stage,
#

No action	IP law	**1 law** in stage
Being delayed	Equity compensation	**3 laws** in stage
	Competition law	
	Closing a business	
Pending council of minister approval	*N/A*	
Being reviewed by parliament committee	Judicial mediation	**7 laws** in stage with **some** laws **pending for ~5-10 years**
	Bankruptcy law	
	Insolvency practitioner law	
	E-signature law	
	PE fund law	
	Code of commerce	
	Secure lending	
Pending parliament approval	Preferred shares	

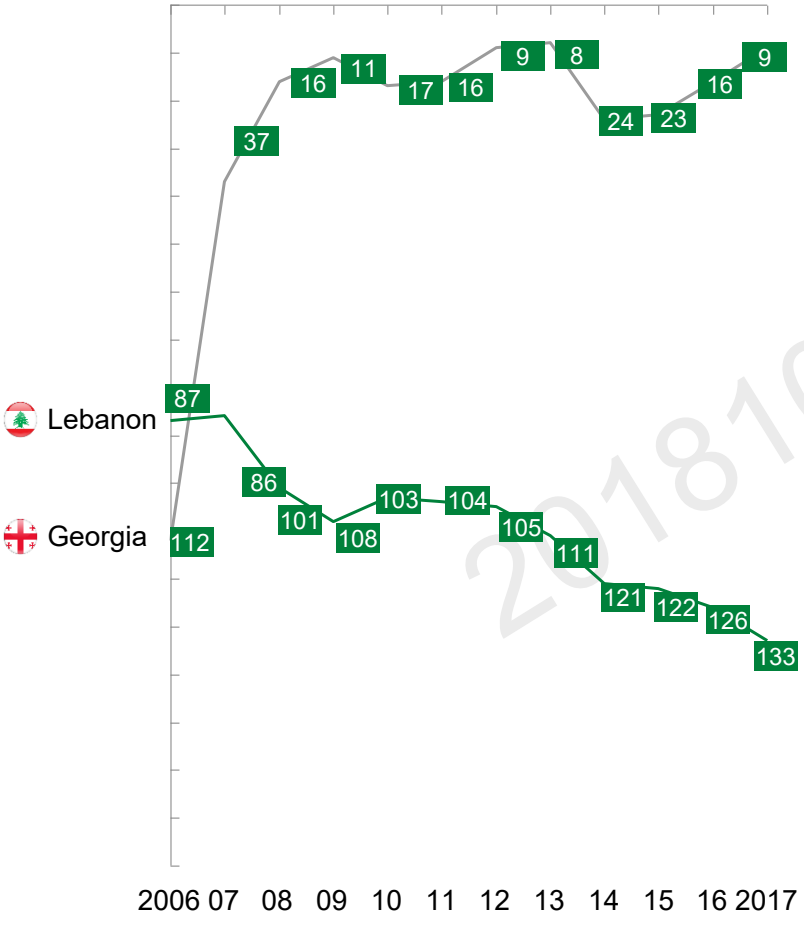
Some legislations have been **stuck** at different stages of the pipeline **for ~5-10 years**

Source: Transparency International Corruption Perception Index; Interviews with Prime Minister's Office team

C2 As a result, the country has been witnessing an unconducive business environment along with a lagging infrastructure

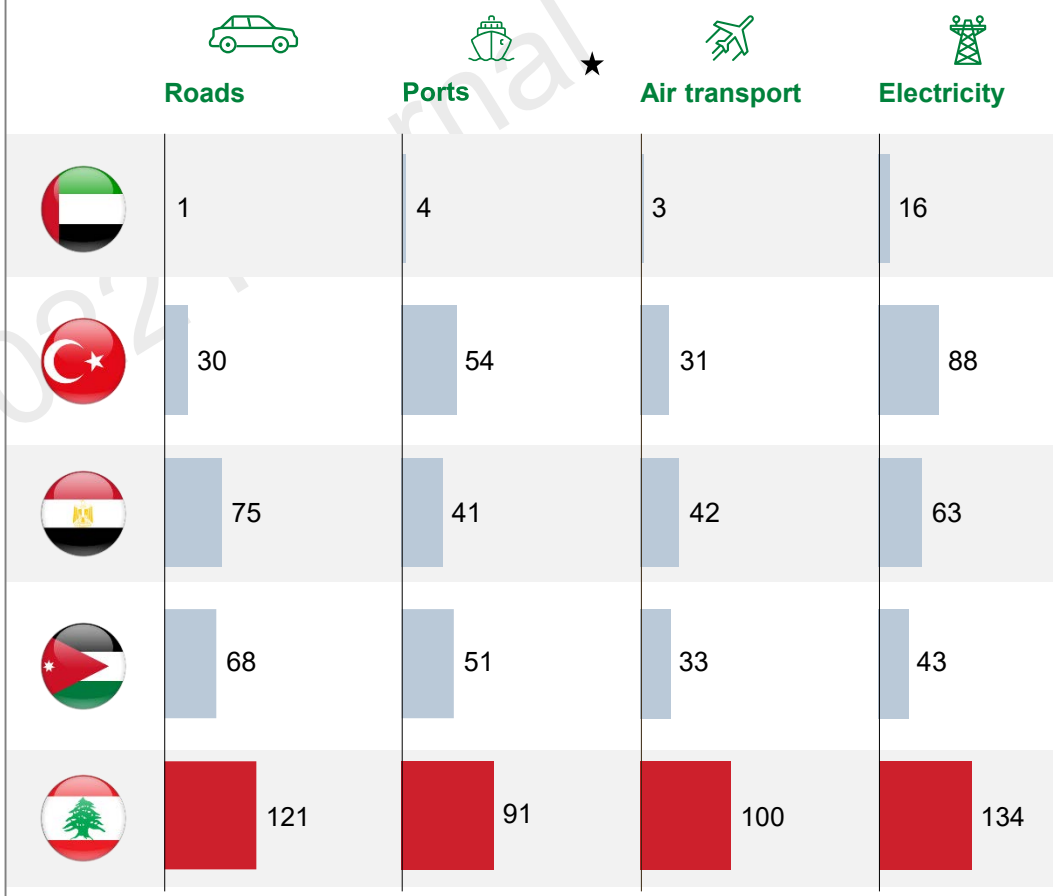
The overall business environment has recently been deteriorating with Lebanon losing 46 ranks in 10 years

Ease of doing business rank (World Bank),
Rank out of 190 countries



The country's infrastructure also greatly lags behind peers, across all dimensions

Quality of Infrastructure (World Economic Forum, Global Competitiveness Report),
Rank out of 137 countries, 2018



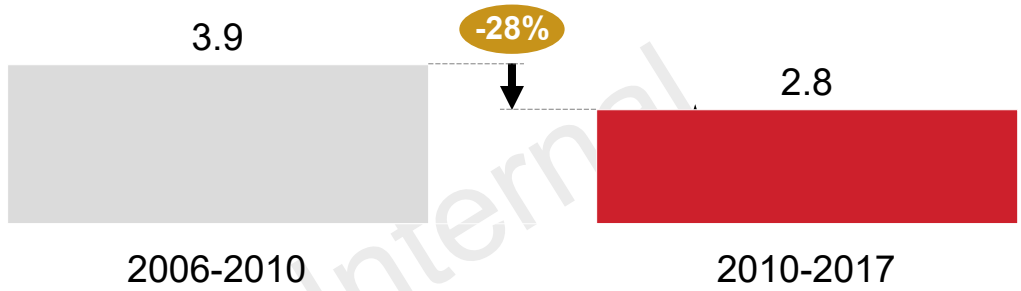
20181022 Final

Source: World Economic Forum – Global Competitiveness Report 2017-2018; World Bank – Ease of Doing Business

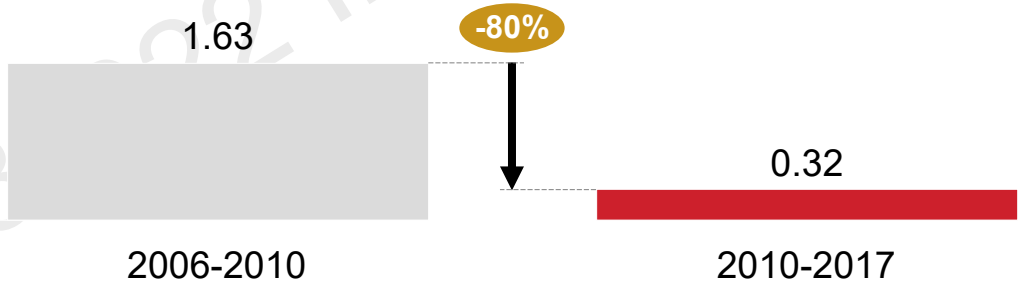
C2 Private sector investment have therefore dropped, leading to additional economic stagnation…

Foreign & domestic investments dropped with FDI decreasing by ~30% and gross capital formation by 6% over the last 7 years

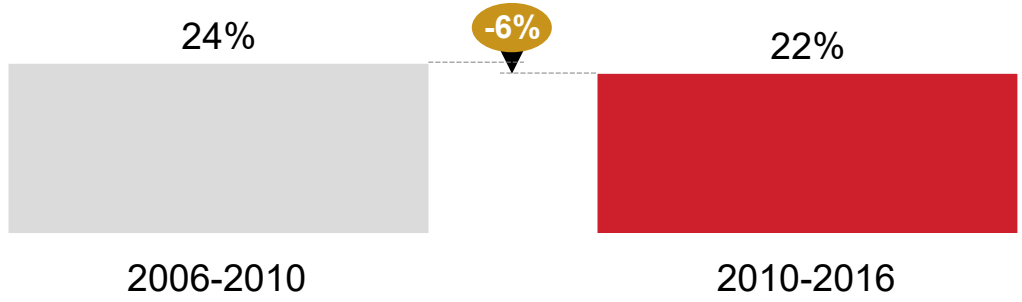
Foreign Investment by year, Bn USD



Large FDI projects, Bn USD



Private gross Capital Formation, % of GDP



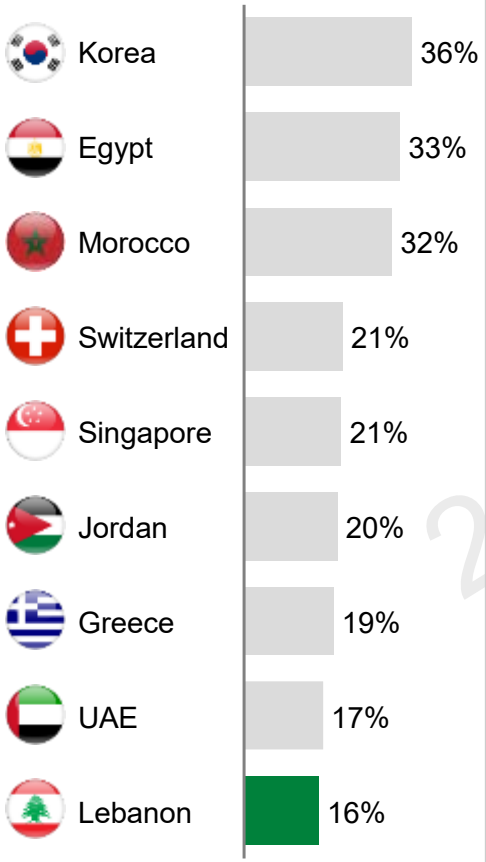
2018 Q2 Internal

SOURCE: Banque du Liban; IDAL FDI database; Central Administration of Statistics; Press search

C3 An unconducive business environment has kept Lebanon's productive sectors underdeveloped

ECONOMIC CONTRIBUTION OF PRODUCTIVE SECTORS IS LOW

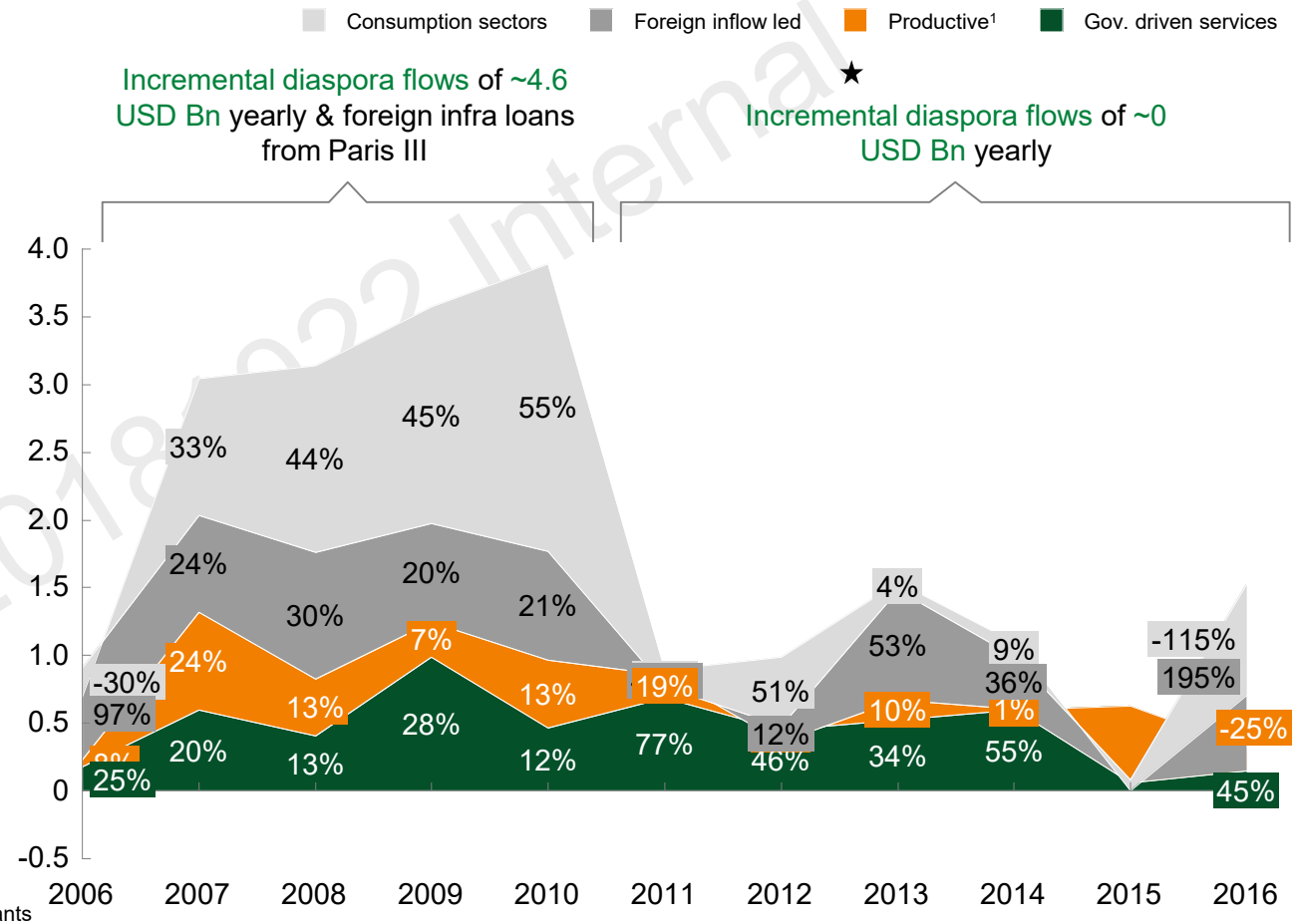
Contribution of productive sectors[1], %GDP



1 Defined as agriculture, industry & hotels and restaurants

GROWTH PERIOD WAS SUSTAINED BY FOREIGN-INFLOW LEAD AND CONSUMPTION SECTORS

Year-on-year contribution to GDP growth by sector category, USD Bn

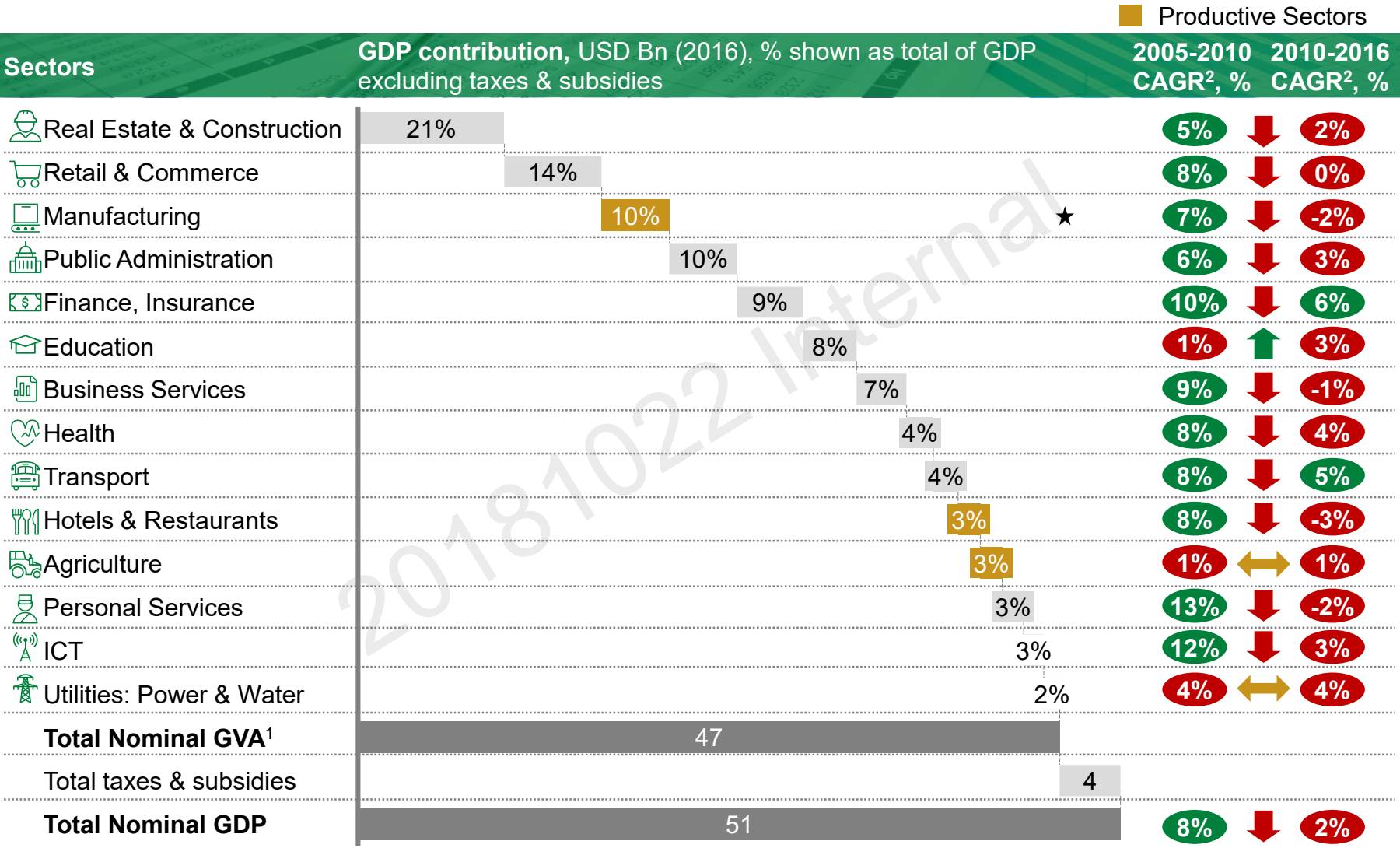


2018-2022 Internal

Source: Central Administration of Statistics; IHS Markit

C3

Productive sectors contribute to only ~16% of the country's GDP…



20181022 Internal

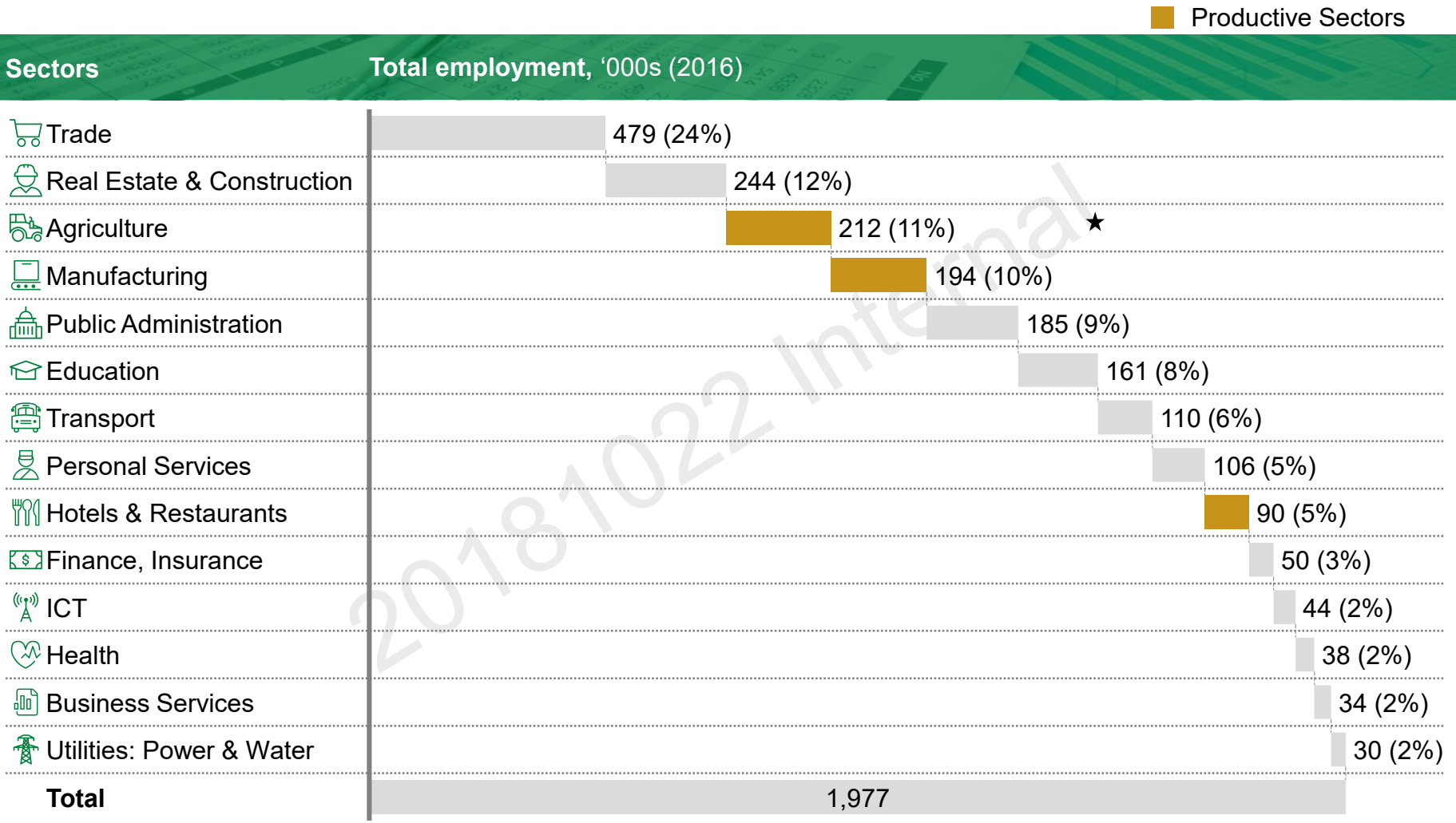
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

C3

… while employing ~26% of the labor force

HIGH-LEVEL ESTIMATES



Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

Contents

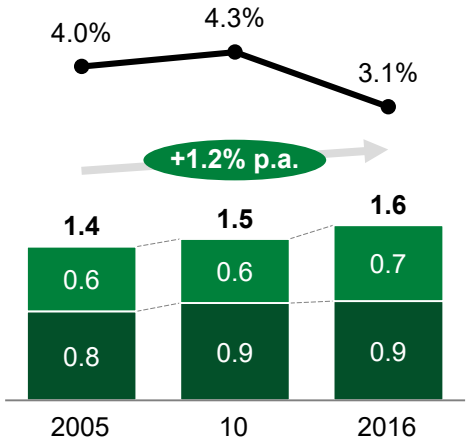
- **A Vicious Economic Cycle**
  - **Summary of sectors & enablers diagnostic**
- **A Promising Future**
- **A Focused Approach**
  - Sectors
    - Agriculture
    - Industry
    - Tourism
    - Financial Services
    - Knowledge Economy
    - Diaspora
  - Enablers
    - Infrastructure
    - Other Enablers
  - Flagship Projects
  - Implementation Mechanism

20181022 Internal

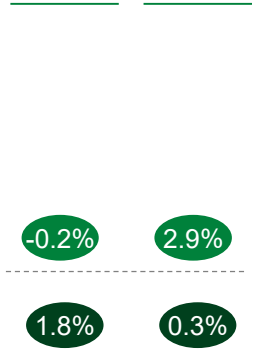
Agriculture – summary of diagnostic

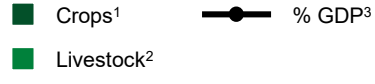
Economic contribution

Real GDP value of agriculture
Bn USD in 2010 prices



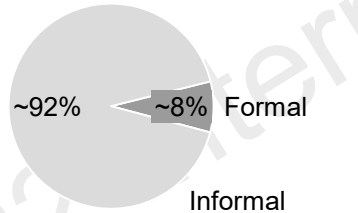
Real growth rates
% Annual





Estimated Employment 2016

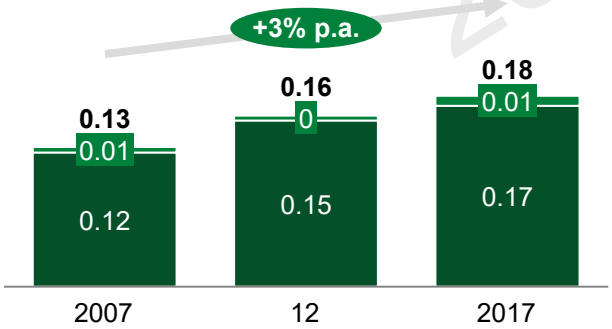
Total : ~212k



Excludes seasonal employment

Trade

Agricultural exports (excluding processed food)
Bn USD



Top exports include:
- Fruits (apples, bananas, grapes, oranges, etc.)
- Vegetables (potatoes, lettuce)
- Raw tobacco
- Spices
- Live sheep

1 Includes forestry 2 Includes fishery 3 Excludes taxes and subsidies

Key challenges

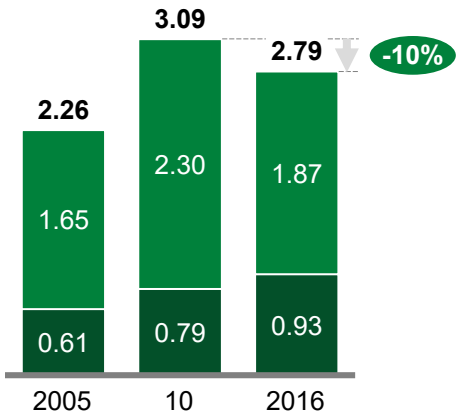
- **Low productivity and quality**
  - Limited modernization / technology adoption, with persistence of suboptimal techniques (harvest, post-harvest, etc.)
  - Overuse of fertilizers & pesticides (452 kg/hectare, vs. 131 kg/hectare in OECD countries)
- **Structural constraints**
  - Small average holding sizes (1.4 ha)
  - Ineffective cooperative system (~1200 COOPs, 2/3 of which are inactive)
  - Dominant wholesale markets / distributors
- **Insufficient and poorly-targeted government support**
  - Limited extension and research services
  - Poor controls on food safety & quality, water usage
  - Limited access to financing
- **Financial unsustainability**
  - Rising land & transportation costs
  - Reliance on subsidies (and ad-hoc financial support)

Source: CAS, ILO, Ministry of Health, Lebanese Customs, FAO, expert interviews

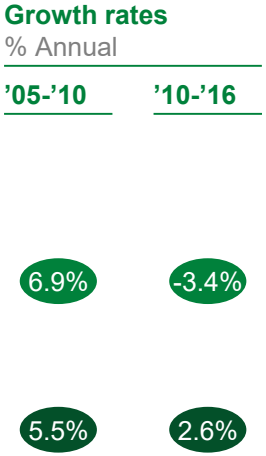
Industry – summary of diagnostic

Economic contribution

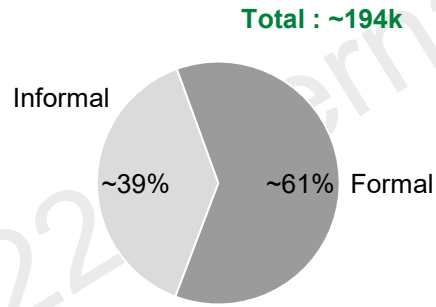
Real GDP value of industry
Bn USD in 2010 prices



Growth rates
% Annual

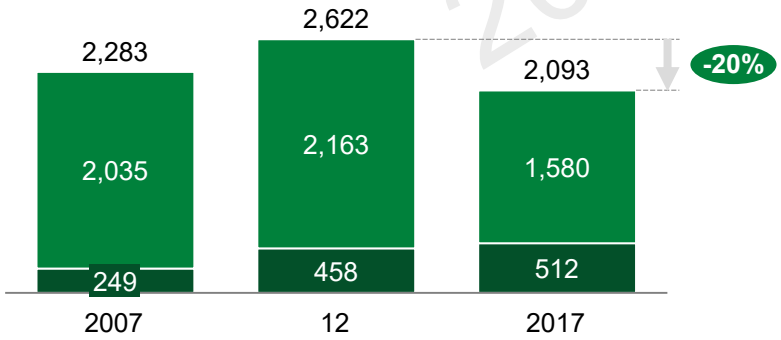


Employment 2016



Trade

Industrial exports (excluding gold, diamonds, etc.)
Mn USD



Top exports include:

- Processed food products
- Scrap & basic metals
- Machinery *(incl. household goods)*
- Perfumes and cosmetics
- Electric motors & generators
- Printed material *(e.g. books)*

Key challenges

- **Low competitiveness: High costs of factors of production…**
  - High cost of private electricity generation *(driven by poor/ unstable quality of power)*
  - Rising land and labor costs
  - Unfavorable business environment
  - Ineffective transportation network
- **… and low quality / standards…**
  - Shortage of skilled technical labor
  - Limited application of international standards
- **…aggravated by external market shocks**
  - Reduced regional demand for key products *(e.g. generators)*
  - Constraints on land transportation due to Syrian conflict

Source: CAS, Lebanese Customs, ILO, expert interviews

Oil & Gas – summary of diagnostic

Current situation and recent developments

Lebanon **may have significant oil & gas resources**, which are currently untapped

- In 2010, USGS estimated that 1.7 billion barrels of recoverable oil and 122 trillion cubic feet of recoverable natural gas may be found in the Levant Basin Province

Despite long delays, there have been several **recent achievements** supporting the development of Lebanon's oil & gas sector:

- **Exploration & production licenses** for 2/9 blocks were awarded to a consortium made up of Total, Eni and Novatek (Dec 2017)
- **Regulatory and governance framework** for the sector has been developed, with several laws being passed *(e.g. law to establish a Sovereign Wealth Fund)*

Pending uncertainties

Significant uncertainty remains on the value of Lebanon's resources, which will depend on several variables, including but not limited to:

- **Resource base:** Volume of resources, as well as form and chemical makeup, are very uncertain
- **Oil prices:** Recently-demonstrated volatility in global prices makes it difficult to predict the price of oil during production, which is not expected to begin until 2029
- **Technology:** Several advances in gas extraction technology have drastically reduced the cost of extraction in the last few years, and further advances could have a significant impact on the cost of extraction
- **Market demand:** Changes in geopolitics, as well as the development of new pipelines could have a significant impact on export market options.

Timeline of events

Exploration is expected to begin in 2019

First round of **development** is expected to take place between 2025 and 2029

- The development phase will be very **capital intensive**, as it will involve construction of off-shore platforms
- This will create a **spike in job creation** *(up to 10k)* which will be mostly indirect *(e.g. in industrial sectors)* and supported by local content requirements
- The development timeline is highly dependent on the results of the exploration phase

Extraction of oil may not begin until **2029**

The future of oil & gas

Broadly, there are **three scenarios** for the role of oil & gas in Lebanon:

1. **Negligible:** Oil plays no major role in Lebanese economy, likely due to limited volume or very high costs of extraction
2. **Power-producing:** Oil is used almost exclusively as an input in the power sector, with limited financial gains
3. **Financially-supporting:** Beyond use of oil in power, oil generates significant financial resources for the government, contributing to fiscal stabilization

Present-day priorities

Despite the uncertainty, there are several **no-regret efforts** that the government of Lebanon should prioritize in the **short term**:

- Developing a clear strategy and direction for the sovereign wealth fund
- Continuing to develop the regulatory and governance ecosystem *(e.g. finalizing transparency-related regulations)*

Moreover, in the **medium term** *(as more clarity on resources is established)* additional **strategic analysis** will be required, on topics including but not limited to:

- Optimal usage of oil & gas resources *(e.g. local power vs. export)*
- Impact on industrial sector *(e.g. via improvement of power sector)*

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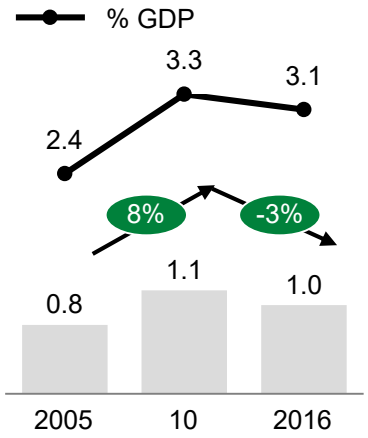
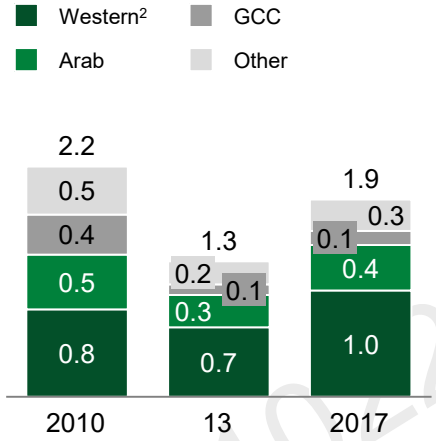
Tourism – summary of diagnostic

Economic contribution

Real GDP value of tourism[1]
Bn USD in 2010 prices



Number of tourists by nationality
Million tourists

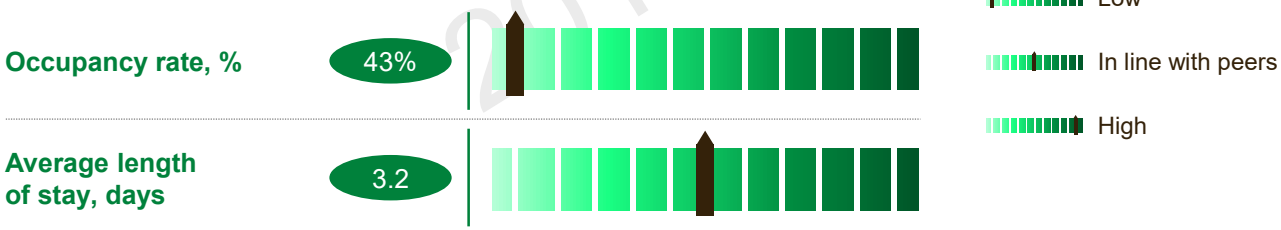


Top nationalities

- Iraq (12%),
- France (9%),
- USA (9%),
- Canada (6%)

Performance metrics[3], 2017

Performance compared to peers



Key challenges

- **Lack of proper tourism data** to ensure informed decision making
- **Low occupancy rates in hotels** are deterring private sector investments
- **Limited hospitality infrastructure** catering for the upper mass and luxury segments (especially outside Beirut)
- Absence of a brand image for Lebanon
- **Limited flight connectivity** and **high airfare prices** to European markets
- **Highly fragmented eco-system** with no forum for collaboration between all the different stakeholders

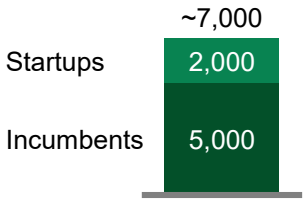
1 GDP contribution of hotels and restaurants is used as a proxy for tourism GDP
2 Includes Europe, Oceania and North America (US and Canada only); 3 Based on a sample hotel list provided by MoT

Source: Ministry of tourism, CAS

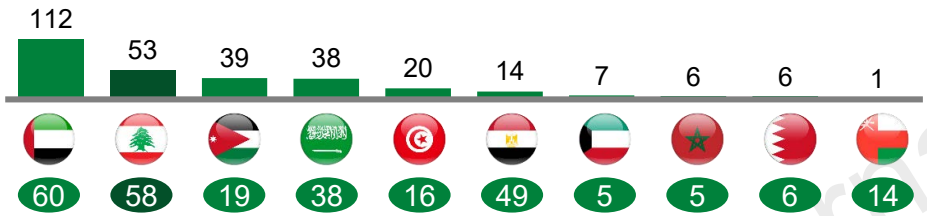
Technology – summary of diagnostic

Economic contribution | Sector performance

Total jobs, 2017



Total value of VC deals, USD Mn 2017



Technology & innovation funnel, by stage of company

	Idea generation / R&D	Commer-cialization	Start-up / early stage	Growth
Digital producer	▪ Sub-par R&D spend and lack of funding	▪ Low volume of patents	▪ Ease of doing business ▪ Gap in angel funding	▪ Lack of growth funding & access to markets
Digital eco-nomy	▪ Lebanon lags all Middle-Eastern countries on digitization index			
Digital govern-ment	▪ Lebanon lags all GCC countries on the UN e-government readiness index (0.56 vs. 0.72) only slightly outranking Egypt & Jordan in the Middle East			

Key challenges

- **Low availability of digital talent**
  - Despite Lebanon's strong talent base, access to talent was reported to be the main obstacle faced by domestic start-ups
  - Moreover regional entrepreneurs consider Lebanon as the top source for creative & marketing talent, but as lagging behind for core technical skills
- **Missing key regulatory requirements**
  - The sector suffers from sub-par regulations such as the current incorporation laws (preferred shares, stock-options), and a sub-par judicial system
  - For e.g. only 20% of entrepreneurs offer stock-option schemes whereas ~50% of the talent pool would be willing to accept it as compensation scheme

Source: ArabNet – The state of digital investment in MENA 2018; Wamda access to talent for MENA's entrepreneurs; Arabnet - Lebanese Innovation Economy - Tech Startups 2018; World Bank; Banque du Liban; Pitchbook; Market interviews

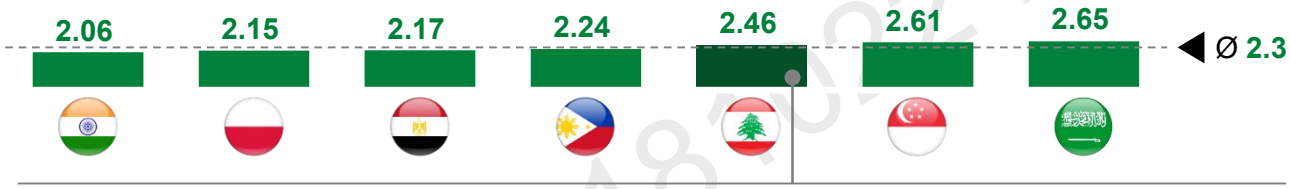
Outsourcing – summary of diagnostic

The outsourcing sector is not well established with a small contribution to employment

Total number of jobs in outsourcing, 2017

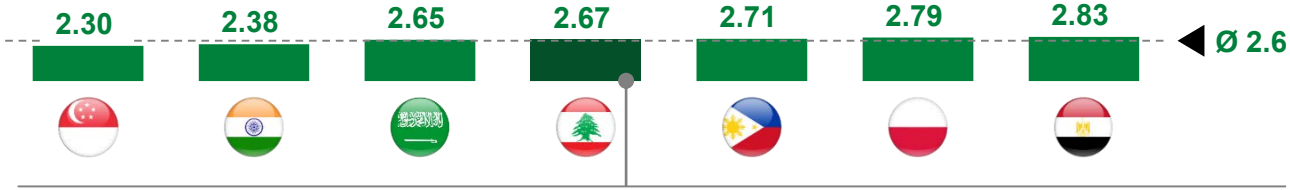
Despite possessing the intrinsic components (talent and cost), Lebanon lags on government-related components mainly infrastructure and business environment

Location readiness index for BPO, 2017, low index = high score



- **High** scoring on **talent** (1.5 vs 2.1) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Location readiness index for KPO, 2017, low index = high score



- **High** scoring on **talent** (2.1 vs 3.0) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Key challenges

- **Sub-par virtual and physical infrastructure**
  - Physical and virtual infrastructure lags with low broadband speeds (5Mbps, 127th globally) and high mobile connectivity costs
  - Un-empowered regulatory authority (TRA) leading to in lack of continuity and uniformity in the sector (e.g. stopping of the E1 lines for call centres)
- **Sub-optimal regulatory framework and environment with lack of incentives**
  - Sub-par ease of doing business environment
  - Required laws not in place: bankruptcy law, competition law, IP protection law
  - No zones in place offering tax-incentives and lower infrastructure costs (telecom & rental costs)
- **High country risk profile**
  - Low macro-economic and political stability, a key input to outsourcing location criteria

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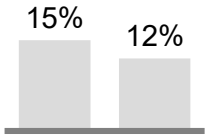
Source: Location Readiness Index database; IAOP: Global Outsourcing 100 2016; IDAL BPO Factbook 2016; SpeedTest; Expert Interviews

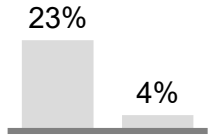
Financial Services – summary of diagnostic

Banking

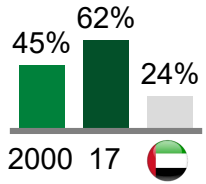
RoE, %



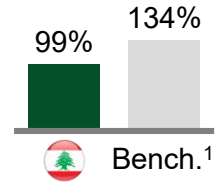
Deposit growth, %



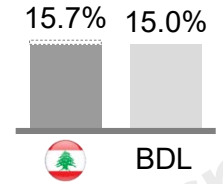
Sovereign exposure, %



Loan penetration, %GDP

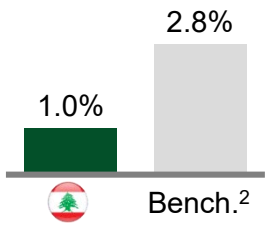


Capital adequacy ratio, %

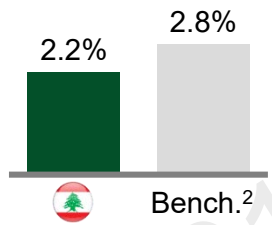


Insurance

Life penetration, GWP % GDP

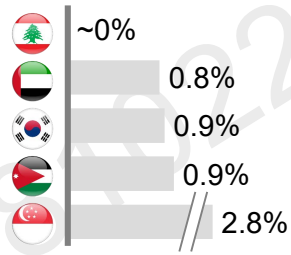


Non-Life penetration, GWP % GDP

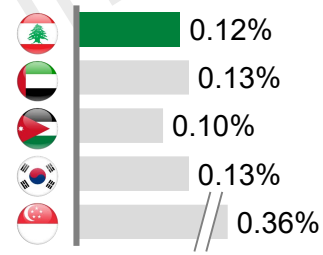


Private Equity/Venture Capital

Private Equity deals, % GDP

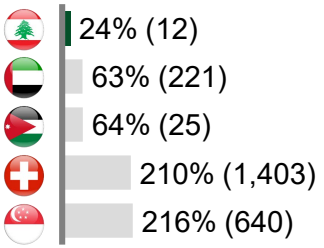


Venture Capital deals, % GDP

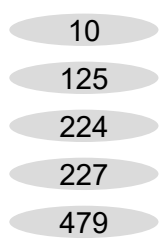


Capital markets

Market capitalization, % GDP (USD Bn)

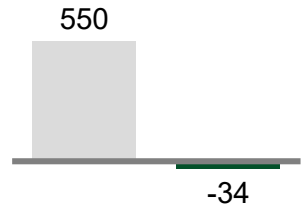


Listed companies,



Pension funds

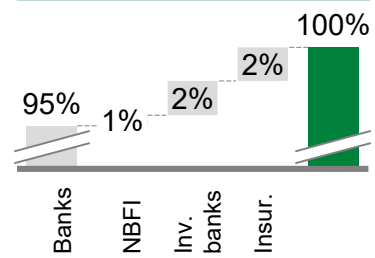
Pension surplus, USD Bn



Insurance deficit, USD Bn

Financial assets

Financial sector asset split, %



Key challenges

- **Lack of participation of non-banking financial services**
  - Domination of financial services by banking with ~95% of assets
- **Underdeveloped capital markets**
  - Lack of incentives to list
  - Limited foreign investments
- **Credit**
  - Although a large portion of credit information is provided by BDL, sector can benefit from a credit bureau
- **Legal**
  - Sub-par legal framework on three fronts: (1) E2E doing business cycle (2) Private equity and fund management laws (3) Digital banking & payments
- **Regulator**
  - Incomplete regulatory framework for capital markets (lack of sanctioning committee & tribunal)
- **Capabilities:**
  - Low financial inclusion and literacy, especially outside BML

1 Includes Singapore, Switzerland, UAE, Greece, South Korea, Jordan & Morocco

2 Includes UK, France, Italy, Netherlands, Spain, South Korea, Brazil, Hungary, KSA & Turkey

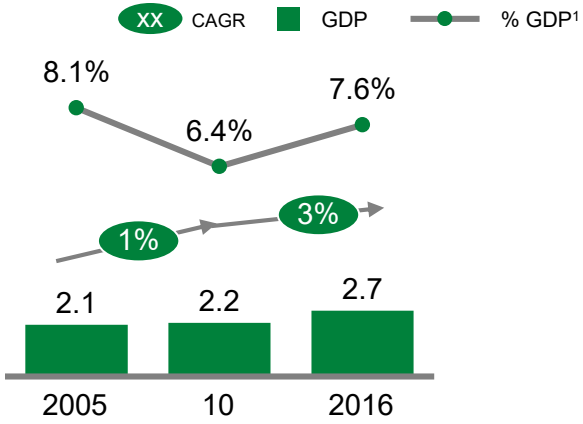
Source: IMF Article IV, Banque du Liban, BCC, ICC, World Bank, Pitchbook, Country central banks

Education – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of education
Bn USD in 2010 prices



Performance metric, 2015

Performance compared to peers

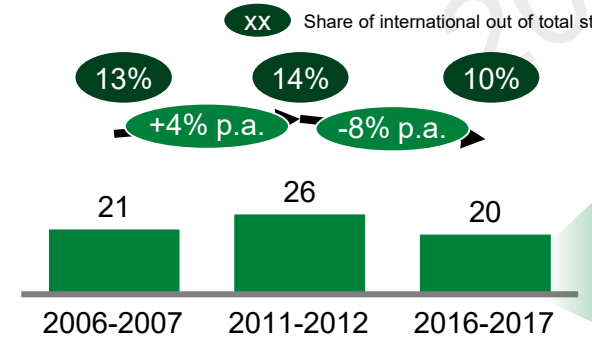
Quality of education, Universal scale score — 417

Public expenditure per student, PPP USD — 0-1000

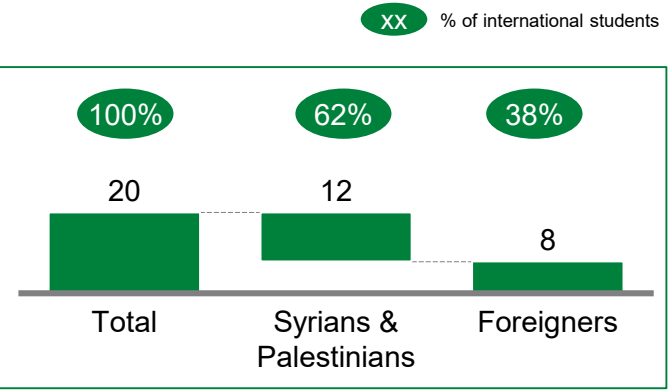
Number of universities in top 500, # — 2

Inbound International students – Higher education

Stock of international students 2017, '000 students



Split of international students by nationality 2017, '000 student



1 Excluding taxes and subsidies

Key challenges

- Declining performance of the education system (Quality of education system in Lebanon is classified as "Low")
- Outdated Curriculum (Latest update was in 1997)
- High regional competition in attracting international tertiary students
- Skill gap between the labour force demand and supply

2018-2022 Internal

Source: CAS, Ministry of education, World Bank. PISA scores

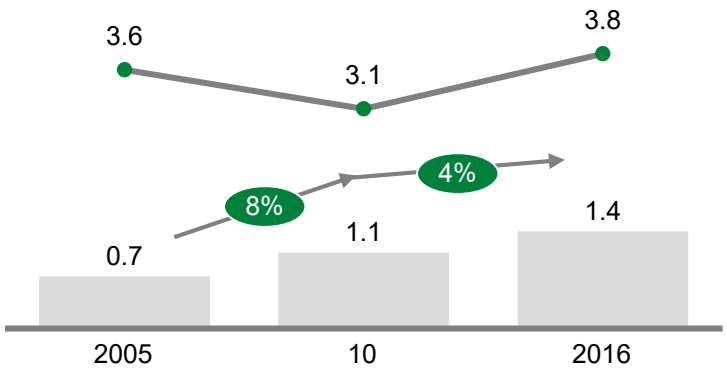
Healthcare – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of healthcare
Bn USD in 2010 prices

XX CAGR — % GDP[1]



Healthcare expenditure, 2015		Performance compared to peers
Health expenditure per capita, PPP, K USD	1.1	
Out-of-pocket share of healthcare expenditure, %	37	
Pharma expenditure, % of total healthcare expenditire	46	

Performance metrics

Quality metrics, 2015

	Lebanon	OECD
Average life expectancy at birth, years	81	80
Neo-natal mortality per 1,000 live births	5	4
Maternal mortality per 100,000 live births	14	14[2]

Accessibility metrics, 2015		Performance compared to peers
Number of hospital beds, Per 1,000 population[3]	3.4	
Number of doctors, Per 1,000 population[3]	3.2	
Number of nurses and midwives Per 1,000 population[3]	3.3	

Key challenges

- **Healthcare expenditure is in line with peers however share of out of pocket and pharma expenditure is high:**
  - High share of out of pocket healthcare expenditure (37%
  - High share of pharmaceutical expenditure out of total healthcare expenditure
- **High share of population that is uninsured (38-40% of total population)**
- **Highly fragmented hospital network (65% of hospitals have less than 100 beds)**
- **Lack of specialization of hospitals limiting the advantages of the economy of scale**

Healthcare diagnostic section covers economic contribution of the sector. This includes quality, accessibility and spend per capita on healthcare as well as size of the medical tourism exports. Social contribution and healthcare operating model are not part of the scope

Source: CAS, Ministry of Public Health Bulletin, World Bank, BLOM Bank, World Health Organization

Telecommunications – summary of diagnostic

Economic contribution

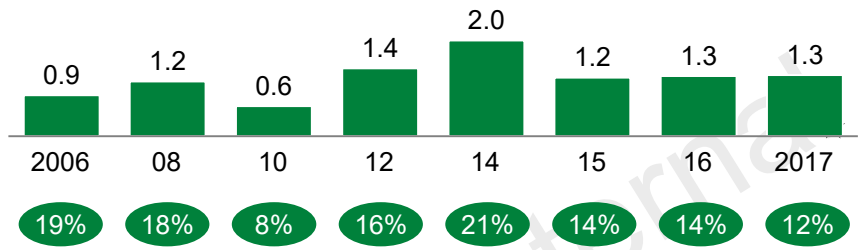
GDP contribution of ICT, 2016 nominal USD Bn (%) — 1.4 (3%)

Total ICT employment, 2016 # — ~44,000

Total telco jobs, 2018 # — ~4,000

Contribution to government revenues[1]
USD Bn

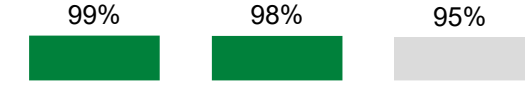
Portion of government revenues,%



Mobile network

Accessibility

3G & 4G coverage, % population

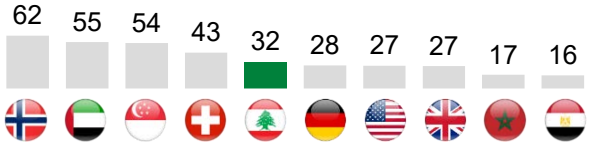


Affordability

Data price per GB to GDP/capita, %

Quality

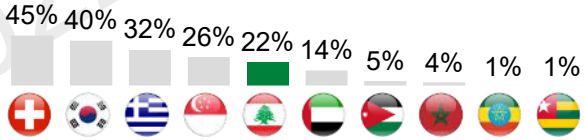
Mobile download speed , Mbps June 18



Fixed network

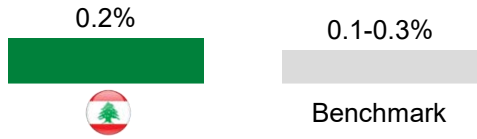
Accessibility

Fixed penetration, % population



Affordability

Price of broadband to GDP/capita, %



Quality

Fixed download speed , Mbps June 18

1 Excludes corporate taxation of telecom operators

Key challenges

- **High mobile prices**
  - Both data & voice prices remain prohibitive, especially when compared with regional benchmarks
  - Mobile data and voice prices are ~2-3x regional peers (Morocco & Egypt)
- **Low fixed network quality**
  - Average broadband speeds of ~6mbps, ranking Lebanon 130th out of 133 countries worldwide, behind Pakistan, Iraq & Syria
- **Inadequate amount of capital investments**
  - Telecommunications investments per capita ~2.5x times lower than peer countries average

2018 Not for Internal

Source: Ministry of Finance annual reports; Telegeography; SpeedTest; ITU; Country benchmarks; Market interviews; Operators websites; World Bank; CAS

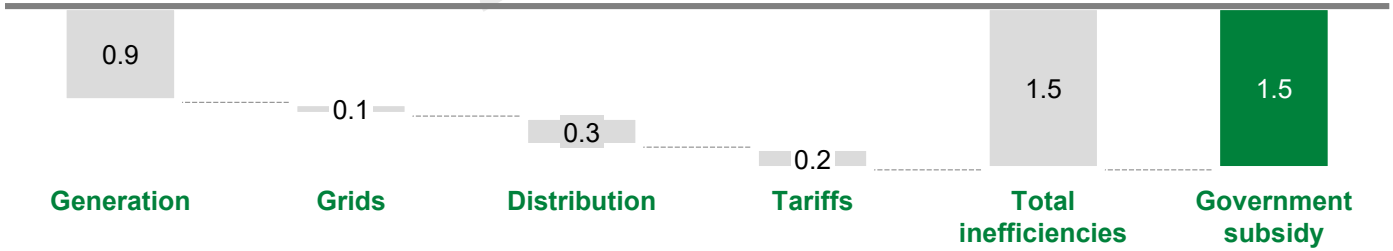
Power sector – summary of diagnostic

Performance metrics

Reverse ranking of "Quality of Electricity Supply"

	2010-2011	2011-2012	2012-2013	2013-2014	2014-2015	2015-2016	2016-2017	2017-2018
5								★
4								
3								
2								
1 (worst)								
Lebanon's ranking	136/139	141/142	144/144	148/148	143/144	137/140	135/138	134/137

2017 estimated breakdown of power sector in Lebanon, Bn USD



Key challenges

Generation
- Missing reserve margin
- High generation cost
- Limited share of renewables

Grids
- High share of T&D losses
- High demand for grid built-out

Distribution
- High non-technical losses in billing system
- Low level of energy service quality

Tariffs
- Tariffs lower than similar peers and not reflecting production cost

20180102 Internal

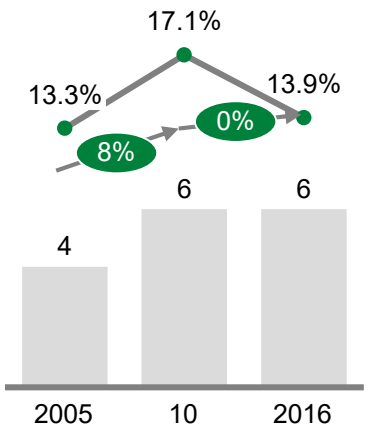
Source: CAS, Euromonitor, Lebanese Franchise association

Retail and commerce – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of retail and commerce
Bn USD in 2010 prices



XX CAGR

% GDP[1]

Growing segments:
- Cosmetics
- F&B
- Sports & hobbies

Declining segments:
- Luxury goods
- Households
- Fashion & clothing

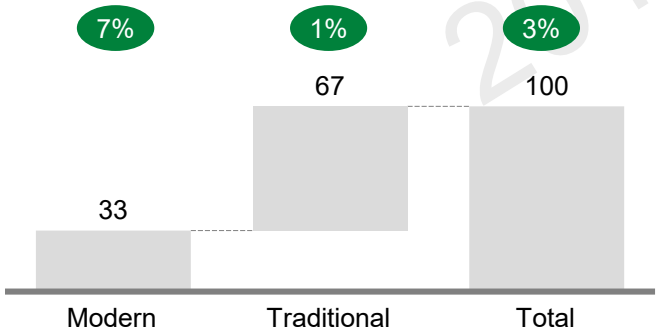
Performance metric, 2016

Employment, K employees	280
Productivity, 000 USD/employee	~12

Performance compared to peers

Performance metrics

Modern vs traditional retail grocery, 2017, %



Store vs online sales, 2017, %

x% CAGR '12-'17

1 Excludes taxes and subsidies 2 Includes small share of direct selling

Key challenges

- **High share of informal companies and informal employment in the sector**
- **Inefficiencies across the retail supply chain mainly due to:**
  - Congestion and poor transport infrastructure
  - High time and cost associated with importing goods
- **Lack of enabling legislations due to inefficient government in drafting and passing laws:**
  - Code of Commerce modernization proposal has been stuck in the parliament for the past 5 years
  - Competition law has yet to be submitted to the parliament
  - Absence of an e-commerce law

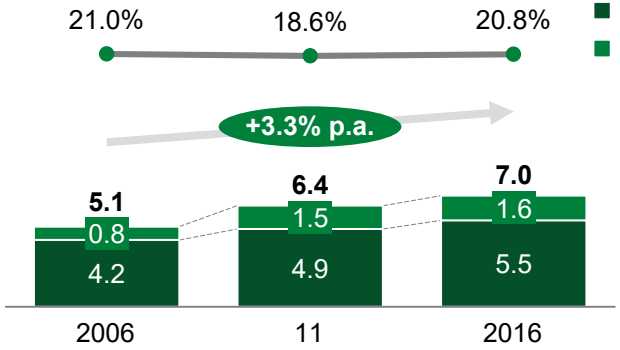
2018 2022 Internal

Source: CAS, Euromonitor, Lebanese Franchise association

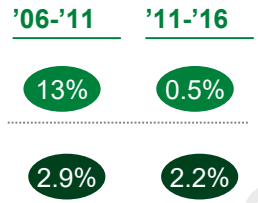
Real Estate and Construction – summary of diagnostic

Economic contribution

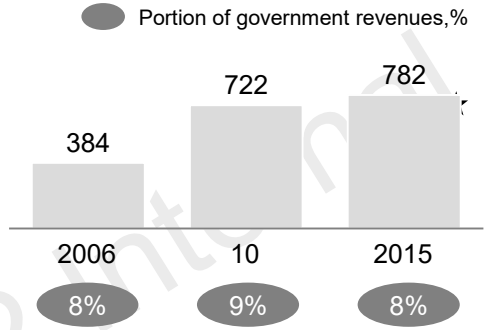
Real GDP of real estate & construct.
Bn USD in 2010 prices



Real growth rates
% Annual

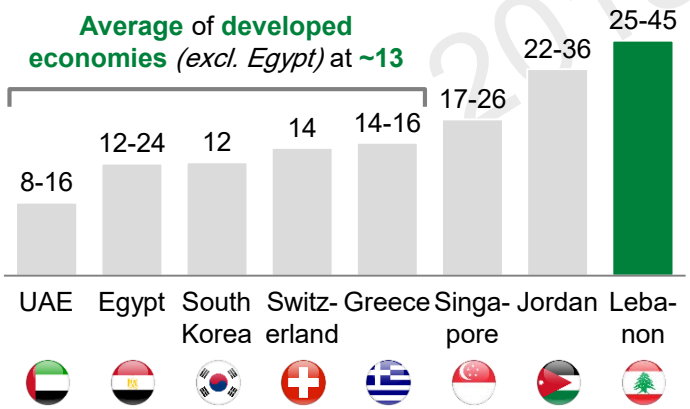


Contribution to government revenues
USD Mn



Housing affordability

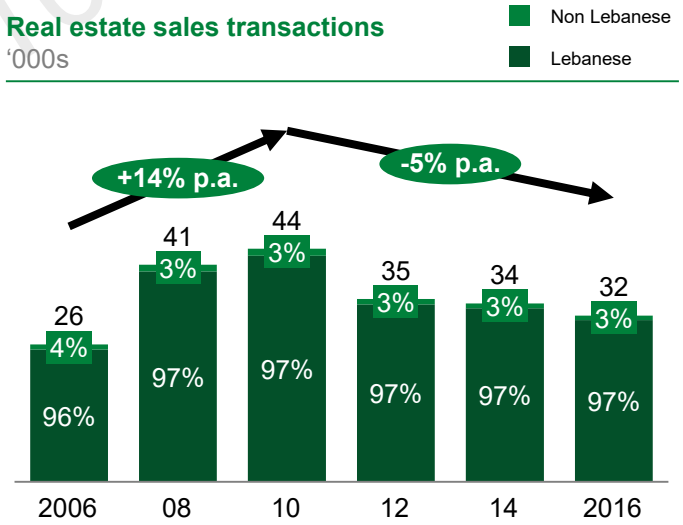
House price to GDP per capita ratio,
#



1 Excludes taxes and subsidies

Real estate activity

Real estate sales transactions
'000s



Key challenges

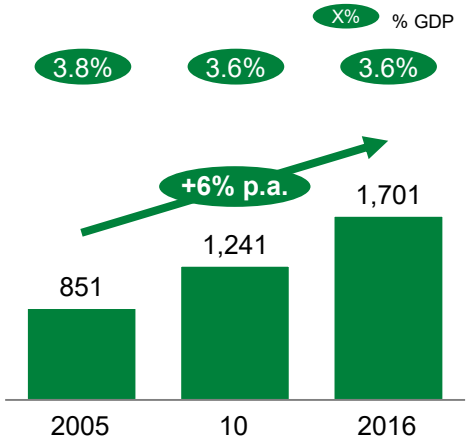
- **Drop in activity**
  - Lebanon stands with a stock of vacant apartments valued at ~9 USD Bn, mainly in luxury developments
- **Prohibitive prices**
  - Average value of real estate sales transactions more than doubled in 10 years going from ~48K USD in 2007, to ~103K USD in 2017, rendering a house price to income ratio of 25, highest among benchmark countries
- **Lack of comprehensive Urban Planning**
  - The absence of strict enforcement of urban planning has been detrimental to land availability and access, especially in high urban concentration, the problem being even more pronounced in Beirut. This has further put upward pressure on real estate prices

Source: Ministry of Finance Real Estate Registry; World Bank; Numbeo; Global Property Guide; Order of Engineers Beirut; Banque du Liban; CAS; World Bank A systematic country diagnostic 2015; Real Estate Association

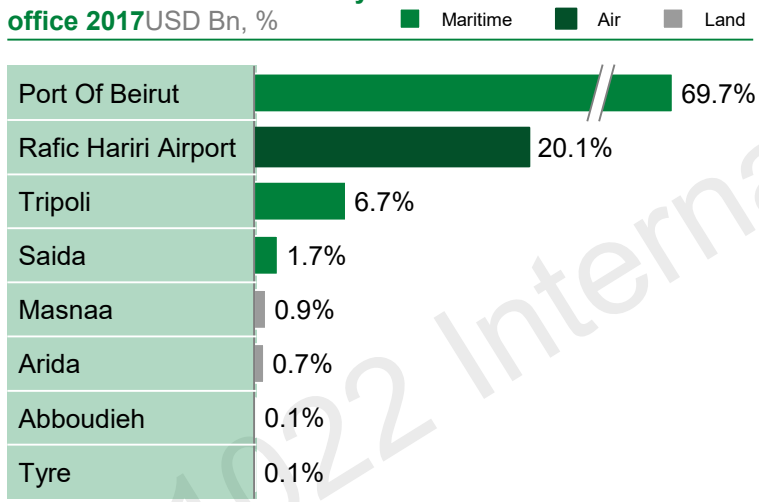
Logistics and transportation – summary of diagnostic

Economic contribution

Real GDP value of transportation
Million USD in 2010 prices

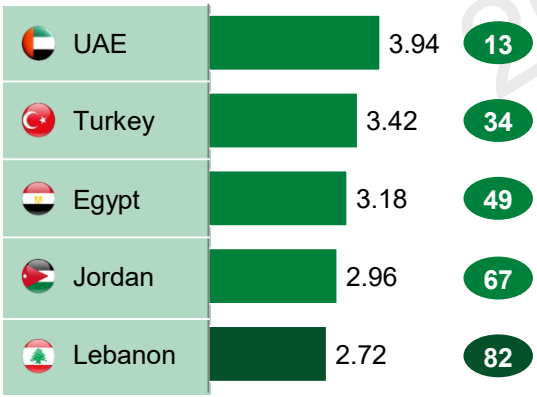


Breakdown of trade flows by customs office 2017USD Bn, %

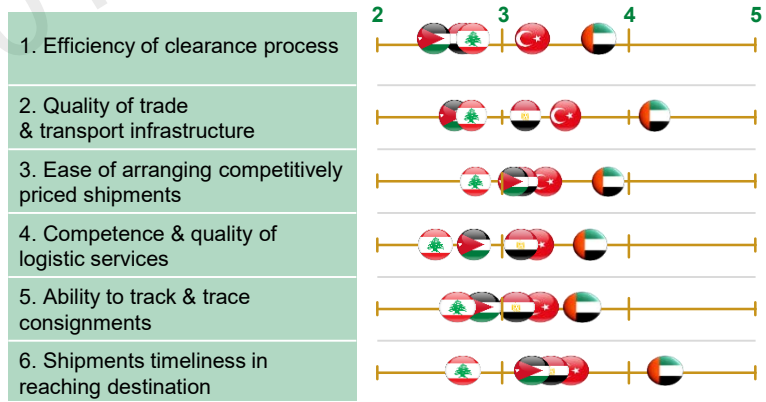


Performance metrics,

Logistics Performance Score



LPI score breakdown



Key challenges

Ports

- **High dwell time in Beirut Port** (~13 days)
- **Inefficient integration** between the different ports and roads
- Unclear differentiation approach between Beirut Port and Tripoli Port *(and respective expansion / development plans)*

Airport

- **Demand exceeding capacity** in Rafic Hariri International Airport (6M Capacity, vs 8M+ annual demand)

Roads

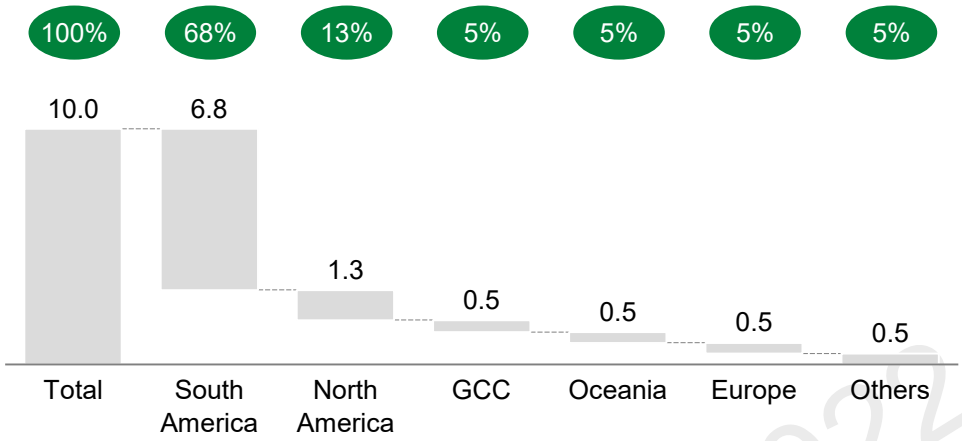
- **Low quality roads** (~15% of roads are in good condition)
- **High traffic congestion** on main highways

2018 2022 Interna

Source: CAS; Lebanese Customs; ILO; World Bank; Port of Beirut; expert interviews

Diaspora – summary of diagnostic

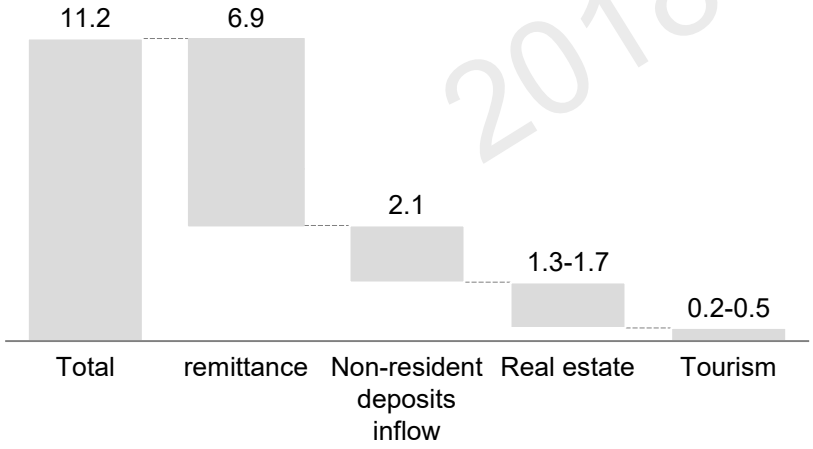
Size of diaspora, Mn resident



Top Diaspora countries are:

- Brazil
- Venezuela
- USA
- Canada
- Australia
- KSA
- Arab

Economic Contribution, 2016 USD Bn



Key facts, 2017:

Diaspora tourists, Mn	1
Real estate, '000 units	~7-9
Total non-resident deposits in bank, USD Bn	35
Top source countries for remittance:	

Key challenges

- **Absence of emigration policy and tracking system**
- **Withering relationship with second and third generation of diaspora (No pro-active approach to reinforce the Lebanese identity abroad)**
- **Absence of planning to channel diaspora contribution towards productive areas**

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Source: BDL, MoFA, IDAL, Order of Engineers

Urban Efficiency – summary of diagnostic

City planning & efficiency is a key enabler for economic development and growth

By 2030, 60% of the population – 5 billion people – will be city dwellers …

… and the top 600 global cities are expected to contribute to more than half of the world's GDP

Knowledge-intensive, small-sized countries, unlocked their growth potential, through **anchoring** their **development around** an efficient **urban center, at the heart of the economy**

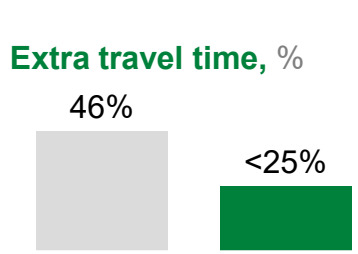
- **Singapore** positioned the city as a key regional hub, **attracting regional headquarters** for 100+ companies by 1990
- **Dubai** has developed a comprehensive strategy **anchored around** an **efficient urban zone** with SEZ around the city

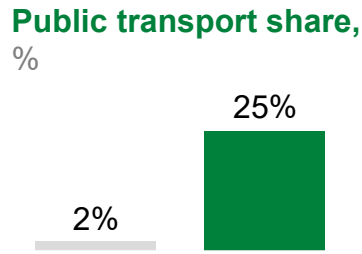
Several gaps exist within Greater Beirut's efficiency that should be tackled as part of a broad city vision

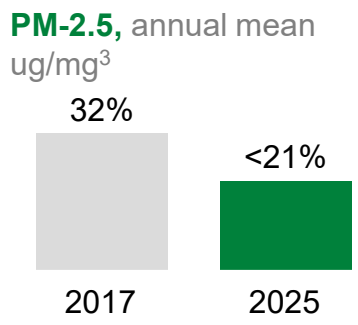
Key challenges should be tackled…

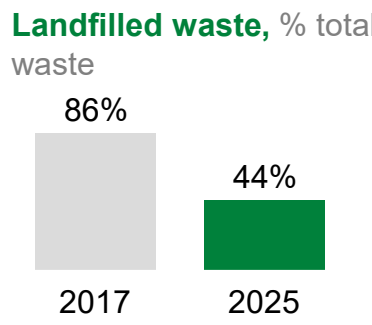
- **Enhance overall livability** of the city, mainly **pollution** and **waste management**
- **Focus on growing improving offering and growing use of public transportation**, through prioritizing and incrementing relevant CIP initiatives
- **Develop a fully integrated urban plan**, with clear land use allocation
- **Reclaim illegally used land** particularly on Greater Beirut's beachfronts

… while tracking several key metrics to ensure success









Source: C40 Cities, WHO Global Urban Ambient Air Pollution Database, Lebanon municipality of Beirut sustainable energy action plan, Capital Investment Program, Press Search, Transport Authority of Countries, TomTom Index; CIP, Land Transport Authority of Singapore, Gulf News, CAS, Ministry of Health

Trade Agreements – summary of diagnostic

Status of trade agreements

	Agreement	Partner	Status	Prelem. assessment of impact to date
Active agreements	Greater Arab Free Trade Agreement (GAFTA)	Arab countries	Entered into force in 1998	Positive impact ★
	EU Association Agreement	European Union countries	Entered into force in 2006	Negative impact
	EFTA Free Trade Agreement	EFTA States (Iceland, Liechtenstein, Norway and Switzerland)	Entered into force in 2004	Neutral impact
Ongoing discussions	World Trade Organization	Global	Accession in progress - last working party meeting (7th) conducted in 2009	
	MERCOSUR Free Trade Agreements	Argentina, Brazil, Paraguay, Uruguay, & other south American countries	MoU signed in 2016, discussions in progress	
	Agadir Agreement	Egypt, Jordan, Morocco, Tunisia	Accession in progress, following initial approvals in April 2016 and March 2017	

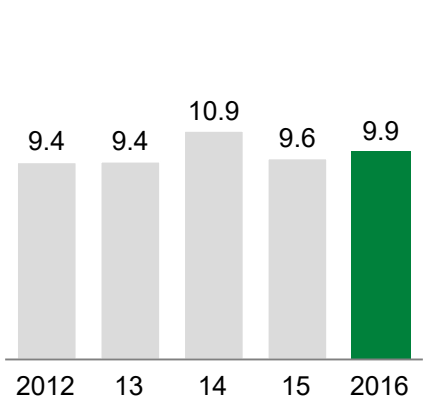
20181022 Internal

Key challenges

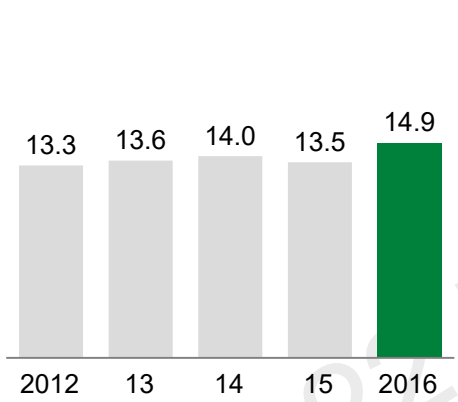
- **EU Association** Agreement led to a **short-lived boost to exports**, whereas **imports continue to grow**
- **The EFTA** trade agreement led to a balanced increase in both exports and imports, but **gains in both have been largely lost**
- There is a **lack of coordination** between the different trade-related entities
- Private sector faces issues with **technical and non-technical measures** (e.g. SPS conditions, registration requirements…)

Public Finance – summary of diagnostic

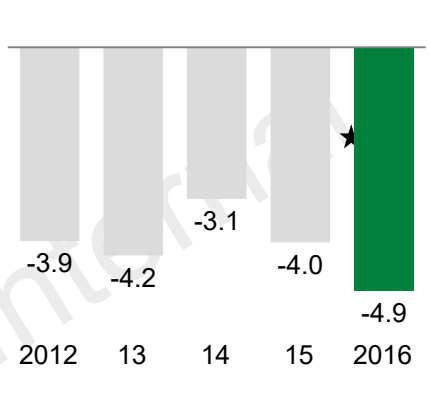
Government revenues
USD Bn, annual



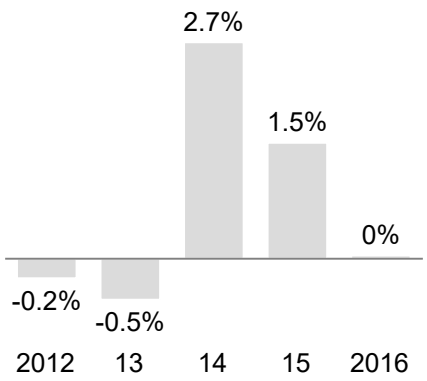
Government expenditures
USD Bn, annual



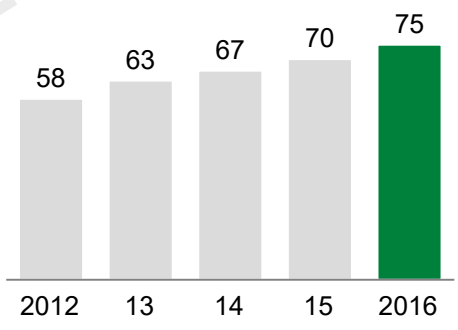
Government surplus (deficit)
USD Bn, annual



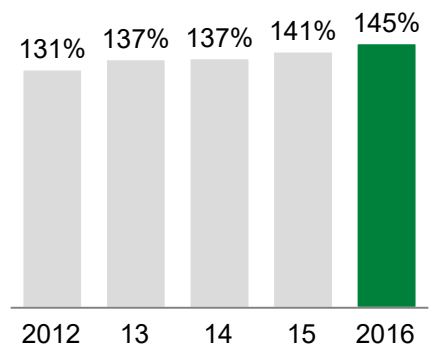
Primary balance
% GDP, annual



Total government debt
USD Bn, annual



Debt to GDP ratio
% GDP, annual



Key challenges

- Lebanon has the third highest debt to GDP ratio, driven by continuous budget deficits by successive governments. These deficits are driven by sub-par revenues and increasing costs
- **Revenues:** Revenue at less than 20% of GDP is lower than most peers, mainly driven by a low tax effort at 40% of total tax potential
- **Expenditures:** Today, only 5% of the government budget goes to infrastructure spend, with more than 2/3 going towards salaries and interest payments: Wages at 46% of revenues is highest among peers.

Source: Ministry of Finance; CAS

Ease of Doing Business – summary of diagnostic

X Rank

X Difference in ranks between 2012 and 2018

Ease of doing business ranking

2018 "Ease of doing business" overall rank

-7	Switzerland	33
-1	Singapore	2
+12	UAE	21
+25	Morocco	69
+33	Greece	67
-18	Egypt	128
-29	Lebanon	133

Global competitiveness index[1]

Global competitiveness index[1]

1	Switzerland	5.90
3	Singapore	5.70
17	UAE	5.30
71	Morocco	4.20
87	Greece	4.00
100	Egypt	3.90
105	Lebanon	3.80

Most problematic factors for doing business" in Lebanon

Factors	% of responses
Government instability/coups	21.2 ★
Corruption	14.5
Inadequate supply of infrastructure	13.9
Inefficient govern-ment bureaucracy	10.3
Policy instability	8.9
Other	31.2

Key challenges

- Last reform for the doing business environment was made 6 years ago
- Outdated laws/lack of proper legislations and an inefficient government in drafting and passing legislations
- High cost associated with procedures for "doing business"
- Complicated procedures for "doing business" with multiples stakeholders
- Perceived corruption of the government

20181022 Internal

Economic Development Activation – summary of diagnostic

Entities involved in EconDev activation		Key challenges
1 **Investment activation**	▪ IDAL	▪ **Incentive package** for investors is **outdated** (Last updated in 2001) and **not competitive** compared to regional peers ▪ IDAL is **not empowered** to operate its **one-stop shop** to efficiently serve investors
2 **Export promotion**	▪ IDAL ▪ Ministry of Economy and Trade ▪ Central Bank – Kafalat ▪ Ministry of Foreign Affairs	▪ Export promotion **efforts are highly uncoordinated** across different stakeholders ▪ **Low budget** is allocated for export promotion compared to benchmarks ▪ Process for approval of new export programs and improvement of old programs is **lengthy**
3 **SME support**	▪ IDAL ▪ Ministry of Economy and Trade	▪ **Source of capital** for SMEs is **volatile** and **highly dependent on external entities** (EU grant and world Bank loan are temporary sources of capital funding) ▪ **Little/no support** is provided for **access to market** and **access to talent/capabilities**
4 **Regional development**	▪ IDAL ▪ Council of the South ▪ Chamber of Commerce	▪ No clear approach to spur economic growth in under-developed regions ▪ IDAL's proposal to **change the existing incentive scheme** to better drive **investments in the regions** is pending approval

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    - Infrastructure
    - Other Enablers
  - Flagship Projects
  - Implementation Mechanism

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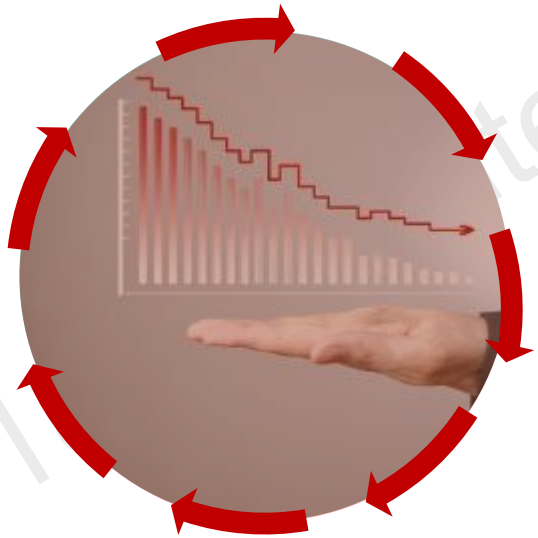
RECAP: Lebanon's economic challenges necessitate a change in its economic model

… no incremental wealth generation …
- *30% GDP per capita growth in last 40 years vs. 120% world average*
- *8% in last 7 years vs.14% world average[1]*

… driving a low contribution of productive sectors
- *14% of incremental GDP 2010-16 vs. 20% benchmark[10]*

and limiting job creation and productivity further perpetuating the cycle of …



… creating an unconducive business environment
- *Drop in 28 positions on Doing Business since 2012 currently ranking 133/190[9]*

resulting in limited investments into productive areas …
- *FDI drop by 30% from 2010 to 2017)[2]*

… with a volatile growth
- *volatility ~1.4x that of OECD since 1992[1]*

driven by concentrated diaspora & regional inflows and sporadic donors' funds …
- *40% growth 05-10 vs 3% 10-15 in BoP inflows[2]*

…and these inflows are mainly channelled into less productive sectors
- *flows mainly into consumption & & real estate[3] …*

… and into financing the governments' increasing size and indebtedness
- *Salaries 9% GDP vs. 6% benchmark[4]*
- *Fiscal deficit of 8% of GDP[5]*
- *3rd highest Debt to GDP at 149%*

leaving little room for CapEx …
- *4% of budget in last 10 years[5] vs. 10-20% benchmark[6]*

… resulting in sub-par infrastructure
- *113th out of 137 countries[7]*

compounded with low legislative productivity
- *12 laws for business not passed*

and high perceived corruption …
- *146th out of 180 countries[8]*

2018 Internal

1 IMF World Economic Outlook Database April 2018 2 BDL Balance of Payments 3 Interviews
4 IMF Article IV of selected countries - benchmarks include Egypt, Jordan, Switzerland, UAE, Turkey, Hong Kong, Georgia, Romania, does not include 2018 salaries increase
5 MoF annual report & CAS GDP 6 IMF Article IV Singapore & UAE 7 WEF - Global Competitiveness Report 2017-2018
8 Corruption Perceptions Index 2017 9 World Bank - Ease of Doing Business 10 CAS GDP, IHS Markit Benchmarks are Egypt, Morocco, UAE, Korea, Singapore, Switzerland

Countries with Lebanon's characteristics have successfully applied a clear recipe to develop their economy

Countries with similar characteristics as Lebanon have managed to create sustainable economic growth

- Small territory with large neighbors
- Limited population
- Limited natural resources
- Large diaspora *(for some countries)*

Ireland

Hong Kong

Georgia

Switzerland

Singapore

KEY SUCCESS FACTORS

Develop an integrated National Vision / Economic Plan, consistently trickled down to stakeholder-level action plans with a clear & agreed upon execution mechanism

Double down on high value-add productive sectors which are knowledge intensive, have a high multiplier effect and are more resilient

Develop distinctive human capital in line with future needs of the economy

Ensure an efficient and effective government supported by disciplined macro policies (monetary and fiscal)

Provide a competitive business environment and infrastructure

Establish an open economy heavily focused on growing the external sector *(overall balance of payments with emphasis on exports)*

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To overcome the challenges, Lebanon should develop a National Vision guided by consistent principles

1. **Focus the** government resources and efforts on priority areas

2. **Improve the business environment** by reducing cost of doing business, addressing corruption in the public sector and improving overall business environment, eventually raising Lebanon's competitiveness levels

3. **Diversify the Lebanese economy** sectorally and by source geographic inflows thereby reducing the volatility caused by exogenous factors

4. **Develop high value-add future-proofed productive sectors,** relieving the distress that has been caused by a large current account deficit

5. **Ensure a healthy public sector** through fiscal discipline including improved collection and rational spending, thereby controlling public debt

20181022 Internal

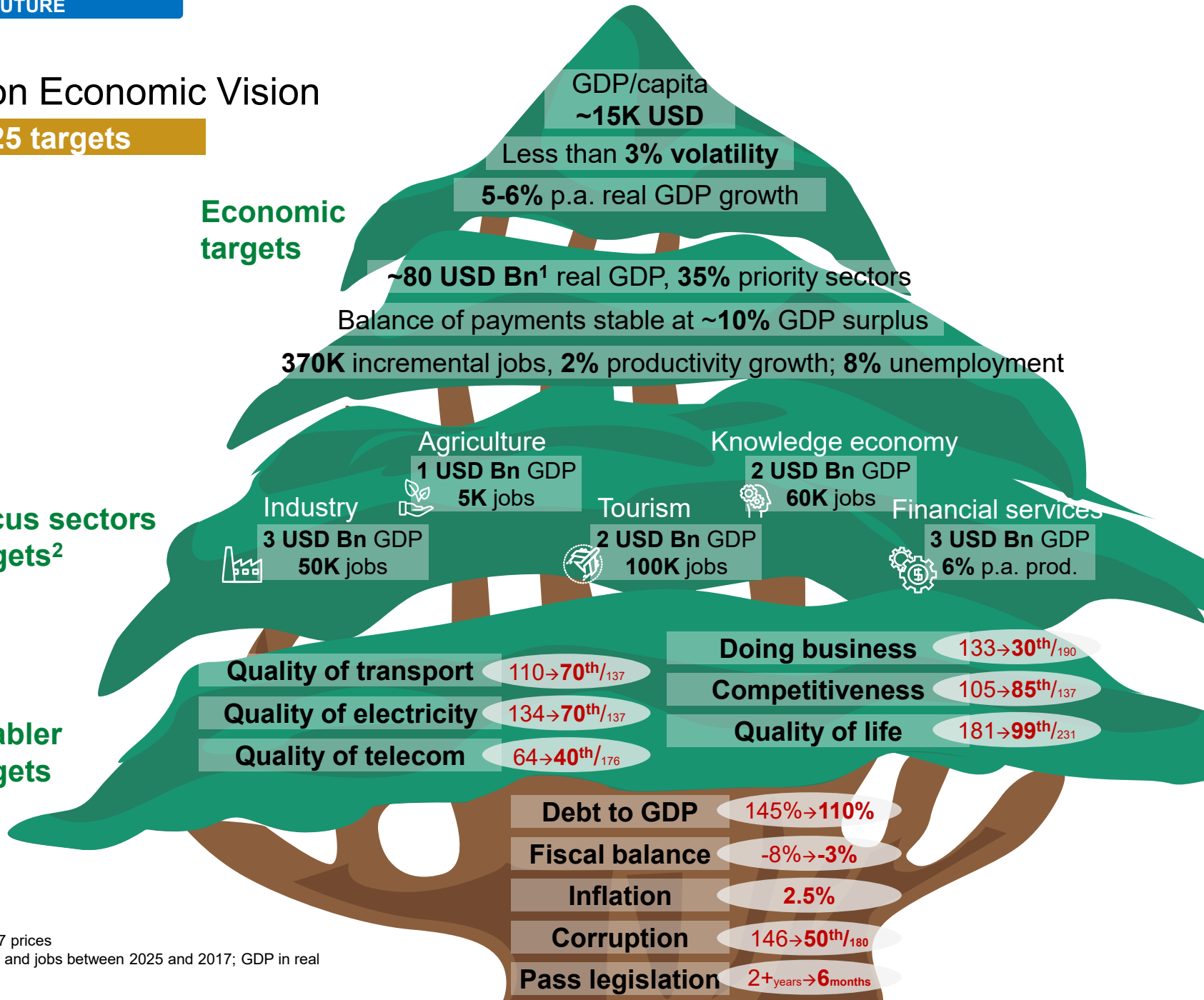
The National Economic Vision 2025 would build on Lebanon's unique economic and social characteristics

	Vision 2025	Vision 2035
1	**A re-ignited productive economy** supported by overhauled business environment	**A high income diversified economy** with a globally competitive and distinctive economic footprint
2	**Jumpstarted productive engines**, with demonstrated showcases of success (e.g. SEZs, landmark mega projects)	**A knowledge-based high-value economy** with established areas of excellence and a diversified source of inflows
3	**Fixed hygiene factors of economic competitiveness** (e.g. Infrastructure, conducive business environment) and vibrant cities	**Sustainable leveraging of scarce resources** (e.g. water, land)
4	**Fiscally disciplined and accountable government** and efficient public administration	**Healthy macro fiscal position** and global economic influence beyond borders

PROMISING FUTURE

Lebanon Economic Vision

2025 targets



Economic targets

GDP/capita **~15K USD**

Less than **3% volatility**

5-6% p.a. real GDP growth

~80 USD Bn[1] real GDP, **35%** priority sectors

Balance of payments stable at **~10%** GDP surplus

370K incremental jobs, **2%** productivity growth; **8%** unemployment

Focus sectors targets[2]

Agriculture
1 USD Bn GDP
5K jobs

Knowledge economy
2 USD Bn GDP
60K jobs

Industry
3 USD Bn GDP
50K jobs

Tourism
2 USD Bn GDP
100K jobs

Financial services
3 USD Bn GDP
6% p.a. prod.

Enabler targets

Quality of transport	110→**70th**/137
Quality of electricity	134→**70th**/137
Quality of telecom	64→**40th**/176
Doing business	133→**30th**/190
Competitiveness	105→**85th**/137
Quality of life	181→**99th**/231
Debt to GDP	145%→**110%**
Fiscal balance	-8%→**-3%**
Inflation	**2.5%**
Corruption	146→**50th**/180
Pass legislation	2+years→**6**months

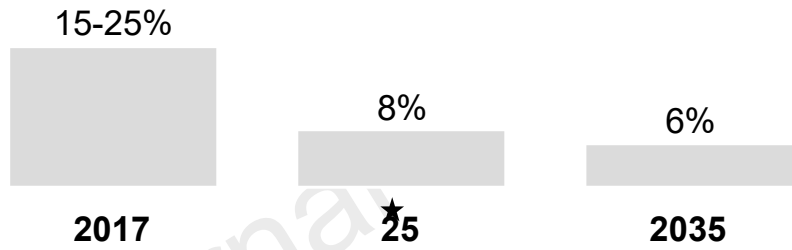
1 Real GDP in 2017 prices
2 Incremental GDP and jobs between 2025 and 2017; GDP in real 2017 prices

Targets – Overall macro-economic (1/2)

Plays	Metric	Target values		
Overall macro-economic targets	**GDP per Capita in 2017 prices** K USD per capita	12	16	22
	GDP volatility %	3.3%	<3.0% ★	<2.0%
	Real GDP Growth %	1-3%	5-6%	4-5%
	Balance of Payments %GDP	5%	10%	15%
	Incremental number of Lebanese jobs K	N/A **2017**	370 **25**	TBC **2035**

Targets – Overall macro-economic (2/2)

Plays	Metric	Target values
Overall macro-economic targets	Unemployment rate %	15-25% (2017) 8% (25) 6% (2035)



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Five sectors would present the highest economic potential for Lebanon

Core engines
Economic contribution covered within core engines

Rural
Semi-urban
Urban

Positive
Neutral
Negative

PRELIMINARY

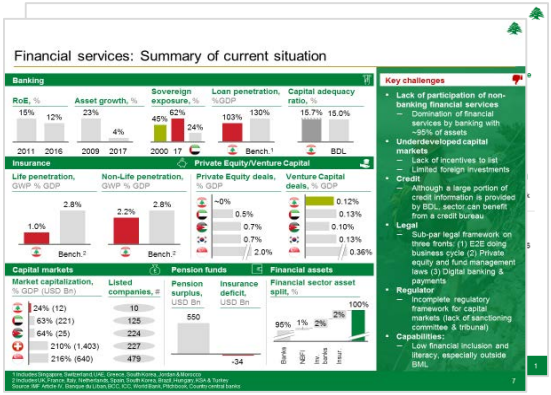
2025 Direct Potential

	Sector	A Macro Aspirations: A1 Potential additional GDP USD Bn	A2 Potential job creation K Jobs [1]	Induced job multiplier	A3 Regional balance & distribution	B Com-parative advantage: Lebanon's comparative advantage	C Size of the opportunity: Impact on Balance of Payments USD Bn	BoP Diversification
High comparative advantage, macro potential and BoP impact	Tourism	1.6	40	2.1			1.4	Global
	Knowledge Economy	2.2	48	1.5			1.1	Global
	Financial Services	1.8	12	1.4			1.0	Diaspora
High BoP potential and regional balance	Industry	0.7	23	2.7			0.3	Global
	Agriculture	0.5	1	1.2			0.5	Global
Niche plays with BoP impact	Diaspora	N/A	N/A	N/A			N/A	
	Education	0.7	19	1.3			0.1	Regional & diaspora
	Healthcare	0.8	18	1.3		Medical tourism ~500 USD Mn -0.2		Regional & diaspora
Negative to low BoP impact	Oil & Gas	0	0	1.7			0	N/A
	Real Estate & Construction	1.6 Excluding CIP	10	2.3		-0.1		Regional & diaspora
	Retail & Commerce	1.5 -7		1.2		-1.4		Domestic
	Transport & Logistics	0.4	3	1.5			0	Regional
	Power & Water	0.2	1	2.2			0	

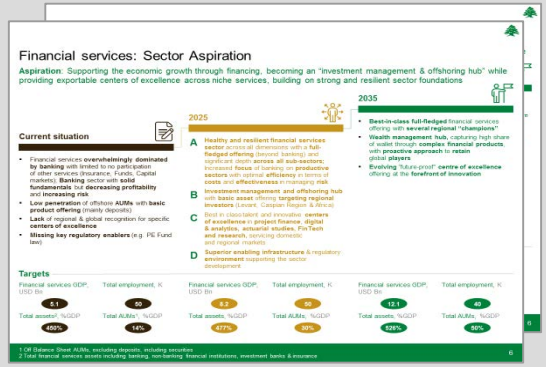
1 Direct Impact Medium & High-Skill jobs

Developing the priority sectors should follow the targets and initiatives defined in the Economic Vision

Diagnostics conducted for 20 sectors



Sector aspirations (2025 and 2035) for 6 sectors with target metrics to be measured



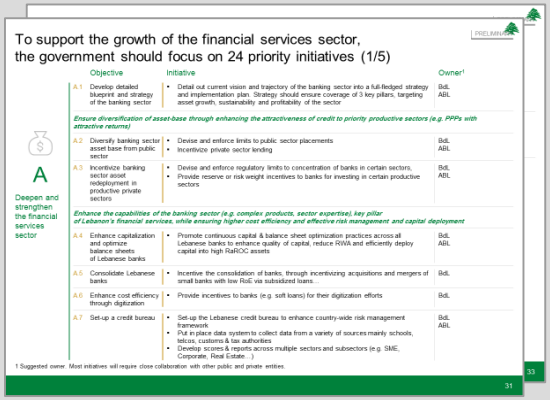
1 Diagnostic summary

2 Sector aspiration

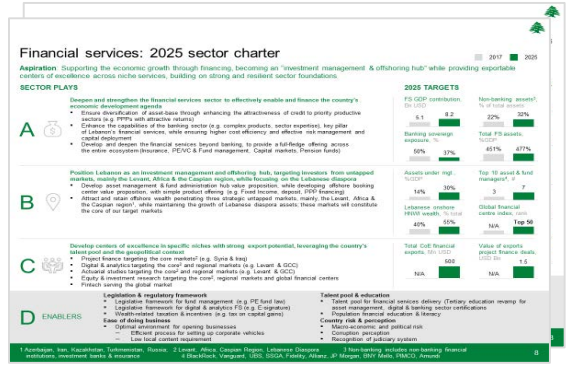
3 Sector charter

4 Detailed initiatives & priorities

Detailed list of 160 initiatives required to achieve sector aspiration



Detailed sector strategic plays (3 to 5 plays per sector) and overarching enablers



Progress on sector aspirations should be monitored through specific performance indicators 1/2

2017 2025

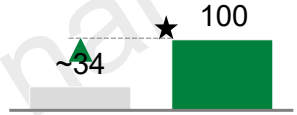
2025 ASPIRATIONS

SECTOR PLAYS

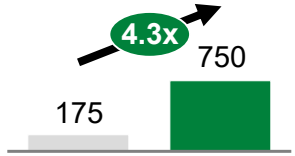
AGRICULTURE: THE MIDDLE-EAST'S HIGH-VALUE CROPS BREADBASKET

- **Commercial farmers:** Unlock regional export potential of commercial farmers by improving quality standards and transitioning to higher-value crops (e.g. Avocado)
- **Smallholder farmers:** Improve productivity of smallholder farmers in existing crops through technology and adoption of modern methods
- **Medicinal Cannabis:** Assuming government policy in place, explore legalization of cannabis cultivation in the aim of producing high value added medicinal products with export focus underpinned by the corresponding regulatory framework

Share of high-volume crops (1k+ hectare) with top-quartile yield %



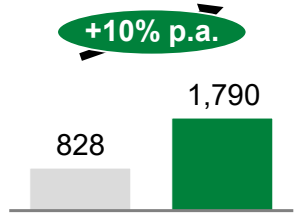
Agriculture exports *(excluding processed food)*. USD mn (2017 prices)



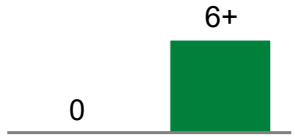
INDUSTRY: NICHE REGIONAL LEADER IN CREATIVE AND HIGH VALUE INDUSTRIES

- **Focus subsectors:** Focus efforts on 4 subsectors: food processing, consumer-facing products (e.g. Perfumes, cosmetics), pharma, and pre-fabricated construction & furniture (targeting Syria and Iraq)
- **Zones:** Develop next-generation Industrial Parks, providing highly competitive environment (best of Lebanon) to industrialists

Exports of prioritized subgroups[1], USD mn



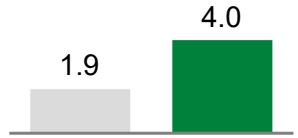
Number of functioning industrial zone



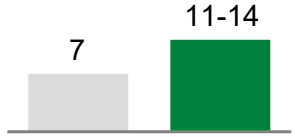
TOURISM: THE UP-AND-COMING MEDITERRANEAN RIVERIA

- **Leisure tourism**: Focus on leisure tourism in 15 source countries with distinctive core offering in City&Entertainment (including gaming), Sun&Sea and Culture across three anchor destinations and niche offering in ultra-luxury eco-tourism
- **Business tourism:** Focus Meeting and Incentives business travelers in GCC countries
- **Medical tourism:** Develop specialized medical tourism and wellness offerings, targeting regional markets

Number of leisure tourists, Mn



Number of hotel rooms in anchor destinations, K



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Progress on sector aspirations should be monitored through specific performance indicators 2/2

2017 2025

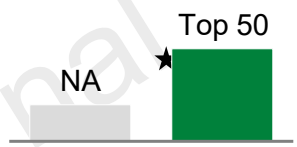
2025 ASPIRATIONS

SECTOR PLAYS

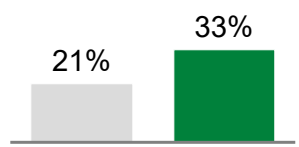
FINANCIAL SERVICES: AN OFFSHORE HUB TARGETING MID-HIGH NET WORTH INDIVIDUALS

- Develop **digital banking** as an alternative delivery model to expand reach of sector and improve efficiency
- Deepen & strengthen the FS sector to enable and finance the country's **EconDev agenda**
- Position Lebanon as an **investment management and offshoring hub**, targeting mid-high net worth individuals
- Develop **centers of excellence** in specific niches (e.g. investment research, actuarial studies, digital analytics)

Global financial centre index, rank



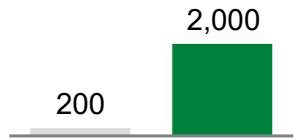
Non-banking assets[3], % of total assets



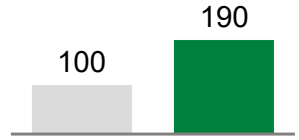
KNOWLEDGE AND CREATIVE ECONOMY: THE SILICON VALLEY OF THE MIDDLE EAST

- Leverage technology to grow productivity in the priority sectors, becoming an **innovation-driven economy**
- Position Lebanon as a leading regional rural cities destination for "high-value add" **outsourcing services** and a global hub for research & analytics
- Become a regional **creative hub**, including multimedia, productive content development
- Attract regional students across the board of **education majors**

Total Number of Start-ups,#



Yearly VC funding, USD Mn



DIASPORA: AN ENGAGED & ACTIVE DIASPORA

- **Seed:** Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy (extended market to Lebanon) while developing intelligence of stock and trend of emigrants
- **Radiate:** Strengthen the bond between Lebanon and its diaspora across all generations through promoting national identity abroad
- **Reap:** Leverage the diaspora network to drive economic growth through a) economic contribution of high potential diaspora, b) access to export markets, c) directing remittances to development projects
- **Advocate:** Harness and formalize advocacy i.e. lobbying power in center of the world through establishing a diaspora advisory board of prominent diaspora members

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Agriculture – sector aspiration

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

Current situation

- Dominance of **low-value crops**, including **tobacco** which is cultivated at a loss
- **Low productivity** for many crops *(e.g. olives)*, due to outdated techniques and low investment in technology
- **Inefficient local markets** in which farmers are vulnerable to unfair practices *(e.g. by markets & distributors)*, partly due to weak cooperative system
- **Poor access to global markets** such as the EU, largely due to non-compliance with international standards *(e.g. SPS for potatoes)* & weak post-harvest infrastructure
- Widespread **illegal cultivation of cannabis**

2025

- **A** Higher prominence of **high-value crops** *(e.g. Avocado)*, with reduced cultivation of tobacco and other low-value crops
- **B** **High levels of productivity** for major crops, enabled by improved techniques & application of modern agriculture technologies
- **C** Higher levels of **local market transparency** which further empower farmers
- **D** Improved **global recognition & acceptance** of Lebanese agriculture products as high-quality food products
- **E** Emergence (potentially) of **controlled areas with legal cultivation of cannabis** for export-oriented medical purposes *(requires aligned policy & regulatory framework)*

2035

- **Fully optimized** crop portfolio which maximizes returns for farmers *(while also accounting for food security objectives)*
- **Best-in-class productivity** across most crops, leveraging frontier advances & technologies across the agriculture value chain
- Very well-organized and effective local market
- **Well-established global reach** of Lebanon's agricultural products, with an established **reputation for premium quality**
- **Near-elimination of illegal cannabis cultivation**, with majority of growers being licensed and overseen by the government *(requires aligned policy & regulatory framework)*

2018-2022 Internal

Targets

Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands
1.6	210	2.2	214	3.2	~210

Agriculture – 2025 and 2035 targets (1/2)

Plays	Metric	Target values		
General targets	**GDP In Real 2017 prices** USD Bn	1.6	2.2	3.2
	Number of jobs K	210	214 ★	214
Modern methods	**Share of high volume crops (1k+ hectares) with top-quartile yield compared to benchmarks** %	34%	100%	TBC
Improve food markets	**Farmer satisfaction** %	**Metric to be created**		
High-value crops	**Incremental high value crops agriculture land** Hectares	0	10,000	TBC
		2017	**25**	**2035**

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Agriculture – 2025 and 2035 targets (2/2)

Plays	Metric	Target values		
Export potential	**Agriculture exports in 2017 prices** USD Mn	175	750	TBC
Cannabis	**Legal cannabis cultivation** Hectares	0	★ 1,000	TBC
		2017	**25**	**2035**

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Agriculture – 2025 sector charter

2017 2025

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

SECTOR PLAYS

2025 TARGETS

A

Promote and support the application of modern methods and technologies to improve yield and quality of agricultural produce

- Leverage *(and strengthen)* research and extension service capabilities to drive adoption of modern methods *(e.g. to limit overuse of fertilizers & pesticides, adopt best-practice olive harvest techniques, etc.)*
- Facilitate financing of technology installations which can improve yield and quality *(incl. irrigation systems)*

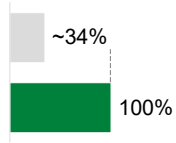
B

Improve local (and regional) food markets, with a focus on transparency and efficiency

- Increase transparency *(e.g. pricing)* of wholesale markets and distributors' activities through digital solutions and improved regulatory oversight
- Strengthen cooperatives' ability to market goods to local and regional markets *(e.g. through targeted capability building efforts)*

Focused on family-based farmers

Share of high-volume crops (1k+ hectare) with top-quartile yield %



Improved farmer satisfaction regarding access to local markets & practices of distributors / wholesale markets *(New metric required)*

C

Support the transformation and transition of agricultural cultivation towards higher-value crops *(e.g. tomatoes, avocadoes)* and livestock, away from Tobacco and other low-value crops *(e.g. cereals, olives)*

- Conduct a comprehensive value chain analysis across all agricultural products to determine optimal crop allocation by region *(including identification of target alternative crops, with a focus on tobacco regions)*
- Introduce a new (opt-in) subsidy program for Tobacco farmers which allows transition to alternative crops
- Leverage *(and strengthen)* research and extension services to support farmers through crop transitions

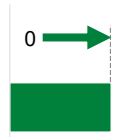
D

Unlock export potential by facilitating access to international markets

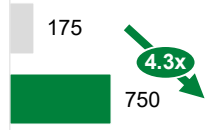
- Increase compliance of Lebanese farms and agriculture facilities *(e.g. packaging facilities)* with international standards to overcome SPS export constraints
- Facilitate expansion & improvement of post-harvest infrastructure *(e.g. cold storage & packaging facilities)*
- Support farmers in identifying & reaching high-potential frontier markets *(e.g. in Eastern Europe)* and adapting cultivation practices *(e.g. seed species)* to meet market preferences

Focused on commercial farmers

Agricultural land transformed towards higher-value crops Hectares *(since 2017)*



Agriculture exports *(excluding processed food).* USD mn (2017 prices)

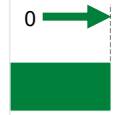


E

Assuming government policy is in place, explore legalization of cannabis cultivation in the aim of producing high-value-added medicinal products with export focus underpinned by a corresponding regulatory framework

- Draft a comprehensive regulatory framework for cannabis *(e.g. covering cultivation, processing, export, etc.)*
- Assess feasibility of building the institutional capabilities that would be required to implement regulatory framework *(e.g. licensing, quality assurance, etc.)*

Legal cannabis cultivation *hectares*



Note: Additional analysis required to assess target

X GENERAL ENABLERS

X.1 Government services
- Research capabilities
- Extension services
- Capability-building for cooperatives
- Safety controls & quality assurance

X.2 Export support
- Export promotion
- Export development

X.3 Human capital
- Technical & vocational training
- Employment attractiveness *(e.g. for rural youth)*

X.4 Legislation & regulation
- Water law & regulatory framework
- Cannabis regulatory framework

Arabsoft Interna

Agriculture – priority initiatives (1/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
B Improving Local Food Markets	AGR. B.1	Improve efficiency and transparency in local markets, including wholesale markets and distributors	▪ Ministry of Agriculture	
C Transformation to higher value crops	AGR. C.1	Develop a crop transformation strategy	▪ Ministry of Agriculture	
	AGR. C.2	Introduce an alternative program for Tobacco farmers	▪ MoET	
	AGR. C.3	Develop a comprehensive integrated view on subsidy programs	▪ MoET	
D Export promotion	AGR. D.1	Support export readiness of Lebanese products	▪ Ministry of Agriculture	
E Cannabis production & export	AGR. E.1	Initiate the development of a cannabis strategy across the whole value chain	▪ Ministry of Agriculture	
X.1 Government Services	AGR. X.1.1	Revamp extension services	▪ Ministry of Agriculture	ABCDE
	AGR. X.1.2	Strengthen scope and scale of agricultural research	▪ LARI	ABCDE
	AGR. X.1.3	Launch a program to strengthen co-operatives' capabilities	▪ Ministry of Agriculture	ABCDE
	AGR. X.1.4	Strengthen the quality assurance ecosystem including food inspection services	▪ Ministry of Agriculture	ABCDE
	AGR. X.1.5	Initiate comprehensive exercise for agriculture land registration	▪ Ministry of Agriculture	ABCDE

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Agriculture – priority initiatives (2/2)

NON-EXHAUSTIVE

	Objective	Owner[1]	Plays
X.2 Export Support	AGR. X.2.1 Facilitate capital investment in Agriculture	▪ IDAL	ABCDE
X.3 Human Capital	AGR. X.3.1 Develop agriculture human capital	▪ Ministry of Agriculture	ABCDE
X.4 Legislation & Regulation	AGR. X.4.1 Ensure water sustainability through improved management & conservation efforts ★	▪ Ministry of Energy & Water	ABCDE
	AGR. X.4.2 Improve formalization of agriculture sector and increase protection of farmers	▪ Ministry of Agriculture	ABCDE

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Agriculture – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to agriculture

	Objective	Initiative
Fin.X.3.1	Facilitate local lending for agriculture	▪ Refer to initiative X.3.1 under Financial Services
Leg.2.10	Initiate the development of a cannabis regulatory framework (if aligned with national policy)	▪ Refer to initiative 2.10 under Legislation ★
Leg.2.11	Protect groundwater resource (Water Law 221/2000)	▪ Refer to initiative 2.11 under Legislation
Leg.2.12	Increase transparency on food wholesale markets and distributions	▪ Refer to initiative 2.12 under Legislation
Leg.2.13	Re-direct tobacco subsidies towards more productive areas	▪ Refer to initiative 2.13 under Legislation
Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Refer to initiative A.1 under Export & Branding
Exp.A.2	Expand export promotion	▪ Refer to initiative A.2 under Export & Branding

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20181022

Industry – sector aspiration

Aspiration: A niche regional leader in creative and high-value industries and hub for regional processing

Current situation

- **Limited and unfocused government support**, with a decline in output and exports among most subsectors *(with notable exception of food products)*, largely driven by infrastructure-caused non-competitiveness
- **Absence of real industrial zones** which provide the infrastructure and services that are needed to achieve competitiveness

2025

A Emergence of **niche growth subsectors** which achieve high levels of competitiveness and growth through targeted government support *(e.g. pharma, food processing, perfumes)*

B Development of **multiple successful national integrated industrial parks (NIIPs)** which provide a significant competitive edge for industrial tenants *(including a zone focused on reconstruction of Syria)*

2035

- **Globally competitiveness and recognized excellence** in niche subsectors which optimally capitalize on Lebanon's strengths
- **Best-in-class** industrial parks offering world-class infrastructure and services

20181022 Internal

Targets

Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands
4.6	185	8.0	240	11.7	250

Industry – 2025 and 2035 targets

Plays	Metric	Target values		
General targets	GDP In Real 2017 prices USD Bn	4.6	8.0	11.7
	Number of jobs K	185	240 ★	250
High-potential sectors	Exports of prioritized sub-groups in 2017 prices USD Mn	828	1,790	TBC
National Integrated Industrial Parks	Number of functioning industrial zones #	0	6	TBC
		2017	**25**	**2035**

Industry – 2025 sector charter

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

SECTOR PLAYS

A

Prioritizing (and focusing government intervention efforts) on high-potential subsectors which capitalize on Lebanon's strengths, including:

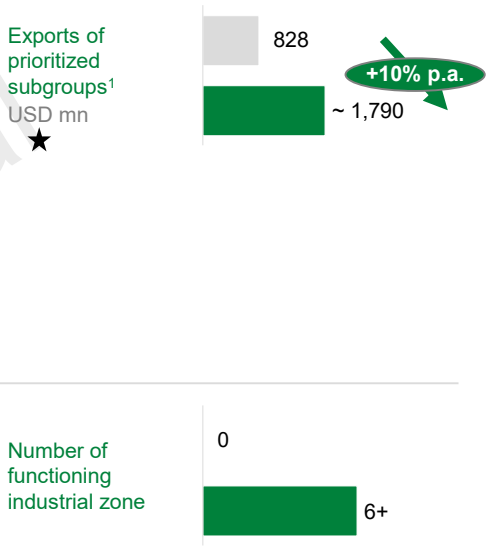
- **Food-processing industries** which rely on local agricultural production, with a focus on premium packaged goods based on Lebanon's fruit, vegetable, nut and dairy products
- **Consumer-facing products which rely heavily on creative design & marketing abilities**: jewellery, perfumes & cosmetics, soaps & sanitation products, and napkins / sanitary goods *(with a focus on high-end products which capitalize on Lebanon's positive image in fashion / design / etc.)*
- Industries which capitalize on the upcoming **post-conflict reconstruction** in Syria and Iraq, with a focus on subsectors where Lebanon can develop a competitive advantage: pre-fab manufacturing & furniture
- Subsectors which require **high skill levels**, especially in healthcare-related fields, with a focus on pharmaceuticals and cannabis-based medical products *(e.g. cannabinoids)*

B

Developing next-generation National Integrated Industrial Parks (NIIPs) to serve as areas of excellence which overcome comparative disadvantages

- Offerings to include world-class infrastructure *(including dedicated power & utilities)* as well as comprehensive support services *(including regulatory one-stop shops)* and sector-specific infrastructural support *(e.g. cold-storage facilities for food processing tenants)*
- Immediate focus should be on developing existing plans (Tripoli Special Economic Zone, three industrial zones proposed by MoI / UNIDO) as well as an additional zone focused on construction technology
  - There are several opportunities to strengthen existing plans for industrial zones (MoI / UNIDO), which must be assessed
  - Strong governance and oversight is needed to ensure coordination between industrial zones, Tripoli SEZ, and the broad economy, and to minimize cannibalization / destructive competition
- It will also be necessary to plan and develop additional industrial zones in other regions *(e.g. Beirut, southern Lebanon)* which focus on priority subsectors which are not covered by current industrial zone plans

2025 TARGETS



X GENERAL ENABLERS

X.1 Quality assurance
- Quality standards
- Compliance & enforcement

X.2 Financing
- Kafalat Industry
- Investment attraction

X.3 Human capital
- Technical & vocational training
- Supply-demand matching

X.4 General enablers
- Ease-of-doing-business regulations
- Infrastructure (e.g. power)

1 Food processing, furniture, jewellery, napkins & sanitation, perfumes & cosmetics, pharmaceuticals, prefabricated buildings, soaps & sanitation

20181022 Informal

Industry – priority initiatives (1/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
B National Integrated Industrial Parks	IND. B.1	Set-up governance structure to ensure strategic oversight and alignment among industrial zones	▪ Ministry of Industry	
	IND. B.2	Strengthen value proposition of planned zones through specialization and additional services	▪ Ministry of Industry	
	IND. B.3	Accelerate launch of planned zones in Tripoli, ★ Terbol, Baalbek and AlQaa	▪ Ministry of Industry	
	IND. B.4	Develop next-generation construction technology zone, potentially in AlQaa, targeting Iraq and Syria	▪ Ministry of Industry	
	IND. B.5	Plan second wave of industrial zones in Mount Lebanon, Beirut and the South	▪ Ministry of Industry	
	IND. B.6	Assess potential for dry port at international highway crossing (e.g. near Chtoura)	▪ Ministry of Industry	
X.1 Quality Assurance	IND. X.1.1	Adopt, enforce, and support compliance with industry quality standards	▪ LIBNOR	AB
X.2 Financing	IND. X.2.1	Strengthen investment attraction efforts (focused on domestic and diaspora investments)	▪ IDAL	AB
	IND. X.2.2	Activate investment article of law 360	▪ IDAL	AB

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Industry – priority initiatives (2/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
X.3 Human Capital	IND. X.3.1	Increase availability of skilled technical labor (e.g. reorienting & strengthening TVET)	▪ Ministry of Industry	AB
X.4 General Enablers	IND. X.4.1	Selectively pursue new trade agreements (WTO, Agadir) ★	▪ Ministry of Economy & Trade	AB
X.4 General Enablers	IND. X.4.2	Improve customs access (incl. duration of physical inspections)	▪ Ministry of Interior	AB

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Industry – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to industry

	Objective	Initiative
Fin.X.3.4	Enhance access to finance to support industrial SMEs (focused on priority industry sectors)	▪ Refer to initiative X.3.4 under Financial Services
Leg.2.15	Resolve regulatory obstacles of industrial parks (e.g. amending Ministerial Decree 1660)	▪ Refer to initiative 2.15 under Legislation ★
Inf.3	Reform national infrastructure (incl. power, logistics, utilities)	▪ Refer to initiative 3 under Infrastructure
Inf.5	Prioritize financing to existing industrial zones (advancing to CIP cycle 1)	▪ Refer to initiative 5 under Infrastructure
Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Refer to initiative A.1 under Export & Branding
Exp.A.2	Expand export promotion	▪ Refer to initiative A.2 under Export & Branding

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20181022

Tourism – sector aspirations

Aspiration: A revived Riviera destination offering a unique combination of unrivalled entertainment, immersive culture and breath-taking sea views with regional niche offerings in business M&I segment and specialized medical tourism

Current situation

- **Unclear branding** of Lebanon and **tarnished image** in the media
- **Unfocused efforts in targeting source markets**
- **Lack of prioritization of product offering** and limited range of "ready-to-market products"
- **Lack of specialization** of hospitals in specific/medical services to attract medical tourists

2025

A **Fast growing tourism sector in 15 source countries with distinctive core tourism offering in "City&Entertainment", "Sun&Sea" and "Culture" across three anchor destinations and niche offering in ultra-luxury eco-tourism**

B **Preferred destination for Meeting and Incentives business travelers in GCC countries**

C **Clear branding of Lebanon in specialized medical tourism services targeting regional markets**

2035

- **Globally renowned** destination for **city breaks**, with world-class **gaming** and **entertainment** offerings
- Unique destination for regional and global **exhibition and conferences**
- **Centre of excellence** in specialized medical services
- **Sustainable** and **environmentally-friendly** tourism destination

2018/2022 Internal

Targets

	Current situation	2025	2035
Tourism[1] GDP, USD Bn	1.6	3.7	5.4
Total employment, K	89	185	211
Total number of tourists[2], Mn	1.9	4.2	6-7

1 GDP contribution of hotels and restaurants is used as a proxy for tourism GDP, does not fully include contribution of medical tourism which will be mostly captured in the healthcare sector

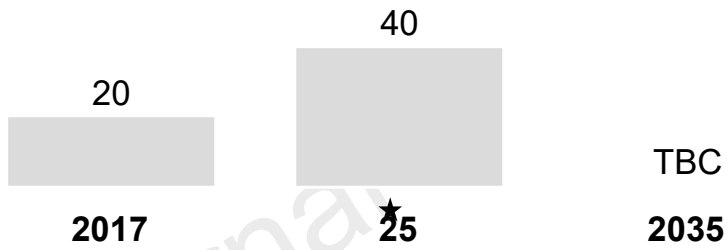
2 Leisure, business and medical tourism

Tourism – 2025 and 2035 targets (1/2)

Plays	Metric	Target values		
General targets	**GDP In Real 2017 prices** USD Bn	1.6	3.7	5.4
	Number of jobs K	89	★ 185	211
	Total number of tourists Mn	1.9	4.2	6.5
Leisure tourists	**Total number of leisure tourists** Mn	1.9	4.0	TBC
MICE tourists	**Total number of MICE tourists** Mn	N/A	0.2	TBC
		2017	**25**	**2035**

Tourism – 2025 and 2035 targets (2/2)

Plays	Metric	Target values
Medical tourists	**Total number of medical tourists** K	20 (2017) 40 (25) TBC (2035)



20181022 Internal

Tourism – 2025 sector charter

2017 2025

Aspiration: A revived Riviera destination offering a unique combination of unrivalled entertainment, immersive culture and breath-taking sea views with regional niche offerings in business M&I segment and specialized medical tourism

SECTOR PLAYS

A

Focus on attracting leisure tourists from 15 source countries by building core offerings in "City&Entertainment" ,"Sun&Sea" and "Culture" in three anchor destinations (Beirut, Byblos and Sour) and developing ultra-luxury "eco-tourism" hubs

- Grow number of leisure visitors by focusing on 15 countries in three types of markets: **Arab and GCC countries** (KSA, UAE, Kuwait, Iraq, Jordan and Egypt), **core European markets** (France, Germany, UK, Italy, Sweden, Turkey) and **countries with high number of Lebanese diaspora** (US, Canada, Australia) ★
- Build core **tourism offering in "City&Entertainment","Sun&Sea" and "Culture"** by focusing product development, infrastructure, incentives and marketing resources around the **three anchor destinations: Beirut, Byblos and Sour**; these destinations will be **"hub and spoke**" for ancillary offering in the hinterland
- Take a "bet" on developing **eco-tourism hubs** across **authentic** (B&B) **and ultra-luxury** (resorts) segments

B

Grow the Meeting & Incentive segment by focusing on 5 GCC destination (KSA, UAE, Kuwait, Qatar and Iraq) and promoting Lebanon as a high value for money destination for business tourists complimented with an attractive leisure offering

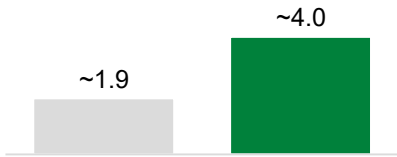
C

Position Lebanon as a "convenient" destination targeting regional medical tourists with a clear value proposition for high quality specialized medical services combined with an unparalleled leisure offering

- Incentivize the specialization of hospitals and promote Lebanon as a center of excellence in selected procedures complimented with unparalleled leisure tourism offering
- Target outbound medical tourists from regional source countries (Arab and GCC countries)

2025 TARGETS

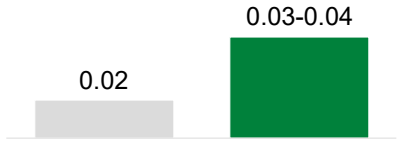
Number of leisure tourists, Mn



Majority of growth in the tourism sector would come from leisure tourists

Number of business tourists, Mn

Number of medical tourists, Mn



X ENABL-ERS

Infrastructure and connectivity

- Airport expansion
- Urban planning and transport infrastructure revamp
- Flight connectivity
- Hotel room capacity and quality

Marketing

- Marketing budget
- Branding
- Targeted marketing
- Media and perception management

Organization and regulations

- Investments zones
- Enabling legislations
- Tourism board and stakeholder cooperation

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Tourism – priority initiatives (1/3)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
A Build core tourism offering in anchor destinations and set-up eco-tourism hubs	TOU.A.1	Develop tourist friendly anchor destinations	▪ MoPWT ▪ Municipalities	
	TOU.A.2	Enhance access to/from anchor destinations to enable "hub and spoke" model	▪ MoT	
	TOU.A.3	Create an entertainment and gaming hub in Jounieh / Byblos ★	▪ MoT	
	TOU.A.4	Create a vibrant calendar of event that matches top countries' preferences	▪ MoT	
	TOU.A.5	Clean Lebanon's beaches and beachfront	▪ MoT	
	TOU.A.6	Enhance the public beach offering in Byblos and Sour	▪ MoT	
	TOU.A.7	Develop and protect eco-tourism hubs	▪ MoT	
B Grow the M&I segment	TOU.B.1	Develop offering in the M&I segment	▪ MoT	
	TOU.B.2	Facilitate the issuance of bulk visas for corporates	▪ MoT	
C Position Lebanon as a "convenient" destination for medical tourism	TOU.C.1	Incentivize the specialization of hospitals	▪ MoPH	

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Tourism – priority initiatives (2/3)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
C	**Position Lebanon as a "convenient" destination for medical tourism**	TOU.C.2 Facilitate issuance of medical visas	▪ MoPH	
		TOU.C.3 Develop package offerings	▪ MoPH	
X.1	**Infrastructure and connectivity**	TOU.X.1.1 Increase accessibility to source markets (price and number of routes) ★	▪ MoT	ABC
		TOU.X.1.2 Improve tourist experience in airport upon arrival and departure	▪ MoPWT	ABC
		TOU.X.1.3 Attract one anchor tenant in ultra-luxury eco-tourism	▪ IDAL	ABC
		TOU.X.1.4 Encourage the development of authentic eco-tourism offering	▪ BDL	ABC
X.2	**Marketing and communication**	TOU.X.2.1 Increase marketing budget and ensuring direct access to budget	▪ MoT	ABC
		TOU.X.2.2 Launch an aggressive and targeted marketing campaign in source countries	▪ MoT	ABC
		TOU.X.2.3 Develop online presence for leisure and MICE tourism	▪ MoT	ABC

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Tourism – priority initiatives (3/3)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
X.3 Organization and regulation	TOU.X.3.1	Set up dedicated bodies to implement the marketing strategy and the initiatives in anchor destinations	▪ MoT	ABC
	TOU.X.3.2	Set up investment zones in anchor destinations	▪ IDAL	ABC
X.4 Data and analytics	TOU.X.4.1	Enhance research and data analysis to drive decision making ★	▪ MoT	ABC

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Tourism – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to tourism

	Objective	Initiative
Fin.X.3.3	Enhance access to financing to incentivize construction of new hotels and renovation of existing hotels in anchor destinations	▪ Refer to initiative X.3.3 under Financial Services
Inf.1	Expand the airport capacity	▪ Refer to initiative 1 under Infrastructure ★
Inf.4	Enhance access to/from anchor destinations to enable “hub and spoke” model	▪ Refer to initiative 4 under Infrastructure
Leg.2.1	Amend the regulatory framework to extend gaming licenses beyond Casino du Liban	▪ Refer to initiative 2.1 under Legislation
Leg.2.2	Introduce, update, enforce laws to ensure environment standards are met as per international standards	▪ Refer to initiative 2.2 under Legislation
Leg.2.3	Stimulate investments in the tourism sector (Law 360)	▪ Refer to initiative 2.3 under Legislation
Leg.2.4	Incentivize the specialization of hospitals	▪ Refer to initiative 2.4 under Legislation
Exp.B.1	Establish the country brand and manage the perceived instability in the country	▪ Refer to initiative B.1 under Export & Branding

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20181022 In

Financial Services – sector aspiration

Aspiration: Supporting the economic growth through financing, becoming an "investment management & offshoring hub" while providing exportable centers of excellence across niche services, building on strong and resilient sector foundations

Current situation

- Financial services **overwhelmingly dominated by banking** with limited to no participation of other services (Insurance, Funds, Capital markets); **Banking** sector with **solid fundamentals** but **decreasing profitability** and **increasing risk**
- **Low penetration** of offshore **AUMs** with **basic product offering** (mainly deposits)
- **Lack** of regional & global recognition for specific **centers of excellence**
- **Missing key regulatory enablers** (e.g. PE Fund law)

2025

A **Healthy and resilient financial services sector** across all dimensions with a **full-fledged offering** (beyond banking) and significant depth **across all sub-sectors;** Increased **focus** of banking on **productive sectors** with optimal **efficiency** in terms of **costs** and **effectiveness** in managing **risk**

B **Investment management and offshoring hub** with **basic asset** offering **targeting regional investors** (Levant, Caspian Region & Africa)

C Best in class talent and innovative **centers of excellence** in **project finance**, **digital & analytics, actuarial studies, FinTech and research,** servicing domestic and regional markets

X **Superior enabling infrastructure** & regulatory **environment** supporting the sector development (e.g. PE Fund Law)

2035

- **Best-in-class full-fledged** financial services offering with **several regional "champions"**
- **Wealth management hub,** capturing high share of wallet through **complex financial products**, with **proactive approach** to **retain** global **players**
- **Evolving** "future-proof" **center of excellence** offering at the **forefront of innovation**

2018 Internal

Targets

Current situation		2025		2035	
Financial services GDP, USD Bn, (2017 prices)	Total employment, K	Financial services GDP, USD Bn, (2017 prices)	Total employment, K	Financial services GDP, USD Bn, (2017 prices)	Total employment, K
4.8	50	7.8	50	11.4	40-50
Total assets[2], %GDP	Total AUMs[1], %GDP	Total assets, %GDP	Total AUMs, %GDP	Total assets, %GDP	Total AUMs, %GDP
433%	14%	490%	30%	540%	50%

Note: Increase in GDP and stagnation in employment driven by an increase in productivity from 100,000 USD/FTE to 170,000 USD/FTE or 6.5% CAGR

1 Off Balance Sheet AUMs, excluding deposits, including securities
2 Total financial services assets including banking, non-banking financial institutions, investment banks & insurance

Financial Services – 2025 and 2035 targets (1/5)

Plays	Metric	Target values		
General targets	GDP In Real 2017 prices USD Bn	4.8	7.8	11.4
	Number of jobs K	50	50 ★	45-50
	Total financial services assets %GDP	433%	490%	540%
Develop & strengthen financial services	Non-Banking assets %GDP	21%	33%	TBC
	Banking assets %GDP	412%	458%	TBC
		2017	**25**	**2035**

Financial Services – 2025 and 2035 targets (2/5)

Plays	Metric	Target values		
Develop & strengthen financial services	**Banking sovereign exposure** %	50%	37%	TBC
	Retail loan penetration %GDP	30%	50% ★	TBC
	Portion of loans to priority sectors %	19%	30%	TBC
	Non-life insurance GWP %GDP	2.2%	2.8%	TBC
	Life insurance GWP %GDP	1.0%	2.8%	TBC
		2017	**25**	**2035**

Financial Services – 2025 and 2035 targets (3/5)

Plays	Metric	2017	25	2035
Develop & strengthen financial services	Stock exchange market cap %GDP	24%	60%	TBC
	Number of listed companies #	10	20-25 ★	TBC
	Private equity deal value %GDP	0%	0.9%	TBC
	VC deal value %GDP	0.12%	0.19%	TBC
Investment management hub	HNW wealth remaining in Lebanon %	40%	55%	TBC

Financial Services – 2025 and 2035 targets (4/5)

Plays	Metric	2017	25	2035
Investment management hub	**Assets under management** %GDP	14%	30%	TBC
	Top 10 asset & fund managers #	3	★ 7	TBC
	Global financial centre index rank	N/A	**Top 50**	TBC
Centers of excellence	**Number of Fintech** #	15	45	TBC
	IFZ Global Fintech ranking rank	N/A	**Top 30**	TBC

Financial Services – 2025 and 2035 targets (5/5)

Plays	Metric	Target values		
Centers of excellence	**Value of project finance export deals** USD Bn	N/A	1.5	TBC
	Value of other CoEs exports USD Mn	N/A	★ 500	TBC
		2017	**25**	**2035**

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Note: The project finance and CoE exports targets are incremental vs. today

Financial Services – 2025 sector charter

2017 2025

Aspiration: Supporting the economic growth through financing, becoming an "investment management & offshoring hub" while providing exportable centers of excellence across niche services, building on strong and resilient sector foundations

SECTOR PLAYS

A

Deepen and strengthen the financial services sector to effectively enable and finance the country's economic development agenda

- Develop digital banking as an alternative delivery channel
- Ensure diversification of asset-base through enhancing the attractiveness of credit to priority productive sectors (e.g. PPPs with attractive returns)
- Enhance the capabilities of the banking sector (e.g. complex products, sector expertise), key pillar of Lebanon's financial services, while ensuring higher cost efficiency and effective risk management and capital deployment
- Develop and deepen the financial services beyond banking, to provide a full-fledge offering across the entire ecosystem (Insurance, PE/VC & Fund management, Capital markets, Pension funds)

B

Position Lebanon as an investment management and offshoring hub, targeting investors from untapped markets, mainly the Levant, Africa & the Caspian region, while focusing on the Lebanese diaspora

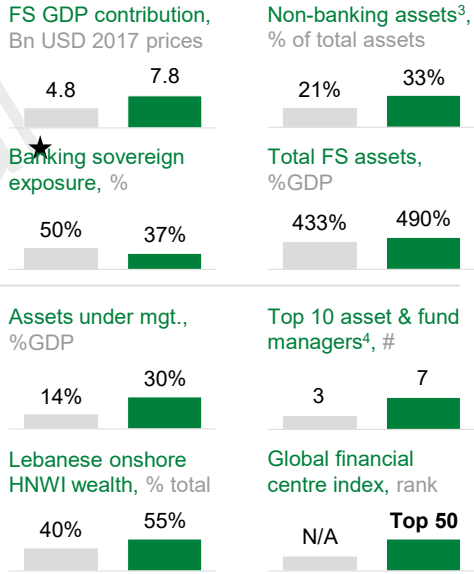
- Develop asset management & fund administration hub value proposition, while developing offshore booking center value proposition, with simple product offering (e.g. Fixed Income, deposit, PPP financing)
- Attract and retain offshore wealth penetrating three strategic untapped markets, mainly, the Levant, Africa & the Caspian region[1], while maintaining the growth of Lebanese diaspora assets; these markets will constitute the core of our target markets

C

Develop centers of excellence in specific niches with strong export potential, leveraging the country's talent pool and the geopolitical context

- Project finance targeting the core markets[2] (e.g. Syria & Iraq)
- Digital & analytics targeting the core[2] and regional markets (e.g. Levant & GCC)
- Actuarial studies targeting the core[2] and regional markets (e.g. Levant & GCC)
- Equity & investment research targeting the core[2], regional markets and global financial centers
- Fintech serving the global market

2025 TARGETS



X ENABLERS

Legislation & regulatory framework

- Legal & regulatory framework for fund management (e.g. PE fund law)
- Legal & regulatory framework for digital & analytics FS (e.g. E-signature)
- Wealth-related taxation & incentives (e.g. tax on capital gains)

Lending to priority sectors

- Incentivize lending to priority economic sectors of the Vision

Talent pool & education

- Talent pool for financial services delivery (Tertiary education revamp for asset management, digital & banking sector certifications
- Population financial education & literacy

20181022 Internal

1 Azerbaijan, Iran, Kazakhstan, Turkmenistan, Russia; 2 Levant, Africa, Caspian Region, Lebanese Diaspora 3 Non-banking includes non-banking financial institutions, investment banks & insurance 4 BlackRock, Vanguard, UBS, SSGA, Fidelity, Allianz, JP Morgan, BNY Mello, PIMCO, Amundi
5 Exports of financial services including, export of actuarial services, outsourcing of financial research services, exports of FinTech & digital outsourcing

Financial Services – priority initiatives (1/4)

NON-EXHAUSTIVE

A Deepen & Strengthen the financial services

	Objective	Owner[1]	Plays
FIN. A.1	Develop detailed blueprint and strategy for the banking sector	▪ BDL ▪ BCCL ▪ ABL	
FIN. A.2	Diversify banking sector asset base from public sector ★	▪ BDL ▪ BCCL ▪ ABL	
FIN. A.3	Incentivize banking sector asset reallocation into productive private sectors	▪ BDL ▪ BCCL ▪ ABL	
FIN. A.4	Enhance capitalization and optimize balance sheets of Lebanese banks	▪ BDL ▪ BCCL	
FIN. A.5	Promote consolidation to enhance sustainability of underperforming banks	▪ BDL ▪ BCCL	
FIN. A.6	Enhance cost efficiency through digitization	▪ ABL ▪ All Banks	
FIN. A.7	Set-up a national credit bureau	▪ BDL ▪ ABL	
FIN. A.8	Issue a real estate price index to enhance valuation	▪ BDL ▪ Lebanon Credit Bureau ▪ Lebanon Collateral Reg. ▪ Ministry of Finance	

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Financial Services – priority initiatives (2/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
A Deepen & Strengthen the financial services	FIN. A.9	Design financial statement auditors certification	▪ BDL ▪ BCCL ▪ ABL	
	FIN. A.10	Accelerate growth of insurance sector ★	▪ ICC ▪ Insurance Comp-anies	
	FIN. A.11	Enhance NSSF investment vehicle and operating model	▪ NSSF	
	FIN. A.12	Conduct contingent liabilities estimation exercise & accordingly develop detailed plan	▪ Pension Funds (incl. NSSF)	
	FIN. A.13	Ignite capital markets through growing and promoting demand for capital	▪ Capital Markets Authority ▪ CoM ▪ BSE	
B Position Lebanon as investment management & offshoring hub	FIN. B.1	Promote Lebanon's asset management & offshore hub value proposition in target markets	▪ ABL ▪ Financial Institutions ▪ CMA	

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Financial Services – priority initiatives (3/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
B Position Lebanon as investment management & offshoring hub	FIN. B.2	Increase network of Double Taxation Agreements and IPPAs to cover target source markets	▪ MoF ▪ MoFA	
	FIN. B.3	Attract foreign players (banks, asset managers, specialized accountants & lawyers) to set up shop in Lebanon	▪ IDAL ▪ MoE, BdL	
C Develop centers of excellence in specific niches with strong export potential	FIN. C.1	Develop project finance capabilities to capitalize on ★ Syria & Iraq reconstruction efforts	▪ Financial Institutions	
	FIN. C.2	Ensure best-in-class ecosystem and framework for FinTech development	▪ BdL for licensing	
	FIN. C.3	Ensure best-in-class ecosystem for financial services outsourcing (digital & analytics, research & actuarial)	▪ BdL for licensing	
X.1 Legislation & Regulatory Framework	FIN. X.1.1	Maintain compliance to Money Laundering & Terrorism Financing legislation	▪ BDL ▪ BCCL	ABC
	FIN. X.1.2	Establish collateral registry	▪ BDL ▪ Parliament	ABC
X.2 Talent Pool & Education	FIN. X.2.1	Revamp tertiary education coursework in line with FS sector needs	▪ Ministry of Education	ABC
	FIN. X.2.2	Enhance capabilities of current and prospective financial sector employees	▪ Ministry of Education ▪ ABL	ABC
	FIN. X.2.3	Enhance financial awareness & literacy across all levels	▪ Ministry of Education ▪ ABL	ABC

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Financial Services – priority initiatives (4/4)

NON-EXHAUSTIVE

X.3 Lending to priority sectors

	Objective	Owner[1]	Plays
FIN. X.3.1	Facilitate local lending for agriculture	▪ BDL ▪ Kafalat	ABC
FIN. X.3.2	Enhance access to financing for SMEs in the creative industries fields	▪ BDL ▪ Kafalat	ABC
FIN. X.3.3	Enhance access to financing to incentive construction of new hotels and renovation of existing hotels in anchor destinations ★	▪ BDL ▪ Kafalat	ABC
FIN. X.3.4	Enhance access to finance to support industrial SMEs (focused on priority industry sectors)	▪ BDL ▪ Kafalat	ABC

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Financial Services – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to financial services

	Objective	Initiative
Leg.1.1	Enhance ease of doing business	▪ Refer to initiative 1.1 under Legislation
Leg.2.7	Revamp legislative environment for fund & asset management	▪ Refer to initiative 2.7 under Legislation ★
Leg.2.8	Revamp legislative environment for digital banking & fintech	▪ Refer to initiative 2.8 under Legislation
Leg.2.9	Complete set-up of capital markets authority	▪ Refer to initiative 2.9 under Legislation
Exp.B.1	Establish the country brand and manage the perceived instability in the country	▪ Refer to initiative B.1 under Export & Branding

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    - Diaspora
  - Enablers
    - Infrastructure
    - Other Enablers
  - Flagship Projects
  - Implementation Mechanism

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Knowledge Economy – sector aspirations

Aspiration: To become a knowledge-driven digital nation, at the forefront of innovation, acting as a talent hub for technology, outsourcing, creative industries and education

Current situation

- **Emerging** but nascent **technology** & digital industry, with limited access to global markets and **low digitization** across economic sectors & government
- **Small** and **fragmented outsourcing** industry, lacking regional recognition
- **Intrinsically competitive** in **creative** industries (fashion, movie) but facing **several challenges**
- **Strong** tertiary **education** system but **low** current **export potential** for the sector (e.g. low attraction of international)
- Lacking regulatory environment, digital & creative talent, limited access to funding and sub-par sector governance and infrastructure

2025

A **Regional technology leader** with players in FinTech, CreativeTech, EdTech & HealthTech; strong technology adoption across priority economic sectors and digital government

B **Regionally** renowned **outsourcing sector** with established brand, attracting captive centers for regional MNCs, along with flourishing domestic offering of research & analytics

C **Regional creative hub**, **globally** renowned for a set of **specific niches**

D **Educational hub**, attracting **regional students** across the board, and **international students** for **specific niches**

X Vibrant ecosystem, regionally renowned as the "go-to" hub for startups, offering best in class regulation, abundant funding and world-class digital talent

2035

- **Regional innovation hub** with several unicorns having a 1USD Bn+ valuation; **digitization** as the **key driver** of sector **productivity** across all sectors and **digital** as the **unique delivery** means of **government** and private sector services
- **Globally recognized** as the "Go-to" global **hub** for **research and analytics** with deep regional & cultural expertise
- **Creative** as a **core driver** of all Lebanese **economic sectors**
- **World-class education hub**, with leading tertiary institutions at a global level, attracting **international students across the board**

Targets

	Current situation	2025	2035
Knowledge economy GDP, USD Bn	1.4	3.8	5.6
Total employment, K	44	105	123
Capacity for innovation, rank	58	30	15

Note: GDP corresponds to ICT GDP

2018/2022 Internal

Knowledge Economy – 2025 and 2035 targets (1/2)

Plays	Metric	Target values		
General targets	**GDP In Real 2017 prices** USD Bn	1.4	3.8	5.6
	Number of jobs K	44	105 ★	123
	Capacity for innovation Rank	58	30	15
Technology	**Total number of startups** #	200	2,000	TBC
	Yearly VC funding USD Mn	100	190	TBC
		2017	**25**	**2035**

Knowledge Economy – 2025 and 2035 targets (2/2)

Plays	Metric	2017	25	2035
Technology	Yearly R&D spend USD Mn	50.0	290.0	TBC
Outsourcing	Total number of jobs #	5,000	30,000 ★	TBC
Creative Industries	Number of priority sub-sectors #	0	3	TBC
Education	Number of international students K	8	16	TBC

Confidential 2 Internal

Knowledge Economy – 2025 sector charter

2017 2025

Aspiration: An knowledge-intensive and digital nation, at the forefront of innovation, acting as a talent hub for technology, outsourcing, creative industries and education

SECTOR PLAYS

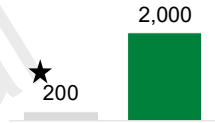
2025 TARGETS

A

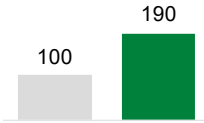
Become a highly productive digital economy at the forefront of innovation, acting as a digital talent hub

- Becoming a global digital producer through building on Lebanon's comparative advantages, as well as global segments outlook and funding size, and specialize in creative, financial and enterprise technologies
- Embracing digital disruptions through adopting technology in priority sectors
- Riding the government digitization-wave by digitizing government operation and services (G2G, G2B and G2C)

Total Number of Start-ups, #



Yearly VC funding, USD Mn

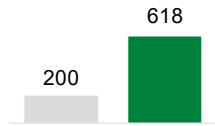


B

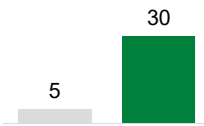
Position Lebanon as a leading regional outsourcing destination for "high-value add" BPO services and a global hub for middle east research & analytics service desks

- Capturing the regional GCC market, through providing high-value added BPO by leveraging key differentiators (culture & language) and justifying price premium by higher-quality services & specialization
- Capturing the global KPO market, leveraging competitive cost structure and STEM talent pool
- Developing a "Plug & Play" outsourcing park with world-class office space and state of the art infrastructure through a PPP

Total Exports USD Mn



Total number of jobs K



C

Become a regional creative hub, globally renowned for a set of specific niches

- Developing cross-cutting agenda to enable the entire creative ecosystem
- Selecting specific industries to become a regional and global hub

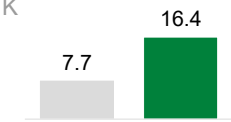
Number of priority sub-sectors

D

Become an educational hub, attracting regional students across the board, and international students for specific niches

- Regional play: Focusing on attracting international students from the region (GCC, Arab and North African countries) for undergraduate and medical studies
- Niche play: Focusing on attracting Western students in Middle Eastern and Arabic studies

Number of international students K



X ENABLERS

Education & talent pool
- Digital & creative talent
- Outsourcing-ready talent

Industry promotion
- Physical and virtual clusters for incentives &

Access to finance
- Abundant VC funding across the pipeline
- Easy access to credit for smaller enterprises

Industry governance
- Non-fragmented governance
- Global promotion campaigns

Physical, virtual infrastructure & clusters
- Telecommunications infrastructure
- Rental

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NON-EXHAUSTIVE

Knowledge Economy – priority initiatives (1/4)

		Objective	Owner[1]	Plays
A Technology & Digital	KNO.A.1	Ensure continuous pipeline of R&D funding	▪ Innovation Council/ Task Force	
	KNO.A.2	Reinforce footprint of technology transfer offices ★	▪ Innovation Council/ Task Force	
	KNO.A.3	Unlock Lebanese University's technology footprint	▪ Innovation Council/ Task Force	
B Outsourcing	KNO.B.1	Create an outsourcing park in a region outside Beirut & Mount Lebanon	▪ Ministry of Industry	
	KNO.B.2	Set-up the Outsourcing team within IDAL	▪ IDAL	
	KNO.B.3	Develop and conduct tenant attraction plan	▪ IDAL	
C Creative Industries	KNO.C.1	Take a bet on specific Creative & Cultural industries (2-3 industries)	▪ Ministry of Culture	
	KNO.C.2	Invest in creative & cultural industries infrastructure	▪ Ministry of Culture	
D Education	KNO.D.1	Attract international education institute to open branch in Lebanon	▪ Ministry of Education	
	KNO.D.2	Address capacity constraint in selected top universities	▪ Ministry of Education	

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Knowledge Economy – priority initiatives (2/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
D Education	KNO.D.3	Enhance overall education system within the country (specifically public secondary education)	▪ Ministry of Education	
	KNO.D.4	Enhance mobility for all educational institutions	▪ Ministry of Education	
	KNO.D.5	Provide transparency on job market supply-demand dynamics	▪ Ministry of Labor/ Ministry of Foreign Affairs	
X.1 Talent Pool & Education	KNO.X.1.1	Revamp secondary curriculum for technology	▪ Ministry of Education ▪ Innovation council/ task force	ABCD
	KNO.X.1.2	Revamp tertiary curriculum for technology	▪ Ministry of Education ▪ Innovation council/ task force ▪ Leb. Univ.	ABCD

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Knowledge Economy – priority initiatives (3/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
X.1 Talent Pool & Education	KNO.X.1.3	Revamp tertiary curriculum for outsourcing	▪ Ministry of Education ▪ Lebanese University ▪ IDAL	ABCD
X.2 Access to Finance	KNO.X.2.1	Ensure continuous pipeline of VC funding ★	▪ Parliament ▪ BDL ▪ IDAL	ABCD
	KNO.X.2.2	Develop philanthropy grant creative and cultural industries	▪ Parliament	ABCD
X.3 Physical & Virtual Infrastructure	KNO.X.3.1	Develop the physical "Beirut Knowledge Village" cluster in Beirut	▪ Ministry of Industr.	ABCD
	KNO.X.3.2	Design and launch the "Smart Lebanon" virtual licensing scheme	▪ IDAL	ABCD
X.4 Industry Promotion	KNO.X.4.1	Develop and conduct country digital promotion campaign	▪ Innovation Council/ Task Force	ABCD
	KNO.X.4.2	Develop country branding of selected creative and cultural industries	▪ Ministry of Culture	ABCD
	KNO.X.4.3	Set up an information portal for international students	▪ Education board/task force	ABCD

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Knowledge Economy – priority initiatives (4/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
X.4 Industry Promotion	KNO.X.4.4	Promote selected universities in target source countries	▪ Education board/task force	ABCD
	KNO.X.4.5	Strengthen the perception of Lebanese graduates employability in international markets ★	▪ Education task force ▪ Ministry of Foreign Affairs	ABCD
X.5 Governance	KNO.X.5.1	Set up the national innovation council as the Task Force to drive the implementation of the digital strategy	▪ Council of ministers	ABCD
	KNO.X.5.2	Set-up an Inclusive organization/task force for creative industries	▪ Council of ministers	ABCD
	KNO.X.5.3	Set up a task force to drive and implement the international education strategy	▪ Council of ministers	ABCD

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Knowledge Economy – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to knowledge economy

	Objective	Initiative
Fin.X.3.2	Enhance access to financing for SMEs in the creative industries fields	▪ Refer to initiative X.3.2 under Financial Services
Inf.2	Implement Fiber strategy of MoT	▪ Refer to initiative 2 under Infrastructure ★
Leg.2.5	Revise regulatory environment for Knowledge Economy activities	▪ Refer to initiative 2.5 under Legislation
Leg.2.6	Amend Labor law for part timers including in Creative Industries	▪ Refer to initiative 2.6 under Legislation
Leg.1.1	Enhance ease of doing business	▪ Refer to initiative 1.1 under Legislation
Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Refer to initiative A.1 under Export & Branding
Exp.A.2	Expand export promotion	▪ Refer to initiative A.2 under Export & Branding

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  - Flagship Projects
  - Implementation Mechanism

20181022 Internal

Diaspora – sector aspiration

Aspiration: A proactive emigration policy, with a highly engaged Lebanese diaspora actively contributing to Lebanon's economic and social development

Current situation

- Low engagement effort and withering relationships with second and third diaspora generations
- High share of non-productive diaspora inflow (consumption, real-estate)
- Unorganised labour force immigration

2025

A **A proactive emigration policy** (e.g. tracking system for emigrants, G2G agreements)

B **Highly engaged diaspora with strong ties to Lebanon** (e.g. familiarization trip for young diaspora, "Lebanese diaspora day")

C **Major driver of the Lebanese economy through contributions in productive investments, knowledge and market access** (e.g. remittance for regional development, sponsorship/mentorship program, "Ambassador" program for export promotion)

D **Effective lobbying mechanism advocating for Lebanon's interest** (Diaspora advisory board)

2035

- Labour force trained for the global economy, with a clear labour force supply-demand management
- Promotion of Lebanon's interest globally in an organised and systematic way
- One global community with deep ties to Lebanese roots
- Core growth engine for the Lebanese economy

20181022 Internal

Diaspora – 2025 and 2035 targets

Plays	Metric	Target values		
Seed	G2G labor agreements #	N/A	10	TBC
Radiate	Diaspora covered in director %	N/A	★ 55%	TBC
Reap	Number of yearly diaspora mega-projects #	N/A	30	TBC
		2017	**25**	**2035**

2018 – 22 Internal

Diaspora – 2025 sector charter

2025 targets

Aspiration: A proactive emigration policy, with a highly engaged Lebanese diaspora actively contributing to Lebanon's economic and social development

SECTOR PLAYS

2025 TARGETS

A

"Seed": Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy and ensure a tracking system is in place to monitor emigration

- Coordinate the export of talent between job seekers and the foreign market through G2G agreements
- Track the country of residence and occupation of emigrants to pro-actively address emigration and drive decision making ★

G2G labour agreements, #

10

B

"Radiate": Develop a solid diaspora database to extend reach of engagement efforts and promote national identity to strengthen the bond between Lebanon and its diaspora

- Form vibrant communities in country of residence through visible national events (e.g. centennial events, Lebanon day)
- Strengthen ties with young diaspora generations through "Back to the Roots" familiarization program
- Revive the sense of belonging within all diaspora generations through special diaspora IDs
- Leverage multiple sources to build a diaspora database and extend reach of the engagement initiatives

Diaspora covered in directory, %

50-60

C

"Reap": Leverage the diaspora network to drive economic growth through encouraging productive investments, opening access to export markets, transferring knowledge/expertise and directing remittances to development projects

- Pro-actively approach diaspora investors with special incentives to encourage investments in productive sectors
- Establish an "ambassador" program of diaspora members to promote Lebanese exports
- Transfer expertise and knowledge from diaspora to local businesses through sponsorship/mentorship programs
- Direct remittances/ diaspora inflows towards productive development projects

Number of mega projects (e.g. hotels, factories) driven by diaspora, #

30

D

"Advocate": Harness and formalize advocacy i.e. lobbying power in centers of the world through establishing a diaspora advisory board

- Establish a diaspora advisory board with selected diaspora members to act as advisors to the government on economic matters and advocate for Lebanon's interest in global forums

X Enablers

Data and analytics
- Data analysis

Awareness and accountability
- Awareness and promotion
- Availability of information (One stop shop)
- Corruption

Organization
- Diaspora management unit

2018/2022 Internal

Diaspora – priority initiatives (1/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
A "Seed": Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy	DIA.A.1	Organize and track emigration	▪ MoFA	
	DIA.A.2	Create visibility on local and global labor market	▪ Ministry of Labor ▪ MoFA	
	DIA.A.3	Develop G2G bi-lateral labor force agreements for export of talent ★	▪ MoFA	
	DIA.A.4	Align skills to demand of external markets	▪ MoFA	
	DIA.A.5	Prepare Lebanese labor force for work in external markets	▪ MoFA	
B "Radiate"- Strengthen the bond between Lebanon and its diaspora	DIA.B.1	Enhance the communication between the Lebanese government and its diaspora	▪ MoFA	
	DIA.B.2	Develop vibrant diaspora communities	▪ MoFA	
	DIA.B.3	Strengthen ties between diaspora youth and the country	▪ MoT ▪ MoFA	
	DIA.B.4	Revive sense of belonging in Lebanese diaspora through targeted program	▪ MoFA ▪ Embassies	
C "Reap"- Leverage diaspora as an engine for growth	DIA.C.1	Populate diaspora database	▪ MoFA	

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Diaspora – priority initiatives (2/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
C "Reap"- Leverage diaspora as an engine for growth	DIA.C.2	Create appetite to send remittances towards local development projects	▪ MoFA	
	DIA.C.3	Encourage diaspora investments in productive sectors	▪ MoFA	
	DIA.C.4	Facilitate access to information on investment and★ business opportunities	▪ IDAL	
	DIA.C.5	Transfer knowledge/ expertise	▪ MoFA	
D "Advocate" - Harness and formalize advocacy/lobbying power of Lebanon	DIA.D.1	Form an Diaspora Advisory Board/Task force to drive the implementation	▪ Council of Ministers	
X.1 Awareness & accountability	DIA.X.1.1	Restore faith of the diaspora in the Lebanese government and ensure their buy-in in government programs	▪ MoFA	ABCD

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Diaspora – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

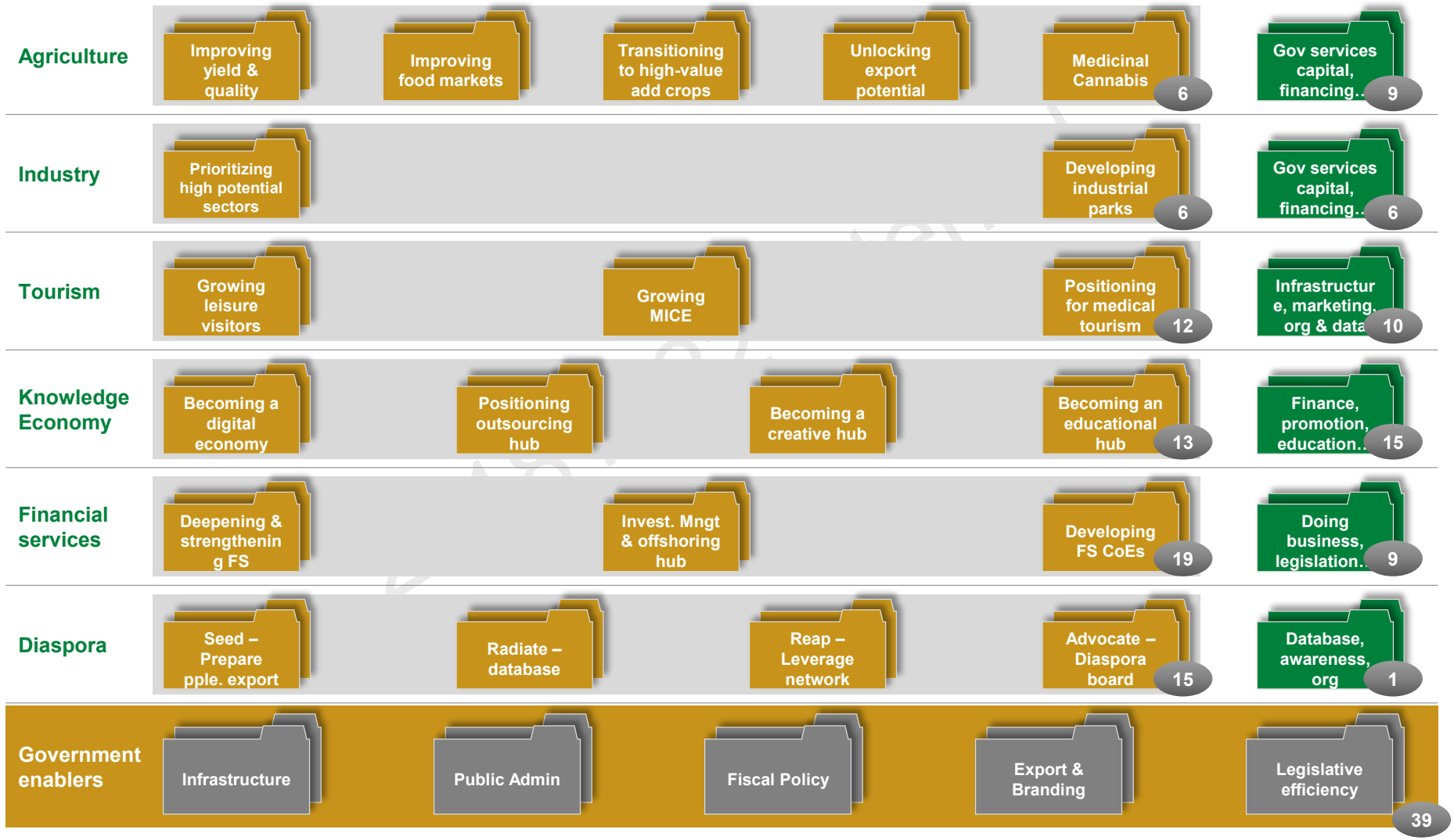
Other initiatives related to diaspora

	Objective	Initiative
Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Refer to initiative A.1 under Export & Branding
Exp.A.2	Expand export promotion	▪ Refer to initiative A.2 under Export & Branding ★

20181022 Internal

~160 initiatives across prioritized sectors and enablers would guide the vision implementation

Number of initiatives



The ~160 initiatives should be launched beginning with those that have the highest priority

NON-EXHAUSTIVE | ILLUSTRATIVE

Number of initiatives

	Phase 1	Phase 2	Phase 3
Industry	▪ Develop next-generation industrial construction technology zone (near northern border capitalizing on the reconstruction efforts)	▪ Launch 2nd wave of industrial zones in southern & coastal regions ▪ Update TVET programs in line with global best practices	▪ Develop a dry port (e.g. near Chtoura) to alleviate pressure on Port of Beirut ▪ Streamline customs inspections processes (land & maritime ports)
Agriculture	▪ Assuming government policy in place, develop a regulatory framework to legalize and control cannabis for medical purposes	▪ Launch alternative opt-in subsidy program for tobacco farmers ▪ Launch training programs (governance, ops, marketing local co-operatives)	▪ Improve water sustainability through strengthened regulat. & enforcement ▪ Increase transparency in wholesale markets through digital channels
Tourism	▪ Raise ~14 Mn USD for tourism marketing focused on 15 target countries ▪ Launch national campaign to clean public beaches	▪ Create an entertainment and gaming strip in greater Beirut area through extending gaming licenses and renovating Casino du Liban	▪ Market Lebanon as a medical tourism and wellness destination with centers of excellence in specialized fields
Knowledge Economy	▪ Create an outsourcing park in a region outside Beirut & Mount Lebanon (e.g. Tripoli) offering best-in-class and affordable infra, rental & registration	▪ Develop and launch campaign promoting the Lebanese "Innovation Economy" while ensuring participation in global conferences & events	▪ Supply education systems with the right tools to graduate students with majors relevant to the economy (e.g. national supply demand gap survey)
Financial services	▪ Develop detailed banking strategy ▪ Develop asset management value proposition: Launch promotion & sign DTAs[1] for target markets (e.g. Caspian)	▪ Enable capital markets through growing capital demand: (e.g. Fast-track state-owned enterprises listing; fund CIP through debt markets)	▪ Promote consolidation to enhance sustainability of underperforming banks though providing merger incentives (e.g. soft loans)
Diaspora	▪ Revive sense of belonging in diaspora through "Diaspora ID" program, recognising holders as descendants of Lebanese & granting benefits	▪ Create visibility on profile of Lebanese labour force by skill and major ▪ Incentivize students to pursue certain studies through job guarantees & loans	▪ Facilitate access to information on investment opportunities through setting up a portal listing opportunities accessible through IDAL's website
Enabler initiatives	▪ Accelerate approval of 11 critical business environment legislations including code of commerce, bankruptcy law…	▪ Launch revenue growth initiatives (e.g. Tobacco tax), moving from 40% to 70% tax collection effort	▪ Complete digitization of key public processes with private sector participation & monitoring
	~75	~45	~30

1 Double Taxation Agreements

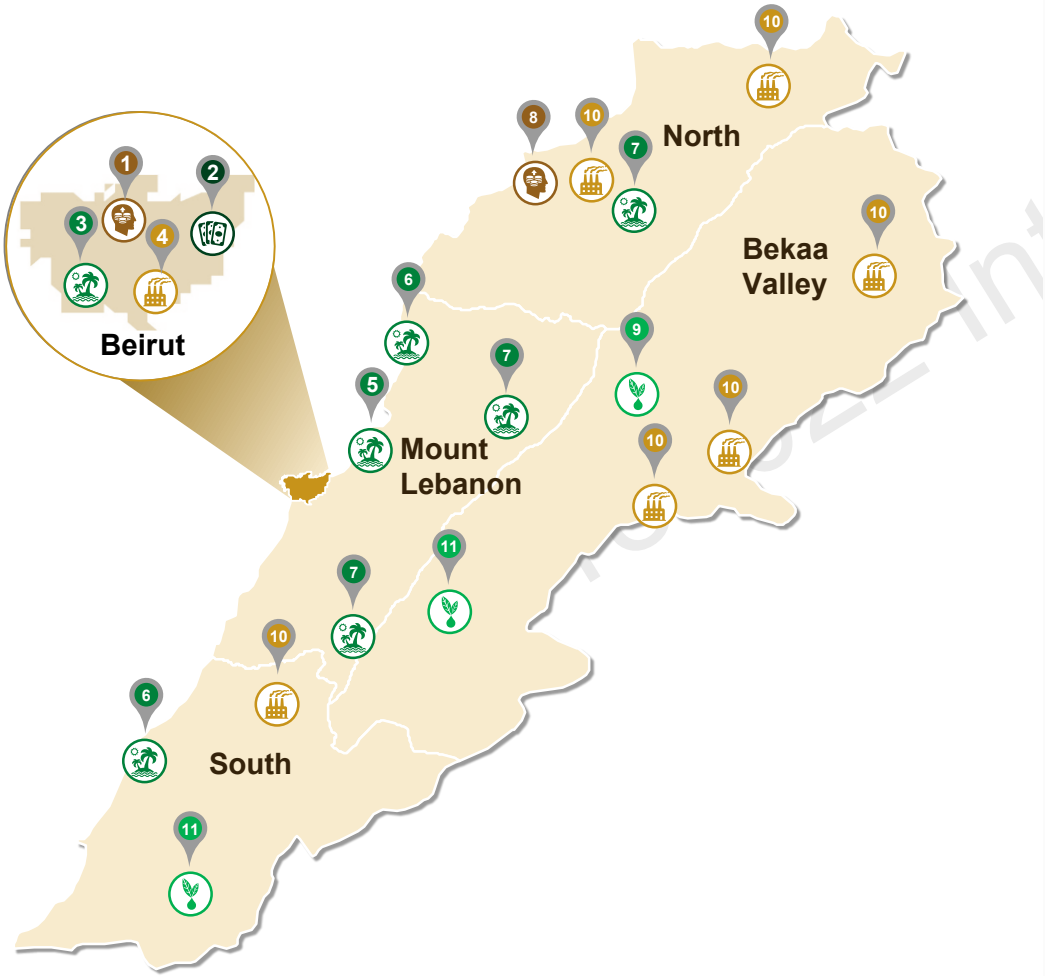
Confidential

Launching the developed initiatives would ensure balanced regional development

ILLUSTRATIVE

NON-EXHAUSTIVE

Tourism | Knowledge economy | financial services | agriculture | Industry



1. Knowledge Village and a tech hub in collaboration with leading universities
2. Asset management and off-shore financial hub
3. Anchor tourism destination for city offering
4. Fashion and jewellery district
5. Gaming and entertainment hub
6. Anchor tourism destinations for Sun &Sea
7. Luxury eco-tourism and natural hubs
8. Outsourcing park for business and knowledge intensive services
9. Medical cannabis cultivation and production fields
10. National Industrial Integrated Parks (NIIPs)
11. Specialized agricultural zones

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    - Other Enablers
  - Flagship Projects
  - Implementation Mechanism

20181022 Internal

Beyond activating productive sectors, the government should work towards overhauling the infrastructure, particularly across 3 areas

A Launch Vision-critical infrastructure project

Launch already planned infrastructure projects with high relevance to priority sectors, for example:

- Beirut rapid-bus public transport (500m USD according to CIP)
- Beirut airport rehab (500m USD according to CIP)
- Ras Baalbek-Syrian border highway 110m USD according to CIP)
- Fiber Network (100m USD according to CIP) ★

Launch new projects not covered in CIP e.g.

- Construction technology zone focused on export to Syria/Iraq
- Beirut Knowledge Hub park
- Sour, Byblos and Beirut walkway improvements

B Grow Beirut's Efficiency

Turn Beirut into the most efficient city in the Middle East

- Enhance the city's transportation & livability including waste management & pollution
- Improve the city's governance
- Develop a comprehensive urban plan

C Reform Power Sector, once and for all

Revise & update the 2010 electricity plan approved by the council of ministers

Revisit the distribution mechanism to shrink non-technical losses

Grow reliance on renewables and set clear power-mix targets

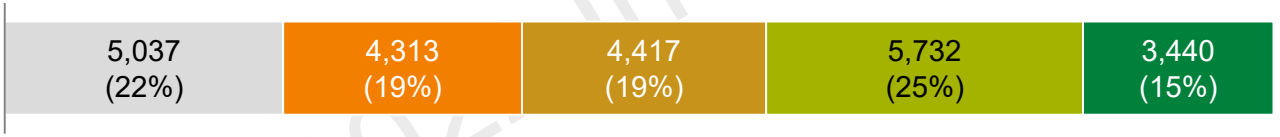
20181022 Internal

A Implementation of Capital Investment Plan should prioritize projects which are very relevant to the economic vision

Overview

- The Capital Investment Plan's ~270 projects will provided **much-needed infrastructure spending**[1] to Lebanon, and every effort must be made to ensure successful implementation
- **Several projects are highly relevant** to the economic growth generally, and to the economic vision more specifically
  - 11 projects (representing 15% of total CIP budget) are deemed to be vision-critical
- Thus, to ensure achievement of economic objectives, Lebanon should **prioritize vision-relevant projects** across several dimensions (including distribution of funds, allocation of resources, etc.) ★
- Moreover, a number of **additional vision-linked priority projects** need to be added to the government's agenda

CIP budget by direct relevance to economic vision, USD mn



Number of projects / phases

Indirect relevance	Medium relevance	High relevance	Very high relevance	Critical for vision
180	32	37	19	11

Top-priority CIP projects include…

- Core power projects
- Expansion of Beirut airport, Tripoli port
- Deployment of Fiber network
- Industrial zones *(incl. Tripoli SEZ)*

Additional (new) priority projects include..

- Industrial construction zone *(among other additional industrial zones)*
- Beirut knowledge hub park
- Urban improvement and tourism zone development in Beirut, Sour, Byblos

1 Top-down analysis suggests that Lebanon's annual infrastructure spending requirements exceed 4 billion USD, which far outweighs proposed spending under CIP. Thus, CIP is likely to be an "underestimate" of required infrastructure efforts.

Source: PCM website

Note: Beyond vision relevance, several other criteria should be taken into consideration when prioritizing CIP projects (e.g. Social impact, feasibility, interdependencies, etc..)

20181024 Internal

B Achieving Lebanon's Economic Vision will require an efficient urban and business centre in Beirut

City planning & efficiency is a key enabler for economic development and growth

By 2030, 60% of the population – 5 billion people – will be city dwellers …

… and the top 600 global cities are expected to contribute to more than half of the world's GDP

Knowledge-intensive, small-sized countries, unlocked their growth potential, through **anchoring** their **development around** an efficient **urban center, at the heart of the economy**

- **Singapore** positioned the city as a key regional hub, **attracting regional headquarters** for 100+ companies by 1990
- **Dubai** has developed a comprehensive strategy **anchored around** an **efficient urban zone** with SEZ around the city

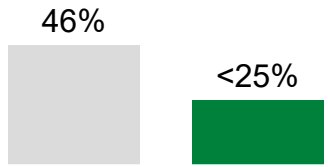
Several gaps exist within Greater Beirut's efficiency that should be tackled as part of a broad city vision

Key challenges should be tackled…

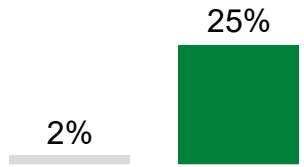
- **Enhance overall livability** of the city, mainly **pollution** and **waste management**
- **Focus on growing improving offering and growing use of public transportation**, through prioritizing and incrementing relevant CIP initiatives
- **Develop a fully integrated urban plan**, with clear land use allocation
- **Reclaim illegally used land** particularly on Greater Beirut's beachfronts

… while tracking several key metrics to ensure success

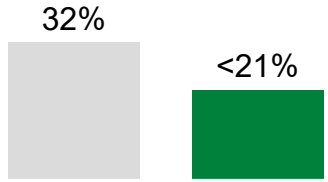
Extra travel time, %



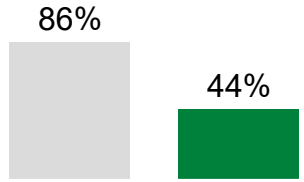
Public transport share, %



PM-2.5, annual mean ug/mg^3



Landfilled waste, % total waste



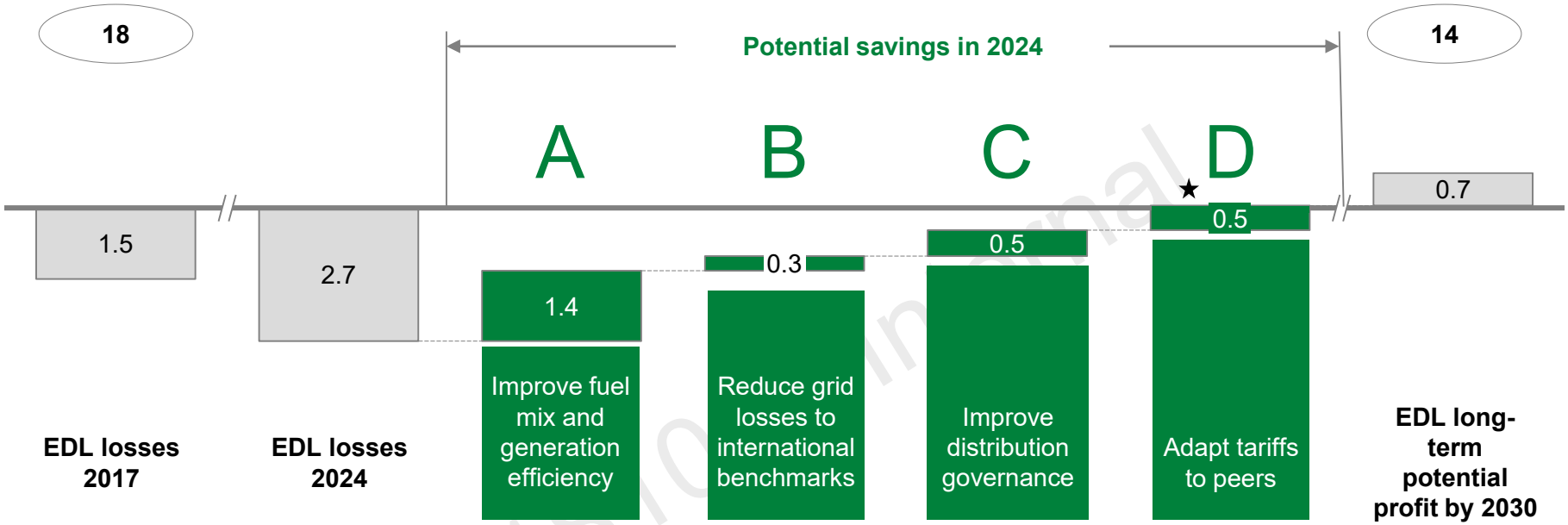
Source: C40 Cities, WHO Global Urban Ambient Air Pollution Database, Lebanon municipality of Beirut sustainable energy action plan, Capital Investment Program, Press Search, Transport Authority of Countries, TomTom Index; CIP, Land Transport Authority of Singapore, Gulf News, CAS, Ministry of Health

C Immediate action by the government to reform the power sector would eliminate the need for subsidies by 2024

Consumer burden , USD cents/kWh

X

Current EDL financial performance and potential development for 2024 and 2030, USD bn



EDL losses 2017

- Current government subsidy to cover EDL losses

EDL losses 2024

- Projected EDL loss by 2024 assuming current performance

- Facilitate installation of ~3000 MW state-of-art CCGTs
- Reduce diesel usage
- Facilitate installation of renewables

- Reduce T&D losses
- Reduce # of T&D interruptions to 0.9 and duration of interruptions to 60 min

- Eliminate non-technical losses
- Reduce connection time to 30 days

- Adapt tariffs to 12 USD cents/kWh on the short-term and to 14 USD cents/kWh by 2030

EDL long-term potential profit by 2030

Execution of sector recovery requires setting up proper governance and operating model of EDL i.e., restructuring and corporatization of EDL

2015 Internal

Infrastructure – priority initiatives

NON-EXHAUSTIVE

Infrastructure

	Objective	Owner[1]	Part of CIP	CIP Code
INF.1	Expand the airport capacity	▪ MoPWT	✓	▪ TP16,17
INF.2	Implement Fiber strategy of MoT	▪ Ministry of Telecom	✓	▪ TL01
INF.3	Reform national infrastructure (incl. power, logistics, utilities)	▪ MoPWT ★	✓	▪ E01,04, 09,06 ▪ TP06, 20
INF.4	Enhance access to/from anchor destinations to enable “hub and spoke” model	▪ MoPWT	✓	▪ TP10
INF.5	Prioritize financing to existing industrial zones (advancing to CIP cycle 1)	▪ CDR ▪ MoPWT	✓	▪ IN01,02

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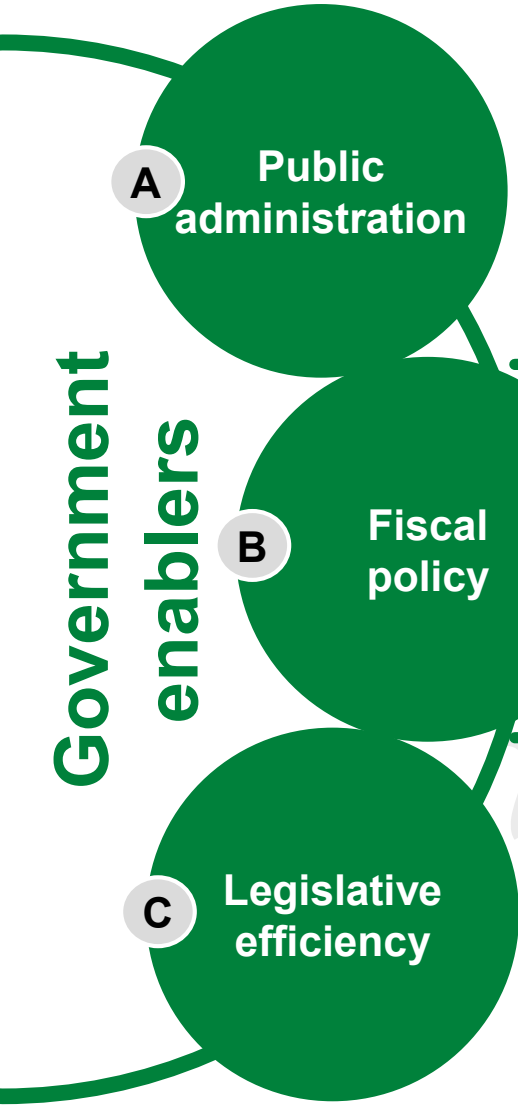
20181022 Internal

Three overarching government enablers should also be tackled to further fuel the economic growth



Disseminate radical reforms and high productivity mindset in public sector

- Assume the Vision economic targets as measures of performance of future governments and Ministers
- Launch government digitization overhaul, with private sector participation and monitoring
- Launch anti-corruption purge starting with a visible, symbolic initiative (e.g. law to disclose assets of elected officials, public sector whistleblower law)

Establish new fiscal rules and re-visit existing ones

- Elaborate on and publish Medium Term Expenditure Framework including the action plan to achieve 1% annual reduction in fiscal deficit
- Set a top-down government fiscal ceiling trickled to the Ministry level, following the Vision priority areas
- Launch revenue growth initiatives (e.g. Tobacco tax), moving from 40% to 70% tax collection effort

Overhaul parliament productivity

- Establish and approve a Legislative Agenda with key topics and legislations to amend or draft, following Vision recommendations:
  - Accelerate the approval of 11 business environment legislations, including Code of Commerce, E-signature and Bankruptcy Law
  - Amend, enforce or introduce legislations relevant for the prioritized sectors of the vision (e.g. Enforce Water Law 221-2000, amend Ministerial Decree 1660 on governance of industrial zones)

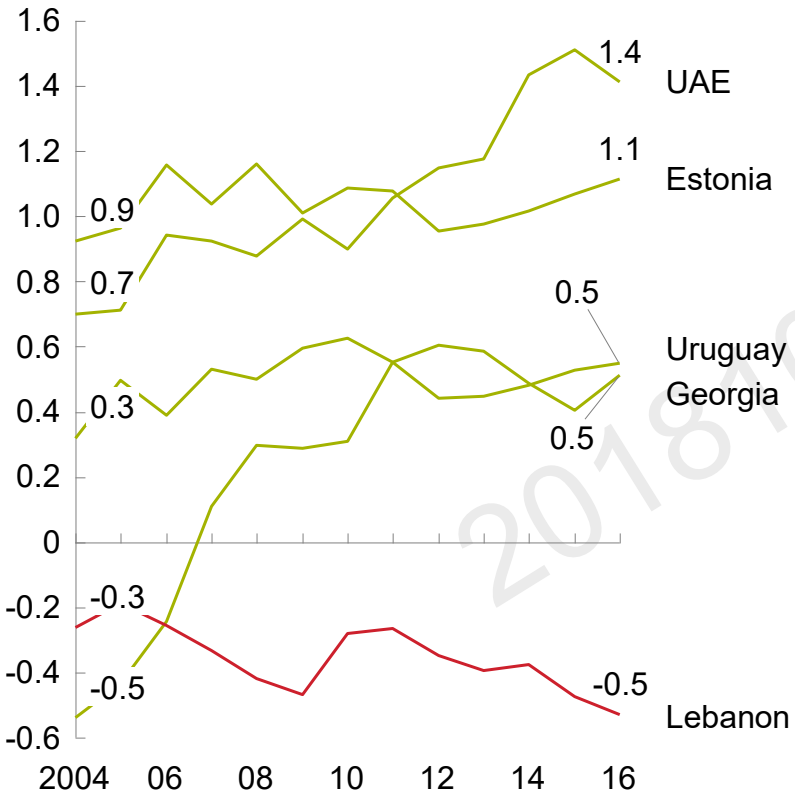
2018102 Internal

A To enhance the public administration's efficiency, three key priority dimensions will be tackled: digitization, corruption & productivity

2017 2025

Although several governments managed to enhance their effectiveness, Lebanon dropped 0.2

Government effectiveness[1] (quality of services)
Rating from -2.5 to 2.5 with -2.5 being the worst



To improve its efficiency, the government will work on three dimensions

Dimension	Description & initiatives	Targets
Productivity enhancement	▪ Set-up and activate spending monitoring framework ★ ▪ Implement performance management framework across governmental entities	**Government effectiveness,** percentile: 35% → 70%
Government **Digitization**	▪ Set-up the Lebanon digital agency within OMSAR ▪ Initiate development of common IT platform ▪ Detail and activate the e-government strategy	**E-government index,** rank: 73 → **Top 30**
Corruption eradication	▪ Develop the national anti-corruption vision & strategy with emphasis on awareness & prosecution ▪ Launch key "flagship" anti-corruption initiatives (whistleblower & assets)	**Corruption perception index,** rank: 146 → **Top 50**

2018102 Internal

Source: Worldwide Governance Indicators - World Bank; Corrpution Perceptions Index 2017; UN e-government index

Public administration – priority initiatives

NON-EXHAUSTIVE

		Objective	Owner[1]
A Productivity enhancement	PUB.A.1	Develop and implement performance management framework across governmental entities	▪ Office of the PM
B Government digitization	PUB.B.1	Set-up the Lebanon digital agency within OMSAR to lead the digitization effort	▪ Ministry of Labor ▪ MoFA
	PUB.B.2	Initiate development of common IT platform ★	▪ MoFA
	PUB.B.3	Detail and activate the e-government strategy with prioritization of most critical processes	▪ MoFA
C Corruption eradication	PUB.C.1	Develop the national anti-corruption vision & strategy	▪ State Ministry for combatting corrupt.
	PUB.C.2	Launch key "flagship" anti-corruption initiatives	▪ State Ministry for combatting corrupt.
E Data systems	PUB.E.1	Enhance data & statistics capabilities within the government	▪ Central Authority of Statistics
F Institutionalization mechanism	PUB.F.1	Develop and set-up the formal institutionalization mechanism responsible for overseeing the implementation of the Economic Vision	▪ Short-term interim Lebanon Vision economic team

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

NON-EXHAUSTIVE

Export promotion & country branding – priority initiatives

		Objective	Owner[1]
A Export promotion	EXP.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Office of PCM
	EXP.A.2	Expand export promotion	▪ TBD
B Country branding	EXP.B.1	Establish the country brand and manage the perceived instability in the country ★	▪ MoFA

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

B Four broad categories of interventions can be leveraged to ensure fiscal discipline

2017 2025

Categories	Levers	Description	Example initiatives	Targets
Revenue optimization	Tax revenue	▪ Design targeted initiatives to reduce the current gap in tax collection and enhance tax effort form 42% to ~60-70% of total taxation capacity	▪ Enforce VAT ▪ Introduce tobacco tax	**Tax revenue,** % GDP 14% → 20%
	Non-tax revenue	▪ Leverage data analytics to assess leakages from non-tax revenues	▪ Enforce real estate registration fees ★	
Cost rational-ization	Salaries	▪ Stabilize and/or reduce Salaries & wages to bring it in line with global benchmarks	▪ Freeze hiring of public servants	**Government expenditures,** % GDP 27% → 20%
	Other OpEx	▪ Conduct analytical assessment of expenses to capture cost-cutting potential	▪ Investigate rental costs	
	EdL pay.	▪ Reduce ~1-2 USD Bn of yearly transfers to close the electricity deficit	▪ Revamp power sector to close deficit	
Medium-term expenditure framework		▪ Enhance current MTEF, in line with best practice, with a planning horizon beyond current budget cycle, setting revenue and expenditure estimates	▪ Revamp current MTEF by macro-fiscal department	**Forecast deviation from actuals,** % N/A → 10%
Fiscal rules		▪ Develop a set of enforceable rules to ensure fiscal discipline, mainly expenditures and public debt ceilings, at a granular level	▪ Enforce ceiling on salaries expenditures by ministry ▪ Debt to GDP < 120%	**Fiscal deficit,** % GDP -8% → -3%

20181022 Internal

Note: Increase in tax effort and tax collection is not accounted for when modelling and projecting government Budget till 2025

Fiscal policy – priority initiatives

NON-EXHAUSTIVE

Fiscal policy & public finance

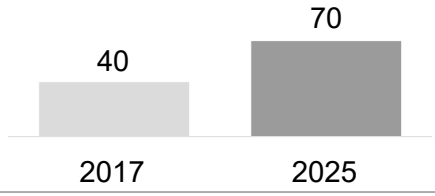
	Objective	Owner[1]
FIS.1	Set-up and activate expenditure ceilings	▪ Ministry of Finance
FIS.2	Set-up medium term expenditure framework	▪ Ministry of Finance
FIS.3	Reduce government revenue leakages ★	▪ Ministry of Finance
FIS.4	Develop strategy for floating state-owned enterprises	▪ Ministry of Finance
FIS.5	Develop budget rationalization task force	▪ Ministry of Finance

20181022 Internal

C In order to ensure a conducive business environment, several legislations need to be passed

2025 Target

WGI: Regulatory quality rank, percentile rank



List of legislations/ laws

1 Cross-cutting legislations for all sectors have been identified and classified in order of priority

Drafting stage | XX Number of years since submission of draft

Dates back to 1942

	Laws/regulation	
Critical priority	Code of commerce	5
High priority	Competition law	5
	Closing a business	5
	Judicial mediation	
	Bankruptcy law	
	Insolvency practitioner law	
	Secure lending	
Priority	Equity compensation law	
	Preferred shares	4
	E-signature law	6
	IP Law	

2 Sector specific legislations have also been identified to ensure conducive business environment

Sector	Number of laws/regulation
Agriculture	4
Industry	1
Tourism	4
Financial services	2
Knowledge economy	4
Others	4

20181022 Internal

Source: Interviews

Legislative agenda – priority initiatives (1/2)

NON-EXHAUSTIVE

Legislative agenda

	Objective	Owner[1]
LEG.1.1	Enhance ease of doing business	▪ Parliament
LEG.2.1	Amend the regulatory framework to extend gaming licenses beyond Casino du Liban	▪ Parliament
LEG.2.2	Introduce, update, enforce laws to ensure environment standards are met as per international standards ★	▪ Parliament
LEG.2.3	Stimulate investments in the tourism sector (Law 360)	▪ Parliament
LEG.2.4	Incentivize the specialization of hospitals	▪ Parliament
LEG.2.5	Revise regulatory environment for Knowledge Economy activities	▪ Parliament
LEG.2.6	Amend Labor law for part timers including in Creative Industries	▪ Parliament
LEG.2.7	Revamp legislative environment for fund & asset management	▪ Parliament
LEG.2.8	Revamp legislative environment for digital banking & fintech	▪ Parliament
LEG.2.9	Complete set-up of capital markets authority	▪ Parliament

20181022 Internal

Legislative agenda – priority initiatives (2/2)

NON-EXHAUSTIVE

Legislative agenda

	Objective	Owner[1]
LEG.2.10	Initiate the development of a cannabis regulatory framework (if aligned with national policy)	▪ Parliament
LEG.2.11	Protect groundwater resource (Water Law 221/2000)	▪ Parliament
LEG.2.12	Increase transparency on food wholesale markets and distributions ★	▪ Parliament
LEG.2.13	Re-direct tobacco subsidies towards more productive areas	▪ Parliament
LEG.2.14	Encourage export of Lebanese brand names (Franchise law)	▪ Parliament
LEG.2.15	Resolve regulatory obstacles of industrial parks (e.g. amending Ministerial Decree 1660)	▪ Parliament
LEG.2.16	Develop a Pharmaceutical prescription regulatory framework	▪ Parliament
LEG.2.17	Increase labor force participation and employment of women to further ignite the economic growth	▪ Parliament

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20181022 Internal

Moreover, the identified 3 flagship projects would be launched immediately to jumpstart the momentum

Discussed next

Create immediate and visible impact *(Launch ~3 quick-win projects)*

- **Seamless end-to-end tourism journey** with a newly-overhauled airport experience
- **Penetration of 2-3 Lebanese crops into new export markets**[1]
- **"Lebanon 2020" centennial** nation-wide celebration[1]

Capture imminent opportunities

- **Construction technology zone on the border with Syria**, capitalizing on the Syria and Iraq reconstruction opportunity worth ~100-300 USD Bn, and housing millions of returning refugees

Build a flagship project symbolizing the Vision

- **"Smart Lebanon" Knowledge Hub** hosting creative, technology and outsourcing companies, within and outside real estate zones (e.g. Outsourcing park in Tripoli)

1 Initiatives to be detailed at a later stage

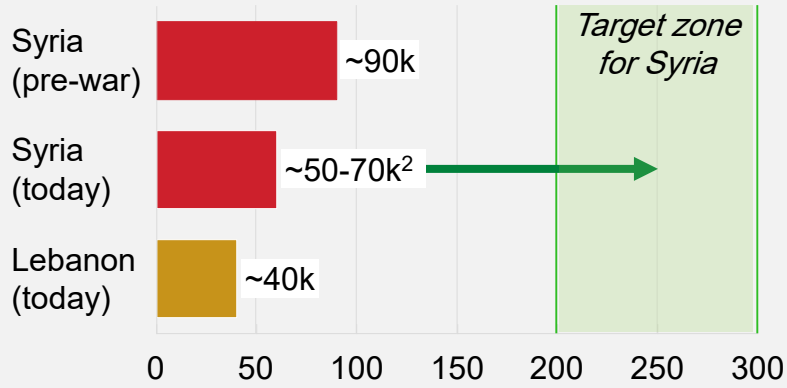
The Syrian conflict has destroyed 1-2 million homes, contributing to a total reconstruction cost of 100-350 billion USD

1-2 million homes — Damaged or destroyed

200-300k homes/year[1] — Estimated post-war demand

100-350 USD bn — Estimated total cost of reconstruction[3]

Comparison of estimated production capacity, # housing units/year



- Syria's domestic construction capacity will only be able to meet **20-30%** of demand
- Annual supply gap will be **at least 100,000 units**, which is overwhelming larger than Lebanon's total production capacity of ~40,000 units
  - E.g. to capture 20% of the supply gap, Lebanon will need to increase its capacity by 50%
- Thus, in all likelihood, Lebanon's reconstruction efforts will **not be limited by demand**

1 Including natural growth rate of 100,000 homes/year; 2 Based on damage/destruction of cement factories; 3 Not limited to housing

Source: World Bank, Middle East Initiative, cement factory websites, press search

Lebanon's participation in the reconstruction of Syria should be focused on industrial construction approaches

Industrial construction entails **large-scale**, **centralized** production of units using **automated & optimized** industrial technologies which allow for **integration** across the value chain

Industrialized construction offers several advantages which are very relevant to Syrian reconstruction

Advantages of industrialized construction

Reduced costs

20%-40% ↓

Minimization of waste due to the accurate production of precast concrete elements and reduced maintenance costs

Critical in Syria

Due to declines in income & purchasing power

Short construction time (and better quality)

~50% ↓

Optimized process and production in a controlled environment leads to efficiency and quality

Critical in Syria

Due to overwhelming supply-demand gap

Higher productivity; fewer on-site personnel

~30% ↓

Reduced labor cost and improved productivity

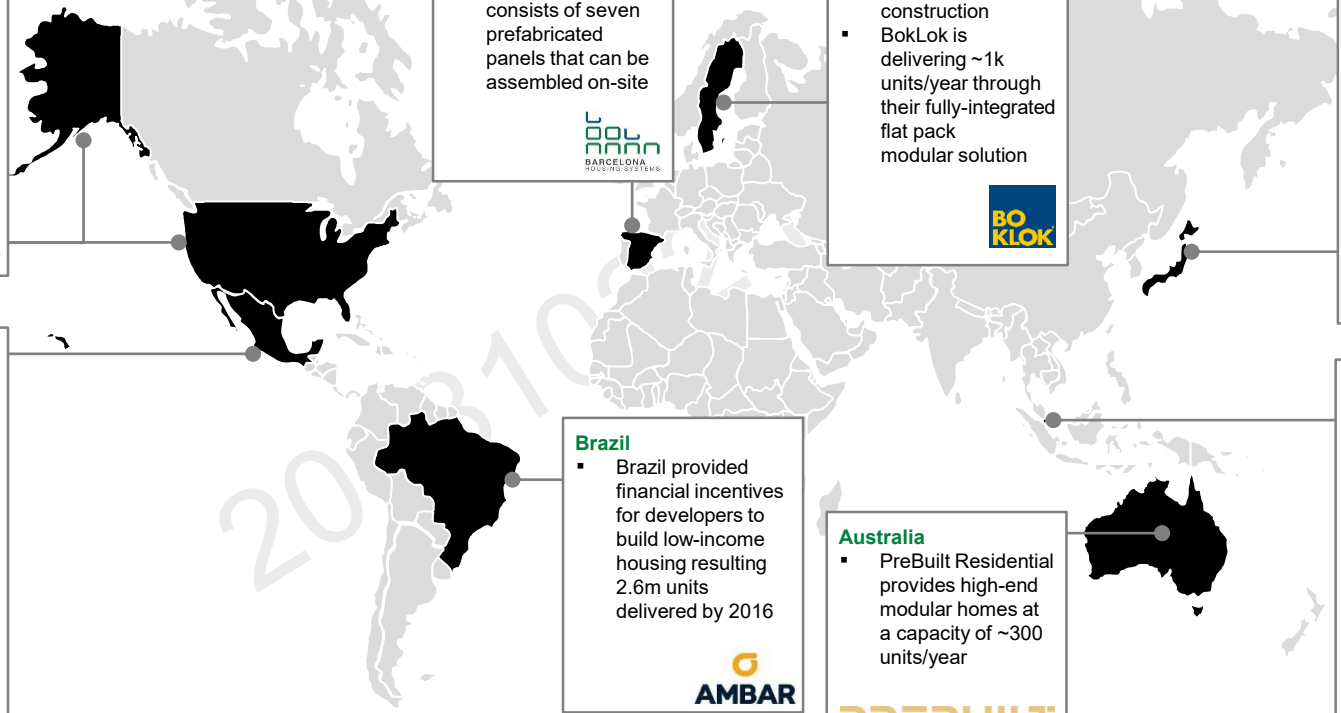
Creation of high-skill employment opportunities as jobs move from site to factory

Critical in Lebanon

Due to shortage of skilled job openings for Lebanese graduates & workers

2018 1022 Internal

Industrial construction technologies have been successfully leveraged for housing across the world…



United States
- Majority of modular housing is wood-based.
- New integrated housing startups are emerging. For example, Katerra delivers housing through integrating technology platform in the value chain

KATERRA

Spain
- Barcelona Housing system's building consists of seven prefabricated panels that can be assembled on-site

BARCELONA HOUSING SYSTEMS

Sweden
- 84% of new homes are built using industrial construction
- BokLok is delivering ~1k units/year through their fully-integrated flat pack modular solution

BO KLOK

Japan
- Sekisui House has established a regional presence in delivering high-quality pre-fabricated homes that are customizable to local preferences - at a scale of ~18k units/year

SEKISUI HOUSE

Mexico
- Casas Geo has delivered a total of ~600k prefabricated housing units over a period of 20 years however, financial issues, poor urban planning and a change in government policy forced Casas Geo to bankruptcy in 2014

Casas GEO
Te cambia la vida

Brazil
- Brazil provided financial incentives for developers to build low-income housing resulting 2.6m units delivered by 2016

AMBAR

Australia
- PreBuilt Residential provides high-end modular homes at a capacity of ~300 units/year

PREBUILT

Singapore
- Singapore's Housing Development Board (HDB) is leveraging industrial technology for concrete-based government-led housing at a current volume of ~20-30k units/yr

HOUSING & DEVELOPMENT BOARD

SOURCE: Sekisui House; Housing Development Board (Singapore); Prebuilt Australia; Boklok; Katerra; press search; team analysis

… as well as in Syria and the Middle East

The “Masaken Barzeh” area in **Damascus** is almost entirely prefabricated

Karmod – a leading Turkish prefab company – has developed several modular housing compounds in **Iraq** ★

2500 units build in 12 months (2014-15)

1880 units built in 7 months (2013)

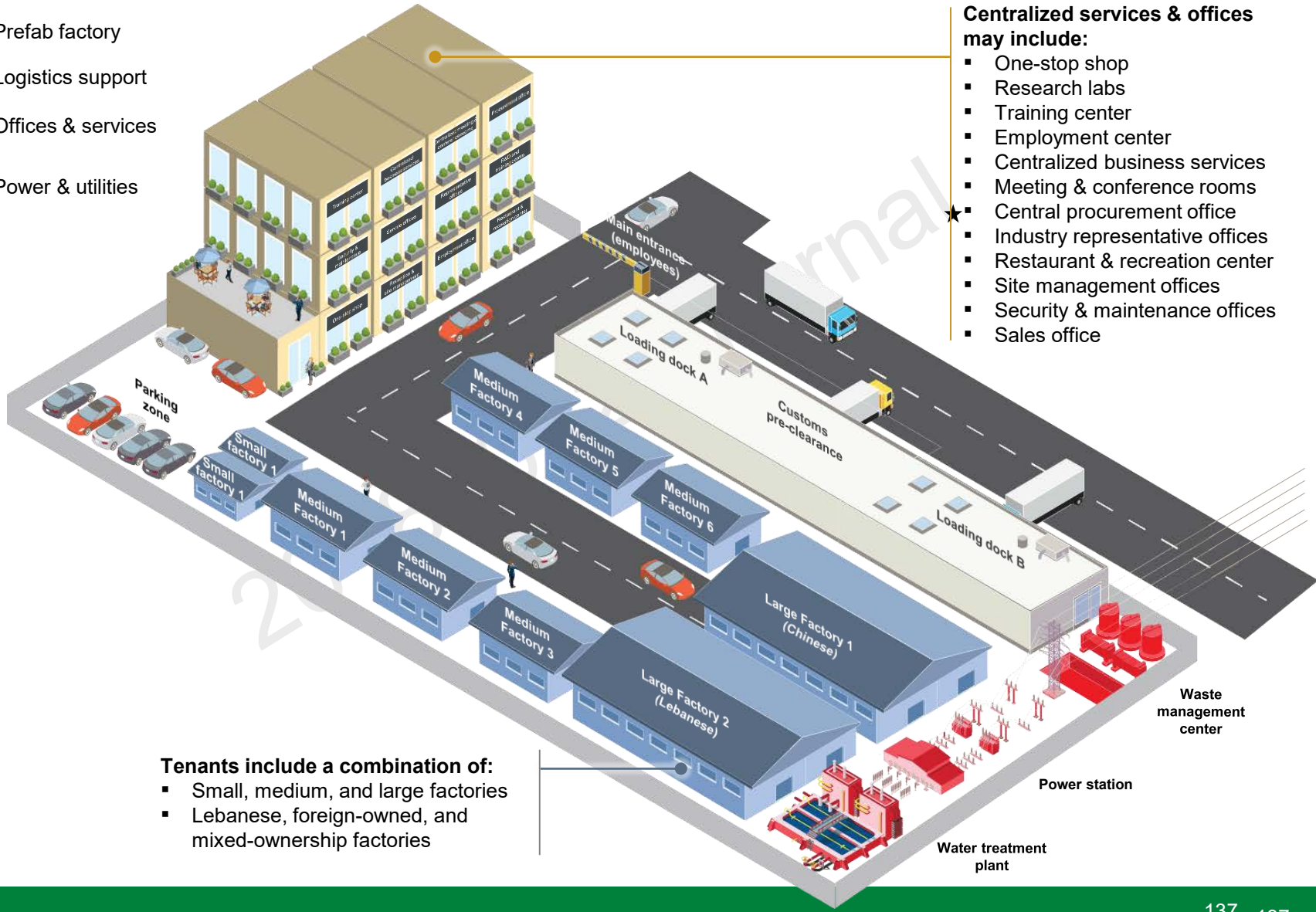
Internal

Source: Karmod website; Press search

Illustrative visualisation of industrial technology zone

ILLUSTRATIVE EXAMPLE

- Prefab factory
- Logistics support
- Offices & services
- Power & utilities



Centralized services & offices may include:

- One-stop shop
- Research labs
- Training center
- Employment center
- Centralized business services
- Meeting & conference rooms
- ★ Central procurement office
- Industry representative offices
- Restaurant & recreation center
- Site management offices
- Security & maintenance offices
- Sales office

Tenants include a combination of:

- Small, medium, and large factories
- Lebanese, foreign-owned, and mixed-ownership factories

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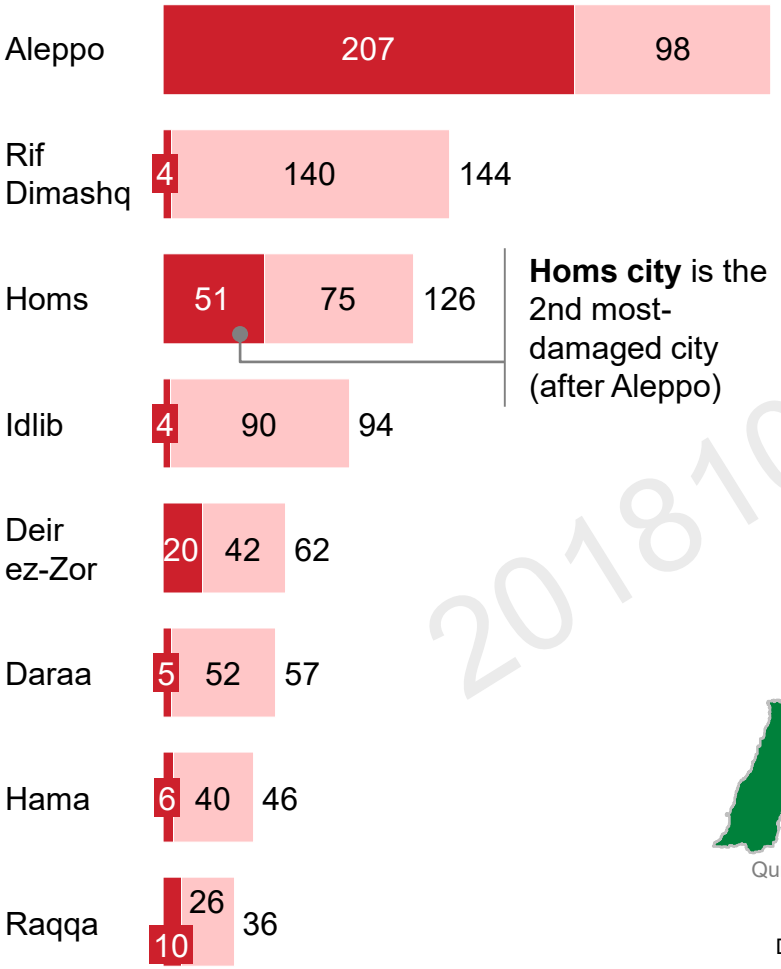
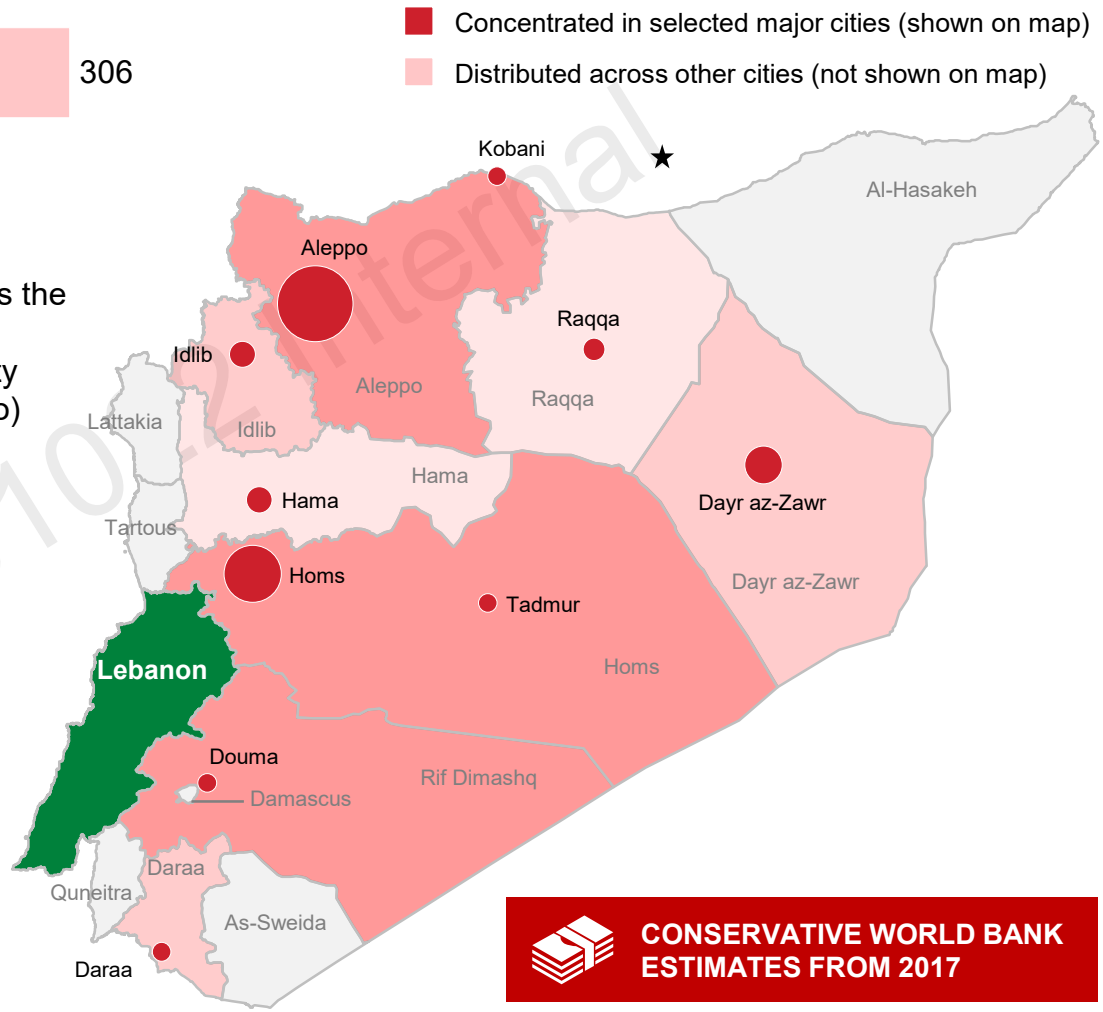
Homs is likely to be one of the most important reconstruction markets for Syria, followed by Rif Dimashq and Aleppo

Governorate-level distribution of damage to housing in Syria (2017)

of housing units which were destroyed or damaged, '000



Homs city is the 2nd most-damaged city (after Aleppo)



20181012 Internal

CONSERVATIVE WORLD BANK ESTIMATES FROM 2017

Source: World Bank - Toll of War (2017)

A preliminary assessment was conducted for four locations near the Syrian border: Abboudiye, Chadra, Al Qaa, and Masnaa

PRELIMINARY

Cement production facility | Major port | X Cement production capacity *(mn tons/year)*

ABBOUDIYE

- Abboudiye is a border town which lies along the main international highway connecting Tripoli to Homs

CHADRA / MACHTA HASAN / MACHTA HAMMOUD

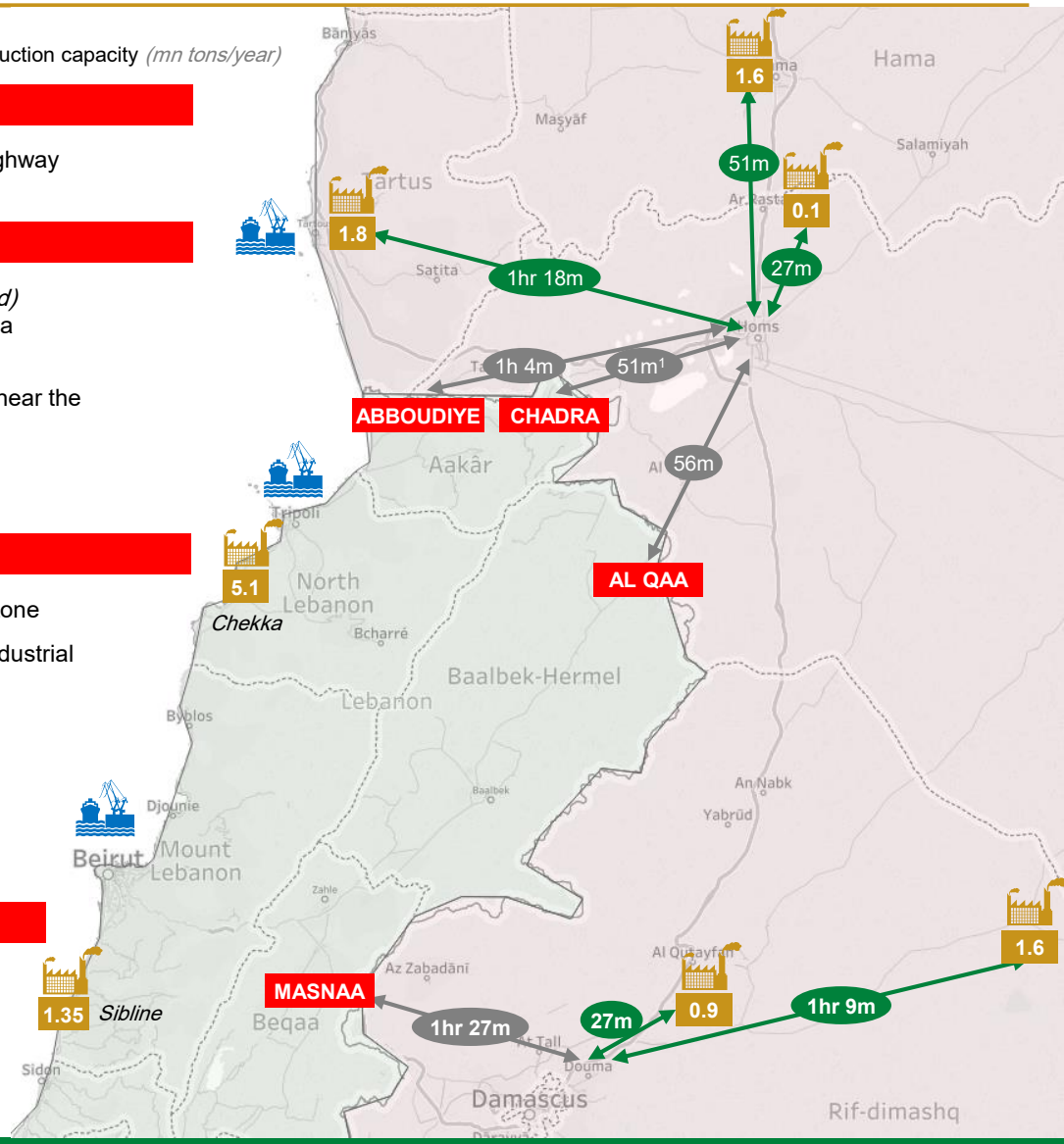
- Chadra *(along with neighboring Machta Hasan and Machta Hammoud)* are the nearest towns to the border crossing which connects to Hadida and Homs in Syria
- Although the cities themselves are in a hilly area, there are flat lands near the border crossing which could host an industrial zone
- Access to the area *(e.g. from Tripoli)* is not ideal due to the vast surrounding mountainous terrain

AL QAA

- Al Qaa's flat geography makes its land a prime host for an industrial zone
  - Land in Al Qaa has already been allocated to one of the three industrial zones being developed by MoI and UNIDO *(which will likely focus on food processing)*. There may be an opportunity to use part of this land – or adjacent vacant land – for an industrial construction zone *(enabling infrastructure synergies)*
- Al Qaa lies along the international highway which connects Baalbek to the Syrian border *(continuing to Al Qusayr and Homs)*, and is very close to Hermel *(20 minute drive)*

MASNAA / MAJDAL ANJAR / ANJAR

- Masnaa is the last Lebanese town along the international Beirut-Damascus highway
- Flat areas surrounding in Majdal Anjar and Anjar may be well-prepared to host an industrial zone



1 Assumes free access along the Chadra/Hadida border

While each location has a different value proposition, Al Qaa might be best-prepared to host an industrial construction zone

PRELIMINARY

Assessment of relative site advantage, *Driving distance*

	Abboudiye	Al Qaa	Chadra	Masnaa
Proposed **target** construction market	Homs (city)	Homs (city)	Homs (city)	Douma & E. Ghouta
Distance to target construction market[1]	1h 4m	56m	51m	1h 27m
Target's **proximity to Syrian cement** factory[2]	51m	51m	51m	27m
Comparative proximity to target market	✓	✓	✓	✗
Local **geographic accessibility**	●	●	●	●
Proximity to **major Lebanese cities**	●	●	●	●
Proximity to cement facility — Chekka	1h 7m	2h 20m	1h 32m	2h 15m
Proximity to cement facility — Sibline	3h 1m	2h 44m	2h 53m	1h 41m
Proximity to port (e.g. for steel imports) — Port of Tripoli	52m	2h 8m	1h 17m	2h 28m
Proximity to port (e.g. for steel imports) — Port of Beirut	2h 12m	2h 18m	2h 19m	1h 12m

*Lebanon can serve **Homs** competitively, whereas Damascus suburbs will be better-served by Syrian facilities* ★

Chadra is disadvantaged by its relative isolation in a mountainous terrain

***Abboudiye** has the most convenient access to major input providers*

20181022 Internal

Preliminary analysis suggests that **Abboudiye** or **Al Qaa** might be best-suited to host an industrial construction zone focused on Syrian reconstruction

- Lebanon is geographically better-equipped to address reconstruction in **Homs** *(rather than the suburbs of Damascus)*, and therefore a zone near **Masnaa** would not be optimal
- **Chadra**'s geographic isolation and distance from major cities threatens the feasibility of establishing an industrial zone

Further analysis is required to assess socioeconomic and environmental impact, land availability, infrastructure readiness, etc.

1 Transportation can be a major driver of cost and competitiveness for industrial construction components (especially 3D modular components)
2 Excluding factories with annual production below 500,000 tons

Industrial construction zone should prioritize structural and modular technologies which capture a large share of construction value chain

Structural technologies | Modular technologies

	Industrial construction technology	Description
Medium priority ~25-30% of value chain can be industrialized *(in Lebanon)*	1 Light gauge steel frames	Galvanized steel sheets, roll formed into profiles used for framing
	2 Precast concrete frames	Reinforced concrete framing elements, including columns & beams precast in factory
	3 Precast concrete panels	Large concrete walls and slab panels prefabricated in factory
	4 Structurally insulated panels	Insulating foam core sandwiched between two structural facings, typically metal sheet or cement
	5 Glassfiber reinforced panels	High strength fiber glass is embedded into gypsum, light weight concrete and plastic to for form panels, improved structural properties
High priority Up to ~75% of value chain can be industrialized *(in Lebanon)*	6 Volumetric pre-cast construction	Extension of precast concrete panels systems
	7 Modular homes	Sectional prefabricated buildings that consist of multiple modules constructed indoors on assembly lines (3D or flatpack)
	8 Complete factory built homes	Completely constructed and assembled offsite in a factory

2016/2022 Interim

SOURCE: MGI; Prillhofer Official website; understanding construction; precast website; Prebuilt construction; Building Construction Authority (Singapore); inhabitat; the constructor; Lindbäcks, press search

Industrial construction zone will create a combination of medium-skill and high-skill jobs across both Lebanon and Syria

Industrial zone facility ⟷ **On-site installation**

High-skill

- Management (10%)
- Design & engineering (6%)
- Quality assurance (1%)
- Factory workers (28%)
- Transport & logistics (8%)
- Technicians (14%)

Medium-skill

- On-site installation (33%)

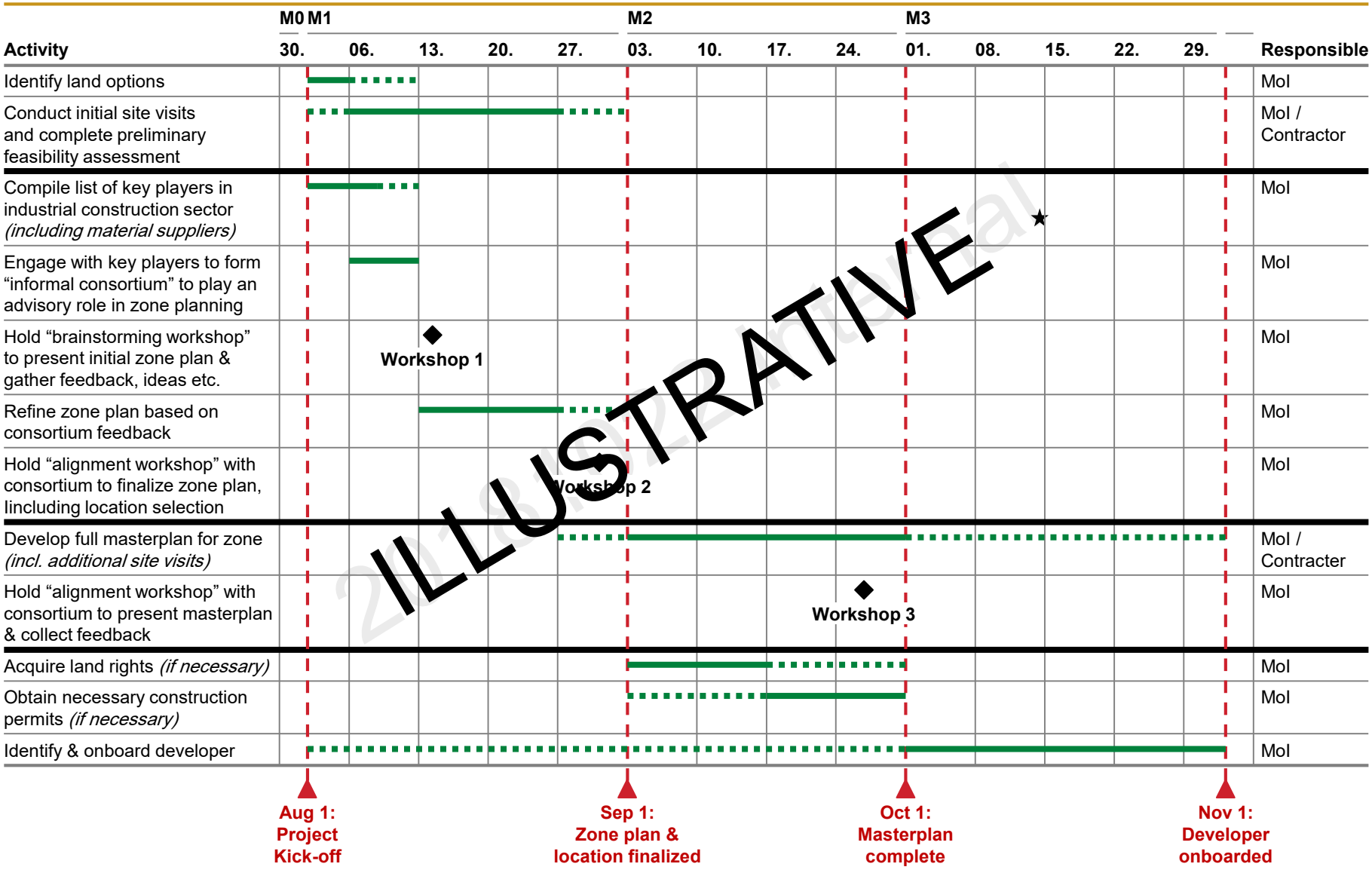
~67% of jobs | ~33% of jobs

~2 in 3 jobs created will be medium- and high-skilled jobs suitable for Lebanese worker, with many likely to emerge from the existing construction sector *(currently in decline)*

Excluding indirect jobs (e.g. cement factories, steel importers, etc.)

Construction technology initiative – implementation plan

ILLUSTRATIVE



ILLUSTRATIVE

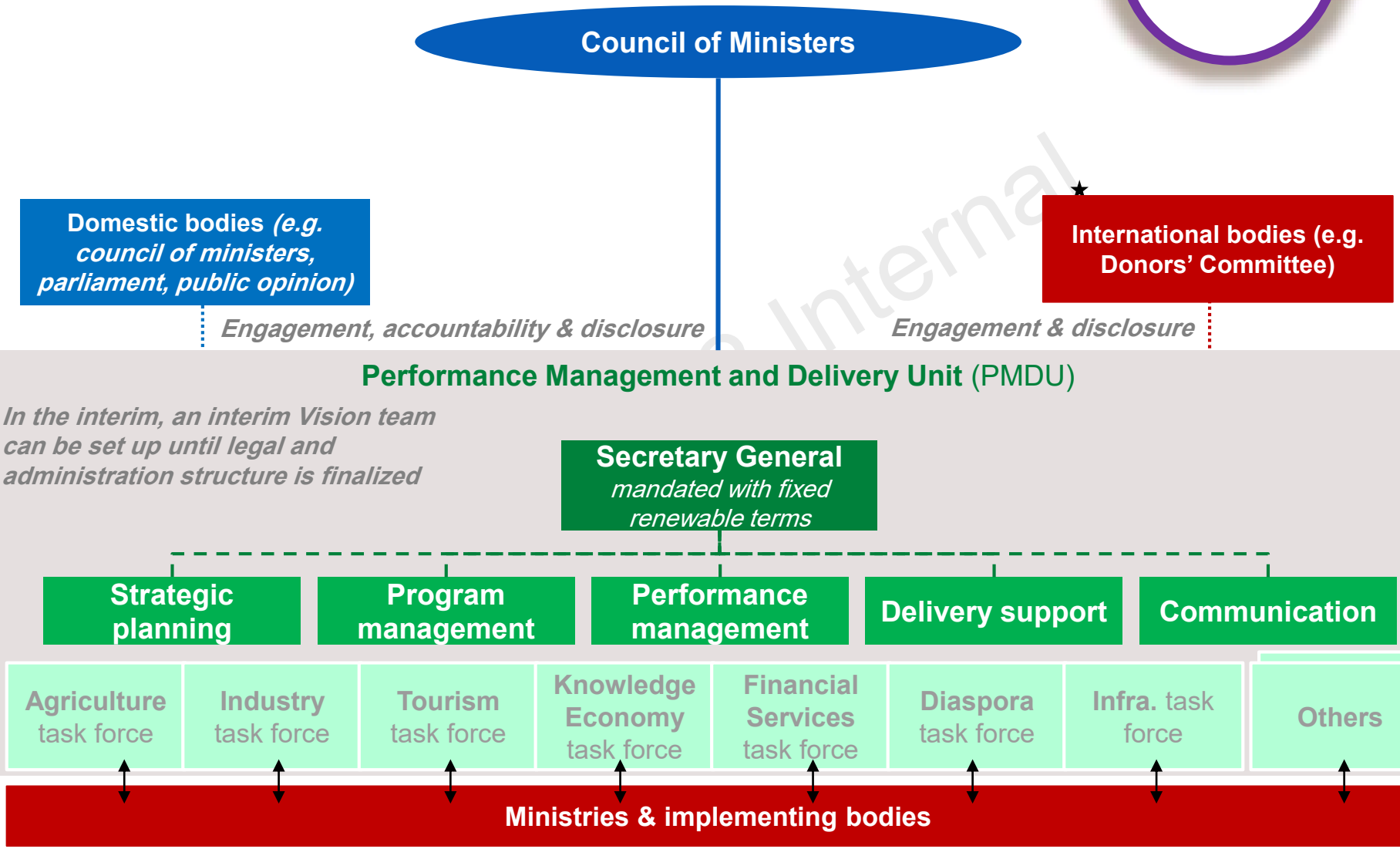
Contents

- **A Vicious Economic Cycle**
  - Summary of sectors & enablers diagnostic
- **A Promising Future**
- **A Focused Approach**
  - Sectors
    - Agriculture
    - Industry
    - Tourism
    - Financial Services
    - Knowledge Economy
    - Diaspora
  - Enablers
    - Infrastructure
    - Other Enablers
  - Flagship Projects
  - **Implementation Mechanism**

20181022 Internal

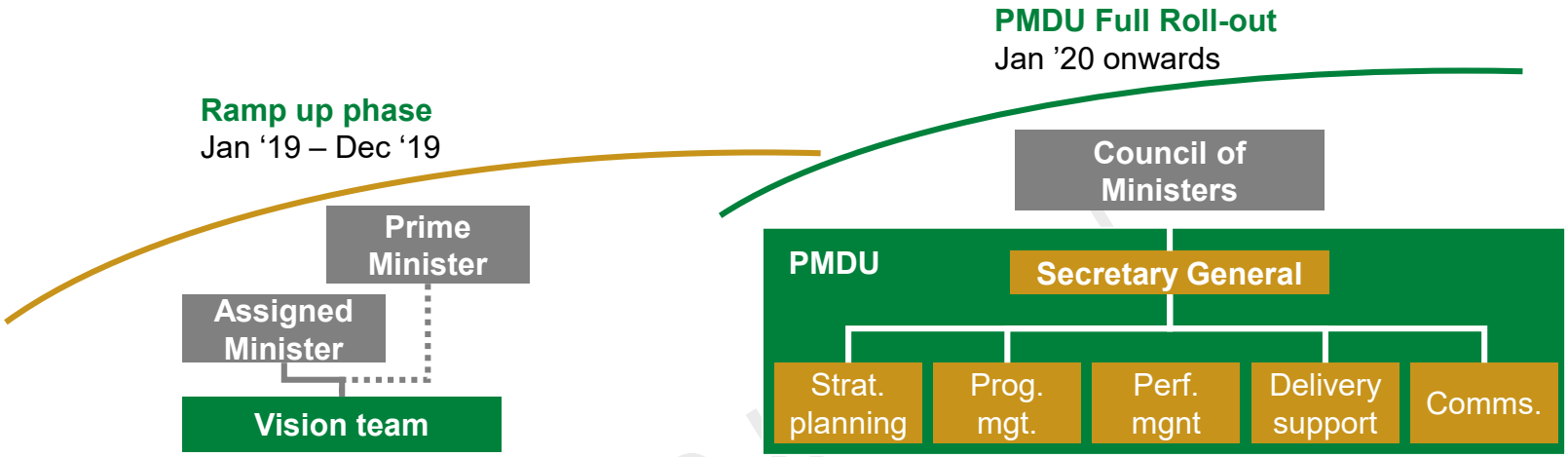
A formal implementation and impact realization mechanism should be set up to ensure vision delivery

Initial and still under discussion



Internal

Until the full institutionalization mechanism is set up, a Vision team would handle the ramp up phase



Description	▪ **Vision team incubated within an existing Ministry** – Headed by an assigned minister – Providing regular reports to the Prime Minister ▪ **Vision team covers all economic topics and initiatives, having PMDU-related functions including:** – Strategic Economic Planning – Program Management – Performance Management – Delivery Support – Communication	▪ **Performance Management and Delivery Unit (PMDU) acts as a standalone authority with constitutional legitimacy** – Parliament passes law establishing the unit – The Council of Ministers provides the Secretary General with a term mandate (e.g. 5 years) ▪ **PMDU covers Economic, Social and Environmental topics and initiative** – Strategic economic, social and environmental planning – Program management – Performance management – Delivery support – Communication
Required resources	▪ **10** FTEs	▪ **20** FTEs ▪ **1** Secretary General

Institutionalization mechanism: Roles and responsibilities

1 Council of Ministers

The Council of Ministers will oversee the progress of execution, taking necessary measures to enforce accountability and ensure timely execution by all relevant stakeholders. Key members include:

- President of the Lebanese Republic
- President of the Council of Ministers
- Deputy President of the Council of Ministers
- Minister of Finance
- Minister of Economy and Trade ★
- Minister of Foreign Affairs and Emigrants

2 Performance Management and Delivery Unit

Leads the coordination for the follow-up planning and execution phases. Reports to the Council of Ministers and has several responsibilities:

- **Strategic planning** including reconciliation of Programs stemming from the Vision with the medium term and annual budgets, as well as developing social and environmental strategies
- **Program management** including tracking the progress on large projects and ensuring proper coordination between all stakeholders involved in execution, including debottlenecking issues and coordinating with supporting entities
- **Performance management** through monitoring key performance indicators stemming from the Vision and issuing public reports on a regular basis. The reports would become the basis for accountability, consequence management and transparency with the public
- **Delivery support** for execution entities to de-bottleneck issues and provide the necessary expertise
- **Communication & public relations** including dialogue with the local and global community

3 Task forces

Responsible and accounting for the implementation of the respective sector's agenda. Includes representatives from all relevant implementation stakeholders *(e.g. ministries)* as well as a representative from the PMDU who serves as secretariat. Operating model *(e.g. meeting frequency)* to be set by each committee.

2018 IMF Internal

In the interim and by the end of 2019, 9 key activities should be completed

	Task	Timeline
General responsibilities	▪ **Recruit & train** the interim economic team	▪ 31 Dec 2018
Strategic planning	▪ **Develop (revise)** the proposed **prioritization mechanism**	▪ 31 Feb 2019
	▪ **Revise and detail out** the proposed list of **initiatives** ★	▪ 31 Feb 2019
	▪ **Prioritize the set of initiatives** to be launched in the first year of the implementation	▪ 15 Mar 2019
	▪ **Allocate the prioritized initiatives** to the different task forces	▪ 15 Mar 2019
Program management	▪ **Design, set-up & launch the different task forces** that will own the various initiatives of the Vision	▪ 31 Jan 2019
	▪ **Support the different task forces in detailing out the prioritized initiatives** into full-fledged implementation plans (developing 3-foot plans), through meetings, workshops etc…	▪ 31 Aug 2019
Performance management	▪ **Initiate the compilation of the different KPIs** put in place and start regularly collecting these metrics from the relevant authorities for continuous monitoring	▪ 30 Jun 2019
	▪ **Issue quarterly reports on the progress of the Vision**, mainly the progress on activating the task forces and developing the detailed implementation plans	▪ 30 Jun 2019

In parallel, the interim economic team should support in the drafting of the law related to the institutionalization of the mechanism and the formation of the PDMU: initiative PUB.F.1

Confidential - Internal

Next Steps

- Activate syndication and communication plans
- Seek formal endorsement from the next Council of Ministers
- Engage with parliament to facilitate the endorsement of future government's economic plans and the associated legislative agenda

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
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   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
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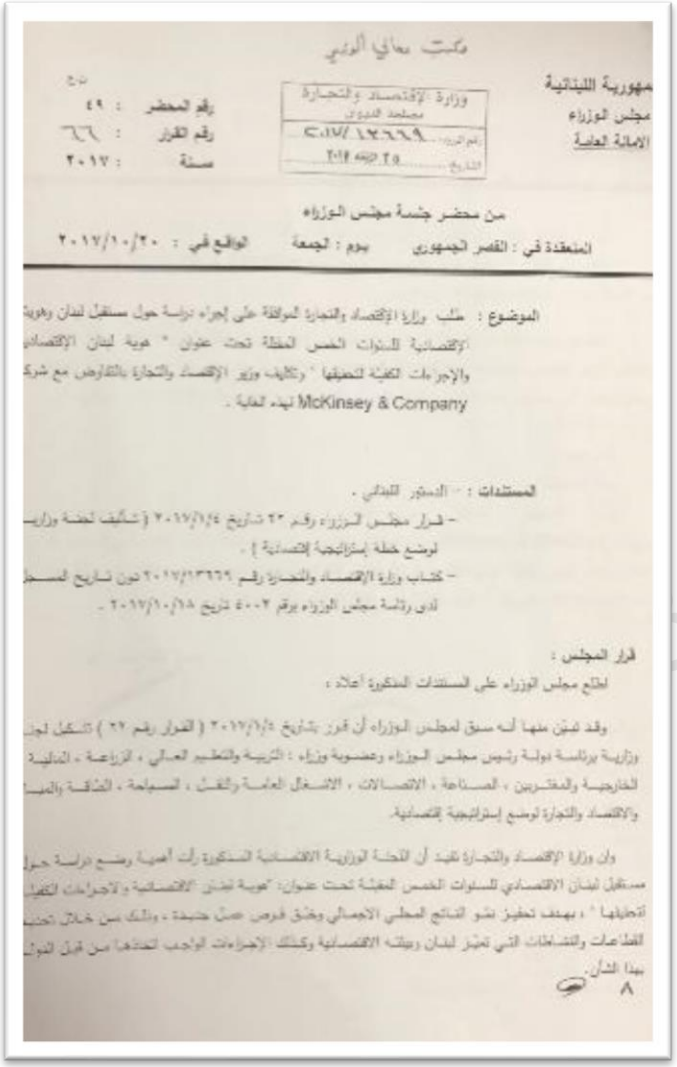
C. Smart Lebanon licensing and clusters

2018 1022 Internal

The study has been launched following a Council of Ministers decree in October 2017



مكتب سعادة الوزير

الجمهورية اللبنانية
مجلس الوزراء
الأمانة العامة

وزارة الاقتصاد والتجارة
مجلس الشورى

رقم المحضر : ٤٩
رقم القرار : ٦٦
سنة : ٢٠١٧

من محضر جلسة مجلس الوزراء

المنعقدة في : القصر الجمهوري يوم : الجمعة الواقع في : ٢٠١٧/١٠/٢٠

الموضوع : طلب وزارة الاقتصاد والتجارة الموافقة على إجراء دراسة حول مستقبل لبنان وهوية لبنان الاقتصادية للسنوات الخمس المقبلة تحت عنوان " هوية لبنان الاقتصادي والإجراءات الكفيلة لتحقيقها " وتكليف وزير الاقتصاد والتجارة بالتفاوض مع شركة McKinsey & Company لهذه الغاية .

المستندات : - الدستور اللبناني .
- قرار مجلس الوزراء رقم ٢٣ تاريخ ٢٠١٧/١/٤ [تشكيل لجنة وزارية لوضع خطة إستراتيجية إقتصادية] .
- كتاب وزارة الاقتصاد والتجارة رقم ٢٠١٧/١٣٦٦٩ تاريخ [illegible]
لدى رئاسة مجلس الوزراء برقم ٤٠٠٢ تاريخ ٢٠١٧/١٠/١٨ .

قرار المجلس :
اطلع مجلس الوزراء على المستندات المذكورة أعلاه ،

وقد تبين منها أنه سبق لمجلس الوزراء أن قرر بتاريخ ٢٠١٧/١/٤ (القرار رقم ٢٣) تشكيل لجنة وزارية برئاسة دولة رئيس مجلس الوزراء وعضوية وزراء : التربية والتعليم العالي ، الزراعة ، المالية ، الخارجية والمغتربين ، السياحة ، الاتصالات ، الأشغال العامة والنقل ، الصناعة ، الثقافة والشباب والاقتصاد والتجارة لوضع إستراتيجية إقتصادية .

وان وزارة الاقتصاد والتجارة تفيد أن اللجنة الوزارية الاقتصادية المذكورة رأت أهمية وضع دراسة حول مستقبل لبنان الاقتصادي للسنوات الخمس المقبلة تحت عنوان: "هوية لبنان الاقتصادية والإجراءات الكفيلة لتحقيقها " ، بهدف تحفيز نمو الناتج المحلي الاجمالي وخلق فرص عمل جديدة ، وذلك من خلال تحديد القطاعات والقطاعات التي تميز لبنان وميزته الاقتصادية وكذلك الإجراءات الواجب اتخاذها من قبل الدولة بهذا الشأن .

٨

The Council of Ministers decree 2017/13669

- On October 20th, 2017, the Council of Ministers approved the launch of a study aimed at setting a Vision for Lebanon's Economy under the title 'Lebanon's Economic Vision, and ways to achieve it'
- The Economic Development agenda was highlighted as one of the key priorities following CEDRE in addition to CIP, Fiscal Reforms, Sector Reforms
- The Vision would aim to grow GDP and create jobs through selecting productive sectors that could become competitive and understand the government's role in that regard

01/22 Internal

We have engaged with a range of local and global experts, benchmarks and reports

Local Stake-holders

Interviewed 200+ stakeholders over a period of 8 months, across the following domains

- ~15 Ministers
- Economic & Social Council
- ~30 Director Generals and regulators
- ~ 30 Associations, syndicates and Orders
- ~10 NGOs and International Organizations
- ~75 Lebanese entrepreneurs and private sector leaders

Project team

Project leadership composed of members **from** several **key government entities**, including the Ministry of Economy, the Presidency of the Lebanese Republic, the Presidency of the Council of Ministers, the Economic and Social Council and the Investment Development Authority of Lebanon

Global advisory team

A team of ~10 consultants was dedicated to the project, with a further 20 global experts having visited Lebanon, and several others interviewed to understand global trends and potential solutions across multiple sectors

Reviewed documents

Capitalized and **built on previous work**; **over 100 documents** were **reviewed** including country reports, sector strategies, surveys and data, from leading think tanks and international institutions

2018 1022 Internal

Current efforts focus on syndication, to be followed by communication and implementation

Scope of work

Jan-Mar '18 → Mar-Jul '18 → Aug-Oct '18 → Nov'18 +

PRE-WORK INTERVIEWS

- ~15 Ministers
- Economic and Social Council
- ~30 Director Generals and regulators
- ~5 Members of Parliament
- ~30 Associations, syndicates and Orders
- ~10 NGOs and International Organizations
- ~75 Lebanese private sector leaders
- 20+ internal global experts

CONTENT DEVELOPMENT AND STUDY OUTPUT

- Analyse the current macro-economic and sector challenges and opportunities
- Select 5 productive sectors with high potential, set their aspirations, targets & initiatives
- Identify and detail out 4 enabler requirements
- Shortlist 3 flagship initiatives to kick-off within 6 months of approving the Vision

Today

SYNDICATION AND VISION REPORT DEVELOPMENT

- Adapt outcomes from the study into a report to be submitted to the Council of Ministers for approval
- Syndicate vision report with speaker of the parliament and MPs
- Engage with stakeholders including Lebanese diaspora, and potential investors
- Develop the communication plan including messaging and branding

★

VISION IMPLEMENTATION

- Design and launch the institutionalization mechanism

Internal

The outcome of the study is organised around 8 chapters, concluding with the institutionalization mechanism and flagship projects

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C. Smart Lebanon licensing and clusters

Executive Summary *(~150 pages)*

Full study *(~1000 pages)*

2018 10 22 Internal

Recap of scope and deliverables

National Economic Vision

Strategic Initiatives

Scope

- Developing the **National Economic Vision** with top-down aspirations as the 'True North' to guide long-term economic development efforts across growth sectors and enablers, along 3 phases
  - Diagnostic, guiding principles and economic aspirations
  - Defining priority sectors and cross-cutting enablers
  - Preparation of National Economic Vision report

- Launching **selected strategic initiatives** to create instant change and build momentum to kick-start the transformation journey, across 2 phases
  - Strategic initiatives selection
  - Implementation planning

Deliverables

- High-level assessment of current economic situation, key challenges and opportunities
- Outline of Vision Aspirations
- Prioritized sectors, required enablers and development blueprints
- Consolidated report including Vision aspirations, refined target sector blueprints, national enablers and implementation roadmap

- Preliminary list of strategic initiatives per sector
- 1-2 prioritized initiatives with detailed charters
- Prioritized strategic initiatives with high-level business cases and implementation roadmaps

20181022 Internal

Project workplan

Phase 0
4 weeks

Data Gathering
- Submit data request
- Agree on scope and methodology

Stakeholder engagement
- Develop and schedule list of interviews

Project Governance
- Define project governance
- Form 'Vision Team'

Communication/PR Approach
- Develop project messaging
- Form PR task force

Phase 1
5 weeks

Diagnostic
- Define the burning platform
- Analyse existing opportunities

Trends & Aspirations
- Research global economic archetypes and trends
- Align on guiding principles, aspirations and targets for the Lebanese Economy

Phase 2
4 weeks

Selecting Growth engines ★
- Select 4-5 sectors as growth engines
- Develop sector aspirations
- Identify enablers to support the sectors and the economy
- Draft Vision Report

Strategic Initiatives
- List strategic initiatives for each of the growth sectors
- Prioritize 1 or 2 strategic initiatives to launch within 12 - 18 months

Phase 3
4 weeks

Vision report
- Syndicate Vision aspirations and growth sectors
- Finalize Vision report

Rapid initiatives
- Design business cases for rapid initiatives
- Develop implementation plans

20161022 Internal

Source: Project Proposal, team analysis

Phase 1 roadmap

Track 1 Track 2

Diagnostic

Trends and Aspirations

Activities

- High level diagnostic of the Lebanese economy, including macro-economic indicators and sectoral analysis, leveraging the existing reports conducted over the past 2-3 years with targeted updates when necessary
- Analyse competitiveness across of Lebanon across 12-15 factors/enablers compared to relevant aspiration countries and identify gaps that need to be addressed

Deliverables

- Diagnostic report, with high level assessment of current situation, key challenges and opportunities ★

- Research global trends and country cases, and implied economic archetypes
- Align on the economy's guiding principles, building on the learnings from the diagnostic
- Define and syndicate economic aspirations and identify macro-economic metrics and targets
- Validate internal coherence of the targets

- Outline of Vision Aspiration final report

20181022 Internal

Source: Letter of Proposal

Phase 2 roadmap

Track 1 Track 2

Growth engines

Activities

- Assess and select growth sectors and cross-cutting enablers through 3 lenses, a) Country aspirations and principles, b) global trends and c) identified gaps (from phase 1)
- Design sector objectives, supporting enablers and high level roadmap
- Stress-test selected sectors and validate their targets
- Syndicate selected sectors and their enablers with relevant stakeholders

Deliverables

- Sector/enabler blueprints to be included in the final Vision report
  - Sector aspirations and targets
  - Main ★ ‘thrusts’ of the sector
  - Enablers required to achieve the sector’s aspirations

Strategic priorities

- For each selected sector, develop a list of potential strategic initiatives
- Prioritize and selected 1-2 strategic initiatives to be launched within 12 months based on feasibility
- Engage with stakeholders to syndicate and refine initiatives

- Preliminary list of strategic initiatives per sector
- Detailed charters for the 1-2 prioritized initiatives

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Source: Letter of Proposal

Phase 3 roadmap

Track 1 Track 2

National Vision Report

Initiative implementation planning

Activities

- Develop the initial draft of the Vision report, including aspirations, sectoral blueprints and Vision write-ups
- Syndicate sectoral blueprints with the relevant technical experts
- Consolidate write-ups into the final report

Deliverables

- Consolidated Vision report including economic aspirations and targets, growth sectors, national enablers and implementation roadmap

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- Develop high-level business cases for the prioritized initiatives
- Design implementation plan for the initiatives including enablers, owners, budget and measures of success

- Business case and implementation plan for the prioritized strategic initiatives

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Source: Letter of Proposal

Phase 3 roadmap

Activities

- Develop the initial draft of the Vision report, including aspirations, sectoral blueprints and Vision write-ups
- Syndicate sectoral blueprints with the relevant technical experts
- Consolidate write-ups into the final report

Deliverables

- Consolidated Vision report including economic aspirations and targets, growth sectors, national enablers and implementation roadmap

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- Develop high-level business cases for the prioritized initiatives
- Design implementation plan for the initiatives including enablers, owners, budget and measures of success

- Business case and implementation plan for the prioritized strategic initiatives

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Source: Letter of Proposal

A model was developed to assess the macro-economic impact

What the model is ✓

- The model provides **guidance on target-setting** for the different macro-economic metrics (overall and sectorial), achievable by the economic Vision
- The model provides a **mechanism to stress-test and ensure consistency between sector-specific targets and overall macro-economic targets**
  - It provides an aggregated view of macro-economic parameters adding up the sectors' macro-economic impact
  - It links the different sector's targets (e.g. number of tourists acquired) to the sector's macro-economic impact (e.g. GDP & jobs) through basic linear regressions

What the model is not ✕

- It is **not a complex macro-econometric model** (e.g. General equilibrium model)
- The model is **not a comprehensive all-encompassing targets model** (e.g. the model excludes qualitative targets, such as quality of roads, which are assessed differently through country benchmarks)

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Source: Macro-economic model methodology

Both bottom-up and top-down estimations were conducted to assess the macro-economic impact of the Vision

Top-down

Validate and refine obtained targets **based on benchmarks** and case studies (e.g. ~5% real growth for Singapore in 30 years)

Compute **effect of macro-economic projections** on **different parameters** (government budget, balance of payments)

Compute aggregate economic impact by adding up the impacts of the different sectors

Compute macro-economic impact of other sectors by applying **natural GDP growth rate** of ~2.4% p.a (average growth rate of last 15 years excluding high-growth period, cross-checked with IMF projections) and labor productivity benchmarks

Assess induced impact of the priority sectors on the other economic sectors by **applying Input/Output** tables on the incremental growth of the priority sectors vs. a baseline natural growth

Compute the job impact of the sector based on GDP and productivity growth[1]

Estimate sector growth potential (e.g. regression from tourists to revenue to GDP impact)

Analyze priority sector intrinsic to assess opportunity (e.g. potential of 4 Mn tourists)

Estimate productivity increase for the sector based on benchmarks

Conduct **productivity benchmarking** exercise

Bottom-up

1 For technology and outsourcing that represent nascent industries today, job numbers were computed assuming penetration levels of global leaders or market share capture

A five step process was followed to build the model

1 Estimate current labor force and unemployment rates	2 Assess impact of prioritized sectors	3 Assess induced impact from prioritized sectors	4 Assess impact from natural growth of other sectors	5 Derive model output
▪ Compute estimated labor force based on ILOSTAT productivity for 2010 ▪ Use the 2009 CAS Labor force survey as baseline ▪ Use Grow the Labor force	▪ Based on market assessment and potential, **compute bottom-up** the expected **job impact** from the **prioritized sector** ▪ **Project labor productivity** based on benchmark and/or aspired growth ▪ Compute **GDP** impact by **multiplying jobs** by **labor productivity**	▪ Using jobs **Input/Output** tables, compute the **induced impact** from the jobs of the prioritized sectors **on the other sectors** ▪ Assess induced GDP impact through multiplying by productivity	▪ Compute **GDP growth** of **other sectors** by applying **natural** GDP growth rate of **~2.4% p.a** ▪ **Project labor productivity** based on benchmark and/or aspired growth ▪ Compute **GDP** impact by **multiplying jobs** by **labor productivity**	▪ **Labor market metrics** – Compute unemployment ▪ **Government budget** – Derive revenues from GDP growth – Project expenditures based on structural reforms
Data sources ▪ CAS 2009 Labor force survey ▪ CAS 2015 National Accounts ▪ ILOSTAT productivity	▪ Market sizing benchmarks ▪ Data on global labor productivity (ILOSTAT) ▪ Benchmark on automation growth	▪ MGI Input-Output tables for Turkey & Romania	▪ IMF GDP growth projections ▪ Data on global labor productivity (ILOSTAT) ▪ Benchmark on automation growth	

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Source: Macro-economic model methodology

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I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
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III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
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   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

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   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
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VII. INSTITUTIONALIZATION MECHANISMS

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VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
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C. Smart Lebanon licensing and clusters

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We have engaged with a range of local and global experts, benchmarks and reports

Local Stake-holders

Interviewed 200+ stakeholders over a period of 8 months, across the following domains

- ~15 Ministers
- Economic & Social Council
- ~30 Director Generals and regulators
- ~ 30 Associations, syndicates and Orders
- ~10 NGOs and International Organizations
- ~75 Lebanese entrepreneurs and private sector leaders

Project team

Project leadership composed of members **from** several **key government entities**, including the Ministry of Economy, the Presidency of the Lebanese Republic, the Presidency of the Council of Ministers, the Economic and Social Council and the Investment Development Authority of Lebanon

Global advisory team

A team of ~10 consultants was dedicated to the project, with a further 20 global experts having visited Lebanon, and several others interviewed to understand global trends and potential solutions across multiple sectors

Reviewed documents

Capitalized and **built on previous work**; **over 100 documents** were **reviewed** including country reports, sector strategies, surveys and data, from leading think tanks and international institutions

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Meetings conducted (1/4)

Sector	Interviewee	Organization
Agriculture	Ministry of Agriculture Directors	Ministry of Agriculture
	Antoine Howeyek	Farmers' Association
	Samir Mdawar	Faculty of Agriculture at the Lebanese University
	Youssef Mahieddine	ECOSOC, Agriculture committee
	Georges Hrawi	ECOSOC, Agriculture committee
	Bachar El Qodsi	ECOSOC, Agriculture committee
	Gerges Fakhry	ECOSOC, Agriculture committee
	Majed Saayfan	ECOSOC, Agriculture committee ★
	Georges El Sakr	ECOSOC, Agriculture committee
	Saeed El Mays	ECOSOC, Agriculture committee
	George Hobeika	REGIE Libanaise
	Raphael Debbane	Debbane Group
	Zafar Chaoui	Chateau Ksara
	John Touma	Arak Touma
	Nadine El Khoury	Robinson Agri
	Diane Audi	AUB - Nature Concervation Center
	Maurice Saadeh	Food and Agriculture Organization
Banking & Insurance	Riad Salameh	Banque Du Liban
	Samir Hammoud & team	Banking Control Commission
	Nadine Assali	Insurance Control Commission
	Dr. Nabil Itani & team	Investment Development Authority of Lebanon
	Dr. Joseph Torbey & team	Association of Banks in Lebanon
	Max Zakkar	Association of Insurance Companies in Lebanon
	Saad Azhari & team	BLOM Bank
	Samir Hanna & team	Bank Audi
Diaspora	Gebran Bassil	Ministry of Foreign Affairs
	Chucri Mouannes	Banque Du Liban
	Wissam Boutros	Ministry of Foreign Affairs
	Bilal Kabalan	Ministry of Foreign Affairs
Education	Bahiya Hariri & team	Member of Parliament
	Marwan Hamadeh	Ministry of Education & Higher Education
	Fadi Yarak	Ministry of Education & Higher Education
	Dr Fouad Ayoub & team	Lebanese University
	Nazih Jebbawi	Syndicate of Secondary Teachers
	Pere Boutros Azar	Association of Catholique Schools

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Meetings conducted (2/4)

Sector	Interviewee	Organization
Finance	Ali Hassan Khalil & team	Ministry of Finance
	Alain Bifani	Ministry of Finance
	Talal Salman	Ministry of Finance
	Firas Safieddine	Capital Markets Authority
	Ziad Hayek	Higher Council for Privatization
	Ghaleb Mahmasani	Beirut Stock Exchange
Healthcare	Atef Majdalani	Member of Parliament ★
	Ghassan Hasbani	Ministry of Public Health
	Dr. Mohammad Karaki & team	National Social Security Fund
	Sleiman Haroun	Association of Hospitals
Industry	Hussein Hajj Hassan	Ministry of Industry
	Danny Gedeon & team	Ministry of Industry
	Fadi Gemayel & team	Association of Lebanese Industrialiats
	Antoine Moughanni & team	Syndicate of Jewllers
	Neemat Frem	INDEVCO
	Jacques Sarraf	ECOSOC, Industry committee
	Ali Ghandour	ECOSOC, Industry committee
	Andre Alaour	ECOSOC, Industry committee
	Adnan Rammal	ECOSOC, Industry committee
	Talal Hijazi	ECOSOC, Industry committee
	Carole Abi Karam	ECOSOC, Industry committee
	Ziad Bikdache	ECOSOC, Industry committee
	Jean Michel Mokhbat	ECOSOC, Industry committee
	Chawki Daccache	ECOSOC, Industry committee
	Ibrahim El Mallah	ECOSOC, Industry committee
	Cristiano Passini & team	United Nations Industrial Development Organization
Media	Melhem Riachi	Ministry of Information
	Tony Eid & team	Tele Liban
	Aouni El Kaaki	Syndicate of Journalists
	Sadek Sabbah	Cedars Art Production

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Meetings conducted (3/4)

Sector	Interviewee	Organization
Energy	Yassine Jaber	Member of Parliament
	Mohammad Fneich	Minister of Sports and Youth
	Pierre El Khoury	Lebanese Center for Energy Conservation
	Nada Boustani	Ministry of Energy and Water
	Walid Nasr & team	Lebanese Petroleum Association
	Kamal Hayek & team	Electricite Du Liban
	Assaad Nakad & team	Electricite De Zahle
	Dr. Mounir Yahia	NEEDS ★
Public Sector	Michel Aoun	President of the Lebanese Republic
	Nabih Berri	Speaker of the Lebanese Parliament
	Saad Hariri	President of the Council of Ministers
	Salim Jreisati	Minister of Justice
	Inaya Ezzedine & team	Office of the Minister of State for Administrative Reform
	Talal Erslan	Minister of Displaced
	Mouin El Merehbi & team	State Minister for the Displaced
	Nicolas Tueini	State Ministry for Combatting Corruption
	Alia Abbas	Ministry of Economy and Trade
	Ghada Safar	Ministry of Economy and Trade
	Kabalan Kabalan	Council of the South
	Nabil El Jisr & team	Council for Development and Reconstruction
	Najwa Yaacoub	Central Authority for Statistics
	Yasmina Khoury	Presidency of the Council of Ministers
	Bassem El Sabaa	Advisor to PCM Hariri
	AbdelHalim Fadlallah	Middle East Political and Economic Institute
	Philippe Lazzarini & team	United Nations Development Program
	Lama Oueijan	International Labour Organization
Real Estate	Ricardo Skaff	Banque Du Liban
	Namir Cortas	Real Estate Developers Association
	Jad Tabet	Order of Engineers
Retail and Commerce	Charles Arbid & team	Economic and Social Council
	Mohammad Choucair	Chamber of Commerce, Industry and Agriculture
	Nicolas Chammas & team	Beirut Trader Association
	Hani Bohsali	Syndicate of Importers of Food & Drinks
	Said Daher	AZADEA

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Meetings conducted (4/4)

Sector	Interviewee	Organization
Technology	Camil Moukarzel & team	Professional Computer Association
	Mohammad Rabah	Beirut Digital District
	Walid Mansour	MEVP
	Sami Bou Saab	Speed Lebanon
	Rami Abou Jaoudeh	Berytech
	Nadim Zaazaa	UK Tech Hub
	Bijan Azad	American University of Beirut
Telecom	Amine Moukheiber	Telecom Regulatory Authority
	Emre Gurkan + team	Touch
	Marwan Hayek	Alfa
Tourism	Nada Sardouk & team	Ministry of Tourism
	Georges Freiha	Ministry of Tourism
	Ghattas Khoury & team	Ministry of Culture
	Michel Pharon	Minister of State for Parliament Affairs
	Pierre El Achkar	Federation of Tourism
	Wadih Kanaan	ECOSOC, Tourism committee
	Wafaa Abded	ECOSOC, Tourism committee
	Abdel Amir Najda	ECOSOC, Tourism committee
	Haytham Fawaz	ECOSOC, Tourism committee
	Mohammad Jezzini	ECOSOC, Tourism committee
	Mohammad Dakdouk	ECOSOC, Tourism committee
	Anthony Chabarekh	ECOSOC, Tourism committee
	Georges Atallah	ECOSOC, Tourism committee
	Nayla Abi Karam	ECOSOC, Tourism committee
	Jean Abboud	Association of Travel & Tourist Agents
	Tony El Rami & team	Syndicate of Owners of Restaurants, Cafes, Night Clubs & Pastries
	Roland Khoury & team	Casino Du Liban
	Michel Elifteriades	Music Hall
Transporation & Logistics	Youssef Finianos	Ministry of Transport and Public Works
	Hassan Koraytem & team	Beirut Port
	Lt. Mohammad Kheir & team	Higher Relief Committee
	Mohammad El Hout	Middle East Airlines
	Ammar Kanaan	Beirut Port

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I. Previous Economic Studies (1/2)

A. Economic development studies done by the government

Report/Study Title	Government Institution(s)	Year(s)
National Social Development Strategy	Ministry of Social Affairs	2011
Economic and Social Reform Action Plan	Presidency of Council of Ministers	2012
National Sustainable Development Strategy of Lebanon	Presidency of Council of Ministers	2015
Economic Accounts of Lebanon	Presidency of Council of Ministers	2003-2011
National Accounts (Revision)	PCM - Central Adminstration of Statistics	2004-2015
Supporting the Future of Syria and the Region: A vision for Stabilization and Development in Lebanon	Republic of Lebanon - Brussels Conference	2017

B. Economic development studies done by Lebanese organizations

Report/Study Title	Lebanese Institution(s) / Organization(s)	Year(s)
ABL Annual Reports	Association of Banks in Lebanon	2008-2016
The Business Chronicle	Chamber of Commerce Industry and Agriculture in Beirut	2011-2016
Emerging Lebanon-Towards Economic Growth and Social Welfare	The Economic and Social Council of Lebanon	2016
Lebanon at a Glance	Investment Development Authority	2012-2017

C. Studies / Reports developed by global organizations

Report/Study Title	International Organization(s)	Year(s)
Using Lebanon's Large Capital Inflows to Foster Sustainable Long Term Growth	World Bank	2008-2016
Lebanon - Good jobs needed : the role of macro, investment, education, labor and social protection policies (MILES)	World Bank	2011
Rethinking Economic Growth	UNDP and ILO	2012
Lebanon - Economic and social impact assessment of the Syrian conflict	World Bank	2012
Lebanon Roadmap of Priority Interventions for Stabilization from the Syrian Conflict	World Bank	2013
Republic of Lebanon : Economic and Labor Force Impact of the Change in the Wage Structure of the Public Sector	World Bank	2013
The Syrian Crisis: Implications for Development Indicators and Development Planning - Lebanon	UNDP	2013
Lebanon SME Strategy: Roadmap to 2020	UNDP and MoET	2014
Impact of Humanitarian Aid on the Lebanese Economy	UNDP and UNHCR	2014
Lebanon: Promoting Poverty Reduction and Shared Prosperity	World Bank	2014-2015
Informal Sector Work in Lebanon	World Bank	2015

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I. Previous Economic Studies (2/2)

C. Studies / Reports developed by global orgnizations

Report/Study Title	International Organization(s)	Year(s)
Towards Decent Work in Lebanon: Issues and Challenges in Light of the Syrian Refugee Crisis	ILO	2015
Economic Costs to Lebanon from Climate Change : A First Look	UNDP with Ministry of Envrionment	2015
The Sustainable Development Framework in Lebanon: A National Assessment	ESCWA	2015
Mind the Gap: A Labor Needs Assessment for Lebanon	UNDP	2016
Jobs for North Lebanon : Value Chains, Labor Markets, Skills and Investment Climate in Tripoli and the North of Lebanon	World Bank	2017
Priority Reforms for the Government of Lebanon	World Bank	2017
Vulnerability Assessment of Syrian Refugees in Lebanon	UNHC - UNICEF - WFP	2017 (2016)
Lebanon Stabilization and Recovery Programme	UNDP	2017
Lebanon Economic Monitor	World Bank	Bi-Annually (Fall and Spring)
Lebanon Systematic Country Diagnostic	World Bank	2015
Lebanon Crisis Response Plan	UN	2017-2020

B. Economic development studies done by Lebanese organizations

Report/Study Title	Think Tank / University	Year(s)
Policy Briefs	The Lebanese Center for Policy Studies	...
Policy Papers	The Lebanese Center for Policy Studies	...
Development in a Polarized Society: Looking at Economic and Social Development in Lebanon through a Different Lens	The Lebanese Center for Policy Studies	2007
The Economics of Tobacco in Lebanon: An Estimation of the Social Costs of Tobacco Consumption	American University of Beirut	2010
Published Refereed Journal Papers	American University of Science and Technology	...
Economic Opportunities and Job Creation: Tourism Sector	UN (Library) - Dr. Ghenwa Chlouk	2016

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II. Sector Data (1/2)

A. Sector strategies developed by Ministries

Strategy Title	Sector	Ministry(ies)	International Organization(s)	Year(s)
▪ Health Strategic Plan	▪ Healthcare	▪ Ministry of Public Health	▪ ...	▪ 2016-2020
▪ Mental Health and Substance Use Prevention, Promotion, and Treatment Strategy for Lebanon	▪ Healthcare	▪ Ministry of Public Health	▪ World Health Organization (WHO), UNICEF, and International Medical Corps (IMC)	▪ 2015-2020
▪ Inter-ministerial Substance Use Response Strategy for Lebanon 2016-2021	▪ Healthcare	▪ Public Health, Social Affairs, Education and Higher Education, Interior and Municipalities and Justice	▪ ... ★	▪ 2016-2021
▪ Health Response Strategy - A New Approach 2016 & Beyond	▪ Healthcare	▪ The Ministry of Public Health	▪ ...	▪ 2016
▪ Strategic Plan for the Medium Term	▪ Healthcare	▪ The Ministry of Public Health	▪ ...	▪ 2016-2020
▪ Lebanon SME Strategy: Roadmap to 2020	▪ SMEs	▪ Ministry of Economy and Trade	▪ UNDP	▪ 2014 - 2020
▪ Lebanon 2020 Digital Telecom Vision	▪ Telecommunication	▪ Ministry of Telecom	▪ ...	▪ 2015-2020
▪ Lebanon Rural Tourism Strategy	▪ Tourism	▪ Ministry of Tourism	▪ USAID	▪ 2015
▪ National Tourism Strategy	▪ Tourism	▪ Ministry of Tourism	▪ ...	▪ 2017
▪ A National Energy Strategy for Lebanon	▪ Energy	▪ Ministry of Energy and Water	▪ ...	▪ 2017
▪ National Water Sector Strategy (NWSS)	▪ Water	▪ Ministry of Energy and Water	▪ ...	
▪ Ministry of Agriculture Strategy	▪ Agriculture	▪ Ministry of Agriculture	▪ ...	▪ 2015-2019
▪ Ministry of Culture Strategic Roadmap	▪ Culture	▪ Ministry of Culture	▪ Strategy&	▪ 2016
▪ Land Transport Strategy for Lebanon	▪ Transport	▪ Ministry of Public Works and Transport	▪ EU-Funded Programme	▪ 2013
▪ Lebanon's Marine Protected Areas Strategy	▪ Environment	▪ Ministry of Environment	▪ IUCN	▪ 2012
▪ Draft National Strategy for Air Quality Management in Lebanon	▪ Environment	▪ Ministry of Environment	▪ EU-Funded Programme	▪ 2016
▪ Lebanon's National Biodiversity Strategy and Action Plan	▪ Environment	▪ Ministry of Environment	▪ ...	▪ 2016

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II. Sector Data (2/2)

B. Relevant Sectoral Data,Reports and Studies

Data/Report/Study	Sector	Ministry(ies)	International Organization(s)	Year(s)
About the Oil and Gas Sector	Oil and Gas	Lebanese Petroleum Adminstration	...	...
Telecommunication Regulatory Authority Studies	Telecom	Telecommunication Regulatory Authority	...	...
Tourism Statistical Report (Tourists by Nationality)	Tourism	Ministry of Tourism	...	2011-2017
Airport Passengers	Tourism	Beirut Rafic Hariri International Airport	... ★	2005-2017
Education Related Statistics	Education	Central Administration of Statistics	...	2007 and 2009
		Central Administration of Statistics	...	2012
		Bank Med	...	2014
Infrastructure and Logistics Related Statistics	Telecom,Transportation and Energy	Investment Development Authority	...	2016
Health System Profile: Lebanon	Health	...	World Health Organization	2006
IDAL Factbooks	...	Investment Development Authority	...	2013-2017
Intellectual Property Rights Statistics	...	Ministry of Economy and Trade	...	...
Consumer Protections Statistics	Olive Oil, Agro-Food, Agriculture, Furniture and Woord, IT, Fintech, Telecom, Pharma Industry, Print, Clean Technology etc.	Ministry of Economy and Trade	...	...

C. Banking Sector and BDL-related Data

Data/Report/Study	Sector	Ministry(ies)	International Organization(s)	Year(s)
BdL Related Data	Banking	Banque du Liban	...	...
BdL Programs	Banking	Banque du Liban	...	...
ABL Services & Resources	Banking	Association of Banks in Lebanon	...	…
Kafalat Statistics	Banking	Kafalat	...	…

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III. Surveys

A. Surveys results done by the Government (Covering Economic and Social Topics)

Survey Title	Sector/ Topic (s)	Ministry or Govt Institution	Year (s)
▪ Demographic and Social Statistics	▪ Population ▪ Education ▪ Employment - Labor Force ▪ Health insurance & Disability ▪ Children's Characteristics ▪ Women's Characteristics ▪ International Migration ▪ Household Expenditure	▪ Central Administration of Statistics	▪ 2004-2007-2009

B. Surveys done by Third Parties

Survey Title	Sector/ Topic (s)	Ministry or Govt Institution	Year(s)
▪ Health access and utilization survey among Syrian refugees in Lebanon	▪ Healthcare	▪ UNHCR	▪ 2016
▪ Lebanon Enterprise Survey	▪ SMEs	▪ World Bank	▪ 2013

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IV. Macro-Economic Data

A. Macro Economic Indicators

Indicator	Ministry or Govt Institution	Year (s)
▪ GDP (Nominal and Real) broken down by sector and region	▪ Central Adminstration of Statistics	2004-2015
	▪ Presidency of Council of Ministers	2003-2011
▪ Total Population broken down by wage and region	▪ Central Adminstration of Statistics	2004-2007-2009
▪ Household Expenditures by type of spend	▪ Central Adminstration of Statistics ★	2004-2007-2010
▪ Total Employment broken down by private/public sector, industries, age and region	▪ ...	...
▪ Unemployment Rate	▪ ...	...
▪ Average wage rate by region and by industry	▪ ...	...
▪ Total number of enterprises broken down by FTE size, yearly turnover and regions	▪ ...	...
▪ Inflation	▪ Central Adminstration of Statistics	2008-2017
▪ Trade Indicators	▪ Lebanese Customs at the Ministry of Finance	2012-2017

B. Surveys done by Third Parties

Indicator	Ministry or Govt Institution	Year (s)
▪ Balance of Payments Data	▪ Banque du Liban	2002-2017

C. Regional breakdown by Governates

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VI. Environmental Data

Environmental Indicators

Study/Report	Ministry	Other Organization(s)	Year (s)
▪ Road Transport Sector and Air Pollution - The Case of Lebanon	▪ Ministry of Environment	▪ IPTEC and UNDP	2016
▪ Environmental Indicators	▪ Ministry of Environment	▪ ...	...
▪ State of the Environment Report	▪ Ministry of Environment	▪ UNDP	...

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Other reviewed documentation (1/2)

Sector	Study/Report	Ministry	Other Organization(s)	Year
Agriculture	Resultats globaux du module de base du recensement de l'agriculture 2010	Ministry of Agriculture	FAO	2012
	Agriculture sector overview		Farmers' Association	2015
	Managing the monopoly: past, present and future		REGIE	2009
	Programme highlights		FAO	2017
	Economic opportunities and job creation for Agriculture sector		FAO ★	2016
	Ministry of Agriculture 2015 - 2019 strategy	Ministry of Agriculture		2015
Diaspora	What is the role of the Ministry of Foreign Affairs	Ministry of Foreign Affairs		2018
	L'apport financier des emigres et son impact sur les conditions de vie des libanais		Choghog Kasparian	2010
Ease of Doing Business	Ease of Doing business report		World bank	2018
	Global competitiveness report		World Bank	2018
Education	Statistical Bulletin on Education		CRDP	2018
Energy	Lebanese petroleum fiscal regime and revenue management		UNDP	2017
	Lebanon Sovereign Wealth Fund		LPA	2018
Financial Services	Insurance sector annual report 2016		Insurance Control Commission	2016
Healthcare	Statistical bulletin on Healthcare	Ministry of Public Health		2018
Industry	Socio-economic recovery		Association of Lebanese Industrialists	2017
	Skill gap analysis for Tripoli Economic Zone		UNDP	2017
	Operational Plan 2016-2017	Ministry of Industry		2016
	Operational Plan 2018	Ministry of Industry		2018
	Industry for Lebanon's Youth 2010	Ministry of Industry		2005

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Other reviewed documentation (2/2)

Sector	Study/Report	Ministry	Other Organization(s)	Year
Industry & Agriculture	Mapping of economic opportunities and job creation in the productive sectors		UNIDO and FAO	2018
Macro	Capital Investment Plan		Council for Development and Reconstruction	2018
Macroeconomy	Strategic Assessment: Capital Investment Plan for Lebanon		World Bank ★	2018
	Lebanon: promoting poverty reduction and shared prosperity		World Bank	2016
	Towards decent work in Lebanon		ILO	2015
	Lebanese National Accounts 2004 - 2015		Central Administration for Statistics	2017
Public Administration	National Physical Master Plan for the Lebanese Territory		Council for Development and Reconstruction	2005
Retail & Commerce	LFA Observatory		Lebanse franshise association	2018
	Retailing in lebanon		Euromonitor	2018
SME	Lebanon SME Strategy: Roadmap to 2020	Ministry of Economy and Trade		2014
Tourism	Cultural strategy for Lebanon	Ministry of Culture		2017
	Report on number of hotel visitors		General Security	2018
	Annual Newsletter 2017		Syndicate of owners of restaurants, cafes, night-clubs and pastries in Lebanon	2017
	Tourism plan		Lebanese federation for tourism authorities	2018
	Tourism Plan		Visit Lebanon	2018
	Rural tourism strategy	Ministry of Tourism		2013
	Tourism factbook		IDAL	2018

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Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

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B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

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B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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The Lebanese economic model seem to be stuck in a vicious circle

A1 … no incremental wealth generation …
- *30% GDP per capita growth in last 40 years vs. 120% world average*
- *8% in last 7 years vs.14% world average[1]*

C3

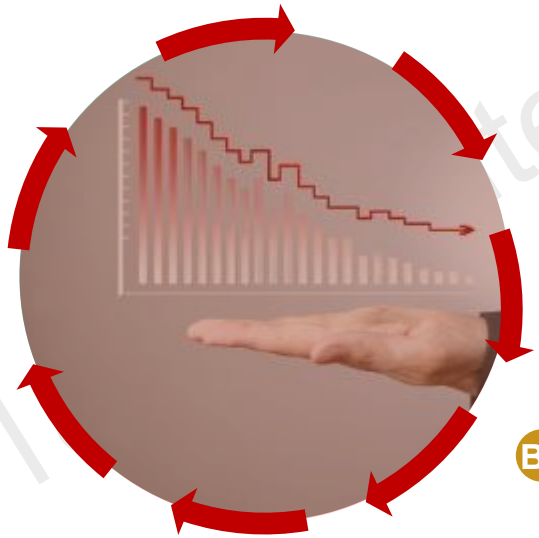
… driving a low contribution of productive sectors
- *14% of incremental GDP 2010-16 vs. 20% benchmark[10]*

and limiting job creation and productivity further perpetuating the cycle of …

C2

… creating an unconducive business environment
- *Drop in 28 positions on Doing Business since 2012 currently ranking 133/190[9]*

resulting in limited investments into productive areas …
- *FDI drop by 30% from 2010 to 2017)[2]*



A2 … with a volatile growth
- *volatility ~1.4x that of OECD since 1992[1]*

driven by concentrated diaspora & regional inflows and sporadic donors' funds …
- *40% growth 2005-2010 vs 3% 2010-2015 in BoP inflows[2]*

A3 …and these inflows are mainly channelled into less productive sectors
- *flows mainly into consumption & real estate[3] …*

B1 … and into financing the governments' increasing size and indebtedness
- *Salaries 9% GDP vs. 6% benchmark[4]*
- *Fiscal deficit of 8% of GDP[5]*
- *3rd highest Debt to GDP at 149%*

leaving little room for CapEx …
- *4% of budget in last 10 years[5] vs. 10-20% benchmark[6]*

C1 … resulting in sub-par infrastructure
- *113th out of 137 countries[7]*

compounded with low legislative productivity
- *12 laws for business not passed*

and high perceived corruption …
- *146th out of 180 countries[8]*

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1 IMF World Economic Outlook Database April 2018 2 BDL Balance of Payments 3 Interviews
4 IMF Article IV of selected countries - benchmarks include Egypt, Jordan, Switzerland, UAE, Turkey, Hong Kong, Georgia, Romania, does not include 2018 salaries increase
5 MoF annual report & CAS GDP 6 IMF Article IV Singapore & UAE 7 WEF - Global Competitiveness Report 2017-2018
8 Corruption Perceptions Index 2017 9 World Bank - Ease of Doing Business 10 CAS GDP, IHS Markit Benchmarks are Egypt, Morocco, UAE, Korea, Singapore, Switzerland

A1 Over the last ~40 years, Lebanon has not created significant incremental wealth and has also lagged other countries in the last 7 years

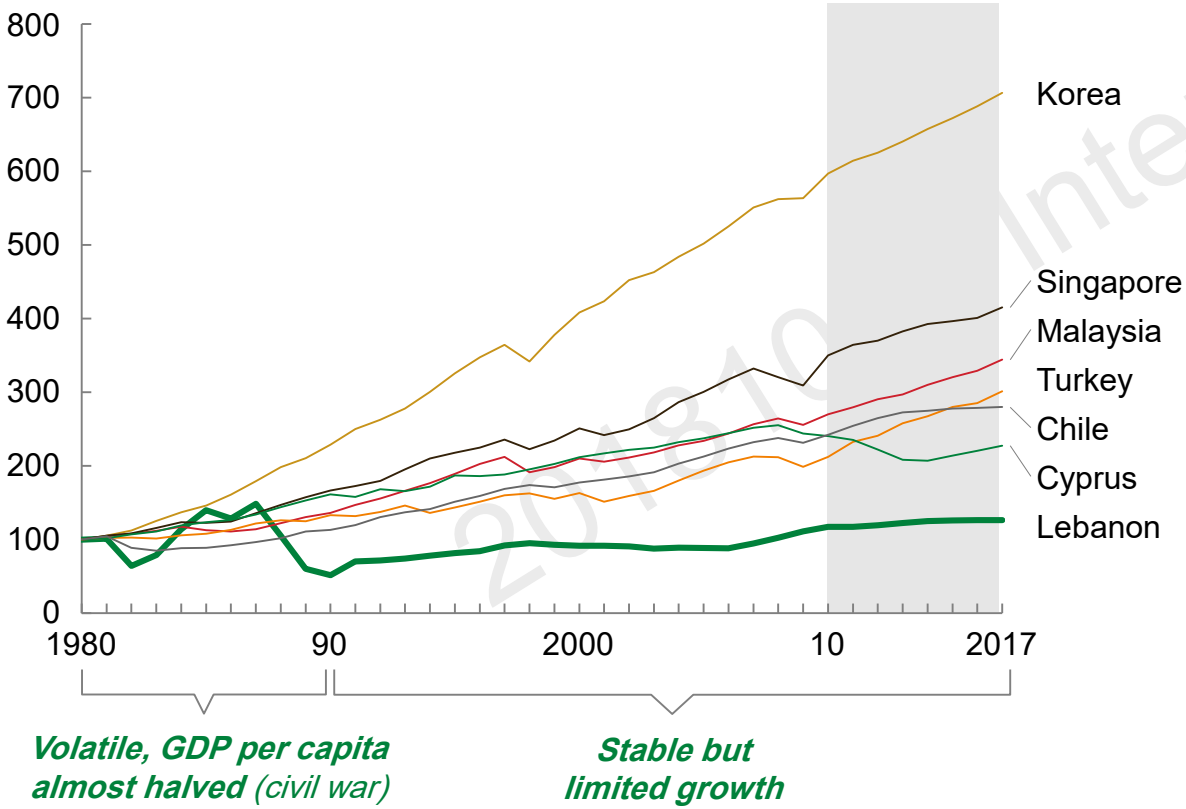
Global Rank | 2017 GDP per capita, K USD

Lebanon's GDP per capita in 2017 was only 30% more than that in 1980, whereas growth in Singapore and Korea reached 400% and 700% respectively

Even since 2010, GDP per capita grew by less than 10%

Comparison of Lebanon's real GDP per capita with select countries[1]

Real GDP per capita in 2017 prices, indexed 100 = countries' 1980 value



Real GDP per capita increase

Growth from 2010 to 2017

Nauru ★	104%	1	9
Ethiopia	74%	2	1
Georgia	46%	9	4
Turkey	42%	15	11
Malaysia	27%	37	10
Poland	25%	43	14
Singapore	19%	72	58
USA	10%	116	60
Lebanon	8%	127	11
Venezuela	-34%	188	7
Yemen	-73%	191	1

1 Countries with similar or lower GDP per capita in 1980

Notes: Real GDP computed by applying IMF real growth rates to 2017 Nominal GDP; per capita computed using IMF population estimates

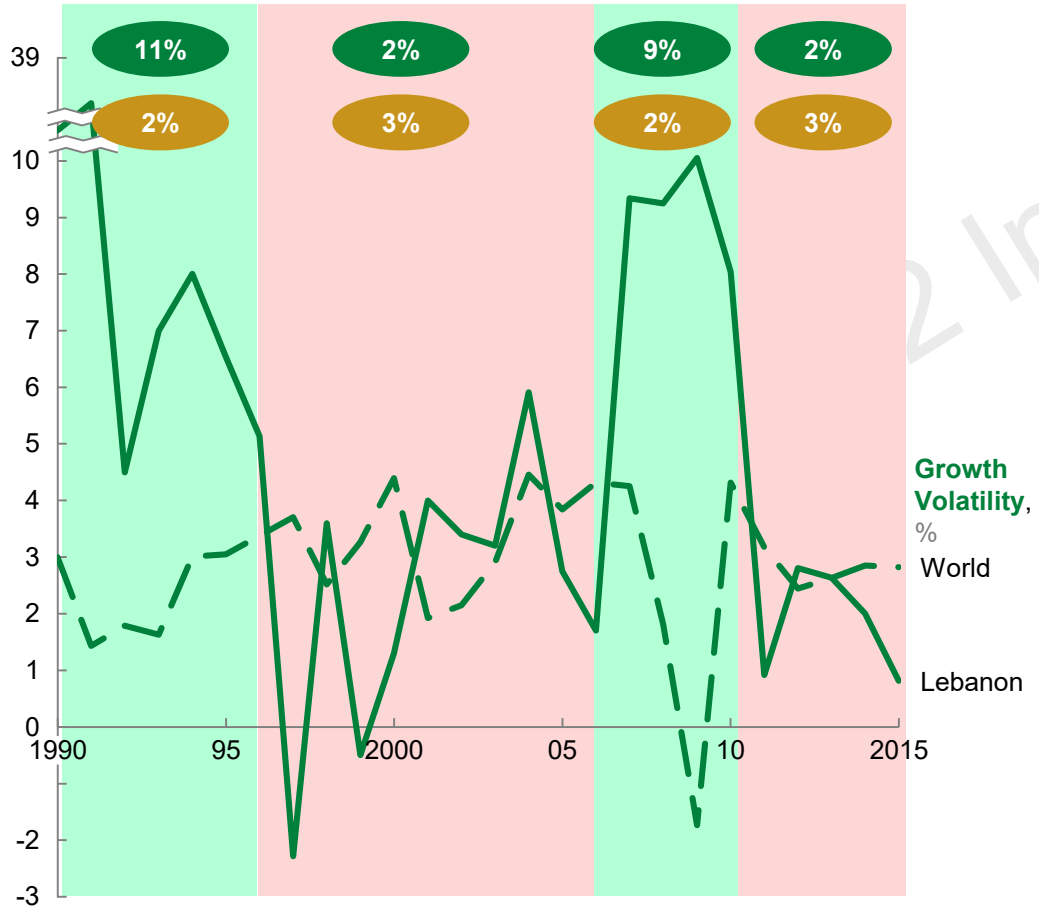
SOURCE: IMF World Economic Outlook Database April 2018

A2 Despite witnessing several periods of economic prosperity, growth has been highly volatile

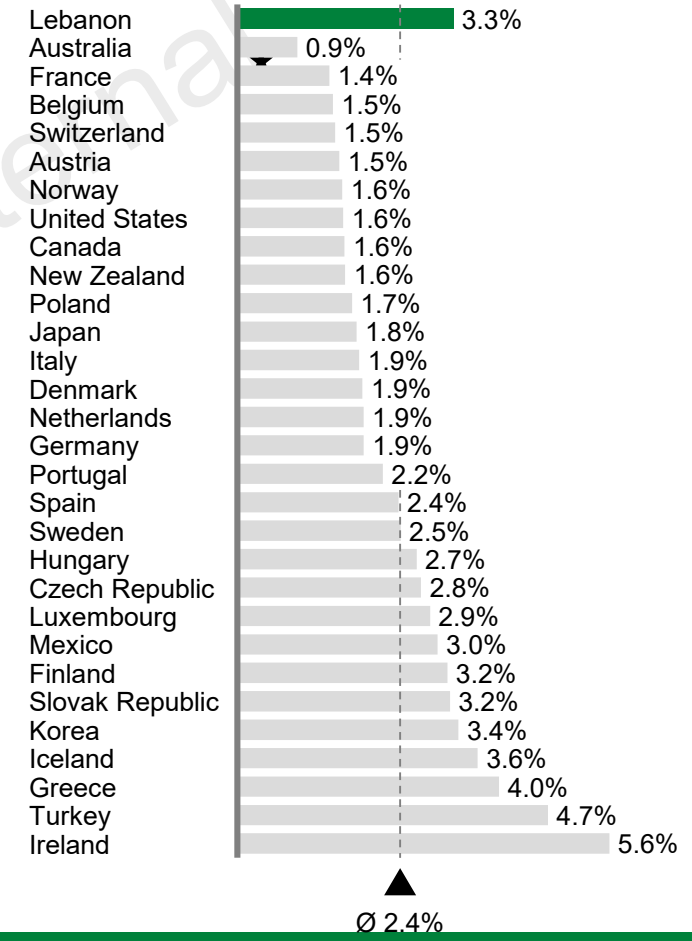
World CAGR, % | Lebanon CAGR, %

Despite witnessing several periods of growth since 1992… **…growth has been highly volatile**

GDP growth, % GDP constant prices, 2010



Standard deviation (volatility) of real GDP growth
from 1992-2017, %

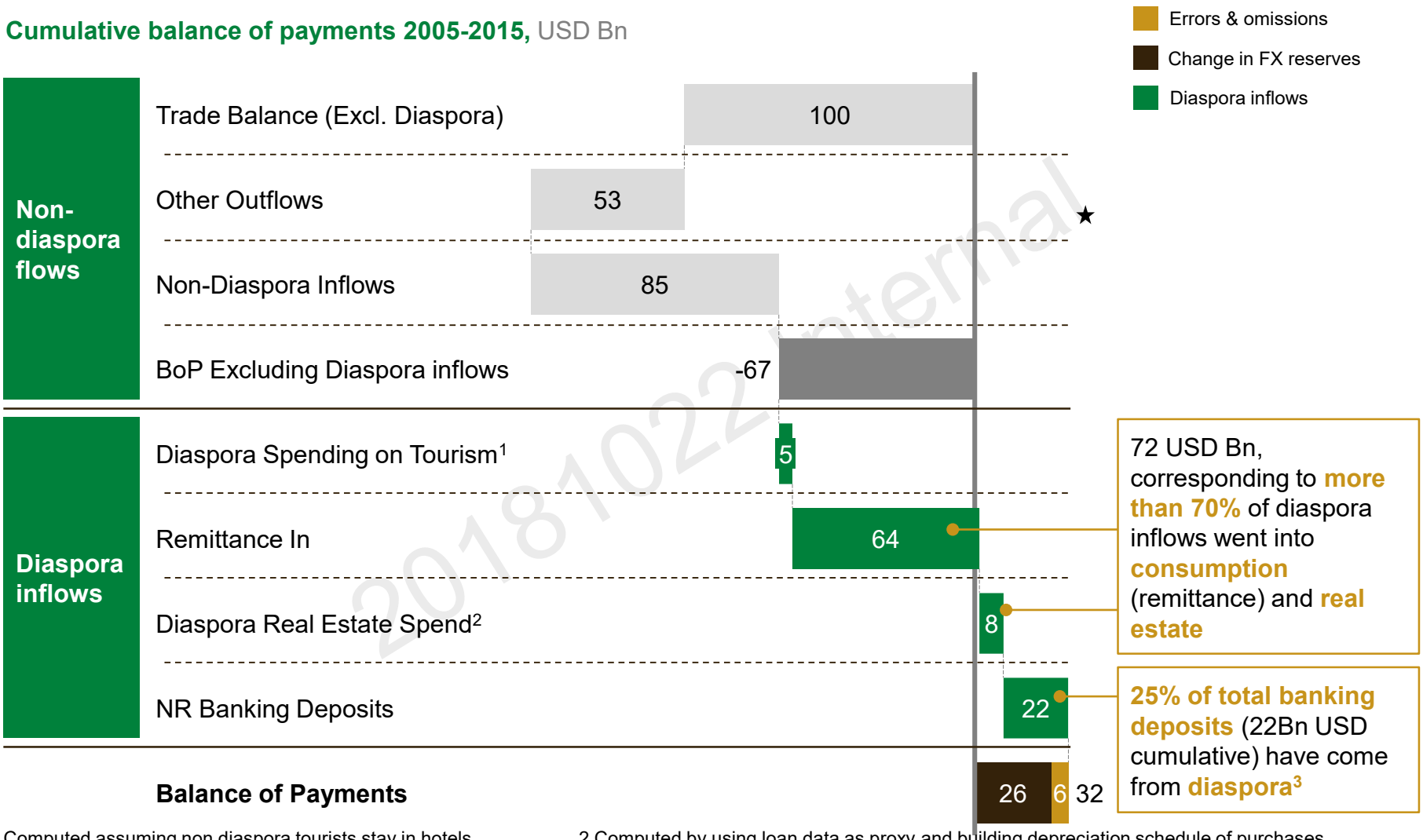


2 Internal

Source: IMF, World Bank

A2 Volatility has been influenced by the economy's reliance on diaspora inflows, channelled into real estate, banking and consumption sectors

Cumulative balance of payments 2005-2015, USD Bn



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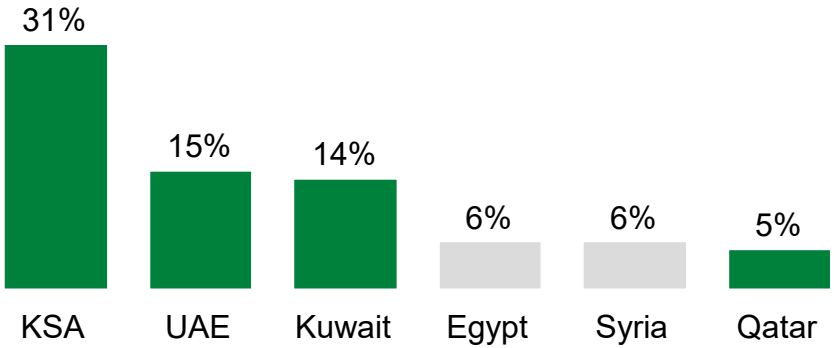
1 Computed assuming non diaspora tourists stay in hotels
2 Computed by using loan data as proxy and building depreciation schedule of purchases
3 Assuming all non-resident deposits are partially or fully related to Lebanese diaspora
Note: Sovereign exposure computed as BDL deposits and public sector loans minus 15% of deposits as required reserves, and assumed to purely finance fiscal deficit

Source: Banque du Liban statistics

A2 Inflows have been geographically concentrated in the GCC, further influencing volatility and the reliance on exogenous factors for growth

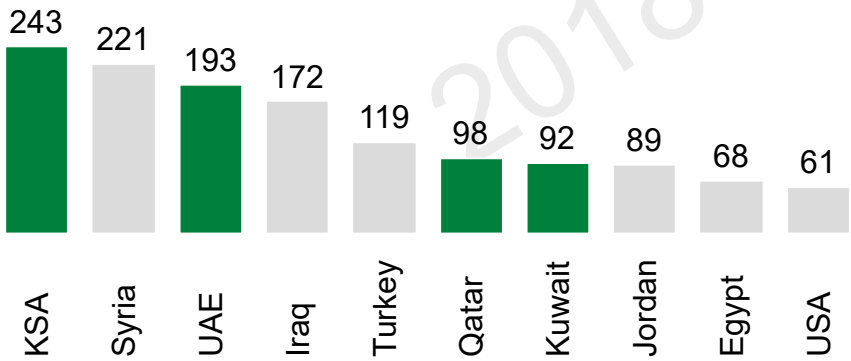
Tourism spending distribution by country of residence[1]

Percentage, 2016



Breakdown of Lebanese Exports by destination[2]

Mn USD, 2017



Remittances

Ranking, 2016

1. United Arab Emirates ★
2. Qatar
3. Saudi Arabia
4. USA
5. Australia
6. Kuwait

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1 Global Blue Lebanon (through Bank Med report)
2 Excluding gold, diamonds, petroleum and other products not locally produced

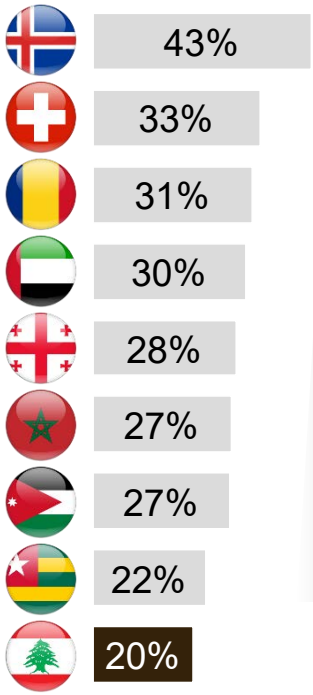
Source: BDL, Customs

B1 The inflows also went into financing the governments' increasing size and indebtedness leaving little room for Capital Expenditures

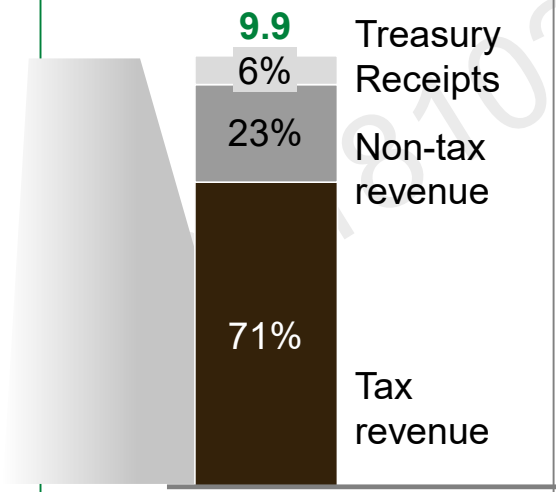
Revenues have been constrained with low tax collection compared to benchmarks

High government expenditures are driven by fiscal mismanagement with high wages & salaries

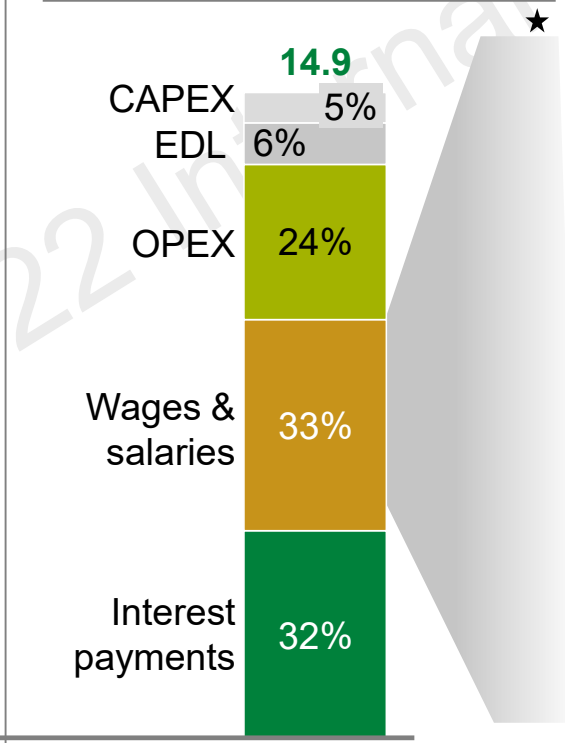
Government revenues
%GDP[1]



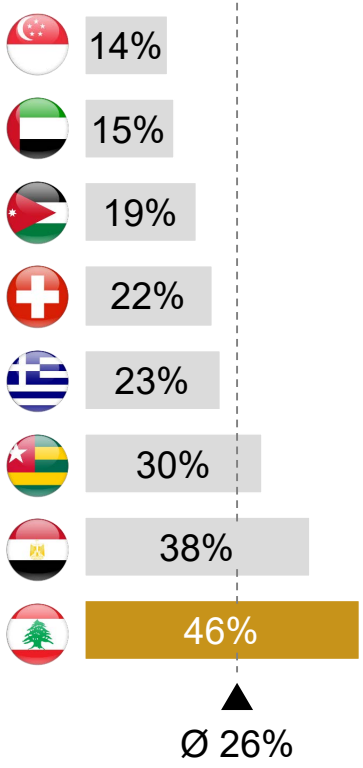
Government revenues,
2016 USD Bn



Government expenditures
2016 USD Bn



Wages & salaries
%Gov. Revenues[1]

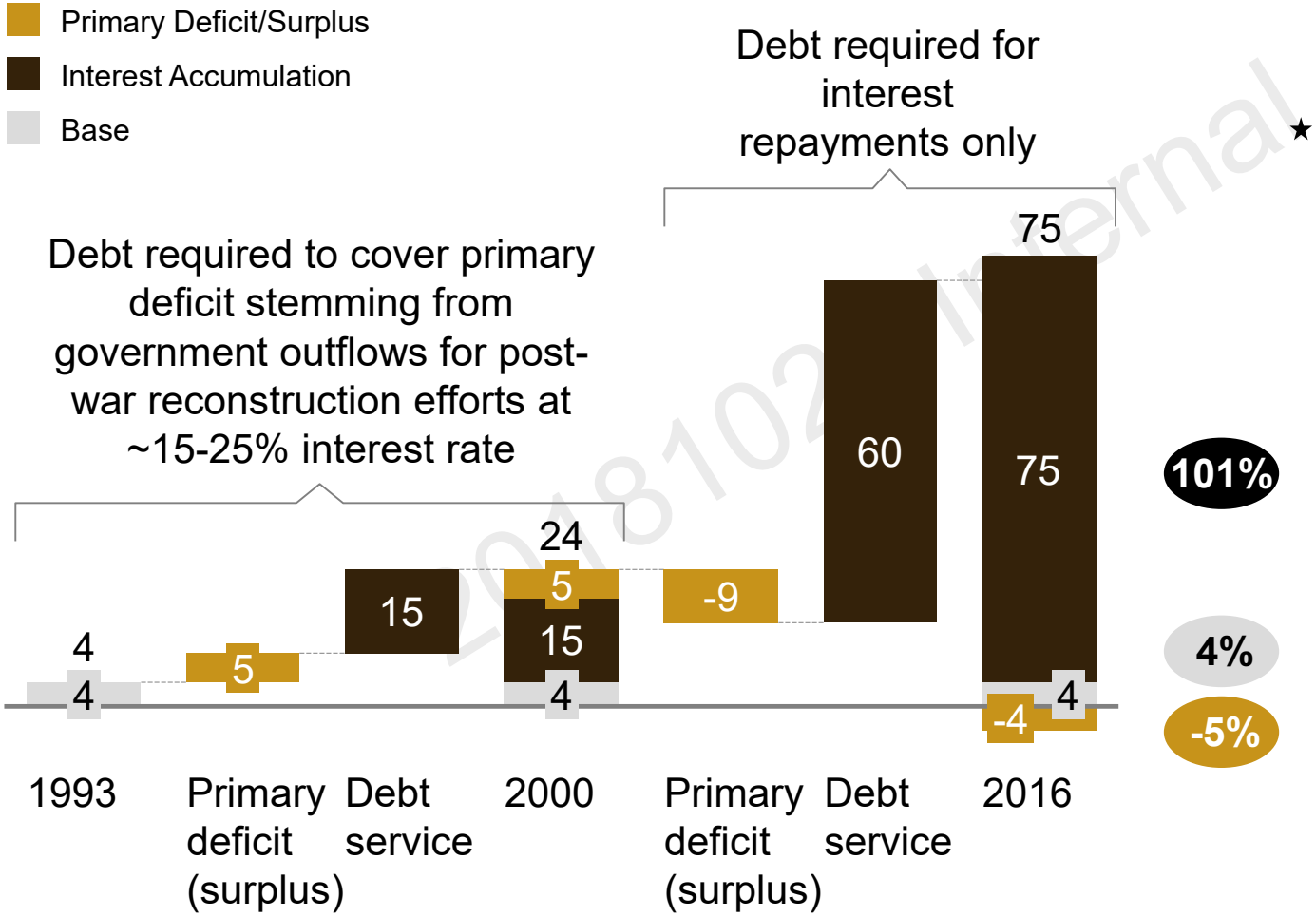


1 Average of 2012-2017, whenever data is available; for government revenues includes tax, non-tax & other revenues

Source: Ministry of Finance; IMF Lebanon Selected Issues 2017; Countries' IMF Article IV

B1 Economic volatility was compounded by a lack of lack of fiscal discipline…

Total gross public debt, USD Bn



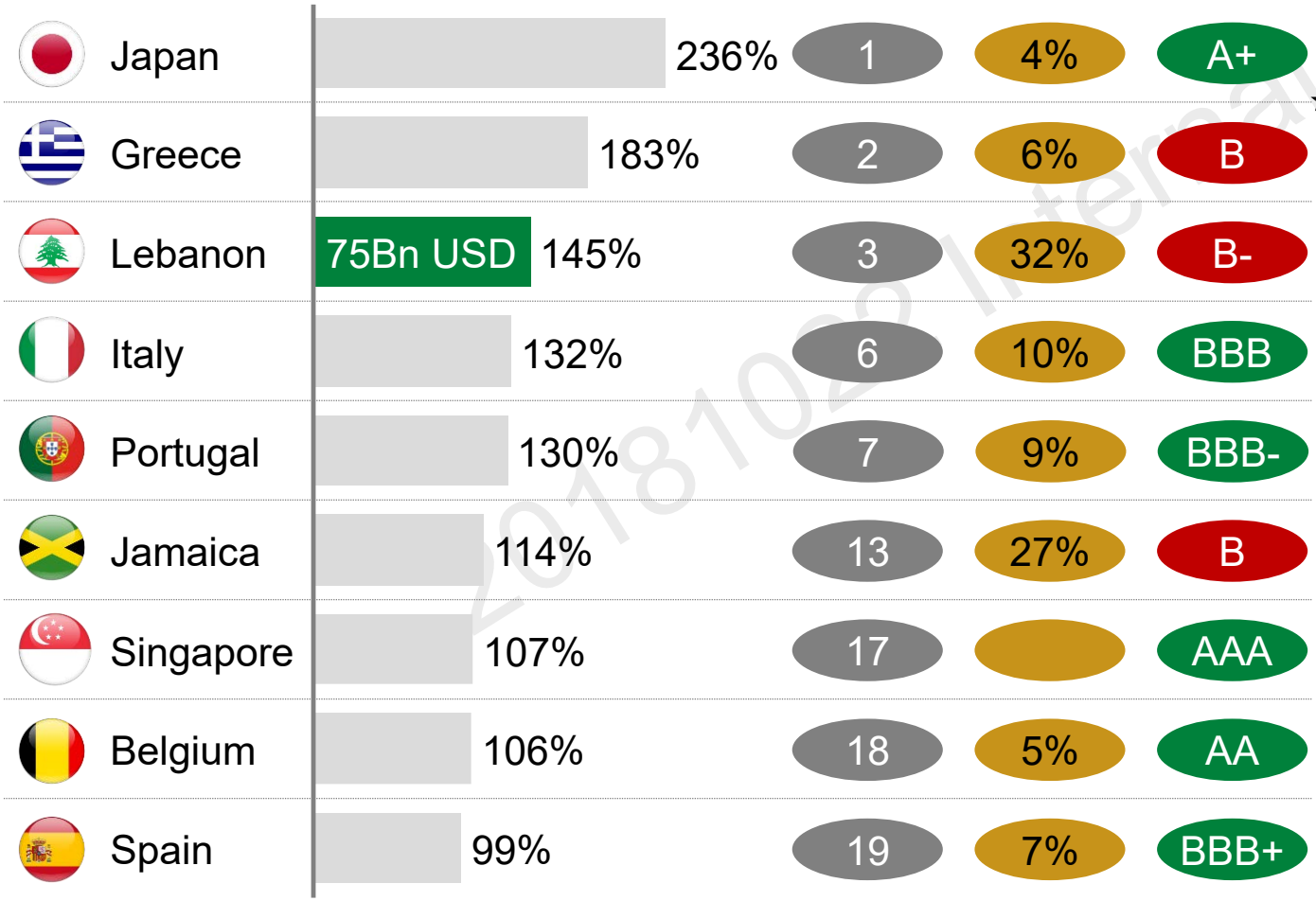
- **Only 5 USD Bn** of the total **accumulated debt** have been **used to cover primary** budget **deficit in the 1993-2000 period**
- **All of Lebanon's public debt** today has come as a **result of interest accumulation**

Source: Ministry of Finance reports; Banque du Liban

B1 …making Lebanon the country with the third largest Debt-to-GDP in the world

Debt to GDP rank *(highest to lowest)* | S&P Credit Rating *(Investment grade/junk)* | Debt service, as *% budget*

Gross debt to GDP Ratio, % GDP 2016

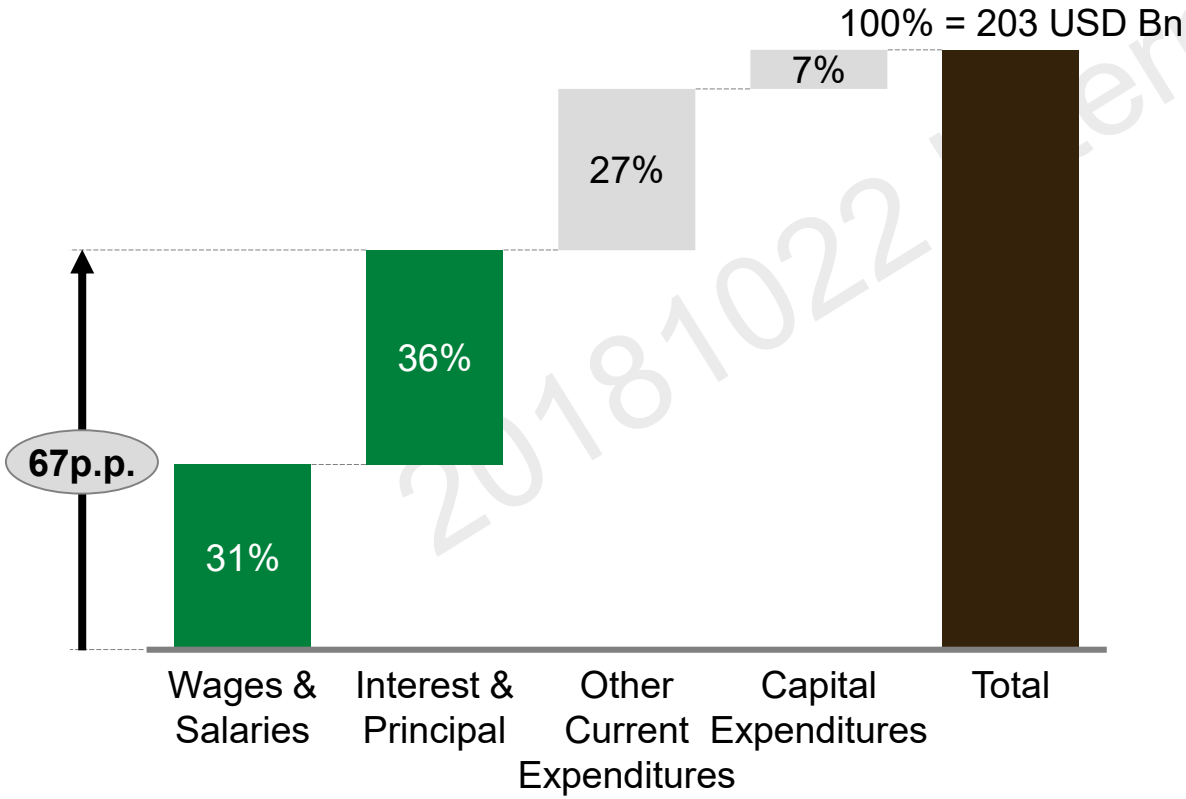


- **Lebanon** has the **3rd highest debt to GDP** ratio at ~145% (75Bn USD), the **worst rated sovereign debt,** and the **highest debt service**
- **The outstanding debt** of 75 USD Bn and debt to GDP ratio of 145% were **reached through continuous fiscal deficits** (~10% of GDP) by the consecutive govt.

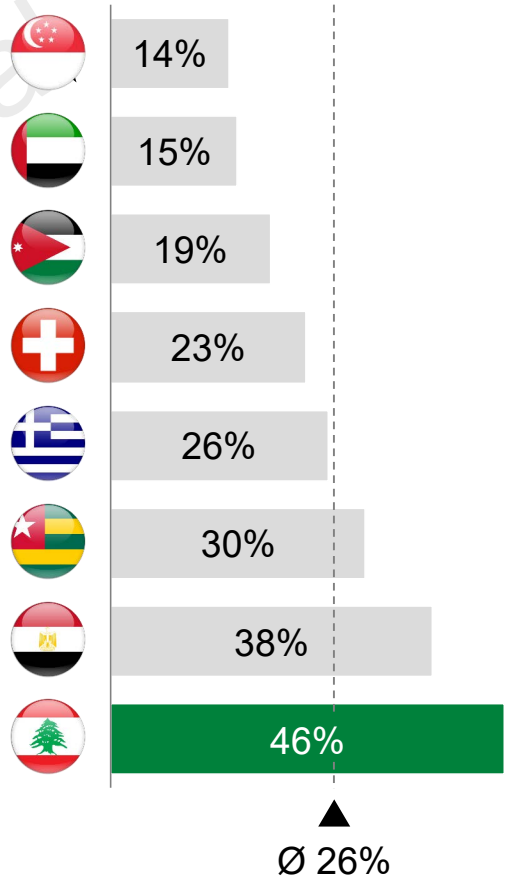
Source: Standard & Poor's; Ministry of Finance; CAS; Country's IMF article IV; IMF World Economic Outlook April 2018

B1 On the expenditure side, two thirds of total government budget has gone to salaries & debt service, with ~6% in capital expenditures

Government expenditures by type, cumulative 1992-2016 % total



Wages and salaries, % General government revenues[1]



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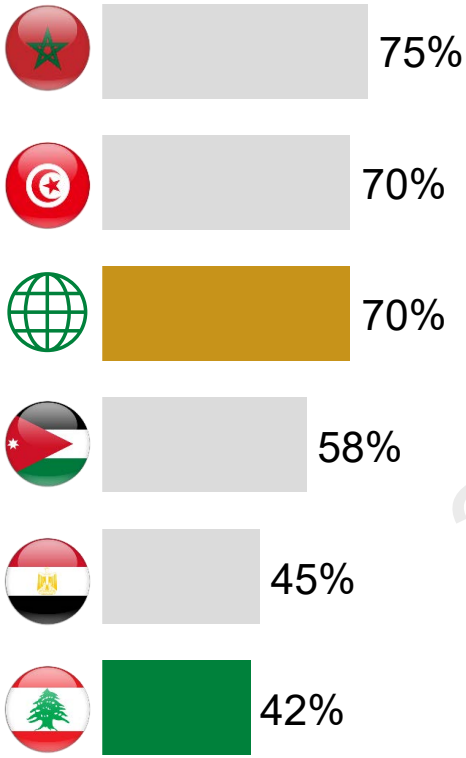
Source: Ministry of Finance data & annual reports

B1 On the revenue side, Lebanon's tax performance has been significantly below its potential with a tax effort less than 50%

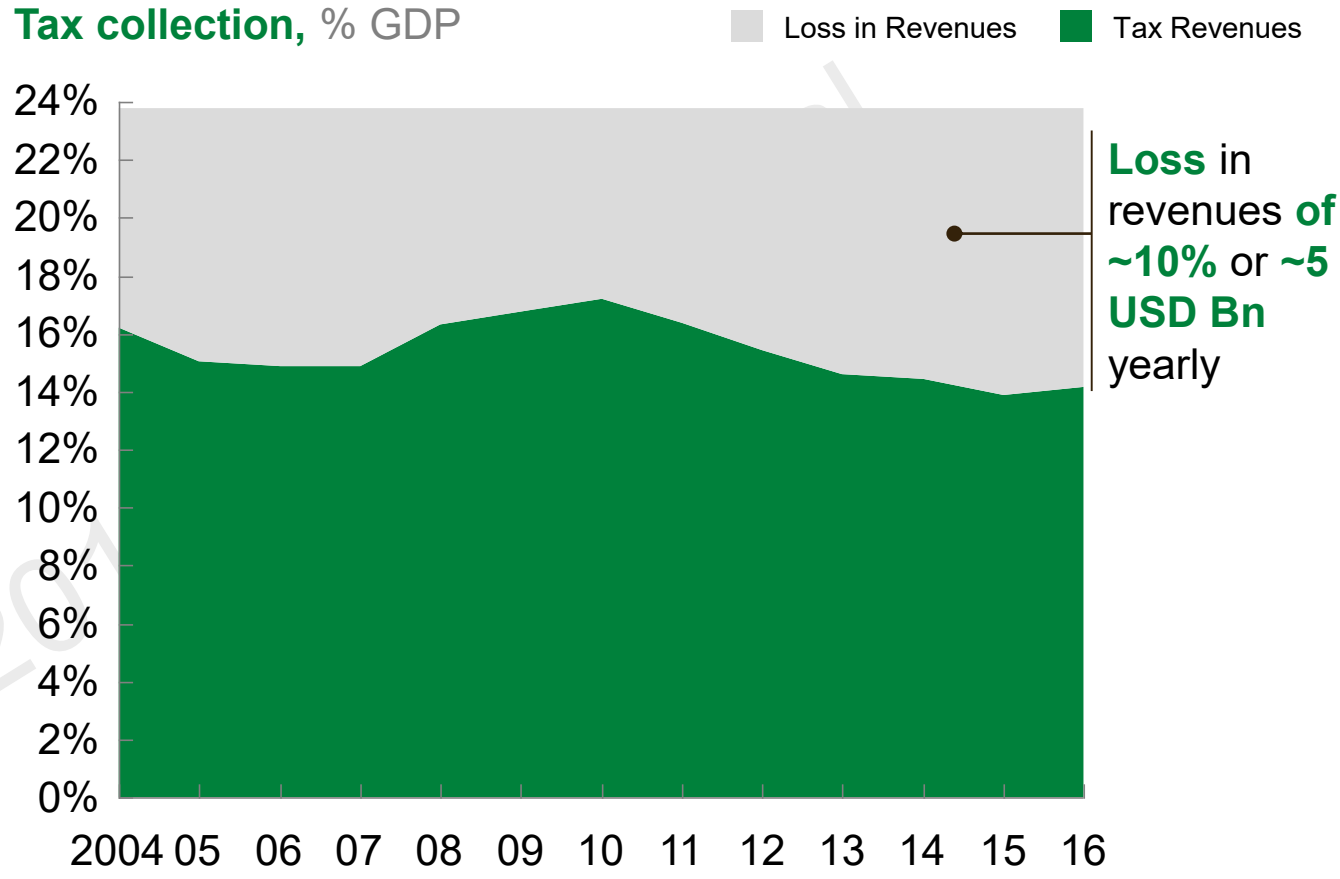
Tax effort is lowest compared to peers

Tax effort[1]
2017, %



Loss in revenues has recently been declining and reached 10% of GDP

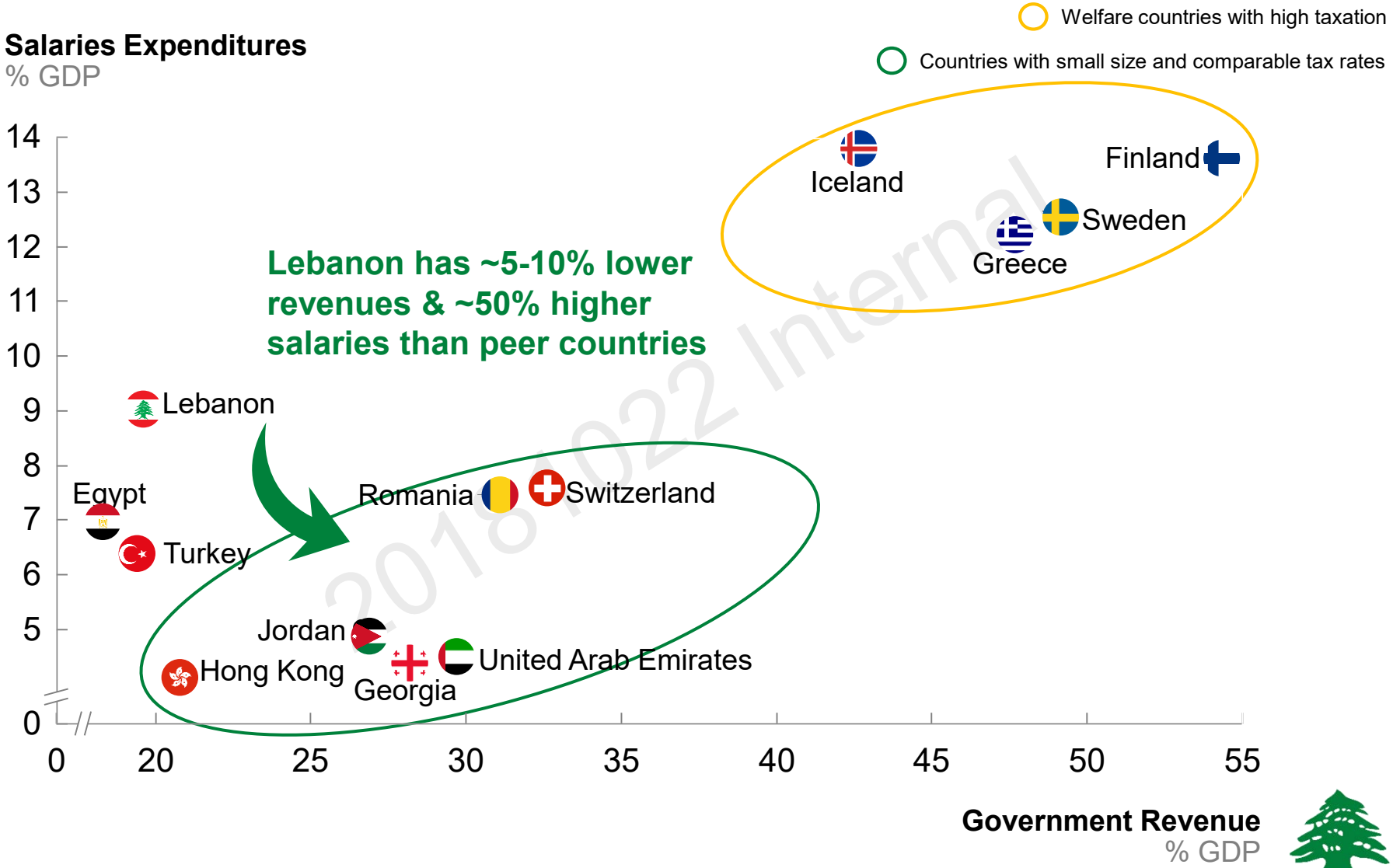
Tax collection, % GDP



1 Percentage of tax collection to total tax capacity

Source: Ministry of Finance; IMF Lebanon Selected Issues 2017

B1 Lebanon spends ~50% more on public servant salaries and generates ~10% less government revenue compared to peer countries



2018 2022 Internal

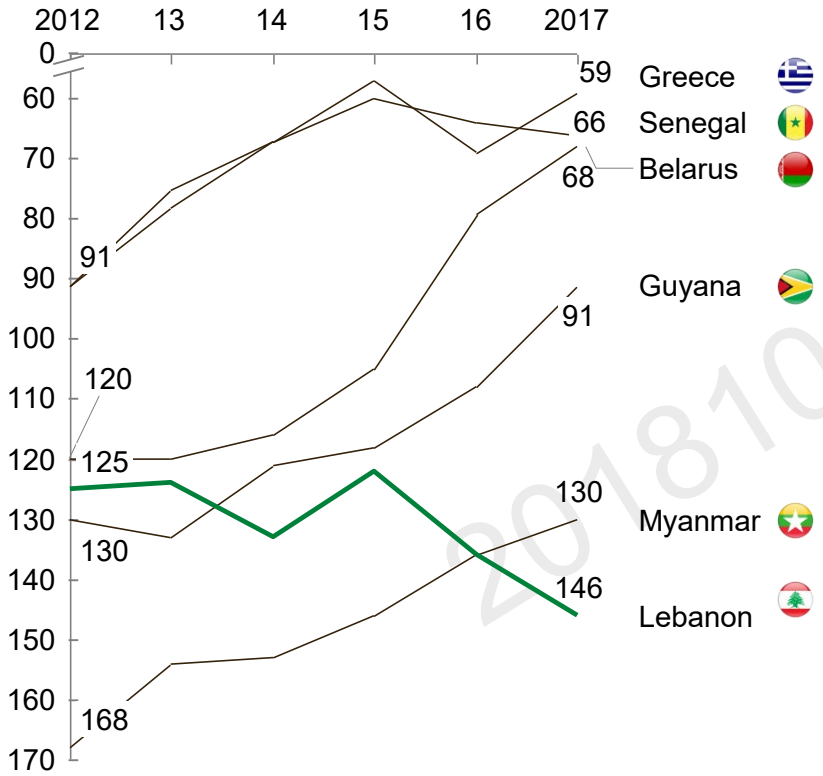
Source: Countries IMF Article IV

C1 Persistent corruption and legislative inefficiencies have further perpetuated the government's inability to spur economic growth

Whereas several countries improved, Lebanon's Corruption perception has recently been increasing

12 critical business environment laws, out of a total of 13 identified, have not been put in place

Corruption perception index,
country rank



Lebanon also ranked **180th out of 209** on WB's Control of Corruption index and **121st out of 137** on WEF's Irregular payment and bribes

Number of business environment laws by stage,
#

No action	IP law	**1 law** in stage
Being delayed	Equity compensation	**3 laws** in stage
	Competition law	
	Closing a business	
Pending council of minister approval	*N/A*	
Being reviewed by parliament committee	Judicial mediation	**7 laws** in stage with **some** laws **pending for ~5-10 years**
	Bankruptcy law	
	Insolvency practitioner law	
	E-signature law	
	PE fund law	
	Code of commerce	
	Secure lending	
Pending parliament approval	Preferred shares	

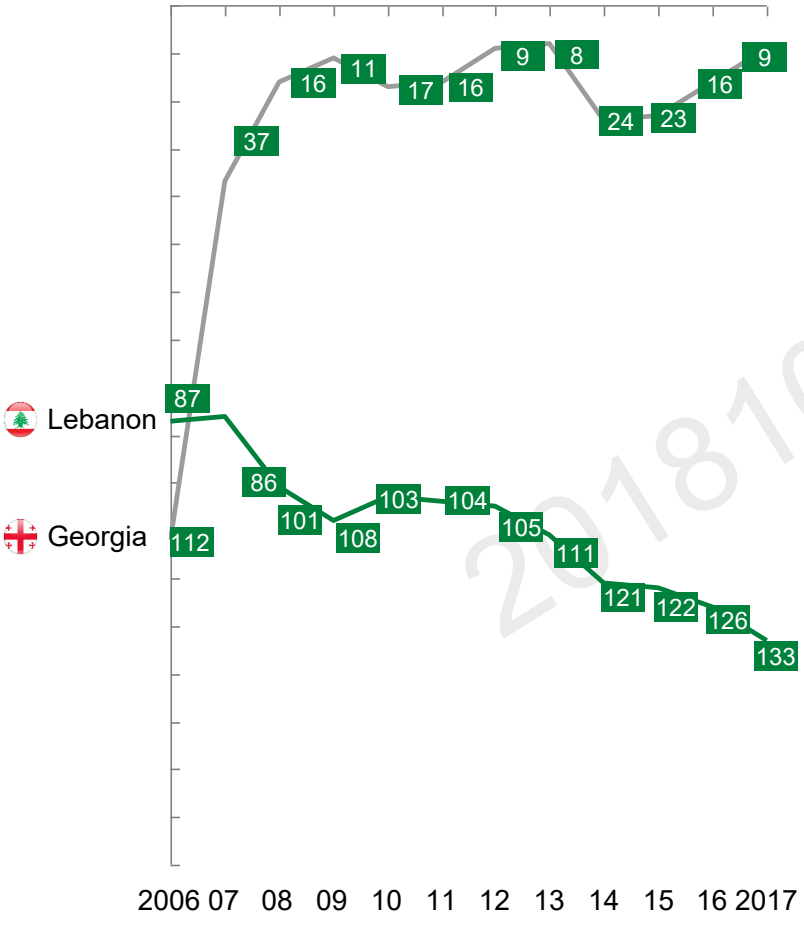
Some legislations have been **stuck** at different stages of the pipeline **for ~5-10 years**

Source: Transparency International Corruption Perception Index; Interviews with Prime Minister's Office team

C2 As a result, the country has been witnessing an unconducive business environment along with a lagging infrastructure

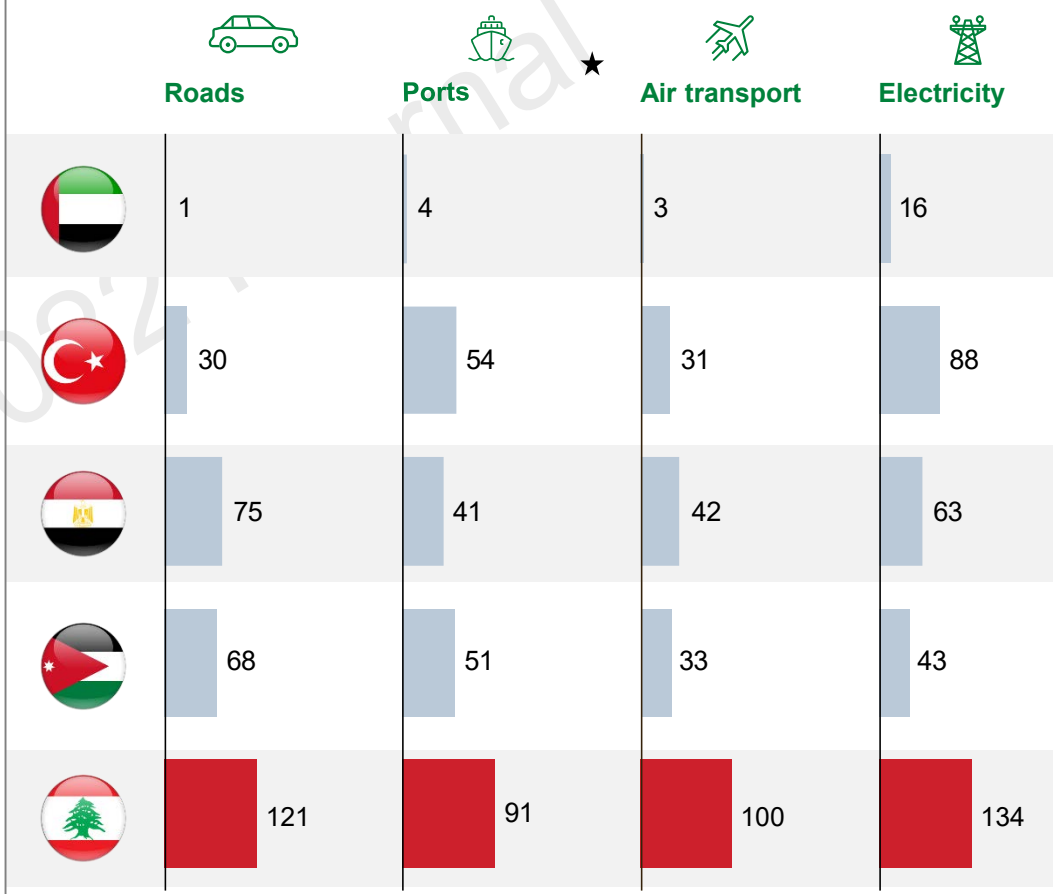
The overall business environment has recently been deteriorating with Lebanon losing 46 ranks in 10 years

Ease of doing business rank (World Bank),
Rank out of 190 countries



The country's infrastructure also greatly lags behind peers, across all dimensions

Quality of Infrastructure (World Economic Forum, Global Competitiveness Report),
Rank out of 137 countries, 2018



20181022 Final

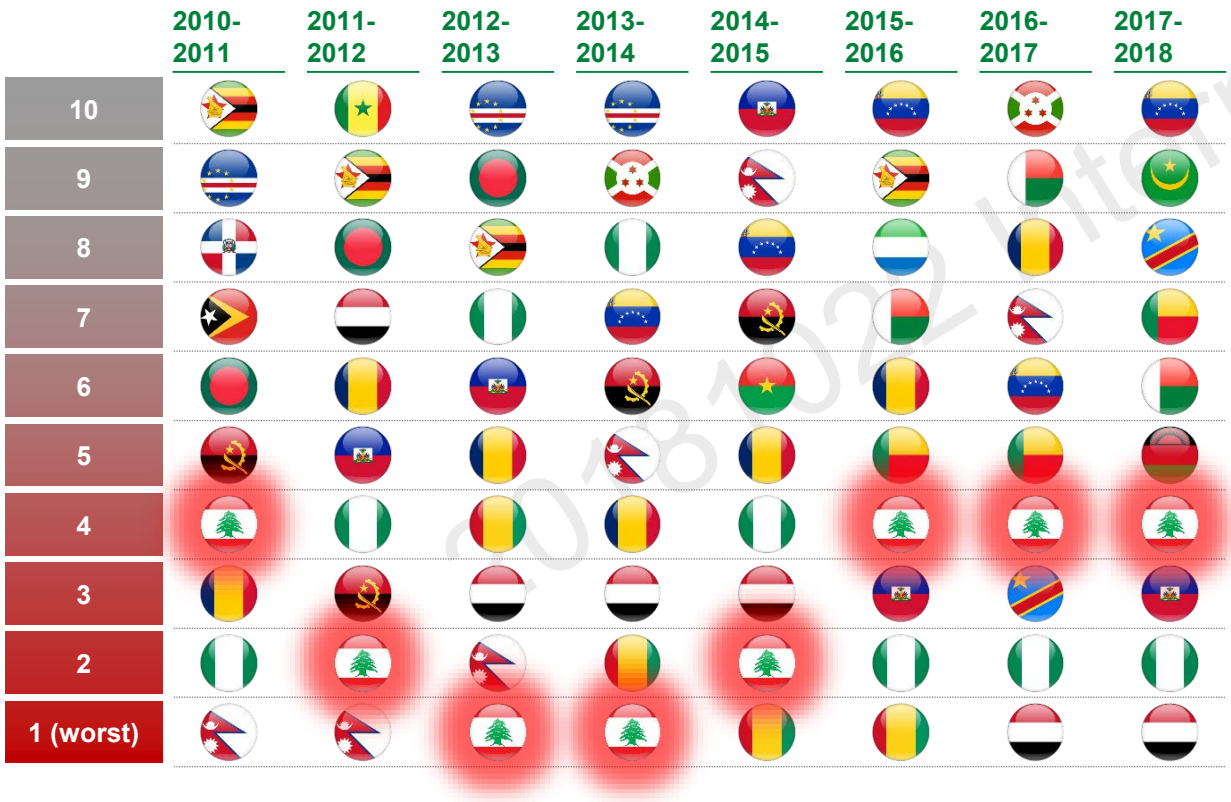
Source: World Economic Forum – Global Competitiveness Report 2017-2018; World Bank – Ease of Doing Business

C2 The Power Sector stands out as a culmination of Lebanese governments' inefficiencies hindering economic growth

Lebanon's ranking on "Quality of Electricity Supply" has consistently been in the bottom five…

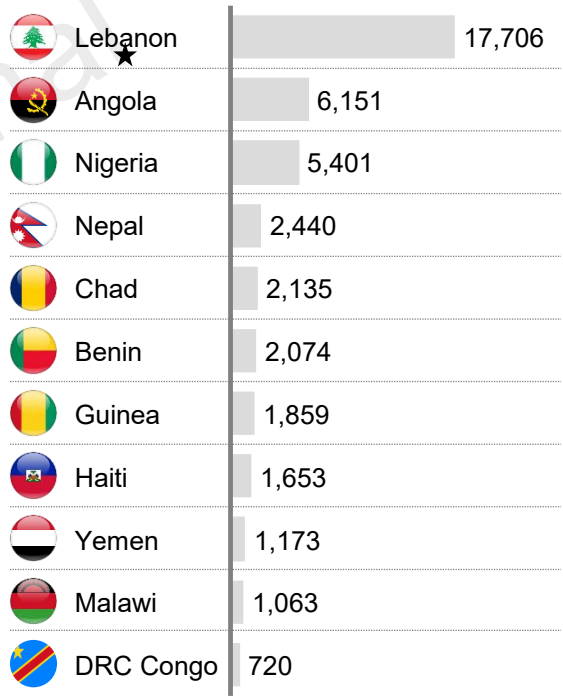
…Surrounded by countries with significantly lower income levels

Reverse ranking of "Quality of Electricity Supply"



GDP (PPP) per capita, 2017 estimate

2011 International Dollar



Selection: countries who appeared in the lowest 5 between 2010/11 and 2017/18

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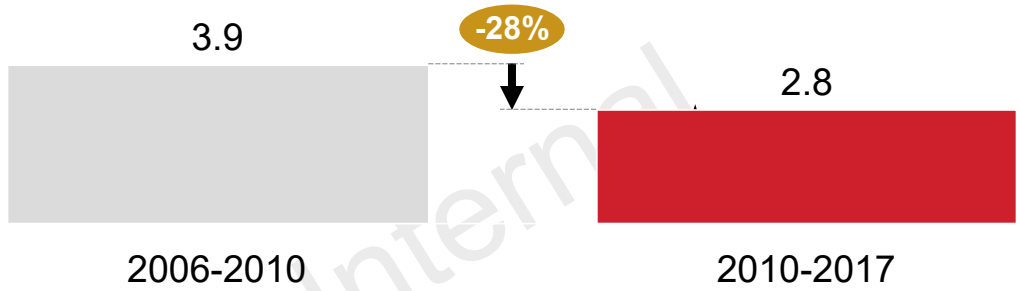
Source: World Economic Forum - Global Competitiveness Report; IMF; team analysis

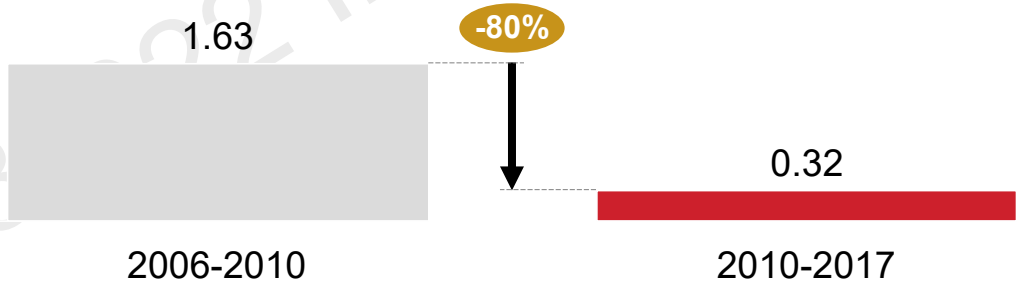
C2 Private sector investment have therefore dropped, leading to additional economic stagnation…

Foreign & domestic investments dropped with FDI decreasing by ~30% and gross capital formation by 6% over the last 7 years

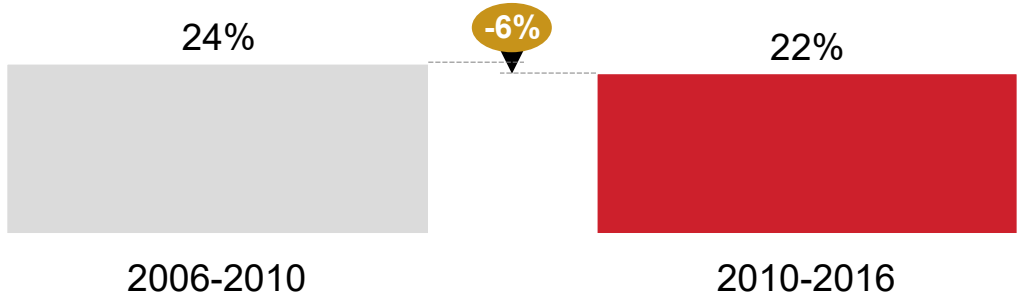
Foreign Investment by year, Bn USD



Large FDI projects, Bn USD



Private gross Capital Formation, % of GDP



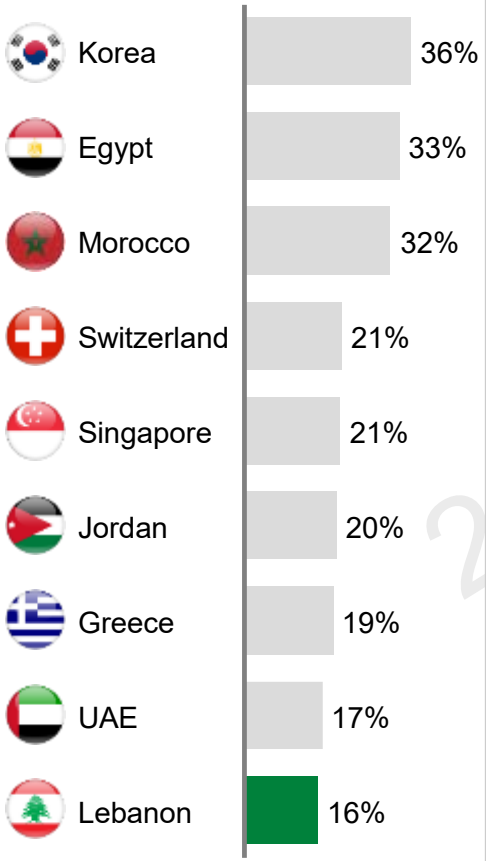
2018 C2 Internal

SOURCE: Banque du Liban; IDAL FDI database; Central Administration of Statistics; Press search

C3 An unconducive business environment has kept Lebanon's productive sectors underdeveloped

ECONOMIC CONTRIBUTION OF PRODUCTIVE SECTORS IS LOW

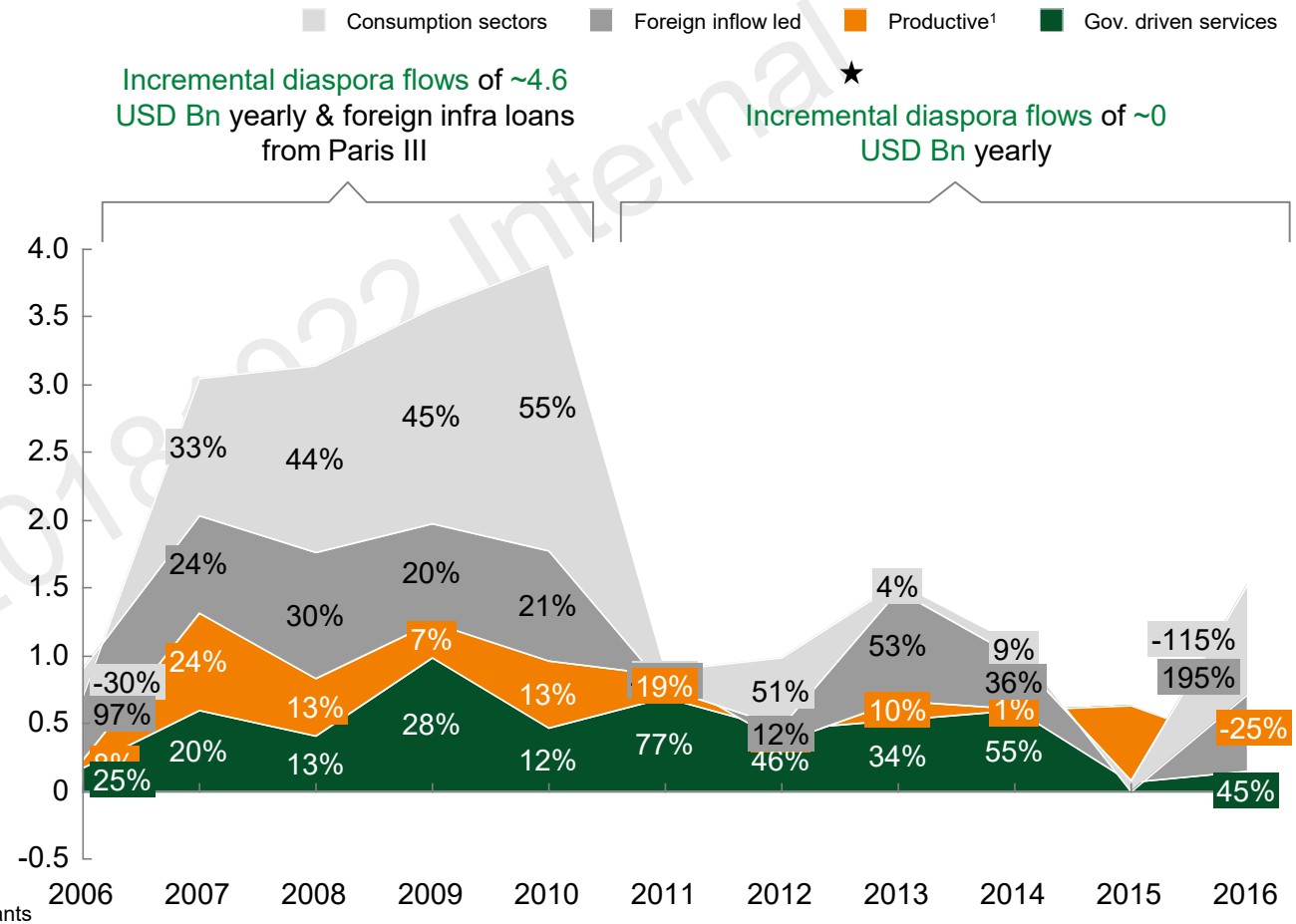
Contribution of productive sectors[1], %GDP



1 Defined as agriculture, industry & hotels and restaurants

GROWTH PERIOD WAS SUSTAINED BY FOREIGN-INFLOW LEAD AND CONSUMPTION SECTORS

Year-on-year contribution to GDP growth by sector category, USD Bn

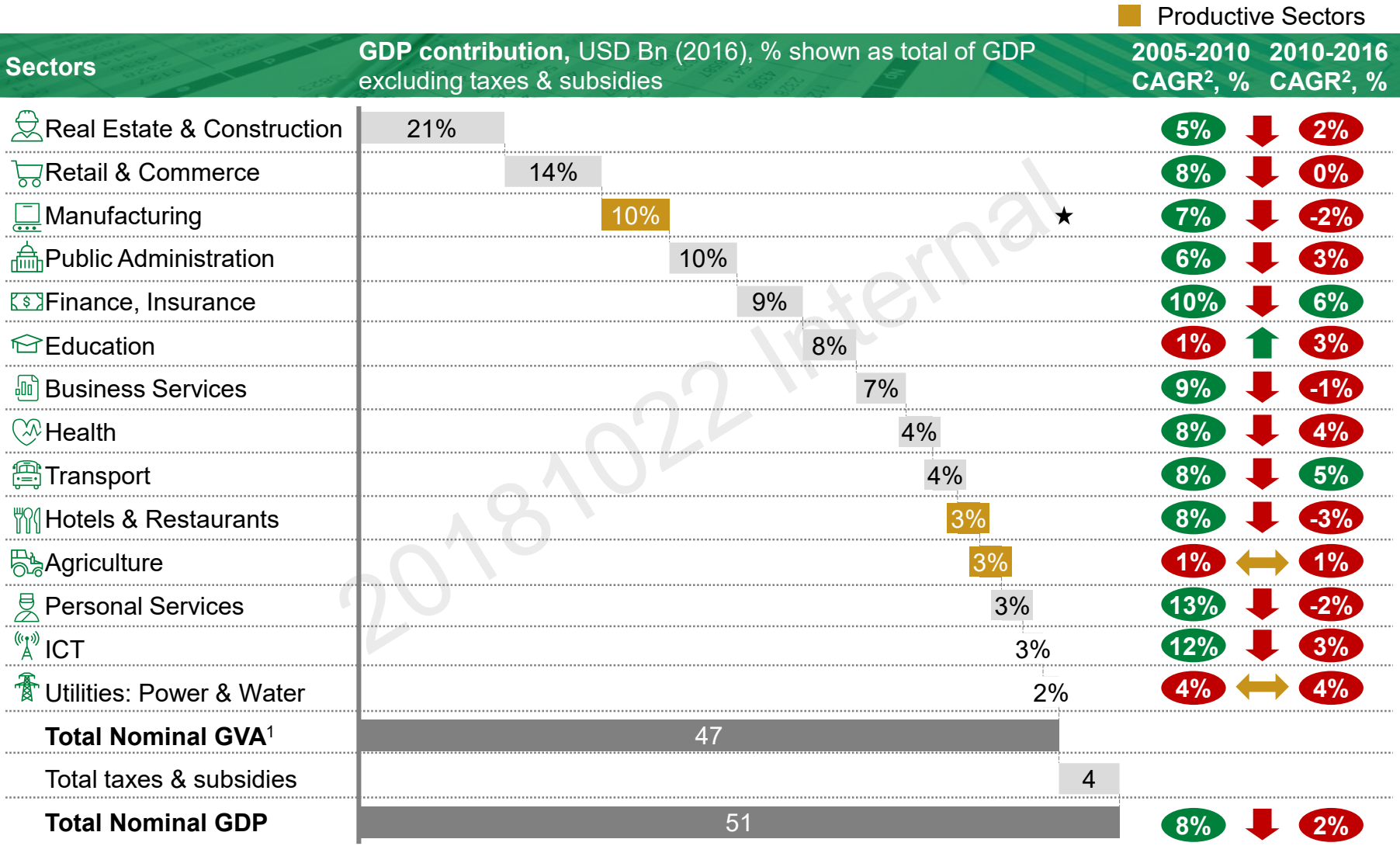


2018-022 Internal

Source: Central Administration of Statistics; IHS Markit

C3

Productive sectors contribute to only ~16% of the country's GDP…



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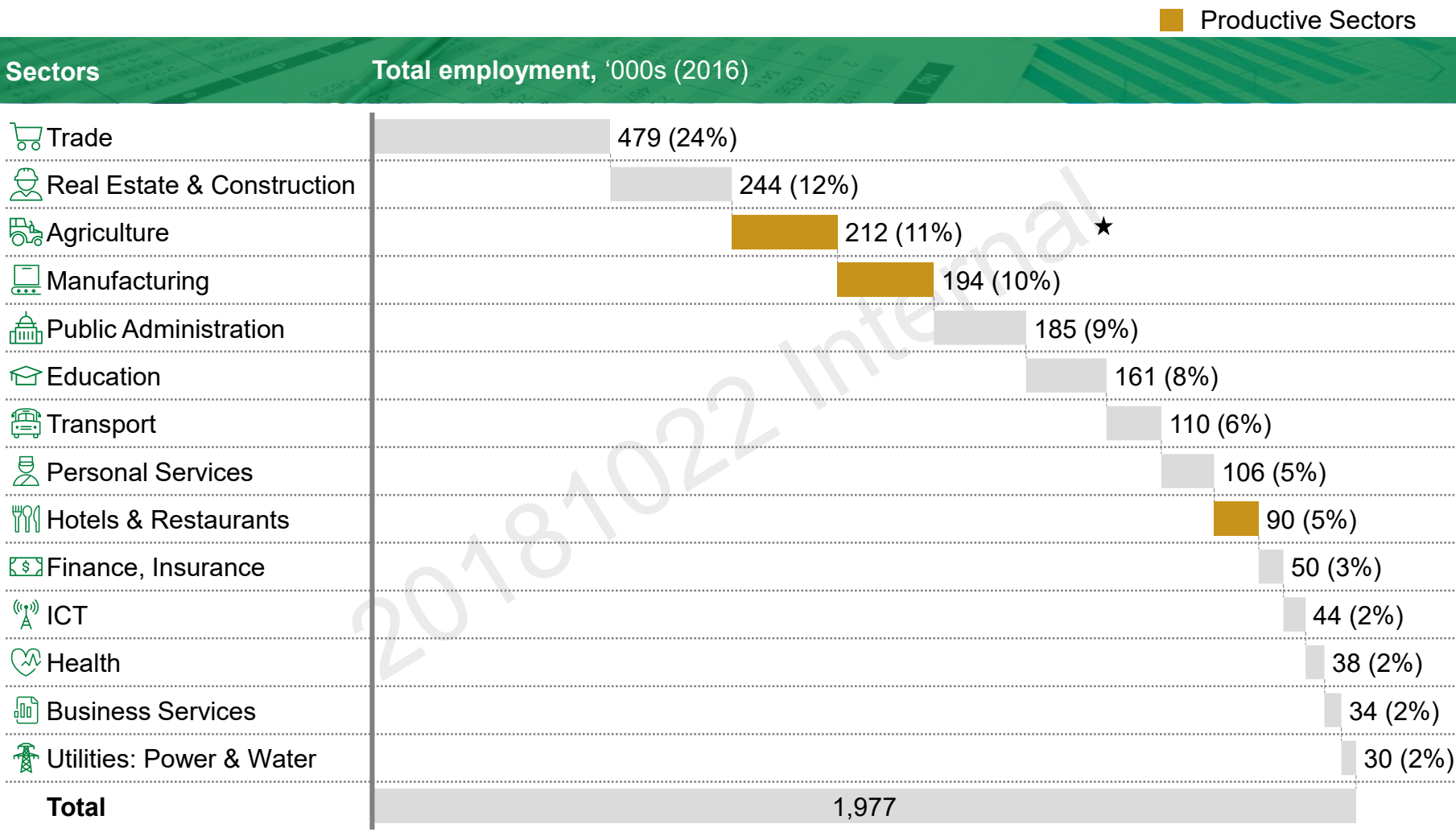
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

C3

… while employing ~26% of the labor force



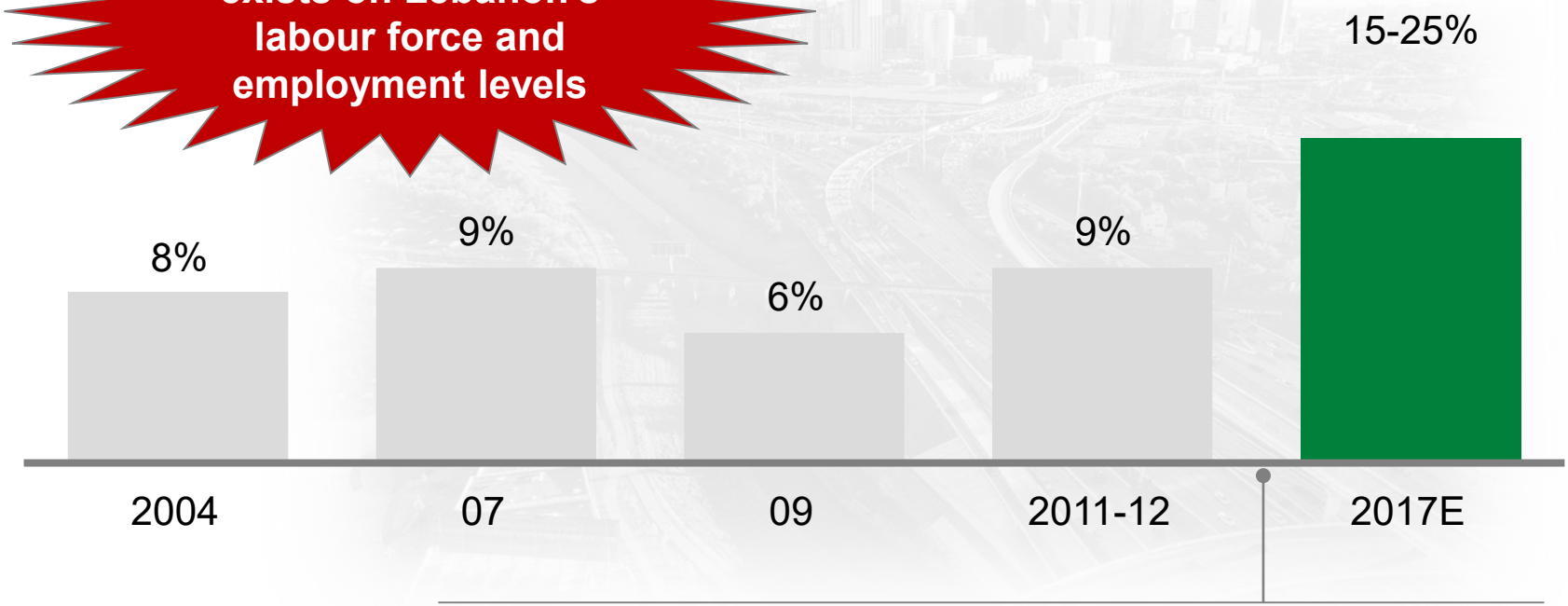
Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

C3 The drop in economic activity has led to an increase in unemployment, further compounded by the Syrian migrant crisis

Estimated unemployment rate, %

No reliable data exists on Lebanon's labour force and employment levels



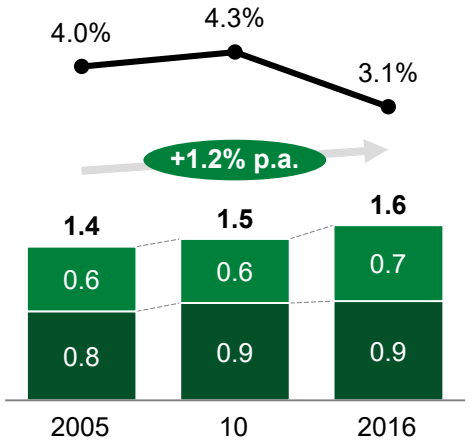
- **Refugee crisis** leading to **inflow of migrants**
- Period of **low economic growth**

Source: CAS Labour Force Survey 2004,2007,2009; World Bank

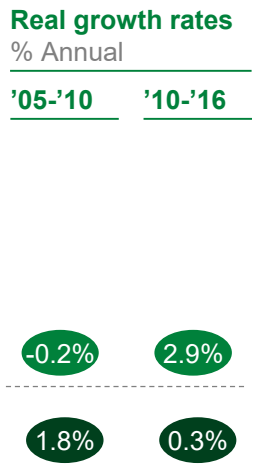
Agriculture – summary of diagnostic

Economic contribution

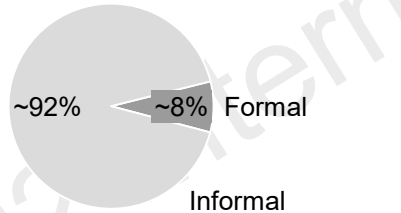
Real GDP value of agriculture
Bn USD in 2010 prices



Real growth rates
% Annual



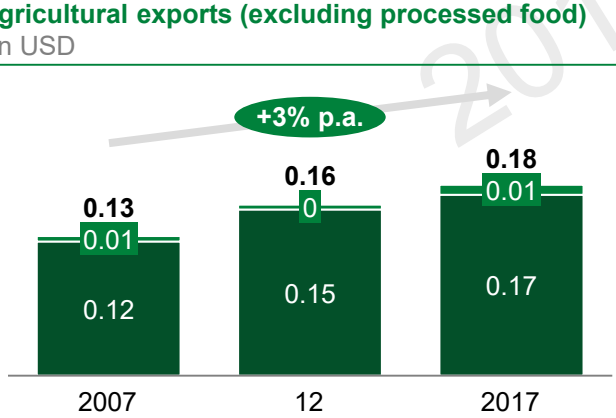
Estimated Employment 2016
Total : ~212k



Excludes seasonal employment

Trade

Agricultural exports (excluding processed food)
Bn USD



Top exports include:
- Fruits (apples, bananas, grapes, oranges, etc.)
- Vegetables (potatoes, lettuce)
- Raw tobacco
- Spices
- Live sheep

1 Includes forestry 2 Includes fishery 3 Excludes taxes and subsidies

Key challenges

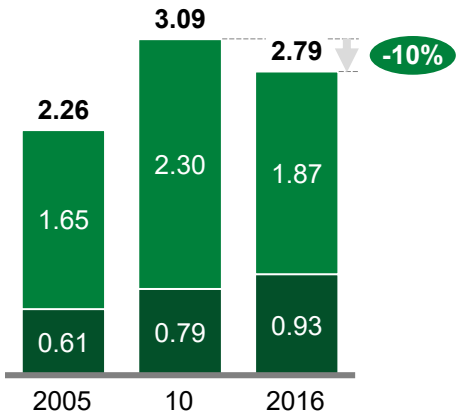
- **Low productivity and quality**
  - Limited modernization / technology adoption, with persistence of suboptimal techniques (harvest, post-harvest, etc.)
  - Overuse of fertilizers & pesticides (452 kg/hectare, vs. 131 kg/hectare in OECD countries)
- **Structural constraints**
  - Small average holding sizes (1.4 ha)
  - Ineffective cooperative system (~1200 COOPs, 2/3 of which are inactive)
  - Dominant wholesale markets / distributors
- **Insufficient and poorly-targeted government support**
  - Limited extension and research services
  - Poor controls on food safety & quality, water usage
  - Limited access to financing
- **Financial unsustainability**
  - Rising land & transportation costs
  - Reliance on subsidies (and ad-hoc financial support)

Source: CAS, ILO, Ministry of Health, Lebanese Customs, FAO, expert interviews

Industry – summary of diagnostic

Economic contribution

Real GDP value of industry
Bn USD in 2010 prices

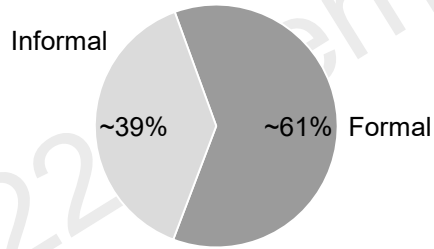


Growth rates
% Annual

	'05-'10	'10-'16
Food processing	6.9%	-3.4%
Non-food manufacturing	5.5%	2.6%

Employment 2016

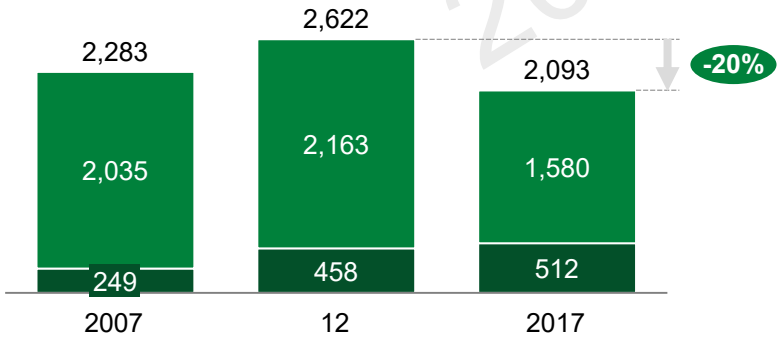
Total : ~194k



Trade

Industrial exports (excluding gold, diamonds, etc.)
Mn USD

Non-food exports Processed food exports



Top exports include:

- Processed food products
- Scrap & basic metals
- Machinery *(incl. household goods)*
- Perfumes and cosmetics
- Electric motors & generators
- Printed material *(e.g. books)*

Key challenges

- **Low competitiveness: High costs of factors of production…**
  - High cost of private electricity generation *(driven by poor/ unstable quality of power)*
  - Rising land and labor costs
  - Unfavorable business environment
  - Ineffective transportation network
- **… and low quality / standards…**
  - Shortage of skilled technical labor
  - Limited application of international standards
- **…aggravated by external market shocks**
  - Reduced regional demand for key products *(e.g. generators)*
  - Constraints on land transportation due to Syrian conflict

2018 1022 Interna

Source: CAS, Lebanese Customs, ILO, expert interviews

Oil & Gas – summary of diagnostic

Current situation and recent developments

Lebanon **may have significant oil & gas resources**, which are currently untapped

- In 2010, USGS estimated that 1.7 billion barrels of recoverable oil and 122 trillion cubic feet of recoverable natural gas may be found in the Levant Basin Province

Despite long delays, there have been several **recent achievements** supporting the development of Lebanon's oil & gas sector:

- **Exploration & production licenses** for 2/9 blocks were awarded to a consortium made up of Total, Eni and Novatek (Dec 2017)
- **Regulatory and governance framework** for the sector has been developed, with several laws being passed *(e.g. law to establish a Sovereign Wealth Fund)*

Pending uncertainties

Significant uncertainty remains on the value of Lebanon's resources, which will depend on several variables, including but not limited to:

- **Resource base:** Volume of resources, as well as form and chemical makeup, are very uncertain
- **Oil prices:** Recently-demonstrated volatility in global prices makes it difficult to predict the price of oil during production, which is not expected to begin until 2029
- **Technology:** Several advances in gas extraction technology have drastically reduced the cost of extraction in the last few years, and further advances could have a significant impact on the cost of extraction
- **Market demand:** Changes in geopolitics, as well as the development of new pipelines could have a significant impact on export market options.

Timeline of events

Exploration is expected to begin in 2019

First round of **development** is expected to take place between 2025 and 2029

- The development phase will be very **capital intensive**, as it will involve construction of off-shore platforms
- This will create a **spike in job creation** *(up to 10k)* which will be mostly indirect *(e.g. in industrial sectors)* and supported by local content requirements
- The development timeline is highly dependent on the results of the exploration phase

Extraction of oil may not begin until **2029**

The future of oil & gas

Broadly, there are **three scenarios** for the role of oil & gas in Lebanon:

1. **Negligible:** Oil plays no major role in Lebanese economy, likely due to limited volume or very high costs of extraction
2. **Power-producing:** Oil is used almost exclusively as an input in the power sector, with limited financial gains
3. **Financially-supporting:** Beyond use of oil in power, oil generates significant financial resources for the government, contributing to fiscal stabilization

Present-day priorities

Despite the uncertainty, there are several **no-regret efforts** that the government of Lebanon should prioritize in the **short term**:

- Developing a clear strategy and direction for the sovereign wealth fund
- Continuing to develop the regulatory and governance ecosystem *(e.g. finalizing transparency-related regulations)*

Moreover, in the **medium term** *(as more clarity on resources is established)* additional **strategic analysis** will be required, on topics including but not limited to:

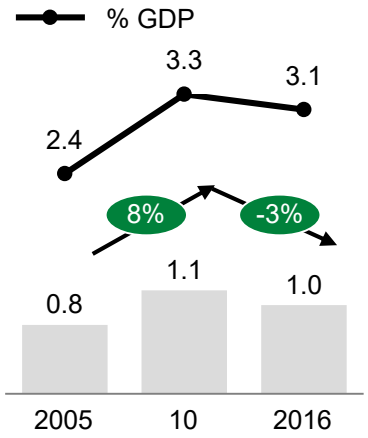
- Optimal usage of oil & gas resources *(e.g. local power vs. export)*
- Impact on industrial sector *(e.g. via improvement of power sector)*

R18108 Internal

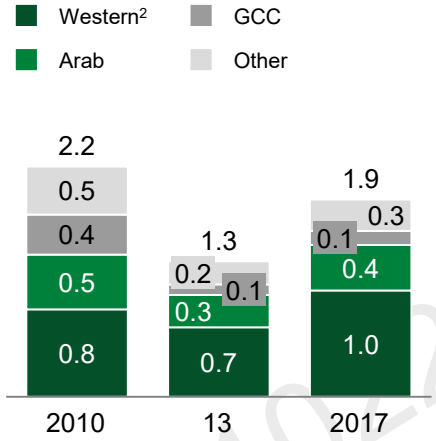
Tourism – summary of diagnostic

Economic contribution

Real GDP value of tourism[1]
Bn USD in 2010 prices



Number of tourists by nationality
Million tourists

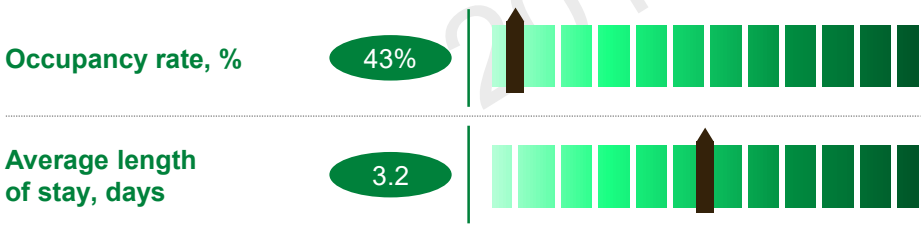


Top nationalities

- Iraq (12%),
- France (9%),
- USA (9%),
- Canada (6%)

Performance metrics[3], 2017

Performance compared to peers



Key challenges

- **Lack of proper tourism data** to ensure informed decision making
- **Low occupancy rates in hotels** are deterring private sector investments
- **Limited hospitality infrastructure** catering for the upper mass and luxury segments (especially outside Beirut)
- Absence of a brand image for Lebanon
- **Limited flight connectivity** and **high airfare prices** to European markets
- **Highly fragmented eco-system** with no forum for collaboration between all the different stakeholders

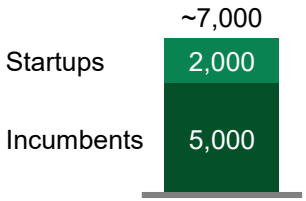
1 GDP contribution of hotels and restaurants is used as a proxy for tourism GDP
2 Includes Europe, Oceania and North America (US and Canada only); 3 Based on a sample hotel list provided by MoT

Source: Ministry of tourism, CAS

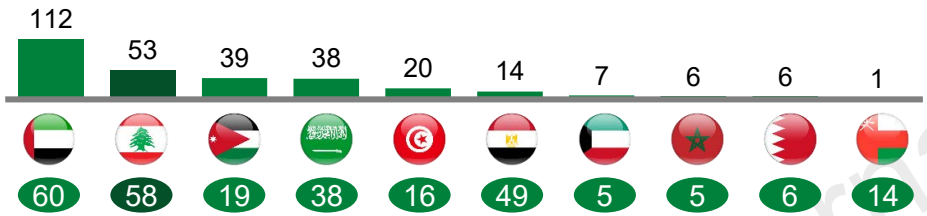
Technology – summary of diagnostic

Economic contribution | Sector performance

Total jobs, 2017



Total value of VC deals, USD Mn 2017



Technology & innovation funnel, by stage of company

Digital producer

Idea generation / R&D	Commer-cialization	Start-up / early stage	Growth
▪ Sub-par R&D spend and lack of funding	▪ Low volume of patents	▪ Ease of doing business ▪ Gap in angel funding	▪ Lack of growth funding & access to markets

Digital eco-nomy

- Lebanon lags all Middle-Eastern countries on digitization index

Digital govern-ment

- Lebanon lags all GCC countries on the UN e-government readiness index (0.56 vs. 0.72) only slightly outranking Egypt & Jordan in the Middle East

Key challenges

- **Low availability of digital talent**
  - Despite Lebanon's strong talent base, access to talent was reported to be the main obstacle faced by domestic start-ups
  - Moreover regional entrepreneurs consider Lebanon as the top source for creative & marketing talent, but as lagging behind for core technical skills
- **Missing key regulatory requirements**
  - The sector suffers from sub-par regulations such as the current incorporation laws (preferred shares, stock-options), and a sub-par judicial system
  - For e.g. only 20% of entrepreneurs offer stock-option schemes whereas ~50% of the talent pool would be willing to accept it as compensation scheme

Source: ArabNet – The state of digital investment in MENA 2018; Wamda access to talent for MENA's entrepreneurs; Arabnet - Lebanese Innovation Economy - Tech Startups 2018; World Bank; Banque du Liban; Pitchbook; Market interviews

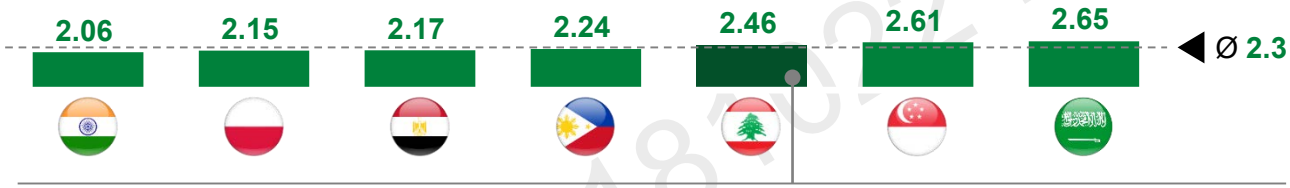
Outsourcing – summary of diagnostic

The outsourcing sector is not well established with a small contribution to employment

Total number of jobs in outsourcing, 2017

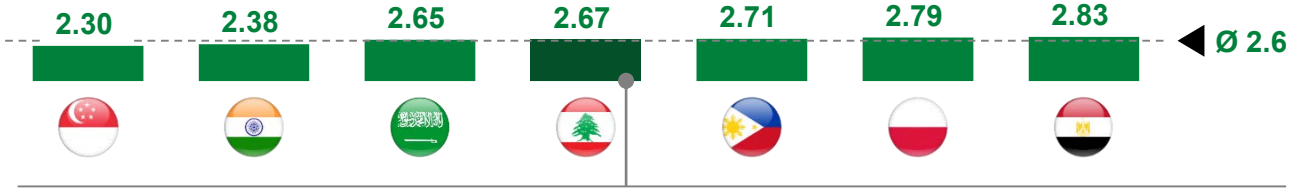
Despite possessing the intrinsic components (talent and cost), Lebanon lags on government-related components mainly infrastructure and business environment

Location readiness index for BPO, 2017, low index = high score



- **High** scoring on **talent** (1.5 vs 2.1) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Location readiness index for KPO, 2017, low index = high score



- **High** scoring on **talent** (2.1 vs 3.0) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Key challenges

- **Sub-par virtual and physical infrastructure**
  - Physical and virtual infrastructure lags with low broadband speeds (5Mbps, 127th globally) and high mobile connectivity costs
  - Un-empowered regulatory authority (TRA) leading to in lack of continuity and uniformity in the sector (e.g. stopping of the E1 lines for call centres)
- **Sub-optimal regulatory framework and environment with lack of incentives**
  - Sub-par ease of doing business environment
  - Required laws not in place: bankruptcy law, competition law, IP protection law
  - No zones in place offering tax-incentives and lower infrastructure costs (telecom & rental costs)
- **High country risk profile**
  - Low macro-economic and political stability, a key input to outsourcing location criteria

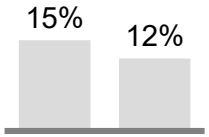
2018 Booz Allen Hamilton

Source: Location Readiness Index database; IAOP: Global Outsourcing 100 2016; IDAL BPO Factbook 2016; SpeedTest; Expert Interviews

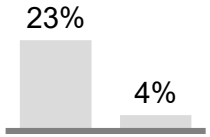
Financial Services – summary of diagnostic

Banking

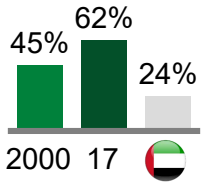
RoE, %



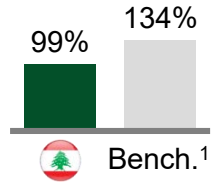
Deposit growth, %



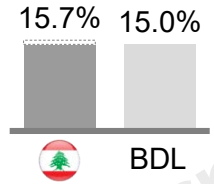
Sovereign exposure, %



Loan penetration, %GDP

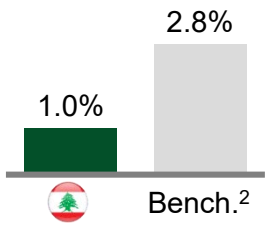


Capital adequacy ratio, %

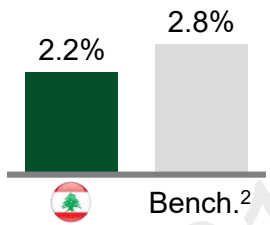


Insurance

Life penetration, GWP % GDP

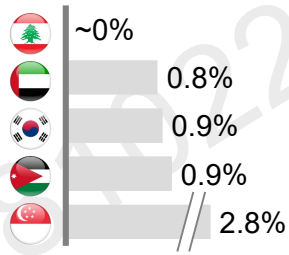


Non-Life penetration, GWP % GDP

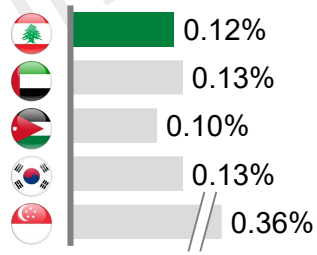


Private Equity/Venture Capital

Private Equity deals, % GDP

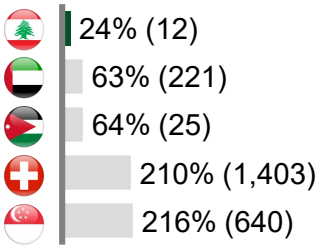


Venture Capital deals, % GDP

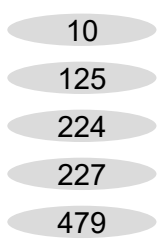


Capital markets

Market capitalization, % GDP (USD Bn)

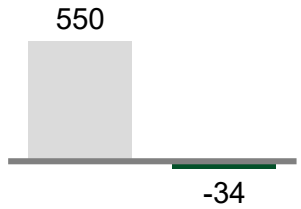


Listed companies, #



Pension funds

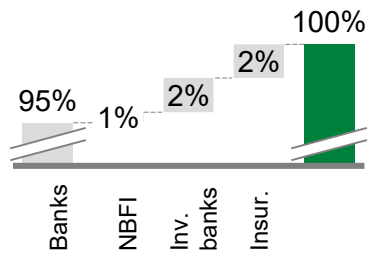
Pension surplus, USD Bn



Insurance deficit, USD Bn

Financial assets

Financial sector asset split, %



Key challenges

- **Lack of participation of non-banking financial services**
  - Domination of financial services by banking with ~95% of assets
- **Underdeveloped capital markets**
  - Lack of incentives to list
  - Limited foreign investments
- **Credit**
  - Although a large portion of credit information is provided by BDL, sector can benefit from a credit bureau
- **Legal**
  - Sub-par legal framework on three fronts: (1) E2E doing business cycle (2) Private equity and fund management laws (3) Digital banking & payments
- **Regulator**
  - Incomplete regulatory framework for capital markets (lack of sanctioning committee & tribunal)
- **Capabilities:**
  - Low financial inclusion and literacy, especially outside BML

1 Includes Singapore, Switzerland, UAE, Greece, South Korea, Jordan & Morocco

2 Includes UK, France, Italy, Netherlands, Spain, South Korea, Brazil, Hungary, KSA & Turkey

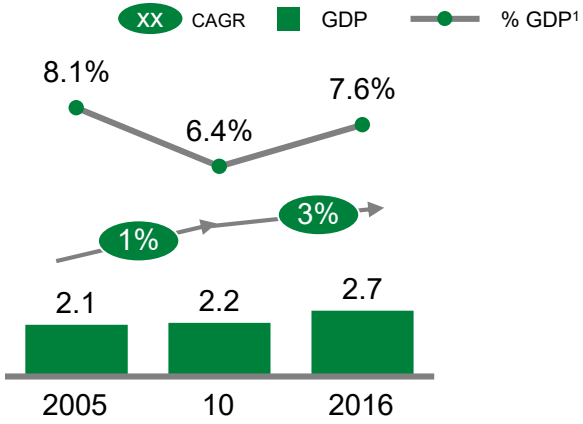
Source: IMF Article IV, Banque du Liban, BCC, ICC, World Bank, Pitchbook, Country central banks

Education – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of education
Bn USD in 2010 prices



Performance metric, 2015

Performance compared to peers

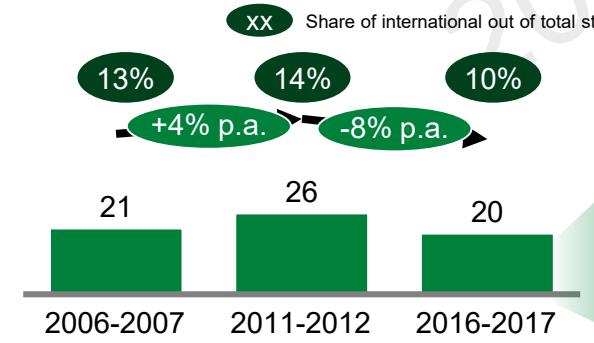
Quality of education, Universal scale score — 417

Public expenditure per student, PPP USD — 0-1000

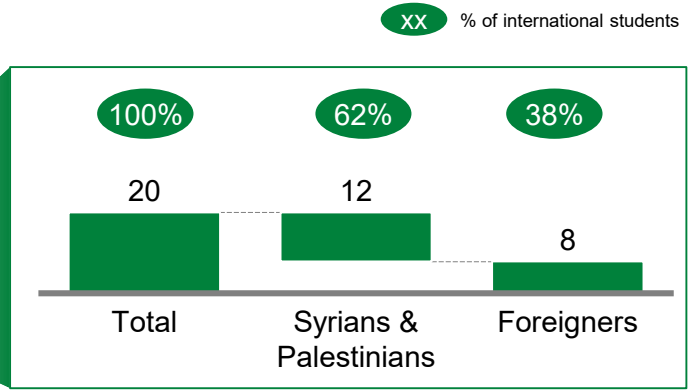
Number of universities in top 500, # — 2

Inbound International students – Higher education

Stock of international students 2017, '000 students



Split of international students by nationality 2017, '000 student



1 Excluding taxes and subsidies

Key challenges

- Declining performance of the education system (Quality of education system in Lebanon is classified as "Low")
- Outdated Curriculum (Latest update was in 1997)
- High regional competition in attracting international tertiary students
- Skill gap between the labour force demand and supply

2018-2022 Internal

Source: CAS, Ministry of education, World Bank. PISA scores

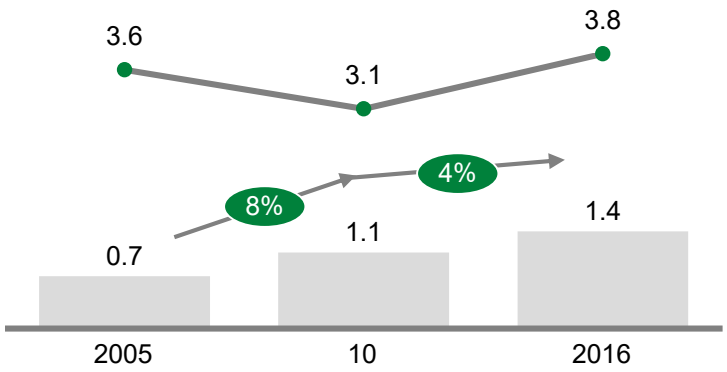
Healthcare – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of healthcare
Bn USD in 2010 prices

XX CAGR — % GDP[1]



Healthcare expenditure, 2015		Performance compared to peers
Health expenditure per capita, PPP, K USD	1.1	
Out-of-pocket share of healthcare expenditure, %	37	
Pharma expenditure, % of total healthcare expenditire	46	

Performance metrics

Quality metrics, 2015	Lebanon	OECD
Average life expectancy at birth, years	81	80
Neo-natal mortality per 1,000 live births	5	4
Maternal mortality per 100,000 live births	14	14[2]

Accessibility metrics, 2015		Performance compared to peers
Number of hospital beds, Per 1,000 population[3]	3.4	
Number of doctors, Per 1,000 population[3]	3.2	
Number of nurses and midwives Per 1,000 population[3]	3.3	

Key challenges

- **Healthcare expenditure is in line with peers however share of out of pocket and pharma expenditure is high:**
  - High share of out of pocket healthcare expenditure (37%
  - High share of pharmaceutical expenditure out of total healthcare expenditure
- **High share of population that is uninsured (38-40% of total population)**
- **Highly fragmented hospital network (65% of hospitals have less than 100 beds)**
- **Lack of specialization of hospitals limiting the advantages of the economy of scale**

Healthcare diagnostic section covers economic contribution of the sector. This includes quality, accessibility and spend per capita on healthcare as well as size of the medical tourism exports. Social contribution and healthcare operating model are not part of the scope

Source: CAS, Ministry of Public Health Bulletin, World Bank, BLOM Bank, World Health Organization

Telecommunications – summary of diagnostic

Economic contribution

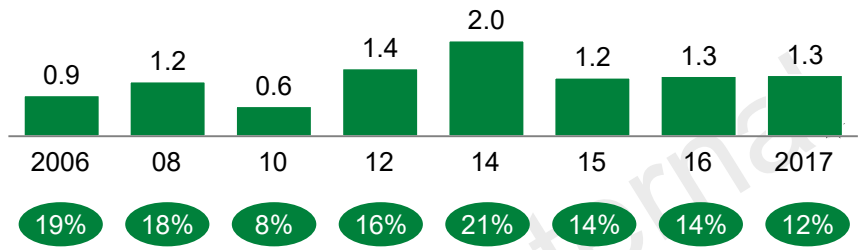
GDP contribution of ICT, 2016 nominal USD Bn (%) — 1.4 (3%)

Total ICT employment, 2016 # — ~44,000

Total telco jobs, 2018 # — ~4,000

Contribution to government revenues[1]
USD Bn

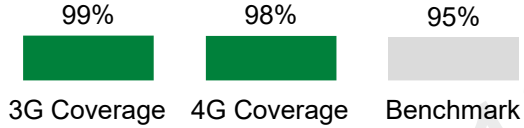
Portion of government revenues,%



Mobile network

Accessibility

3G & 4G coverage, % population

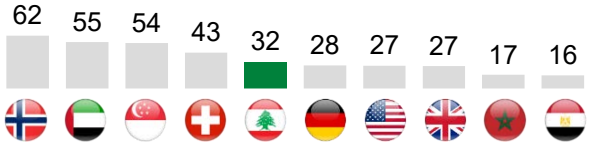


Affordability

Data price per GB to GDP/capita, %

Quality

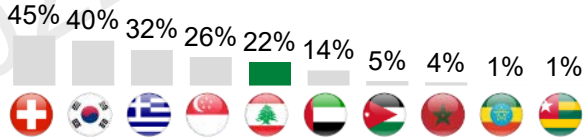
Mobile download speed , Mbps June 18



Fixed network

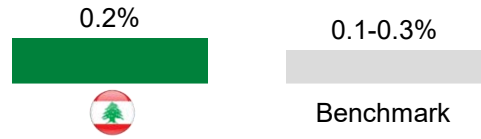
Accessibility

Fixed penetration, % population



Affordability

Price of broadband to GDP/capita, %



Quality

Fixed download speed , Mbps June 18

1 Excludes corporate taxation of telecom operators

Key challenges

- **High mobile prices**
  - Both data & voice prices remain prohibitive, especially when compared with regional benchmarks
  - Mobile data and voice prices are ~2-3x regional peers (Morocco & Egypt)
- **Low fixed network quality**
  - Average broadband speeds of ~6mbps, ranking Lebanon 130th out of 133 countries worldwide, behind Pakistan, Iraq & Syria
- **Inadequate amount of capital investments**
  - Telecommunications investments per capita ~2.5x times lower than peer countries average

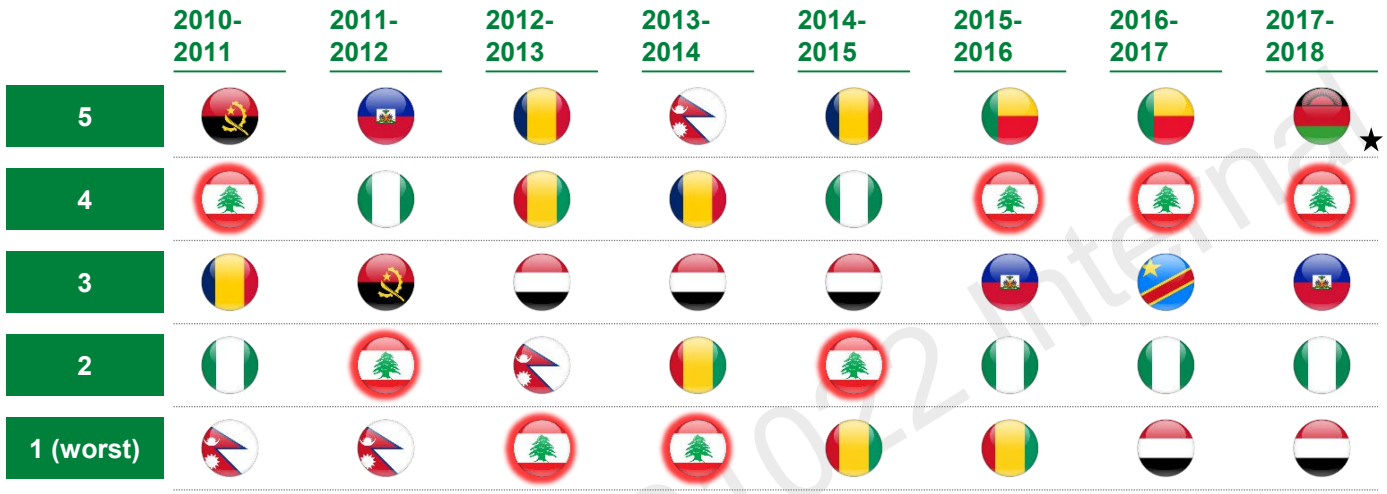
2018 Not for Internal

Source: Ministry of Finance annual reports; Telegeography; SpeedTest; ITU; Country benchmarks; Market interviews; Operators websites; World Bank; CAS

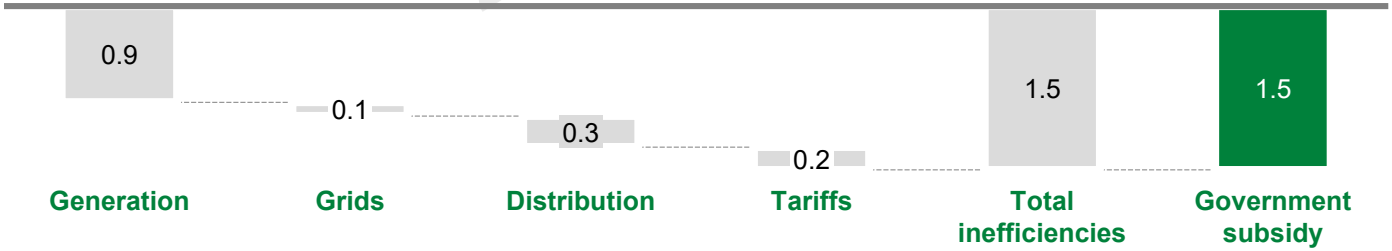
Power sector – summary of diagnostic

Performance metrics

Reverse ranking of "Quality of Electricity Supply"



2017 estimated breakdown of power sector in Lebanon, Bn USD



Key challenges

Generation
- Missing reserve margin
- High generation cost
- Limited share of renewables

Grids
- High share of T&D losses
- High demand for grid built-out

Distribution
- High non-technical losses in billing system
- Low level of energy service quality

Tariffs
- Tariffs lower than similar peers and not reflecting production cost

20180102 Internal

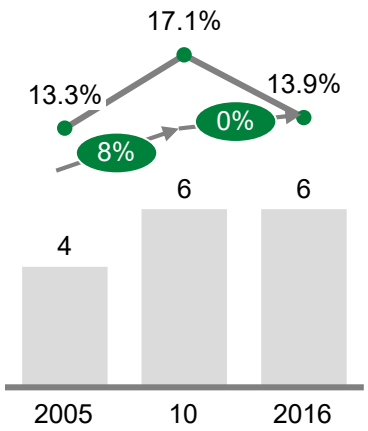
Source: CAS, Euromonitor, Lebanese Franchise association

Retail and commerce – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of retail and commerce
Bn USD in 2010 prices



XX CAGR

% GDP[1]

Growing segments:
- Cosmetics
- F&B
- Sports & hobbies

Declining segments:
- Luxury goods
- Households
- Fashion & clothing

Performance metric, 2016

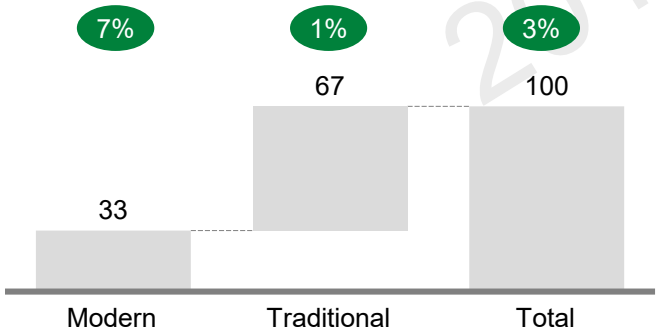
Employment, K employees: 280

Productivity, 000 USD/employee: ~12

Performance compared to peers

Performance metrics

Modern vs traditional retail grocery, 2017, %



Store vs online sales, 2017, %

x% CAGR '12-'17

1 Excludes taxes and subsidies 2 Includes small share of direct selling

Key challenges

- **High share of informal companies and informal employment in the sector**
- **Inefficiencies across the retail supply chain mainly due to:**
  - Congestion and poor transport infrastructure
  - High time and cost associated with importing goods
- **Lack of enabling legislations due to inefficient government in drafting and passing laws:**
  - Code of Commerce modernization proposal has been stuck in the parliament for the past 5 years
  - Competition law has yet to be submitted to the parliament
  - Absence of an e-commerce law

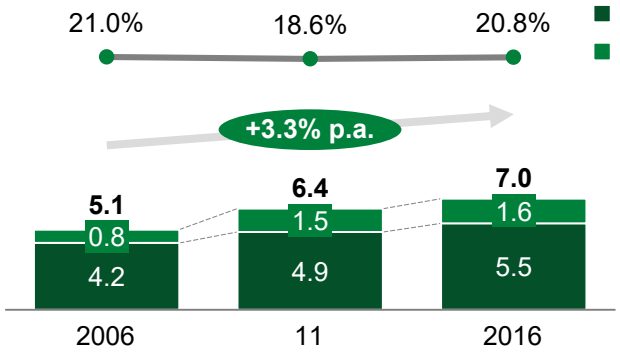
2018-2022 Internal

Source: CAS, Euromonitor, Lebanese Franchise association

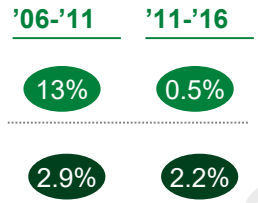
Real Estate and Construction – summary of diagnostic

Economic contribution

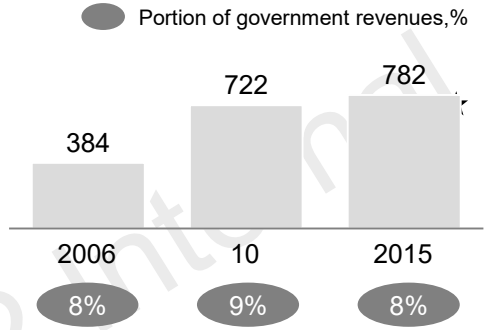
Real GDP of real estate & construct.
Bn USD in 2010 prices



Real growth rates
% Annual

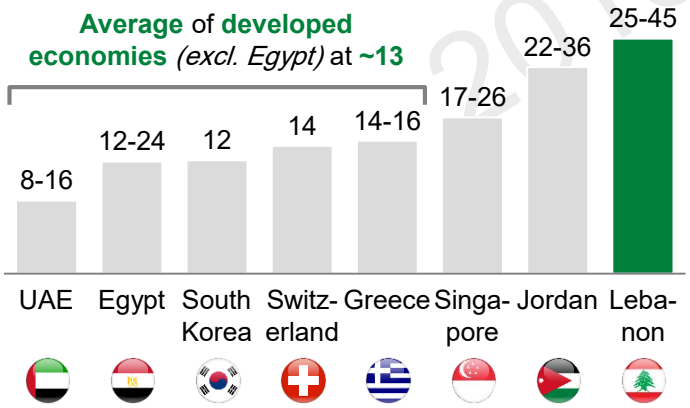


Contribution to government revenues
USD Mn



Housing affordability

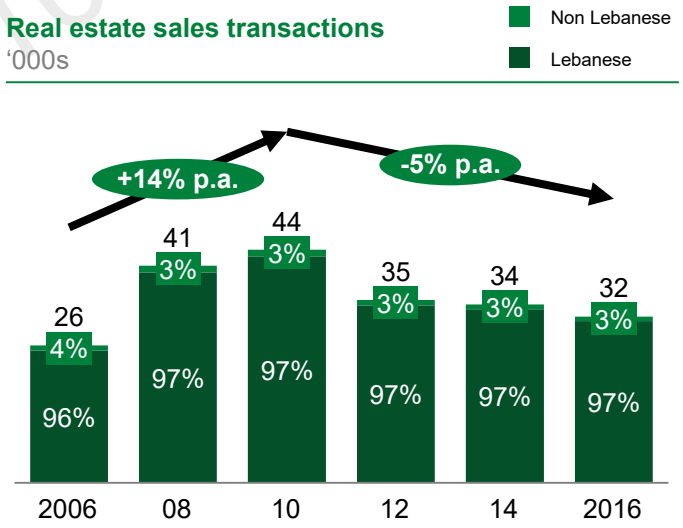
House price to GDP per capita ratio,
#



1 Excludes taxes and subsidies

Real estate activity

Real estate sales transactions
'000s



Key challenges

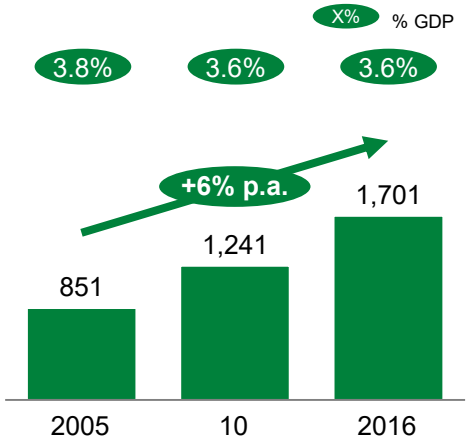
- **Drop in activity**
  - Lebanon stands with a stock of vacant apartments valued at ~9 USD Bn, mainly in luxury developments
- **Prohibitive prices**
  - Average value of real estate sales transactions more than doubled in 10 years going from ~48K USD in 2007, to ~103K USD in 2017, rendering a house price to income ratio of 25, highest among benchmark countries
- **Lack of comprehensive Urban Planning**
  - The absence of strict enforcement of urban planning has been detrimental to land availability and access, especially in high urban concentration, the problem being even more pronounced in Beirut. This has further put upward pressure on real estate prices

Source: Ministry of Finance Real Estate Registry; World Bank; Numbeo; Global Property Guide; Order of Engineers Beirut; Banque du Liban; CAS; World Bank A systematic country diagnostic 2015; Real Estate Association

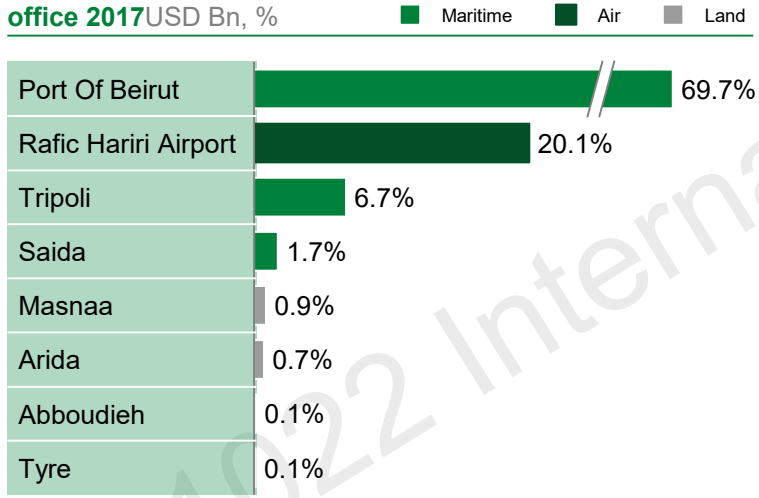
Logistics and transportation – summary of diagnostic

Economic contribution

Real GDP value of transportation
Million USD in 2010 prices

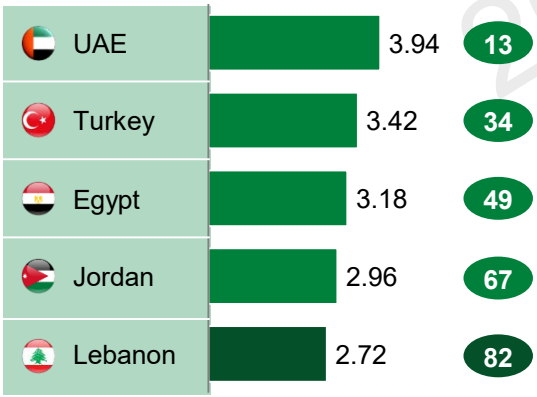


Breakdown of trade flows by customs office 2017USD Bn, %

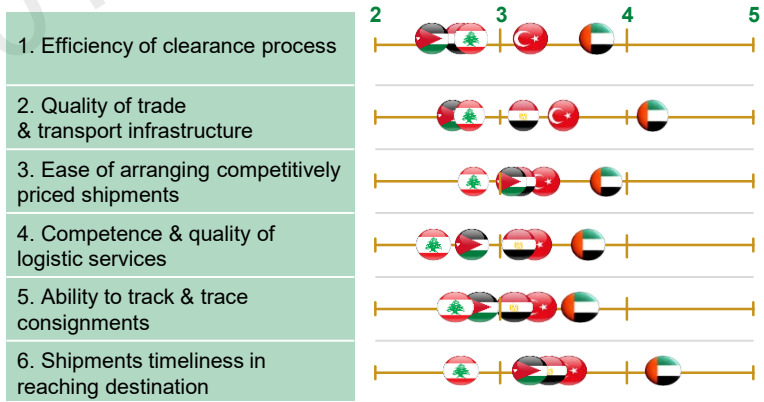


Performance metrics,

Logistics Performance Score



LPI score breakdown



Key challenges

Ports

- **High dwell time in Beirut Port** (~13 days)
- **Inefficient integration** between the different ports and roads
- Unclear differentiation approach between Beirut Port and Tripoli Port *(and respective expansion / development plans)*

Airport

- **Demand exceeding capacity** in Rafic Hariri International Airport (6M Capacity, vs 8M+ annual demand)

Roads

- **Low quality roads** (~15% of roads are in good condition)
- **High traffic congestion** on main highways

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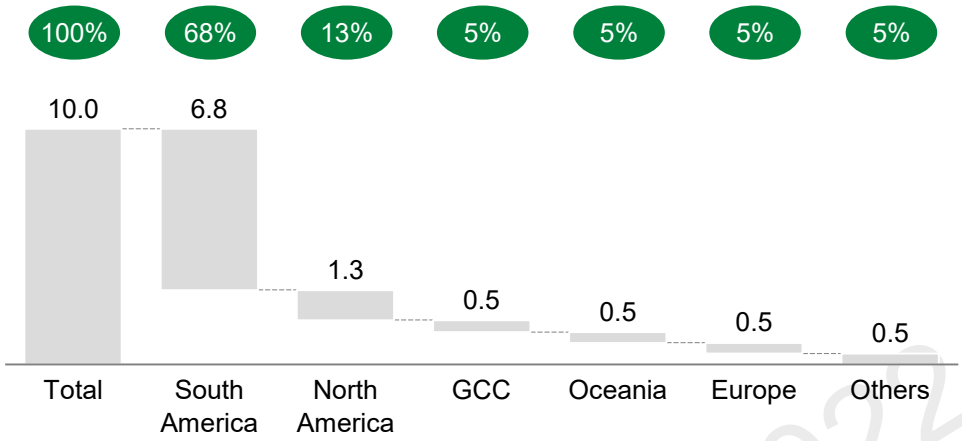
Source: CAS; Lebanese Customs; ILO; World Bank; Port of Beirut; expert interviews

Diaspora – summary of diagnostic

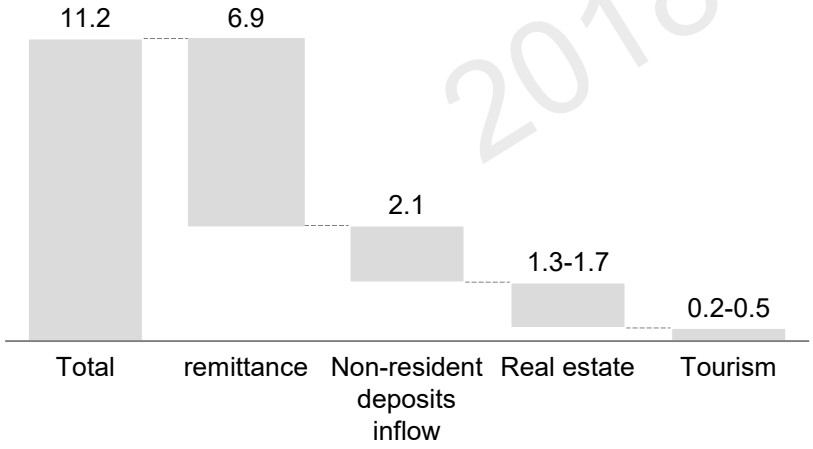
Size of diaspora, Mn resident



Top Diaspora countries are:

- Brazil
- Venezuela
- USA
- Canada
- Australia
- KSA
- Arab

Economic Contribution, 2016 USD Bn



Key facts, 2017:

Diaspora tourists, Mn	1
Real estate, '000 units	~7-9
Total non-resident deposits in bank, USD Bn	35
Top source countries for remittance:	

Key challenges

- **Absence of emigration policy and tracking system**
- **Withering relationship with second and third generation of diaspora (No pro-active approach to reinforce the Lebanese identity abroad)**
- **Absence of planning to channel diaspora contribution towards productive areas**

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Source: BDL, MoFA, IDAL, Order of Engineers

Urban Efficiency – summary of diagnostic

City planning & efficiency is a key enabler for economic development and growth

By 2030, 60% of the population – 5 billion people – will be city dwellers …

… and the top 600 global cities are expected to contribute to more than half of the world's GDP

Knowledge-intensive, small-sized countries, unlocked their growth potential, through **anchoring** their **development around** an efficient **urban center, at the heart of the economy**

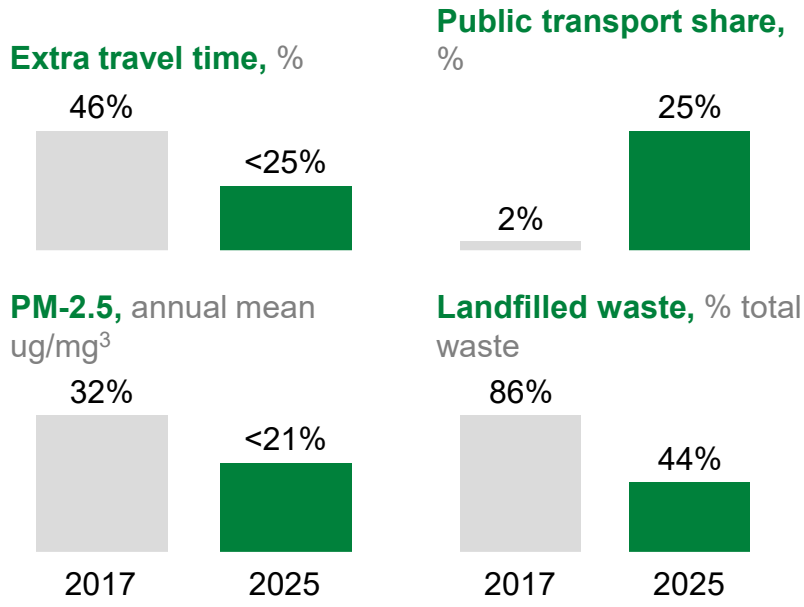
- **Singapore** positioned the city as a key regional hub, **attracting regional headquarters** for 100+ companies by 1990
- **Dubai** has developed a comprehensive strategy **anchored around** an **efficient urban zone** with SEZ around the city

Several gaps exist within Greater Beirut's efficiency that should be tackled as part of a broad city vision

Key challenges should be tackled…

- **Enhance overall livability** of the city, mainly **pollution** and **waste management**
- **Focus on growing improving offering and growing use of public transportation**, through prioritizing and incrementing relevant CIP initiatives
- **Develop a fully integrated urban plan**, with clear land use allocation
- **Reclaim illegally used land** particularly on Greater Beirut's beachfronts

… while tracking several key metrics to ensure success



Source: C40 Cities, WHO Global Urban Ambient Air Pollution Database, Lebanon municipality of Beirut sustainable energy action plan, Capital Investment Program, Press Search, Transport Authority of Countries, TomTom Index; CIP, Land Transport Authority of Singapore, Gulf News, CAS, Ministry of Health

Trade Agreements – summary of diagnostic

Status of trade agreements

	Agreement	Partner	Status	Prelem. assessment of impact to date
Active agreements	Greater Arab Free Trade Agreement (GAFTA)	Arab countries	Entered into force in 1998	Positive impact ★
	EU Association Agreement	European Union countries	Entered into force in 2006	Negative impact
	EFTA Free Trade Agreement	EFTA States (Iceland, Liechtenstein, Norway and Switzerland)	Entered into force in 2004	Neutral impact
Ongoing discussions	World Trade Organization	Global	Accession in progress - last working party meeting (7th) conducted in 2009	
	MERCOSUR Free Trade Agreements	Argentina, Brazil, Paraguay, Uruguay, & other south American countries	MoU signed in 2016, discussions in progress	
	Agadir Agreement	Egypt, Jordan, Morocco, Tunisia	Accession in progress, following initial approvals in April 2016 and March 2017	

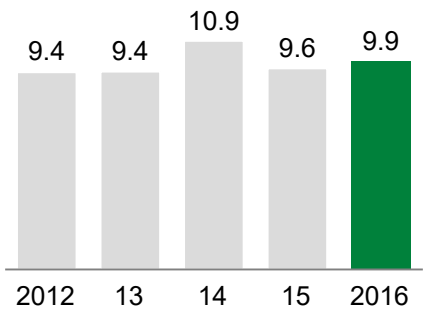
20181022 Internal

Key challenges

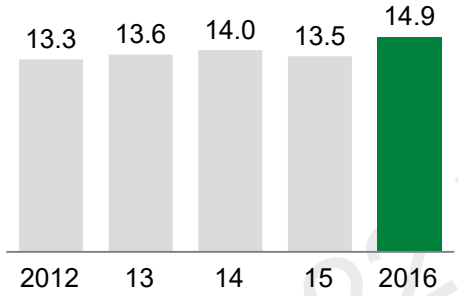
- **EU Association** Agreement led to a **short-lived boost to exports**, whereas **imports continue to grow**
- **The EFTA** trade agreement led to a balanced increase in both exports and imports, but **gains in both have been largely lost**
- There is a **lack of coordination** between the different trade-related entities
- Private sector faces issues with **technical and non-technical measures** (e.g. SPS conditions, registration requirements…)

Public Finance – summary of diagnostic

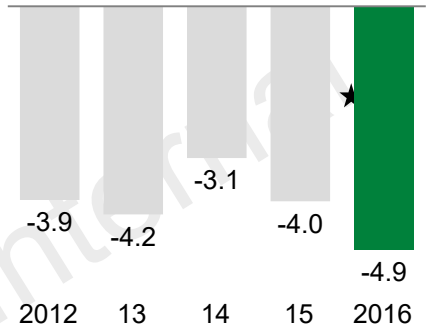
Government revenues
USD Bn, annual



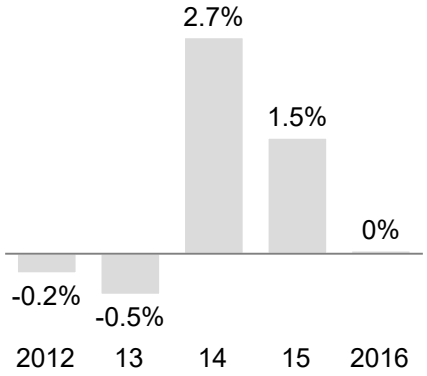
Government expenditures
USD Bn, annual



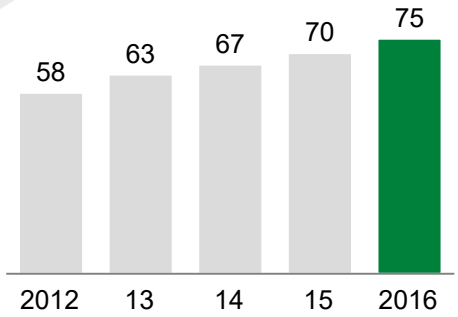
Government surplus (deficit)
USD Bn, annual



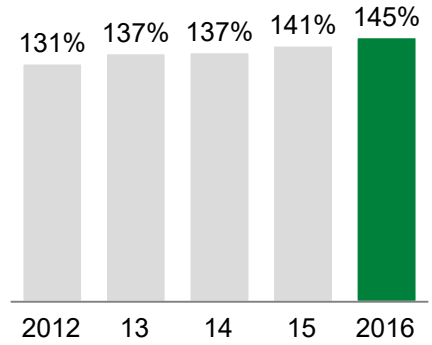
Primary balance
% GDP, annual



Total government debt
USD Bn, annual



Debt to GDP ratio
% GDP, annual



Key challenges

- Lebanon has the third highest debt to GDP ratio, driven by continuous budget deficits by successive governments. These deficits are driven by sub-par revenues and increasing costs
- **Revenues:** Revenue at less than 20% of GDP is lower than most peers, mainly driven by a low tax effort at 40% of total tax potential
- **Expenditures:** Today, only 5% of the government budget goes to infrastructure spend, with more than 2/3 going towards salaries and interest payments: Wages at 46% of revenues is highest among peers.

Source: Ministry of Finance; CAS

Ease of Doing Business – summary of diagnostic

X Rank

X Difference in ranks between 2012 and 2018

Ease of doing business ranking | Global competitiveness index[1]

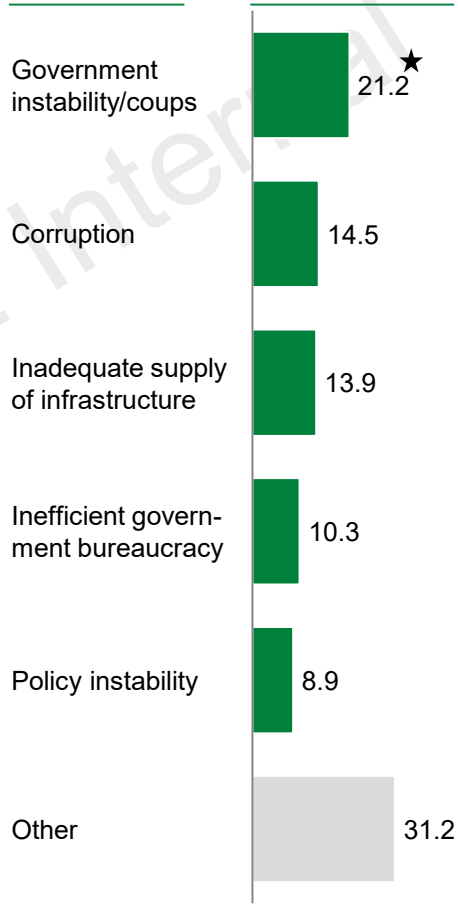
2018 "Ease of doing business" overall rank

-7	Switzerland	33
-1	Singapore	2
+12	UAE	21
+25	Morocco	69
+33	Greece	67
-18	Egypt	128
-29	Lebanon	133

Global competitiveness index[1]

1	Switzerland	5.90
3	Singapore	5.70
17	UAE	5.30
71	Morocco	4.20
87	Greece	4.00
100	Egypt	3.90
105	Lebanon	3.80

Most problematic factors for doing business" in Lebanon



20181022 Internal

Key challenges

- Last reform for the doing business environment was made 6 years ago
- Outdated laws/lack of proper legislations and an inefficient government in drafting and passing legislations
- High cost associated with procedures for "doing business"
- Complicated procedures for "doing business" with multiples stakeholders
- Perceived corruption of the government

Economic Development Activation – summary of diagnostic

Entities involved in EconDev activation		Key challenges
1 **Investment activation**	▪ IDAL	▪ **Incentive package** for investors is **outdated** (Last updated in 2001) and **not competitive** compared to regional peers ▪ IDAL is **not empowered** to operate its **one-stop shop** to efficiently serve investors
2 **Export promotion**	▪ IDAL ▪ Ministry of Economy and Trade ▪ Central Bank – Kafalat ▪ Ministry of Foreign Affairs	▪ Export promotion **efforts are highly uncoordinated** across different stakeholders ▪ **Low budget** is allocated for export promotion compared to benchmarks ▪ Process for approval of new export programs and improvement of old programs is **lengthy**
3 **SME support**	▪ IDAL ▪ Ministry of Economy and Trade	▪ **Source of capital** for SMEs is **volatile** and **highly dependent on external entities** (EU grant and world Bank loan are temporary sources of capital funding) ▪ **Little/no support** is provided for **access to market** and **access to talent/capabilities**
4 **Regional development**	▪ IDAL ▪ Council of the South ▪ Chamber of Commerce	▪ No clear approach to spur economic growth in under-developed regions ▪ IDAL's proposal to **change the existing incentive scheme** to better drive **investments in the regions** is pending approval

Economic Vision Outline

Covered in this section

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II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter Summary
B. Economic Perspective
   1. *Macro-Economic evolution*
   2. *Trade profile (exports / imports)*
C. Sector diagnostics
   1. *Natural Resources*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge Economy (tech, media)*
   6. *Financial Services*
   7. *Education*
   8. *Healthcare*
   9. *Real Estate & Construction*
   10. *Retail & Commerce*
   11. *Logistics & Transportation*
   12. *Telecom*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public Finance*
   2. *Ease of Doing Business*
   3. *Monetary Policy*
   4. *Economic Dev. activation*
   5. *Trade & Intl. Agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter Summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter Summary
B. Sector deep-dives (6 sectors with high potential contribution to economic growth)
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge Economy*
   5. *Financial Services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter Summary
B. Public sector reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter Summary
B. Governance set-up: Orchestration and delivery
C. Path forward (Including specific areas requiring further specification)

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

2018 10 22 Internal

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   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
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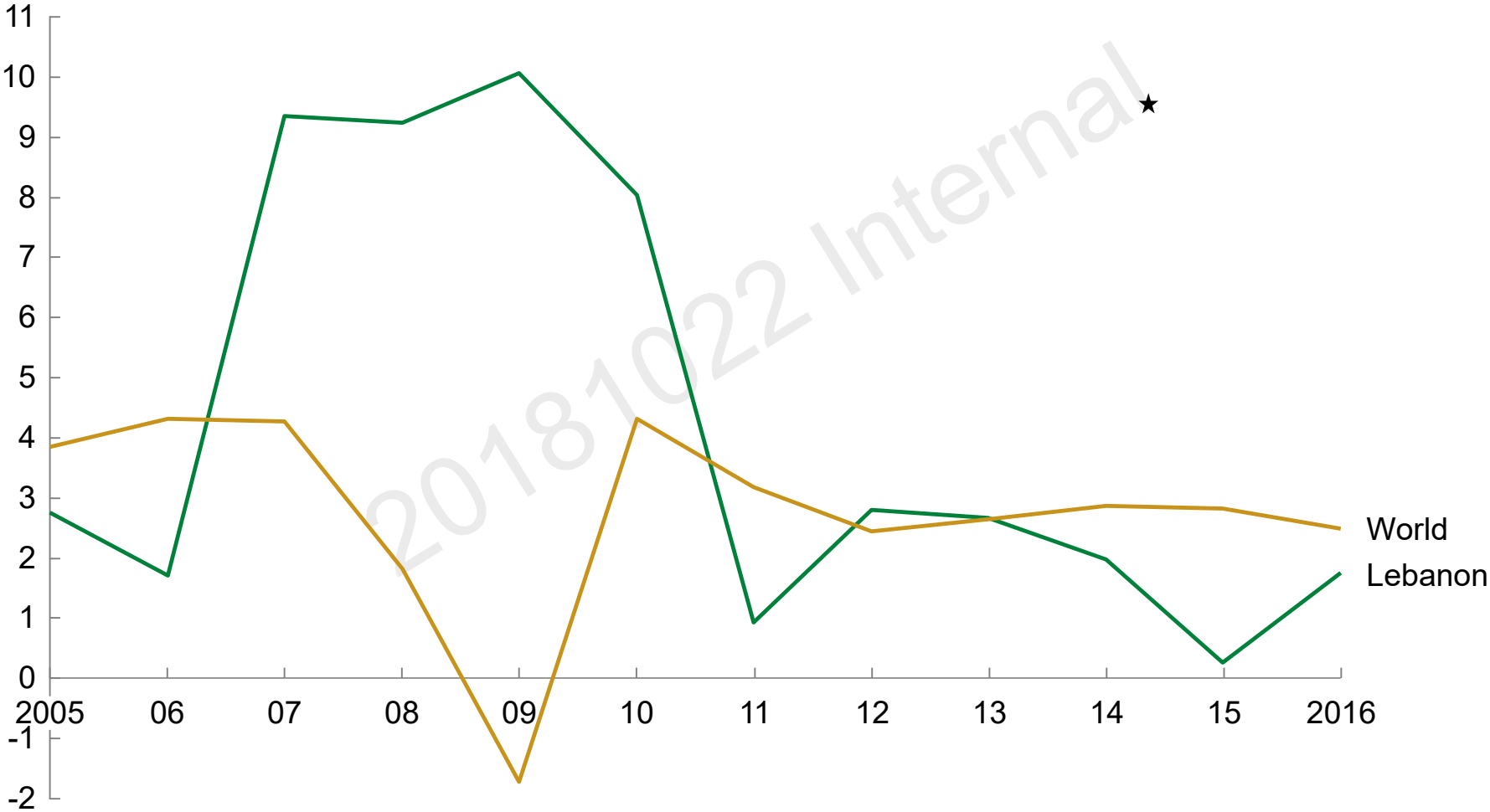
Today, Lebanon's GDP growth remains subdued as the Lebanese economy is vulnerable to the Syrian crisis and the increasing debt burden

GDP real growth, % change of real GDP in 2010 prices

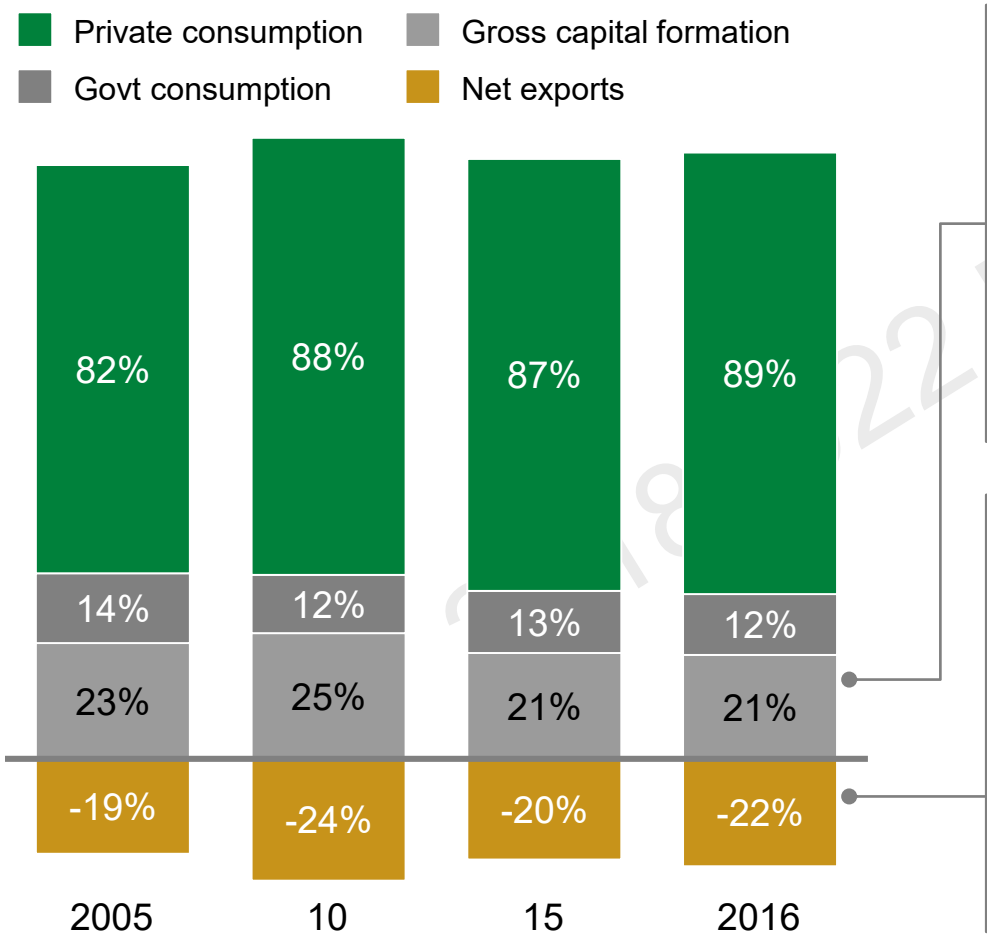


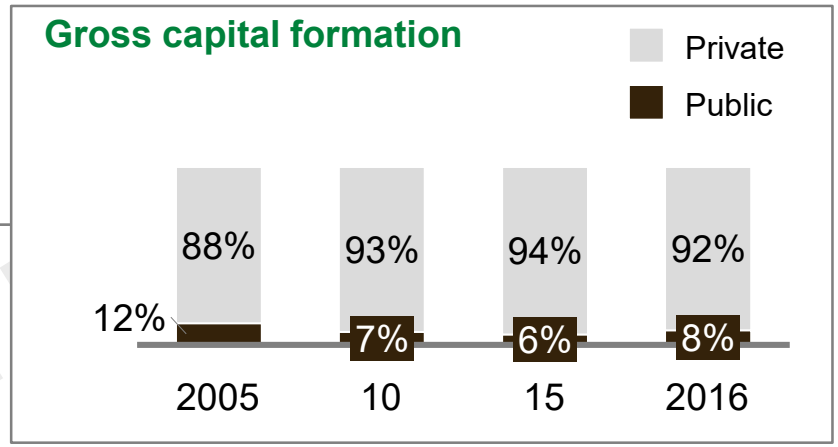
20181022 Internal

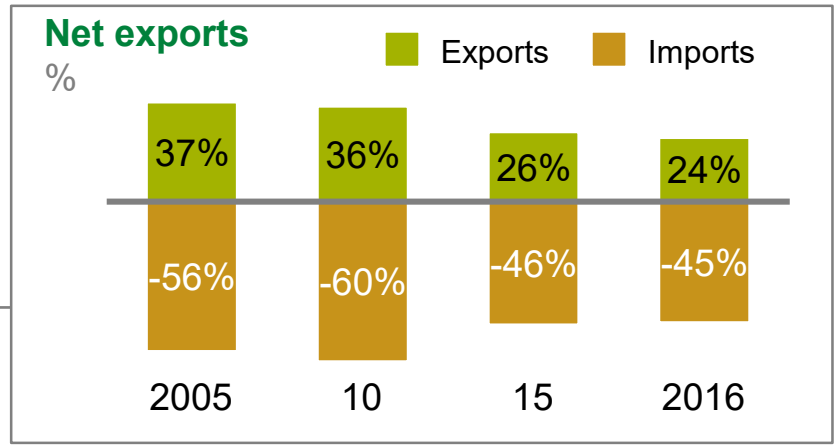
Source: Central Administration of Statistics Lebanon; World Bank

The economy is dominated by private consumption and private sector investment

GDP composition by expenditure component, % of total GDP



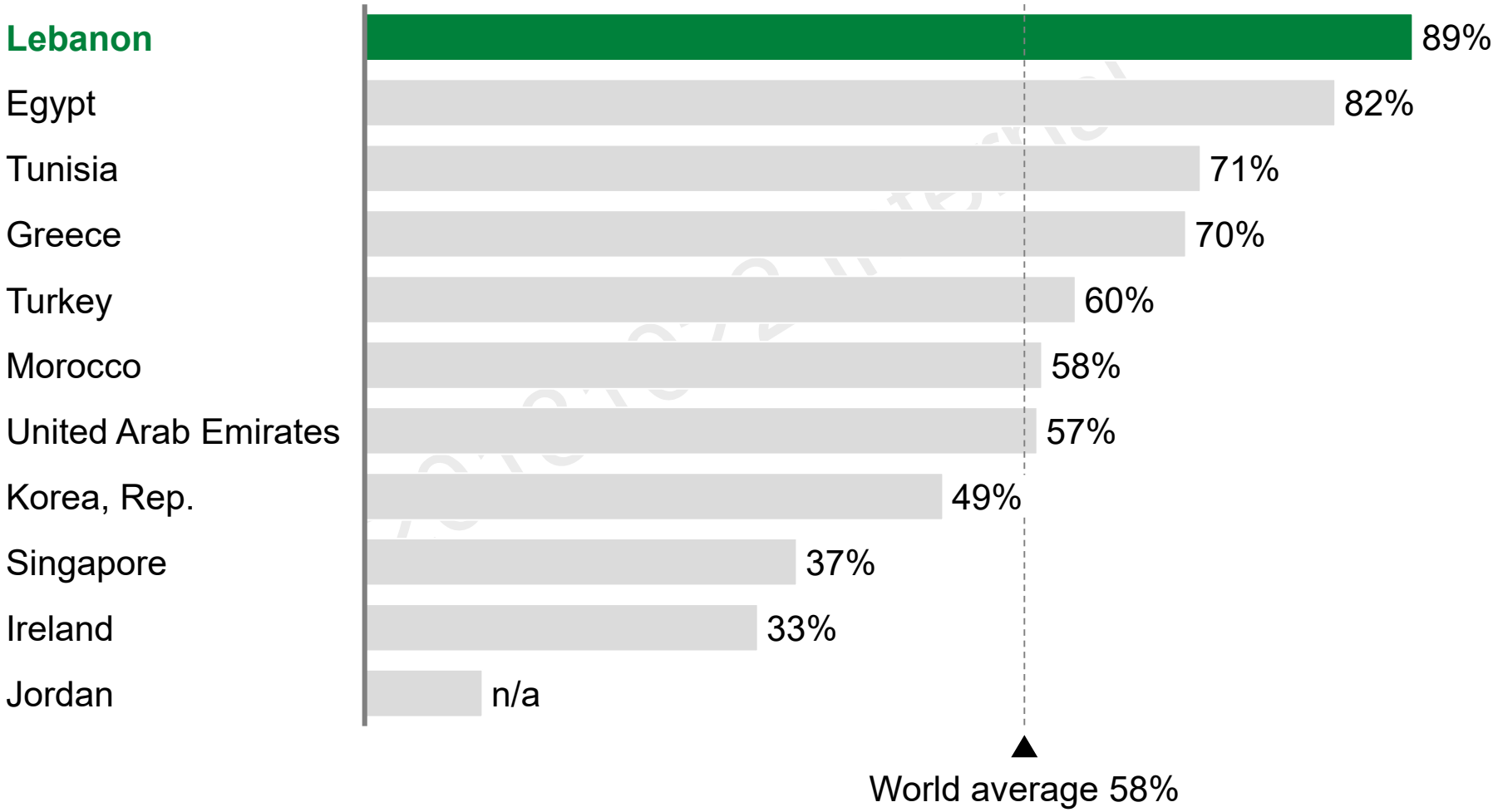




Source: Central Administration of Statistics

In fact, Lebanon has the highest private consumption contribution to GDP, higher than world average and selected peer countries

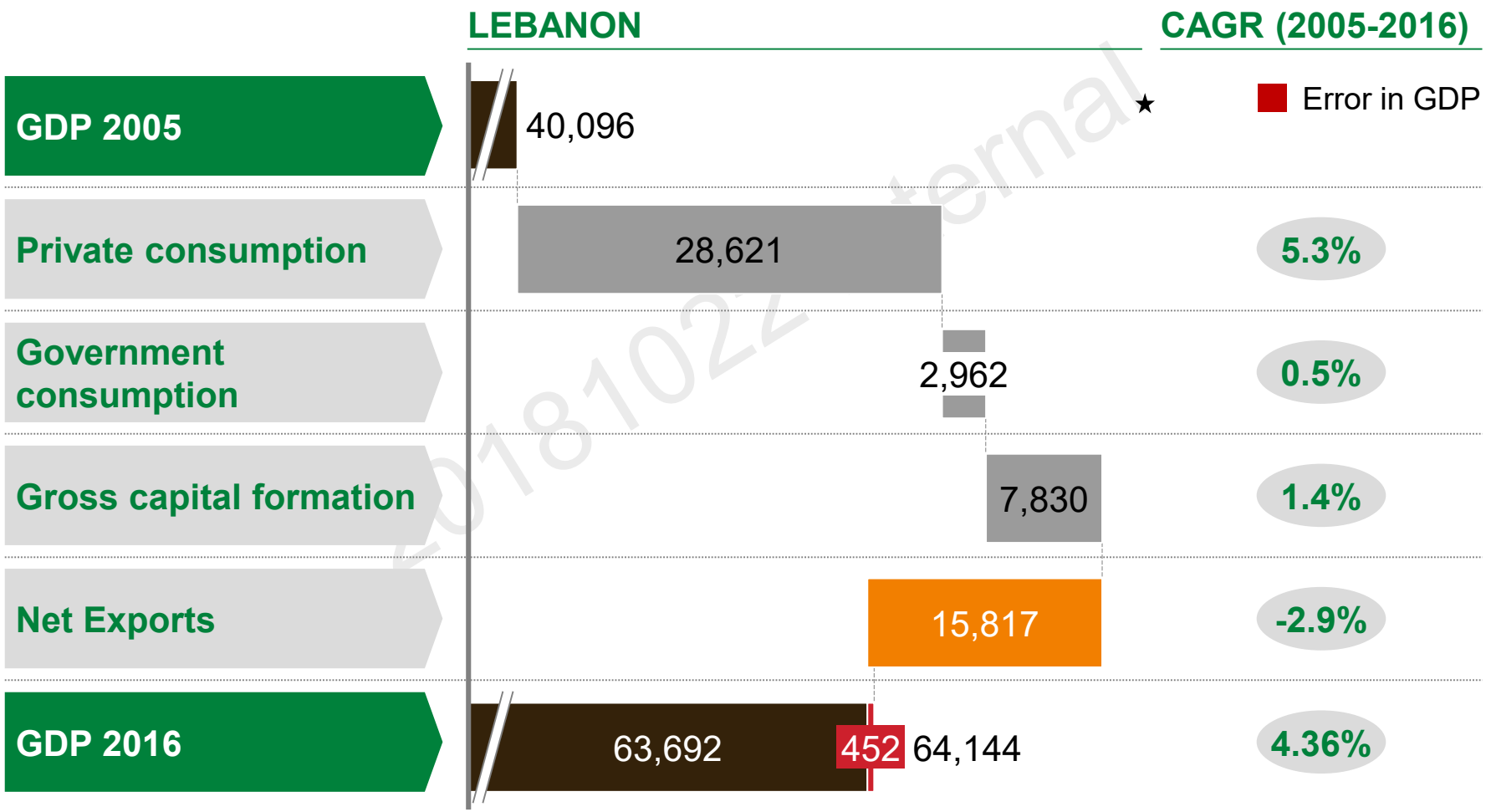
Private consumption contribution to GDP, % of GDP, 2016



Source: World Development Indicators; World Bank; CAS

Moreover, in the last 10 years, GDP growth has been largely driven by private consumption

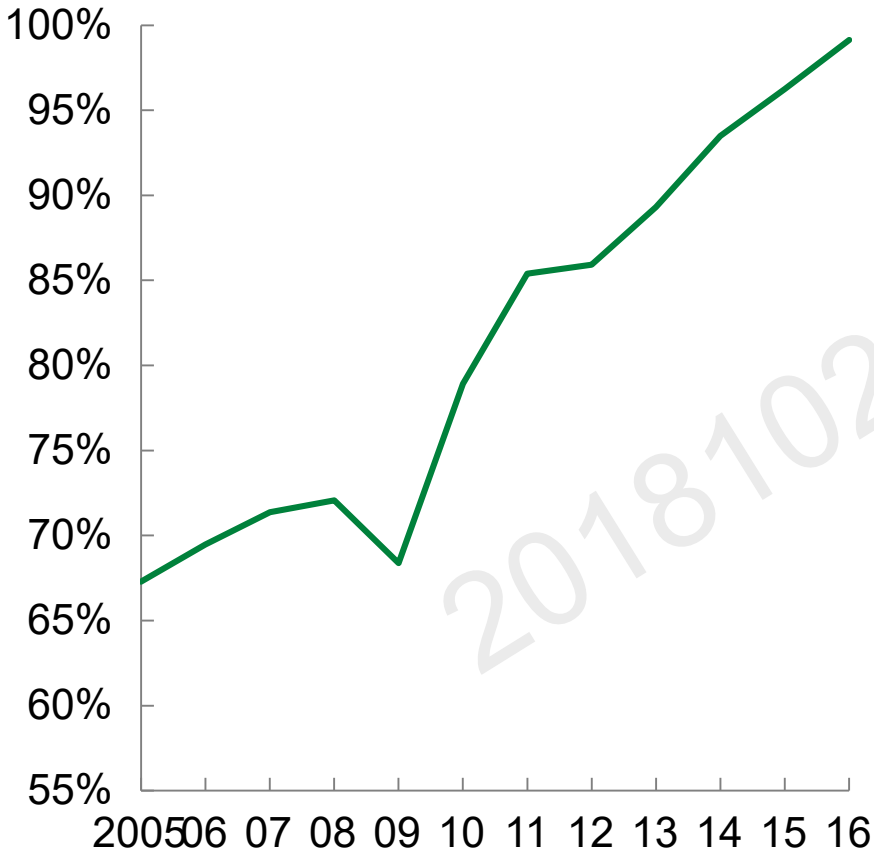
Contribution to real GDP growth per GDP component, GDP constant prices, 2010, LL Bn



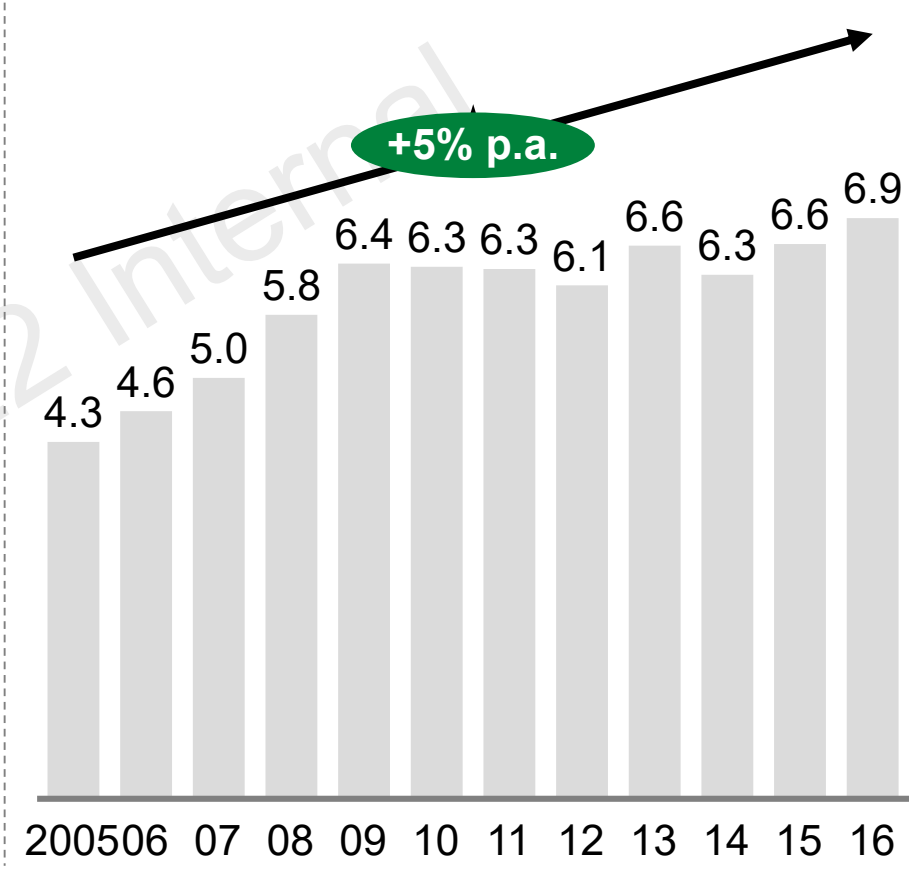
Source: Central Administration of Statistics Lebanon

Private consumption and domestic demand has mainly been driven by high remittances and strong financial credit provided by banks

Private sector loans provided by bank,
% of GDP



Personal remittances received
USD Bn



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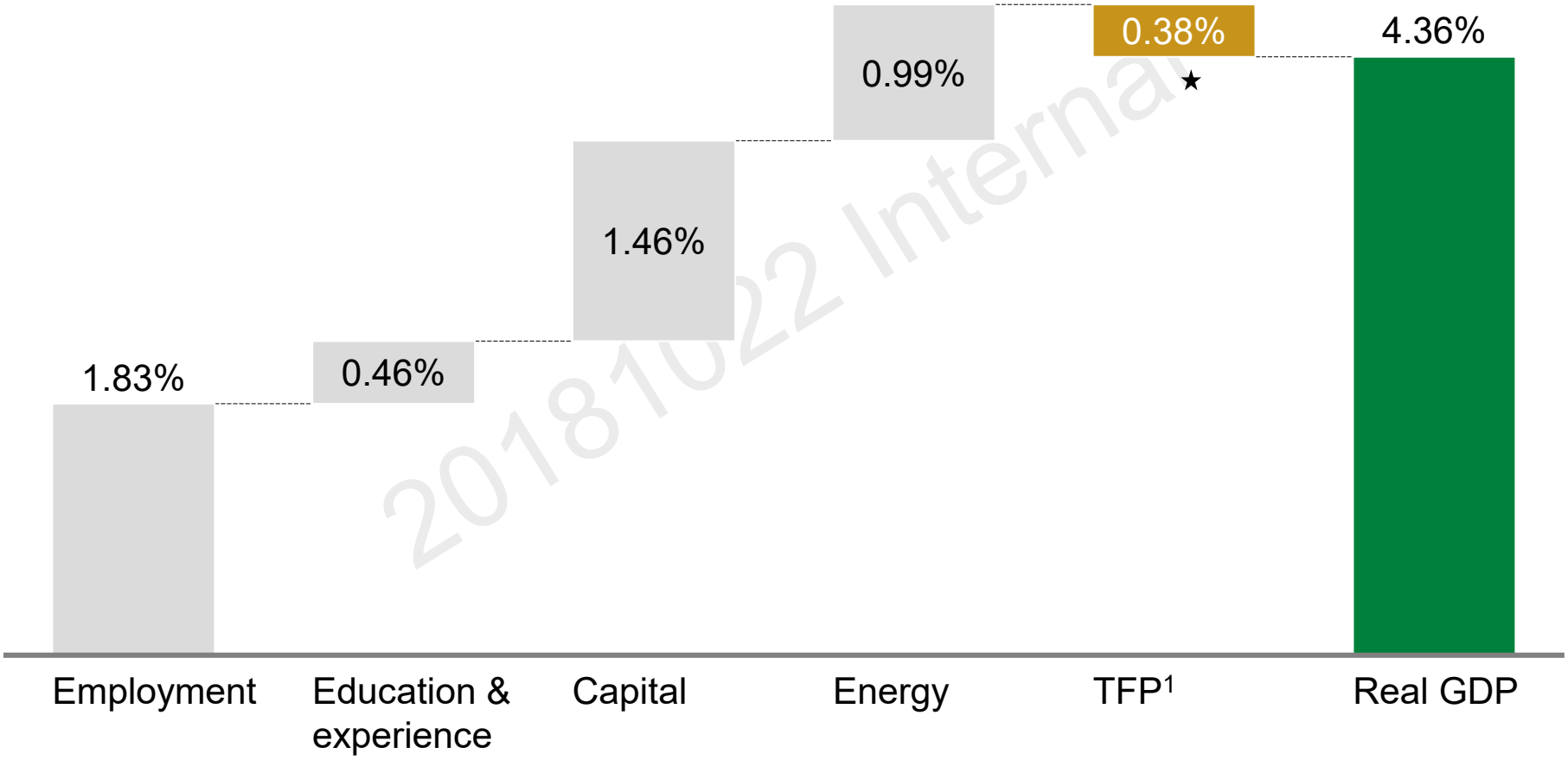
1 Personal remittances comprise personal transfers and compensation of employees. Personal transfers consist of all current transfers in cash or in kind made or received by resident households

Source: World Bank; Banque du Liban; CAS

From the supply side, the country's GDP is mainly driven by labor and capital, with a decreasing productivity

Supply side growth decomposition, % CAGR (2005-16)



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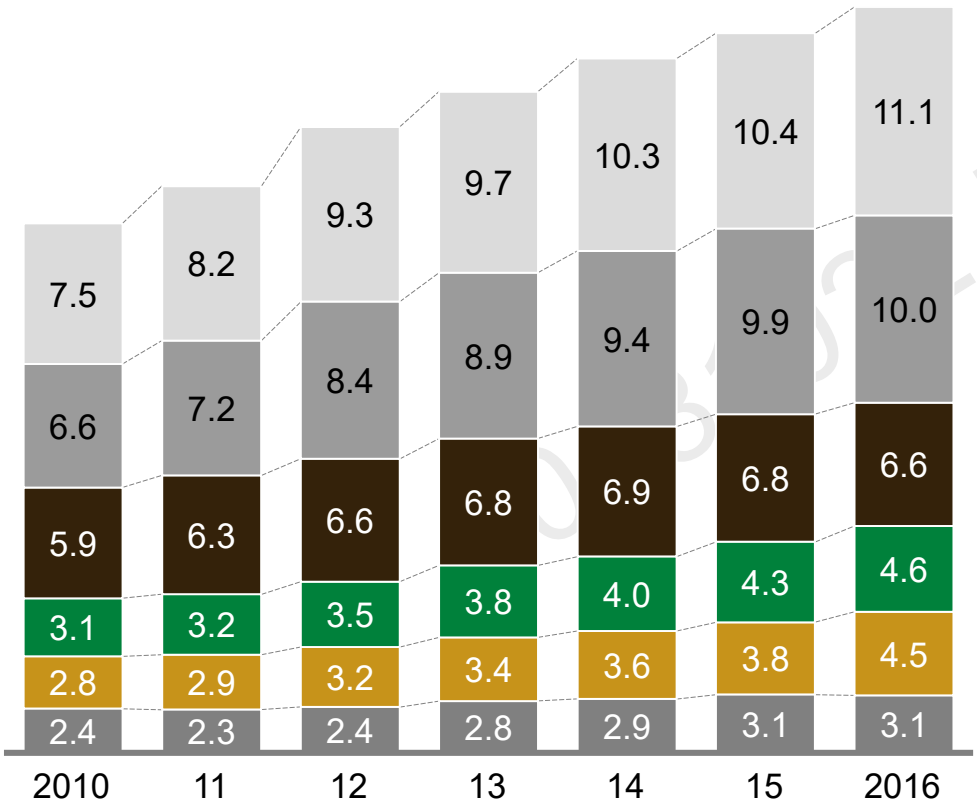
1 TFP is total factor productivity after accounting for capital, employment, education & experience, and energy

Source: Global Growth Model

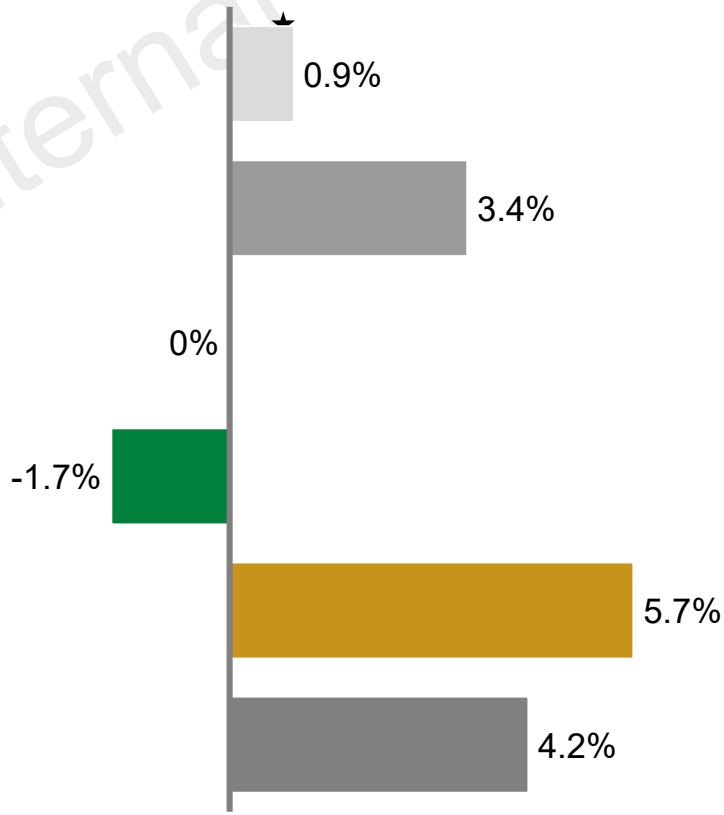
Real estate and business services contribute the most to GDP; financial services have grown fastest in the last 5 years

Real Estate, Business & Admin Services
Wholesale & retail trade
Financial Services
Public Admin, Education & Health
Manufacturing
Transport & Communication

Highest 6 contributing sectors to the GDP[1], Nominal value, USD Bn



Sectors Growth rate[2], real growth 2010-2016 %



1 At current prices

2 Based on real GDP, at 2010 prices

Source: Central Administration of Statistics Lebanon

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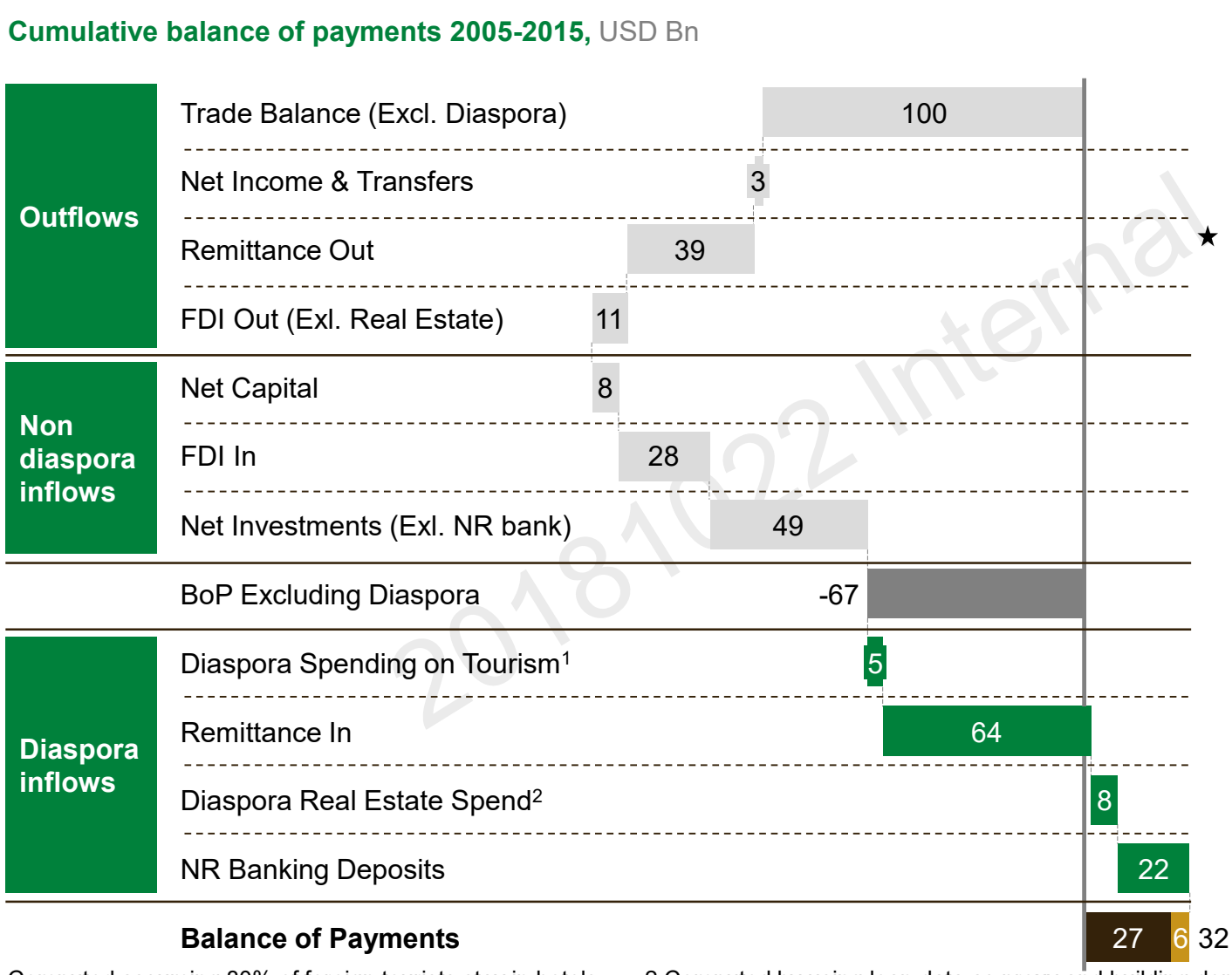
Summary of Lebanon's balance of payments

Cumulative balance of payments 2005-2015, USD Bn



- **Without** the **diaspora** flows, the cumulative **balance of payments** would have **stood at -67 USD Bn**, requiring an equivalent amount of foreign reserves
- **Cumulative diaspora** flows, totaling **at ~100 USD Bn**, **offset** the **negative BoP**

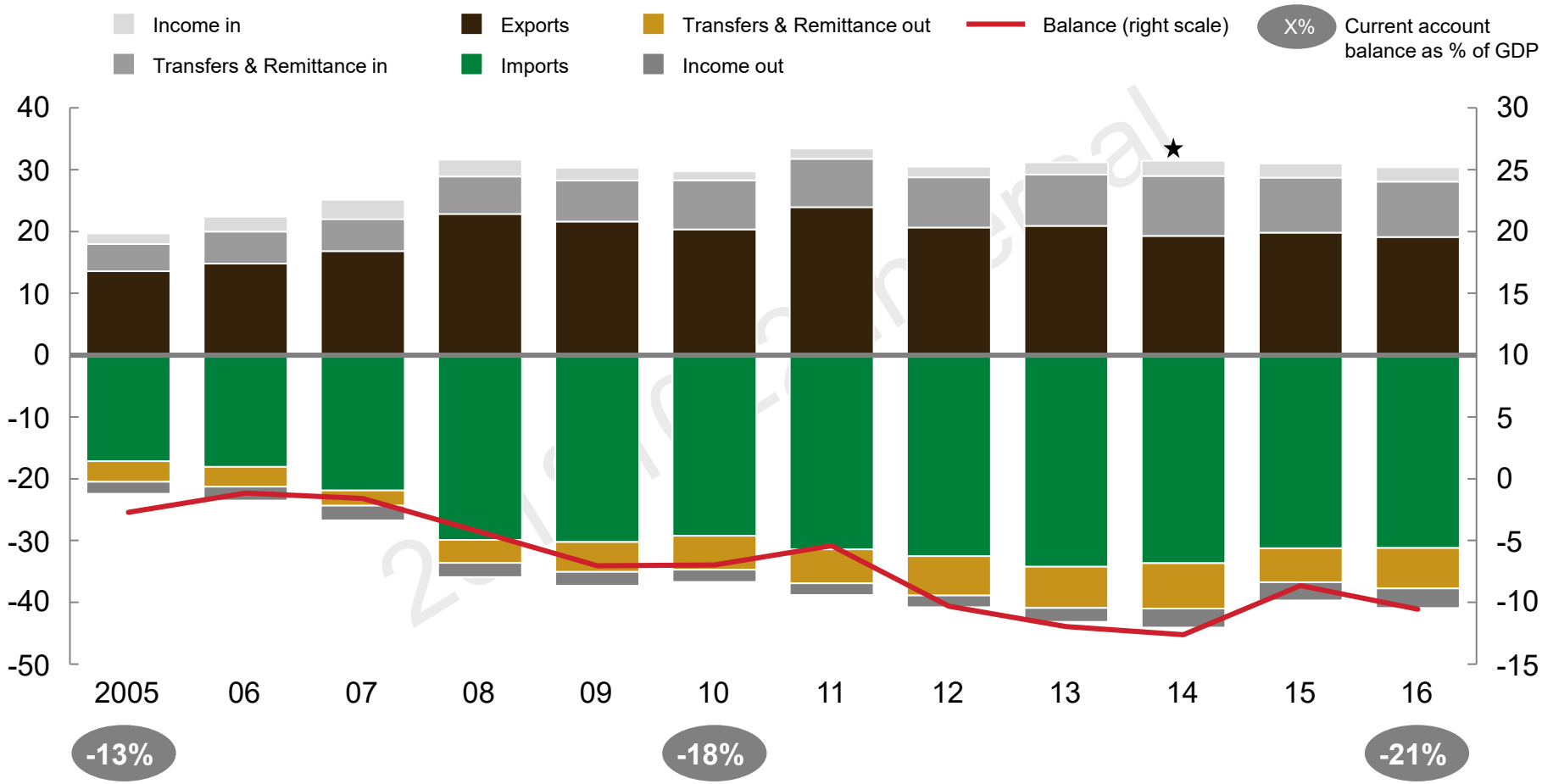
1 Computed assuming 80% of foreign tourists stay in hotels

2 Computed by using loan data as proxy and building depreciation schedule of purchases

Source: Banque du Liban statistics

Lebanon maintains a large and persistent current account deficit mostly driven by trade deficit; it reached ~20% of GDP in 2016

Lebanon current account balance decomposition, 2005-16, USD Bn

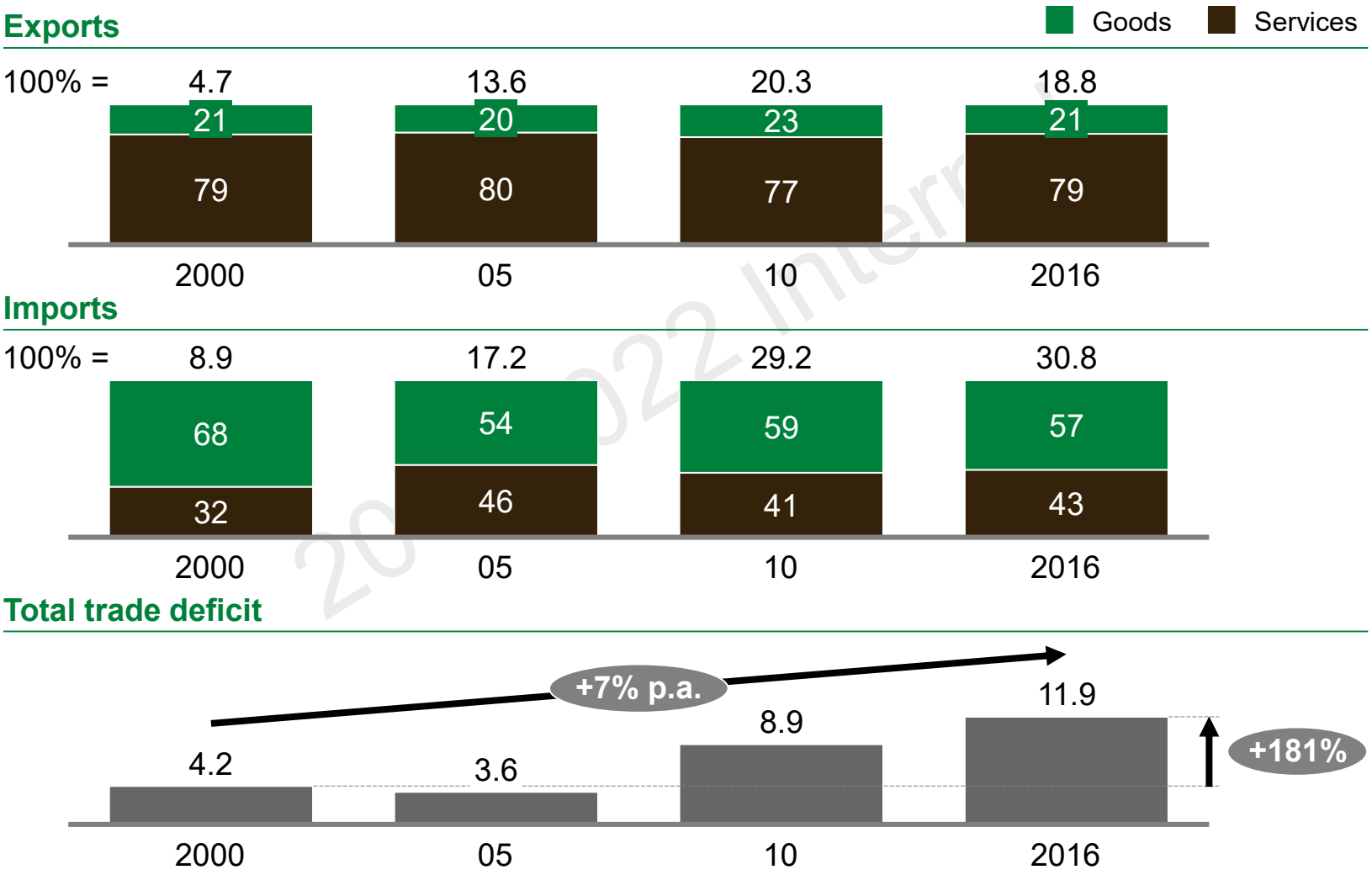


Note: Income includes interest and dividend payments private transfers; currents transfers cover money other than capital transfers received by residents of a reporting country from abroad without any good, service, or asset in return; exports and imports include goods and services

Source: Banque du Liban; Oxford Economics

Exports are mostly driven by services while imports are more balanced towards goods; the trade balance has remained persistently negative

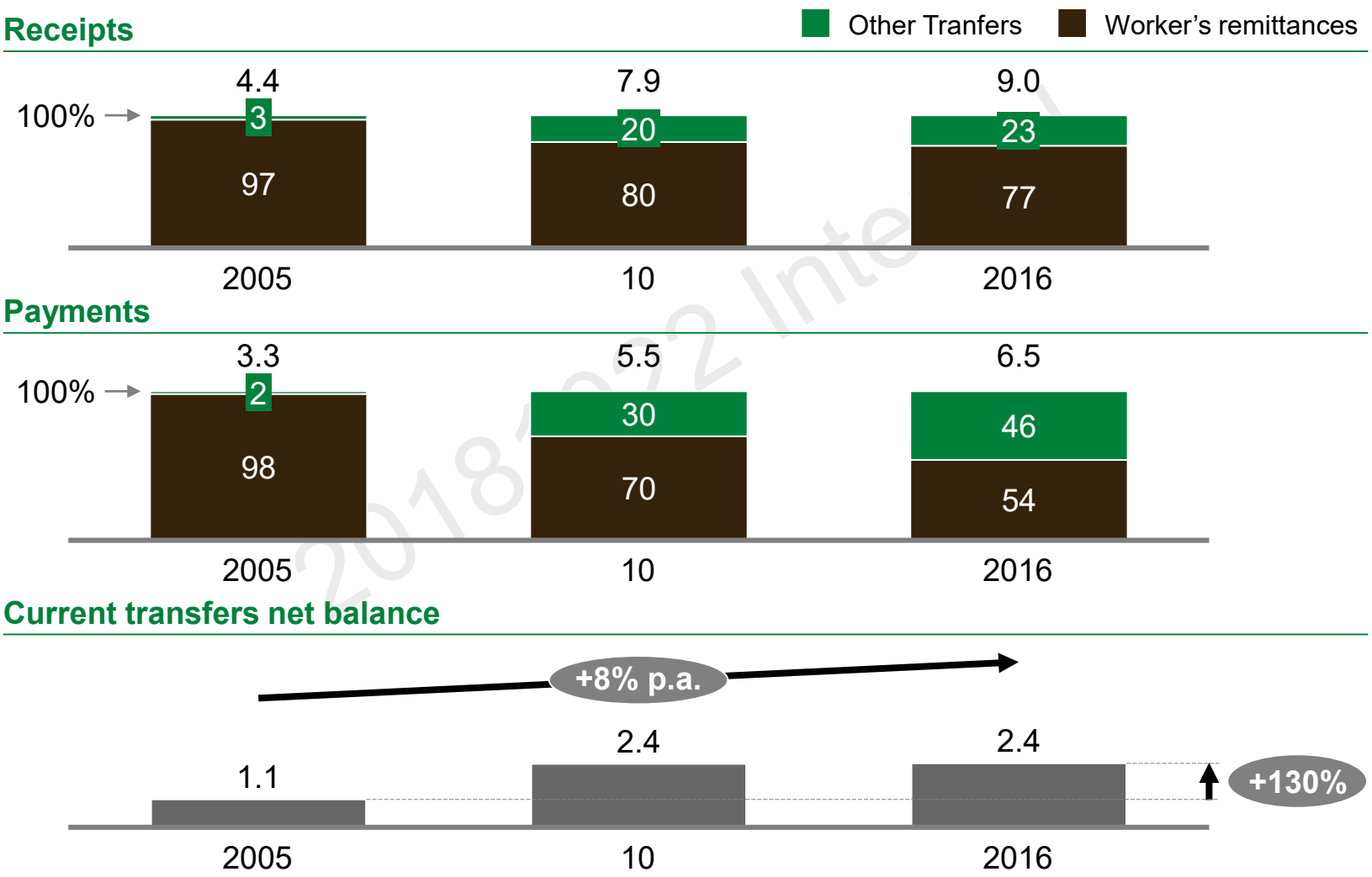
Lebanon trade of goods and services, 2000-16, USD Bn



Source: Banque du Liban

Current transfers are predominantly driven by worker's remittances; the net balance has been historically positive and follows an increasing trend

Lebanon current transfers, 2005-16, USD Bn, % Split



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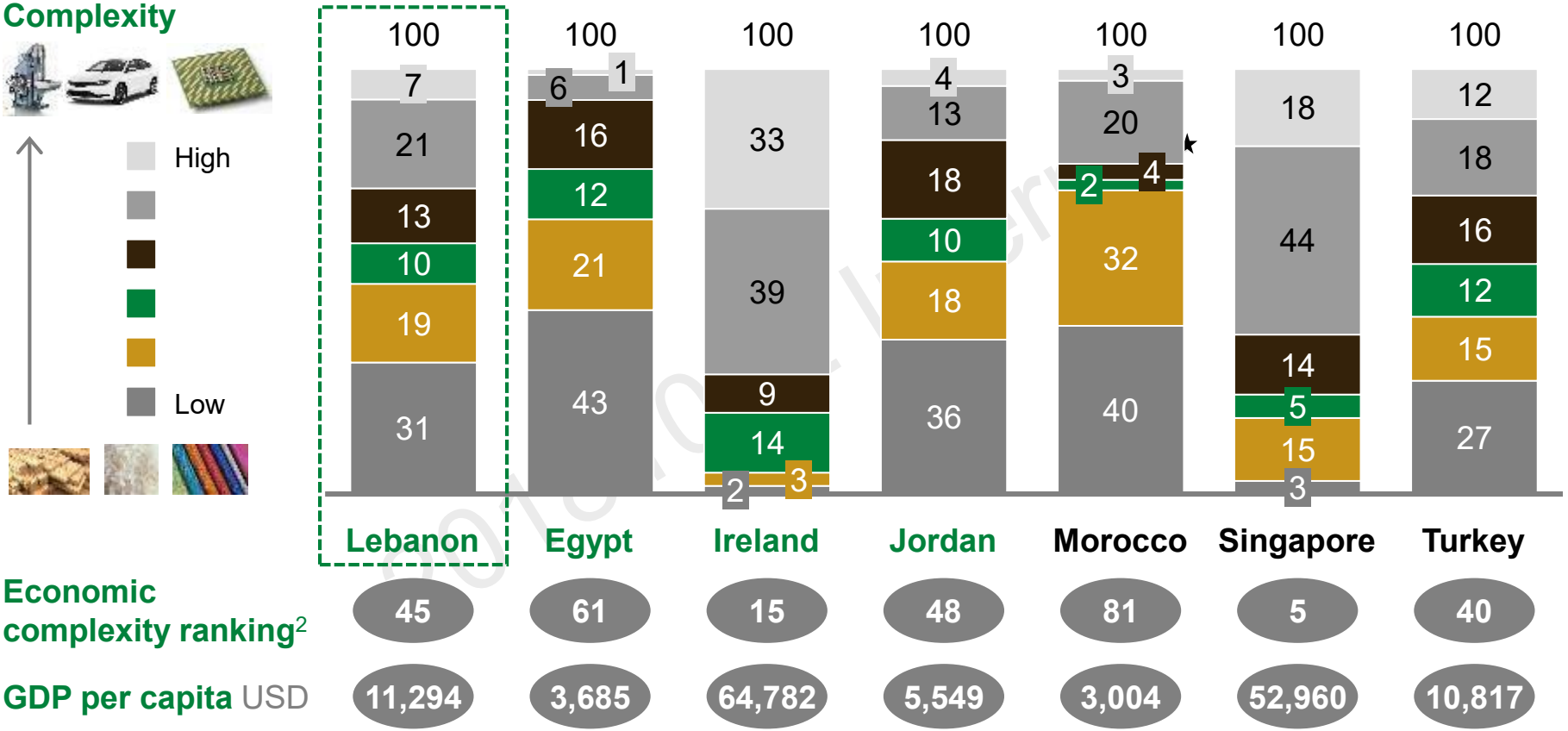
Source: Banque du Liban

Lebanon's export profile is skewed towards products of low complexity – moving up the value chain should be a key priority

Economic complexity[1] of exports (2016), Percentage distribution across complexity levels



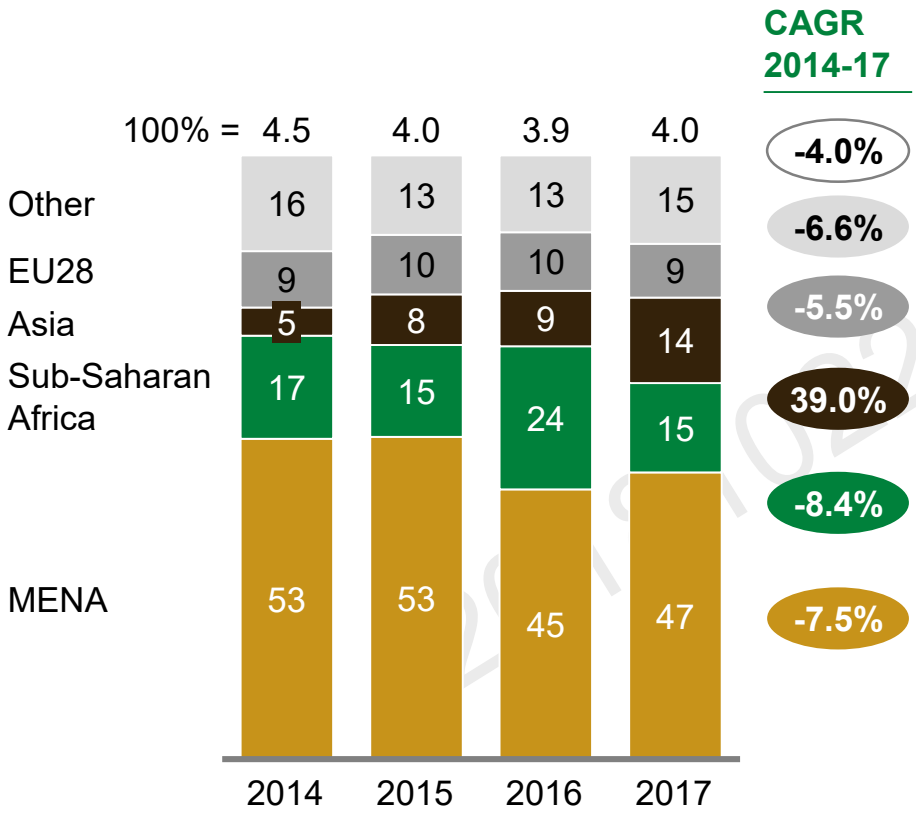
1 Economic complexity is a standard measure of the relative knowledge intensity of a product, calculated by the country's diversification of exports and the ubiquity of those exports (i.e., the number of countries that export that product). The most complex products are machinery, chemicals, and electrical/electronic equipment, while the least complex products are raw materials and commodities (agricultural and mineral).

2 Ranking of countries by the Economic Complexity Index in 2015 out of 108 countries

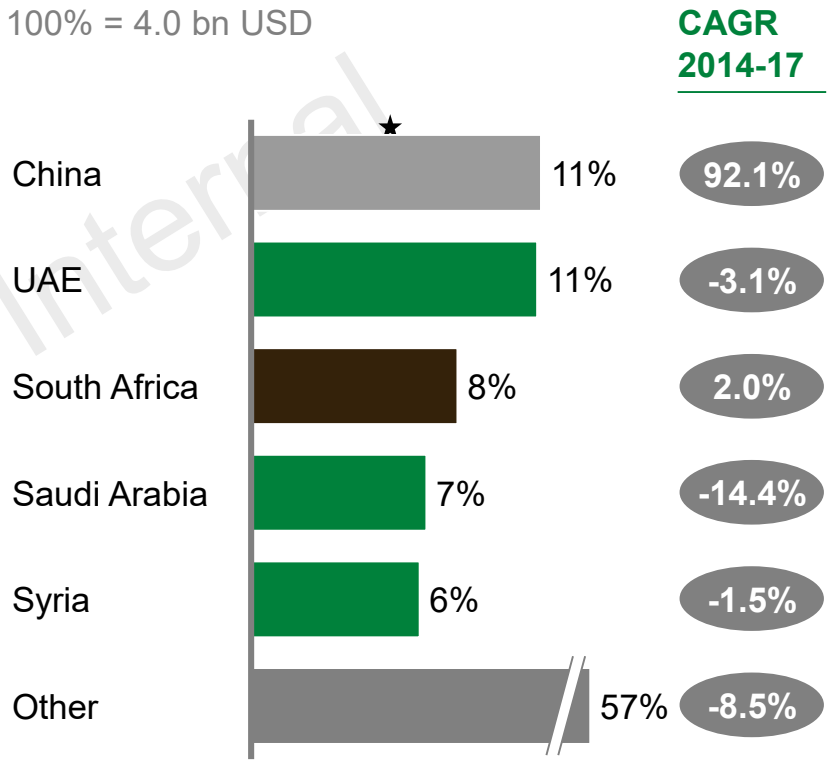
Source: UN Comtrade; Lebanese customs; Observatory of Economic Complexity – MIT, IMF

Middle East is the largest destination of exports but shows a decreasing trend; share of Asian trade has nearly tripled since 2014

Lebanon exports of goods by partner region, 2014-17, USD Bn, % split



Lebanon exports of goods by top 5 partners, 2017, USD Bn, % split



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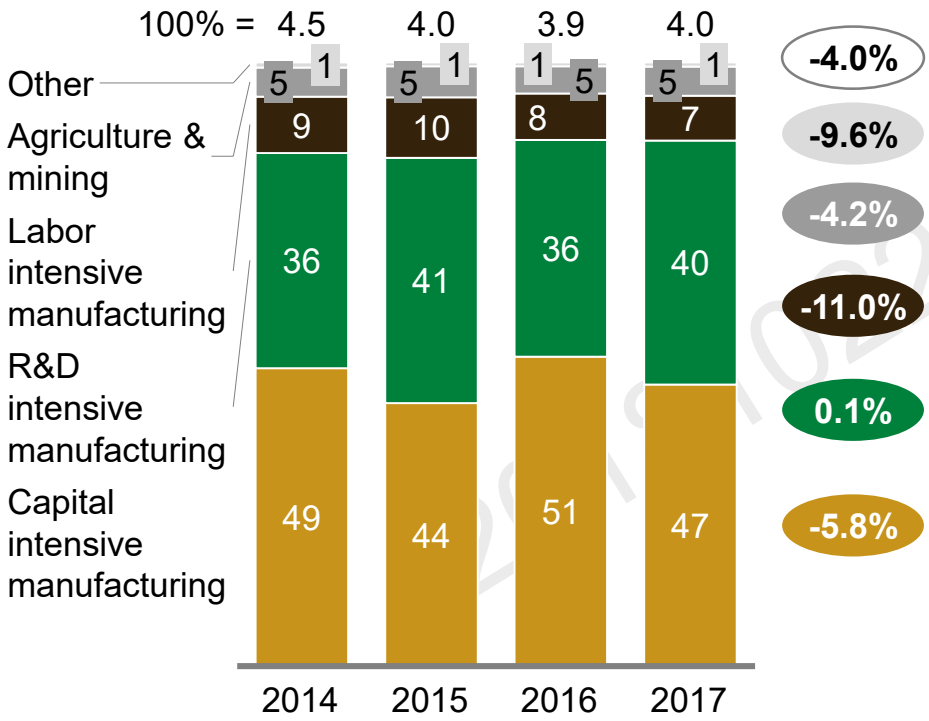
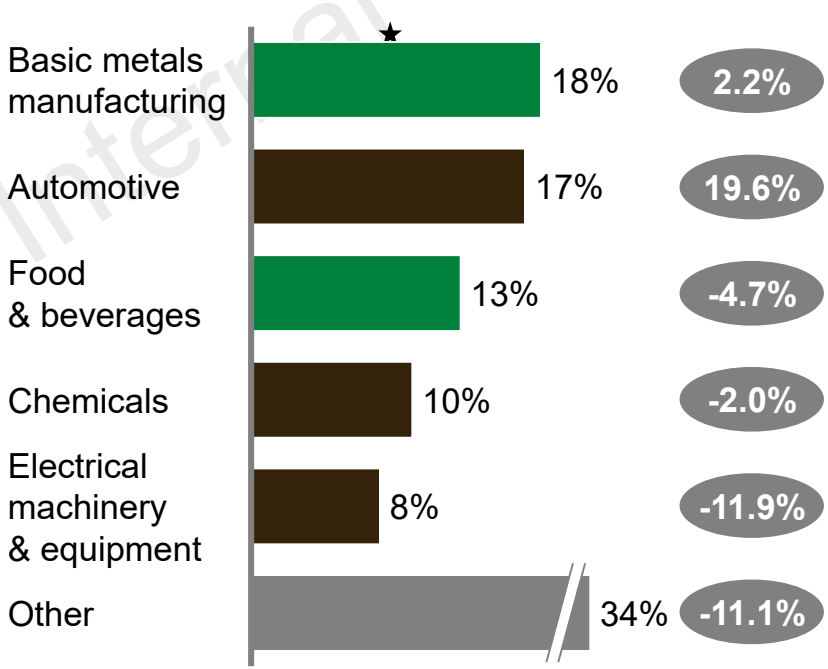
Source: Lebanese customs

Nearly 90% of exports of goods are manufactures intensive in capital and R&D; top sub-sectors are basic metals and automotive

Lebanon exports of goods, 2014-17, USD Bn, % split



Lebanon exports of goods by top 5 sub-sectors, 2017, USD Bn, % split

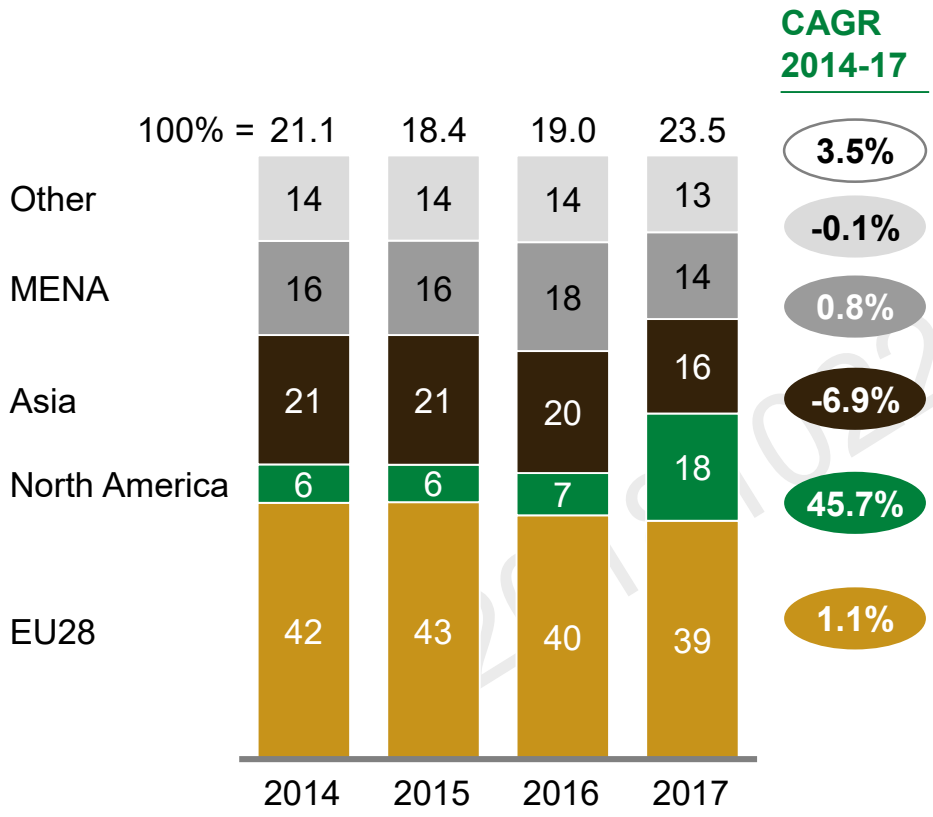


1 Capital-intensive manufacturing includes food, beverages, and tobacco; paper products and publishing; manufacturing of petroleum, rubber, plastic, mineral, and metal products
2 R&D-intensive manufacturing includes chemicals and chemical products; electrical, telecommunication, and computing machinery; automotive and other transport equipment; medical, precision, and optical instruments; other machinery and equipment 3 Labor-intensive manufacturing includes textiles, leather, and apparel; wood products and furniture 4 Primary resources include agriculture and mining

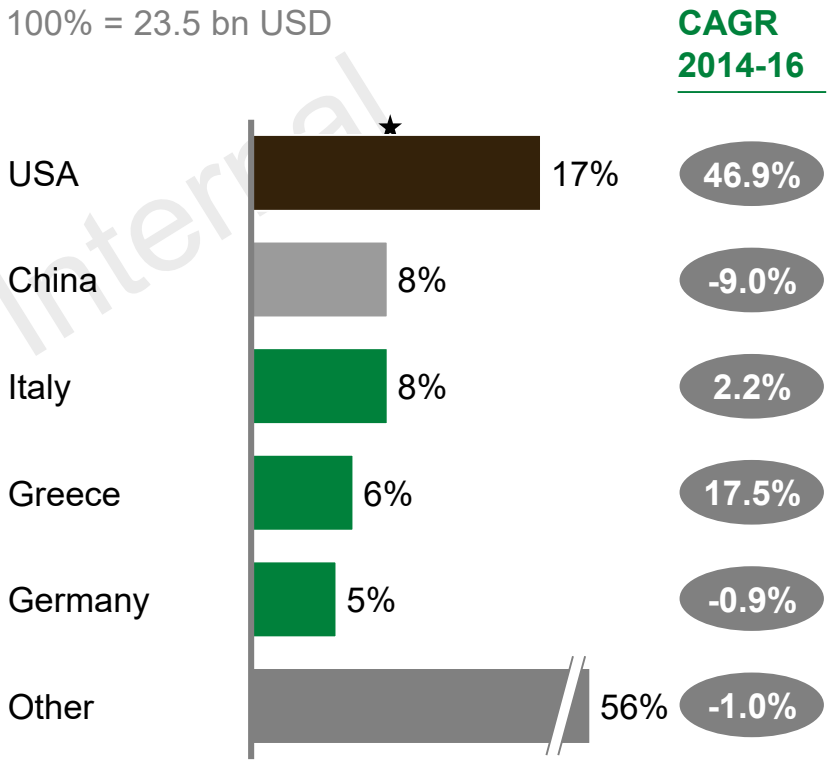
Source: Lebanese customs

EU and North America are the largest source regions of Lebanese imports accounting for ~60% of the total; USA is currently the top partner country

Lebanon imports of goods by partner region, 2014-17, USD Bn, % split



Lebanon imports of goods by top 5 partners, 2017, USD Bn, % split

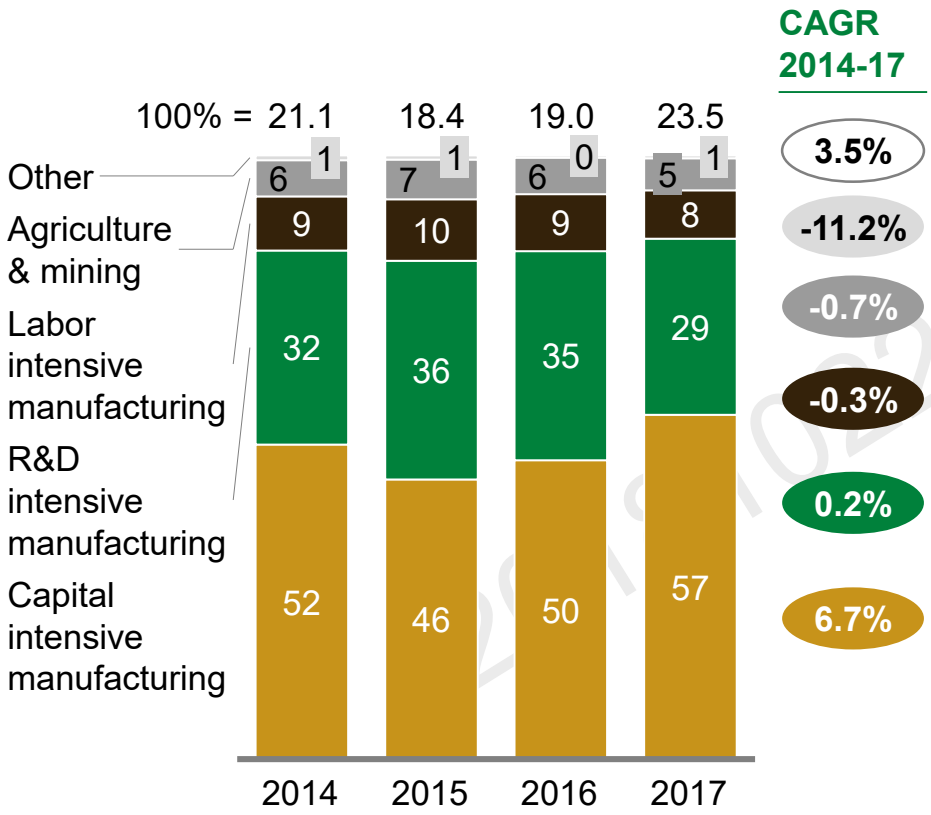


2016102 Internal

Source: Lebanese customs

Imports of goods are largely driven by capital and R&D intensive manufacturing; petroleum and chemical products show the greatest shares

Lebanon imports of goods, 2014-16, USD Bn, % split



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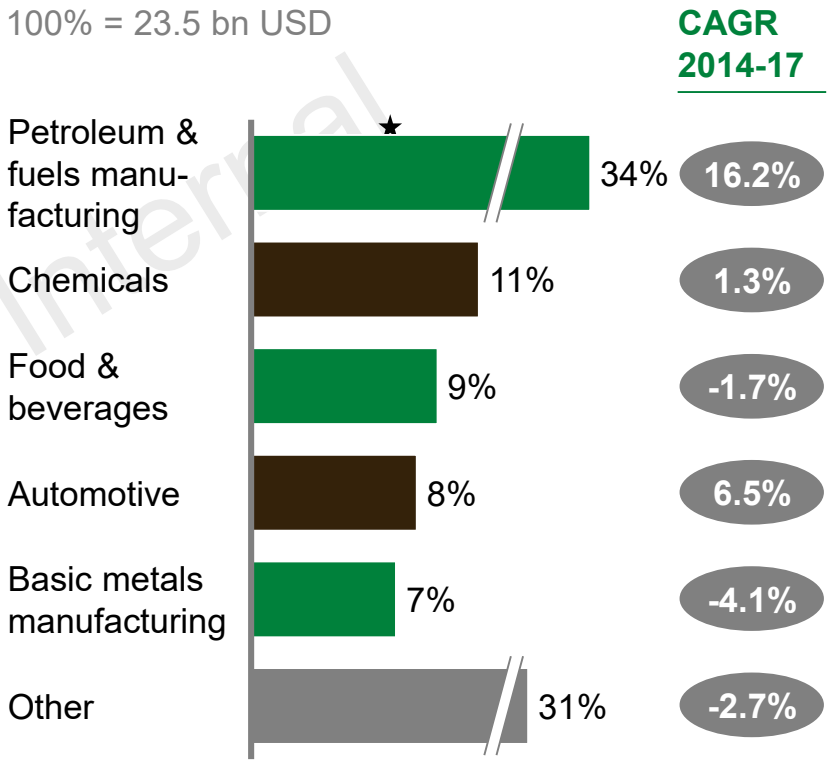

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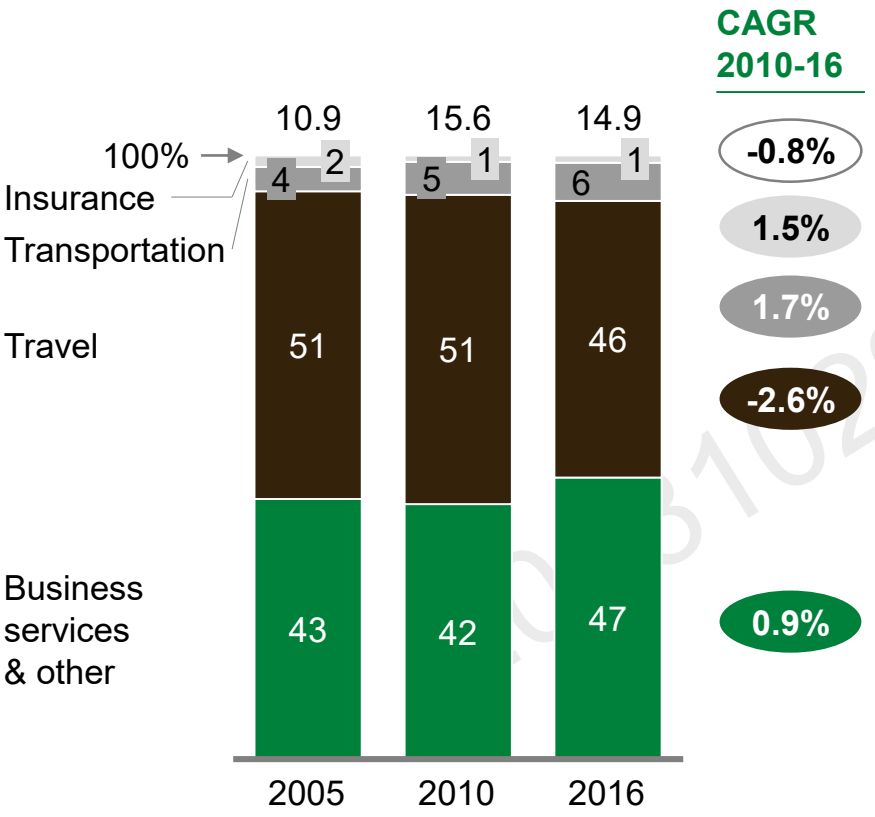
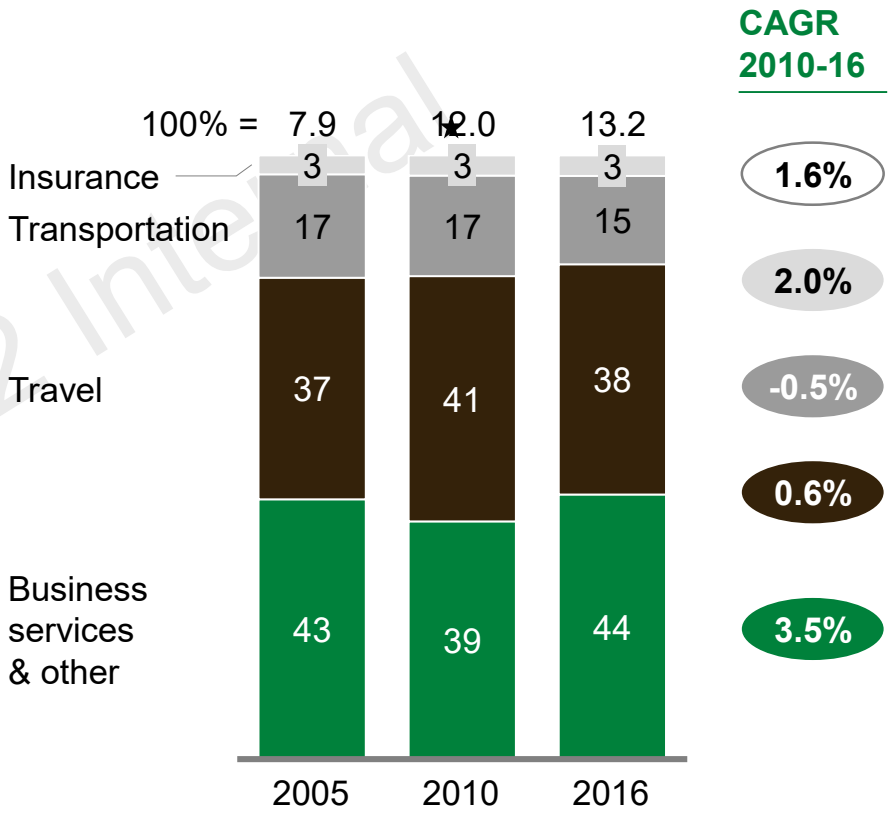
Source: Lebanese customs; MGI

Trade in services is driven mainly by business services & others, and travel; exports experienced stagnation since 2010 while imports increased

Lebanon exports of services, 2005-16,
USD Bn, % split



Lebanon imports of services, 2016,
USD Bn, % split



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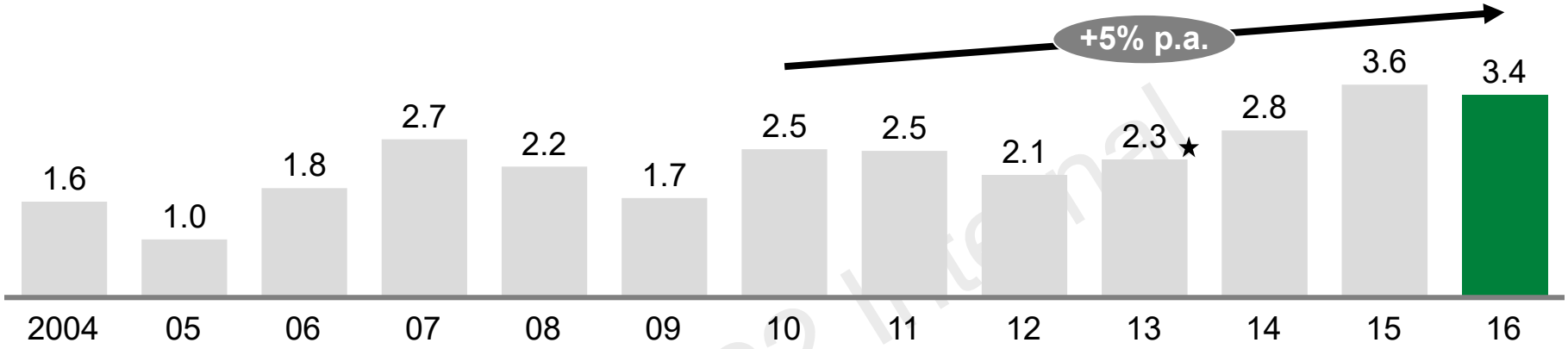
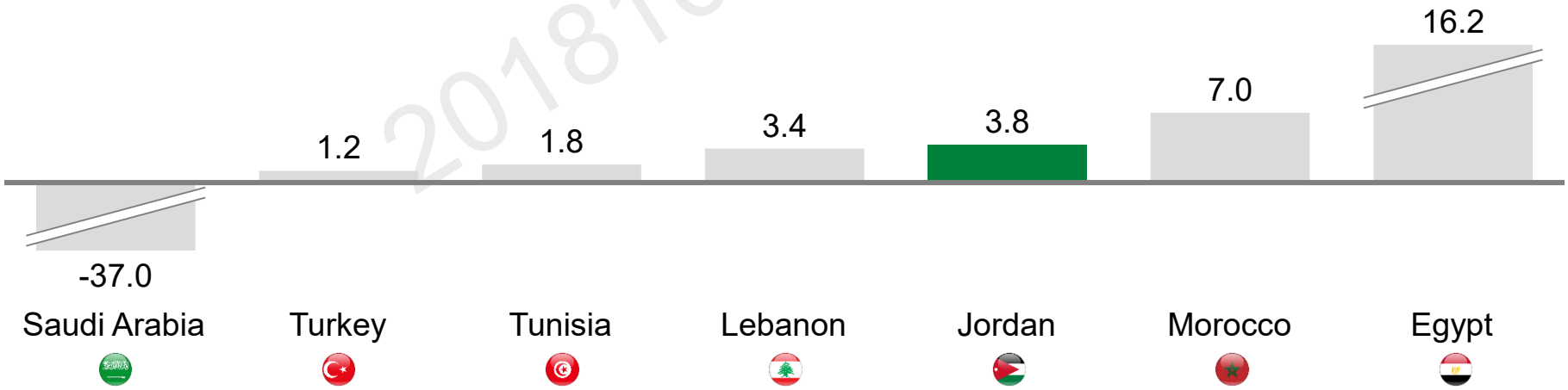
Source: Banque du Liban

Net worker's remittances are positive, similar to most peers. Additionally, the trend has been increasing; it expanded 5% p.a. since 2010

Lebanon's net worker's remittances, 2002-16, USD Bn



Net worker's remittances, 2016, USD Bn



1 Net worker's remittances is the transfer of money by workers employed abroad minus the transfer of money by workers employed in the domestic economy

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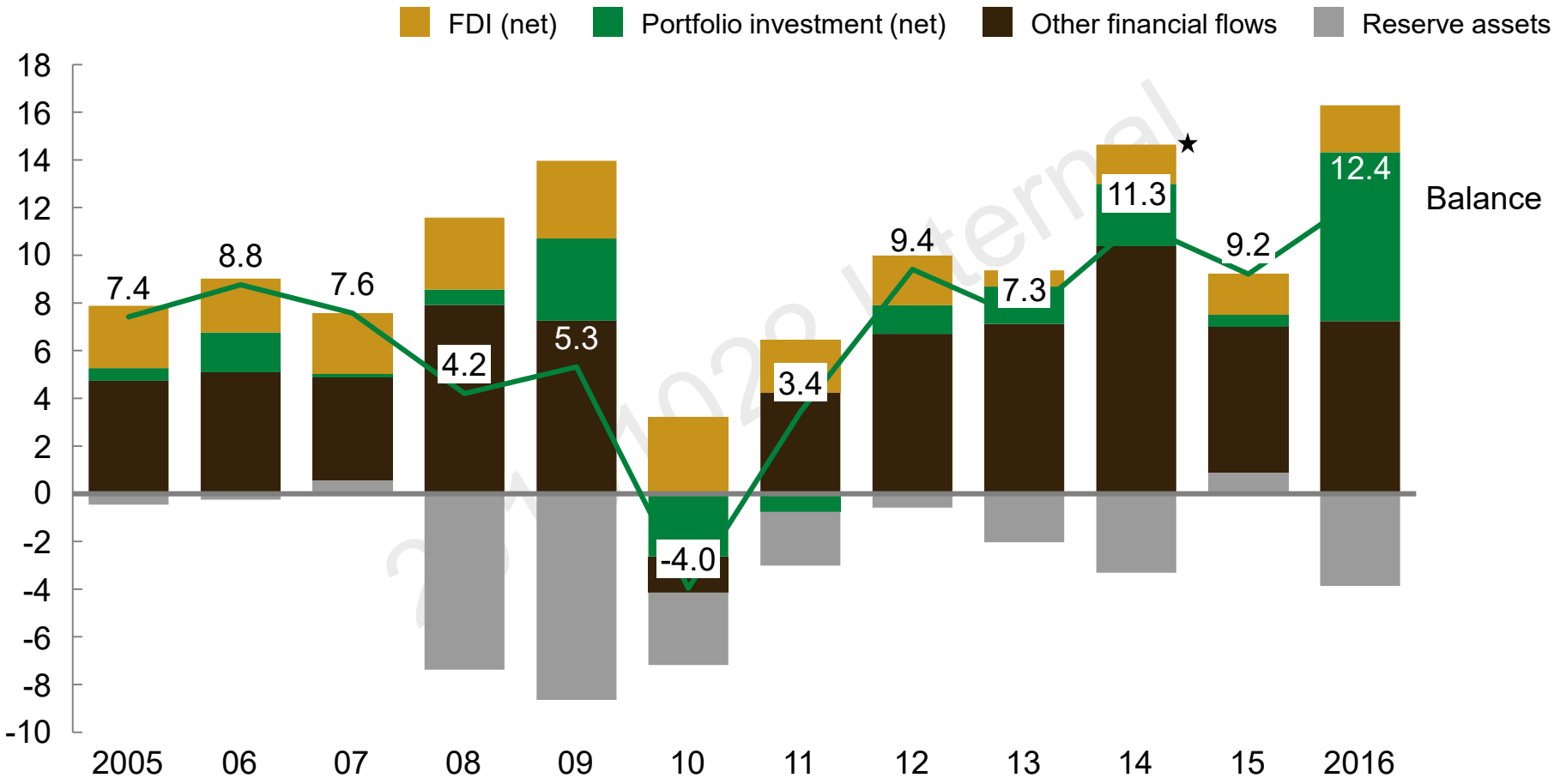
Source: Banque du Liban; World Bank

Lebanon reports a positive balance in the financial account mostly driven by “other financial flows”

Lebanon financial account balance decomposition, 2005-16, USD Bn

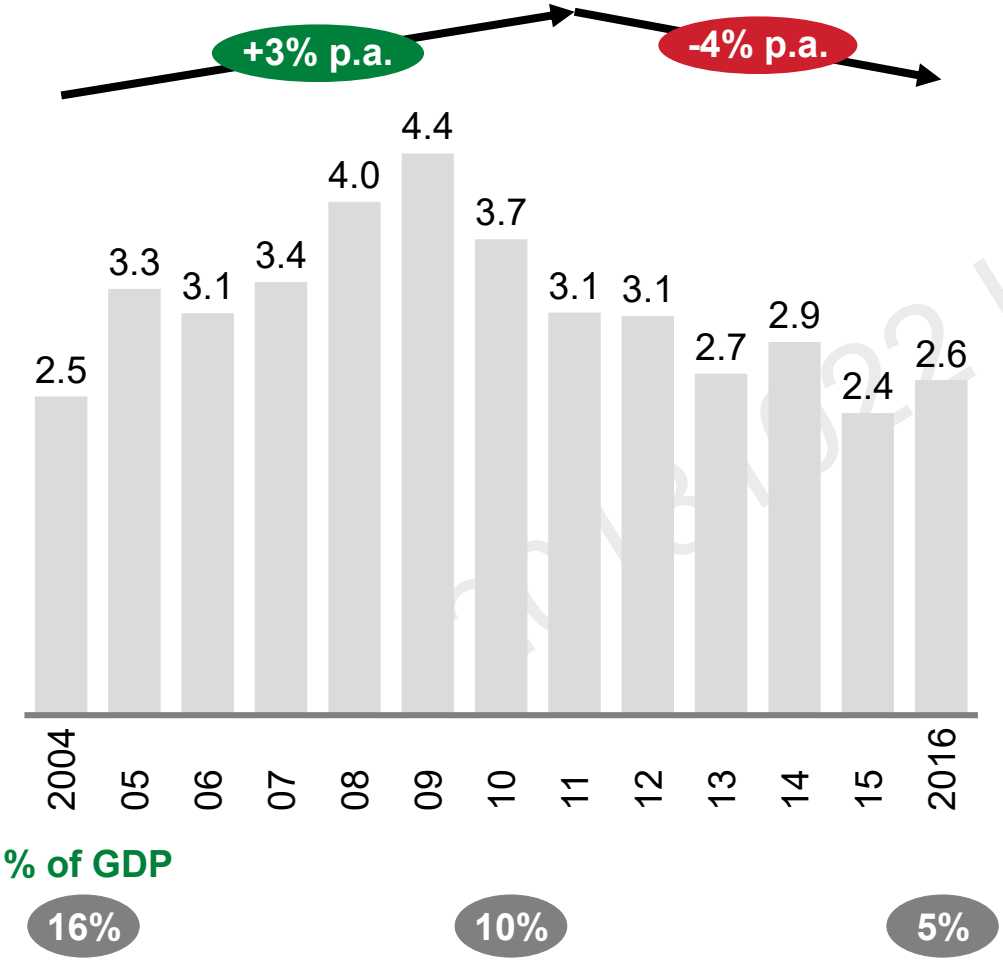


1 Portfolio investment includes equity and debt securities 2 Other financial flows include any other assets not classified as FDI or portfolio investment (e.g. loans, currency, pensions, standardized guarantee schemes, trade credit and advances, other accounts receivable/payable, and special drawing rights)

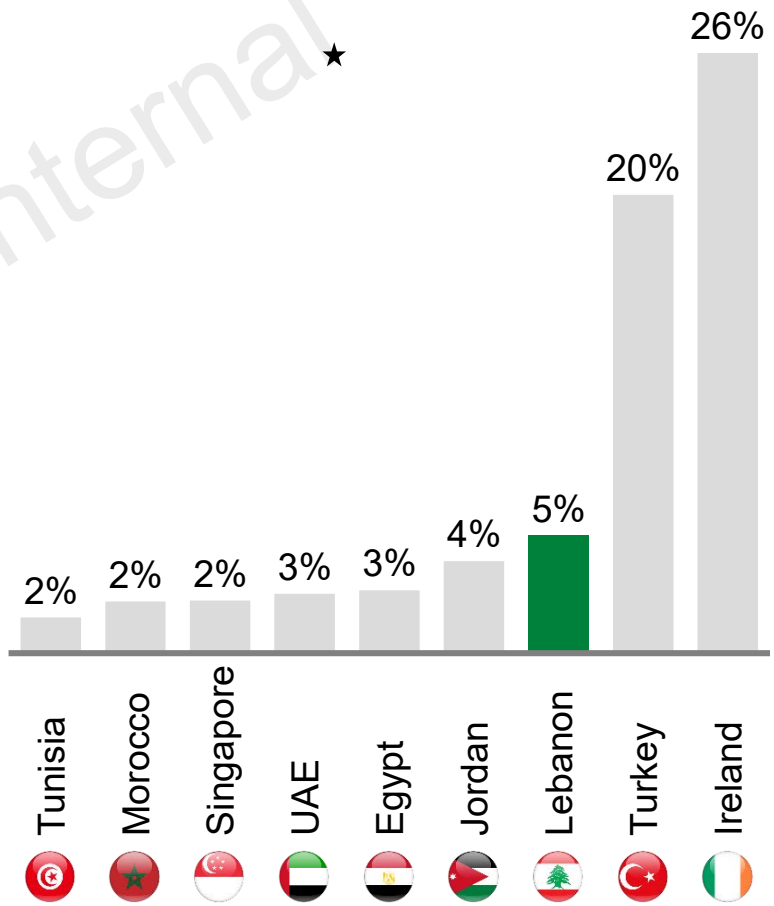
Source: Banque du Liban

Lebanon's FDI inflows followed a decreasing trend since 2009; the relative size of the flows remains above most regional peers but lags global leaders

Lebanon FDI inflows, 2000-16, USD Bn



FDI inflows by country, 2016, % of GDP



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Source: Banque du Liban; World Bank

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Summary of oil & gas diagnostic

Diagnostic

1. Lebanon has made **several advancements** towards unlocking its oil & gas resources, but remains at the **early stages of a 10+ year journey**
   - Achievements-to-date include awarding of exploration & production licenses and establishment of a regulatory and governance framework ★
   - However, exploration is unlikely to begin before 2019, and extraction is not expected to commence until 2029

2. There are **many uncertainties** surrounding the true value of Lebanon's oil & gas reserves, and the role that they will play in Lebanon's future economy
   - Factors of uncertainty include volume and chemical makeup of reserves, cost of extraction, as well as prices and market dynamics in the future oil market
   - While it is possible that oil & gas reserves will provide a key source of revenue for the government, it is also possible that they will not have any noteworthy contribution to the economy

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Source: USGS; LPI; Expert interviews; Press search

Overview of oil & gas sector

Current situation and recent developments | **Pending uncertainties** | **Timeline of events** | **The future of oil & gas** | **Present-day priorities**

Lebanon **may have significant oil & gas resources**, which are currently untapped

- In 2010, USGS estimated that 1.7 billion barrels of recoverable oil and 122 trillion cubic feet of recoverable natural gas may be found in the Levant Basin Province

Despite long delays, there have been several **recent achievements** supporting the development of Lebanon's oil & gas sector:

- **Exploration & production licenses** for 2/9 blocks were awarded to a consortium made up of Total, Eni and Novatek (Dec 2017)
- **Regulatory and governance framework** for the sector has been developed, with several laws being passed *(e.g. law to establish a Sovereign Wealth Fund)*

Significant uncertainty remains on the value of Lebanon's resources, which will depend on several variables, including but not limited to:

- **Resource base:** Volume of resources, as well as form and chemical makeup, are very uncertain
- **Oil prices:** Recently-demonstrated volatility in global prices makes it difficult to predict the price of oil during production, which is not expected to begin until 2029
- **Technology:** Several advances in gas extraction technology have drastically reduced the cost of extraction in the last few years, and further advances could have a significant impact on the cost of extraction
- **Market demand:** Changes in geopolitics, as well as the development of new pipelines could have a significant impact on export market options.

Exploration is expected to begin in 2019

First round of **development** is expected to take place between 2025 and 2029

- The development phase will be very **capital intensive**, as it will involve construction of off-shore platforms
- This will create a **spike in job creation** *(up to 10k)* which will be mostly indirect *(e.g. in industrial sectors)* and supported by local content requirements
- The development timeline is highly dependent on the results of the exploration phase

Extraction of oil may not begin until **2029**

Broadly, there are **three scenarios** for the role of oil & gas in Lebanon:

1. **Negligible:** Oil plays no major role in Lebanese economy, likely due to limited volume or very high costs of extraction
2. **Power-producing:** Oil is used almost exclusively as an input in the power sector, with limited financial gains
3. **Financially-supporting:** Beyond use of oil in power, oil generates significant financial resources for the government, contributing to fiscal stabilization

Despite the uncertainty, there are several **no-regret efforts** that the government of Lebanon should prioritize in the **short term**:

- Developing a clear strategy and direction for the sovereign wealth fund
- Continuing to develop the regulatory and governance ecosystem *(e.g. finalizing transparency-related regulations)*

Moreover, in the **medium term** *(as more clarity on resources is established)* additional **strategic analysis** will be required, on topics including but not limited to:

- Optimal usage of oil & gas resources *(e.g. local power vs. export)*
- Impact on industrial sector *(e.g. via improvement of power sector)*

RS1810 Internal

1 Lebanon has made several advancements towards unlocking its oil & gas resources …

Lebanon may have significant oil & gas resources, which are currently untapped

- In 2010, USGS estimated that 1.7 billion barrels of recoverable oil and 122 trillion cubic feet of recoverable natural gas may be found in the Levant Basin Province

Despite long delays, there have been several recent achievements supporting the development of Lebanon's oil & gas sector:

- Exploration & production licenses for 2/9 blocks were awarded to a consortium made up of Total, Eni and Novatek (Dec 2017)
- Regulatory and governance framework for the sector has been developed, with several laws being passed (e.g. law to establish a Sovereign Wealth Fund)

Source: USGS; LPI; Expert interviews; Press search

1 … but remains at the early stages of a 10+ year journey

Exploration is expected to begin in 2019

First round of development is expected to take place between 2025 and 2029

- The development phase will be very capital intensive, as it will involve construction of off-shore platforms
- This will create a spike in job creation (up to 10k) which will be mostly indirect (e.g. in industrial sectors) and supported by local content requirements
- The development timeline is highly dependent on the results of the exploration phase

Extraction of oil may not begin until 2029

Source: LPI; Expert interviews; Press search

2 Despite recent achievements, there are many uncertainties surrounding the true value of Lebanon's oil & gas reserves

Sources of uncertainty

Resource base

Volume of resources, as well as form and chemical makeup, are very uncertain

Oil prices

Recently-demonstrated volatility in global prices makes it difficult to predict the price of oil during production, which is not expected to begin until 2029

Technology

Several advances in gas extraction technology have drastically reduced the cost of extraction in the last few years, and further advances could have a significant impact on the cost of extraction

Market demand

Changes in geopolitics, as well as the development of new pipelines could have a significant impact on export market options.

Source: LPI; Expert interviews; Press search

2 Thus, the role of oil & gas in Lebanon's future remains unknown, and can fall into one of three broad scenarios

Scenario 1: Negligible Impact

Oil plays no major role in Lebanese economy, likely due to limited volume or very high costs of extraction

Scenario 2: Power production

Oil is used almost exclusively as an input in the power sector, with limited financial gains

Scenario 3 Fiscal support

Beyond use of oil in power, oil generates significant financial resources for the government, contributing to fiscal stabilization

Opportunities and priorities

Despite the uncertainty, there are several **no-regret efforts** that the government of Lebanon should prioritize in the **short term**:

- Developing a clear strategy and direction for the sovereign wealth fund
- Continuing to develop the regulatory and governance ecosystem (e.g. finalizing transparency-related regulations)

Moreover, in the **medium term** (as more clarity on resources is established) additional **strategic analysis** will be required, on topics including but not limited to:

- Optimal usage of oil & gas resources (e.g. local power vs. export)
- Impact on industrial sector (e.g. via improvement of power sector)

Economic Vision Outline

Covered in this section

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II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

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C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

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B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

2018 10 22 Internal

Data Disclaimer

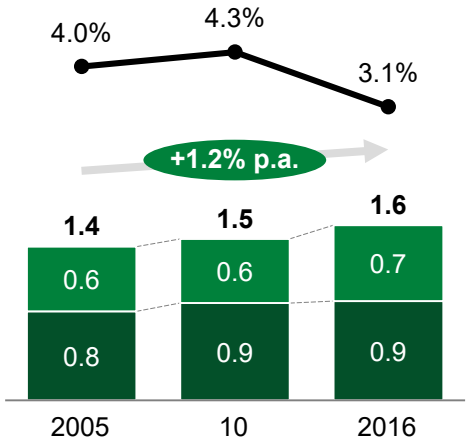
All analysis related to international trade relies on data from Lebanese Customs and the World Bank's World Integrated Trade Solution (WITS), retrieved in May 2018. Data from WITS excludes uncategorized and unreported trade flows. Efforts to clean and process data were performed on a best-effort basis, including classification of agricultural / industrial / raw non-industrial tradeable goods, reconciliation of data discrepancies and inconsistent use of HS classification systems, and interpolation of results where necessary.

2018-10-22 Internal

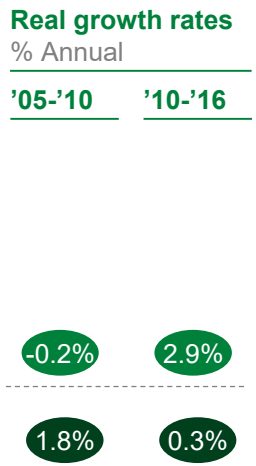
Agriculture – summary of diagnostic

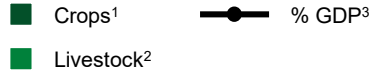
Economic contribution

Real GDP value of agriculture
Bn USD in 2010 prices

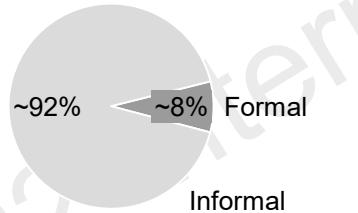


Real growth rates
% Annual





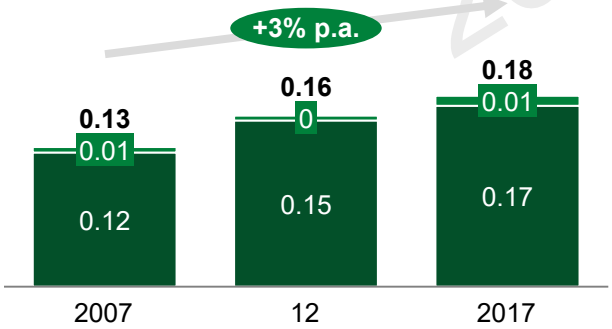
Estimated Employment 2016
Total : ~212k



Excludes seasonal employment

Trade

Agricultural exports (excluding processed food)
Bn USD



Top exports include:
- Fruits (apples, bananas, grapes, oranges, etc.)
- Vegetables (potatoes, lettuce)
- Raw tobacco
- Spices
- Live sheep

1 Includes forestry 2 Includes fishery 3 Excludes taxes and subsidies

Key challenges

- **Low productivity and quality**
  - Limited modernization / technology adoption, with persistence of suboptimal techniques (harvest, post-harvest, etc.)
  - Overuse of fertilizers & pesticides (452 kg/hectare, vs. 131 kg/hectare in OECD countries)
- **Structural constraints**
  - Small average holding sizes (1.4 ha)
  - Ineffective cooperative system (~1200 COOPs, 2/3 of which are inactive)
  - Dominant wholesale markets / distributors
- **Insufficient and poorly-targeted government support**
  - Limited extension and research services
  - Poor controls on food safety & quality, water usage
  - Limited access to financing
- **Financial unsustainability**
  - Rising land & transportation costs
  - Reliance on subsidies (and ad-hoc financial support)

Source: CAS, ILO, Ministry of Health, Lebanese Customs, FAO, expert interviews

Agriculture diagnostic - key performance measures (1/2)

A. Key performance measures

Macro-economic performance

A1 The agriculture sector represents a small and declining share of productive economic activity in Lebanon

- In 2016, agriculture accounted for 1.5 billion USD of value-add, representing ~3% of GDP
- Over the last 10 years, agriculture and livestock sectors have been relatively stagnant, with aggregate real annual growth of ~1.2% well below the overall economy
  - Despite year-on-year fluctuations, the distribution between livestock and agriculture hasn't changed since 2005
- However, there has been modest growth in food processing, which grew at 5.5% from 2005-2010 but slowed down to grow at 2.6% p.a. between 2010-2016

A2 Despite its limited economic role, the agriculture sector is an important driver of employment and rural development

- The agriculture sector is estimated to employ ~212,000 people *(excluding seasonal and part-time employees)* and is predominantly informal, as only ~8% of workers in agriculture are formally employed
- Agriculture is particularly important in rural areas, where the sector contributes to ~25% of the employment and 80% of local GDP
- Thus, agriculture plays a key role in rural development, which in turn limits rural-urban migration (alleviating stress on major cities) and promotes social stability and cohesion

A3 Moreover, the agriculture sector is an important source of exports, with exports of food products (including processed foods) reaching ~0.7 bn USD in 2017

- The majority of food exports (~75%) are processed, rather than raw, and therefore also involve the food processing sector
  - Processed foods include products of locally-produced crops & livestock as well as processing of imported raw food products
- Food exports were growing aggressively from 2007 to 2014 , but have declined by ~12% since then, due largely to disruptions to Syrian trade routes
  - Decline in food product exports between 2014 and 2016 was driven by reductions in exports to Syria, KSA, UAE, Iraq, Qatar and Jordan, with Iraq and Jordan (Syria's neighbors) experiencing the greatest declines
  - IDAL's MLEB program played a major role in alleviating the disruption by facilitating maritime trade alternatives
  - The decline in exports was accompanied with a decline in imports (and net imports), suggesting that the impact to production was limited by import substitution

2018/2022 Internal

Source: Ministry of Agriculture; CAS; ILO; Ministry of Health; Lebanese Customs; IDAL

Agriculture diagnostic - key performance measures (2/2)

A. Key performance measures

Sector performance

A4 **Lebanon has a relatively large and diversified agricultural land (representing 63% of total land - the largest share in the Middle East)**

- Lebanon has 658,000 hectares of agricultural land:
  - 258,000 hectares are cultivated for growing crops, including 132,000 of arable land (used for short-term crops) and 126,000 hectares for permanent (long-term) crops
  - Meanwhile, there are 400,000 hectares of permanent meadows and pastures, which may be used to support livestock production
- The majority of cultivated land lies in the Baalbeck-Hermel (25%) and Bekaa (18%) provinces, with other concentrations on the north and south
- Lebanon's rich agricultural biodiversity allows the production of 60+ types of crops and 10+ livestock products
  - Crops account for 64% of agriculture production by value, led by potatoes, tomatoes, apples, olives, and oranges.
  - Livestock products account for 36% of agriculture production by value, led by cow milk, cattle meat, and chicken meat

A5 **Moreover, anecdotal evidence suggests that quality of local products lags behind imports**

- Weak quality control mechanisms allow for the proliferation of quality-inhibiting practices, including the overuse of pesticides and the use of contaminated / unfiltered water sources

20181022 Internal

Source: Ministry of Agriculture; IDAL; FAO

Agriculture diagnostic - key performance drivers

B. Key performance drivers

Land utilization

B1 Significant land resources are dedicated to low-value crops

- More than 50% of cultivated land is dedicated to olives, wheat, potatoes, and barley, which accounts for less than 25% of total produced value
- Meanwhile, only 1.7% of cultivated land is used to grow tomatoes, which account 9% of total produced value

B2 However, the agriculture sector has generally low productivity in crops compared to international benchmarks:

- Lebanon's yield for potatoes (#1 crop by volume and value) is 25.2 tons per hectare, which is lower than Egypt (26.8 t/ha), Turkey (32.4 t/ha), and the USA (47.2 t/ha)
- Lebanon's yield for olives is also remarkably low, at 1.93 t/ha, compared to 9.3 t/ha in Egypt
- However, there are some crops in which Lebanon enjoys a competitive advantage *(e.g. Lebanon's yield for lemons and limes is very high compared to global benchmarks)*

Inputs

B3 Agricultural inputs appear to be widely available to farmers

- Fertilizers and pesticides are widely available to farmers, and are likely overused
  - Lebanon has a high level of fertilizer use compared to countries with similar climates
  - Moreover, FAO reports suggest that the sector suffers from overuse of pesticides
- Water is generally available (but often at a high cost), and a relatively high share of agricultural land (20%) is irrigated
  - However, water control & conservation is necessary to ensure long-term sustainability of agriculture

B4 However, anecdotal evidence suggests that input prices have been rising

- Historically, a significant share of farmers in border areas obtained their inputs – including fertilizer, seeds, and pesticides – from Syria, where these inputs were subsidized
- However, the conflict in Syria has forced farmers to seek alternative sources, leading to an increase in prices.
  - FAO reports that the conflict in Syria resulted in the doubling of the price of urea fertilizer, and in the quintupling of the price of sulphur
- Transportation costs also rose due to the Syrian conflict, especially after the closure of Syria-Jordan land crossings in 2015
- Moreover, rising real estate prices have been placing pressure on farmers to sell their lands

2018 IDAL Internal

Source: Ministry of Agriculture; FAO; IDAL

Agriculture diagnostic - enablers (1/4)

C. Enablers

Structure

C1 Agriculture in Lebanon is a very fragmented sector, with poor organization

- Lebanon has a small average holding area of 1.4 hectares, compared with European average of 34.2 hectares
  - 70% of holdings have a utilized agricultural area (UAA) less than 1 hectare, whereas less than 4% of holdings have a UAA that exceeds 6 hectares
  - Sector structure varies widely by region, with average holding areas ranging from 0.7 hectares in Mount Lebanon to 3.3 hectares in Bekaa
- In addition to inhibiting productivity, the small scale of Lebanon's farms limits export potential, as export partners typically seek partners with significant production volumes

C2 Lebanon has a large but inactive network of cooperatives

- There are ~1,238 cooperatives registered in Lebanon, including ~630 agricultural cooperatives
- However, anecdotal evidence suggests that only one in three cooperatives are active
- Moreover, the vast majority of registered farmers – over 95% – are not members of any cooperative

20181022 Internal

Source: Ministry of Agriculture; ILO; EUROSTAT

Agriculture diagnostic - enablers (2/4)

C. Enablers

Supply chain

C3 Cooperatives are failing to provide much-needed supply chain services to the agricultural community

- Globally, cooperatives play a critical role in agriculture, supporting farmers with the procurement of inputs *(e.g. seeds, fertilizer),* post-harvest operations *(processing, storage, marketing, and distribution),* access to financing, and other areas which benefit from economies of scale
- However, Lebanon's cooperatives are largely focused on securing funds from government sources and international donors, and facilitation of sales to local markets ★
- Most cooperatives operate at a local scale, and have limited market access
  - Cooperatives are focused on direct sales channels, with limited linkages with the food processing industrial players, which account for less than 5% of cooperative sales
  - Only 55% of fruit cooperatives provide access beyond their local caza (39% for olive cooperatives)
  - Only 25% of fruit cooperatives provide export access to international markets (7% for olive cooperatives)

C4 Market dynamics are unfavorable to farmers

- Wholesale markets and distributor networks are well-organized and maintain a relatively high amount of leverage over farmers, in part due to the small scale of most farmers
- As a result, farmers are often forced to sell their produce at unfair prices

C5 Poor infrastructure

- Shortage of cold storage facilities often forces farmers to discard unsold crops
- Majority of processing & packaging facilities do not meet international safety requirements, which limits export potential to European *(and other)* markets

20181012 Internal

Source: Ministry of Agriculture; ILO; FAO; IDAL

Agriculture diagnostic - enablers (3/4)

C. Enablers

Regulatory oversight

C6 Weak regulatory oversight is endangering food safety and limiting export potential

- The regulatory infrastructure in agriculture is weak, especially related to food quality
  - Current legislation on food inspectors is inadequate, and no clear standards are being applied
  - Lebanon's domestic food inspection system is weak, and is not ISO 17020 certified
  - Food cooperatives lack Hazard Analysis Critical Control Point (HACCP) certification
- Lack of compliance with international quality concerns has inhibited exports to the European Union, which places stringent sanitary and phytosanitary (SPS) conditions on imports

C7 Cooperatives are hampered by regulations and limited government support

- The Directorate General of Cooperatives lacks the financial and human resources to effectively provide technical support to agricultural cooperatives *(e.g. 65% of its positions are vacant)*
- Moreover, the current regulatory framework for cooperatives is outdated, and prevent cooperatives from expanding beyond their municipal / village borders

C8 There is a complex stakeholder environment, with many government entities involved in the regulation of the agriculture sector

Farmer support

C9 Limited extension services and support capabilities have not allowed the adoption of good practices in farming

- The government's extension services are limited
  - Ministry of Agriculture's strategy does not have a clear perspective on crops (e.g. investment, support, and subsidies are not targeted)
- Moreover, the majority of cooperatives lack the capabilities to provide meaningful education and training to their members without the support of third-party players (especially programs run by international donors)
- This contributes to the prevalence of several poor practices:
  - There is widespread irrational use of fertilizers and pesticides *(which may be linked to farmers' reliance on extension services from private input providers)*
  - Water resources are being drained and damaged
  - Crop selection is not optimized
  - Outdated and harmful harvest and post-harvest techniques are employed

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Source: Ministry of Agriculture; ILO

Agriculture diagnostic - enablers (4/4)

C. Enablers

Trade policy & competition

C10 Agricultural products suffer severe competition from imports, both legal and illegal

Financing

C11 Farmers lack adequate access to finance

- Financing to agricultural players is limited
  - In Lebanon, agriculture represents ~1% of credit (lending), whereas international benchmarks suggest that it should account for ~5% of credit
  - This is largely due to banks' hesitancy to provide loans to agricultural players, as seasonality negatively affects yield consistency (and by extension, NPL rates)
  - Moreover, bank loan interest rates are typically prohibitively high for farmers, especially small-holder farmers
  - The government has launched several programs to financially support farmers, but impact has bene limited – e.g. the government's "Kafalat" program, which guarantees Agricultural loans, only covered 2,522 loans in 2017, and its portfolio size has been declining
- Furthermore, farmers are not sufficiently insured against natural risks, with the absence of efficient collective insurance schemes

C12 Cooperatives have limited access to financing, and are reliant on foreign aid

- Nearly half of cooperatives have not made any investments in the last 3 years
- More than half of investments have been supported by international donors, with only 1 in 6 supported by the ministry of agriculture
- Foreign aid has been particularly critical in unlocking export markets for cooperatives, which requires additional investments *(e.g. cold storage and packing)*

C13 As a result, investment in technology is very limited

- Only three percent of cooperative investment in the last 3 years was directed towards innovative technologies which can increase productivity (including ICT solutions as well as advanced irrigation and production systems)

20181022 Internal

Source: Lebanese Customs; FAO; ILO; Kafalat SAL; IDAL

Contents – Agriculture

A **Key performance measures**

B Key performance drivers

C Enablers

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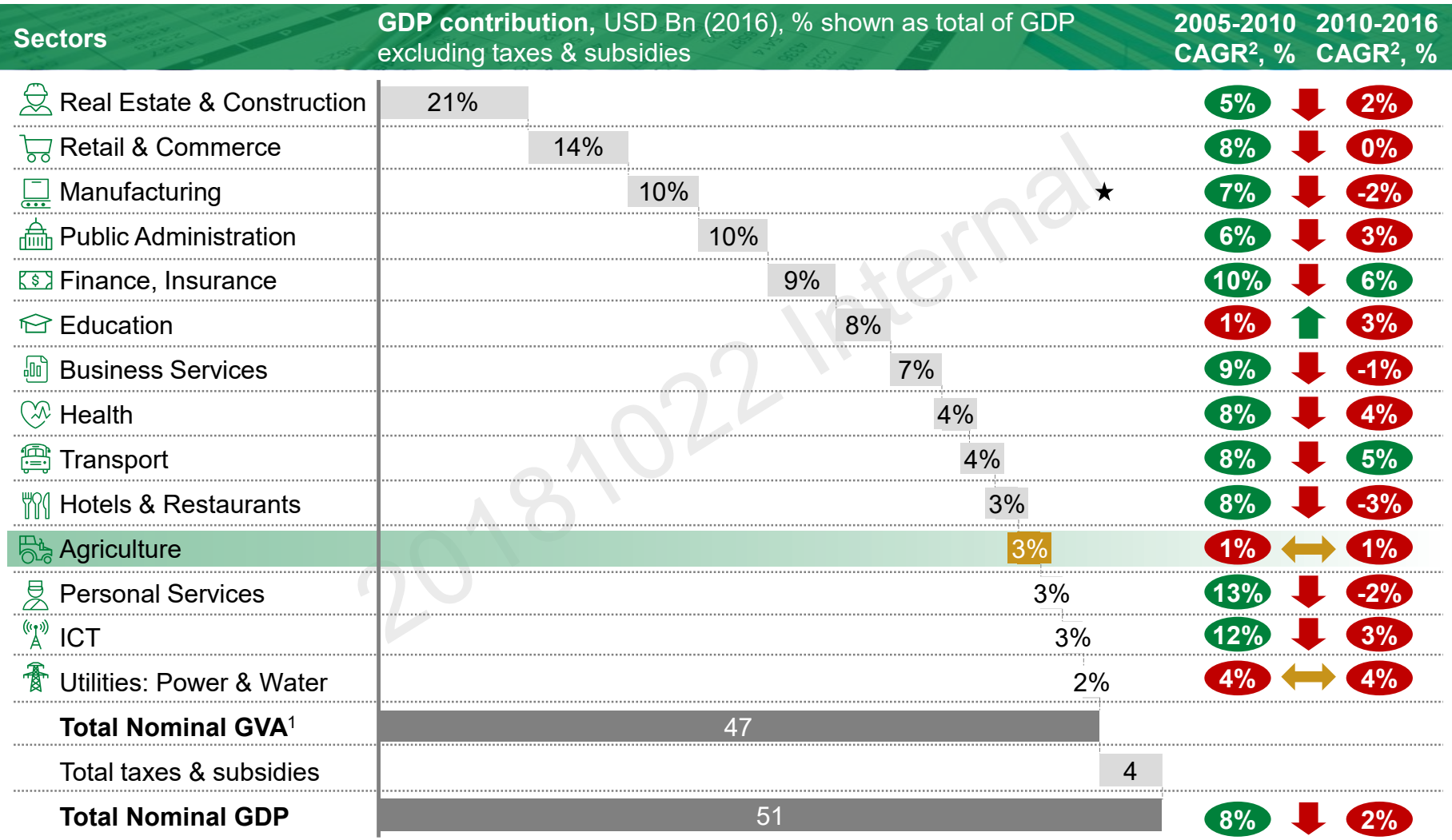
A1 The agriculture sector represents ~3% of GDP and has been resiliently stagnant over the last 10 years



20181022 Internal

1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

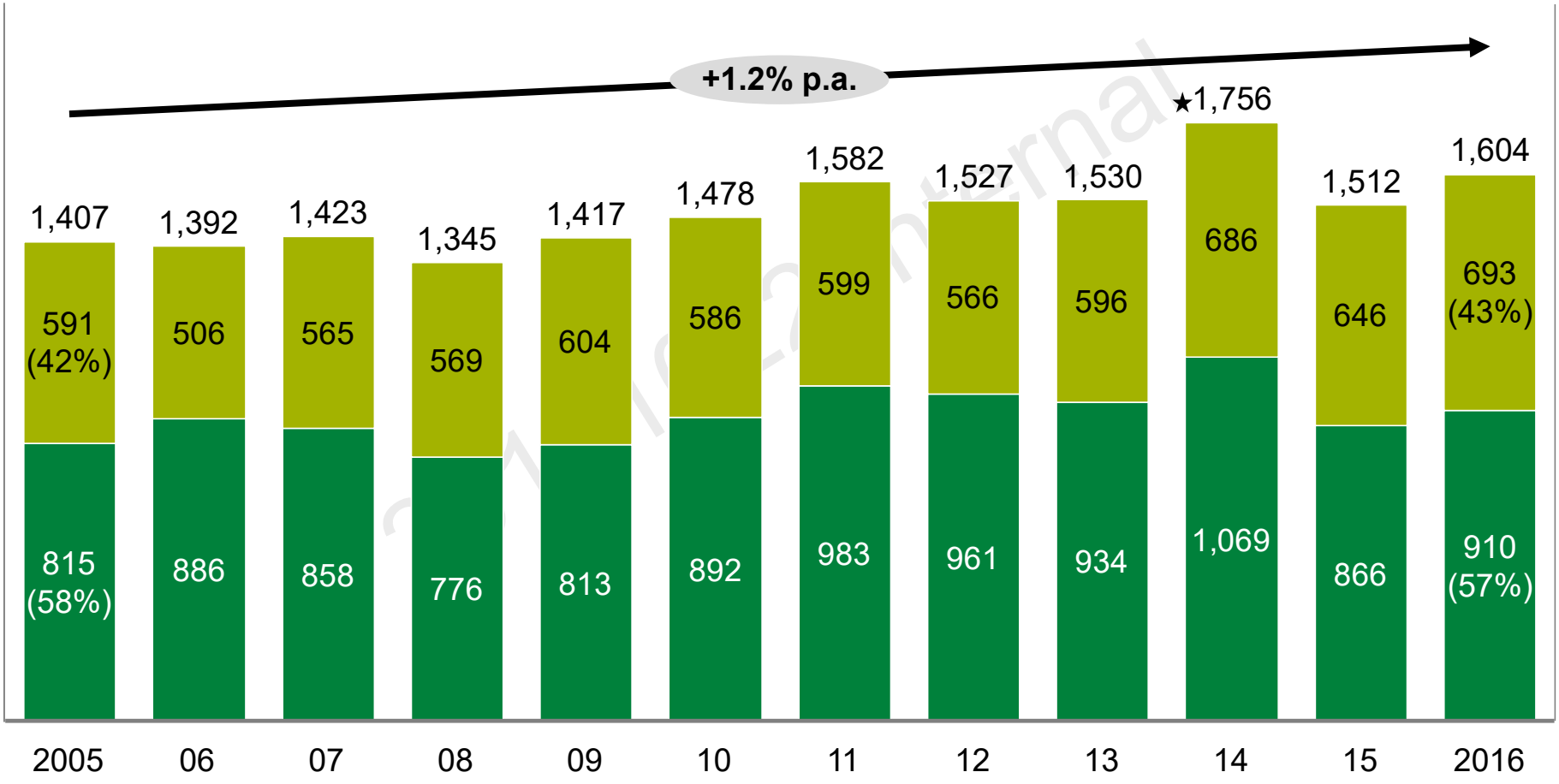
Source: CAS

A1 Despite some year-on-year volatility, the distribution between agriculture and livestock has remained nearly constant

PRELIMINARY

Real GDP value of agriculture

Million USD in 2010 prices



1 Includes forestry

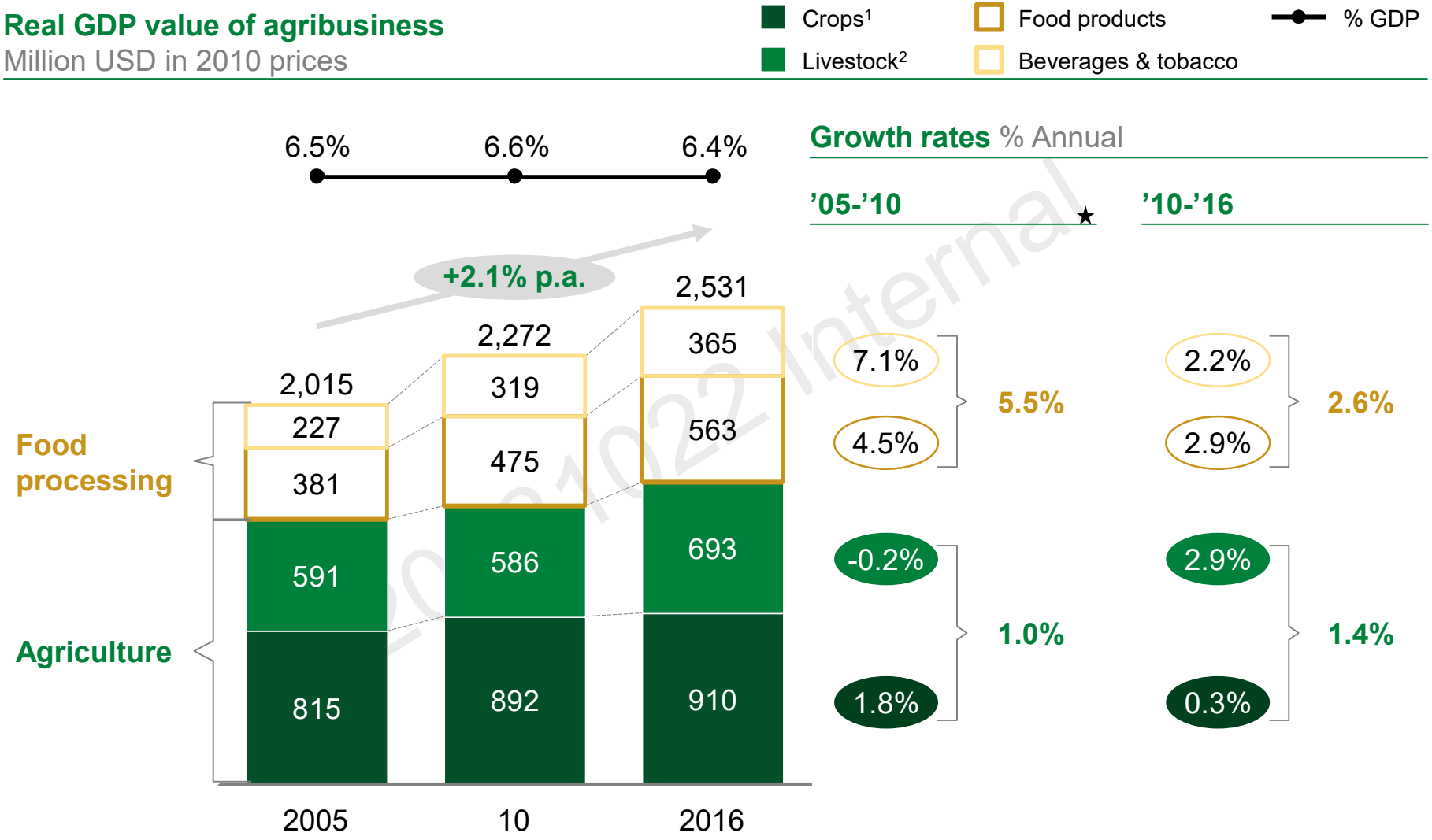
2 Includes fishery

Source: CAS

A1 Growth in agribusiness has been fueled by food processing, whereas agriculture (crops & livestock) has been stagnating

Real GDP value of agribusiness

Million USD in 2010 prices



1 Includes forestry

2 Includes fishery

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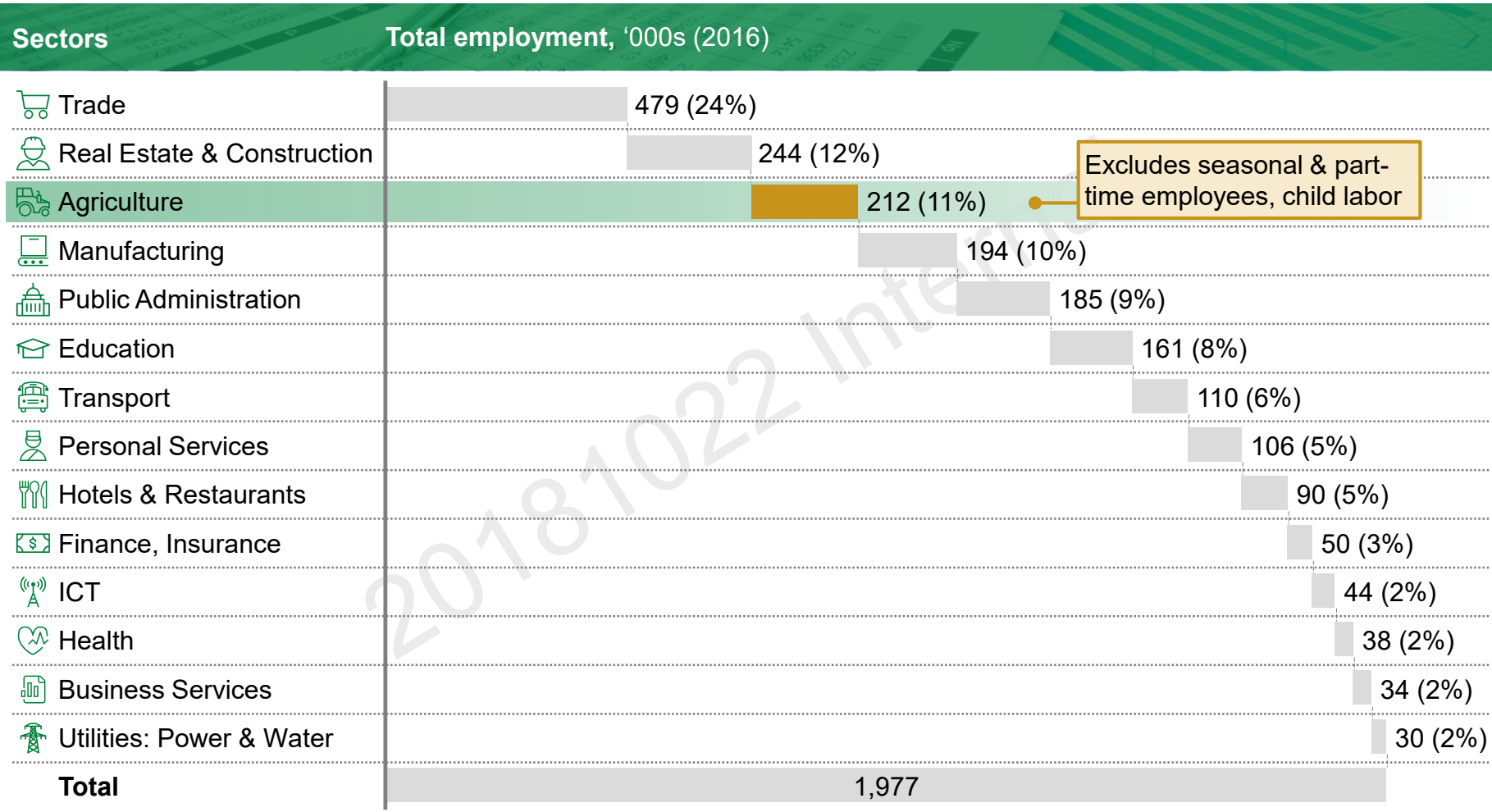
Source: CAS

A2 The agriculture sector is one of Lebanon's largest employers, with 212,000 permanent employees (excl. seasonal employees)

HIGH-LEVEL ESTIMATES

Relevant Sectors

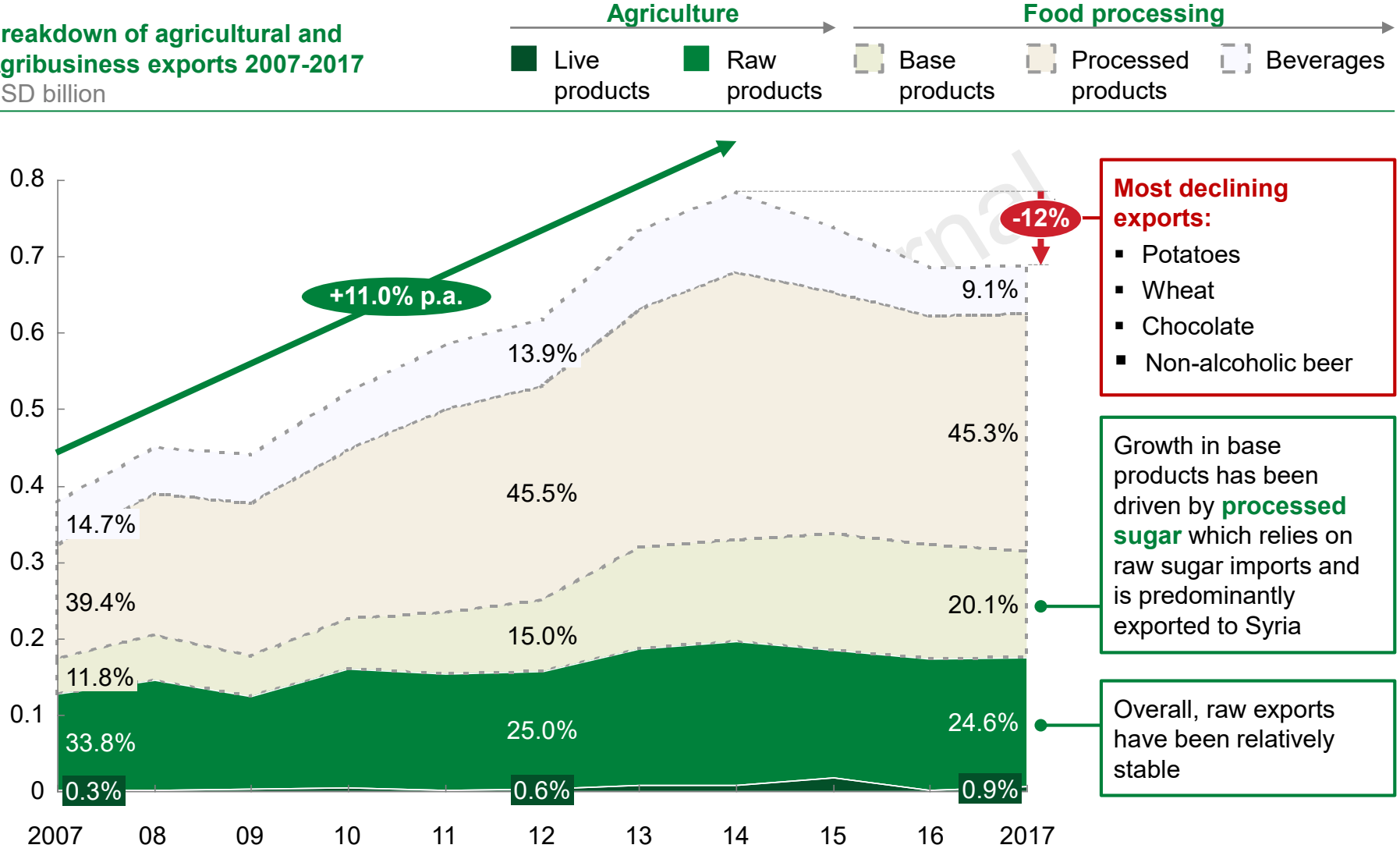


Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

A3 Agribusiness exports were growing rapidly until 2014, but have now stagnated

Breakdown of agricultural and Agribusiness exports 2007-2017
USD billion



Most declining exports:
- Potatoes
- Wheat
- Chocolate
- Non-alcoholic beer

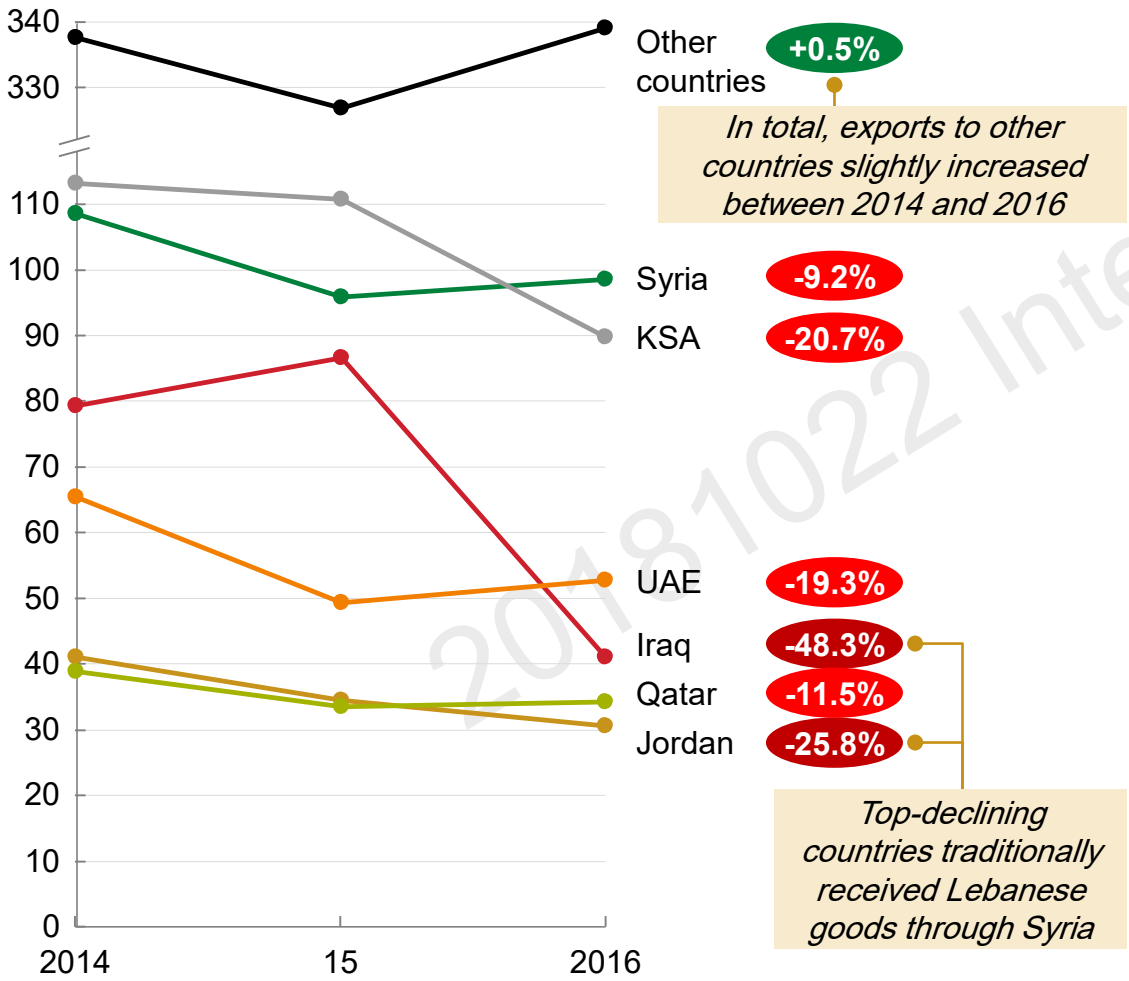
Growth in base products has been driven by **processed sugar** which relies on raw sugar imports and is predominantly exported to Syria

Overall, raw exports have been relatively stable

Source: Lebanese Customs

A3 The decline in exports between 2014 and 2016 was driven by disruptions to land routes through Syria, but limited due to MLEB efforts

Breakdown of food exports by destination USD million



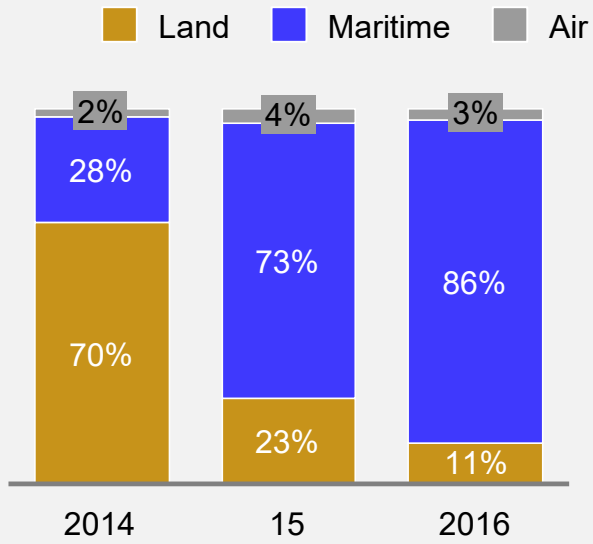
In total, exports to other countries slightly increased between 2014 and 2016

Top-declining countries traditionally received Lebanese goods through Syria

The impact of the Syrian war was limited by the successful implementation of the **Maritime Lebanese Exports Bridge (MLEB)**

Launched in 2015 by IDAL, MLEB **facilitated and subsidized** the export of goods *(with a focus on food products)* through **truck-boarded ships**

Breakdown of food exports % of exports



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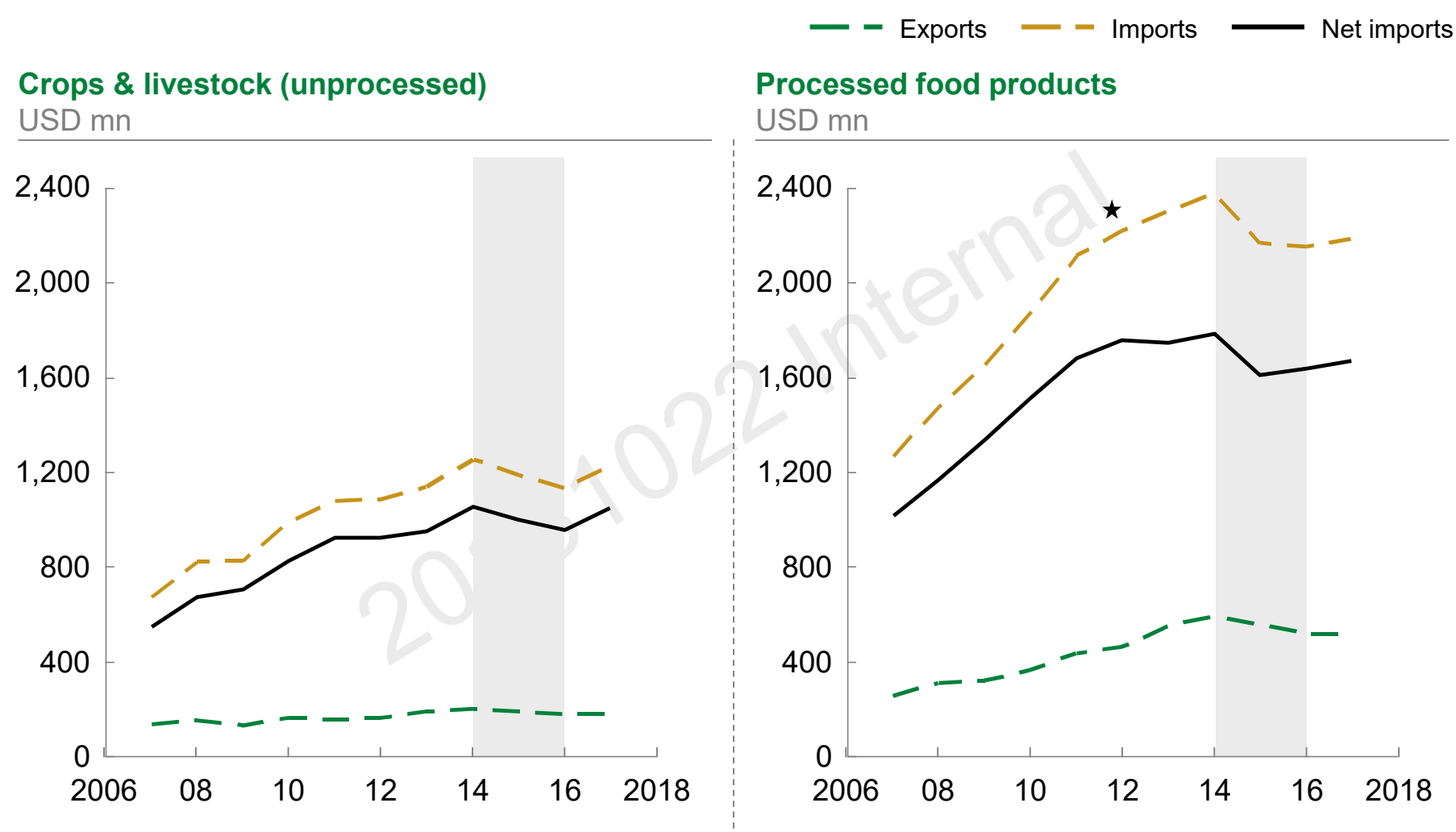
Source: Lebanese Customs, IDAL

A3 Decline in imports (and net imports) between 2014 and 2016 imply that exports were replaced with local consumption



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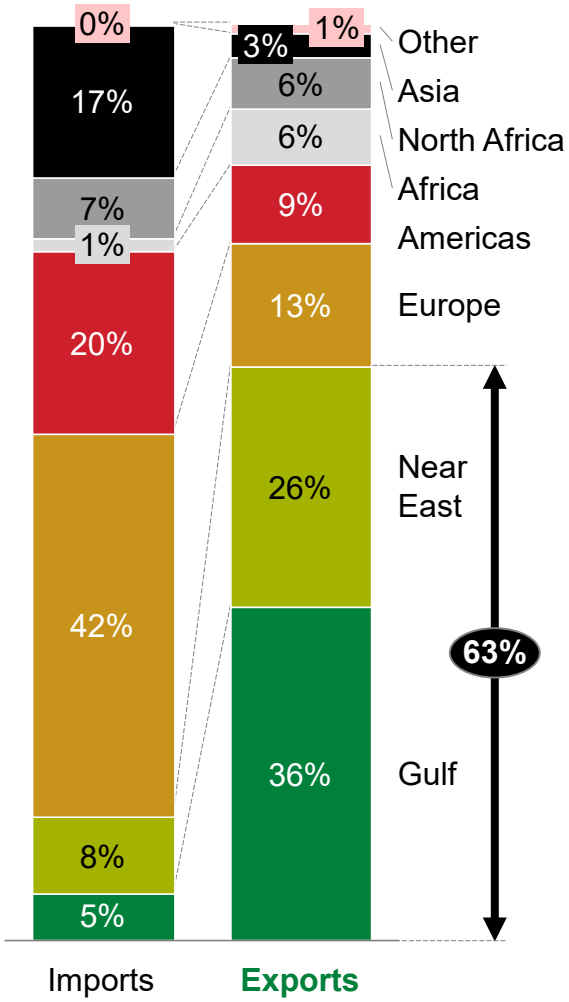
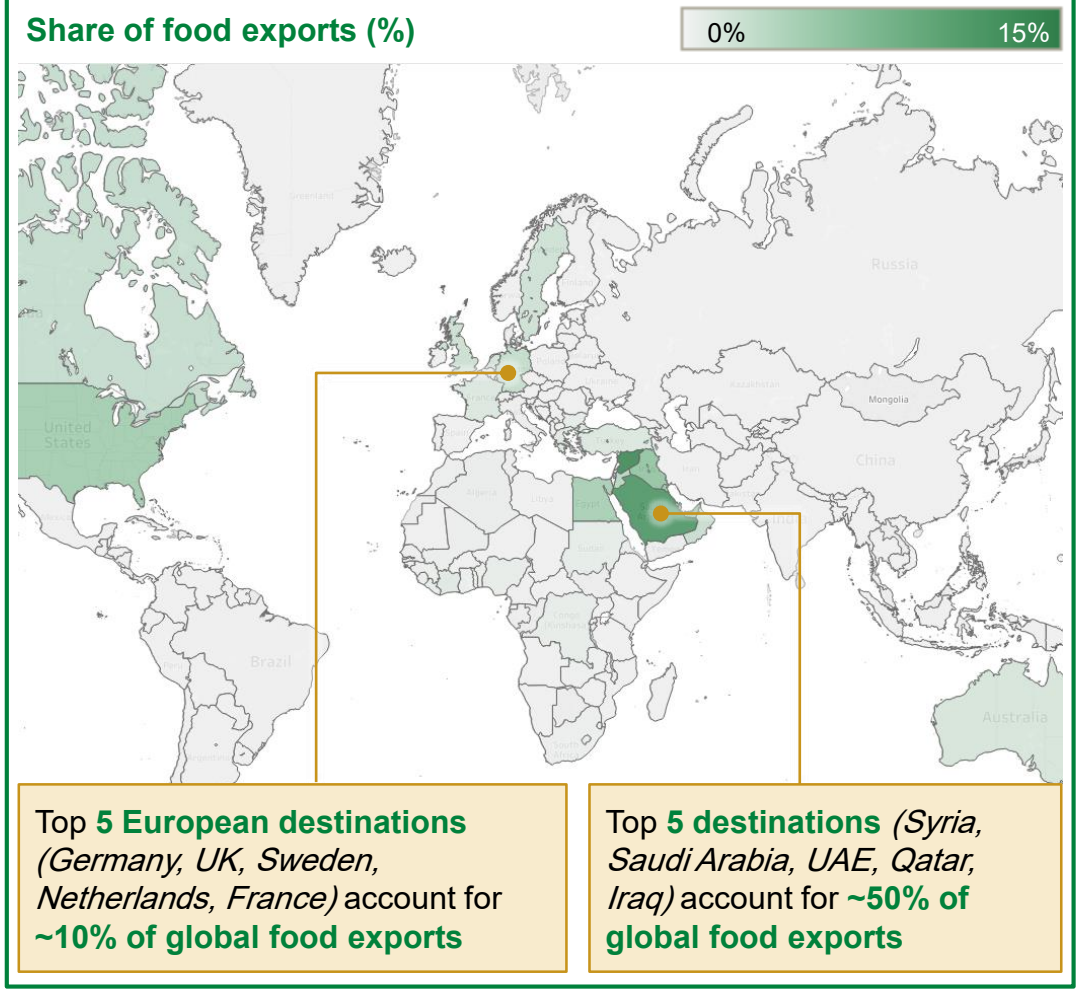
Source: Lebanese Customs

A3 Lebanon's food exports are very concentrated in the region, with 63% going to near east & gulf states

Agribusiness trade flows by region, % of trade flows, 2017



Share of food exports (%)



Top **5 European destinations** *(Germany, UK, Sweden, Netherlands, France)* account for **~10% of global food exports**

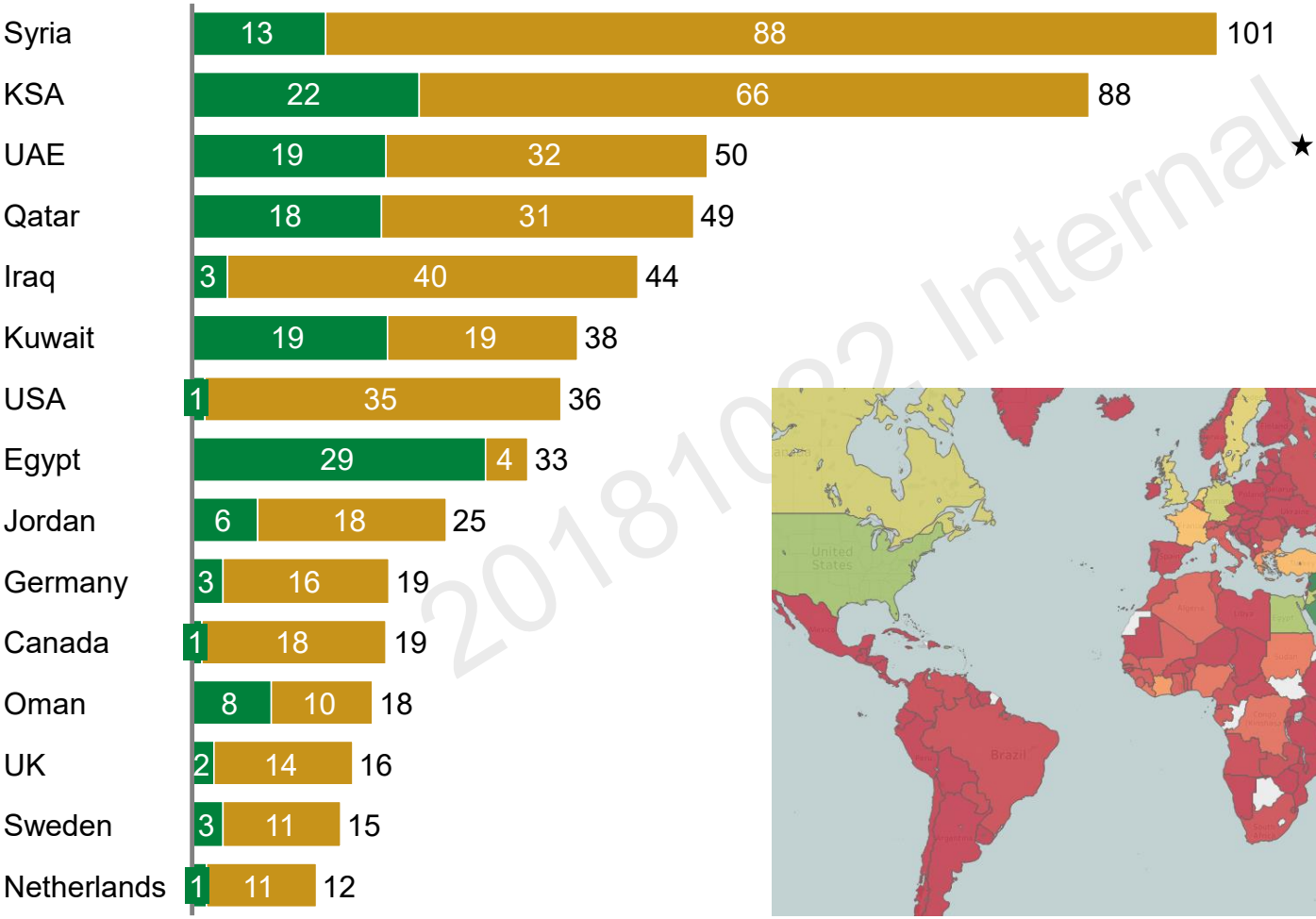
Top **5 destinations** *(Syria, Saudi Arabia, UAE, Qatar, Iraq)* account for **~50% of global food exports**

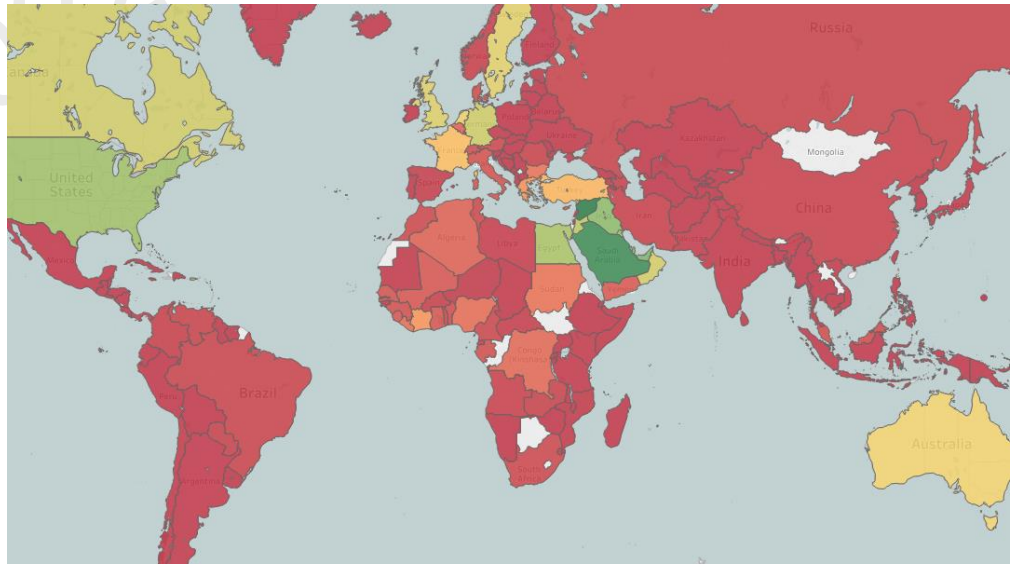
Source: Lebanese Customs

A3 Lebanon's top 6 agricultural export destinations are Arab countries

Breakdown of Lebanese food exports by destination

USD Million, 2017





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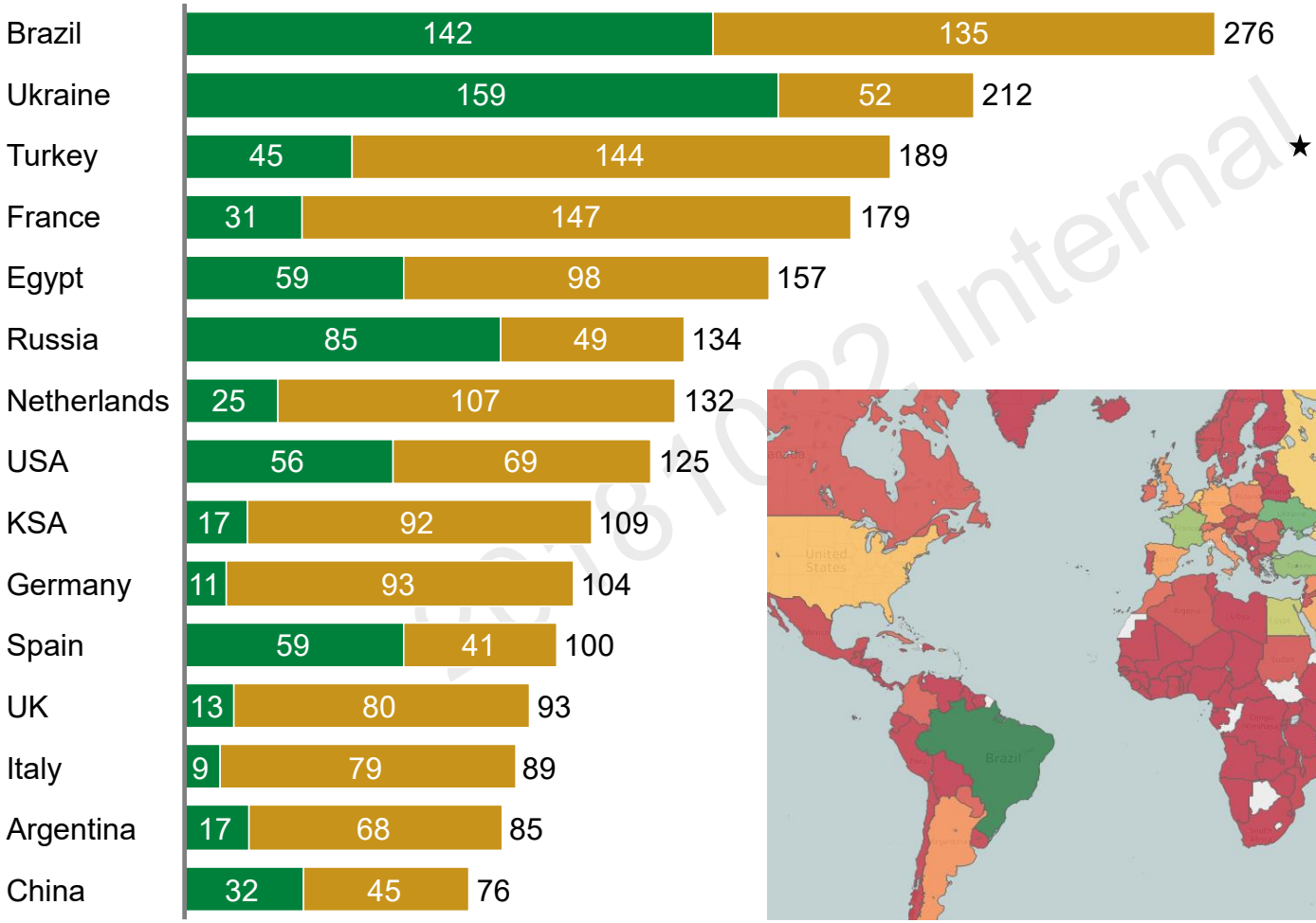
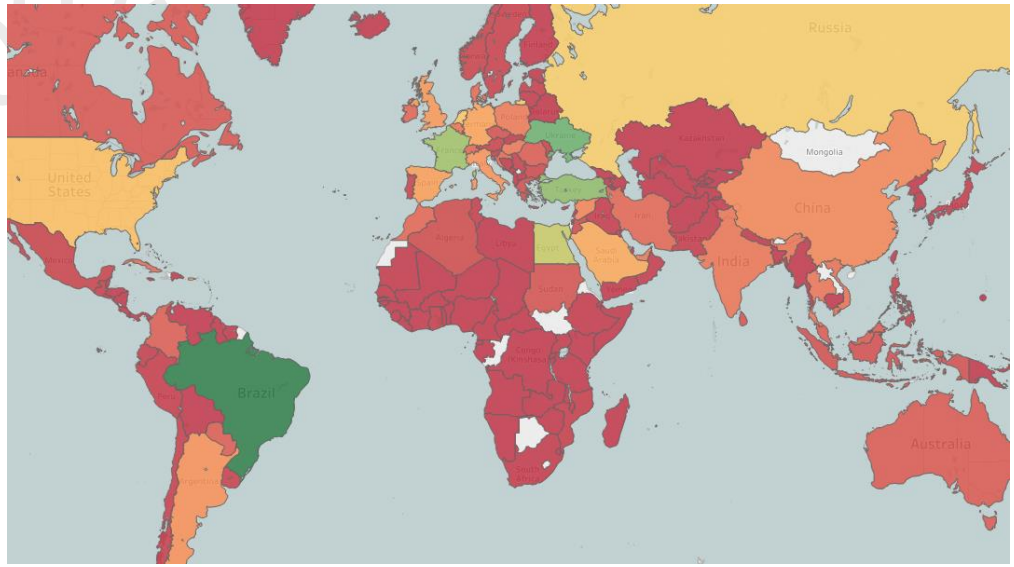
Source: Lebanese Customs

A3 Lebanon's food imports are less geographically concentrated than its exports

Breakdown of Lebanese food imports by source market

USD Million, 2017





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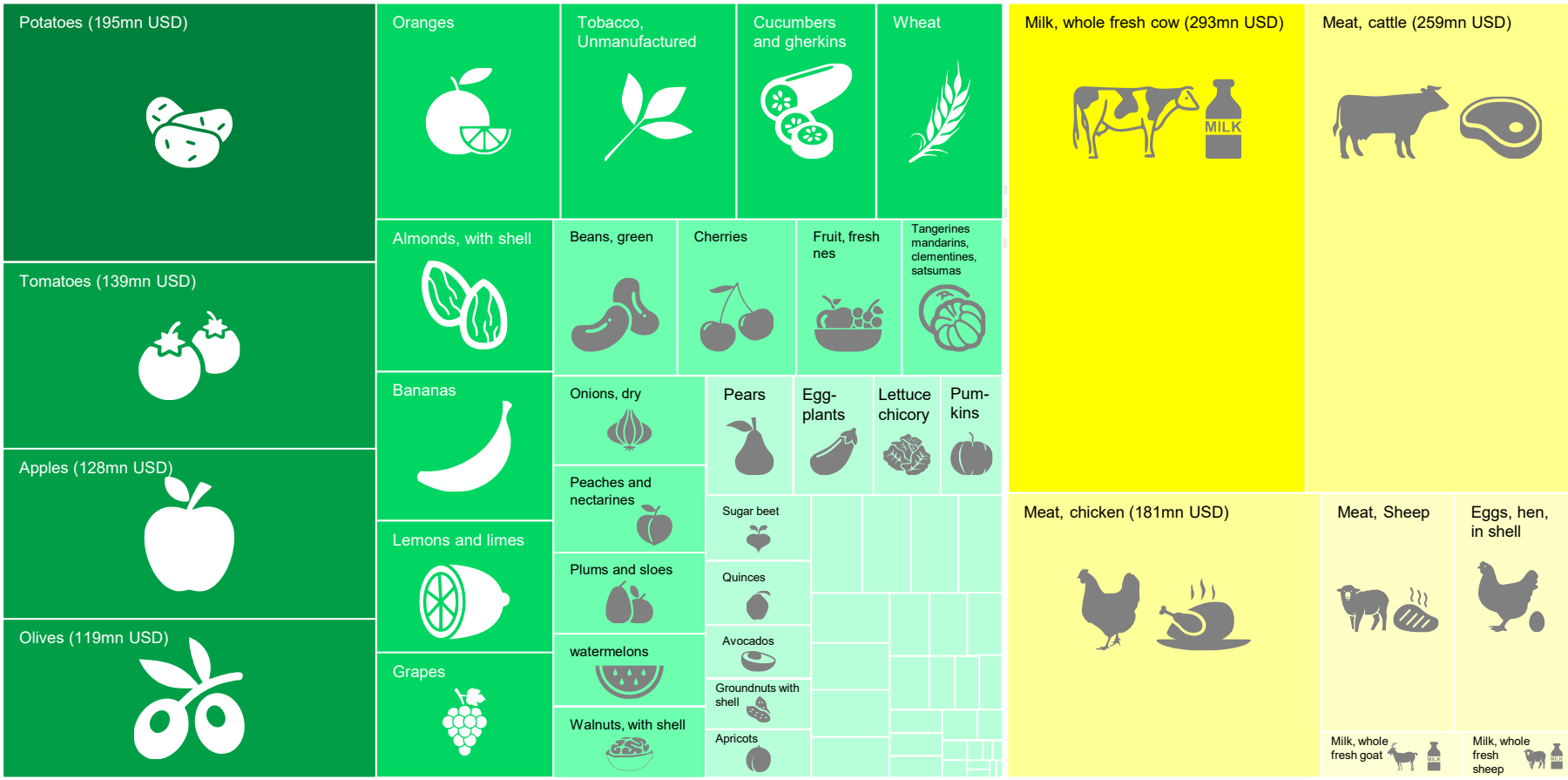
Source: Lebanese Customs

A4 Lebanon has a diverse agricultural sector, with 60+ crops and ~10 livestock products

Breakdown of major agricultural products by value of production (2014)

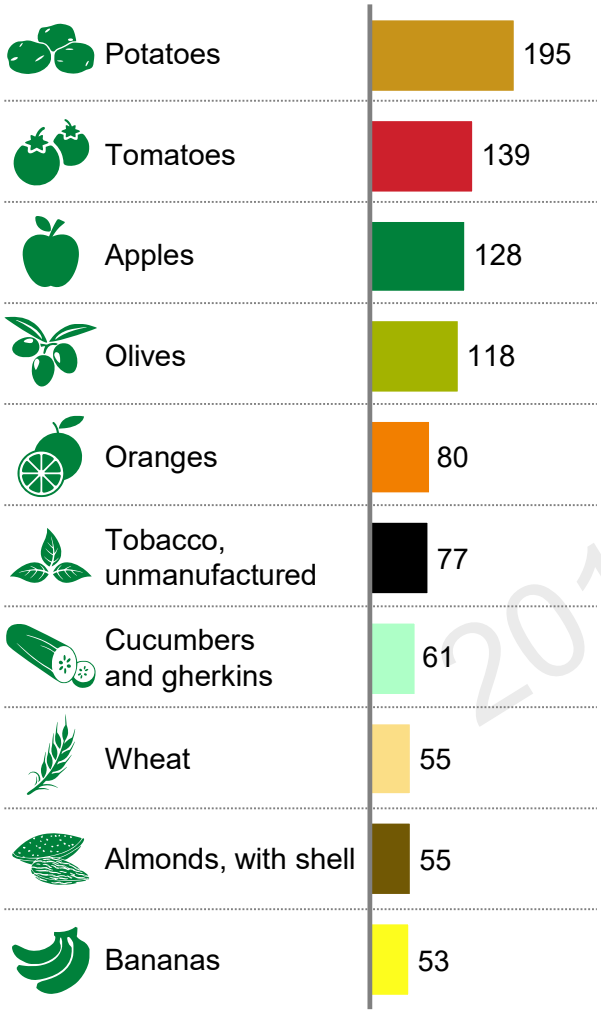


Excludes processed products & minor products with unavailable data

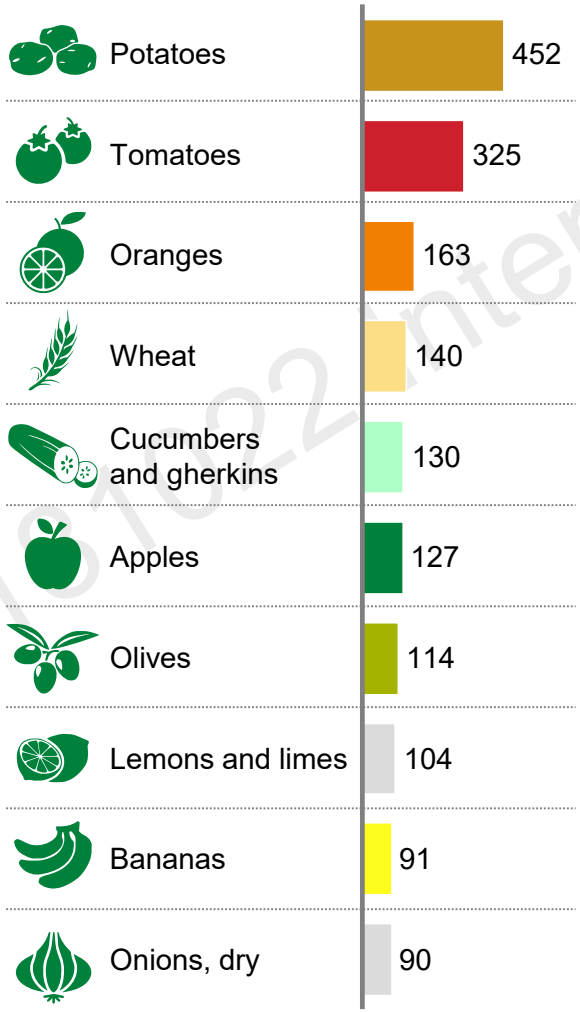
Source: FAO

A4 Overview of major crops

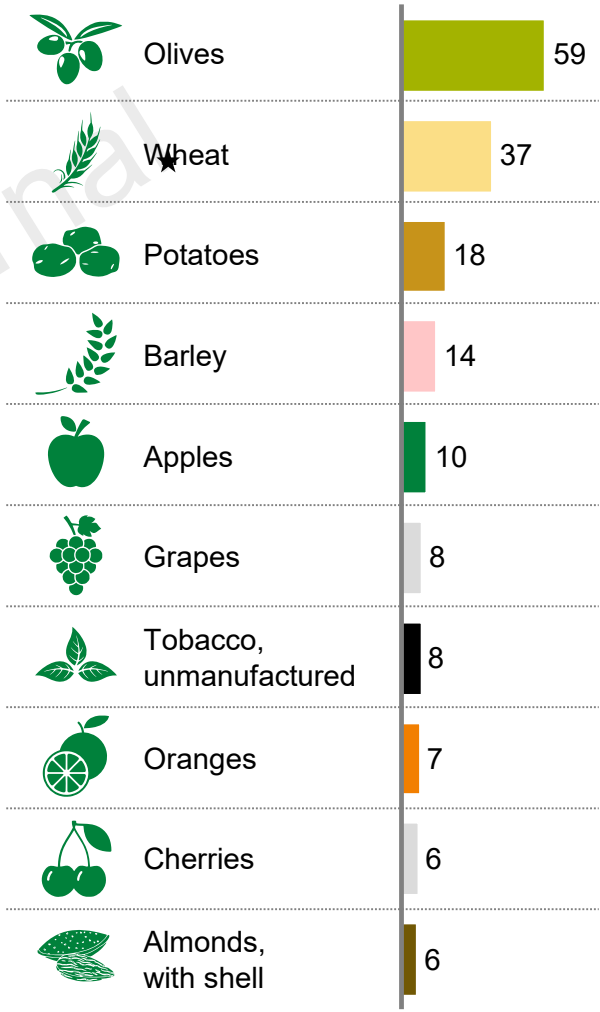
Main products by value
Million USD (2014)



Main products by volume
Thousand tons (2014)



Main crops by land cultivated
Thousand hectares (2014)

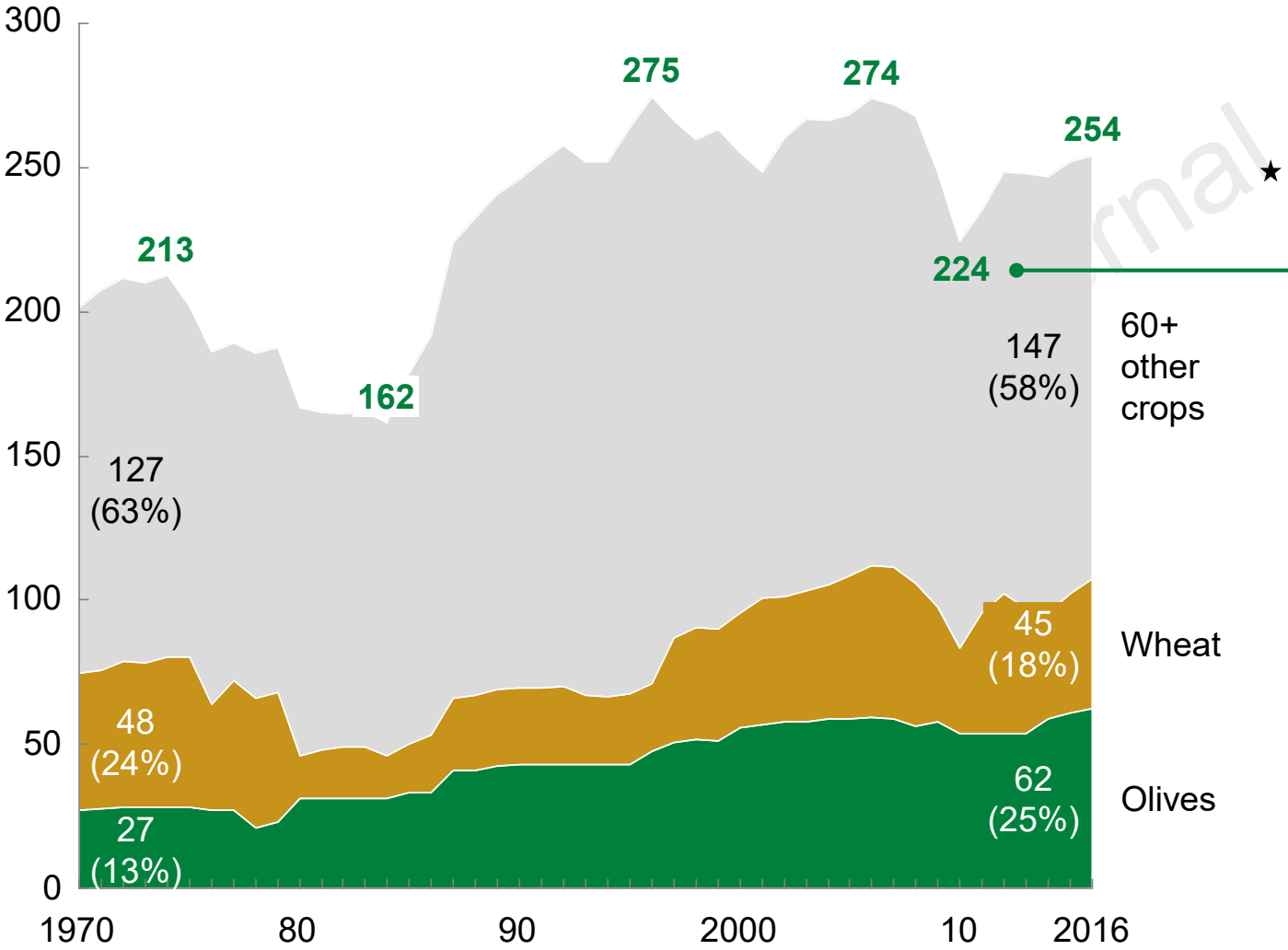


2018102 internal

Source: FAO

A4 Over the last 45 years, olives has replaced wheat as the top crop by harvest area, and has demonstrated relative resiliency

Breakdown of harvested areas Hectares '000



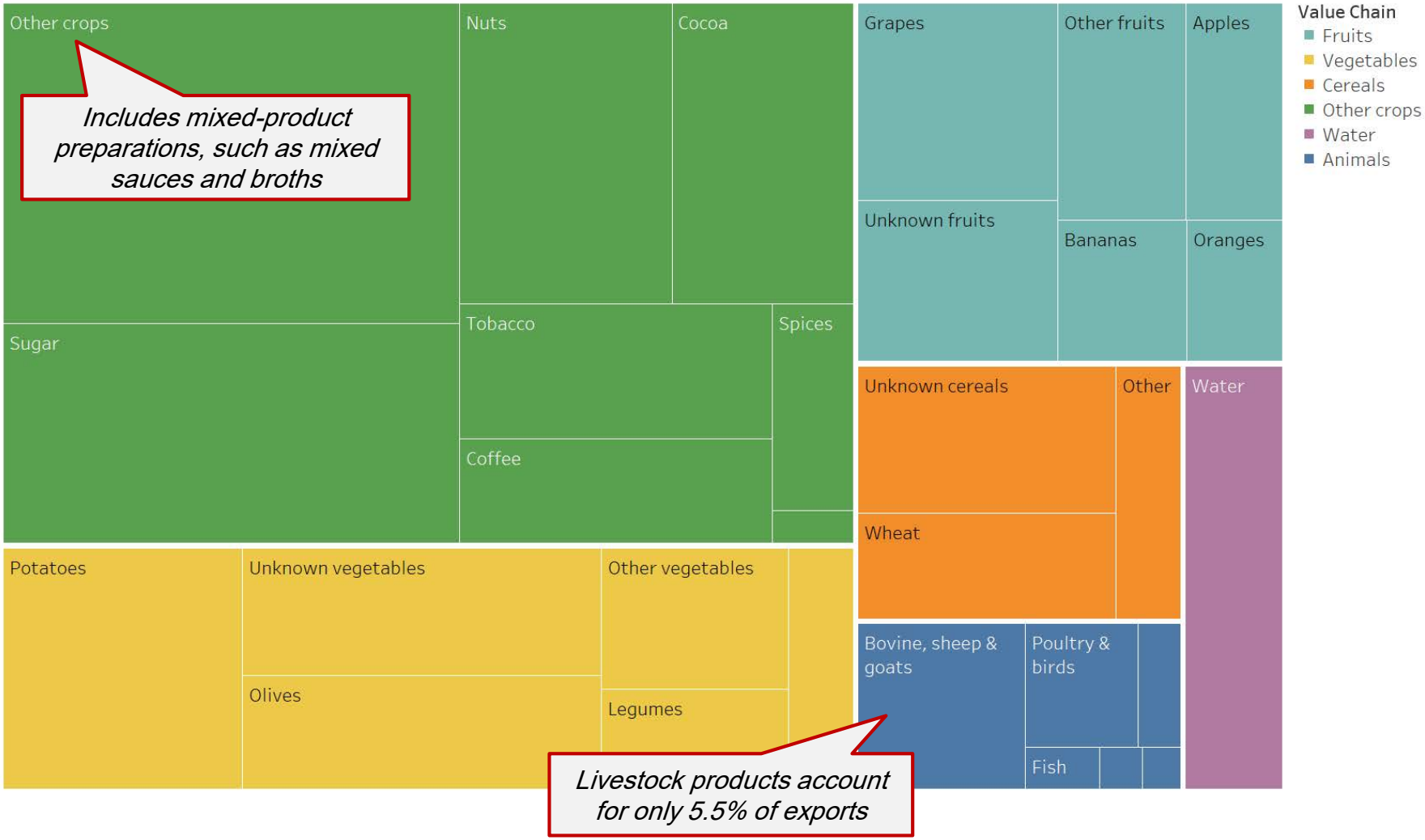
Key observations:

- **Between 2006 and 2010, harvest area plummeted** from 274,000 hectares *(near all-time high)* to 224,000 hectares *(lowest since 1987)*
- Nearly **half of loss was driven by wheat farms**, whereas olive harvests remained stable

Source: FAO

A4 Exports are dominated by fruits, vegetable and other crops, with livestock value chains accounting for only ~5% of exports

Breakdown of agricultural and agribusiness exports 2017 by value chain USD billion



Source: Lebanese Customs

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B3 Water usage in agriculture needs to be actively managed to ensure sustainability, as Lebanon's water stress levels are high and increasing

At a glance: Water in Lebanon

18th most water stressed country in the world

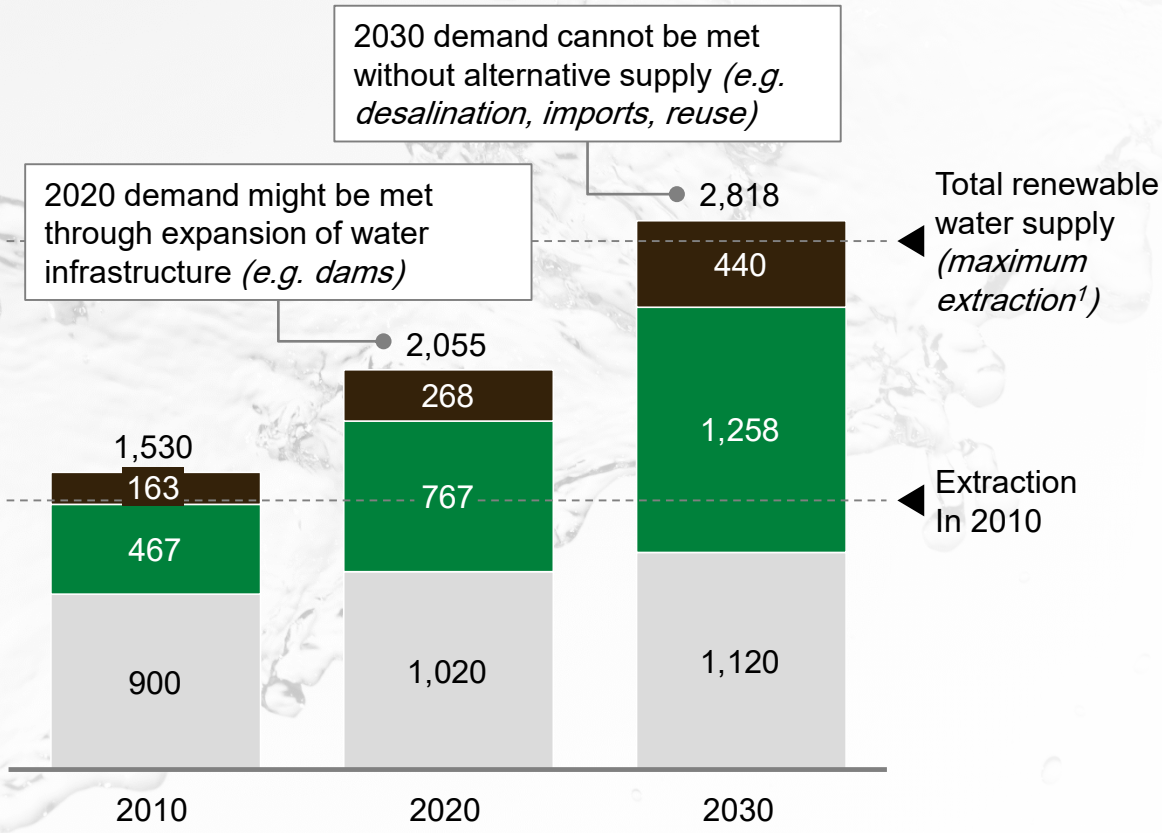
*Worsening water stress is expected to worsen Lebanon's ranking to **11th by 2040***

839m³ Renewable water supply per capita

Below scarcity threshold of 1000 m^3 per capita

2030 year when demand will surpass renewable water supply

Projected water demand[2] MCM



1 Assumes no change in flow of surface water to other countries, or flow of groundwater to sea / other countries
2 Based on World Bank estimates (2009). MOEW estimates (2010) are more conservative, with demand reaching only 1703 MCM by 2030

Source: UNDP, Ministry of Environment, World Bank, World Resources Institute

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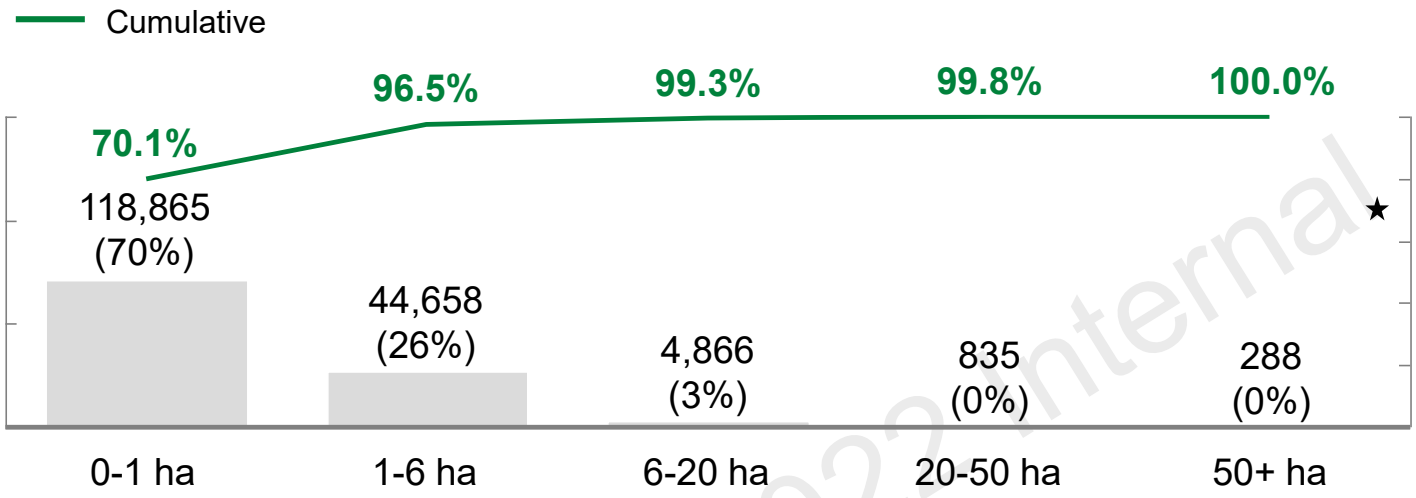
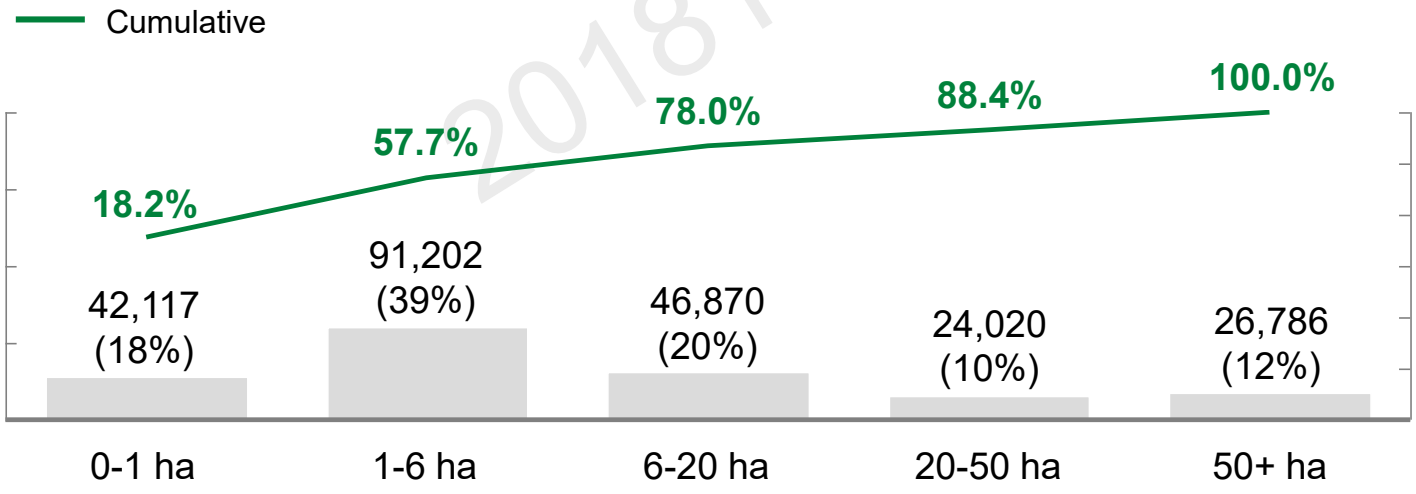
C1 Lebanon's agricultural holdings are highly fragmented…

Number of holdings (by holding size)



Utilized agricultural area (by holding size)



Key observations:

- **70%** of holdings are less than 1 hectare, but account for less than **20%** of agricultural area
- Less than **4%** of farms are more than 6 hectares, but they account for **42%** of agricultural area

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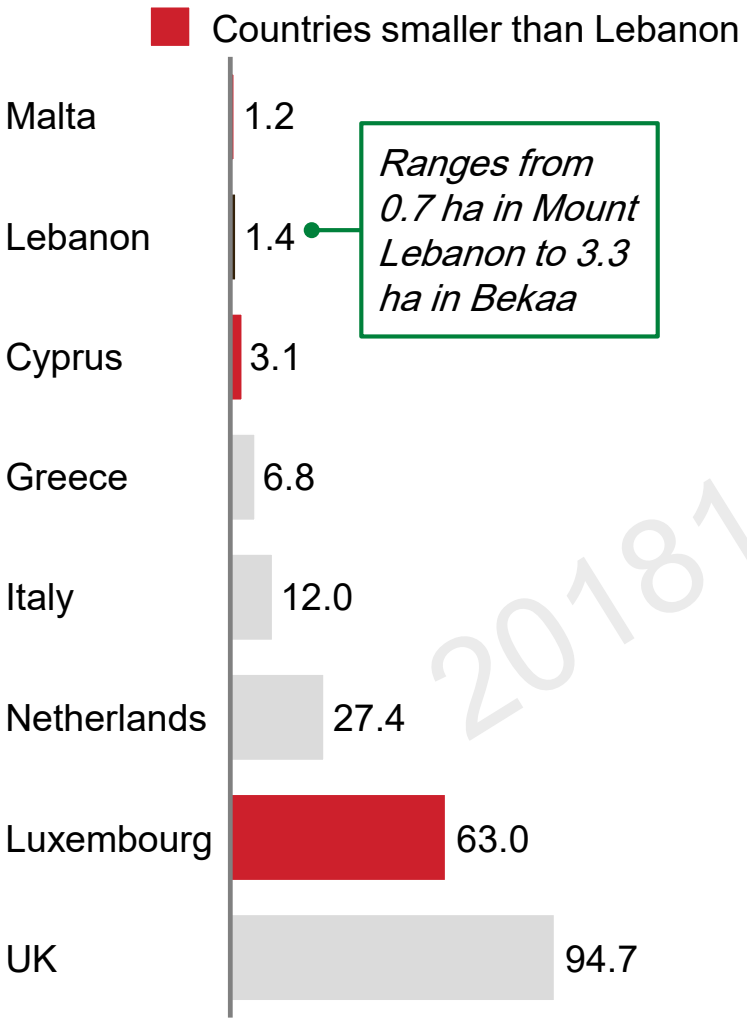
Source: Ministry of Agriculture

C1 …which is likely limiting productivity & export potential

Average holding size hectare / holding



Fragmentation of agricultural holdings can be an **impediment to growth** in several ways:

- **Reaching export markets** requires scale and uniformity of production
- **Achieving high productivity** is challenging for small holdings, due to the lack of economies of scale
- Similarly, **investment in technology** is challenging for small farms, as up-front capital requirements may prove to be too large

However, these constraints can be overcome by **successful cooperatives**, which can provide:

- **Produce aggregation** to reach export volumes
- **Shared equipment & systems** to unlock higher levels of productivity
- **Group financing** which enables investments

Alternative solutions include **contract farming** and **farmland consolidation** *(e.g. through rentals)*

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Source: Ministry of Agriculture; Eurostat

C3 Cooperatives can play an important role in enabling and expanding market access for small farmers, but do not do so in Lebanon

	Best-practice role
Supply of inputs	▪ **Negotiating** bulk purchase of all inputs with suppliers *(seeds, chemicals, equipment, etc.)* ▪ **Facilitating supply logistics** including delivery & distribution of inputs
Technical support	▪ Organizing **technical assistance programs** in partnership with extension providers ▪ Supporting **implementation of new technologies** *(e.g. through cooperative-owned equipment)*
Processing	▪ **Aggregating** produce and leading post-harvest operations, including **storage** and **processing** ▪ Performing **quality and safety checks**
Marketing	▪ **Promotion**, branding, and product sales ▪ **Distribution** to wholesalers and markets beyond immediate vicinity *(including exports, food processing industries, etc.)*
Financing	▪ Facilitating **credit & investments** from local & foreign sources, as well as from cooperative self-funds ▪ Facilitating enrollment in **group insurance schemes**

★

In Lebanon, cooperatives are largely used as **vehicles to access funding**, either from the Ministry of Agriculture or through international donors

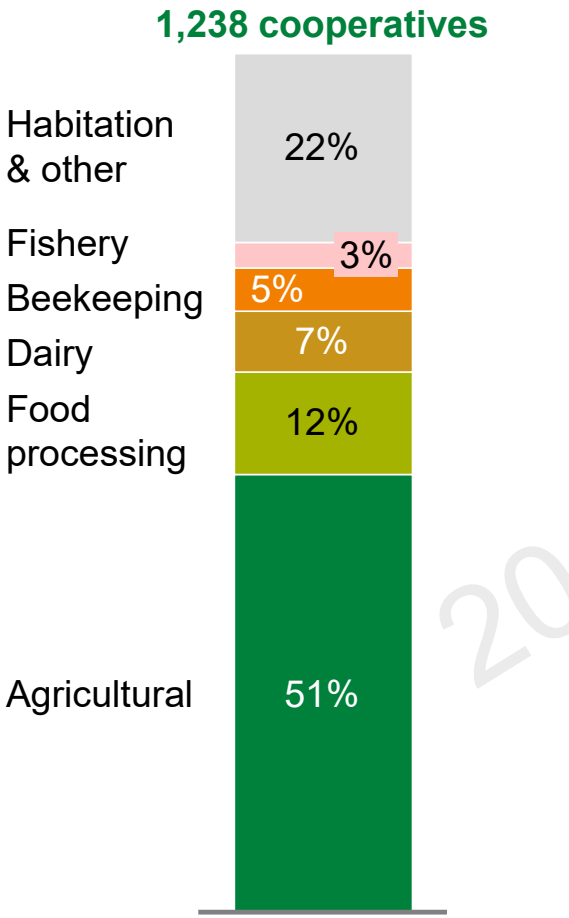
In part due to the limited offerings, only **5% of farmers** are members of cooperatives

Note: Cooperatives have been successful in several niche areas, including beekeeping

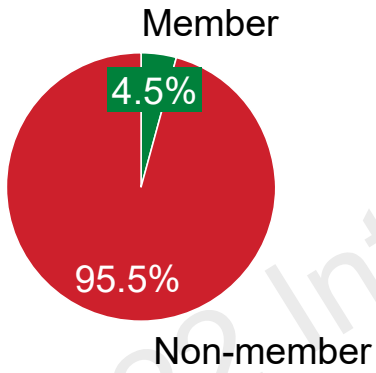
Source: USDA; expert interviews

C3 There is a large number of cooperatives in Lebanon, but many are inactive, and only 5% of farmers belong to one

Functional breakdown of cooperatives 2017

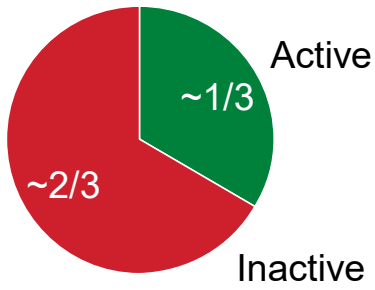


Farmer membership in cooperatives[1] 2010

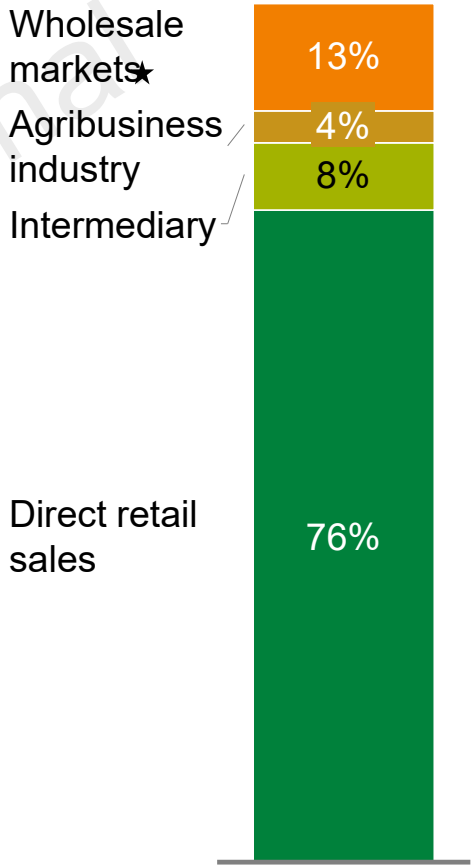


Cooperative status

Indicative estimate 2017



Sales channels 2017



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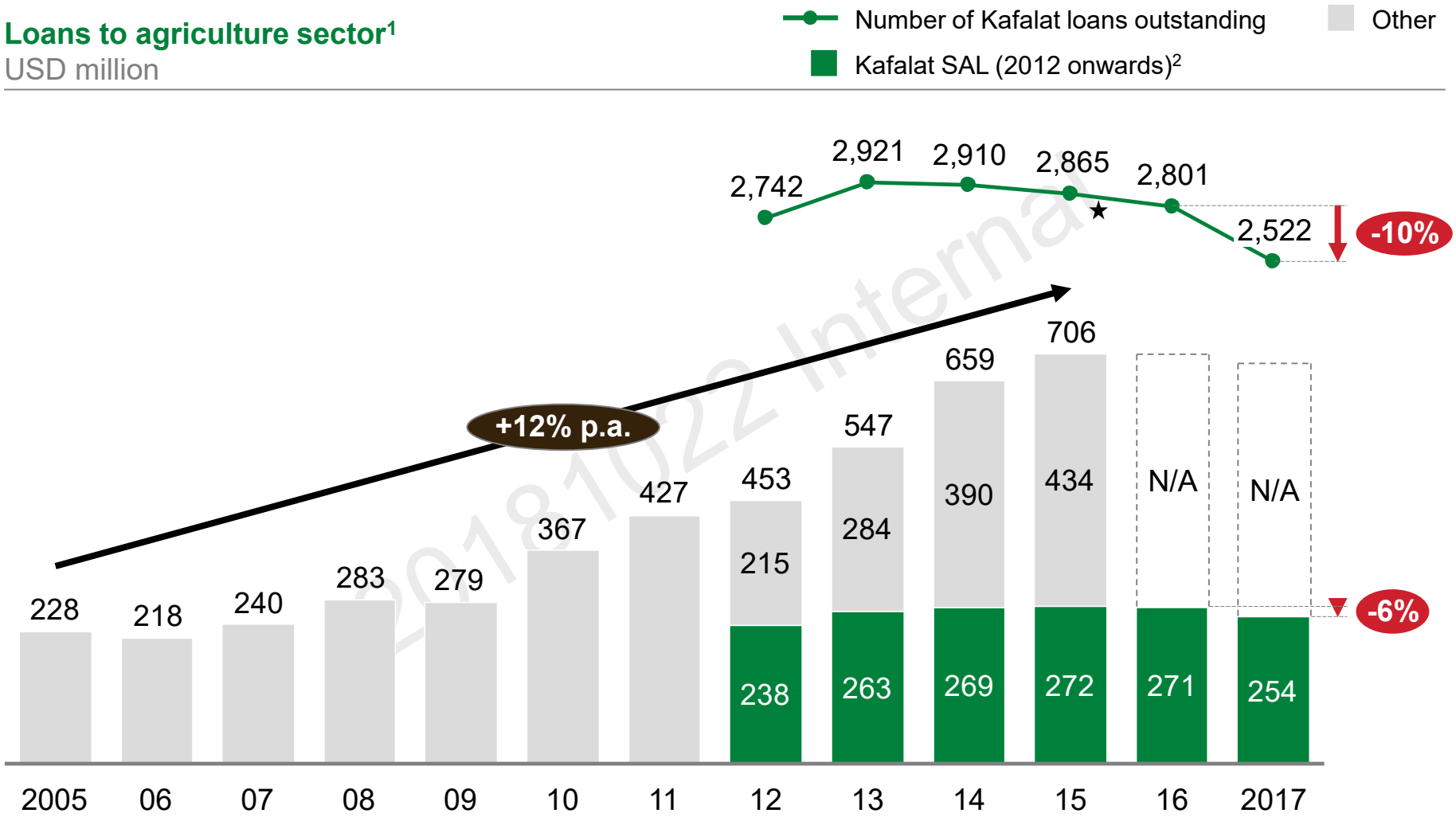
1 Among registered farmers - based on 2010 census

Source: ILO; FAO; Ministry of Agriculture

C11 Lending to the agriculture sector was consistently growing until 2015, but Kafalat's portfolio has been declining recently

Loans to agriculture sector[1]
USD million



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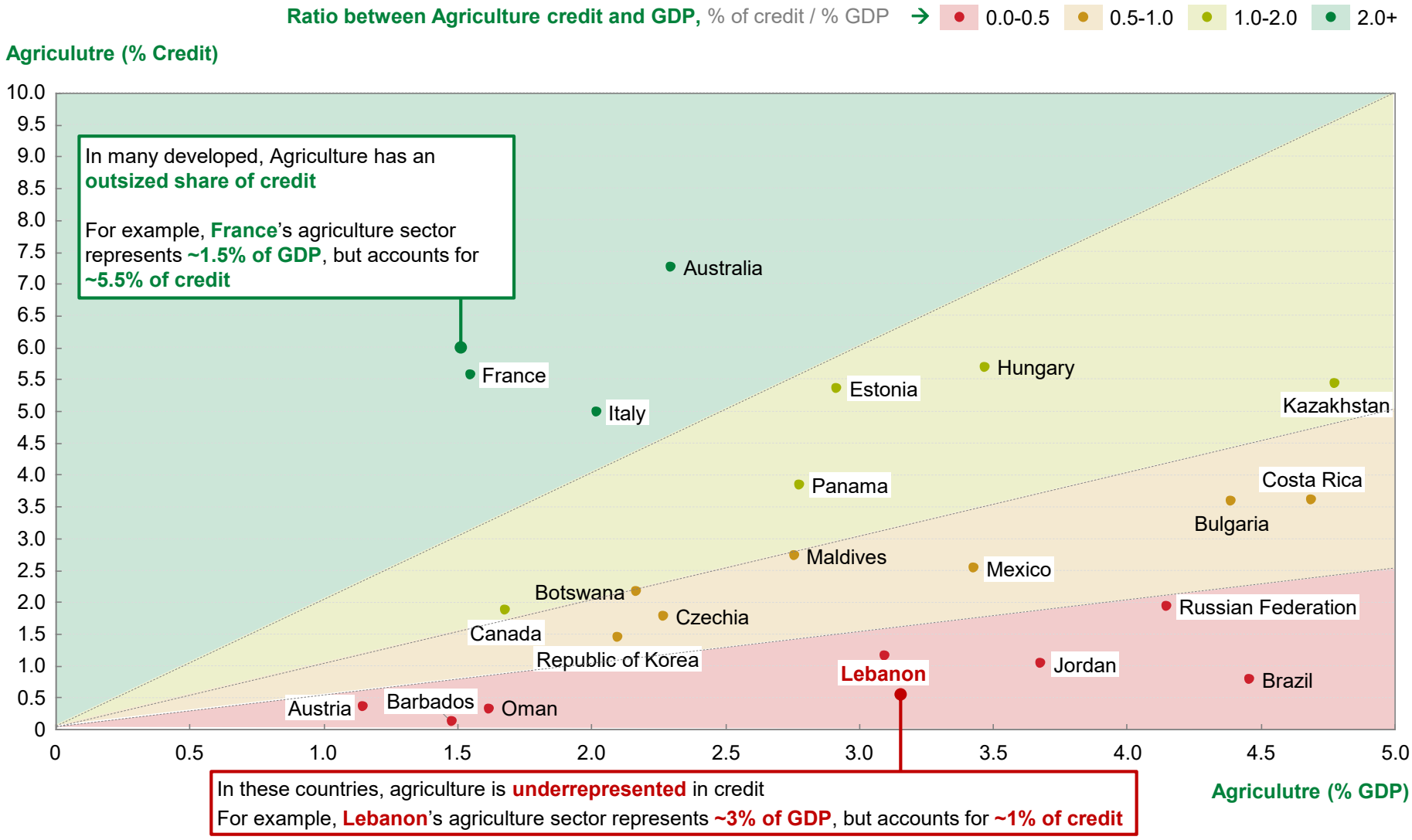
1 Figures exclude investments in food processing industries
2 Includes Kafalat S.A.L. loans to Agriculture sector only. Data available from 2012 onwards.

Source: BdL; Kafalat S.A.L.

C11 Overall, credit to Lebanon's agriculture sector is significantly lower than credit levels observed in more developed countries



Includes countries where agriculture represents 1-5% of GDP and has a contribution not less than 50 million USD

Source: FAO

Economic Vision Outline

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A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Data Disclaimer

All analysis related to international trade relies on data from Lebanese Customs and the World Bank's World Integrated Trade Solution (WITS), retrieved in May 2018. Data from WITS excludes uncategorized and unreported trade flows. Efforts to clean and process data were performed on a best-effort basis, including classification of agricultural / industrial / raw non-industrial tradeable goods, reconciliation of data discrepancies and inconsistent use of HS classification systems, and interpolation of results where necessary.

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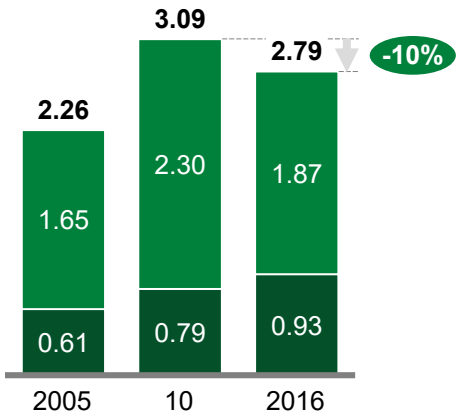
Industry – summary of diagnostic

Economic contribution

Real GDP value of industry
Bn USD in 2010 prices

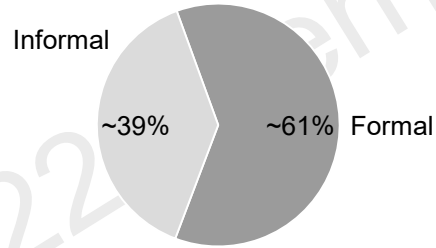


Growth rates
% Annual

	'05-'10	'10-'16
Food processing	6.9%	-3.4%
Non-food manufacturing	5.5%	2.6%

Employment 2016

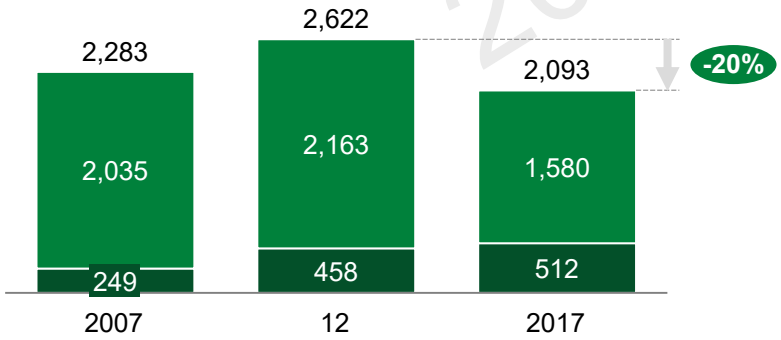
Total : ~194k



Trade

Industrial exports (excluding gold, diamonds, etc.)
Mn USD

Non-food exports Processed food exports



Top exports include:

- Processed food products
- Scrap & basic metals
- Machinery *(incl. household goods)*
- Perfumes and cosmetics
- Electric motors & generators
- Printed material *(e.g. books)*

Key challenges

- **Low competitiveness: High costs of factors of production…**
  - High cost of private electricity generation *(driven by poor/ unstable quality of power)*
  - Rising land and labor costs
  - Unfavorable business environment
  - Ineffective transportation network
- **… and low quality / standards…**
  - Shortage of skilled technical labor
  - Limited application of international standards
- **…aggravated by external market shocks**
  - Reduced regional demand for key products *(e.g. generators)*
  - Constraints on land transportation due to Syrian conflict

Source: CAS, Lebanese Customs, ILO, expert interviews

Industry diagnostic – key performance measures

A. Performance measures

Macro-economic & sector performance

A1 Industry is an **important economic sector** and currently accounts for ~10% of GDP (4.6 Bn USD) while employing an estimated 194,000 people

- There are ~4,700 registered industrial factories in Lebanon (excluding an estimated ~2,000 informal factories), with over 50% involved in food processing, manufacturing of metal & electric products, and construction material

A2 However, in recent year the **sector has been shrinking** ★

- Between 2010 and 2016, industry's real contribution to GDP declined by ~2% annually
- Loss was witnessed most industrial subsectors, with the notable exception of food processing, which grew by 2.6% per year in the same period

A3 This has been accompanied with a **27% decline in non-food industrial exports** between 2012 and 2017

- In line with GDP, decline in exports affected all non-food sub-sectors
- However, some sectors were affected much more strongly: chemical exports only declined by 3%, whereas non-metallic manufacturing exports declined by 70%
- Meanwhile, food processing exports grew by 12% over the 5-year period

20181022 Internal

Source: CAS; ILO; Ministry of Health; Lebanese Customs; Ministry of Industry

Industry diagnostic – key performance drivers

B. Key performance drivers & enablers

Exogenous factors

B1 **The decline in Lebanon's industry sector can only be partially attributed to exogenous factors**

- The Syrian conflict had a negative effect on exports to neighboring countries, but was not the primary driver of the decline in exports
  - Decline in Saudi Arabia and UAE exceeded that in Syria, Iraq and Jordan (in both absolute and relative terms)
  - Furthermore, trade routes to the most-impacted countries (Japan, Angola, Libya) were not impacted by the Syrian conflict
- Import substitution is also unlikely to be a driver of the decline in exports, as net imports have been increasing
- However, in many countries, including Saudi Arabia and UAE, decline in Lebanese exports was associated with a decline in aggregate demand (general import demand as well as demand for specific goods exported by Lebanon)

Competitiveness

B2 **The primary driver of industry's decline is the fact that Lebanon is lagging on several competitiveness factors necessary to excel in industry, with few strengths (labor, capital) overshadowed by numerous weaknesses (infrastructure, regulatory environment, etc.)**

- Key advantages include availability of capital and medium/high-skilled labor at a relatively low price
  - Overall, financing to the industrial sector has been increasing, and is not a driver of the sector's decline, but may present an obstacle to specific industrial subgroups and SMEs
- Key disadvantage include power and logistics sectors, business environment, and macroeconomic conditions
  - The top issue identified by a survey of industrial players is intermittent supply of energy (37%) followed by the cost of electricity (11%)

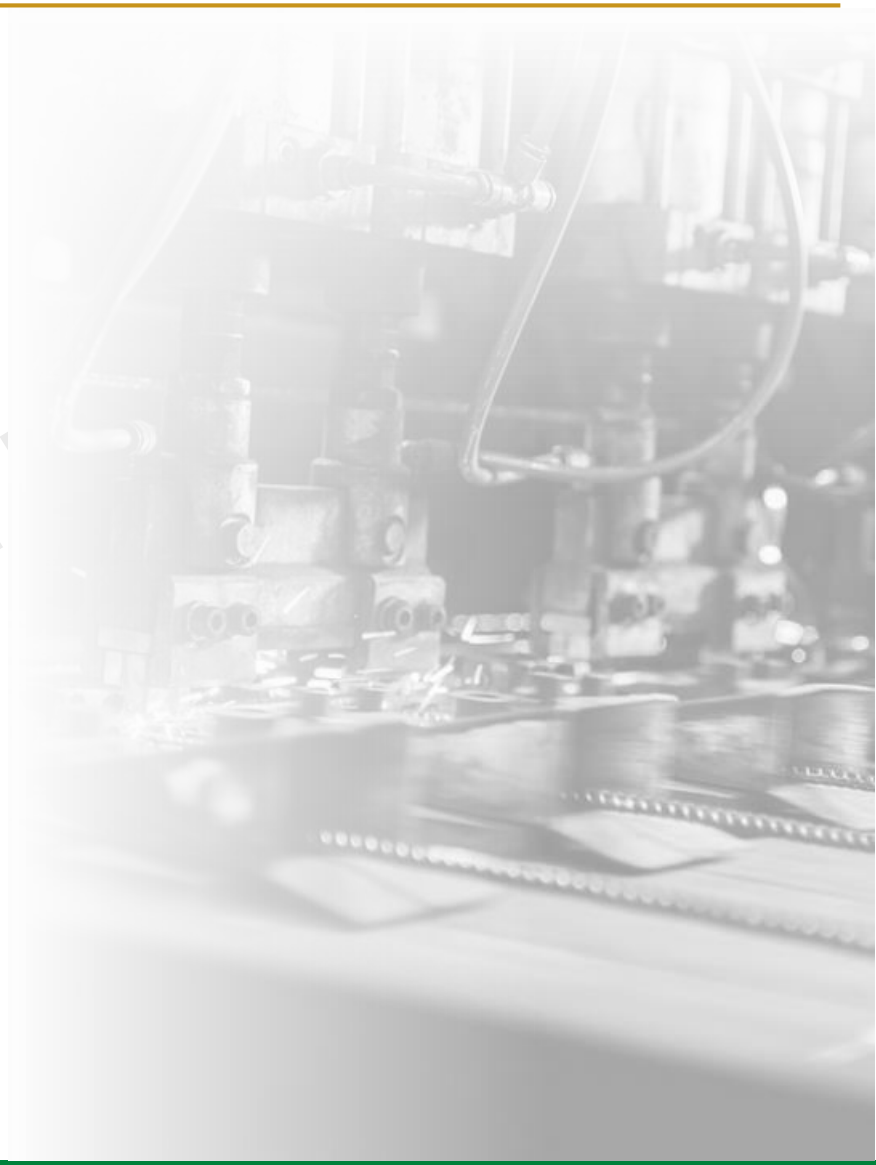
2015 ©BLOM Internal

Source: Lebanese Customs; Ministry of Industry; WITS; BdL

Contents – Industry

A **Key performance measures**

B Key performance drivers



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A1 The manufacturing sector represents ~10% of GDP but has been recently been declining

Relevant Sectors

Sectors	GDP contribution, USD Bn (2016), % shown as total of GDP excluding taxes & subsidies	2005-2010 CAGR[2], %	2010-2016 CAGR[2], %
Real Estate & Construction	21%	5%	2%
Retail & Commerce	14%	8%	0%
Manufacturing	10%	7%	-2%
Public Administration	10%	6%	3%
Finance, Insurance	9%	10%	6%
Education	8%	1%	3%
Business Services	7%	9%	-1%
Health	4%	8%	4%
Transport	4%	8%	5%
Hotels & Restaurants	3%	8%	-3%
Agriculture	3%	1%	1%
Personal Services	3%	13%	-2%
ICT	3%	12%	3%
Utilities: Power & Water	2%	4%	4%
Total Nominal GVA[1]	47		
Total taxes & subsidies	4		
Total Nominal GDP	51	8%	2%

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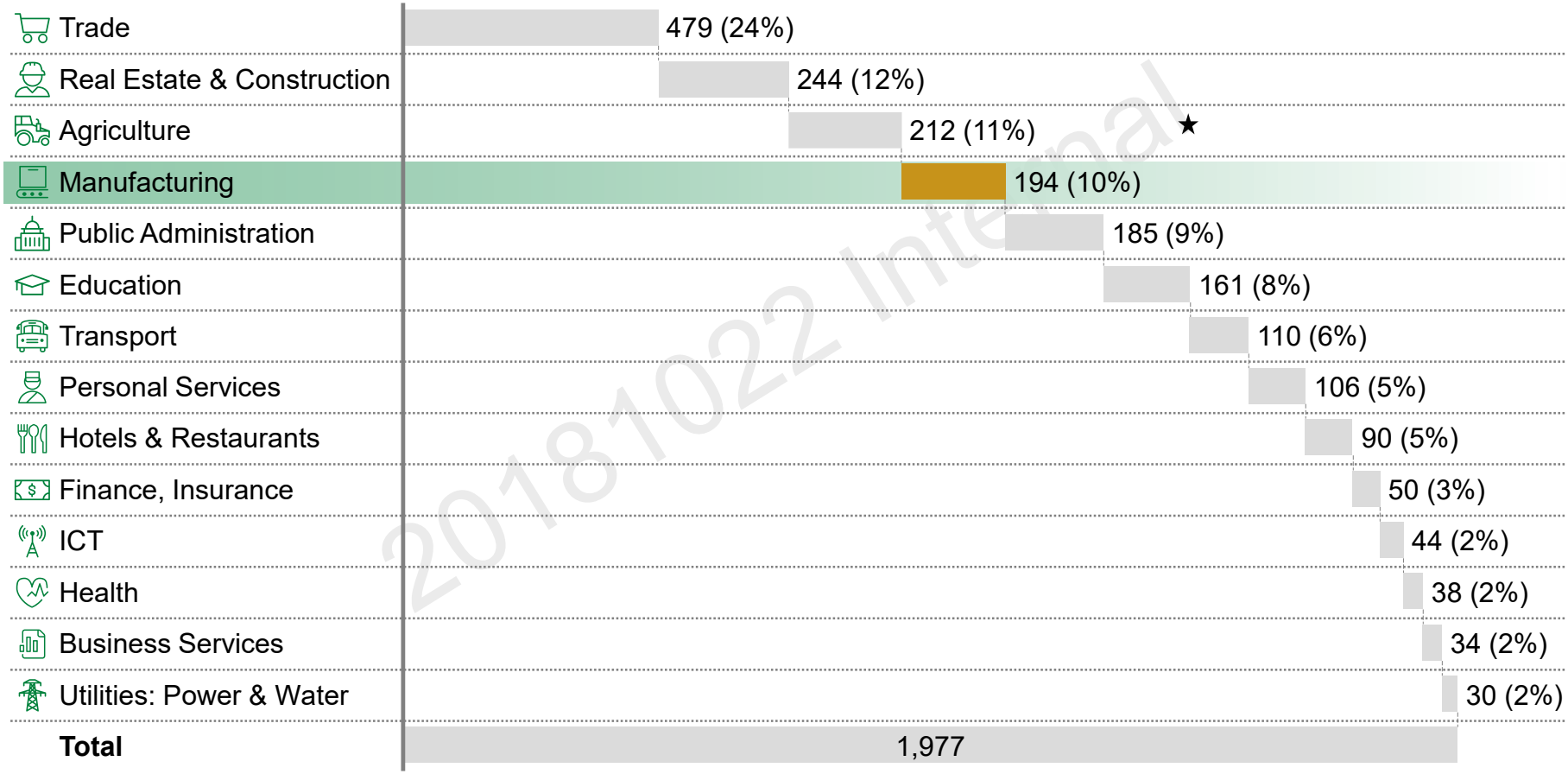
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A1 The industrial sector employees ~10% of Lebanon's workers

HIGH-LEVEL ESTIMATES

Relevant Sectors



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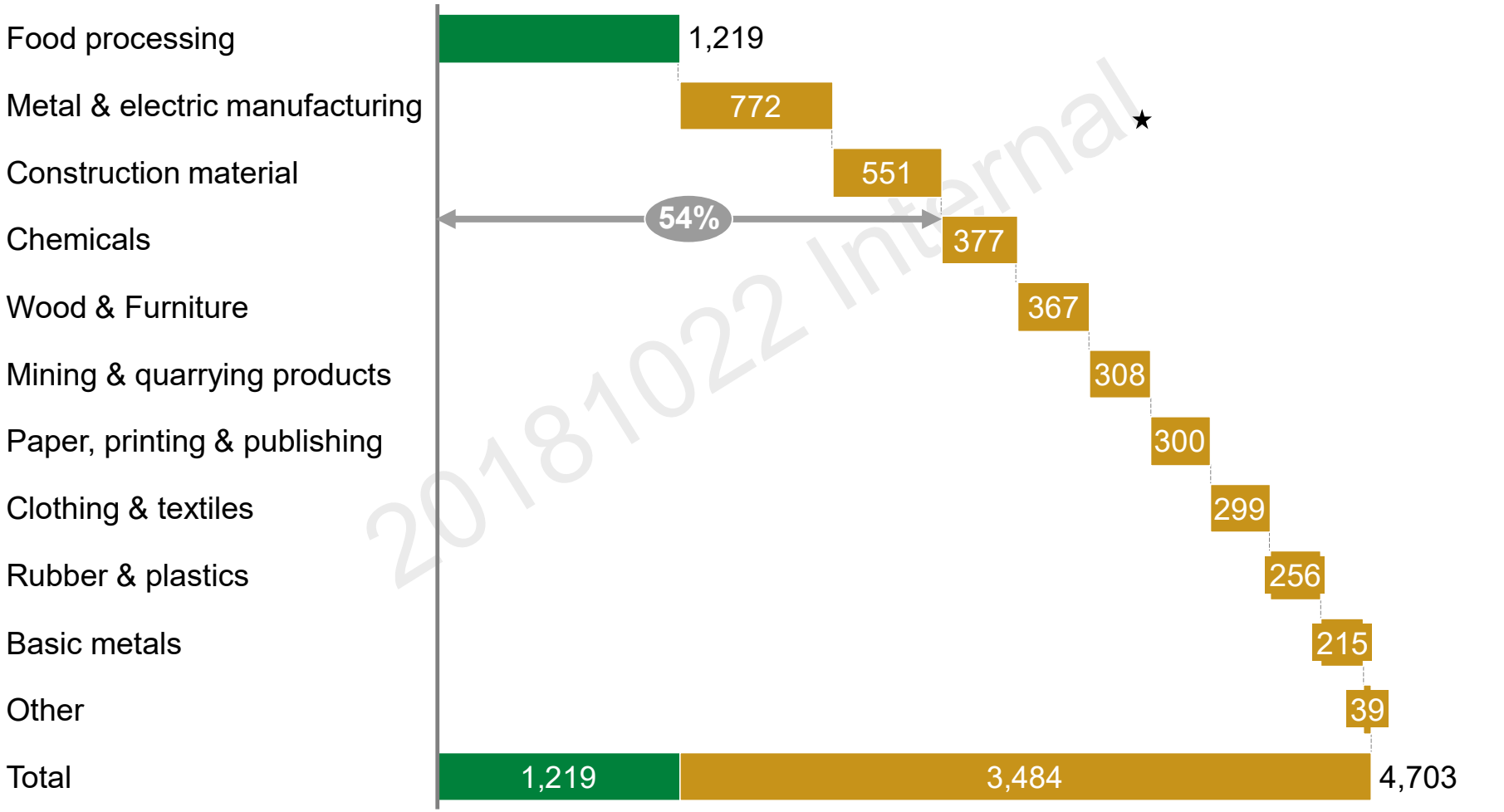
Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

A1 From Lebanon's ~4,700 factories, ~50% are focused on food processing, metal & electric manufacturing, and construction material

Breakdown of factories in Lebanon by sector

Number of factories (2017)



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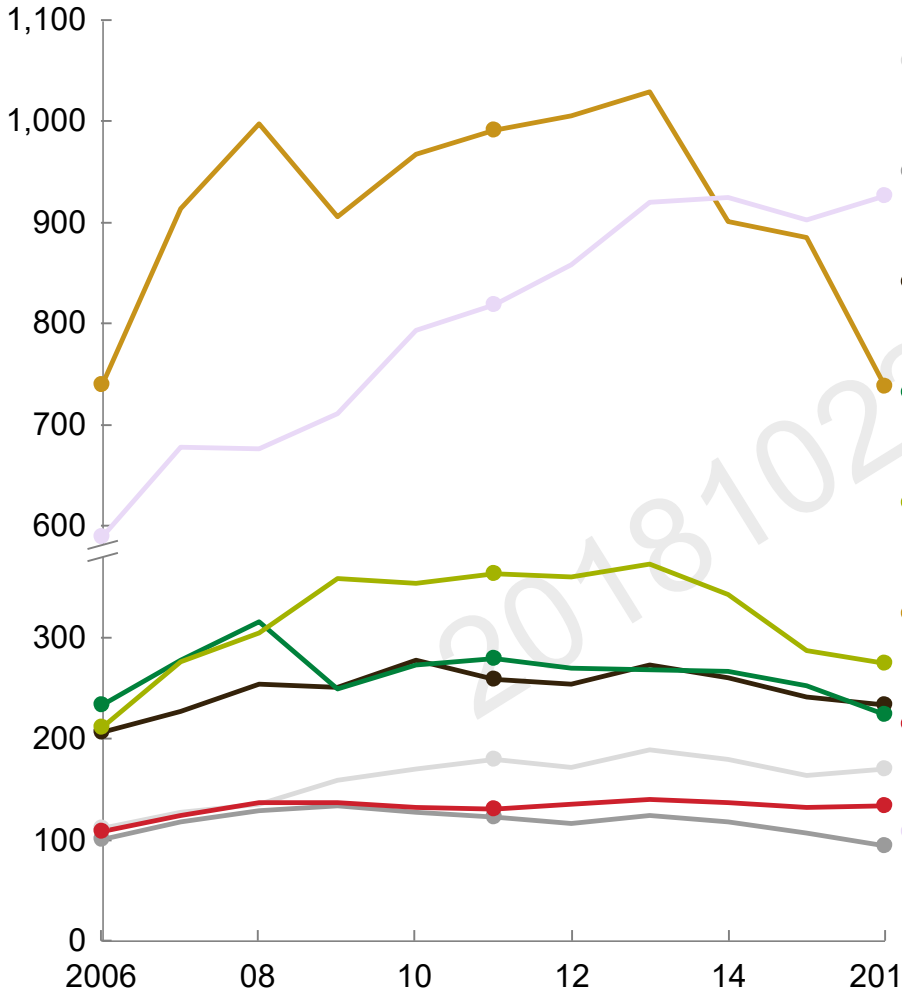
Source: Ministry of Industry

A2 The decline in GDP has affected all industrial sectors, except for food-related industries



Sector GDP Million USD (2010 prices)	Real CAGR 2005-2010	Real CAGR 2010-2016
Mining & quarrying	11.5%	0.1%
Textile & leather manufacturing ★	4.9%	-4.8%
Wood & paper manufacturing; printing	6.0%	-2.9%
Chemicals, rubber & plastics manufacturing	4.7%	-3.3%
Non-metallic mineral manufacturing	4.2%	-4.1%
Metal products, machinery & equipment	9.4%	-4.4%
Other manufacturing	1.9%	0.2%
Food processing	5.5%	2.6%
Total	6.5%	-1.7%

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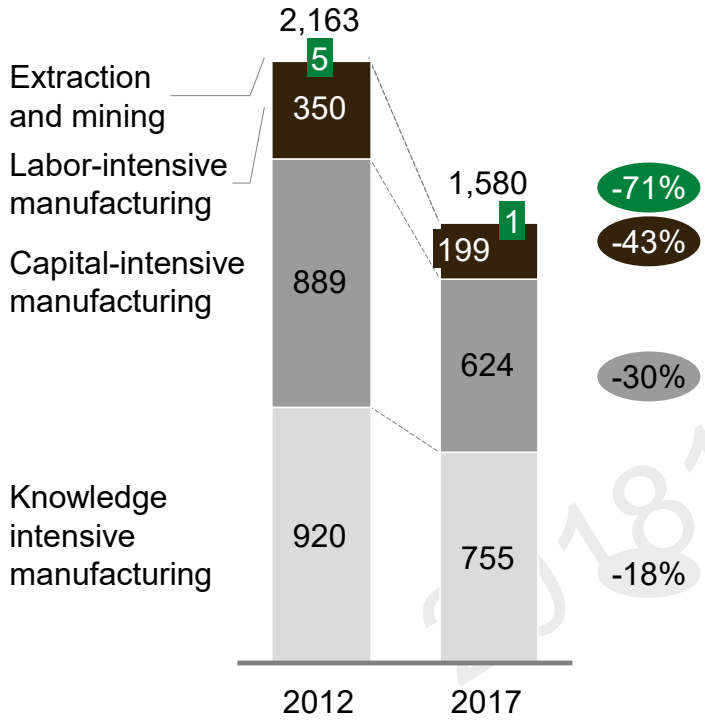
Source: CAS

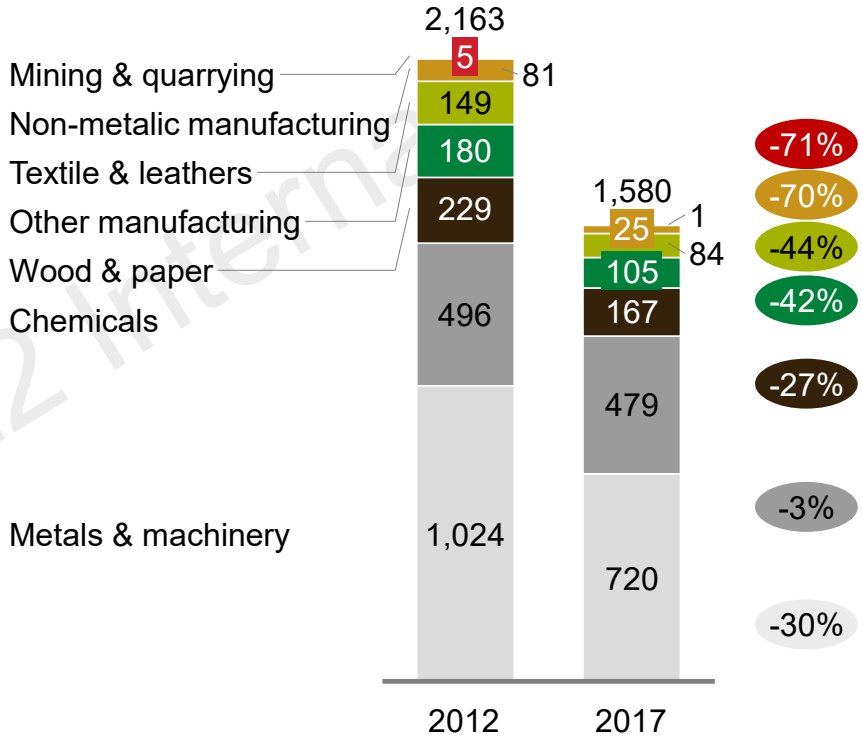
A3 Non-food industrial exports have also been declining across all sectors, albeit at a sharper rate than real GDP

Industrial export breakdown by archetype[1]
USD million



Industrial export breakdown by group[1]
USD million

X% Net growth '12-'17



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Key drivers of reduction in exports

1. Low / declining level of **competitiveness**
2. Declining **demand** for the types of goods produce them here
3. Disruptions to land trade routes due to **Syrian conflict**

1 Excludes agricultural & food processing exports and non-industrial tradeable exports (gold, diamonds, petroleum, etc.)

Source: Lebanese Customs

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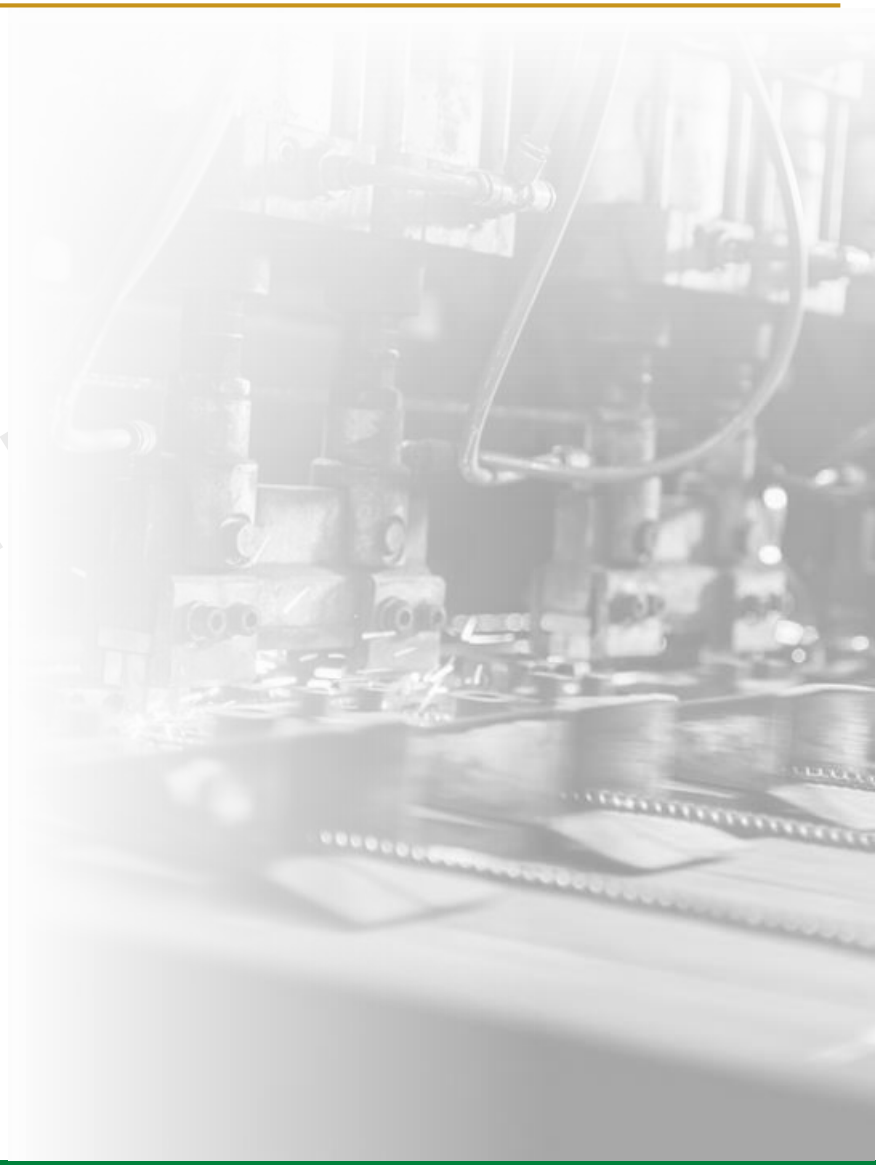
A Key performance measures

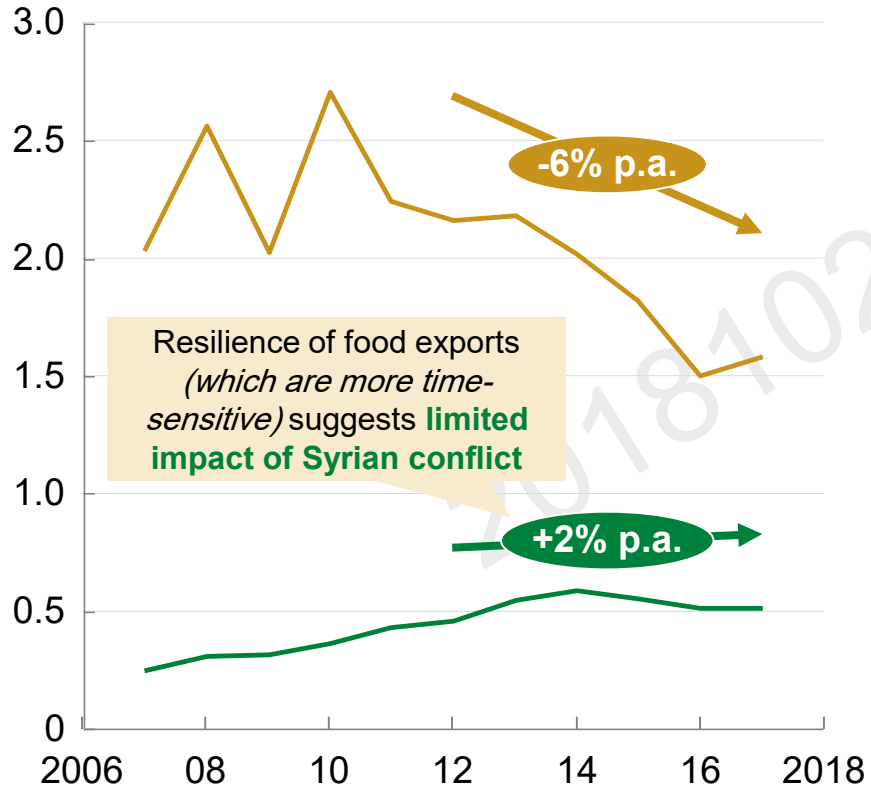
B Key performance drivers



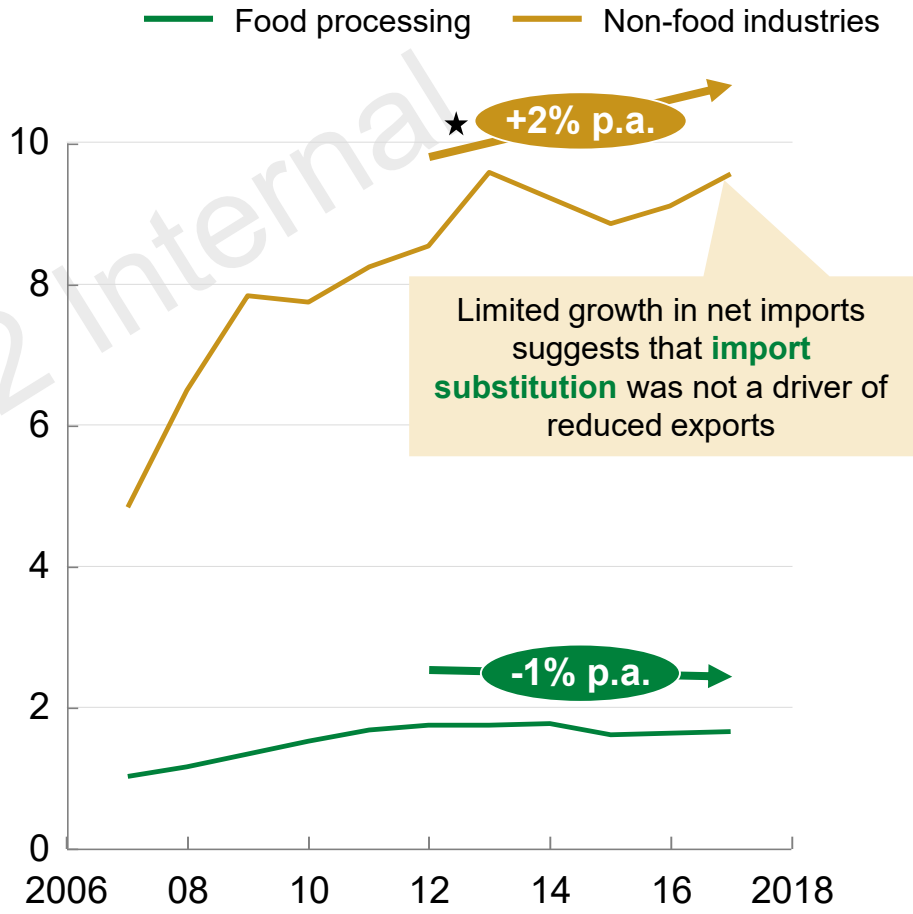
20181022

B1 Aggregate analysis suggests that decline in non-food industrial exports was not driven by border disruptions or import substitution

Breakdown of exports[1]
USD billion



Breakdown of net imports[1]
USD billion



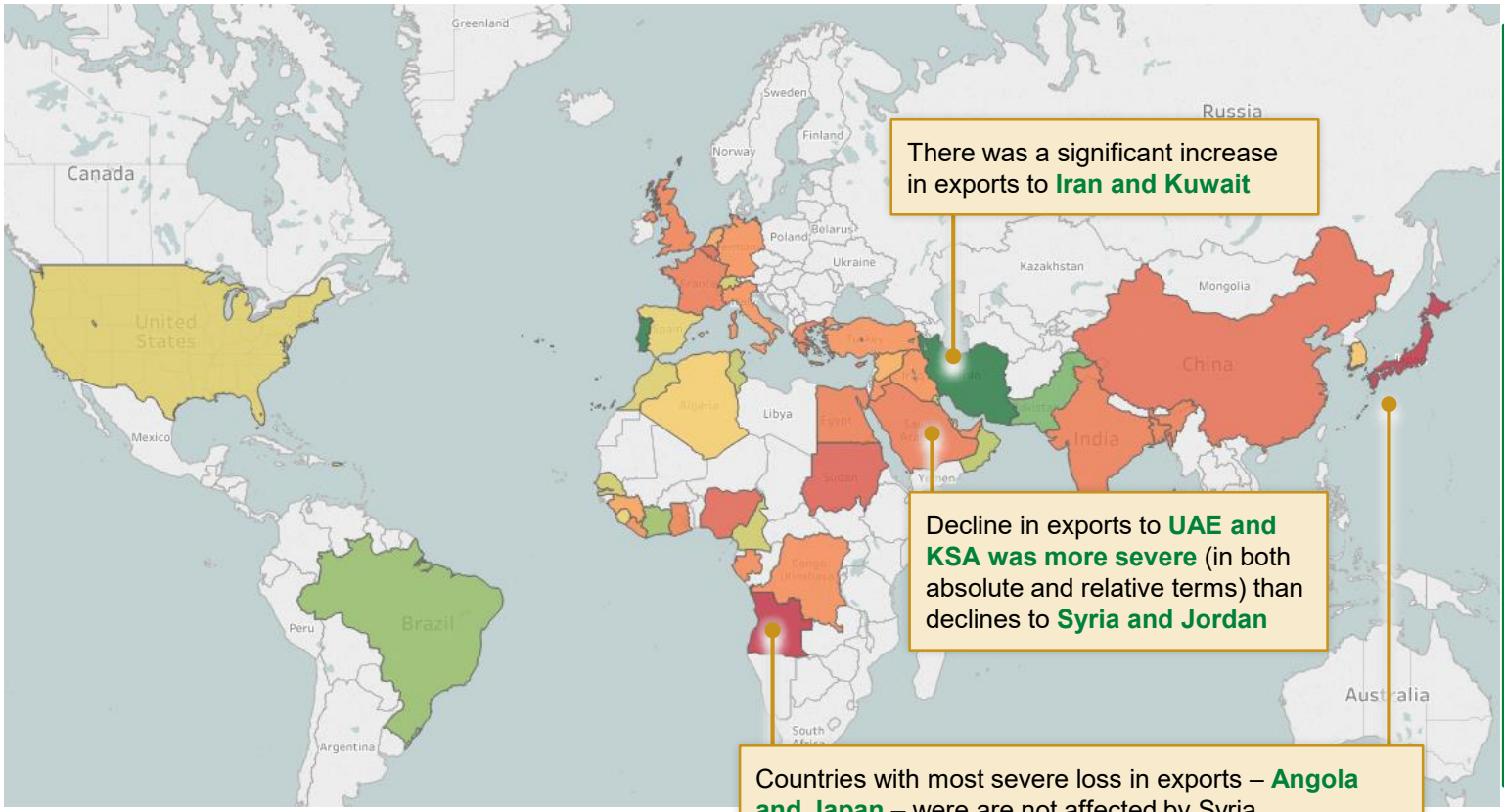
20181022 Internal

1 Excludes live/raw agricultural exports as well as non-industrial tradeable goods (gold, diamonds, petroleum, etc.)

Source: Lebanese Customs

B1 Country-level analysis of exports confirms that drop in exports is global, not solely linked to disruptions in Syrian land routes (1/2)

Change in non-food industrial exports[1], 2012-2017 %



Key takeaways

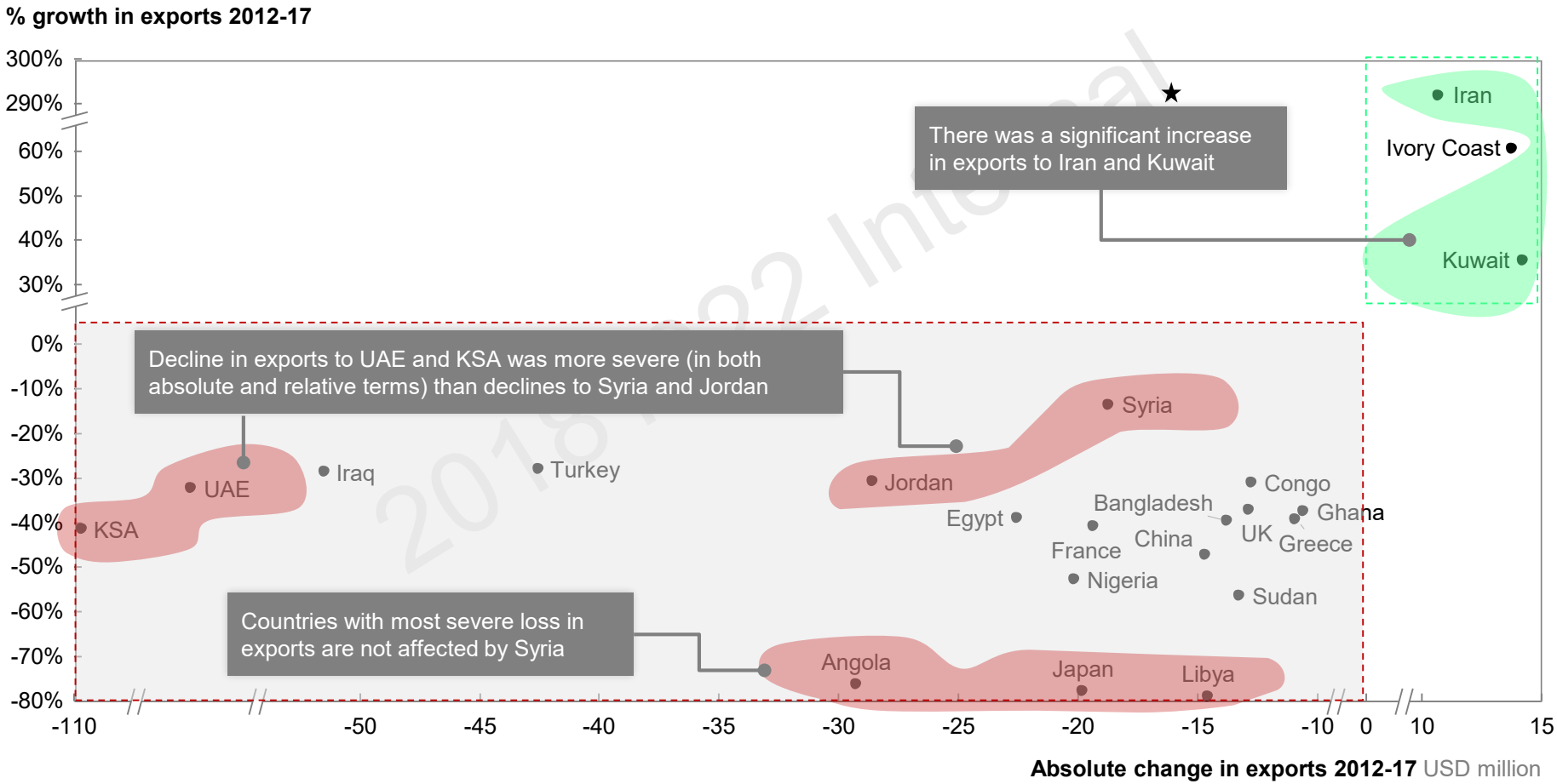
- The decline in exports was **global**, and not focused on the region
- **Exports grew** significantly for **several regional players**, including Iran, Kuwait, and Oman
- Exports to **Syria** itself **declined modestly** relative to other markets in Africa, Europe, and East Asia

1 Excludes minor markets where 2017 exports did no exceed 5 million USD

Source: Lebanese Customs

B1 Country-level analysis of exports confirms that drop in exports is global, not solely linked to disruptions in Syrian land routes (2/2)

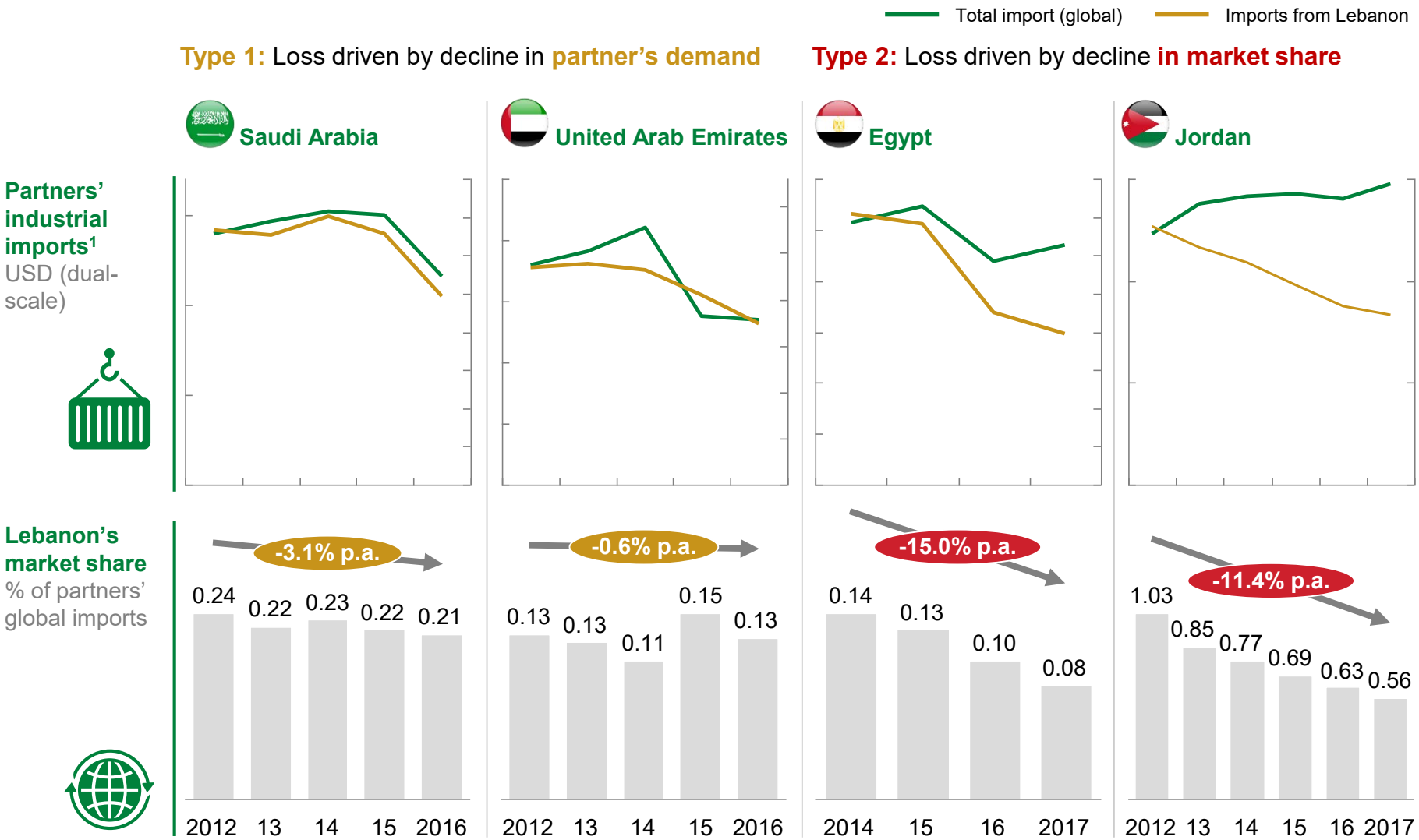
Country-level breakdown of change in non-food industrial exports[1] from 2012 to 2017



1 Excludes raw agricultural products and non-industrial tradeables (e.g., gold, diamonds, petroleum)

Source: Lebanese Customs

B1 Drivers of decline in exports include declining demand (KSA, UAE) and declining market share of Lebanese goods (Egypt, Jordan)



1 Excludes raw agricultural products and non-industrial tradeables (e.g., gold, diamonds, petroleum)

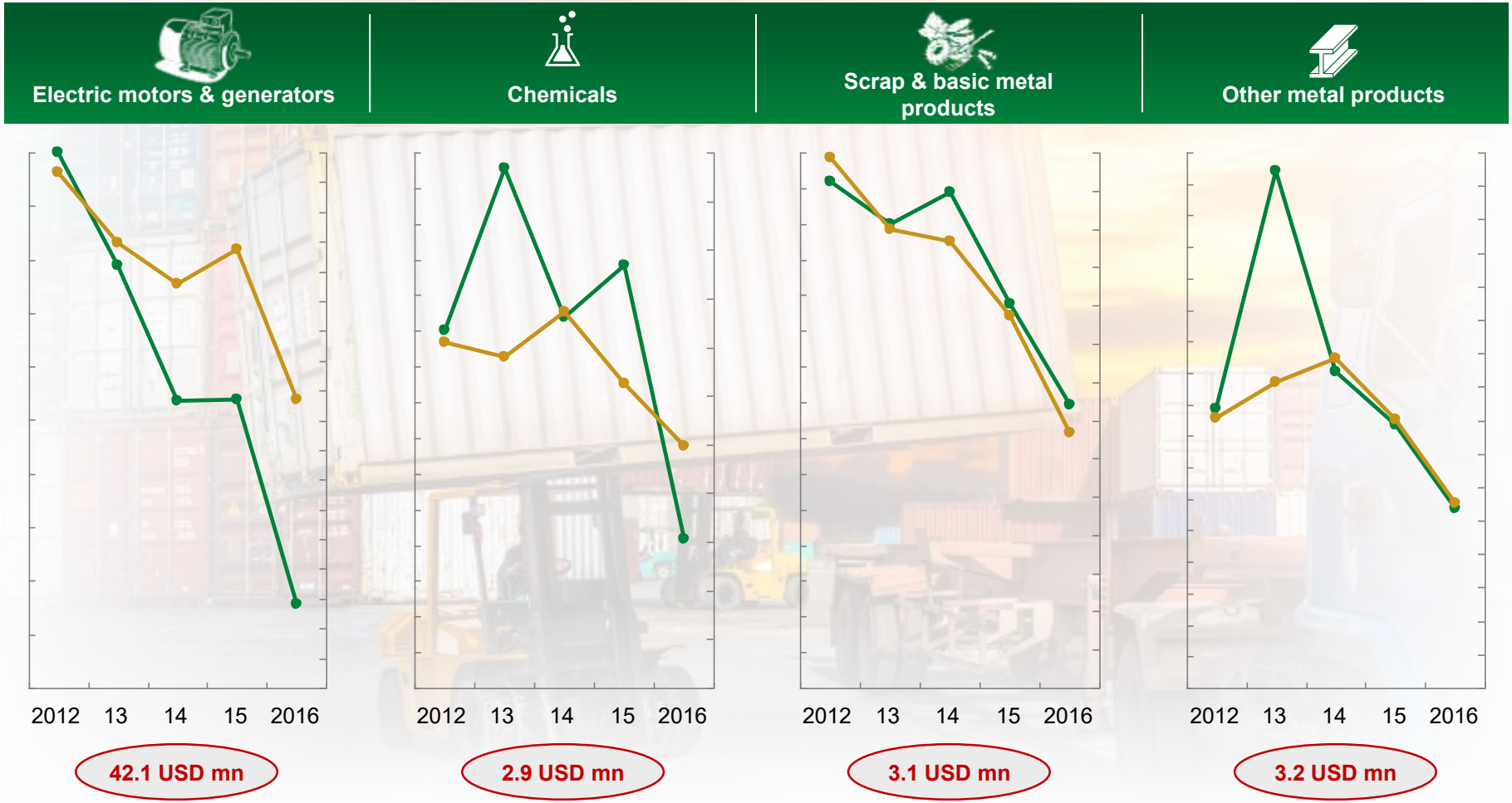
Source: Lebanese Customs, WITS

B1 Decline in exports for specific products was particularly impacted by a decline in trade partners' demand (1/3)

Industrial exports 2017:
USD 155 million

Trend analysis of Saudi Arabia's imports from Lebanon and the world

Total global imports — Imports from Lebanon (= Lebanese exports) — X Net loss in Lebanese exports



42.1 USD mn | 2.9 USD mn | 3.1 USD mn | 3.2 USD mn

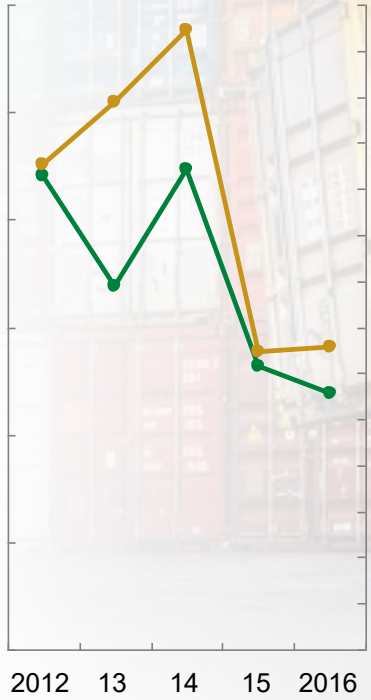
Source: Lebanese Customs, WITS

B1 Decline in exports for specific products was particularly impacted by a decline in trade partners' demand (2/3)

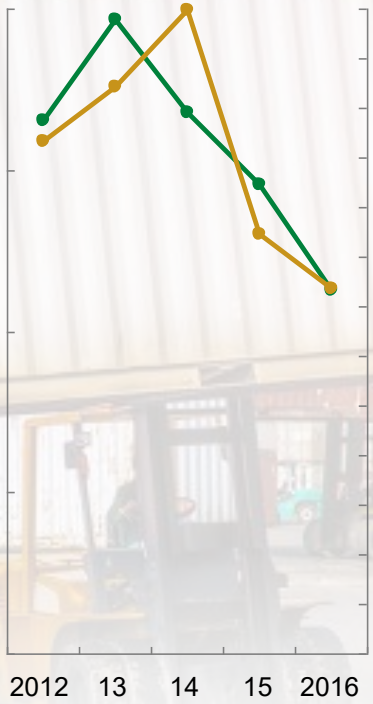
Industrial exports 2017:
USD 143 million

Trend analysis of UAE's imports from Lebanon and the world

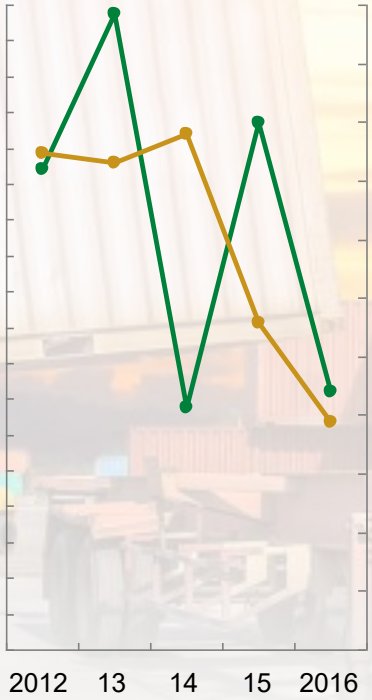
Total global imports | Imports from Lebanon (= Lebanese exports) | X Net loss in Lebanese exports



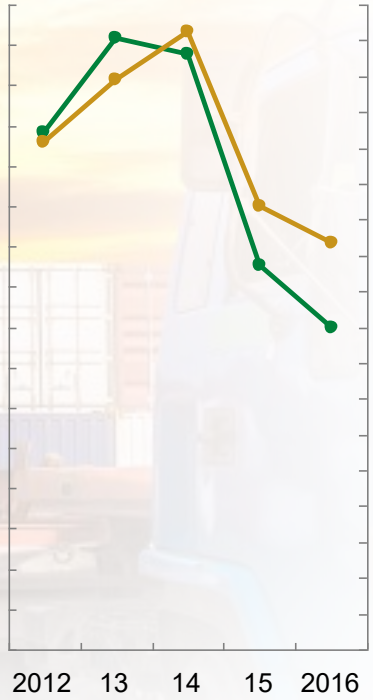
10.1 USD mn



5.3 USD mn



3.1 USD mn



2.4 USD mn

Source: Lebanese Customs, WITS

B1 Decline in exports for specific products was particularly impacted by a decline in trade partners' demand (3/3)

Industrial exports 2017:
USD 35 million

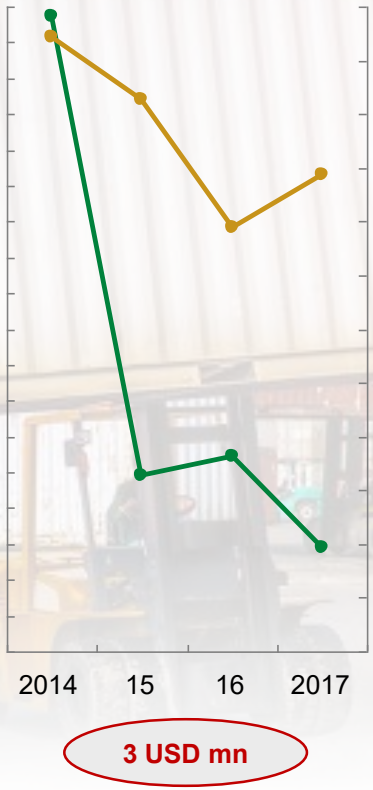
Trend analysis of Egypt's imports from Lebanon and the world

Total global imports | Imports from Lebanon (= Lebanese exports) | X Net loss in Lebanese exports

Stone & cement material

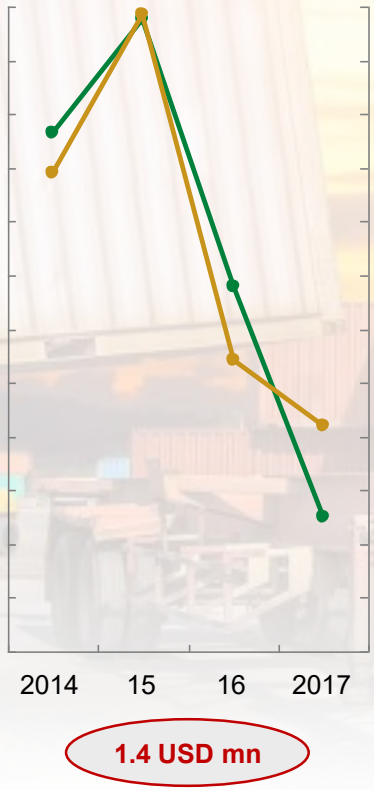
5.4 USD mn

Scrap & basic products



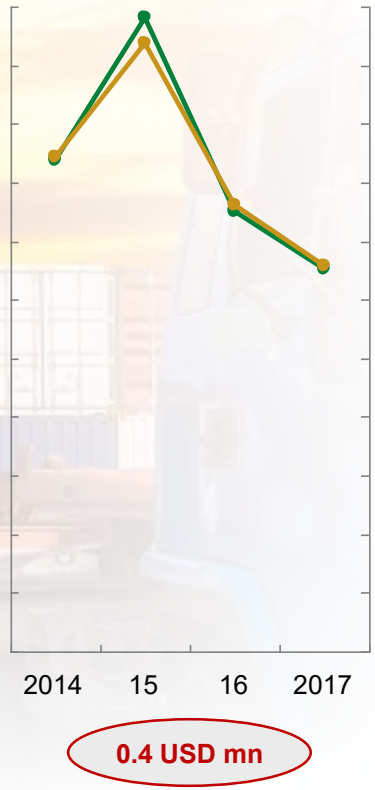
3 USD mn

Apparel



1.4 USD mn

Printed material

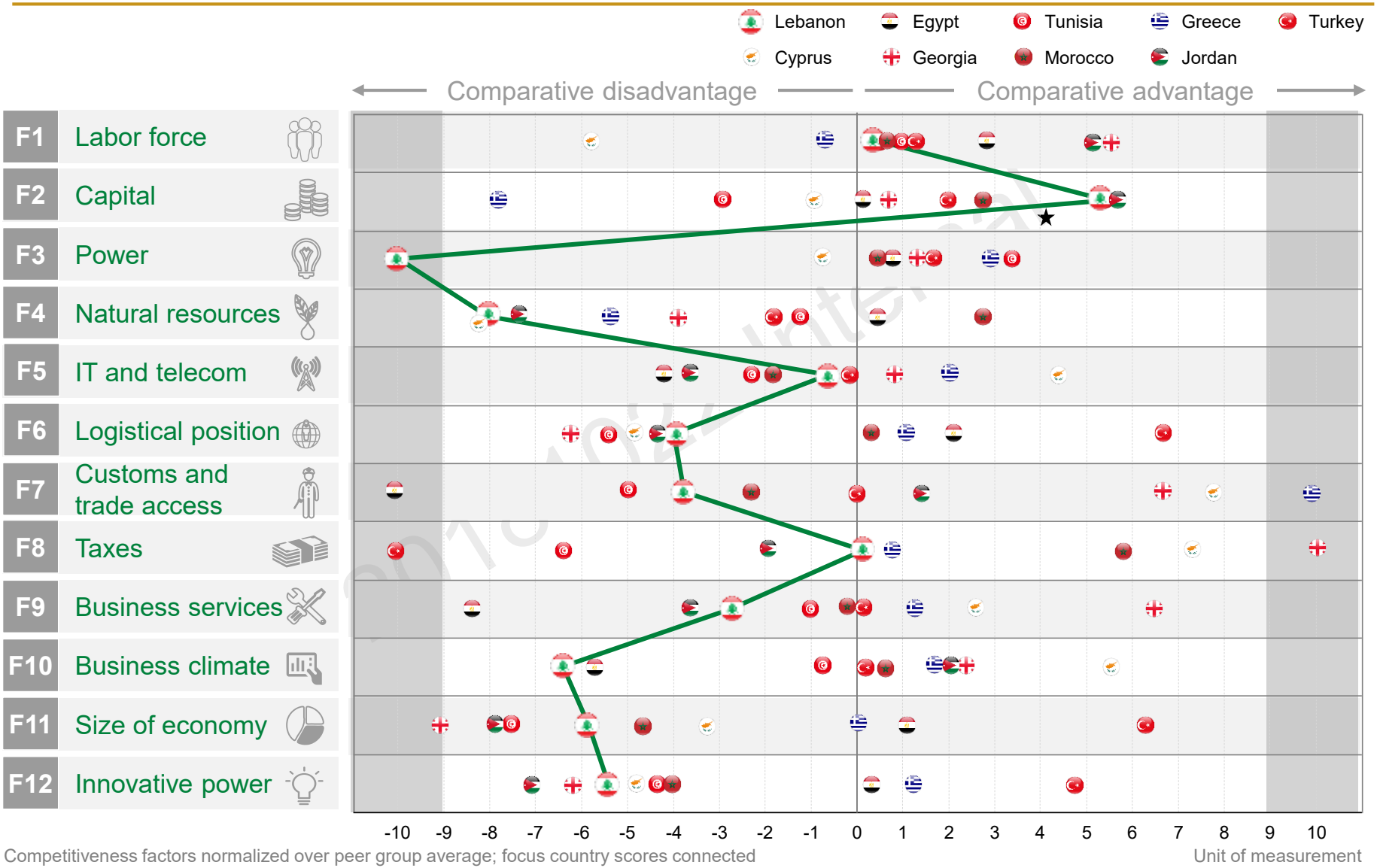


0.4 USD mn

Source: Lebanese Customs, WITS

B2 Lebanon's industrial sector suffers from comparative disadvantages due to lack of competitiveness on key factors

PRELIMINARY



Competitiveness factors normalized over peer group average; focus country scores connected

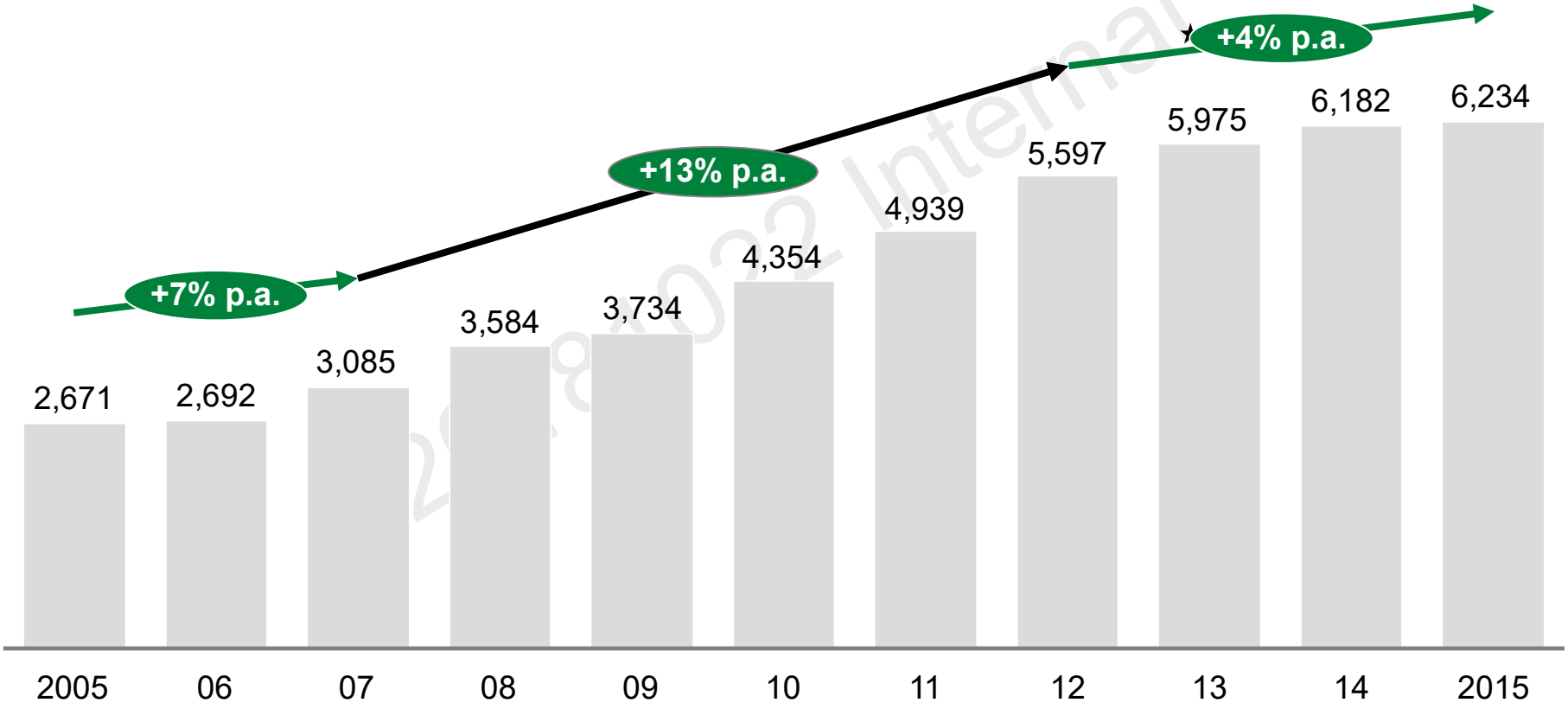
Unit of measurement

Source: CoSeCo Analysis

B2 F2 Local financing to the industrial sector has been steadily increasing, and cannot be held responsible for the sector's decline

Loans to industrial sector[1]

USD million



2018022 Internal

1 Figures include investments in food processing industries

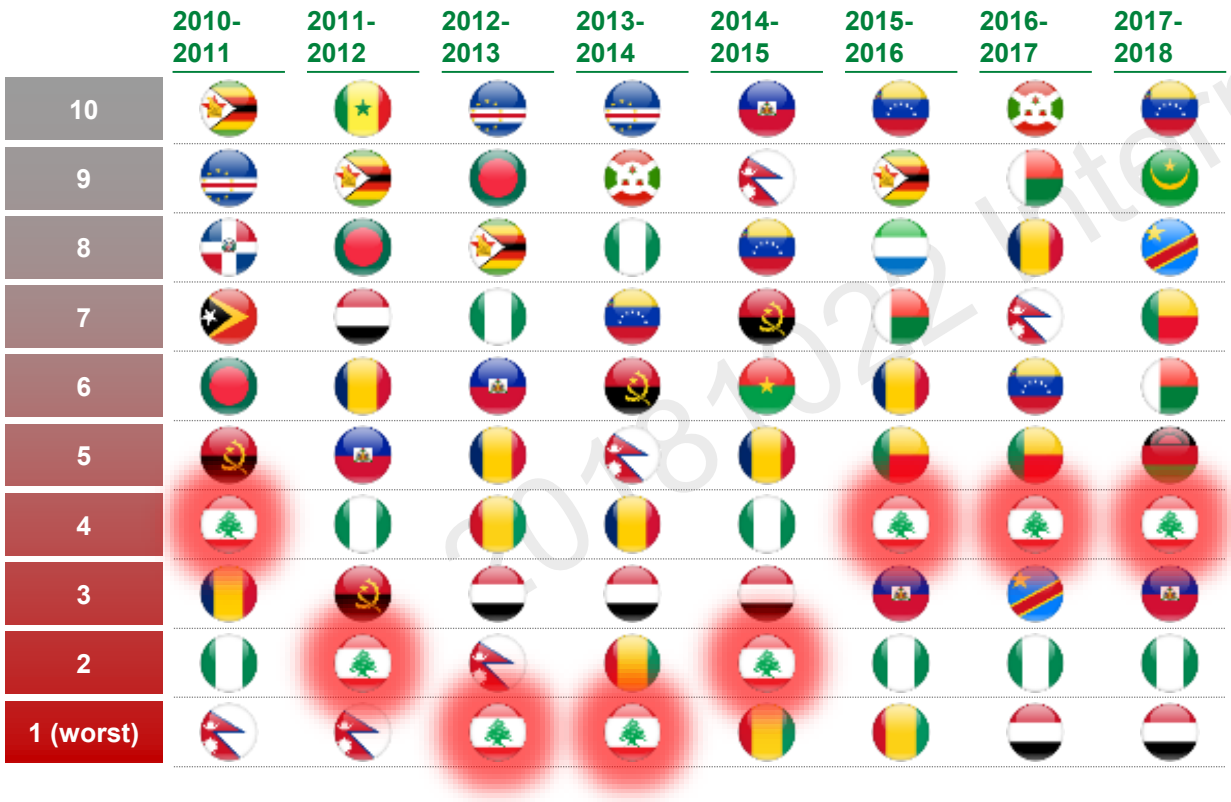
Source: BdL

B2 F3 Lebanon's power sector is one of the worst in the world

Lebanon's ranking on "Quality of Electricity Supply" has consistently been in the bottom five…

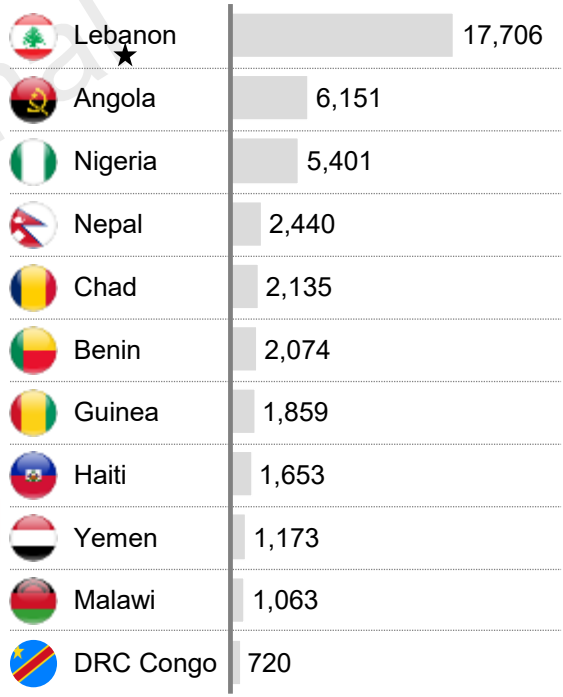
…Surrounded by countries with significantly lower income levels

Reverse ranking of "Quality of Electricity Supply"



GDP (PPP) per capita, 2017 estimate

2011 International Dollar



Selection: countries who appeared in the lowest 5 between 2010/11 and 2017/18

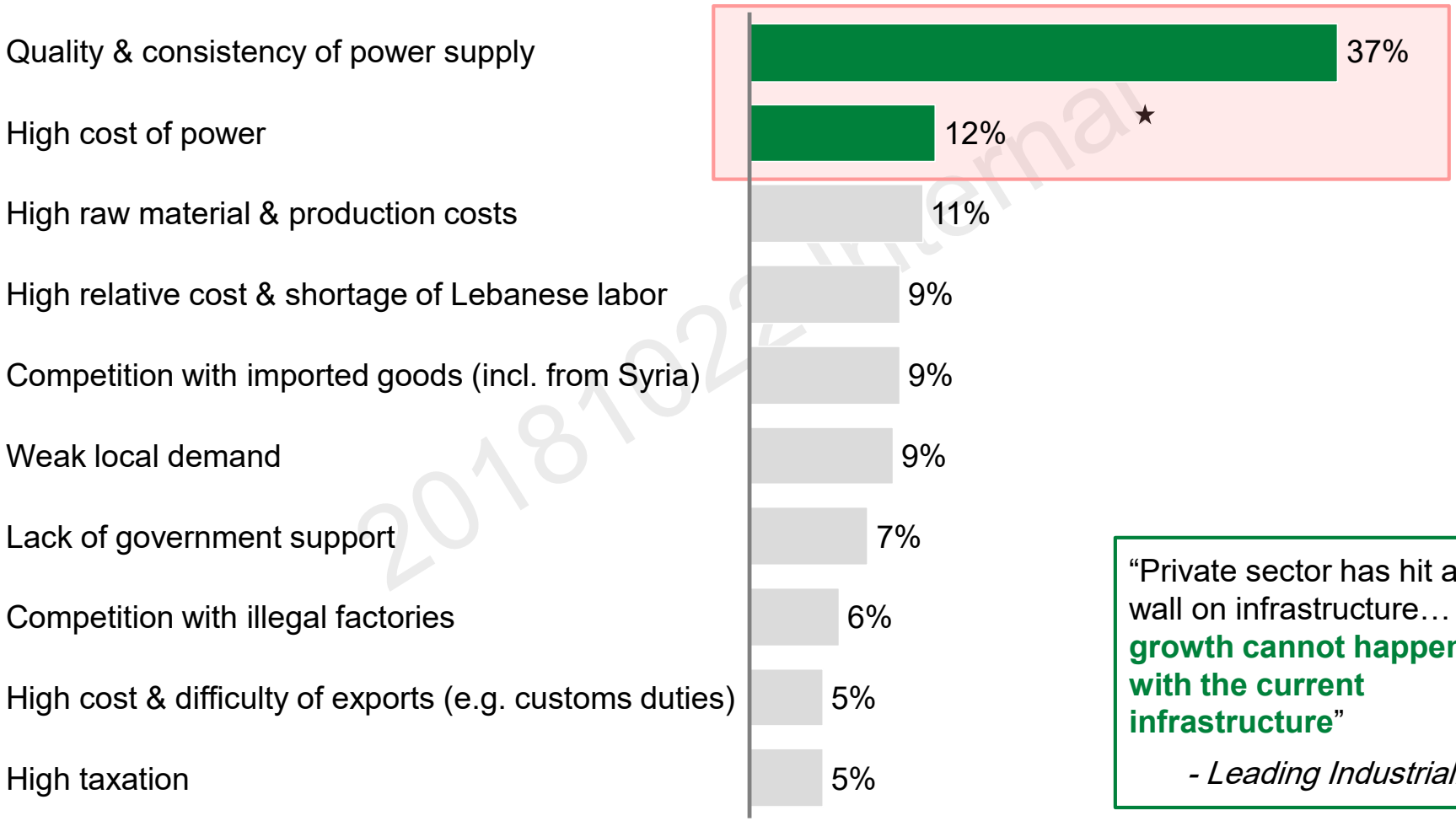
2018 Update Internal

Source: World Economic Forum; IMF

B2 F3 The power sector clearly stands out as the single greatest obstacle to the industrial sector

Major challenges to industrialists

Share of industry survey respondents who identified issue as being one of the "top 3 challenges"



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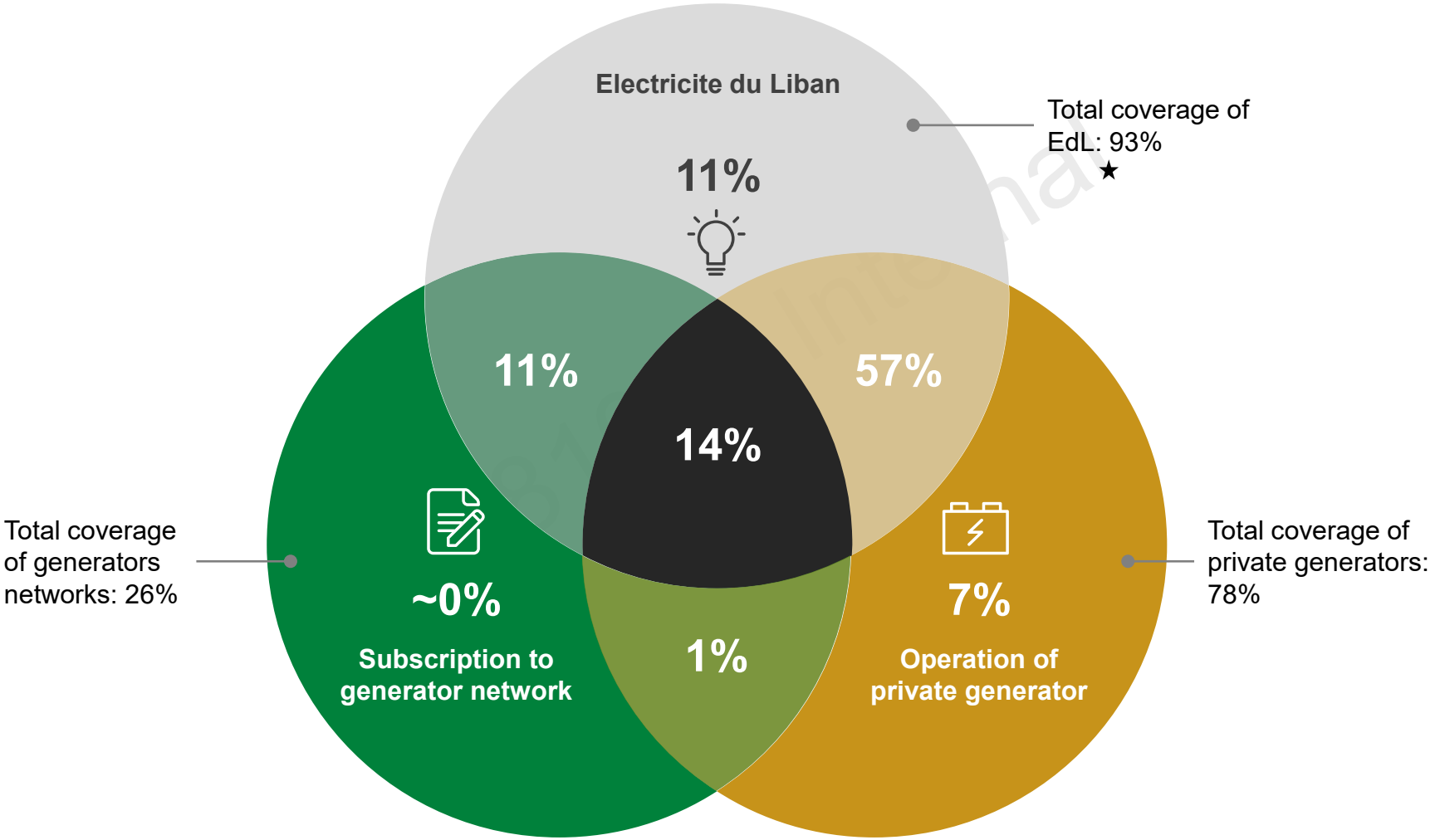
"Private sector has hit a wall on infrastructure… **growth cannot happen with the current infrastructure**"

- Leading Industrialist

Source: Ministry of Industry

B2 F3 ~93% of industrialists list EdL as a power source, but only 11% exclusively rely on EdL

Breakdown of factories by power source %[1]



1 Note: figures may not add to 100% due to rounding

Source: Ministry of Industry

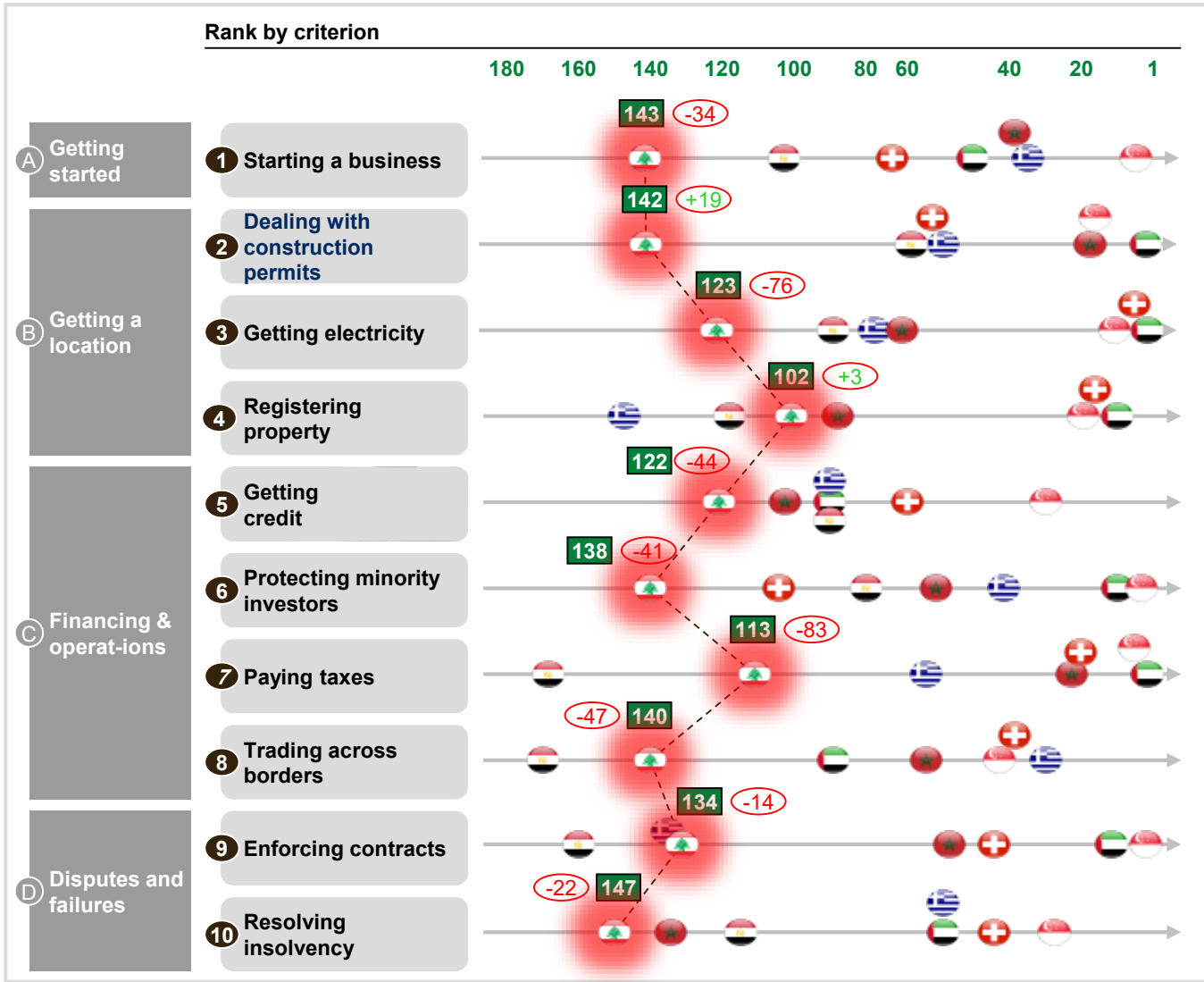
B2 F10 Lebanon lags behind peers on ease of doing business, which severely impacts the industrial sector (especially SMEs)

+X Evolution of Lebanon rank between 2012 and 2018[1]

XX Lebanon rank in 2012

2018 "Ease of doing business" overall rank

Switzerland	33	-7
Singapore	2	-1
UAE	21	+12
Morocco	69	+25
Greece	67	+33
Egypt	128	-18
Lebanon	133	-29



1 Methodological changes are making comparisons extremely weak

Source: World Bank

B2 Description of comparative advantages and disadvantages (1/3)

	Sub-factors comparative disadvantage	Sub-factors comparative advantage
Labour force	▪ Falling behind peers on the number of students	▪ Availability and quality of medium- and high-skill labor at relatively low wages
Capital	▪ Country's risk rating shows as a clear competitive disadvantage, and contributes to high cost of capital / high interest rates	▪ Restrictions on capital flows ensure high stability of banks, more so than in other peer countries ▪ Banking sector provides relatively high levels of domestic credit ▪ Financial services are relatively accessible
Power	▪ Availability and quality of energy is among the worst in the world ▪ There are difficulties and complexities related to establishing new permanent connections ▪ Limited own energy production & use of renewables contributes to extremely high energy dependency	
Natural resources	▪ Scarcity of all natural resources compared to peers ▪ Extraction of mineral reserves is not very profitable	▪ High share of agricultural land
IT and telecom	▪ Average mobile infrastructure and very limited fiber infrastructure ▪ Very high tariffs	▪ Large number of internet (and mobile internet) users ▪ Network performance is better than average

2018 1022 Internal

Source: CoSeCo Analysis

B2 Description of comparative advantages and disadvantages (2/3)

	Sub-factors comparative disadvantage	Sub-factors comparative advantage
Logistical position	▪ Low number of passengers carried via airplane and below average port traffic ▪ Poor quality of road infrastructure and existent rail network	▪ Close proximity to large markets in Saudi Arabia and relatively low cost of shipping/routing compared to peer group *(threatened by Syrian crisis which is disrupting land routes)* ★
Customs and trade access	▪ Process of exporting and importing goods can be lengthy due to security and inspection requirements	
Taxes		▪ Total tax rate slightly lower than that of peers, which may encourage business
Business services	▪ Business-related procedures are relatively difficult – e.g. dealing with construction permits, ease and cost of registering property, etc.	

20181022 Internal

Source: CoSeCo Analysis

B2 Description of comparative advantages and disadvantages (3/3)

	Sub-factors comparative disadvantage	Sub-factors comparative advantage
Business climate	▪ The least stable macroeconomic environment and low political stability ▪ Highest levels of perceived corruption and lowest trust in the rule of law ▪ Poor ability to enforce contracts ▪ Struggling with ease of starting and running business ▪ Minority investors do not feel protected ▪ Difficulties in obtaining information about changes in government policies ▪ Minimal measures put in place for protection of intellectual property rights	★
Size of economy	▪ Lebanon's economy is relatively small, even when compared to peers	
Innovative power	▪ Very low levels of R&D spending (as % of GDP) Ineffective patent system, with low number of applications	▪ Higher than average number of knowledge intensive jobs (potentially due to availability of high-skilled labor)

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Source: CoSeCo Analysis

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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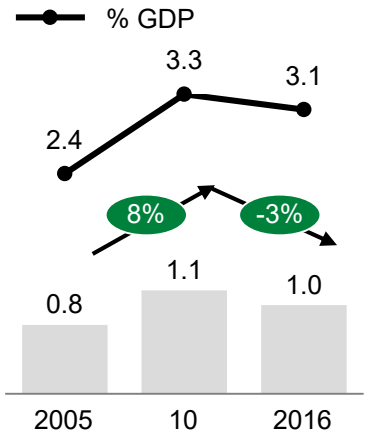
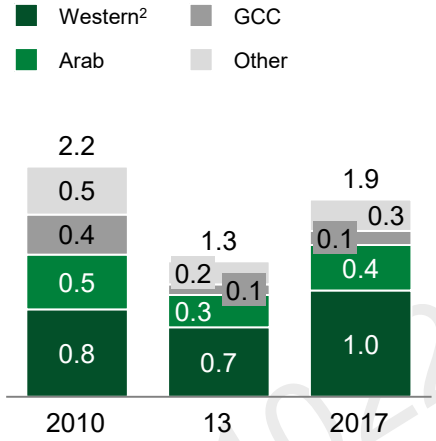
Tourism – summary of diagnostic

Economic contribution

Real GDP value of tourism[1]
Bn USD in 2010 prices



Number of tourists by nationality
Million tourists

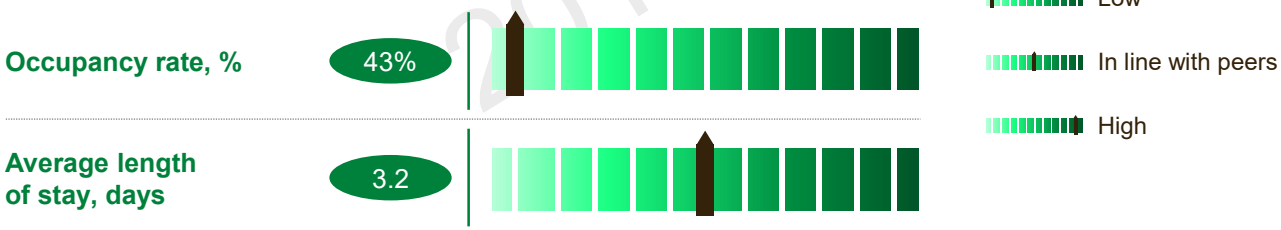


Top nationalities

- Iraq (12%),
- France (9%),
- USA (9%),
- Canada (6%)

Performance metrics[3], 2017

Performance compared to peers



Key challenges

- **Lack of proper tourism data** to ensure informed decision making
- **Low occupancy rates in hotels** are deterring private sector investments
- **Limited hospitality infrastructure** catering for the upper mass and luxury segments (especially outside Beirut)
- Absence of a brand image for Lebanon
- **Limited flight connectivity** and **high airfare prices** to European markets
- **Highly fragmented eco-system** with no forum for collaboration between all the different stakeholders

1 GDP contribution of hotels and restaurants is used as a proxy for tourism GDP
2 Includes Europe, Oceania and North America (US and Canada only); 3 Based on a sample hotel list provided by MoT

Source: Ministry of tourism, CAS

Tourism diagnostic – key performance measures

A. Key performance measures

Macro-economic perform-ance

A1 Hotels and restaurants, used as a proxy for the tourism sector, contributes to 3% of Lebanon's GDP and directly employs ~90K people

A2 The tourism sector's performance has been declining since 2010

- GDP declined at a rate of 4% p.a from 2010 till 2013
- From 2013-2016, the tourism sector's performance kept declining but at a slower rate (1% p.a.)

A3 The tourism sector has not been able to attract major investments in the last few years mainly due to a low revenue per average room

- Revenue per average room (RevPAR) in Beirut is lower than peers, mainly due to low occupancy rates, which is deterring potential investors in the sector (RevPAR in other regions is even lower than Beirut)

Perform-ance measures

A4 Lebanon attracted ~1.9 Mn visitors in 2017, out of which majority are western tourists with a high share of tourists belonging to the Lebanese diaspora

- Number of western tourists from Europe, North America and Australia constituted the majority of tourists arrival (52% of total), followed by Arab (22%) and GCC countries (6%)
- Visitors from diaspora constitute ~50%[2] of total foreign visits to Lebanon

Despite recent growth, number of tourists has not yet fully picked up since the drop between 2010-2013

- The drop in number of tourists is mostly attributed to the drop in GCC tourists (~67% decrease in numbers since 2010)
- In parallel, number of western tourists increased by 25% since 2010

A5 The shift in type of visitors between 2013-2016 (increase in number of western tourist and decrease in number of GCC tourists) who have different spending habits, could potentially explain the decrease in GDP despite the increase in number of tourists

- In 2014, share of GCC tourists was 8% of total vs 5% in 2016
- On average spending of GCC tourist is higher than European tourists

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1 Assumed all arrivals are unique visitors; Includes all arrivals to Lebanon with foreign passports
2 Assuming 80% of foreign tourists stay in hotels

Source: CAS, WTTC, Ministry of Tourism, EY MENA hospitality report

Tourism diagnostic – key performance measures (1/2)

B. Performance drivers

Product offering

B1 Lebanon has rich natural endowment and multi-faced tourism offerings across Sun&Sea, nature, ski, entertainment and culture (including religious offerings) which are unique relative to the Levant and Middle East; however the sector has yet to reach its full potential mainly due to a limited range of "ready-to-market products"

- Travel agencies are mainly focused on outbound tourism and the sector lacks comprehensive packages and offers for inbound tourists (airline, hotels, tours)
- Lebanon offers a limited range of tours: Trip advisor, one of the world's largest travel sites, shows 40 tours and excursions for Lebanon vs ~150 for Amman in Jordan alone
- Cultural heritages lack modern complimentary offerings (F&B, souvenirs, shopping)
- Lebanon has very limited beach offerings despite its prime location on the Mediterranean (small available area for public beach, limited number of luxury beach resorts)
- Other products that are lacking are offering tailored for families (e.g. parks, amusement/water parks) and venues/conference centers for MICE events

B2 Moreover, Lebanon is facing increasing competition from its regional peers in terms of competitive product offerings and packages

- GCC countries are increasingly providing attractive offerings (e.g. Dubai offers free travel packages, all inclusive, for children during summer)
- Cyprus and Dubai are increasingly competing with Lebanon as destinations for entertainment, gaming and nightlife
- Lebanon is lagging behind in cultural offerings (museums and exhibitions) especially in light of increasing competition from GCC countries (Abu Dhabi has recently opened Louvre and Guggenheim museums)

B3 Lebanon has successfully exported entertainment businesses and nightlife concepts to GCC countries (Music Hall, Iris, White etc..)

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Source: CAS, Trip advisor, Interviews, Press search

Tourism diagnostic – key performance measures (2/2)

B. Performance drivers

Infrastruc-ture and connec-tivity

B4 Lebanon has 406 hotels with a capacity of ~22,000 rooms; however their geographical distribution is not equal across all regions

- ~76% of hotels (150 hotels) are found in Beirut, Keserwen and Metn and the remaining 24% (48 hotels) are in Beqaa, North, South, Jbeil and Chouf

Average occupancy rate in Lebanon for 2017 was 43% which suggests that Lebanon can absorb increased number of tourists; however this occupancy rate varied greatly across regions

- Average occupancy rate in Beirut was 60% while in the rest of the areas it was ~20-30%

The hospitality sector does not cater for all customer segments across different geographical locations

- Only 12 5-star hotels can be found outside of Beirut
- ~70 % of hotels in Beirut are 4 and 5 stars hotels

B5 Lebanon has limited accessibility through direct flights and has poor air transport infrastructure

- While Lebanon offers lenient visa policy, it has limited connection through its routes (only 60 direct flights destinations from Lebanon)
- It also presents a low perceived quality of air transport infrastructure
- Local authorities have not negotiated agreements with Middle East Airlines to offer new strategic routes regardless of profitability

Marketing and promotion

B6 Lebanon spent 3.3[1] Mn in 2017 on marketing and has not been able to manage the country's perception in the media against regional political unrest

- The Ministry of Tourism spent less than 1.8 USD/tourist in 2017 (~4x lower than average)
- Lebanon's brand image has been tarnished in the media over the years without pro-active efforts from the public sector to manage the country's perception; Word-cloud shows that top searches for Lebanon are mainly associated with neighboring countries and political instability

20181022 Internal

1 Mainly spent on fairs and familiarization trips. Does not include festival subsidies

Source: CAS, Ministry of Tourism, CIP, Interviews

Tourism diagnostic – enablers

C. Enablers

Sector governance and regulations

C1 Lebanon's tourism ecosystem is highly fragmented and involves many stakeholders which leads to uncoordinated efforts

- Tourism related initiatives are uncoordinated across the different stakeholders in the tourism eco-system (e.g. MoT, MoC, MoFA, other ministries, state owned enterprises – Casino, MEA, municipalities, tourism federation, tour operators, NGOs)
- The ministry of tourism has little authority over other stakeholders to efficiently implement its tourism strategy
- The committee for tourism in the parliament has convened less than 5 times in the last 25 years[1]

Political stability

C2 Geo-political tension and perceived political instability contributed to Lebanon ranking 130/141 on the safety and security according to the Travel & Tourism Competitiveness Index

- Geo-political tensions between Lebanon and Golf states has led GCC countries to exercise travel bans to Lebanon in 2016 and to advising their citizens to avoid Lebanon in 2012, 2013 and 2017
- The US travel state recommends its citizen to reconsider travelling to Lebanon due to crime, terrorism, and armed conflict while it attributes less severe recommendations on travel to on peer countries such as Jordan, Egypt and Tunisia

2018/2022 Internal

1 Based on interviews with tourism stakeholders

Source: Ministry of Tourism; The travel and tourism competitiveness report, MOF, Interviews

Contents – Tourism

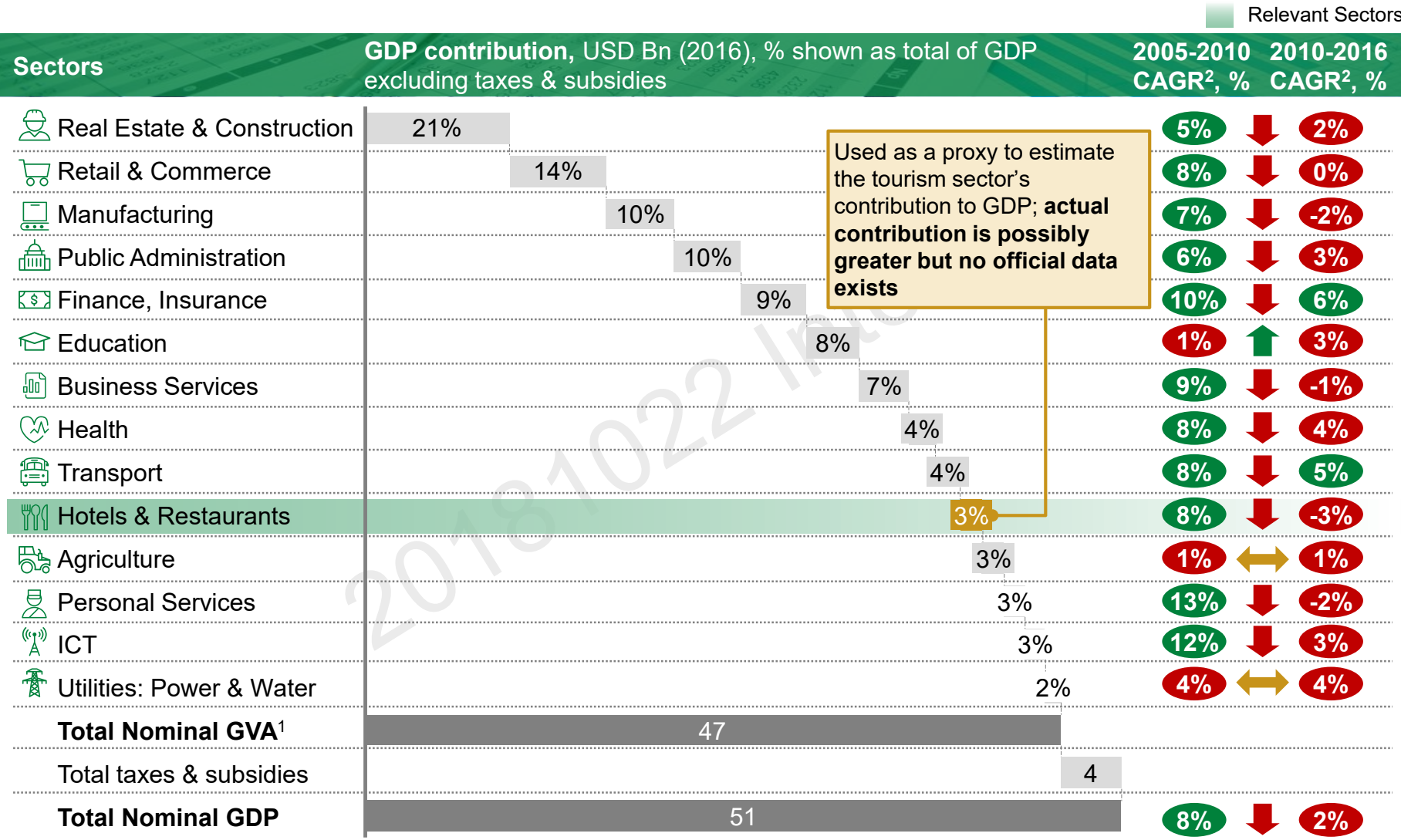
A **Key performance measures**

B Key performance drivers

C Enablers

20181022

A1 The tourism sector represents ~3% of GDP and has been declining in the past 6 years

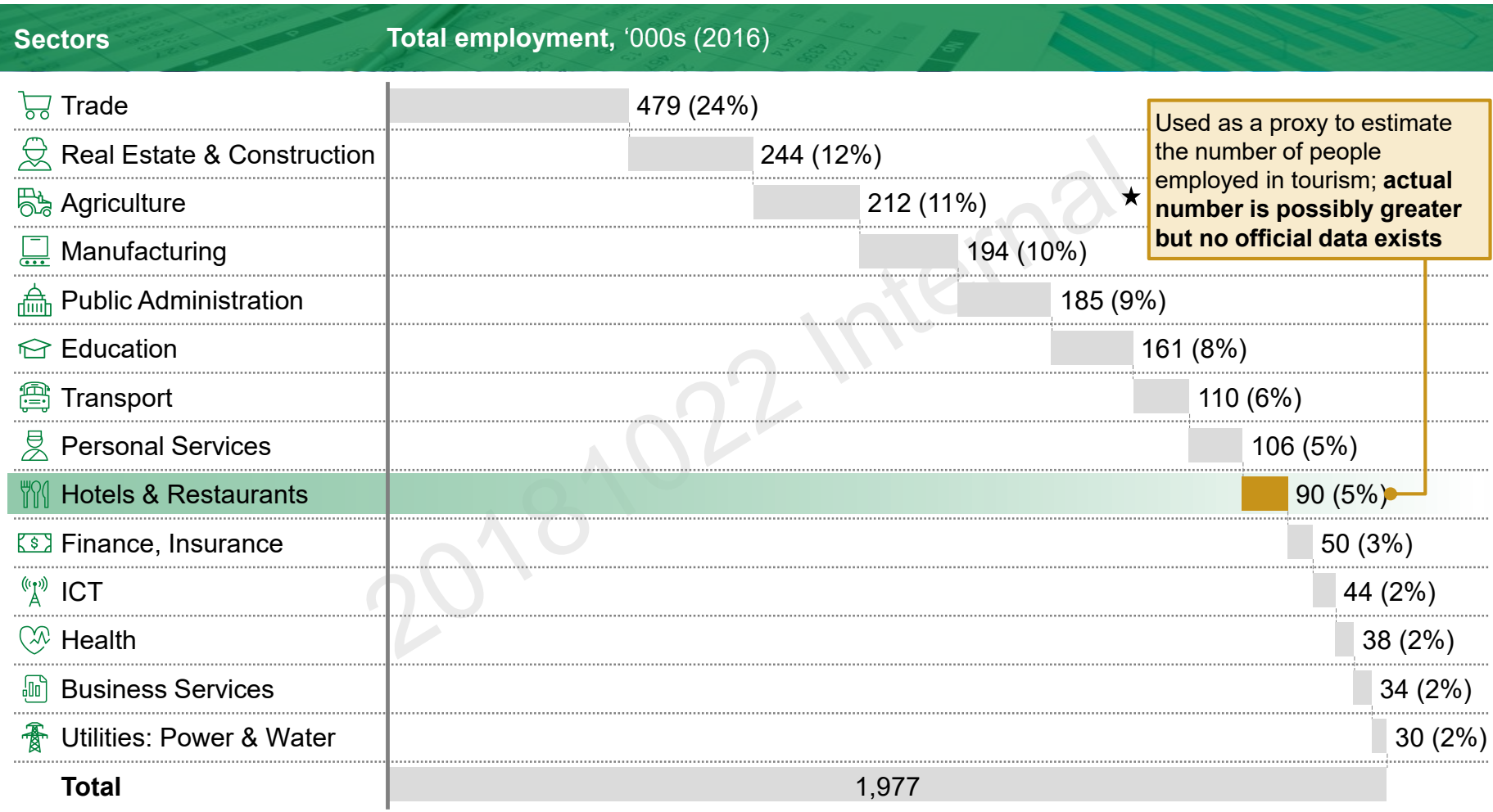


1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A1 The tourism sector employs 90,000 people in the hotels and restaurants sector alone

HIGH-LEVEL ESTIMATES



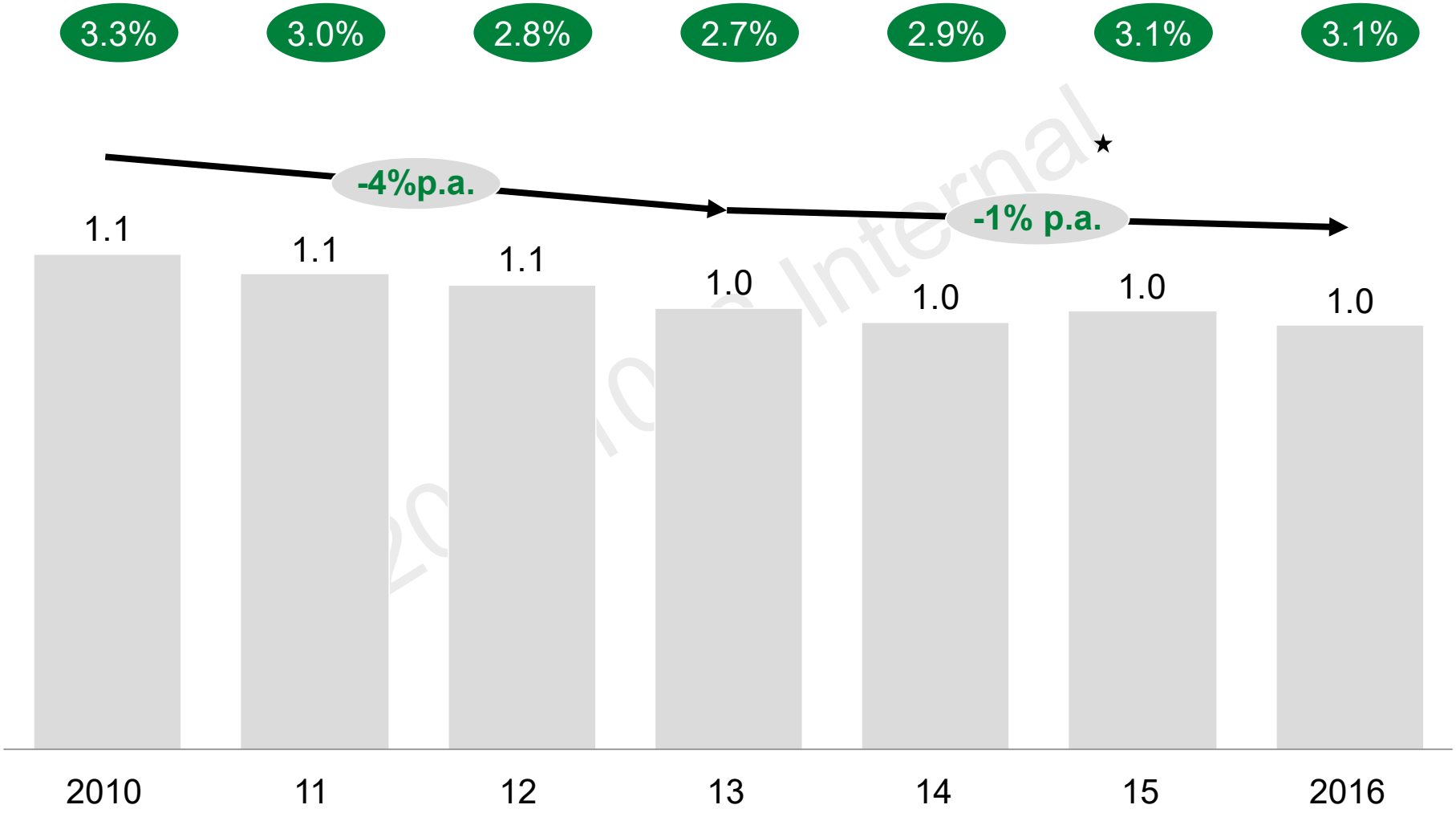
Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

A2 The tourism sector has been on a decline since 2010

X% % GDP

Hotels and restaurants GDP contribution, USD Bn in 2010 prices



Internal

Source: CAS

A3

Low hotel occupancy rates have deterred private sector investments

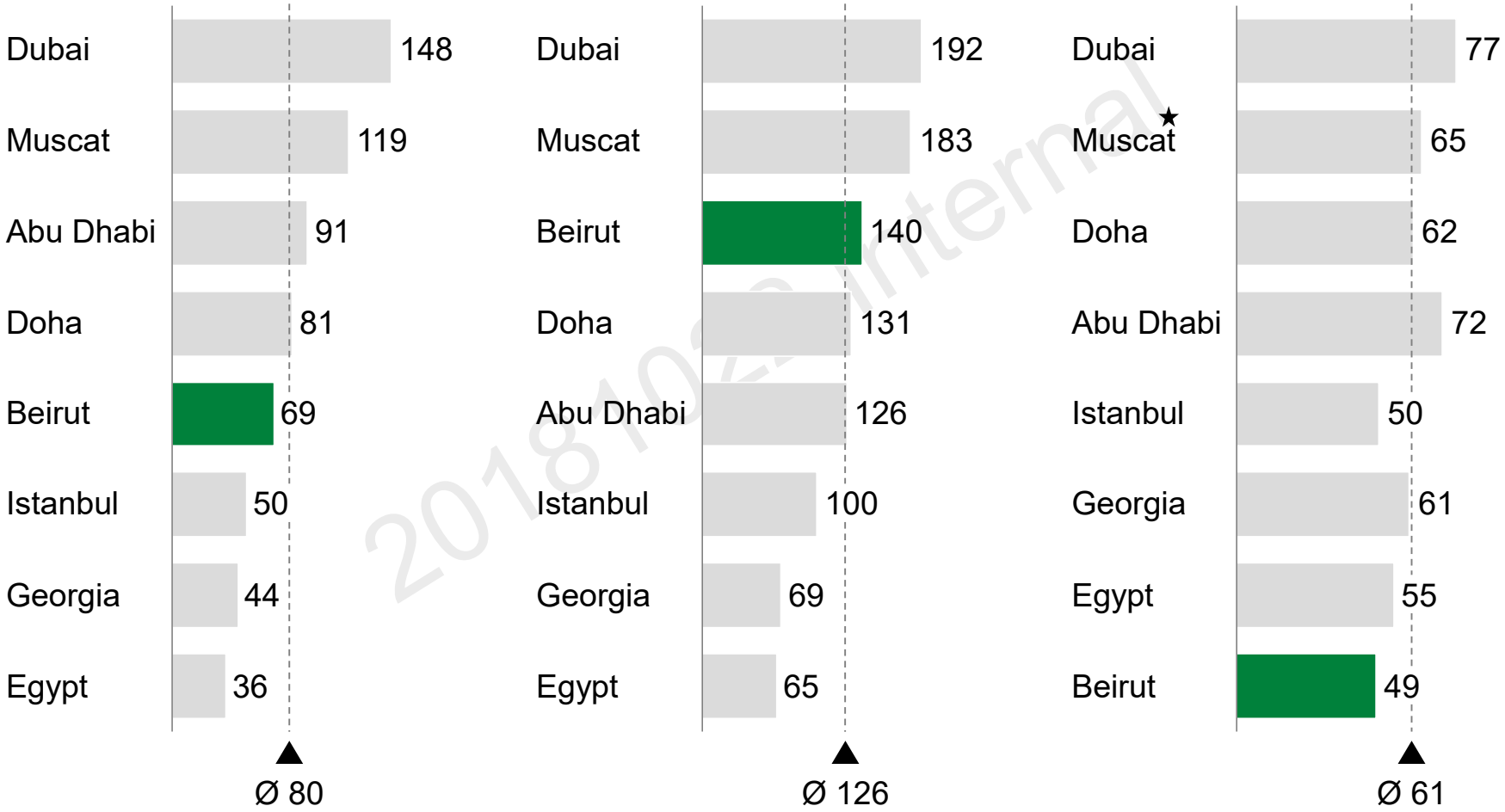
Revenue per average room
USD, 2016

=

Average daily rate[1]
USD, 2016

×

Hotel occupancy[1]
Percent, 2016



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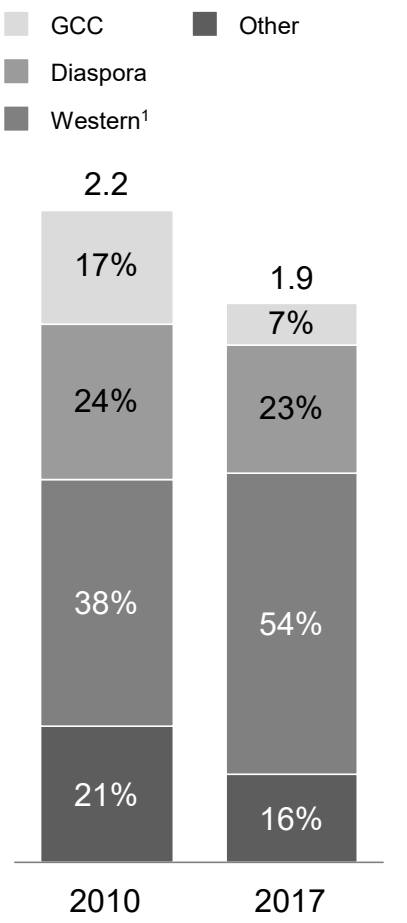
1 Input for Georgia and Egypt are for 2017

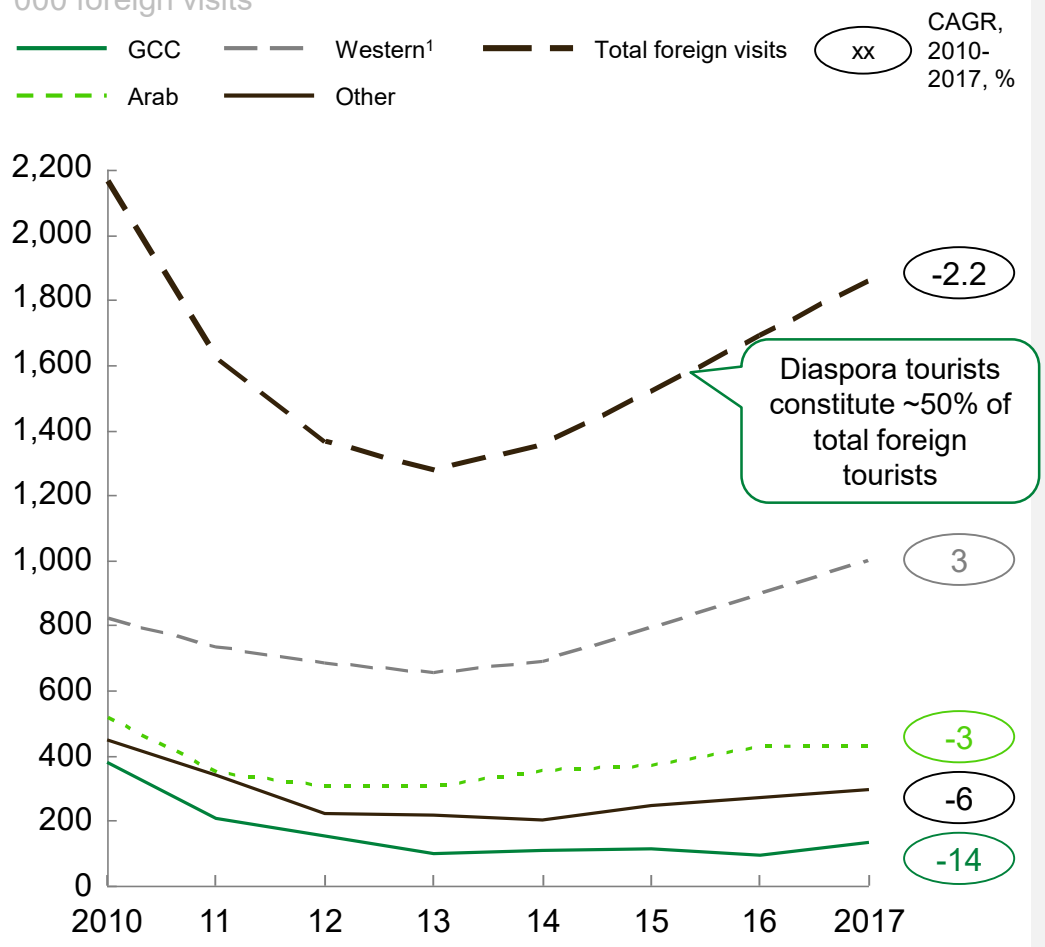
SOURCE: STR Global, Ministry of Tourism, EY Middle East Hotel Benchmark Survey

A4 Despite recent growth, the tourism sector has not yet fully recovered since the drop between 2010-2013

Number of tourist
K foreign visits



Number of tourist (2010-2017)
'000 foreign visits



- Recent growth in number of tourists is mainly attributed to growth in western tourists
- Number of GCC tourists decreased by ~67% since 2010 (-14% p.a)

1 Includes North America (US and Canada), Europe and Oceania

Source: Ministry of Tourism

Contents – Tourism

A Key performance measures

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C Enablers

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B1 Lebanon has made efforts to develop product offerings tailored to its endowments across different areas of the sector

Tourism areas	Description	Examples
Cultural	▪ Lebanon has a high density of cultural tourism options with 14 UNESCO World Heritage sites[1] ▪ Lebanon hosts 8 yearly events built around its cultural heritage and mainly centered around music and entertainment	▪ Baalbeck, Byblos, Wadi Qadisha, Tyre, Anjar ▪ Byblos International Festival, Jounieh International Festival, Baalbeck International festival
Entertainment	▪ Lebanon is one of two Arab countries to offer gaming, with the largest casino in the Middle East. ▪ Lebanon has 45+ wineries with local wine production ▪ Lebanon is a world acclaimed night-life destination which caters to different segments and age groups	▪ Caino du Liban ▪ Ksara/Kefraya/Ixsir ▪ Bo-18/Mar Mikhayel/SkyBar
Nature and beaches	▪ Lebanon is the only Arab country with access to ski slopes, with 6 ski resorts of world class standards ▪ Lebanon has rich mountains and rural areas which can be explored through the Lebanese mountain trail, a 470-km mountain trail that transacts through more than 75 Lebanese towns ▪ Lebanon has access to 225 km of Mediterranean coastline beaches and favorable summer weather	▪ Faraya/Zaarour ▪ Douma/Tannourine/Falougha ▪ Batroun/Sour

2018 MEA Internal

1 Includes 5 UNESCO world heritage sites and 9 sites currently in the application process for UNESCO world heritage status

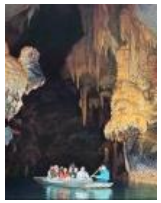
Source: Press search

B1 Despite high tourist satisfaction, Lebanon greatly lacks behind in terms of attracting tourists to Landmark sites

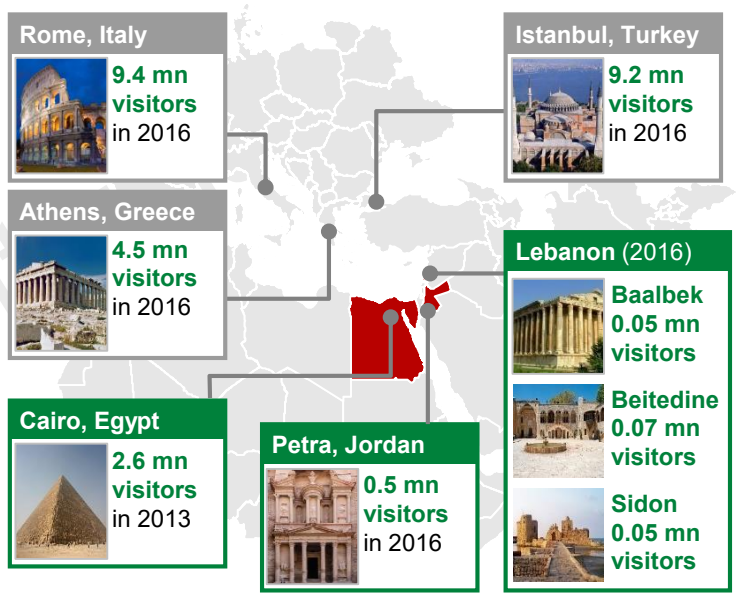
Despite high tourist satisfaction according to TripAdvisor reviews…

Positive | Neutral | Negative

History and Culture

Cultural sites & Landmarks		Trip advisor review	Number of Trip-Advisor Reviews	TripAdvisor Rating
National Museum of Beirut		▪ *"…Much to see with good didactic explanations in a lovely building. Something for everyone and for all ages."*	960	93% / 5% / 2%
The Crusader Castle		▪ *"Explored this magnificent structure for well over an hour. So much history. View of the seas and Byblos town is just breathtaking. Absolutely worth the small ticket price of admission."*	469	94% / 5% / 1%
Jeita Grotto		▪ *"…One hour tour and feel like speleologist ! The upper cave is walking accessible,and the lower by boat.Both caves breathtaking"*	1,417	96% / 2% / 2%
Temples of Baalbek		▪ *"It's one of the most beautiful temple I ever seen, it has the Roman ruins, Jupiter temple and Bakhos temple, The Baalbeck International Festival is a cultural event in Lebanon."*	847	97% / 1% / 2%

…Lebanon still greatly lacks behind in terms of attracting tourists to Landmark sites

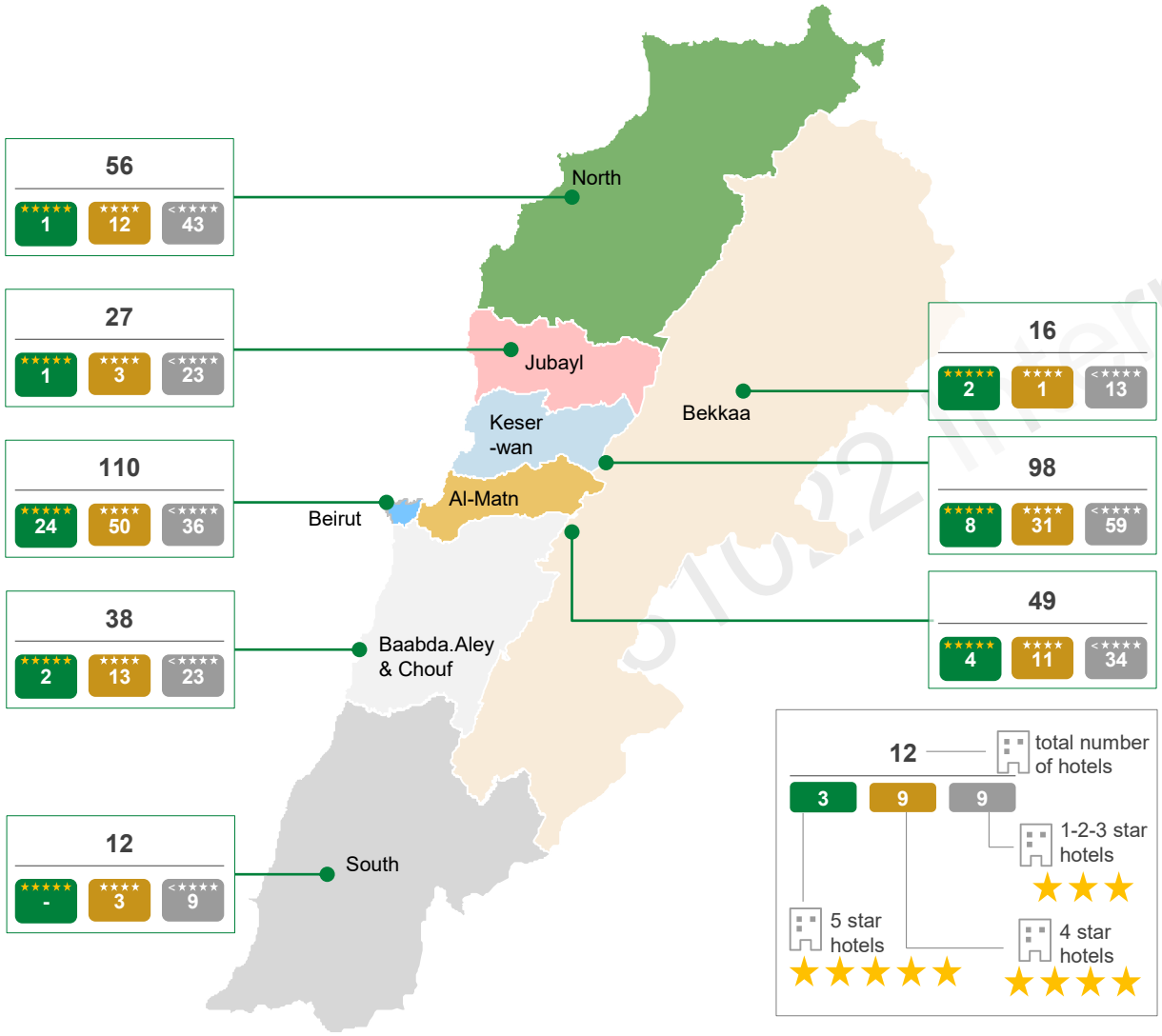


Benchmark archeological sites currently attract up to **~20X more tourists** on average than selected tourist sites in Lebanon

20181022 Int

Source: Euromonitor International, Trip advisor, Press Search, CAS

B4 Lebanon has 406 hotels with a capacity of ~22,000 rooms; however their geographical distribution is not equal across all regions



Lebanon has 406 hotels with a capacity of ~22,000 rooms

The hospitality network is characterized by:

- **Un-even distribution in number of hotels across regions:**
  - ~65% of hotels are found in Beirut, Keserwen and Metn
  - Remaining 35% are in Beqaa, North, South, Jbei and Chouf areas which are very rich in cultural and nature tourism
- **Variability in occupancy rate across regions:**
  - Average occupancy rate in Beirut was 60% while in the rest of the areas it was ~20-30%

Hospitality segment does not cater for all customer segments across regions:

- 57% of 5 star hotels are in Beirut (Only 18 5-star hotels can be found outside of Beirut)
- ~70 % of hotels in Beirut are 4 and 5 stars hotels

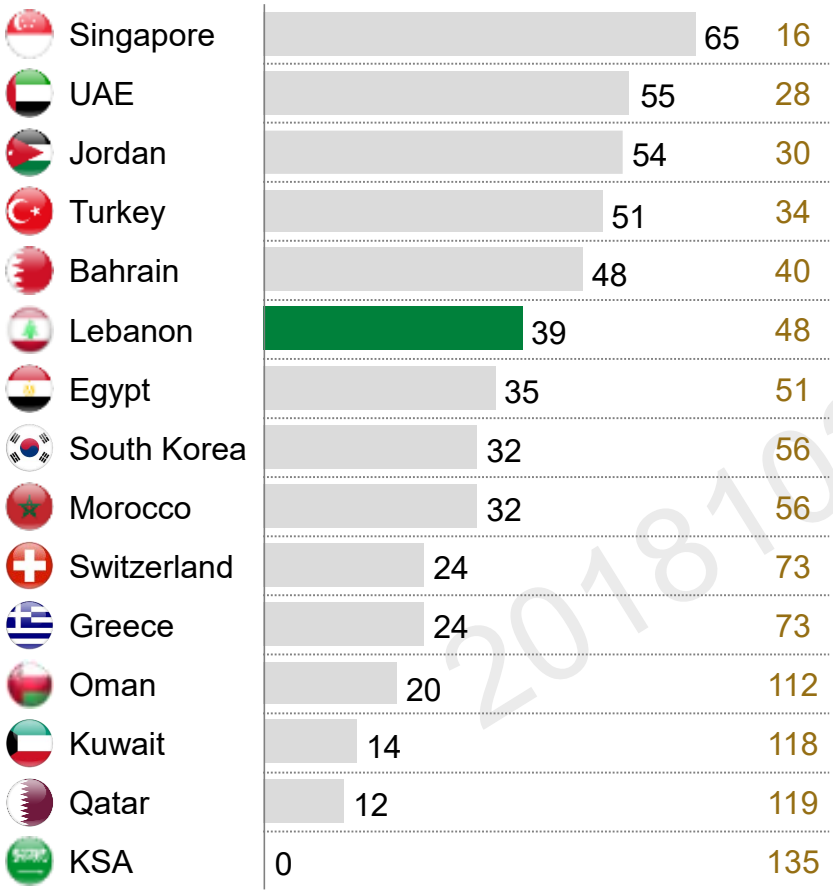
Source: Ministry of Tourism

B5 Lebanon has a lenient visa policy for majority of countries

XX Rank

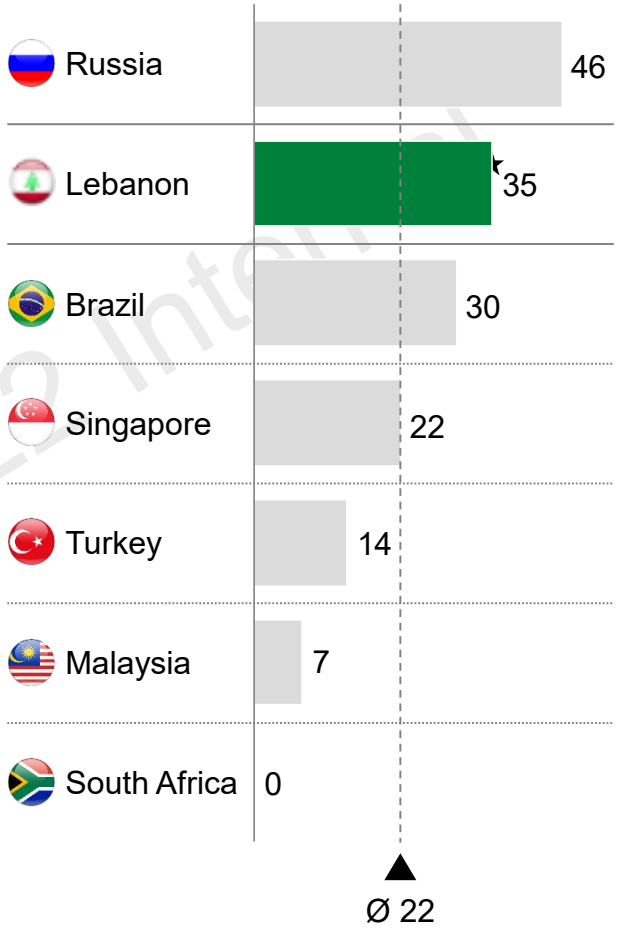
Visa requirement score[1]

Score over 100, 2017



Tourist visa entry fee[2]

USD



- **Lebanon offers visa free for selected Arab and GCC countries (Jordan, KSA, Kuwait, UAE)**
- **Most other nationalities get visa on arrival for a fee of 30 USD, slightly higher than peer average of 22 USD**

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1 From the World Economic Forum's Travel & Tourism Competitiveness Report's Visa Requirements metric - Scored by number of countries whose citizens are exempt from obtaining a visa [= 1.0], able to obtain one upon arrival [= 0.70], or obtain an electronic visa [= 0.50] out of all UN countries

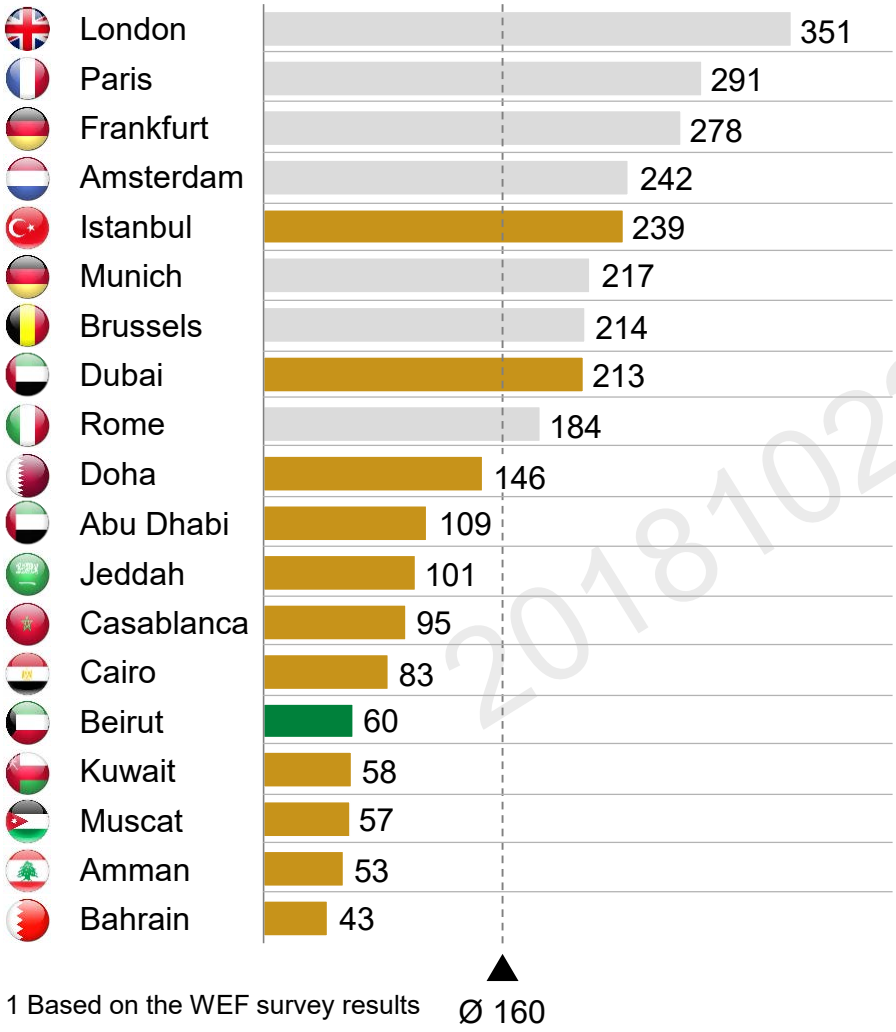
2 Moderately taxed countries were selected as a peer group

Source: The Travel & Tourism Competitiveness Report 2017

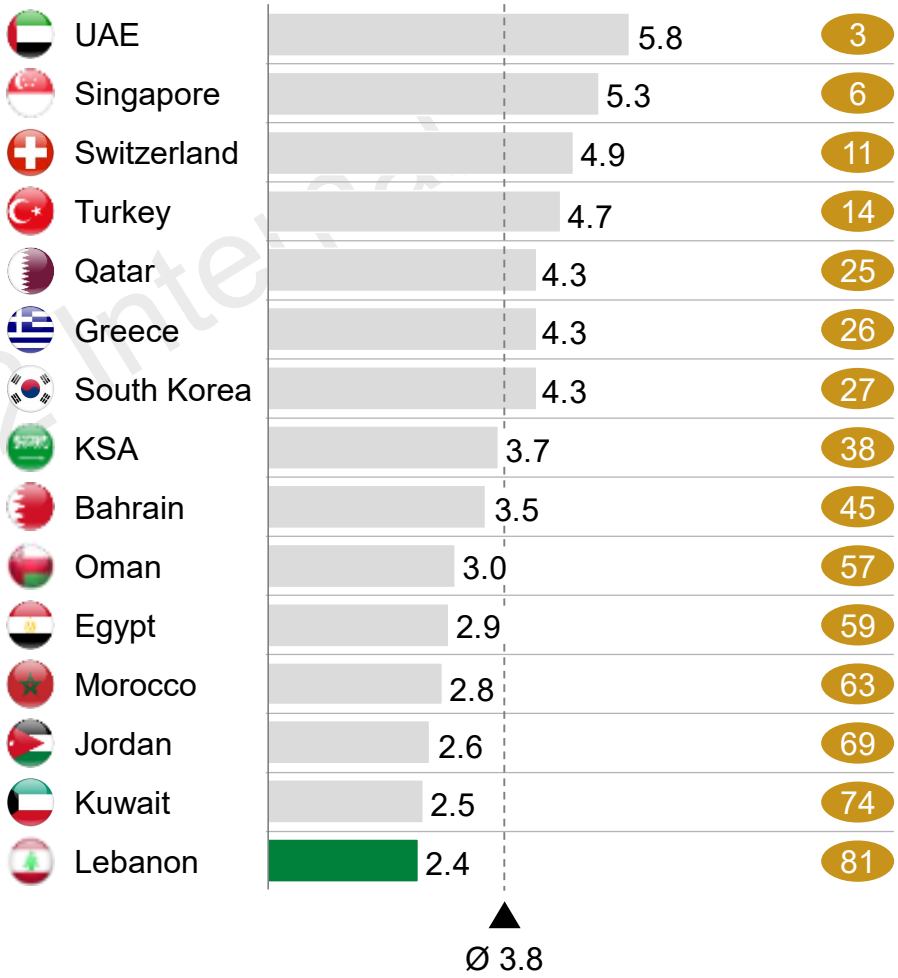
B5 However, Lebanon is less connected than peers, and presents a low perceived quality of air transport infrastructure

Peers
xx Rank

Number of direct-flight destinations
2018



Air transport infrastructure quality[1]
Score over 7, 2017



1 Based on the WEF survey results

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Source: CIP, The Travel & Tourism Competitiveness Report 2017, Airport websites

Contents – Tourism

A Key performance measures

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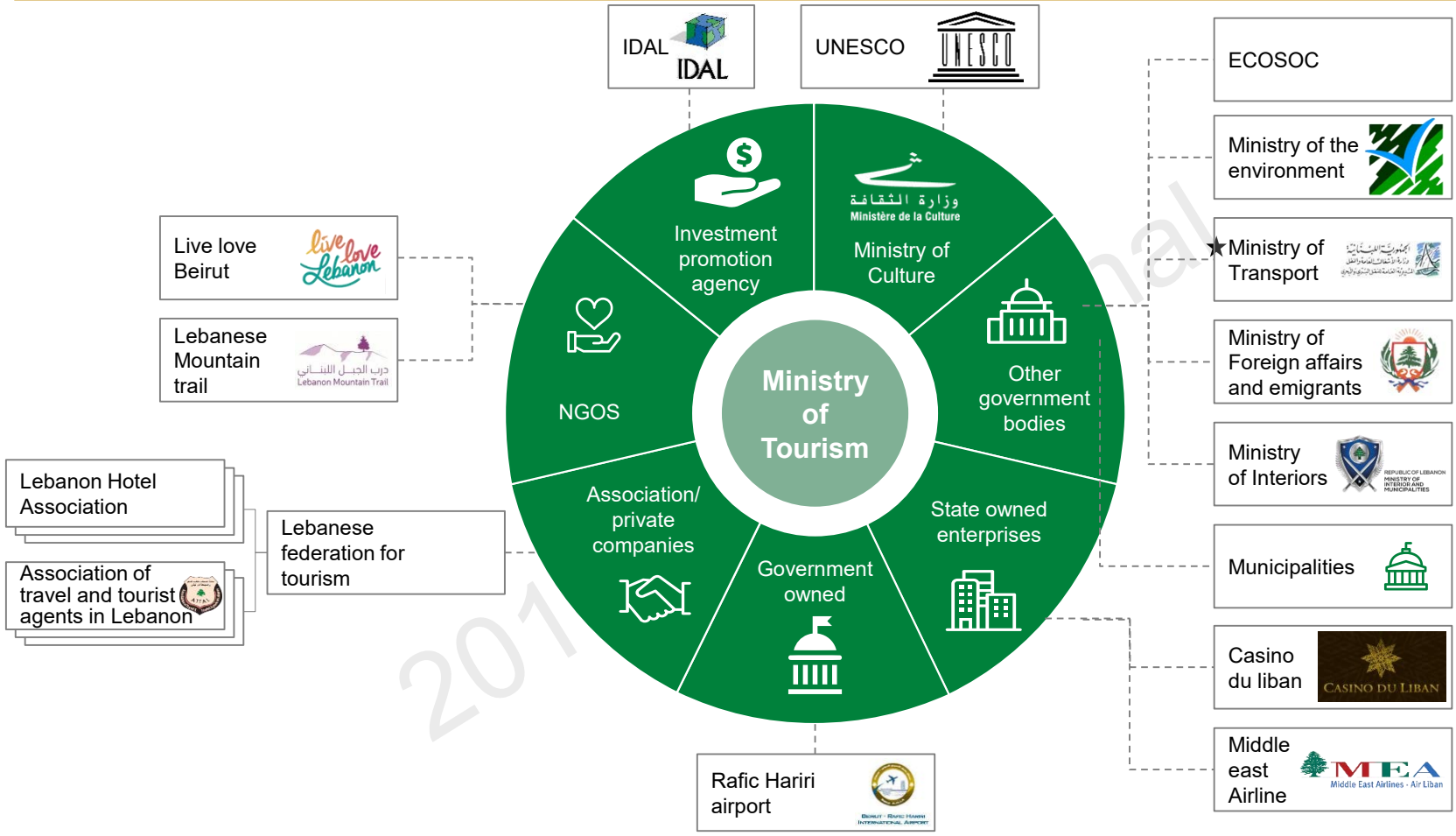
C **Enablers**

20181022

C1 Lebanon's tourism ecosystem lacks coordination across several stakeholders



The tourism ecosystem in Lebanon is fragmented

Absence of a governing body that is able to implement a cross-cutting tourism strategy

The Ministry of tourism does not have direct authority over other stakeholders in the tourism eco-system

This leaves room for individual initiatives

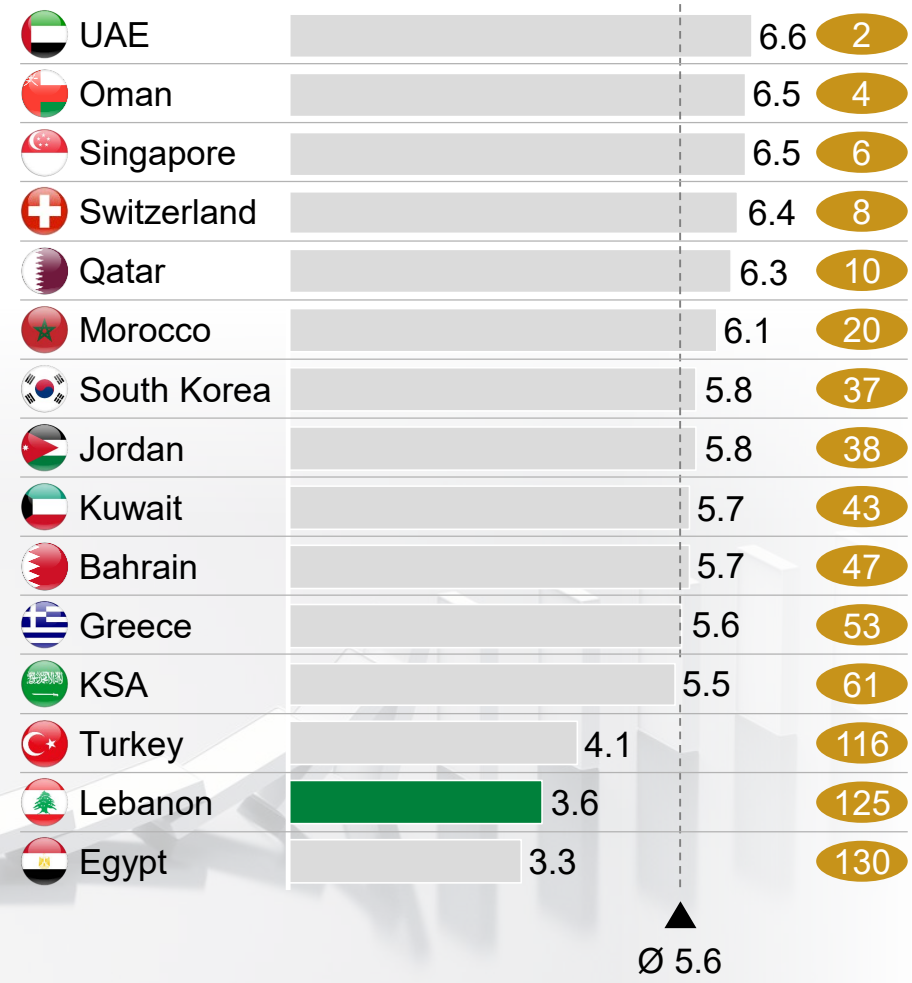
Source: Interviews

C2 Lebanon performs poorly on safety and security and ranks 125th /140 countries

XX Rank out of 140 countries

Internationally, Lebanon rank 125th/140 on the safety & Security Score…

Score over 7, 2017



In addition, GCC countries have advised their citizens to refrain from visiting Lebanon in recent years due to geo-political tension

"*Ministry of Foreign Affairs and International Cooperation urged the UAE's citizens to* ***completely avoid travelling to Lebanon from the UAE or from any other country***"

– UAE MOFA, Nov. 2017

"*Due to the current situation in Lebanon,* ***the Kingdom has asked its citizens, whether visiting or residents, to leave Lebanon as soon as possible****. We also advise citizens not to travel to Lebanon from any international destination*"

– KSA MOFA, Nov. 2017

"*The* ***foreign ministry has advised the Saudis to avoid traveling to Lebanon in the light of the unstable political and security circumstances*** *prevailing in the country" – KSA MOFA, Aug. 2012*

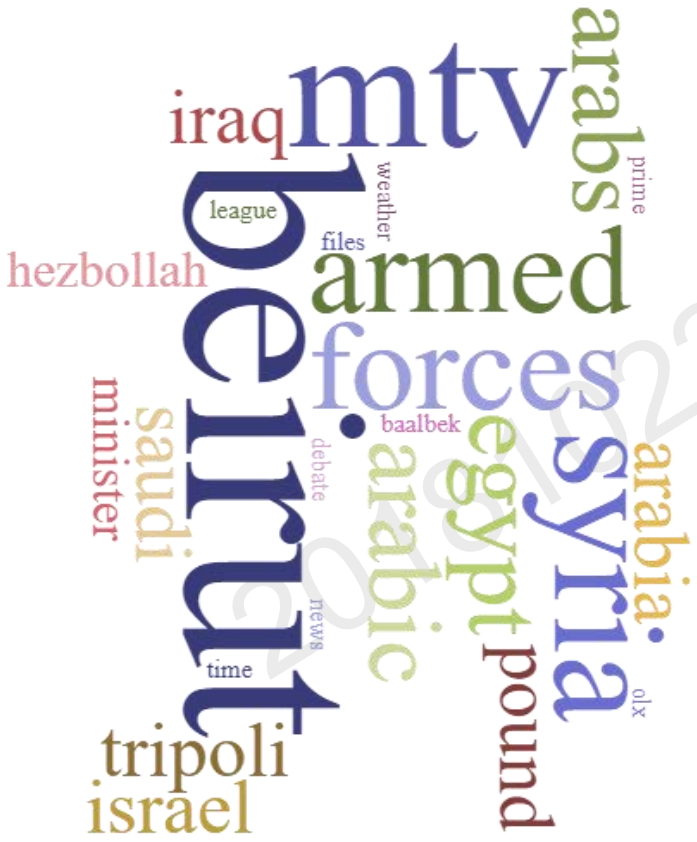
"The ministry urged the citizens who are in Lebanon to leave for their own safety and contact the Qatari embassy in Beirut *to provide them with the necessary facilities and assistance"*

– Qatar MOFA, Feb. 2016

Source: The Travel & Tourism Competitiveness Report 2017, Press search

C3 Word-cloud shows that top searches for Lebanon are mainly associated with neighbouring countries and political instability

Size of words reflect the recurrence of the word association



- **Most searches related to Lebanon refer to other Arabic countries with relative political unrest (e.g. Iraq, Syria)**
- **Other terms like "Armed Forces" and "Hezbollah" appear with searches related to Lebanon**
- **The terms "Weather", "Time" and "Baalbek" that are usually associated with tourists searches, appeared the least**

Source: Google trends analysis focused on the term "Lebanon"

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

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B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

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B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

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C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

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C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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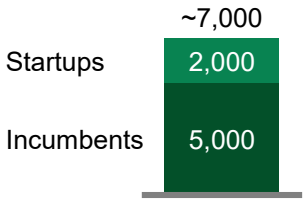
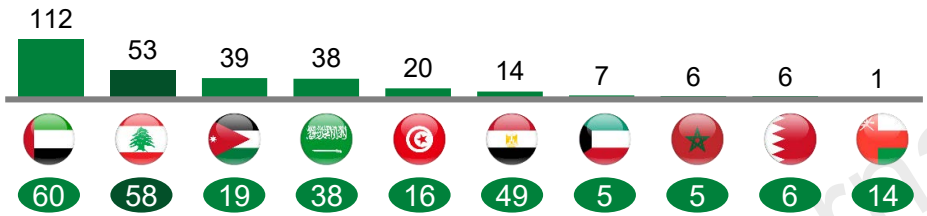
Technology – summary of diagnostic

Economic contribution | Sector performance

Total jobs, 2017



Total value of VC deals, USD Mn 2017



Technology & innovation funnel, by stage of company

Digital producer

Idea generation / R&D	Commer-cialization	Start-up / early stage	Growth
▪ Sub-par R&D spend and lack of funding	▪ Low volume of patents	▪ Ease of doing business ▪ Gap in angel funding	▪ Lack of growth funding & access to markets

Digital eco-nomy

- Lebanon lags all Middle-Eastern countries on digitization index

Digital govern-ment

- Lebanon lags all GCC countries on the UN e-government readiness index (0.56 vs. 0.72) only slightly outranking Egypt & Jordan in the Middle East

Key challenges

- **Low availability of digital talent**
  - Despite Lebanon's strong talent base, access to talent was reported to be the main obstacle faced by domestic start-ups
  - Moreover regional entrepreneurs consider Lebanon as the top source for creative & marketing talent, but as lagging behind for core technical skills
- **Missing key regulatory requirements**
  - The sector suffers from sub-par regulations such as the current incorporation laws (preferred shares, stock-options), and a sub-par judicial system
  - For e.g. only 20% of entrepreneurs offer stock-option schemes whereas ~50% of the talent pool would be willing to accept it as compensation scheme

Source: ArabNet – The state of digital investment in MENA 2018; Wamda access to talent for MENA's entrepreneurs; Arabnet - Lebanese Innovation Economy - Tech Startups 2018; World Bank; Banque du Liban; Pitchbook; Market interviews

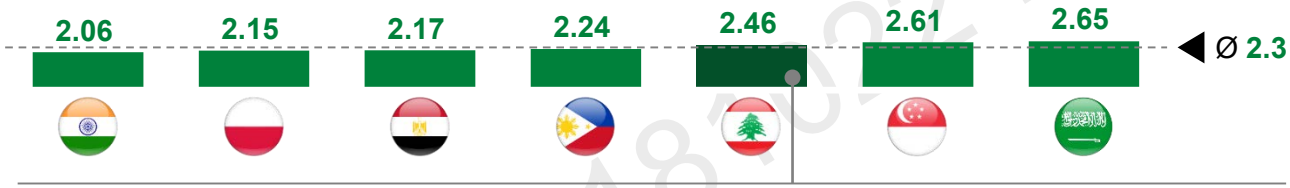
Outsourcing – summary of diagnostic

The outsourcing sector is not well established with a small contribution to employment

Total number of jobs in outsourcing, 2017

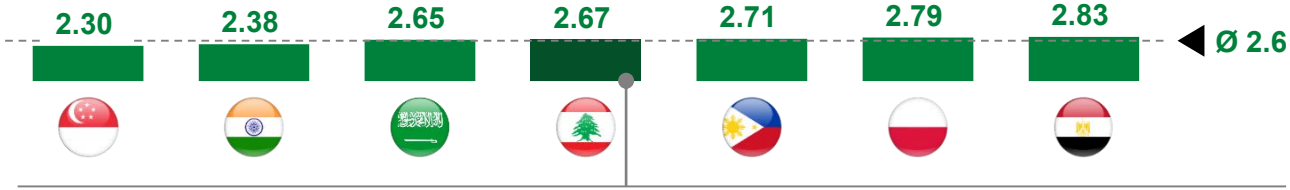
Despite possessing the intrinsic components (talent and cost), Lebanon lags on government-related components mainly infrastructure and business environment

Location readiness index for BPO, 2017, low index = high score



- **High** scoring on **talent** (1.5 vs 2.1) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Location readiness index for KPO, 2017, low index = high score



- **High** scoring on **talent** (2.1 vs 3.0) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Key challenges

- **Sub-par virtual and physical infrastructure**
  - Physical and virtual infrastructure lags with low broadband speeds (5Mbps, 127th globally) and high mobile connectivity costs
  - Un-empowered regulatory authority (TRA) leading to in lack of continuity and uniformity in the sector (e.g. stopping of the E1 lines for call centres)
- **Sub-optimal regulatory framework and environment with lack of incentives**
  - Sub-par ease of doing business environment
  - Required laws not in place: bankruptcy law, competition law, IP protection law
  - No zones in place offering tax-incentives and lower infrastructure costs (telecom & rental costs)
- **High country risk profile**
  - Low macro-economic and political stability, a key input to outsourcing location criteria

2018 Booz Allen Hamilton

Source: Location Readiness Index database; IAOP: Global Outsourcing 100 2016; IDAL BPO Factbook 2016; SpeedTest; Expert Interviews

Knowledge Economy diagnostic – macro-economic contribution

A. Macro-economic contribution

Macro contribution

A1 In the context of Lebanon, the Knowledge economy is broadly defined as four sub-sectors: Digital & technology, Business services & outsourcing, Creative industries & Education

- The knowledge economy is broadly defined as the production of goods and services based on knowledge-intensive activities; The key component of a knowledge economy is a greater reliance on intellectual capabilities than on physical inputs or natural resources
- In the context of Lebanon, Knowledge Economy is defined as four-sub sectors, sharing a set of common overarching enablers
  - **Digital & Technology:** Includes all players involved in the innovation pipeline from R&D (Universities and R&D centers), to IP & patenting (govt., commercialization offices) to commercialization of the product with an emphasis on digital (i.e. focus on digital startups)
  - **Business services & outsourcing:** Includes all plays whereby a process is offshored by a company to either a nearshore or remote location for efficiency gains. It spans the whole outsourcing spectrum from lower-skill call centers to higher-skill data analytics centers
  - **Creative Industries:** Includes sectors whose primary resource is creativity. It mainly includes core creative industries (performing arts, music…), core cultural industries (movies, libraries), wider cultural industries (digital media, publishing) and related industries (architecture and fashion)
  - **Education:** Includes "economic" and "exportable" plays within education, mainly, attracting foreign students, exporting educational material (curriculums, books), building EdTech content, attracting Arabic language learners, exporting school brands – *Education is covered in a different section as part of the diagnostic but within Knowledge Economy in the solution space*

A2 No GDP data is available on Knowledge economy, but ICT & business services can be used as proxies

- Business services & ICT contribute ~10% of the country's GDP while employing ~4% of the total employed population

Oliver Wyman 2022 Internal

Source: The Knowledge Economy, Powell Snellman, OECD; CAS; ILO; Ministry of Health

Knowledge Economy diagnostic – technology key performance measures

B. Key performance measures – Technology

Macro contribution & sector performance

B1 Tech software & services is an emerging and highly-diversified market segment in Lebanon, with a big export potential

- Market size reached ~175 Mn USD in 2016 and is expected to growth at ~9.7% p.a. to reach ~231 Mn USD in 2019[1]; software development & services companies employ ~5,000 people
- Companies are mainly in software products (~50%) and web solutions (~40%), with more than ~80% of companies exporting their products, with the Gulf being the primary export destination ★
- Regional imbalances in the sector are marked with ~95% of companies operating from Beirut & Mount Lebanon

B2 Several incumbents have established themselves as leading enterprise solution developers with global reach

- Murex, founded in 1986, provides integrated trading, risk management, processing and post-trade solutions, and today serves global markets
- A more recent example is FOO, founded in 2009, with a Fin-tech emphasis, that managed to cater for big regional clients (e.g. Emirates, VISA, Zain, Dubai Police…)

B3 Most incumbents fall within four categories: enterprise, e-payments, financial software and creative & digital media

- ~25% of companies fall within the enterprise software category, with a further ~50% in creative & digital media, infrastructure & e-Payments

B4 Moreover, Lebanon's start up ecosystem has been quickly growing in the last couple of years with a large number of deals and investors

- Lebanon has managed to come in second place in the Middle East, with a total of 58 deals of total value ~53 USD Mn in 2017, while hosting 13% of total investors of the MENA region
- The ecosystem consists today of 6 VCs, 8 accelerators & incubators, and a total number of ~2K FTEs employed in start-ups

B5 Several success stories have recently emerged, reaching global markets, along with a set of emerging verticals

- For example, NAR, a start-up developing a software solution for aerial platforms to automate pipeline patrols, expanded to the US market after going through several accelerator programs
- The scene has also witnessed several exists among which, Shahiya, that was acquired by the Japanese recipe portal Cookpad for ~14 USD Mn

20181022 Internal

Source: Business Monitor International 2016; IDAL ICT Factsheet 2017; IDAL ICT Directory 2016; Arabnet 2018 - Lebanese Innovation Economy; Press Search; UK Tech Club

Knowledge Economy diagnostic – technology key performance drivers & enablers (1/2)

C. Key performance drivers & enablers – Technology

R&D and patents

C1 Lebanon lags global and regional peers in terms of R&D spending mainly driven by a lack of funding

- R&D spending, standing at ~0.22% of GDP, greatly lags regional peers and global innovation hubs benchmarks, where R&D spend stands at ~1.7% of GDP on average, reaching up to 4% in some countries (e.g. South Korea)

C2 Lebanon also lags global and regional peers in terms of number of patents

- ICT/PCT patents standing at 0.4 per 100,000 people lag the average of ~30 observed in regional and global benchmarks, ranking Lebanon 61st worldwide. Leading innovation hubs typically rank in the top 20

Starting a business

C3 Compared to global hubs and regional peers, Lebanon ranks last on starting a business, and 143th worldwide

- Lebanon scores 78 on starting a business, 12 points lower than the average of regional peers and global benchmarks, ranking Lebanon last amongst peers and 143th worldwide
- Number of procedures to start a business stands at 8, ~33% higher than benchmarks, rendering a lengthy and costly process

Access to financing

C4 Financial support from the central bank has allowed the sector to thrive

- In 2013, building on the developed financial sector, the Central Bank has provided room for commercial banks to indirectly invest a total of ~400 Mn USD (3% of total bank capital standing at ~20 USD Bn) into start-ups
- The BdL's effort has also lead to the creating of several VC funds; Lebanon hosts today ~13% of the MENA investors
- A total of ~375 USD Mn has already been pledged, with only ~242 USD Mn invested:

C5 Today, venture capital available is in line with benchmarks. However, despite the recent efforts, access to funding remains challenging at the seed stages

- VC funding standing at ~0.12% of GDP is in line with the benchmark average of 0.15%
- However 68% of tech start-ups rely on personal savings to finance their projects, followed by competition funds, grants and loans; only a quarter of the start-ups managed to raise angel funding
- Moreover, a third of interviewed start-ups did not manage to raise any funding
- VCs remain risk averse, leading to a funding gap at the early stages (50-300K USD)

C6 Moreover, underdeveloped capital markets make exit opportunities challenging

- Underdeveloped capital markets make exits challenging; in global hubs yearly startup IPO stands at ~0.26% of GDP

Confidence Interval

Source: World Bank data; Wamda; Press Search; WB - TCData 360; WB – Ease of Doing Business Report; Pitchbook; Banque du Liban; Arabnet; Market interviews; Dealogic; National Statistical Office; IHS World Market Monitor; IMF; OANDA

Knowledge Economy diagnostic – technology key performance drivers & enablers (2/2)

C. Key performance drivers & enablers – Technology

Availability of talent

C7 Despite Lebanon's strong human capital base, access to talent has been hindering the development of the sector driven by a skills mismatch

- More than 70% of interviewed entrepreneurs cite lack of Lebanese talent as the major bottleneck they face; most face issues especially when looking for talent with the right technical skills
- This mismatch mainly exists mainly due to a lack of coordination between governments, universities and companies

Comms. & branding

C8 The sector also lacks the right mix of regulation and government incentives to facilitate growth, as well as a lack of communication and branding

- Most start up today face issues with the business registration process and the associated costs
- Shareholder-related laws are either missing or sub-par (e.g. bankruptcy law, stock options…)
- The judicial system lacks training and awareness and judiciary processes are generally long
- Financial regulations inhibit the growth of certain verticals (e.g. e-signature law)

Physical and virtual infra-structure

C9 Although the sector typically suffers from a sub-par infrastructure, newly formed "districts" and upcoming telecom projects should cater for current shortcomings

- Physical and virtual infrastructure still lags with low broadband speeds and high mobile connectivity costs
- New digital clusters being formed (e.g. Beirut Digital District), targeting technology companies and start-ups, provide for better than average infrastructure
- Moreover, planned & future telecommunications investments should cater for current shortcomings

C10 Typically, innovation hubs around the world form around anchor institutions, driven by networking effects

- Silicon valley tech hub developed around Stanford University: Active support and resources from Stanford allowed launch of multiple firms: 39,900 active companies trace their roots to Stanford ; they have created ~5.4 million jobs and generate annual world revenues of $2.7 tr
- Greater Boston innovation hub developed around a dense network of hospitals & universities
  - 50% of top 18 NIH funded research hospitals are in Massachusetts
  - High density of leading research institutions and universities

C11 Several initiatives, such as the Beirut Digital District, were launched but Lebanon still lacks clusters built around "anchor institutions"

BDL C1022 Internal

Source: Arabnet - Lebanese Innovation Economy - Tech Startups 2018; Wamda access to talent for MENA's entrepreneurs; AFIC

Knowledge Economy diagnostic – outsourcing key performance measures

D. Key performance measures – Outsourcing

Macro & sector performance

D1 The process outsourcing (xPO) industry broadly covers four sub-sectors: Customer relationship management (CRM), Business process outsourcing (BPO), Knowledge process outsourcing (KPO) and IT Outsourcing (ITO)

- CRM is the contracting of voice processes (e.g. call centres)
- BPO is the contracting of non-primary/support business activities, functions and processes to a nearshore or remote third-party provider (e.g. HR, Accounting)
- KPO is the contracting of knowledge-intensive functions that are usually core to an organization (e.g. Analytics, research, financial modelling)
- ITO is the contracting of all or parts of the IT functions of a company to an external party (e.g. Datacenter, IT Helpdesk)

D2 Offshoring, through outsourcing or captive centers, represents the export-driven "play"

- Typically, services are categorized along two dimensions and into four buckets:
  - Shared services center (e.g. Lebanese restaurant conglomerate centralizing HR of all restaurants in one location in Lebanon)
  - Captive centers (e.g. Apple centralizing all of its HR in one location in Lebanon)
  - Onshore outsourcing (e.g. Azadea outsourcing HR functions to Lebanese 3rd party)
  - Offshore outsourcing (e.g. Apple outsourcing HR functions to Lebanese 3rd party)
- Only captive centers and offshore outsourcing are export-driven "plays"

D3 The process outsourcing (xPO) industry is a nascent sector in Lebanon having started ~5 years ago, and currently employing ~5,000 people mainly in BPO & ITO

- The Lebanese landscape mainly focuses on BPO & ITO with limited presence in the high-value KPO sector
  - BPO sector revolves mainly around call centres with 10 centres employing ~900 people; remaining BPO activity lies within back office operations mainly in Finance, Accounting & HR
  - ITO companies employ a total of ~4,143 people

D4 Compared to regional & global benchmarks however, Lebanon still lags far behind Poland, Egypt & Morocco that have managed to generate ~200k, 90k and 100k jobs in the industry respectively

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Source: IAOP: Global Outsourcing 100 2016; IDAL BPO Factbook 2016

Knowledge Economy diagnostic – outsourcing key performance drivers & enablers

E. Key performance drivers & enablers – Outsourcing

Location readiness

E1 **The location readiness index shows that Lebanon scores close to regional & global outsourcing hubs driven by competitive cost structure and talent, but lagging infrastructure & regulation along with a current nascent industry**

- Lebanon scores 2.7 on BPO services compared to a global and regional hubs average of 2.3 and scores 2.8 on KPO services compared to an average of 2.5

Cost competitiveness

E2 **Lebanon provides for a competitive cost structure when compared to global and regional peers, especially on knowledge services** ★

- Fully loaded cost for voice & data processes stands at ~26,000 USD, slightly higher than global and regional hubs, whereas knowledge services cost is in line with benchmarks at ~37,000 USD

Availability of talent

E3 **Lebanon also provides for talent adequate to establish a flourishing outsourcing industry, ranking higher than global hubs on education-related metrics**

- Lebanon has the highest number of tertiary graduates to population ratio among regional and global outsourcing hubs; moreover, most Lebanese graduates are fluent in three different languages: English, French & Arabic
- Lebanon provides for an optimal emphasis of students towards certain majors: ~39% of total tertiary graduates are BPO-ready with a further ~32% graduates that are KPO-ready

Infrastructure

E4 **However, the sector suffers from a sub-par infrastructure**

- Physical and virtual infrastructure still lags with low fixed broadband speeds and high mobile connectivity costs
- Lack of regulatory authority has led to a lack of continuity and uniformity in the sector (e.g. stopping of the E1 lines for call centres)

Regulation & environment

E5 **The sector also lacks the right mix of industry incentives to facilitate growth**

- Lack of bankruptcy & competition laws
- Sub-optimal and outdated IP & data protection laws
- Lack of zones in place to offer tax-incentives and lower infrastructure costs (telecom & rental costs)

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Source: Expert Interviews; Location Readiness Index database; Source: Payscale; OLX; WEF; UNESCO; Ministry of Education

Knowledge Economy diagnostic – creative industries key performance measures

F. Key performance measures – Creative Industries

Macro & sector performance

F1 Lebanon's media & production sector comprises of ~400 companies and employs around ~4.5% of the total labour force of the country across the full spectrum of sub-sectors

- Lebanon's media sector involves television broadcasting, advertising services, production and post-production, publishing, music and digital media

F2 Although the overall sector has been stagnating in recent years, several niches and emerging subsectors are growing fast ★

- The overall advertising spending across all mediums, serving as a proxy for the overall media industry, has been stagnant at ~150 USD Mn yearly
- However digital media as well as production witnessed a staggering growth
  - Digital advertising expenditure has been growing at ~56% p.a. to reach ~23 USD Mn in 2015
  - Investments in film production has been growing at ~100% p.a. to go from a mere 350K USD in 2009 to reach ~11 USD Mn in 2014

F3 Lebanon is a regional leader on production and post-production, exporting content to most of the Arab world

- There are currently around ~97 production & post-production companies working at an average of 1000 shooting days per year. They are involved in content creation for local as well as regional television channels with an emphasis on entertainment, drama series, reality shows and talk shows
- Hits such as Superstar, The Voice, Dancing with the Stars and Arab Idol, make Lebanon the market leader in entertainment shows in the region. The Voice Arabia's 2014 final episode, attracted an estimated 100 million viewers from the Arab Region.

F4 More recently, film production has witnessed a marked growth with notable achievements

- Total yearly number of movies produced increased from 4 in 2004 to 31 in 2014, corresponding to a ~22% p.a. growth
- The 2017 movie, "The Insult", was the first Lebanese movie to be nominated for an academy award, and the third Arab movie in the last 20 years

2017 Internal

Source: IDAL Media Factbook 2015; Fondation Liban Cinema; IDAL Film Industry Factbook 2015

Knowledge Economy diagnostic – creative industries key performance drivers & enablers

G. Key performance drivers & enablers – Creative Industries

Positive enablers

G1 **The sector has all the success factors mainly:**

- The access to talent
- Lebanon's natural endowment (e.g. the scenery for shooting movies)
- The ease of getting a license for shooting movie scenes

Hindering factors

G2 **However, the sector lacks the right government support and incentives**

- Fragmented ecosystem with no central agency/body responsible of the industry, leading to the lack of a formal sectorial plan & strategy with clear responsibilities
- Outdated legislations and regulations (e.g. visa requirements for foreign actors)
- Lack of formal media zones with proper incentives (e.g. tax breaks)

20181022 Internal

Source: Stakeholder interviews

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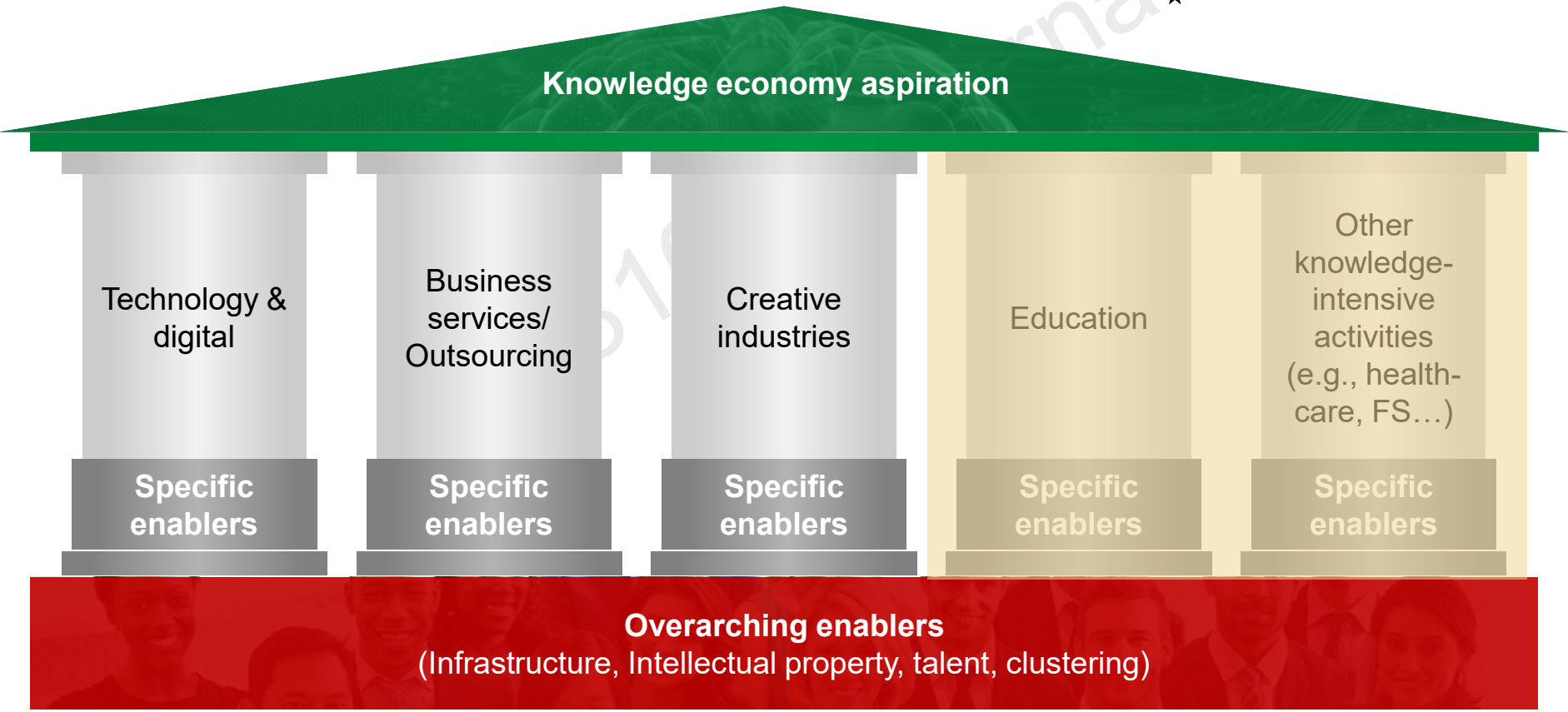
A1 In the context of Lebanon, knowledge economy is broadly defined as four focus sub-sectors

Covered in other sections

> "…the **knowledge economy** as **production** and **services** based on **knowledge-intensive activities** … The **key component** of a knowledge economy is a greater **reliance** on **intellectual capabilities** than on physical inputs or natural resources"



Source: The Knowledge Economy; Powell Snellman, OECD

A1

Knowledge Economy sub-category description

Categories	Description
Technology & digital	Includes all players involved in the **innovation pipeline** from R&D (Universities and R&D centers), to IP & patenting (govt., commercialization offices) to commercialization of the product with an **emphasis on digital** (i.e. focus on digital startups)
Business services/ Outsourcing	Includes all plays whereby a **process** is **offshored** by a company to either a nearshore or remote location for efficiency gains. It **spans** the **whole** outsourcing **spectrum** from lower-skill call centers to higher-skill data analytics centers
Creative industries	Includes sectors whose primary resource is **creativity**. It mainly includes **core creative** industries (performing arts, music…), **core cultural** industries (movies, libraries), **wider cultural** industries (digital media, publishing) and **related** industries (architecture and fashion)

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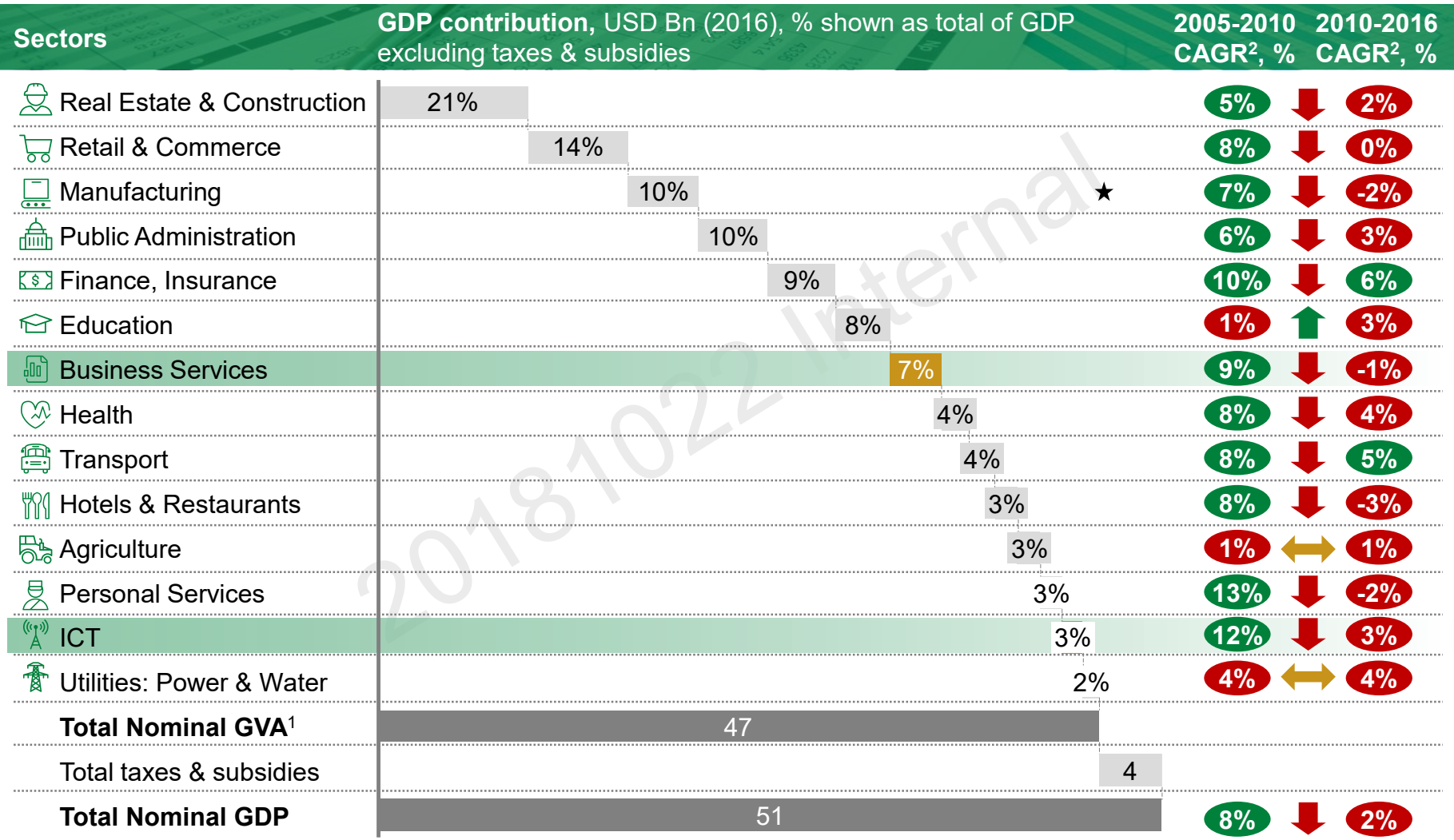
A2 No GDP data is available on Knowledge economy, but ICT & business services can be used as proxies



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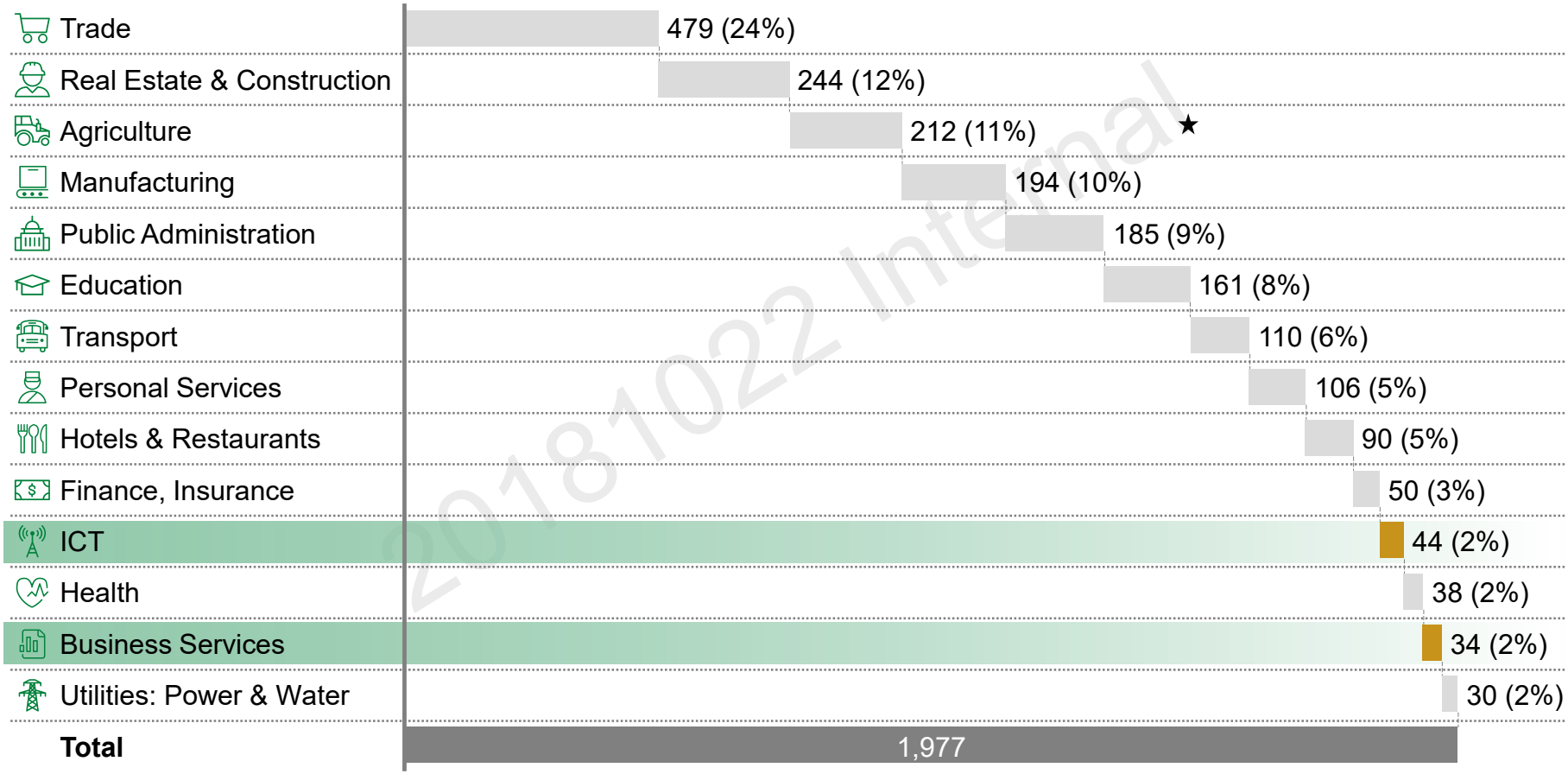
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A2 These two proxy sectors employ ~80K people combined, representing ~4% of the country's employment

HIGH-LEVEL ESTIMATES

Relevant Sectors



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Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

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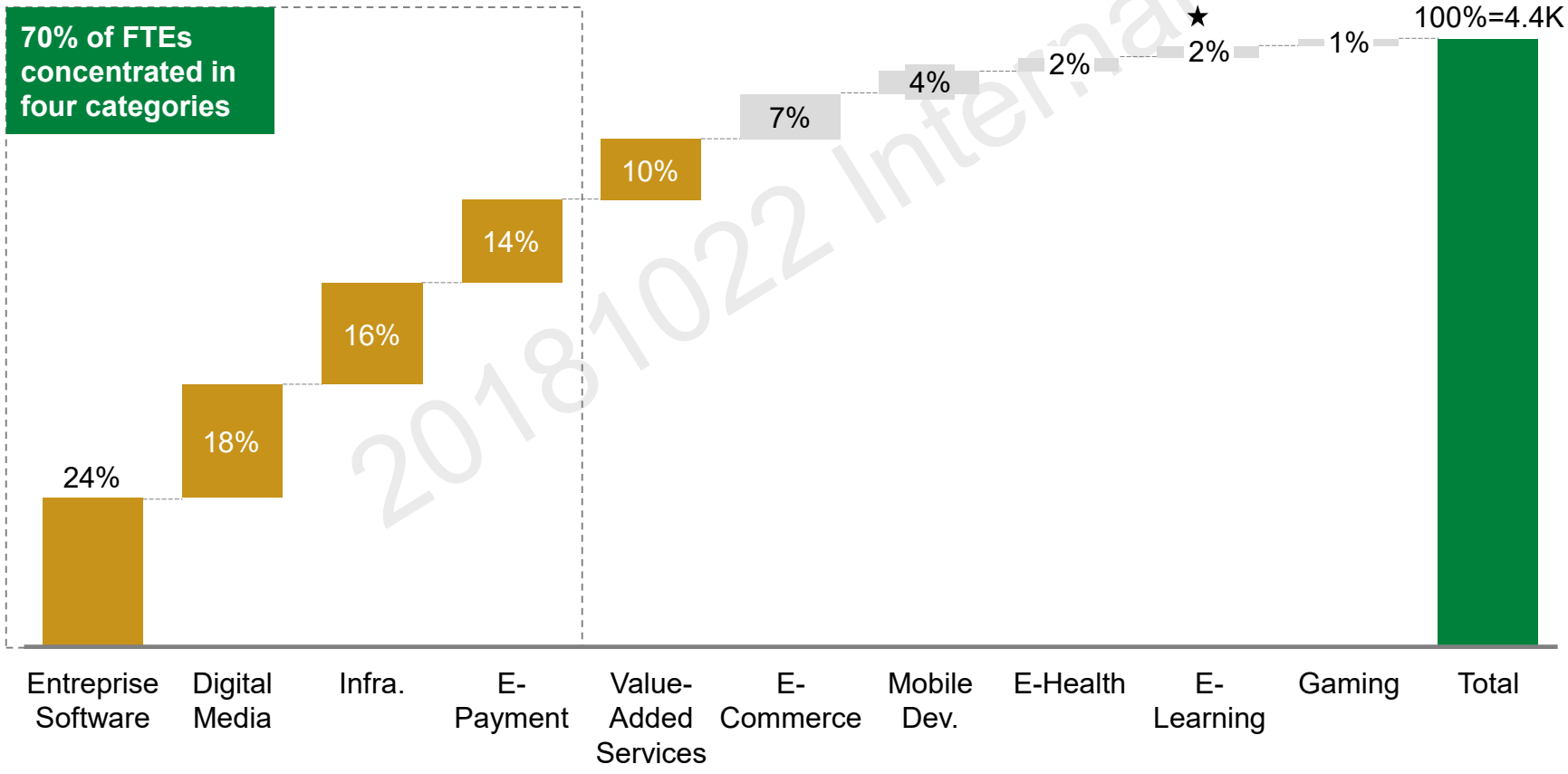
B3 Most incumbents fall within four categories: enterprise, e-payments, financial software and creative & digital media

Number of employees by category, % total



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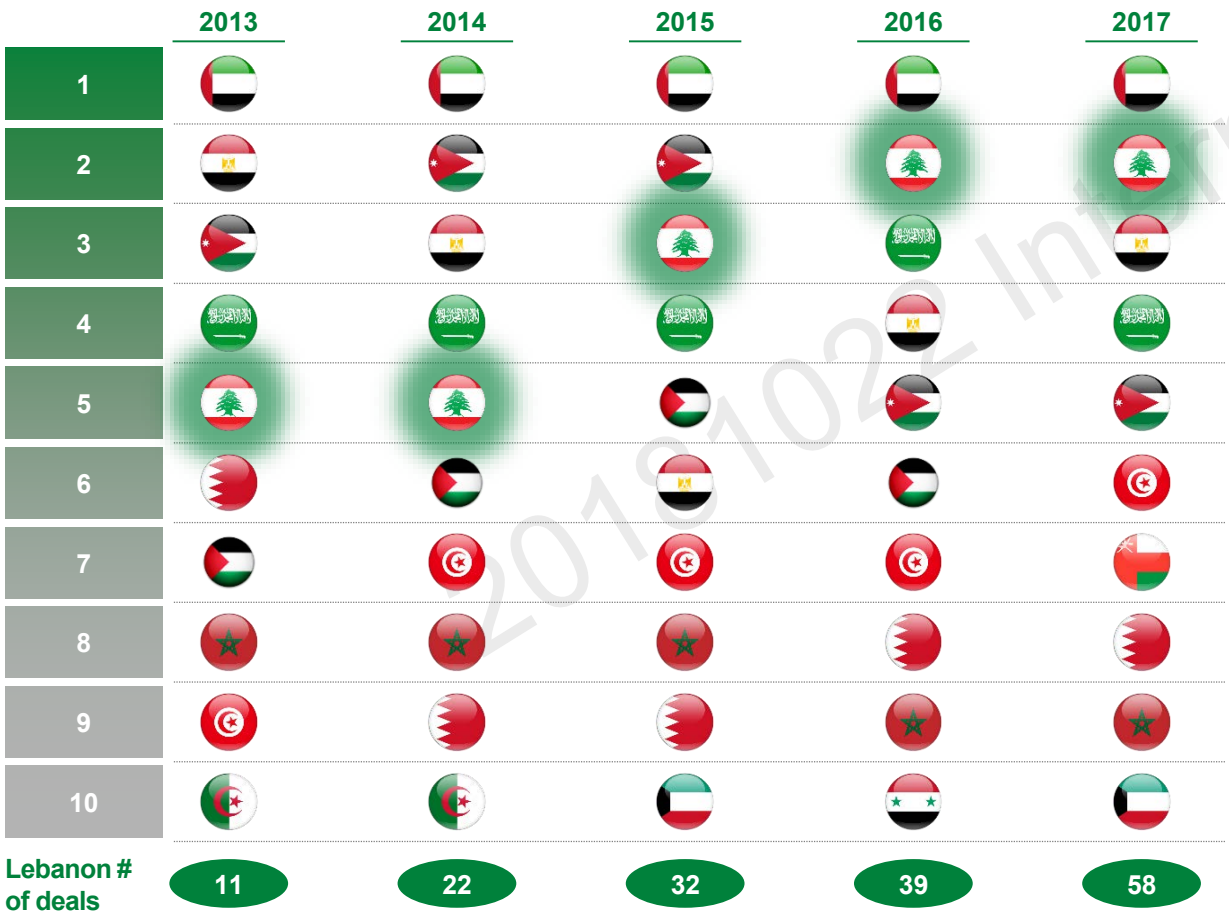
Source: IDAL database; UK Tech Club

B4 Lebanon's start up ecosystem has been recently growing, becoming the second in the Arab world in terms of number and value of deals

Lebanon's ranking in the Arab World in terms of number of deals has been improving during the last 5 years…

… with deals reaching a total value of ~56 USD Mn in 2016

Ranking by number of deals



Value of deals

2016 USD Mn

Growth-Stage Funding[1]

1 Includes Careem & Starz-Play

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Source: ArabNet – The state of digital investment in MENA 2018

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C Lebanon faces several shortcomings across the innovation pipeline that need to be addressed

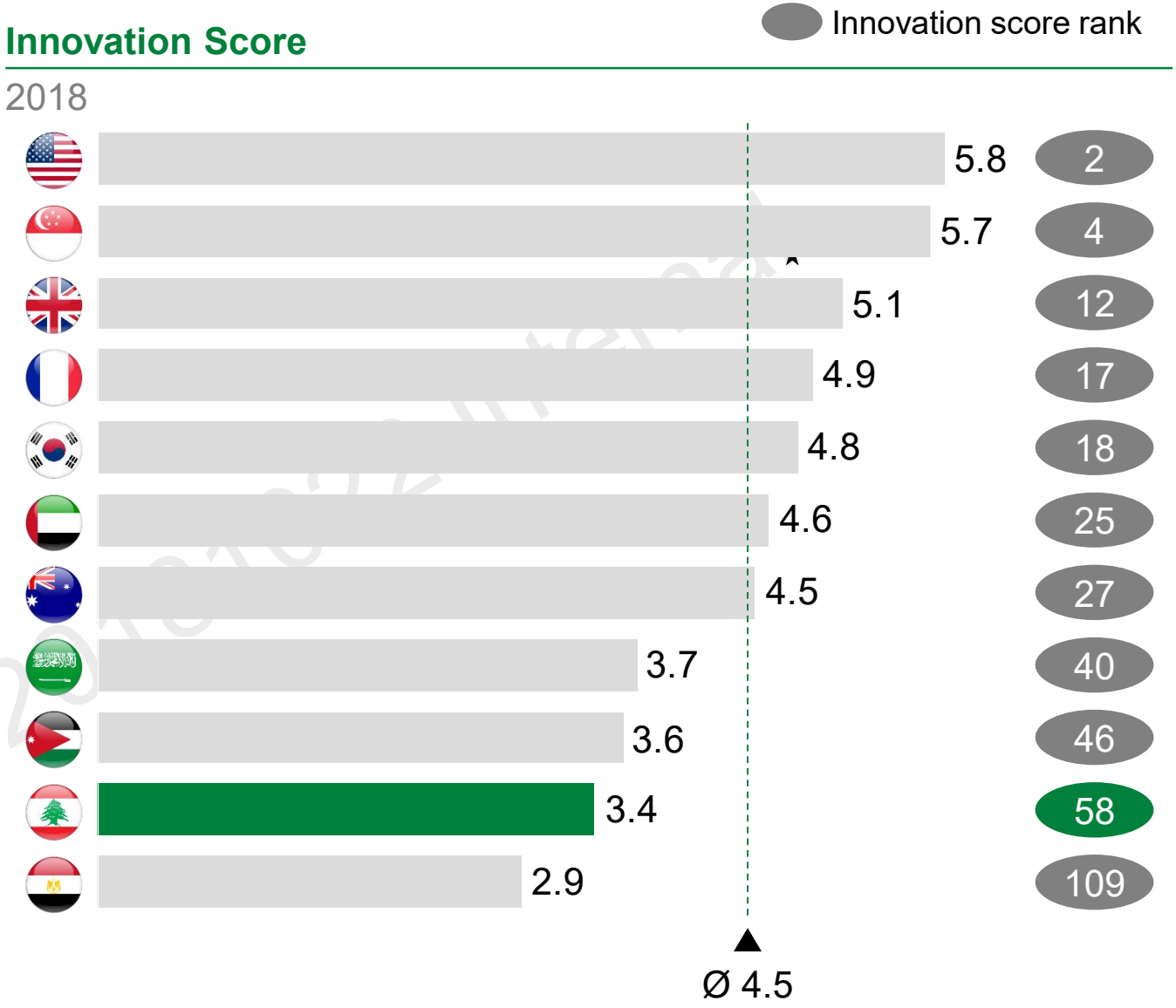
Innovation pipeline performance (by stage of company)

Pipeline activities	Sub-par R&D spend	Low volume of patents	Cumbersome regulation for opening businesses	▪ Survival rate ▪ Employee / revenue growth
Driver 1: Funding	No reliable source for R&D funding	Lack of angel funds	Early-stage	Late-stage / Lack of exits
Driver 2: Culture & people	Low availability of digital talent	Lack of recognition and incentives Limited industry promotion	Leadership, commitment and mindsets	Collaboration and inclusiveness
Driver 3: Enablers	Missing key regulatory requirements (e.g. IP law, employee stock options) & government incentives (e.g. taxes)	Physical infrastructure		

C

Lebanon lags global hubs and regional peers on innovation

- **Lebanon ranks 58th worldwide** on **innovation** score
- However, **compared to leading global hubs** and regional peers, **Lebanon lags ~1 point** in scoring



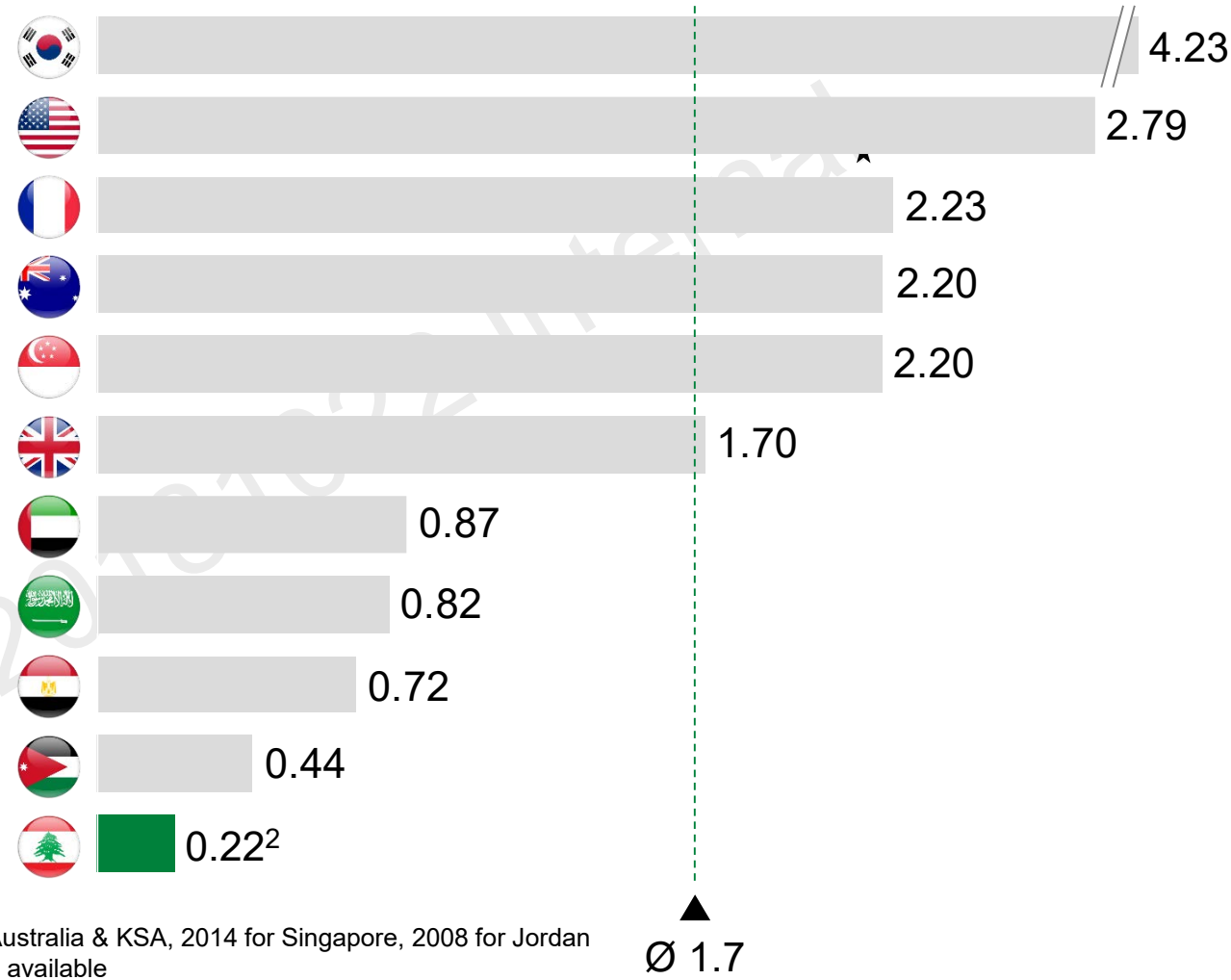
Source: World Economic Forum – Global Competitiveness Report

C1 Lebanon lags global and regional peers in terms of R&D spending mainly driven by a lack of funding

- Lebanon **R&D spending** is **lowest** compared to global innovation hubs and regional peers
- **Lack of funding** drives the low spend on research

R&D spending, % GDP

2015[1]

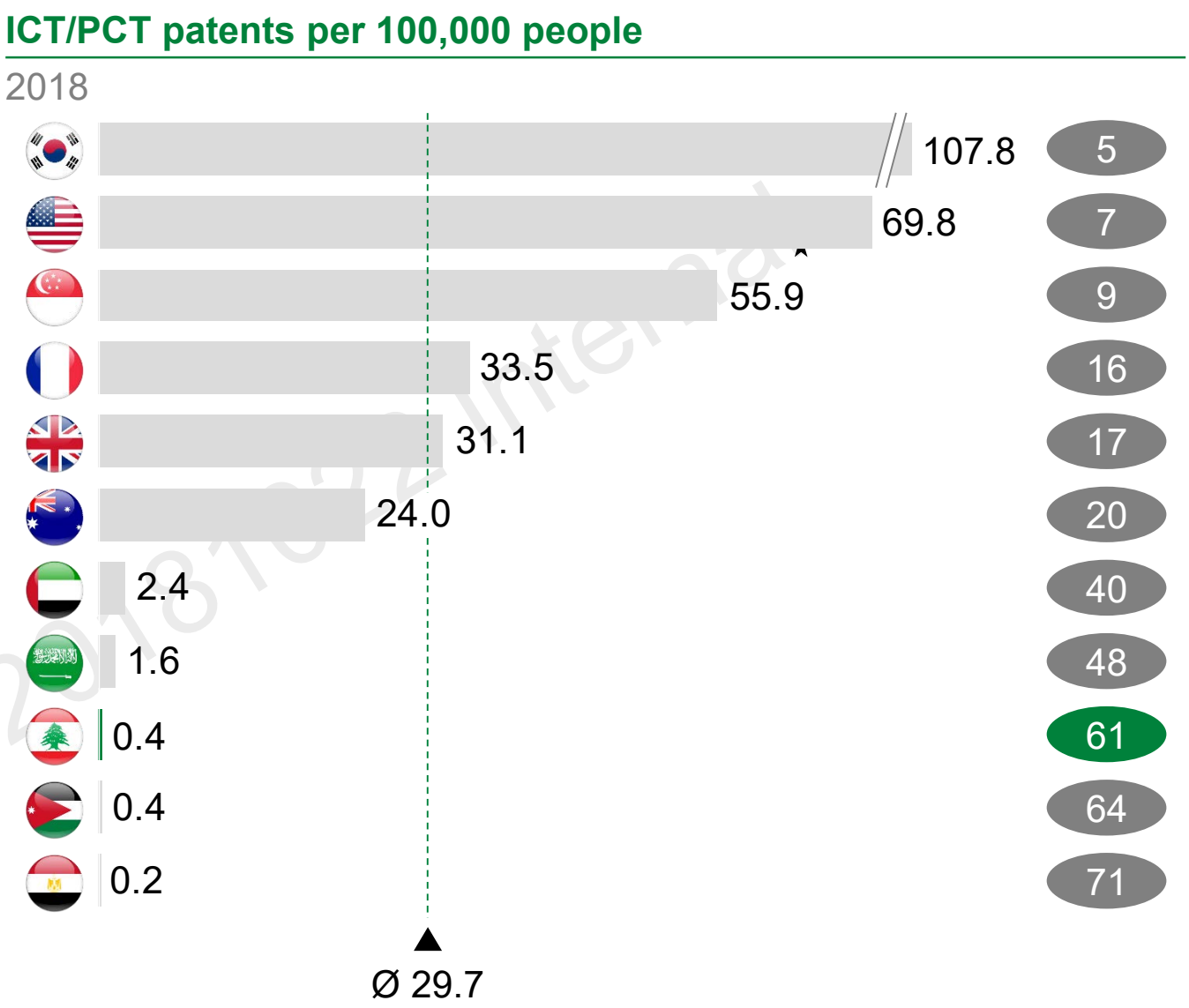


1 2015 data for all country but 2013 for Australia & KSA, 2014 for Singapore, 2008 for Jordan
2 2013 Wamda Press Search as no data available

Source: World Bank data; Wamda; Press Search

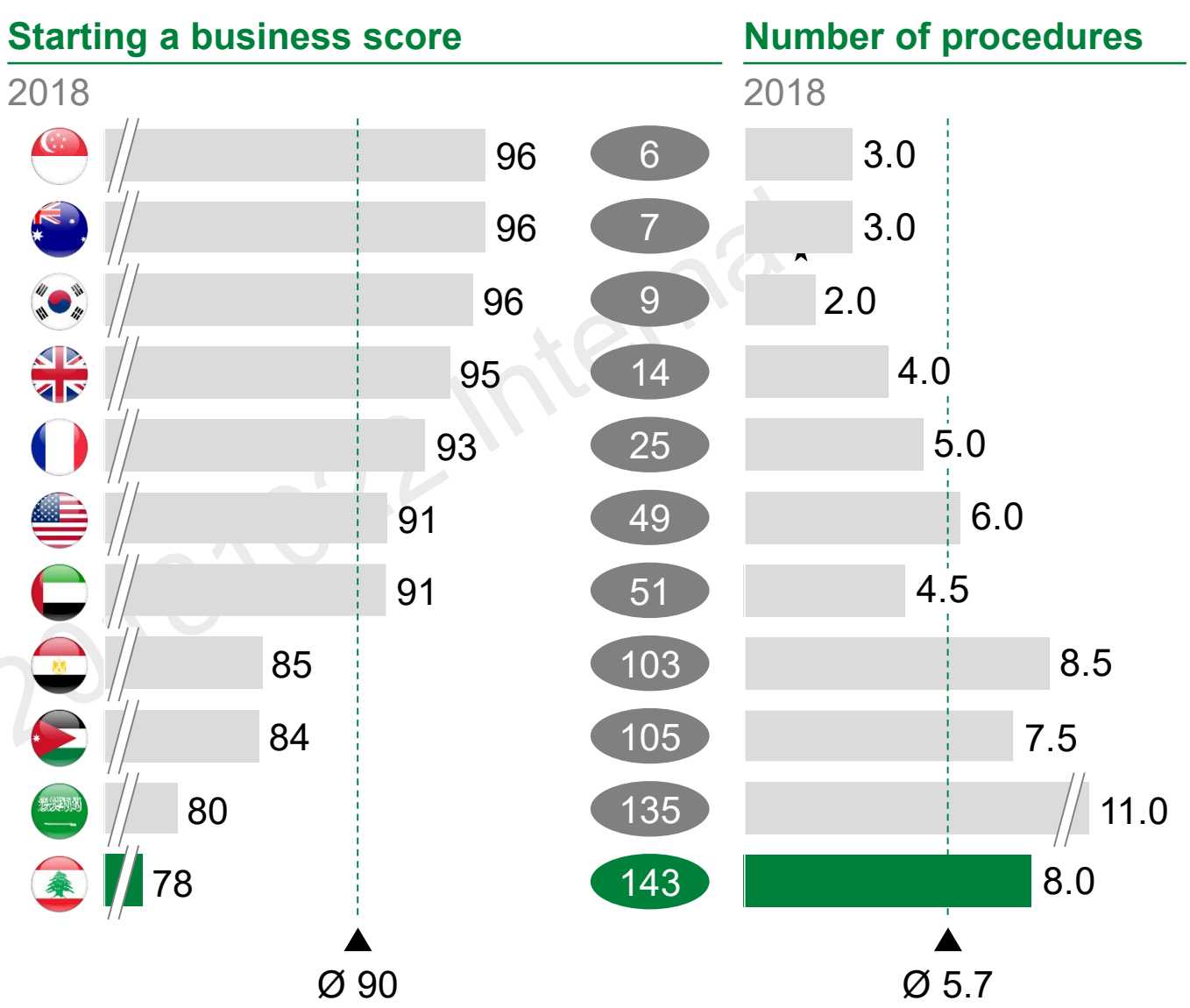
C2 Lebanon also lags global and regional peers in terms of number of patents

- Lebanon **ranks 61st worldwide** in terms of patents, **~60 times less** than the **average** of **global** and regional peers



C3 Compared to global hubs and regional peers, Lebanon ranks last on starting a business, and 143th worldwide

- Lebanon **scores 12 points lower** than global and regional peers on **ease of starting a business**
- Number of **procedures** to start a business stands at 8, **~33% higher than benchmarks**, rendering a **lengthy and costly process**



Protected Internal

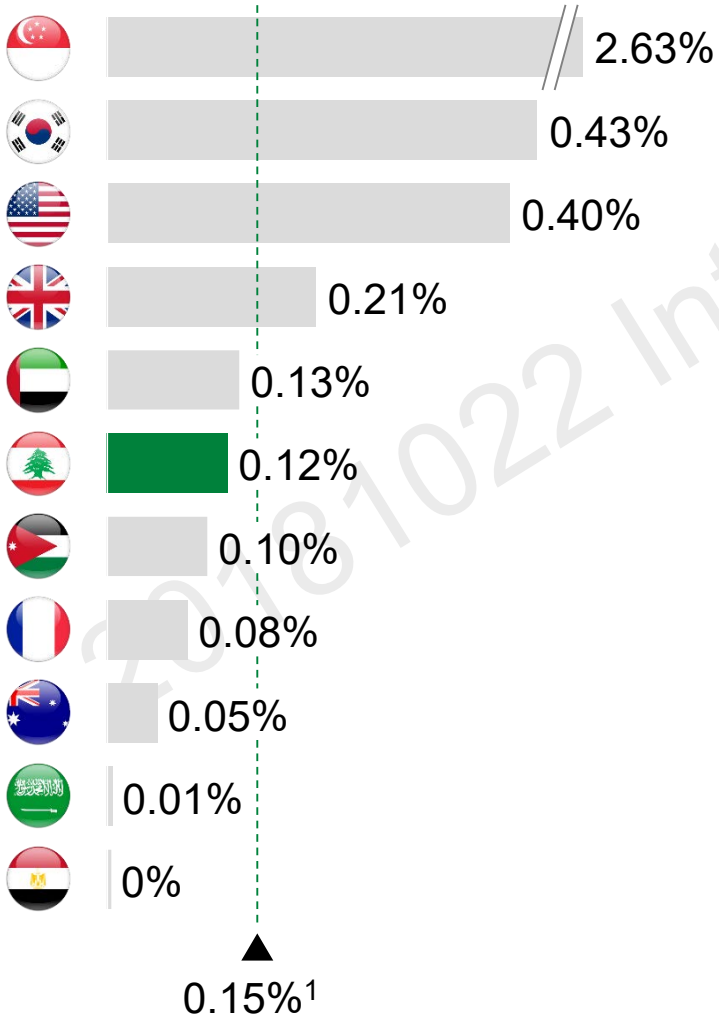
Source: World Bank – Ease of Doing Business Report

C5 Total VC investments is in line with global hubs; however a gap exists at the angel and seed stages

- The **Central Bank** has **provided** room **for commercial banks to** indirectly **invest** a total of **~400 Mn USD** into startups
- **Today** around **~242 USD Mn** have so **already** been **invested**
- Lebanon stands as a regional leader but far from global innovation hubs

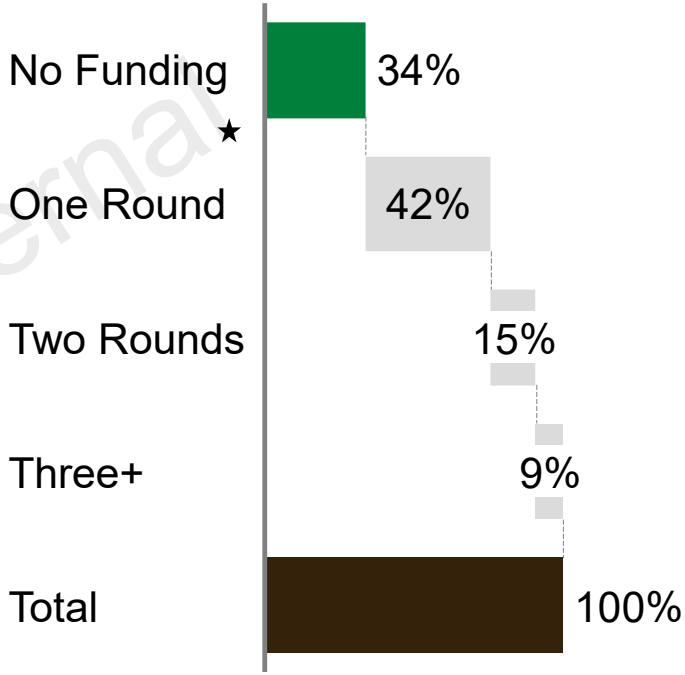
Venture capital investments

2016, % GDP



Rounds of funding received by Lebanese startups

2018, %



*"It is **very hard** for startups to get **angel funding**, especially for ticket sizes less than 50K; **awareness** should be **raised among investors**"*

1 Excluding Singapore

20181022 Internal

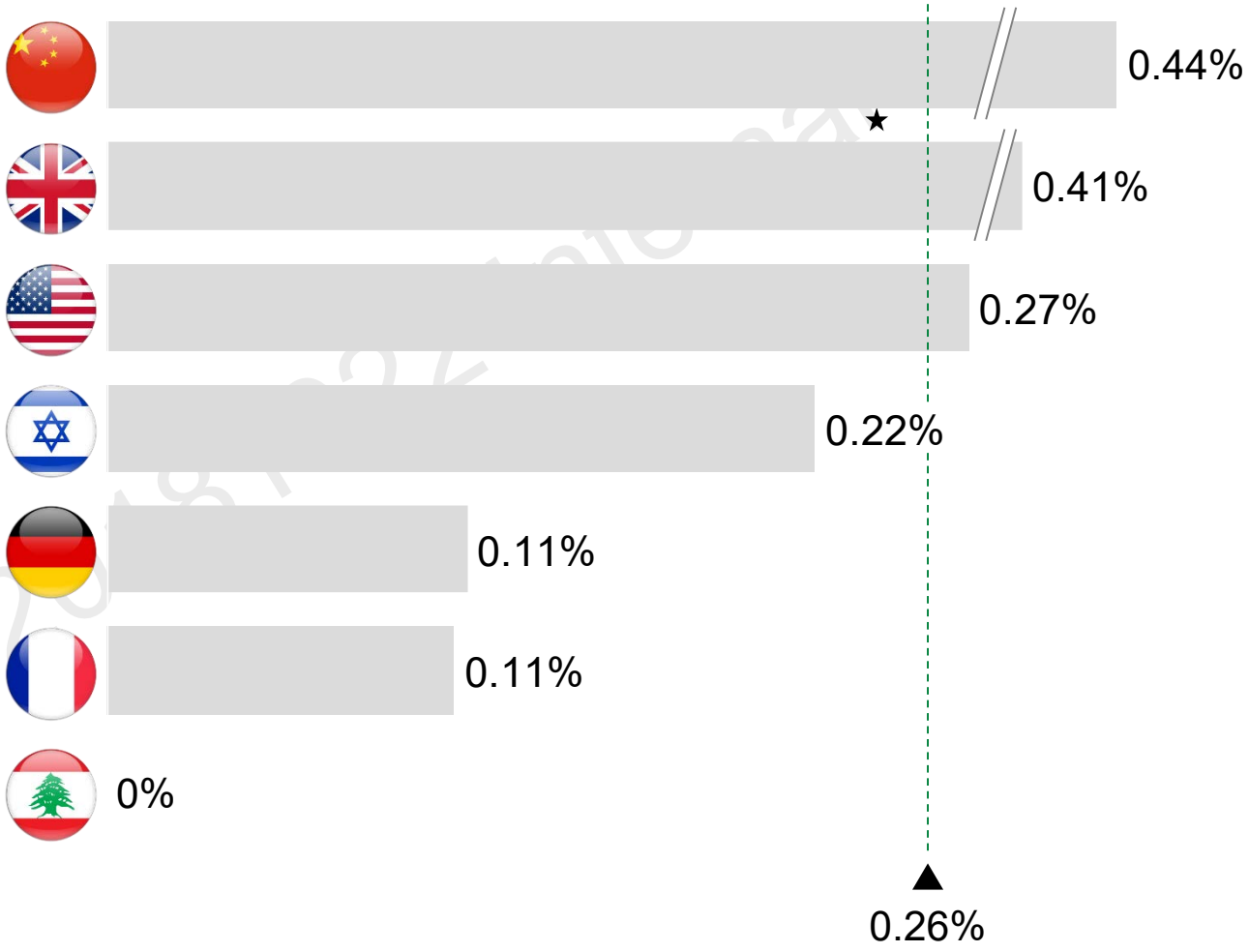
Source: Pitchbook; Banque du Liban; Arabnet - Lebanese Innovation Economy - Tech Startups 2018; Market interviews

C6 Underdeveloped capital markets make exits challenging; in global hubs yearly startup IPO stands at ~0.26% of GDP

- Lebanon has **underdeveloped capital markets** with only **~10 companies listed**
- In **global hubs**, start-up **IPOs** stand at **~0.2-0.3% of total GDP** value

Yearly startup IPO value to GDP

2010-2015 cumulative average, % GDP

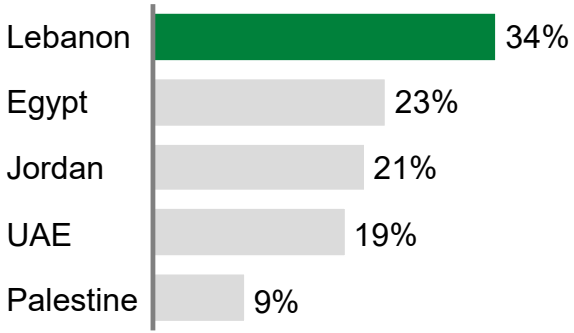


Source: Dealogic; National Statistical Office; IHS World Market Monitor; IMF; OANDA

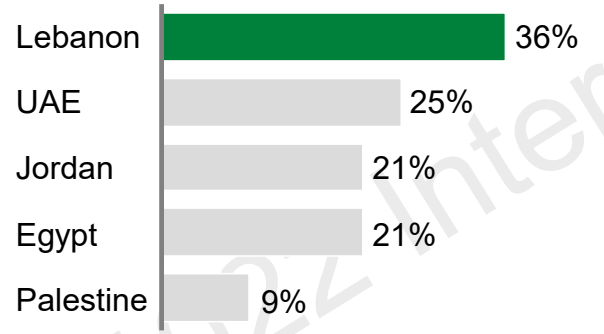
C7 Regional entrepreneurs find Lebanon as the top source for creative and marketing talent but lags regional peers on core technical skills

Where entrepreneurs from selected industries think the most talented employees are located, % respondents

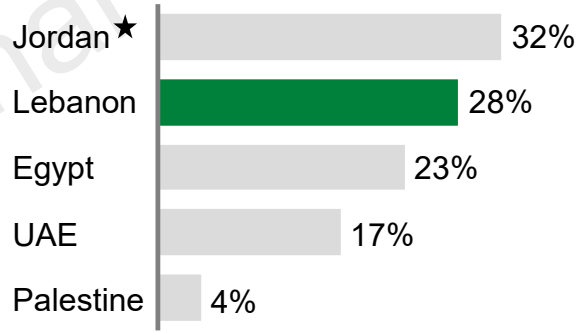
Arts & creative industries



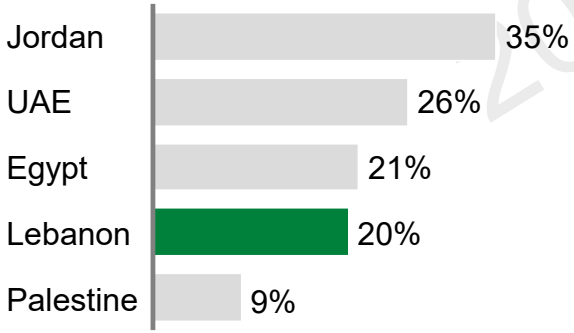
Marketing and PR



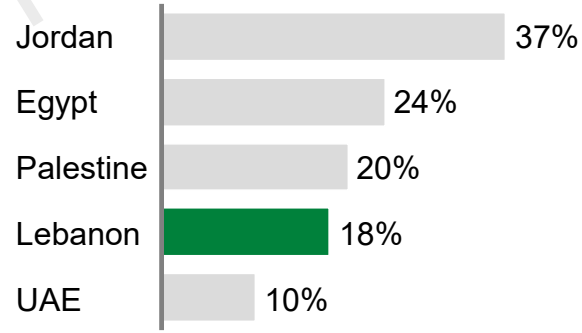
Ecommerce



Online services



Software development and services



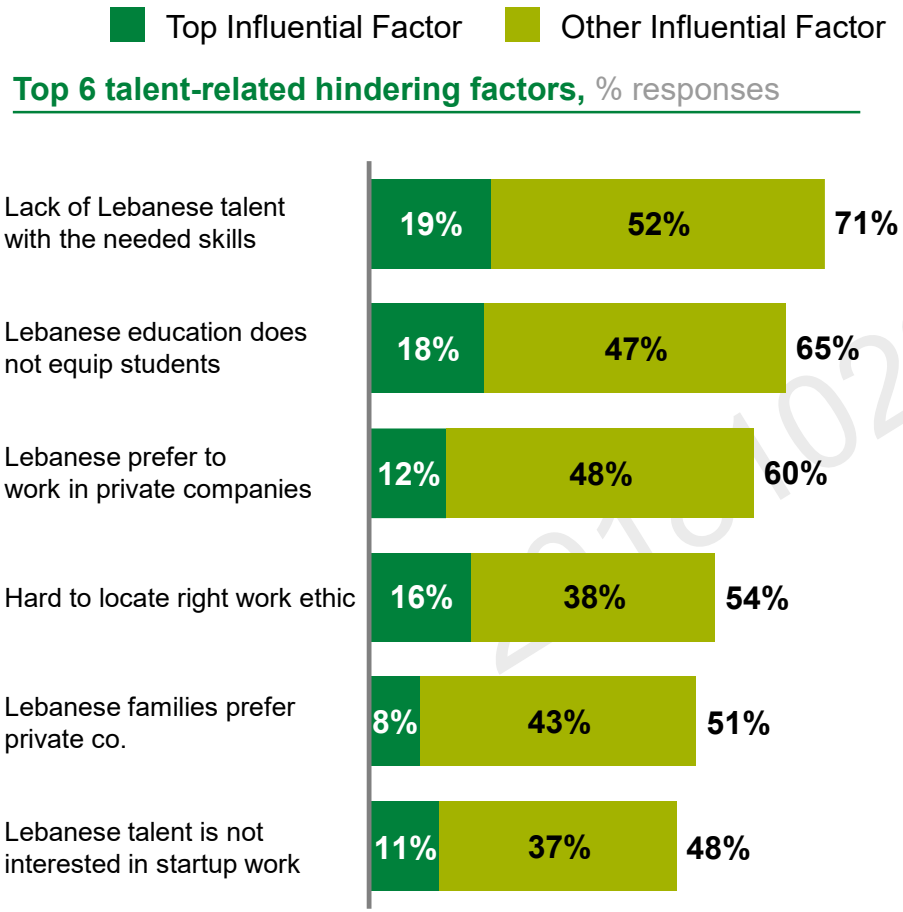
Multiple response question
Base: N = 419

20181022 Internal

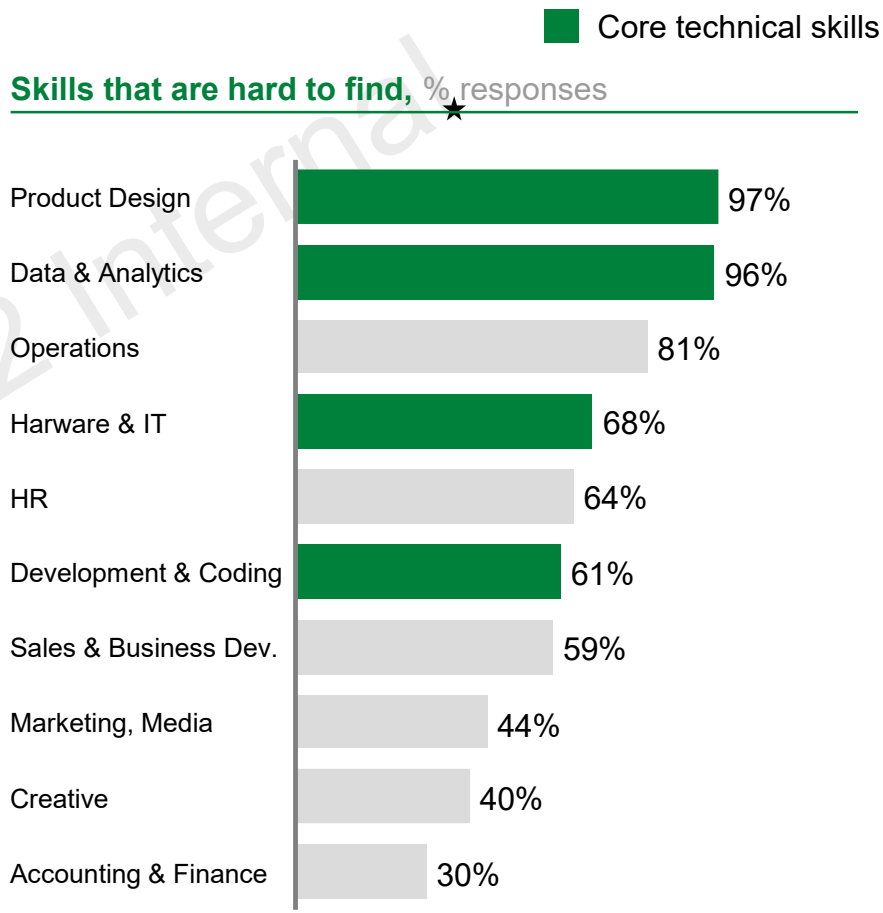
Source: Wamda access to talent for MENA's entrepreneurs

C7 Despite Lebanon's strong human capital base, access to technical & digital talent has been hindering the development of the sector

Most entrepreneurs cite lack of Lebanese talent with needed skills as a major bottleneck



Most entrepreneurs cite the lack of talent pool with the required technical skills as a major bottleneck



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Source: Arabnet - Lebanese Innovation Economy - Tech Startups 2018

C8 Although 53% of talent pool is ready to work for equity-based compensation, only 20% of start-ups offer it, driven by regulatory barriers

CASE STUDY FROM WAMDA

Although more than half of the talent pool accepts lower salaries for stock options, only 20% of entrepreneurs offer the option

Regulatory & legal barriers hinder the usage of stock option as a compensation means

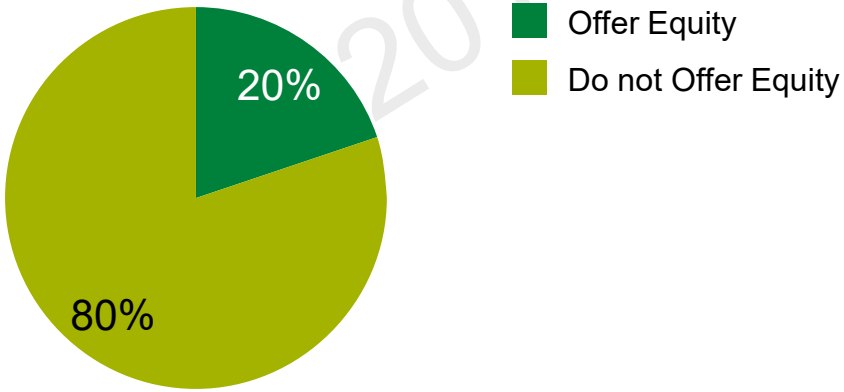
I am willing to work for less money if I receive equity

% responses, N=1569

Agree	Disagree	Undecided
53%	21%	26%

Percentage of entrepreneurs offering equity to their employees

% responses, N=963 (Total region)



Lack of legislation

- Apart from law n.308, there is no tailored general framework that governs stock options in Lebanon
- There exist several mechanisms of the civil and commercial law that can be used to create a contractual framework for stock options

Minimal legal expertise

- There is a minimal legal specialization with stock options, which complicates the process for structuring the deals
- Lack of expertise in the field might lead to contract provisions that are not always adapted and enforceable under the Lebanese law

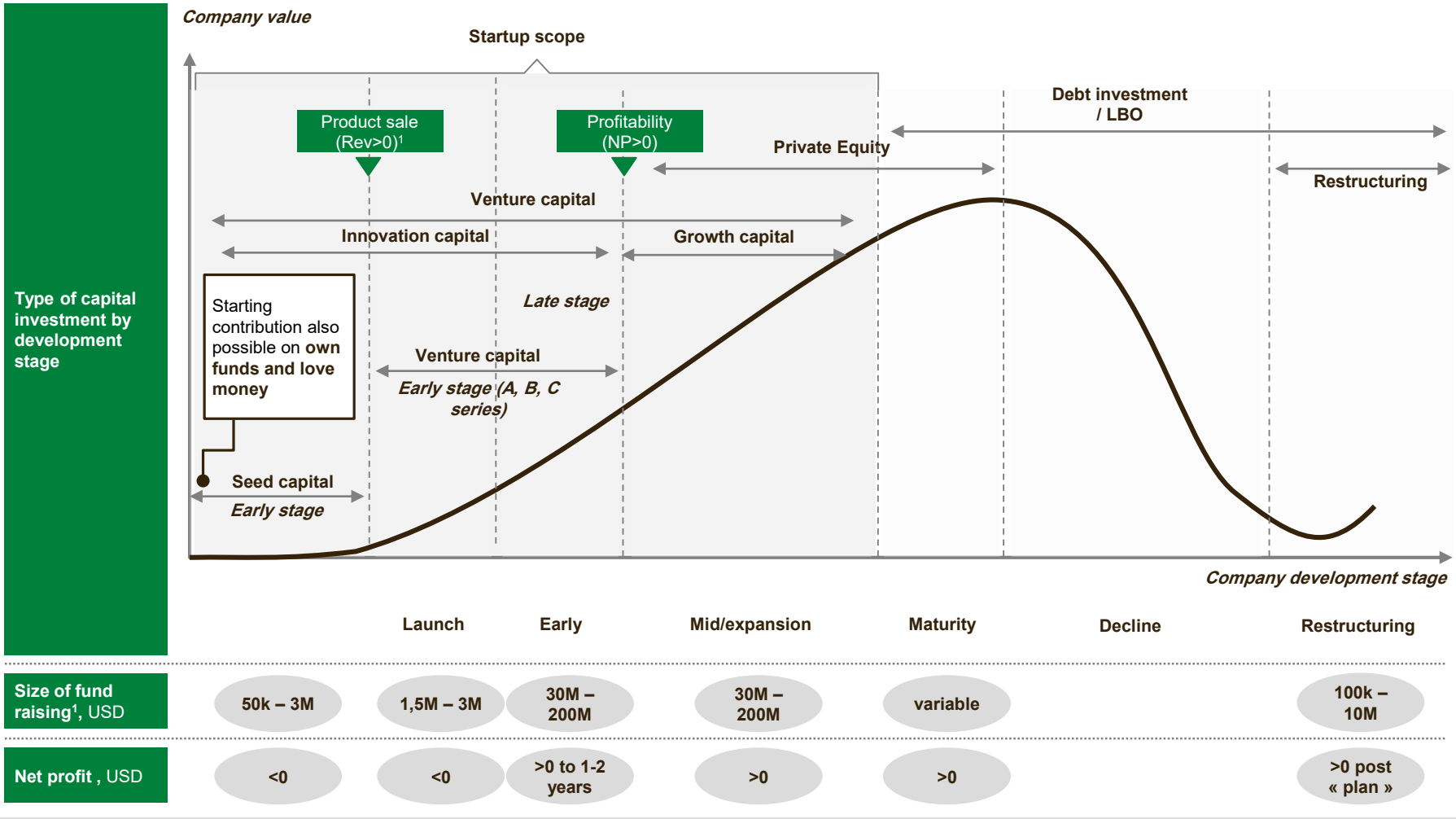
Nascent concept

- A large number of employees are not aware of the stock-option incentive with entrepreneurs giving minimum to no guidance and/or awareness towards that option

20181022 Internal

Source: Wamda access to talent for MENA's entrepreneurs

C A “start-up” is a company that has not achieved yet its financial maturity and benefits from love money, VC or PE investments



1 Estimates, based on interviews

Source: AFIC

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D1 The process outsourcing, xPO, industry broadly covers four sub-sectors: CRM, BPO, KPO and ITO

Covered as part of Tech

	Definition	Sample Functions	Key Drivers
Customer relationship management (CRM)	Contracting of **voice processes** to a nearshore or remote third-party provider	▪ Call Center	▪ Pure **cost game** ▪ Requires **language knowledge** and **time-zone** ★
Business process outsourcing (BPO)	Contracting of **non-primary/support** business activities, functions and processes to a nearshore or remote third-party provider	▪ Human Resources ▪ Finance & Accounting	▪ Lower **cost** ▪ **No specialized** talent pool required
Knowledge process outsourcing (KPO)	Contracting of **knowledge-intensive functions** that are usually core to an organization	▪ Market research ▪ Marketing analytics ▪ Financial modeling and valuation	▪ Added **value** ▪ **Specialized** talent required but decent jobs generated
Information technology outsourcing (ITO)	Contracting of all or parts of the **IT functions** of a company to an external party	▪ Data Center ▪ Application development and management ▪ End-user IT Helpdesk	▪ Lower **cost** ▪ **Specialized** IT talent

20191022 Internal

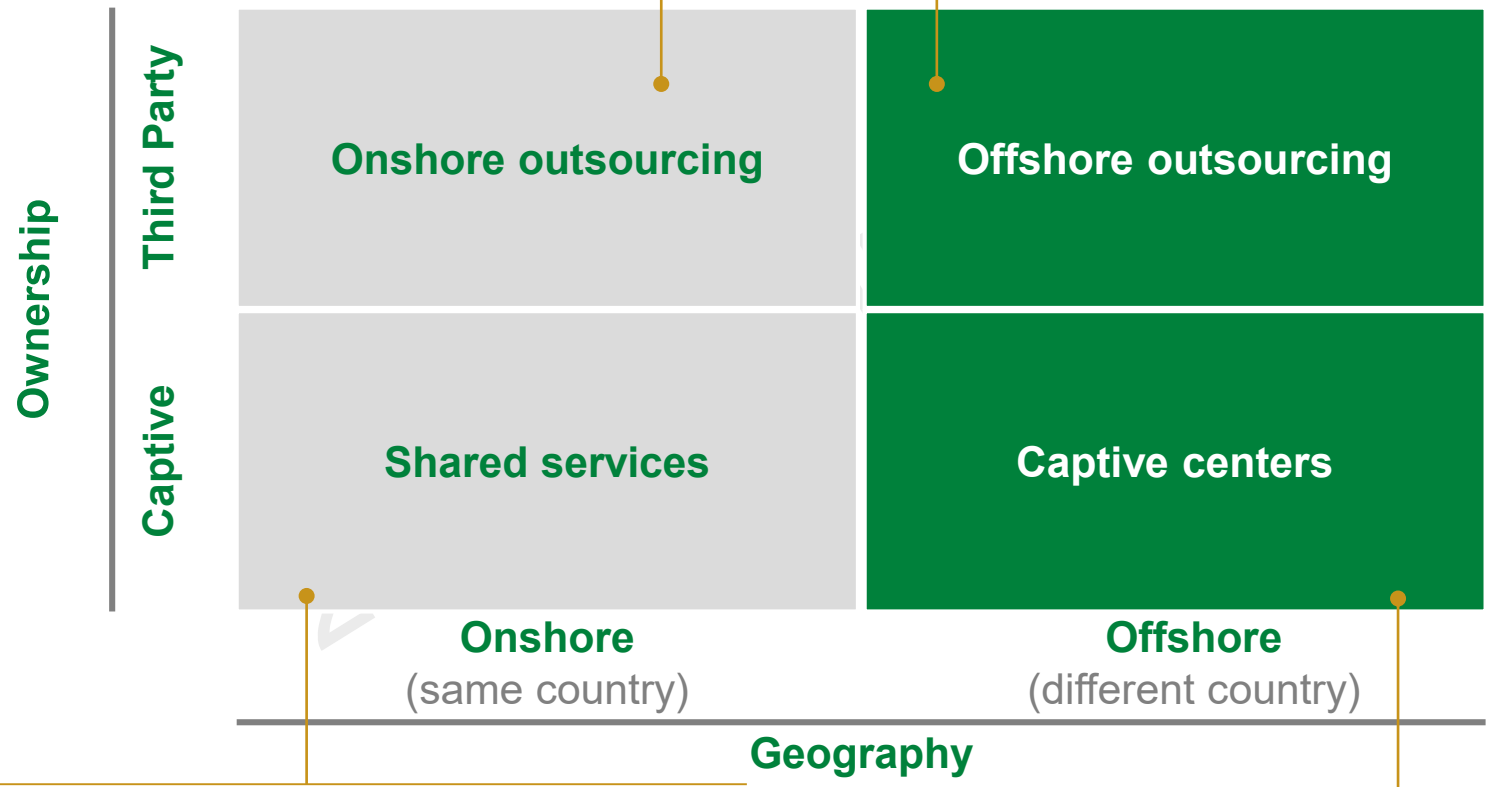
Source:

D2 Process outsourcing could take one of four formats

Export-driven

e.g. Azadea outsourcing HR functions to Lebanese 3rd party

e.g. Apple outsourcing HR functions to Lebanese 3rd party



e.g. Lebanese restaurant conglomerate centralizing HR of all restaurants in one location in Lebanon

e.g. Apple centralizing all of its HR in one location in Lebanon

Source:

D4 Lebanon's process outsourcing sector is still nascent, lagging behind regional and global peers that have leveraged the sector for job creation

	Lebanon	Poland	Egypt	Morocco
Employment in outsourcing industry	~5,000	212,000	90,000 ★	100,000
Global player operating in the country	▪ Limited to none	▪ >50 of the top BPO vendors ▪ ~50 captive centers HSBC, WNS, RBS, EY, IBM, GENPACT, ABSL	▪ 10-20 of the top BPO vendors ▪ 10-20 captive centers vodafone, WIPRO, itida, Microsoft, Teleperformance	▪ 24 of top 50 French IT companies AXA, DELL, Capgemini, Teleperformance, amazon
Industry organization	▪ N/A	▪ Association of 180 major vendors in Poland	▪ Executive IT arm of the Ministry of Communication & IT	▪ Invest in Morocco ▪ Moroccan association for customer relationship
Incentives	▪ Tax breaks offered	▪ Some incentives: CIT exemption in SEZs; Grants for R&D – 50-65% for industrial research – 25-40% for experimental development	▪ Some incentives: – Dedicated technology parks with one-stop shop registration – Tax reduction	▪ Some incentives: – Exoneration of corporate tax for 5 years – BPO parks with cheap infrastructure

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Source: IAOP: Global Outsourcing 100 2016; IDAL BPO Factbook 2016

Contents – Knowledge Economy

A Macro-economic contribution

B Key performance measures – technology

C Key performance drivers & enablers – technology

D Key performance measures – outsourcing

E Key performance drivers & enablers – outsourcing

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E Successful global outsourcing hubs must achieve a baseline level across six axis, with cost being the most important

Most Important Axis

Global value proposition axis	
1 Cost competitiveness	▪ **Outsourcing services must be provided at a competitive cost on the global scale;** without cost advantage, establishing a hub is very challenging
2 Availability of talent	▪ **People and talent base with relevant skills and potential to innovate** – **Foster and retain local talent** with open access to high quality education ▫ Function and industry specific-skills ▫ English language/Multi lingual capabilities
3 Physical & virtual infra-structure	▪ **Ensure high functioning network of physical infrastructure** (e.g., roads, public transportation, power, water) ▪ Provide adequate **virtual infrastructure** (e.g., telecom, Wi-Fi) to power the sector
4 Regulation & environment	▪ Allow **sector to flourish** through enhancing and eliminating **burdensome regulations** that inhibit the growth of the sector, e.g. Labor laws, business set-up, FDI policy, corruption ▪ Enhance **business environment** through overall **ease of doing business** as well as strengthen **investor protection framework** ▪ Ensure **high quality of living** to attract and retain MNCs
5 Country Risk profile	▪ Build confidence in the market by supporting **economic and political stability** in the country, as well as **legal transparency** and **data protection laws**
6 Industry maturity	▪ Current **size of the industry** in terms of **employment** and **number of companies**

20181102 internal

Source: Expert Interviews

E1 When looking into BPO Lebanon ranks highly on cost and talent but lags peers mainly on infrastructure and risk profile

Index scale – 1 is the most attractive and 5 is the least attractive score

Factors	Bangalore	Krakow	Cairo	Manilla	Beirut	Singapore City ★	Riyadh	Weights
Average Score	2.06	2.15	2.17	2.24	2.46	2.61	2.65	◀ Ø 2.3
1 Cost com-petitiveness	1.88	2.16	1.50	1.96	2.14	3.24	3.30	33%
2 Availability of talent	1.58	1.40	1.74	1.48	1.50	2.75	2.05	33%
3 Physical & virtual infra.	2.78	3.11	3.07	3.70	4.23	2.34	2.30	11%
4 Regulation & govt. support	2.73	2.64	3.25	3.16	3.27	1.58	2.85	11%
5 Country risk profile	2.66	2.90	3.48	2.97	3.69	1.57	2.68	11%
6 Industry maturity	1.00	1.87	2.23	1.00	5.00	1.00	4.12	0%

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E1 When looking into KPO Lebanon ranks highly on cost and talent but lags peers mainly on infrastructure, risk profile and industry size

Index scale – 1 is the most attractive and 5 is the least attractive score

Factors	Singapore City	Bangalore	Riyadh	Beirut	Manilla	Krakow ★	Cairo	Weights
Average Score	2.30	2.38	2.65	2.67	2.71	2.79	2.83	Ø 2.6
1 Cost com-petitiveness	3.24	1.88	3.30	2.14	1.96	2.16	1.50	33%
2 Availability of talent	1.82	2.55	2.05	2.14	2.90	3.33	3.72	33%
3 Physical & virtual infra.	2.34	2.78	2.30	4.23	3.70	3.11	3.07	11%
4 Regulation & govt. support	1.58	2.73	2.85	3.27	3.16	2.64	3.25	11%
5 Country risk profile	1.57	2.66	2.68	3.69	2.97	2.90	3.48	11%
6 Industry maturity	1.00	1.00	4.12	5.00	1.00	1.87	2.23	0%

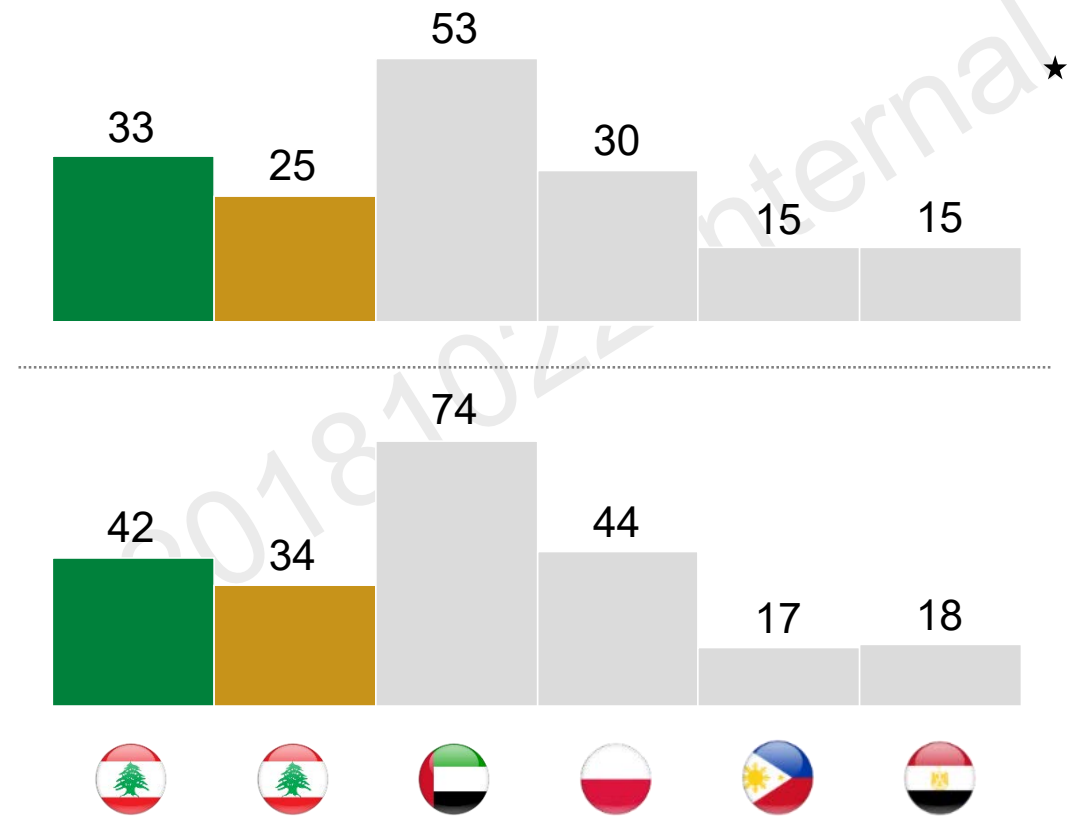
20181122 Internal

Source: Location Readiness Index database

E2 Lebanon provides a competitive cost structure, especially in knowledge intensive activities

Lebanon Tier I Lebanon Tier II

Service line	Fully loaded cost[1] $ cost/FTE/year in 000's

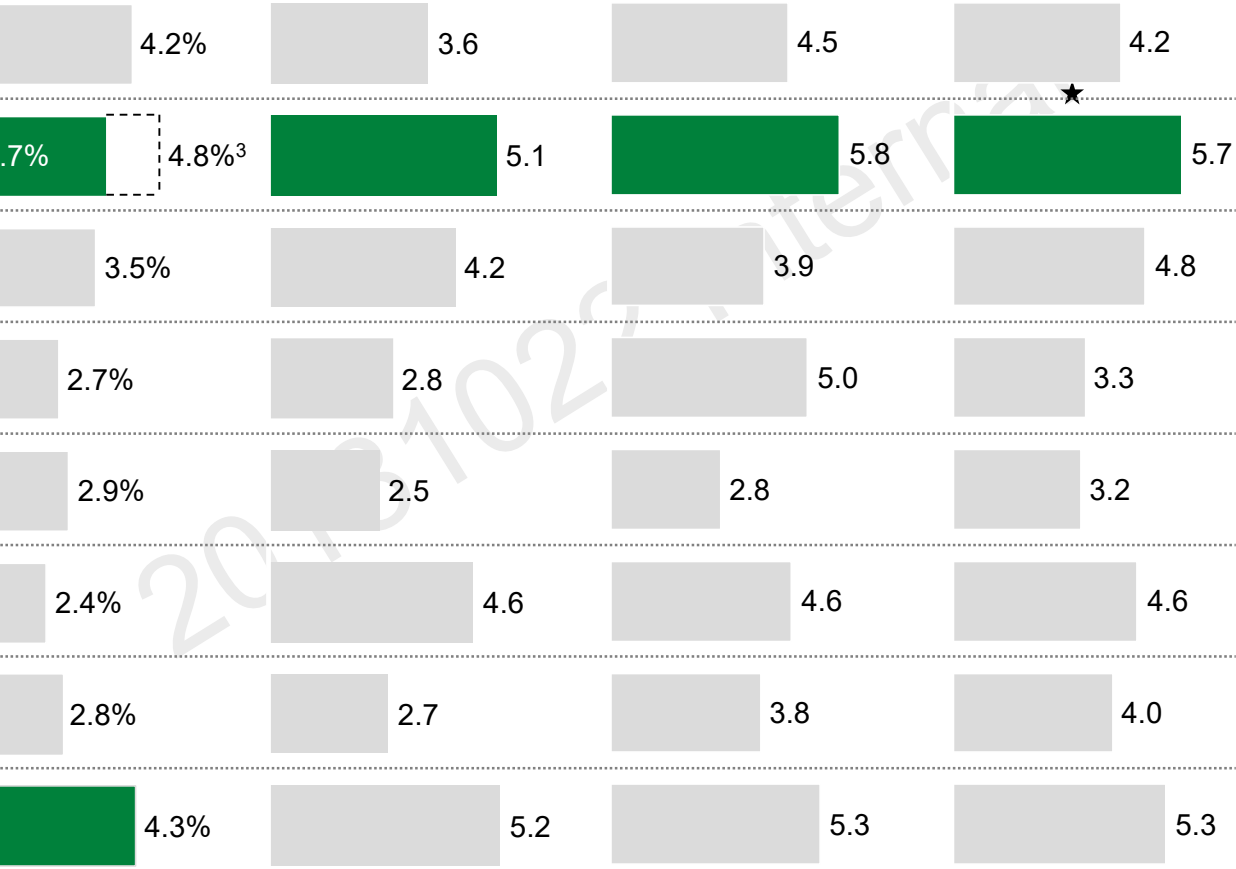


- Lebanon provides for significant cost benefits compared to target markets (e.g. UAE)
- Lebanon also provides for a cost structure similar to that of global outsourcing hubs,, especially on knowledge intensive services

1 Includes employee cost, rental cost, telecom cost and G&A normalized to a per FTE basis 2 Accountant salary used as a proxy
3 Software developer salary used as a proxy

Source: Payscale; OLX

E3 Lebanon ranks highest in BPO & KPO-relevant education metrics, and has a relatively large pool of tertiary graduates



- Quality of education is higher than all outsourcing hubs
- Tertiary education penetration is also higher than all of the benchmarks

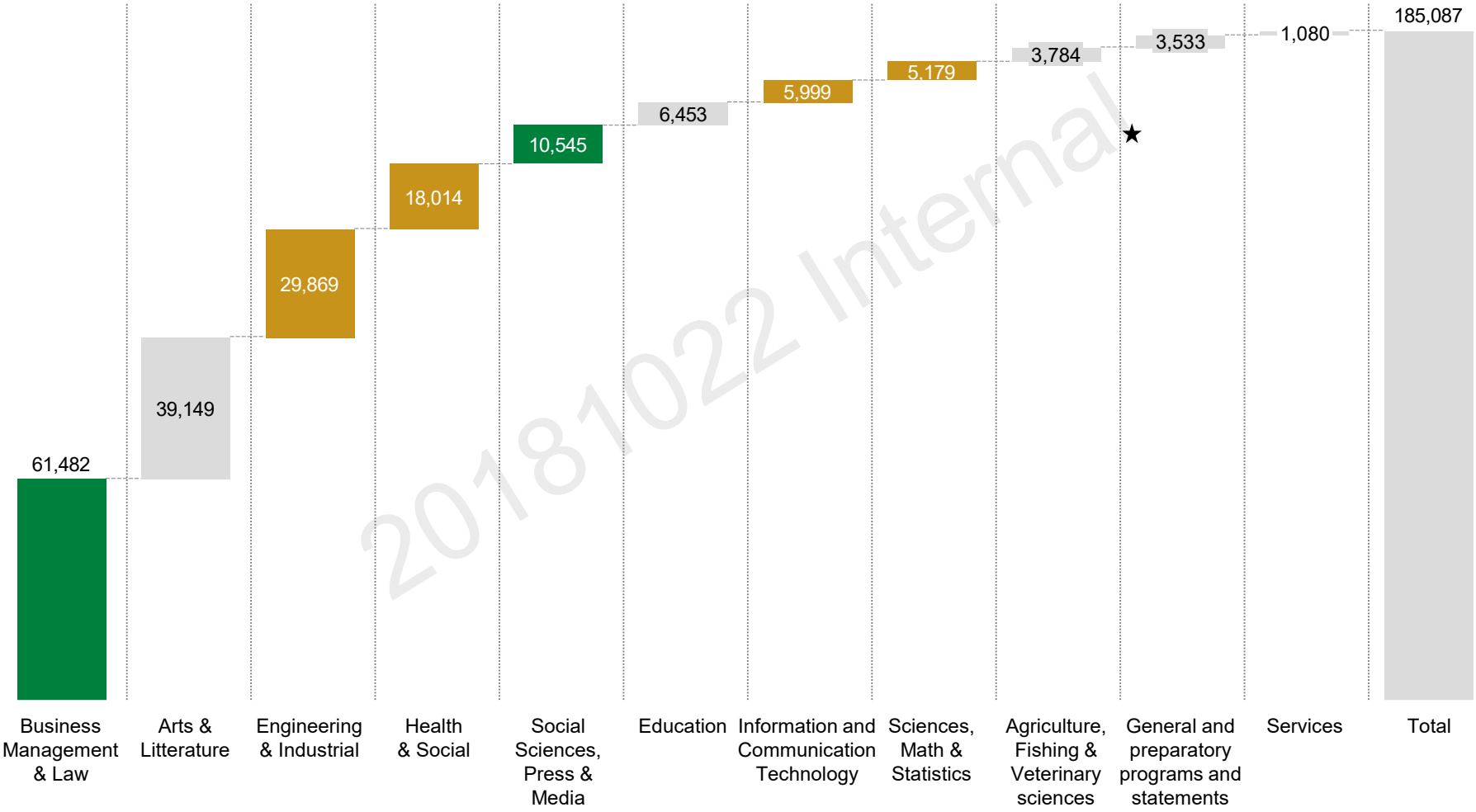
1 Total number of graduates
2. World Economic Forum report. On a scale of 1-7 where 1 = worst ; 7 = best
3 Including & excluding refugees

Source: WEF; UNESCO

E3 ~39% of total tertiary graduates are BPO-ready with a further ~32% graduates that are KPO-ready

BPO-Ready | KPO-Ready | Other

Number of tertiary students, # of students



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Source: Ministry of Education

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Financial Services Framework

Focus of financial sector vision

Mission and objectives

Vision and/ or aspirations

Intermediaries and market participants

Banks
- Universal and specialized
- State and private
- Domestic and international

Non-banks/ finance companies
- Consumer finance
- Insurance
- PE/VC funds
- FinTech

Development & specialty finance institutions
- Domestic and international development banks and funds
- Secondary mortgage institutions

Institutional investors
- Domestic and international
- Sovereign and private

Financial sector support services
- Collection agents (e.g., bad banks)
- Call centers
- Business processing
- Others

Other participants
- Consultants
- Law firms
- Auditors

Financial markets

Equity market | **Bond market** | **Commodities market** | **Money market** | **Derivatives market**

Enabling infra-structure

Credit
- Credit bureau and rating agencies
- Collateral registry (movable assets, real estate, etc.)

Payments
- Payment systems & networks
- Securities clearing & settlement

Legal
- Legal framework
- Bankruptcy code
- Deposit insurance/ protection

Regulators and policy-makers

Regulating agencies and supervisory/conduct authorities and frameworks (e.g., CB, Securities commission or CMA)

Cross-government bodies, incentives and other tools (e.g., sector-specific incentive programs)

Capabilities

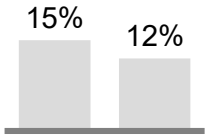
Financial sector capabilities (e.g., institute of banking, professional licensing entities)

Consumer capabilities/financial literacy (e.g., financial education and awareness programs)

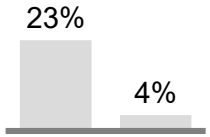
Financial Services – summary of diagnostic

Banking

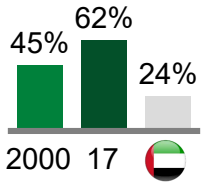
RoE, %



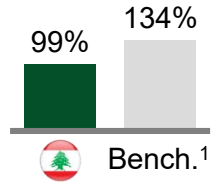
Deposit growth, %



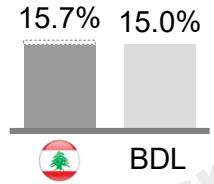
Sovereign exposure, %



Loan penetration, %GDP

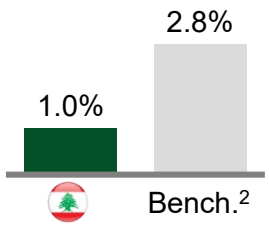


Capital adequacy ratio, %

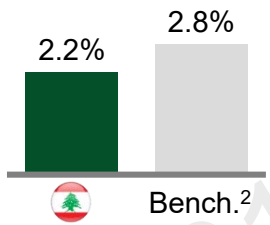


Insurance

Life penetration, GWP % GDP

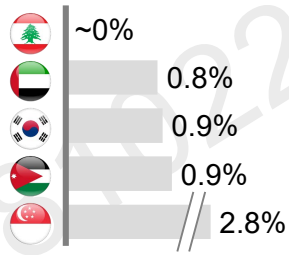


Non-Life penetration, GWP % GDP

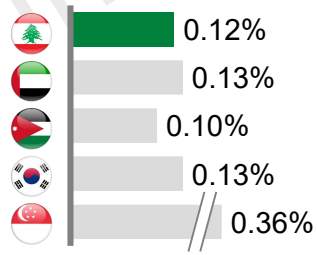


Private Equity/Venture Capital

Private Equity deals, % GDP

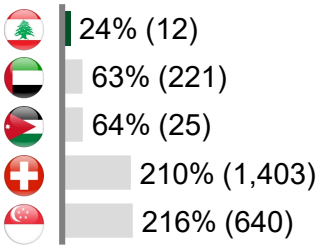


Venture Capital deals, % GDP

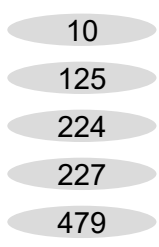


Capital markets

Market capitalization, % GDP (USD Bn)



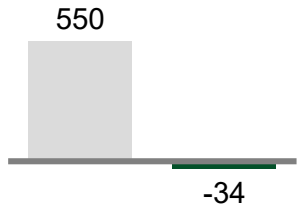
Listed companies, #



Pension funds

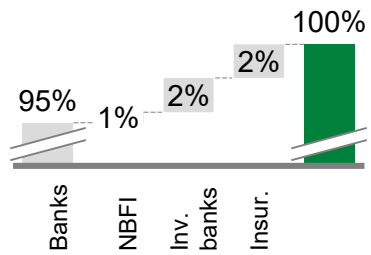
Pension surplus, USD Bn

Insurance deficit, USD Bn



Financial assets

Financial sector asset split, %



Key challenges

- **Lack of participation of non-banking financial services**
  - Domination of financial services by banking with ~95% of assets
- **Underdeveloped capital markets**
  - Lack of incentives to list
  - Limited foreign investments
- **Credit**
  - Although a large portion of credit information is provided by BDL, sector can benefit from a credit bureau
- **Legal**
  - Sub-par legal framework on three fronts: (1) E2E doing business cycle (2) Private equity and fund management laws (3) Digital banking & payments
- **Regulator**
  - Incomplete regulatory framework for capital markets (lack of sanctioning committee & tribunal)
- **Capabilities:**
  - Low financial inclusion and literacy, especially outside BML

1 Includes Singapore, Switzerland, UAE, Greece, South Korea, Jordan & Morocco

2 Includes UK, France, Italy, Netherlands, Spain, South Korea, Brazil, Hungary, KSA & Turkey

Source: IMF Article IV, Banque du Liban, BCC, ICC, World Bank, Pitchbook, Country central banks

Financial services diagnostic - key performance measures banking (1/2)

A. Key performance measures - Banking

Macro contribution

A1 Lebanon's financial services sector currently contributes to ~9% of GDP and employs ~50K FTEs corresponding to ~3% of the total Labor force

- The financial services sector in Lebanon currently contributes ~9% of the country GDP and employs ~3% of the total labor force, with no jobs in the informal sector; sector also contributes to more than 30% of the government's income tax
- The sector has demonstrated continuous real growth at 10% p.a. from 2005 till 2010, higher than overall economic growth, and 6% p.a. during the last 6 years, outperforming the growth of the economy for that period too

Banking performance measures

A2 Lebanon's banking sector is at an advanced stage with a large number of operating banks and total banking assets of ~220 USD Bn in 2017

- Today more than 50 commercial banks operate in Lebanon, with an additional 16 investment banks
- Total banking assets have grown at ~15% p.a. during the 2006-2010 economic growth period before declining to ~8% p.a. post 2010.Today, total assets reached ~220 USD Bn, the equivalent of ~412% GDP; in 2016 the assets to GDP ratio stood at 397%

A3 The country also presents a high banking penetration when compared to GDP, driven by diaspora remittances

- Lebanon has one of the highest deposits to GDP ratios worldwide, standing at ~323%, ~2.3 times higher than peers
- Moreover, total loans to GDP are standing at ~99%, are lower than peer average of 134% driven by a low penetration of retail loans (30%) when compared with global and regional peers (50%)

A4 The banking sector has also managed to develop a regional and global footprint with several success stories, allowing for broader global strategy

- Today, Lebanese banks operate ~360 banking units (branches, subsidiary branches & representative offices) in foreign countries, with leading banks having built full-fledged operations mainly in Egypt and Turkey
- At the consolidated group levels, ~16% of total Lebanese Alfa and Beta bank assets are booked outside Lebanon, contributing to a significant part of the bank's customer base and profits

A5 Moreover, key metrics show that Lebanon banking's sector health is at par with international standards and regional benchmarks

- Lebanon's strict prudent regulatory environment dictate capital adequacy ratios of ~15% starting 2018, well above the 10.5% Basel III guideline. However, average capital adequacy ratio of all Lebanese banks stood at ~15.7% at the end of 2017, only 0.7% above regulatory capital offering limited margin
- Moreover, average cost of risk stands at ~0.8%, in line with peer average.
- However, gross NPL ratio of ~6.5% is ~1% higher than regional peers, driven by deteriorating economic conditions, coupled with underdeveloped underwriting capabilities for risky sectors (e.g. SMEs & Real Estate)
- High NPL ratio is offset by a high NPL coverage ratio

Strictly Confidential

Source: CAS; ILO; Ministry of Health; Banque du Liban; Central Bank websites; Press search; World Bank; Banks annual reports; Countries' IMF Article IV; Ministry of Finance

Financial services diagnostic - key performance measures banking (2/2)

A. Key performance measures - Banking

Banking performance measures

A6 Overall, the Lebanese banking market remains profitable; however, returns and margins are decreasing

- Lebanese banks achieved an average return on equity of ~12% with some banks reaching RoE levels higher than 15%
- RoE has however been declining in recent years with a net compression in margins witnessed over the last three years
  - Margin compression as a result of increasing cost of funding
  - Average cost structure of banking system, standing at 46-50% cost to income is higher than ~30-40% high performing regional benchmarks and 30% (or less) for global digital benchmarks ★

A7 Banks penetration metrics show an "overbanking" of the Lebanese population especially when compared to benchmarks

- Key metrics show that the Lebanese market is "overbanked": 32 branches per 100K adults vs. 21 globally, 81K people per bank vs. 720K regionally, 58 ATMs per 100K adults vs. 47 regionally
- The metrics also highlight marked regional discrepancies with a clear under penetration outside Beirut & Mount Lebanon

A8 Banking market landscape enforces relevance of scale for business sustainability, with Alpha banks commanding higher RoE than Beta banks

- Most beta banks with low market shares sustain returns on equity less than 7%

A9 The sector also witnesses a low digital banking penetration with 27% of adults having made a digital transaction vs. 60% regional and global benchmarks

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SOURCE: Lebanon IMF Article IV 2016; Banks annual reports; IMF Financial Access Survey; Banque du Liban; Ministry of Health

Financial services diagnostic - key performance drivers banking

B. Key performance drivers – Banking

Balance sheet structure

B1 The Banking sector in Lebanon has historically gone through several phases transitioning from a pre-war private sector driven model to a post-war credit engine for the public-sector's reconstruction efforts

- Pre-war, the Lebanese banking sector was not reliant on government with only ~5% of sovereign exposure; the sector also had a certain global positioning and was a regional financial center
- During the war sovereign exposure fluctuated greatly
- Post war banks starting financing reconstruction efforts by the government: coupling of banking sector and government has since steadily increased: today commercial banks assets have 62% of sovereign exposure with only 25% of total assets servicing the credit needs of the private sector; in the UAE sovereign exposure stands at 24%

B2 Increasing government debt was historically met through the increasing deposits; high growth era of 2006-2010 further gave room for new initiatives driven by the Central Bank

- During the 2006-2010 economic boom, deposits were growing at ~15% p.a whereas public debt was growing at ~7% p.a.
- Higher growth in deposits gave room for BDL to launch incentive packages with the purpose of further stimulating economic growth, such as Kafalat and subsidized loans

Cost of funds

B3 However, post 2011 economic slowdown lead to a sharp increase in government debt; global economic prospects coupled with local instability increased the challenge of deposit gathering by banks

- Deposit growth slowed down to ~7% p.a. post 2010, with a 10-year low growth of only 4% in 2017
- Attracting foreign deposits was made challenging due to a mix of factors: Global as well as regional economic slowdown, local macroeconomic conditions & increase in global interest rates

B4 Decrease in the availability of funds and increased sovereign risk lead to an increase in deposits interest rates and cost of funds

- Crowding out effect from an increase in government demand for funds from the increasing public debt pushed "price" of funds upwards, with funds not being used for productive investments by the government
- Mix of global and regional factors increased Lebanon's sovereign risk driving a need for higher interest rates to attract foreign deposits

B5 Increase in cost of funds has put upward pressure on credit interest rates deterring private sector loans and inhibiting growth

- Current structure pushes bank to charge ~10.4% interest on credit facilities for financial sustainability, deterring private sector credit and inhibiting economic growth
- Loans to the private sector that were growing at ~19% p.a. pre-2010, witnessed a drop in growth to reach ~6% between 2015 and 2016

2018 Oliver Wyman

Source: Benchmark analysis; Expert interviews; Banque du Liban; Ministry of Finance; Banks annual reports

Financial services diagnostic - key performance measures non-banking (1/2)

C. Key performance measures & drivers – Non Banking

Non-Banking

C1 So far, non-banking financial services have stayed as the "humble siblings" of banking with clear room to further grow and develop in order to reduce public sector pressure on the banking sector

- Out of the total financial sector assets, 95% are banking assets with a mere 5% contributed by non-banking services

Insur-ance

C2 Despite the steady growth witnessed historically, the insurance sector represent a small portion of the total financial services sector compared to banking

- Insurance sector has been growing steadily with GWP growing at ~4% p.a. from 1.3 USD Bn in 2012 to 1.6 USD Bn in 2016
- Total profits from banking sector stood at ~2,441 USD Mn in 2016 whereas insurance sector reported profits ~17 times lower at ~140 USD Mn

C3 Lebanon Insurance sector remains underpenetrated across all lines; the sector also faces several issues

- Life GWP penetration stood at ~1% of GDP, compared to an average of ~2.8% across peers
- Non-life GWP at ~2.2% was also ~1.2 times lower than benchmark countries average
- Mutuals and coops provide insurance plans & coverage with no oversight from the ICC

Private equity & venture capital

C4 Private equity & venture capital activity remains low

- Limited presence and activity of PE firms with deal value at ~0% of GDP vs. 0.8-2.8% benchmarks
- VC funding of ~0.12% of GDP in-line with benchmarks, but funding lacks at angel, early and growth stages
- Fintech scene is emerging with ~10% share of all Fintech's ranking Lebanon 3rd in MENA

C5 Pension funds face several issues mainly a lack of visibility on contingent liabilities, lack of investment in government securities and cross-subsidization of health insurance by the pension fund

- Pension system is mainly composed of public pension funds (civil servants and military funds for public sector personal and NSSF for private sector) and private pensions administered by Labor unions & professional orders
- NSSF faces several issues, mainly
  - Use of the surplus of the pension (~550 USD Mn surplus in 2011) to cover the health insurance deficit (~34 USD Mn deficit in 2011)
  - Lack of investment in sovereign securities
  - Lack of visibility on the fund's contingent liabilities putting at risk its solvency, liquidity & sustainability; same pressure applies to public sector pensions

Confidential

Source: Banque du Liban; ICC; Central Bank websites; Insurance Associations & Commissions; World Bank; Pitchbook; NSSF

Financial services diagnostic - key performance measures non-banking (2/2)

C. Key performance measures & drivers – Non Banking

Capital markets

C6 **Capital markets are underdeveloped with low market capitalization at ~21% GDP vs. ~60% regional benchmarks and ~200% for global financial hubs; and only 10 listed companies** *(out of which 6 banks)*

- Lack of incentives for domestic companies to list their shares
- Limited foreign investments driven by sub-optimal business & regulatory environment
- The capital market authority (CMA) was setup but still lacks a sanctioning committee and a financial markets tribunal to become fully operational ★

20181022 Internal

Source: World Bank; Beirut stock exchange; Capital Markets Authority

Financial services diagnostic – enablers (1/2)

D. Enablers

Enabling infra-structure

D1 Credit

- Although a large portion of credit information is provided by BDL through the CDR, sector can benefit from having a dynamic and commercialized credit bureau that can tailor credit reports across segments and sectors, using advanced analytics to support credit decisioning
- Lack of collateral registry

D2 Payments ★

- Lebanon was historically the regional leader in setting up a National payment system
- While the Central Bank has had a thorough grasp on payment systems, looking forward, there is a need for continuous modernization and digitization of the underlying payments infrastructure to match digitization efforts of banks and future payment mechanisms and currencies that are being discussed by BDL

Regulat-ing agencies

D3 Legal

- Sub-par legal framework on three fronts: (1) E2E doing business cycle: outdated insolvency and bankruptcy laws, banking tax law (2) Private equity and fund management laws: lack of private equity investment law and (3) Digital banking and payments: lack of e-signature law

D4 Regulating agencies

- Incomplete regulatory framework for capital markets (lack of sanctioning committee & tribunal)
- BDL's risk regulation today is in-line with best practise. Going forward, the regulatory environment should hit the right balance between allowing the future modernization and development of the sector while keeping the highest risk management standards
- The Insurance Control Commission (ICC), reporting to the Ministry of Economy, is not fully independent

2018022 Internal

Source: Expert interviews; stakeholder interviews

Financial services diagnostic – enablers (2/2)

D. Enablers

Cross-govt.

D5 Cross government bodies

- The Association of Banks in Lebanon, ABL, has been very effective in international advocacy; however, gaps exist when it comes to local advocacy with government and regulators and promotion of the brand and image of the sector

Financial sector capabilities

D6 Financial sector capabilities

- Lebanon enjoys a high-quality talent pool for financial services; BDL has over the years continuously introduced new regulation on qualifications to further enhance the talent pool's quality through trainings and certifications
- However, the country faces issues in retaining talent and expertise driven by high retention costs (i.e. better external opportunities)
- Changing sector dynamics as a result of digitization require a shift in people's capabilities with most financial institutions lacking readiness and planning for the transition

Consumer capabilities

D7 Consumer capabilities

- Lack of financial inclusion with only 0.65 bank accounts per capita vs. 2.3 Singapore
- Despite "overbanking" at the country-level, regional disparities underline the financial inclusion issue with 52 branches & 94 ATMs per 100K adults in Beirut & Mount Lebanon vs. 15-18 and 27-29 in the other regions
- Financial literary of 44% higher than regional peers (30%) but lower than advanced economies (53%), driven by a lack of proper financial education in secondary schools (e.g. savings, expense management…)

2018 IF 22 Internal

Source: Expert interviews; stakeholder interviews; World Bank; GLEFC; Banque du Liban; Ministry of Health

Contents – Financial services

A **Key performance measures - banking**

B Key performance drivers - banking

C Key performance measures – non-banking

D Enablers

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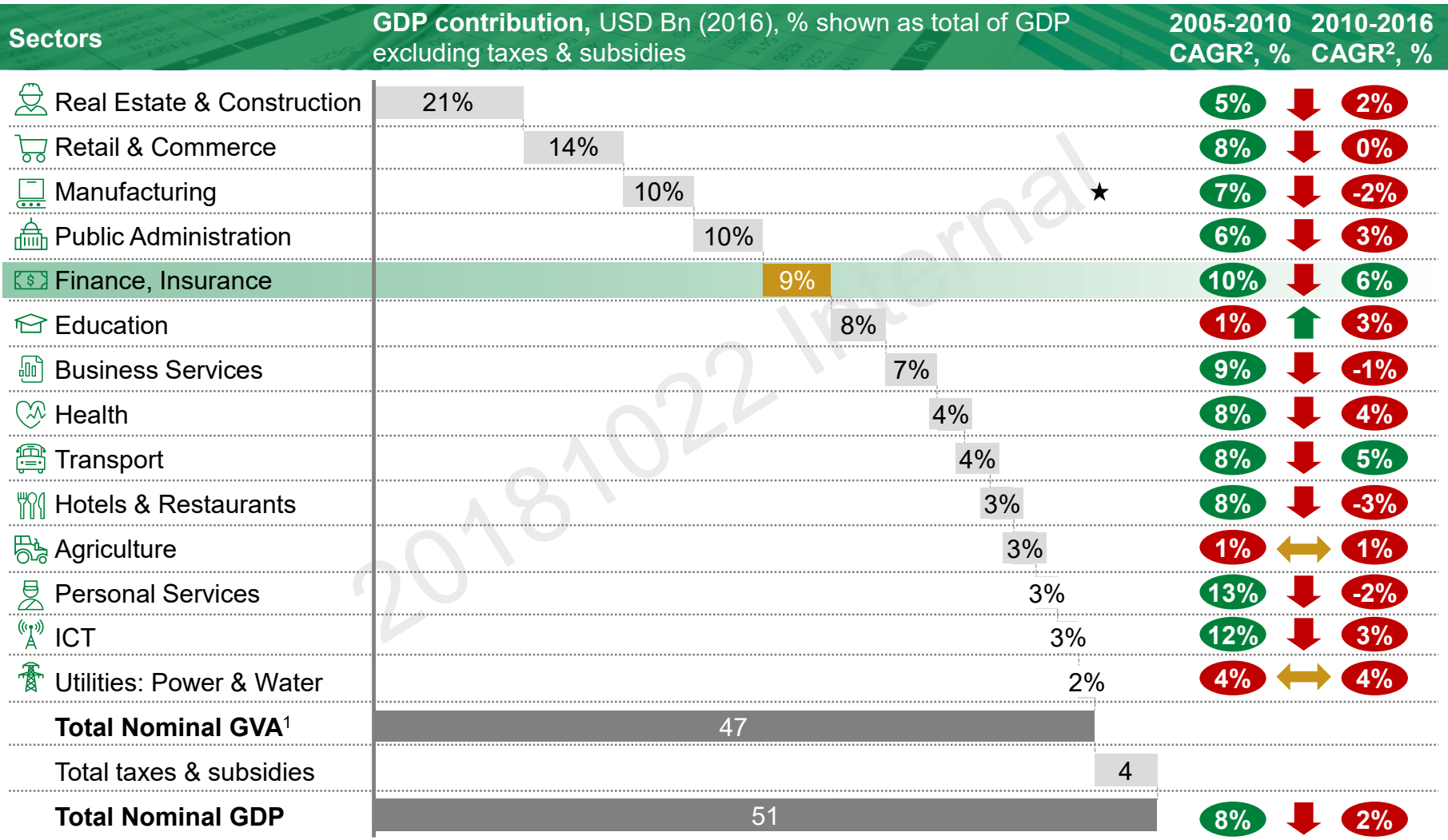
20181022 In

A1 The financial services sector represents ~9% of the country's GDP and has outpaced the growth of the economy in the last 10 years



20181022 Internal

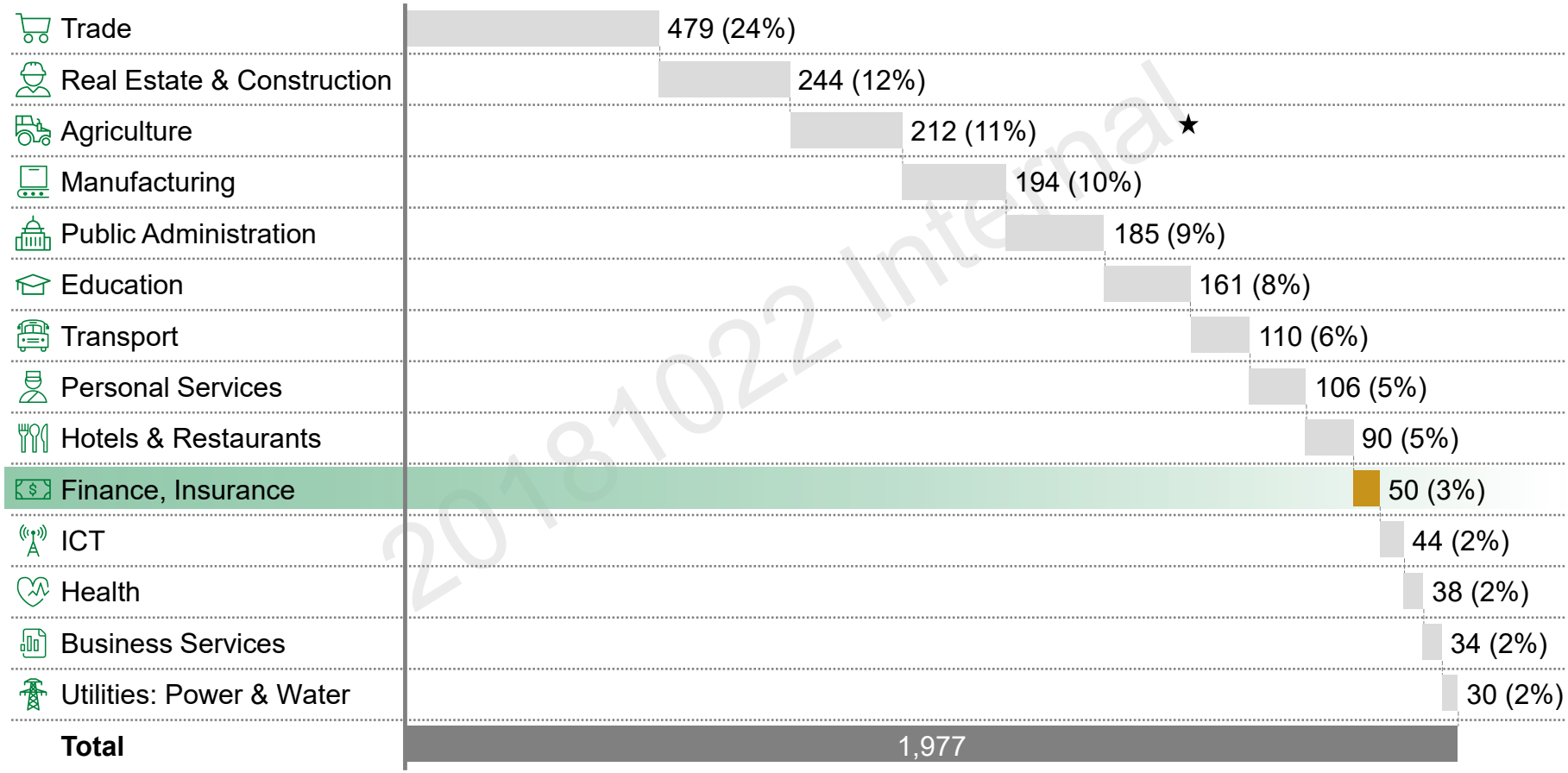
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A1 The sector also employs a total of ~50K people, corresponding to ~3% of total employment in the country

HIGH-LEVEL ESTIMATES

Relevant Sectors

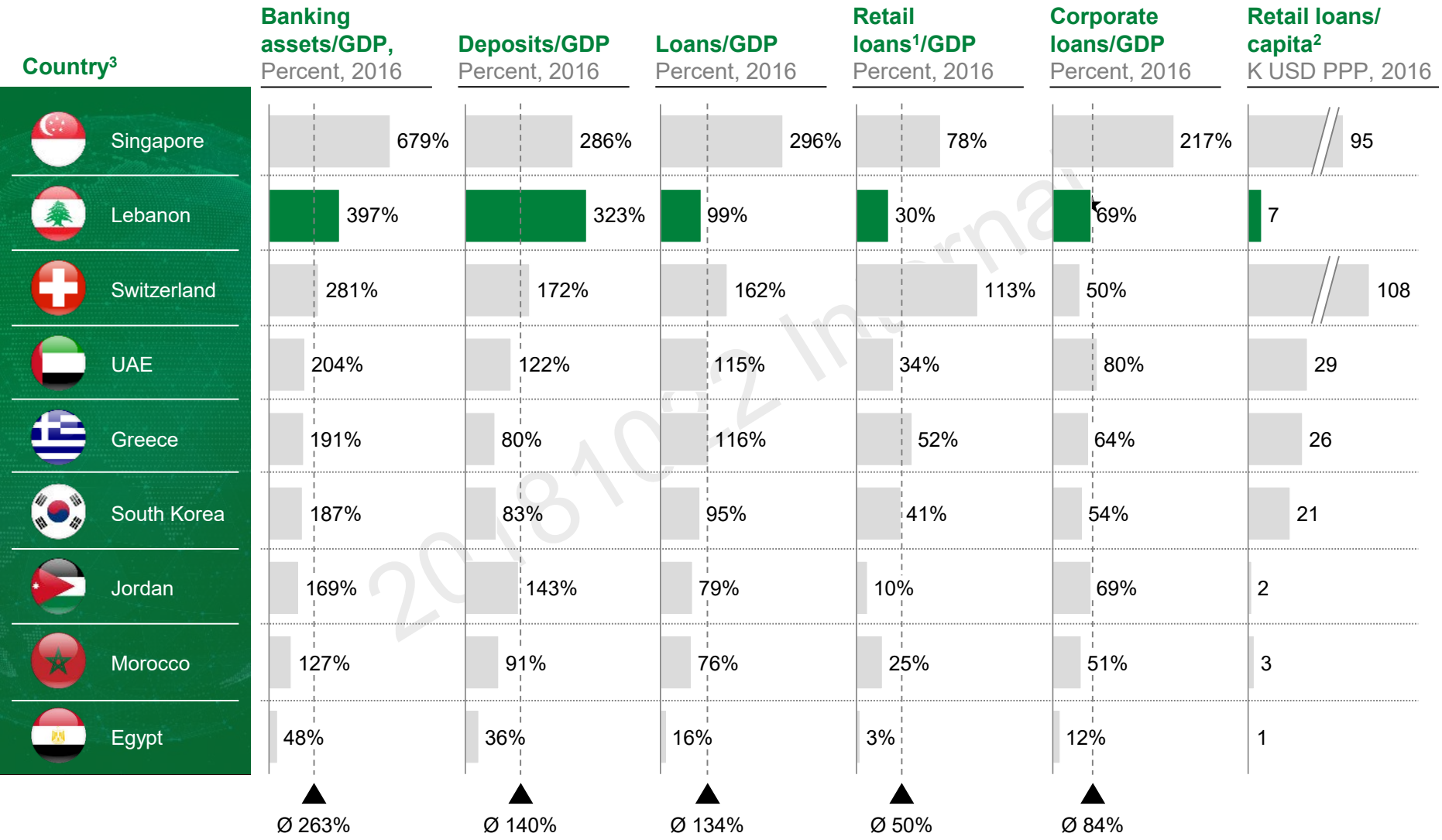


20181022 Internal

Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

A3 The country also presents a high banking penetration when compared to peers, driven by a large deposits base



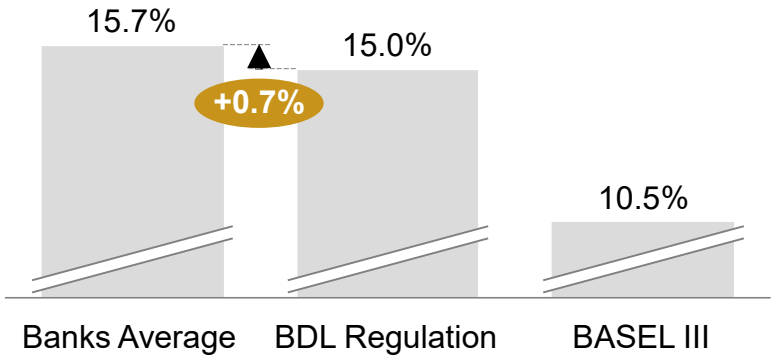
Note: All averages exclude Egypt & Lebanon 1 Banking loans only 2 Bankable population (population with age above 15 years) 3 Includes only domestic assets

SOURCE: Central Bank websites; Press search; World Bank

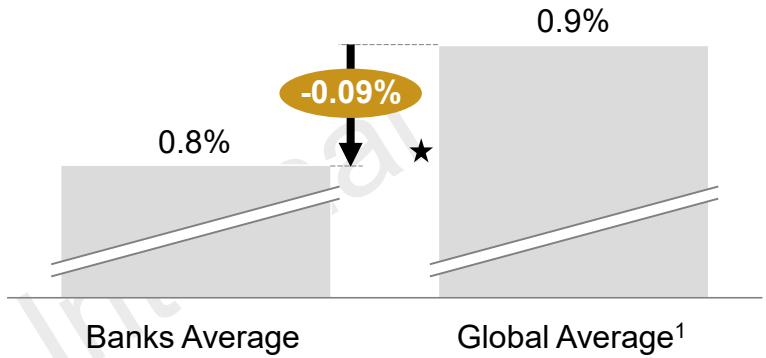
A5

Banking Sector – Key Health Metrics

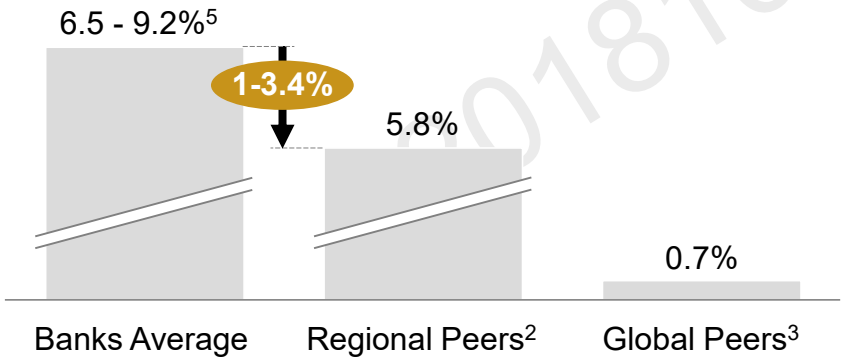
Capital adequacy ratio, % 2017



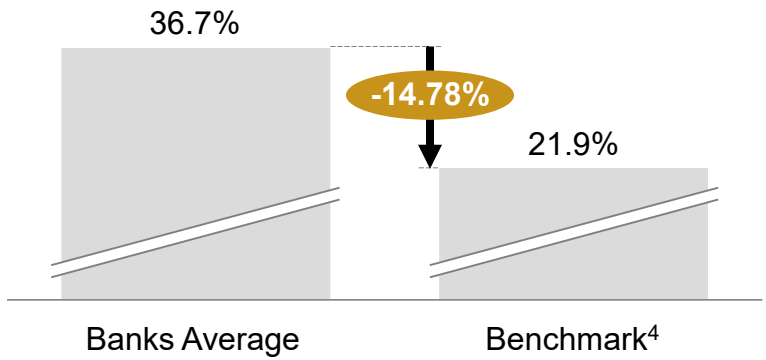
Average cost of risk, % 2017



Gross Non-Performing Loans (NPL) ratio, % 2017



NPL Coverage ratio, % 2017



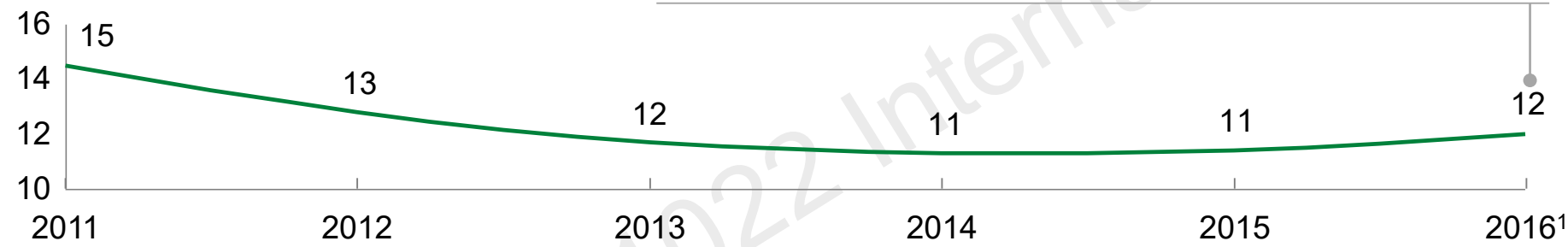
1 2014 Global Average
2 Includes Egypt, Jordan, Morocco & UAE
3 Includes Switzerland & South Korea
4 Includes Jordan & Singapore; Only includes specific provisions
5 6.5% as computed from banks annual reports; 9.2% as reported by BDL

Source: Banque du Liban; Banks annual reports; Countries' IMF Article IV

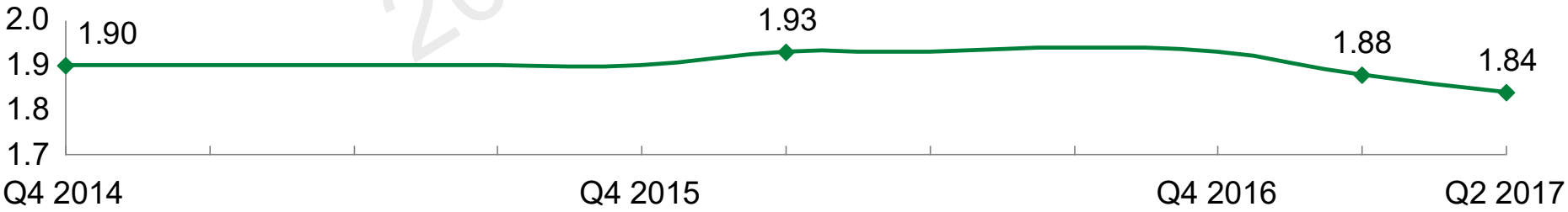
A6 RoE has however been declining in recent years with a net compression in margins witnessed over the last three years

RoE evolution of local commercial banks, % 2011-2016

Central Bank deployed financial levers (i.e., high interest rates and SWAPs), to attract USD deposits & boost bank profitability



Net Interest Margin, % Q4 2014-2017



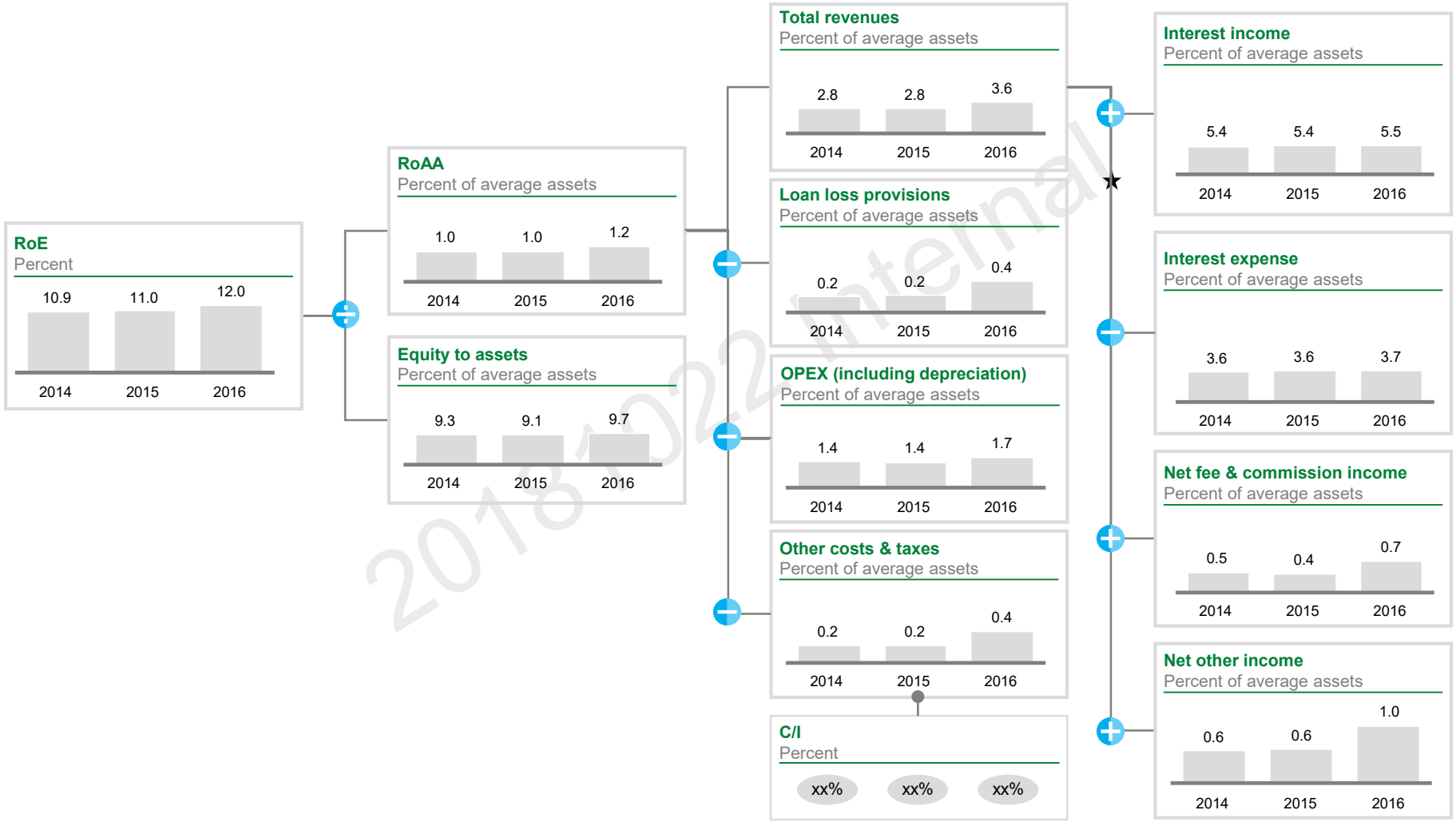
1 Alpha Banks used as proxy for total market

SOURCE: Banque du Liban; Lebanon IMF Article IV 2016; Banks annual reports

2017 2022 Internal

A6 Decline in RoE in recent years is driven by an increase in cost of funds witnessed over the last three years - Alfa banks

RoE tree; 2014-2016; P&L items as percent of average assets; Percent

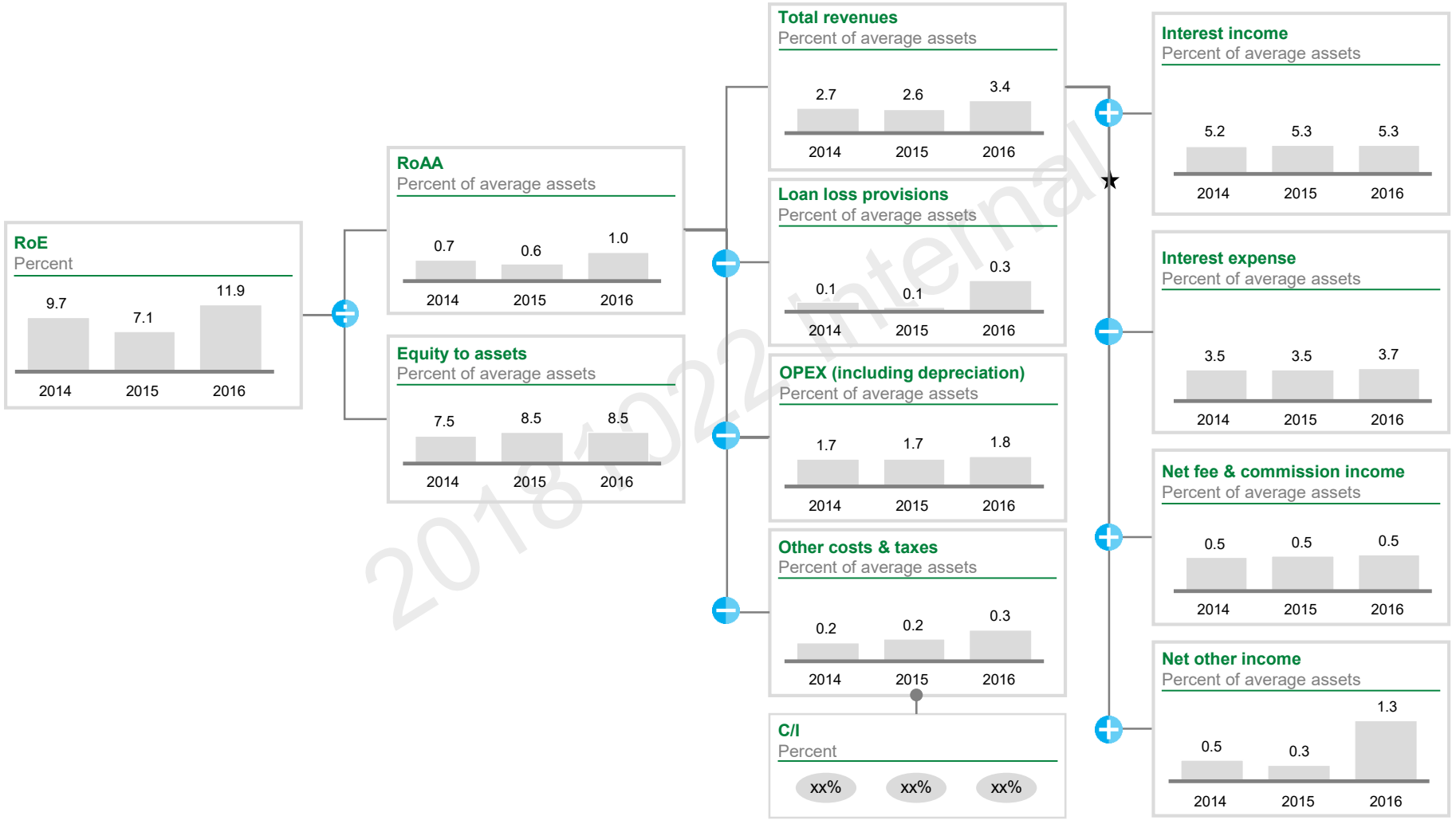


2018 2022 Internal

Source: Banks annual reports

A6 Decline in RoE in recent years is driven by an increase in cost of funds witnessed over the last three years - Beta banks

RoE tree; 2014-2016; P&L items as percent of average assets; Percent



2018-2022 Internal

Source: Banks annual reports

A7 Banks penetration metrics show an “overbanking” of the Lebanese population especially when compared to benchmarks

Over **50** banks

Over **32** Branches per 100K adults vs. 14 regionally[1] and 21 globally

Over **58** ATMs per 100K adults vs. 47 regionally[1] and 54 globally

81K people per bank vs. 720K regionally

1 Includes Egypt, Iraq, Kuwait, Lebanon, Libya, Oman, Morocco, Qatar, Saudi Arabia, Syria, Sudan and UAE

SOURCE: IMF Financial Access Survey; Banque du Liban; Ministry of Health

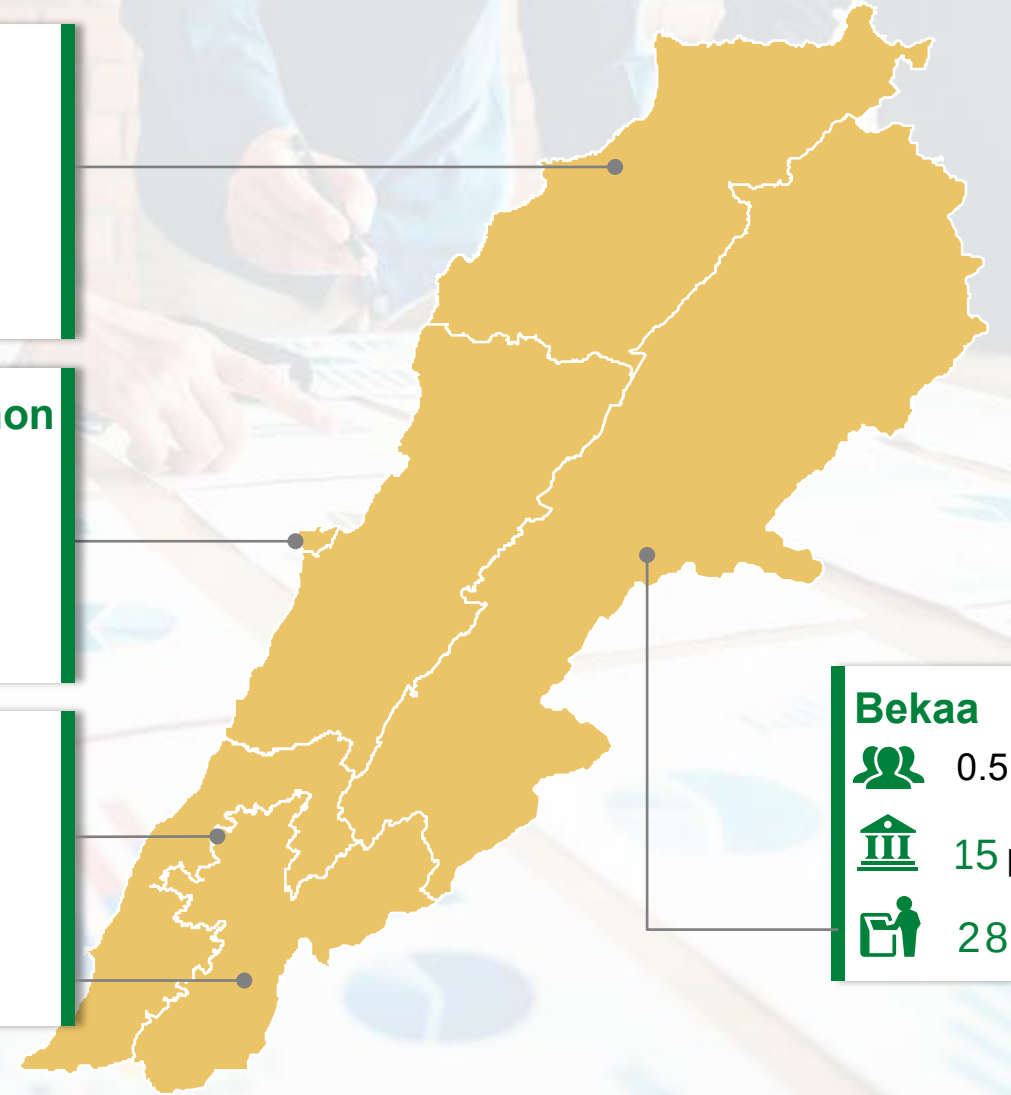
A7 The metrics also highlight marked regional discrepancies with a clear under penetration outside Beirut & Mount Lebanon

Population 15+
Branches
ATM's

North
0.7 Mn
15 per 100K
27 per 100K

Beirut & Mount Lebanon
1.5 Mn
52 per 100K
94 per 100K

South
0.6 Mn
18 per 100K
29 per 100K



Bekaa
0.5 Mn
15 per 100K
28 per 100K

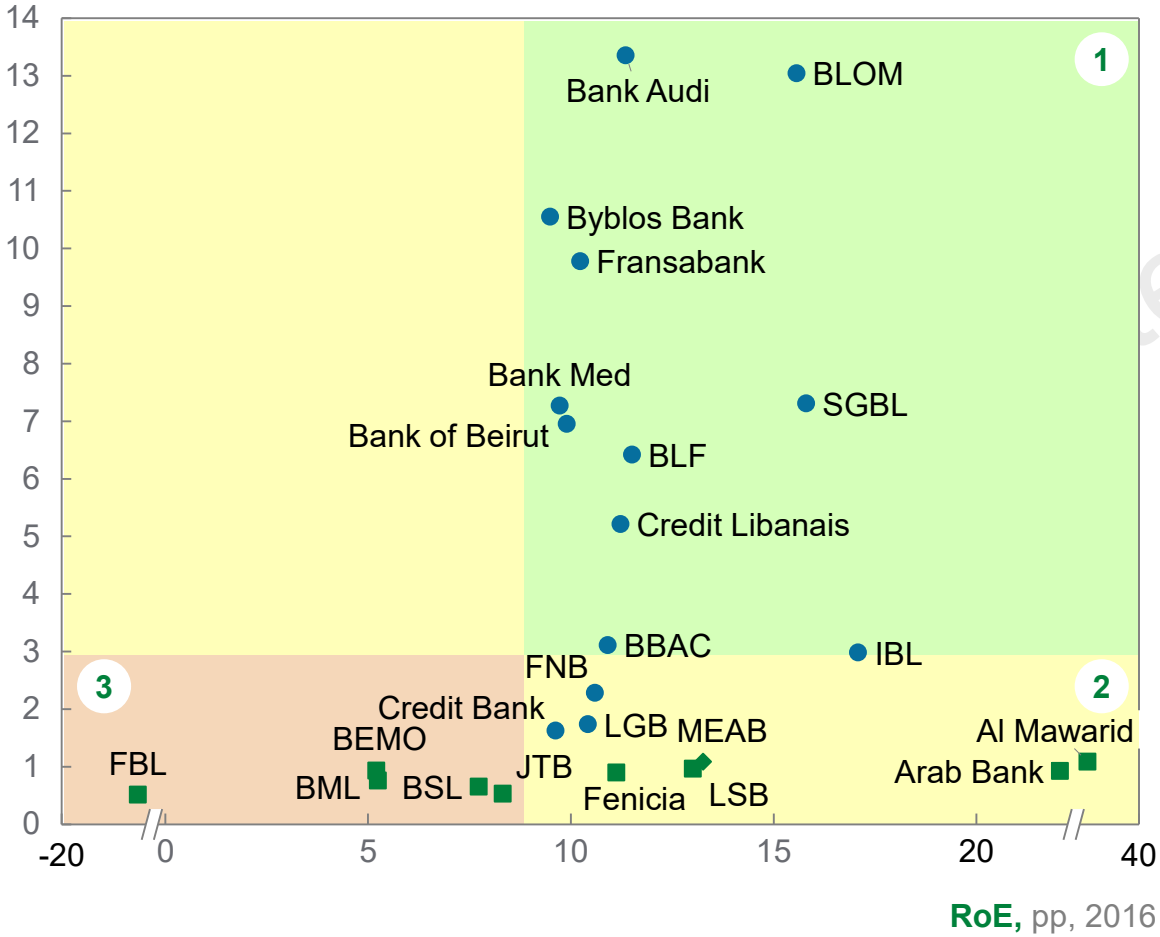
Note: Adults population only age i.e.15+; Penetration metrics exclude refugees

Source: Banque du Liban; Ministry of Health

A8 Banking market landscape enforces relevance of scale for sustainability, with larger banks commanding higher RoE than small banks (1/4)

Alpha banks Beta banks

Market Share, pp, 2013



RoE, pp, 2016

Description for banking landscape

1 Leading incumbent banks

- Scale driven by large number of branches and extensive footprint across Lebanon
- Historical and 1st mover advantage

2 High return on equity

- Constantly need to differentiate to remain in the game
- Differentiation at the business model level, e.g. specialised banks such as BEMO, Arab bank…
- …..or at the product and service level
- Attacker mindset

3 Challenging business model

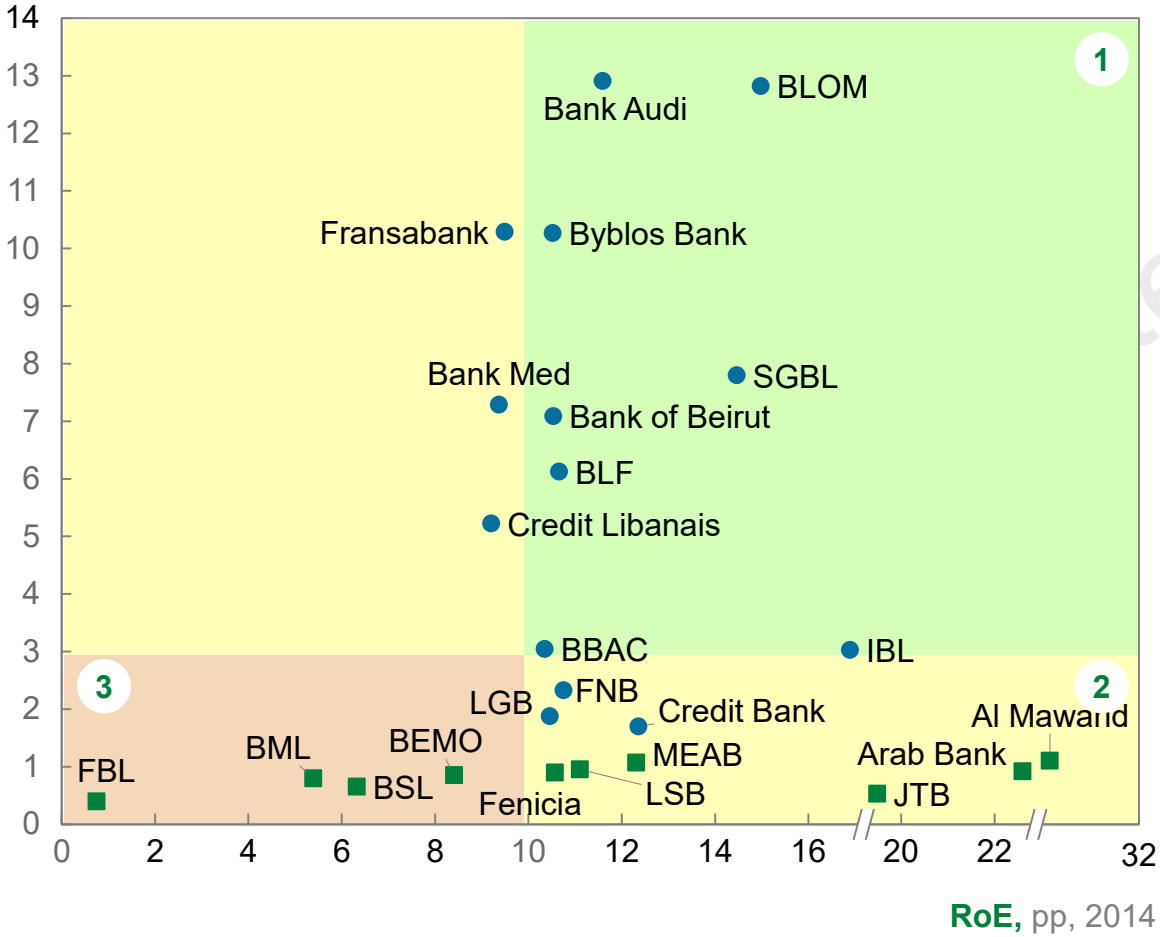
- Lack scale to create value
- Need to differentiate to gain market share

SOURCE: Banks annual reports

A8 Banking market landscape enforces relevance of scale for sustainability, with larger banks commanding higher RoE than small banks (2/4)

Alpha banks Beta banks

Market Share, pp, 2014



RoE, pp, 2014

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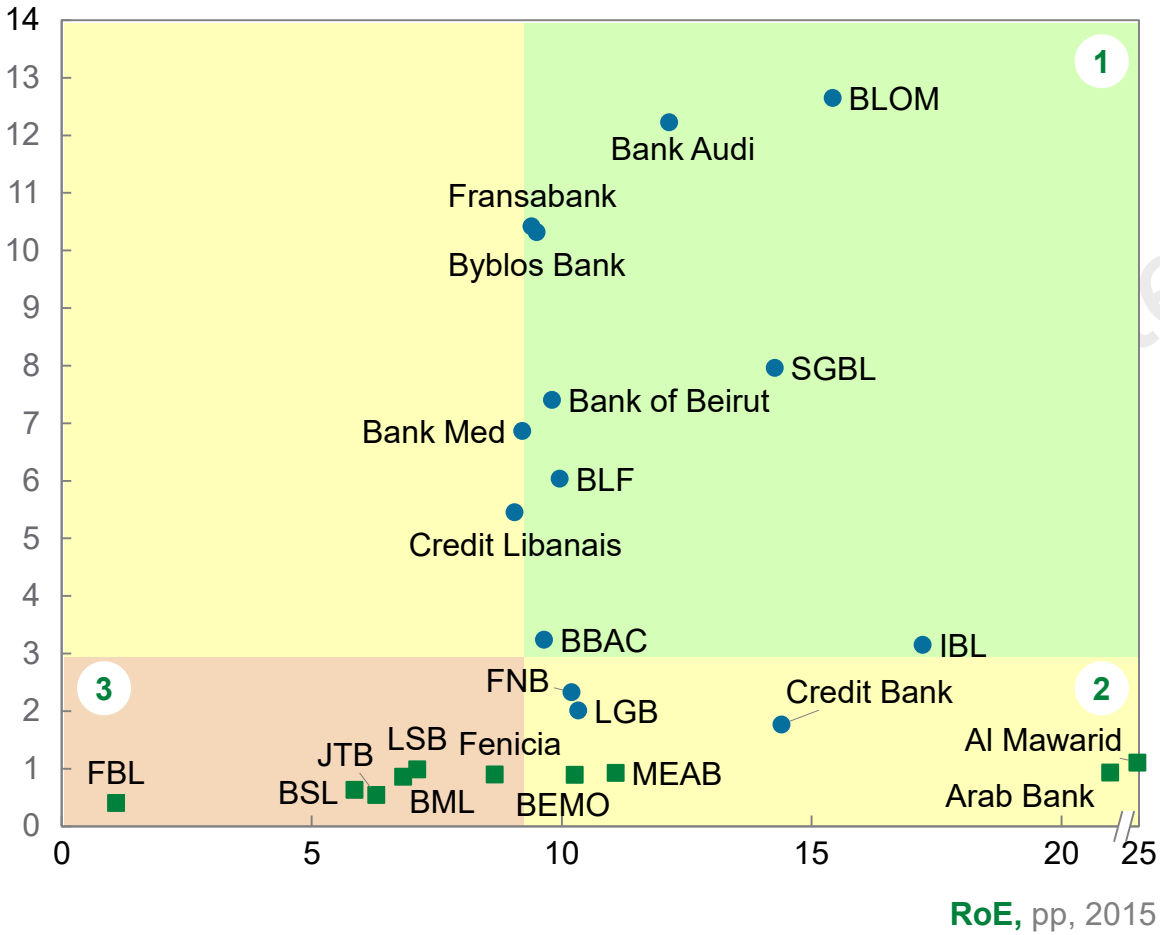
A8 Banking market landscape enforces relevance of scale for sustainability, with larger banks commanding higher RoE than small banks (3/4)

Alpha banks Beta banks

Market Share, pp, 2015



RoE, pp, 2015

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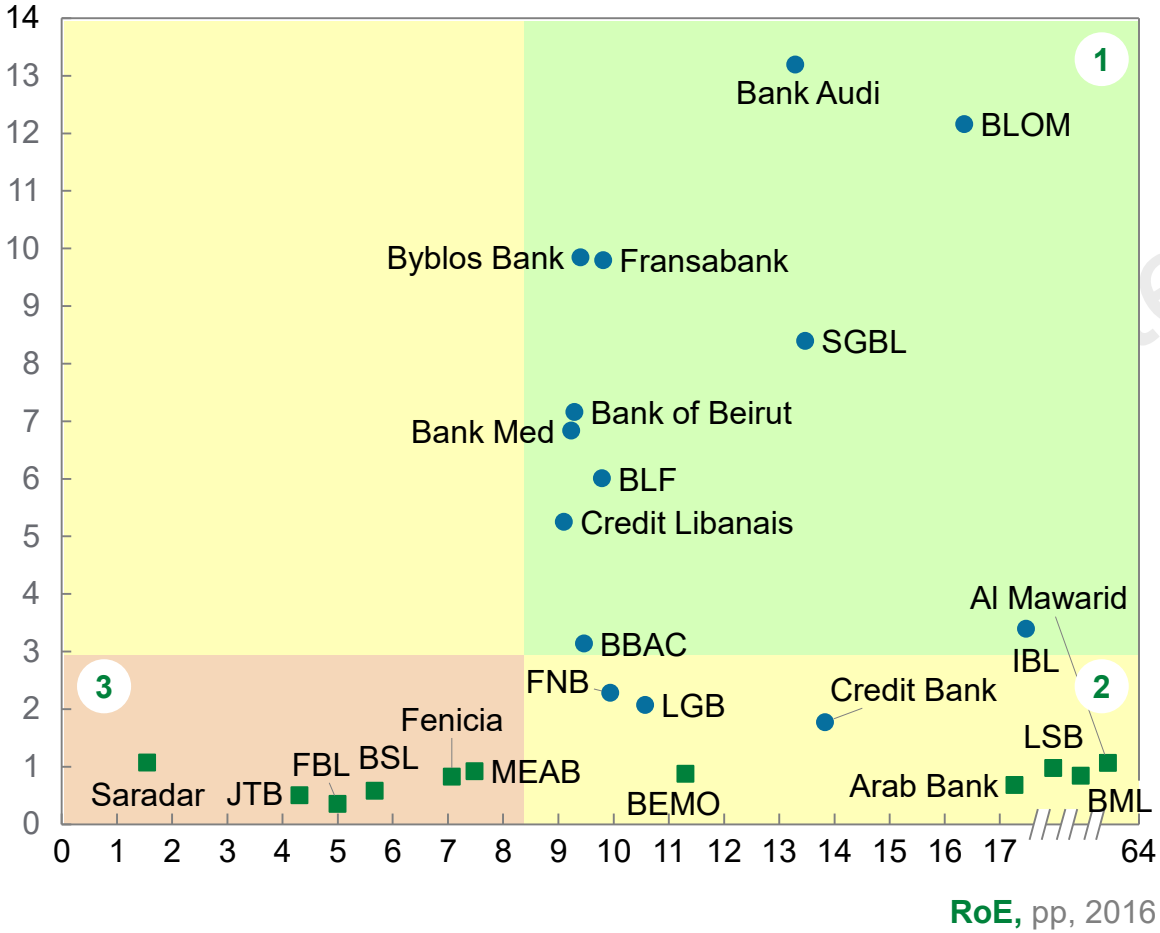
SOURCE: Banks annual reports

A8 Banking market landscape enforces relevance of scale for sustainability, with larger banks commanding higher RoE than small banks (4/4)

Alpha banks Beta banks

Market Share, pp, 2016



RoE, pp, 2016

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3 Challenging business model

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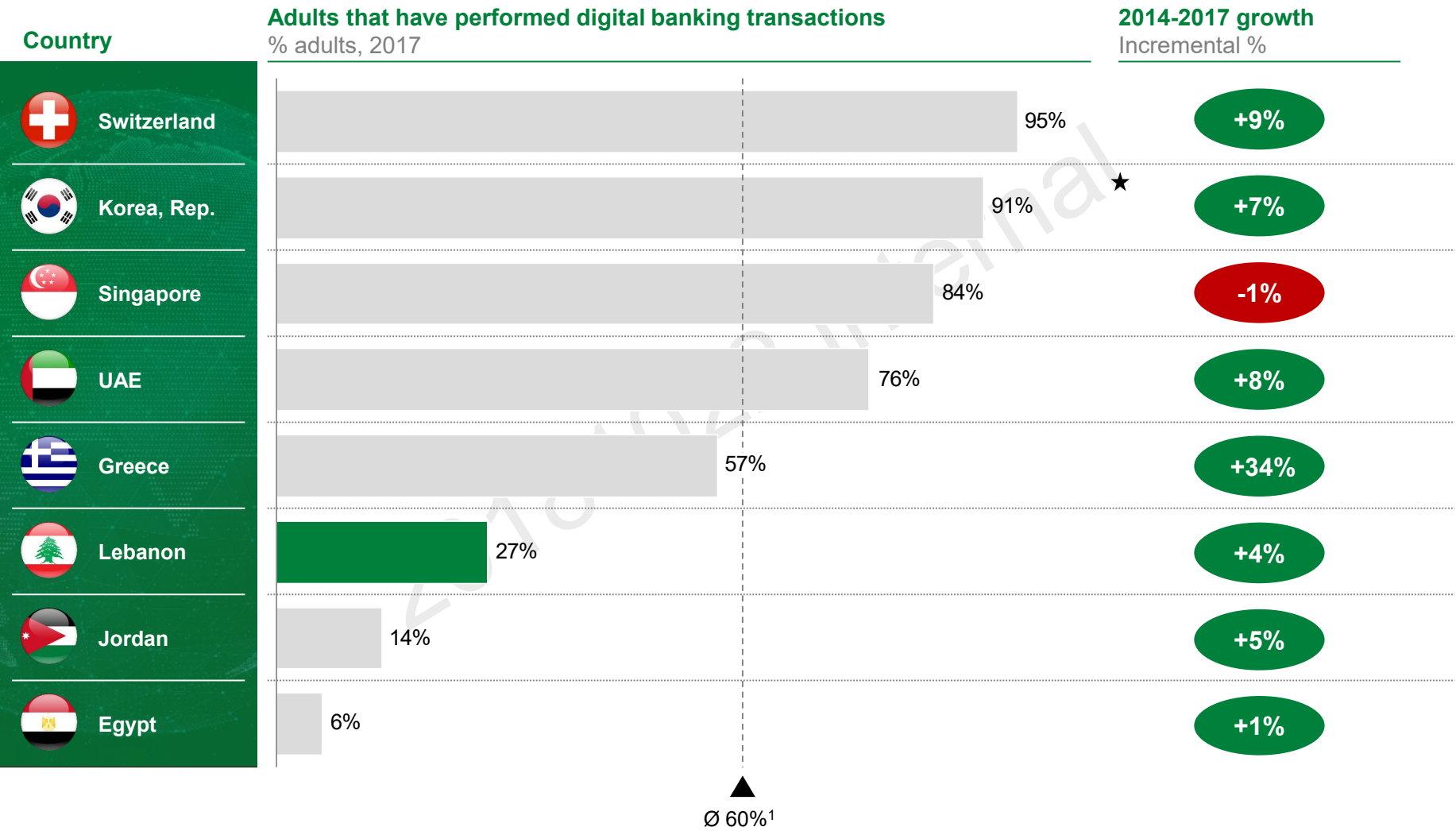
- Need to differentiate to gain market share

SOURCE: Banks annual reports

A9 The sector also witnesses a low digital banking penetration with 27% of adults having made a digital transaction vs. 60% benchmarks



1 Average excludes Lebanon; Average of "Developed" countries at 81%

SOURCE: World Bank Global Financial Inclusion Database

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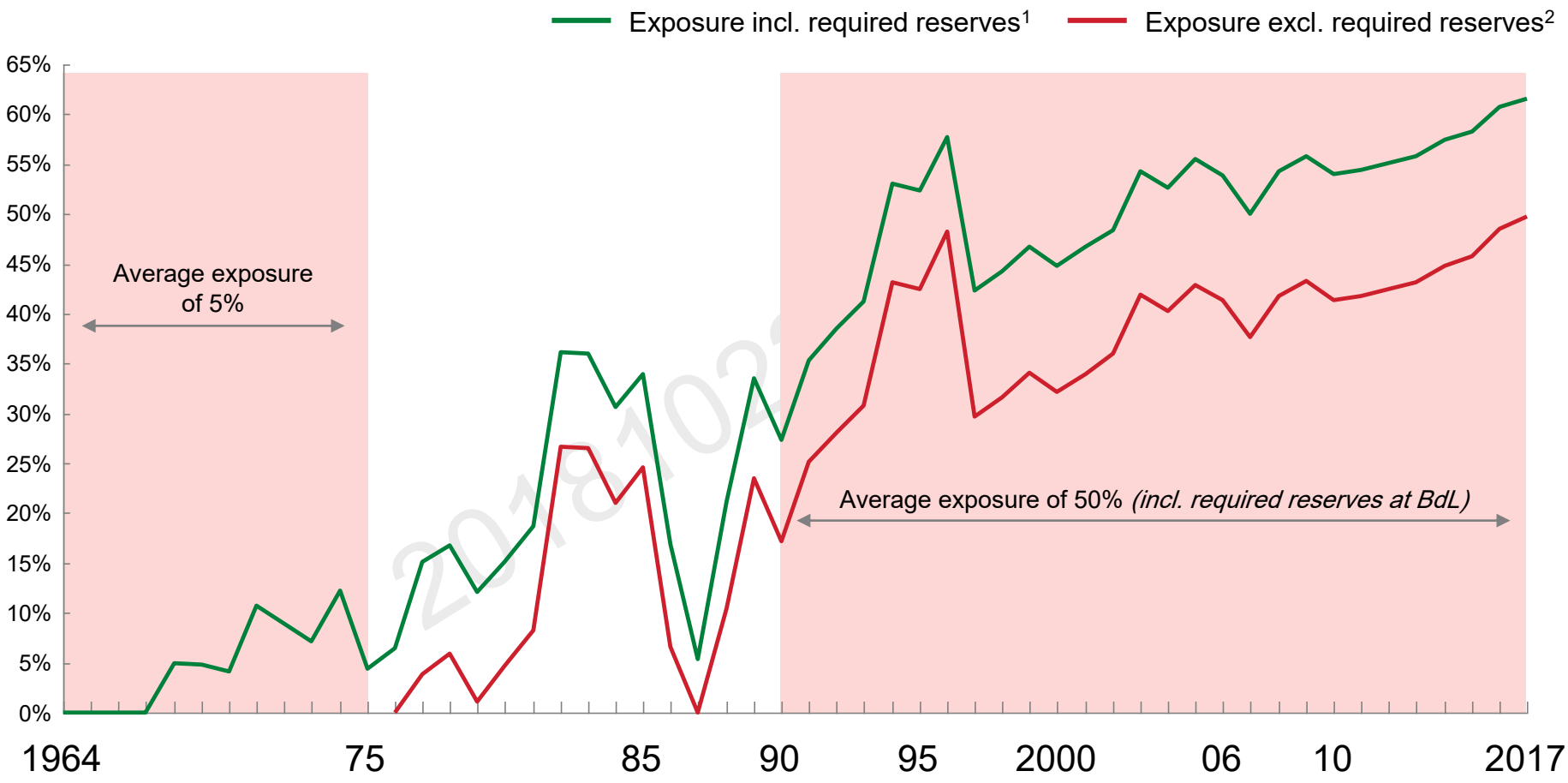
B1 The Banking sector in Lebanon has gone through several phases: from pre-war private sector driven to post-war public sector credit engine

Exposure of commercial bank assets to sovereign risk, %



1 As defined by deposits at the Central Bank and claims on the Public Sector; also includes required reserves at the BdL
2 Approximation of exposure excluding required reserves assuming required reserves at ~15% of total deposits of the year

Source: Banque du Liban

B5 In order for banks to ensure sustainable profits under current cost of funds structure, credit interest rates charged are prohibitive at ~10.4%

Component	Current	Explanation
Interest rate RAROC	9.82% - 10.39% 12.00%	▪ The product pricing cap is calculated to account for banks' costs ▪ Banks' Risk Adjusted Return on Capital is at the minimum expected RoE
= Cost of capital	1.80%[1]	▪ The rate of return required to issue a loan ▪ Based on an RWA of 100% on corporate loans and an expected RoE of 12%
+ Cost of funding	6.92 – 7.49%	▪ Average interest paid on the required funding for a loan of 5 years maturity ▪ Based on the Funds Transfer Pricing curve built by taking the risk free curve, adding an average bank liquidity premium and adjusting for deposits rate
+ Cost of credit risk	0.80%[2]	▪ Average rate required to cover potential loss in case of default ▪ Varies by borrower profile (e.g. 0.08% in Malaysia for ex gov. employed pensioners)
+ Servicing fee	0.30%[3]	▪ Average rate of return required to cover operational cost ▪ May decrease with automation (e.g. in Malaysia, varies between 0.15% and 0.2%)

20181022 Internal

1 RWA (100%) x CAR (15%) x Cost of Capital (12%)
2 Cost of credit based on historical average NPL and cost of default figures
3 Based on global benchmarks

Source: Benchmark analysis; Expert interviews; Banque du Liban; Ministry of Finance; Banks annual reports

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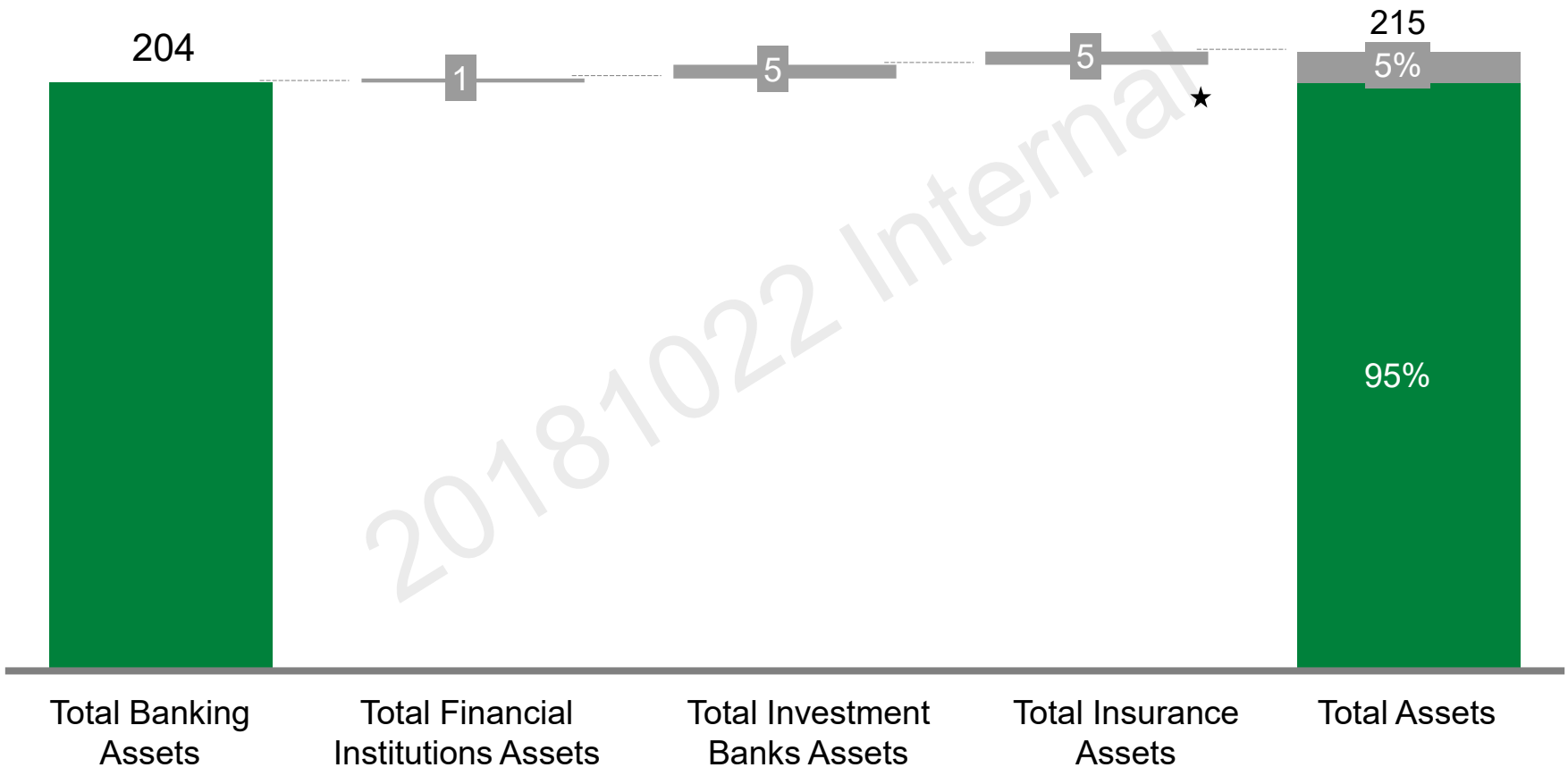
20181022 In

C1 So far, non-banking financial services have stayed as the “humble siblings” of banking

Non Banking Banking

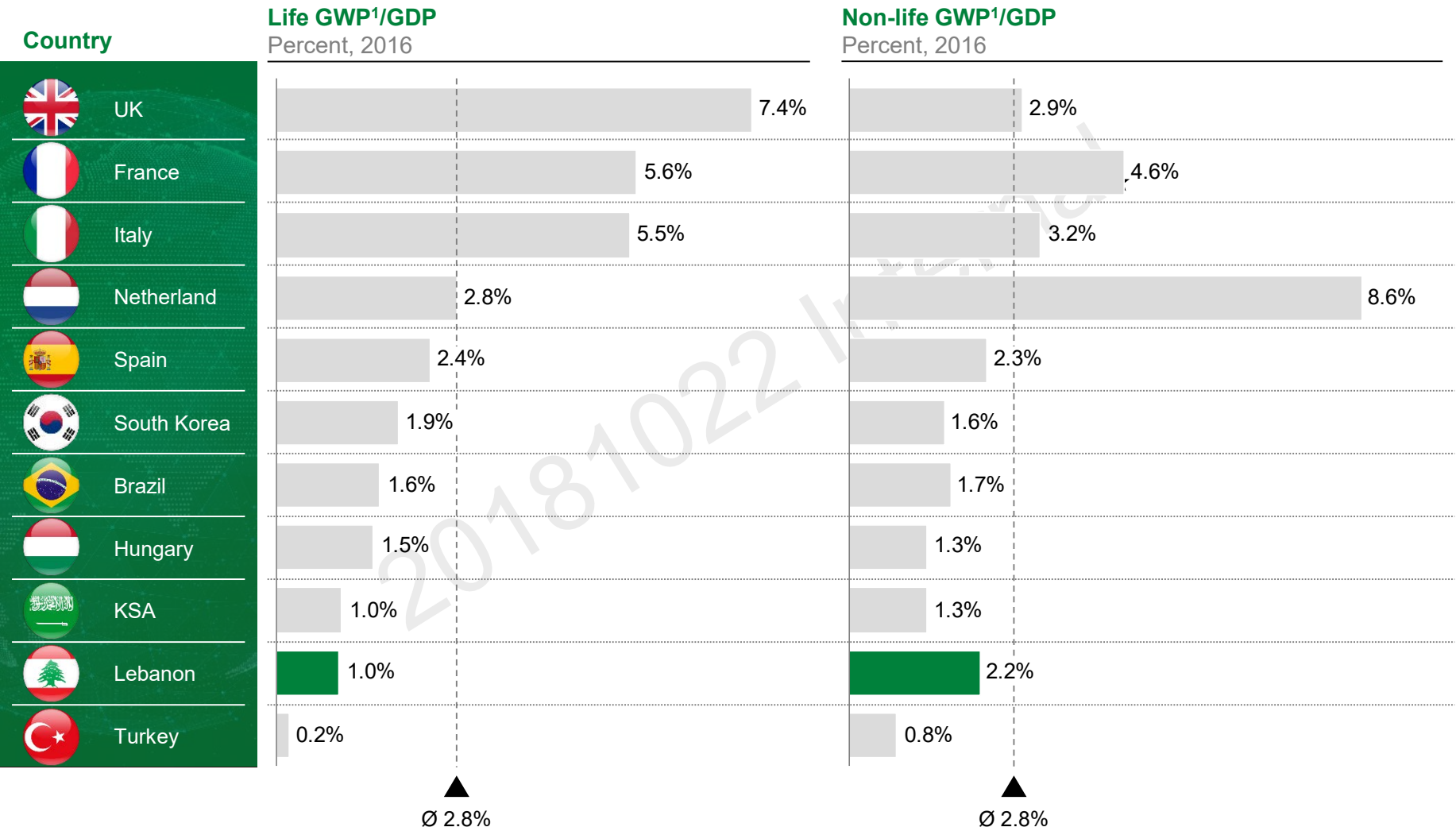
Total financial sector assets, 2016 USD Bn



20181022 Internal

Source: Banque du Liban; ICC

C3 Lebanon Insurance sector remains underpenetrated across both life and non-life lines of business

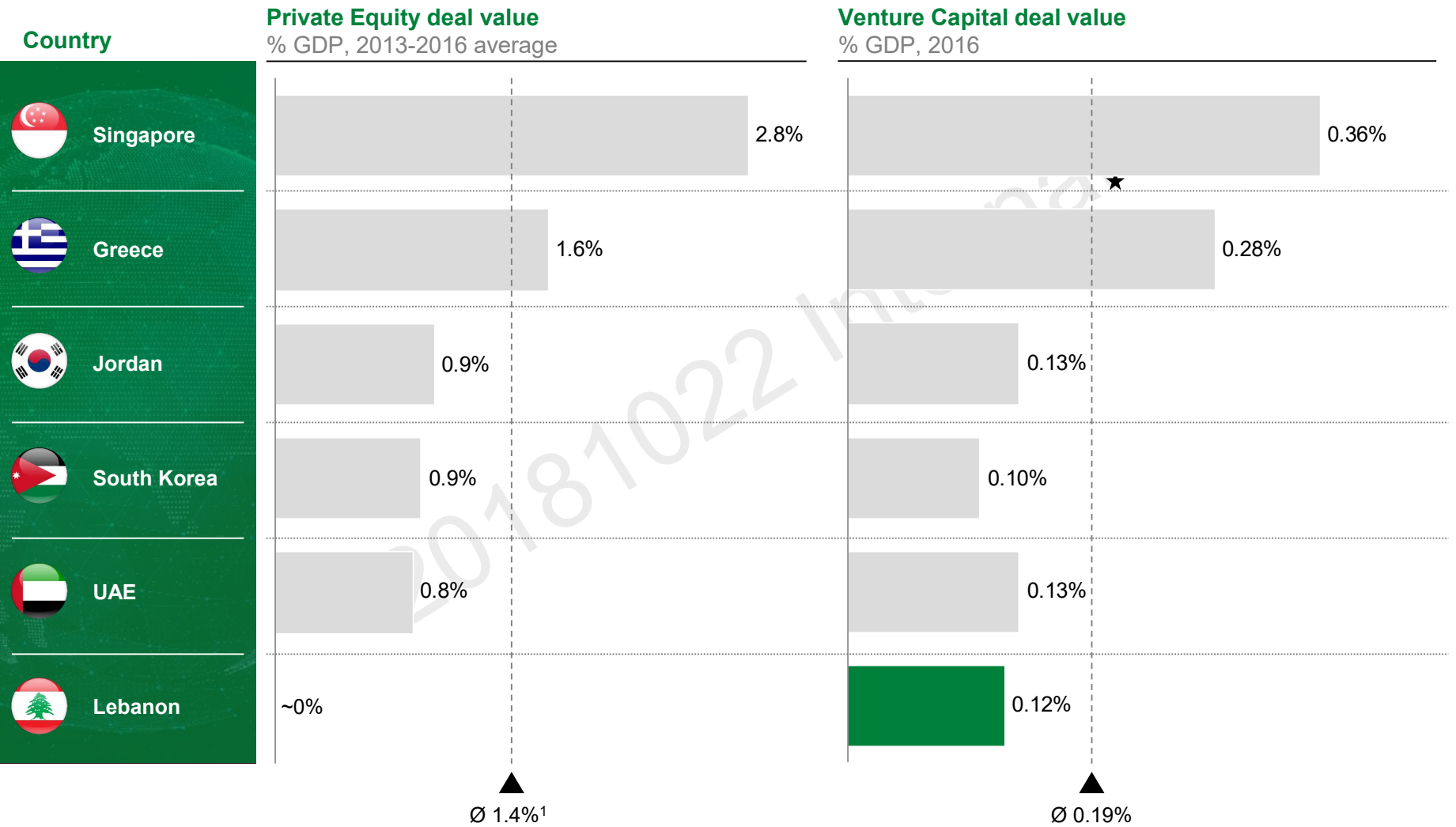


1 Gross Written Premium

SOURCE: Central Bank websites; Insurance Associations & Commissions; World Bank; ICC

C4

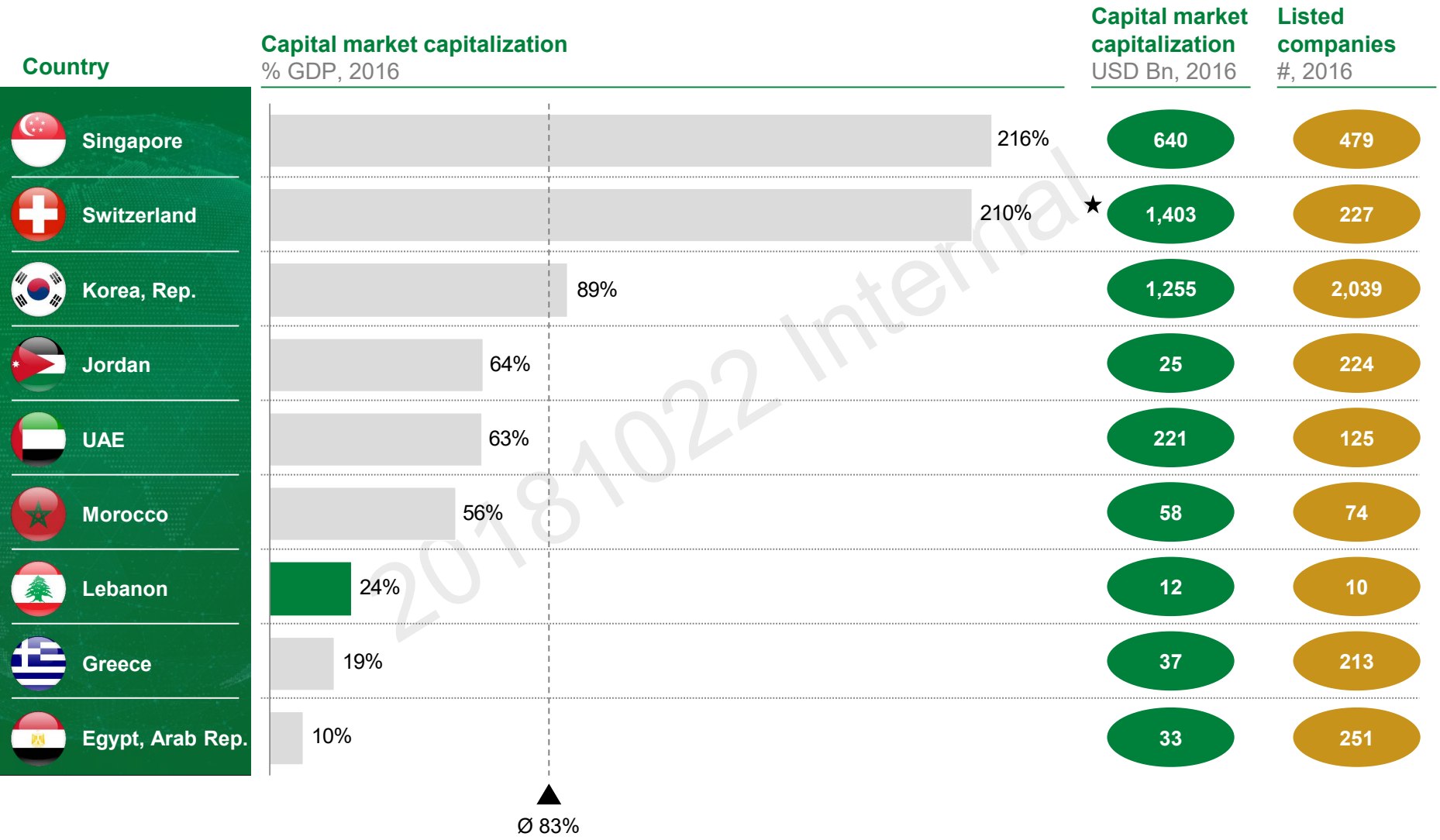
Private equity & venture capital activity remains low



1 Average excludes Lebanon

Source: Pitchbook - PE deals only (All Buyout Types) for Private Equity;

C6 Capital markets are underdeveloped with low market capitalization and only 10 listed companies, out of which 6 banks



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SOURCE: World Bank

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E

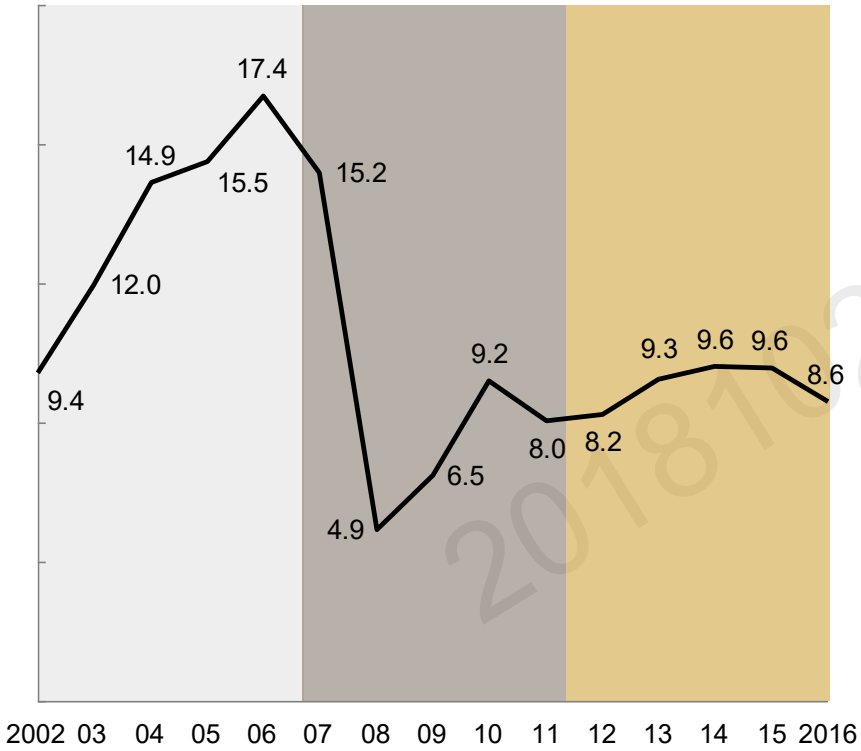
Global banking industry

- The global banking industry shows **many signs of renewed health**. The recovery from the financial crisis is complete, capital stocks have been replenished, and banks have taken an ax to costs. Yet **profits remain elusive**
- **In the short term**, banks need to take on full-scale digital industrialization to capture the $350 billion digital opportunity
- **In the longer term**, banks may need to take on the big players in digital ecosystems that offer a range of services that go beyond banking and reach many more customers
  - **"Platform" companies such as Alibaba, Amazon and Tencent are reshaping one industry after another**
  - **Banks that successfully orchestrate a basic "ecosystem" strategy**, by building partnerships and monetizing data, **could raise their ROE to about 9 to 10 percent**
  - Banks could also find success, though less profit, with two other business models: a **white-label balance sheet operator**, or a **focused or specialized bank**.

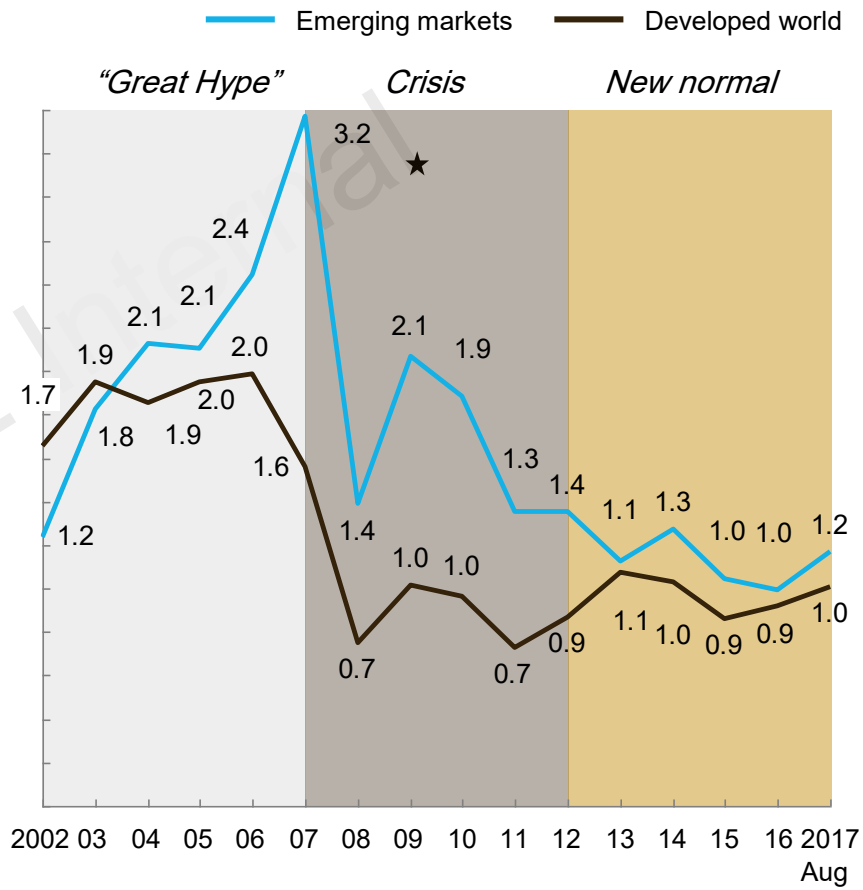
20181022 Internal

E ROE and Price-to-book are trending sideways after a few years of stability

ROE, 2002-2016, Percent



Price-to-book multiples1, 2002-2016



20181022 Internal

NOTE: Book value does not exclude goodwill as the data is available only for ~60% of covered banks
1 Based on a sample of listed banks with >$2 billion in assets

Source: Bloomberg; Compustat; Datastream; OECD; SNL; Thomson Reuters

E

2017: A new reality is firmly in place

▲ Expected to increase ▶ Expected to remain around current levels ▼ Expected to decrease

		Unsustainable expansion ('02-07)	Crisis (2008-11)	New reality (2012-16)	What's next? (2017-2020)
		Robust growth, high ROE, high multiples	Slow growth, ROE below COE, low multiples	Slow growth, plateaued ROE and multiples around 1; improved costs	Same as now + innovation drives growth
Average ROE		14.0%	7.3%	9.0%	▶
Revenue growth[1]		16.8%	3.9%	5.3%[2]	▶
Emerging markets' share of revenue[1] growth		26.9%	69.0%	70.8%[2]	▲
Tier 1 Ratio		10.5%	12.1%	12.4%	▶
Loan/deposit	Developed	124.6%	128.8%	105.8%	▲
	Emerging	75.6%	81.1%	77.0%	
Price/book value	Developed	2.2	1.0	0.9	▲
	Emerging	2.2	1.7	1.1	
% of banks trading below book value	Developed	28.4%	66.0%	61.7%	▼
	Emerging	19.2%	27.9%	37.2%	
Primary driver of economic growth		Volume	Risk cost	Operational efficiency	Entering new non classical banking markets/businesses

2018/022 Internal

1 Revenues before risk cost.
2 Fixed conversion rate, $ 2016

Source: Thomson Reuters; SNL

E Large platform players are already making meaningful plays in financial services

NON EXHAUSTIVE

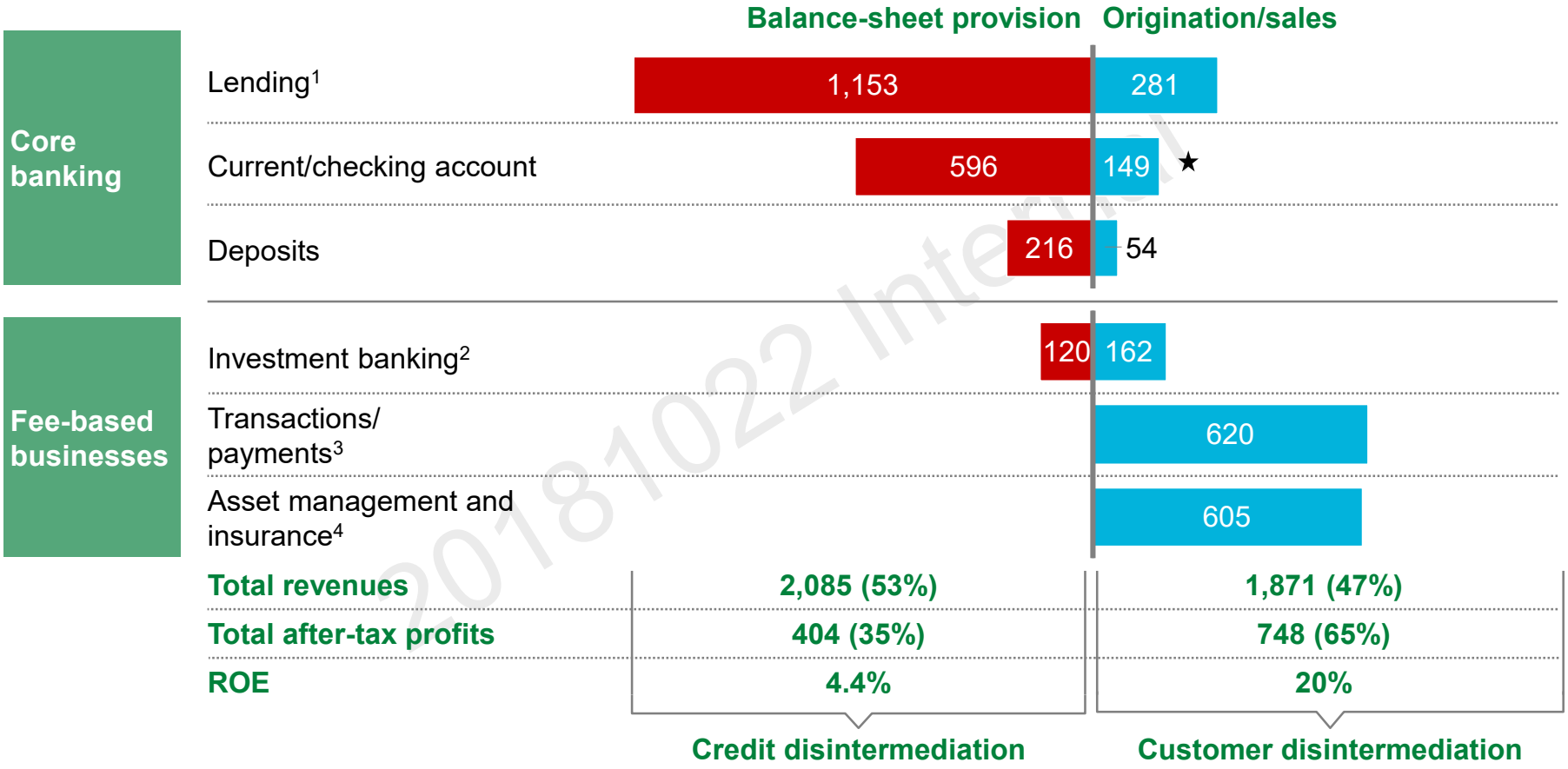
	Payment	P2P	Consumer financing	SME financing	Deposit gathering and wealth mng.
Google	pay	Google Wallet			
				★	
amazon	amazon pay amazoncash		amazon Prime monthly payment option	amazonlending	amazon
Alibaba Group	支付宝 ALIPAY	支付宝 ALIPAY	蚂蚁花呗 ANT CHECK LATER	网商银行 MYbank 易贷网 edai.com 蚂蚁小贷 ANT MICRO LOAN	余额宝 Yu'e Bao
Tencent 腾讯	财付通	财付通	微粒贷	WeBank 微众银行	理财通
JD.COM 京东	京东支付	京东钱包	京东白条	企业金采 京小贷 京保贝 动产融资	京东小金库 定期理财

2018102 Internal

Source: Press search

E Origination and sales – the focus of non-bank attackers – account for ~65% of global banking profits

Global banking revenues and profits by activity, 2016 *$ billions*



20181022 Internal

1 Loans to retail and corporate clients (overdrafts, specialized finance, credit card, trade loans)

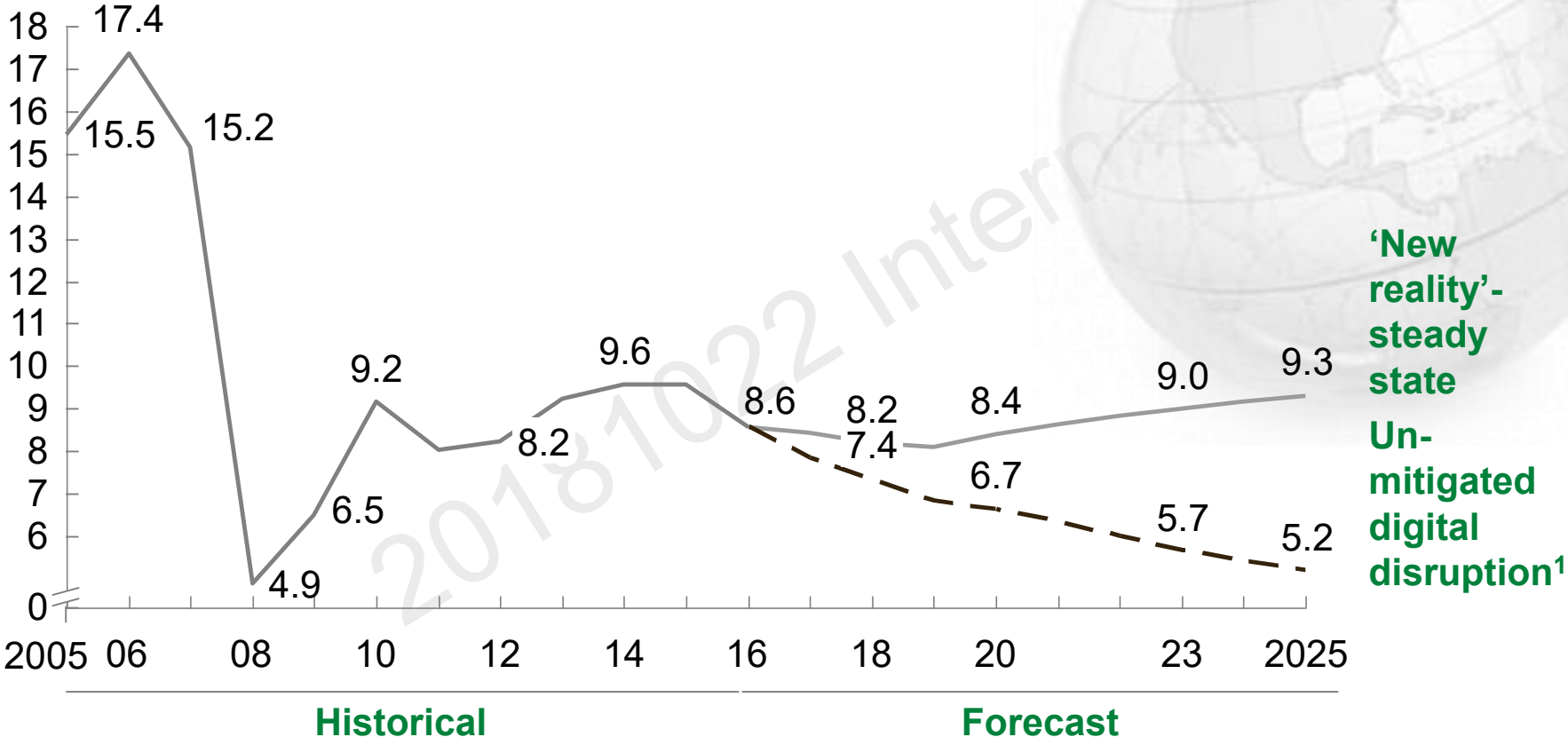
2 Corporate finance, capital markets, securities services

3 Retail and wholesale payment transactions, incl. Cross border payments and remittances and pension products. Insurance includes bank-sold insurance only

4 Asset management includes investment

E Future profitability is limited; an unmitigated digital disruption can further reduce it to half

Return on equity, Global, Percent



20181022 Intern

1 Unmitigated margin disruption defined bottom up by product, total impact ~11.6%

E

Digital at industrial scale: the new imperative

Transform front office productivity

Automate middle and back office

Embed cutting edge capabilities

1. Building better marketing skills, as excellence in digital marketing is now a core foundational capability
2. Reshaping the distribution architecture to create a true multi-channel experience for customers
3. Using digital tools and analytics to enhance sales productivity, e.g., by equipping relationship managers with a digital workbench
4. Industrializing operations through automation and artificial intelligence, e.g., robotic process automation and cognitive technologies
5. Reimagining underwriting, using data and analytics, to build a truly data-driven underwriting process and capabilities
6. Embracing cloud computing, open APIs, and other essential technologies, such as shared digital utilities
7. Creating an agile organization that is both stable (resilient, reliable and efficient) and dynamic (fast, nimble and adaptive)

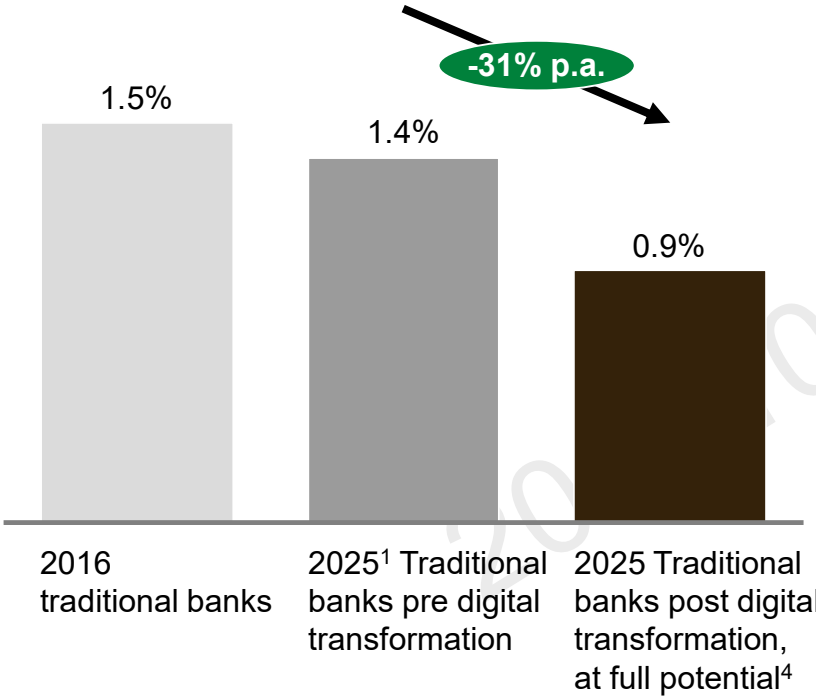
E

Digital transformation could unlock $~350 billion for the top 1000 banks

Traditional banks could decrease their cost-to-assets ratio by 30%, by fully closing the efficiency gap vs. digital banks...

Cost-to-assets

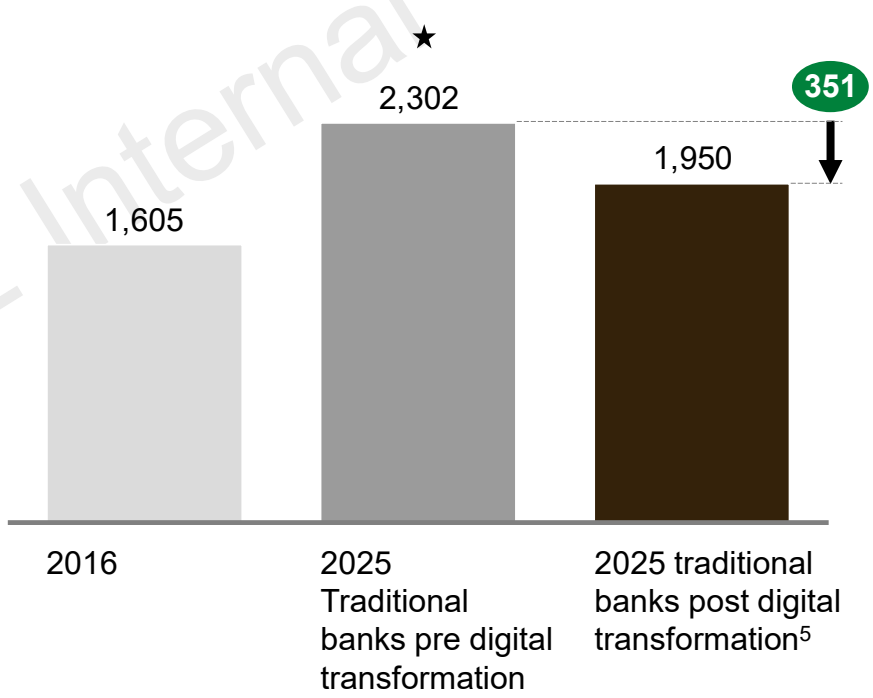
Top 1000 banks, percent



… closing half of the gap would translate into $~350 cost[2] saving

Cost

Top 1000 banks, USD billion[3]



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1 Steady scenario; 2 For banks greater than asset 2 bn USD, assumed 50% of full potential would be achieved; 3 Fixed 2016 USD
4 Assuming gap vs digital players is fully closed and efficiency gains are not competed away
5 Assuming only half of the value created from closing the gaps vs. digital players is captured

Source: SNL

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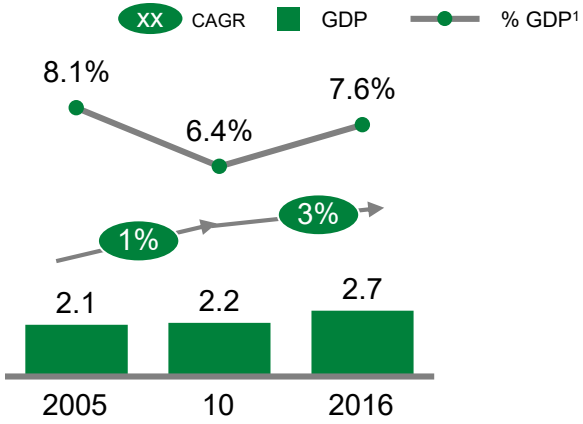
Education – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of education
Bn USD in 2010 prices



Performance metric, 2015

Performance compared to peers

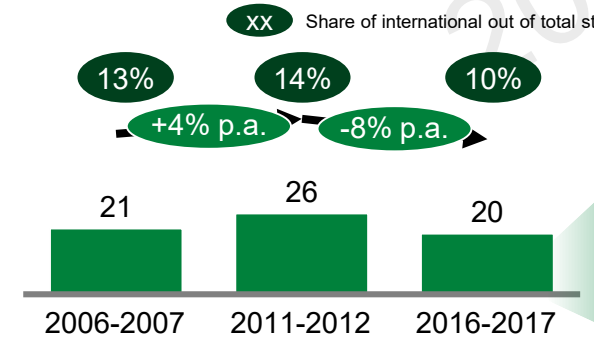
Quality of education, Universal scale score — 417

Public expenditure per student, PPP USD — 0-1000

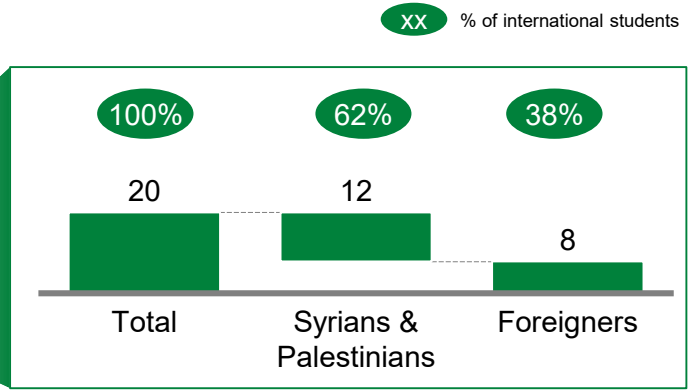
Number of universities in top 500, # — 2

Inbound International students – Higher education

Stock of international students 2017, '000 students



Split of international students by nationality 2017, '000 student



1 Excluding taxes and subsidies

Key challenges

- Declining performance of the education system (Quality of education system in Lebanon is classified as "Low")
- Outdated Curriculum (Latest update was in 1997)
- High regional competition in attracting international tertiary students
- Skill gap between the labour force demand and supply

2018-2022 Internal

Source: CAS, Ministry of education, World Bank. PISA scores

Education diagnostic – Key performance measures

A. Key performance measures

Macro contribution

A1 Education's contribution to GDP has grown in recent years

- Between 2005 and 2010, education was growing at less than 1%, but between 2010 and 2016, the sector's has been growing at 3% p.a. (faster than the base economy)

A2 The education sector employs a large fraction of the populate, ~160,000 people

Sector performance

A3 Lebanon's primary and secondary education quality has been declining and is creating a negative perception on the overall education sector

- Lebanon's overall quality of the education system is ranked "poor" and is trailing behind other Arab countries (ranking 68 out of 77 benchmarked countries)

A4 Lebanon's tertiary system is perceived as relatively strong especially due to the reputation of some of its top universities and the success of its graduates globally

- Lebanon has 2 universities in the Top 500 universities globally (higher than Jordan, Egypt and Qatar but lower than UAE and KSA)
  - AUB ranks in the top three universities in the Middle East
- Lebanon has a high relative share of students enrolled in top universities (e.g. MIT, Harvard, INSEAD)
- Lebanon graduates are seen as successful entrepreneurs in the MENA region and are in demand by global firms in the region:
  - Lebanon has the highest share of Lebanese start-up founders in the region (Top 100 start-ups) with AUB leading in number of engineering graduates that are founders of top 100 MENA start-ups
  - Lebanese graduates are heading mega corporates in the region (CCC, Petrofac, Dar Al Handasah, etc.)
  - Global consulting companies in the region are actively hiring Lebanese graduates

A5 Despite a relatively strong tertiary education system, Lebanon lack behind peer countries in attracting international students

- In 2017, Lebanon hosted ~16,000 international students (excluding Syrians and Palestinian), equivalent to 4% of the higher education student, 40% of which are Arab and ~20% are from North America

A6 Moreover, Lebanon's number of inbound students has been declining by 8% p.a despite an 11% p.a. growth in outbound Arab students over the same period

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Education diagnostic – Key performance drivers & enablers

B. Key performance drivers & enablers

Competition

B1 **Lebanon is facing growing regional competition in attracting regional and international students.**

- Egypt, Saudi Arabia and the United Arab Emirates (UAE) have made significant efforts to become education hubs, hosting 3% of the global share of mobile students in 2016
- Saudi Arabia and the UAE have outpaced the UK in attracting students from the Arab states and have become the third most popular destination (after France and the US) for regional outbound students.

Mobility

B2 **Many universities in Lebanon offer bi-lateral & institutional partnerships which facilitate mobility of students**

- Top 10 universities (which host 80% of total university students) all have international partnership facilitating student mobility
- Lebanese institutions are either bi-lingual or tri-lingual which facilitates the mobility of international students

Modernization

B3 **Lebanon's school curriculum is outdated (Latest update of the curriculum is in 1997). Moreover, Lebanon lags behind benchmarks on key metrics for research output**

Skill gap

B4 **A large skill gap exists in Lebanon, mainly due to lack of awareness of skills required by employers, relevance of educational outcomes & poor upskilling programs**

- Survey among job seekers and employers in Lebanon show that 55% of respondents believe there is a skill gap between the labour force demand and supply

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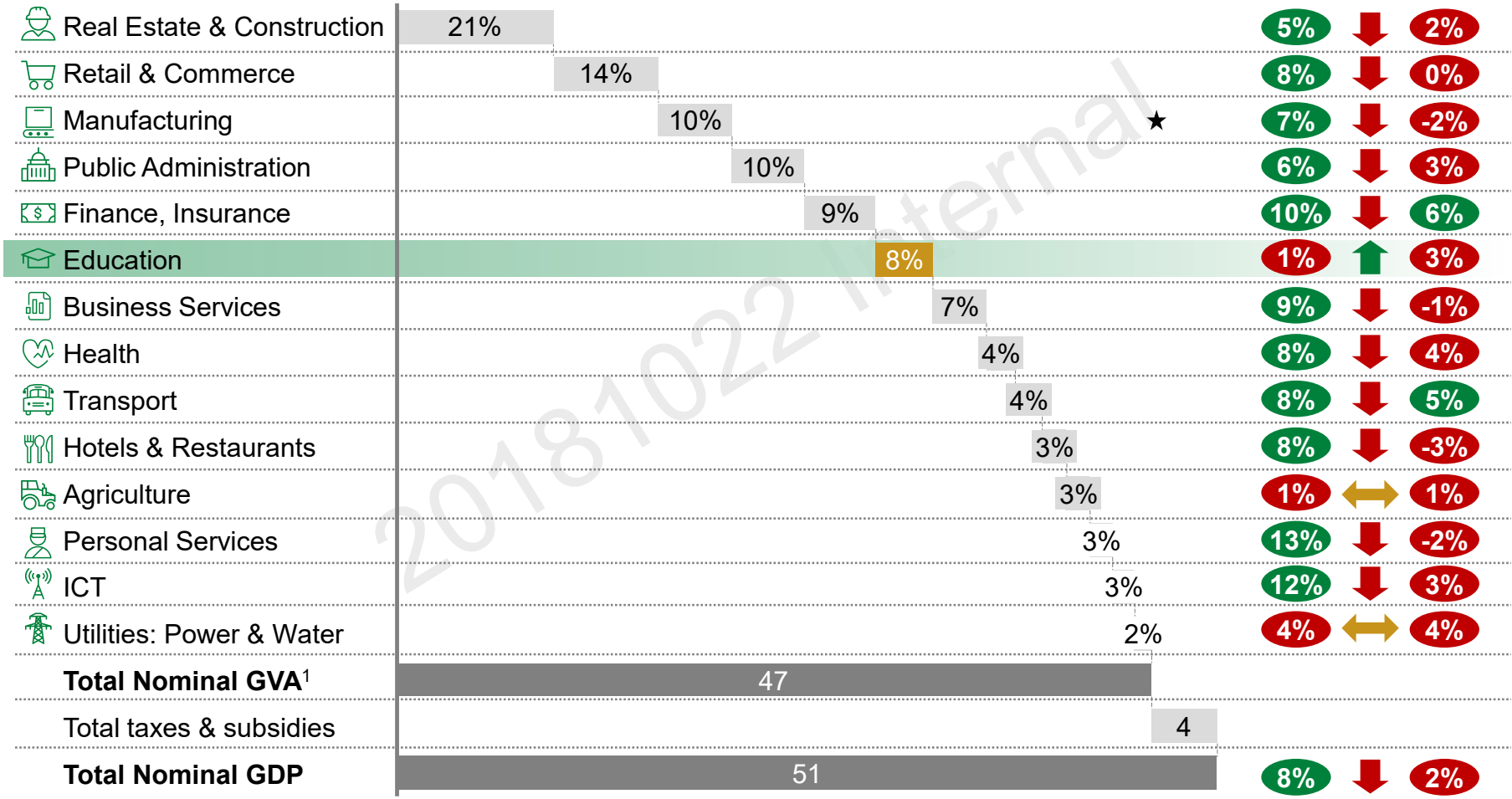
A1 Education contributes to 8% of the country's GDP and it has been growing at a rate faster than the base economy

Relevant Sectors



20181022 Internal

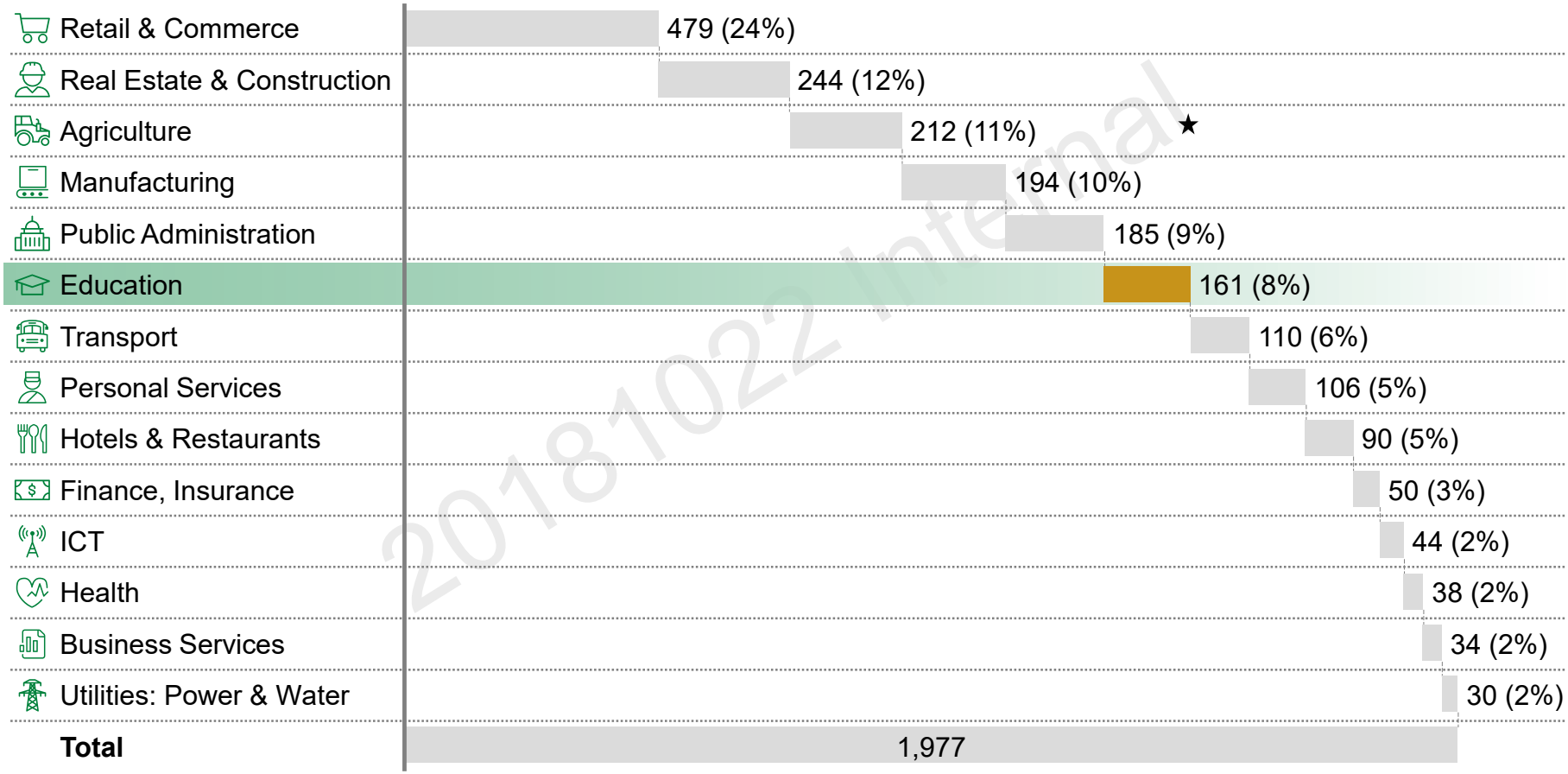
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A2 The education sector is the 6th largest employer in the country with a total of 161K employees

HIGH-LEVEL ESTIMATES

Relevant Sectors



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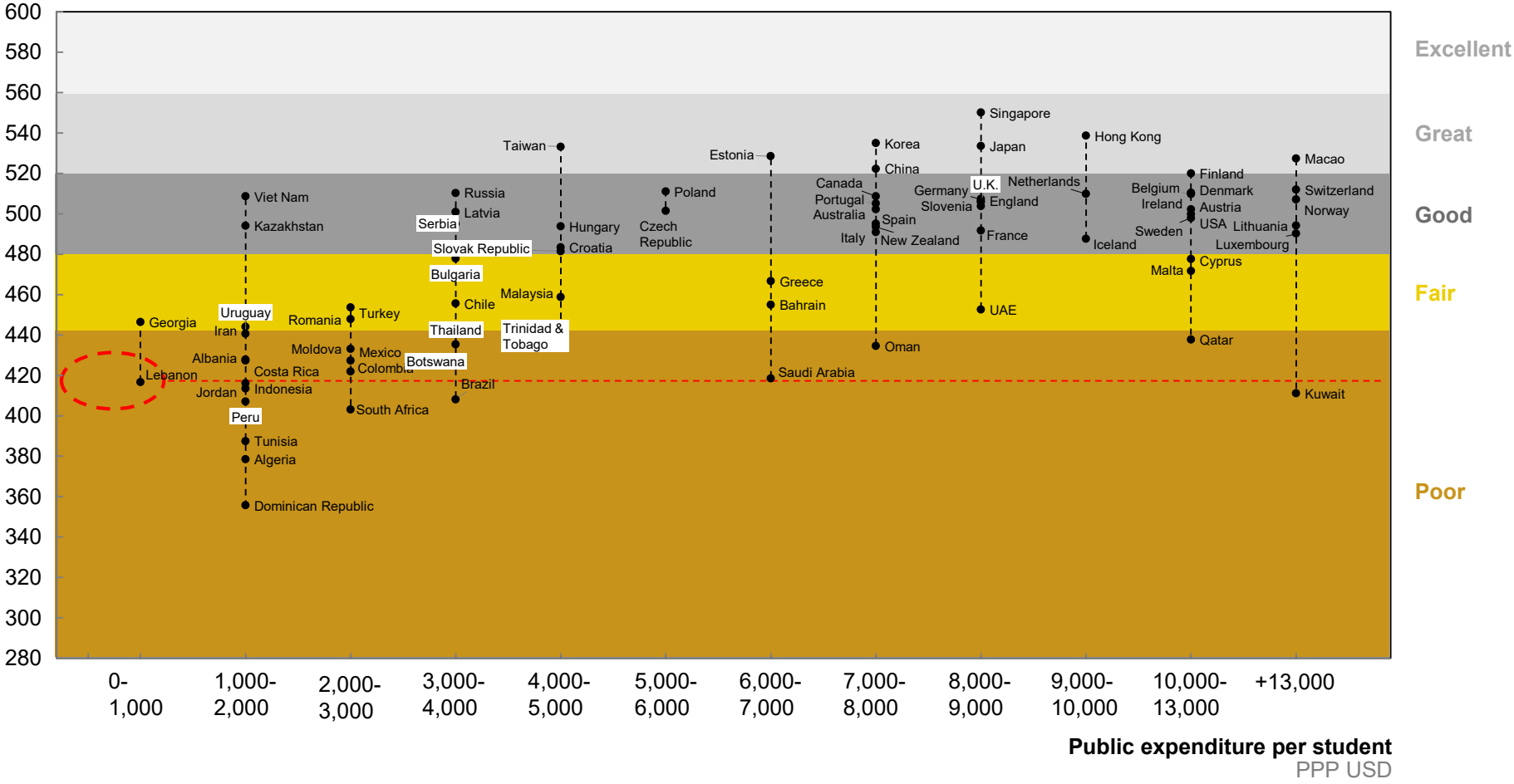
Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

A3 Lebanon's education sector is classified as "poor", with relatively low expenditure per student



1 The Universal Scale was created by McKinsey & Company, based on the methodology of Hanushek & Woessmann , to allow comparisons between school systems; 2016 PIRLS scores were included in 2015 analysis

SOURCE: McKinsey & Company, PISA, TIMSS, PIRLS, World Bank

A4 Lebanon's educational reputation for excellence is built around the prominent institutions and high-achievers in top universities

AUB Ranks third in the region's top universities

Rank 2018	University	Score 2018
1	MIT	100.0
2	Stanford	98.7
3	Harvard	98.4
173	KFUPM	50.3
221	King Saud University	44.5
235	**AUB**	**43.0**
267	King Abdul Aziz University	40.1
349	Qatar University	33.8
390	UAE University	31.1
395	AUC	30.7
411-420	AUS	29.5
411-420	Arabian Gulf University	29.2
451-460	Khalifa University	27.4
491-500	Universite Saint Joseph	23.5

Lebanon has a high enrollment rate in top universities compared to other regional peers

Country	MIT students per 1 million citizen	# students 2017-18
Singapore	18.19	102
Canada	7.64	277
Cyprus	6.84	8
Lebanon	**3.33**	**20**
Bahrain	2.11	3
Saudi Arabia	0.99	32
United Arab Emirates	0.65	6
Jordan	0.53	5
Tunisia	0.53	6
Kuwait	0.49	2
Oman	0.45	2
Qatar	0.39	1
Syria	0.38	7

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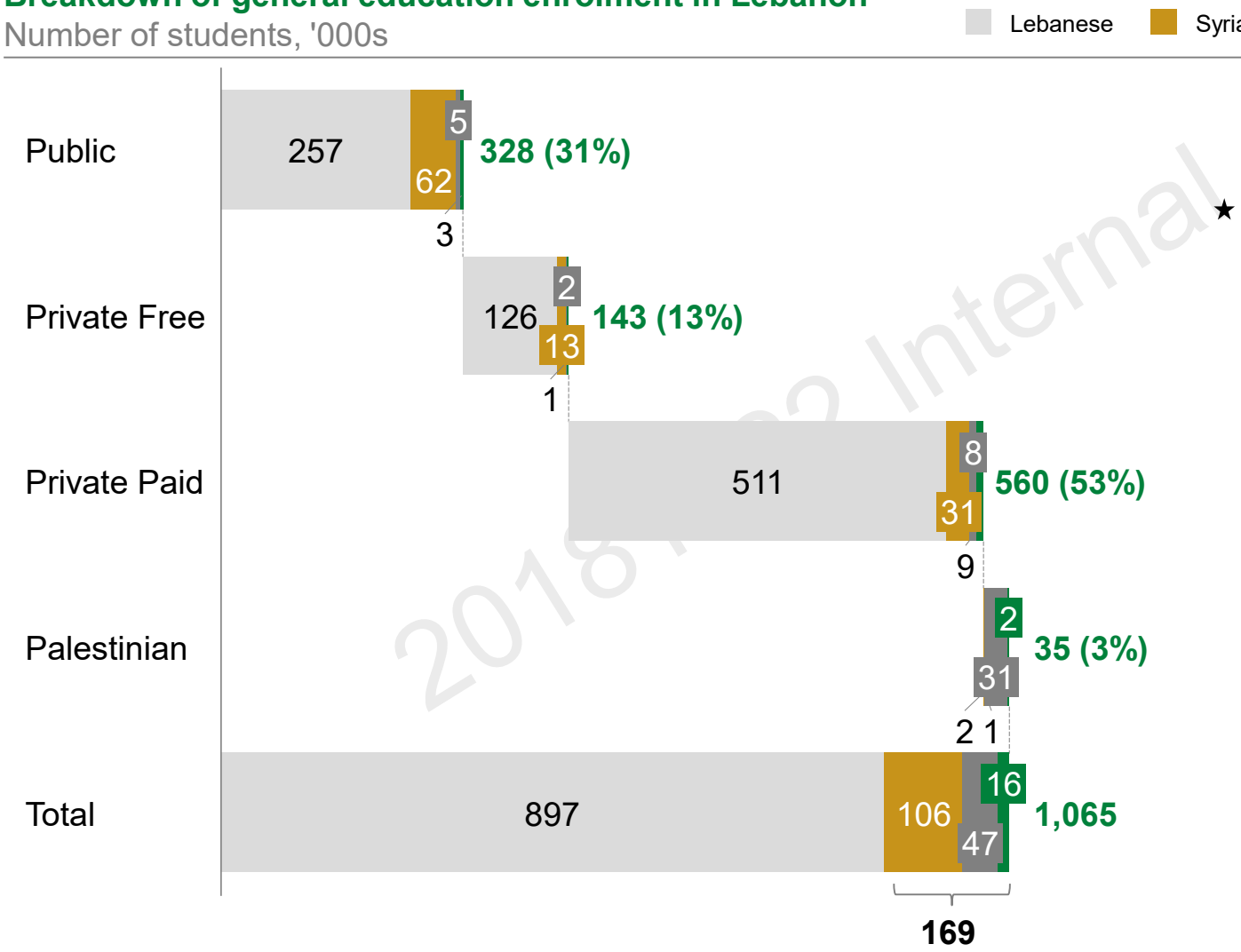
Source: QS university ranking

A5 Around 170,000 non-Lebanese students study in Lebanese schools

Breakdown of general education enrolment in Lebanon

Number of students, '000s



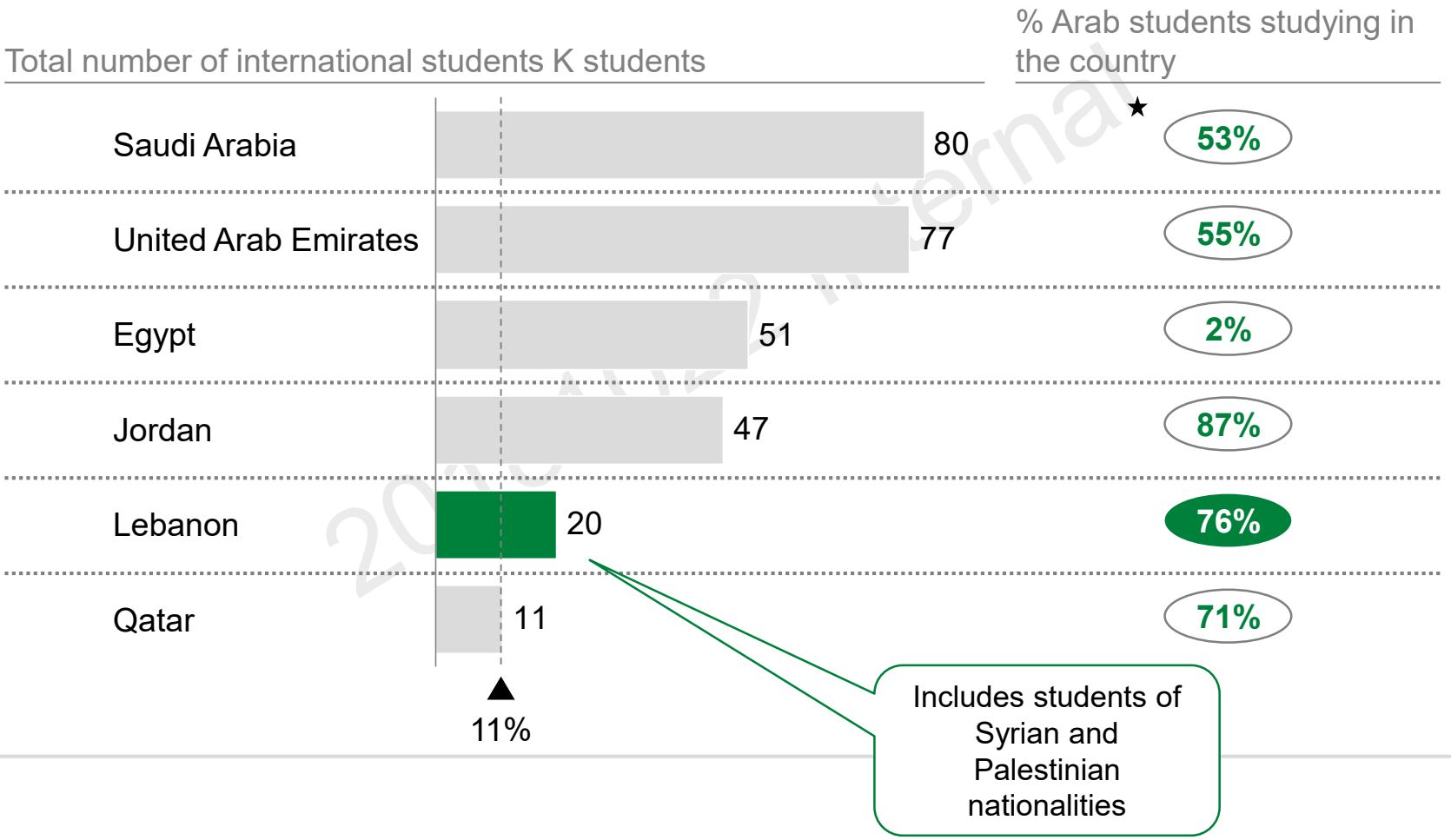
Includes pre-school, primary school, and secondary school

Excludes technical/ vocational education and higher education

2018 Q2 Internal

A5 Countries in the region have been increasingly able to attract outbound students, most of them from Arab countries

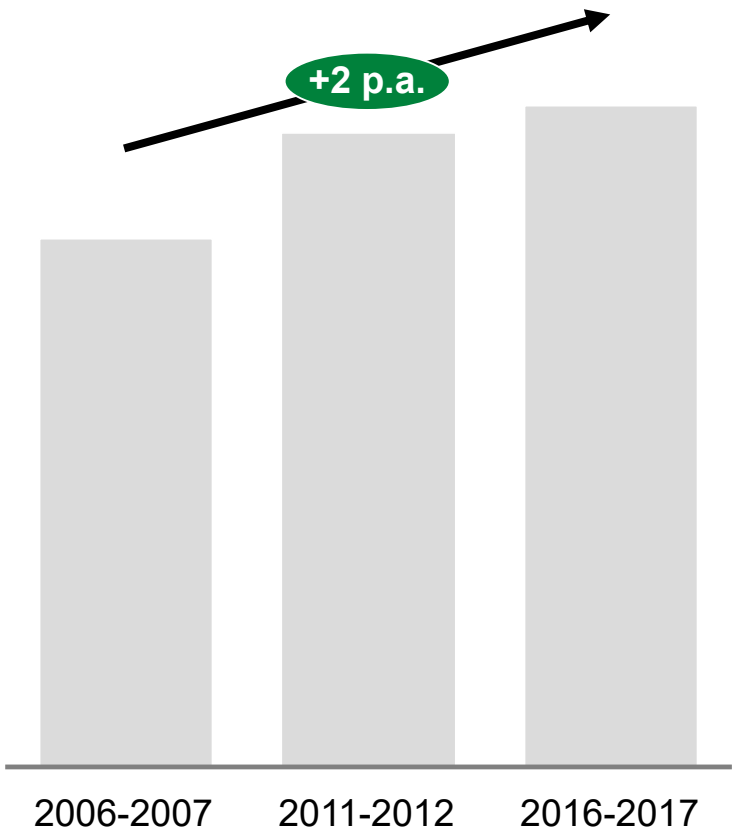
Lebanon's growth rate of inbound tertiary education students compared to other destinations in the region



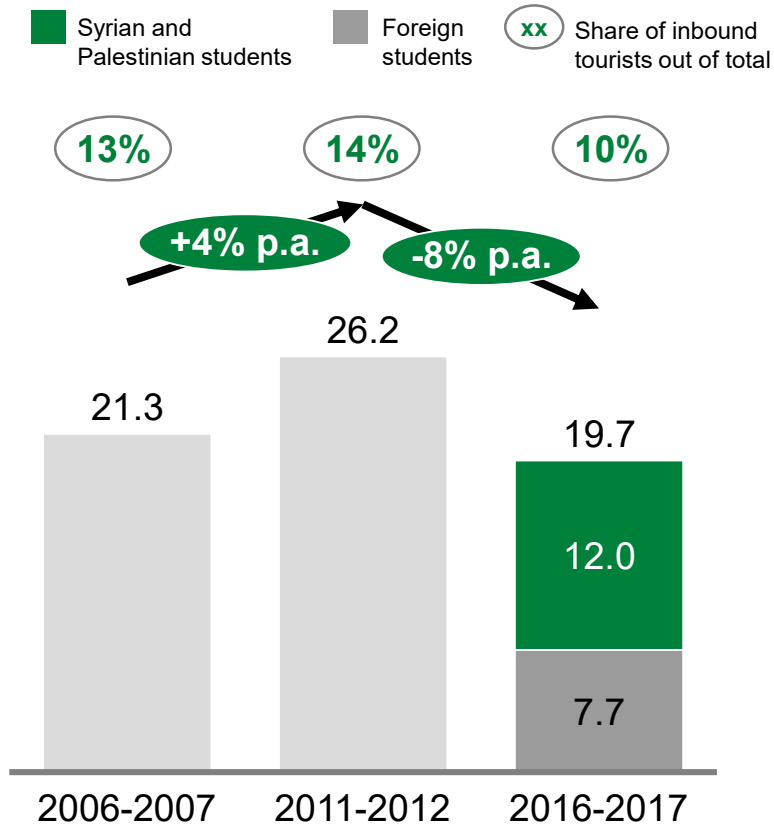
SOURCE:Ministry of education, UNESCO Institute for Statistics

A6 Number of international students studying in Lebanese universities has been declining in recent years at a rate of 8% p.a.

Total number of students enrolled in Lebanese universities, #



Number of international students in Lebanese universities ,'000 students



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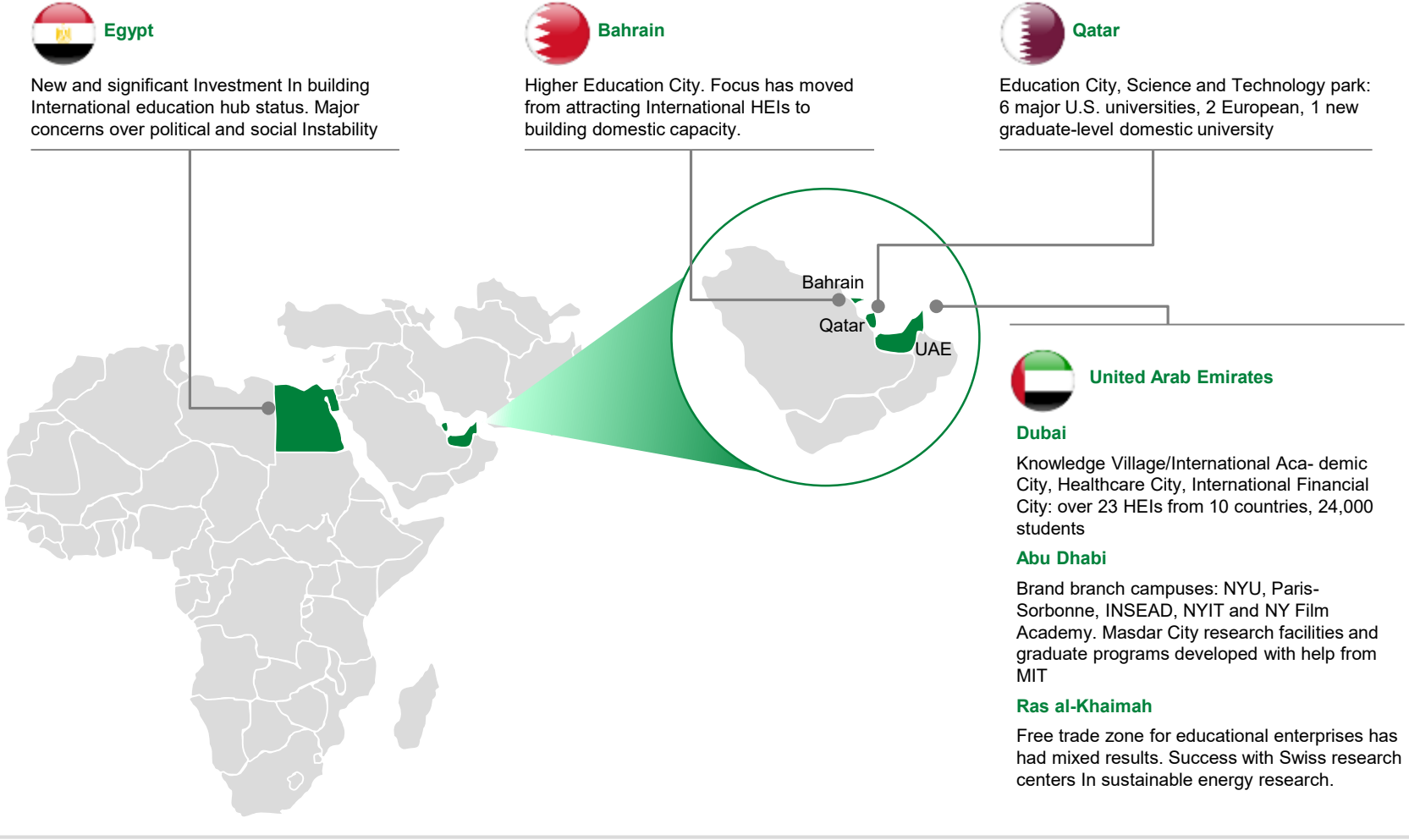
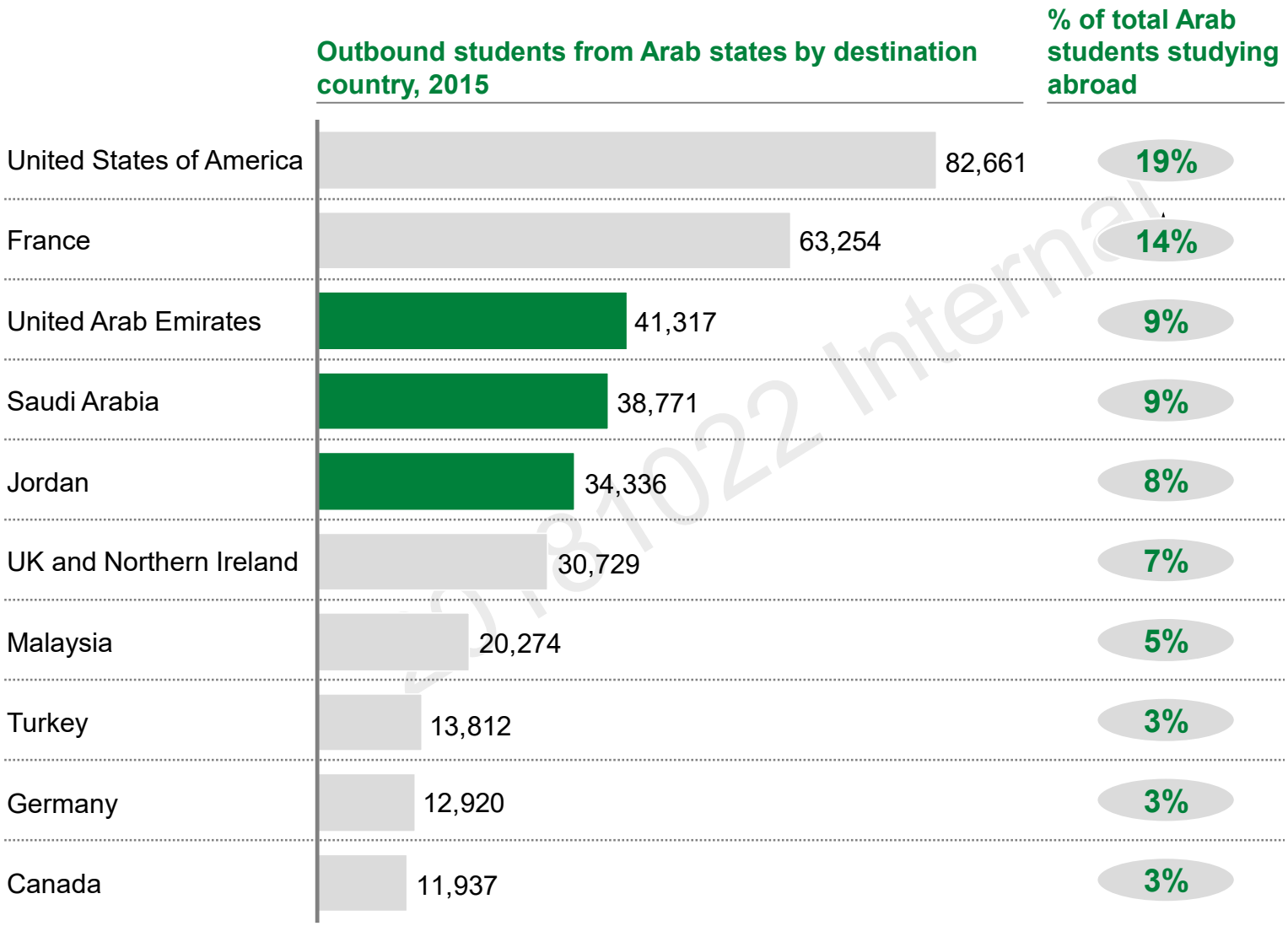
B1 Many Arab countries are at an advanced stages of developing their educational sector



SOURCE: World Education News and Reviews

B1 Particularly, KSA, UAE and Jordan have outpaced the UK in attracting students from the Arab states



UAE, KSA and Jordan have outpaced the UK in attracting students from the Arab states and have become the third and fourth most popular destination (after France and the US) for students from the region.

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SOURCE: UNESCO Institute for Statistics

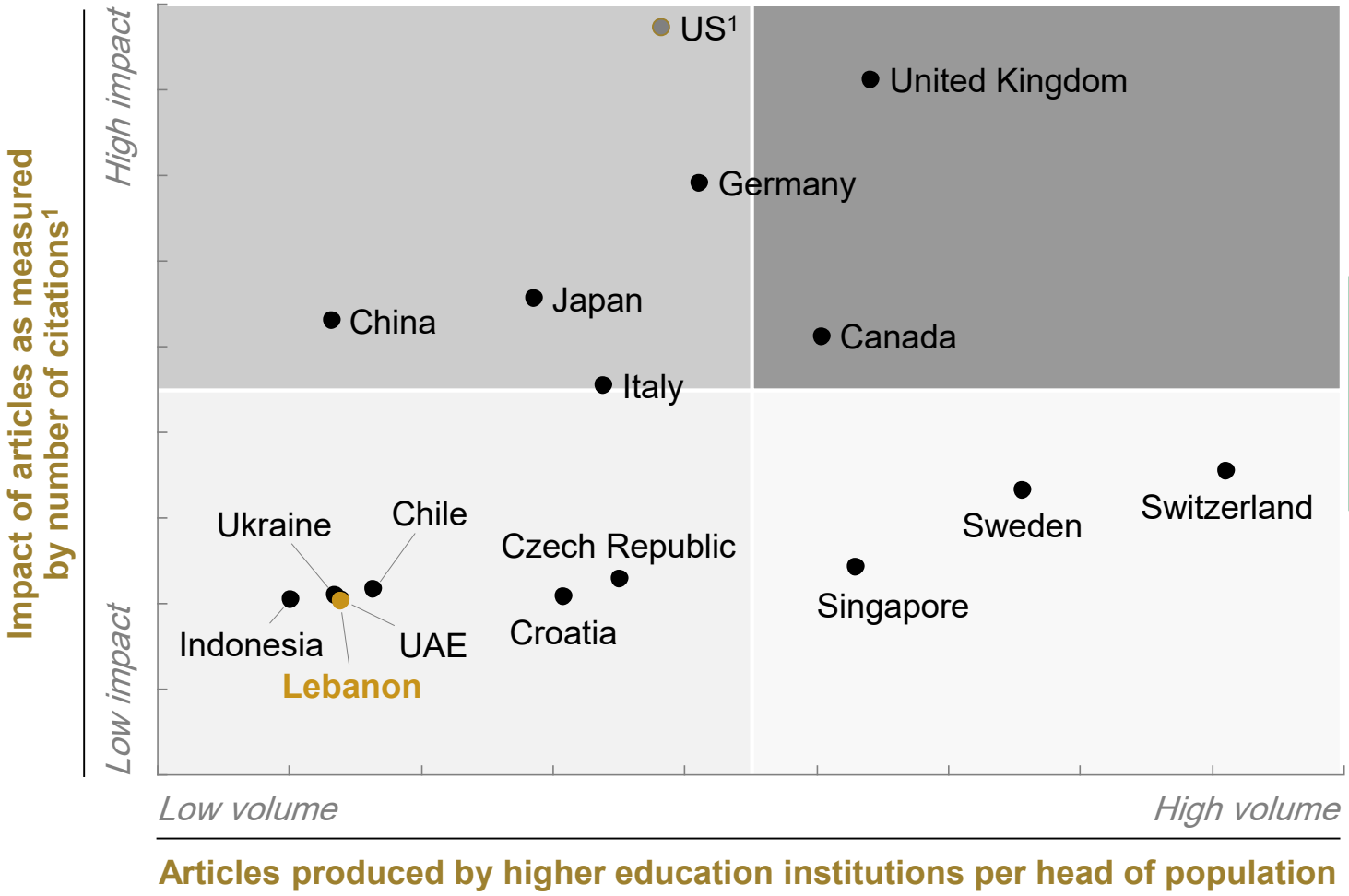
B2 In Lebanon, top 10 universities covering 80% of total students all have international partnerships facilitating student mobility

University	Partnerships with international universities		Logos
Lebanese international university	The University of Kansas School of Medicine University of Wollongong Australia Hochshule worms University of applied sciences	Emuni University Ohio University	
Lebanese university	The University of Jordan (UJ) Naif Arab University for Security Sciences		
Beirut Arab university	Paris-Sorbonne University (Paris IV) Stockholm University	University of Savoy University of Barcelona	
Lebanese American University	Sciences Po Richmond-The American International University in London University of Ottawa	UC Berkeley Cornell University	
Universite Saint Joseph	University of Hamburg University of Vienna Cairo University	Paris Sorbonne University Georgetown University	
Notre Dame University - Louaize	Linnaeus University University of Crete Reorient University		REORIENT
American university of Beirut	American University in Cairo Charles III University of Madrid Boston University New York University		
Holy Spirit University of Kaslik	Laval University National Center for Scientific Research Saint Luke Higher School of Architecture	Special School of Architecture- Paris (ESA) Russian Federation State Institute of Cinematography (VGIK)	
Arts, Sciences and Technology University in Lebanon	Ecole Nationale d'Ingénieurs de Brest (ENIB) Wales University, School of Electronic Engineering University of Atlanta	American University for Humanities Emporia State University	

Source: University website

B3 However, Lebanon lags behind benchmarks on key metrics for research output

Volume and impact of research output, Nr and citations of publications, 1996-2016



Lebanon's research output in terms of articles and citations is **low volume and low impact** particularly when compared to international benchmarks

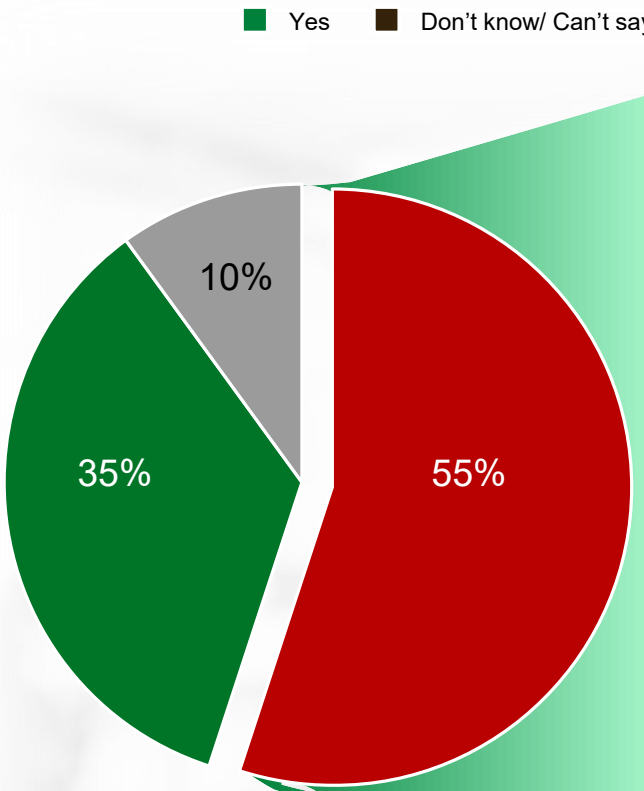
1 USA data point is not to scale as overall citations are almost 4 times higher than the next closest country

Source: Scimago Journal & Country Rank, World Bank

B4 Moreover, 55% of employers in Lebanon highlight a skill gap between the job requirement and the graduates acquired skills

ILLUSTRATIVE

Perception of skills gap in the Lebanon[1]



Root Causes

25% believe **job seekers don't know which skills employers are looking for**

Over **22%** view educational **institutions not teaching** students the **skills** they need to enter the **job market**

15% believe **companies do not provide enough training** opportunities to employees

22% think **governments do not offer** enough **programs** for the **unemployed** to develop their skills

1 Based on Bayt.com and YouGov skills gap in MENA survey 2016 covering 170 job seekers in the Lebanon

SOURCE: Bayt.com and YouGov skills gap in MENA 2016

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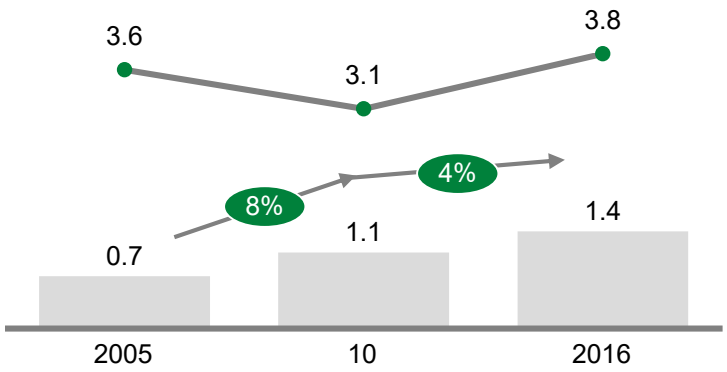
Healthcare – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of healthcare
Bn USD in 2010 prices

XX CAGR — % GDP[1]



Healthcare expenditure, 2015

		Performance compared to peers
Health expenditure per capita, PPP, K USD	1.1	
Out-of-pocket share of healthcare expenditure, %	37	
Pharma expenditure, % of total healthcare expenditire	46	

Performance metrics

Quality metrics, 2015

	Lebanon	OECD
Average life expectancy at birth, years	81	80
Neo-natal mortality per 1,000 live births	5	4
Maternal mortality per 100,000 live births	14	14[2]

Accessibility metrics, 2015

		Performance compared to peers
Number of hospital beds, Per 1,000 population[3]	3.4	
Number of doctors, Per 1,000 population[3]	3.2	
Number of nurses and midwives Per 1,000 population[3]	3.3	

Key challenges

- **Healthcare expenditure is in line with peers however share of out of pocket and pharma expenditure is high:**
  - High share of out of pocket healthcare expenditure (37%
  - High share of pharmaceutical expenditure out of total healthcare expenditure
- **High share of population that is uninsured (38-40% of total population)**
- **Highly fragmented hospital network (65% of hospitals have less than 100 beds)**
- **Lack of specialization of hospitals limiting the advantages of the economy of scale**

Healthcare diagnostic section covers economic contribution of the sector. This includes quality, accessibility and spend per capita on healthcare as well as size of the medical tourism exports. Social contribution and healthcare operating model are not part of the scope

Source: CAS, Ministry of Public Health Bulletin, World Bank, BLOM Bank, World Health Organization

Healthcare diagnostic - key performance measures

A. Key performance measures

Macro-economic trends

A1 **Healthcare contributes to 4% of the country's GDP[1] (2016). The sector has experienced a slowdown in growth in the past 6 years despite the increase of its contribution as a % of GDP**

- The healthcare sector has been growing at 8% p.a. between 2005-2010 and at 4% p.a between 2010-2016
- Healthcare sector contributed to 3.1% of GDP in 2010 vs 3.6% in 2016

In addition, the healthcare system employs ~38,000 medical staff (including nurses, doctors, dentists and pharmacists) ★

Performance measures

A2 **Lebanon's healthcare expenditure per capita is in line with peer average; however 37% of expenditure is paid out of pocket potentially leading to an increased risk of poverty**

- Lebanon's healthcare expenditure per capita (PPP-adjusted) is in line with peer average (upper middle income average)
- Out of pocket healthcare expenditure share is high compared to peers (37%), which could have the highest impact on the low income population
- Moreover, ~38-40% of the population is uninsured and their healthcare expenditure is covered by MoPH; this can lead to a burden on the government

A3 **Lebanon's share of pharma expenditure out of total healthcare expenditure is more than 3x higher than global average mainly due to high share of patented drug sales**

- Pharma market in Lebanon is 1.63 Bn USD (2015) and accounts for ~46% of total healthcare expenditure;
- High share of pharmaceuticals spend can be correlated with high sales of patented drugs (49% of sales) vs generic drugs (30%) and over-the-counter drugs (21%)

A4 **In 2015, Lebanon attracted ~14,000 medical tourists[2] which is less than ~6% of Jordan's medical tourism market**

- Lebanon was ranked 40th out of 41 countries on the Medical tourism index in 2016 which assess the attractiveness of countries for medical tourism
- Lebanon's medical tourism segment is small (2% of total admissions) with around ~14,000 admissions in 2015, mainly from Iraq
- The medical tourism market in the region is mainly focused in 3 host countries: Turkey (~750K medical tourists), UAE (~300K medical tourists) and Jordan (~250K medical tourists)

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1 Excluding taxes and subsidies

2 Based on number of Iraqi medical tourists which are assumed to be the majority of medical tourist

Source: CAS. MoPH Bulletin, Syndicate of Hospitals Lebanon, BLOM Bank, Press search, Interviews

Healthcare diagnostic - key performance drivers

B. Performance drivers

Accessibility

B1 Overall number of hospital beds and medical staff per capita is in line with OECD countries

- Lebanon has more than 170 hospitals[1] with ~16,500 beds across all governates out of which ~85% (of hospitals) are private and ~15% are public
- Lebanon's ratio of physicians per 1000 capita and number of hospital beds per 1000 capita is in line with OECD countries; however, Lebanon has a shortage is nursing and midwives staff compared to OECD countries

Quality

B2 Lebanon's overall quality of medical services meets high standards and is in line with OECD countries

- Average life expectancy in Lebanon is 80 years (2016); in line with OECD average
- Neo-natal and maternal mortality rates are also in line with average OECD countries

Speciali-zation

B3 Lebanon's healthcare system is highly fragmented and lacks specialization.

- 60% of private hospitals in Lebanon have less than 100 beds
- Majority of hospitals operate as standalone facilities with lack of consolidation into hospital chains across Lebanon
- Majority of hospitals in Lebanon lack specialization potentially leading to higher costs (no economy of scale) and a missed opportunity in R&D and a high value / high quality offerings

B4 Lebanon is one of the leading destinations for cosmetic surgery in the Middle East with initiatives to promote it nationally and internationally

- Lebanon's First National Bank offers loans of up to $5,000 for cosmetic surgery
- It is estimated that 20% of plastic surgeries in Lebanon are performed on medical tourists

20180122 Internal

1 Includes private and public hospitals/ includes short, medium and long stay hospitals

Source: Syndicate of Hospitals, Press search, Interviews

Healthcare diagnostic - enablers

C. Enablers

Regulations and legislations

C1 **Lebanon's regulatory framework does not incentivize specialization of hospitals rather they incentivize increased number of departments (tariffs for hospitals depend on number of departments)**

C2 **Lebanon introduced new regulations to reduce spend on drugs**

- Lebanon has developed regulations to standardize prescription of drugs and encourage generic drugs
- Moreover, a new tax was introduced on certain patented drugs to further incentivize sales of generic dugs

Data and analytics

C3 **The healthcare system lacks proper data to drive informed decision making, lead to more specialized of hospitals and healthier competition (especially in the imaging field)**

Digital and hard Infra-structure

C4 **Lebanon does not currently have a centralized digital portal with a list of all hospitals (public and private) along with updated information on specialization, number of beds[1] , surgeries, etc.**

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1 Syndicate has a website with list of private hsopitals only but information is outdated

Source: Syndicate of Hospitals, Press search, Interviews

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D Opportunities and priorities

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A1 The healthcare sector represents ~4% of GDP and has experienced a slowdown in growth in the past 6 years

Relevant Sectors

Sectors	GDP contribution, USD Bn (2016), % shown as total of GDP excluding taxes & subsidies	2005-2010 CAGR[2], %	2010-2016 CAGR[2], %
Real Estate & Construction	21%	5%	2%
Retail & Commerce	14%	8%	0%
Manufacturing	10% ★	7%	-2%
Public Administration	10%	6%	3%
Finance, Insurance	9%	10%	6%
Education	8%	1%	3%
Business Services	7%	9%	-1%
Health	4%	8%	4%
Transport	4%	8%	5%
Hotels & Restaurants	3%	8%	-3%
Agriculture	3%	1%	1%
Personal Services	3%	13%	-2%
ICT	3%	12%	3%
Utilities: Power & Water	2%	4%	4%
Total Nominal GVA[1]	47		
Total taxes & subsidies	4		
Total Nominal GDP	51	8%	2%

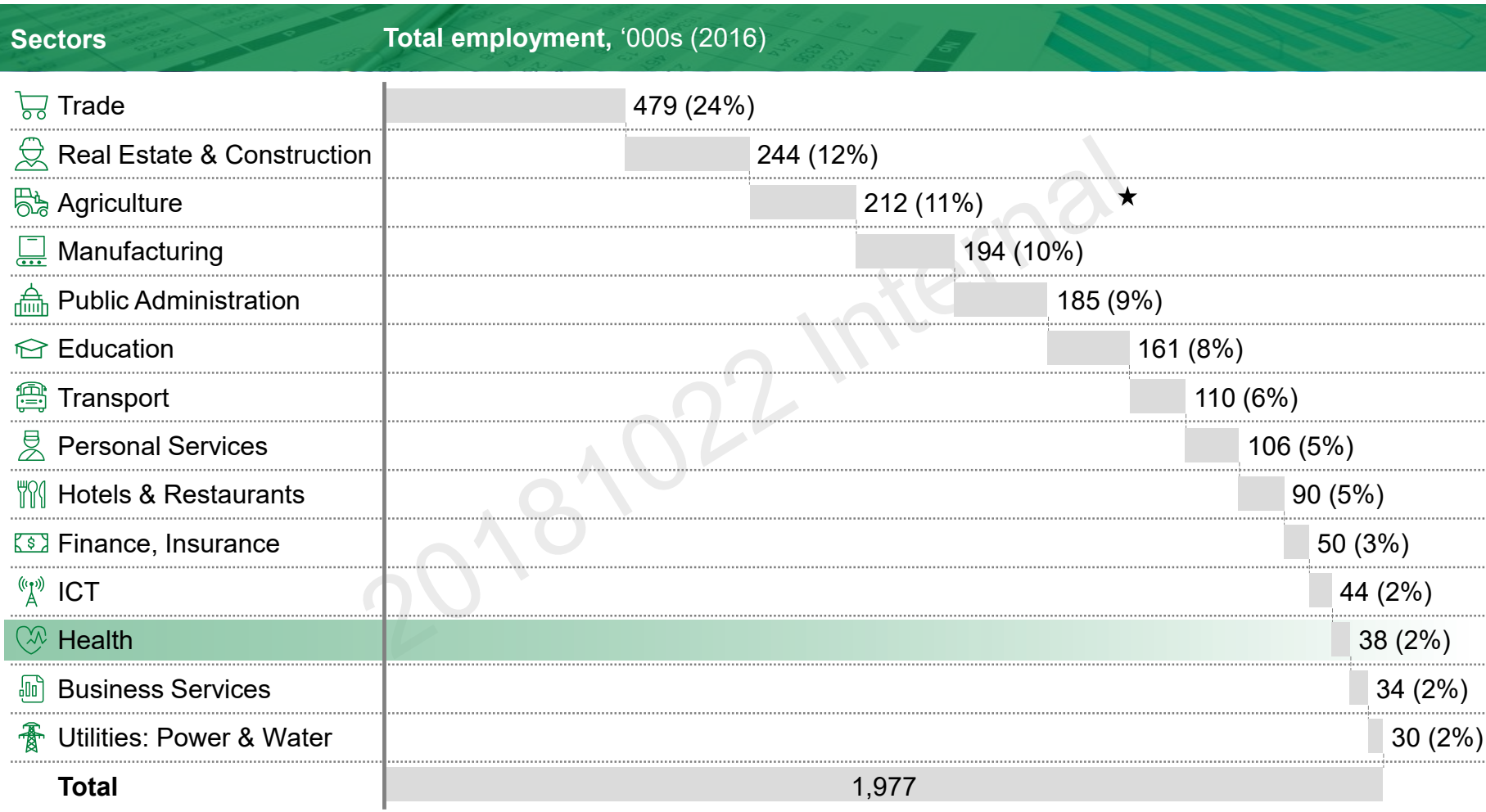
20181022 Internal

1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A1 The healthcare sector employs ~38K people, 2% of the total workforce

HIGH-LEVEL ESTIMATES



20181022 Internal

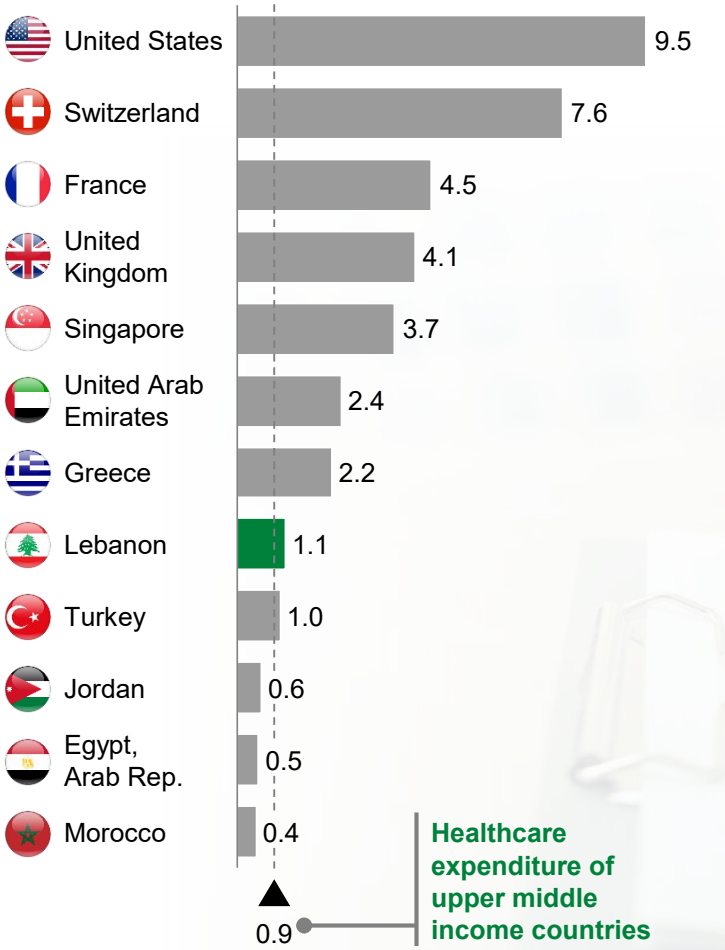
Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

A2 37% of healthcare expenditure in Lebanon is paid out of pocket potentially leading to an increased risk of poverty

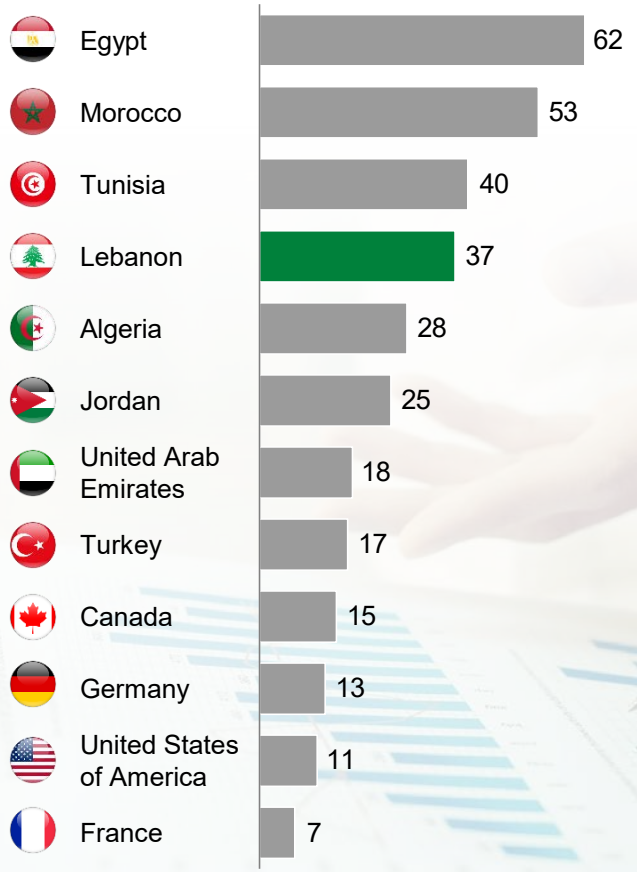
Lebanon's healthcare expenditure per capita is in line with upper middle income countries…

Current health expenditure per capita, PPP 2015, K USD



…However, the out-of-pocket share expenditure is high compared to benchmarks

Out-of-pocket healthcare expenditure 2015, % total healthcare expenditure



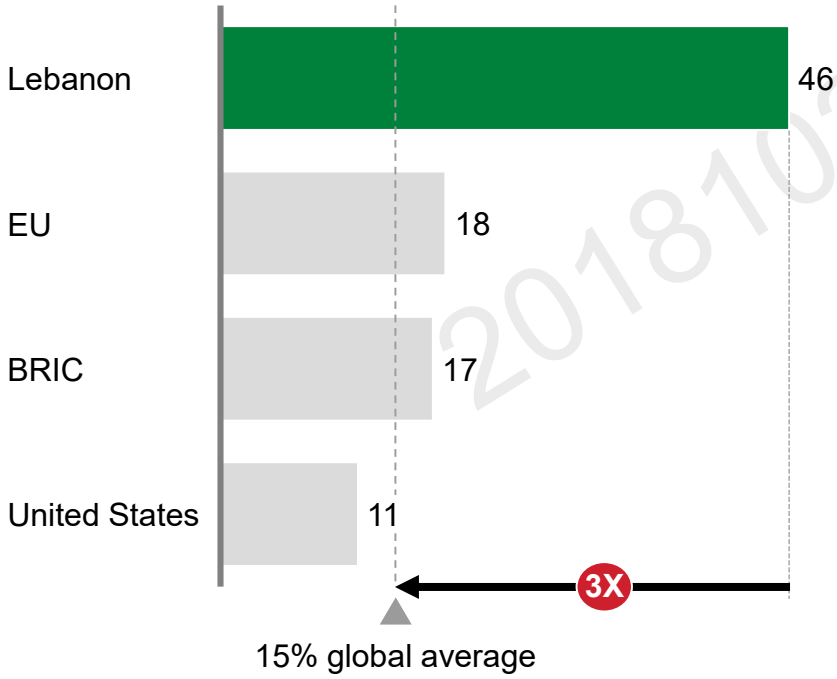
- High share of the population is uninsured (38-40%) and its healthcare expenditure is covered by MoPH; this can lead to a burden on the government
- Out-of-pocket expenditure is 37% of total expenditure, which can potentially lead to increased risk of poverty from medical expenditure

SOURCE: WHO Global Health Expenditure Database, MoPH bulletin, interviews

A3 Lebanon's share of pharma expenditure out of total healthcare expenditure is more than 3x higher than global average

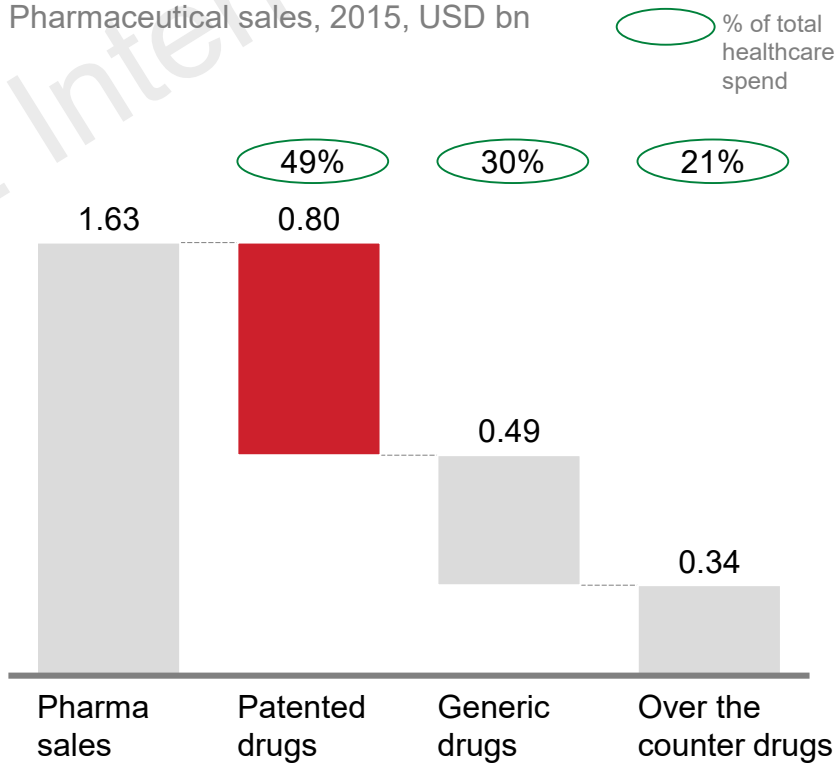
Out of total healthcare expenditure, more than 45% is spent on pharmaceuticals …

% of pharma expenditure out of total healthcare expenditure, 2015



… mainly due to a high share of patented drug sales

Pharmaceutical sales, 2015, USD bn



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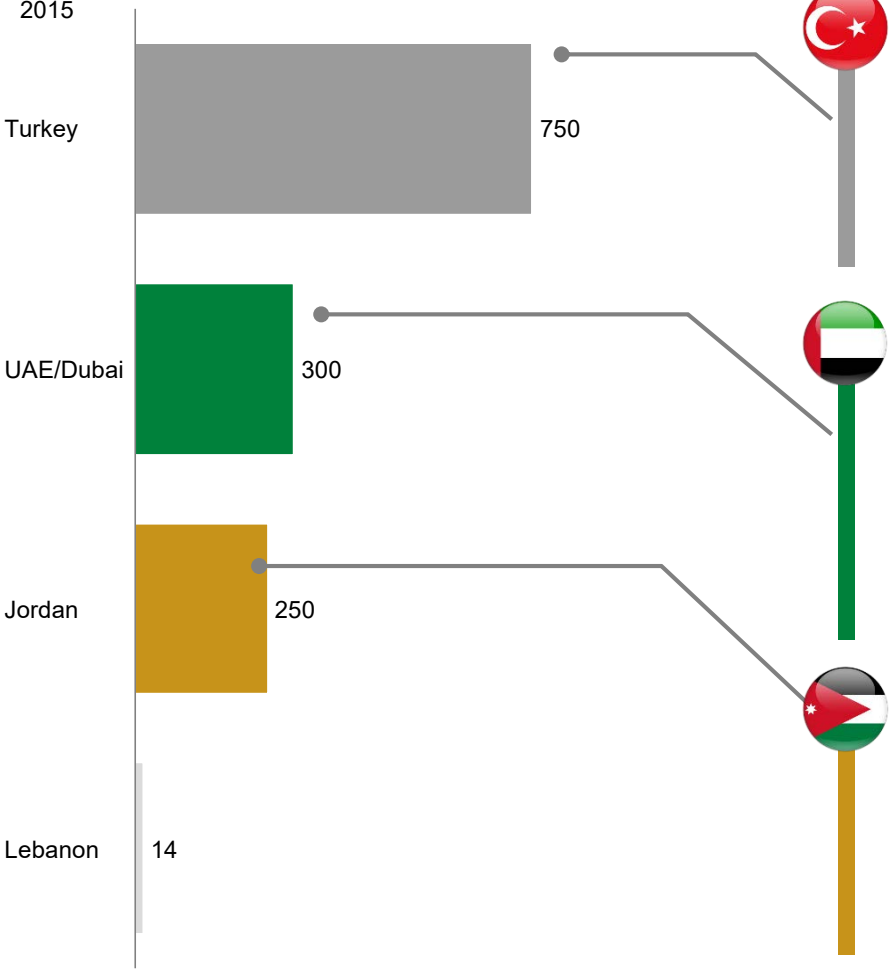
Source: BMI May 2018, BLOM INVEST

A4 In 2015, Lebanon attracted ~14,000 medical tourists less than 6% Jordan's medical tourism market

Lebanon captured 0.1% of total medical tourists that came to the region in 2015

Number of medical tourists in '000 medical tourists, 2015



Case examples

- **~750K** foreign medical tourists in **2015**
- **Competitive prices with good quality** in comparison to Western European countries
- **Highest number of JCI-hospitals (44)** in the region
- Famous for **hair transplants,** and specialized in **transplantation, neurosurgery, genetic testing, ophthalmology, cardiology, orthopedics, cosmetic surgery, dentistry**
- **Ideal location** between ME and Europe

- **~300K** medical tourist in **2015** (Government aspires to reach ~500K by 2020)
- **High Quality:** 42 treatment centers for foreign patients offering specialties, e.g. **cardiology, orthopedics, neurology and spine, reproductive medicine, and ENT**
- Strengthen Dubai as HC destination through the "The Dubai Health Experience" initiative; Furthermore, targeting travelers combining the stay with medical procedures

- **250K medical tourists in 2015**
- **Low cost** (40% the cost in US for the same procedures) with **a technology and equipment being almost the same**
- Traditional focus on **cardiovascular, kidney diseases and transplants**, neurosurgery, ENT, plastic surgeries and IVF
- **Ideal location placement in MENA**

Top nationalities/sources

- **Europe and Arab countries**

- **Asia (37%), GCC and Arab countries (31%), Europe (15%)**

- **Saudi Arabia, Gulf States, Palestine, Iraq, Libya, Sudan and Yemen**

Source: Syndicate of hospitals, Web and press search

Contents – Healthcare

A Key performance measures

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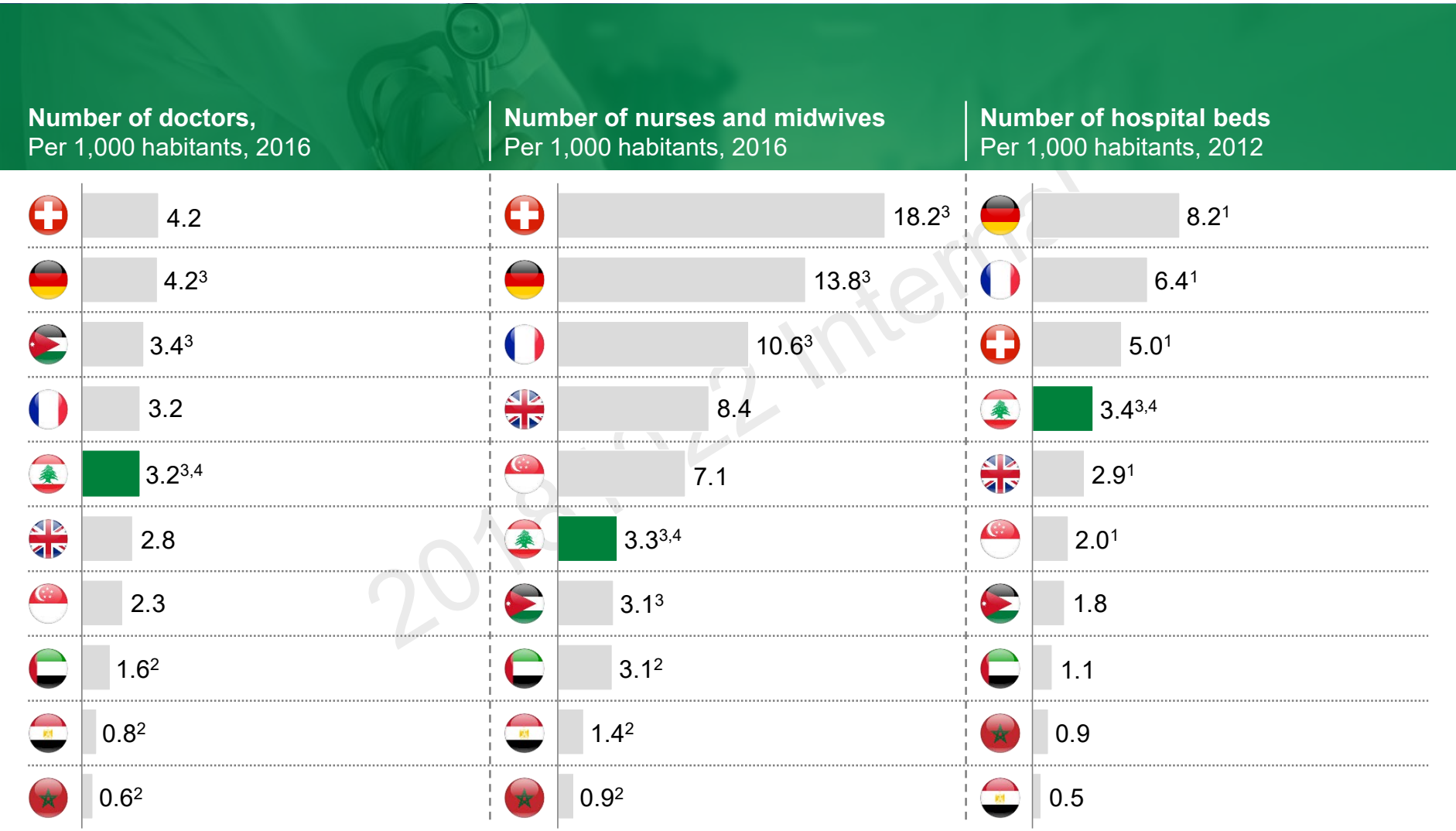
20181022

B1 Overall number of hospital beds and physicians per capita is in line with peers however there is a shortage in number of nurses



1 FY 2011; 2 FY 2014; 3 FY 2015; 4 Based on Lebanese population only

SOURCE: MoPH bulletin, World bank

B2 Lebanon's overall quality of medical services meets high standards and is in line with OECD countries

Quality metrics performance , 2015	Lebanese population	OECD	MENA
Average life expectancy at birth	81	80	73 ★
Neo-natal mortality per 1,000 births	5	4	14
Maternal mortality per 100,000 births	14	14	81

20181022 Internal

Source: MoPH bulletin, World bank

B4 Lebanon is one of the leading destinations for cosmetic surgery in the Middle East

Overview

- The Lebanese plastic surgery industry has flourished in recent years with **surgically enhanced beauty** becoming increasingly desirable among image-conscious locals
- **Cheaper and more affordable** than western countries, e.g. USA
- Many **Arab patients** from abroad choose Lebanon because they feel more comfortable with **doctors of the same cultural background**
- Middle East Airlines, Lebanon's national carrier, has a link on its web site about the benefits of medical tourism

Hospitals

- ISO **certified hospitals** (e.g. Bellevue Medical Center) are among the leaders in servicing foreign patients

Government initiatives

- Banks in Lebanon (e.g. First National Bank) offer **loans of up to $5,000 for cosmetic surgery**

Source: Web and press search

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D Opportunities and priorities

20181022

D Lebanon should focus on increasing generic drug sales, protecting household income and positioning Lebanon as a medical hub

Key priorities

Detailed in the tourism strategy

Update regulations to incentivize the purchase of generic drugs

- **Decrease spending on pharmaceuticals** by introducing **drug pricing reforms** and **incentivize the sales of more generic medicine** (co-pay schemes, higher commissions ...)
- Change current regulations on tariffs to **incentivize hospitals to specialize** instead of build new departments

Enhance data collection

- Introduce a **"Health card"** to better **leverage population health data** and act as a catalyst for **better hospital specialization**

Protect household income

- **Protect household income** by **designing insurance caps** to make sure that no patient is impoverished due to medical procedures

Position Lebanon as a medical tourism hub

- Develop a **medical tourism strategy** for Lebanon by focusing on the **"convenience" play** which requires **specialization** to target medical tourists from **regional markets**

Source: Press search

Economic Vision Outline

Covered in this section

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C. Reviewed documentation

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   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

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A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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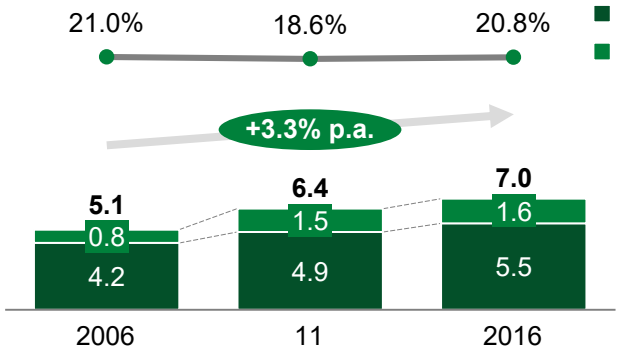
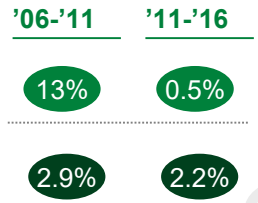
Real Estate and Construction – summary of diagnostic

Economic contribution

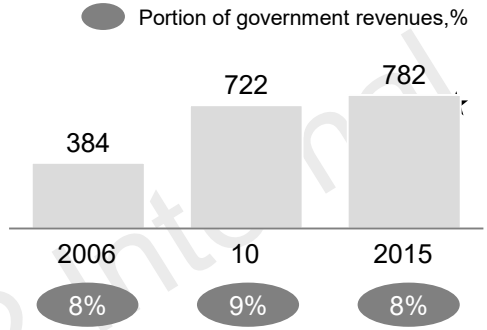
Real GDP of real estate & construct.
Bn USD in 2010 prices



Real growth rates
% Annual

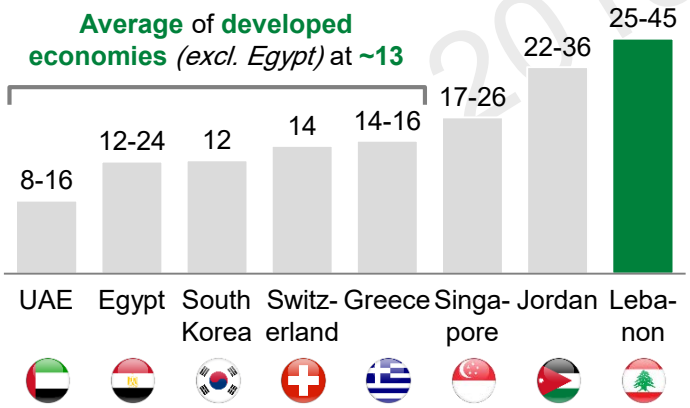


Contribution to government revenues
USD Mn



Housing affordability

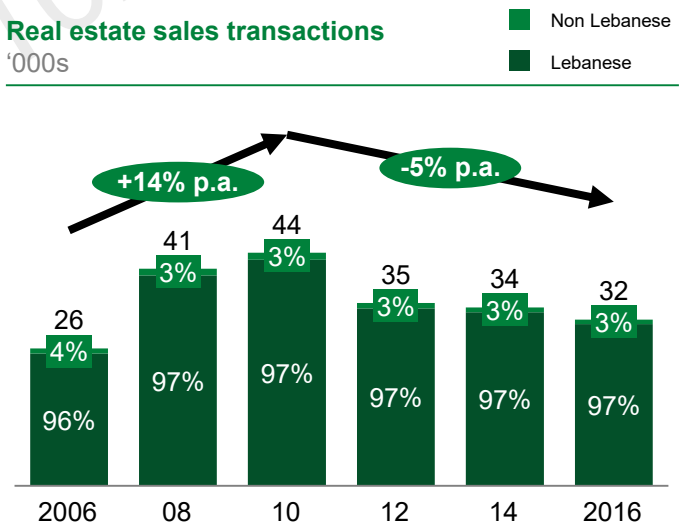
House price to GDP per capita ratio,
#



1 Excludes taxes and subsidies

Real estate activity

Real estate sales transactions
'000s



Key challenges

- **Drop in activity**
  - Lebanon stands with a stock of vacant apartments valued at ~9 USD Bn, mainly in luxury developments
- **Prohibitive prices**
  - Average value of real estate sales transactions more than doubled in 10 years going from ~48K USD in 2007, to ~103K USD in 2017, rendering a house price to income ratio of 25, highest among benchmark countries
- **Lack of comprehensive Urban Planning**
  - The absence of strict enforcement of urban planning has been detrimental to land availability and access, especially in high urban concentration, the problem being even more pronounced in Beirut. This has further put upward pressure on real estate prices

Source: Ministry of Finance Real Estate Registry; World Bank; Numbeo; Global Property Guide; Order of Engineers Beirut; Banque du Liban; CAS; World Bank A systematic country diagnostic 2015; Real Estate Association

Real estate & construction diagnostic - key performance measures

A. Key performance measures

Macro contribution

A1 Real estate & construction is the single largest contributor to Lebanon's GDP, standing at ~21% and employs ~12% of the total labour force

- Real Estate & Construction sector is the main contributor to the Lebanese economy currently contributing to ~21% of GDP: real estate contributes to 15% of GDP while construction contributing to a further 5%
- The sector witnessed a marked growth at ~5% p.a. during 2005-2010, before witnessing a reduced growth of ~2% in the last 6 years
- The sector employs an estimated total of ~244K people, representing ~12% of the total labour force.
- The sector is also a major contributor to the government's revenues, ~0.8Bn USD annually, corresponding to ~8% of the total, through built property tax, real estate registration fees & inheritance tax

Sector performance

A2 After witnessing a period of growth during the 2006-2010 boom, real estate & construction activity has witnessed a continuous decline

- **Sales transactions witnessed a growth of ~14% p.a. pre-2010, before steadily declining at ~5% p.a. afterwards, accompanied by a declining contribution of foreign investors**
  - Sales transactions increased by ~14% yearly starting 2006, to reach ~44K yearly in 2010; total value of sales grew at ~34% p.a. and reached ~4.6 USD Bn in 2010
  - Post 2010, sales transactions started declining at ~5% p.a. to stand at ~32k in 2016 whereas total value of sales stagnated at ~5 USD Bn; an uptake in sales value was witnessed in 2017 reaching ~6.7 USD Bn
  - Foreigners contributed to ~3% of the total sales transactions across the years; their contribution to sales value however dropped from ~11% in 2006 to ~6% in 2007
- **Construction activity, as proxied by immediate construction permits & cement deliveries, followed the same trends that affected sales transactions**
  - Number of immediate construction permits grew by ~25% p.a. starting 2006, to reach ~12 Mn sqm in 2010; also cement deliveries grew by 18% p.a. during the same period
  - Number of immediate construction permits declined afterwards by ~3% p.a. to reach ~10 Mn sqm in 2016. Moreover, cement deliveries stagnated at 5-5.5 Mn tons
- **Today, Lebanon stands with a stock of vacant apartments valued at ~9 USD Bn, mainly in luxury developments**

October 2022 Internal

Source: CAS; ILO; Ministry of Health; Ministry of Finance annual budgets; Ministry of Finance Real Estate Registry; Order of Engineers Beirut; Banque du Liban

Real estate & construction diagnostic - key performance drivers

B. Key performance drivers

Overall demand potential

B1 ~300,000 dwellers live in slums, driven by prohibitive pricing: The average Lebanese pays double what he/she would on average in other countries

- UNHABITAT (Fawaz and Peillen 2003) estimates that the 'slum' to urban population in the Greater Beirut Area was around 20% pre-Syrian crisis, corresponding to ~300,000 dwellers
- Prohibitive pricing is the main driver for the formation of slums: Average value of real estate sales transactions more than doubled in 10 years going from ~48K USD in 2007, to ~103K USD in 2017, rendering a house price to income (GDP per capita) ratio of 25-45, highest among benchmark countries

B2 Managing to stimulate unmet potential demand would help sustain current supply momentum of housing units

- **Going forward, yearly potential demand for housing units is projected to stand at ~42-44K yearly stemming from three different sources**
  - Increase in household demand driven by the natural population growth, standing at ~24K units per year
  - Foreign & expat demand, standing at ~10K units in line with historical trends
  - Resorption of current stock potential (slums) during the next 8-10 years, standing at ~7.5-10K units
- **Yearly market supply of new housing units is expected to stand at ~48K driven by two sources**
  - Newly built units projected at ~42K yearly based on the immediate construction permits area
  - Resorption of the current stock of vacant units during the next 5 years, standing at ~5K units

B3 Achieving that goal would require a readjustment of supplied units allocation by target segment

- Expected oversupply of ~17K units expected for high-income housing
- Expected shortage of ~12K units expected for low-income housing

B4 Capital Investment Program is expected to revive the growth in public works, which has historically been low, at only ~3% of government's budget

- Government yearly capital expenditures on public works fluctuated between 240 and 430 USD Mn, corresponding on average to ~3% of government's budget
- The 16 USD Bn CIP program is expected to generate ~0.5 USD Bn of GDP yearly and ~20K jobs
- If the implemented CIP initiatives do not enable and unlock the growth in other sectors, GDP & job creation impact would be muted post capital investment period: initiatives phasing & prioritization is critical

Oct 2022 Internal

Source: Ministry of Finance Real Estate Registry; World Bank; Numbeo; Global Property Guide; Order of Engineers Beirut; CAS; UNHABITAT; Real Estate Association; Ministry of Finance annual budgets; CIP

Real estate & construction diagnostic - enablers

C. Enablers

Access to finance

C1 Developed financial sector allowed for easy access to financing, towards both consumers & real estate developers, fuelling the real estate boom of the 2006-2010 period

- Increase in availability of bank funds, driven by the high growth in remittances and deposits, drove banks to double down on housing loans as well as loans for construction & real estate
  - Housing loans increased by ~60% p.a. during the same period, loans for construction by ~21% p.a., and today account for the largest portion of credit given by banks, standing at ~35% of the total

C2 However, even with low interest housing loans ~66% of households cannot afford owning property across most regions

- People in the low-income brackets (average household income of ~1,200 USD monthly) can only afford property worth 45-65K USD, even with subsidized mortgage loans with 5% interest rates

Urban planning

C3 Lebanon lacks proper urban planning, negatively affecting land availability and pushing prices upwards

- The absence of strict enforcement of urban planning has been detrimental to land availability and access, especially in high urban concentration, the problem being even more pronounced in Beirut. This has further put upward pressure on real estate prices

Public housing policy

C4 Public housing policy was historically absent and recently geared towards providing subsidized housing loans

- National housing & affordable-housing policies have not included measures commonly found in other countries. There are, for instance, no public housing projects in the country apart from few community, association or municipality-driven initiatives.
- Policies have been geared towards increasing house ownership through providing subsidized housing loans: EPH, BDH & BDL subsidized housing loans

Real estate legislation

C5 Cumbersome real estate registration process, as well as excessive taxation has further deterred foreign investors post the real estate boom

- Excessive taxation and lack of proper incentives
- High cost and lengthy property registration process

2018102 internal

Source: Banque du Liban; ABL; CAS Household Expenditure Survey 2012; World Bank Ease of Doing Business 2018; V. Clerc 2013; UNHABITAT – UNHRC – Housing Land & Property issues in Lebanon; World Bank A systematic country diagnostic 2015

Contents – Real Estate & Construction

A **Key performance measures**

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C Enablers

D Opportunities & priorities

20181022

A1 The real estate & construction sector is the major contributor to the Lebanese economy representing ~21% of GDP

Relevant Sectors

Sectors	GDP contribution, USD Bn (2016), % shown as total of GDP excluding taxes & subsidies	2005-2010 CAGR[2], %	2010-2016 CAGR[2], %
Real Estate & Construction	21%	5%	2%
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Agriculture	3%	1%	1%
Personal Services	3%	13%	-2%
ICT	3%	12%	3%
Utilities: Power & Water	2%	4%	4%
Total Nominal GVA[1]	47		
Total taxes & subsidies	4		
Total Nominal GDP	51	8%	2%

20181022 Internal

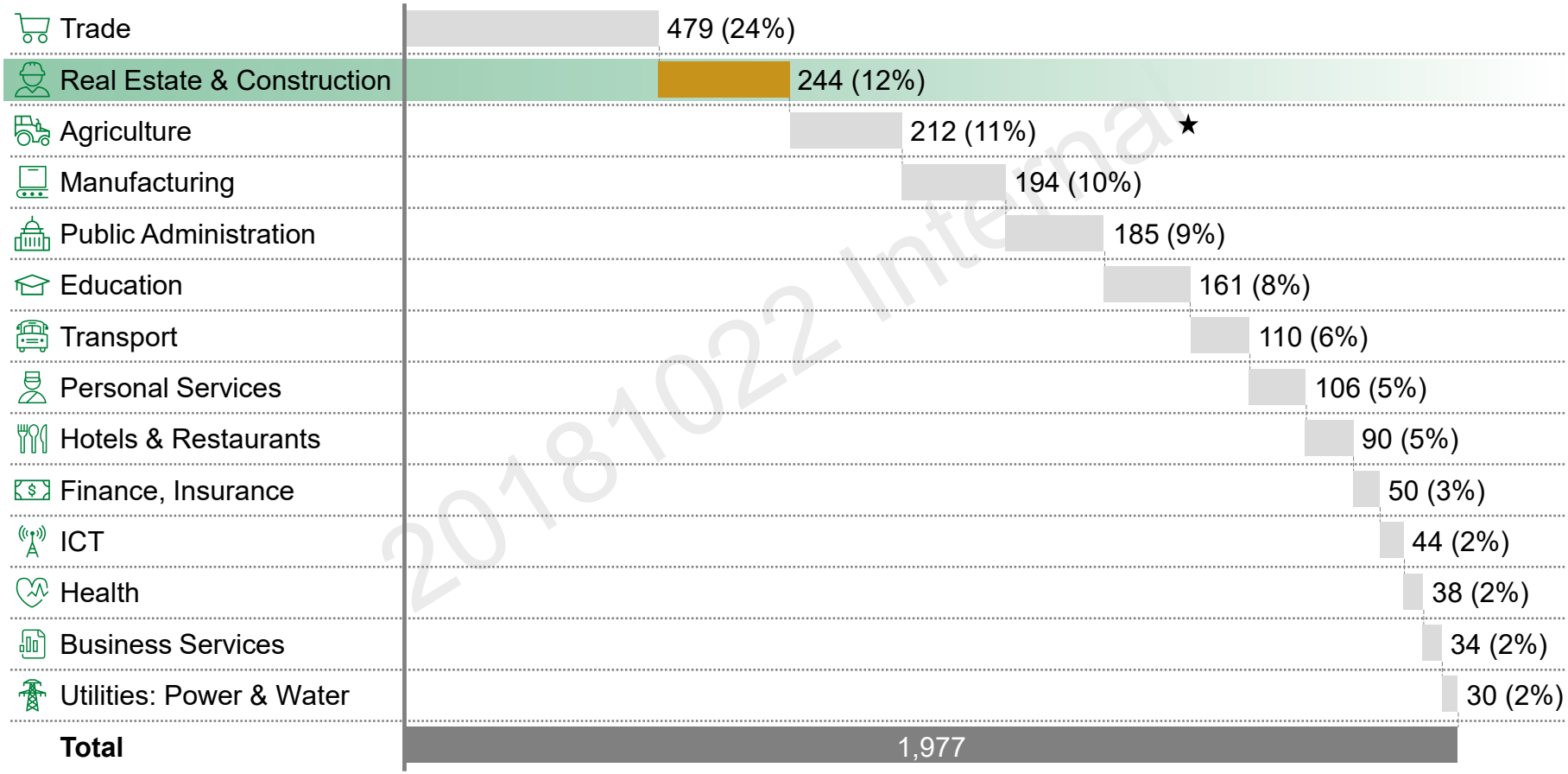
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A1 The sector is one of Lebanon's largest employers, with 244,000 permanent employees

HIGH-LEVEL ESTIMATES

Relevant Sectors



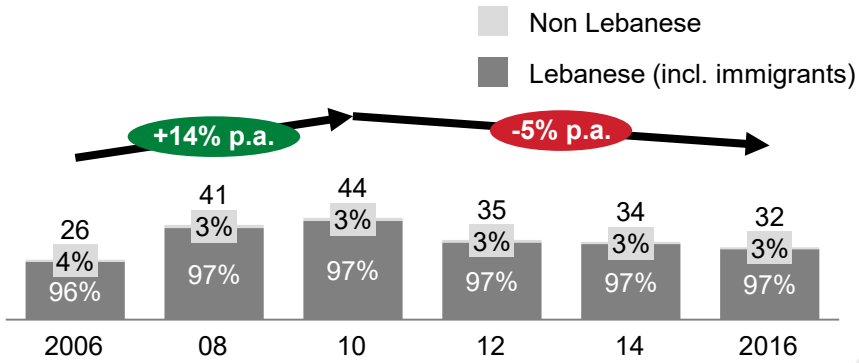
20181022 Internal

Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

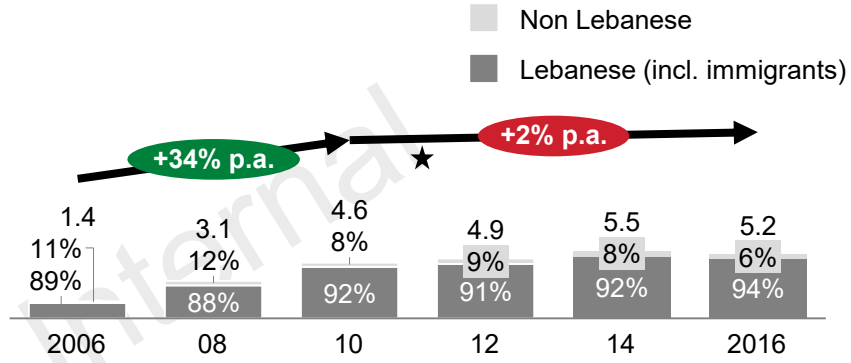
Source: CAS; ILO; Ministry of Health

A2 After witnessing a period of growth during the 2006-2010 boom, real estate & construction activity witnessed a steady decline

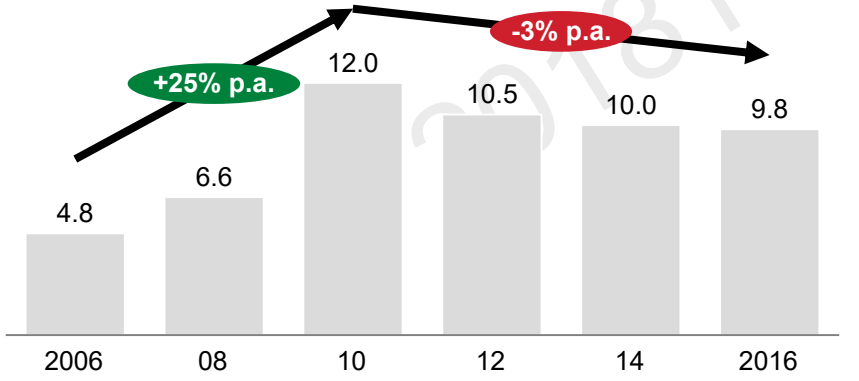
Real estate sales transactions
'000s



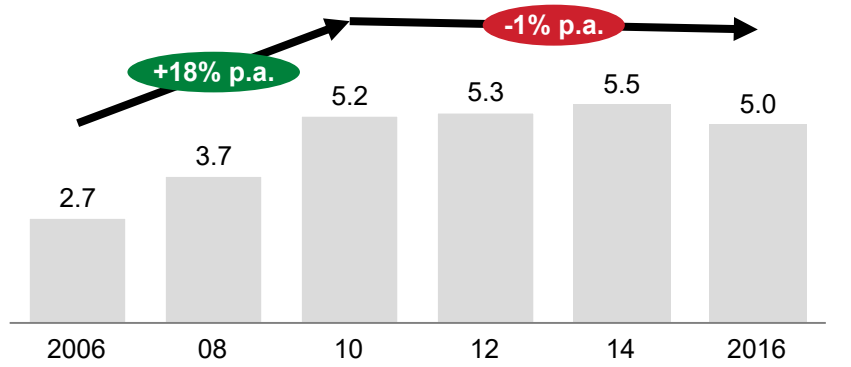
Real estate sales value
USD Bn



Immediate construction permits
Mn sqm



Cement deliveries
Mn tons



2018 Internal

Notes: (1) Real estate transactions volume & value for sales only, for subdivided units (only those registered in the Integrated Registry System); (2) Immediate construction permits data from Beirut Order of Engineers, Tripoli data extrapolated as data was not received

Source: Ministry of Finance Real Estate Registry; Order of Engineers Beirut; Banque du Liban

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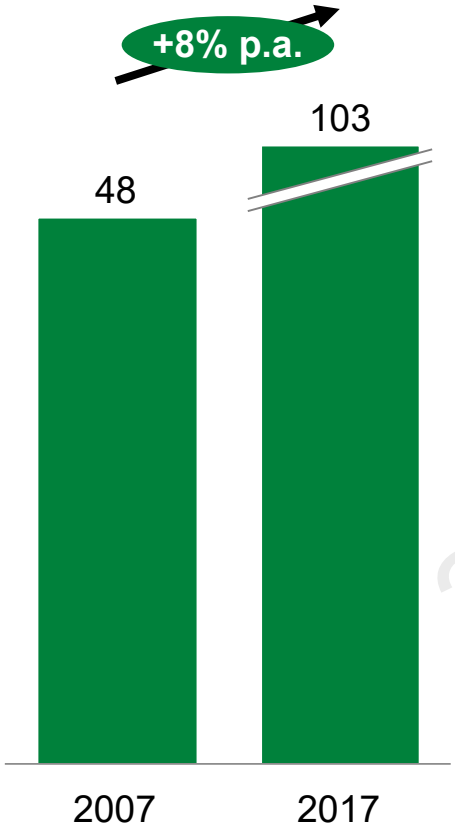
C Enablers

D Opportunities & priorities

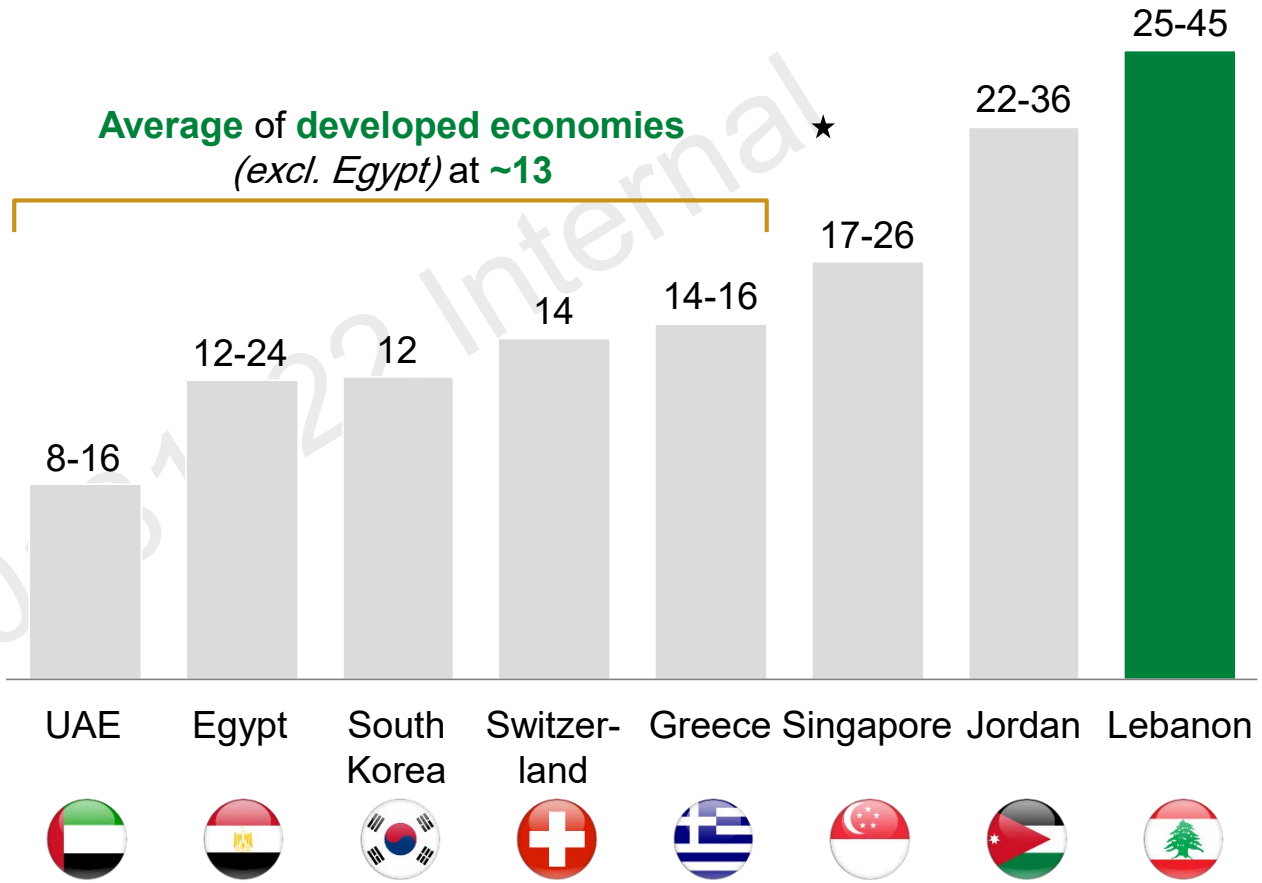
20181022

B1 Driven by the twofold increase in prices, the average Lebanese pays double what he/she would on average in other countries

Average value of transactions, K USD



House price to GDP per capita ratio, #[1]



2021 22 Internal

1 Average house size of 100sqm assumed; House prices taken outside city centre from Numbeo for lower bound and Global Property Guide average prices for upper-bound, Country's capitals used as reference

Note: Average transaction value computed as total value of transactions to total number of transactions with Real Estate Department Data

Source: Ministry of Finance Real Estate Registry; World Bank; Numbeo; Global Property Guide

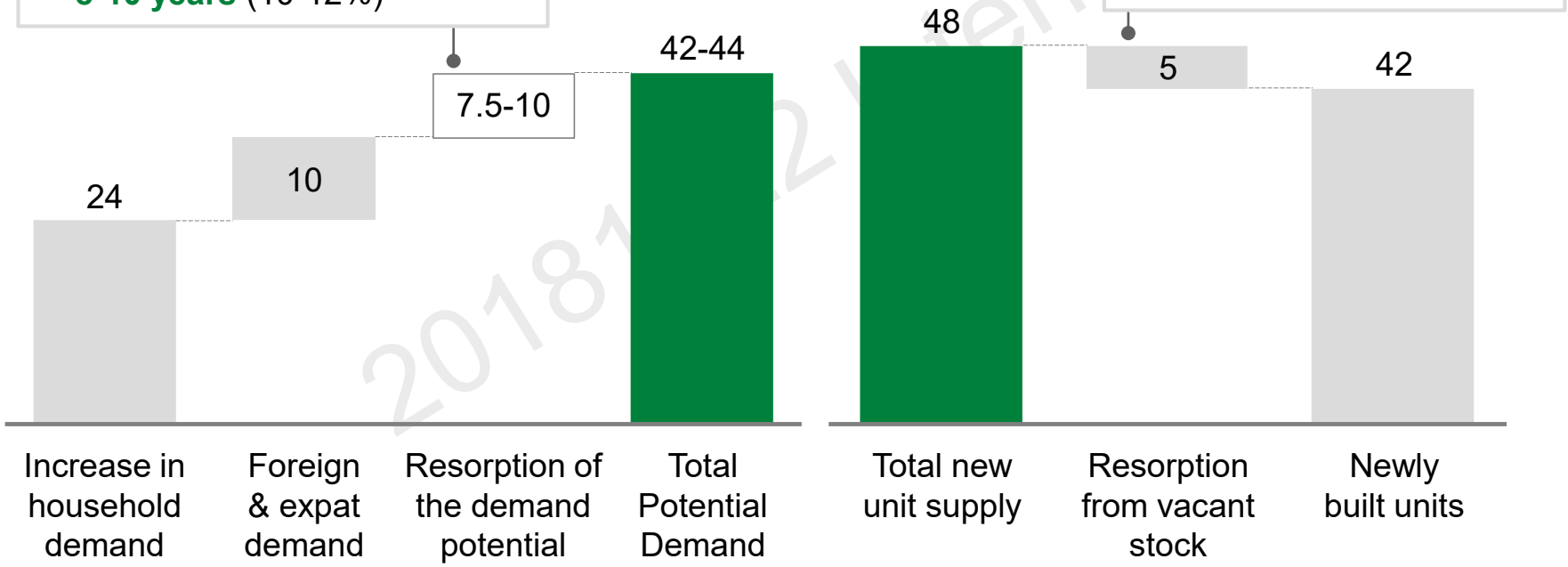
B2 Managing to stimulate unmet potential demand would help sustain current supply momentum of housing units

HIGH LEVEL ESTIMATES

Number of annual housing units, K USD

- **Resorption** of the potential demand from **~75K**[1] households in **"slums" over 8-10 years** (10-12%)

Resorption of current vacant stock of **~27K** worth ~9 USD Bn **in 5 years** (20%)



2018 Investment

1 Computed from the 300,000 dwellers and an average household size of ~4

Note: Increase in household demand computed using World Bank population projections and CAS average household size of ~4 and 1 housing unit per new household; Newly built units computed from total residential immediate construction permits size in sqm divided by average unit size of 135 sqm and grossing factor of 40%

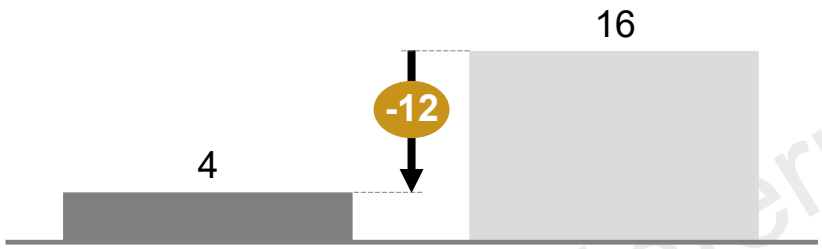
Source: Ministry of Finance Real Estate Registry; Order of Engineers Beirut; CAS; UNHABITAT; Real Estate Association; World Bank

B3 Achieving that goal would require a readjustment of supplied units allocation by quality and target segment

HIGH LEVEL ESTIMATES

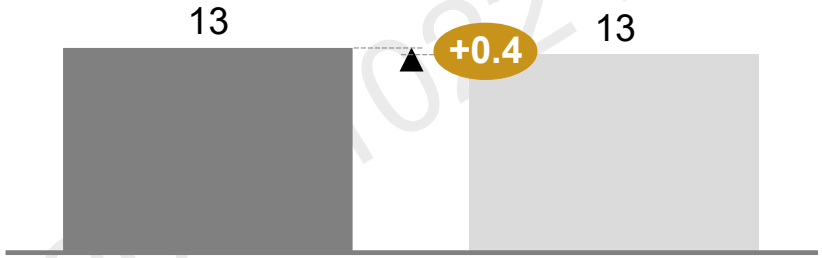
Number of annual housing units, K USD

Low-income housing
<2,000 USD/month



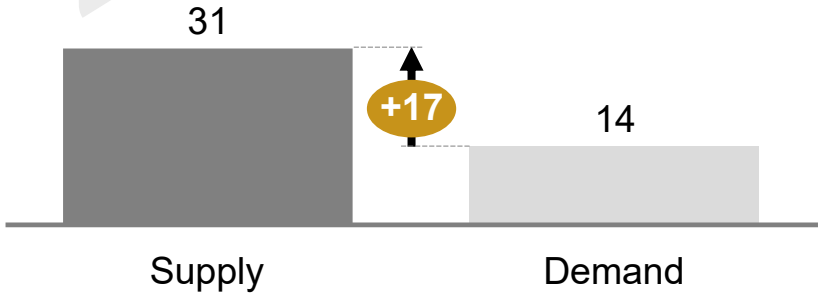
- A shortage of ~12K is expected in low-income housing driven by "slum" resorption

Medium-income housing
2,000-3,000 USD/month



- Supply meets demand requirements

High-income housing and luxury
>3,000 USD/month



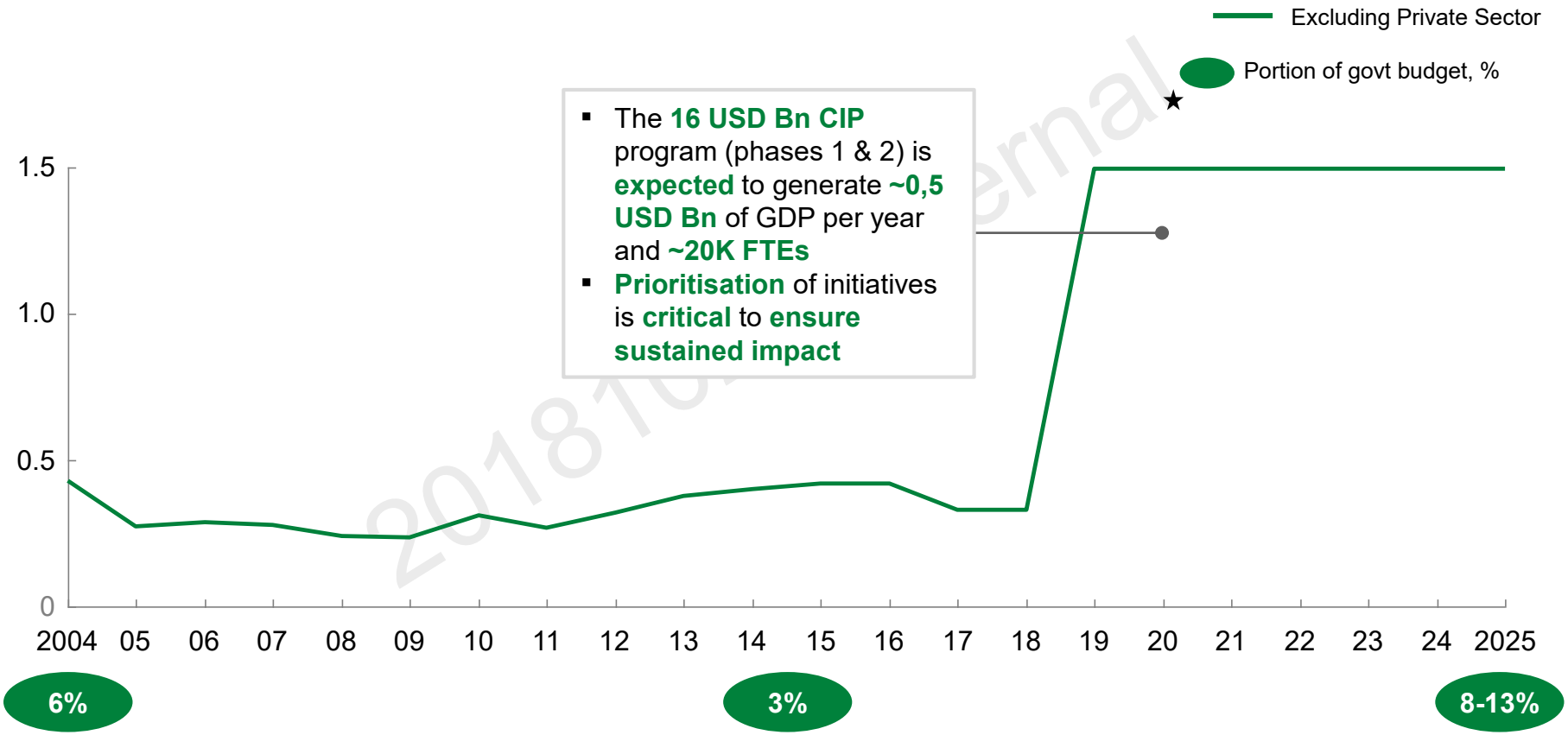
- An oversupply of ~17K units is expected in high-income housing

Note: Order of Engineers type of construction permit used to split supply into low, medium & high; Demand split according to CAS Household expenditures

Source: Ministry of Finance Real Estate Registry; Order of Engineers Beirut; CAS; UNHABITAT; Real Estate Association; World Bank

B4 CIP is expected to revive the growth in public works, which has historically been low, at only ~3% of government's budget

Public works expenditures, USD Bn



20181 ernal

Source: Ministry of Finance annual budgets; CIP

Contents – Real Estate & Construction

A Key performance measures

B Key performance drivers

C **Enablers**

D Opportunities & priorities

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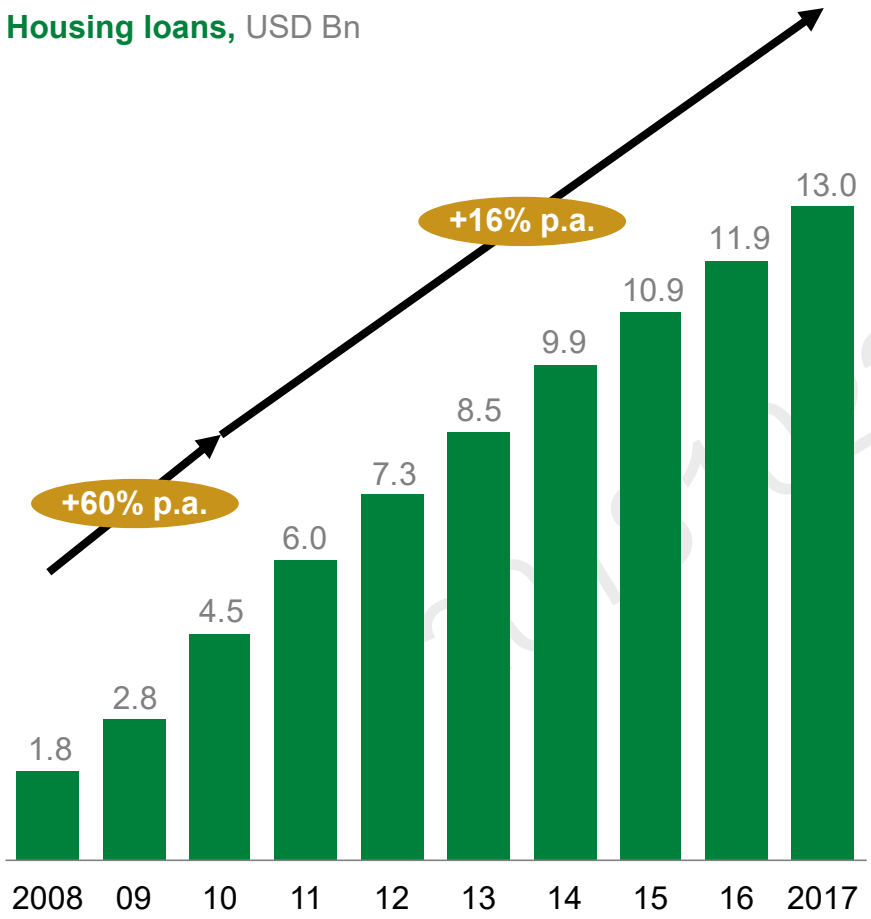
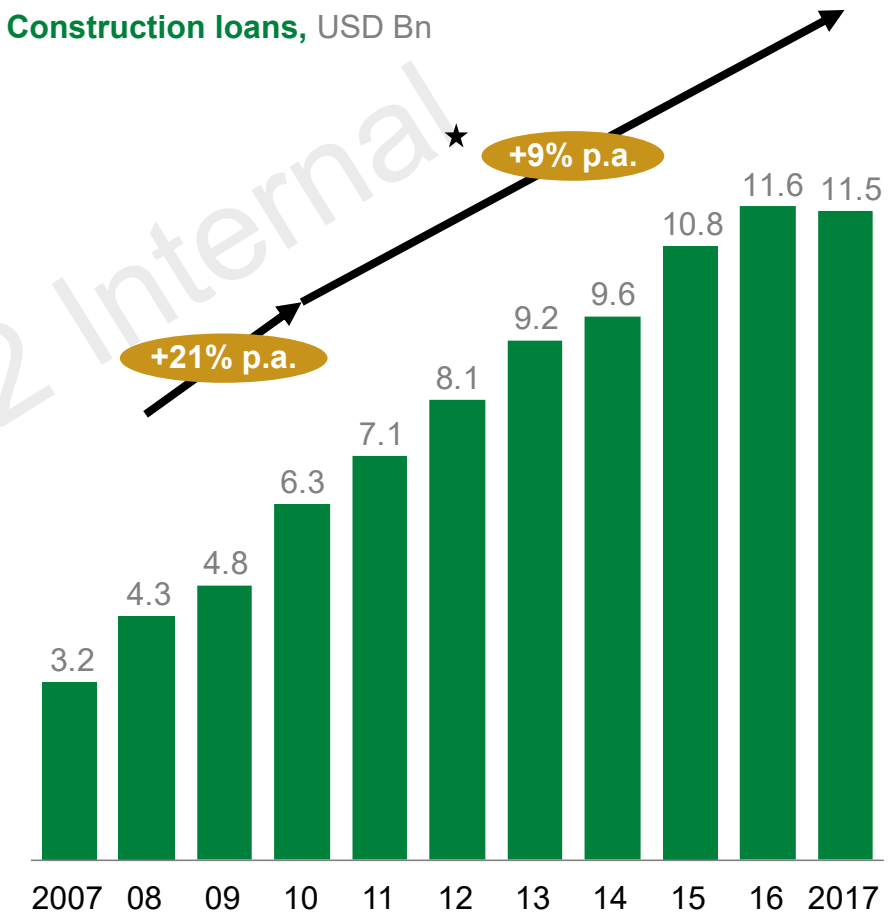
C1 Ease of access to finance further fueled the real estate and construction growth

Housing loans increased by ~60% p.a. during the real estate boom period of 2008-2010

Construction loans also grew by ~21% p.a. during the same period





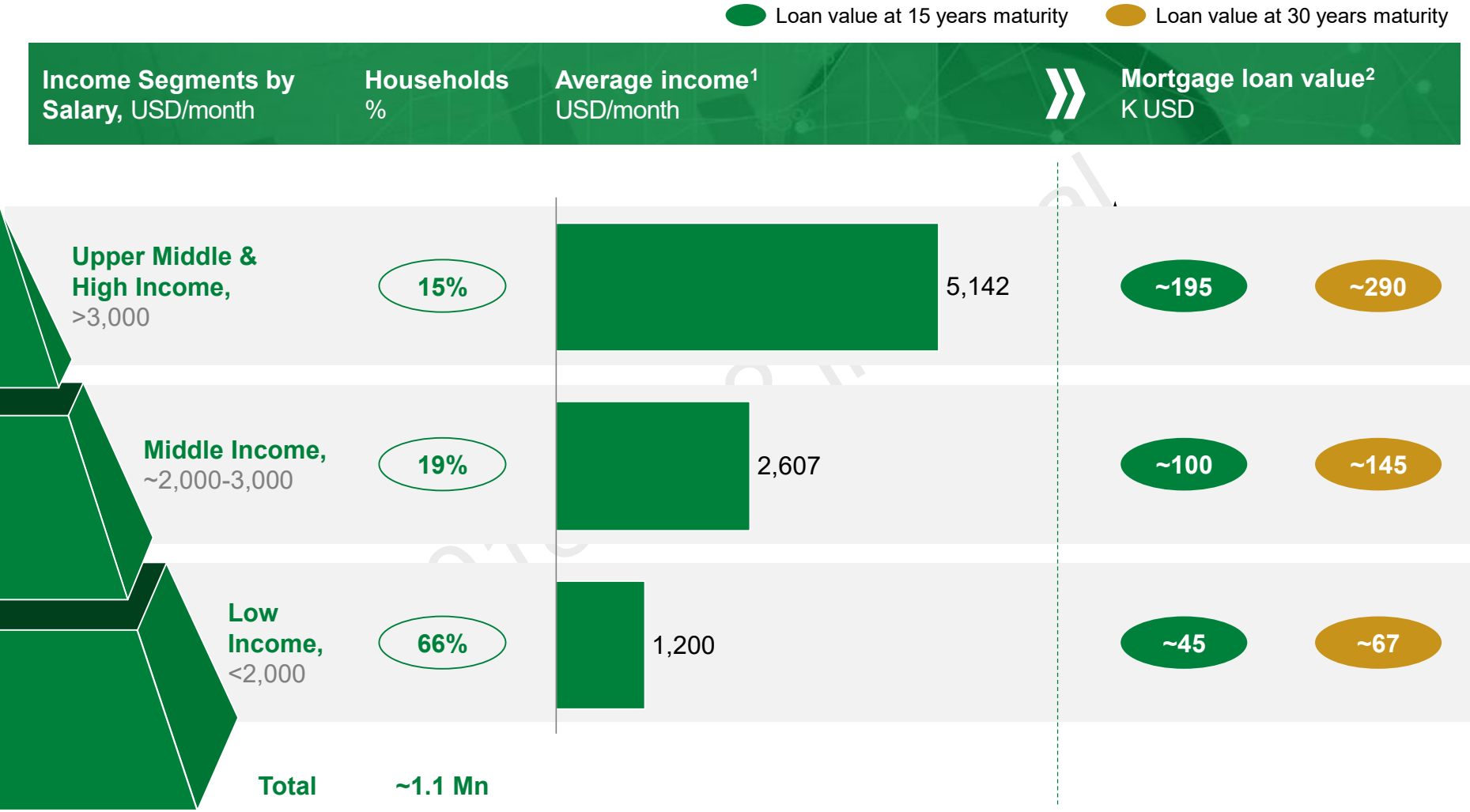
2022 Internal

Note: Construction loans exclude real estate loans as defined by the Banque du Liban

Source: Banque du Liban; ABL

C2 Even with low interest housing loans ~66% of households cannot afford owning property across most regions

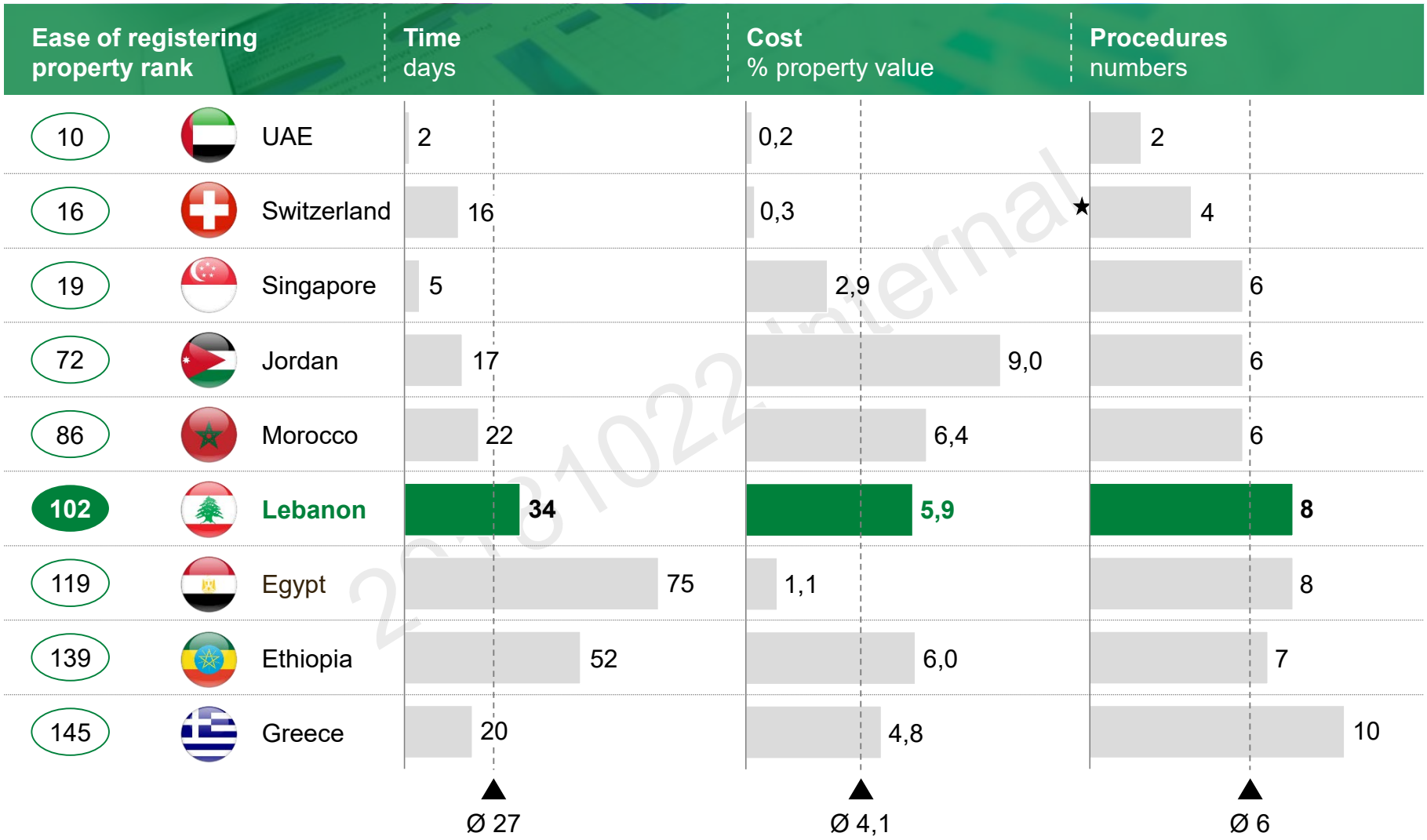
ESTIMATES



1 Income computed from total household expenditure brackets assuming an 8,12,15% savings rate based on global benchmarks
2 Loan value computed assuming a 5% interest rate and either 15 or 30 years maturity

Source: CAS Household Expenditure Survey 2012

C5 Cumbersome real estate registration process, as well as excessive taxation has further deterred foreign investors post the real estate boom



20181022 Internal

Source: World Bank Ease of Doing Business 2018

Contents – Real Estate & Construction

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D

Key priorities for the government

D1 Public housing

- **Develop** an **affordable housing program** with the focus of **absorbing current unmet demand** (slums), encompassing the different levers
- **Ensure proper** sector **incentives** to allow **for a revised mixed of supplied units** to match the demand mix

D2 Urban planning

- **Revise** current Lebanon **master plan** with an **emphasis on Beirut's urban plan**
- **Enforce abidance to urban plan** and construction guidelines

D3 Legislation

- **Streamline current real estate registration process** and revise taxation on real estate
- **Enforce real estate registration to** close the gap of unregistered property and **increase government revenue**

D4 Access to financing

- **Review access to financing**

2018 1022 Internal

D1 Several examples are emerging of breakthroughs in delivering housing impact – (1/2) Brazil

Minha Casa Minha Vida

US $20 billion fund established by Brazil's Federal Government
1 million households targeted (now expanded to ~3 million)
Program incentives and private sector obligations co-created with the private sector
Directly reporting to the President with periodic performance dialogues

Buyers

- Provide loans at 5-8% interest for up to 90% of a house's value
  - Those making up to 3x minimum wage access full subsidy, up to US $27,000
  - Those between 3-6x minimum wage have access to smaller subsidy and loan size
  - Loan must be re-financed within 3 years
- Reduce or eliminates stamp fees and other one-time costs
- No down payment or any other payment before occupation

Construction companies

- Improve financing conditions
  - Lower interest rates
  - Helps manage land purchase cash requirements
  - Few pre-sale requirements (30% committed for approval)
- Cost reduction
  - Insurance
  - Taxes
  - Tributes and contributions

Material supplier companies

Suppliers are encouraged to develop new materials, especially for the supply of the programme

- Fabrimar, a metal company will launch a completely new line sold directly to the construction companies
- Suvinil, a paint company from BASF group, is investing in low pricing product line to paint a million houses, with just 50 million litres of paint.

20181022 Internal

1 Subsidies based on income segment and approved loan, with a cap on installment to income ratio for each income segment

Source: Brazil Federal Government Minha Casa Minha Vida program

D1 Several examples are emerging of breakthroughs in delivering housing impact – (2/2) Turkey & Morocco

T.C. BAŞBAKANLIK TOKİ TOPLU KONUT İDARESİ BAŞKANLIĞI

- TOKI has access to public land that it can change zoning on
- Innovative revenue sharing agreements and traditional property development models
- Contractors bid for development

BETWEEN 2003-2012

535,000 housing units completed at 2,350 sites

86% social affordable housing

14% luxury projects for fund raising

Morocco Public Private Partnership (PPP)

- Creation of a public fund to guarantee up to 70% of the loan
- Tax breaks for private developers
- Reduced price for land against the commitment for
  - 1/3 of land for flats < MAD 140k
  - 1/3 of land for flats < MAD 200k
  - 1/3 of land for free development

BETWEEN 2008-2012

200,000 housing units planned

Source: Mesa Imalat, ministry of housing

D1 International examples suggest certain key interventions to deliver housing at scale, with speed while generating wealth for stakeholders

Setup an effective housing program with a focus on delivery	**A** **Understand and shape projects based on end user needs on housing, community, connectivity and infrastructure** – definitions, specs, allocations etc for the program be based on customer insights
	B **Design and deliver the right PPP or public led programs that can unlock the most critical bottlenecks such as land availability** and provide the right incentives for the private sector to participate in the build-out
	C **Focus on implementing the 3-4 most critical policy levers relevant in the local context** and align all stakeholders to deliver on these levers
	D **Proactively enable access to financing** through lending institutions while ensuring that lending is geared to happen in practice
Plan and create communities, cities and jobs, not just settlements	**E** **Integrate housing development plans with economic development plans and employment initiatives** to create 'live-work-play' communities where people aspire to relocate
	F **Accelerate momentum through delivery networks that can stimulate entrepreneurship** and create a network of SMEs, sector organizations and government delivery units working in tandem
Support 'industrialization' of housing construction to scale-up rapidly	**G** **Collaborate with the private sector to lower unit costs and industrialize housing construction** by bringing in the right technology enablers and building systems (eg: pre-cast factory built homes)

2018/2022 Internal

D1 Public and private led models suggest 'cross-subsidisation' as a key principle in incentivising the private sector

	PPP model used	Impact of model used	Key learnings
Turkey	TOKI issues tenders for the **disposal of government-owned land** for mass housing projects. Private developers submit plans indicating **how many dwellings** they **provide** and what **proportion** of these they **give back** to TOKI for the government to rent or sell	TOKI has delivered more than **500,000** housing units in over 2,000 projects over Turkey in the past 25 years.	TOKi has proven itself to be a successful method of delivering mass market housing across other markets where **the government has control over large areas of land**
Morocco	Government offered 3,800 hectares of **land at a reduced price** to developers who use land to sell flats as outlined: 1/3 of land: flats < 61,000 SAR 1/3 of land: flats < 87,000 SAR 1/3 of land: any other types of property	Such PPPs have resulted in **130,400** housing units built in Morocco; developer Addoha has had **57% revenue increase** in 2010 based on a business model with 80% of its projects in affordable housing	Morocco demonstrates that such PPPs work **when government can offer subsidised land** and **high/mid/low-end product mix** of units to cross-subsidise and improve profitability
Rajasthan (India)	Department of Urban Development Housing uses several models, including **minimum requirements** of construction for low- and bottom-ncome groups, paired **with various incentives** for the private sector (e.g, free cost of government land, waived external expenses, etc)	PPP models are used to build **75,000** of the 125,000 houses (government target for **2009-2014**).	Rajasthan proves that, even without government land, urban planning efforts can use a combination of models, based on land type can be **customised** in order to set a **variety of requirements**

Source: Jones Lang LaSalle; Moroccan Ministry of Housing, Urbanism and City Planning, press reviewpress search; team analysis

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

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B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

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C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

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B. Sector deep-dives
   1. *Agriculture*
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   3. *Tourism*
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VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

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B. Public administration reform requirements
C. Infrastructure including CIP initiatives
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VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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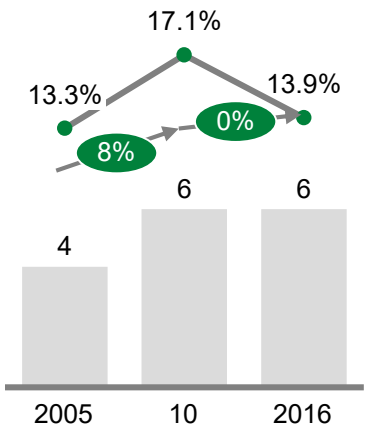
Retail and commerce – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of retail and commerce
Bn USD in 2010 prices



XX CAGR

% GDP[1]

Growing segments:

- Cosmetics
- F&B
- Sports & hobbies

Declining segments:

- Luxury goods
- Households
- Fashion & clothing

Performance metric, 2016

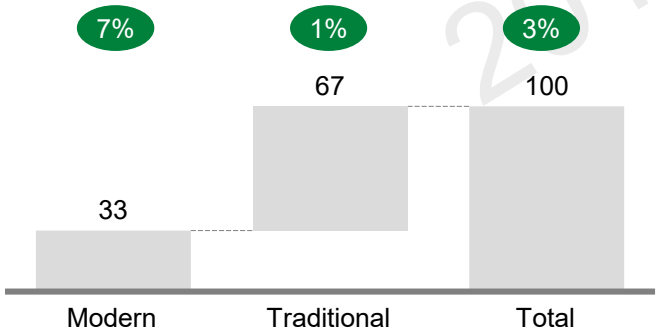
Employment, K employees — 280

Productivity, 000 USD/employee — ~12

Performance compared to peers

Performance metrics

Modern vs traditional retail grocery, 2017, %



Store vs online sales, 2017, %

x% CAGR '12-'17

1 Excludes taxes and subsidies 2 Includes small share of direct selling

Key challenges

- **High share of informal companies and informal employment in the sector**
- **Inefficiencies across the retail supply chain mainly due to:**
  - Congestion and poor transport infrastructure
  - High time and cost associated with importing goods
- **Lack of enabling legislations due to inefficient government in drafting and passing laws:**
  - Code of Commerce modernization proposal has been stuck in the parliament for the past 5 years
  - Competition law has yet to be submitted to the parliament
  - Absence of an e-commerce law

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Source: CAS, Euromonitor, Lebanese Franchise association

PRELIMINARY

Retail – Key performance measures

A. Key performance measures

Macro-economic performance

A1 Retail and commerce is the second main contributor to the Lebanese economy in terms of GDP contribution and the first in terms employment; the sector has been experiencing a stagnation in the last 6 years (growing at 0% p.a.)

- Wholesale and retail constitutes 14% of GDP[1] with 6 Bn USD (in 2010 prices) contribution
- It also employs 24% of the workforce, out of which ~60% is estimated to be informal labour
- The sector's growth has seen a slowdown in the last 6 years; growth went from 8% p.a. (2005-2010) to 0% p.a. (2010-2016)

A2 Compared to peer countries, the retail and commerce sector in Lebanon has a high total contribution to GDP and employment but a low productivity

- The sector's GDP[1] contribution as a % of total GDP[1] is high compared to peer group, in line with Malaysia (fast growing retail sector) and USA (high productivity retail sector)
- Lebanon has the highest employment contribution among peer group (~24%) followed by Greece and Malaysia (~18% and 17% respectively)
- The sector productivity is low (~12,000 USD/ FTE in 2016) when compared to peer group average (51,000 USD/FTE in 2016)

Sector performance

A3 Lebanon's retail sector can be segmented into three categories: non-grocery[2] (60% of total sales), grocery[3] (37% of total sales) and mixed (3% of total sales) with majority of sales share coming from non-grocery

A4 Sales have been growing in F&B, cosmetics and sports& hobbies while sales in clothing and luxury goods have slowed down

2018 Internal

1 Excluding taxes and subsidies
2 Includes apparel and footwear specialist retailers, Electronics and appliance specialist retailers, Health & beauty specialist retailers, Home and garden specialist retailers, Leisure and personal goods specialist retailers , Other non-grocery retailers
3 Includes retailers selling predominantly food/beverages/tobacco and other everyday groceries.

Source: Ministry of Agriculture; CAS; ILO; World Bank

PRELIMINARY

Retail – Key performance driver

B. Key performance drivers

Traditional vs modern retail

B1 Traditional grocery[1] has 66% market share of total grocery sales vs 33% for modern[2] grocery; however modern grocery is 5x more productive and growing at a faster rate

- Sales of traditional grocery is 2x higher than modern grocery but occupy 8x more selling space
- However, modern grocery retailing is ~3 times more productive than traditional retailing (sales/sqm)
- Modern grocery is also growing at a rate of 7% p.a. while traditional grocery has been stagnating (1% growth in sales p.a) ★

E-commerce

B2 Store based retailing accounts for majority of sales in Lebanon and share of online sales is still low (~1.2% of total retail sales) especially compared to countries with similar internet penetration

- E-commerce' s share in the retailing sector is still very small (1.2% of total)
- Moreover, Lebanon's online sales fall behind benchmark countries with comparable or even lower internet penetration rates

However, e-commerce is witnessing a fast very growth of 40% p.a from 2012-2017 despite lack of appropriate legislations to support that growth (E-commerce law is currently drafted and in parliament)

Informal businesses and employment

B3 The informal sector plays a big role in the retail sector, both in terms of informal retail companies and informal employment within formal retail companies

- The highest percentage of informal businesses are reportedly in the retail sector with 66 % of informal firms engaging in the selling of food, clothes, household items, electronics and other goods
- 60% of employees in the retail sector are informal employees

Exports

B4 Lebanon's retail sector has successfully exported concepts across retail segments mainly in F&B and high end fashion

- High end fashion is a successful export segment with Lebanese designers getting world-wide recognition through regular appearances of their design at red carpet events (e.g. Elie Saab, Zuhair Mourad, Reem Acra, Georges Chakra)
- Lebanese F&B products and concepts have been successfully exported in the region and globally through franchising the brand names (e.g. Patchi, Kababji, Zaatar w Zeit); despite the lack of proper franchising law in Lebanon

2018 © Invest in Lebanon

1 Includes non-chained grocery retailers which are mainly independent Small Grocers, Food/Drink/Tobacco Specialists and Other Grocery Retailers
2 Includes Hypermarkets, Supermarkets, Discounters, Forecourt Retailers and Convenience Stores

Source: Euromonitor, World Bank report 2015, ILO, FFA Retail observatory, Ministry of Economy and Trade

PRELIMINARY

Retail – Enablers

C. Enablers

Enabling legislations

C1 Several laws that would enhance the business environment in retail are either still being drafted or pending parliament approval

- **Modernizing the Code of Commerce** to facilitate credit sales procedures and debt instruments, and defining special judicial recourse for the collection of trade debts.
- **A competition Law** is needed to promote healthy competition, enhance market access and prevent monopoly, anticompetitive agreements and abuses of dominance ★
- **An e-commerce Law** is needed to enable the growth of the online retailing channel (currently drafted and in parliament)
- **Franchising Law** is needed to allow the licensing of a company's business model and trademark

Customer protection

C2 The customer protection department and the private sector are working to enhance customer protection in the market

- Protection department has reported 825 violations in 2017 against the customer protection rights with most of them being related to food quality and pricing
- Customer protection strategy for 2018 aims at leveraging technology to build a database, improving regulations and raising awareness
- The BPG (Brand Protection Group), a lobby group made up of local companies and multinationals, is cooperating with UNCTAD Mena Programme to launch a regional training centre in Lebanon which will focus on implementing strategies for enhanced consumer protection (incl. product safety, risk assessment, e-commerce, financial services, tourism and misleading advertisements)

Efficient and effective logistics

C3 Several inefficiencies across the retail supply chain lead to an increase in consumer prices/decrease in margins

- Time and cost associated with importing goods to Lebanon is very high compared to MENA and OECD average (Cost and time to import goods is respectively 30% and 60% higher than MENA average)
- Congestion leads to a decrease in efficiencies for transport of goods and higher transportation costs
- Poor infrastructure is also an obstacle for the development of e-commerce which is highly dependent on a logistics play

2018 H22 Internal

Source: Ministry of Economy and Trade, Euromonitor, Interviews, World bank

Contents – Retail and Commerce

A **Key performance measures**

B Key performance drivers

C Enablers

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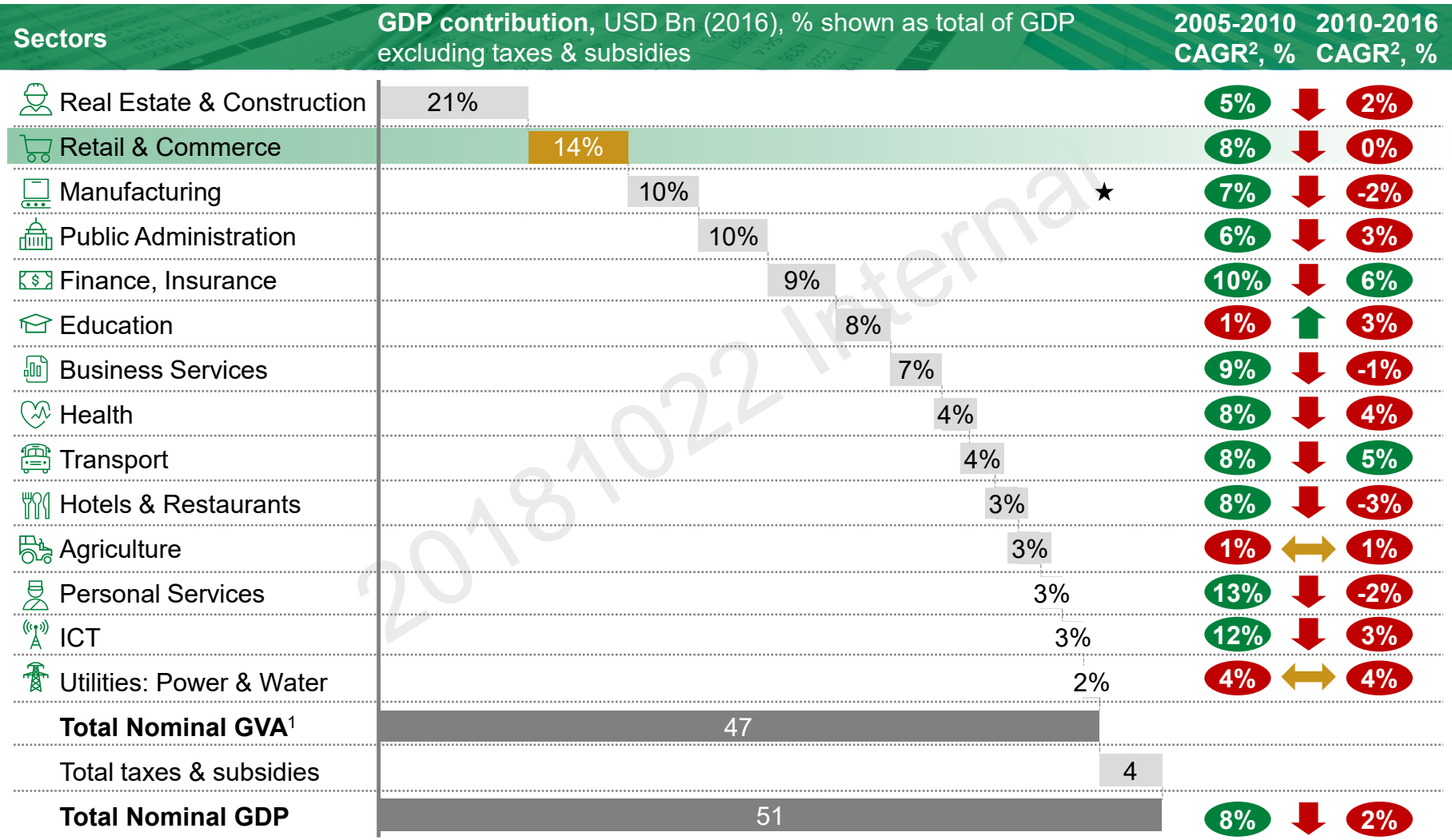
20181022

A1 Retail and commerce is the second largest contributor to the economy and represents 14% of total GDP



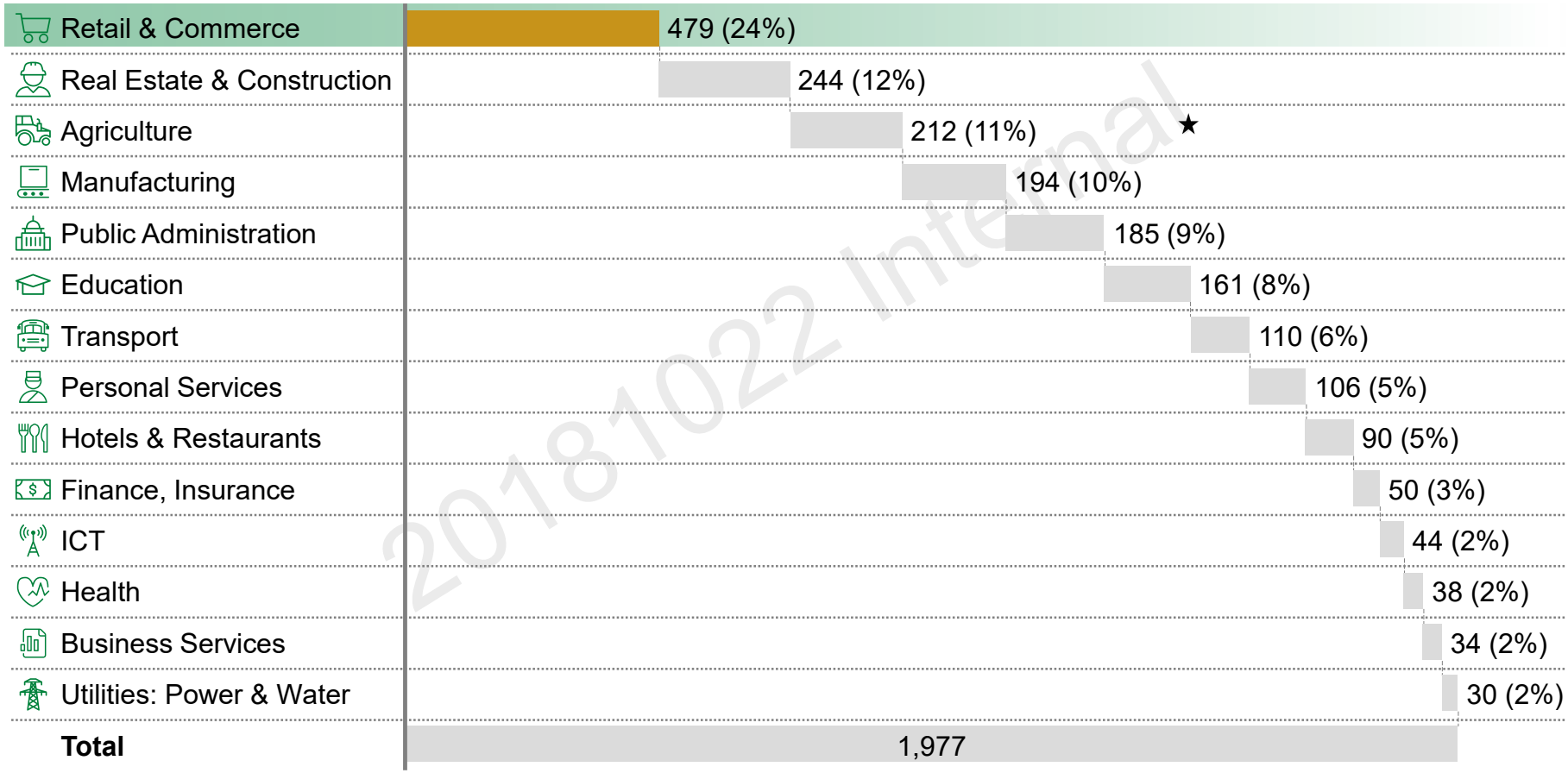
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A2 The retail and commerce sector is Lebanon's largest employer, employing 24% of the workforce

HIGH-LEVEL ESTIMATES

Relevant Sectors



20181022 Internal

Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

A2 We benchmarked Lebanon's retail and commerce sector against comparable and best in class countries

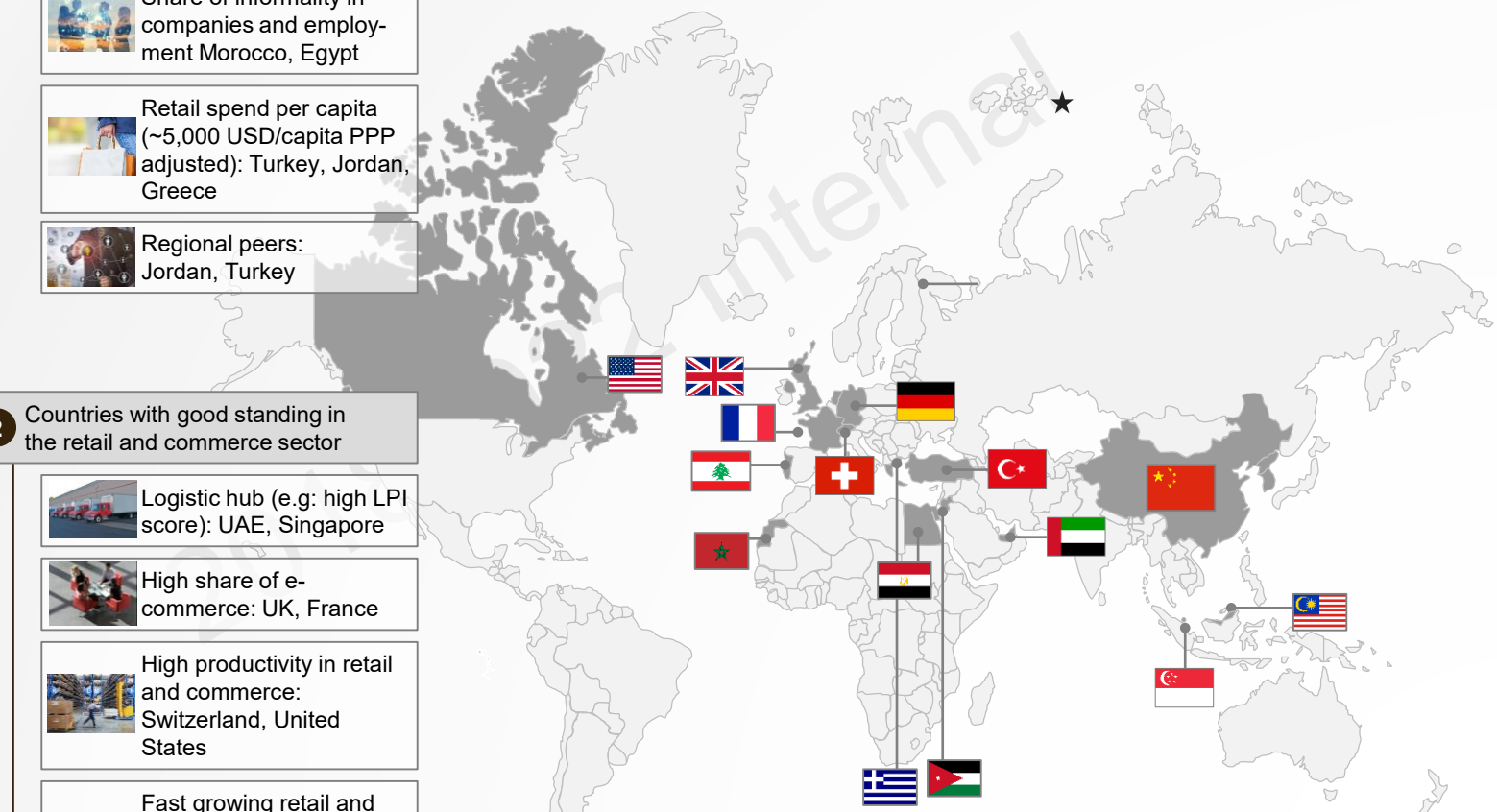
For an insightful benchmarking exercise, we need to define a set of reference countries that are comparable to Lebanon or have good standing in the retail sector

1 Countries with comparable characteristics to Lebanon

- Share of informality in companies and employment Morocco, Egypt
- Retail spend per capita (~5,000 USD/capita PPP adjusted): Turkey, Jordan, Greece
- Regional peers: Jordan, Turkey

2 Countries with good standing in the retail and commerce sector

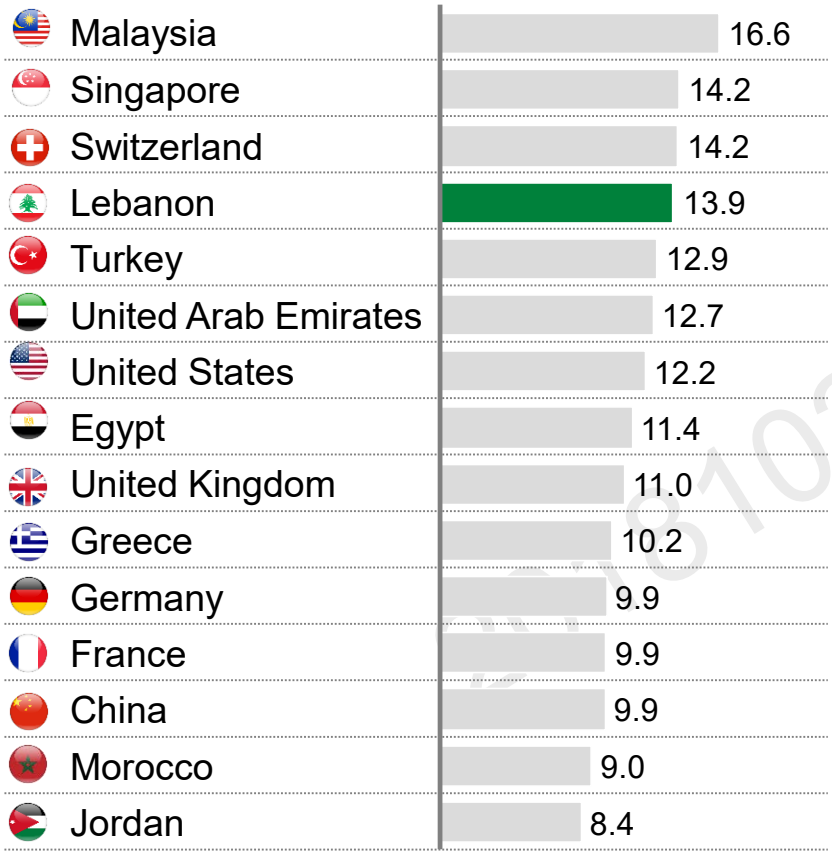
- Logistic hub (e.g: high LPI score): UAE, Singapore
- High share of e-commerce: UK, France
- High productivity in retail and commerce: Switzerland, United States
- Fast growing retail and commerce sectors (~7-8% p.a.): Malaysia and China



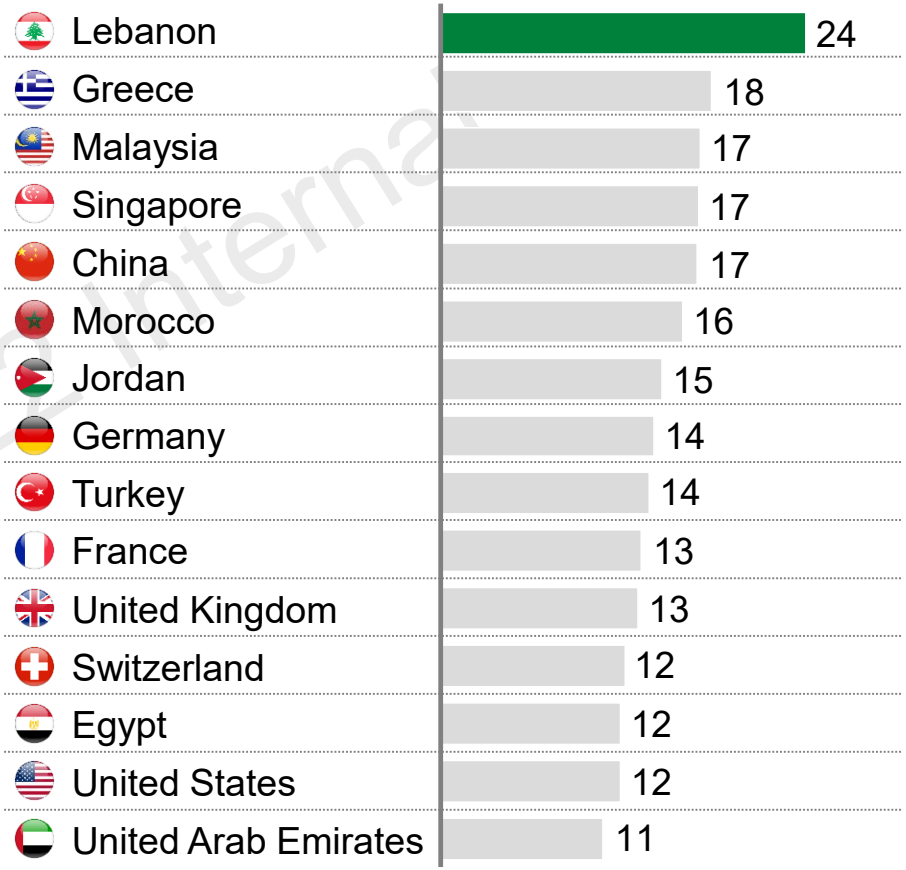
Confidential

A2 The sector's contribution to GDP and employment is high compared to benchmarks…

Retail and Wholesale contribution to GDP[1], 2016



Retail and Wholesale contribution to employment, 2016, %

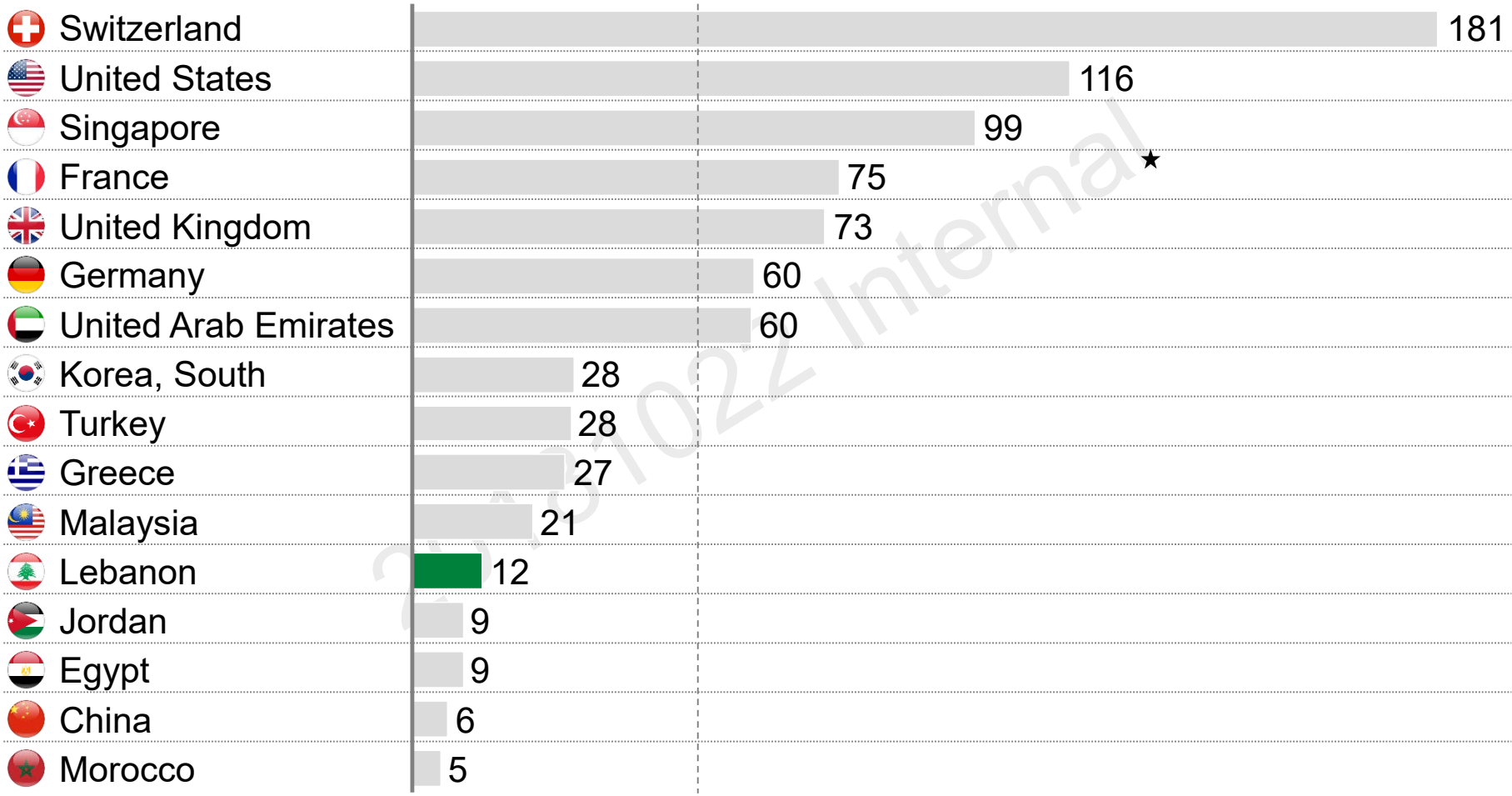


1 Excluding taxes and subsidies

Source: CAS, IHS, ILO

A2 …However, overall productivity of the sector is low compared to benchmarks

Retail and wholesale real productivity per employee 2016[1], 000 USD/employee



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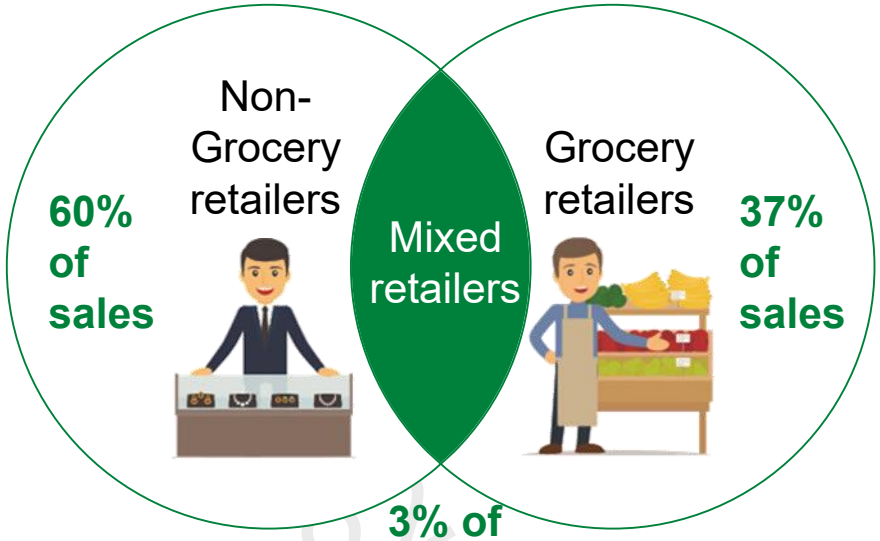
1 Based on real 2016 GDP before tax and subsidies in 2010 prices and ILO estimates for reatil and wholesale workforce in each country

Source: CAS, IHS, ILO

A3 Lebanon's retail sector can be segmented into three categories: non-grocery, grocery and mixed

- Fashion and clothing
- Electronics and appliances (incl. household goods)
- Health and beauty (incl. cosmetics)
- Leisure and other personal goods (incl. sports and hobbies)



- Food
- Beverage
- Tobacco

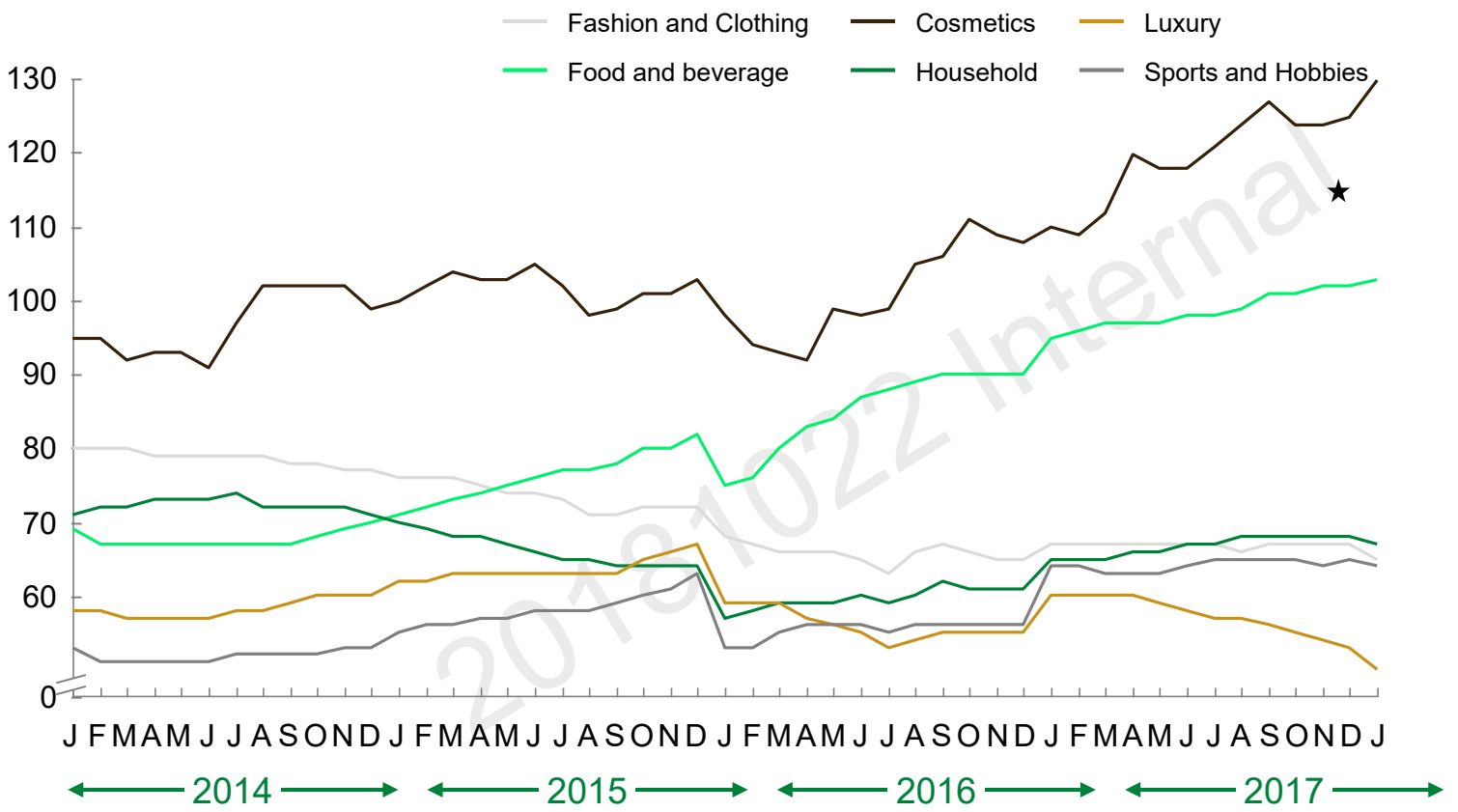
20181022

Retailer type	
Traditional	▪ Non chained grocery retailers includes independent small grocers
Modern	▪ Chained grocery retailers include: – Hypermarket – Supermarket – Discounters – Forecourt retailers – Convenience stores

A4 Sales grew in F&B, cosmetics and sports&hobbies while sales in clothing, household goods and luxury have slowed down

Retail sales indicator, monthly moving average

Growing retail sales indication | Declining retail sales indicator



2018/1022 Internal

Cosmetics, food and sports have been growing in the past 4 years

Fashion & clothing and luxury have been declining

- ↑ Cosmetics
- ↑ Food and beverage
- ↓ Household goods
- ↑ Sports and Hobbies
- ↓ Luxury
- ↓ Fashion and Clothing

Source: FFA Retail observatory

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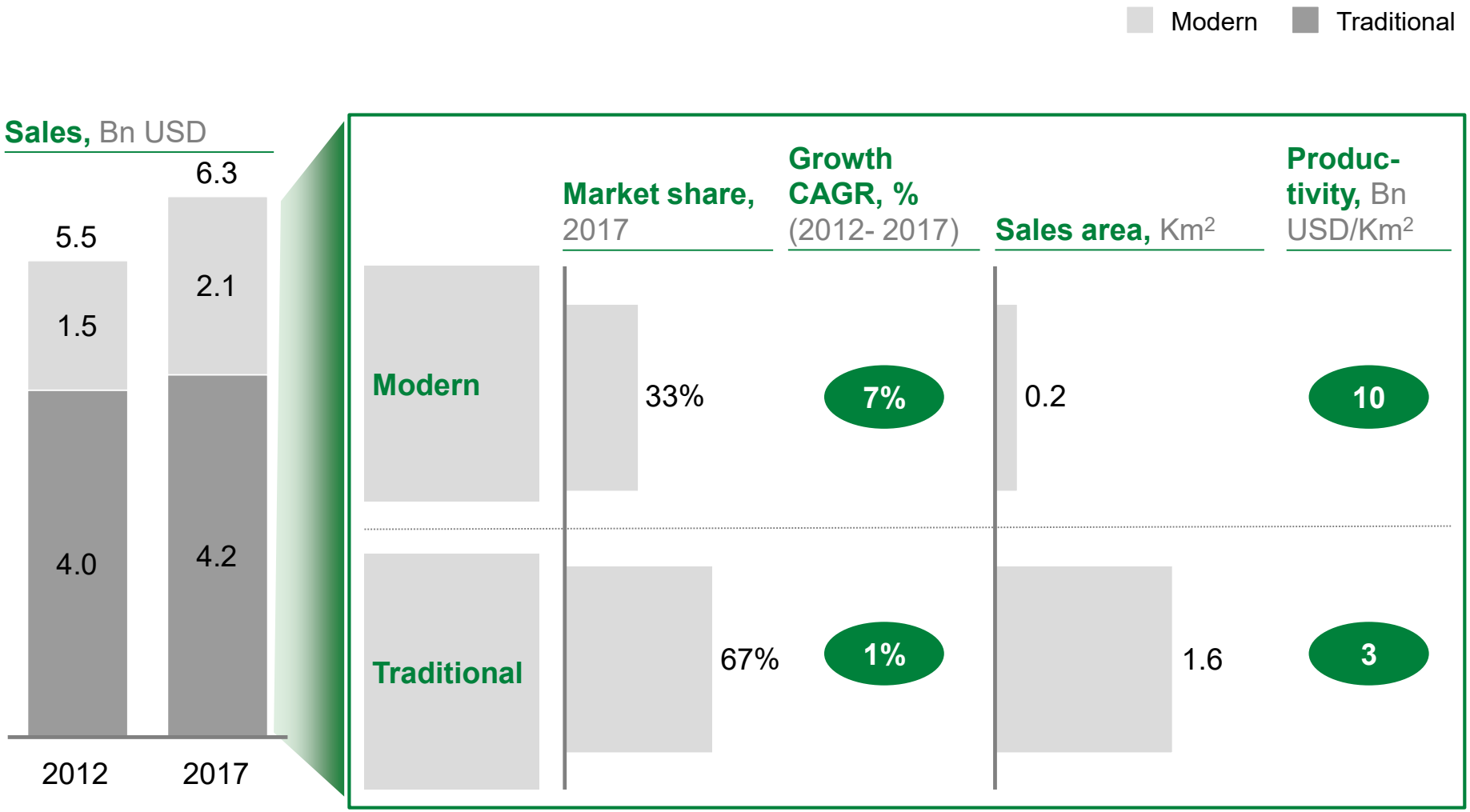
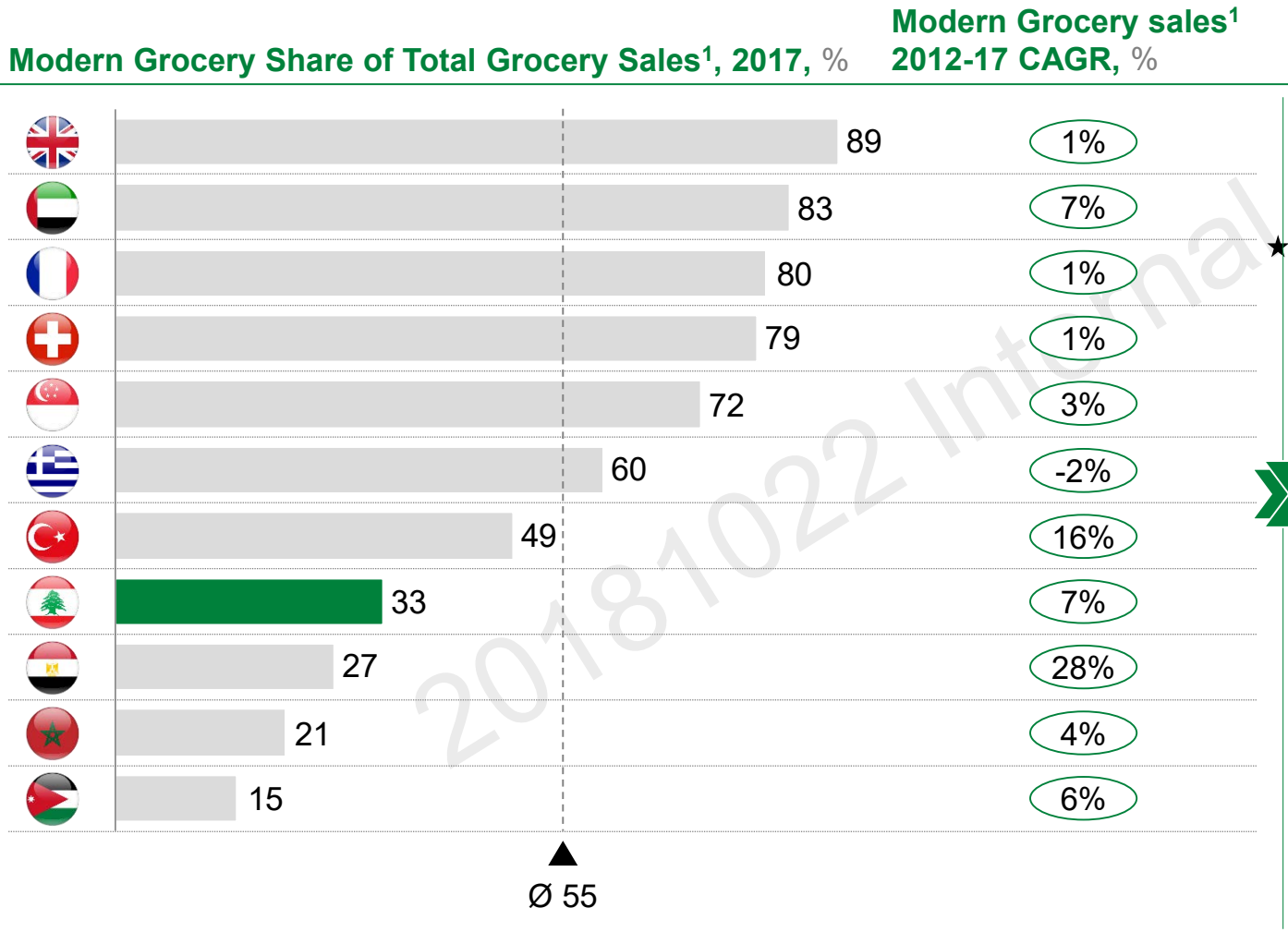
20181022

B1 Modern grocery is growing ~7x faster than traditional grocery and is ~3x more productive



Source: Euromonitor

B1 However, Lebanon's modern grocery retail penetration still lags behind global benchmarks



Key takeaways

- **Lebanon modern grocery retail share** of total sales is low compared to developed economies (e.g. UK, France, UAE)
- Lebanon **Modern Grocery** sales **growth** rate of **7%** is low compared to some **emerging economies** (Egypt, Turkey)

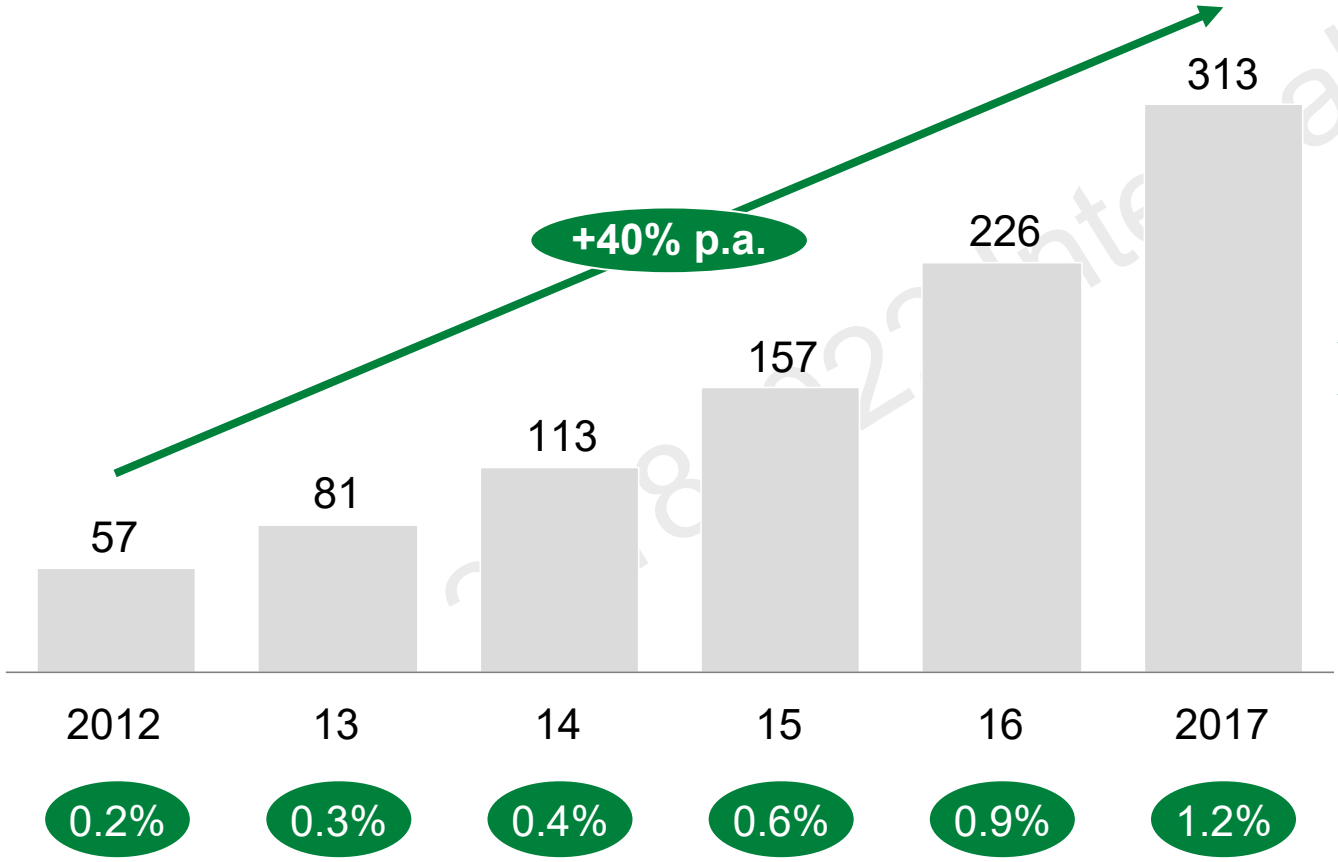
20181022 Internal

1 Figures use Euromonitor definition of Traditional and Modern retail

B2 Despite a steep growth in the past 5 years (40% p.a), Lebanon's internet sales are still only 1.2% of total retail sales

X% Share of total retail sales, %

Lebanon internet retail sales, USD Mn

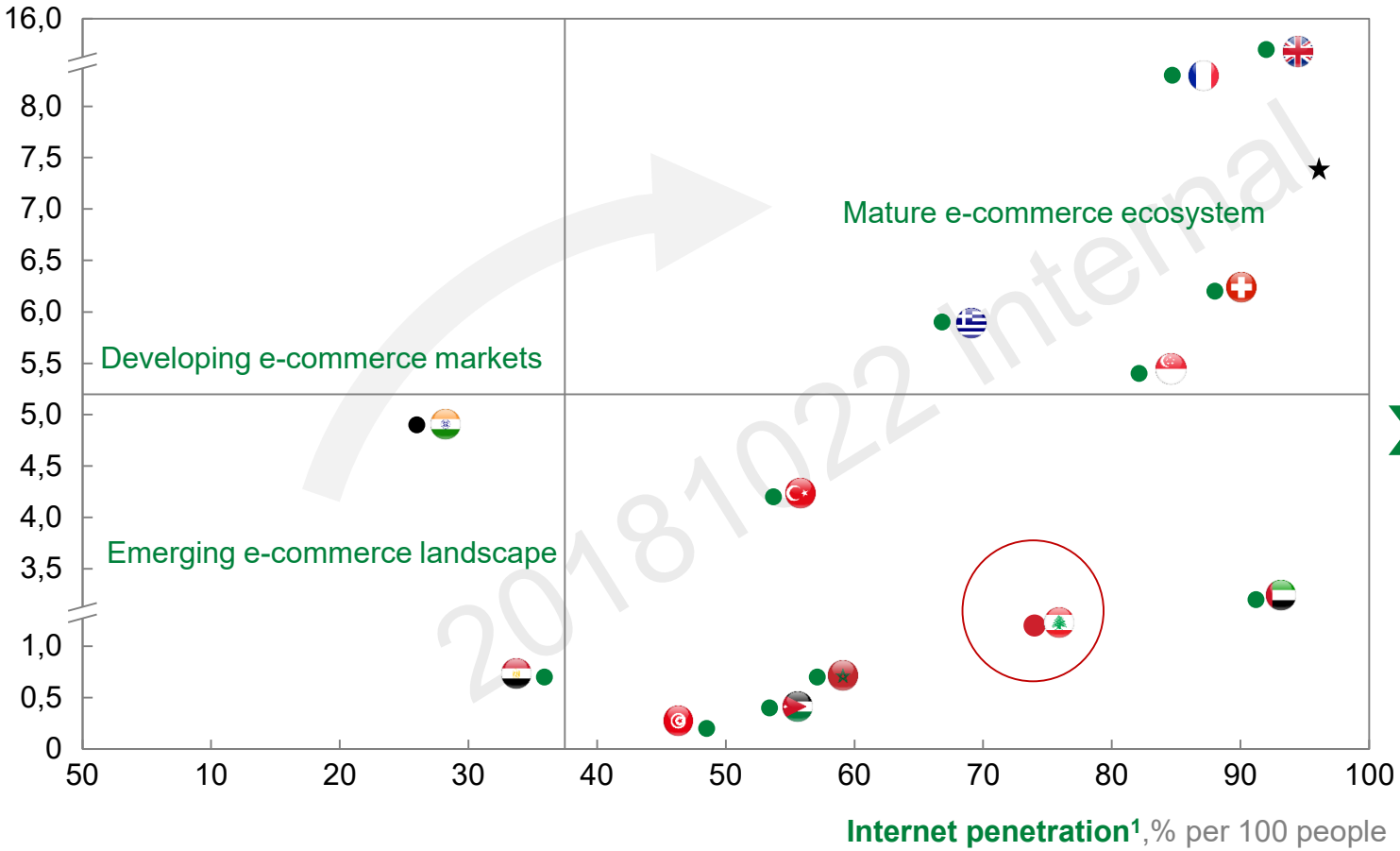


Key takeaways

Lebanon's **e-commerce sales grew** very strongly **at 40% p.a** between 2012-17, but still represents only **~1.2% of total retail** sales

B2 Lebanon's share of e-commerce is among the highest in the region but still falls behind countries with comparable internet penetration rates

E-commerce share of total retail sales, 2017 %



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Key takeaways

Lebanon has one the **highest shares of e-commerce sales in the region** (After UAE)

However, Lebanon's **e-commerce share** of total retail sales **falls behind** countries with **comparable or lower** internet penetration rates (Turkey, Greece)

1 Based on 2015 internet penetration

Source: Euromonitor, UN Data

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Key trends in the retail industry today are driven by technological disruption and change in consumer behaviour

	1	2	3	4
Key global trends in Retail	Increased consumer focus on experiences, rather than transactions	Wide digital adoption among consumers	Adoption of technology & automation by Retailers ★	Intensifying global competition and accelerating consolidation
Context in Lebanon vis-à-vis global trends	▪ Lebanon's retail **spend per capita** has been **stagnating** (0.2% growth p.a. in the last 5 years) ▪ Lebanon is highly dependent on tourism and will have to match international offering in retail experiences	▪ Despite a **high internet penetration** compared to peers (74%), **e-commerce** accounts for only **~1.2 %** of retail sales	▪ Retail market is still **predominantly traditionally operated**— Traditional grocery has 66% market share of total grocery sales vs 33% for modern grocery	▪ Lebanon's retail landscape is **highly fragmented** (traditional retailers account for ~89% of selling space of grocery retail outlets) ▪ However, traditional retailers face **competition from modern retailer** and have already experienced a slowdown in growth (1% growth of traditional retailers vs 7% growth of modern retailers) ▪ Also, **selling space of traditional retailers has decreased** by 16% since 2012 while modern retailer has grown by a 100%

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Source: Euromonitor, UN Data

Moving forward, retail sector can grow and act as an enabler for other sectors through potentially three plays

	Become the HQ hub of the Middle East for e-commerce players (focus on talent)	Export brands and concepts through franchising	Leverage the retail sector to promote Lebanese products through partnerships with modern retailers
Description	▪ **Develop value proposition** and **incentive pack for e-commerce** companies to establish their **HQ talent hub in Lebanon**	▪ **Ensure the right legislative regulations are in place** to **enable franchising** of Lebanese brands ▪ **Actively promote Lebanese brands and concepts** in fairs and roadshows	▪ **Incentivize retailers to promote Lebanese products** by developing a **national marketing campaign** and developing incentives for Lebanese brand promotion

Key priorities for the government include increasing overall productivity and efficiency of the sector and ensuring a favorable legislative environment

Detailed later

1

Increase overall productivity of the retail sector through targeted initiatives

2

Encourage the formalization of retail companies

3

★

Increase efficiency across the retail supply chain (reducing congestion and improving port operations)

4

Ensure a favorable legislative environment is in place for the retail sector to grow and act as an enabler to other sectors (in particular franchising law, e-commerce law)

2 Internal

1 Increasing the overall productivity of the retail sector should be done through growth of retail sales can be

Empower traditional retailers to grow their sales

Description

- Facilitate access to capital for traditional retailers willing to invest in tools **to increase efficiency** (POS payment, inventory management systems)
- Provide **trainings for traditional retailers** on ways to grow their sales (improve assortment, optimize sales channels) ★

Grow modern retail while protecting healthy share of traditional trade

- Align on a **healthy share of modern vs traditional retail** by sub-category and **grow modern retail** accordingly through **targeted incentives**
- Incentivize growth of **modern retail in the regions (outside of Beirut)** to increase reach to new customer segments and provide wider product offering

Incentivize the growth of e-commerce

- **Speed-up the approval of the e-commerce law** in the parliament
- **Incentivize the growth of e-commerce leading to increased GDP and employment**
  - Increased GDP by increased sales through improved product selection and wider offerings
  - Creation of new e-commerce businesses and tapping into new segment of customers

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2 Five initiatives can encourage the formalization of companies

Initiatives

1 Grant VAT amnesty for newly formalized businesses	▪ Grant VAT amnesty for 3 years from date of start ▪ Grant tax rebates to micro and small businesses ★
2 Launch national campaign on benefits of formalization	▪ Launch a 1-year nationwide campaign to educate business-owners on the benefits of the ecosystem
3 Campaign with limited window to register qualifying home businesses	▪ Special window to register home businesses that meet certain qualifying criterion. E.g., crafts businesses, home-based professional services
4 Levy heavy penalties on informal businesses	▪ Improve detection mechanisms and initiate stringent penalties on illegal businesses
5 Stop supporting the informal sector	▪ Lay out policies prohibiting NGOs and quasi-government entities from providing support to informal businesses

20181022 Internal

SOURCE: International Monetary Fund

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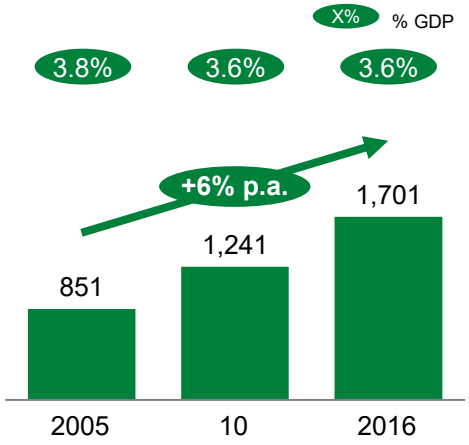
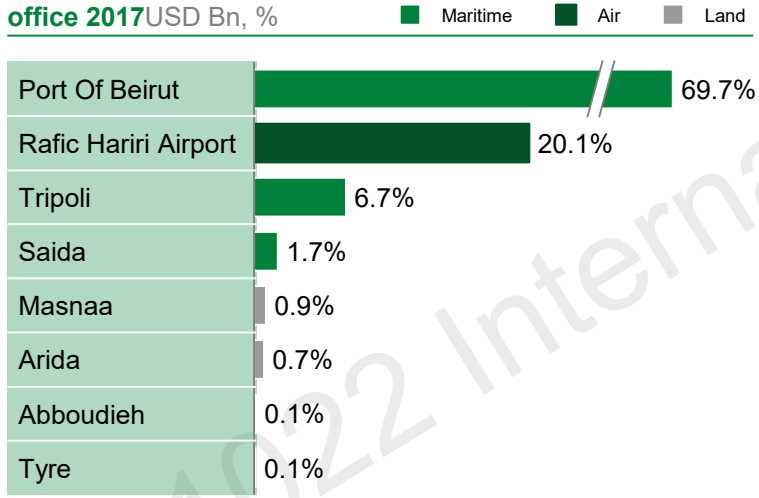
Logistics and transportation – summary of diagnostic

Economic contribution

Real GDP value of transportation
Million USD in 2010 prices

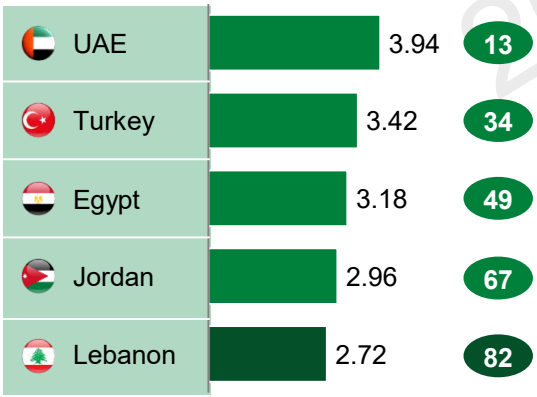


Breakdown of trade flows by customs office 2017USD Bn, %

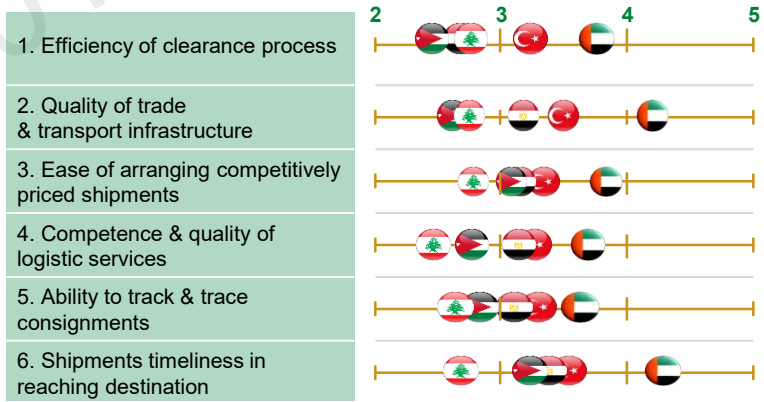


Performance metrics,

Logistics Performance Score



LPI score breakdown



Key challenges

Ports

- **High dwell time in Beirut Port** (~13 days)
- **Inefficient integration** between the different ports and roads
- Unclear differentiation approach between Beirut Port and Tripoli Port *(and respective expansion / development plans)*

Airport

- **Demand exceeding capacity** in Rafic Hariri International Airport (6M Capacity, vs 8M+ annual demand)

Roads

- **Low quality roads** (~15% of roads are in good condition)
- **High traffic congestion** on main highways

2018 2022 Interna

Source: CAS; Lebanese Customs; ILO; World Bank; Port of Beirut; expert interviews

Logistics & transportation – key performance measures

A. Key performance measures

Performance measures

A1 The transport sector is one of the fastest growing sectors in Lebanon, and is a significant employer

- In 2016, transportation represented ~3.6% of Lebanon's GDP
- Transportation's contribution to GDP grew at an annual rate of 7.8% from 2005 to 2010 and 5.4% from 2010 to 2016
  - Despite a deceleration in growth, the transport sector was the 2nd-fastest growing sector between 2010 and 2016, which is a testament to the sector's resilience and importance
- The transport sector employs ~110,000 workers

★

A2 However, Lebanon's suffers from weak transportation infrastructure…

- Lebanon transportation infrastructure is ranked poorly by international measures:
  - Ranked 82nd in logistics performance, 121st in quality of road infrastructure, 91st in quality of port infrastructure, and 100th in quality of air transport infrastructure

A3 …which is negatively affecting economic growth

- Poor logistics infrastructure is leading to high transportation costs for local economic players, including goods exporters
- Low quality and congestion of inter-city roads, in particular, contributes to urban migration and negatively impacts regional inequality
- Moreover, congestion within and between cities (especially in the Greater Beirut Area) is negatively impacting Lebanon's attractiveness as a tourism destination

20181029 Internal

Source: CAS; ILO; Ministry of Health; World Bank; WEF; PCM

Logistics & transportation – key performance drivers (1/4)

B. Key performance drivers

Road network

B1 Lebanon has an expansive road network

- According to World Bank figures, Lebanon has a road network totalling 21,705 km, including 6,380 km of national classified roads which are managed by the Ministry of Public Works and Transport

B2 However, the quality of Lebanon's roads is very poor

- Lebanon's global ranking on quality of road infrastructure is among the lowest (121/138), and its score has been slightly declining in recent years
- In 2010, it was estimated that only 15% of roads were in good condition, with 50% in fair condition and 35% in poor condition
- Underinvestment in maintenance has further reduced the quality of Lebanon's roads: the estimated required maintenance spend stands at ~100 USD Mn yearly whereas the actual spend has been around ~40 USD Mn
  - There have been no major national efforts to enhance or expand the road network since the 1960s

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Source: World Bank; WEF; MPWT; PCM

Logistics & transportation – key performance drivers (2/4)

B. Key performance drivers

Airports

B3 Lebanon has 3 airports, but only one is economically active

- The main and only international airport is Beirut Rafic Hariri International Airport, which is the main passenger port of entry
- In addition, there are two small airports which currently serve exclusively as military bases, with no commercial activity:
  - Rayak Air Base (Bekaa valley), which houses the Lebanese Air Force training school
  - Rene Mouawwad Airport (Koleiat, Akkar), which was previously used for internal flights

B4 Beirut Rafic Hariri International Airport plays an important economic role ★

- The airport serves today as a hub for three airlines, including the national flag carrier Middle East Airlines, and is also an operational base for several charter carriers (e.g. Wings of Lebanon)
- The airport connects Beirut to more than 60 international destinations through more than 45 major international airlines
- Moreover, the airport accounts for 32% of exports and 18% of imports by value

B5 However, the airport's capacity has been strained by vibrant growth

- Between 2000 and 2015, the number of annual passengers grew at a rate of ~7.5% annually, reaching 8.2 million in 2017
- However, the capacity of the airport is 6 million, and is thus being exceeded by ~36%

B6 The Capital Investment Plan aims to increase Lebanon's airport transportation capacity through two main projects:

- Expansion of Beirut Rafic Hariri International Airport (to reach an estimated capacity of 16 million passengers)
- Rehabilitation of Rene Mouawwad Airport to serve as a hub for cargo, charter, and internal flights

20190402 Internal

Source: Lebanese Customs; PCM

Logistics & transportation – key performance drivers (3/4)

B. Key performance drivers

Maritime ports

B7 Lebanon has four main maritime ports:

- Port of Beirut (70% of Lebanon's import/export value)
- Port of Tripoli (7% of Lebanon's import/export value)
- Saida Port (2% of Lebanon's import/export value)
- Tyre Port (0.1% of Lebanon's import/export value)

B8 Beirut's port is the main port in Lebanon, accounting for 72% of imports and 51% of exports by value

- Beirut Port is successfully operated using a PPP agreement *(with high potential to replicate the model elsewhere)*
- Beirut's port has become increasingly connected, with direct shipping lane connections to 56 ports (compared to 10 in 2004)
- The port has witnessed a doubling of export volumes since 2010 (from 45k containers in 2010 to 93k containers in 2016), largely due to the war in Syria which diverted many exports towards the port *(with the assistance of the MLEB program)*

B9 The Tripoli port is undergoing a 13.5x expansion plan

- Gulftainer, a UAE-based port management and logistics company, was awarded a concession to invest in the Port of Tripoli and operate it
- As a result of investment, the port's capacity is expected to increase terminal capacity from 20,000 TEU to 270,000 TEU per year
- The extent of cannibalization from Beirut's port is unclear, and lack of coordination between the two ports may lead to direct competition

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Source: Lebanese Customs; Port of Beirut

Logistics & transportation – key performance drivers (4/4)

B. Key performance drivers

Performance of airports & maritime ports

B10 Lebanon's airport and maritime ports are generally efficient enablers of trade

- Lebanon has an excellent lead time of 1 day for both imports and exports, exceeding regional benchmarks (including the UAE)
- Furthermore, the number and documents required for imports and exports is best-in-class within the region
- However, there is room for improvement:
  - A high dwell time (13 days on average) causes congestion
  - Beirut Port has a Berth productivity of 52 moves per hour, which is very similar to neighbouring countries (52 in Turkey and Egypt, 51 in Saudi Arabia) but is far from global best-practice (e.g. 81 in UAE's Jebel Ali)

B11 However, ports but are constrained by cumbersome inspection and clearance procedures

- 61% of goods are physically inspected, compared to 27% in Egypt and 14% in Jordan and the UAE
- Moreover, 18% of goods undergo multiple inspections
- This is driven partly by inefficient coordination among a large number of stakeholders (e.g. Lebanese customs, Lebanese army, Lebanese General Security)

B12 Ports are also hindered by inefficient integration with roads and highways, driven by insufficient urban planning

Land crossings

B13 Lebanon has 3 main border crossings with Syria

- Al Masnaa- Al-Jdeidah, along the international highway between Damascus and Beirut
- Al-Arida-Tartous, on the northern coastline
- Al-Abboudiyeh - Al-Dabouseyah, which connects Tripoli to Homs

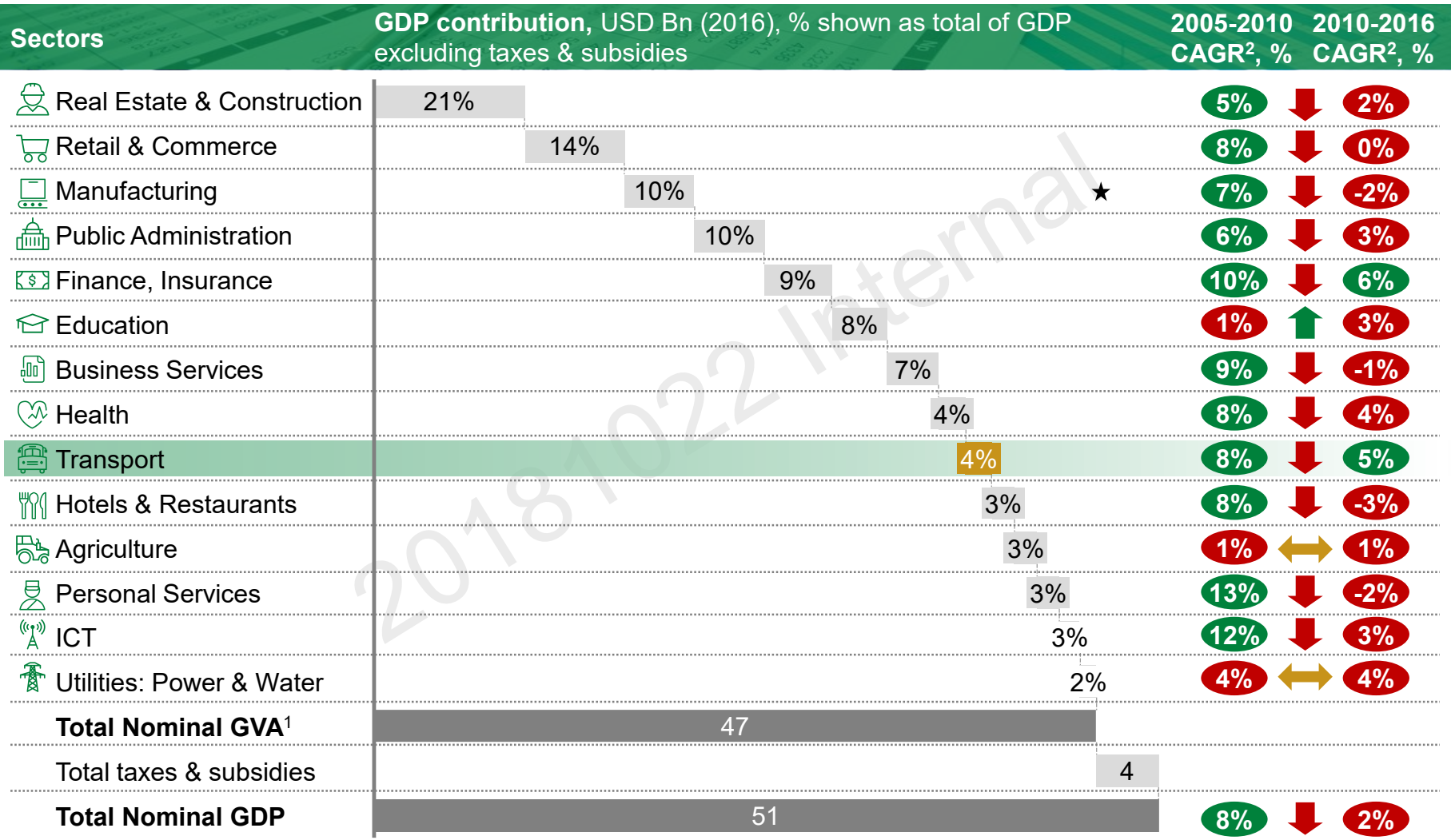
B14 The economic importance of land crossings has declined as a result of the Syrian crisis

- Security and logistical constraints in Syria has forced exports to seek alternative routes, most commonly through Beirut's port
  - Land crossings accounted for 22% of Lebanon's exports in 2014, but only 9% in 2017
- However, the Syrian crisis led to some positive infrastructural developments: In 2016, a new terminal was built at the Aboudiyeh crossing, with a capacity to process 6000 people per day

20181022 Internal

Source: World Bank; Port of Beirut; JOC; Press search

A1 The transport sector accounts for ~4% of GDP, and is one of the few sectors that has been witnessing strong growth since 2010



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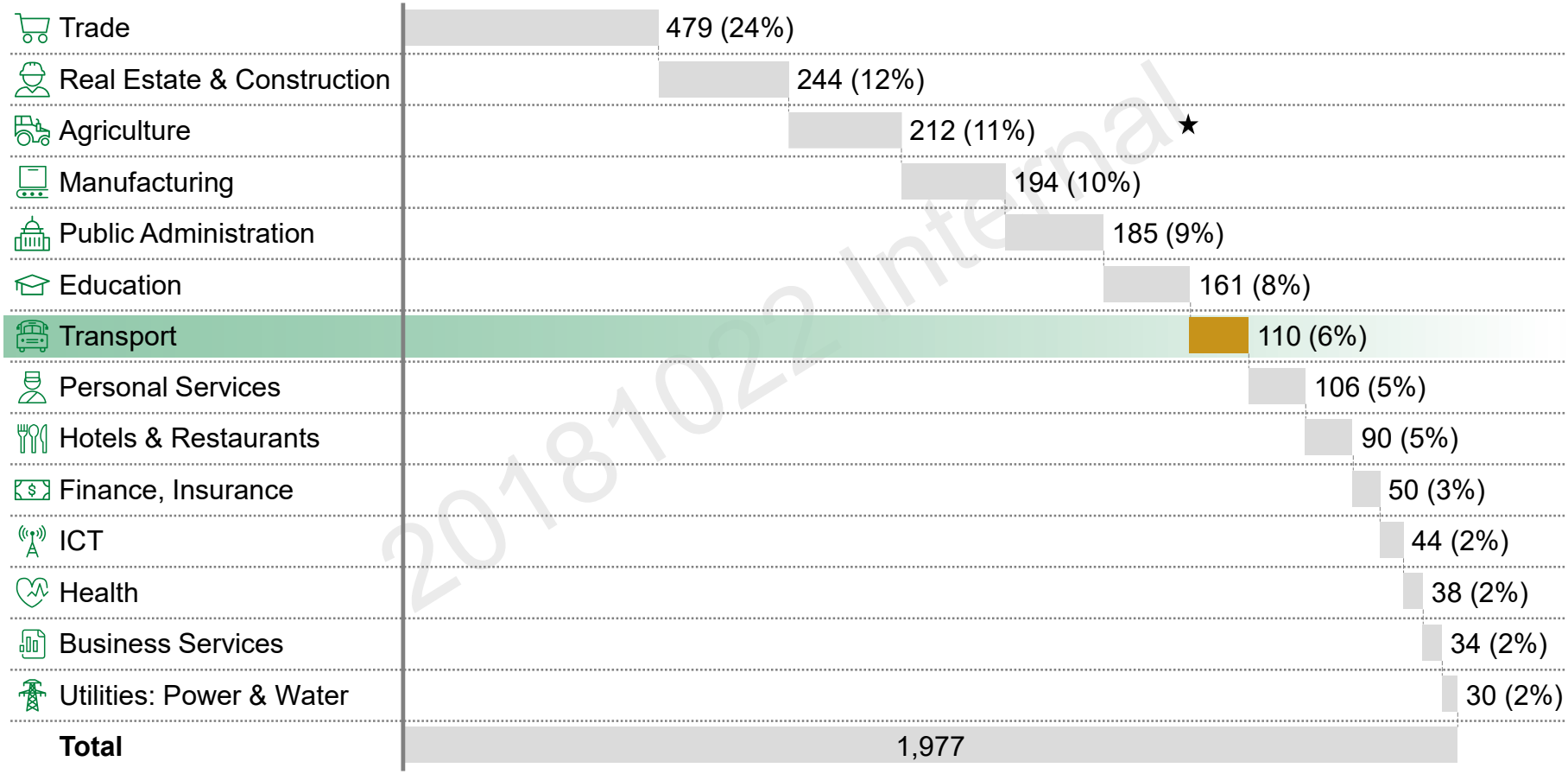
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A1 The transport sector employs ~110,000 people

HIGH-LEVEL ESTIMATES

Relevant Sectors



20181022 Internal

Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

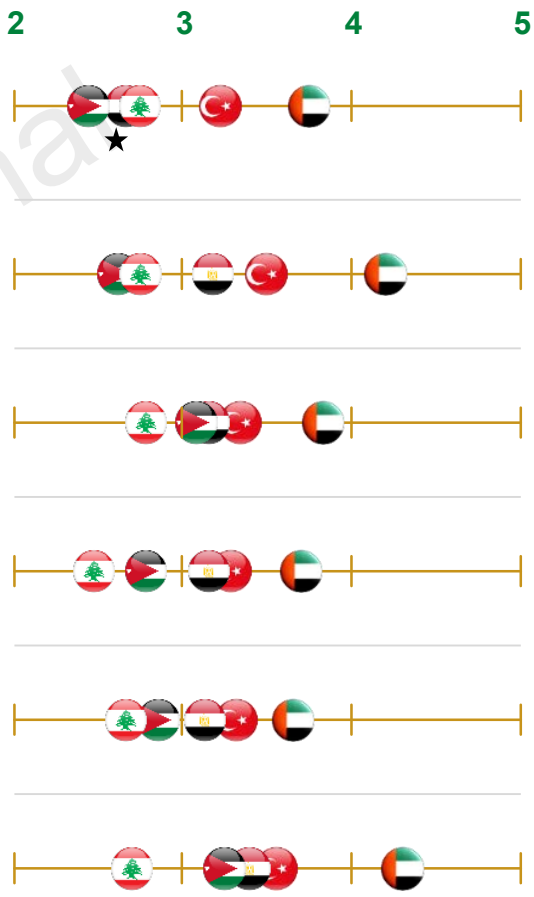
A2 Lebanon's logistics infrastructure is weak relative to regional peers

X Ranking among 160 countries

Underdeveloped logistic sector is reflected through a low LPI[1] score compared to peers

Country	Int'l LPI score		X
UAE	3.94		13
Turkey	3.42		34
Egypt	3.18		49
Jordan	2.96		67
Lebanon	2.72		82

LPI score breakdown



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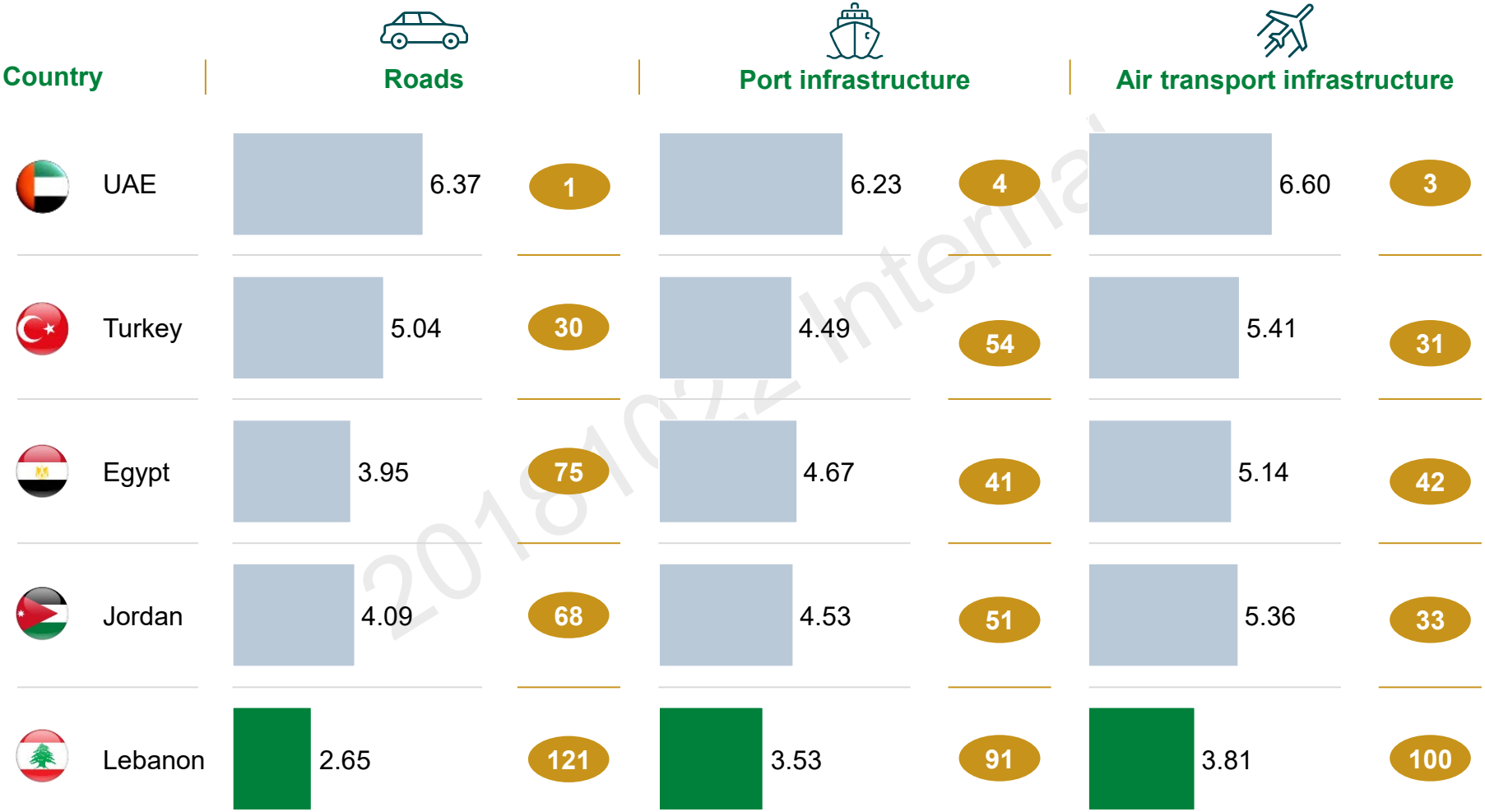
1 Based on the World Bank's 2016 Logistics Performance Index, which measures trade logistics performance

Source: World Bank

A2 Lebanon's logistics infrastructure is weak relative to regional peers

X Ranking among 137 countries

WEF Global Competitiveness 2017-2018: Score (1-7)

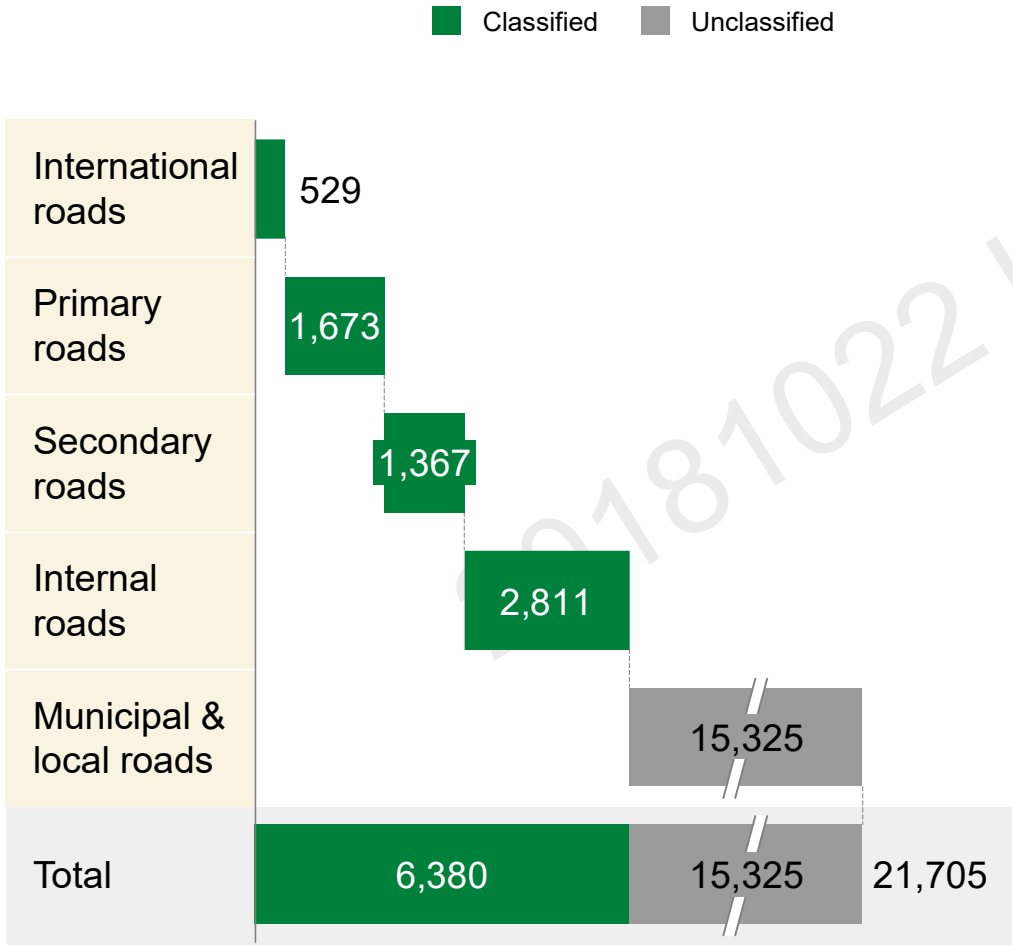


20181022 Internal

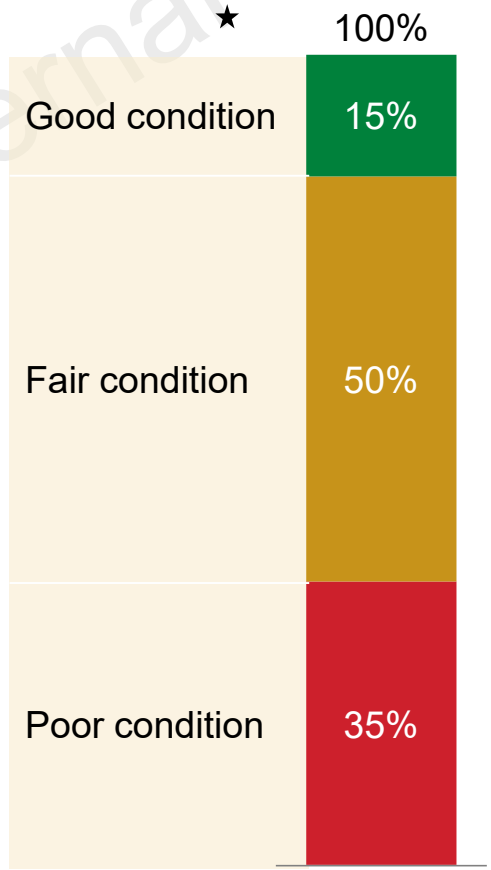
Source: World Economic Forum

B2 85% of Lebanon's road network is in fair or poor condition

Road network breakdown
km



Quality of Lebanon's roads (2010)
km

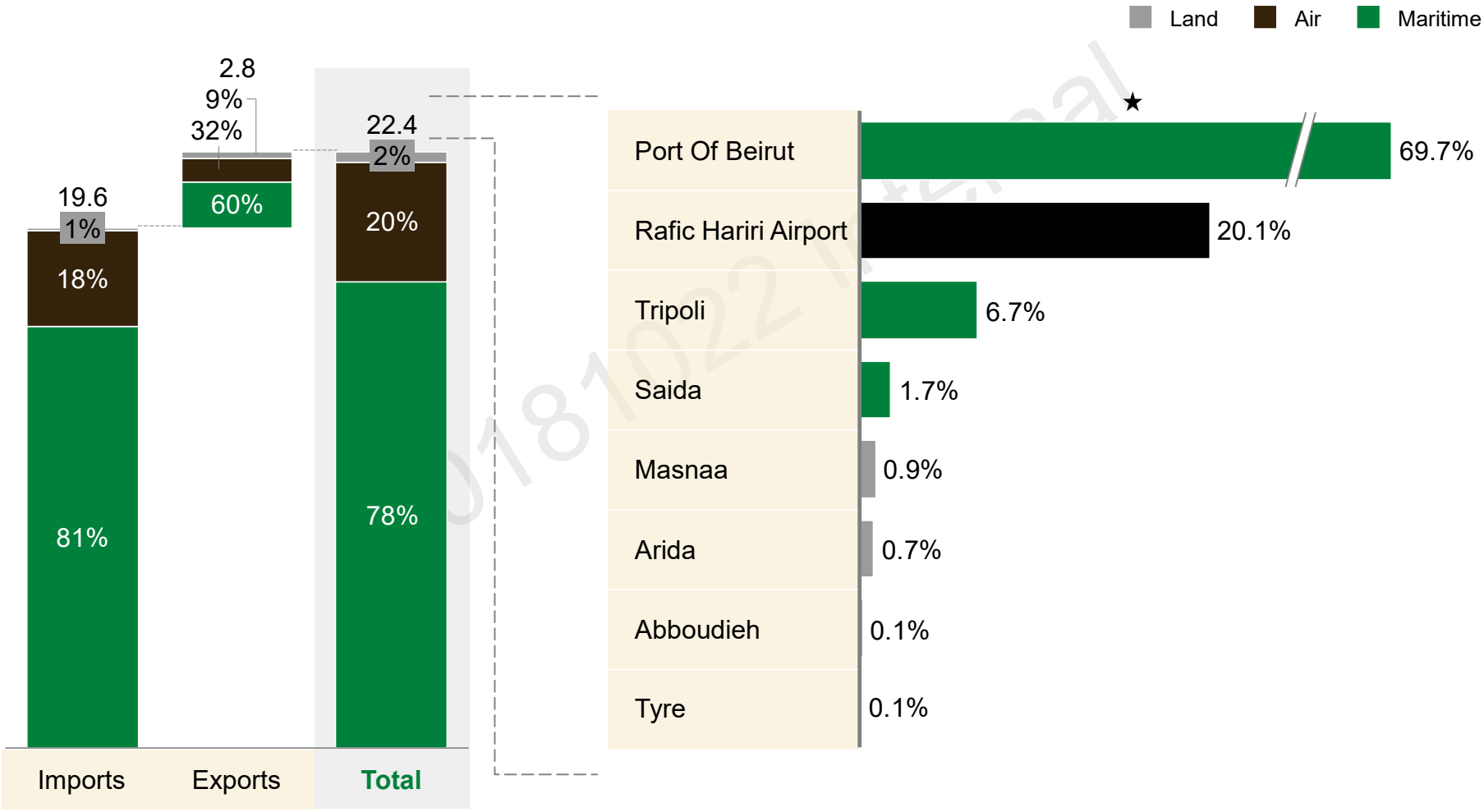


20181022 Internal

Source: World Bank; MPWT

B7 ~90% of Lebanon's imports and exports flow through the Port of Beirut and Rafic Hariri Airport

Breakdown of trade flows by customs office 2017
USD Bn, %



Source: Lebanese Customs

Global trends in maritime ports

On-going trends | Emerging trends

Growing port-city mismatch	▪ While historically ports and cities were connected by very close ties, we observe a growing mismatch between the functions of each. Standardization of services and automation decrease the demand for local manpower. At the same time growing vessel size, emissions, growth of T/S services and manufacturing activity at the ports is making them less attractive occupants of land within the city ▪ We're seeing transformation of some old ports into residential and commercial areas (e.g. Barcelona, NYC, London) and creating new greenfield ports outside of the city (e.g. London Gateway, King Abdullah Economic City, Tanger Med.)
Growing opex and capex requirements	▪ Larger ships and larger container alliances are driving the increase in opex and capex requirements for successful ports. These results in less frequent and larger calls that drive the demand for peak capacity as the networks consolidate ▪ There is also a bigger pressure for faster and more error-free operations
Service consolidation	▪ With growing alliances, services are being consolidated resulting in a pressure at current transshipment hubs. Many are at risk of losing volumes
Digital opportunities	▪ New real-time solutions to optimize port operations (predictive berth planning, intelligent stacking etc.)
Automation	▪ While ports were traditionally very labor intensive, we see a significant shift towards partial or full automation of port services. This is especially visible in the most standardized areas like container shipping
Private management & financing	▪ Many new port projects will be managed and partially or fully financed from private funds. This is a major change from the past, where usually ports were both managed and financed from public funds. Currently a large share of ports are operated as PPP while some are private ventures
FTZs, manufacturing & innovation clusters	▪ Good transportation connections, land availability and wide service offering are turning port areas into manufacturing clusters. Many sectors such as oil & gas, automotive, FMCG are opening new facilities within the port areas. Additionally many ports (e.g. Rotterdam, Hamburg, Antwerp) are incentivizing IT and Hi-Tech by offering better land leases, access to value added services etc. ▪ Ports are historically a great location for free trade zones and see many synergies from locating nearby

Roland Berger internal

Source: Expert interviews

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Telecommunications – summary of diagnostic

Economic contribution

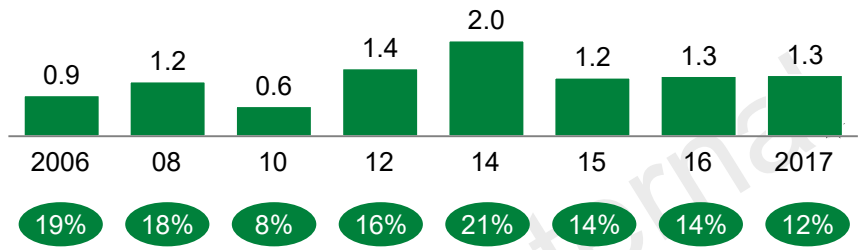
GDP contribution of ICT, 2016 nominal USD Bn (%) — 1.4 (3%)

Total ICT employment, 2016 # — ~44,000

Total telco jobs, 2018 # — ~4,000

Contribution to government revenues[1]
USD Bn

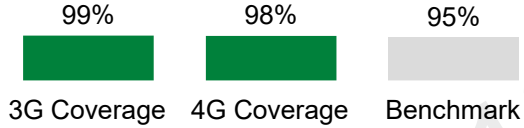
Portion of government revenues,%



Mobile network

Accessibility

3G & 4G coverage, % population

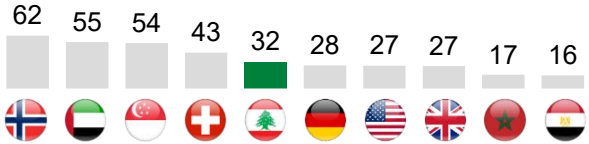


Affordability

Data price per GB to GDP/capita, %

Quality

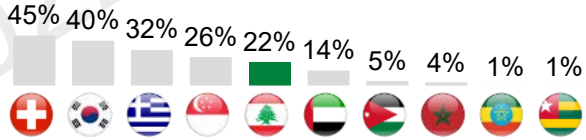
Mobile download speed , Mbps June 18



Fixed network

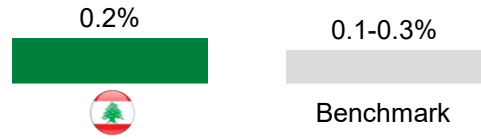
Accessibility

Fixed penetration, % population



Affordability

Price of broadband to GDP/capita, %



Quality

Fixed download speed , Mbps June 18

1 Excludes corporate taxation of telecom operators

Key challenges

- **High mobile prices**
  - Both data & voice prices remain prohibitive, especially when compared with regional benchmarks
  - Mobile data and voice prices are ~2-3x regional peers (Morocco & Egypt)
- **Low fixed network quality**
  - Average broadband speeds of ~6mbps, ranking Lebanon 130th out of 133 countries worldwide, behind Pakistan, Iraq & Syria
- **Inadequate amount of capital investments**
  - Telecommunications investments per capita ~2.5x times lower than peer countries average

2018 IDAL Internal

Source: Ministry of Finance annual reports; Telegeography; SpeedTest; ITU; Country benchmarks; Market interviews; Operators websites; World Bank; CAS

Telecommunications diagnostic - key performance measures (1/3)

A. Key performance measures

Macro contribution

A1 The ICT sector, that includes telecom, currently contributes to 3% of GDP but recently witnessed a reduced growth rate; the sector also represents a considerable source for government revenues at ~10-20%

- The Information, communication & technology (ICT) sector in Lebanon currently contributes 3% of total GDP and employs a total of ~44K FTEs; the two mobile operators employ a total of ~1,800 people
- The ICT sector has demonstrated continuous growth at ~12% from 2005 till 2010 and ~3% from 2010 till 2016, outperforming the growth of the economy during both phases ★
- In addition, Telecom is a main contributor to the government's revenues, generating ~1.2-2.0 Bn USD annually, the equivalent of ~13-19% of the government's income

Sector performance

A2 Telecom sector must typically achieve the right balance between three key components while the current industry focuses on governmental and operator's objectives

- The telecom sector should work towards achieving a balance between three different components:
  - Customer satisfaction level: accessibility, quality and affordability of telecom services for both consumers & businesses
  - Government's fiscal objectives: contribution to government's total revenues
  - Operator's sustainability: sustainable and profitable operation and growth of service providers
- Today, the industry's thorough effort is channeled towards meeting government's fiscal objectives and ensuring profitable growth of the state-owned operators, at the expense of customer's satisfaction

A3 Lebanon mobile sector provides for accessibility and quality in line with peers but prices remain highly prohibitive

- Mobile sector presents a good accessibility with a 3G network covering 99% of the population and a 4G network covering 98% of the population, in line with peer average
- The sector provides for high average speeds standing at ~32mbps ranking Lebanon 35th out of 124 countries worldwide, just in front of developed economies such as the US, UK or Germany
- Quality of service is also in-line with peers and international standards, with a call drop rate of 0.86%, in line with the <2% standards. Successful call completion rate standing at 97.63% is higher than the standard of 95%.
- However, both data & voice prices remain prohibitive, especially when compared to regional benchmarks: Data prices at 5.4% GDP are ~2x Morocco & Egypt at 3.2% and 2.3%. Voice prices at 2.3% GDP are ~2-3x Morocco & Egypt.
- The prohibitive nature of prices leads to an ARPU of 27 USD: as such the operators can achieve EBITDA margins of ~77%, more than double that of global top 50 operators benchmark of ~30%

2018 IDAL Internal

Source: ITU; Telegeography; SpeedTest; Ministry of Telecommunications; Telecom Regulatory Authority; CAS; ILO; Ministry of Health; Ministry of Finance annual reports; Country benchmarks; Market interviews; Operators websites

Telecommunications diagnostic - key performance measures (2/3)

A. Key performance measures

Sector performance

A4 Fixed network provides coverage and pricing in line with peers; speeds however, at 6mbps, lag Syria & Iraq ranking Lebanon 130th worldwide out of 133 countries

- Today, the DSL network covers ~93.5% of the Lebanese territory; fixed broadband penetration in Lebanon is in line with peer average at ~22%; However, many subscription requests (~100,000) are pending due to a lack of capacity in central offices
- Pricing is affordable at ~18 USD monthly, in line with the ~21 USD average of peer countries; pricing to GDP per capita, standing at ~0.2%, is also in line with benchmarks pricing
- However, network quality is bad, with average fixed broadband speeds of ~6mbps, ranking Lebanon 130th out of 133 countries worldwide, behind Pakistan, Iraq & Syria

A5 Lebanon remains one of few countries with a fully state owned telecommunication sector witnessing limited to inexistent private sector participation

- Lebanon is one of 3 countries globally with state owned mobile operators, the other two being Andorra & Ethiopia
- Private sector participation in the fixed sector is also very limited; the sole owner of the fixed infrastructure is Ogero, the government owned enterprise, with private ISP's operation limited to capacity-leasing from Ogero

A6 Today telecom contributes ~10-20% of yearly revenues; however industry dynamics put downward pressure on revenues

- Overall, the telecom sector funds ~10-20% of total government revenues, rendering the government reluctant to drive privatisation efforts in a bid to foster competition, reduce prices and enhance quality of service
- However, the industry is drastically shifting from voice towards data as a main revenue contributor: Current prevalent pay-per-minute model does not allow to capitalize on voice to data shift, and puts downward pressure on future potential revenues

A7 However, overall revenue opportunity remains from low mobile penetration

- Mitigating revenue risks form shifting dynamics is achievable through increasing mobile penetration. Current penetration of ~72-96% (including and excluding refugees), compared to an average of ~114% across peer countries, signifies a potential increase of 20-40% in penetration

20181022 Internal

Source: Ministry of Telecommunications Lebanon 2015; ITU; SpeedTest; Operators website; Ministry of Finance annual reports

Telecommunications diagnostic - key performance measures (3/3)

A. Key performance measures

Operational performance

A8 Number of customers has been consistently growing in recent years to achieve penetration rates of 21% and 81% in fixed broadband and mobile respectively

- Fixed broadband customers have been increasing at ~44% p.a. starting 2007, to reach 1.3 Mn in 2016; the growth was mainly driven by a ~650 K jump in broadband customers between 2013 and 2014
- Mobile customers have also increased at ~14% p.a. starting 2007, to reach 4.5 Mn customers in 2017, equivalent to an 72-96% penetration ★
- Data consumption has also increased at 50% p.a. since 2013, and stands today at 1.4GB/data subscription

20181022 Internal

Source: Ministry of Telecommunications Lebanon 2015; ITU

Telecommunications diagnostic - key performance drivers & enablers

B. Key performance drivers & enablers

Telecom infra. & capital invest-ment

B1 Today, the telecom sector lags behind in terms of capital spend on infrastructure investments, especially regarding the Fixed network

- Lebanon currently underinvests in the telecom sector with total yearly telecommunications investments to GDP ~2.5x times lower than peer countries average
- Recent efforts have been channelled towards upgrading parts of the infrastructure, from both the international cables side as well as the network backbone ★
  - 50Gb of global connectivity is provided through IMEWE & CADMOS/Alexandros potentially expandable to 900Gb
  - The 300 fixed central offices constituting the core network have been completely connected with fibre in 2012 and activated in 2016
  - The main problem with quality and speed in the fixed sector remains within the access network where majority of customers are connected through copper
  - Mobile access network on the other hand, mainly relies on 3G and 4G technology, driving higher quality and speeds
- Today, and under the umbrella of the ministry's 2020 digital telecom vision, a plan is in motion to deploy FTTx throughout the nation, with the exception of LTE-A in remote region, with the objective of reaching connection speeds of 50mbps by 2020

Regulat-ory authority & regulat-ions

B2 Today no regulatory authority is present to ensure that service level agreements and proper regulation are in place

- Currently no agency extensively regulates telecommunications in Lebanon. SLAs & revenue targets that have been set are non-binding, with no proper accountability in place
- A 2002 law set up the Telecommunications Regulatory Authority, currently employing 30 people, to transfer the regulatory function from The Ministry of Telecom to the TRA; The ministry however, did not give the TRA its own prerogatives rendering the agency not operational.

B3 Had the previous privatisation efforts materialized in 2002, the debt to GDP ratio could have been lowered to ~110-125% by 2015, driven by an uptake in GDP growth

- A privatisation law was passed in 2002 but has never been implemented; had the mobile & fixed provides been privatized in 2005, debt to GDP ratio could have been lowered to ~110 - 125% by 2015, mainly driven by an accelerated growth of GDP

BCP 1022 Internal

Source: ITU; Telecom Regulatory Authority; Ministry of Telecommunication annual reports 2013 & 2015; Ministry of finance annual reports

Contents – Telecommunications

A **Key performance measures**

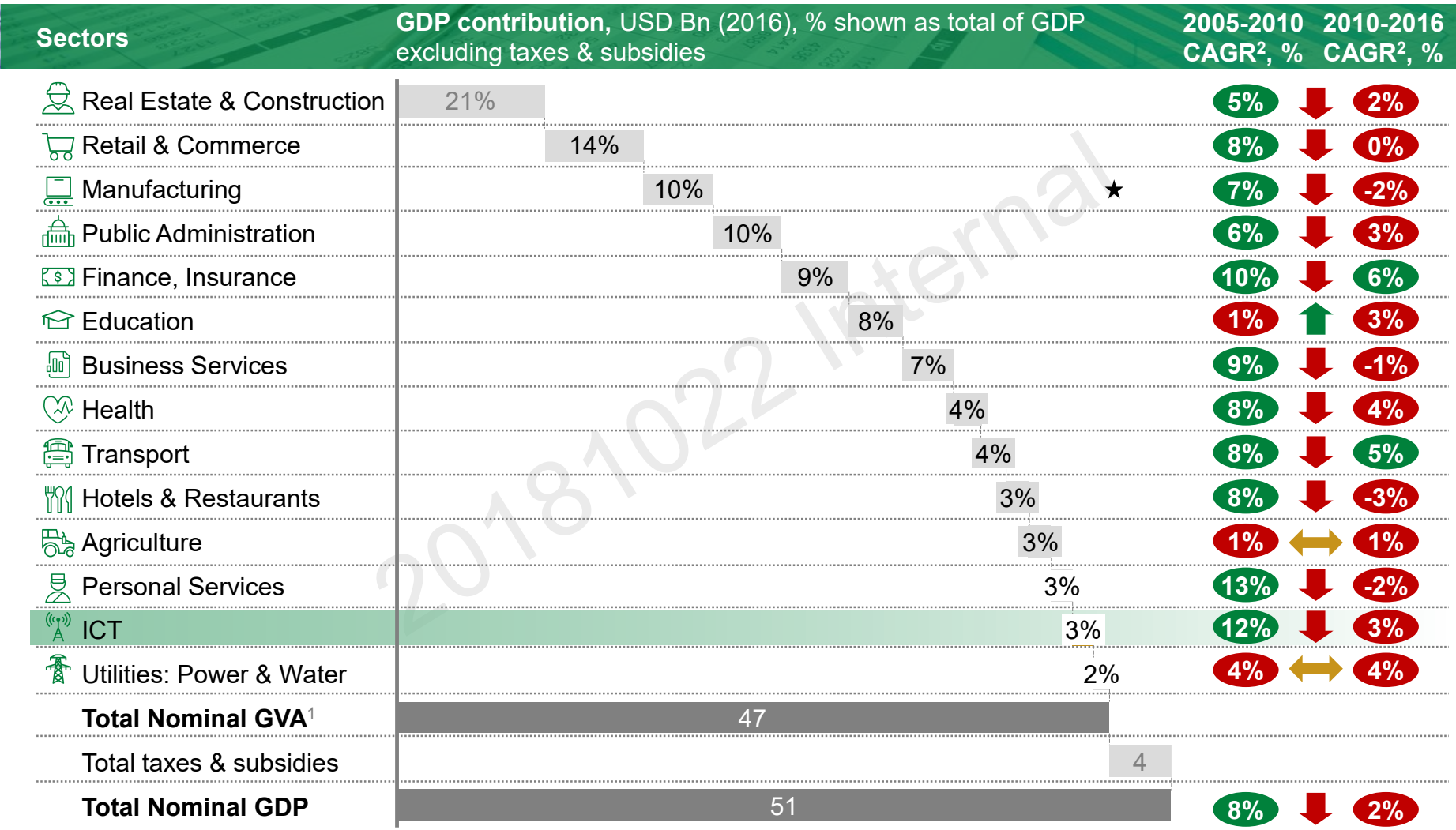
B Key performance drivers & enablers

C Global trends

D Opportunities & priorities

20181022 In

A1 The Information, communication & technology (ICT) sector represents ~3% of GDP and recently witnessed a reduced growth rate



20181022 Internal

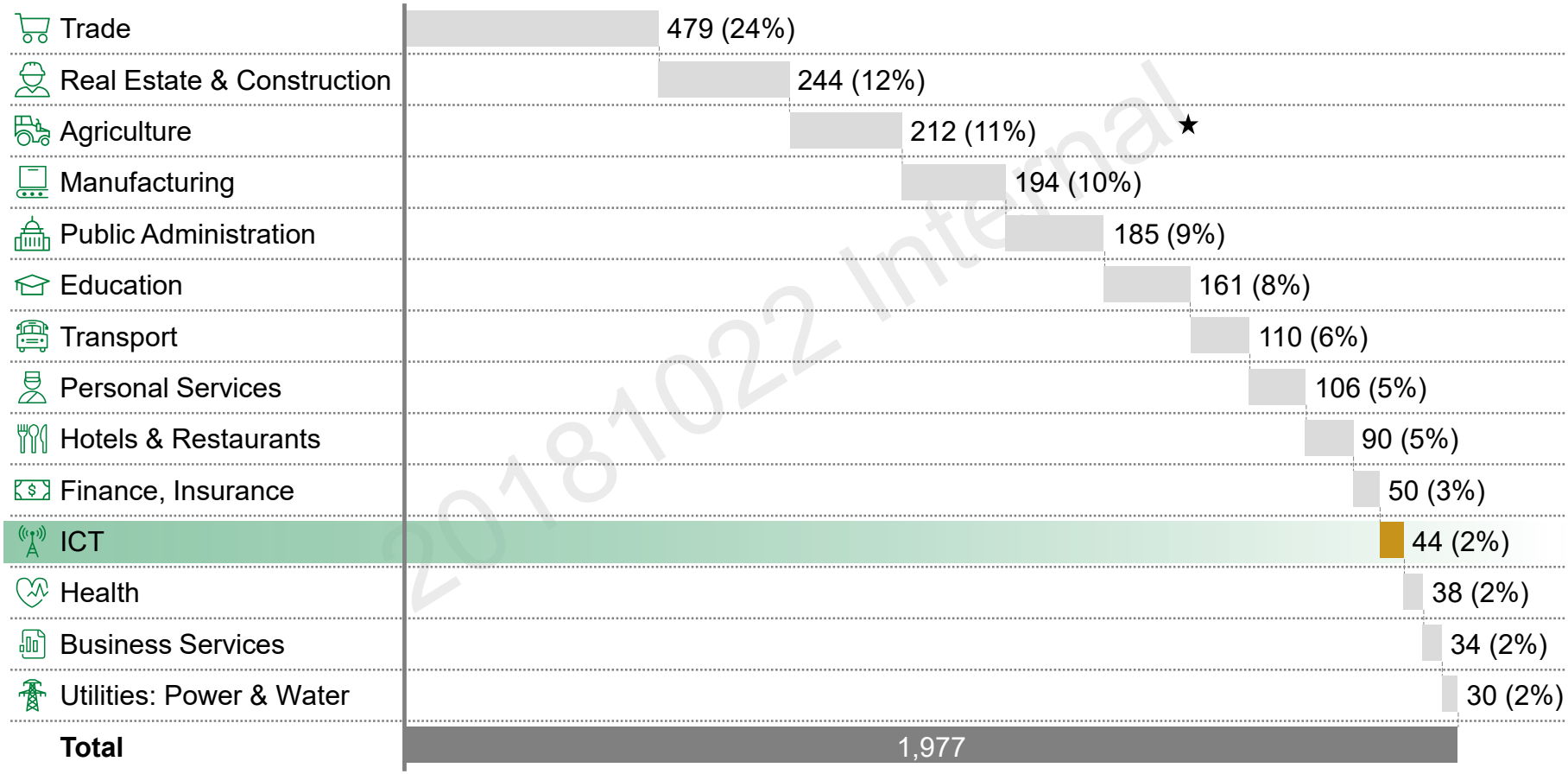
1 GVA (Gross Value Add) represents nominal GDP excluding taxes & subsidies; 2 CAGR (Compound Annual Growth Rate) representing average annual growth in real GDP

Source: CAS

A1 The sector also employs a total of ~44K people, corresponding to ~2% of total employment in the country

HIGH-LEVEL ESTIMATES

Relevant Sectors



20181022 Internal

Note: All employment data includes both formal & informal jobs; 2010 Baseline derived from total ILOSTAT employment, using CAS sector split. Post 2010 projections based on sector real GDP growth and ILOSTAT real productivity growth; adjustments applied to Health & Agriculture based on input from Ministry of Health and meeting with agriculture stakeholders

Source: CAS; ILO; Ministry of Health

A2 Telecom sector must typically achieve the right balance between three key components

Telecom as an economic enabler for both consumers & businesses

- Coverage & accessibility
- Quality of services
- Affordability of services

1

2

INDUSTRY STRUCTURE

Operator's sustainability

Telecom as a profitable sector

- EBITDA margin of telecom operators
- CapEx investments by operators

Govt. fiscal objectives

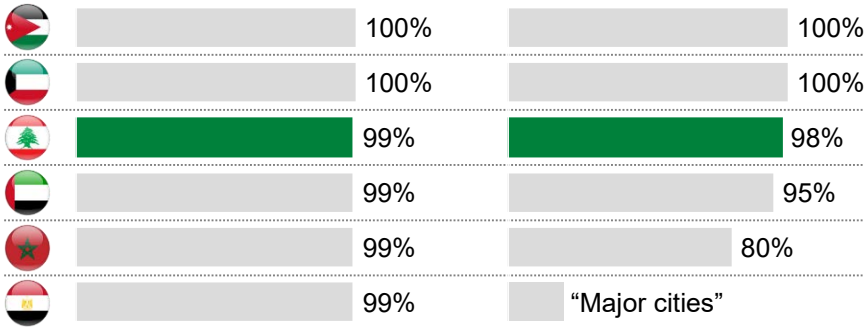
Telecom as a source of government revenues

- Telco contribution to government budget

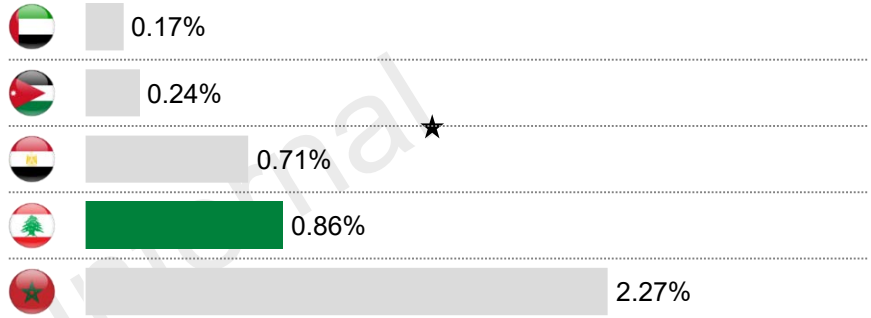
A3

Mobile coverage and quality of service is in line with peer countries

3G and 4G Coverage
% population, 2018

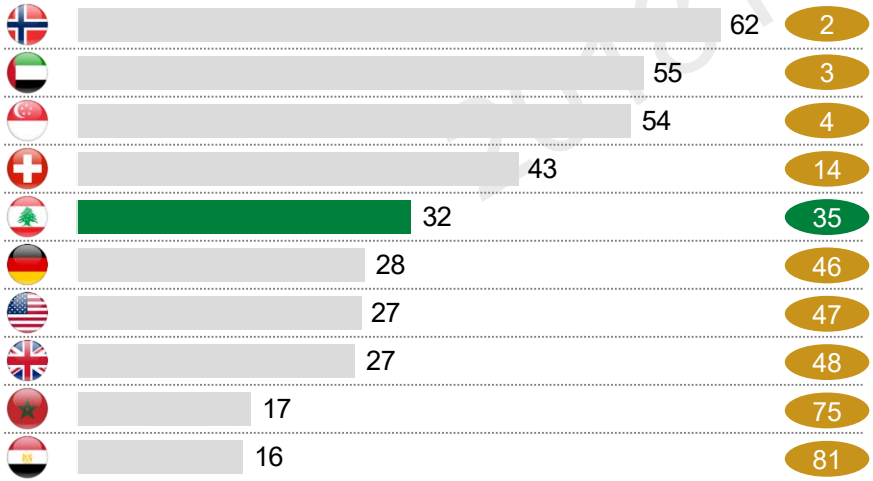


Call drop rate
%, 2015 for benchmarks, 2018 for Lebanon

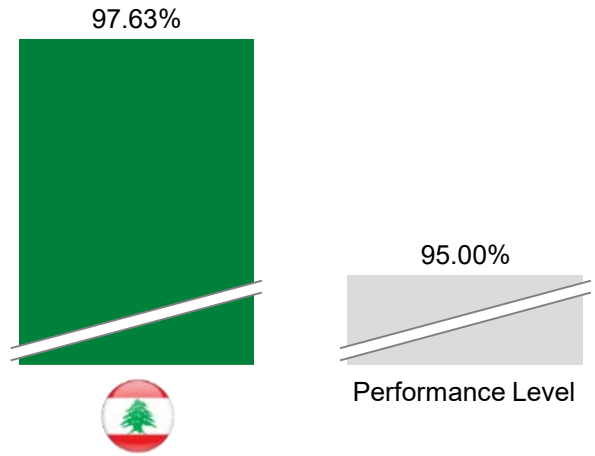


Mobile download speed
Mbps, June 2018, Ookla index

Mobile download speed rank



Successful call completion rate
%, 2018



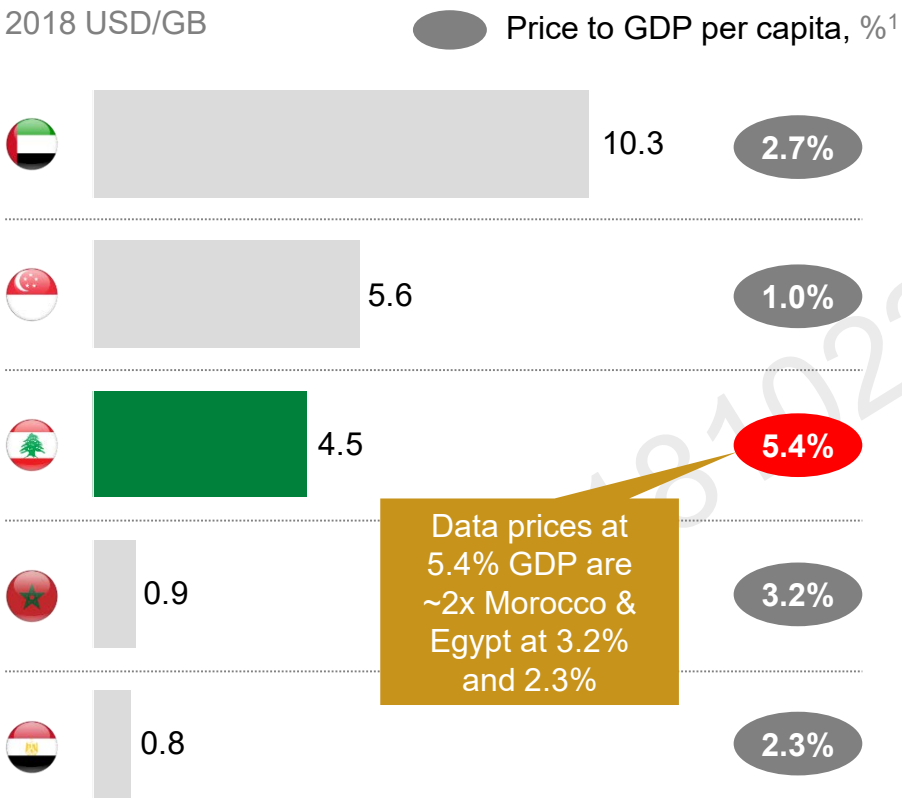
Source: ITU; Telegeography; SpeedTest; Ministry of Telecommunications; Telecom Regulatory Authority; Mobile operators

A3 However, prices are prohibitive, with both data & voice prices ~2-3x regional peers

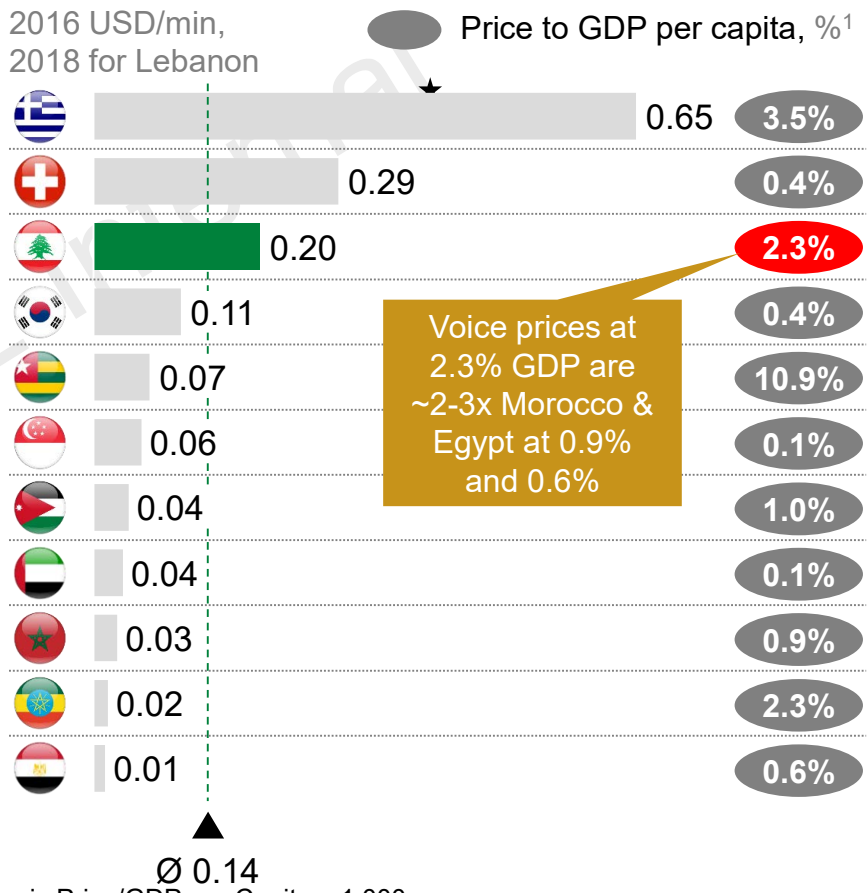
Data prices are prohibitive, especially when compared to Egypt & Morocco

Voice prices are also ~5 times higher than Morocco and ~15 times higher than Egypt

Prepaid data price[2]



Mobile prepaid 1-min price[3]



1 For data price, equation is Price/GDP per Capita x 100 – for voice price equation is Price/GDP per Capita x 1,000
2 Data package of 4,5,6 or 7 GB used as reference depending on availability; 3 Local call, off-peak, on-net

Source: ITU; Country benchmarks; Market interviews; Operators websites; World Bank; Mobile Operators

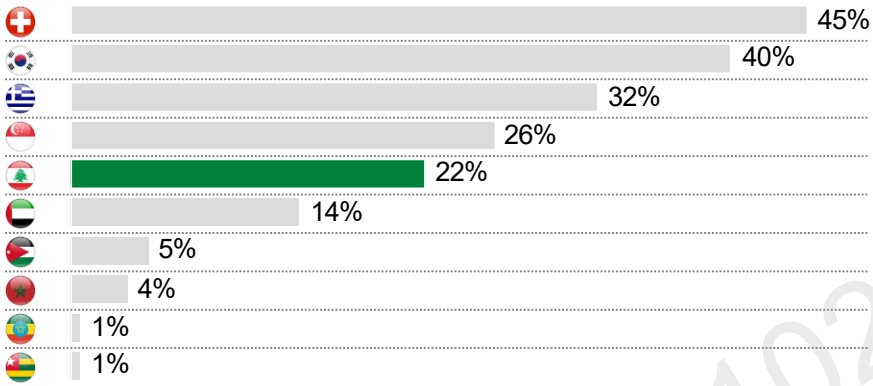
A4 Fixed sector provides coverage and pricing in line with peers; speeds however, at 6mbps, lag Syria & Iraq ranking Lebanon 130th worldwide

Fixed sector provides for good coverage and affordable pricing

However quality remains poor, with speeds of 5mbps ranking Lebanon 130th out of 133 countries

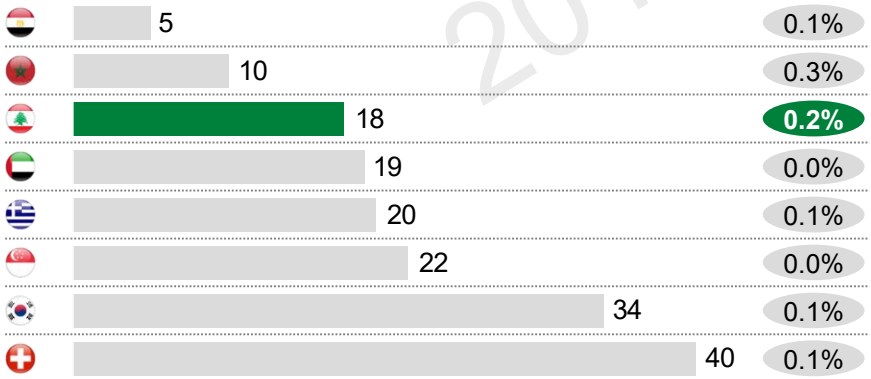
Fixed broadband penetration

% population, 2016



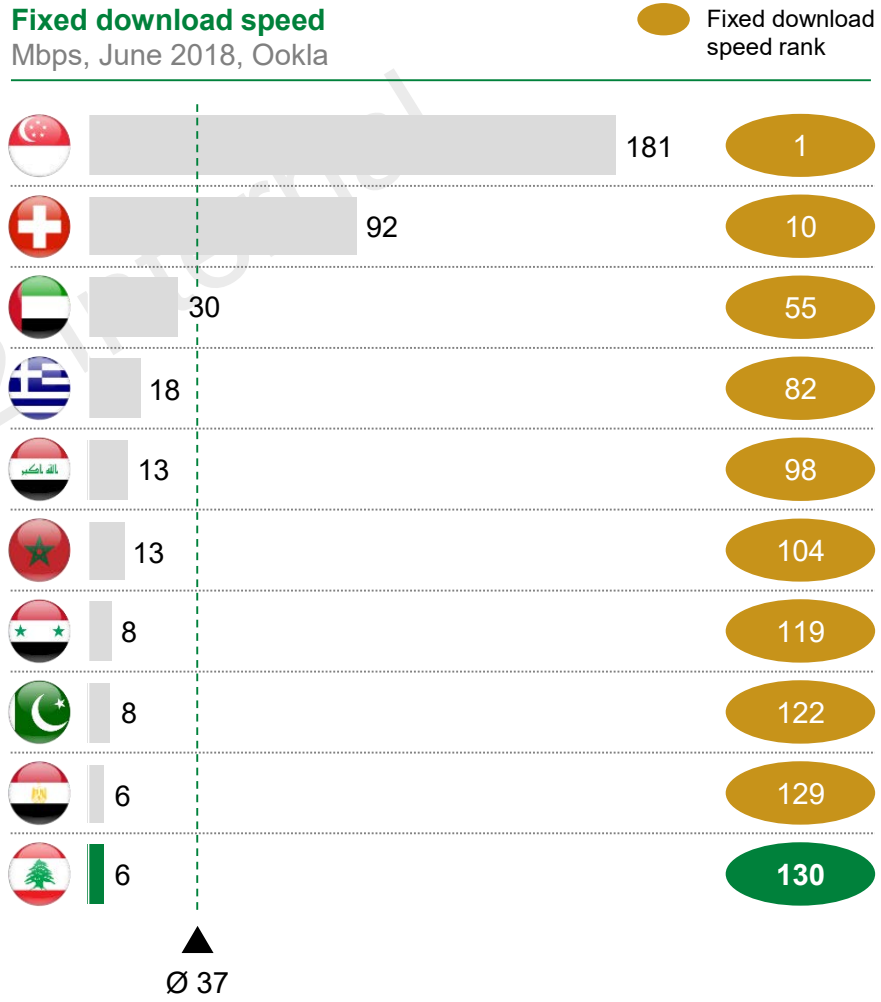
Fixed broadband internet monthly price

2016 USD



Fixed download speed

Mbps, June 2018, Ookla



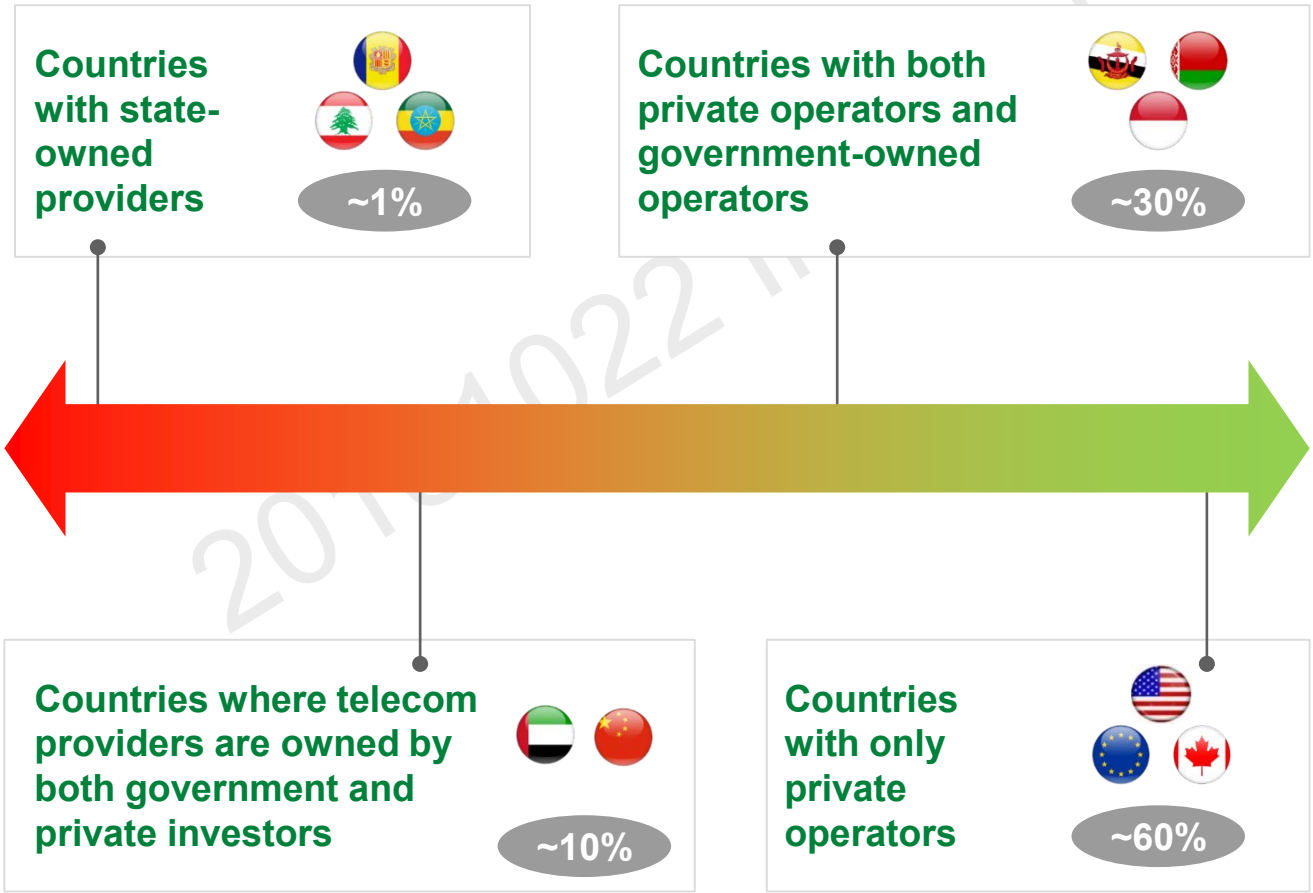
20181022

Source: ITU; SpeedTest

A5 Lebanon remains one of few countries with fully state owned telecommunication sector witnessing limited private sector participation

Lebanon is one of only three countries to still operate fully state-owned telecom operators

DEGREE OF GOVERNMENT PARTICIPATION



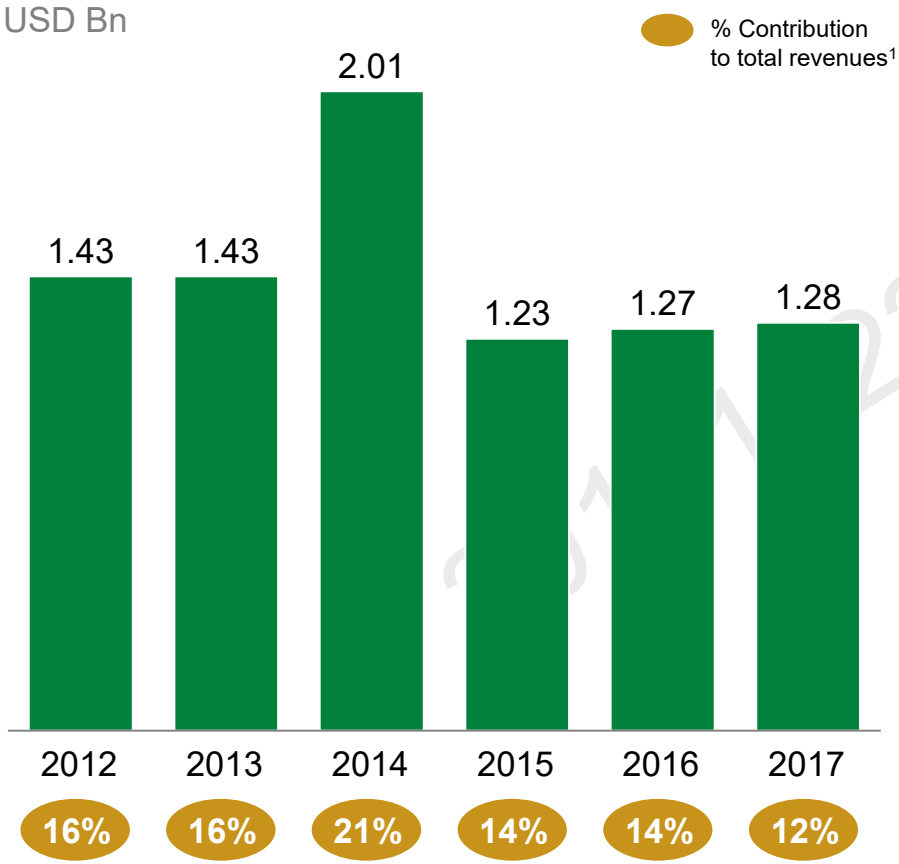
Source: Operators website

A6 Today telecom contributes ~10-20% of yearly revenues, industry dynamics however put downward pressure on revenues

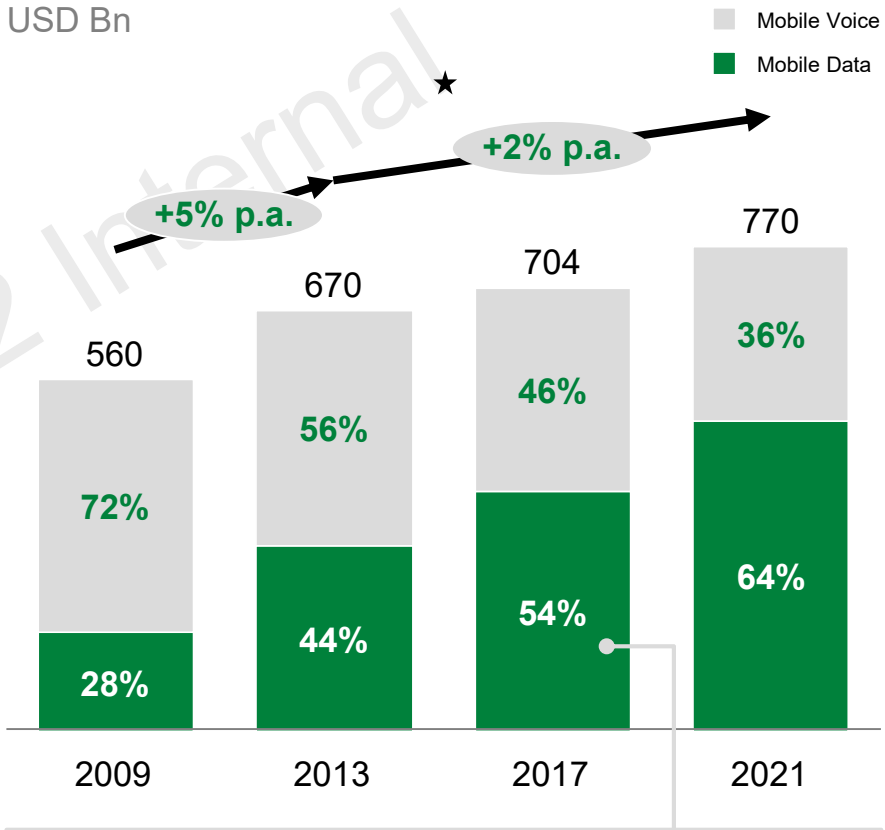
Telecom drives today ~10-20% of government's yearly revenues

However changing industry dynamics put downward pressure on revenue

Total government revenues from telecom



Global mobile revenues



Current prevalent pay-per-minute model does not allow to capitalize on voice to data shift

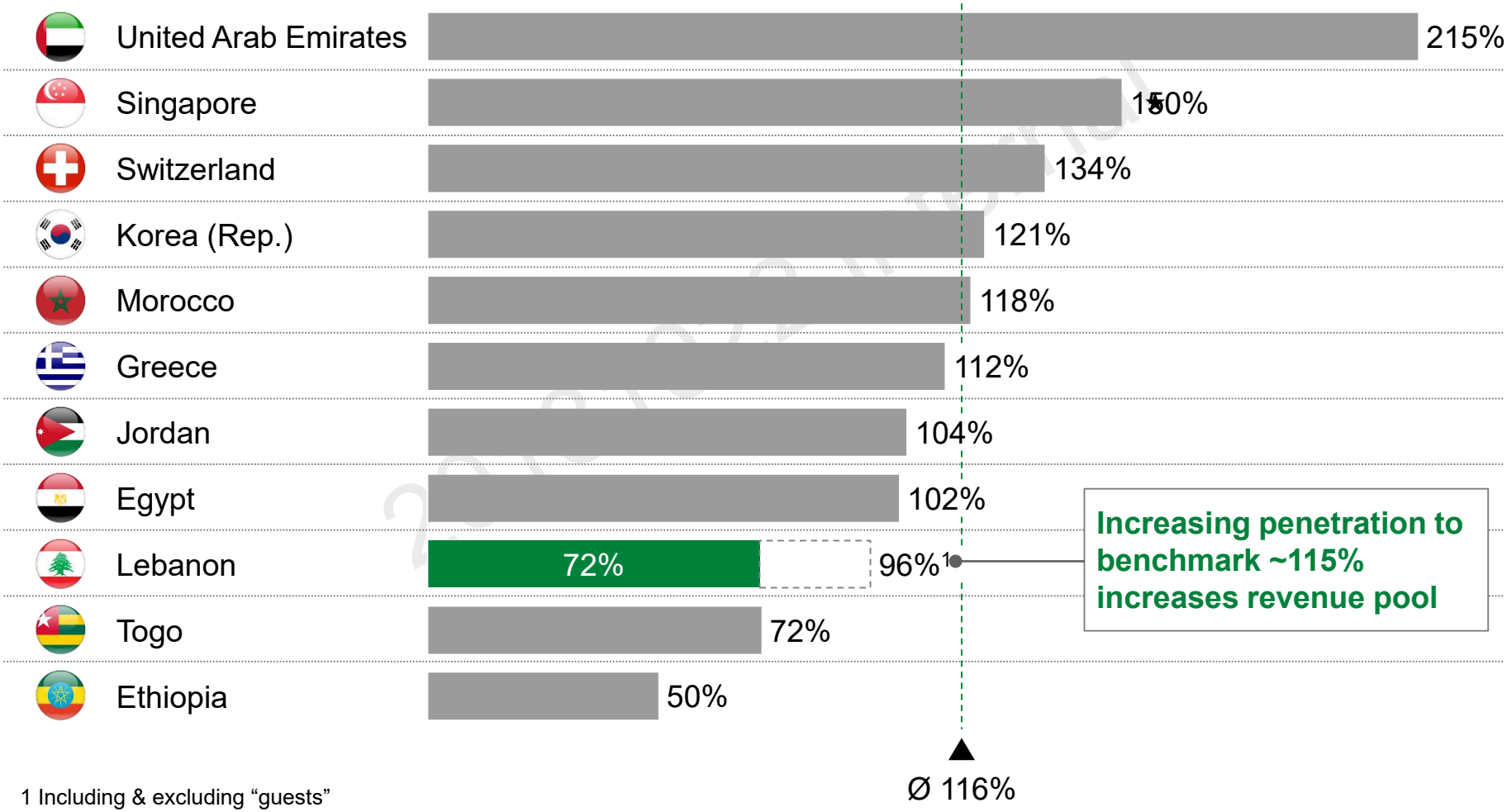
1 Excluding Treasury Receipts

2011 22 Internal

Source: ITU; Yankee Group; Pyramid Research; Ministry of Finance; Mason; Merrill Lynch; Connect; Informa WCIS; annual reports; Mobile Operators

A7 However, overall revenue opportunity remains from low mobile penetration

Mobile penetration
2016 %



1 Including & excluding "guests"

Source: ITU; Mobile Operators

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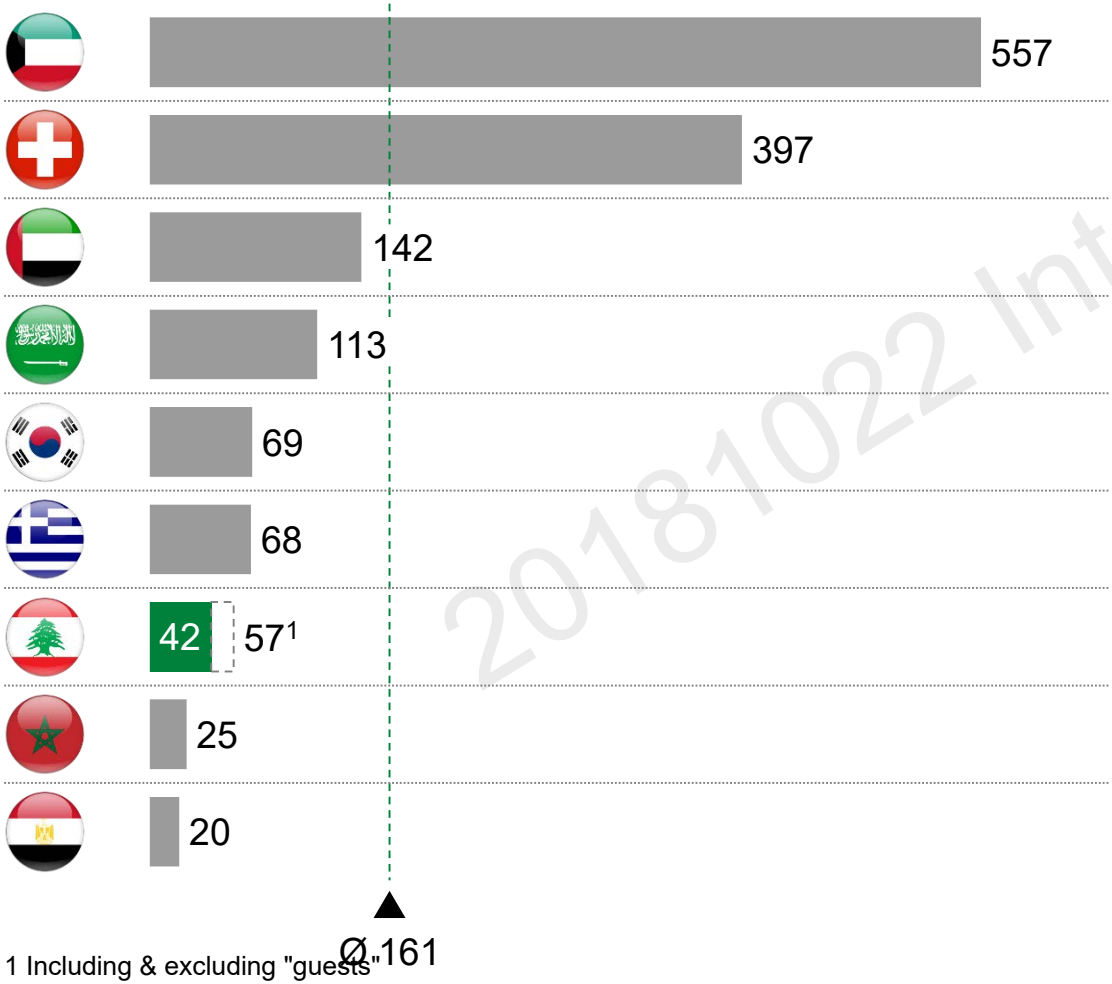
B1 Today, the telecom sector lags behind in terms of capital spend on infrastructure investments, especially regarding the Fixed network

Annual investment in telecom services per capita,
2015 USD/capita, Average 2012-2017 for Lebanon ESTIMATE FOR LEBANON



1 Including & excluding "guests"

CapEx investment-related shortcomings inhibiting sector

- **Main problem** with quality and speed in fixed sector is the **access network** where **majority** of **customers** are **connected through copper**
- **Many subscription** requests (~100,000) **are pending due** to a **lack of capacity** in central offices
- There is a **plan to deploy FTTx** throughout the nation **with the objective of** reaching connection speeds of **50mbps** by 2020

20181022 Internal

Source: ITU; World Bank; Mobile Operators

B3 The government should develop scenarios to understand the overall effects of privatizing the mobile operators

ILLUSTRATIVE

2015 Budget deficit (Debt to GDP ratio), USD Bn (%)

Selling price of telco operators USD Bn	Annual revenue from profit sharing agreement USD Bn		
	0 Bn	0.25 Bn ★	0.5 Bn
4 Bn	5.1 Bn (147%)	4.7 Bn (140%)	4.2 Bn (134%)
6 Bn	4.9 Bn (139%)	4.4 Bn (133%)	4.0 Bn (126%)
10 Bn	4.4 Bn (124%)	3.9 Bn (118%)	3.5 Bn (111%)

20181022 Internal

1 All scenarios assume increase in yearly growth of GDP, and as such of revenues collected by 0.7% yearly due to increased penetration and enhanced service and quality level fuelling economic growth – World Bank report states the growth is ~1.3%

Source: Ministry of Finance Annual Reports; World Bank

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20181022 In

C Thorough assessment of industry disruptions indicates move towards connectivity agnostic world where Apple & Samsung provide connectivity

Imagine a world shaken by mass adoption of **eSIM**...

- Customers **are very ecosystem loyal**
- Customers just **expect to be connected-** They are **completely agnostic towards connectivity provider** and whether it is **mobile or Wi-Fi** network
- **Apple, Google, Samsung** and others enter the market as **connectivity providers** acting as MVNOs or even building out own networks (e.g. Google FI, Apple Connectivity)
- **These players purchase wholesale capacity** for all devices sold with OS and bill through e.g. Apple Store
- **eSIM enable seamless switching between operators** without users noticing
- **OTT applications** provide virtually **all connectivity**
  Customers don't really need phone numbers anymore as they call and text via apps

This is a world where many operators are likely to lose the customer relationship and become lean wholesalers: Disruption strengthens need for private sector teleco

Internal

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D

Key priorities for the government

Infra-structure

- **Sustain investments** in **mobile infrastructure** to remain at the forefront of the sector
- **Restart investing massively in** the **fixed broadband** network, **through the execution** of the **FTTH plan**, under the umbrella of the Lebanon Digital Strategy 2020. Priority should be on dense regions providing the highest RoI and where majority of businesses are concentrated

Regulation & regulator

- **Empower** the **Telecom Regulatory Authority (TRA)** by fully **transferring**, from the Ministry of Telecommunications, the **key regulatory responsibilities** (i.e. tariffs setting, quality control, data collection & analysis, spectrum management), through applying the 2002 law 431 (or a revised version of the law) in full
- **Assess and study** the **different options & schemes** allowing **for more competition and protection against disruptive sector dynamics,** including the privatization of the mobile and fixed operators

2018/02 Internal

Economic Vision Outline

Covered in this section

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C. Reviewed documentation

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   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
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   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

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C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

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   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

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C. Infrastructure including CIP initiatives
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E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

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B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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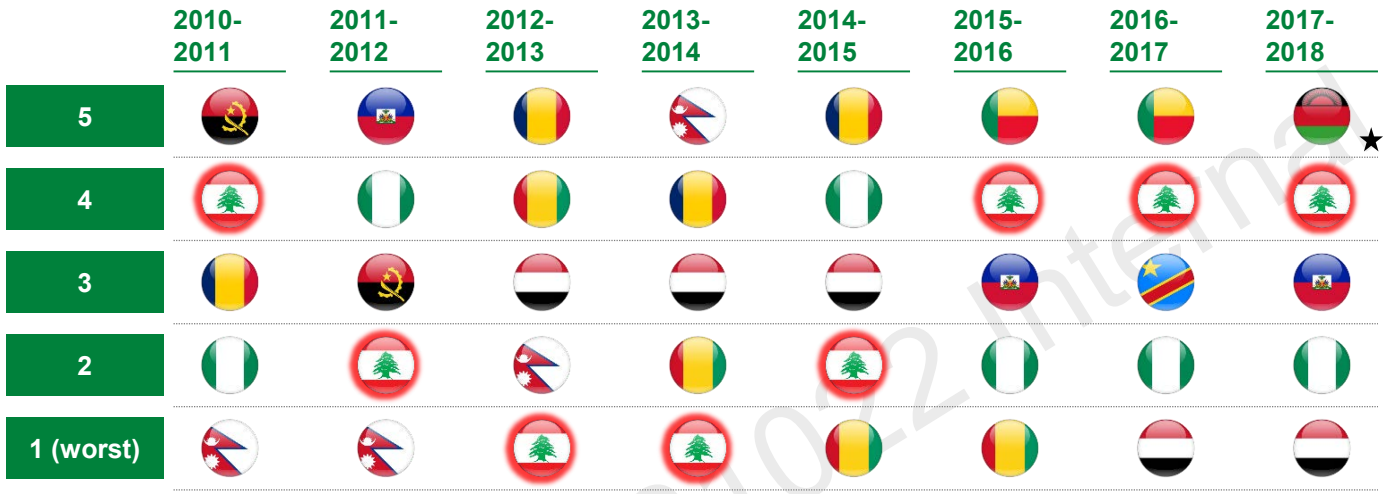
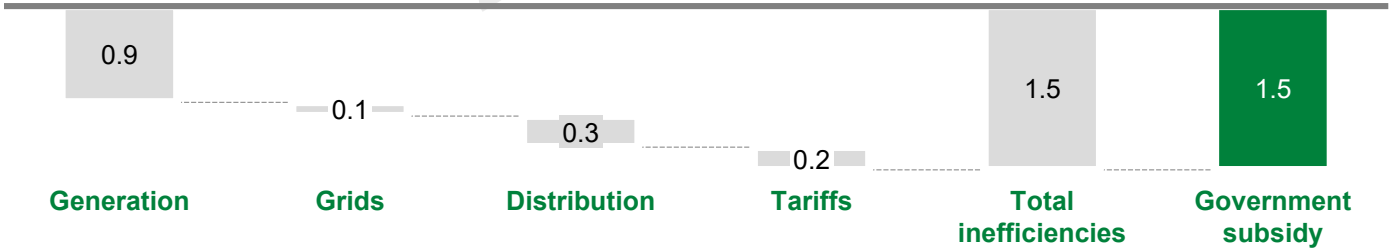
Power sector – summary of diagnostic

Performance metrics

Reverse ranking of "Quality of Electricity Supply"



2017 estimated breakdown of power sector in Lebanon, Bn USD



Key challenges

Generation
- Missing reserve margin
- High generation cost
- Limited share of renewables

Grids
- High share of T&D losses
- High demand for grid built-out

Distribution
- High non-technical losses in billing system
- Low level of energy service quality

Tariffs
- Tariffs lower than similar peers and not reflecting production cost

20180102 Internal

Source: CAS, Euromonitor, Lebanese Franchise association

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Diagnostic of current sector performance

B Projection of sector development

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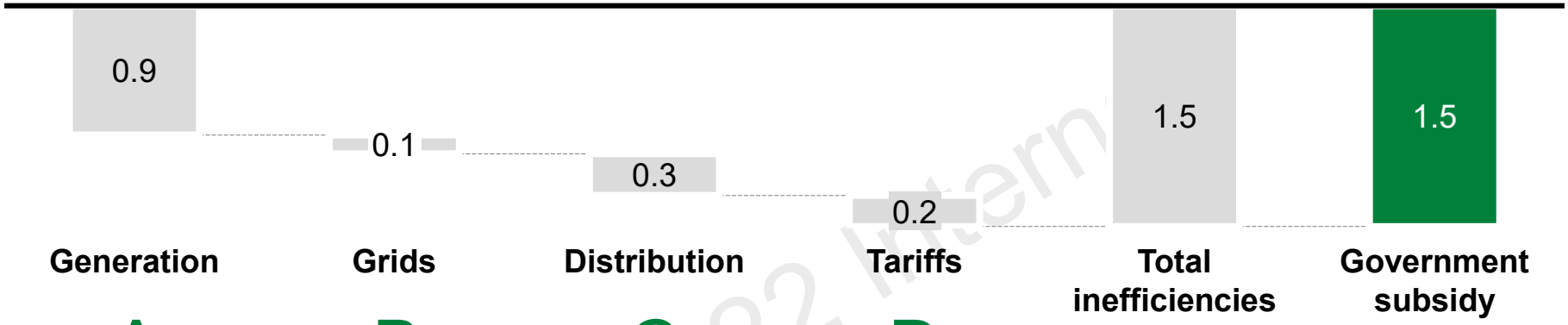
Power Sector – summary of diagnostic

Sector inefficiencies and government subsidy, USD bn



A

- Missing reserve margin
- High generation cost
- Limited share of renewables

B

- High share of T&D losses
- High demand for grid built-out

C

- High non-technical losses in billing system
- Low level of energy service quality

D

- Tariffs lower than similar peers and not reflecting production cost

Annual government subsidy to compensate existing performance gaps

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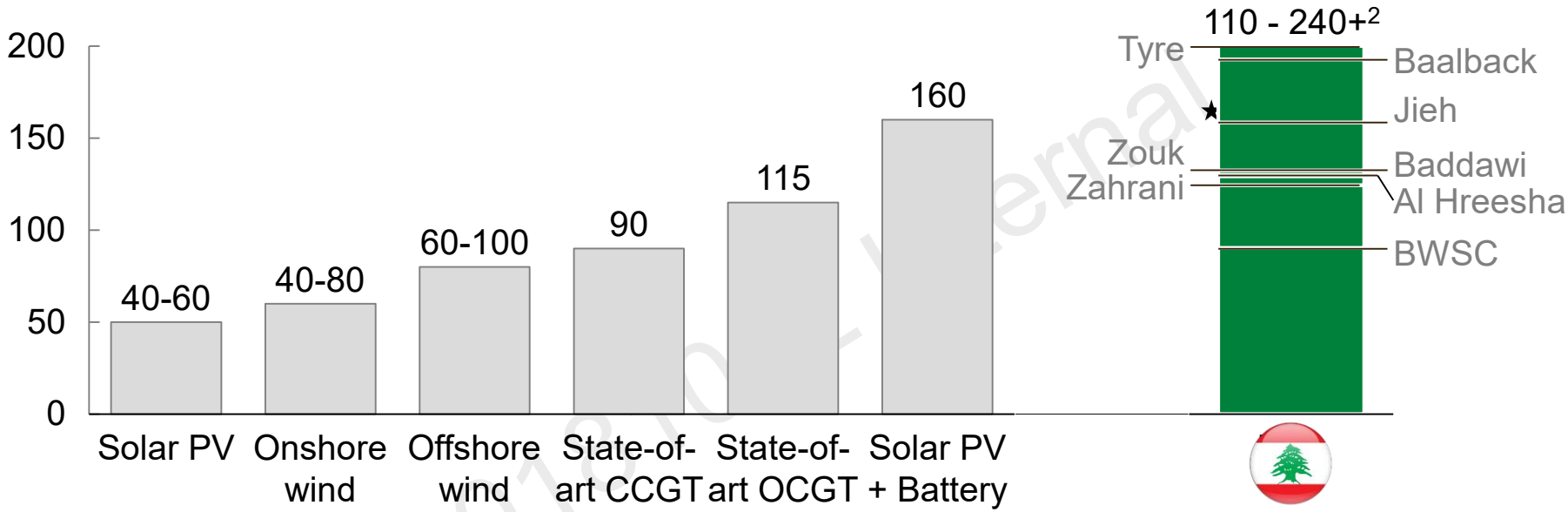
Source: Team analysis

A Generation cost of existing fleet is significantly higher compared to state-of-art technologies

Average LCOE of state-of-art technologies and comparison with EDL fleet

USD/MWh, assumed 5% WACC



Capital cost assumptions, (USD/W)

1-1.3	1.4-2	2-4	0.8	0.8	3
20-25	25-40	45-50	90[1]	90[1]	20-25

Utilization, (%)

Average life of existing fleet ~25 years

1 Based on gas prices of 55 USD/MWh and 60% efficiency

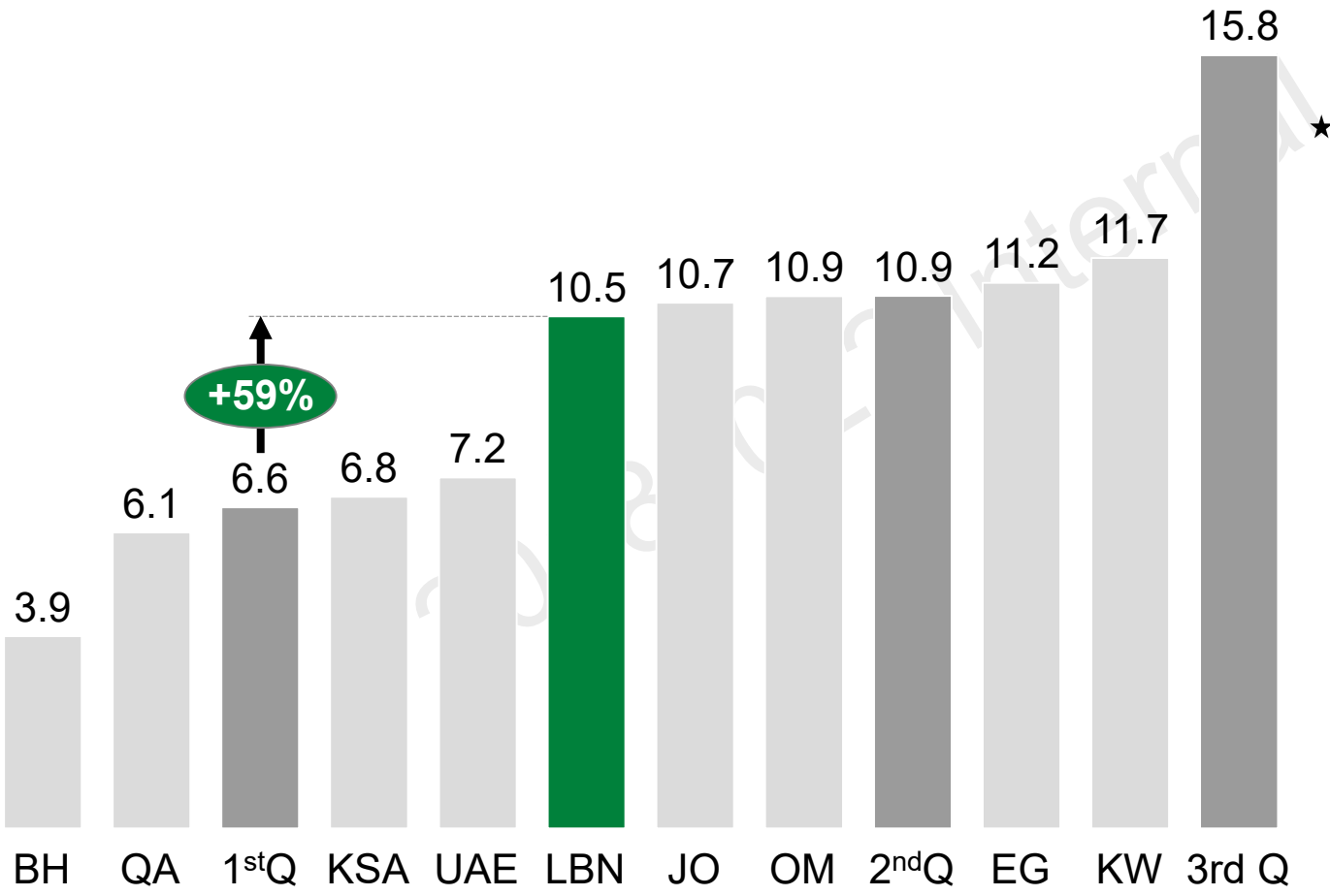
2 Average of 140 USD/kWh, assuming oil price of 80 USD/bbl

Source: IEA, Bloomberg New Energy Finance, EIA, IRENA, team analysis

B | T&D losses are ~60% higher than top quartile

T&D losses of selected countries and global benchmarks

2014 Percentage (%)



- Current T&D losses amount to 10.5%[1] (range of 10-15%) of power demand
- Current T&D losses are 3.9% higher than global top quartile T&D losses (~6.6%)

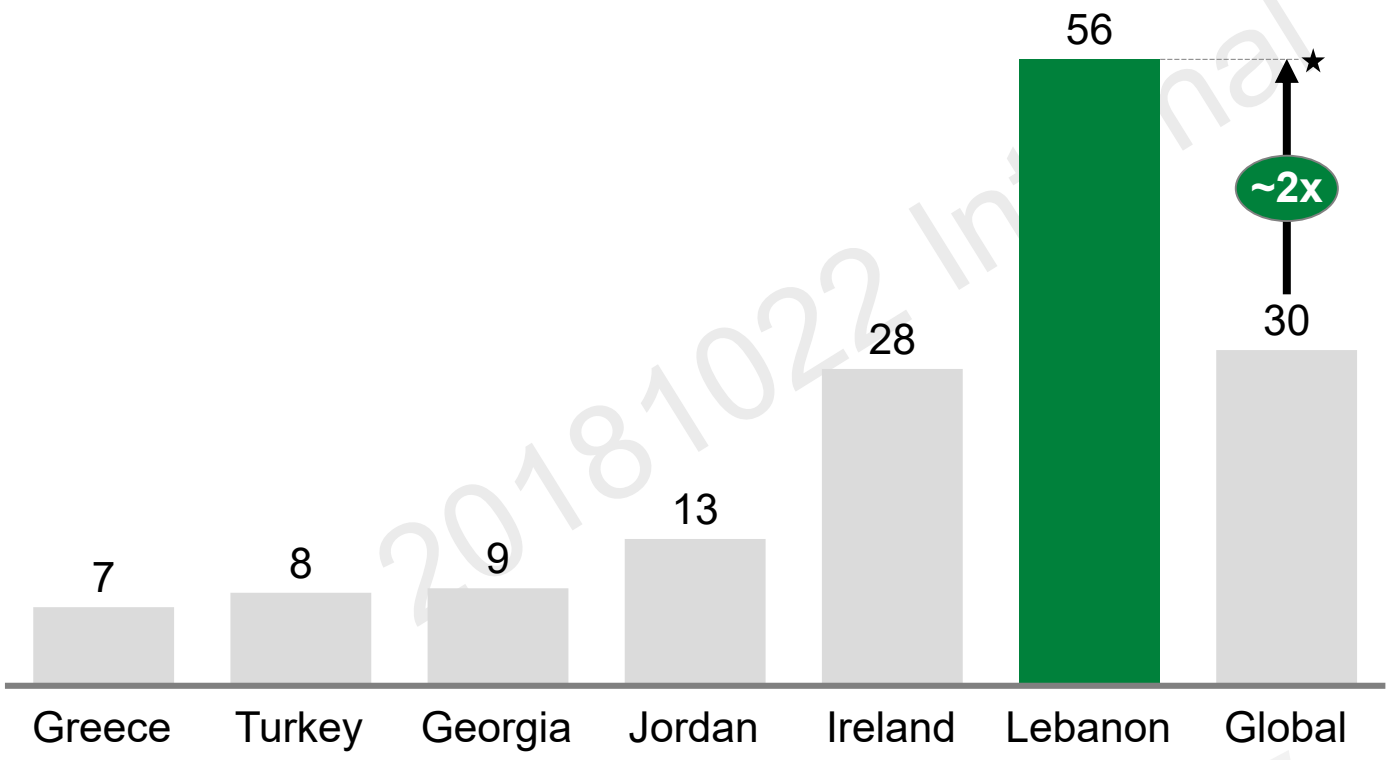
1 Based on WorldBank 2014 data

Source: World Bank

C Connecting new customers takes 56 days nearly double the time of global benchmarks

Comparison of connection time between EDL and global benchmarks

Days



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Based on 156 countries globally

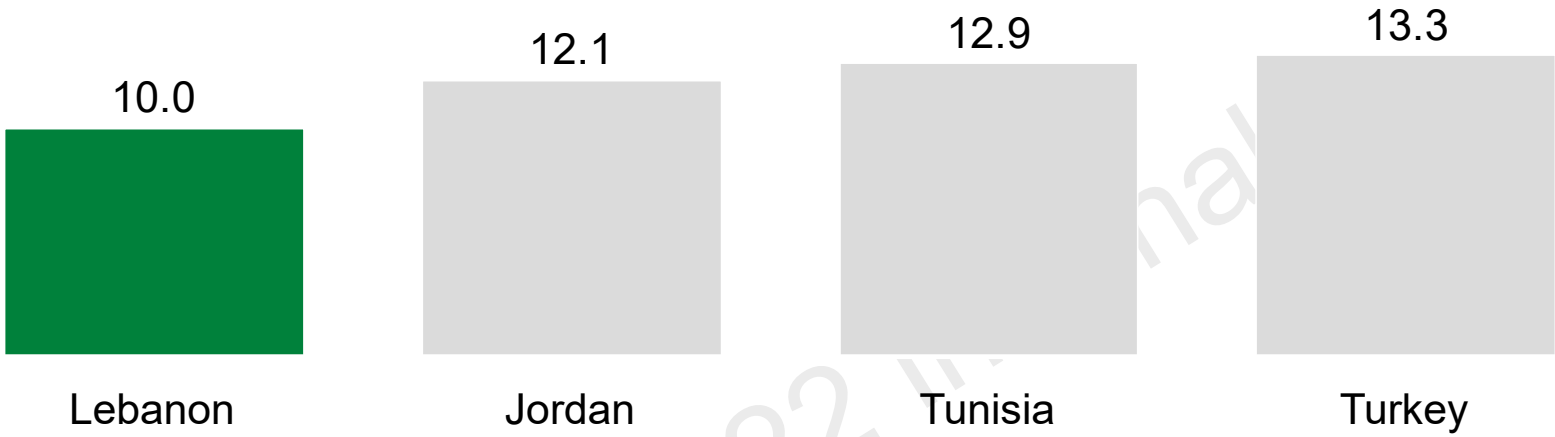
- Duration to get new electricity connection impacts country business attractiveness
- In addition sector non-technical losses are significantly high around 20-25%

1 Based on existing publications from 2013/2014

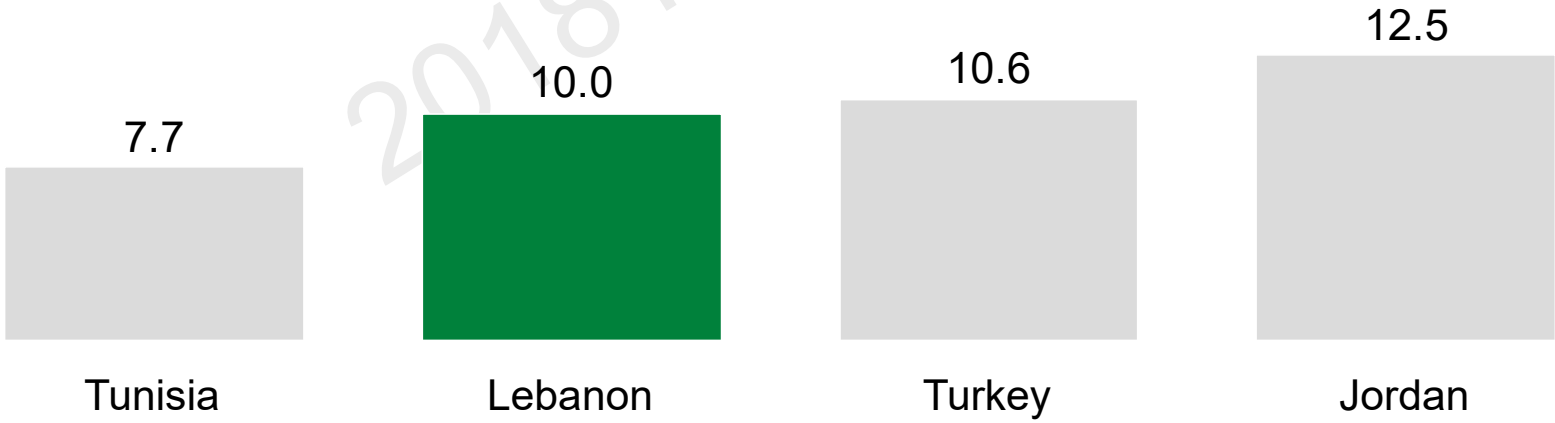
Source: World Bank

D EDL electricity tariffs are lower than comparable peers for both residential and industrial customers

Residential Tariff, USD cent per kWh



Industrial Tariff, USD cent per kWh

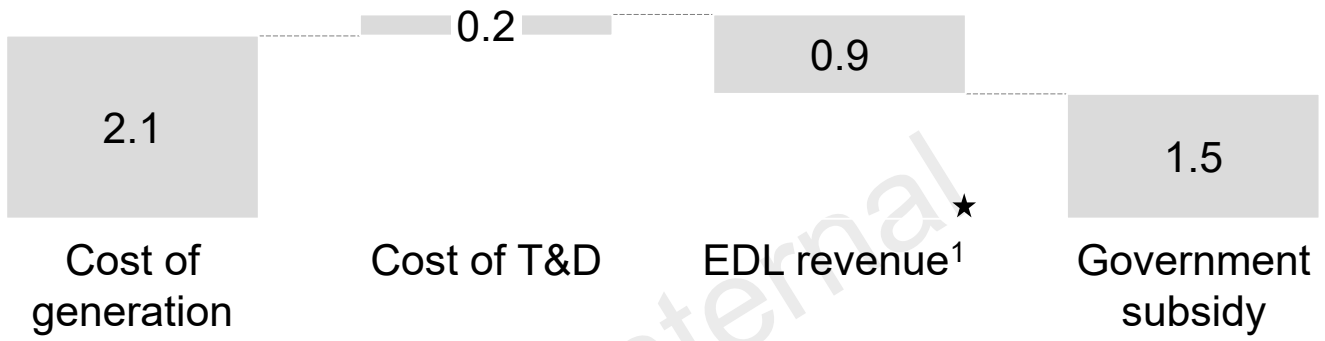


20181022 Final

Source: Enerdata, Press release

Performance gap also creates significant financial burden on end-consumers

Government burden (USD bn)



Consumer burden (USD bn)

Electricity supplied	17,200 GWh
Implied effective electricity cost	17.8 USD cent/kWh
EDL tariff	9.6 USD cent/kWh

20181022 Internal

1 Includes USD 911 mn tariff collection and USD 16 mn concession payment for electricity delivery

Contents – Power

A Diagnostic of current sector performance

Projection of sector development

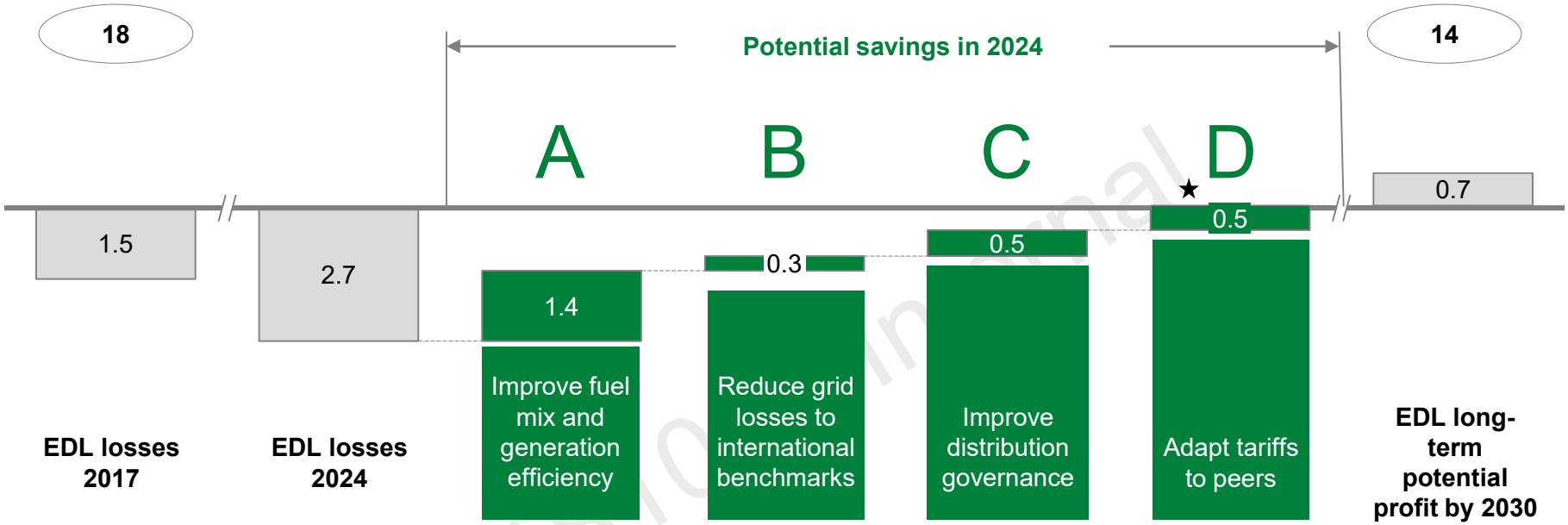
20181022 Internal

Performance improvement would eliminate need for government subsidy by 2024

Consumer burden , USD cents/kWh

X

Current EDL financial performance and potential development for 2024 and 2030, USD bn



EDL losses 2017

- Current government subsidy to cover EDL losses

EDL losses 2024

- Projected EDL loss by 2024 assuming current performance

- Facilitate installation of ~3000 MW state-of-art CCGTs
- Reduce diesel usage
- Facilitate installation of renewables

- Reduce T&D losses
- Reduce # of T&D interruptions to 0.9 and duration of interruptions to 60 min

- Eliminate non-technical losses
- Reduce connection time to 30 days

- Adapt tariffs to 12 USD cents/kWh on the short-term and to 14 USD cents/kWh by 2030

EDL long-term potential profit by 2030

Execution of sector recovery requires setting up proper governance and operating model of EDL i.e., restructuring and corporatization of EDL

2015 Internal

Source: Team analysis

A Increasing generation capacity and improving cost efficiency could lead to significant savings for the government and consumers

Observed issues	Current state	Potential target
Capacity gap	▪ High share of unmet electricity demand (~14% of total demand) due to lack of installed capacity	▪ Facilitate installation of state-of-art (i.e., >60% efficiency) CCGTs to achieve healthy capacity reserve margin of 10%★
High share of liquid fuel	▪ 75% of sector power generation is based on costly HFO	▪ Reduce usage of HFO to be used only for peak demand, where required
Limited deployment of renewables	▪ Low share of renewables generation mainly based on hydro (~60 MW)	▪ Introduce solar PV as cheapest technology to cover part of the demand ▪ Solar PV is intermittent and only the combination with battery allows usage for base load generation
Low efficiency of generation fleet	▪ Average fleet efficiency is low at 30-35% as existing generation fleet is old and requires modernization	▪ Reduce utilization of existing fleet to cover only peak demand ▪ Selectively upgrade existing assets based on business case

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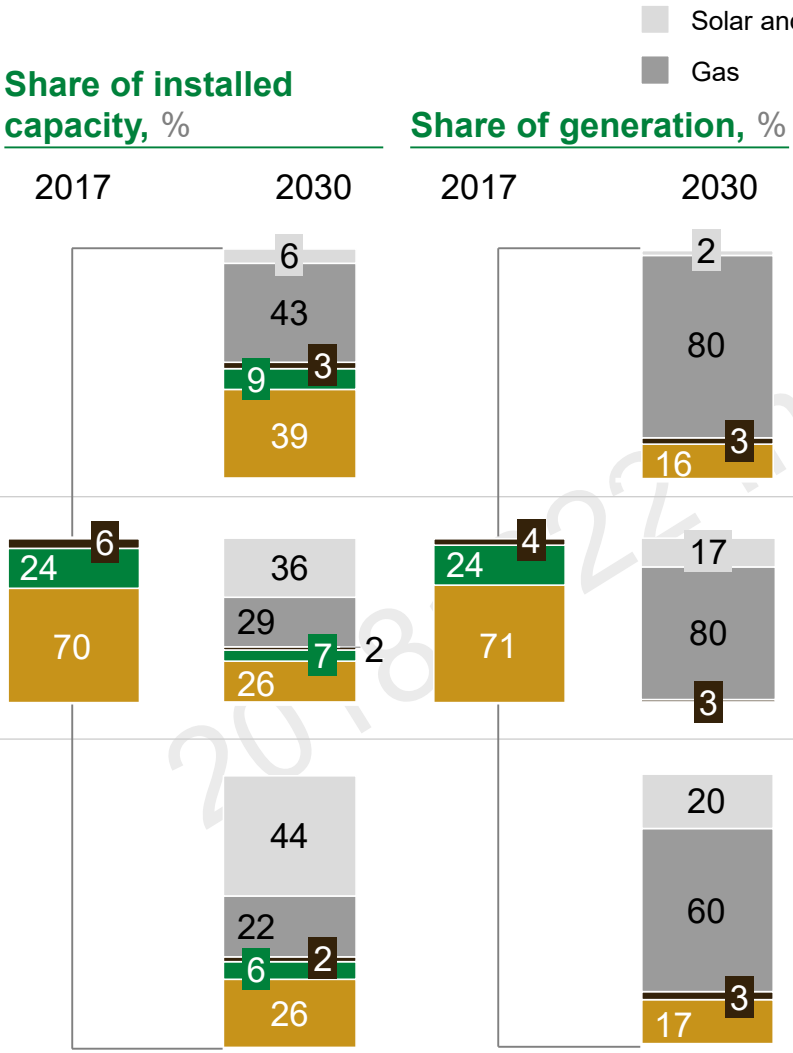
Source: Team analysis

A Three potential options exist for the target generation mix



Scenario	Share of installed capacity, %	Share of generation, %	Description	Sector cost in 2030, USD bn
A1 Double down on CCGT	2017 → 2030	2017 → 2030	▪ Firm capacity is covered with 3.2 GW CCGT's ▪ Renewables follow moderate path reaching 400 MW by 2030	2.9
A2 Accelerated renewables	2017 → 2030	2017 → 2030	▪ Firm capacity is covered with 3.2 GW CCGT's ▪ Renewables reach ~20% of generation by 2030	2.7
A3 Wait for battery	2017 → 2030	2017 → 2030	▪ Firm capacity is covered with 2.4 GW CCGT's ▪ Remaining demand for firm capacity is covered by Solar PV with storage ▪ Renewables installation is accelerated	2.8

2018-22 Internal

Source: Team analysis

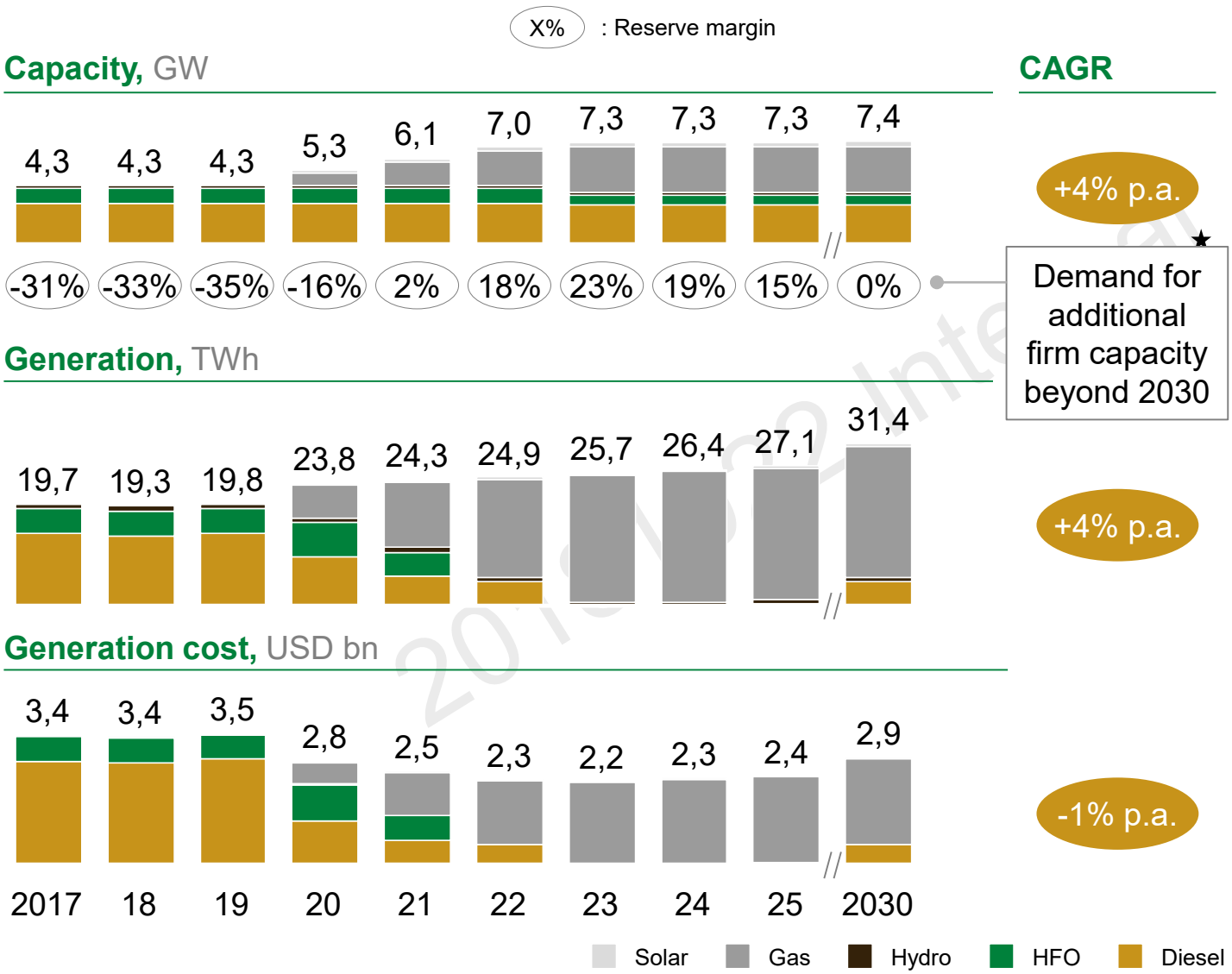
A Selection of options depends on the outlook for gas resources, the relevance of renewables and the development cost for batteries

Scenario	What you need to believe	Actions required
A1 Double down on CCGT	▪ Abundant gas resources will be available beyond 2020	▪ 3200 MW of new CCGTs by 2023 ▪ 400 MW of solar PV and wind by 2030
A2 Accelerate renewables	▪ Sector needs to achieve relevant share of renewables	▪ 3200 MW of new CCGTs by 2023 ▪ 4000 MW of solar PV and wind by 2030
A3 Wait for battery	▪ Battery cost to drop significantly and become competitive with CCGT to provide firm capacity	▪ 2400 MW of new CCGTs by 2023 ▪ 800 MW of solar PV + Battery ▪ 4000 MW of solar PV and wind by 2030

20181022 Internal

Source: Team analysis

A1 Scenario “Double Down on Gas”: immediate focus on the installation of 3200MW CCGT’s by 2023



Assumptions

- Demand for firm capacity will be met by the newly built CCGT’s
  - 800MW in 2020
  - 800MW in 2021
  - 800MW in 2022
  - 800MW in 2023
- Renewables build out to follow Lebanon national renewable action plan, installing additional 400MW of solar PV by 2030
- Decommissioning of ~500MW Tyre, Baalback, and Jieh plants by 2023

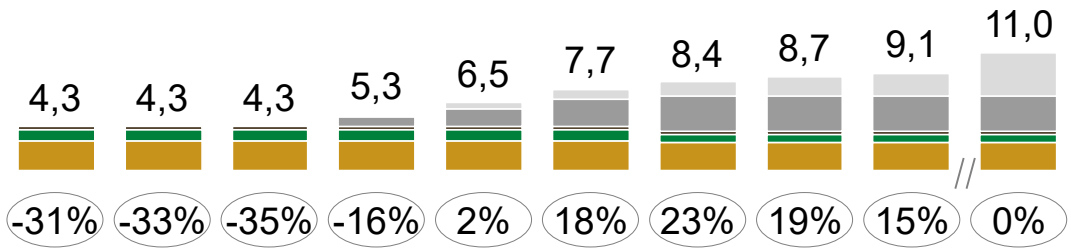
2019 Oliver Wyman

Source: Team analysis

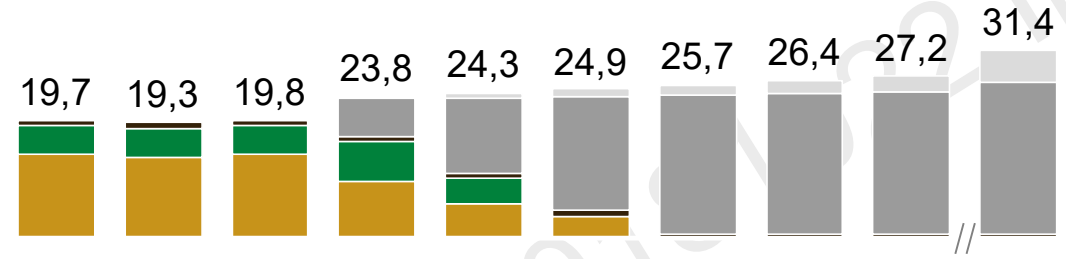
A2 Scenario “Accelerate Renewables”: parallel focus on CCGT’s and solar PV deployment

X% : Reserve margin

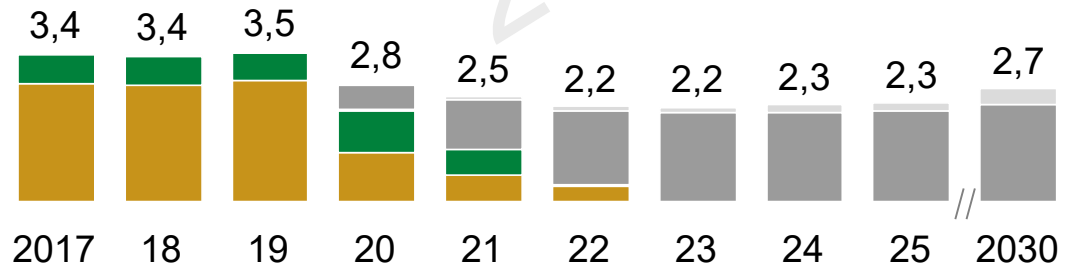
Capacity, GW



Generation, TWh



Generation cost, USD bn



Solar Gas Hydro HFO Diesel

CAGR

+8% p.a.

+3% p.a.

-2% p.a.

Demand for additional firm capacity beyond 2030

Assumptions

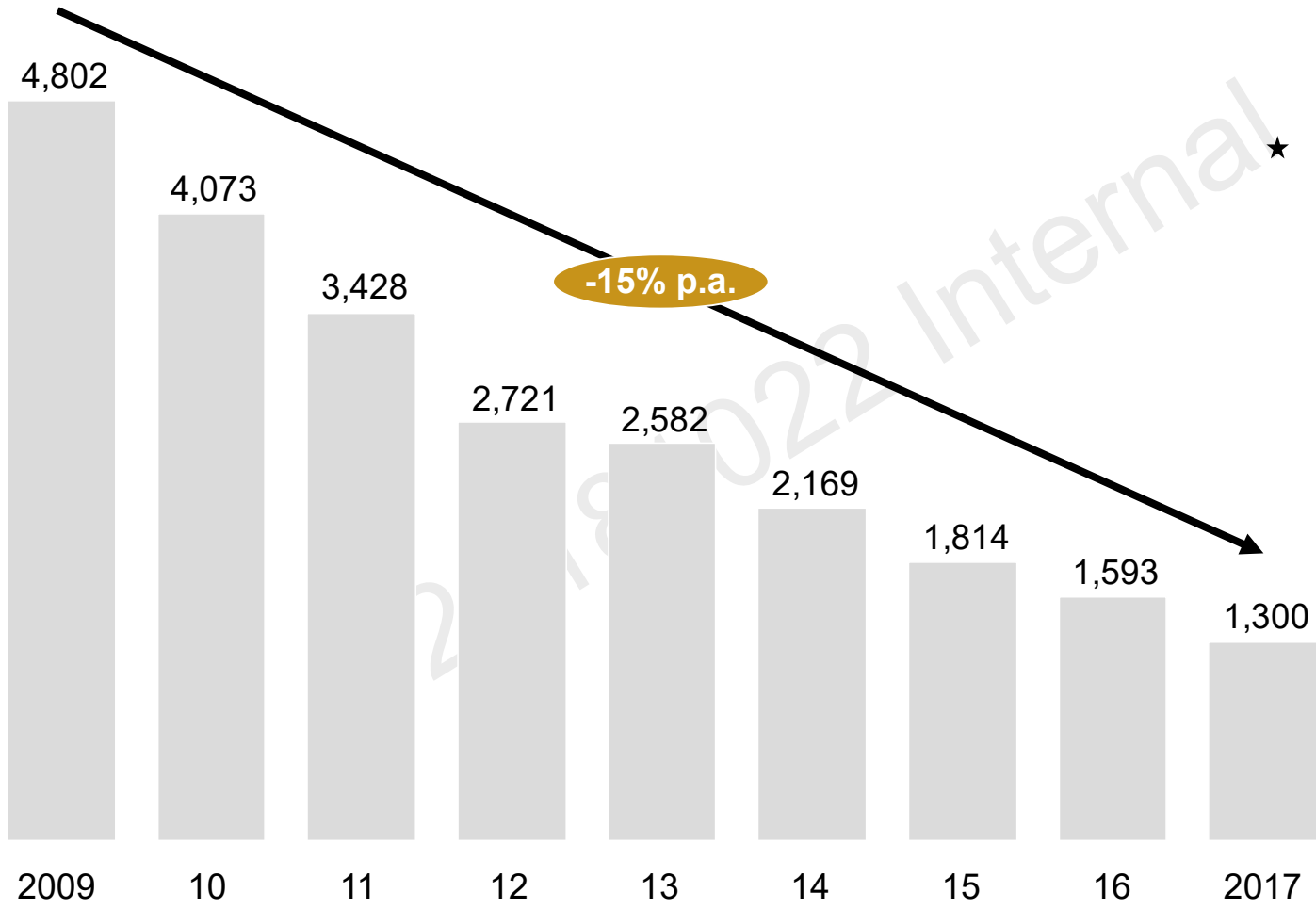
- Demand for firm capacity will be met by the newly built CCGT’s
  - 800MW in 2020
  - 800MW in 2021
  - 800MW in 2022
  - 800MW in 2023
- Renewables build out to follow accelerated path reaching 4000MW of solar PV by 2030
- Decommissioning of ~500MW Tyre, Baalback, and Jieh plants by 2023

2019 Update Integrated

Source: Team analysis

A2 Cost of solar PV dropped by 15% annually over the last decade making solar PV the cheapest technology

Development of capital cost of solar PV for the last decade, USD/kWp

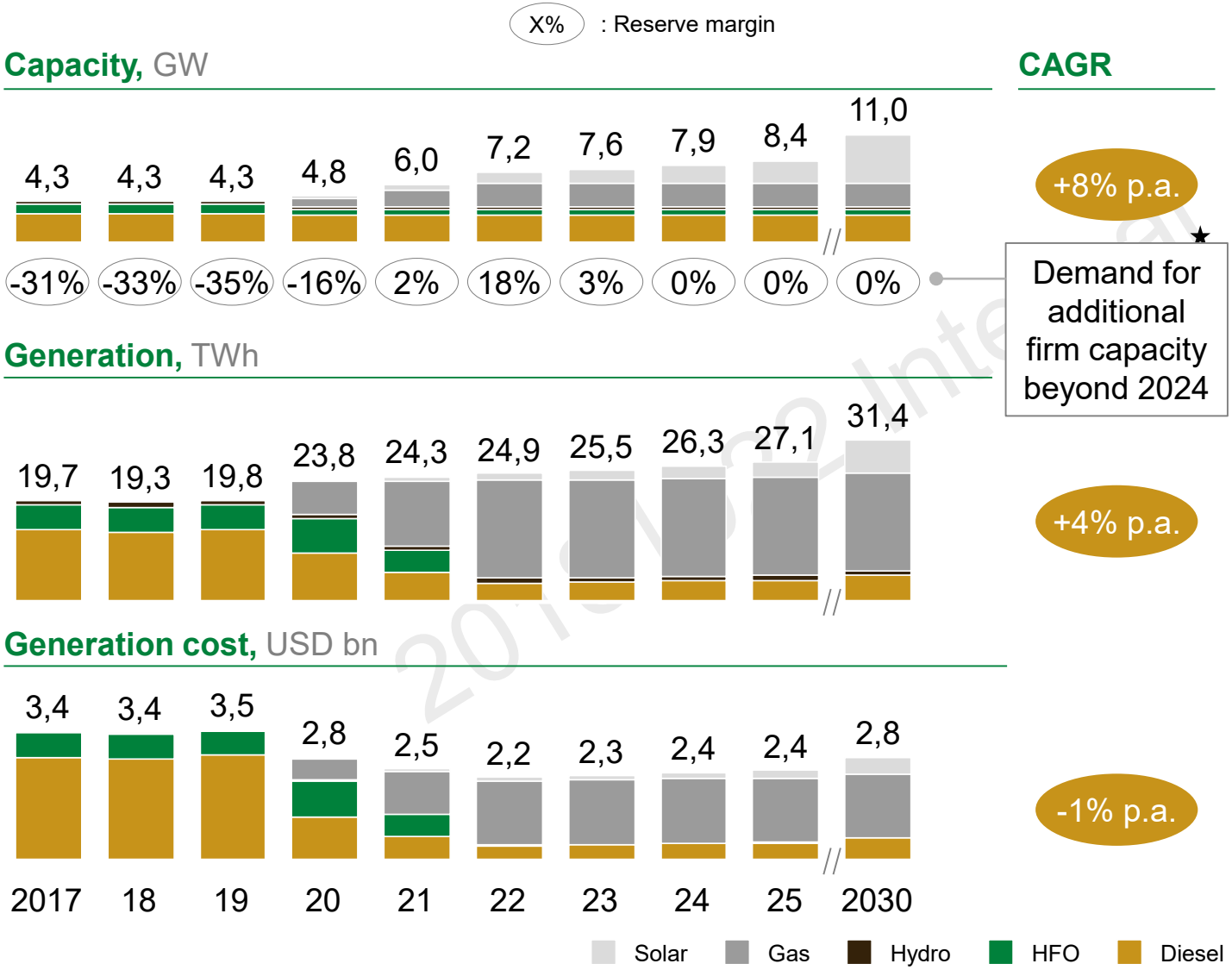


- Annual decrease in Total CapEX of solar PV by 15%
- Recent auctions in the Middle East assume solar PV at 20-30 USD/MWh
  - 23 USD/MWh awarded for ACWA Power in KSA in 2018
  - 24 USD/MWh awarded to ADWEA in Abu Dhabi in 2016
- We assume that the LCOE of solar PV in Lebanon is around 40 USD/MWh

2018 2022 Internal

Source: IEA, BNEF, Team analysis

A3 Scenario “Wait for battery”: immediate focus on CCGT’s shifting towards solar PV with battery beyond 2025



CAGR

+8% p.a.

Demand for additional firm capacity beyond 2024

+4% p.a.

-1% p.a.

Assumptions

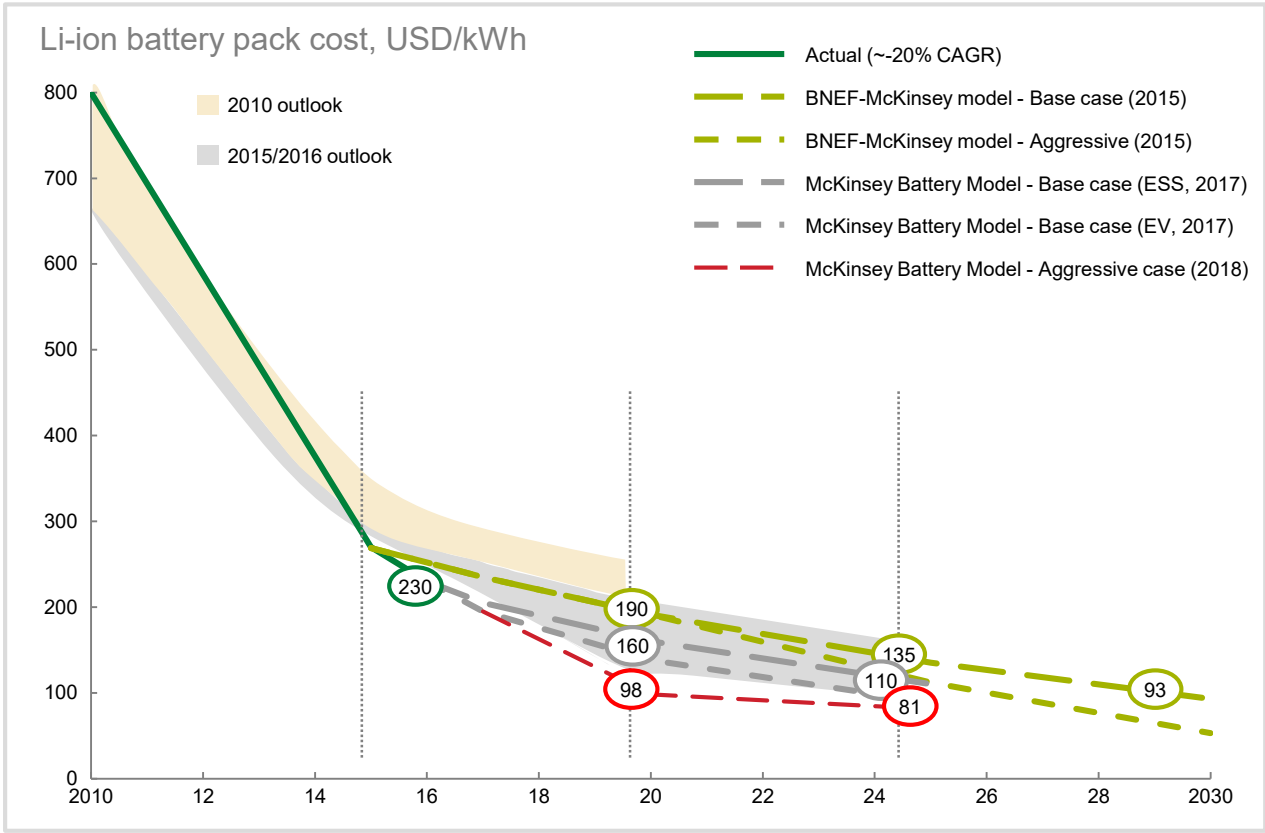
- Demand for firm capacity will be met by 800MW solar PV with battery and 2400MW newly built CCGT’s
  - 800MW in 2020
  - 800MW in 2021
  - 800MW in 2022
- Renewables build out follow acceler-ated path reaching 4000MW of solar PV by 2030
- Decommissioning of ~500MW Tyre, Baalback, and Jieh plants by 2023

Source: Team analysis

A3

Cost for batteries is projected to reduce significantly over the next decade

ASSUMPTIONS DETAILED ON SUBSEQUENT PAGE

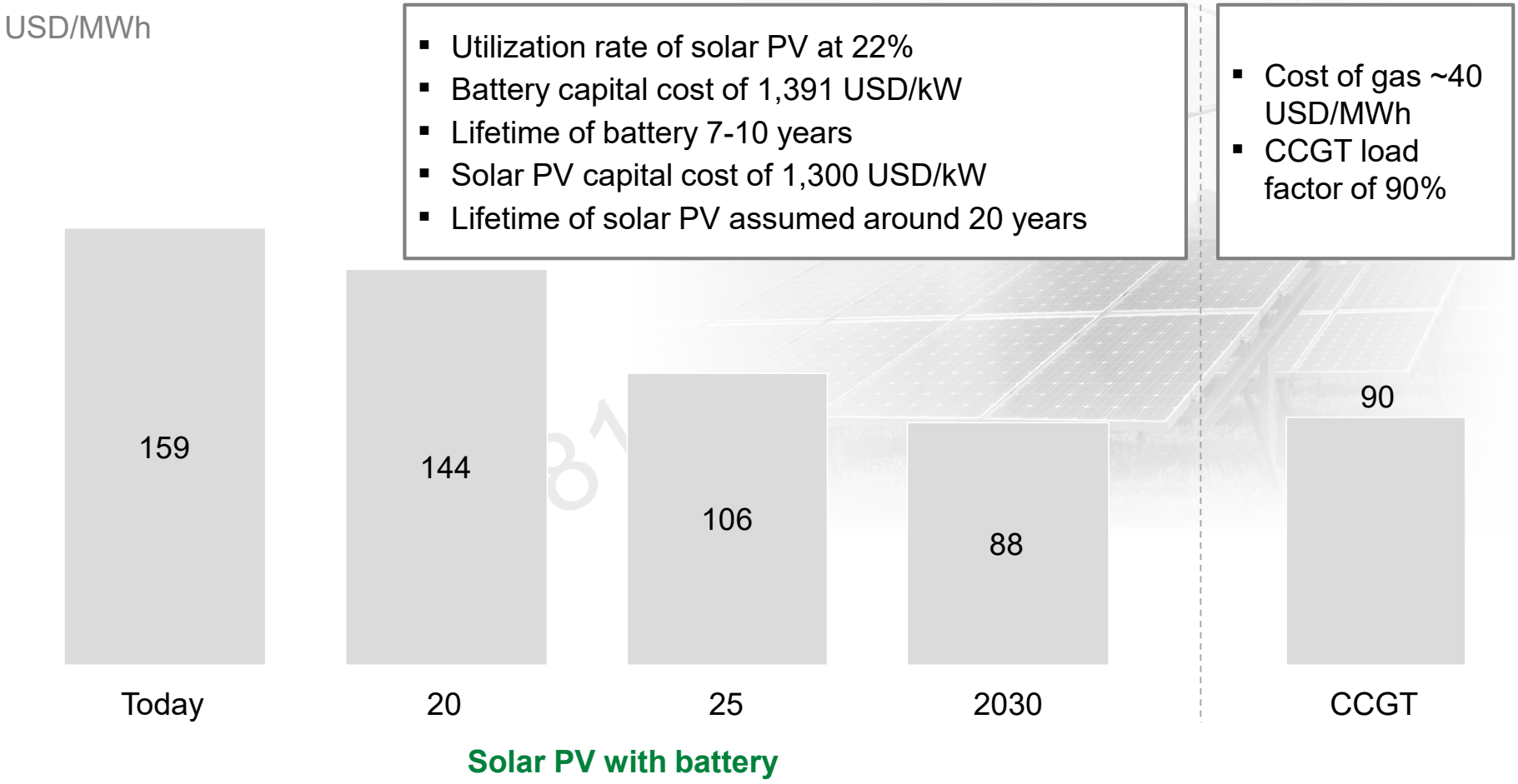


- All forecasts indicate **continued price declines** in the next 15 years
- There is consensus among research groups that the market will witness battery pack price decline to below $140/kWh within the next 10 years, but rate and magnitude of decline differ
- In an **Aggressive scenario**, pack cost decline **below $100/kWh could be possible by 2020**

SOURCE: Expert interviews; BNEF; SNE research; Navigant; Avicenne Energy; Berstein; McKinsey battery cost model

A3 Application of solar PV and battery to provide firm capacity will only become competitive around 2030

LCOE of solar PV with battery compared to the LCOE of CCGT



Source: IEA, BNEF, Team analysis

B Technical losses in T&D need to be reduced by 50% along with network reliability improvements

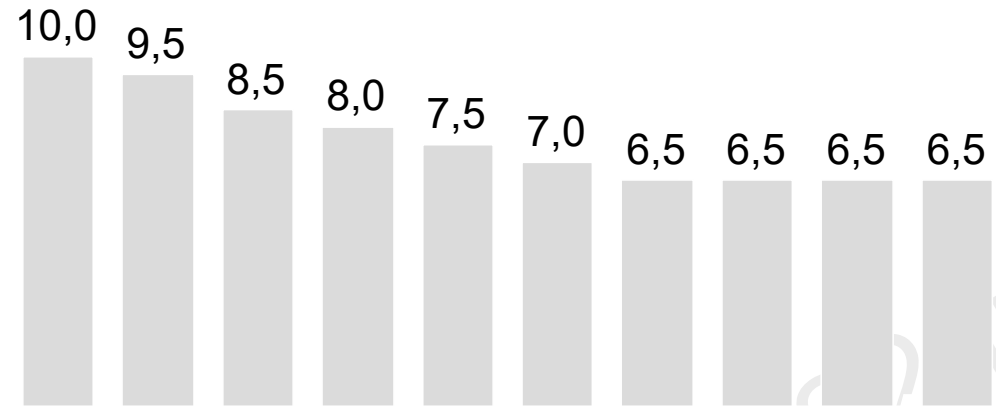
Observed issues	Current state	Potential target
High technical losses in T&D	High technical losses for T&D of ~10-15% ▪ Transmission losses around 3% ▪ Distribution losses around 7-12%	▪ Reduce T&D technical losses to 6.5%
Network reliability	Very low network reliability ▪ SAIFI measured at 600 interruptions per year ▪ SAIDI estimated at 3,150 hours per year	▪ Achieve reasonable ranges for network reliability – SAIFI at ~0.9 interruptions per year – SAIDI at ~60 minutes per year

20181022 Internal

Source: Team analysis

B T&D cost increases by 5% p.a. as supply increases, despite reducing losses to international benchmark

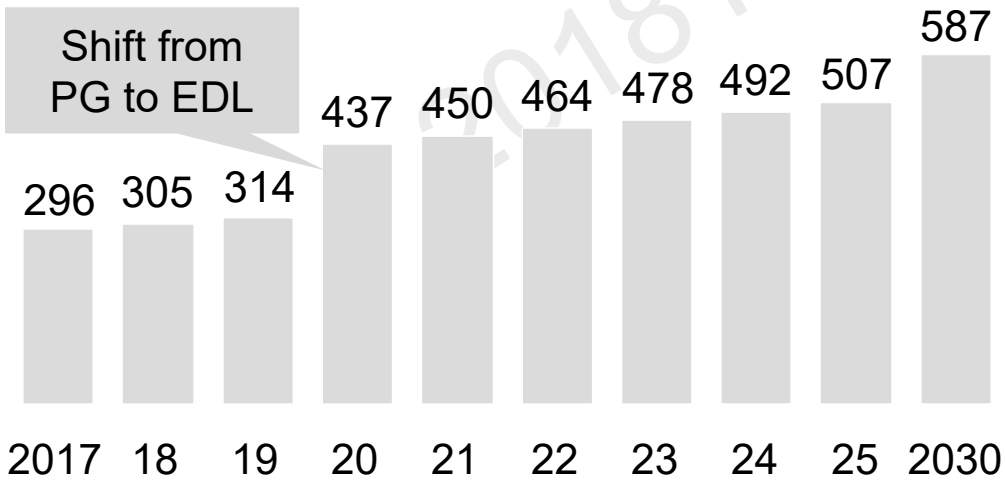
T & D losses, %



CAGR (2018-2023)

-7% p.a.

Cost of T&D, USD mn



+5% p.a.

- **Factors reducing T&D losses**:
  - T&D losses reduced from 10% to 6.5% by 2023 within 5 years
- **Factors increasing T&D cost**:
  - Shift from PG to EDL supply might increase cost of T&D
  - Supply increase of 3% leads to increase in T&D costs

20181022 Internal

Source: Team analysis

C Performance improvement in distribution requires reducing non-technical losses and improving connection time

Observed issues	Current state	Potential target ★
Non-technical losses	Non-technical losses currently at 25% includes uncollected bills and lack of supply governance	Non-technical losses at ~1% equals healthy level of doubtful receivables
Average time to connect customers	Average duration for electricity connection of 56 days starting from day of application	Connection time of ~30 days for average of 156 countries

20191022 Internal

Source: Team analysis

D Sector profitability could be improved by increasing tariffs and adapting regulatory enablers

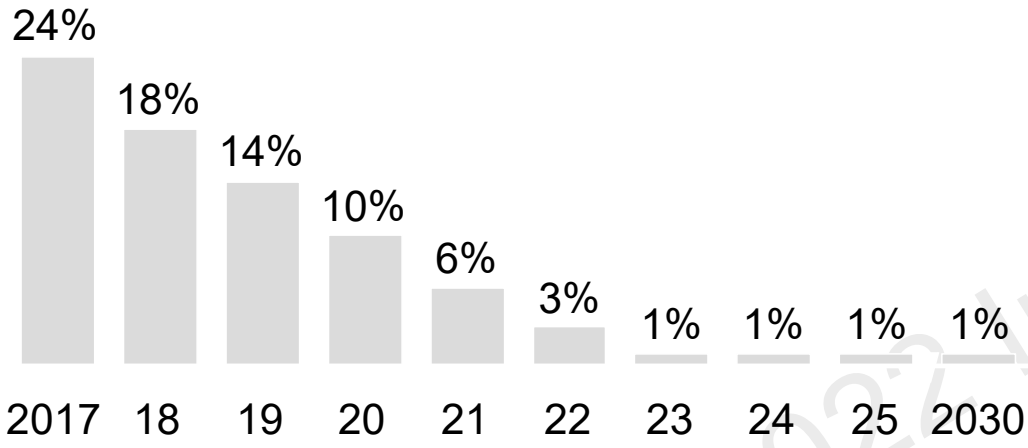
Observed issues	Current state	Potential target ★
Residential and industrial tariffs	Average tariff in Lebanon is around 9.6 cents USD/kWh	Tariff could be increased gradually to match similar countries in the region reaching up to 14 USD cents/kWh by 2030 (3% annual increase)
Regulatory performance	Lack of institutional capabilities, weak governance and limited steering of sector improvement	Set-up of proper governance and operating model of EDL considering restructuring and corporatization

20191022 Internal

Source: Team analysis

C/D Improving performance of billing mechanism and increasing tariffs by 3% p.a. could be pursued

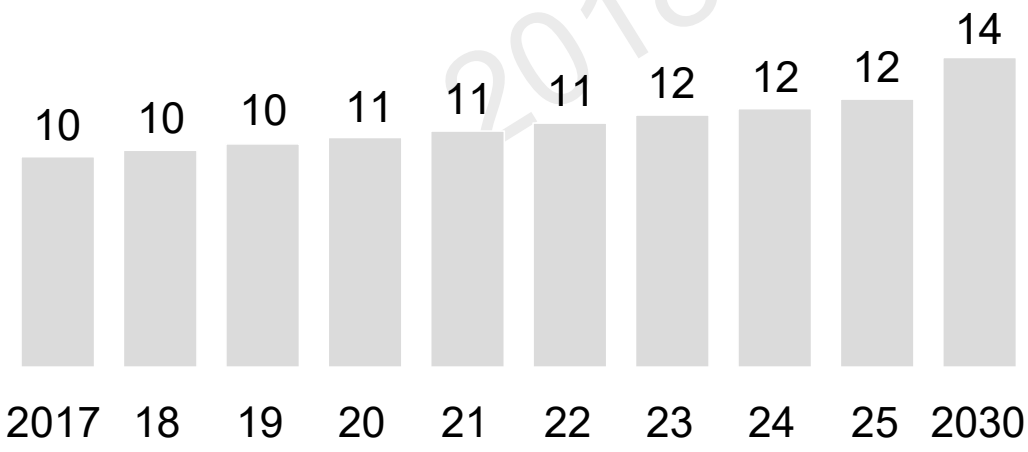
Uncollected bills, %



CAGR (2018-2023)

-41% p.a.

Tariffs, $ cents/kWh



+3% p.a.

- Uncollected bills are mitigated from 25% to 1% by 2023
- Tariffs increase gradually to reach the level of comparable countries (~14 USD cents/kWh by 2030)

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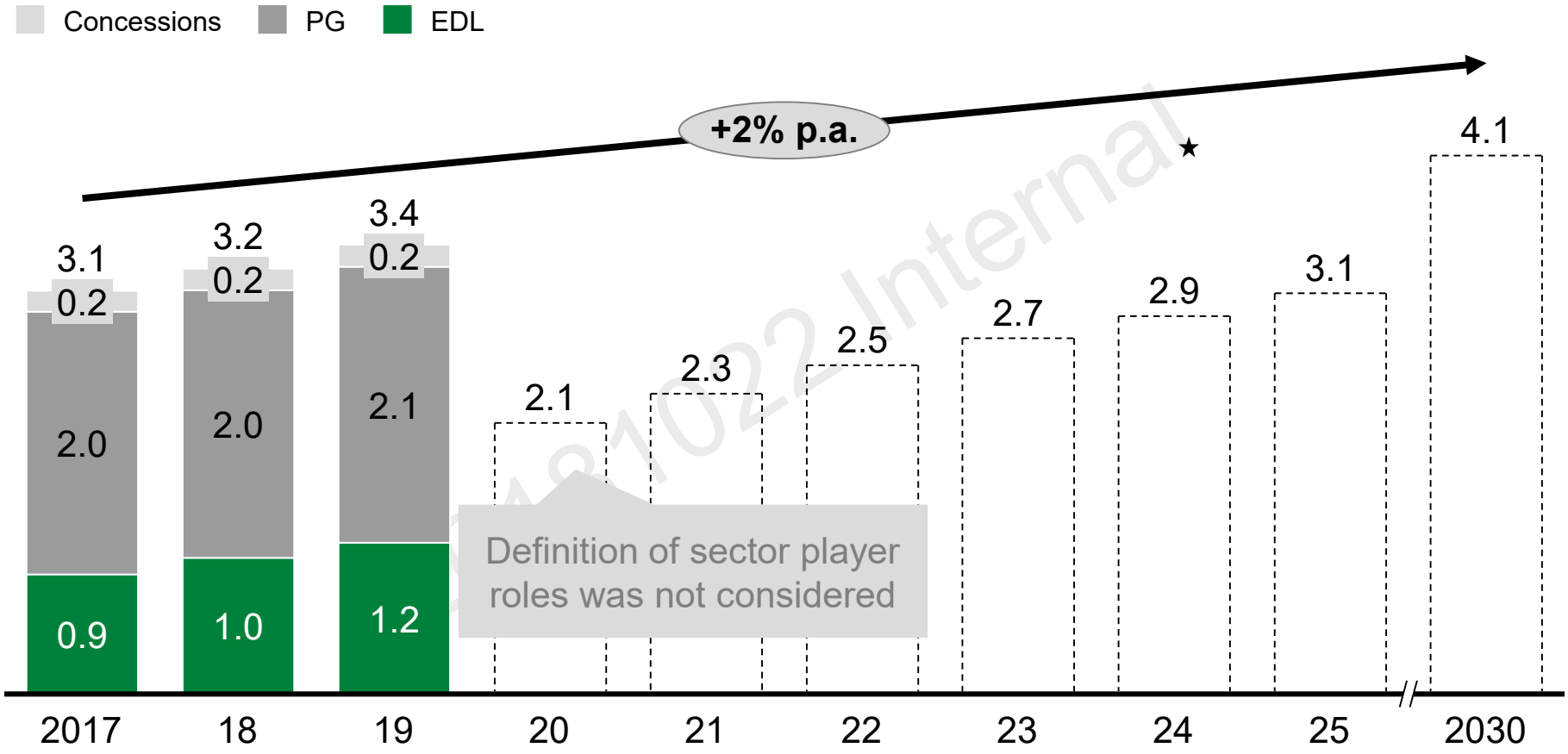
Source: Team analysis

Consequently, sector could reach a revenue of USD 4 bn by 2030

Sector revenue, USD millions



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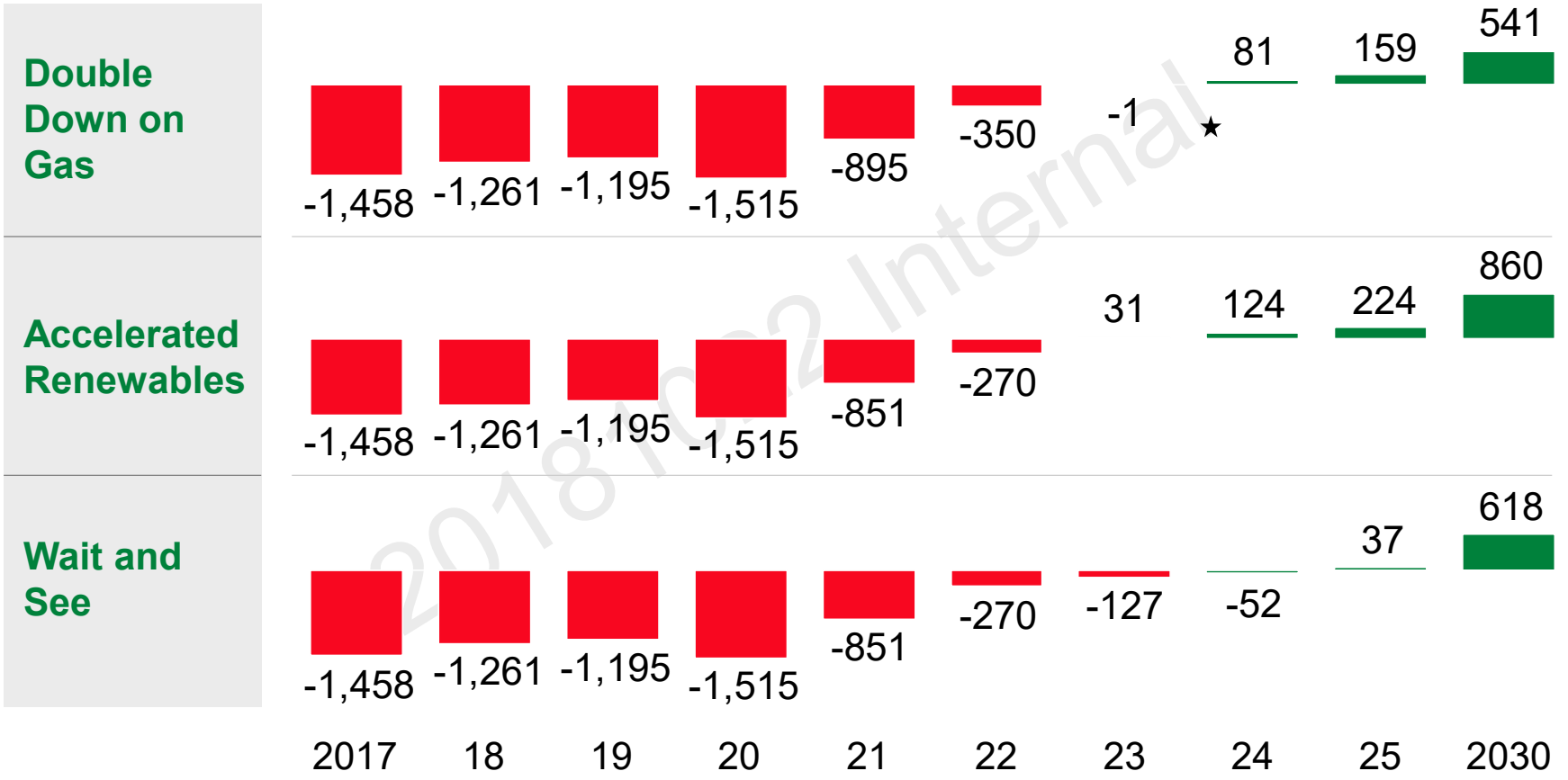
Source: Team analysis

EDL reaches profitability by 2024 in all three scenarios

EDL profitability (Collected tariffs – sector cost[1])

USD millions



2018 IO2 Internal

1 Sector cost includes generation and T&D

Source: Team analysis

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

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A. Chapter summary
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   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
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   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

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A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

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B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

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C. Infrastructure including CIP initiatives
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E. Main legislative requirements
F. Country branding & export promotion

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C. Path forward

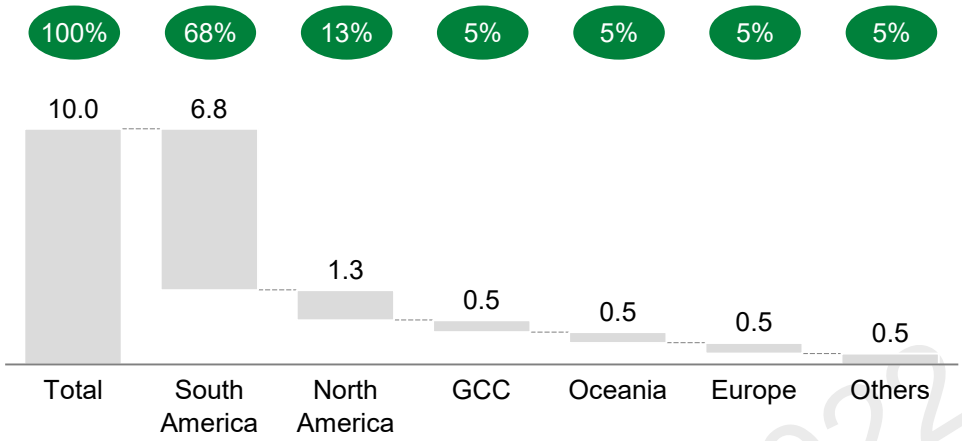
VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

2018 10 22 Internal

Diaspora – summary of diagnostic

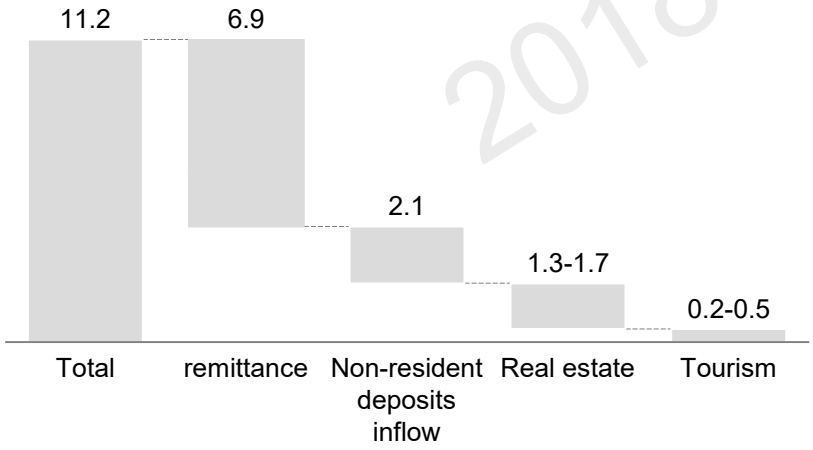
Size of diaspora, Mn resident



Top Diaspora countries are:

- Brazil
- Venezuela
- USA
- Canada
- Australia
- KSA
- Arab

Economic Contribution, 2016 USD Bn



Key facts, 2017:

Diaspora tourists, Mn	1
Real estate, '000 units	~7-9
Total non-resident deposits in bank, USD Bn	35
Top source countries for remittance:	

Key challenges

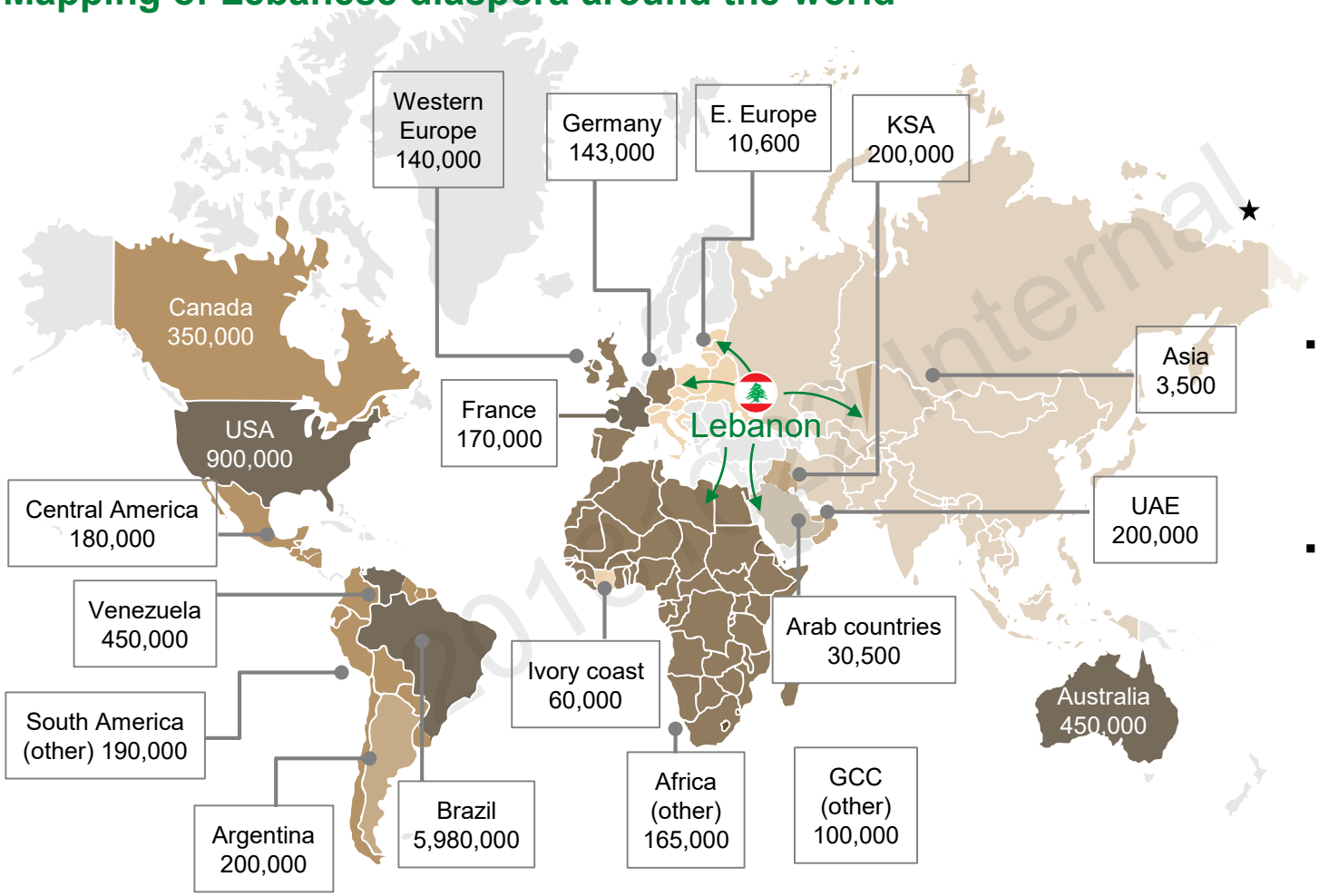
- **Absence of emigration policy and tracking system**
- **Withering relationship with second and third generation of diaspora (No pro-active approach to reinforce the Lebanese identity abroad)**
- **Absence of planning to channel diaspora contribution towards productive areas**

20181022 Interna

Source: BDL, MoFA, IDAL, Order of Engineers

Lebanese diaspora is estimated to be ~10 Mn but no official record of the diaspora size exists by location

Mapping of Lebanese diaspora around the world



Total Lebanese immigrants ~9-10 Mn

- The Lebanese diaspora refers to the Lebanese emigrants and their descendants living abroad
- No official record exists about the number of Lebanese diaspora in the world and their split by country

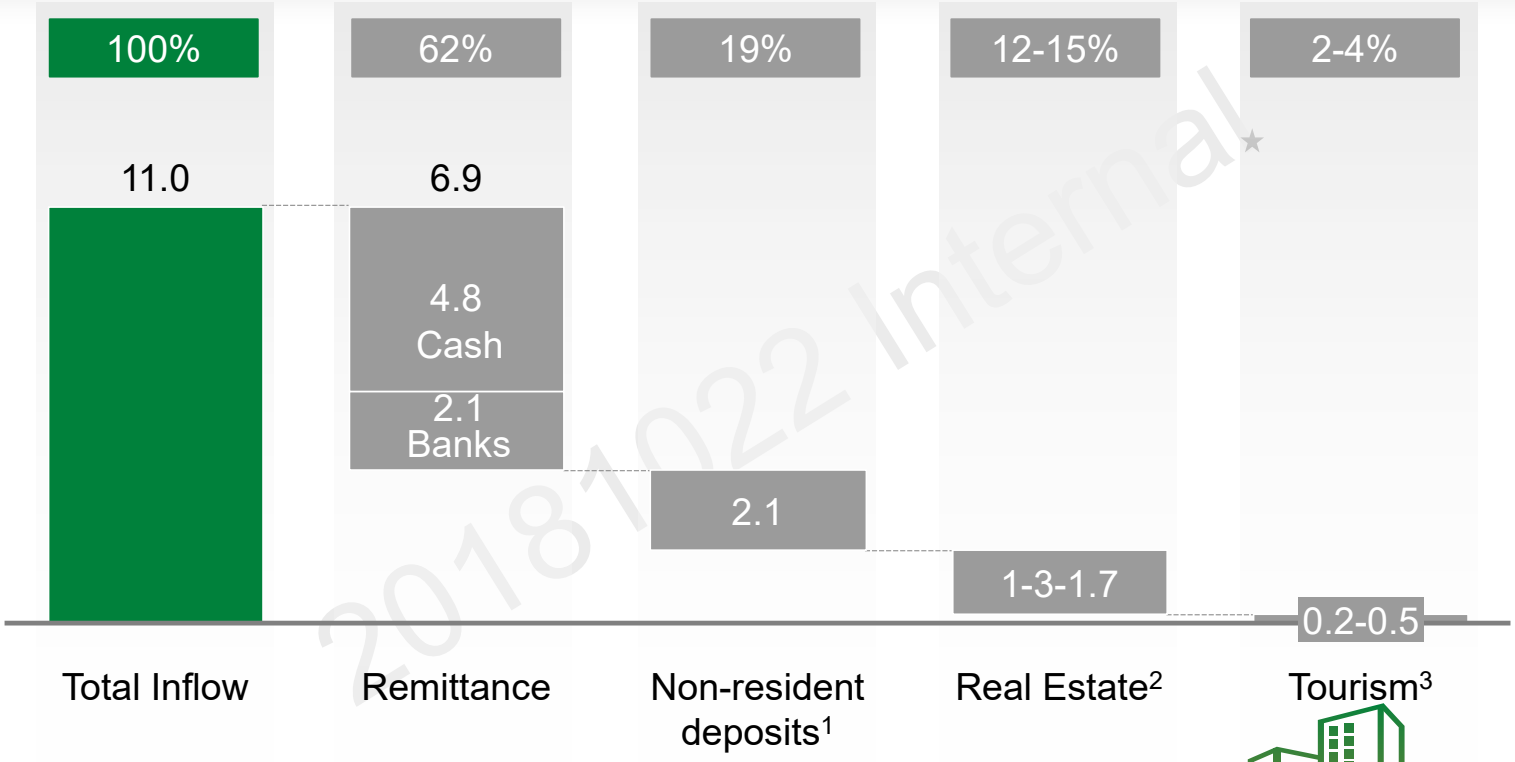
2016 Internal

Source: Ministry of foreign affairs

The Lebanese diaspora contribute ~11Bn USD per year to the Balance of Payments

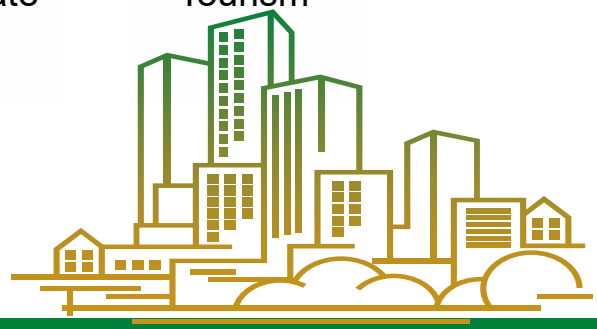
ESTIMATES

Inflow from Diaspora into the country 2016, Bn USD



20181022 Internal

1 Inflow of non-residents deposits for 2017 from the Central bank. Assumed all non-resident deposits are diaspora
2 Value extrapolated from non-resident loan amount. Assuming no other type of FDI from Diaspora
3 Total diaspora spend =average spend per tourist x Number of diaspora tourists
(Number of diaspora tourists is computed assuming 80% of foreign tourists stay in hotels)

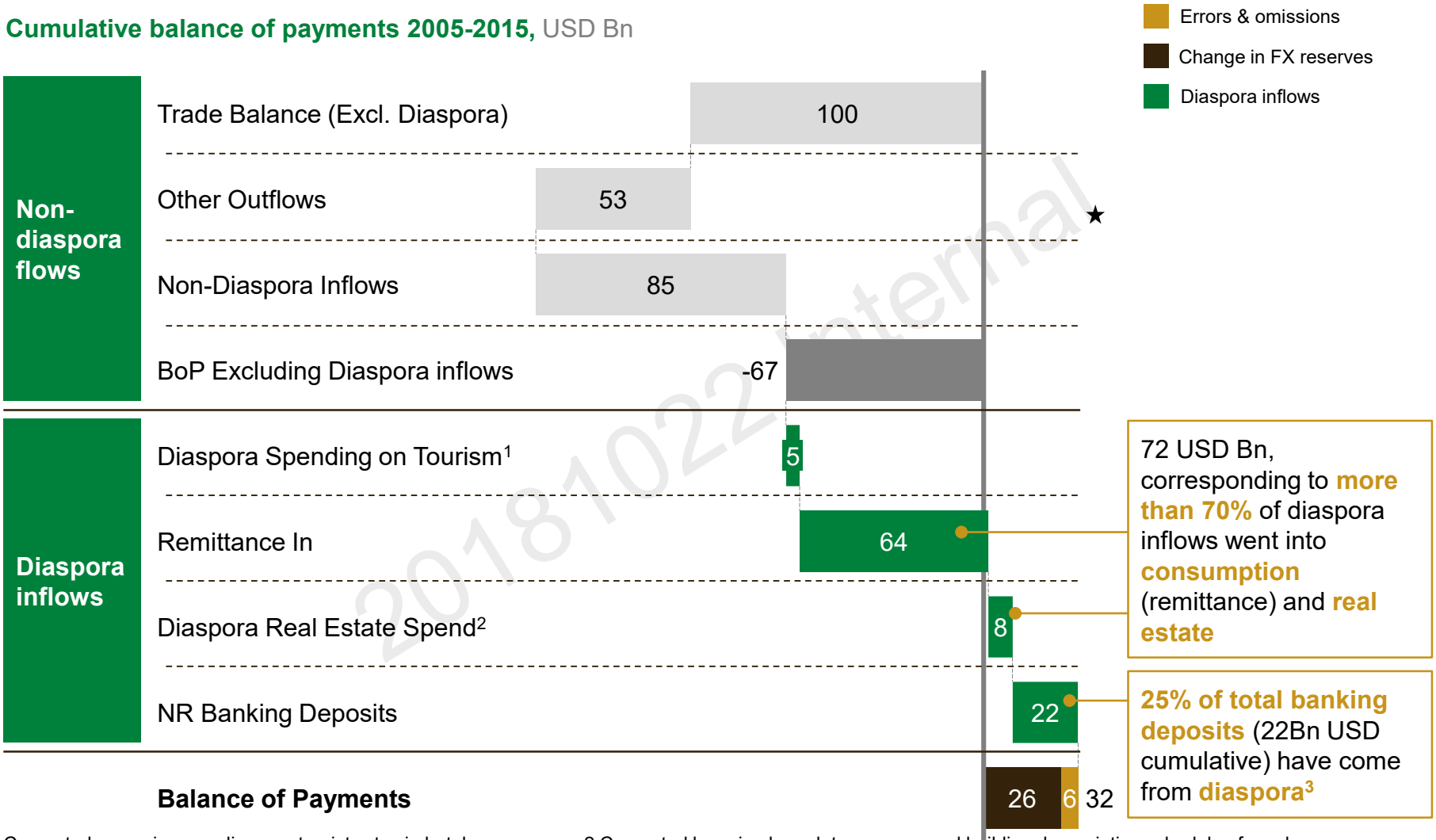


Source: IDAL, Ministry of tourism, Central Bank

Diaspora inflows have played an important role in decreasing the gap in the Balance of Payments in the past 10 years

ESTIMATES

Cumulative balance of payments 2005-2015, USD Bn



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1 Computed assuming non diaspora tourists stay in hotels
2 Computed by using loan data as proxy and building depreciation schedule of purchases
3 Assuming all non-resident deposits are partially or fully related to Lebanese diaspora
Note: Sovereign exposure computed as BDL deposits and public sector loans minus 15% of deposits as required reserves, and assumed to purely finance fiscal deficit

Despite the diaspora's historic contribution to Lebanon, several challenges remain

1

Absence of emigration policy

- **No tracking system** to monitor **emigration** from the country by destination country and skill type

2

No pro-active approach to reinforce the Lebanese identity abroad

- **Withering relationship with second and third generation of diaspora** (Small share of remittance from Latin America)
- Lack of **official data** on **diaspora numbers** by country of residence & **absence of database** on diaspora information

3

Absence of planning to channel diaspora contribution towards productive areas

- High share of **unproductive investments** (~75% of yearly diaspora inflow goes to real estate and consumption

SOURCE: Interviews with MoFA, World Bank

Countries have made efforts to actively engage with their diaspora through several type of initiatives

	Diaspora program	Objective	Description
Engage with diaspora youth and develop early bond with the country	Know India program (KIP)	Promote awareness of life in India and the progress made by the country in various fields	▪ KIP is a flagship initiative for **diaspora engagement** which **familiarizes Indian-origin youth** (18-30 years) with their **Indian roots** through a three-week orientation program organized by the Ministry of External Affairs.
Encourage economic contribution	Bayanihan for Development	Upscale remittances at the local level	▪ The programs aims at redirecting remittances for more productive uses by encouraging migrants to use remittances to contribute to local economic development in their "hometowns"`
	BaLinkBayan	Provide transparency on all investment and business opportunities	▪ BaLinkBayan is a one-stop-shop portal for Filipino diaspora that provides all information related to investment opportunities in the country across selected sector.
	India Investment Initiative	Allow diaspora investors to create measurable social impact while earning a return on their investment.	▪ India investment initiative (managed by USAID) encourages American-Indian diaspora to **invest in SMEs** by purchasing community investment notes ▪ **Investments are channeled as loans to Indian financial institutions/NGOs**, who in turn lend to small businesses operating on the ground.
Build communities abroad	Diaspora advisory board	Build a bridge between diaspora communities abroad and the government	▪ The Jamaican diaspora advisory board acts a **bridge between the Jamaican Government** (MoFA) and the **Jamaican communities overseas**
	Diaspora advisory board	Pravasi Bharatiya Divas – "Non-Resident Indian Day"	▪ Pravasi Bharatiya Divas is a celebratory day observed biennially on 9 January by the Republic of India to mark the contribution of the overseas Indian community towards the development of India

Confidential

Source: Government websites

CASE EXAMPLE: India has made significant efforts to actively engage with its 16 Mn+ diaspora members

~16Mn

Largest diaspora in the world

~65Bn

Largest recipient of remittances

10+

Programs for diaspora engagement

1

Dedicated division under MoEA that leads diaspora initiatives

★ One-stop shop portal for organising overseas employment and engaging with diaspora

Know India program (KIP)	**Scholarship program for Diaspora Children (SPDC)**	**Overseas Citizenship of India scheme (OCI)**	**Pravasi Bharatiya Divas – "Non-Resident Indian Day"**	**India Development Foundation of Overseas Indians (IDF-OI)**
Familiarizes **Indian-origin youth** (18-30 years) with their **Indian roots** through a three-week orientation program and **promotes awareness** of life in India and **the progress made by the country in various fields**	**Promote higher education** in **Indian Universities/ Institutes** in different fields **for Indian diaspora students** (awarding scholarship up to USD 4000 per annum)	Allows **registration of Indian diaspora as "Oversees citizens of India"**	Biennial celebratory event to mark the **contribution of the overseas Indian** community towards the development of India and provide a forum to **discuss issues and concerns** of the diaspora	Enables Overseas Indians to **send contributions** for implementation of **social** and **development projects** in India.

Source: Press search, governmnet website

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

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   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

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B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

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B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

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B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

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B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Urban Efficiency – summary of diagnostic

City planning & efficiency is a key enabler for economic development and growth

By 2030, 60% of the population – 5 billion people – will be city dwellers …

… and the top 600 global cities are expected to contribute to more than half of the world's GDP

Knowledge-intensive, small-sized countries, unlocked their growth potential, through **anchoring** their **development around** an efficient **urban center, at the heart of the economy**

- **Singapore** positioned the city as a key regional hub, **attracting regional headquarters** for 100+ companies by 1990
- **Dubai** has developed a comprehensive strategy **anchored around** an **efficient urban zone** with SEZ around the city

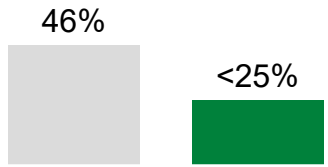
Several gaps exist within Greater Beirut's efficiency that should be tackled as part of a broad city vision

Key challenges should be tackled…

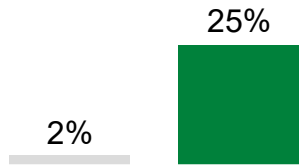
- **Enhance overall livability** of the city, mainly **pollution** and **waste management**
- **Focus on growing improving offering and growing use of public transportation**, through prioritizing and incrementing relevant CIP initiatives
- **Develop a fully integrated urban plan**, with clear land use allocation
- **Reclaim illegally used land** particularly on Greater Beirut's beachfronts

… while tracking several key metrics to ensure success

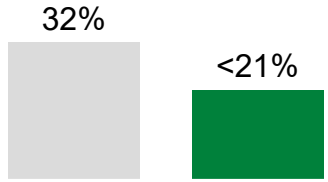
Extra travel time, %



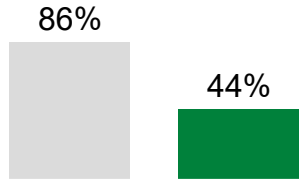
Public transport share, %



PM-2.5, annual mean ug/mg^3



Landfilled waste, % total waste



Source: C40 Cities, WHO Global Urban Ambient Air Pollution Database, Lebanon municipality of Beirut sustainable energy action plan, Capital Investment Program, Press Search, Transport Authority of Countries, TomTom Index; CIP, Land Transport Authority of Singapore, Gulf News, CAS, Ministry of Health

Urban efficiency diagnostic - key performance measures

A. Sector performance measures

Key performance measures

A1 Overall, city planning & efficiency across different aspects is a key enabler for economic development and growth

- In 2030, more than half of the world's GDP is expected to be produced within the top 600 global cities
- Most small-sized countries that managed to unlock their growth potential, anchored their economic development around a strong and efficient urban center
  - Singapore positioned the city as a key regional hub, attracting regional headquarters for 100+ companies by 1990
  - Dubai has developed a comprehensive strategy anchored around an efficient urban zone with SEZ around the city

A2 For a city to reinforce its livability, it should enhance its performance across 9 dimensions

- Nine key dimensions enable sustainable and competitive city growth: Transportation, energy & environment, education, water, solid waste, safety, healthcare, housing & urban planning

A3 Today, Beirut ranks poorly when compared to regional and global peers, only outranking Lome & Addis Ababa

- Today Beirut ranks 188th out of ~230 cities on quality of life, standing behind regional and global peers

Oct 2020 Internal

Source: MGI; Experts interview; Mercer's quality of life index 2018

Urban efficiency diagnostic - key performance drivers & enablers (1/4)

B. Key performance drivers & enablers

Transport

B1 Lebanon overall's road infrastructure ranks poorly when compared to global and regional peers

- Lebanon is ranked 121st worldwide on road quality driven by a poorly maintained road network

B2 Within Beirut, urban mobility is hindered by high congestion levels in main cities leading up to ~46% extra travel time

- Congestion in the city leads to an estimated increase of travel time by ~46% on average, ranking Beirut in the top 25 most congested cities worldwide
- Congestion in Beirut is driven by a high penetration of cars, lack of reliable public transport (less than 2% of trips taken through public transport) and uncoordinated public works

Energy & environment

B3 Greenhouse gases emissions are in line with global and regional averages, however air pollution is amongst highest

- CO2 emissions, standing at 6 ton/capita are in-line with global cities average, with room for improvement when compared to Scandinavian cities
- However, air pollution level, standing at 32ug/m, is amongst highest compared to regional and global benchmarks. Globally, Beirut ranks ~2,500th out of ~3,000 cities in terms of pollution

2022 Internal

Source: WEF Global Competitiveness Report 2018; TomTom Index; CIP; Beirut Peripherique Highway feasibility; Gulf News; World Bank; CAS; Ministry of Health; C40 Cities; WHO Global Urban Ambient Air Pollution Database; sustainable energy action plan; Transport Authorities of countries

Urban efficiency diagnostic - key performance drivers & enablers (2/4)

B. Key performance drivers & enablers

Solid Waste

B4 **When compared to benchmarks, per capita waste production is in line with regional and global peers at 1.18 kg/capita/day**

- Per capita waste production stands at 1.18 kg/capita/day compared to a peer average of 1.35

B5 **In the summer of 2015, Lebanon witnessed a solid waste crisis, with Beirut & Mount Lebanon mostly affected**

- Beirut & Mount Lebanon's waste management system relied mainly on the Naameh landfill, that was originally opened in 1997, and planned to serve for 5 years and receive a total of ~2-3 Mn tons of waste
- After years of expansions & operation extensions, the landfill was closed in the summer of 2015 triggering a solid waste crisis, which saw open dumping and open burning practices expand across the country, with hazardous environmental and health consequences

B6 **The main bottleneck with Lebanon's waste management system is the recovery rate, driven by low composting & recycling capacity and lack of WtE facilities**

- Whereas the initial plan was designed for a ~25% recovery rate, today the recovery rate hovers around ~14% compared to a 47% EU average
- Landfill rate of total waste, standing at 85%, is more than 3x EU average, driven by a lack of WtE (e.g. incineration) procedures
- Moreover, under the status quo, no enhancement in the recovery rate is expected; total landfill waste is estimate to reach ~25 Mn tons, double the size of the Naameh landfill as it stands today

B7 **Moreover, a lack of source** (household & business level) **waste sorting renders the sorting facilities activities harder and less efficient due to waste compaction**

20171022 Internal

Source: World Bank; CAS; C40 Cities; WHO Global Urban Ambient Air Pollution Database; Lebanon municipality of Beirut sustainable energy action plan; Eurostat Waste management statistics; SOER 2010 Lebanon - UNDP

Urban efficiency diagnostic - key performance drivers & enablers (3/4)

B. Key performance drivers & enablers

Water

B8 Beirut's water distribution network provides for a wide coverage but low reliability driven by rationing

- More than 80% of households are connected to the water network in Beirut & Mount Lebanon, higher than the 75% MENA average, but much lower than the 100% best practice ★
- However, water supply is limited and seasonal in Beirut & Mount Lebanon, with only 3 hours/day during dry season

B9 Moreover, the distribution network is old requiring special attention and revamp

- More than 50% of the transmission network is past its useful life with 45% of the transmission and 33% of the distribution network more than 30 years old

Healthcare

B10 Beirut provides for a highly accessible healthcare network when compared to regional benchmarks but lags OECD countries

- Beirut has the highest beds/1,000 people amongst regional benchmarks, standing at ~5.6 beds per 1,000 people and higher than OECD average of ~3.8 beds per 1,000 people. When looking at the Beirut & Mount Lebanon region, bed penetration drops to ~3.3 beds per 1,000 people

2010 Booz & Co. Internal

Source: SOER 2010 Lebanon - UNDP; National Water Sector Strategy – Ministry of Energy & Water; Country's Ministry of Health; World Bank; Syndicate of Hospitals in Lebanon

Urban efficiency diagnostic - key performance drivers & enablers (4/4)

B. Key performance drivers & enablers

Housing

B11 Housing public policy was historically absent and recently geared towards providing subsidized housing loans

- National housing & affordable-housing policies have not included measures commonly found in other countries. There are, for instance, no public housing projects in the country apart from few community, association or municipality-driven initiatives.
- Policies have been geared towards increasing house ownership through providing subsidized housing loans: EPH, BDH & BDL subsidized housing loans

Urban Planning

B12 Lebanon lacks proper urban planning, negatively affecting land availability and pushing prices upwards

- The absence of strict enforcement of urban planning has been detrimental to land availability and access, especially in high urban concentration, the problem being even more pronounced in Beirut. This has further put upward pressure on real estate prices

Security

B13 Road safety is amongst best regional and global peers; homicide rate on the other hand is amongst the highest

- Deaths from road accidents, standing at 8.6 per 100,000, are lower than peer average of ~15
- Homicide rate on the other head is third highest, standing at 4 per 100,000, 1.5x the regional and global average of 2.7

Education

B14 Beirut provides for K-12 education penetration in line with global benchmark, and is home to high quality universities

- K-12 schools penetration, standing at 0.41 schools per 1,000 people for Beirut & Mount Lebanon is in line with the global benchmark of 0.2 schools per 1,000 people
- AUB is ranked 237th globally and 1st in the Arab world with USJ ranking 500th

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Source: V. Clerc 2013; UNHABITAT – UNHRC – Housing Land & Property issues in Lebanon; World Bank A systematic country diagnostic 2015; QS World Ranking 2018; WHO - Status Report on Road Safety; CAS; UNODC; World Bank; CRDP

Contents – Urban efficiency

A **Key performance measures**

B Key performance drivers & enablers

C Opportunities & priorities

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A1

City livability and competitiveness matters because:

- **By 2030, 60% of the population – 5 billion people – will be city dwellers …**

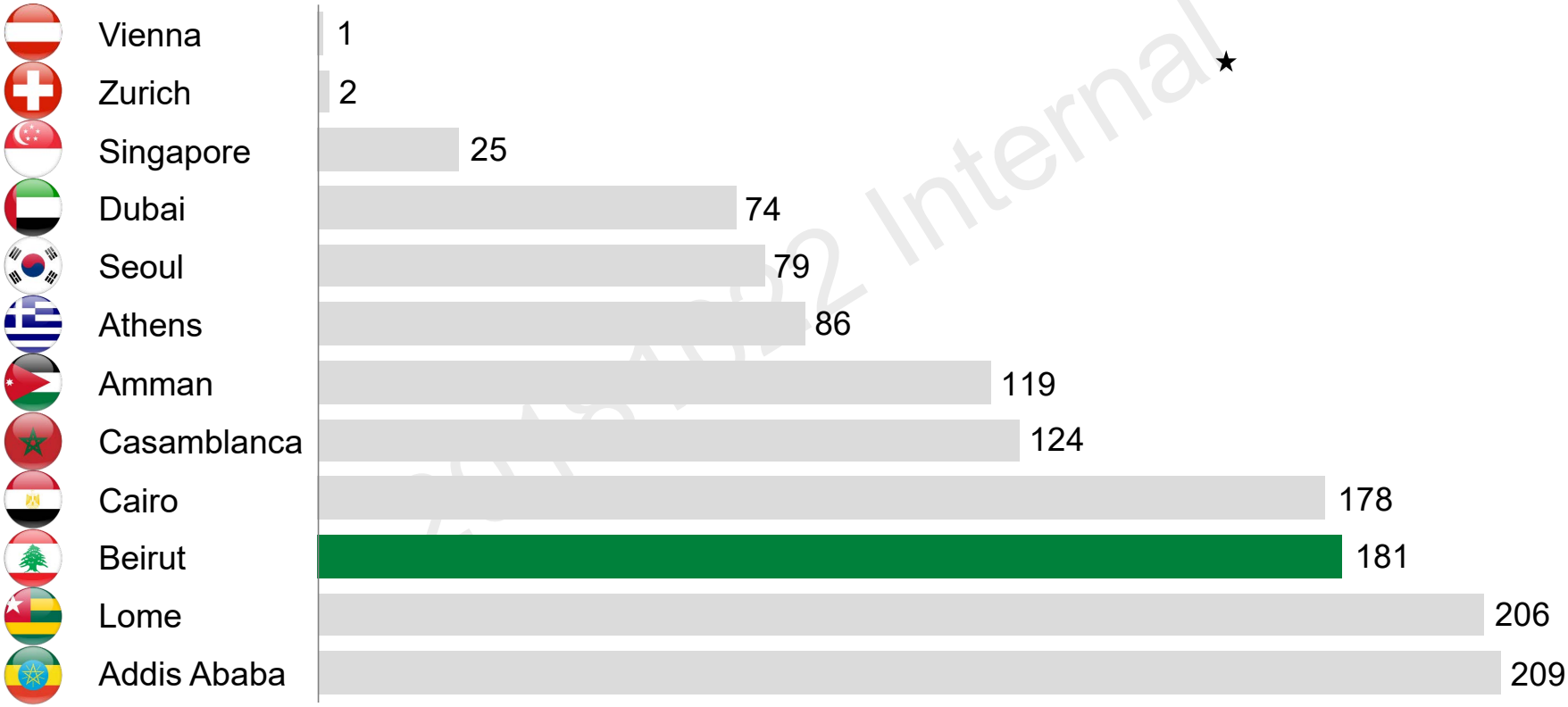
- **… and more than 60% of global GDP will come from only 600 cities**

SOURCE: McKinsey Global Institute (MGI)

A3

Today, Beirut ranks poorly when compared to regional and global peers

Mercer's quality of life index,
2018 rank



Total number of 231 cities in the survey

Aon 2018 Internal

Source: Mercer's quality of life index 2018

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20181022 Intel

B2 Within Beirut, urban mobility is hindered by high congestion levels in main cities leading up to ~46% extra travel time

Detailed next

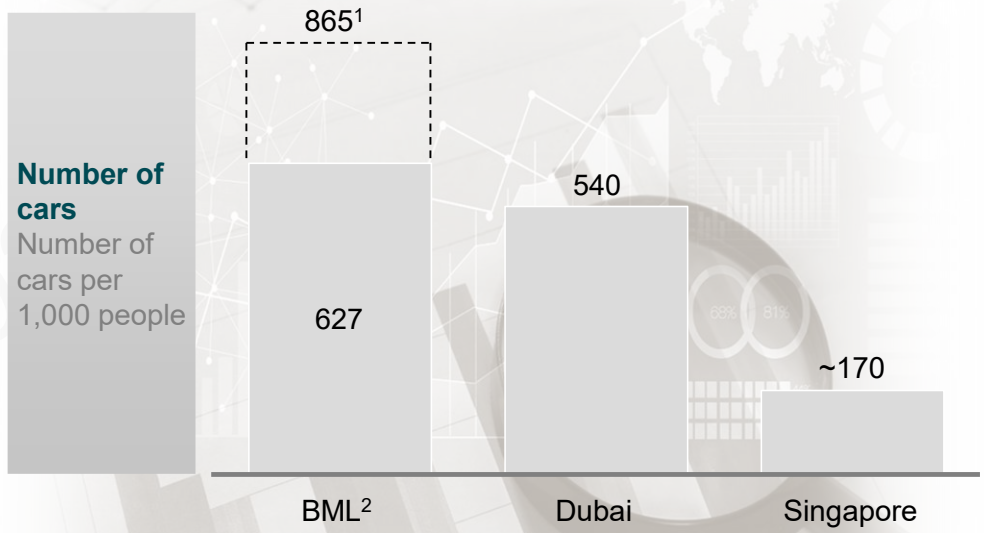
Within Beirut, a ~46% increased travel time is observed…

Rank	City	Extra travel time, 2018 (%)
6	Istanbul	49%
N/A	Beirut	46%
25	London	40%
55	Singapore	34%
84	Berlin	29%
85	Dubai	29%
98	Jeddah	27%
103	Riyadh	27%
129	Amsterdam	22%

…. due to several congestion factors

ESTIMATE FOR LEBANON

Household car penetration: The number of cars per capita is higher than regional and global benchmarks



Lack of developed public transport system: Currently, the public transport network consists mainly of taxis and buses leading to a high tendency of using cars as main mode of transport

Infrastructure projects: Ongoing infrastructure projects in the capital shrink the capacity of the roads

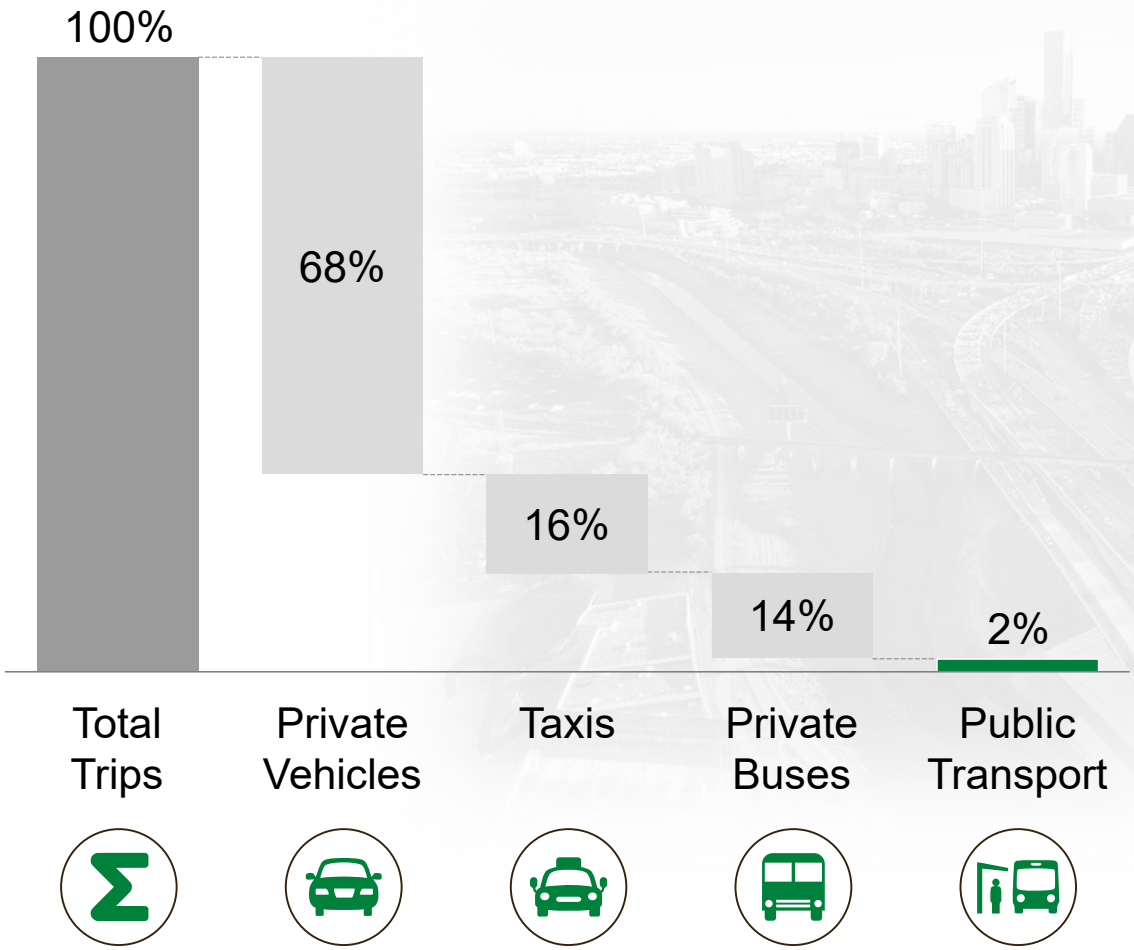
1 Including & excluding refugees; Estimated by applying BML portion of yearly registration to 2Mn stock of cars 2 Beirut & Mount Lebanon

Source: TomTom Index; CIP; Beirut Peripherique Highway feasibility; Land Transport Authority of Singapore; Gulf News; World Bank; CAS; Ministry of Health

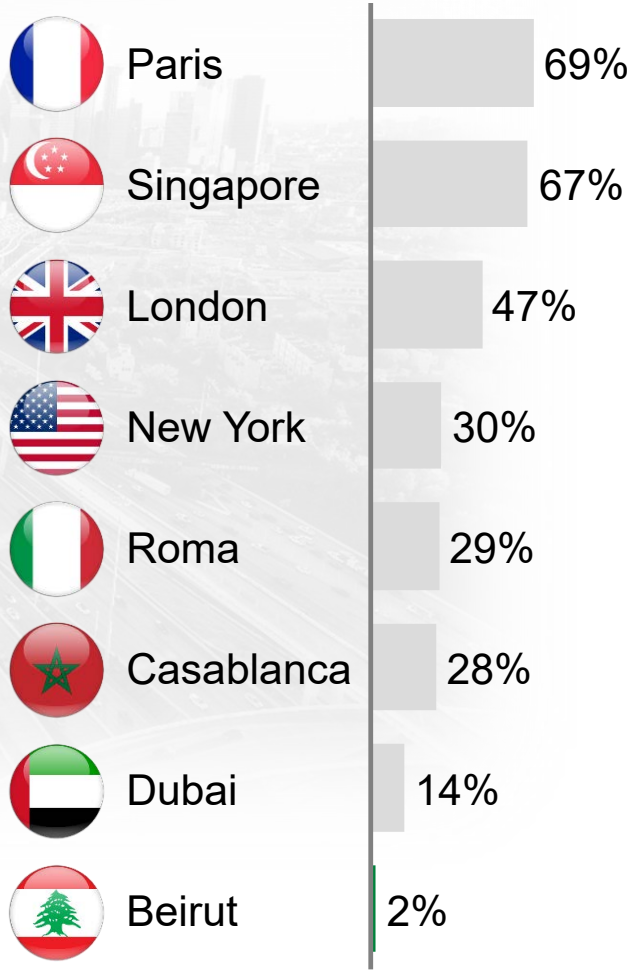
B2

Public transportation contributes to only 2% of total completed trips

Modal distribution of trips by transportation means, %



Public transport share, %

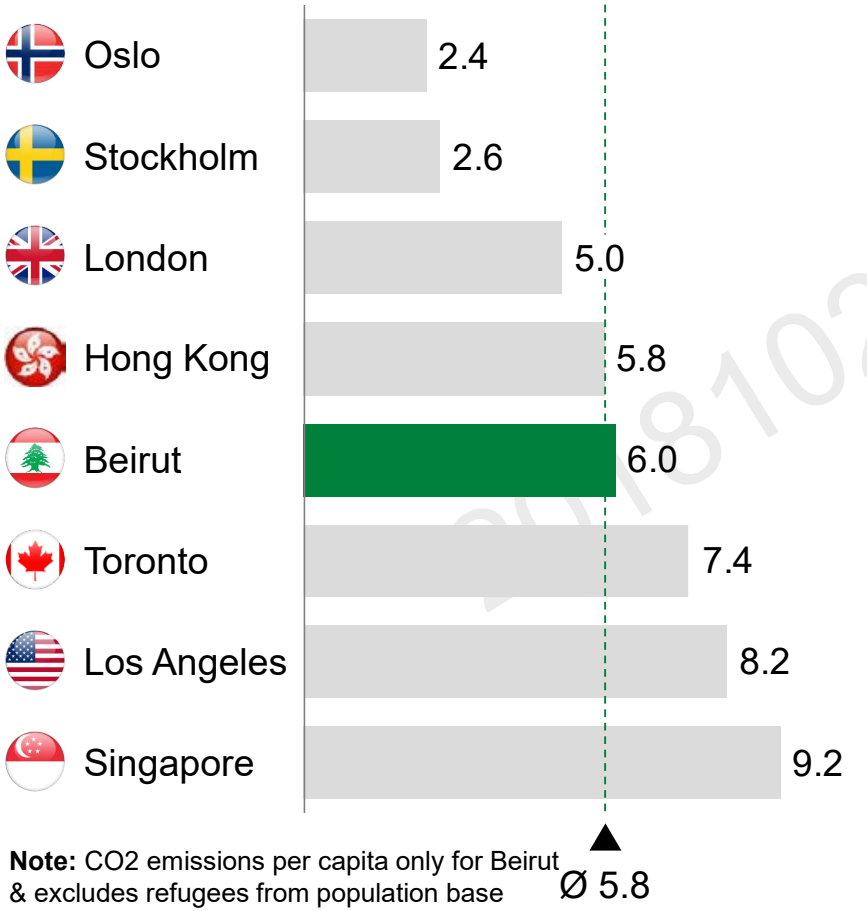


Source: CIP; Transport Authority of Countries

B3 Greenhouse gases emissions are in line with global and regional averages, however air pollution is amongst highest

CO2 emissions area in-line with global cities average

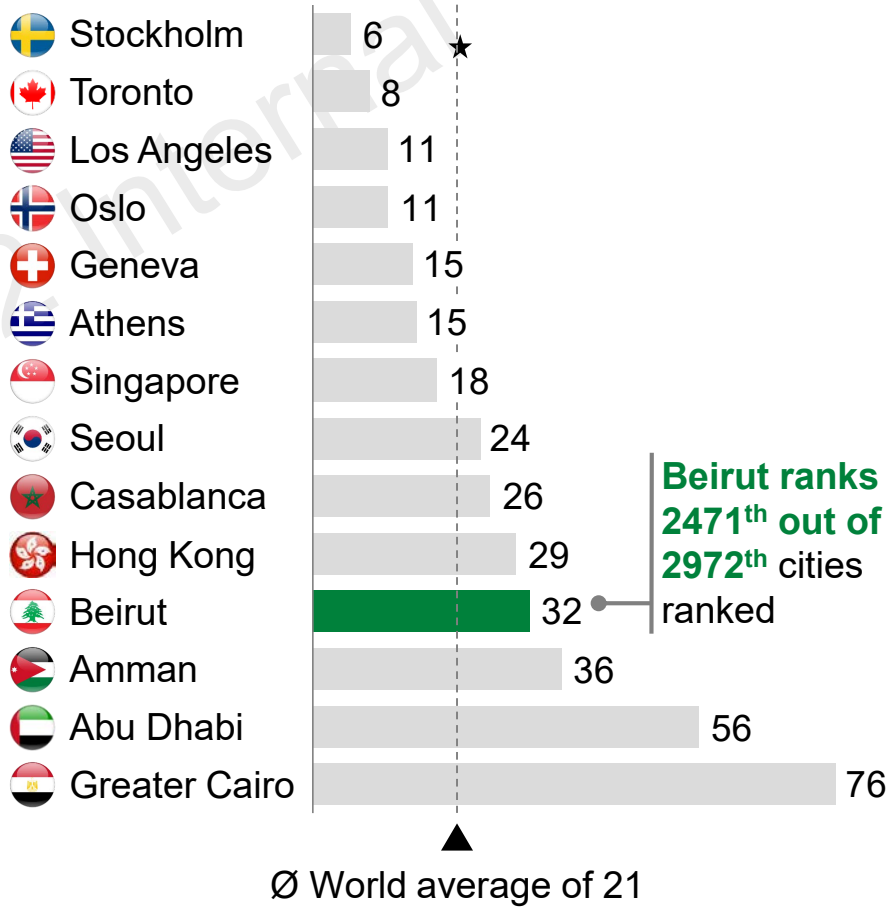
Greenhouse gases emissions, tCO_2e/person/year



Note: CO2 emissions per capita only for Beirut & excludes refugees from population base

Air pollution is however higher than global and regional average

PM-2.5, annual mean ug/m^3



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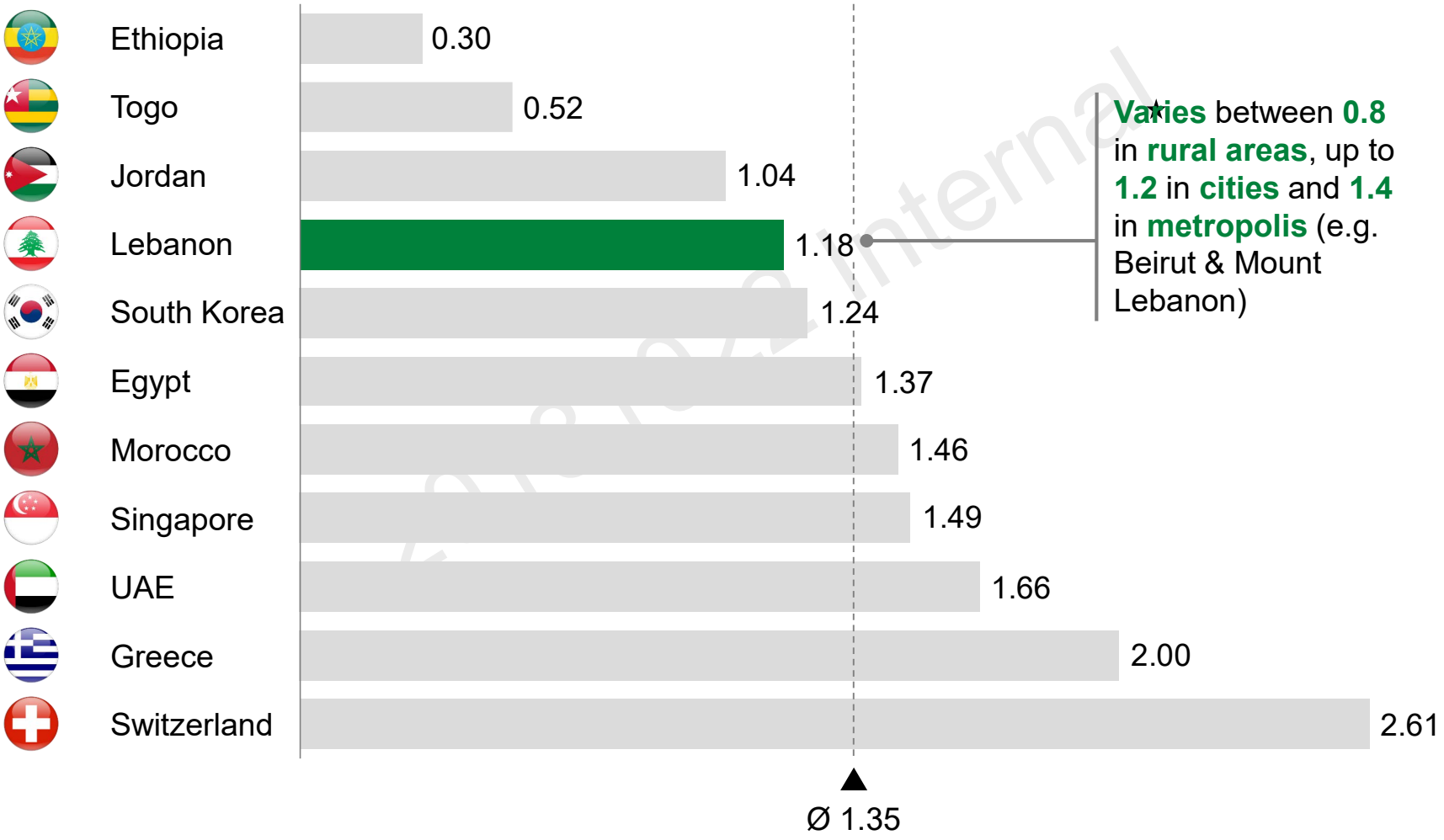
Source: C40 Cities; WHO Global Urban Ambient Air Pollution Database; Lebanon municipality of Beirut sustainable energy action plan

B4 When compared to benchmarks, per capita waste production is line with regional and global peers at 1.18 kg/capita/day

Waste production,
kg/capita/day



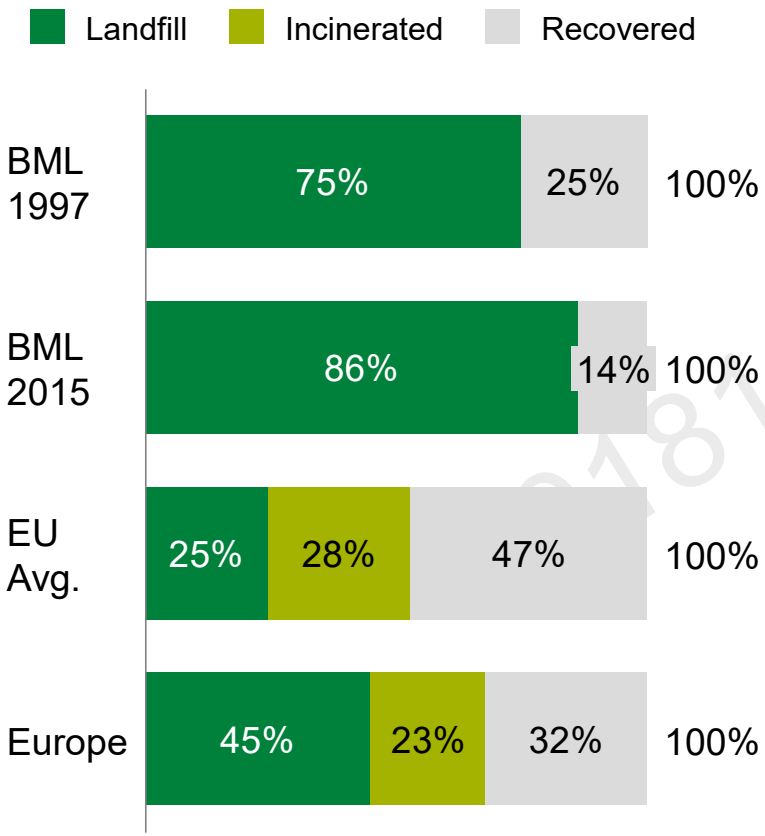
2022 internal

Source: World Bank; CAS

B6 Landfill portion of waste greatly exceeds global benchmarks; under status-quo landfill size expected to be double the Naameh size today

86% of produced waste ends up in landfills vs. a Europe average of 45%

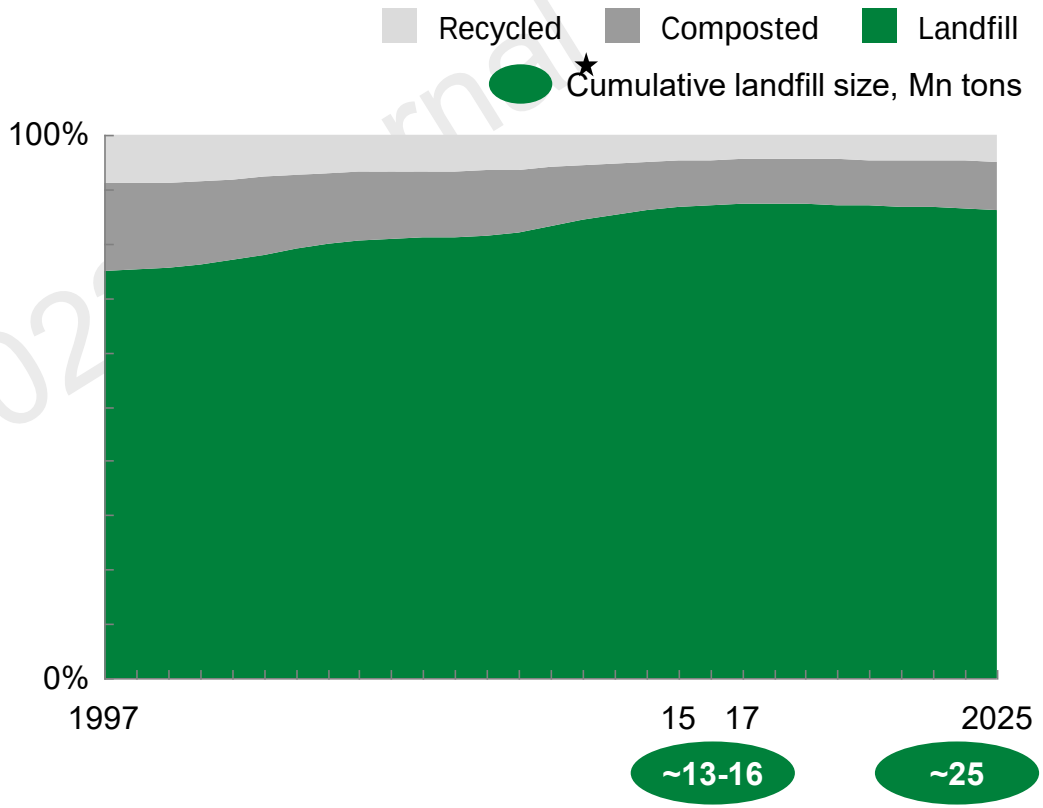
Waste disposal by means, %



Under status-quo, total landfilled waste is estimated to reach ~25 Mn tons, 2x today

Waste disposal in Lebanon by means, %

ESTIMATES

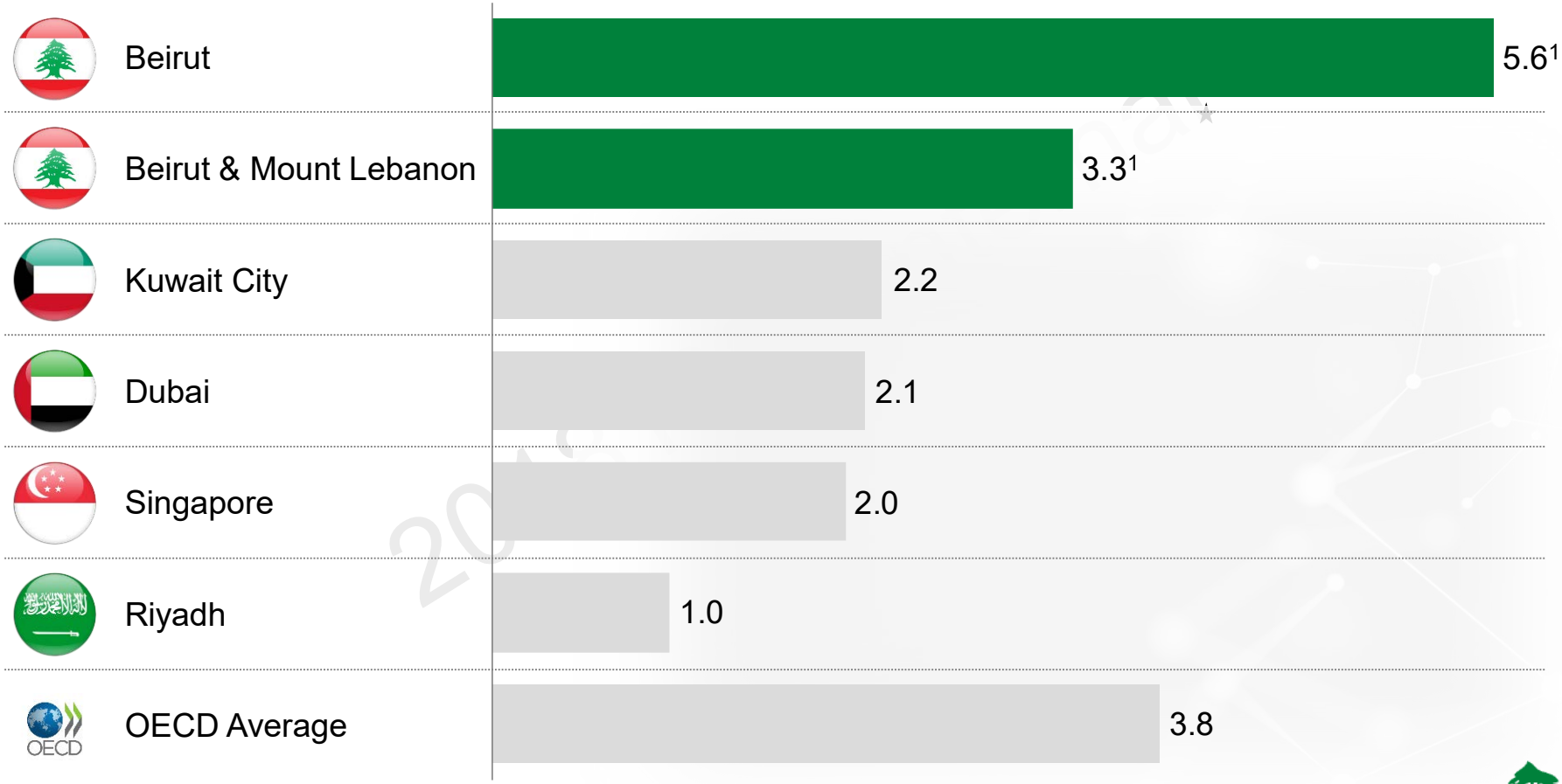


Note: Estimations made by computed total waste generated in Beirut & Mount Lebanon from World Bank population estimates and CAS waste generation per capita

Source: C40 Cities; WHO Global Urban Ambient Air Pollution Database; Lebanon municipality of Beirut sustainable energy action plan; Eurostat Waste management statistics; SOER 2010 Lebanon - UNDP

B10 BML provides for a highly accessible healthcare network when compared to regional benchmarks but lags OECD countries

Number of hospital beds,
Number of beds per 1,000 people



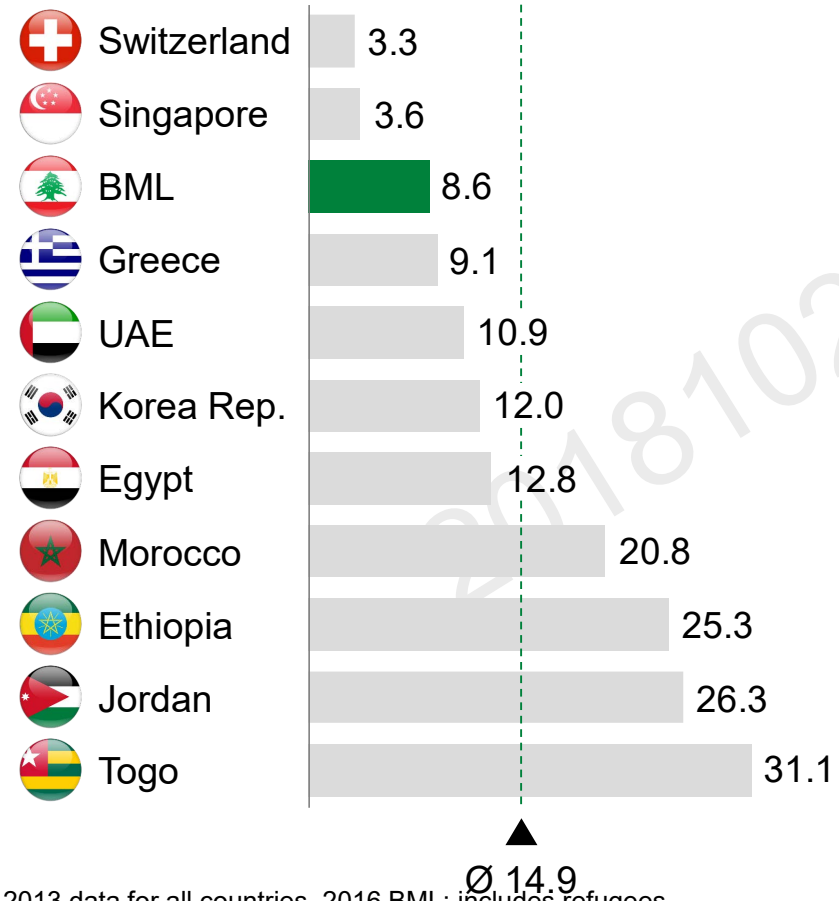
1 Excludes refugees

Source: Country's Ministry of Health; World Bank; Syndicate of Hospitals in Lebanon

B13 Road safety is amongst best regional and global peers; homicide rate on the other hand is amongst the highest

Number of death from road accidents in line with peer average

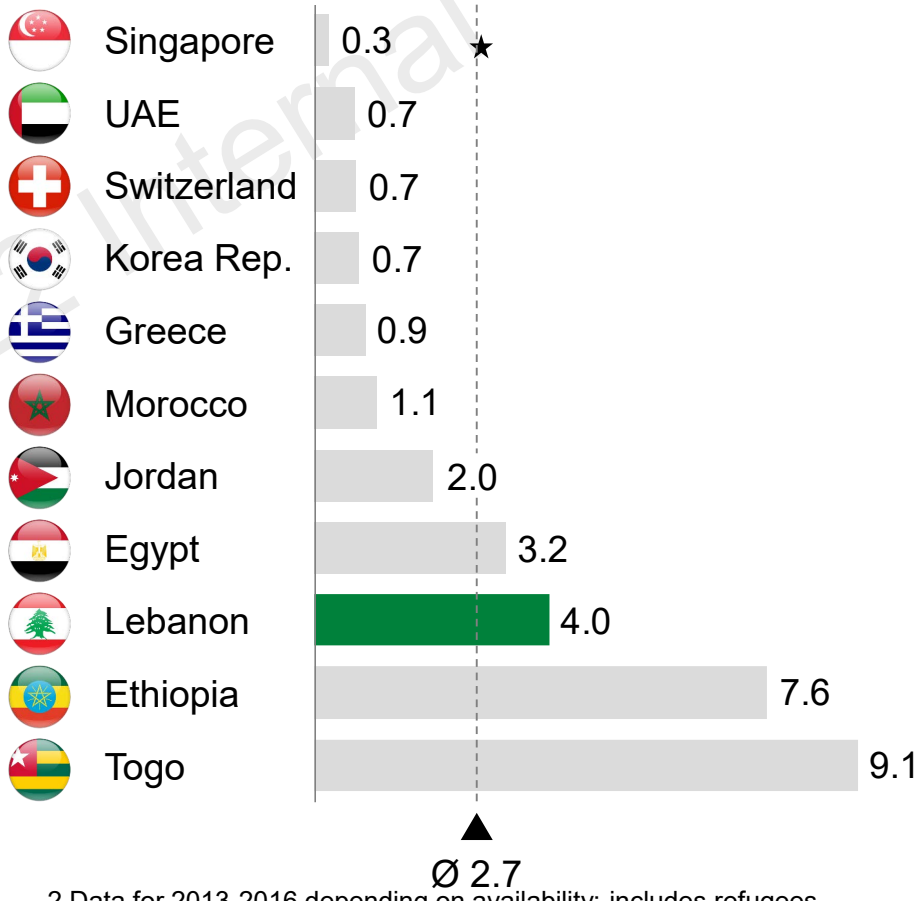
Deaths from road accidents, deaths per 100,000[1]



1 2013 data for all countries. 2016 BML; includes refugees

Homicide rate however is among highest compared to peer countries

Homicide rate, rate per 100,000[2]



2 Data for 2013-2016 depending on availability; includes refugees

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Source: WHO - Status Report on Road Safety; CAS; UNODC; World Bank

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C

Key priorities for Beirut Municipality

TO BE VALIDATED WITH BEIRUT MUNICIPALITY

Transport

C1

- Develop **a detailed public transport plan** targeting a public transport share of more than 15% and decreasing vehicle ownership rates to ~250-400 per 1,000 people
- **Prioritize** transportation **projects** from the CIP linked to **upgrading Greater Beirut road network** as well as **uphauling** the **public transport** system
- Develop and launch **campaigns** to increase **awareness** of **benefits** from **public transport** and car pool

Solid Waste

C2

- Develop **detailed solid waste management plan** for Beirut & Mount Lebanon with objective of **reducing landfill portion** to at least **65%** as per global benchmarks, through upgrading recycling and composting facilities
- Assess the feasibility of **developing WtE solutions** with an emphasis on future technologies (e.g. plasma) that produce less emissions
- Develop and launch **campaigns** to increase **awareness** of **source sorting** importance

Water

C3

- **Upgrade water distribution** in **Beirut & Mount Lebanon** with an emphasis on the outdated portion of the network

Urban plan

C4

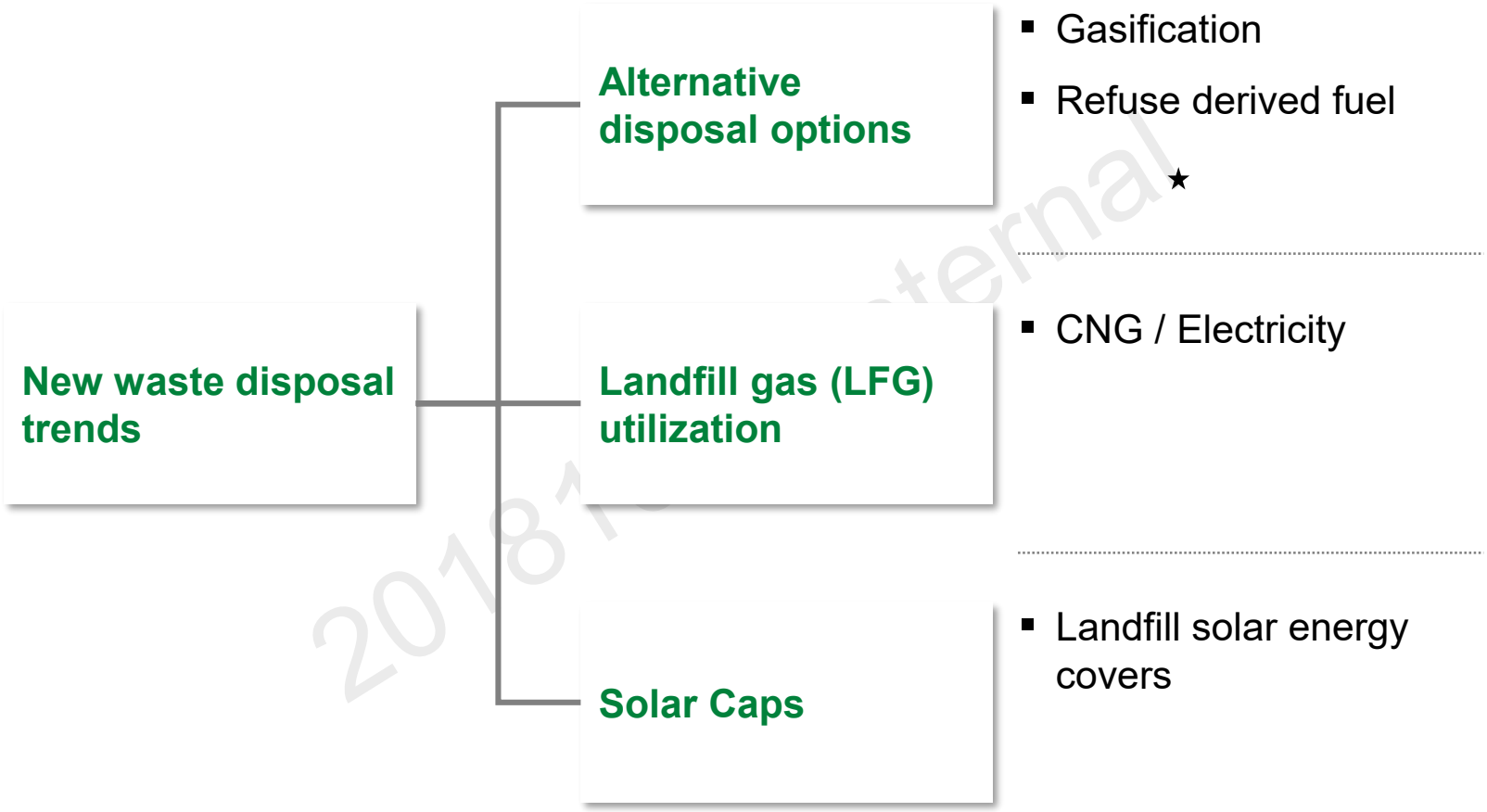
- **Develop a fully integrated urban plan**, balancing between the different areas

Governance

C5

- **Revamp the governance** of the greater Beirut area to ensure single coordinating board/entity superseding municipalities

C2 The waste management industry is seeing additional trends in recovery and disposal



2018 Internal

Source: Steve Taylor GLG webcast 2017; WasteDIVE; Waste Management World; BioCNG

C2 Across the world waste to energy is gaining traction, however many OECD countries are suffering from overcapacity

Tailwinds

- Across the world, **shift from landfilling** as core waste strategy, **to value-recovery waste treatment methods** – this can be observed both at the regulatory level (national/regional), at the administrative level (municipalities), and corporate level (zero-waste policies)
- **Organic waste**, which is large fraction of MSW, and even more so in emerging markets, now **increasingly valorized** through WtE via anaerobic digestion
- **Newer technologies**, like plasma gasification, are already showing **economic advantages over incineration**, and since they are at the beginning of the learning curve, **more gains are to be expected**
- Over the last few decades environmental pollution control technology has improved dramatically, with the potential to **eliminate** public and **environmental health concerns**

Headwinds

- In **OECD countries**, generated waste volumes are dwindling, with growth slower than GDP and **volumes even declining** in absolute terms
- In **North America** still strong **NYMBY towards incinerators**; permitting difficulties as a consequence
- **Incineration** is a mature technology, and hence **not much more efficiency gains** to be expected from a technology perspective
- In **Western Europe**, already **WtE over-capacity**, with countries like Sweden, Germany, and the Netherlands trying to attract cross-border waste volumes
- In Europe, regulatory push towards material recovery rather than energy recovery, which has **impact on actual volumes available**

20181022 Internal

Source: Expert interviews

C2 Incineration dominates the market as the key mature WtE technology, although gasification technologies are emerging

		Technology	Description	Key characteristics
Emerging WTE technologies	1	Plasma gasification	▪ Uses plasma torch/arc to break down waste primarily into elemental gas and solid waste (inert vitrified glass) ▪ Does not combust the waste as incinerators do	⊕ Eliminates more than 99% of MSW ⊕ Can process mix MSW with relatively low preparation ⊕ More favoured in the sub 1,500 tpd scale ⊖ More costly than anaerobic digestion ★
	2	Thermal gasification	▪ Uses a gas-reforming process to recover purified synthetic gas from municipal waste and industrial waste	⊖ Requires significant preparation of MSW ⊖ Needs to improve costs to compete with plasma gasification
Mature WTE technology	3	Incineration	▪ Combustion of MSW, converting the waste into ash, flue gas, and heat ▪ The flue gases must be cleaned of gaseous and particulate pollutants before they are dispersed into the atmosphere	⊕ Established technology ⊕ Relative low cost; scale of more than 1,500 tpd ⊖ Generates more emissions than competing technologies ⊖ Residues (mainly ash) need to be landfilled ⊖ Permitting is virtually impossible in some jurisdictions due to perception issues (e.g., U.S.)
	4	Anaerobic digestion	▪ Bacterial breakdown of organic materials in the absence of oxygen ▪ Produces biogas, principally composed of methane and carbon dioxide	⊕ Cost leader among alternatives to land filling ⊕ Favoured in some RFPs evaluations (e.g., LA) ⊕ No smoke stack ⊖ ~20%-30% of the MSWs still need to be further processed or sent to a land fill (nonbiological/ nonrecyclable materials) ⊖ Proper sorting is critical to avoid contamination

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Source: Expert interviews

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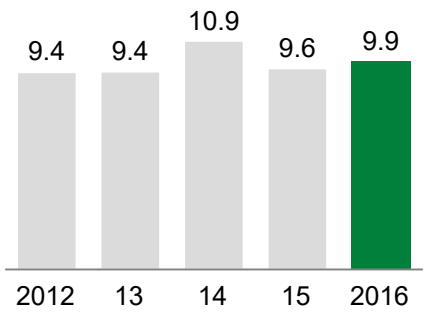
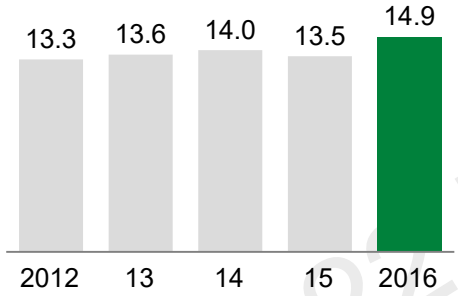
Public Finance – summary of diagnostic

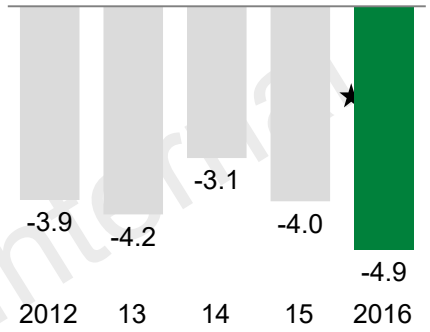
Government revenues
USD Bn, annual



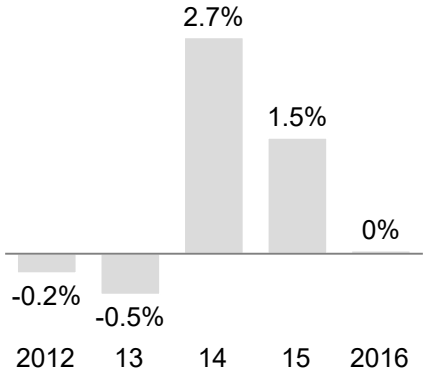
Government expenditures
USD Bn, annual



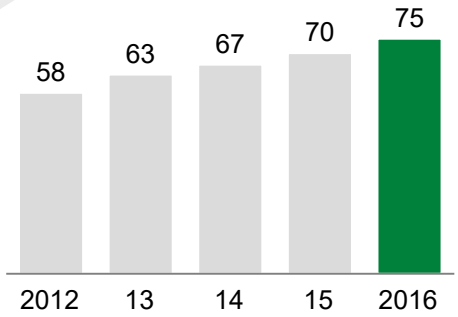
Government surplus (deficit)
USD Bn, annual



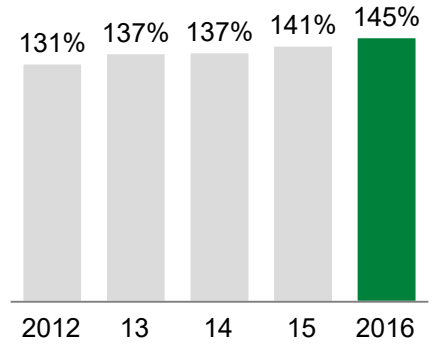
Primary balance
% GDP, annual



Total government debt
USD Bn, annual



Debt to GDP ratio
% GDP, annual



Key challenges

- Lebanon has the third highest debt to GDP ratio, driven by continuous budget deficits by successive governments. These deficits are driven by sub-par revenues and increasing costs
- **Revenues:** Revenue at less than 20% of GDP is lower than most peers, mainly driven by a low tax effort at 40% of total tax potential
- **Expenditures:** Today, only 5% of the government budget goes to infrastructure spend, with more than 2/3 going towards salaries and interest payments: Wages at 46% of revenues is highest among peers.

Source: Ministry of Finance; CAS

Public finance diagnostic - key performance measures

A. Key performance measures

Public debt

A1 Lebanon currently has the third highest public debt-to-GDP ratio in the world standing at ~145% (in 2016)

- The aggregate outstanding debt of 75 USD Bn and debt to GDP ratio of 145% (in 2016) were reached through cumulative fiscal deficits over the last 10 years
- Less than 5 USD Bn of the total accumulated debt has been used to cover primary budget deficit, while the rest is the result of interest accumulation

A2 Historically, the debt to GDP ratio has been decreasing from 2006 and 2011, driven by a strong economic outlook and strong growth in GDP, driving a growth in government revenues

- From 2004 to 2011, the government was operating at primary surplus of ~3-4% GDP; Debt to GDP ratio decreased from its highest level of 183% in 2006 to 131% in 2012
- The primary surplus was also growing at ~23% p.a, mainly driven a ~13% yearly growth in government revenues

A3 Debt to GDP ratio began to increase again post 2011, once the economy entered a recession

- Low GDP growth translated into a stagnation of government revenues growing at ~1%; the stagnation was accentuated by the removal of fuel taxes that occurred during the period of economic growth
- Government expenditures on the other hand sustained a ~5% growth despite a decrease in oil prices and lower EDL deficits
- Government's primary surplus decreased to reach ~0% in 2016; adjusting to pre-2014 oil prices leads to a primary budget deficit of -2%

Debt structure

A4 Today, 62% of Lebanon's debt is in local currency, reducing risk of government default but putting additional pressure on the L.L.

- Today 62% of the total public debt is in local currency giving the government negotiation power with bond holders; moreover, ~84% of the public debt is held locally reducing exposure to foreign markets

A5 Local currency debt is concentrated in short-term obligations whereas foreign currency debt is long-term

- Local debt is concentrated in short-term securities with an ATM of 3.84 years and 72% securities less than 7 years tenor
- Foreign currency debt is concentrated in long term Eurobonds with 54% having ATM more than 5 years

A6 However, if Lebanon retains the same trajectory, then by 2030, Debt to GDP ratio would reach ~200% and expenditures excluding interest would exceed government revenues

- Assuming constant oil prices, with other expenditures as well as revenues growing at historical rate, fiscal deficit is expected to reach ~15% of GDP for an outstanding debt of ~200 USD Bn
- With nominal GDP growing at ~5% IMF projections, debt to GDP ratio is expected to hit ~200% by 2030

20181025 Internal

Source: Standard & Poor's; Ministry of Finance; CAS; Country's IMF article IV; IMF World Economic Outlook April 2018; Banque du Liban; Banks annual reports

Public finance diagnostic - key performance drivers & enablers

B. Key performance drivers & enablers

Public expenditures

B1 **Since 1992, ~36% of the government budget went towards servicing debt, with only ~7% representing capital expenditures, giving small room for productive investments**

- ~36% of the budget, went towards debt servicing; average interest rate on the debt has historically hovered around ~7%
- Only 7% of government's budget goes toward productive investments that stimulate economic growth
- Transfers to close EDL deficit further contributed to ~8% of government's expenditures in 2017; the yearly EDL deficit decreased by ~50% after the drop-in oil prices in 2014 and historically reached up to ~17% of government's budget in 2012

B2 **Public sector size in terms of government expenditures is in line with global average at ~30%; budgeted expenditure for 2018, hovering at 40% will imply a net deviation from global average**

- Today, total government expenditures stand at ~27% of GDP, comparable to peer countries operating at 27-33%. Moreover, world average stands at ~30%

B3 **However, public sector employees' salaries, corresponds to ~46% of total government revenues, the highest ratio compared to global and regional benchmarks**

- Personnel costs (salaries, wages & benefits) have been steadily increasing at ~7.5% per year during the last 10 years
- Today, it makes up ~33% of total government expenditures, expected to increase in 2018. Public sector size in terms of employment is highest amongst peers when looking at it relatively to government revenues. Average of peer countries stands at ~28%, highlighting a savings opportunity equal to ~18% of revenues

Govt. revenues

B4 **Revenues are mainly driven by taxes, at ~70% contribution, with clear room for improvement: ~5 USD Bn of taxes can be gathered yearly through better VAT compliance and collection**

- Lebanon's tax effort is estimated at 42% with average tax revenue standing at ~15% of GDP, the lowest among peers and ~10% lower than world average

Confidential 2022 Internal

Source: Countries IMF Article IV tables; Ministry of Finance; World Bank; IMF Lebanon Selected Issues 2017

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A **Key performance measures**

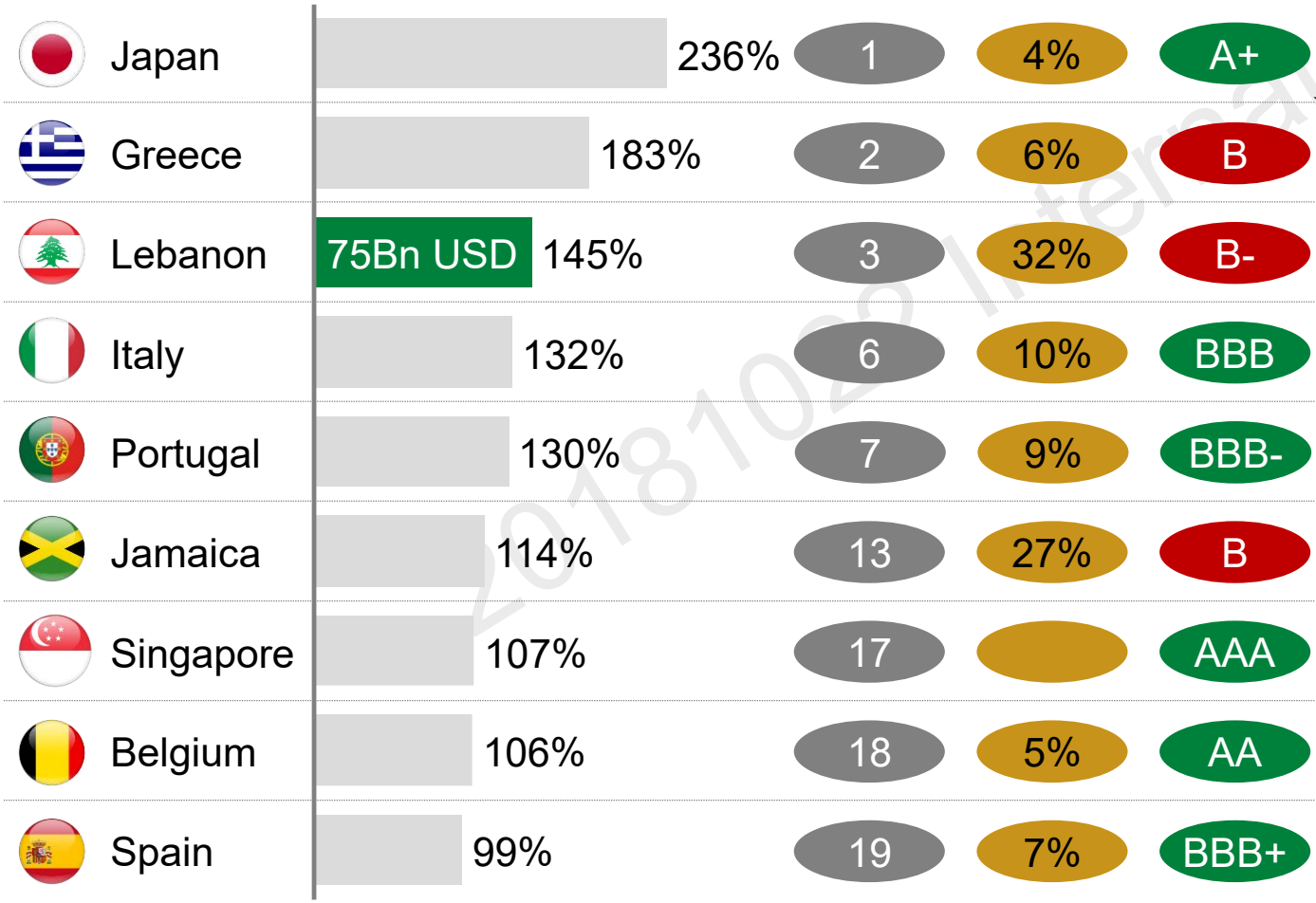
B Key performance drivers & enablers

20181022 In

A1 Lebanon currently has the third highest public debt-to-GDP ratio in the world standing at ~145% (in 2016)

Debt to GDP rank *(highest to lowest)* | S&P Credit Rating *(Investment grade/junk)* | Debt service, as *% budget*

Gross debt to GDP Ratio, % GDP 2016



- **Lebanon** has the **3rd highest debt to GDP** ratio at ~145% (75Bn USD), the **worst rated sovereign debt,** and the **highest debt service**
- **The outstanding debt** of 75 USD Bn and debt to GDP ratio of 145% were **reached through continuous fiscal deficits** (~10% of GDP) by the consecutive govt.

Source: Standard & Poor's; Ministry of Finance; CAS; Country's IMF article IV; IMF World Economic Outlook April 2018

A1 The aggregate outstanding debt of 75 USD Bn and debt to GDP ratio of 145% were reached through fiscal deficits over the last 10 years

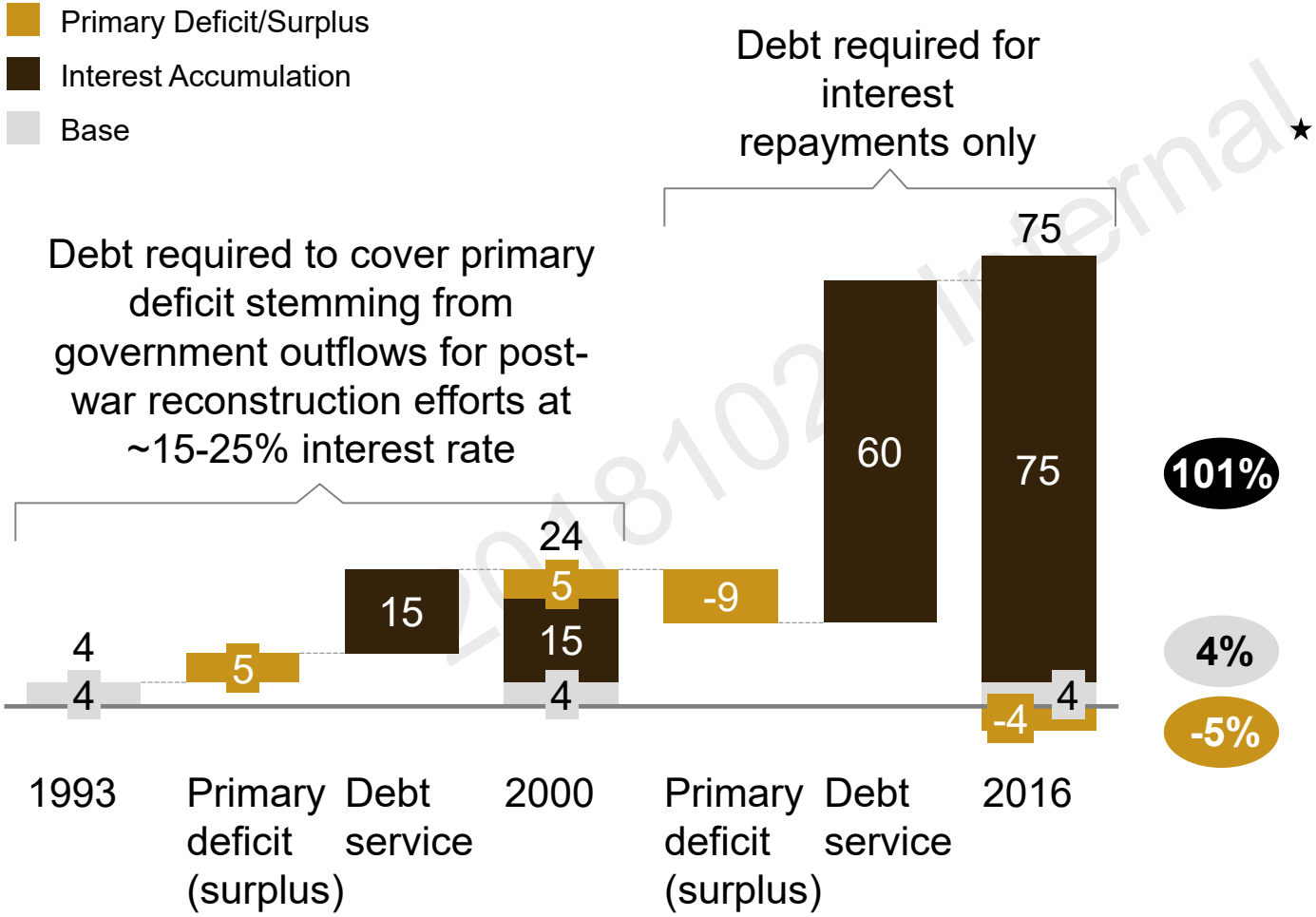
Government fiscal balance, USD Bn

1 Fiscal balance excluding interest and principal payments

Source: Ministry of Finance reports; CAS

A1 Less than 5 USD Bn of the total debt has been used to cover primary budget deficit, while the rest is the result of interest accumulation

Total gross public debt, USD Bn



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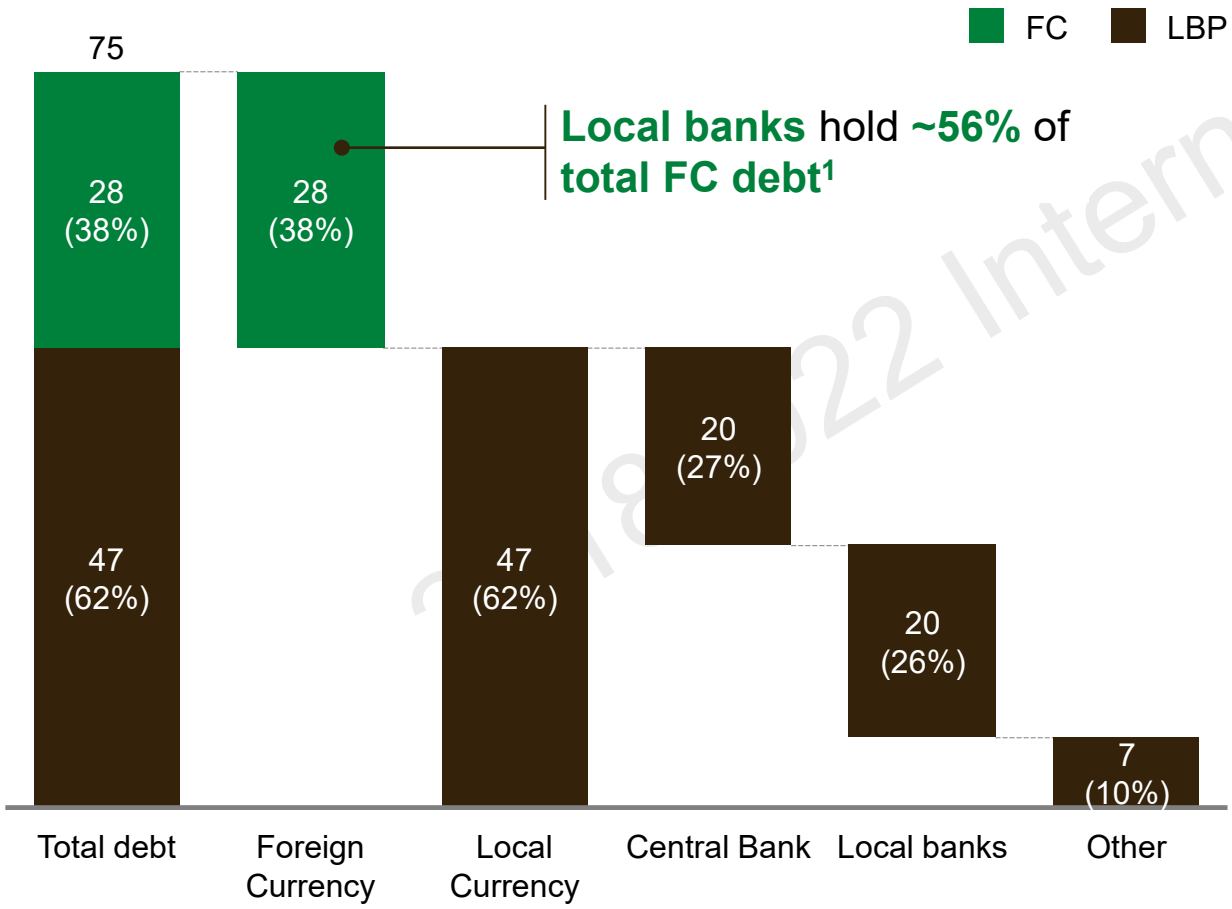
- **Only 5 USD Bn** of the total **accumulated debt** have been **used to cover primary** budget **deficit in the 1993-2000 period**
- **All of Lebanon's public debt** today has come as a **result of interest accumulation**

Source: Ministry of Finance reports; Banque du Liban

A4 62% of Lebanon's debt is in local currency with 84% held locally, reducing risk of government default but putting pressure on the economy

Total gross public debt by currency, 2016 USD Bn



- Central Bank **monetary policy** flexibility **to allow the government** to **repay** its debt **obligations but adds pressure** on the banking system and the overall economy
- **~84%** of the **total public debt** is **held locally** by either the BdL, commercial banks or other private investors

1 Estimated based on banks financial statements & annual reports

Source: Ministry of Finance; Banks annual reports

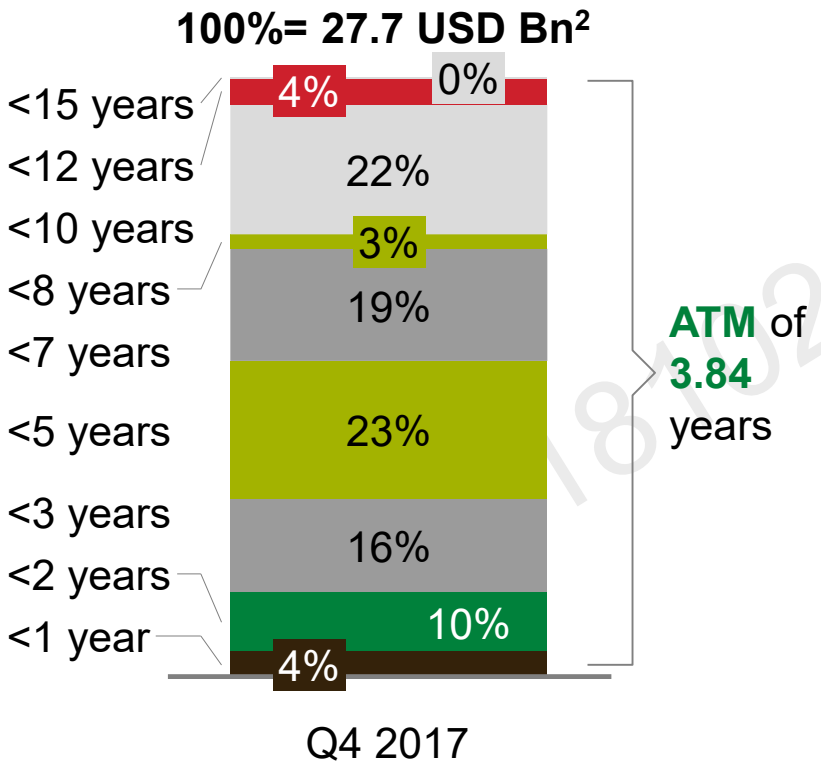
A5 Local currency debt is concentrated in short-term obligations whereas foreign currency debt is long-term

Local debt is concentrated in short-term securities with an ATM of 3.84 years and 72% less than 7 years

Foreign currency debt is concentrated in long term Eurobonds with 54% having ATM more than 5 years

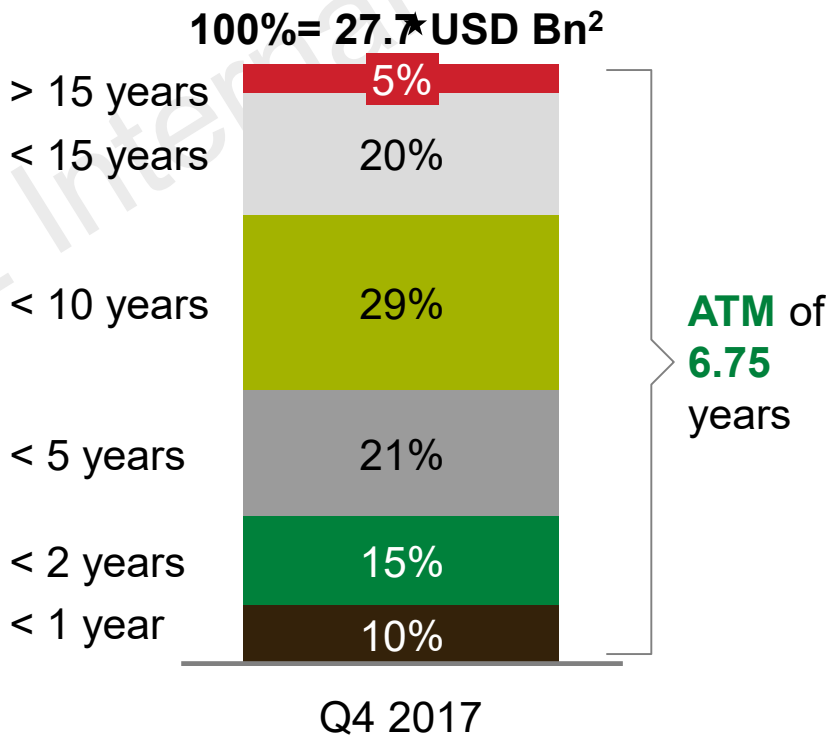
Local currency debt by tenor

2017, %



Foreign currency debt by ATM[1]

2017, %



1 Average time to maturity
2 Includes market-issued Eurobonds

18022 Internal

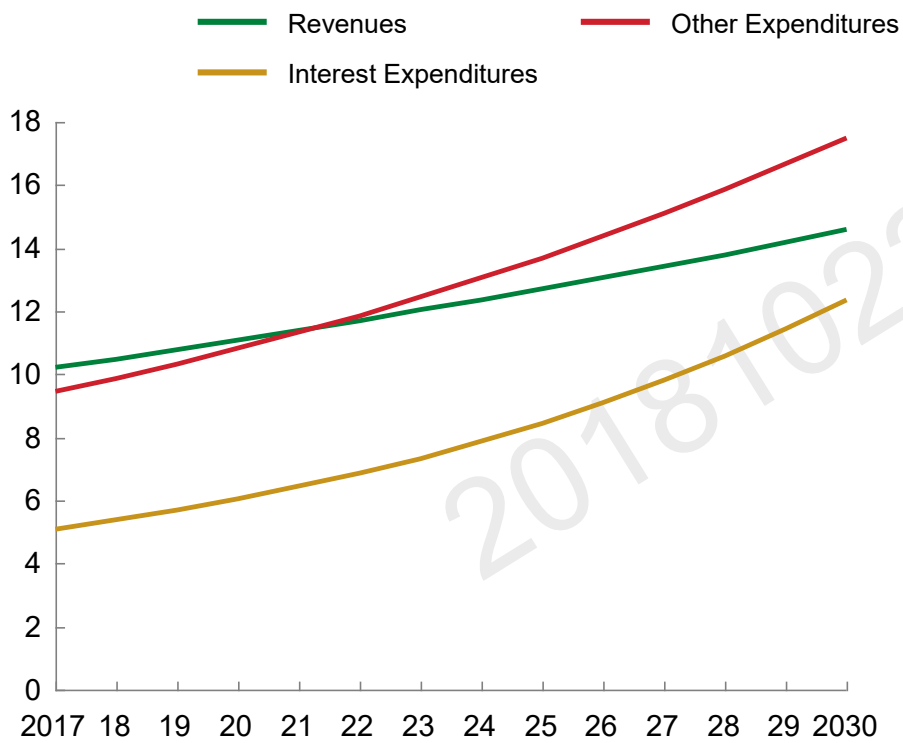
A6 If Lebanon retains same trajectory, debt to GDP ratio could reach 200% and other expenses would exceed government revenues by 2021

Other expenditures will exceed government revenues starting 2021 with a sustained primary deficit

Debt to GDP ratio is expected to reach ~170% by 2025 and ~200% by 2030

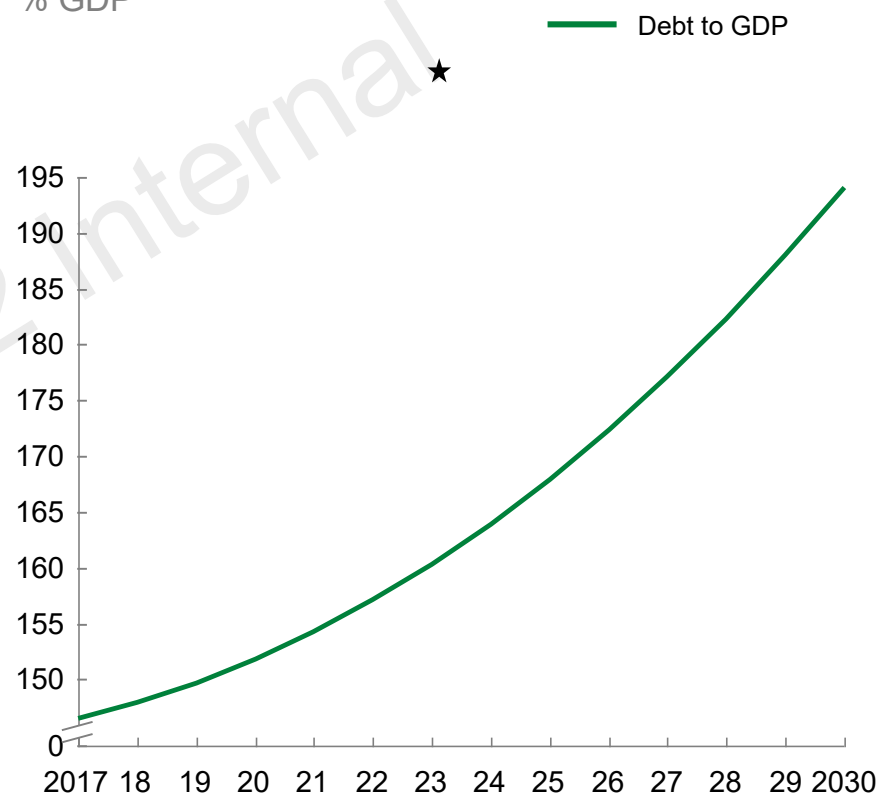
Government budget

USD Bn



Debt to GDP ratio

% GDP



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Note: All simulations exclude the impact of CIP for status-quo – Simulations assume 2016 as base year and 2017 as first projected year
Simulation assumes IMF 5% nominal GDP growth forecast, 3% historical growth in revenues, 6% historical growth in personnel costs, 4% for EDL deficit and an interest rate on the debt of ~7%; Expenditures exclude projected increase in salaries for 2018

Source: Ministry of Finance

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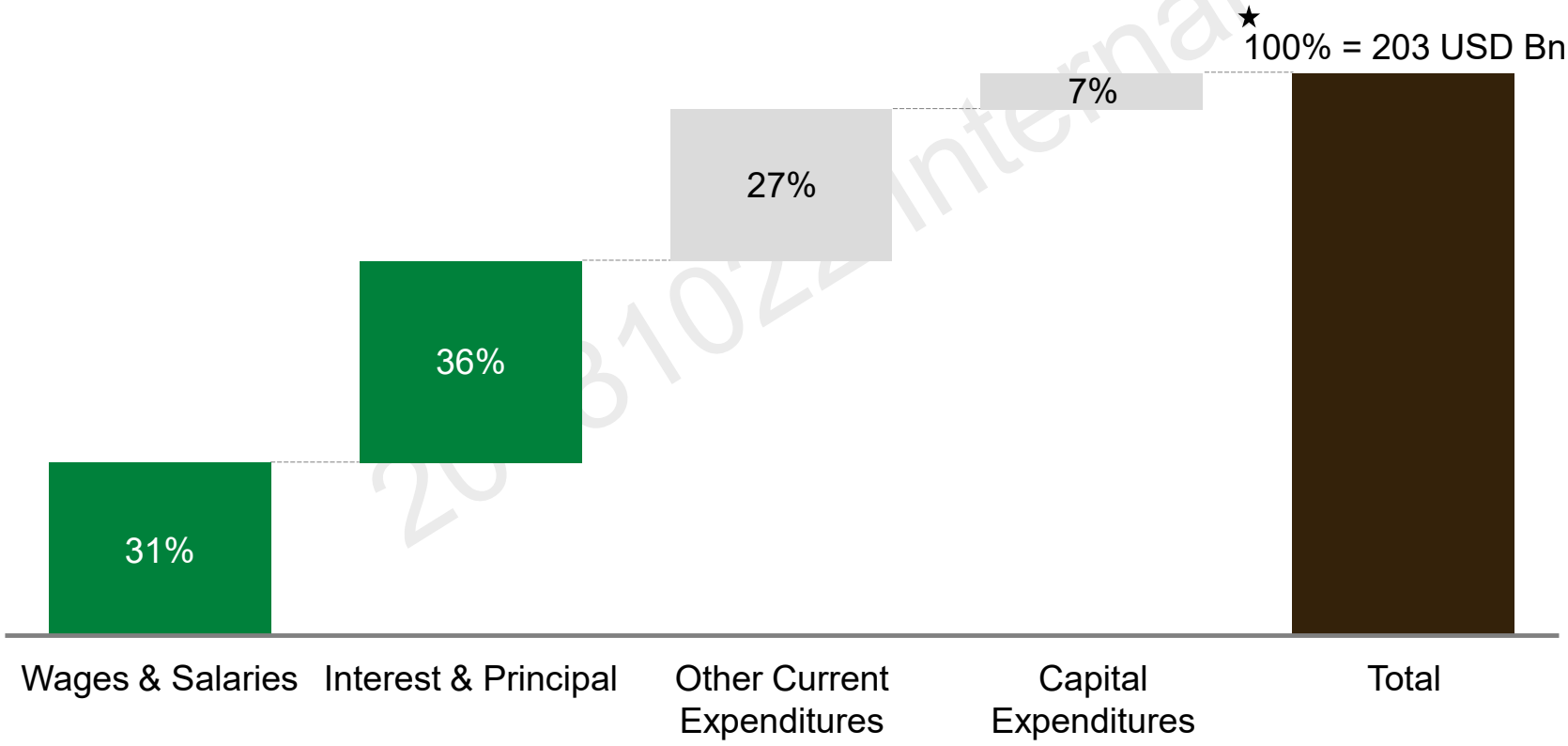
B1 Since 1992, ~36% of the government budget went towards servicing debt, with only ~7% representing capital expenditures

Government expenditures by type,
cumulative 1992-2016 % total

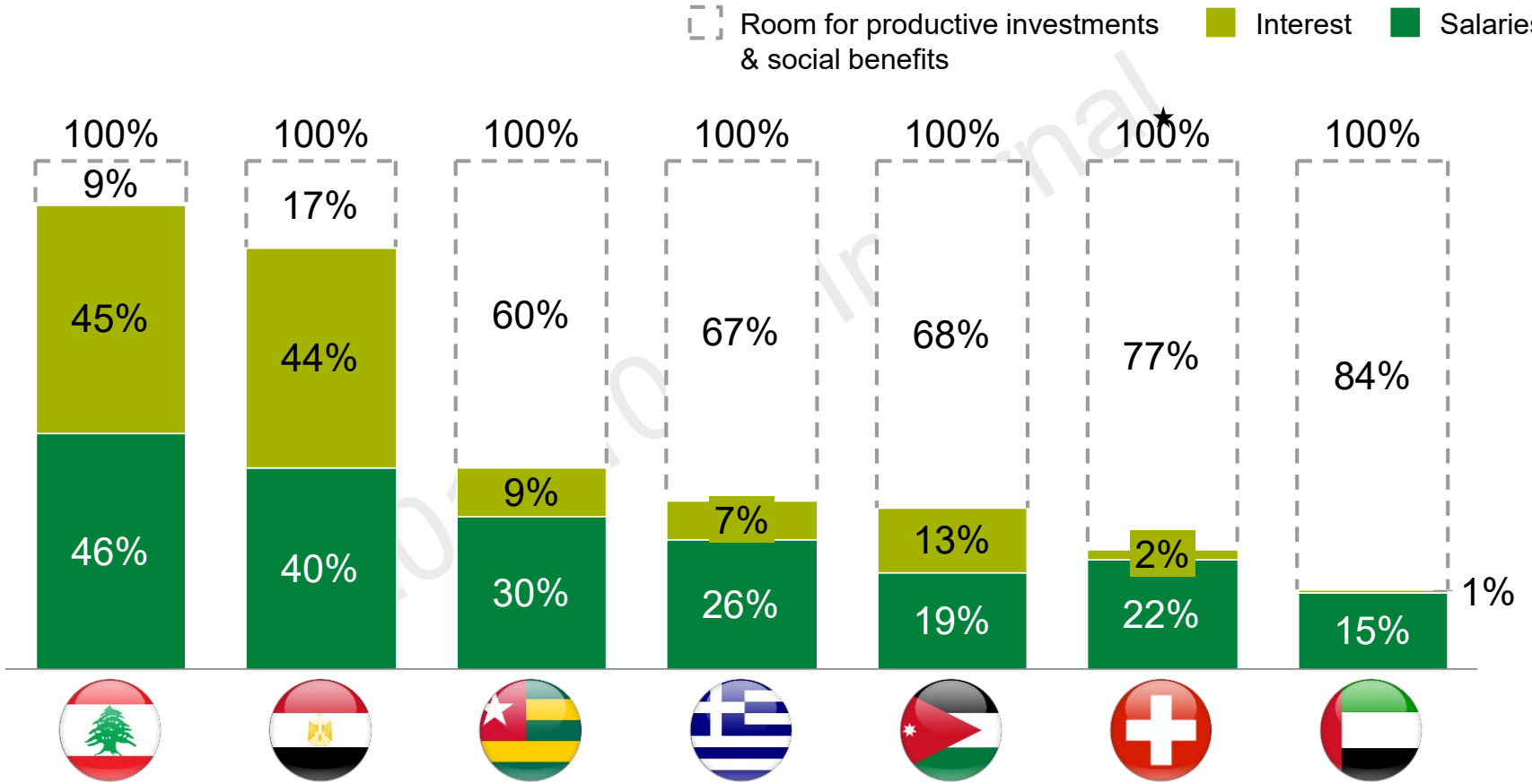


20181022 Internal

Source: Ministry of Finance

B1 Current size of interest repayments & personnel cost, leave a tight room for productive investments & social benefits compared to benchmarks

Current expenditures , % General government revenues[1]

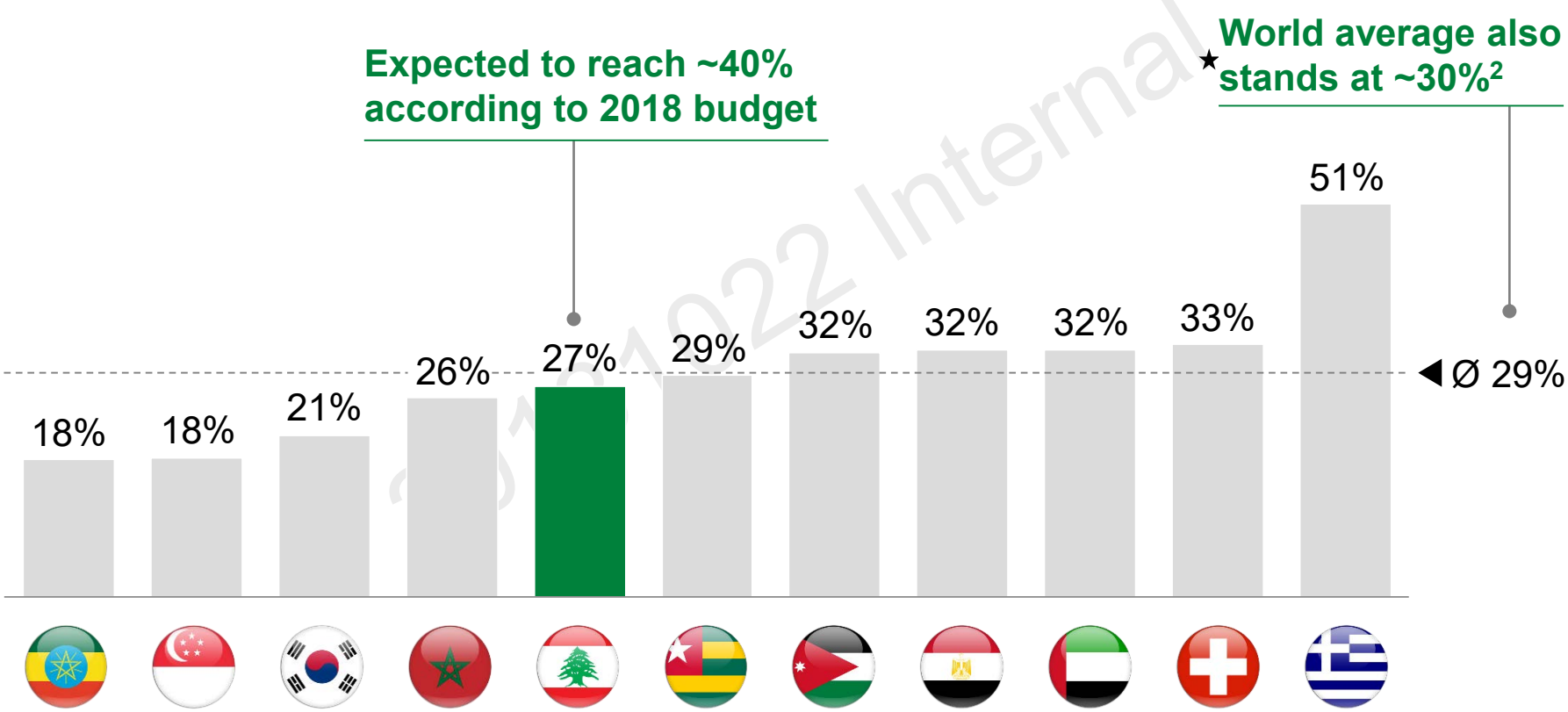


1 Average of 2012-2017 wherever the years where available, includes salaries & wages and interest payments

Source: Countries IMF Article IV tables; Ministry of Finance; World Bank

B2 Public sector size in terms of government expenditures is in line with global average at ~30%; expenditure for 2018 of 40% will be higher

General government expenditures, % GDP[1]



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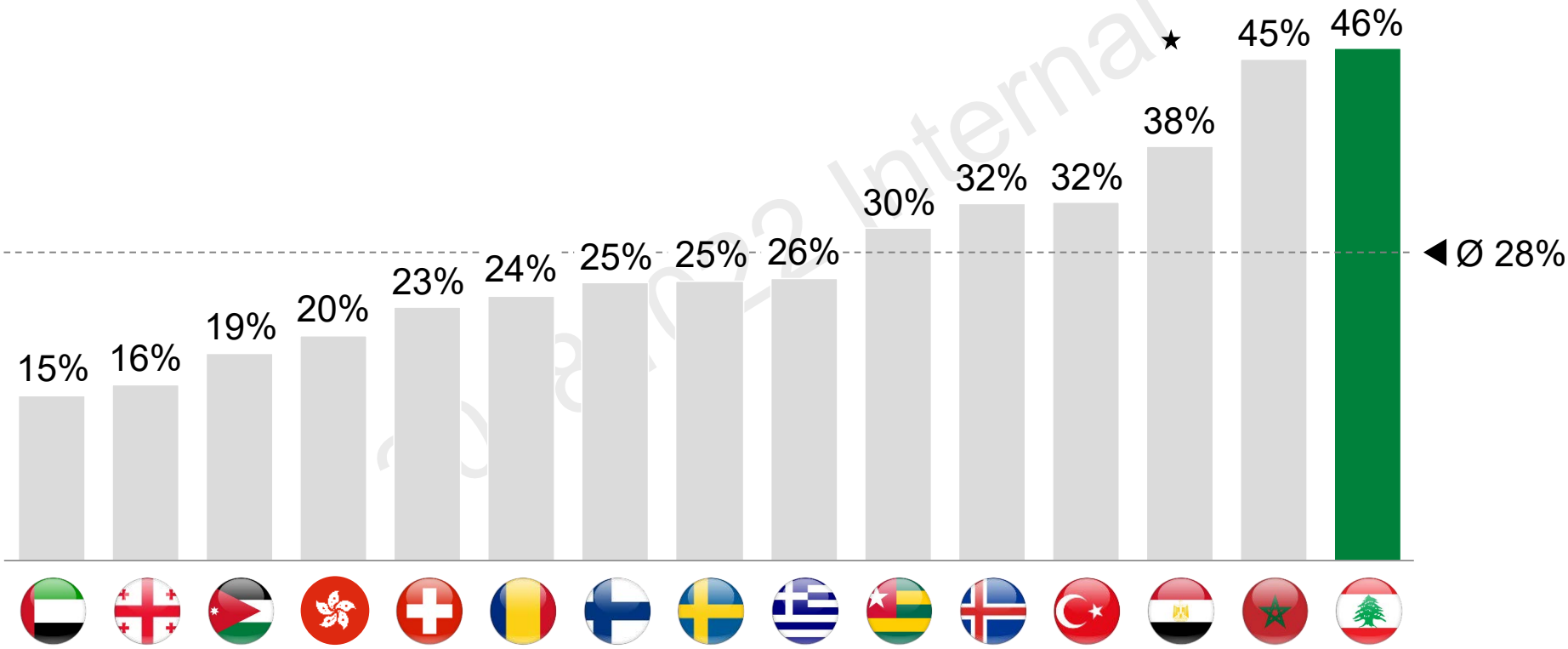
1 Average of 2012-2017 wherever the years where available
2 World Bank Analysis

Source: Countries IMF Article IV tables; Ministry of Finance; World Bank

B3 However, public sector size in terms of employment is highest amongst regional and global benchmarks

Wages and salaries, % General government revenues[1]



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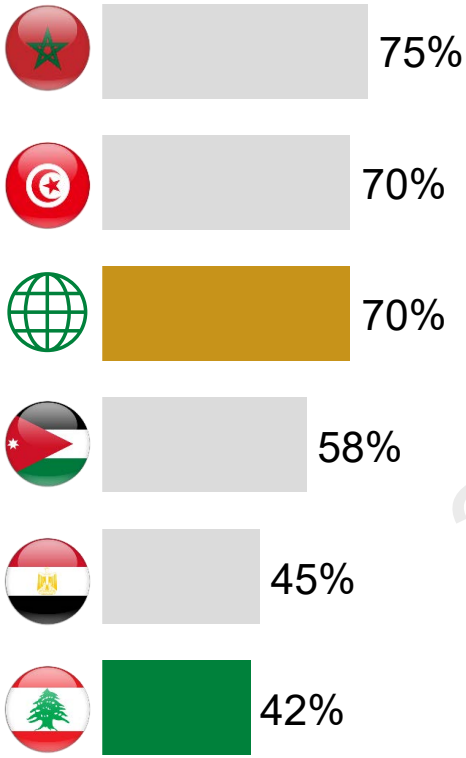
1 Average of 2012-2017 wherever the years where available

Source: Countries IMF Article IV tables; Ministry of Finance; World Bank

B4 ~5 USD Bn of taxes can be gathered yearly through better VAT compliance and collection

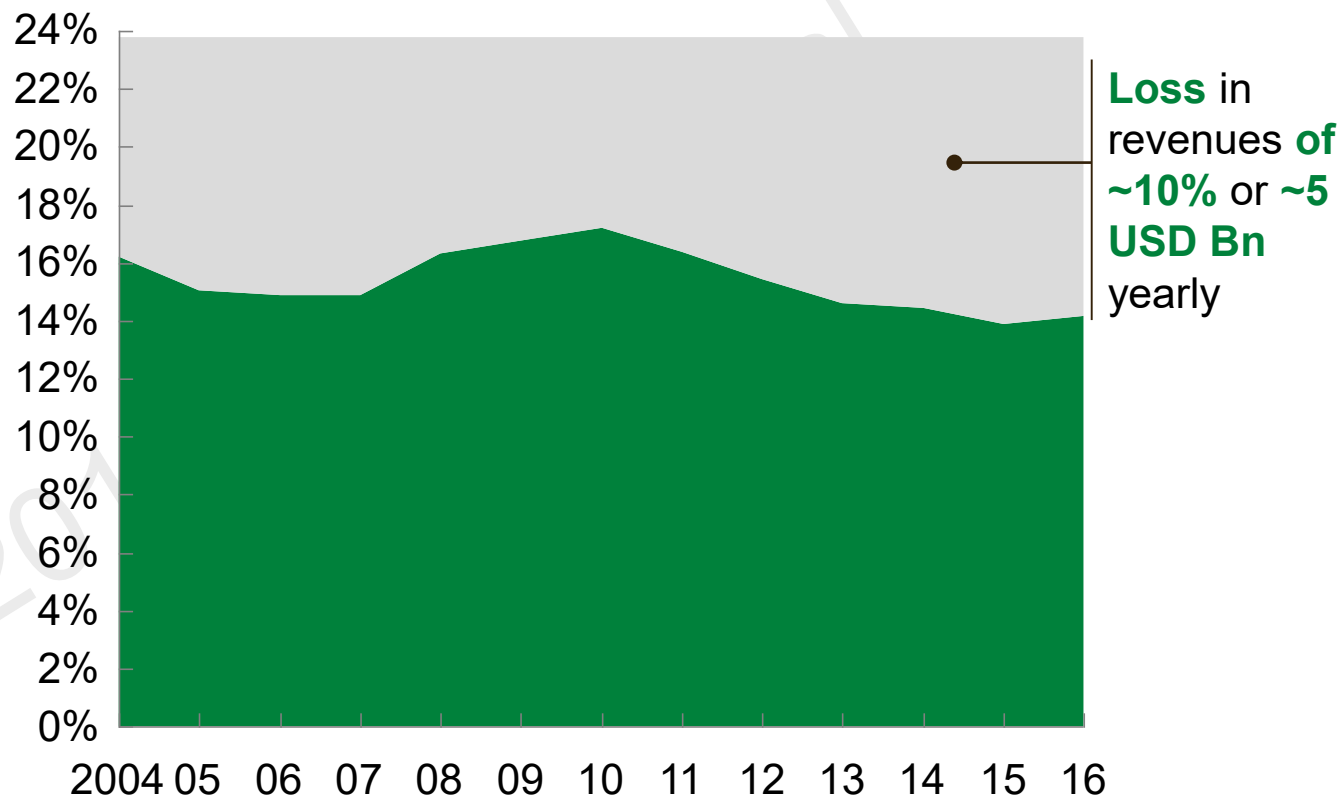
Tax effort is lowest compared to peers

Tax effort[1]
2017, %



Loss in revenues has recently been declining and reached 10% of GDP

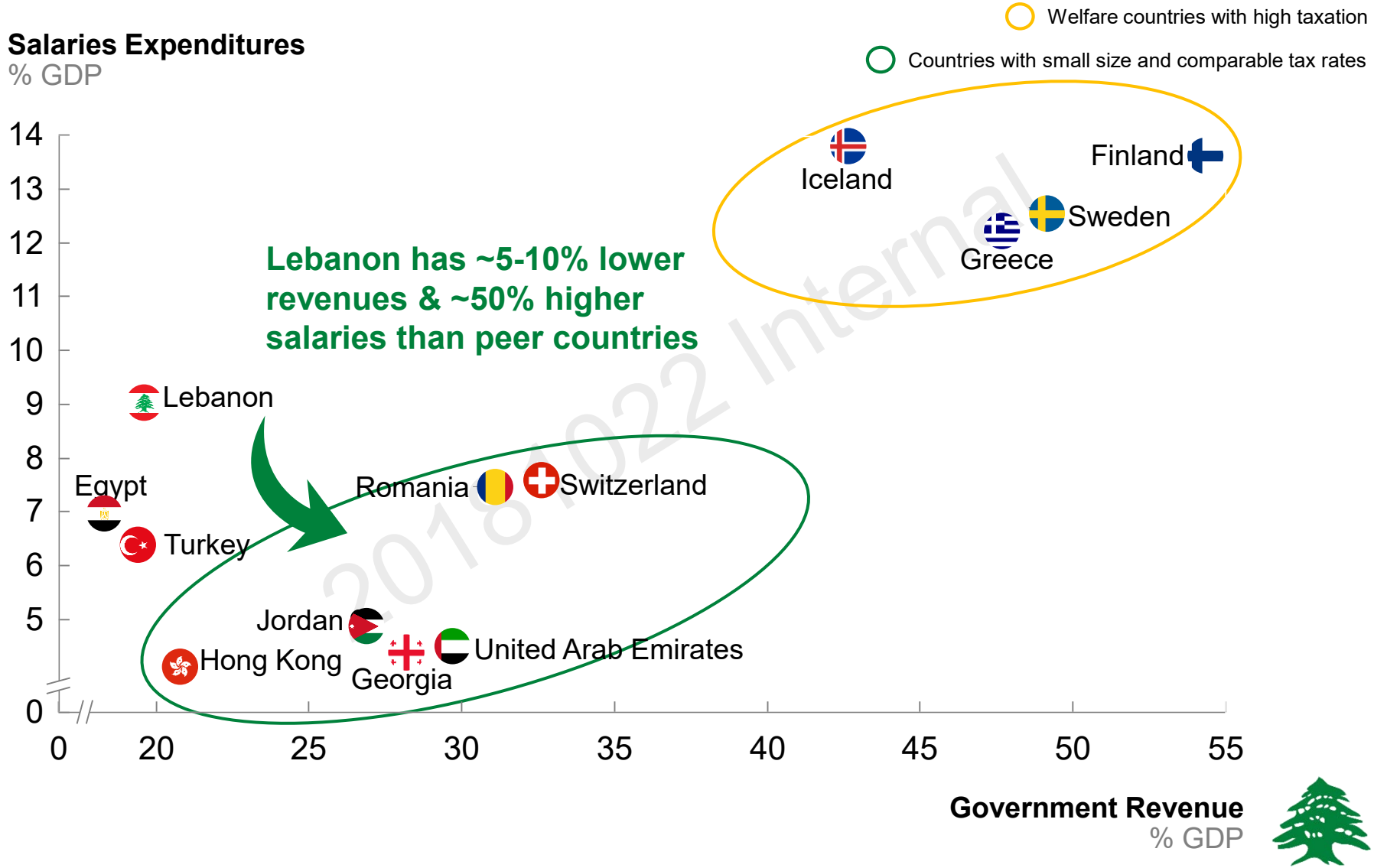
Tax collection, % GDP



1 Percentage of tax collection to total tax capacity

Source: Ministry of Finance; IMF Lebanon Selected Issues 2017

B4 As such, Lebanon spends ~50% more on public servant salaries and generates ~10% less government revenue compared to peer countries



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Source: Countries IMF Article IV

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Ease of Doing Business – summary of diagnostic

X Rank

X Difference in ranks between 2012 and 2018

Ease of doing business ranking

2018 "Ease of doing business" overall rank

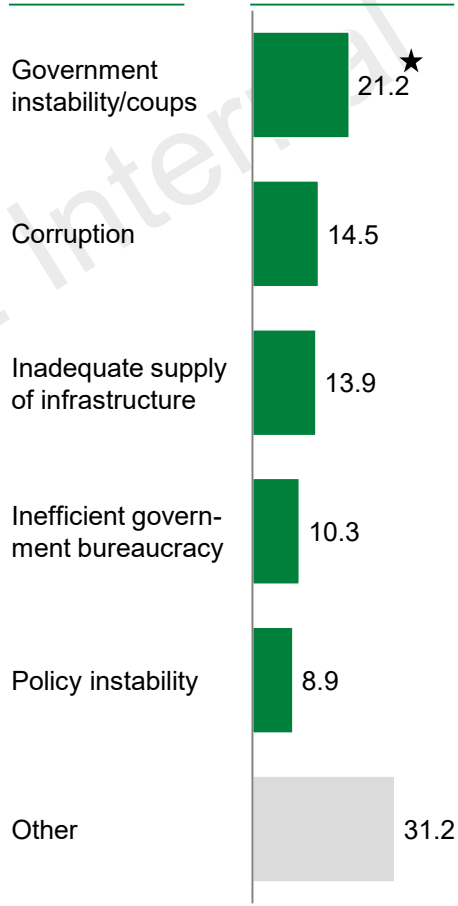
-7	Switzerland	33
-1	Singapore	2
+12	UAE	21
+25	Morocco	69
+33	Greece	67
-18	Egypt	128
-29	Lebanon	133

Global competitiveness index[1]

Global competitiveness index[1]

1	Switzerland	5.90
3	Singapore	5.70
17	UAE	5.30
71	Morocco	4.20
87	Greece	4.00
100	Egypt	3.90
105	Lebanon	3.80

Most problematic factors for doing business" in Lebanon



Key challenges

- Last reform for the doing business environment was made 6 years ago
- Outdated laws/lack of proper legislations and an inefficient government in drafting and passing legislations
- High cost associated with procedures for "doing business"
- Complicated procedures for "doing business" with multiples stakeholders
- Perceived corruption of the government

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Ease of doing business executive summary

A Doing business in Lebanon has been increasingly difficult in recent years. Lebanon has regressed in global ranks from 104 in 2012 to 133 in 2018

- Lebanon is in the third quartile compared to peers across all dimensions of doing business according to the Doing Business report 2018
- Lebanon's business environment shows that businesses face difficulties across their entire lifetime, i.e. starting a business, finding a location, financing, and settling disputes
- No serious reforms have been made since 2012 to improve the business environment (Other countries make on average 7-8 changes per year to improve across the doing business dimensions)

B Lebanon's business environment has not been conducive for doing business mainly due to an ineffective government in drafting and passing laws, the perceived corruption, and the high cost and complicated procedures associated with doing business in Lebanon

- Up to 50% of companies rank government instability, corruption, and inadequate supply of infrastructure as the 3 most problematic factors for doing business in Lebanon
- Procedures associated with doing business in Lebanon are complicated and involve multiple stakeholders (e.g. 8 procedures to start a business, 19 to handle construction permits, 20 payments per year for tax purposes, all of which are considerably higher than regional averages)
- Processes associated with doing business in Lebanon are costly compared to global and regional average
- In the last 8 years, the government has been inefficient in drafting and passing laws identified as critical for a conducive business environment
- Lebanon has lost 20 places since 2012 on the corruption index

C Moving forward, government should focus on 5 main initiatives around legislative reforms and government effectiveness to improve the business environment in Lebanon

- Improve the legislative environment by speeding up the drafting and passing of the laws identified as critical for doing business in Lebanon
- Increase government effectiveness through
  - **Increasing transparency** by introducing an **online platform** to serve as **a single source of information** for all processes related to doing business
  - **Digitizing processes and activating the e-government strategy** with prioritization of most critical procedures
  - **Institutionalizing reorganization of processes by reviewing and clarifying mandates** of the institutions in order to avoid overlaps
  - **Increasing accountability** across government entities through **activating and empowering the audit body** to ensure standards for government entity effectiveness

20181022 Internal

Source: Source: World Bank Ease of Doing business report, Global competitiveness report, Interviews

A World Bank's Doing Business Ranking helps with ranking economies globally & identify improvement opportunities along the business life cycle

The rankings measure countries across 10 sets of indicators

A	B	C	D
Getting started	Getting a location	Financing and operations	Disputes and failures
Starting a business	Dealing with construction permits	Paying taxes	Enforcing contracts
	Getting electricity	Trading across borders	Resolving insolvency
	Registering property	Getting credit	
		Protecting investors	

SOURCE: World Bank Ease of Doing business report

A Compared to 2012, Lebanon's 2018 "doing business" index moved down 29 ranks, mainly due to worsening on 8 out of the 10 criteria

XX XX Evolution of Lebanon's rank between 2012 and 2018[1]

XX Lebanon rank in 2018

Overall ranking for getting credit is low because there is no accredited private credit bureau

2018 "Ease of doing business" overall rank

Singapore	2	-1
UAE	21	+12
Switzerland	33	-7
Morocco	69	+25
Greece	67	+33
Egypt	128	-18
Lebanon	133	-29

		Rank by criterion
A Getting started	1 Starting a business	143 -34
	2 Dealing with construction permits	142 +19
B Getting a location	3 Getting electricity	123 -76
	4 Registering property	102 +3
C Financing and operations	5 Getting credit	122 -44
	6 Protecting minority investors	138 -41
	7 Paying taxes	113 -83
	8 Trading across borders	-47 140
D Disputes and failures	9 Enforcing contracts	134 -14
	10 Resolving insolvency	-22 147

180 160 140 120 100 80 60 40 20 1

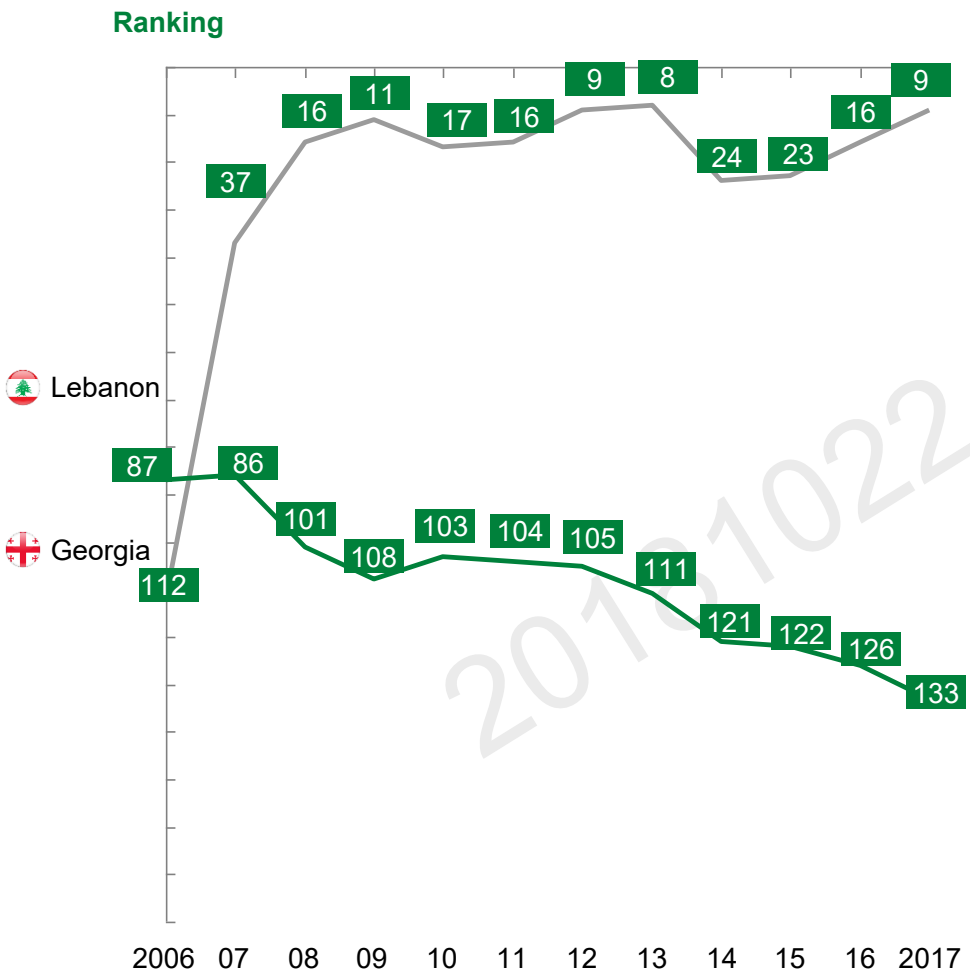
1 Methodological changes are making comparisons extremely weak

SOURCE: World Bank Ease of Doing business report

A Lebanon has made very little effort in the last 6 years to introduce reforms and improve the business environment

PRELIMINARY

Ease of doing business ranking by year



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Main reforms

Georgia

- **Making business operations simpler** (established a one-stop shop for construction permits, reduced the fees for getting a new electricity connection, eliminated notarization requirements for registering property)
- **Enhancing information access through technology** (e.g. improved credit information system through personal data protection, introduced e-payment for taxes)
- **Reforming the legal landscape** (e.g. modernized dispute resolution system for enforcing contracts, adopted new insolvency laws, amended securities law to enhance approval and disclosure requirements)

Lebanon

- **Last reform for the doing business environment was made 6 years ago**

Macro-economic facts

- Output per capita has increased by 66%
- Increased FDIs per annum at a rate of 12% since 2005
- Business density has tripled
- Drop in FDI

SOURCE: World Bank Ease of Doing business report

B The non-conducive business environment could be attributed to 4 main root causes

Detailed later

1 Outdated laws, lack of proper legislations, and ineffective government

Lack of necessary laws make it harder for businesses to operate (e.g. Competition Cost, Bankruptcy Law, IP Law)

Outdated laws need to be revisited and reviewed to enable businesses (e.g. Commercial Code)

Government has been inefficient in drafting and passing laws identified as critical for a conducive business environment

2 Perceived corruption of the government

Government is perceived as corrupt

Lebanon **lost 20 places** since 2012 **on the corruption index**

Corruption is considered the **second most problematic** factor for doing business in Lebanon

42% of firms report **expecting to give a bribe** when applying for a construction permit, 30% to secure a government contract, and 12% for an operating license

3 Complicated procedures with multiples stakeholders ★

Procedures are numerous, lengthy and involve many stakeholders

This is best exemplified by the **8 procedures to start a business**, **19 to handle construction permits** and the **20 payments per year for tax purposes**, all of which are considerably higher than regional averages

4 High costs associated with procedures

Procedures are costly. For example

- **Starting a Business** is 42% of income per capita compared to a MENA average of 19% and OECD average of 3%
- **Import border compliance** costs ~USD 700 compared to an OECD average of USD ~110
- **Building permit tax** disbursed to the municipality stands at USD 6,300

SOURCE: World Bank Ease of Doing business report, Lebanon Enterprise survey, Interviews

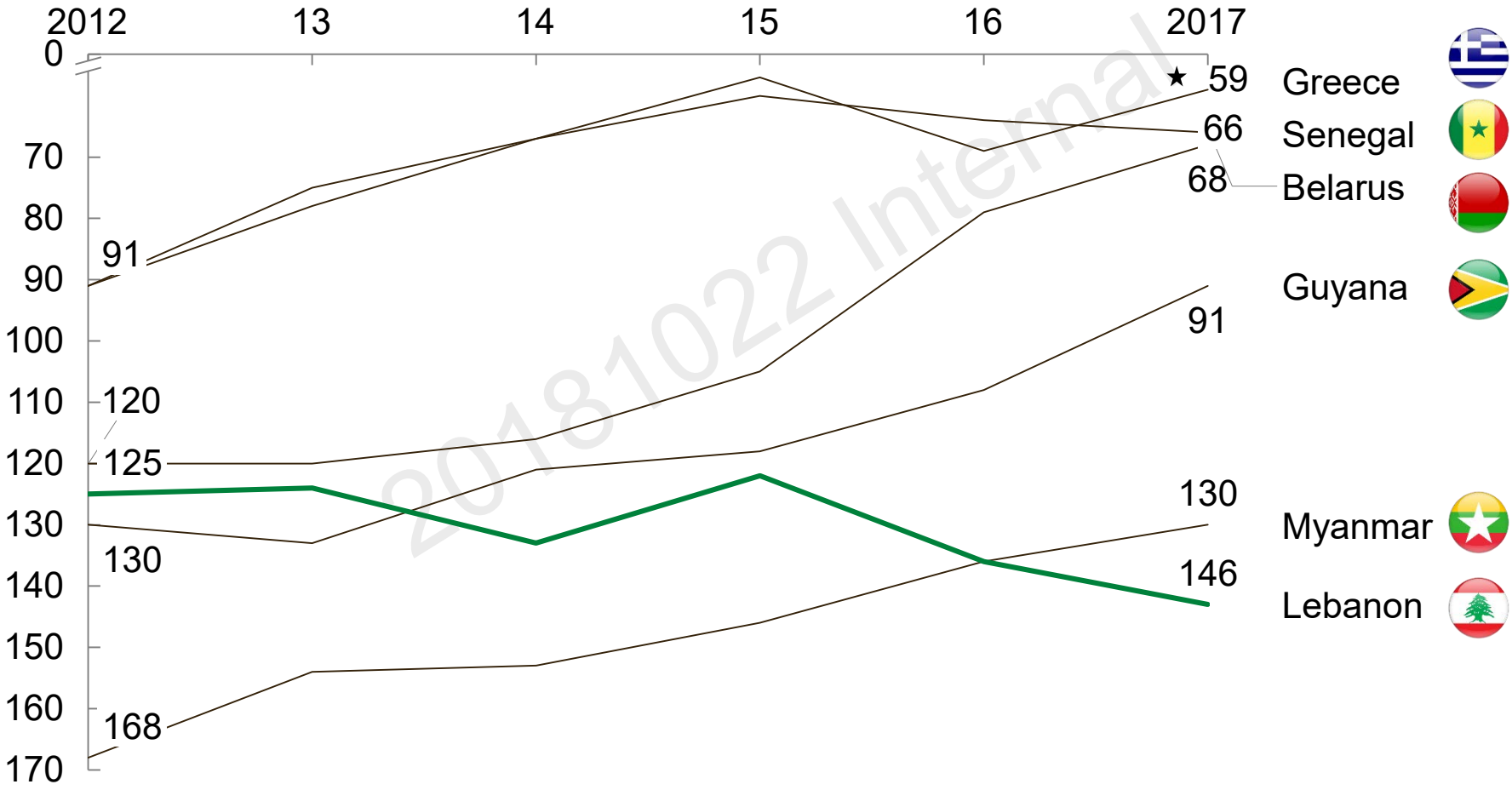
B1 Several laws that have been identified as crucial for an overall conducive business environment but are still pending approval

Pipeline		Pipeline
No action	IP law	▪ Allows companies to register and own proprietary ideas and invention
Being delayed	Equity compensation	▪ Allows companies to grant stock options to employees
	Competition law	▪ Regulates anti-competitive practices)e.g., monopoly, collusion, exclusive dealing, misuse of patent, etc.) ★
	Closing a business	▪ Facilitating the process of closing a business (reduction of time and cost)
Pending council of minister approval	No laws currently in this stage	
Being reviewed by parliament committee	Judicial mediation	▪ Speeds up court matters by allowing judges to send the proceeding directly to mediation
	Bankruptcy law	▪ Allows companies in distress to re-structure their debt
	Insolvency practitioner law	▪ Introduces right to license an insolvency practitioner to provide advise to business in distress
	Secure lending	▪ Facilitates access to capital through allowing companies to take loan on movable assets
	Code of commerce	▪ Modernizing the code of commerce for SAL, SARL and solo partnerships. Amendments include: Online creation of a company, soul partnership, suppressing minimum capital requirements
	E-signature law	▪ Grants legal recognition to e-signatures
Pending parliament approval	Preferred shares	▪ Allows non-financial companies to issue preferred shares

B2 While other countries managed to improve their corruption rank, Lebanon lost ~20 places since 2012

Corruption perception index

Country rank, 2012-17



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Source: Transparency International Corruption Perception Index

B2 In addition to corruption, government instability and poor infrastructure put additional strain on doing business in Lebanon

x Rank

Lebanon vs reference group

Global competitiveness index[1]

1	Switzerland	5.90
3	Singapore	5.70
17	UAE	5.30
71	Morocco	4.20
87	Greece	4.00
100	Egypt	3.90
105	Lebanon	3.80

"Most problematic factors for doing business" in Lebanon[2]

Factors	% of responses
Government instability/coups	21.2
Corruption	14.5
Inadequate supply of infrastructure	13.9
Inefficient government bureaucracy	10.3
Policy instability	8.9
Inflation	5.5
Tax rates	4.5
Poor work ethic in national labor force	3.9
Restrictive labor regulations	3.5
Access to financing	3.4
Tax regulations	3.1
Inadequately educated workforce	2.2
Insufficient capacity to innovate	1.8
Crime and theft	1.3
Foreign currency regulations	1.0
Poor public health	0.8

- Between 2012 and 2018, Lebanon lost 16 places (moving down from the 89th to the 105th rank on competiteveness)
- Businesses view government instability, corruption and supply of infrastructure as the top three most problematic factors to doing business in Lebanon
- In fact, 42% of firms report expecting to give a bribe when applying to a construction permit, 30% to secure a government contract and 12% for an operating license

1 The scale of score ranges from 1 to 7

2 Participants had to pick and rank within a predefined list of factors the 5 "most problematic factors for doing business" in their country. The graph presents the responses weighted according to their ranking

20181022 Internal

SOURCE: World Economic Forum, Global competitiveness report, Lebanon Enterprise survey

C The Lebanese government should focus on 5 main initiatives around legislative reforms and government effectiveness

PRELIMINARY

		Initiative	Benefits	International examples
Legislative reform		▪ **Prioritize the approval of laws** that have been identified as **critical** for a **conducive business environment** in Lebanon ▪ **Set KPIs on time limit** per **each stage of the legislative funnel** (from drafting the law to passing it through the parliament/council of ministers) to increase the efficiency of the government	▪ **Reduce costs** for business ▪ Encourage businesses to open in Lebanon through ensuring the right legislative system is in place ★	▪ Georgia has improved 100 spots in Ease of Doing Business through 39 regulatory reforms
Government effectiveness	2 **Information/ Transparency**	▪ Introduce **online platforms** to serve as **a single source of information** for all processes related to doing business	▪ Allow users to **access the services 24/7** from any location ▪ Provide a **better customer experience** through **one-stop shop websites for all information**	▪ Usa.gov is a one-stop service for citizens, all information resources and online services are accessible from one single gateway
	3 **Digitization of processes (e-government)**	▪ Revisit procedures and **reduce number of unnecessary steps** ▪ **Activate the e-government strategy** with prioritization of most critical procedures	▪ **Improve efficiency and reduce time** required for the processes ▪ **Cut costs** through reduced staff needs (e-government strategy estimates **20% reduction in operational cost** for all administrations) ▪ **Decrease bribe propensity** by decreasing direct interactions with businesses	▪ UK launched a massive digitization effort across its different services
	4 **Institutional re-organization**	▪ **Review and clarify mandates** of the institutions in order to avoid overlaps ▪ **Reactivate IDAL's one-stop shop** to facilitate starting a business	▪ **Reduce time** spent by businesses on procedures ▪ **Reduce overall processing time**	▪ Columbia improved its process of starting a business and created a one-stop shop. This allowed to cut both time and costs by ~75%
	5 **Audit bodies/ accountability**	▪ Activate and empower the **audit body** to ensure standards for government entity effectiveness	▪ Ensure **oversight on all government bodies** and abidance by the regulations ▪ **Increase accountability and transparency** ▪ **Monitor performance** across all government entities	▪ The court of Auditors in France is responsible for ensuring proper use of public budget across different entities and provide transparency to citizens

20181022 Internal

Source: World Bank Ease of Doing business report, Government website, Interviews

C Georgia has improved by 100 spots on ease of doing business through 39 regulatory reforms

- Georgia improved from **#112 (2005) to #16 (2017),** reaching as high as #8 in 2014
- Output per capita has **increased by 66%**
- Business density has **tripled**

Georgia improved largely through regulatory reforms to ease business operations and modernize the legal system

Streamlined processes	▪ **Making business operations simpler** – Established a one-stop shop for construction permits – Reduced the fees for getting a new electricity connection – Eliminated notarization requirements for registering property
Increased access to information and digitized	▪ **Enhancing information access through technology** – Improved its credit information system through personal data protection – Introduced e-payment for taxes
Regulatory reform	▪ **Reforming the legal landscape** – Modernized its dispute resolution system for enforcing contracts – Adopted new insolvency laws – Amended its securities law to enhance approval and disclosure requirements – Introduced provisions allowing shareholders greater access to corporate information

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SOURCE: World Bank Ease of Doing business report

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

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   2. *Trade profile (exports & imports)*
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   2. *Agriculture*
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   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
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   9. *Real estate and construction*
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B. Burning platform
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D. Economic aspirations and macro-economic targets
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VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Monetary policy diagnostic

A. Performance measures, drivers & enablers

Key performance measures, drivers & enablers

A1 The Banque du Liban has historically played a key role in preserving the country's stability through supporting the currency peg and prudential policies

- Due to the large currency devaluation and following fluctuations witnessed post-war the currency was pegged to the USD since 1997
- The BdL maintains the fixed exchange rate, purchases government debt, keeps interest rates steady at moderate levels, maintains high gross international reserves, provides economic stimulus, and addresses weak banks
- Several crises have tested the monetary system and proved that it constitutes a bedrock of stability for the country

A2 The Banque du Liban however, has over the years, beard much of the burden stemming from the economic and fiscal policies of the country, by operating as *"policy maker of last resort"*

- Sustained fiscal and balance of payments deficit, coupled with a decrease in deposits growth in recent years, has led to a decrease in the Central Bank's foreign reserves by ~10% between July 2015 and May 2016 to reach 34.6 USD Bn
- Extraordinary financial engineering operations were conducted to attract fresh foreign currency into the country, and increase the Central Bank's foreign reserves back to ~40 USD Bn in August 2016

Confidential

Source: IMF Article IV Lebanon; Banque Du Liban; IMF Financial System Stability Assessment Lebanon

Monetary policy diagnostic

A. Performance measures, drivers & enablers

Key performance measures, drivers & enablers

A3 Moreover, the BdL has surpassed its mandate and stepped in to support the country's economic growth through stimulus packages

- Globally sound central banks typically perform 12 key functions: Supervision, enforcement, licensing, regulation, consumer protection, AML, financial stability, monetary management, reserves management, research & statistics, operations and payment systems
- The BDL has surpassed the typical mandate of central banks to fill the void left by the government and support the country's economic growth through stimulus packages mostly on real estate but also targeting specific sectors: tech, industry and agriculture

A4 Going forward maintaining the current structure could prove challenging: While central bank policies have helped maintain confidence, fiscal adjustments in government budget should be conducted to reduce risks to financial stability

- Fiscal adjustment and a return to a declining public debt ratio are needed to reduce the burden borne by the BdL, and the reliance on deposit inflows to cover financing needs. Fiscal adjustment should also be accompanied by a stepping back from quasi-fiscal operations (subsidized loans)

2022 Internal

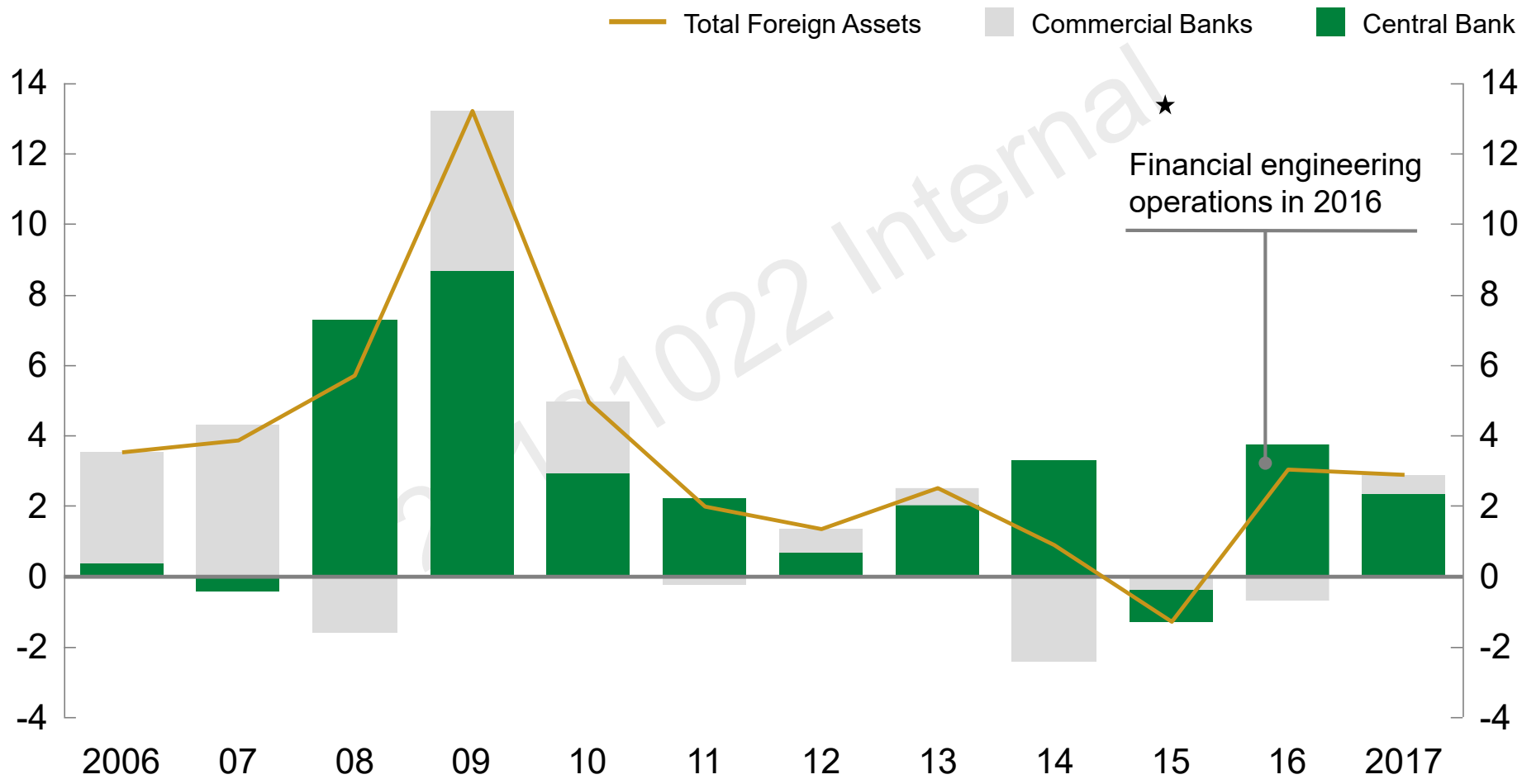
Source: IMF Article IV Lebanon; Expert interviews; IMF Financial System Stability Assessment Lebanon

Contents – Monetary policy

A Key performance measures

A2 Financial engineering operations were put in place in 2016 to reverse the trend of declining foreign assets

Lebanon yearly change in net foreign assets,
USD Bn



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Source: Banque du Liban

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Economic Development Activation – summary of diagnostic

Entities involved in EconDev activation		Key challenges
1 **Investment activation**	▪ IDAL	▪ **Incentive package** for investors is **outdated** (Last updated in 2001) and **not competitive** compared to regional peers ▪ IDAL is **not empowered** to operate its **one-stop shop** to efficiently serve investors
2 **Export promotion**	▪ IDAL ▪ Ministry of Economy and Trade ▪ Central Bank – Kafalat ▪ Ministry of Foreign Affairs	▪ Export promotion **efforts are highly uncoordinated** across different stakeholders ▪ **Low budget** is allocated for export promotion compared to benchmarks ▪ Process for approval of new export programs and improvement of old programs is **lengthy**
3 **SME support**	▪ IDAL ▪ Ministry of Economy and Trade	▪ **Source of capital** for SMEs is **volatile** and **highly dependent on external entities** (EU grant and world Bank loan are temporary sources of capital funding) ▪ **Little/no support** is provided for **access to market** and **access to talent/capabilities**
4 **Regional development**	▪ IDAL ▪ Council of the South ▪ Chamber of Commerce	▪ No clear approach to spur economic growth in under-developed regions ▪ IDAL's proposal to **change the existing incentive scheme** to better drive **investments in the regions** is pending approval

Executive summary – Economic development activation

Not covered in detail

Context

Private sector investments have been declining in recent years due to deteriorating infrastructure, high interest rate, and an unfavorable business environment

- Typically, governments can play a role in activating economic development through institutions with targeted roles
- Institutions need to be in place to fill four main objectives: Investment activation, export promotion, SME support and regional development

1 Investment activation

IDAL has been the central entity responsible for investment promotion in Lebanon, through a) prioritizing sectors for investments based on Lebanon's competitive edge, b) developing a marketing campaign and c) offering incentives for investors

- IDAL is mainly focusing on domestic investors with little effort being done to pro-actively attract foreign investor. In order to unlock IDAL's full potential in attracting investments, 3 key areas need to be addressed:
  - Pro-actively target investors and promote Lebanon in international mediums (e.g. roadshows)
  - Update the incentives offering (dating back to 2001) to meet current business reality and compete with reginal peers
  - Enhance aftercare services offered to investors and address their bottlenecks more efficiently (e.g. round tables)

2 Export promotion

Several government entities are responsible for export promotion in Lebanon: IDAL, MoET, MoFA and other ministries (e.g. MoI, MoA)

- IDAL promotes exports of selected industries by participating in fairs, subsidizing packaging and offering information and advisory services while MoET and MoFA handle G2G agreements to facilitate access to markets

The budget allocated for export promotion is ~3-4x lower than peers and the majority of it is managed by IDAL

- Budget for export promotion in Lebanon is 0.003% of government's budget versus peer group average of 0.1%
- IDAL manages ~90% of export promotion budget and allocates it to fair participation across four different export promotion programs (Agriculture, Agri-food, Industry and Chinese loan)
- Remaining ~10% of budget Is managed by MoET and allocated to fair participation

The three main entities responsible for export promotion in Lebanon face several challenges:

- Suboptimal communication between the three entities which is leading to uncoordinated efforts and lack of synergy between the export promotion strategies
- Lengthy process for approval of new export programs and improvement of old programs
- Limited scope of work (e.g. responsibilities do not currently cover training for companies on branding of export)
- Limited access to markets due to the lack of strategic alliances

3 SME support

Three entities are involved in SME support: SME unit, Kafalat and IDAL. Some entities also offer support across the "doing business" dimension through simplified procedures, reduction in fees, exemption of taxes

- Typically countries have gone for a "one-stop-shop SME model" providing access along 3 dimensions: 1) capital, 2) markets, 3) talent/capabilities

Currently, level of support/consulting for SMEs In Lebanon along their lifecycle is low:

- Volatile source of capital for SMEs (EU grant and world Bank loan are temporary sources of capital funding)
- Little/no support is provided for access to market and access to talent/capabilities
- Access to capital is highly dependent on external entities (e.g. EU, World Bank)

4 Regional develop-ment

IDAL has developed a regional strategy and identified priority sectors by region with a distinctive incentive plan to efficiently promote investments

In Southern Lebanon, a dedicated Counsel has been formed in 1971, responsible for undertaking development projects for the region (reconstruction, infrastructure)

2018 IDAL Internal

Source: IDAL, MoET, MoFA, Interviews

CONTEXT: Four main pillars are critical to enable economic development activation

	Description	International examples	Lebanon
1 Investment activation	▪ Promotes the country as a favorable investment area ▪ Negotiates incentives to increase investment attractiveness	▪ Singapore Economic Development Board (EDB) ▪ Malaysian Investment Development Authority (MIDA) ▪ IDA Ireland	▪ IDAL
2 Export promotion	▪ Provides coordination, facilitation and aftercare support to domestic investors to activate exports of local brands	▪ Ie Singapore	▪ IDAL ▪ Ministry of Economy and Trade ▪ Ministry of foreign affairs
3 SME support	▪ Support SMEs with access to finance, consulting and competency building	▪ BNDES - Brazil ▪ Bpi France ▪ SME Bank - Malaysia ▪ Innovation Norway	▪ Central Bank – Kafalat ▪ IDAL ▪ Ministry of Economy and Trade
4 Regional develop-ment	▪ Economic development of all regions ▪ Activation of regional investments		▪ IDAL ▪ Council of the south ▪ Chamber of Commerce

2018 1022 Internal

Source: IDAL, MoET, MoFA, Websites of investment promotion agency, Interviews

1 Case studies show that best-in-class investment promotion agencies serve both domestic & foreign investors in a full-scoped model

Recommended model

Model	FDI only	DDI only	Both FDI & DDI
Definition	▪ Promotes the country as a favorable investment area ▪ Negotiates incentives to increase investment attractiveness	▪ Provides coordination, facilitation and aftercare support to domestic investors ▪ Focused on SMEs ▪ Closely collaborates with other public institutions	▪ Promotes, attracts and facilitates both type of investments ▪ Has the scale and capabilities to identify high-potential projects and debottleneck them
Reason to choose	▪ Small or underdeveloped country with limited domestic stock (e.g. capital, investor)	▪ High potential from domestic investors (e.g., wealth, retained earnings) that require facilitation to materialize	▪ Ambitious vision and requirement to maximize the potential from all investment sources
Examples	IDA IRELAND, EDB SINGAPORE	ENTERPRISE IRELAND where innovation means business, kotra, HAMAG BICRO	INVEST IN TURKEY, NEW ZEALAND TRADE & ENTERPRISE, AGENCY FOR INVESTMENTS AND COMPETITIVENESS

IDAL is responsible for attracting FDIs and DDIs (as per the recommended model); However majority of its current work revolves around supporting DDIs

SOURCE: IDAL interviews, Websites of investment promotion agency

1 Investment promotion agencies typically offer a broad range of services in the value chain

Strategy and policy formulation			
Formulate the economic policy and/or legislation	Develop the value proposition; Country branding, marketing campaigning	Identify target industry sectors & potential sources of investment	Create favourable business environment

Lead generation	Investment facilitation	Investment execution	Aftercare
Identify individual companies and sub-sectors to actively target	Channel incoming investment leads	Assist in licensing & other administrative requirements	Provide account management services
Source and develop investment projects	Identify and prioritize key investments that require facilitation	Offer funding	Troubleshoot on manpower, infrastructure and service needs
Develop business case and pitch pack	Identify and eliminate the bottlenecks	Offer incentives	
Conduct targeted investor outreach	Link the investors to peer companies, potential partners, public institutions	Provide assistance in recruitment, infrastructure, etc.	

1 IDAL has a clear investment promotion strategy but is not providing competitive incentives and effective aftercare services

✗ Not offered ✓ Partially offered/not implemented ✓ Offered

	Activity	Provided by IDAL	Description
Strategy and policy formulation	▪ Formulate the economic policy and/or legislation	✓	▪ IDAL proposes changes and recommendations to current legislations to improve the business environment but approval is needed from the council of ministers or the parliament (delays are faced)
	▪ Develop the value proposition; Country branding, marketing campaigning	✓	▪ There is no clear branding/identity for the country ▪ Marketing plan is developed but not implemented
	▪ Identify target industry sectors & potential sources of investment	✓	▪ Potential market plays where Lebanon is competitive have been identified (e.g. BPO)
	▪ Create favourable business environment	✗	▪ N/A
Lead generation	▪ Identify individual companies and sub-sectors to actively target	✓	▪ IDAL identifies potential investors through the Times database (no other database/ active research is being done)
	▪ Source and develop investment projects	✗	▪ No effort is being done at the individual investment
	▪ Develop business case and pitch pack	✓	▪ Investor pitch is developed however detailed business case is not developed
	▪ Conduct targeted investor outreach	✗	▪ No targeted investor outreach Is being done (e.g. roadshows)
Investment facilitation	▪ Channel incoming investment leads	✓	▪ IDAL is the interface of prospective investors
	▪ Identify and prioritize key investments that require facilitation	✓	▪ IDAL has limited access to foreign investor database; main focus is on local investors
	▪ Identify and eliminate the bottlenecks	✓	▪ IDAL coordinates with relevant parties to try to remove bottleneck
	▪ Link the investors to peer companies, potential partners, public institutions	✗	▪ IDAL currently has limited connections to link investors to peer companies
Investment execution	▪ Assist in licensing & other administrative requirements	✓	▪ In some cases, IDAL provides subsidies on land registration costs
	▪ Offer funding	✗	▪ N/A
	▪ Offer incentives	✓	▪ Incentives scheme is outdated (since 2001) and not competitive compared to the region and other countries (Incentives are limited to tax exemption)
	▪ Provide assistance in recruitment, infrastructure, etc.	✗	▪ N/A
Aftercare	▪ Provide account management services	✗	▪ N/A
	▪ Troubleshoot on manpower, infrastructure and service needs	✓	▪ IDAL partially provides support on basic infrastructure needs (e.g. electricity)

20181022 Internal

Source: Interviews with IDAL

1 Three key points need to be addressed to unlock the full potential of the investment promotion agency in Lebanon

Pro-actively target investors and promote Lebanon in international mediums (e.g. roadshows)

- Contract a branding agency to develop a national brand for Lebanon that meets sector selection
- Develop and implement a regional and international promotion campaign (e.g. Ads on international media, roadshows)
- Define the operating model between in-house scouting and external databases/FDI consultancies
- Develop a calendar of events for investment promotion including roadshows in priority countries and major events for target sectors (in partnership with ministries)

Update the incentives offering (dating back to 2001) to meet current business reality and compete with reginal peers

- Update the decrees of investment Law 360 related to conditions for getting incentives (e.g. capital requirement, employment)
- Update the Law itself regarding the types of incentives offered to be able to compete with regional and international peers on investor attraction

Enhance services offered to investors and address more efficiently their bottlenecks (e.g. round tables)

- Allocate dedicated account managers for investors
- Activate IDAL's "One-stop-shop" to be able to better serve investors (e.g. faster processing of licenses for businesses)
- Implement yearly foreign investors roundtables to ensure re-investments in Lebanon and discuss ease of doing business issues

Source: Interviews with IDAL

1 CASE EXAMPLE: Turkey's government agency ISPAT offers extensive services to local and foreign investors through a one-stop-shop approach

INVEST IN TURKEY

1 Mandate

- Official organization for **promoting Turkey's investment opportunities**
- Lead the promotion activities regarding the **investment climate in Turkey**
- **Report systematic problems** on ministerial level
- **Coordinate macro investment projects**

2 Organization structure

- Organization structured both **vertically and regionally**
- Dedicated 15 country teams, 12 sectoral teams and also special task forces (land research, incentives, working permits, investment environment improvement)

3 Governance

- Positioned as a **special unit within the Prime Minister's office** with administrative and financial autonomy
- Consultancy Board comprises Ministries assigned by the Prime Minister and representatives from private sector. **PM chairs the Board**

4 Range of services

- Market information and analyses
- Industry overviews and comprehensive sector reports
- Assessment of the conditions for investments
- Site selection
- Finding of companies for potential partnerships and joint ventures
- Negotiations with relevant governmental institutions
- Facilitation of legal procedures and legislation issues

Success record

Among 181 National Investment Promotion Agencies, ISPAT ranked[1];

- **#15** In "general performance assessment" in the world in World Bank's Global Investment Promotion Benchmarking Report 2009
- **#2** In inquiry handling in Europe and 5th in the world in World Bank's Global Investment Promotion Benchmarking Report 2009
- **#7** Best IPA Web Portal in the world in Global Investment Promotion Best Practices 2012 Report

2013 2022 Internal

SOURCE: Invest in Turkey website, team analysis

1 CASE EXAMPLE: New Zealand Trade & Enterprise has a highly intensive program for the potential high growth firms

1 Mandate	▪ **New Zealand Trade & Enterprise (NZTE)** is the national lead agency, overseeing both domestic and offshore business promotion ▪ To ensure customised, integrated services for individual firms, NZTE works in close cooperation with other agencies ▪ Policy interventions (e.g., strengthening venture capital markets) are based on evidence of key growth constraints at specific points in the firm life cycle ▪ NZTE does not have a standalone funding or grants programme
2 Services	▪ Underlying operating model - 'The Customer Way' under which the customers are segmented, their needs are discovered, planned for delivery, delivered services in both in New Zealand and internationally, and results are measured
3 Organizational structure	▪ Employees: 565 ▪ Works with ~4,000 New Zealand businesses, and focuses intensively on ~700 of these customers
4 Governance	▪ NZTE is co-owned by **The Ministry of Business, Innovation and Employment (MBIE)** which has the overall responsibility for the business promotion effort and **The Ministry of Foreign Affairs and Trade (MFAT)** which is involved in the export promotion effort ▪ NZTE board and CEO report to the ministry three times a year ▪ A system of KPIs is established, focused on customer portfolio growth, customer deals, customer value add, and value of capital deals

Success record

Between 2011 and 2015,

- ★ Annual revenue growth among the export companies NZTE worked with by 42%
- Capital deployed increased from $505m to $866m
- F700 Portfolio International Revenue increased from $21b to $34b
- Value of exporter deals rose from $443 million to $1.1 billion

91% of focus 700 companies believes NZTE added value to their business

Working with companies one on one:

- 621 Focus 700 and Coalitions
- 3,389 Foundation customers
- 3,475 SMEs

2018 1022 Internal

SOURCE: KOTRA; Press

1 CASE EXAMPLE: Crotia's Agency for Investments & Competitiveness promotes Croatia, proactively attracts investors and helps in implementing large projects

1 Mandate

- Provide all necessary help and assistance to foreign and domestic investors
- Facilitate the implementation of investments
- Enable these projects to achieve their maximum business potential

2 Services

- Promotion of Croatia as an investment destination
  - Strengthening of Croatia's image as a globally competitive economy
  - Coordination of all promotional activities on the international market with partner institutions
- Support of the implementation of investment projects through:
  - Offering of all the necessary information on business opportunities in Croatia
  - Preparing projects for investment in Croatia
  - Supporting investment projects in all phases of realization through the "tailor-made" approach
- Increasing the competitiveness of the Croatian economy:
  - Improvement of investment environment
  - Removal of administrative barriers

3 Gover-nance

- **Managed by the Managing Director and Steering Committee**, and is organized into two sectors: Sector for Investments; Sector for Competitiveness
- **Steering Committee consisting of** President (Minister of Economy) and members from Ministries of Regional Development and EU Funds, Finance, Tourism, Construction, etc.

Success record

Between 2011 and 2015,

- Agency for Investments and Competitiveness won the award for best investment project in Eastern Europe in 2015
- In 2014, FDI flows reached EUR 2.87 billion, their highest level since 2009
- Crotia has been the most successful country in attracting foreign investments in the region[1]

1 According to the 2013 annual report by the United Nations Conference on Trade and Development (UNCTAD)

2015-1022 Internal

SOURCE: Website

2 Best practice export promotion agencies provide support across 6 dimensions

2019 Internal

2 Three main entities are responsible for export promotion and partially provide the services recommended by best practices

	Key activities	Key limitations/challenges
IDAL INVEST IN LEBANON	▪ Provides subsidies for packaging agribusiness export products ▪ Provides information on market access and export requirements ▪ Participates in fairs to promote Lebanese pavilion	▪ Limited training on upgrading of technical specs to ensure competitiveness of Lebanese exports ▪ Limited B2B agreements to facilitate access to market ▪ Ad-hoc branding of Lebanese pavilion (Not done on a strategic basis)
REPUBLIC OF LEBANON MINISTRY OF ECONOMY & TRADE	▪ Leads G2G engagement with foreign markets to form strategic alliances	▪ Unsuccessful rate of G2G agreements due to dependency on diplomatic relationship between Lebanon and some countries
	▪ Coordinates between foreign markets and relevant Lebanese government entities (MoI, MOA) to promote exports, augmented through the recently appointed Trade Diplomats Negotiates trade agreements and finds news markets for Lebanese exports ▪ Leading agri-food diplomacy program (promotion of Lebanese agri-products)	▪ Lack of prioritization across different types of export products

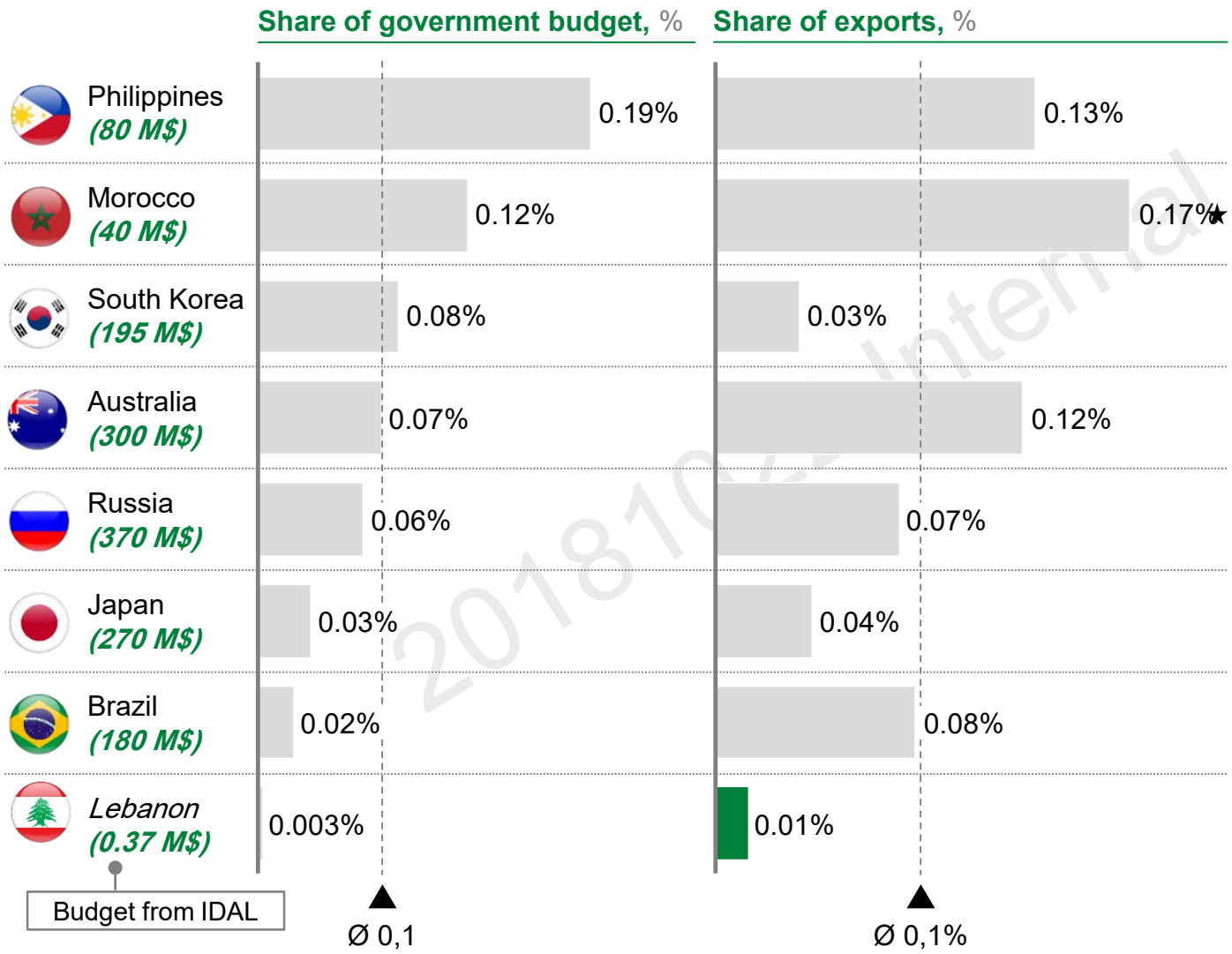
Other ministries also are involved in export promotion within their own industry (e.g. Ministry of Agriculture, Ministry of Industry)

20.01.2022 Internal

Source: IDAL, MoET, MoFA, Websites of investment promotion agency, Interviews

2 Share of budget allocated for export promotion in Lebanon is low compared to peers

(300 M$) Budget of promotion agencies



- Budget for export promotion is concentrated within IDAL
- Budget for export promotion has not changed in the last 5 years
- Only 1% of IDAL's budget is allocated for active marketing and branding of Lebanese exports while remaining 99% are using to subsidize packaging of agricultural produts

SOURCE: IDAL

2 Main challenges in export promotion can be attributed to lengthy process for approval of programs and difficulty in accessing markets

Main challenges faced

1 Lack of coordination between all entities involved in export promotion (IDAL, MoET, Chamber of Commerce and relevant ministries) and the absence of a national strategy on export

- ***Diverging strategies for export promotion*** e.g. IDAL focuses its export promotion strategy on 4 main industries (agriculture (Agri Plus program, agro-food (Agro Map program, ICT (not yet approved), Industry (MLEB), and Chinese Loan program) while MoET and MoFA have independently developed a list of products that they promote for external countries
- ***Lack of coordination on branding*** of one Lebanese pavilion
- ***Lack of communication on fairs participation***

2 Process for approval of new export programs and improvement of old programs is very lengthy

- Proposal made by IDAL to update current export programs like Agri Plus and Agro Map are still pending approval
- New program proposed by IDAL for export promotion of Media and ICT programs are still pending approval

3 Access to markets is very challenging

- MoET has faced several challenges in closing trade agreement for promotion experts
- IDAL does not currently have direct access to international markets to successfully connect local companies to suppliers

Source: Interviews with MoET, MoFA and IDAL

3 SME programs typically provide support across 3 dimensions: capital, talent and markets

Support tools

Direct lending	Guarantees	Venture capital	Subsidies	Advisory services across the SME lifecycle	Running active capability-building	Planning strategic requirements in terms of skills	Transparency on opportuni-ties and facilitating access to public procurement	Developing active strategic procurement support facilities	Promoting local SMEs internationally and supporting exports

20181024

- **The optimal support mechanism varies by SME depending on their level of development and the relevant problems facing their sector**
- **SME support programs can also offer support on the ease of "doing business" dimension through simplified procedures, reduction in fees, exemption of taxes**

3 Several countries have gone for a “one-stop-shop SME model” providing support on a variety of dimensions

		Brazil	Norway	Ireland	Singapore	South Korea		Malaysia	France
		BNDES	Innovation Norway	Enterprise Ireland	SPRING Singapore	KODIT	SMBA	SME Bank	bpifrance
Access to capital	Direct lending	✓	✓		✓			✓	✓
	Guarantees	✓	✓		✓	✓		✓	✓
	Venture capital	✓		✓	✓		✓		✓
	Subsidies	✓	✓	✓	✓				✓
Access to talent/ capabilities	Advisory services across the SME lifecycle		✓	✓	✓	✓	✓	✓	✓
	Running active capability-building			✓	✓		✓	✓	
	Planning strategic requirements in terms of skills						✓		
Access to markets	Transparency on opportunities and facilitating access to public procurement		✓	✓			✓		✓
	Developing active strategic procurement support facilities		✓	✓					✓
	Promoting local SMEs internationally and supporting exports	✓	✓	✓			✓		✓

SOURCE: Online sources

3 However, in Lebanon, 3 entities are currently involved in SME support with little support is being provided across the 3 dimensions

		MoET	Kafalat	IDAL	Description
Access to capital	Direct lending		✓		Provides access to financing to SMEs
	Guarantees		✓		EU offered loan guarantees to SMEs which was managed by Kafalat (currently depleted)
	Venture capital	✓	✓		iSME program managed by Kafalat engages in co-funding of SMEs with the support of other VCs. Loan form the World Bank for the funding was taken by the Ministry
	Subsidies			✓	IDAL subsidizes packaging for agri-food SMEs for exports
Access to talent/ capabilities	Advisory services across the SME lifecycle	✓			Ministry acts as an information center for inquiries related to SMEs
	Running active capability-building				
	Planning strategic requirements in terms of skills	✓			Ministry developed the SME strategy which identified skill gaps required for SMEs to grow
Access to markets	Transparency on opportunities and facilitating access to public procurement				
	Developing active strategic procurement support facilities				
	Promoting local SMEs internationally and supporting exports			✓	IDAL participates in fairs to promote SME export products in prioritized sectors

✓ No support/insufficient support

Currently, level of support/ consulting for SMEs along their lifecycle is low:

- Volatile source of capital for SMEs (EU grant and world Bank loan are temporary sources of capital funding)
- Little/no support is provided for access to market and Access to talent/ capabilities
- Access to capital is highly dependent on external entities (e.g. EU, World Bank)

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Source: Interviews with MoET and IDAL

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
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   15. *Urban efficiency*
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   3. *Monetary policy*
   4. *Economic development activation*
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IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

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   2. *Industry*
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B. Public administration reform requirements
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A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Trade Agreements – summary of diagnostic

Status of trade agreements

	Agreement	Partner	Status	Prelem. assessment of impact to date
Active agreements	Greater Arab Free Trade Agreement (GAFTA)	Arab countries	Entered into force in 1998	Positive impact ★
	EU Association Agreement	European Union countries	Entered into force in 2006	Negative impact
	EFTA Free Trade Agreement	EFTA States (Iceland, Liechtenstein, Norway and Switzerland)	Entered into force in 2004	Neutral impact
Ongoing discussions	World Trade Organization	Global	Accession in progress - last working party meeting (7th) conducted in 2009	
	MERCOSUR Free Trade Agreements	Argentina, Brazil, Paraguay, Uruguay, & other south American countries	MoU signed in 2016, discussions in progress	
	Agadir Agreement	Egypt, Jordan, Morocco, Tunisia	Accession in progress, following initial approvals in April 2016 and March 2017	

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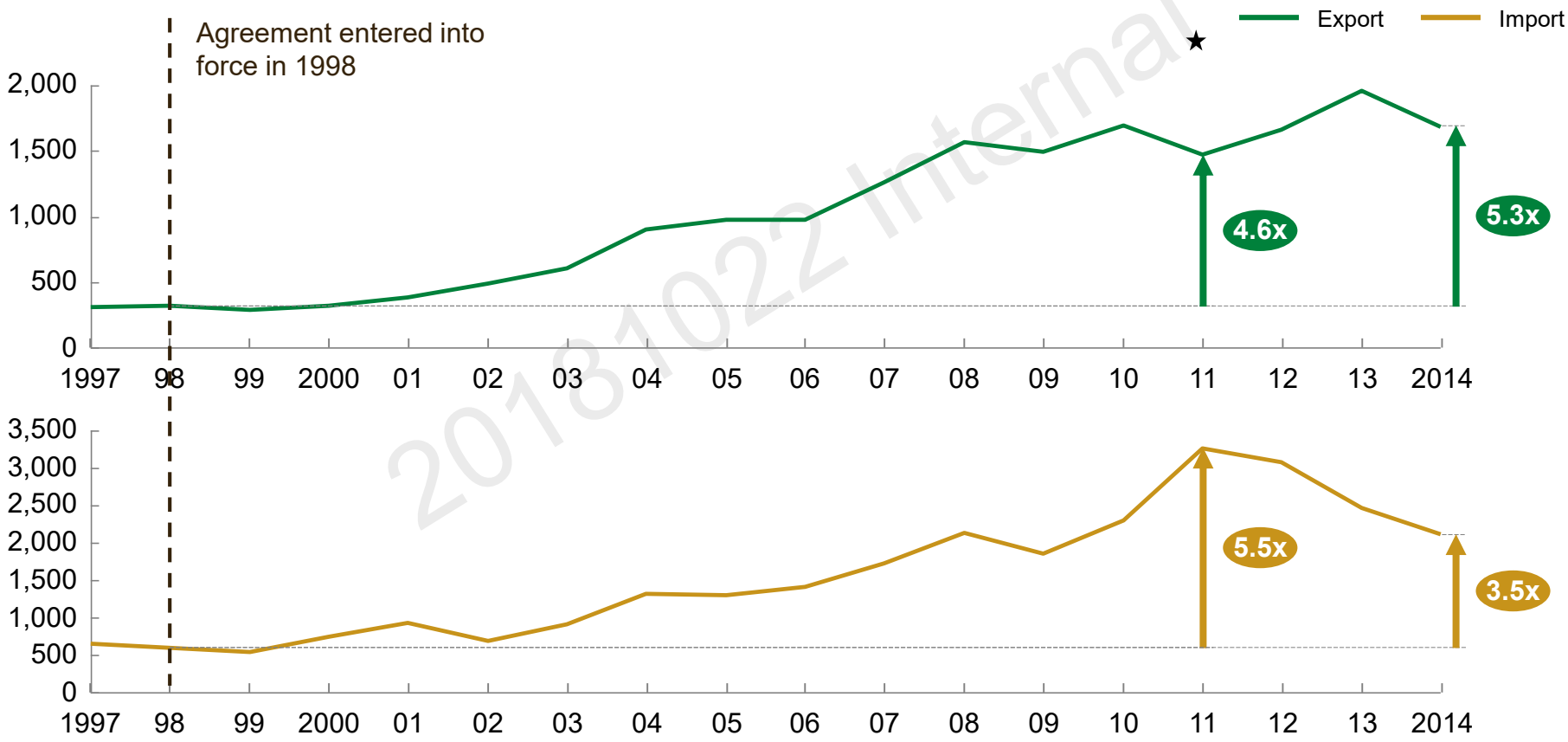
Key challenges

- **EU Association** Agreement led to a **short-lived boost to exports**, whereas **imports continue to grow**
- **The EFTA** trade agreement led to a balanced increase in both exports and imports, but **gains in both have been largely lost**
- There is a **lack of coordination** between the different trade-related entities
- Private sector faces issues with **technical and non-technical measures** (e.g. SPS conditions, registration requirements…)

GAFTA has been relatively advantageous to Lebanon, allowing exports to consistently grow, whereas imports began to decline in 2011

Annual trade flows with GAFTA countries[1]
Million USD



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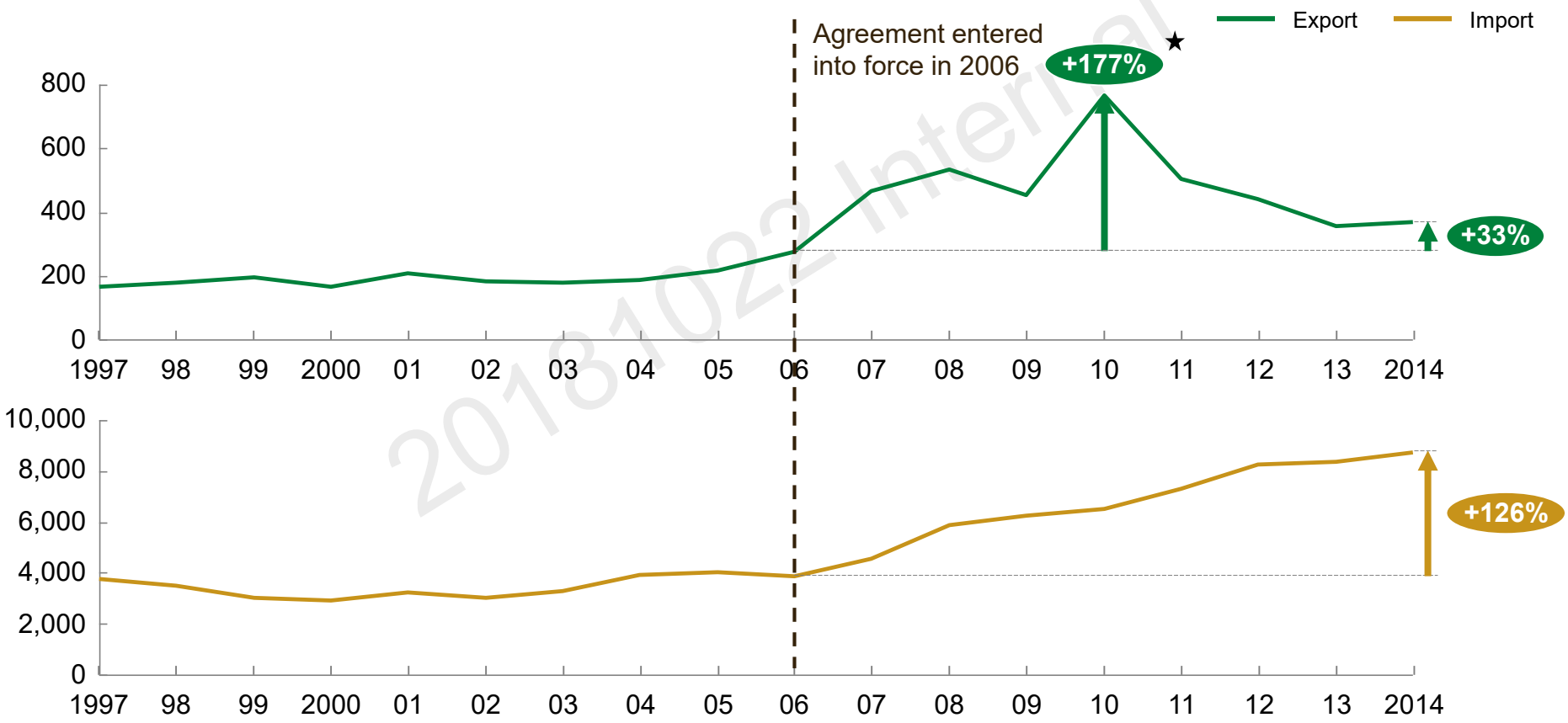
1 Excluding Algeria, which did not join GAFTA until 2008

Source: UN COMTRADE

EU Association Agreement led to a short-lived boost to exports, whereas imports continue to grow

Annual trade flows with EU countries
Million USD



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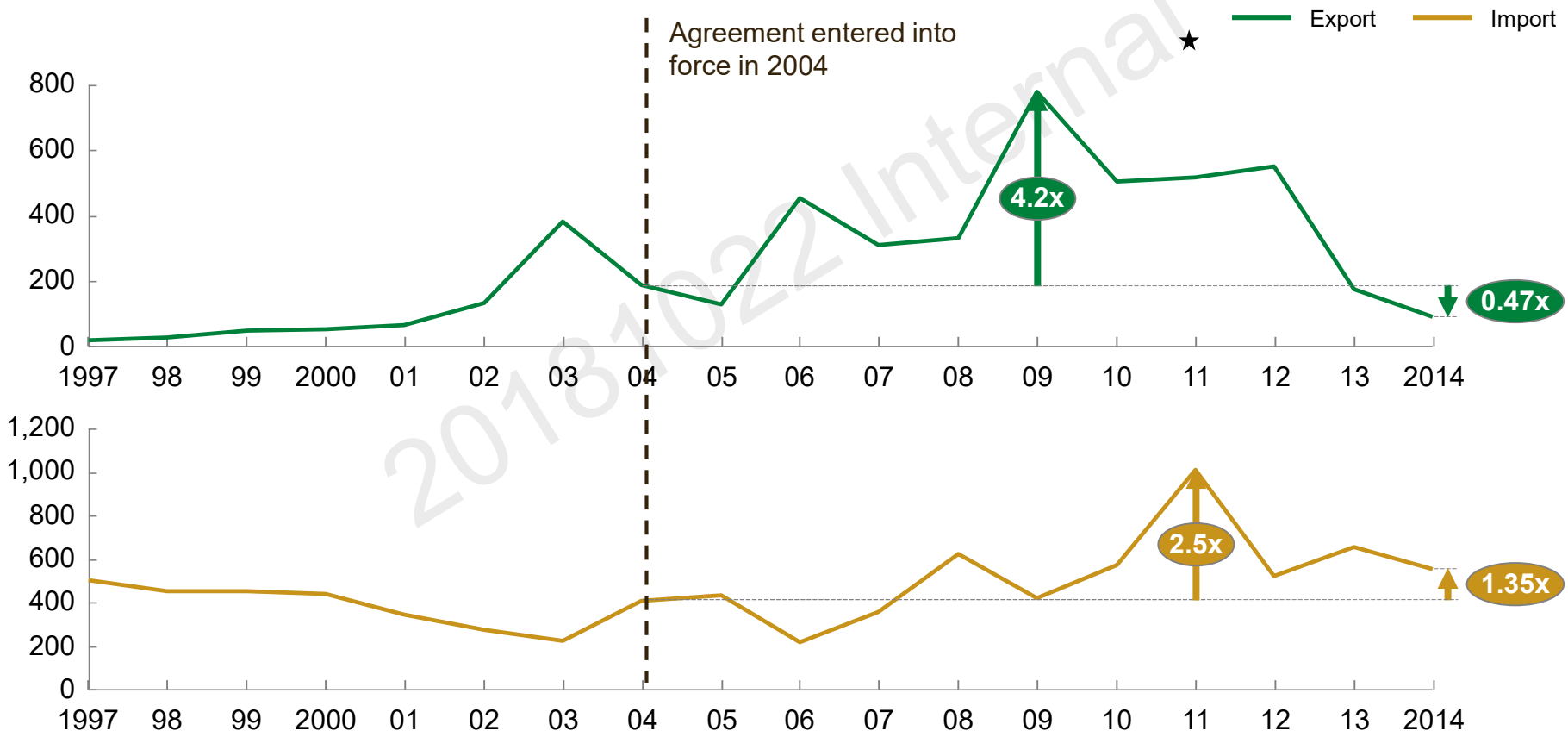
Source: UN COMTRADE

The EFTA trade agreement led to a balanced increase in both exports and imports, but gains in both have been largely lost

Annual trade flows with EFTA countries[1]

Million USD



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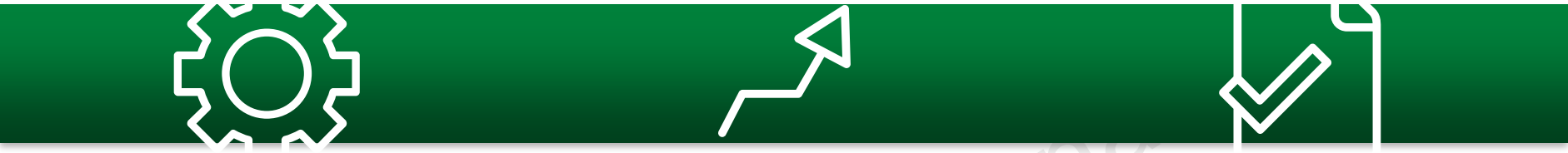
1 Iceland, Norway and Switzerland (data on trade with Liechtenstein not available)

Source: UN COMTRADE

Moving forward, there are 3 key trade-related priorities for the government



1

Improving coordination among trade-related entities, including but not limited to:

- Ministry of Agriculture
- Ministry of Industry
- Ministry of Economy and Trade
- Ministry of Foreign Affairs and Emigrants
- IDAL
- Local chambers of commerce

2

Proactively supporting the private sector in overcoming technical and non-technical measures which are limiting exports, in order to maximize benefits of trade agreements

Priority measures include SPS conditions on food exports, registration requirements for pharmaceutical products, and rule-of-origin constraints for industrial goods

3

Adopting a more proactive and analysis-driven approach to trade-related policy-making especially regarding 1) entering/renegotiating/withdrawing from trade deals, 2) imposing tariff and non-tariff measures on imports

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2018 10 22 Internal

The Vision: Chapter Summary

PRELIMINARY

To reverse the downward spiral, the economy should be guided by a set of principles…

RECAP: Lebanon's economic challenges necessitate change in its economic model. Challenges could be summarized in 3 areas:

- A highly volatile economy
- Limited government ability to ignite growth
- A non-conducive business environment

Other countries were able to achieve ambitions doing business transformations (e.g. Georgia) and sustained GDP growth (e.g. Singapore) through a clear Vision and disciplined government interventions and reforms

To overcome the challenges, Lebanon needs to build its economy around consistent principles

- **Focus the** government resources and efforts on priority areas
- **Improve the business environment** by reducing cost of doing business, addressing corruption in the public sector and improving overall business environment, eventually raising Lebanon's competitiveness levels
- **Diversify the Lebanese economy** sectorally and by source geographic inflows thereby reducing the volatility caused by exogenous factors
- **Develop high value-add future-proofed productive sectors,** relieving the distress that has been caused by a large current account deficit
- **Ensure a healthy public sector** through fiscal discipline including improved collection and rational spending, thereby controlling public debt

…following a consistent and ambitious Vision

Lebanon can follow consistent and ambitious aspirations, aiming to become a high income wealth generating nation. Building on the country's endowment and competitive advantages, Lebanon can reach its economic potential, articulated around 2 horizons:

- ***Mid-to-long term horizon Vision 2025****:* A re-ignited productive economy supported by overhauled business environment
  - Fixed hygiene factors of economic competitiveness
  - Fiscally disciplined and accountable government
  - Jumpstarted target productive engines
  - Demonstrated showcases of success
- ***Long term Vision 2035:*** A high income diversified economy with a globally competitive and distinctive footprint
  - A knowledge-based high-value economy with established areas of excellence
  - Diversified source of inflows and economic contribution
  - Healthy macro fiscal position
  - Sustainable leveraging of scarce resources
  - Global economic influence beyond borders
- Several indicators should be monitored to ensure Lebanon is on track to achieve its Vision, with the ultimate goal to increase GDP per capita with minimal volatility

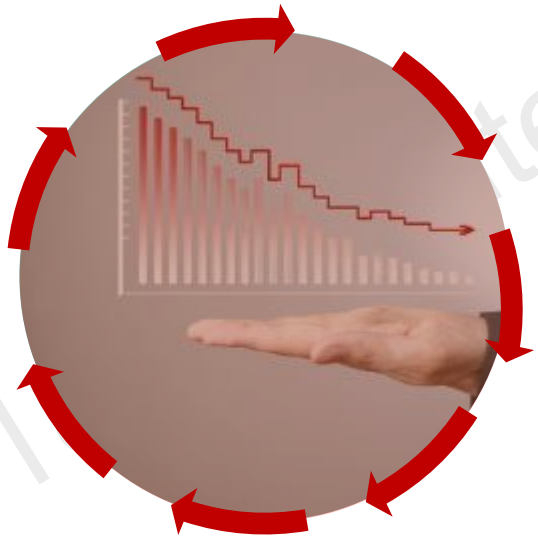
20181022 Internal

RECAP: Lebanon's economic challenges necessitate a change in its economic model

… no incremental wealth generation …
- *30% GDP per capita growth in last 40 years vs. 120% world average*
- *8% in last 7 years vs.14% world average[1]*

… driving a low contribution of productive sectors
- *14% of incremental GDP 2010-16 vs. 20% benchmark[10]*

and limiting job creation and productivity further perpetuating the cycle of …



… creating an unconducive business environment
- *Drop in 28 positions on Doing Business since 2012 currently ranking 133/190[9]*

resulting in limited investments into productive areas …
- *FDI drop by 30% from 2010 to 2017)[2]*

… resulting in sub-par infrastructure
- *113th out of 137 countries[7]*

compounded with low legislative productivity
- *12 laws for business not passed*

and high perceived corruption …
- *146th out of 180 countries[8]*

… with a volatile growth
- *volatility ~1.4x that of OECD since 1992[1]*

driven by concentrated diaspora & regional inflows and sporadic donors' funds …
- *40% growth 2005-2010 vs 3% 2010-2015 in BoP inflows[2]*

…and these inflows are mainly channelled into less productive sectors
- *flows mainly into consumption & real estate[3] …*

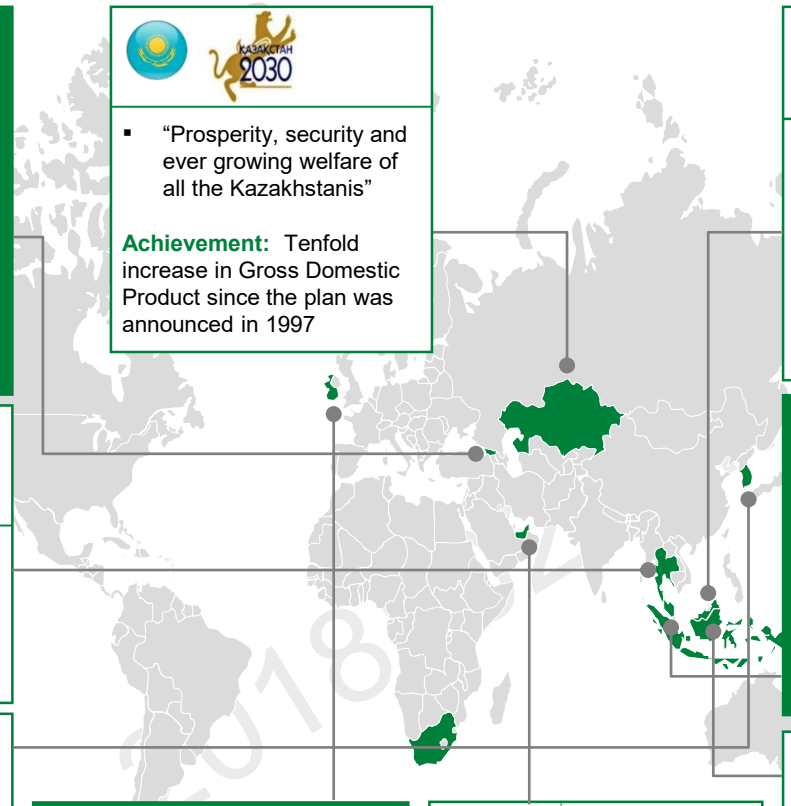
… and into financing the governments' increasing size and indebtedness
- *Salaries 9% GDP vs. 6% benchmark[4]*
- *Fiscal deficit of 8% of GDP[5]*
- *3rd highest Debt to GDP at 149%*

leaving little room for CapEx …
- *4% of budget in last 10 years[5] vs. 10-20% benchmark[6]*

2018 Internal

1 IMF World Economic Outlook Database April 2018 2 BDL Balance of Payments 3 Interviews
4 IMF Article IV of selected countries - benchmarks include Egypt, Jordan, Switzerland, UAE, Turkey, Hong Kong, Georgia, Romania, does not include 2018 salaries increase
5 MoF annual report & CAS GDP 6 IMF Article IV Singapore & UAE 7 WEF - Global Competitiveness Report 2017-2018
8 Corruption Perceptions Index 2017 9 World Bank - Ease of Doing Business 10 CAS GDP, IHS Markit Benchmarks are Egypt, Morocco, UAE, Korea, Singapore, Switzerland

Many countries have followed to several paths to lead successful economic transformations, guided by a clear Vision and strategy



Countries similar characteristics to Lebanon

Georgia 2020
Georgia

- "Create foundations for long-term inclusive economic growth and improve the welfare of the population"

Achievements: Gained ~80 positions on East of Doing Business Index in <10 years

Thailand 4.0

- "Build a digital value based economy"

Achievement: Investment increased by 196% in one year

Creative economy Korea

- "Create new markets and jobs by blossoming people's creativity"

Achievement: Moved up 7 places on the global innovation index from 18 to 11 out of ~150 countries in 3 years

- "Prosperity, security and ever growing welfare of all the Kazakhstanis"

Achievement: Tenfold increase in Gross Domestic Product since the plan was announced in 1997

- "One Malaysia, people first, performance now"
- "To become a developed, high-income nation by 2020"

Achievements: Ranked 6th worldwide in ease of doing business

- "Surviving as a nation and creating a better life for the people"

Achievements: GDP per capita grew by 8x in less than 50 years

Indonesia-2025

- "Self-dependence, competitiveness and excellence in civilization are the three important factors"

Achievement: 1% annual reduction in poverty rate between 2007-2011

Horizon Ireland 2020 (part of EU horizon strategy)

- "Excellent science, competitive industries, better society"

Achievement: 4th Highest research & innovation rate in the EU

- " We want to be among the best countries by 2021"

Achievements: Regional and global logistics hub

SOURCE: Malaysia GTP; UAE Vision 2021; South Africa National Development Plan 2030; Georgia 2020; Singapore Future Ready

Countries with Lebanon's characteristics have successfully applied a clear recipe to develop their economy

Countries with similar characteristics as Lebanon have managed to create sustainable economic growth

- Small territory with large neighbors
- Limited population
- Limited natural resources
- Large diaspora *(for some countries)*

Ireland

Hong Kong

Georgia

Switzerland

Singapore

KEY SUCCESS FACTORS

Develop an integrated National Vision / Economic Plan, consistently trickled down to stakeholder-level action plans with a clear & agreed upon execution mechanism

★

Double down on high value-add productive sectors which are knowledge intensive, have a high multiplier effect and are more resilient

Develop distinctive human capital in line with future needs of the economy

Ensure an efficient and effective government supported by disciplined macro policies (monetary and fiscal)

Provide a competitive business environment and infrastructure

Establish an open economy heavily focused on growing the external sector *(overall balance of payments with emphasis on exports)*

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To overcome the challenges, Lebanon should develop a National Vision guided by consistent principles

1. **Focus the** government resources and efforts on priority areas

2. **Improve the business environment** by reducing cost of doing business, addressing corruption in the public sector and improving overall business environment, eventually raising Lebanon's competitiveness levels

3. **Diversify the Lebanese economy** sectorally and by source geographic inflows thereby reducing the volatility caused by exogenous factors

4. **Develop high value-add future-proofed productive sectors,** relieving the distress that has been caused by a large current account deficit

5. **Ensure a healthy public sector** through fiscal discipline including improved collection and rational spending, thereby controlling public debt

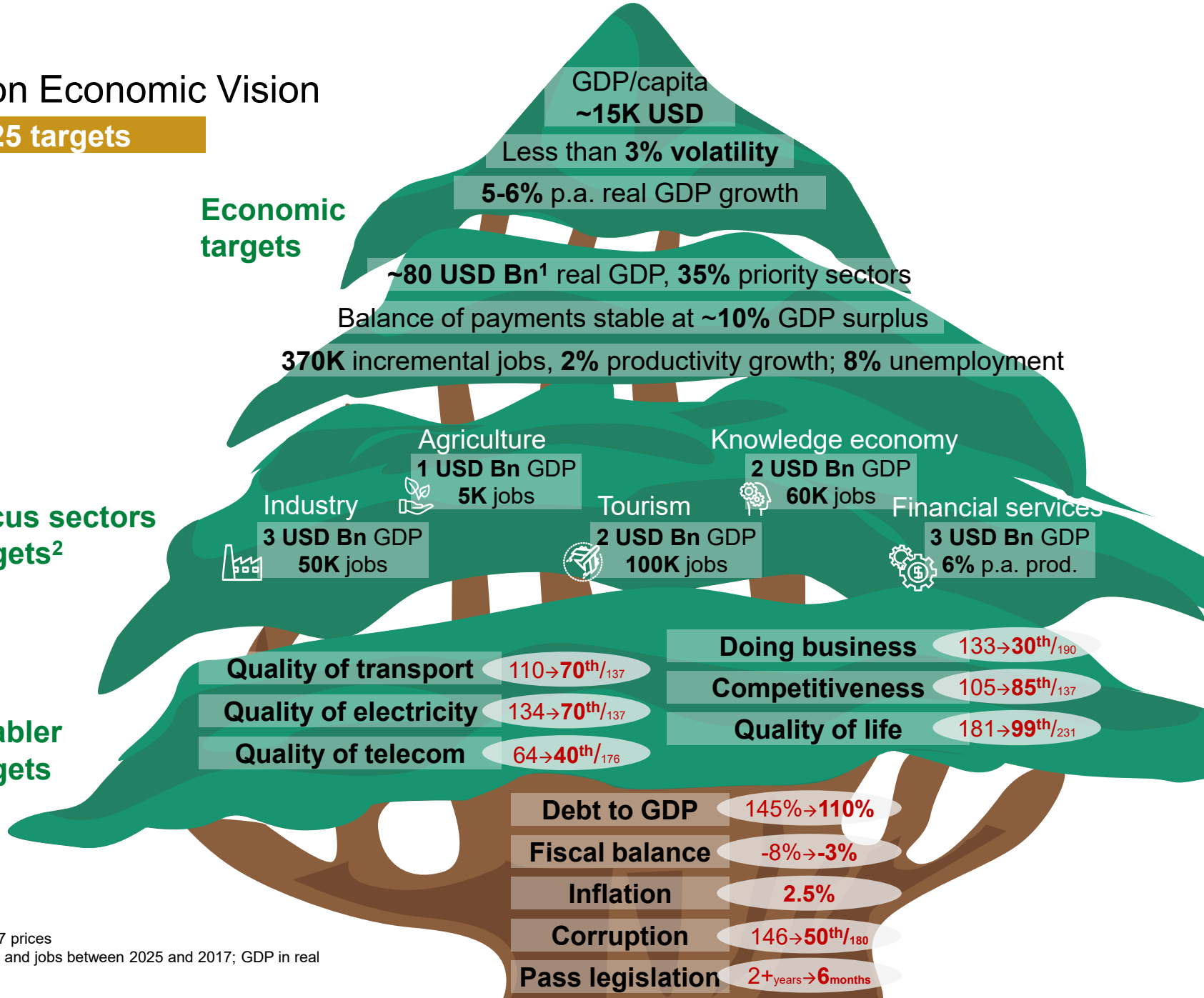
20181022 Internal

The National Economic Vision 2025 would build on Lebanon's unique economic and social characteristics

	Vision 2025	Vision 2035
1	**A re-ignited productive economy** supported by overhauled business environment	**A high income diversified economy** with a globally competitive and distinctive economic footprint
2	**Jumpstarted productive engines**, with demonstrated showcases of success (e.g. SEZs, landmark mega projects)	**A knowledge-based high-value economy** with established areas of excellence and a diversified source of inflows
3	**Fixed hygiene factors of economic competitiveness** (e.g. Infrastructure, conducive business environment) and vibrant cities	**Sustainable leveraging of scarce resources** (e.g. water, land)
4	**Fiscally disciplined and accountable government** and efficient public administration	**Healthy macro fiscal position** and global economic influence beyond borders

Lebanon Economic Vision

2025 targets



Economic targets

- GDP/capita **~15K USD**
- Less than **3% volatility**
- **5-6%** p.a. real GDP growth
- **~80 USD Bn**[1] real GDP, **35%** priority sectors
- Balance of payments stable at **~10%** GDP surplus
- **370K** incremental jobs, **2%** productivity growth; **8%** unemployment

Focus sectors targets[2]

- Agriculture: **1 USD Bn** GDP, **5K** jobs
- Industry: **3 USD Bn** GDP, **50K** jobs
- Tourism: **2 USD Bn** GDP, **100K** jobs
- Knowledge economy: **2 USD Bn** GDP, **60K** jobs
- Financial services: **3 USD Bn** GDP, **6%** p.a. prod.

Enabler targets

Quality of transport	110→**70th**/137
Quality of electricity	134→**70th**/137
Quality of telecom	64→**40th**/176
Doing business	133→**30th**/190
Competitiveness	105→**85th**/137
Quality of life	181→**99th**/231
Debt to GDP	145%→**110%**
Fiscal balance	-8%→**-3%**
Inflation	**2.5%**
Corruption	146→**50th**/180
Pass legislation	2+years→**6**months

1 Real GDP in 2017 prices
2 Incremental GDP and jobs between 2025 and 2017; GDP in real 2017 prices

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
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   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Productive Sectors: Chapter Executive Summary

F **Productive sectors should be selected…**

Selecting the productive sectors and sector 'plays' would follow 3 main criteria:

- Lebanon's comparative advantages within the sector based on historical performance
- Regional and global emerging opportunities
- Lebanon's top-down macro economic aspirations including GDP growth and job creation ★

G **…and bold aspirations should be set for each of them, following Vision 2025 objectives and targets**

6 sector have been selected to receive priority government support:

- **Tourism:** Lebanon should build on its strong natural endowments and strategic locations to tap into its fair share of inbound tourists (~4m tourists by 2025)
- **Agriculture:** Lebanon has the largest arable lands in the Middle East, and a potential to become the main supplier of high quality fruits and vegetation for the levant and GCC
- **Industry:** Lebanon should capitalize on its creative edge to become a leader in high human value-add artistic products including jewellery, furniture and fashion
- **Knowledge Economy:** Lebanon should aspire to become the leading Knowledge Hub for the Middle East, serving as the region's KPO/BPO destination and the number 1 tech ecosystem
- **Financial Services:** Lebanon has the highest deposits relative to its GDP in the world, allowing it to become the financial hub for the middle east and a gateway for financial transactions globally
- **Diaspora:** Lebanon should aspire to greatly leverage the large diaspora to further drive economic growth

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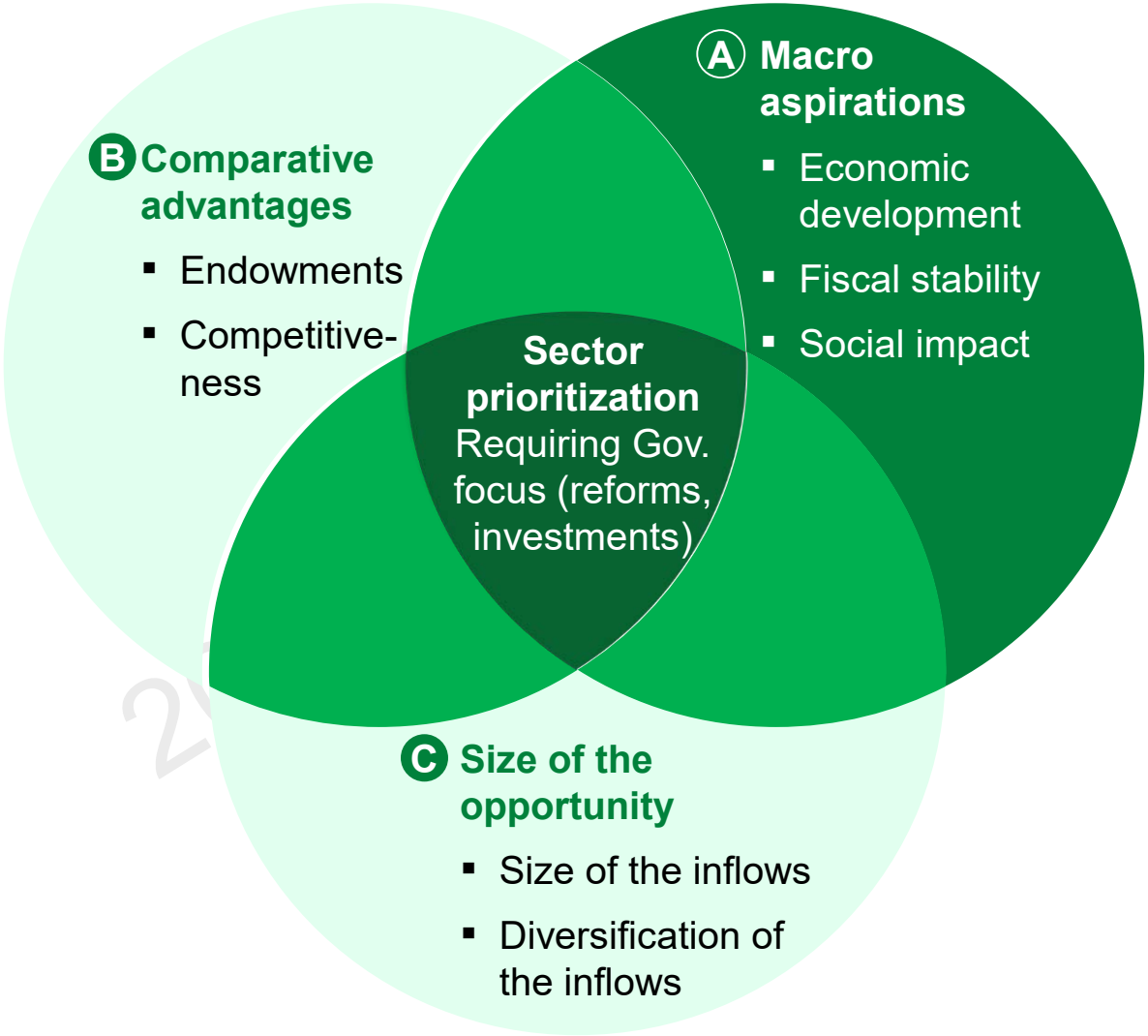
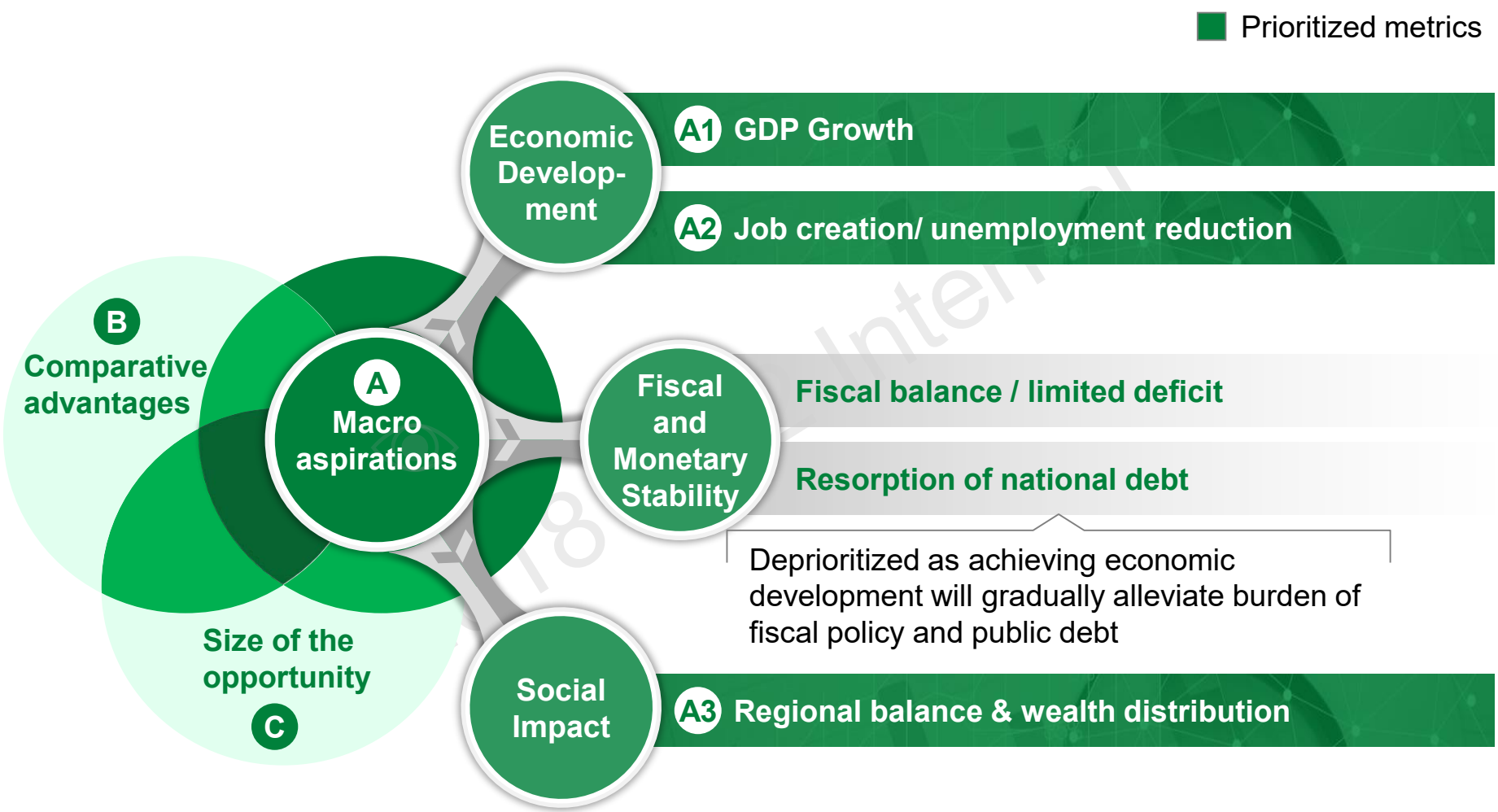
Selecting Lebanon's productive sectors would follow three main criteria



F Three key metrics were prioritized to assess the sector's contribution towards reaching the macro aspirations



Source: Based on case studies of peer countries

G Five sectors would present the highest economic potential for Lebanon

Core engines

Economic contribution covered within core engines

Rural

Semi-urban

Urban

Positive

Neutral

Negative

PRELIMINARY

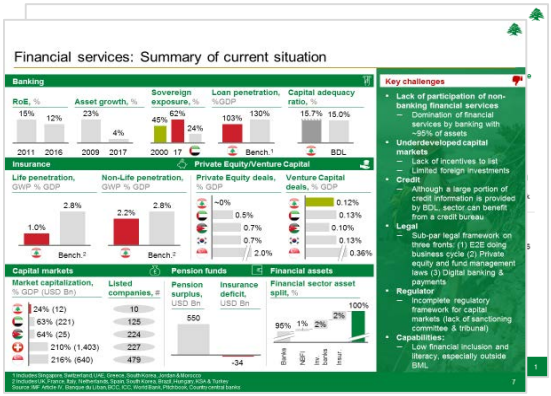
2025 Direct Potential

	Sector	A1 Potential additional GDP USD Bn	A2 Potential job creation K Jobs [1]	Induced job multiplier	A3 Regional balance & distribution	B Com-parative advantage: Lebanon's comparative advantage	C Size of the opportunity: Impact on Balance of Payments USD Bn	BoP Diversification
High comparative advantage, macro potential and BoP impact	Tourism	1.6	40	2.1			1.4	Global
	Knowledge Economy	2.2	48	1.5			1.1	Global
	Financial Services	1.8	12	1.4			1.0	Diaspora
High BoP potential and regional balance	Industry	0.7	23	2.7			0.3	Global
	Agriculture	0.5	1	1.2			0.5	Global
Niche plays with BoP impact	Diaspora	N/A	N/A	N/A			N/A	
	Education	0.7	19	1.3			0.1	Regional & diaspora
	Healthcare	0.8	18	1.3		Medical tourism ~500 USD Mn -0.2		Regional & diaspora
Negative to low BoP impact	Oil & Gas	0	0	1.7			0	N/A
	Real Estate & Construction	1.6 Excluding CIP	10	2.3		-0.1		Regional & diaspora
	Retail & Commerce	1.5 -7		1.2		-1.4		Domestic
	Transport & Logistics	0.4	3	1.5			0	Regional
	Power & Water	0.2	1	2.2			0	

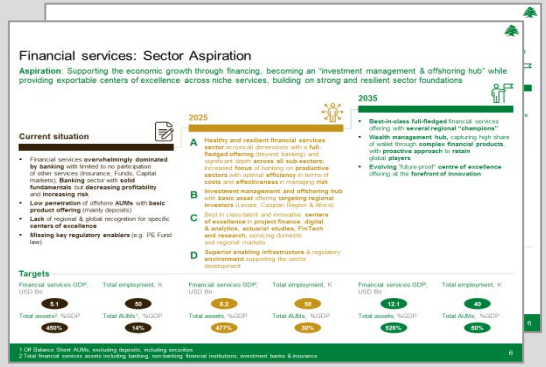
1 Direct Impact Medium & High-Skill jobs

G Developing the priority sectors should follow the targets and initiatives defined in the Economic Vision

Diagnostics conducted for 20 sectors



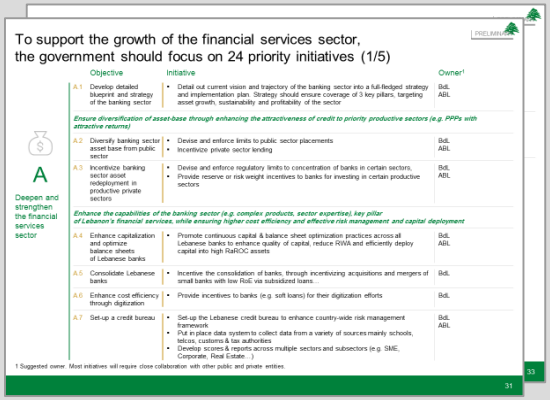
Sector aspirations (2025 and 2035) for 6 sectors with target metrics to be measured



1 Diagnostic summary

2 Sector aspiration

Detailed list of 160 initiatives required to achieve sector aspiration



Detailed sector strategic plays (3 to 5 plays per sector) and overarching enablers

4 Detailed initiatives & priorities

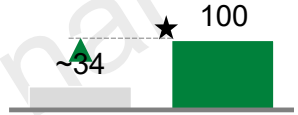
3 Sector charter

G Progress on sector aspirations should be monitored through specific performance indicators 1/2

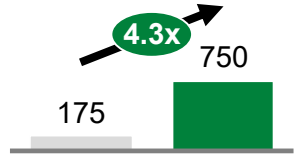
2017 2025

2025 ASPIRATIONS	SECTOR PLAYS
AGRICULTURE: THE MIDDLE-EAST'S HIGH-VALUE CROPS BREADBASKET	▪ **Commercial farmers:** Unlock regional export potential of commercial farmers by improving quality standards and transitioning to higher-value crops (e.g. Avocado) ▪ **Smallholder farmers:** Improve productivity of smallholder farmers in existing crops through technology and adoption of modern methods ▪ **Medicinal Cannabis:** Assuming government policy in place, explore legalization of cannabis cultivation in the aim of producing high value added medicinal products with export focus underpinned by the corresponding regulatory framework
INDUSTRY: NICHE REGIONAL LEADER IN CREATIVE AND HIGH VALUE INDUSTRIES	▪ **Focus subsectors:** Focus efforts on 4 subsectors: food processing, consumer-facing products (e.g. Perfumes, cosmetics), pharma, and pre-fabricated construction & furniture (targeting Syria and Iraq) ▪ **Zones:** Develop next-generation Industrial Parks, providing highly competitive environment (best of Lebanon) to industrialists
TOURISM: THE UP-AND-COMING MEDITERRANEAN RIVERIA	▪ **Leisure tourism**: Focus on leisure tourism in 15 source countries with distinctive core offering in City&Entertainment (including gaming), Sun&Sea and Culture across three anchor destinations and niche offering in ultra-luxury eco-tourism ▪ **Business tourism:** Focus Meeting and Incentives business travelers in GCC countries ▪ **Medical tourism:** Develop specialized medical tourism and wellness offerings, targeting regional markets

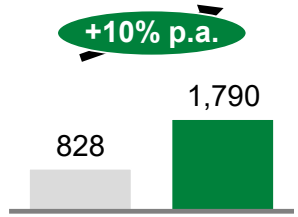
Share of high-volume crops (1k+ hectare) with top-quartile yield %



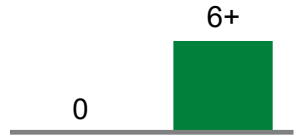
Agriculture exports *(excluding processed food)*. USD mn (2017 prices)



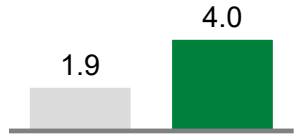
Exports of prioritized subgroups[1], USD mn



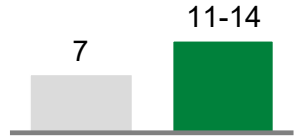
Number of functioning industrial zone



Number of leisure tourists, Mn



Number of hotel rooms in anchor destinations, K



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G Progress on sector aspirations should be monitored through specific performance indicators 2/2

2017 2025

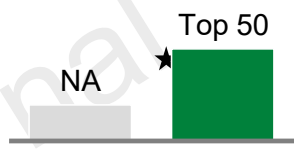
2025 ASPIRATIONS

SECTOR PLAYS

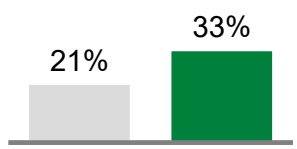
FINANCIAL SERVICES: AN OFFSHORE HUB TARGETING MID-HIGH NET WORTH INDIVIDUALS

- Develop **digital banking** as an alternative delivery model to expand reach of sector and improve efficiency
- Deepen & strengthen the FS sector to enable and finance the country's **EconDev agenda**
- Position Lebanon as an **investment management and offshoring hub**, targeting mid-high net worth individuals
- Develop **centers of excellence** in specific niches (e.g. investment research, actuarial studies, digital analytics)

Global financial centre index, rank



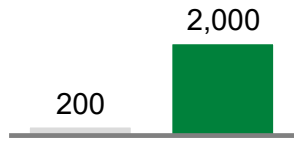
Non-banking assets[3], % of total assets



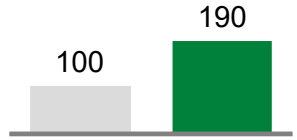
KNOWLEDGE AND CREATIVE ECONOMY: THE SILICON VALLEY OF THE MIDDLE EAST

- Leverage technology to grow productivity in the priority sectors, becoming an **innovation-driven economy**
- Position Lebanon as a leading regional rural cities destination for "high-value add" **outsourcing services** and a global hub for research & analytics
- Become a regional **creative hub**, including multimedia, productive content development
- Attract regional students across the board of **education majors**

Total Number of Start-ups,#



Yearly VC funding, USD Mn



DIASPORA: AN ENGAGED & ACTIVE DIASPORA

- **Seed:** Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy (extended market to Lebanon) while developing intelligence of stock and trend of emigrants
- **Radiate:** Strengthen the bond between Lebanon and its diaspora across all generations through promoting national identity abroad
- **Reap:** Leverage the diaspora network to drive economic growth through a) economic contribution of high potential diaspora, b) access to export markets, c) directing remittances to development projects
- **Advocate:** Harness and formalize advocacy i.e. lobbying power in center of the world through establishing a diaspora advisory board of prominent diaspora members

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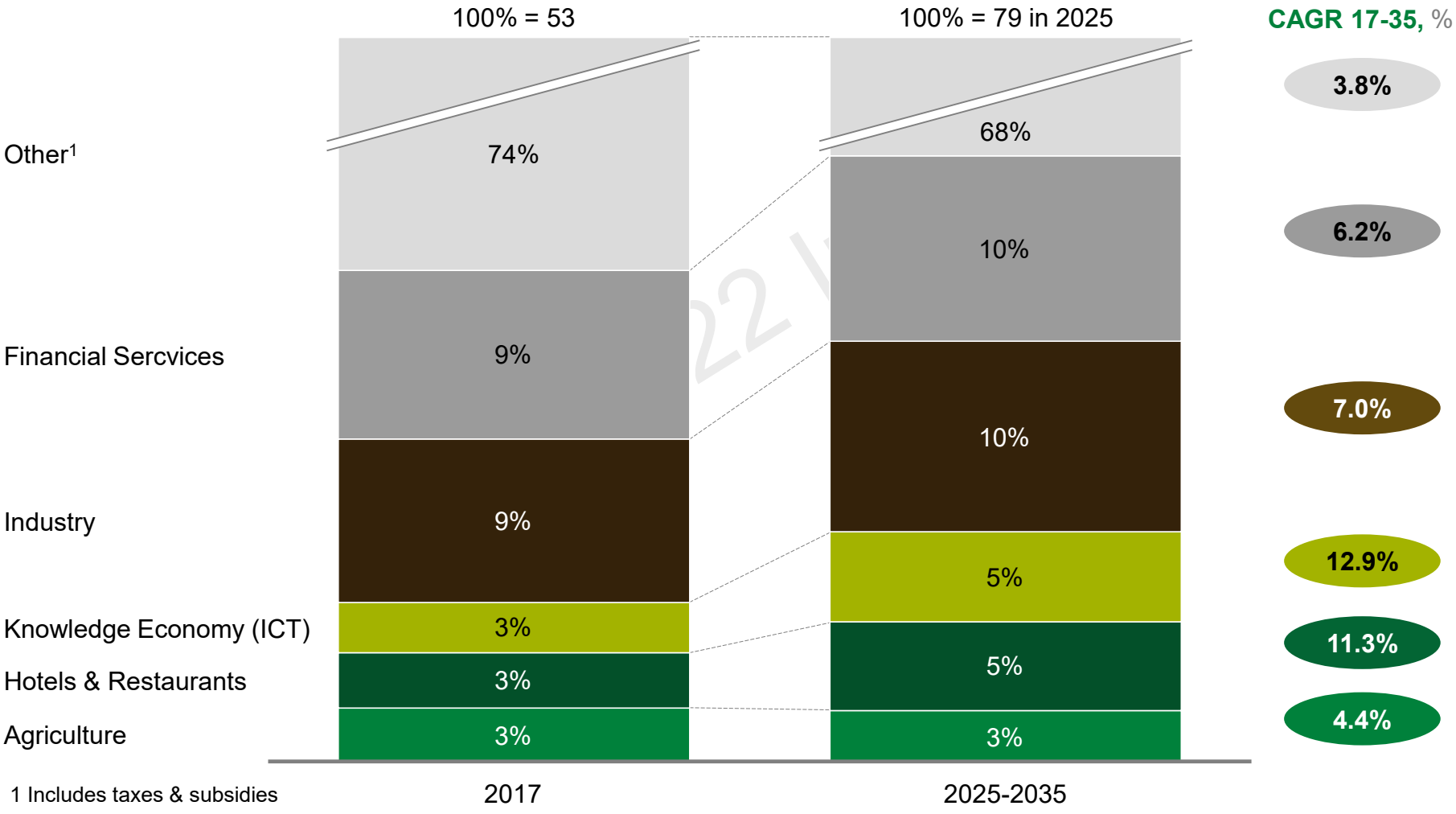
Through Vision 2035, Lebanon's prioritized sectors would grow their GDP contribution by ~6%

Breakdown of GDP
USD Bn, 2017 Prices

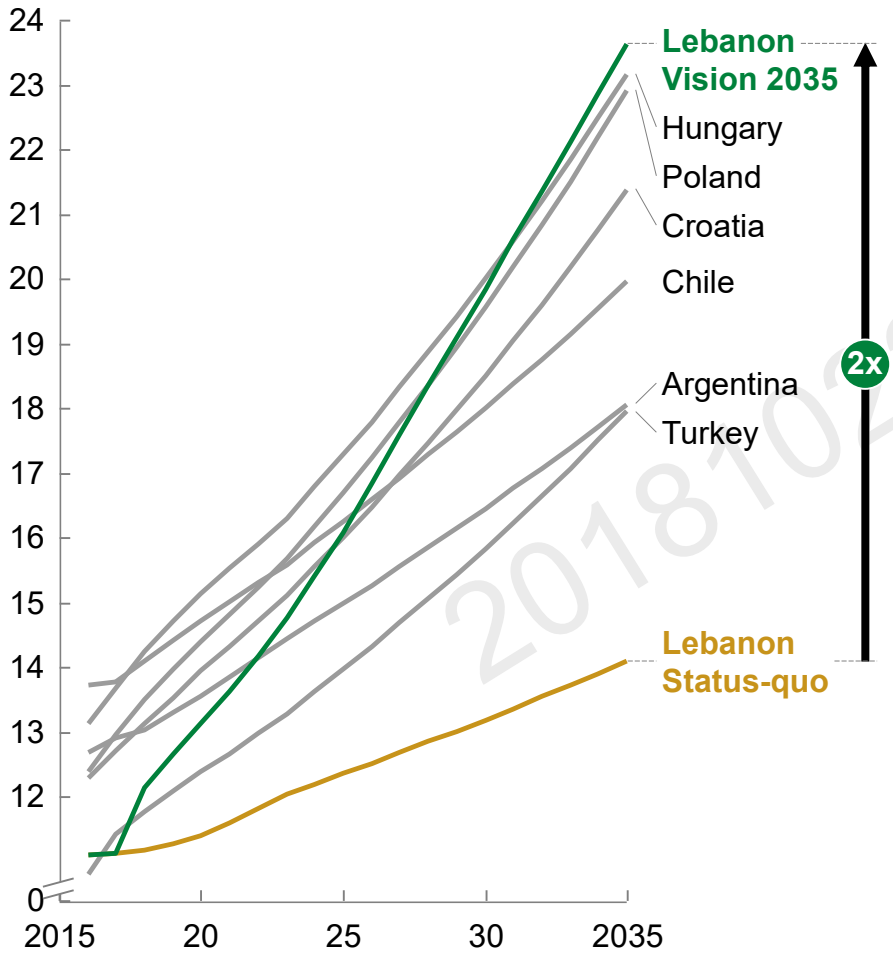


1 Includes taxes & subsidies

G Moreover, GDP per capita would grow by 2x versus its status quo GDP per capita

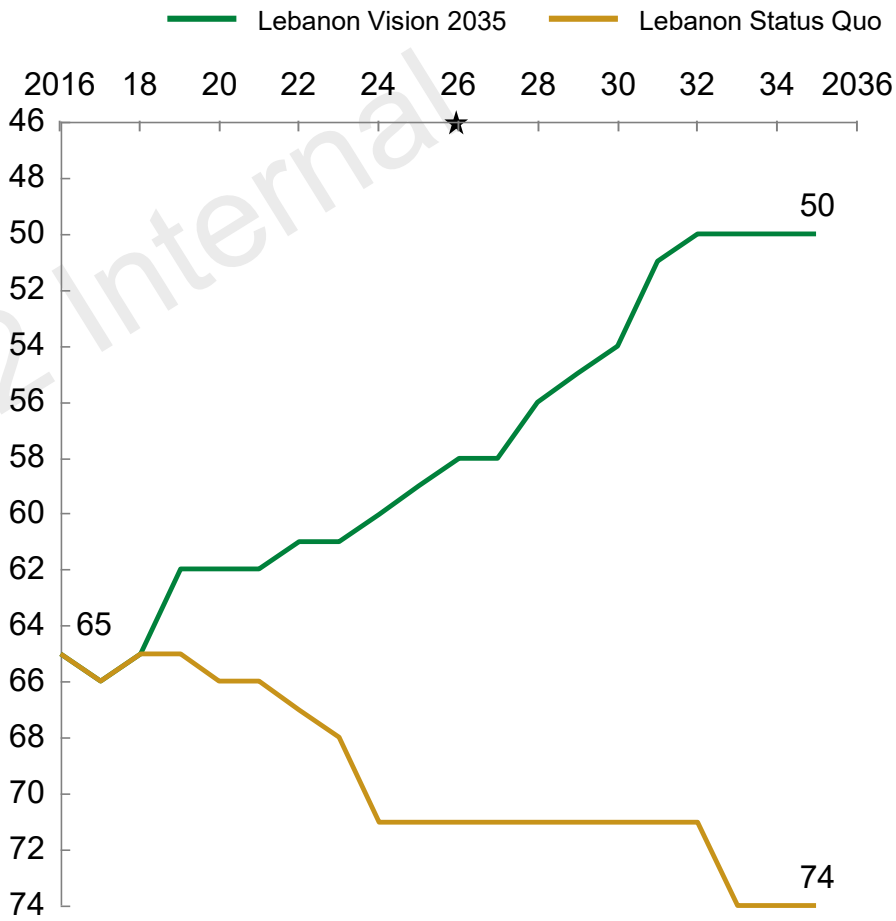
Comparison of Lebanon's real GDP per capita with select countries[1]

Real GDP per capita, '000 USD (2016)



Lebanon real GDP per capita rank

Real GDP per capita, Global Ranking



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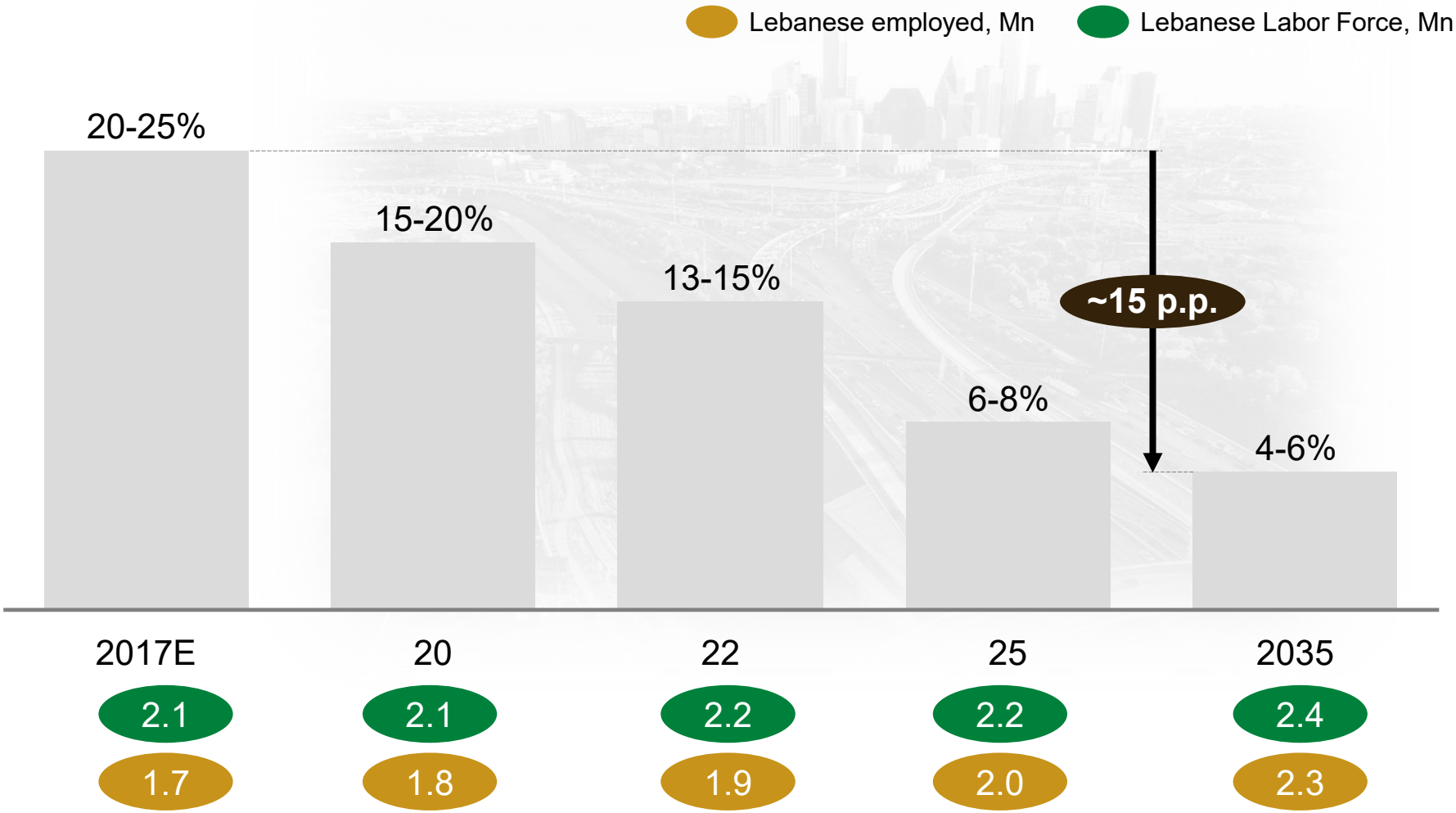
SOURCE: IMF World Economic Outlook

Unemployment rate would also drop from 20-25% to 4-6%

Estimated Lebanese unemployment rate, %



Source: CAS Labour Force Survey 2004,2007,2009; World Bank; Press search

Contents – Productive sectors chapter summary

- **Agriculture**
- Industry
- Knowledge Economy
- Tourism
- Financial Services
- Diaspora

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Agriculture – sector aspiration

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

Current situation

- Dominance of **low-value crops**, including **tobacco** which is cultivated at a loss
- **Low productivity** for many crops *(e.g. olives)*, due to outdated techniques and low investment in technology
- **Inefficient local markets** in which farmers are vulnerable to unfair practices *(e.g. by markets & distributors)*, partly due to weak cooperative system
- **Poor access to global markets** such as the EU, largely due to non-compliance with international standards *(e.g. SPS for potatoes)* & weak post-harvest infrastructure
- Widespread **illegal cultivation of cannabis**

2025

A Higher prominence of **high-value crops** *(e.g. Avocado)*, with reduced cultivation of tobacco and other low-value crops

B **High levels of productivity** for major crops, enabled by improved techniques & application of modern agriculture technologies

C Higher levels of **local market transparency** which further empower farmers

D Improved **global recognition & acceptance** of Lebanese agriculture products as high-quality food products

E Emergence (potentially) of **controlled areas with legal cultivation of cannabis** for export-oriented medical purposes *(requires aligned policy & regulatory framework)*

2035

- **Fully optimized** crop portfolio which maximizes returns for farmers *(while also accounting for food security objectives)*
- **Best-in-class productivity** across most crops, leveraging frontier advances & technologies across the agriculture value chain
- Very well-organized and effective local market
- **Well-established global reach** of Lebanon's agricultural products, with an established **reputation for premium quality**
- **Near-elimination of illegal cannabis cultivation**, with majority of growers being licensed and overseen by the government *(requires aligned policy & regulatory framework)*

2018-2022 Internal

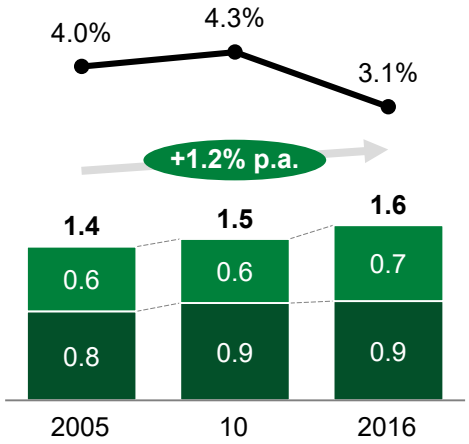
Targets

Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands
1.6	210	2.2	214	3.2	~210

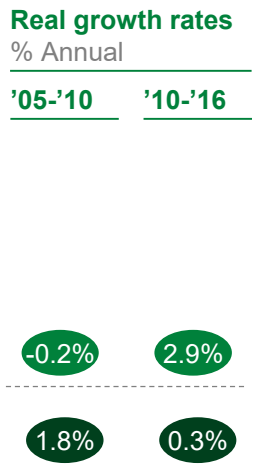
Agriculture – summary of diagnostic

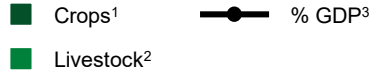
Economic contribution

Real GDP value of agriculture
Bn USD in 2010 prices

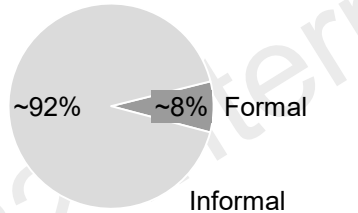


Real growth rates
% Annual





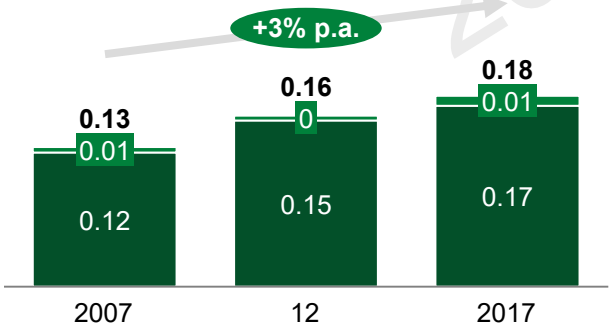
Estimated Employment 2016
Total : ~212k



Excludes seasonal employment

Trade

Agricultural exports (excluding processed food)
Bn USD



Top exports include:
- Fruits (apples, bananas, grapes, oranges, etc.)
- Vegetables (potatoes, lettuce)
- Raw tobacco
- Spices
- Live sheep

1 Includes forestry 2 Includes fishery 3 Excludes taxes and subsidies

Key challenges

- **Low productivity and quality**
  - Limited modernization / technology adoption, with persistence of suboptimal techniques (harvest, post-harvest, etc.)
  - Overuse of fertilizers & pesticides (452 kg/hectare, vs. 131 kg/hectare in OECD countries)
- **Structural constraints**
  - Small average holding sizes (1.4 ha)
  - Ineffective cooperative system (~1200 COOPs, 2/3 of which are inactive)
  - Dominant wholesale markets / distributors
- **Insufficient and poorly-targeted government support**
  - Limited extension and research services
  - Poor controls on food safety & quality, water usage
  - Limited access to financing
- **Financial unsustainability**
  - Rising land & transportation costs
  - Reliance on subsidies (and ad-hoc financial support)

Source: CAS, ILO, Ministry of Health, Lebanese Customs, FAO, expert interviews

Agriculture – 2025 sector charter

2017 2025

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

SECTOR PLAYS

A **Promote and support the application of modern methods and technologies to improve yield and quality of agricultural produce**
- Leverage *(and strengthen)* research and extension service capabilities to drive adoption of modern methods *(e.g. to limit overuse of fertilizers & pesticides, adopt best-practice olive harvest techniques, etc.)*
- Facilitate financing of technology installations which can improve yield and quality *(incl. irrigation systems)*

B **Improve local (and regional) food markets, with a focus on transparency and efficiency**
- Increase transparency *(e.g. pricing)* of wholesale markets and distributors' activities through digital solutions and improved regulatory oversight
- Strengthen cooperatives' ability to market goods to local and regional markets *(e.g. through targeted capability building efforts)*

Focused on family-based farmers

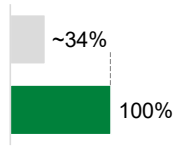
C **Support the transformation and transition of agricultural cultivation towards higher-value crops *(e.g. tomatoes, avocadoes)* and livestock, away from Tobacco and other low-value crops *(e.g. cereals, olives)***
- Conduct a comprehensive value chain analysis across all agricultural products to determine optimal crop allocation by region *(including identification of target alternative crops, with a focus on tobacco regions)*
- Introduce a new (opt-in) subsidy program for Tobacco farmers which allows transition to alternative crops
- Leverage *(and strengthen)* research and extension services to support farmers through crop transitions

D **Unlock export potential by facilitating access to international markets**
- Increase compliance of Lebanese farms and agriculture facilities *(e.g. packaging facilities)* with international standards to overcome SPS export constraints
- Facilitate expansion & improvement of post-harvest infrastructure *(e.g. cold storage & packaging facilities)*
- Support farmers in identifying & reaching high-potential frontier markets *(e.g. in Eastern Europe)* and adapting cultivation practices *(e.g. seed species)* to meet market preferences

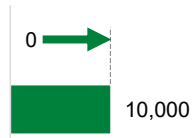
Focused on commercial farmers

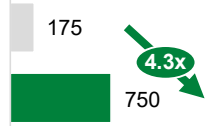
E **Assuming government policy is in place, explore legalization of cannabis cultivation in the aim of producing high-value-added medicinal products with export focus underpinned by a corresponding regulatory framework**
- Draft a comprehensive regulatory framework for cannabis *(e.g. covering cultivation, processing, export, etc.)*
- Assess feasibility of building the institutional capabilities that would be required to implement regulatory framework *(e.g. licensing, quality assurance, etc.)*

2025 TARGETS

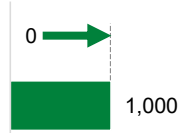
Share of high-volume crops (1k+ hectare) with top-quartile yield %


Improved farmer satisfaction regarding access to local markets & practices of distributors / wholesale markets *(New metric required)*

Agricultural land transformed towards higher-value crops Hectares *(since 2017)*


Agriculture exports *(excluding processed food).* USD mn (2017 prices)


Legal cannabis cultivation *hectares*

Note: Additional analysis required to assess target


X GENERAL ENABLERS

X.1 Government services
- Research capabilities
- Extension services
- Capability-building for cooperatives
- Safety controls & quality assurance

X.2 Export support
- Export promotion
- Export development

X.3 Human capital
- Technical & vocational training
- Employment attractiveness *(e.g. for rural youth)*

X.4 Legislation & regulation
- Water law & regulatory framework
- Cannabis regulatory framework

Booz Allen Hamilton

Contents – Productive sectors chapter summary

- Agriculture
- **Industry**
- Knowledge Economy
- Tourism
- Financial Services
- Diaspora

20181022

Industry – sector aspiration

Aspiration: A niche regional leader in creative and high-value industries and hub for regional processing

Current situation

- **Limited and unfocused government support**, with a decline in output and exports among most subsectors *(with notable exception of food products)*, largely driven by infrastructure-caused non-competitiveness
- **Absence of real industrial zones** which provide the infrastructure and services that are needed to achieve competitiveness

2025

A Emergence of **niche growth subsectors** which achieve high levels of competitiveness and growth through targeted government support *(e.g. pharma, food processing, perfumes)*

B Development of **multiple successful national integrated industrial parks (NIIPs)** which provide a significant competitive edge for industrial tenants *(including a zone focused on reconstruction of Syria)*

2035

- **Globally competitiveness and recognized excellence** in niche subsectors which optimally capitalize on Lebanon's strengths
- **Best-in-class** industrial parks offering world-class infrastructure and services

20181022 Internal

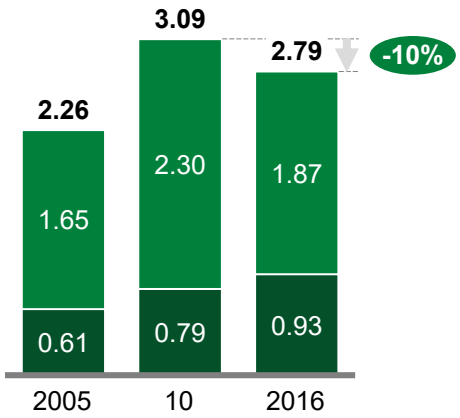
Targets

Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands
4.6	185	8.0	240	11.7	250

Industry – summary of diagnostic

Economic contribution

Real GDP value of industry
Bn USD in 2010 prices

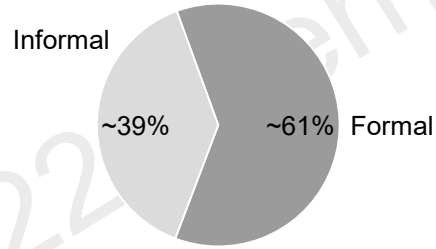


Growth rates
% Annual

	'05-'10	'10-'16
Food processing	6.9%	-3.4%
Non-food manufacturing	5.5%	2.6%

Employment 2016

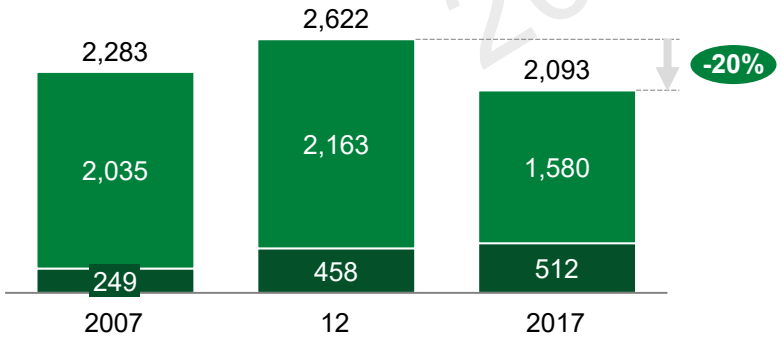
Total : ~194k



Trade

Industrial exports (excluding gold, diamonds, etc.)
Mn USD

Non-food exports Processed food exports



Top exports include:

- Processed food products
- Scrap & basic metals
- Machinery *(incl. household goods)*
- Perfumes and cosmetics
- Electric motors & generators
- Printed material *(e.g. books)*

Key challenges

- **Low competitiveness: High costs of factors of production…**
  - High cost of private electricity generation *(driven by poor/ unstable quality of power)*
  - Rising land and labor costs
  - Unfavorable business environment
  - Ineffective transportation network
- **… and low quality / standards…**
  - Shortage of skilled technical labor
  - Limited application of international standards
- **…aggravated by external market shocks**
  - Reduced regional demand for key products *(e.g. generators)*
  - Constraints on land transportation due to Syrian conflict

Source: CAS, Lebanese Customs, ILO, expert interviews

Industry – 2025 sector charter

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

SECTOR PLAYS

A

Prioritizing (and focusing government intervention efforts) on high-potential subsectors which capitalize on Lebanon's strengths, including:

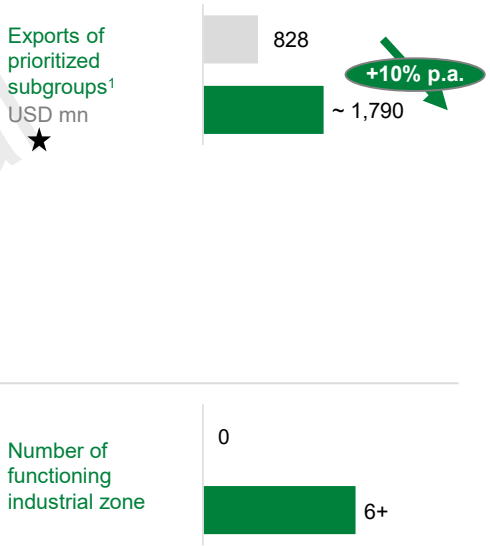
- **Food-processing industries** which rely on local agricultural production, with a focus on premium packaged goods based on Lebanon's fruit, vegetable, nut and dairy products
- **Consumer-facing products which rely heavily on creative design & marketing abilities**: jewellery, perfumes & cosmetics, soaps & sanitation products, and napkins / sanitary goods *(with a focus on high-end products which capitalize on Lebanon's positive image in fashion / design / etc.)*
- Industries which capitalize on the upcoming **post-conflict reconstruction** in Syria and Iraq, with a focus on subsectors where Lebanon can develop a competitive advantage: pre-fab manufacturing & furniture
- Subsectors which require **high skill levels**, especially in healthcare-related fields, with a focus on pharmaceuticals and cannabis-based medical products *(e.g. cannabinoids)*

B

Developing next-generation National Integrated Industrial Parks (NIIPs) to serve as areas of excellence which overcome comparative disadvantages

- Offerings to include world-class infrastructure *(including dedicated power & utilities)* as well as comprehensive support services *(including regulatory one-stop shops)* and sector-specific infrastructural support *(e.g. cold-storage facilities for food processing tenants)*
- Immediate focus should be on developing existing plans (Tripoli Special Economic Zone, three industrial zones proposed by MoI / UNIDO) as well as an additional zone focused on construction technology
  - There are several opportunities to strengthen existing plans for industrial zones (MoI / UNIDO), which must be assessed
  - Strong governance and oversight is needed to ensure coordination between industrial zones, Tripoli SEZ, and the broad economy, and to minimize cannibalization / destructive competition
- It will also be necessary to plan and develop additional industrial zones in other regions *(e.g. Beirut, southern Lebanon)* which focus on priority subsectors which are not covered by current industrial zone plans

2025 TARGETS



X GENERAL ENABLERS

X.1 Quality assurance
- Quality standards
- Compliance & enforcement

X.2 Financing
- Kafalat Industry
- Investment attraction

X.3 Human capital
- Technical & vocational training
- Supply-demand matching

X.4 General enablers
- Ease-of-doing-business regulations
- Infrastructure (e.g. power)

1 Food processing, furniture, jewellery, napkins & sanitation, perfumes & cosmetics, pharmaceuticals, prefabricated buildings, soaps & sanitation

20181022 Informal

Contents – Productive sectors chapter summary

- Agriculture
- Industry
- **Knowledge Economy**
- Tourism
- Financial Services
- Diaspora

20181022

Knowledge Economy – sector aspirations

Aspiration: To become a knowledge-driven digital nation, at the forefront of innovation, acting as a talent hub for technology, outsourcing, creative industries and education

Current situation

- **Emerging** but nascent **technology** & digital industry, with limited access to global markets and **low digitization** across economic sectors & government
- **Small** and **fragmented outsourcing** industry, lacking regional recognition
- **Intrinsically competitive** in **creative** industries (fashion, movie) but facing **several challenges**
- **Strong** tertiary **education** system but **low** current **export potential** for the sector (e.g. low attraction of international)
- Lacking regulatory environment, digital & creative talent, limited access to funding and sub-par sector governance and infrastructure

2025

A **Regional technology leader** with players in FinTech, CreativeTech, EdTech & HealthTech; strong technology adoption across priority economic sectors and digital government

B **Regionally** renowned **outsourcing sector** with established brand, attracting captive centers for regional MNCs, along with flourishing domestic offering of research & analytics

C **Regional creative hub**, **globally** renowned for a set of **specific niches**

D **Educational hub**, attracting **regional students** across the board, and **international students** for **specific niches**

X Vibrant ecosystem, regionally renowned as the "go-to" hub for startups, offering best in class regulation, abundant funding and world-class digital talent

2035

- **Regional innovation hub** with several unicorns having a 1USD Bn+ valuation; **digitization** as the **key driver** of sector **productivity** across all sectors and **digital** as the **unique delivery** means of **government** and private sector services
- **Globally recognized** as the "Go-to" global **hub** for **research and analytics** with deep regional & cultural expertise
- **Creative** as a **core driver** of all Lebanese **economic sectors**
- **World-class education hub**, with leading tertiary institutions at a global level, attracting **international students across the board**

Targets

Current situation	2025	2035
Knowledge economy GDP, USD Bn: 1.4	Knowledge economy GDP, USD Bn: 3.8	Knowledge economy GDP, USD Bn: 5.6
Total employment, K: 44	Total employment, K: 105	Total employment, K: 123
Capacity for innovation, rank: 58	Capacity for innovation, rank: 30	Capacity for innovation, rank: 15

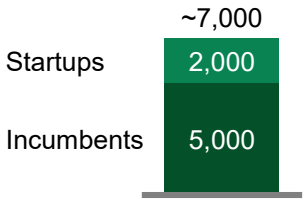
Note: GDP corresponds to ICT GDP

2018/2022 internal

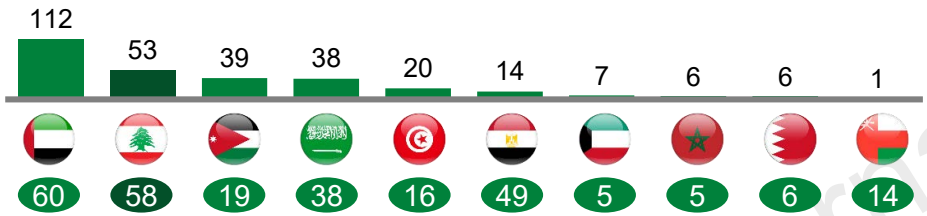
Knowledge Economy: Technology – summary of diagnostic

Economic contribution | Sector performance

Total jobs, 2017



Total value of VC deals, USD Mn 2017



Technology & innovation funnel, by stage of company

Digital producer

Idea generation / R&D	Commer-cialization	Start-up / early stage	Growth
▪ Sub-par R&D spend and lack of funding	▪ Low volume of patents	▪ Ease of doing business ▪ Gap in angel funding	▪ Lack of growth funding & access to markets

Digital eco-nomy

- Lebanon lags all Middle-Eastern countries on digitization index

Digital govern-ment

- Lebanon lags all GCC countries on the UN e-government readiness index (0.56 vs. 0.72) only slightly outranking Egypt & Jordan in the Middle East

Key challenges

- **Low availability of digital talent**
  - Despite Lebanon's strong talent base, access to talent was reported to be the main obstacle faced by domestic start-ups
  - Moreover regional entrepreneurs consider Lebanon as the top source for creative & marketing talent, but as lagging behind for core technical skills
- **Missing key regulatory requirements**
  - The sector suffers from sub-par regulations such as the current incorporation laws (preferred shares, stock-options), and a sub-par judicial system
  - For e.g. only 20% of entrepreneurs offer stock-option schemes whereas ~50% of the talent pool would be willing to accept it as compensation scheme

Source: ArabNet – The state of digital investment in MENA 2018; Wamda access to talent for MENA's entrepreneurs; Arabnet - Lebanese Innovation Economy - Tech Startups 2018; World Bank; Banque du Liban; Pitchbook; Market interviews

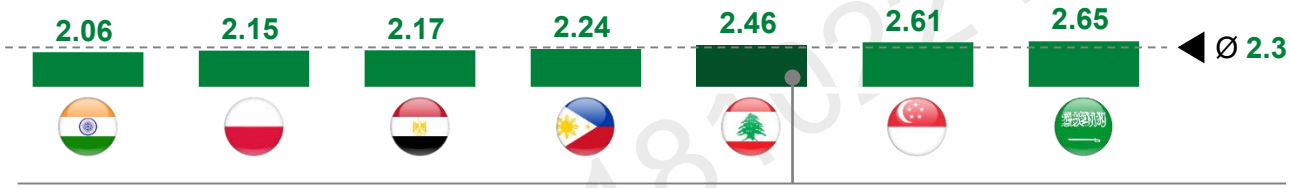
Knowledge Economy: Outsourcing – summary of diagnostic

The outsourcing sector is not well established with a small contribution to employment

Total number of jobs in outsourcing, 2017

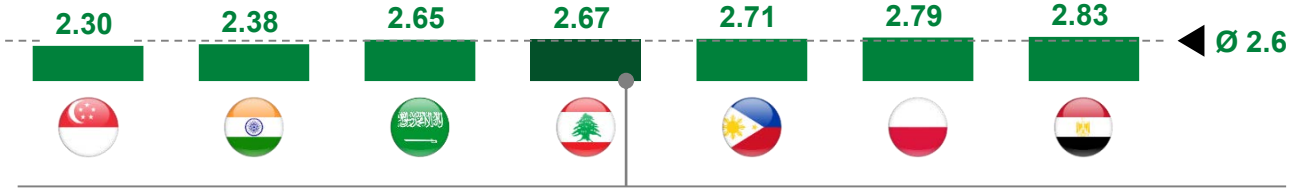
Despite possessing the intrinsic components (talent and cost), Lebanon lags on government-related components mainly infrastructure and business environment

Location readiness index for BPO, 2017, low index = high score



- **High** scoring on **talent** (1.5 vs 2.1) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Location readiness index for KPO, 2017, low index = high score



- **High** scoring on **talent** (2.1 vs 3.0) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Key challenges

- **Sub-par virtual and physical infrastructure**
  - Physical and virtual infrastructure lags with low broadband speeds (5Mbps, 127th globally) and high mobile connectivity costs
  - Un-empowered regulatory authority (TRA) leading to in lack of continuity and uniformity in the sector (e.g. stopping of the E1 lines for call centres)
- **Sub-optimal regulatory framework and environment with lack of incentives**
  - Sub-par ease of doing business environment
  - Required laws not in place: bankruptcy law, competition law, IP protection law
  - No zones in place offering tax-incentives and lower infrastructure costs (telecom & rental costs)
- **High country risk profile**
  - Low macro-economic and political stability, a key input to outsourcing location criteria

2018022 Internal

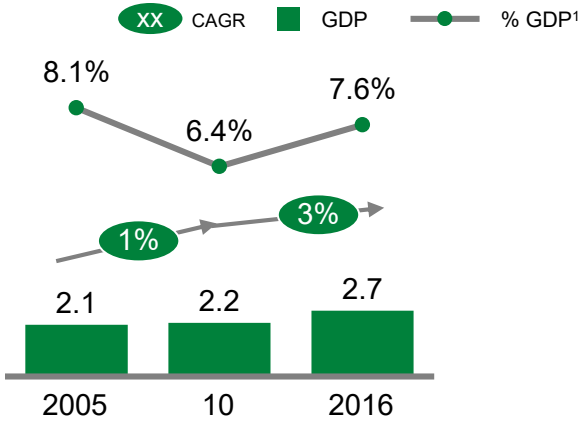
Source: Location Readiness Index database; IAOP: Global Outsourcing 100 2016; IDAL BPO Factbook 2016; SpeedTest; Expert Interviews

Knowledge Economy: Education – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of education
Bn USD in 2010 prices



Performance metric, 2015

Performance compared to peers

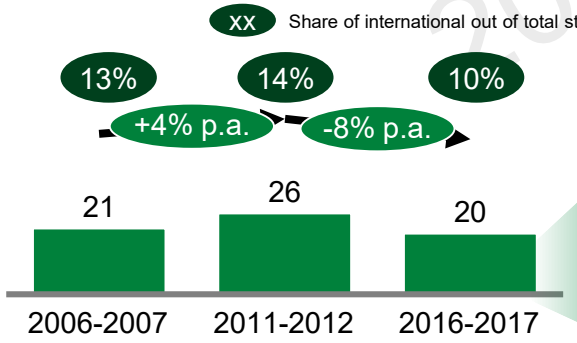
Quality of education, Universal scale score — 417

Public expenditure per student, PPP USD — 0-1000

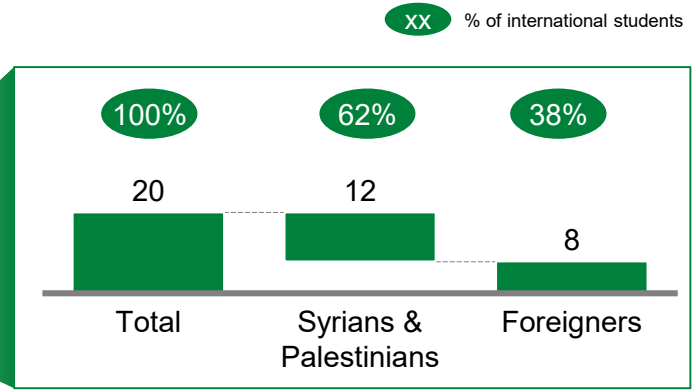
Number of universities in top 500, # — 2

Inbound International students – Higher education

Stock of international students 2017, '000 students



Split of international students by nationality 2017, '000 student



1 Excluding taxes and subsidies

Key challenges

- Declining performance of the education system (Quality of education system in Lebanon is classified as "Low")
- Outdated Curriculum (Latest update was in 1997)
- High regional competition in attracting international tertiary students
- Skill gap between the labour force demand and supply

2018-2022 Internal

Source: CAS, Ministry of education, World Bank. PISA scores

Knowledge Economy – 2025 sector charter

2017 2025

Aspiration: An knowledge-intensive and digital nation, at the forefront of innovation, acting as a talent hub for technology, outsourcing, creative industries and education

SECTOR PLAYS

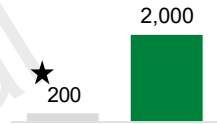
2025 TARGETS

A

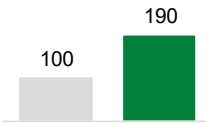
Become a highly productive digital economy at the forefront of innovation, acting as a digital talent hub

- Becoming a global digital producer through building on Lebanon's comparative advantages, as well as global segments outlook and funding size, and specialize in creative, financial and enterprise technologies
- Embracing digital disruptions through adopting technology in priority sectors
- Riding the government digitization-wave by digitizing government operation and services (G2G, G2B and G2C)

Total Number of Start-ups, #



Yearly VC funding, USD Mn

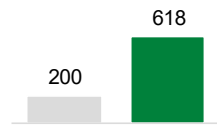


B

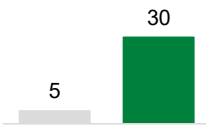
Position Lebanon as a leading regional outsourcing destination for "high-value add" BPO services and a global hub for middle east research & analytics service desks

- Capturing the regional GCC market, through providing high-value added BPO by leveraging key differentiators (culture & language) and justifying price premium by higher-quality services & specialization
- Capturing the global KPO market, leveraging competitive cost structure and STEM talent pool
- Developing a "Plug & Play" outsourcing park with world-class office space and state of the art infrastructure through a PPP

Total Exports USD Mn



Total number of jobs K



C

Become a regional creative hub, globally renowned for a set of specific niches

- Developing cross-cutting agenda to enable the entire creative ecosystem
- Selecting specific industries to become a regional and global hub

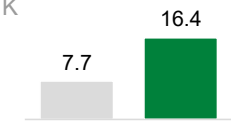
Number of priority sub-sectors

D

Become an educational hub, attracting regional students across the board, and international students for specific niches

- Regional play: Focusing on attracting international students from the region (GCC, Arab and North African countries) for undergraduate and medical studies
- Niche play: Focusing on attracting Western students in Middle Eastern and Arabic studies

Number of international students K



X ENABLERS

Education & talent pool
- Digital & creative talent
- Outsourcing-ready talent

Industry promotion
- Physical and virtual clusters for incentives &

Access to finance
- Abundant VC funding across the pipeline
- Easy access to credit for smaller enterprises

Industry governance
- Non-fragmented governance
- Global promotion campaigns

Physical, virtual infrastructure & clusters
- Telecommunications infrastructure
- Rental

20181022 Internal

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- Diaspora

20181022

Tourism – sector aspirations

Aspiration: A revived Riviera destination offering a unique combination of unrivalled entertainment, immersive culture and breath-taking sea views with regional niche offerings in business M&I segment and specialized medical tourism

Current situation

- **Unclear branding** of Lebanon and **tarnished image** in the media
- **Unfocused efforts in targeting source markets**
- **Lack of prioritization of product offering** and limited range of "ready-to-market products"
- **Lack of specialization** of hospitals in specific/medical services to attract medical tourists

2025

A **Fast growing tourism sector in 15 source countries with distinctive core tourism offering in "City&Entertainment", "Sun&Sea" and "Culture" across three anchor destinations and niche offering in ultra-luxury eco-tourism**

B **Preferred destination for Meeting and Incentives business travelers in GCC countries**

C **Clear branding of Lebanon in specialized medical tourism services targeting regional markets**

2035

- **Globally renowned** destination for **city breaks**, with world-class **gaming** and **entertainment** offerings
- Unique destination for regional and global **exhibition and conferences**
- **Centre of excellence** in specialized medical services
- **Sustainable** and **environmentally-friendly** tourism destination

2018/2022 Internal

Targets

	Current situation	2025	2035
Tourism[1] GDP, USD Bn	1.6	3.7	5.4
Total employment, K	89	185	211
Total number of tourists[2], Mn	1.9	4.2	6-7

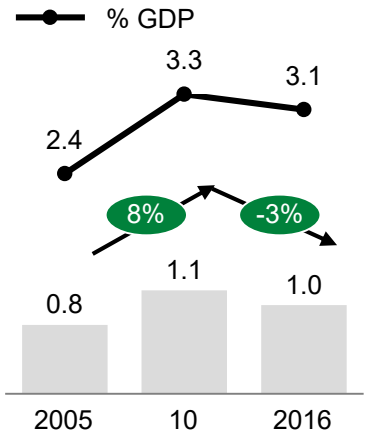
1 GDP contribution of hotels and restaurants is used as a proxy for tourism GDP, does not fully include contribution of medical tourism which will be mostly captured in the healthcare sector

2 Leisure, business and medical tourism

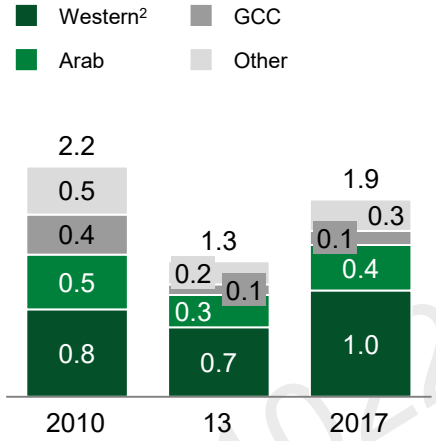
Tourism – summary of diagnostic

Economic contribution

Real GDP value of tourism[1]
Bn USD in 2010 prices



Number of tourists by nationality
Million tourists

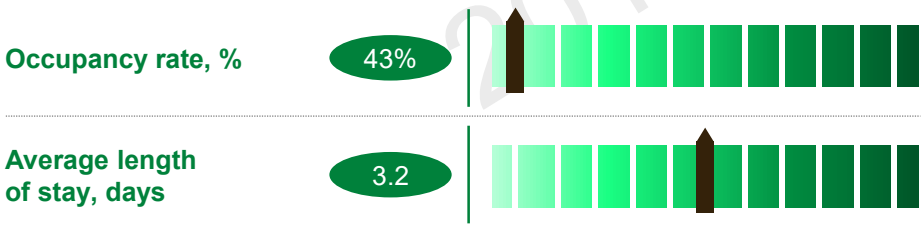


Top nationalities

- Iraq (12%),
- France (9%),
- USA (9%),
- Canada (6%)

Performance metrics[3], 2017

Performance compared to peers



Key challenges

- **Lack of proper tourism data** to ensure informed decision making
- **Low occupancy rates in hotels** are deterring private sector investments
- **Limited hospitality infrastructure** catering for the upper mass and luxury segments (especially outside Beirut)
- Absence of a brand image for Lebanon
- **Limited flight connectivity** and **high airfare prices** to European markets
- **Highly fragmented eco-system** with no forum for collaboration between all the different stakeholders

1 GDP contribution of hotels and restaurants is used as a proxy for tourism GDP
2 Includes Europe, Oceania and North America (US and Canada only); 3 Based on a sample hotel list provided by MoT

Source: Ministry of tourism, CAS

Tourism – 2025 sector charter

2017 2025

Aspiration: A revived Riviera destination offering a unique combination of unrivalled entertainment, immersive culture and breath-taking sea views with regional niche offerings in business M&I segment and specialized medical tourism

SECTOR PLAYS

A

Focus on attracting leisure tourists from 15 source countries by building core offerings in "City&Entertainment" ,"Sun&Sea" and "Culture" in three anchor destinations (Beirut, Byblos and Sour) and developing ultra-luxury "eco-tourism" hubs

- Grow number of leisure visitors by focusing on 15 countries in three types of markets: **Arab and GCC countries** (KSA, UAE, Kuwait, Iraq, Jordan and Egypt), **core European markets** (France, Germany, UK, Italy, Sweden, Turkey) and **countries with high number of Lebanese diaspora** (US, Canada, Australia) ★
- Build core **tourism offering in "City&Entertainment","Sun&Sea" and "Culture"** by focusing product development, infrastructure, incentives and marketing resources around the **three anchor destinations: Beirut, Byblos and Sour**; these destinations will be **"hub and spoke**" for ancillary offering in the hinterland
- Take a "bet" on developing **eco-tourism hubs** across **authentic** (B&B) **and ultra-luxury** (resorts) segments

B

Grow the Meeting & Incentive segment by focusing on 5 GCC destination (KSA, UAE, Kuwait, Qatar and Iraq) and promoting Lebanon as a high value for money destination for business tourists complimented with an attractive leisure offering

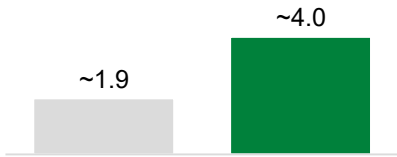
C

Position Lebanon as a "convenient" destination targeting regional medical tourists with a clear value proposition for high quality specialized medical services combined with an unparalleled leisure offering

- Incentivize the specialization of hospitals and promote Lebanon as a center of excellence in selected procedures complimented with unparalleled leisure tourism offering
- Target outbound medical tourists from regional source countries (Arab and GCC countries)

2025 TARGETS

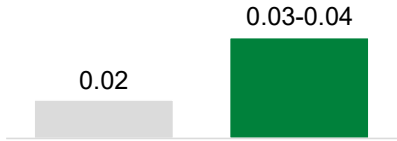
Number of leisure tourists, Mn



Majority of growth in the tourism sector would come from leisure tourists

Number of business tourists, Mn

Number of medical tourists, Mn



X ENABL-ERS

Infrastructure and connectivity

- Airport expansion
- Urban planning and transport infrastructure revamp
- Flight connectivity
- Hotel room capacity and quality

Marketing

- Marketing budget
- Branding
- Targeted marketing
- Media and perception management

Organization and regulations

- Investments zones
- Enabling legislations
- Tourism board and stakeholder cooperation

20181022 Internal

Contents – Productive sectors chapter summary

- Agriculture
- Industry
- Knowledge Economy
- Tourism
- **Financial Services**
- Diaspora

20181022 In

Financial Services – sector aspiration

Aspiration: Supporting the economic growth through financing, becoming an "investment management & offshoring hub" while providing exportable centers of excellence across niche services, building on strong and resilient sector foundations

Current situation

- Financial services **overwhelmingly dominated by banking** with limited to no participation of other services (Insurance, Funds, Capital markets); **Banking** sector with **solid fundamentals** but **decreasing profitability** and **increasing risk**
- **Low penetration** of offshore **AUMs** with **basic product offering** (mainly deposits)
- **Lack** of regional & global recognition for specific **centers of excellence**
- **Missing key regulatory enablers** (e.g. PE Fund law)

2025

A **Healthy and resilient financial services sector** across all dimensions with a **full-fledged offering** (beyond banking) and significant depth **across all sub-sectors;** Increased **focus** of banking on **productive sectors** with optimal **efficiency** in terms of **costs** and **effectiveness** in managing **risk**

B **Investment management and offshoring hub** with **basic asset** offering **targeting regional investors** (Levant, Caspian Region & Africa)

C Best in class talent and innovative **centers of excellence** in **project finance**, **digital & analytics, actuarial studies, FinTech and research,** servicing domestic and regional markets

X **Superior enabling infrastructure** & regulatory **environment** supporting the sector development (e.g. PE Fund Law)

2035

- **Best-in-class full-fledged** financial services offering with **several regional "champions"**
- **Wealth management hub,** capturing high share of wallet through **complex financial products**, with **proactive approach** to **retain** global **players**
- **Evolving** "future-proof" **center of excellence** offering at the **forefront of innovation**

2018 Not Internal

Targets

Current situation		2025		2035	
Financial services GDP, USD Bn, (2017 prices)	Total employment, K	Financial services GDP, USD Bn, (2017 prices)	Total employment, K	Financial services GDP, USD Bn, (2017 prices)	Total employment, K
4.8	50	7.8	50	11.4	40-50
Total assets[2], %GDP	Total AUMs[1], %GDP	Total assets, %GDP	Total AUMs, %GDP	Total assets, %GDP	Total AUMs, %GDP
433%	14%	490%	30%	540%	50%

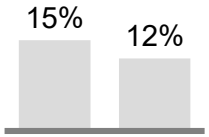
Note: Increase in GDP and stagnation in employment driven by an increase in productivity from 100,000 USD/FTE to 170,000 USD/FTE or 6.5% CAGR

1 Off Balance Sheet AUMs, excluding deposits, including securities
2 Total financial services assets including banking, non-banking financial institutions, investment banks & insurance

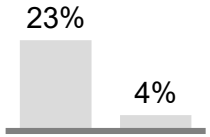
Financial Services – summary of diagnostic (1/4)

Banking

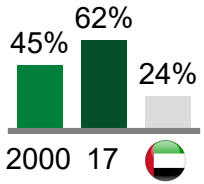
RoE, %



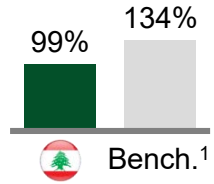
Deposit growth, %



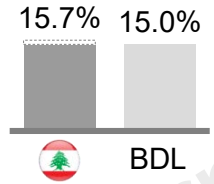
Sovereign exposure, %



Loan penetration, %GDP

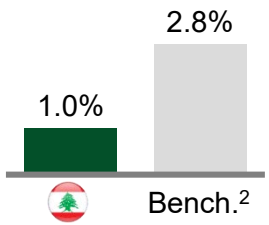


Capital adequacy ratio, %

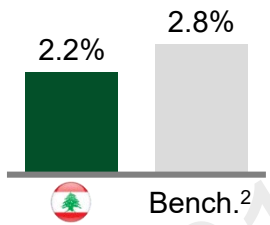


Insurance

Life penetration, GWP % GDP

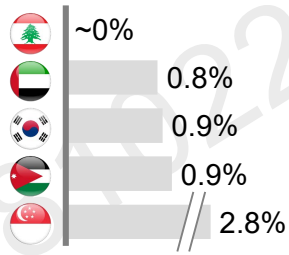


Non-Life penetration, GWP % GDP

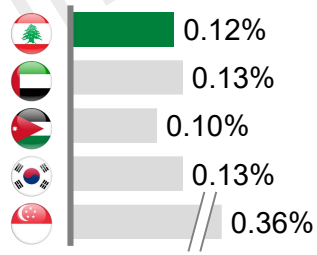


Private Equity/Venture Capital

Private Equity deals, % GDP

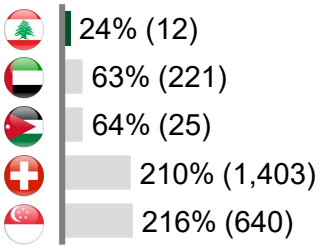


Venture Capital deals, % GDP

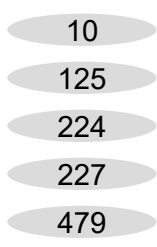


Capital markets

Market capitalization, % GDP (USD Bn)



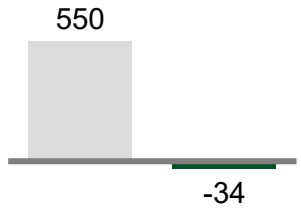
Listed companies, #



Pension funds

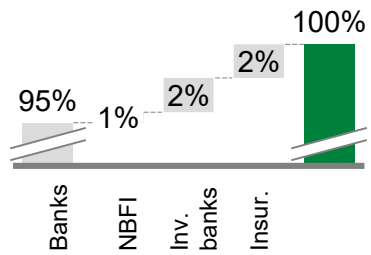
Pension surplus, USD Bn

Insurance deficit, USD Bn



Financial assets

Financial sector asset split, %



Key challenges

- **Lack of participation of non-banking financial services**
  - Domination of financial services by banking with ~95% of assets
- **Underdeveloped capital markets**
  - Lack of incentives to list
  - Limited foreign investments
- **Credit**
  - Although a large portion of credit information is provided by BDL, sector can benefit from a credit bureau
- **Legal**
  - Sub-par legal framework on three fronts: (1) E2E doing business cycle (2) Private equity and fund management laws (3) Digital banking & payments
- **Regulator**
  - Incomplete regulatory framework for capital markets (lack of sanctioning committee & tribunal)
- **Capabilities:**
  - Low financial inclusion and literacy, especially outside BML

1 Includes Singapore, Switzerland, UAE, Greece, South Korea, Jordan & Morocco

2 Includes UK, France, Italy, Netherlands, Spain, South Korea, Brazil, Hungary, KSA & Turkey

Source: IMF Article IV, Banque du Liban, BCC, ICC, World Bank, Pitchbook, Country central banks

Financial Services – summary of diagnostic (2/4)

A Banks

- **Declining profitability** of banks (RoE from 15% in 2011 to 12% in 2016), especially for smaller banks that do not have a diversified value proposition; low RoE for small banks signals potential for consolidation
  - **Margin compression** as a result of **increasing cost of funding** and **declining gross interest income** (due to heavy substitution of private sector lending with sovereign exposure)
  - **Average cost structure** of banking system (46-50% C/I v.s. ~30-40% for high performing regional benchmarks and 30% (or less) for global digital benchmarks)
  - **High rate** of **non-performing loans** compared to benchmarks[2] (6.5-9.2% vs. 5.8%), mainly driven by deteriorating economic conditions, coupled with underdeveloped underwriting capabilities for risky sectors (e.g. SMEs & Real Estate) ★
- **Reduced growth in assets** down from ~22% in 2009 to ~8% in 2017
- **High sovereign exposure** of asset-base (62% vs 24% for UAE; includes regulatory reserves)
- **Limited private sector lending especially on the retail front: Retail lending penetration** (30% of GDP; domestic loans only) **lower than** global **benchmarks**[1] (50% of GDP)
- **High concentration of overall private sector lending (particular corporate lending) in higher risk and nonproductive sectors such as real estate** (~25% real estate vs ~17% for Singapore)
- **Low capital cushion** on top of regulatory capital (~0.7% on top of 15% regulation) along with average bank **capital efficiency**, further hindering growth of the asset base
- **Low digital banking penetration** with 27% of adults having made a digital transaction vs. 60% benchmark[12]
- **Sector remains at the core of the Lebanese economy contributing** to more than **30%** of the government's **income tax** (Profits, capital gains, interest tax)

B Non-Banks finance companies

- **Limited participation** of **non-banking financial institutions** constituting only ~5% of total financial sector assets

Insurance

- Insurance sector has been **growing** steadily with GWP growing at **~4% p.a**. from 1.3 USD Bn in 2012 to 1.6 USD Bn in 2016
- Comparison to benchmarks shows a **low penetration of life** (1% of GDP) **and non-life** insurance (2% of GDP) compared to benchmarks[3] (3% for life and non-life)
- **ICC**[4] plays a **key role** in maintaining the soundness of the industry with some room for improvement
- **Mutuals and coops** provide **insurance plans & coverage** with **no oversight** from the ICC

Private equity and asset & fund management

- **Limited presence and activity of PE firms** with funding at ~0% of GDP vs. 0.8-2.8% benchmarks[1]

Venture capital & Fintech

- **VC funding** of ~0.12% of GDP in-line with benchmarks[1], but funding **lacks at angel stages**
- Fintech scene is emerging with ~10% share of all Fintech's ranking Lebanon 3rd in MENA

2018 Final

1 Includes Singapore, UAE, Greece, South Korea & Jordan
2 Egypt, Jordan, Morocco, UAE
3 UK, France, Italy, Netherlands, Spain, South Korea, Brazil, Hungary, KSA & Turkey
4 Insurance control commission

Financial Services – summary of diagnostic (3/4)

C Institutional investors

Pension funds

- **Pension system** is mainly composed of public pension funds (**civil servants and military funds** for public sector personal and **NSSF** for private sector) and **private pensions** administered by **Labor unions** & professional orders
- NSSF faces several issues, mainly
  - **Use** of the **surplus** of the pension (~550 USD Mn surplus in 2011) **to cover** the **health** insurance **deficit** (~34 USD Mn deficit in 2011)
  - **Lack of investment** in **sovereign** securities
  - **Lack of visibility** on the fund's **contingent liabilities** putting at risk its solvency, liquidity & sustainability; **same pressure** applies to **public sector pensions**

D Equity and bond markets

- **Underdeveloped capital markets** with low market capitalization at ~21% GDP vs. ~60% regional benchmarks and ~200% for global financial hubs; with only 10 listed companies (o.w. 6 banks)
- **Lack of IPOs** vs. 0.3% of GDP in yearly startups IPO in developed countries
- **Lack of incentives** for domestic companies to list their shares
- **Limited foreign investments driven by sub-optimal business** & regulatory **environment**
- The capital market authority **(CMA)** was setup but still **lacks** a **sanctioning committee** and a **financial markets tribunal** to become fully operational

E Enabling infrastructure

Credit

- Although a large portion of **credit information** is **provided by BDL** through the CDR, sector **can benefit from** having a dynamic and commercialized **credit bureau** that can tailor credit reports across segments and sectors, using advanced analytics to support credit decisioning
- **Lack** of **collateral registry**

Payments

- Lebanon was historically the **regional leader** in setting up a National **payment system**
- While the Central Bank has had a thorough grasp on payment systems, **looking forward**, there is a **need for** continuous **modernization** and digitization of the underlying payments infrastructure to match digitization efforts of banks and future payment mechanisms and currencies that are being discussed by BDL

Legal

- Sub-par legal framework on three fronts: (1) E2E doing business cycle: **outdated** insolvency and **bankruptcy** laws, **banking tax** law (2) Private equity and fund management laws: lack of **private equity investment** law and (3) Digital banking and payments: lack of **e-signature law**

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Financial Services – summary of diagnostic (4/4)

F Regulating agencies

- **Incomplete** regulatory **framework** for **capital markets** (lack of sanctioning committee & tribunal)
- BDL's **risk regulation** today is **in-line with best practise**. **Going forward**, the regulatory environment should hit the **right balance** between allowing the future **modernization** and development of the sector while keeping the **highest risk management** standards
- The **Insurance Control Commission** (ICC), reporting to the Ministry of Economy, is **not fully independent**

G Cross-government bodies

- The Association of Banks in Lebanon, **ABL**, has been very **effective** in **international advocacy**; however, **gaps** exist when it comes to **local advocacy** with government and regulators **and promotion** of the **brand** and image of the sector

H Financial sector capabilities

- Lebanon enjoys a **high-quality talent pool** for financial services; BDL has over the years continuously **introduced new regulation on qualifications** to **further enhance** the talent pool's **quality** through trainings and certifications
- However, the country faces **issues in retaining talent** and expertise driven by **high retention costs** (i.e. better external opportunities)
- **Changing sector dynamics** as a result of **digitization** require a **shift in people's capabilities** with most financial institutions lacking readiness and planning for the transition

I Consumer capabilities

- **Lack** of **financial inclusion** with only **0.65** bank **accounts per capita** vs. 2.3 Singapore
- **Despite "overbanking" at the country-level, regional disparities** underline the financial inclusion issue with 52 branches & 94 ATMs per 100K adults in Beirut & Mount Lebanon vs. 15-18 and 27-29 in the other regions
- **Financial literary** of 44% **higher** than **regional** peers (30%) but **lower** than **advanced** economies (53%), driven by a lack of proper financial education in secondary schools (e.g. savings, expense management…)

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Financial Services – 2025 sector charter

2017 2025

Aspiration: Supporting the economic growth through financing, becoming an "investment management & offshoring hub" while providing exportable centers of excellence across niche services, building on strong and resilient sector foundations

SECTOR PLAYS

A

Deepen and strengthen the financial services sector to effectively enable and finance the country's economic development agenda

- Develop digital banking as an alternative delivery channel
- Ensure diversification of asset-base through enhancing the attractiveness of credit to priority productive sectors (e.g. PPPs with attractive returns)
- Enhance the capabilities of the banking sector (e.g. complex products, sector expertise), key pillar of Lebanon's financial services, while ensuring higher cost efficiency and effective risk management and capital deployment
- Develop and deepen the financial services beyond banking, to provide a full-fledge offering across the entire ecosystem (Insurance, PE/VC & Fund management, Capital markets, Pension funds)

B

Position Lebanon as an investment management and offshoring hub, targeting investors from untapped markets, mainly the Levant, Africa & the Caspian region, while focusing on the Lebanese diaspora

- Develop asset management & fund administration hub value proposition, while developing offshore booking center value proposition, with simple product offering (e.g. Fixed Income, deposit, PPP financing)
- Attract and retain offshore wealth penetrating three strategic untapped markets, mainly, the Levant, Africa & the Caspian region[1], while maintaining the growth of Lebanese diaspora assets; these markets will constitute the core of our target markets

C

Develop centers of excellence in specific niches with strong export potential, leveraging the country's talent pool and the geopolitical context

- Project finance targeting the core markets[2] (e.g. Syria & Iraq)
- Digital & analytics targeting the core[2] and regional markets (e.g. Levant & GCC)
- Actuarial studies targeting the core[2] and regional markets (e.g. Levant & GCC)
- Equity & investment research targeting the core[2], regional markets and global financial centers
- Fintech serving the global market

2025 TARGETS

FS GDP contribution, Bn USD 2017 prices: 4.8 → 7.8

Non-banking assets[3], % of total assets: 21% → 33%

Banking sovereign exposure, %: 50% → 37%

Total FS assets, %GDP: 433% → 490%

Assets under mgt., %GDP: 14% → 30%

Top 10 asset & fund managers[4], #: 3 → 7

Lebanese onshore HNWI wealth, % total: 40% → 55%

Global financial centre index, rank: N/A → **Top 50**

Total CoE financial exports[5], Mn USD: N/A → 500

Value of exports project finance deals, USD Bn: N/A → 1.5

X ENABLERS

Legislation & regulatory framework

- Legal & regulatory framework for fund management (e.g. PE fund law)
- Legal & regulatory framework for digital & analytics FS (e.g. E-signature)
- Wealth-related taxation & incentives (e.g. tax on capital gains)

Lending to priority sectors

- Incentivize lending to priority economic sectors of the Vision

Talent pool & education

- Talent pool for financial services delivery (Tertiary education revamp for asset management, digital & banking sector certifications
- Population financial education & literacy

20181022 Internal

1 Azerbaijan, Iran, Kazakhstan, Turkmenistan, Russia; 2 Levant, Africa, Caspian Region, Lebanese Diaspora 3 Non-banking includes non-banking financial institutions, investment banks & insurance 4 BlackRock, Vanguard, UBS, SSGA, Fidelity, Allianz, JP Morgan, BNY Mello, PIMCO, Amundi
5 Exports of financial services including, export of actuarial services, outsourcing of financial research services, exports of FinTech & digital outsourcing

Contents – Productive sectors chapter summary

- Agriculture
- Industry
- Knowledge Economy
- Tourism
- Financial Services
- **Diaspora**

20181022 Internal

Diaspora – sector aspiration

Aspiration: A proactive emigration policy, with a highly engaged Lebanese diaspora actively contributing to Lebanon's economic and social development

Current situation

- Low engagement effort and withering relationships with second and third diaspora generations
- High share of non-productive diaspora inflow (consumption, real-estate)
- Unorganised labour force immigration

2025

A **A proactive emigration policy** (e.g. tracking system for emigrants, G2G agreements)

B **Highly engaged diaspora with strong ties to Lebanon** (e.g. familiarization trip for young diaspora, "Lebanese diaspora day")

C **Major driver of the Lebanese economy through contributions in productive investments, knowledge and market access** (e.g. remittance for regional development, sponsorship/mentorship program, "Ambassador" program for export promotion)

D **Effective lobbying mechanism advocating for Lebanon's interest** (Diaspora advisory board)

2035

- Labour force trained for the global economy, with a clear labour force supply-demand management
- Promotion of Lebanon's interest globally in an organised and systematic way
- One global community with deep ties to Lebanese roots
- Core growth engine for the Lebanese economy

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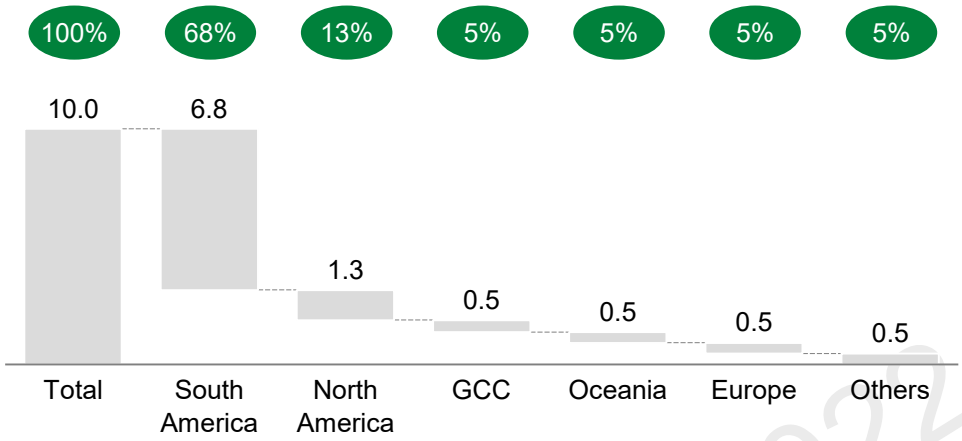
Diaspora – summary of diagnostic

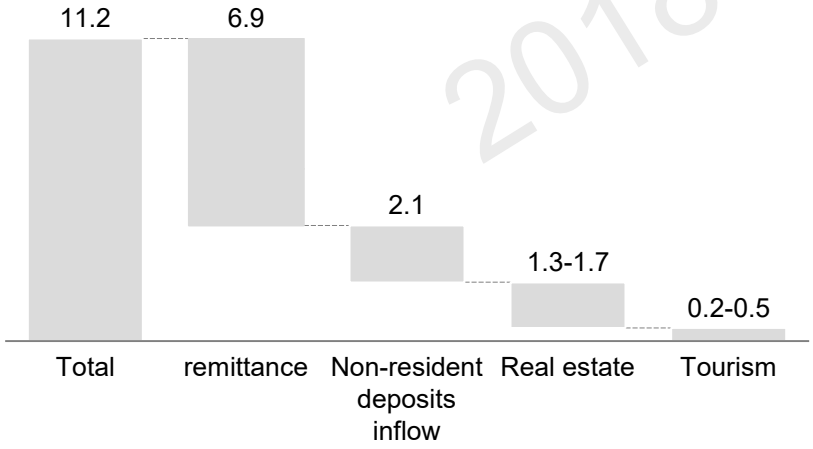
Size of diaspora, Mn resident



Top Diaspora countries are:

- Brazil
- Venezuela
- USA
- Canada
- Australia
- KSA
- Arab

Economic Contribution, 2016 USD Bn



Key facts, 2017:

Diaspora tourists, Mn	1
Real estate, '000 units	~7-9
Total non-resident deposits in bank, USD Bn	35
Top source countries for remittance:	

Key challenges

- **Absence of emigration policy and tracking system**
- **Withering relationship with second and third generation of diaspora (No pro-active approach to reinforce the Lebanese identity abroad)**
- **Absence of planning to channel diaspora contribution towards productive areas**

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Source: BDL, MoFA, IDAL, Order of Engineers

Diaspora – 2025 sector charter

2025 targets

Aspiration: A proactive emigration policy, with a highly engaged Lebanese diaspora actively contributing to Lebanon's economic and social development

SECTOR PLAYS

A

"Seed": Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy and ensure a tracking system is in place to monitor emigration

- Coordinate the export of talent between job seekers and the foreign market through G2G agreements
- Track the country of residence and occupation of emigrants to pro-actively address emigration and drive decision making ★

B

"Radiate": Develop a solid diaspora database to extend reach of engagement efforts and promote national identity to strengthen the bond between Lebanon and its diaspora

- Form vibrant communities in country of residence through visible national events (e.g. centennial events, Lebanon day)
- Strengthen ties with young diaspora generations through "Back to the Roots" familiarization program
- Revive the sense of belonging within all diaspora generations through special diaspora IDs
- Leverage multiple sources to build a diaspora database and extend reach of the engagement initiatives

C

"Reap": Leverage the diaspora network to drive economic growth through encouraging productive investments, opening access to export markets, transferring knowledge/expertise and directing remittances to development projects

- Pro-actively approach diaspora investors with special incentives to encourage investments in productive sectors
- Establish an "ambassador" program of diaspora members to promote Lebanese exports
- Transfer expertise and knowledge from diaspora to local businesses through sponsorship/mentorship programs
- Direct remittances/ diaspora inflows towards productive development projects

D

"Advocate": Harness and formalize advocacy i.e. lobbying power in centers of the world through establishing a diaspora advisory board

- Establish a diaspora advisory board with selected diaspora members to act as advisors to the government on economic matters and advocate for Lebanon's interest in global forums

2025 TARGETS

G2G labour agreements, #

10

Diaspora covered in directory, %

50-60

Number of mega projects (e.g. hotels, factories) driven by diaspora, #

30

X Enablers

Data and analytics
- Data analysis

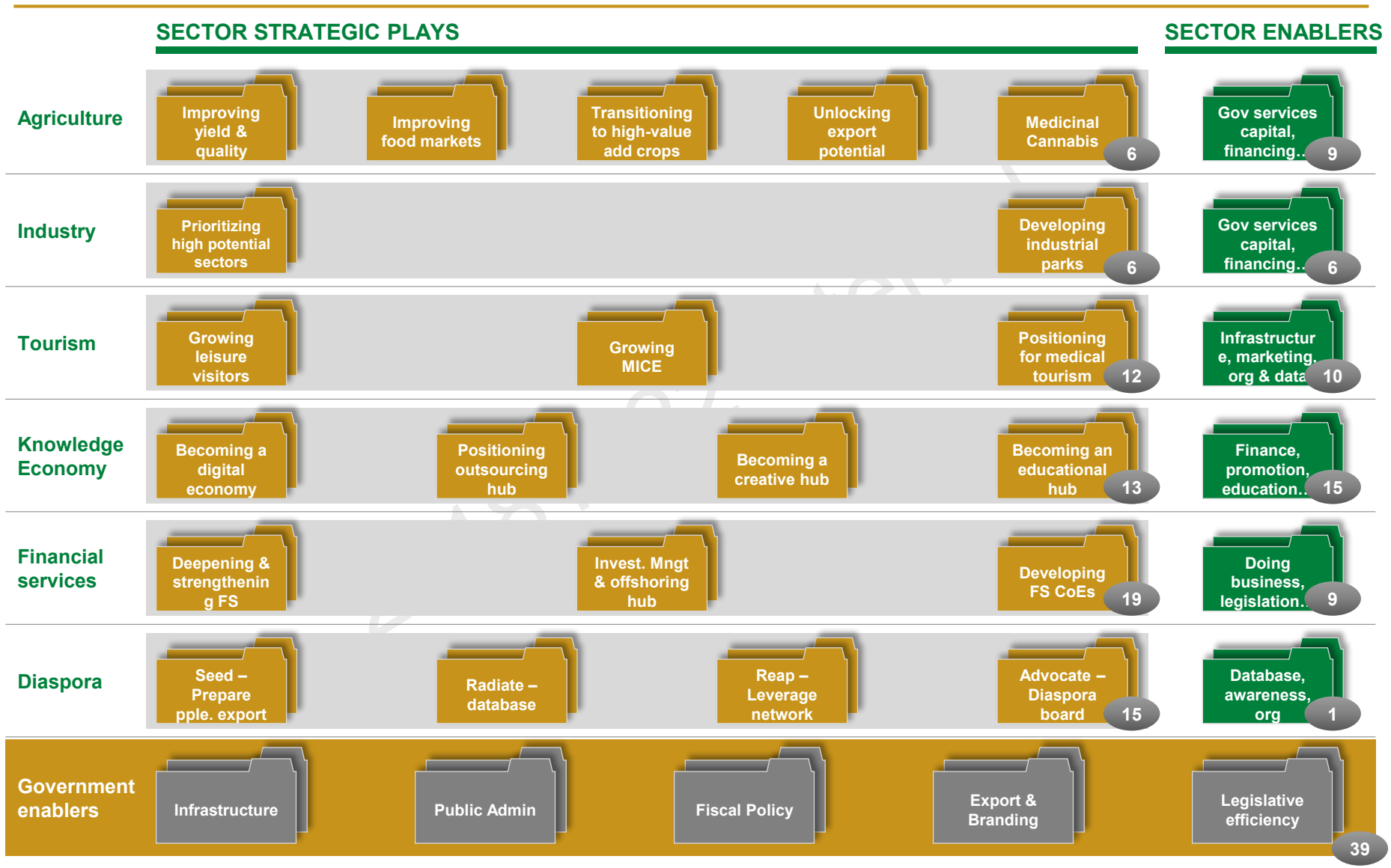
Awareness and accountability
- Awareness and promotion
- Availability of information (One stop shop)
- Corruption

Organization
- Diaspora management unit

2018 2022 Internal

~160 initiatives across prioritized sectors and enablers would guide the vision implementation

Number of initiatives



The ~160 initiatives should be launched beginning with those that have the highest priority

NON-EXHAUSTIVE | ILLUSTRATIVE

Number of initiatives

	Phase 1	Phase 2	Phase 3
Industry	▪ Develop next-generation industrial construction technology zone (near northern border capitalizing on the reconstruction efforts)	▪ Launch 2nd wave of industrial zones in southern & coastal regions ▪ Update TVET programs in line with global best practices	▪ Develop a dry port (e.g. near Chtoura) to alleviate pressure on Port of Beirut ▪ Streamline customs inspections processes (land & maritime ports)
Agriculture	▪ Assuming government policy in place, develop a regulatory framework to legalize and control cannabis for medical purposes	▪ Launch alternative opt-in subsidy program for tobacco farmers ▪ Launch training programs (governance, ops, marketing local co-operatives)	▪ Improve water sustainability through strengthened regulat. & enforcement ▪ Increase transparency in wholesale markets through digital channels
Tourism	▪ Raise ~14 Mn USD for tourism marketing focused on 15 target countries ▪ Launch national campaign to clean public beaches	▪ Create an entertainment and gaming strip in greater Beirut area through extending gaming licenses and renovating Casino du Liban	▪ Market Lebanon as a medical tourism and wellness destination with centers of excellence in specialized fields
Knowledge Economy	▪ Create an outsourcing park in a region outside Beirut & Mount Lebanon (e.g. Tripoli) offering best-in-class and affordable infra, rental & registration	▪ Develop and launch campaign promoting the Lebanese "Innovation Economy" while ensuring participation in global conferences & events	▪ Supply education systems with the right tools to graduate students with majors relevant to the economy (e.g. national supply demand gap survey)
Financial services	▪ Develop detailed banking strategy ▪ Develop asset management value proposition: Launch promotion & sign DTAs[1] for target markets (e.g. Caspian)	▪ Enable capital markets through growing capital demand: (e.g. Fast-track state-owned enterprises listing; fund CIP through debt markets)	▪ Promote consolidation to enhance sustainability of underperforming banks though providing merger incentives (e.g. soft loans)
Diaspora	▪ Revive sense of belonging in diaspora through "Diaspora ID" program, recognising holders as descendants of Lebanese & granting benefits	▪ Create visibility on profile of Lebanese labour force by skill and major ▪ Incentivize students to pursue certain studies through job guarantees & loans	▪ Facilitate access to information on investment opportunities through setting up a portal listing opportunities accessible through IDAL's website
Enabler initiatives	▪ Accelerate approval of 11 critical business environment legislations including code of commerce, bankruptcy law…	▪ Launch revenue growth initiatives (e.g. Tobacco tax), moving from 40% to 70% tax collection effort	▪ Complete digitization of key public processes with private sector participation & monitoring
	~75	~45	~30

1 Double Taxation Agreements

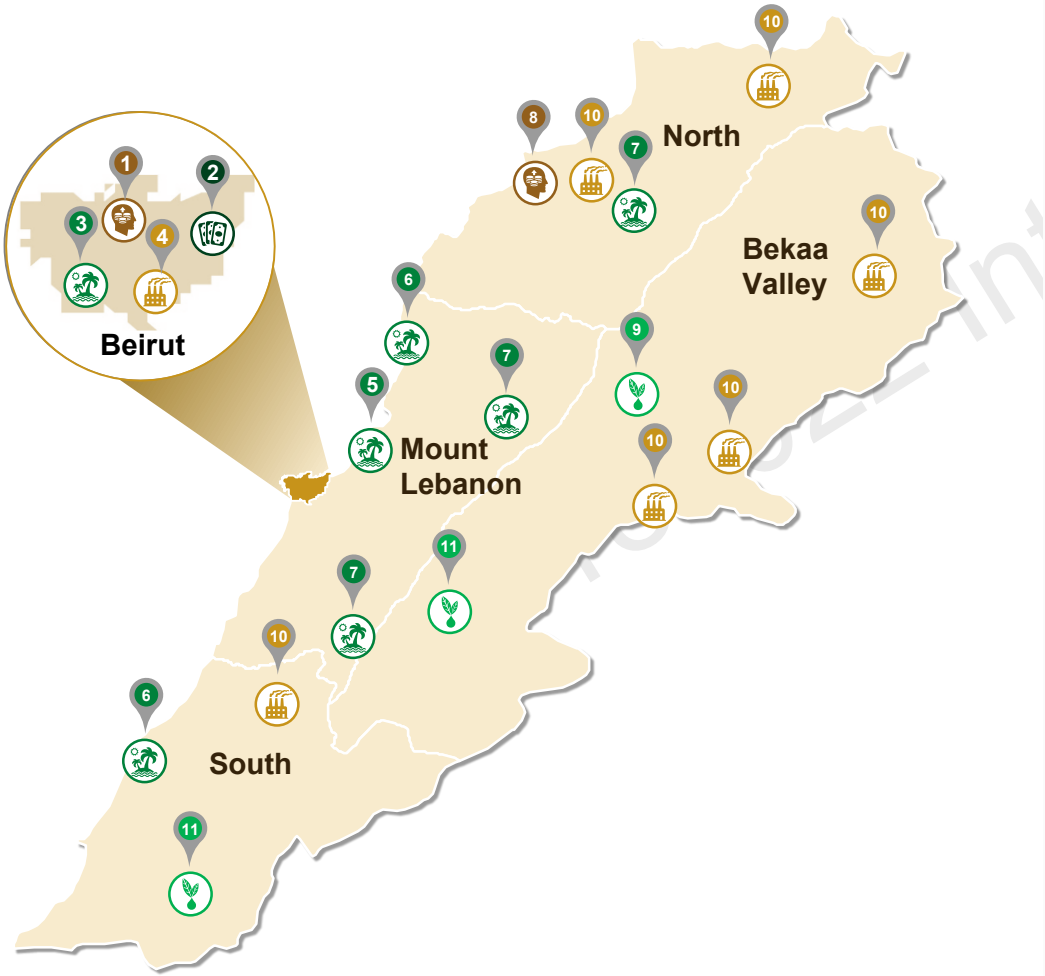
Internal

Launching the developed initiatives would ensure balanced regional development

ILLUSTRATIVE

NON-EXHAUSTIVE

Tourism | Knowledge economy | financial services | agriculture | Industry



1. Knowledge Village and a tech hub in collaboration with leading universities
2. Asset management and off-shore financial hub
3. Anchor tourism destination for city offering
4. Fashion and jewellery district
5. Gaming and entertainment hub
6. Anchor tourism destinations for Sun &Sea
7. Luxury eco-tourism and natural hubs
8. Outsourcing park for business and knowledge intensive services
9. Medical cannabis cultivation and production fields
10. National Industrial Integrated Parks (NIIPs)
11. Specialized agricultural zones

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

2018 10 22 Internal

Data Disclaimer

All analysis related to international trade relies on data from Lebanese Customs and the World Bank's World Integrated Trade Solution (WITS), retrieved in May 2018. Data from WITS excludes uncategorized and unreported trade flows. Efforts to clean and process data were performed on a best-effort basis, including classification of agricultural / industrial / raw non-industrial tradeable goods, reconciliation of data discrepancies and inconsistent use of HS classification systems, and interpolation of results where necessary.

2018-10-22 Internal

Many stakeholders contributed to the assessment of the agriculture sector

Public sector stakeholders

- **Ministry of Agriculture Directors** — *MoA*
- **Director of the Directorate General of Cereals and Beetroot** — *MoET*

State-owned enterprises stakeholders

- **George Hobeika** — *REGI*
- **Samir Mdawar** — *Dean of the Faculty of Agriculture at the LU*

Private sector stakeholders and federations

- **John Touma** — *Arak Touma*
- **Raphael Debbane** — *Debbane Group*
- **Antoine Howeyek** — *Farmers' Association*
- **Diane Audi** — *AUB Nature Conservation Center*
- **Nadine El Khoury** — *Robinson Agri*
- **Zafar Chaoui** — *Chateau Ksara*
- **ECOSOC** — *Agriculture committee*

International organizations

- **Maurice Saadeh** — *FAO*

In addition, **extensive analytical research** was conducted based on datasets collected from **FAO, WITS (World Bank), Lebanese Customs,** and the **Ministry of Agriculture**

20181025 Internal

Agriculture – sector aspiration

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

Current situation

- Dominance of **low-value crops**, including **tobacco** which is cultivated at a loss
- **Low productivity** for many crops *(e.g. olives)*, due to outdated techniques and low investment in technology
- **Inefficient local markets** in which farmers are vulnerable to unfair practices *(e.g. by markets & distributors)*, partly due to weak cooperative system
- **Poor access to global markets** such as the EU, largely due to non-compliance with international standards *(e.g. SPS for potatoes)* & weak post-harvest infrastructure
- Widespread **illegal cultivation of cannabis**

2025

A Higher prominence of **high-value crops** *(e.g. Avocado)*, with reduced cultivation of tobacco and other low-value crops

B **High levels of productivity** for major crops, enabled by improved techniques & application of modern agriculture technologies

C Higher levels of **local market transparency** which further empower farmers

D Improved **global recognition & acceptance** of Lebanese agriculture products as high-quality food products

E Emergence (potentially) of **controlled areas with legal cultivation of cannabis** for export-oriented medical purposes *(requires aligned policy & regulatory framework)*

2035

- **Fully optimized** crop portfolio which maximizes returns for farmers *(while also accounting for food security objectives)*
- **Best-in-class productivity** across most crops, leveraging frontier advances & technologies across the agriculture value chain
- Very well-organized and effective local market
- **Well-established global reach** of Lebanon's agricultural products, with an established **reputation for premium quality**
- **Near-elimination of illegal cannabis cultivation**, with majority of growers being licensed and overseen by the government *(requires aligned policy & regulatory framework)*

2018-2022 Internal

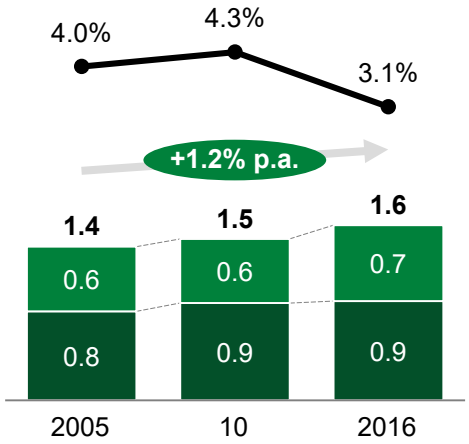
Targets

Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands
1.6	210	2.2	214	3.2	~210

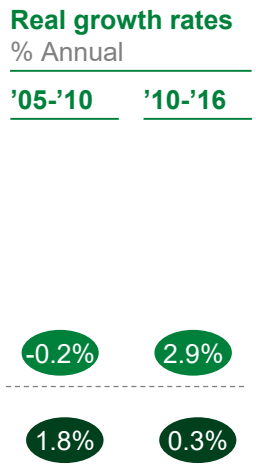
Agriculture – summary of diagnostic

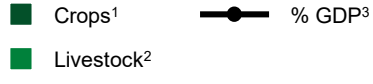
Economic contribution

Real GDP value of agriculture
Bn USD in 2010 prices

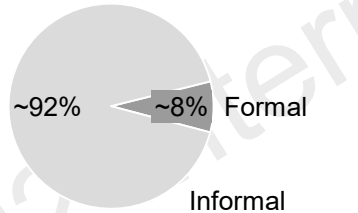


Real growth rates
% Annual





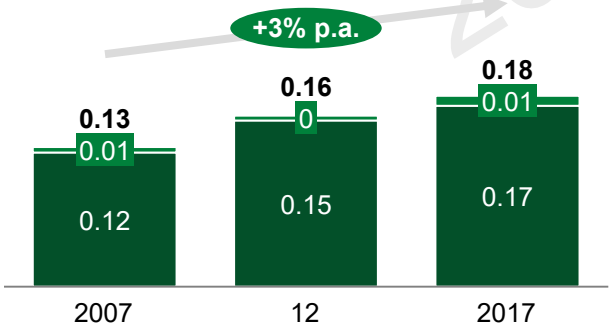
Estimated Employment 2016
Total : ~212k



Excludes seasonal employment

Trade

Agricultural exports (excluding processed food)
Bn USD



Top exports include:
- Fruits (apples, bananas, grapes, oranges, etc.)
- Vegetables (potatoes, lettuce)
- Raw tobacco
- Spices
- Live sheep

1 Includes forestry 2 Includes fishery 3 Excludes taxes and subsidies

Key challenges

- **Low productivity and quality**
  - Limited modernization / technology adoption, with persistence of suboptimal techniques (harvest, post-harvest, etc.)
  - Overuse of fertilizers & pesticides (452 kg/hectare, vs. 131 kg/hectare in OECD countries)
- **Structural constraints**
  - Small average holding sizes (1.4 ha)
  - Ineffective cooperative system (~1200 COOPs, 2/3 of which are inactive)
  - Dominant wholesale markets / distributors
- **Insufficient and poorly-targeted government support**
  - Limited extension and research services
  - Poor controls on food safety & quality, water usage
  - Limited access to financing
- **Financial unsustainability**
  - Rising land & transportation costs
  - Reliance on subsidies (and ad-hoc financial support)

Source: CAS, ILO, Ministry of Health, Lebanese Customs, FAO, expert interviews

Agriculture – 2025 sector charter

2017 2025

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

SECTOR PLAYS

2025 TARGETS

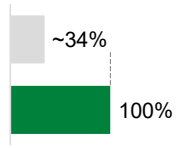
A

Promote and support the application of modern methods and technologies to improve yield and quality of agricultural produce

- Leverage *(and strengthen)* research and extension service capabilities to drive adoption of modern methods *(e.g. to limit overuse of fertilizers & pesticides, adopt best-practice olive harvest techniques, etc.)*
- Facilitate financing of technology installations which can improve yield and quality *(incl. irrigation systems)*

Focused on family-based farmers

Share of high-volume crops (1k+ hectare) with top-quartile yield %



B

Improve local (and regional) food markets, with a focus on transparency and efficiency

- Increase transparency *(e.g. pricing)* of wholesale markets and distributors' activities through digital solutions and improved regulatory oversight
- Strengthen cooperatives' ability to market goods to local and regional markets *(e.g. through targeted capability building efforts)*

Improved farmer satisfaction regarding access to local markets & practices of distributors / wholesale markets *(New metric required)*

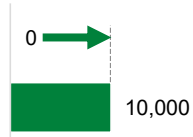
C

Support the transformation and transition of agricultural cultivation towards higher-value crops *(e.g. tomatoes, avocadoes)* and livestock, away from Tobacco and other low-value crops *(e.g. cereals, olives)*

- Conduct a comprehensive value chain analysis across all agricultural products to determine optimal crop allocation by region *(including identification of target alternative crops, with a focus on tobacco regions)*
- Introduce a new (opt-in) subsidy program for Tobacco farmers which allows transition to alternative crops
- Leverage *(and strengthen)* research and extension services to support farmers through crop transitions

Focused on commercial farmers

Agricultural land transformed towards higher-value crops Hectares *(since 2017)*

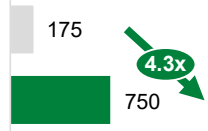


D

Unlock export potential by facilitating access to international markets

- Increase compliance of Lebanese farms and agriculture facilities *(e.g. packaging facilities)* with international standards to overcome SPS export constraints
- Facilitate expansion & improvement of post-harvest infrastructure *(e.g. cold storage & packaging facilities)*
- Support farmers in identifying & reaching high-potential frontier markets *(e.g. in Eastern Europe)* and adapting cultivation practices *(e.g. seed species)* to meet market preferences

Agriculture exports *(excluding processed food).* USD mn (2017 prices)



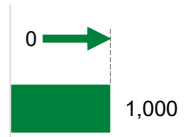
E

Assuming government policy is in place, explore legalization of cannabis cultivation in the aim of producing high-value-added medicinal products with export focus underpinned by a corresponding regulatory framework

- Draft a comprehensive regulatory framework for cannabis *(e.g. covering cultivation, processing, export, etc.)*
- Assess feasibility of building the institutional capabilities that would be required to implement regulatory framework *(e.g. licensing, quality assurance, etc.)*

Legal cannabis cultivation *hectares*

Note: Additional analysis required to assess target



X GENERAL ENABLERS

X.1 Government services
- Research capabilities
- Extension services
- Capability-building for cooperatives
- Safety controls & quality assurance

X.2 Export support
- Export promotion
- Export development

X.3 Human capital
- Technical & vocational training
- Employment attractiveness *(e.g. for rural youth)*

X.4 Legislation & regulation
- Water law & regulatory framework
- Cannabis regulatory framework

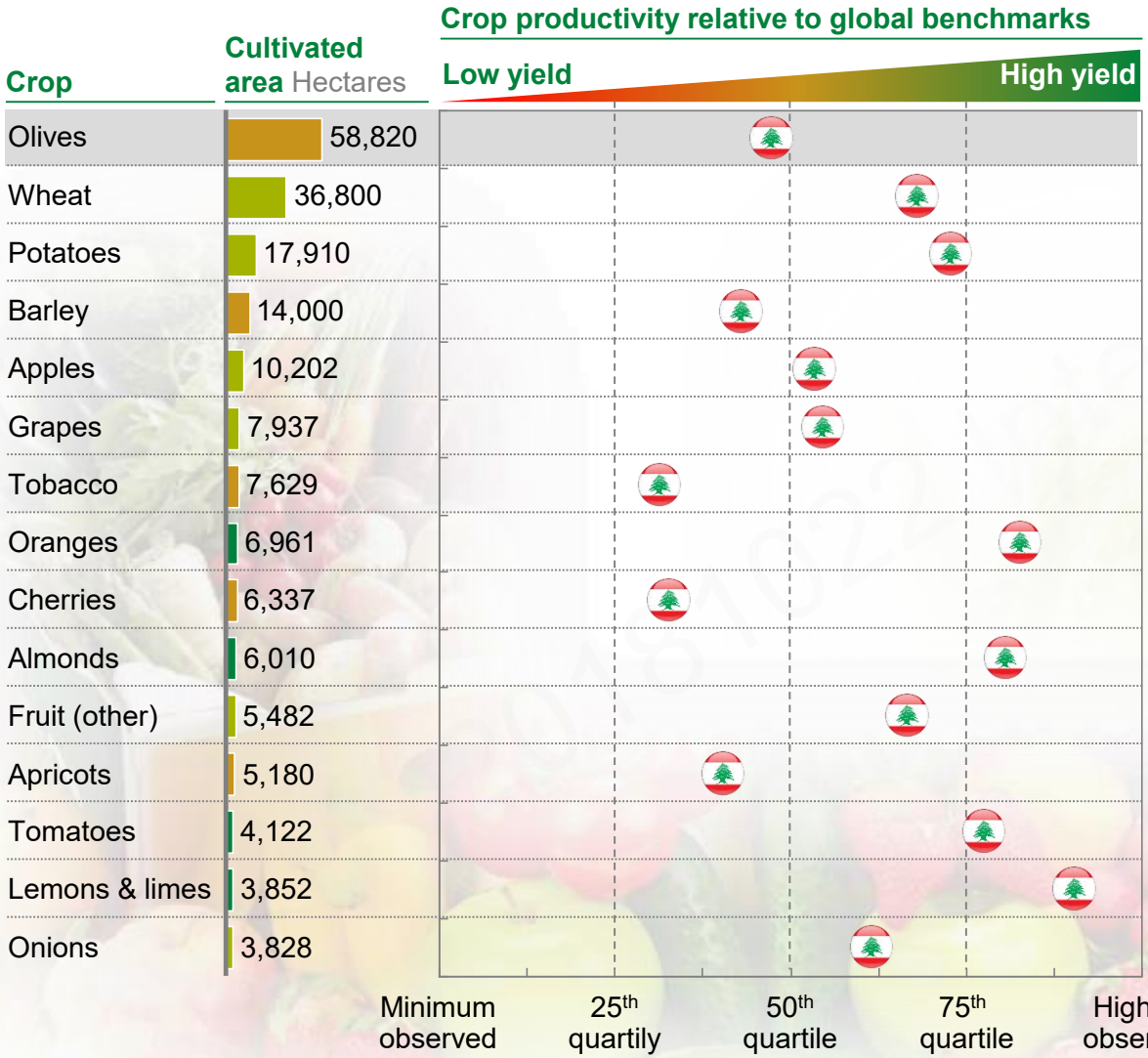
Blom Bank Internal

Different objectives and strategic drivers will need to be prioritized for family-based farmers and commercial farmers

Strategic driver	Requirements & feasibility	Selected priority opportunities	Short-term priority level	
			Family	Commercial
A **Increasing productivity (yield) and improving quality of products**	▪ Increasing yield and quality requires strong **technical & financial support** to support implementation, including **investments** (e.g. in technology) which should be supported by research-backed **strategic planning & analysis** *(including feasibility & market assessments, crop testing, etc.)*	Improving productivity of **olive** cultivation	**High**	**Medium** *Assuming higher existing productivity*
B **Improving access to local & regional markets**	▪ Requires **marketing & processing support** and **organized linkages** between farmers and other stakeholders *(including food processing players)*	Applicable across all products, but particularly effective for **fruit & vegetables** as well as **dairy products**	**High**	**Medium** *Likely to possess economies of scale*
C **Transitioning to cultivation of higher-value crops and products**	▪ Crop replacement can be a **long journey** (up to 5-7 years for tree crops) with **short-term losses** that may need to be compensated ▪ Identification & implementation of alternative crops requires **rigorous research** and extensive **technical support**	Transitioning crop selection towards **tomatoes, oranges, almonds, avocado, strawberries**	**Low** ***(except tobacco)*** *Requires extensive support*	**High**
D **Improving access to export markets**	▪ Expanding exports requires **active export promotion** and adoption of **health and safety-related certifications** (e.g. ISO) to overcome SPS barriers ▪ Investment in **storage and packing infrastructure** is also necessary to enable access to international (and off-season local) markets	*General*	**Low** *Global exports difficult without scale / effective cooperatives*	**High**
E **Exploring legalization of cannabis cultivation for medical purposes**	▪ May require a significant shift in government policy & extensive political alignment and coordination ▪ Exporting medical cannabis products likely requires extensive diplomatic outreach	**Cannabis**	**Low**	**High**

A Productivity can & should be improved for many of Lebanon's major crops through three main levers

PRELIMINARY



1st quartile (best)
2nd quartile
3rd quartile
4th quartile (worst)
Detailed next

Key levers to increase productivity include:

- Selection of ideal **crop varieties**
  - Critical lever for **wheat** and other cereals, but may be complicated / time-consuming for tree-based crops
- Improvement of **techniques**, partially through the introduction of new **technologies**
  - E.g. harvesting methods can be critical, especially for **olives**
- Optimization of **inputs** including:
  - **Fertilizers** and pesticides *(identifying appropriate levels, rather than overusing)*
  - Availability of water / irrigation

*Note: successful implementation of these levers is dependent on **technical support** & access to **financing**, and must be supported by **research / strategic planning***

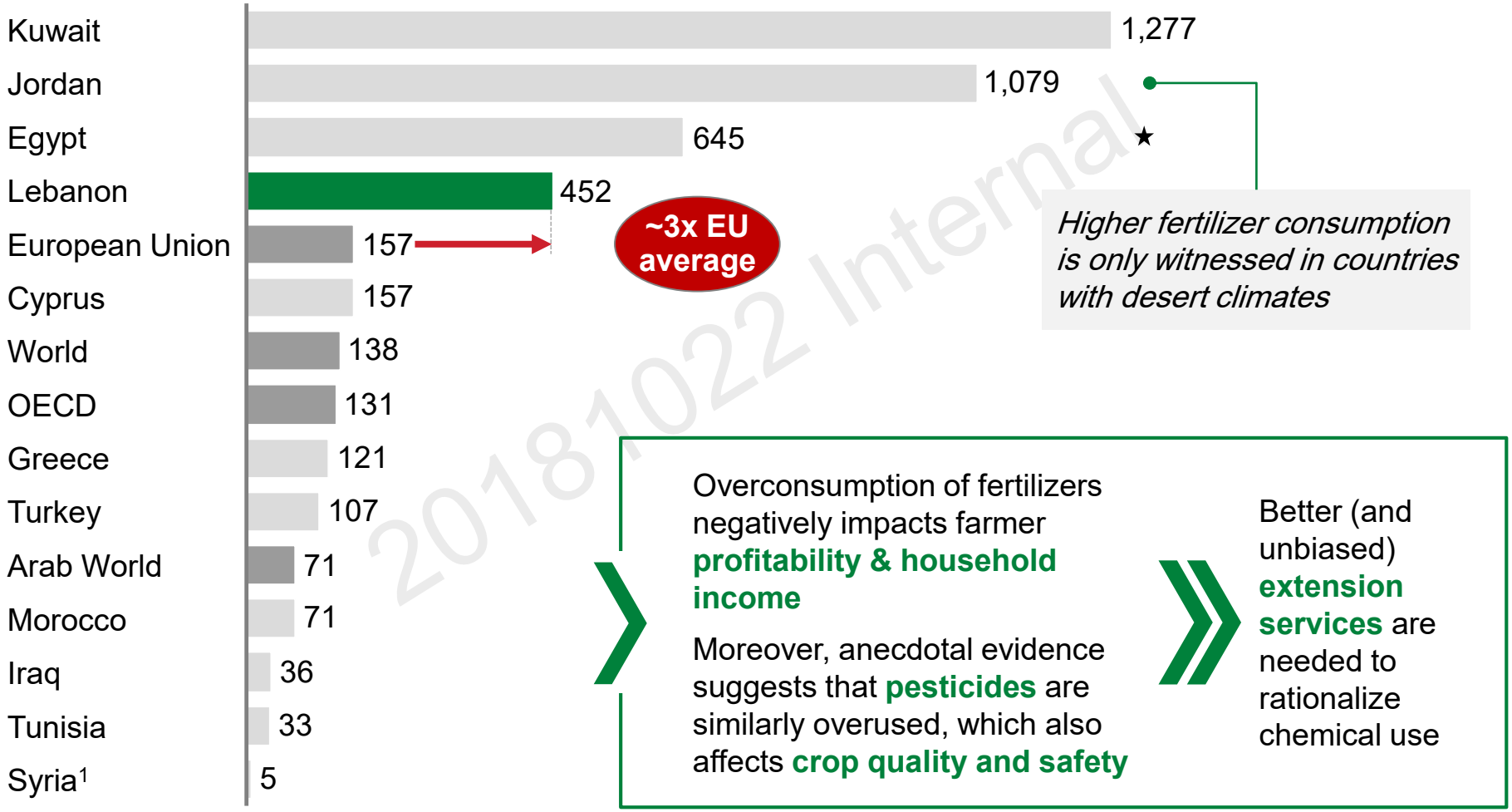
Source: FAO, Ministry of Agriculture

A Public extension services should address Lebanon's high use of fertilizers and pesticides, which are harming profitability & safety

PRELIMINARY

Fertilizer consumption

Kilograms per hectare of arable land (2015)



Overconsumption of fertilizers negatively impacts farmer **profitability & household income**

Moreover, anecdotal evidence suggests that **pesticides** are similarly overused, which also affects **crop quality and safety**

Better (and unbiased) **extension services** are needed to rationalize chemical use

1 Pre-conflict maximum of 88 kg / hectare in 2008

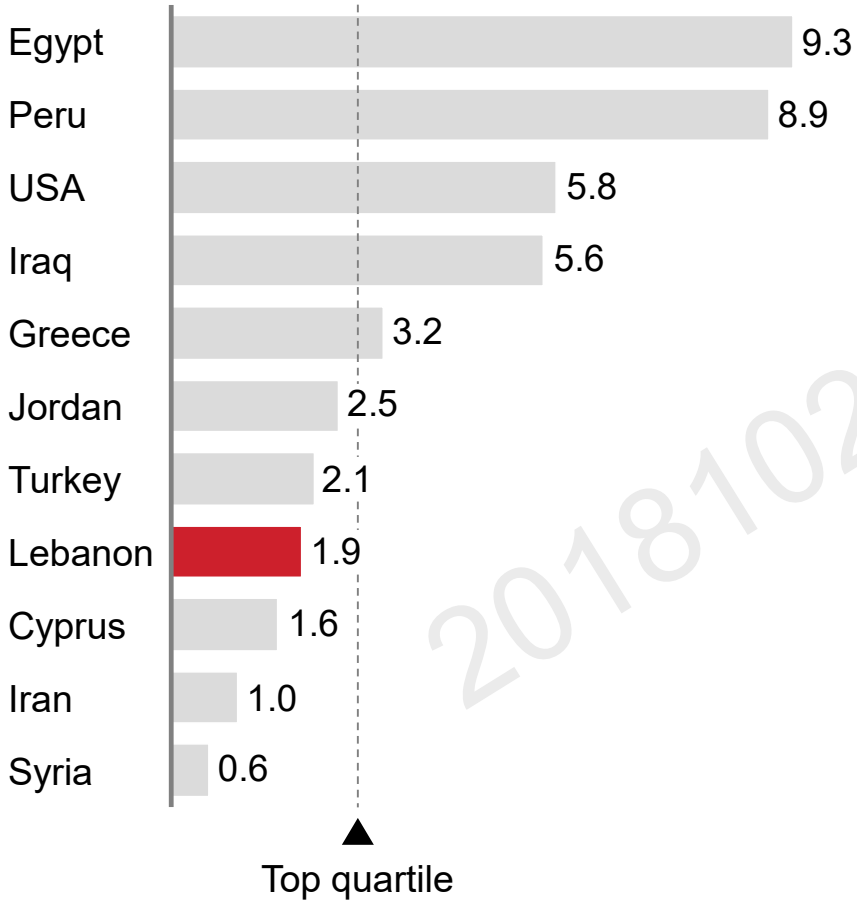
20181022 Internal

Source: World Bank

A Olives should be prioritized for productivity enhancement, with a focus on improving harvesting techniques

Olive yield

Tonnes / hectare



20181022

Olive-specific challenges:

- Proliferation of **absentee / part-time farming**, driven by migration of land-owners to cities and popularity of olive harvesting as a low-cost "side business"
- Reliance on outdated **harvesting techniques** *(e.g. beating & shaking trees)* which reduce labor costs but can cause significant tree damage

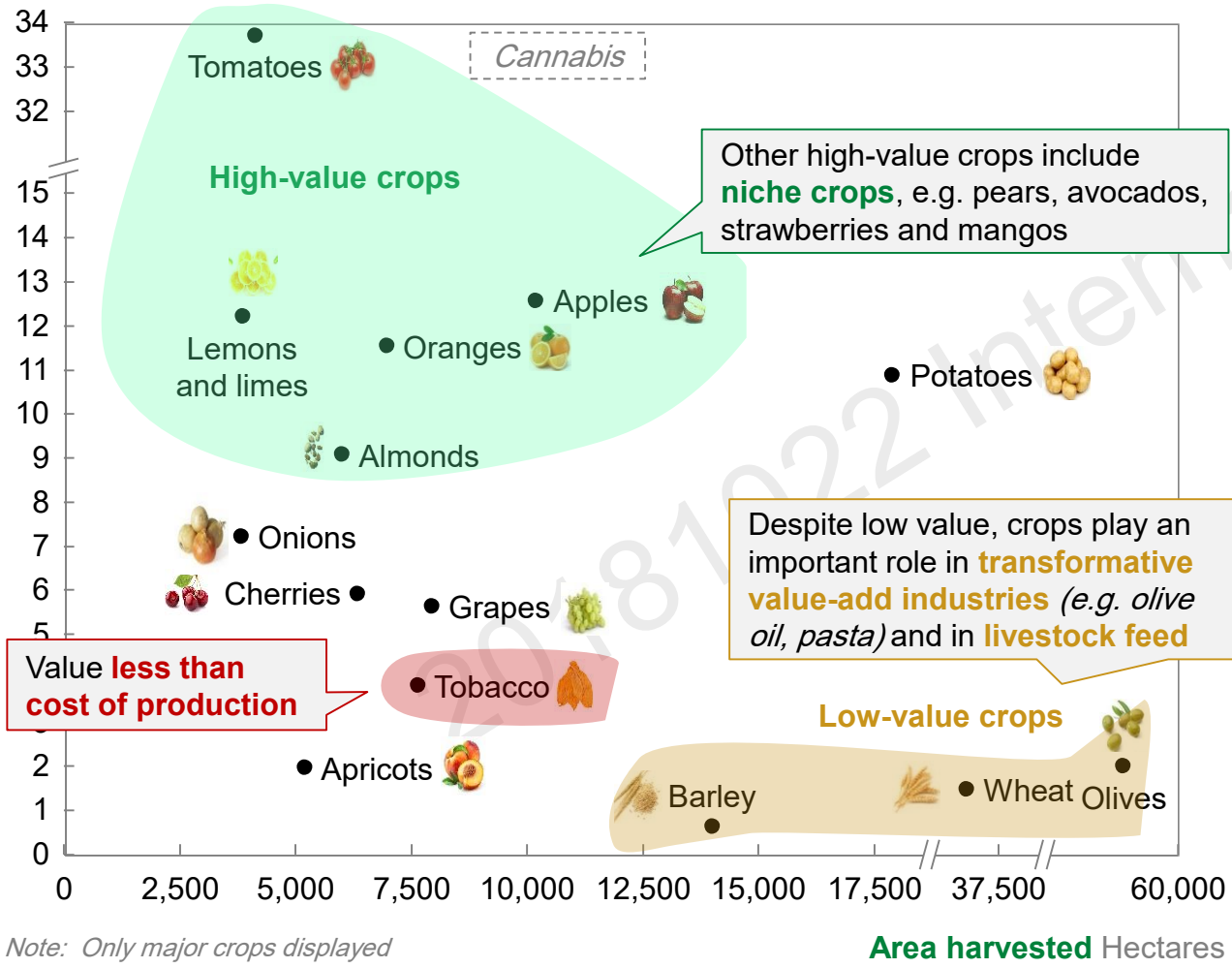
Olive-specific opportunities:

- Developing specialized & professionalized **private / contract farm operators**, targeting non-resident farm owners
- Establishing research partnerships with olive-focused centers, such as the **UC Davis Olive Center**

Note: Variation in yield may be partially explained by variation in olive subspecies

Source: FAO, expert interviews, press search

C Lebanon's crop-mix should be gradually shifted towards higher-value crops, away from unprofitable crops such as tobacco



Alternative crop transitions can provide immense **value in the long run**, but can be very **costly in the short run**

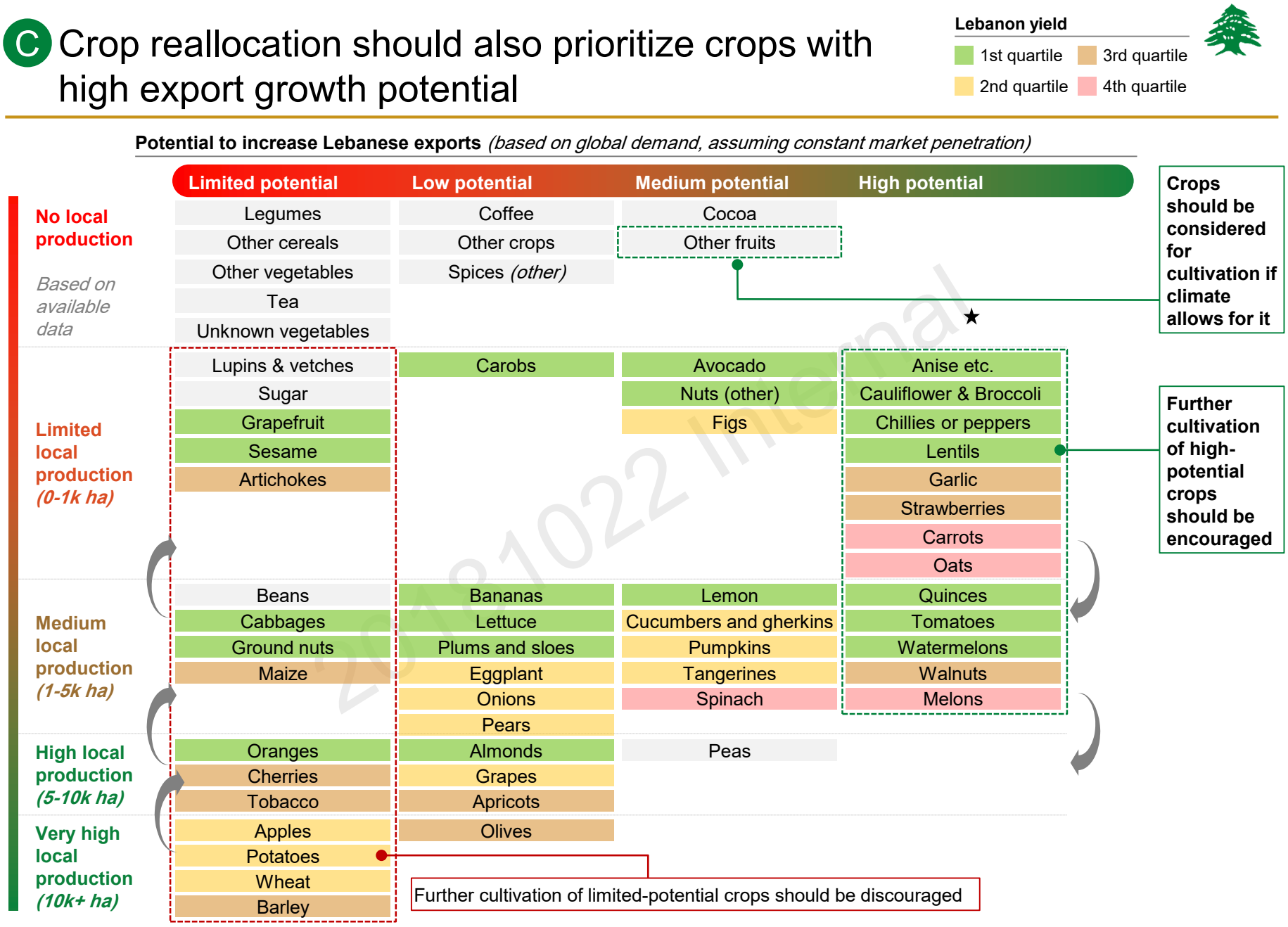
Thus, they should be preceded by **in-depth research** to assess:

- **Feasibility and productivity** of alternative crops on any given land
- Availability of **viable export markets** *(e.g. based on demand, crop shelf-life and distance to market, seasonality and cultivation timelines, etc.)* or capacity for expansion of **local consumption**
- **Business case** of transition *(e.g. higher-value crops may be loss profitable if costs are unreasonably higher)*

20181022 Internal

Source: FAO, REGIE

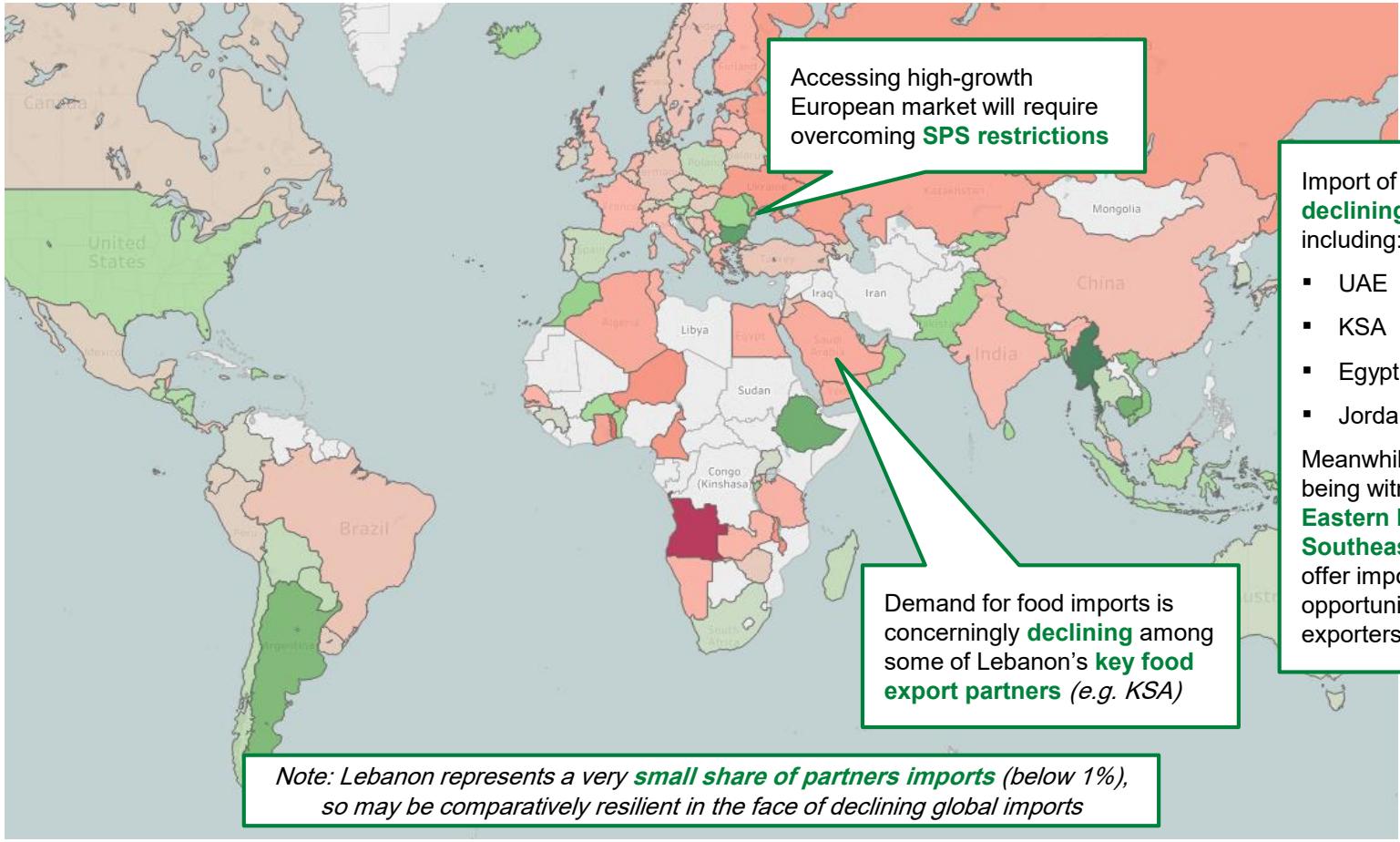
C Crop reallocation should also prioritize crops with high export growth potential



Source: Lebanese Customs; WITS; FAO

D Lebanon should strengthen agri-trade ties with Eastern Europe and other high-growth regions to counter declining demand in key markets

Growth in import of food products (including processed foods)



Import of food products is **declining in key markets**, including:

- UAE
- KSA
- Egypt
- Jordan

Meanwhile, **high growth** is being witnessed in parts of **Eastern Europe** and **Southeast Asia**, which could offer important growth opportunities for Lebanese exporters

*Note: Lebanon represents a very **small share of partners imports** (below 1%), so may be comparatively resilient in the face of declining global imports*

Source: WITS; Lebanese Customs

D Lebanon should proactively seek to increase exports of high-value products to countries with significant & growing imports

PRELIMINARY AND NOT EXHAUSTIVE

Crop	Potential target countries for (additional) exports				
Tomatoes	Azerbaijan	Bahrain	Bangladesh	Belarus	Bulgaria
Almonds	Bulgaria	Pakistan	Qatar	Turkey ★	Vietnam
Apples	Argentina	Belarus	Nepal	Pakistan	Romania
Oranges	Azerbaijan	Morocco	Myanmar	South Africa	
Lemons	Azerbaijan	Bulgaria	Jordan	Malaysia	Qatar
Grapes	Argentina	Armenia	Bangladesh	Kyrgyzstan	Myanmar
Avocado	China	Czech Republic	Germany	South Korea	Spain
Straw-berries	Belarus	Malaysia	Oman	Romania	Vietnam
Bananas	Colombia	Netherlands	Qatar	Romania	Tunisia

20191022 Internal

Target countries selected for each crop based primarily on magnitude and growth rate of global imports

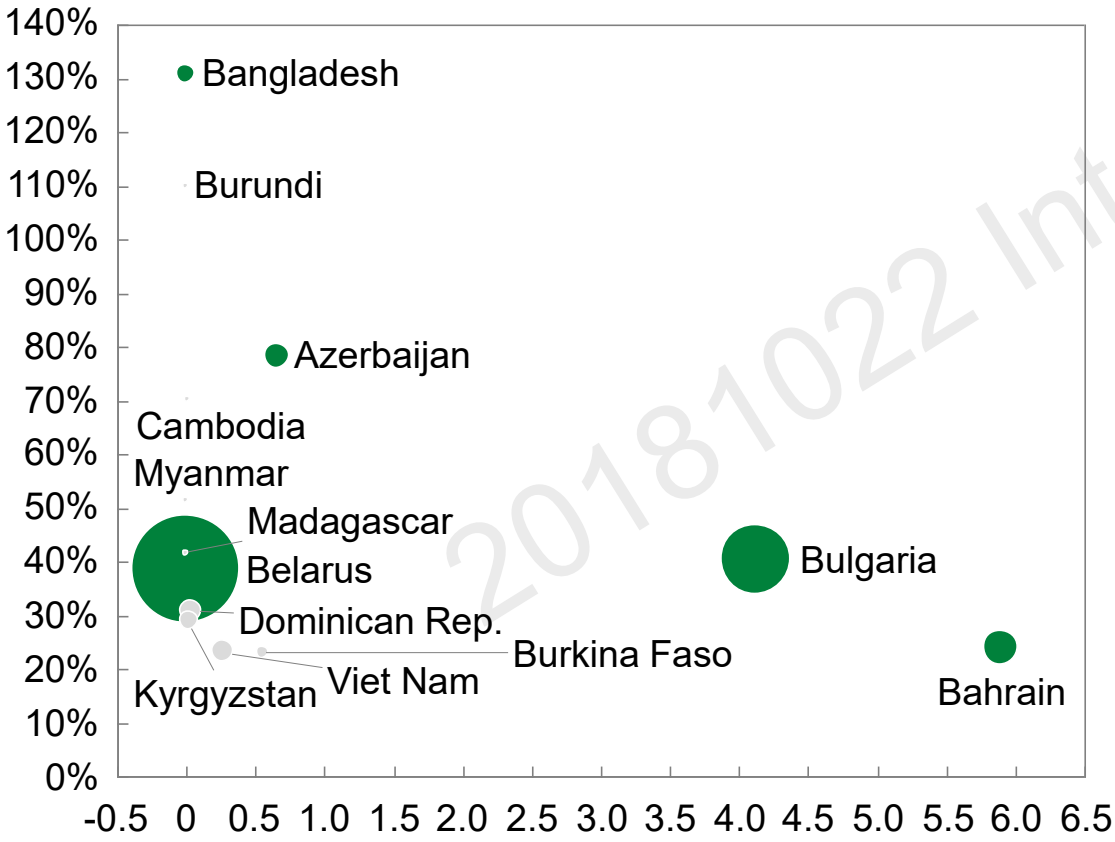
Source: Lebanese Customs; WITS

D Lebanon should proactively seek to increase tomato exports to Bangladesh, Azerbaijan, Belarus, Bulgaria and Bahrain

Case Example 1: High-growth export market for tomatoes

Annual growth rate in tomato imports % Annual growth

Bubble size represents total tomato imports



Total agriculutral imports from Lebanon USD Million

Export promotion for tomatoes should prioritize several **high-growth markets**, including:

- Established agricultural export markets:
  - **Bahrain**
  - **Bulgaria**
  - **Azerbaijan**
- New / small agricultural export markets:
  - **Belarus**
  - **Bangladesh**

20181022 Int

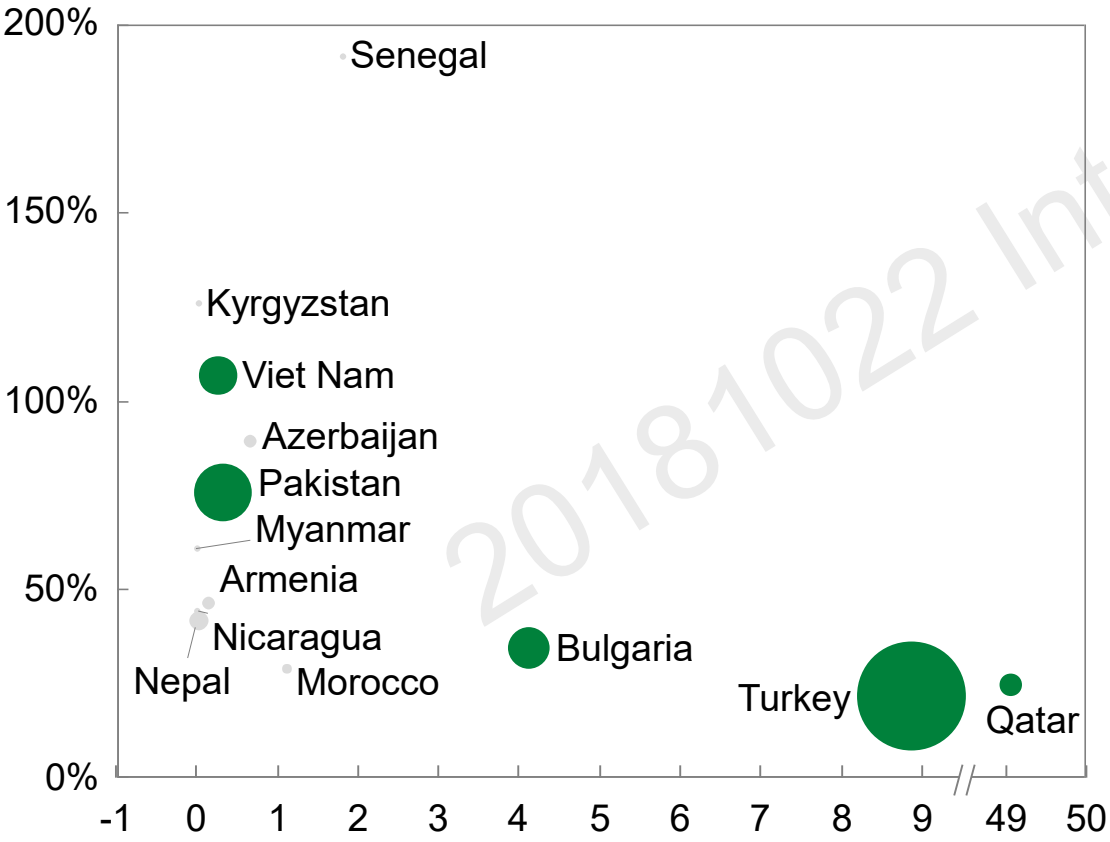
Source: Lebanese Customs, WITS

D Lebanon should proactively seek to increase almond exports to Vietnam, Pakistan, Bulgaria, Turkey, and Qatar

Case Example 2: High-growth export market for almonds

Annual growth rate in almond imports % Annual growth

Bubble size represents total almond imports



Total agriculutral imports from Lebanon USD Million

Export promotion for almonds should prioritize several **high-growth markets**, including:

- Established agricultural export markets:
  - **Bulgaria**
  - **Turkey**
  - **Qatar**
- New / small agricultural export markets:
  - **Pakistan**
  - **Vietnam**

20181022 Int

Source: Lebanese Customs, WITS

E Lebanon is a major producer of cannabis and a leading global supplier of cannabis resin

Cannabis cultivation area by country[1]

Hectares

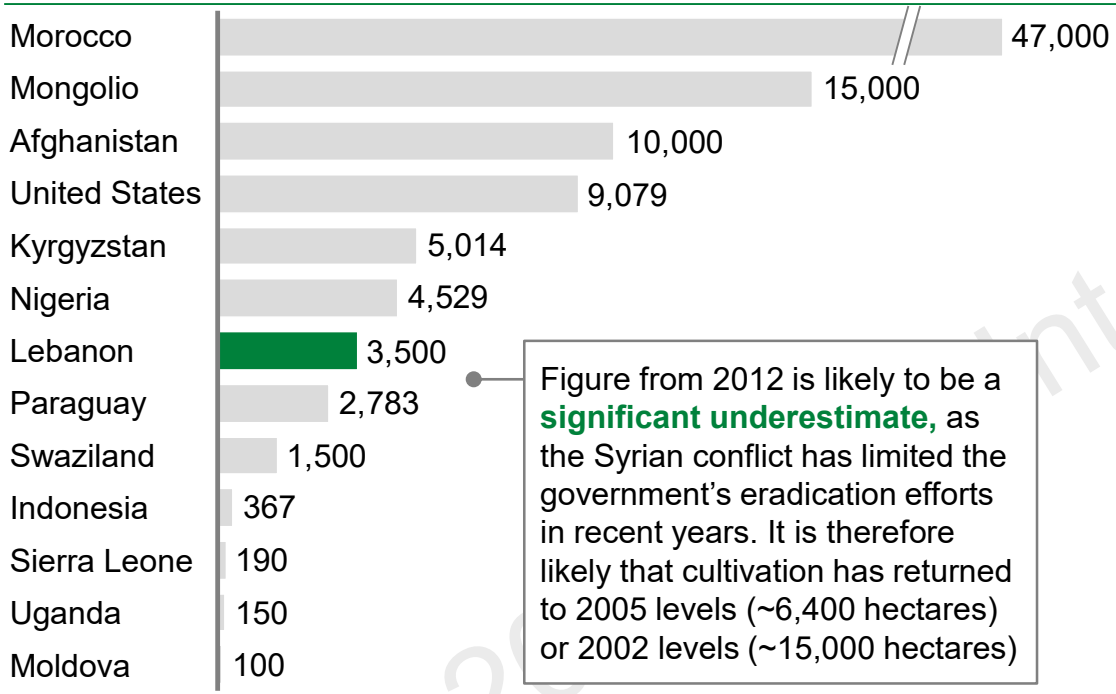


Figure from 2012 is likely to be a **significant underestimate,** as the Syrian conflict has limited the government's eradication efforts in recent years. It is therefore likely that cultivation has returned to 2005 levels (~6,400 hectares) or 2002 levels (~15,000 hectares)

Based on member country reports and questionnaire responses, the UN estimates that **Lebanon is:**

- The **world's 3rd largest provider of cannabis resin**, following Morocco and Afghanistan
- **Asia's 5th largest provider of cannabis herbs,** following Afghanistan, Kyrgyzstan, Myanmar, and Laos

The value of Lebanon's cannabis production is difficult to estimate, but reports have indicated values **up to 4 bn USD[2]**

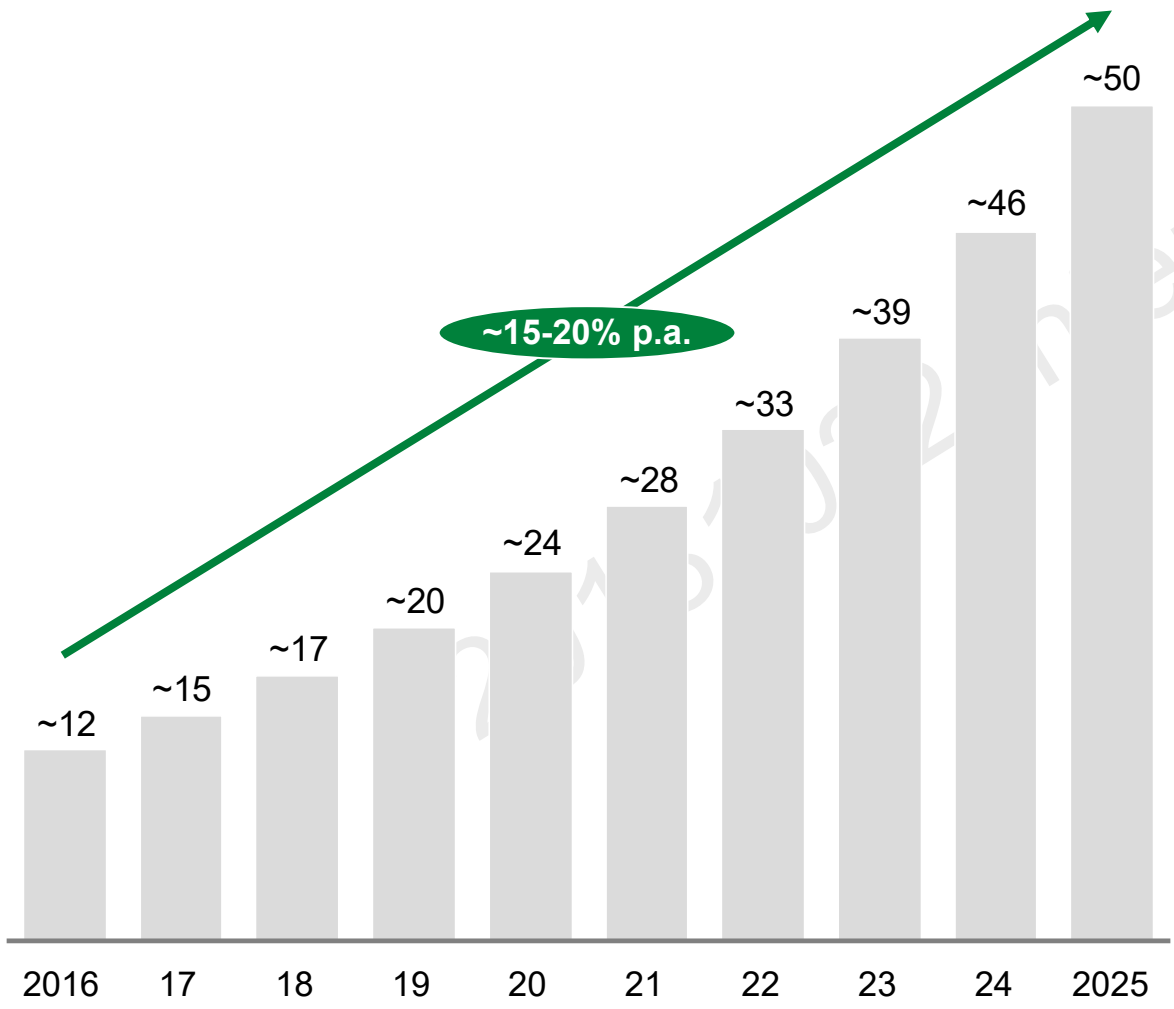
- Efforts to provide **alternative crop options** to cannabis growers – including a UN campaign in the 1990s – **have failed**, in part due to the low production cost and high profitability of cannabis
- **Eradication campaigns**, led by security forces, have also been **unable to prevent the production** of cannabis, and have lately been hindered by the Syrian conflict

1 Countries with available estimates not less than 100 hectares. Data for 2016 or latest period available between 2010 and 2016 (Lebanon estimate for 2012). Estimate of harvestable land used for United States.
2 Reported figures suggest a wide range of production value, from 50 million USD to 4 billion USD. Figure of 4 billion USD reported by BBC likely represents global retail value.

Source: UNODC; Press search

E The international market for medical cannabis is rapidly growing, with several countries already claiming a first-mover export advantage

Global revenue of medical cannabis market USD billion



Legal international trade in medical cannabis products is already happening:

- **Canada** is exporting to Germany, Croatia, New Zealand, Brazil, and Chile
- The **Netherlands** is exporting to Australia, and various EU countries, including Italy, Germany, and Finland

Other countries are quickly capturing the export potential:

- In 2017, **Uruguay** announced plans to begin exporting medical cannabis oil to Canada and Mexico
- In 2018, **Australia** approved the export of medical cannabis products

Source: Grand View; Visiongain; press search

Agriculture – priority initiatives (1/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
B Improving Local Food Markets	AGR. B.1	Improve efficiency and transparency in local markets, including wholesale markets and distributors	▪ Ministry of Agriculture	
C Transformation to higher value crops	AGR. C.1	Develop a crop transformation strategy	▪ Ministry of Agriculture	
	AGR. C.2	Introduce an alternative program for Tobacco farmers	▪ MoET	
	AGR. C.3	Develop a comprehensive integrated view on subsidy programs	▪ MoET	
D Export promotion	AGR. D.1	Support export readiness of Lebanese products	▪ Ministry of Agriculture	
E Cannabis production & export	AGR. E.1	Initiate the development of a cannabis strategy across the whole value chain	▪ Ministry of Agriculture	
X.1 Government Services	AGR. X.1.1	Revamp extension services	▪ Ministry of Agriculture	ABCDE
	AGR. X.1.2	Strengthen scope and scale of agricultural research	▪ LARI	ABCDE
	AGR. X.1.3	Launch a program to strengthen co-operatives' capabilities	▪ Ministry of Agriculture	ABCDE
	AGR. X.1.4	Strengthen the quality assurance ecosystem including food inspection services	▪ Ministry of Agriculture	ABCDE
	AGR. X.1.5	Initiate comprehensive exercise for agriculture land registration	▪ Ministry of Agriculture	ABCDE

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Agriculture – priority initiatives (2/2)

NON-EXHAUSTIVE

	Objective	Owner[1]	Plays
X.2 Export Support	AGR. X.2.1 Facilitate capital investment in Agriculture	▪ IDAL	ABCDE
X.3 Human Capital	AGR. X.3.1 Develop agriculture human capital	▪ Ministry of Agriculture	ABCDE
X.4 Legislation & Regulation	AGR. X.4.1 Ensure water sustainability through improved management & conservation efforts ★	▪ Ministry of Energy & Water	ABCDE
	AGR. X.4.2 Improve formalization of agriculture sector and increase protection of farmers	▪ Ministry of Agriculture	ABCDE

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (1/12)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
B **Improving Local Food Markets**	Agr.B.1	Improve efficiency and transparency in local markets, including wholesale markets and distributors	Lebanon's fragmented agricultural holdings (average holding size is 1.4 hectares per holding) and poor organization of farmers into cooperatives (according to MoA) has created market dynamics favoring wholesale markets and distributors over farmers. Market dynamics could be improved through several approaches: ▪ Partner with the private sector to leverage digital tools (e.g. app for farmers, distributors and wholesalers), creating transparency over market dynamics (e.g. allowing farmers to share market prices & create transparency around discrepancies). Such tools would also allow the enforcement of regulations (e.g. enabling farmers to report non-compliance) ▪ Creating a rating system for wholesale markets and distributors (e.g. rated on level of transparency and fair prices) and provide rating-based-incentives that would encourage fair practices (e.g. providing access to funds) ▪ Enforcing strict controls (e.g. withdrawal of licenses) on wholesale markets and distributors who are reported for unfair practices – May require introduction of new regulations	▪ Ministry of Agriculture
C **Transfor-mation to higher value crops**	Agr.C.1	Develop a crop transformation strategy	Significant agricultural lands are dedicated to low-value crops (e.g. Tobacco) or crops with shrinking demand in Lebanon's export markets (e.g. Potatoes). A comprehensive crop strategy is required is to systematically drive large / commercial farmers towards high-value in-demand crops. The strategy should include: ▪ Analyzing the crop value chains, leveraging existing research already conducted by FAO and LARI and round-table discussions with large / commercial farmers ▪ Understanding market forecasts for export markets and expected demand gaps and opportunities (in collaboration with MoFA) ▪ Based on value chain analysis, export market forecasts and soil analysis, prioritizing top 5-10 crops to promote with large / commercial farmers – Crop promotion programs would include informative workshops, technical assistance (through extension services), financial incentives (e.g. crop-specific grants/loans) and time-bound support mechanisms ▪ Crop allocation and optimization should extensively consider water reliance, and should prioritize crops with low water requirements minimizing the growing water stress levels ▪ Developing a transformation roadmap which identifies pilot program and rollout timeline across geographies and crops	▪ Ministry of Agriculture

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2016 Final Internal

We considered 15 priority initiatives that underpin the vision of the agriculture sector (2/12)

NON-EXHAUSTIVE

C Transformation to higher value crops *(contd.)*

	Objective	Initiative	Owner[1]
Agr.C.2	Introduce an alternative program for Tobacco farmers	The tobacco subsidy program is costing the government ~40m USD per year with no significant economic contribution: Tobacco is a low-value crop, and market prices are lower than cost of its cultivation. At the same time, 45,000 people in rural areas depend (partially or fully) on tobacco cultivation for their livelihood. Alternative options should be considered, providing greater economic contribution while maintaining or promoting the farmer interests, through: ▪ Conducting research to analyze the potential to replace tobacco cultivation with higher-value crops. – Research to analyze soil, climate, water availability and overall feasibility (including access to local or export markets) ▪ Following the research and round-table discussion with farmers, considering alternative opt-in programs which would facilitate transitioning from tobacco to higher-value crops – Programs to consider multiple variables, including type and level of support from the government (e.g. extension services, cold-storage facilities, market/price guarantee), farmer profitability, timeline and requirements for monitoring and regulation – Programs to consider international examples in transitioning away from tobacco subsidy and cultivation (e.g. Turkey, Mexico, Taiwan, Tanzania, Indonesia) ▪ Launching a pilot for opt-in alternative program, and derive learnings ▪ Launching a nationwide opt-in alternative program	▪ Ministry of Economy & Trade
Agr.C.3	Develop a comprehensive integrated view on subsidy programs	An integrated view on subsidy programs has not been established, with no clear rationale for approving or rejecting requests for subsidies. With the primary objective of increasing value-generation in the agricultural sector (and a secondary objective of reducing government obligations), the government should re-evaluate existing subsidy programs, through the following criteria: ▪ Understanding the main objectives of the current programs ▪ Assessing effectiveness and efficiency of current programs ▪ Assessing potential alternatives to the programs ▪ In particular, additional research is required to assess the effectiveness of the wheat subsidy program, which should take into account: ▪ Dependent food-processing industries (e.g. local pasta industry) ▪ Food security considerations ▪ Potential to increase productivity of wheat (to be assessed by LARI)	▪ Ministry of Economy & Trade

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2018 1000 Internal

We considered 15 priority initiatives that underpin the vision of the agriculture sector (3/12)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
D **Export promotion**	Agr.D.1	Support export readiness of Lebanese products	Lebanese agricultural exports across several product categories have been dropping over the past few years. Drop in exports has resulted from, drop in demand from target markets, land blockage and barriers. As such, barriers could be tackled through: ▪ Identifying barriers which are imposed by priority export markets (current & new target markets), including: – Sanitary and phytosanitary (SPS) regulations (e.g. requirements on animal and plant health, including tolerance limits for pesticide residues and restrictions on other substance use) – Technical barriers to trade (TBT) (e.g. related to size of crops, labelling, packaging format, quality of production / transportation / storage facilities, traceability, etc.) ▪ Prioritizing restrictions to overcome (e.g. ISO certification) and develop roadmap to build Lebanon's capacity for best-in-class export standards – Quality & certification-related efforts to be coordinated with LIBNOR and COLIBAC ▪ Providing farmers and exporters with the required financial support to facilitate attainment of necessary certifications (beyond IDAL's current support efforts for food packaging facilities) ▪ Enforcing regulatory requirements in coordination with the private sector ▪ Beyond importer-applied restrictions, addressing local infrastructural challenges to exports, including: – Ensuring that airport and port expansion projects provide the necessary capacity to enable export growth in a timely manner – Reducing duration of customs inspections wherever possible, particularly for fresh products	▪ Ministry of Agriculture

2018 MAD Model

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (4/12)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
E **Cannabis production and export**	Agr.E.1	Initiate the development of a cannabis strategy across the whole value chain	Today, Lebanon is the 3rd largest provider of cannabis resin, despite its illegality, with the value of the production estimated to up to 4 USD Bn in some reports. In order to capture the opportunity, and if public policy is aligned, the government could legalize the production of cannabis for export purposes, through developing a full-fledge strategy, while setting up the necessary entities and authorities to control the industry. The government is also to develop a regulatory framework *(Detailed under the legislation section)*: ▪ **Production**: Growth of cannabis for medical products to be licensed, and subject to restrictions related to area of cultivation, quality standards, etc. – A licensing entity for cannabis production should be put in place along with a detailed licensing scheme. ▪ **Processing**: A licensing entity for cannabis processing should be put in place along with a detailed licensing scheme. ▪ **Export infrastructure**: Dedicated facilities (e.g. at the Port of Beirut) may be needed for inspection and processing of cannabis-based products ▪ **Enforcement**: Strict and effective controls will be needed to ensure that cultivation of cannabis occurs in line with the regulatory framework and quality assurance standards. A dedicated authority should be set up to conduct strict controls over the cannabis production and processing facilities. *Design of the regulatory framework for cannabis should be informed by similar recent efforts in Uruguay, Netherlands, Australia, Canada, Turkey, the United States (in select states, including California), as well as others*	▪ Ministry of Agriculture

2018 Roadmap

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (5/12)

NON-EXHAUSTIVE

X.1

Government Services

	Objective	Initiative	Owner[1]	Plays
Agr.X.1.1	Revamp extension services	Several smallholder farmers have still been using traditional techniques of harvesting (e.g. beating olive trees, overuse of pesticides), resulting in lower yield over the long term. Strengthening and expanding the official extension services would be needed to 1) promote productivity-enhancing techniques and technologies, and 2) rationalize usage of pesticides, fertilizers, and water. Extension services would drive excellence in: ▪ Knowledge of best-practices related to farming, use of pesticides and fertilizer, harvesting, post-harvesting, and other relevant areas for all locally-produced products, with priority given to large-volume crops (e.g. wheat) and new alternative crops (e.g. crops which will replace tobacco) ▪ Ability to provide technical support for crop transformations (e.g. switching to higher-value crops) – Note: Dedicated and structured support programs should be offered to farmers wishing to pursue alternative crops, in collaboration with LARI (which should be responsible for suggesting alternative crops and identifying best practices) To ensure that all farmers across Lebanon have timely, cost-effective access to agricultural knowledge and extension services, advanced digital extension services should be considered ▪ The Ministry should engage (and potentially develop cooperation agreements) with international counterparts (e.g. in Nigeria and Ethiopia) which have been able to provide extension services at scale (e.g. through combining training of young digitally-enabled recruits with more experienced public and private sector extension agents) An institutionalized way of coordination of private and public sector providers of extension services (e.g. fertilizer providers) should be considered to avoid duplication of efforts and ensure consistency of technical advice	▪ Ministry of Agriculture	A B C D E

2018 Confidential

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (6/12)

NON-EXHAUSTIVE

X.1

Government Services *(contd.)*

	Objective	Initiative	Owner[1]	Plays
Agr.X.1.2	Strengthen scope and scale of agricultural research	Extensive agricultural research would be needed to update the Agriculture sector strategy (including identification of high-value alternative crops), covering: ▪ Developing a revised national soil map (using new samples) and allocation of homogeneous agriculture zones ▪ Analyzing the impact of climate change on agriculture, and environmental sustainability of the sector more broadly (e.g. including sustainability of water supplies) ★ ▪ Conducting a new & more detailed agricultural census & survey (building on 2010 census) to update estimates of number of farmer, socioeconomic impact of agriculture, distribution of crops, cost structure and profitability by crop, etc. ▪ Identifying and conducting feasibility testing of alternative crops for each homogeneous region, particularly areas where low-value crops are being cultivated (including tobacco) – Comprehensive value chain analysis (including analysis of cost competitiveness, market opportunities, feasibility based on soil and climate conditions, etc.) would be required to identify high-potential crops ▪ Assessing the feasibility of introducing new agricultural technologies in Lebanon – Developing research expertise in international best-practices across the agriculture value chain is critical, and serves as a key prerequisite for many other initiatives (e.g. related to strengthening extension services, crop transformation, Tobacco subsidy reform, etc.) ▪ Ensuring a consistent research agenda, overseen by the Lebanese Agriculture Research Institute (LARI) but also done in close collaboration with the relevant stakeholders (local universities, local private sector institutions, international thought leaders and institutions)	▪ Lebanese Agriculture Research Institute (LARI)	A B C D E

2018 IZA Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (7/12)

NON-EXHAUSTIVE

X.1

Government Services *(contd.)*

	Objective	Initiative	Owner[1]	Plays
Agr.X.1.3	Launch a program to strengthen co-operatives' capabilities	To properly understand and prioritize shortcomings in the current cooperative ecosystem, relevant data should be collected (e.g. through a survey of farmers – potentially in parallel to revised census) – separately for each value chain and geography. Analysis to include: ▪ Log of all existing cooperatives including scope of work, members, level of effectiveness ▪ Heat-map of challenges facing farmers (in areas typically addressed by cooperatives), including access to inputs, product aggregation and sales, post-harvest processing (including storage), access to financing, etc. ▪ Shortlisting, by area/crop, activities which could potentially be addressed by cooperatives For the priority pain -point areas, targeted support programs should be launched focusing on: ▪ Strengthening organizational capabilities of existing cooperatives, including facilitating governance and transparency ▪ Strengthening operational capabilities within cooperatives, including procurement optimization, market access, etc. ▪ Introducing digital technologies which can greatly facilitate cooperatives' capabilities – Collaboration with international best-in-class cooperatives and cooperative governing institutions (e.g. Agrial in France, National Agricultural Cooperative Federation in S. Korea) should be considered to develop support programs ▪ Ensuring roles are clear across the relevant stakeholders (e.g. General Directorate of Cooperatives, Cooperative Credit Union, General National Union of Cooperative Associations, etc.) to avoid duplication and ensure continuous collaboration	▪ Ministry of Agriculture	ABCDE

2018 2020 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (8/12)

NON-EXHAUSTIVE

X.1

Government Services *(contd.)*

	Objective	Initiative	Owner[1]	Plays
Agr.X.1.4	Strengthen the quality assurance ecosystem including food inspection services	Quality & safety standards would be a main driver in growth of exports, and should begin with strengthening standards and certifications associations (including LIBNOR and COLIBAC). Efforts should cover: ▪ Supporting technical implementation of quality standards by local farmers & agriculture players in coordination with extension services and export readiness support programs ▪ Measuring and enforcing local compliance with quality standards through inspection services and testing laboratories, aiming to ensure compliance with the relevant international requirements (e.g. ISO 17020 and 17025) – Standards related to quality of water in light of the common use of untreated water in irrigation systems. Inspection and enforcement would require collaboration across multiple stakeholders (including MoA, MoEW, CDR), insuring that irrigation requirements are appropriately reflected in implementation of CIP's water- and wastewater-related initiatives – Inspection approach should be risk-based while prioritizing export-unlocking efforts (e.g. value chains and sources of production which are most affected / bottlenecked by inspection-related SPS restrictions) – Strengthening of quality controls & restrictions should be reflected in testing of imported food products, which needs to occur more systematically and consistently across all entry points, including land border crossings ▪ Incentivizing private sector players – including supermarkets and other retail markets – to demand quality compliance from farmers and intermediaries	▪ Ministry of Agriculture	ABCDE

2018 CEDRO Project

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (9/12)

NON-EXHAUSTIVE

X.1

Government Services *(contd.)*

	Objective	Initiative	Owner[1]	Plays
Agr.X.1.5	Initiate comprehensive exercise for agriculture land registration	Today, farmers face several issues with current agriculture land registration practices and status. As such, the government should initiative a comprehensive exercise targeting the agriculture land registration issues through: ▪ Conduct roundtable discussions and meetings with all relevant stakeholders (e.g. Coops, agricultural associations, farmers…) to understand current status and shortcomings of the current system ▪ Develop long-list of interventions required ★ ▪ Launch prioritized interventions through the Agriculture task force	▪ Ministry of Agriculture	ABCDE

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (10/12)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.2 **Export Support**	Agr.X.2.1	Facilitate capital investment in Agriculture	Several investment opportunities would exist within the agriculture sector, through the implementation of the required reforms. Potential areas include: ▪ Private food storage facilities (including cold storage) ▪ Private food processing facilities (with a focus on facilities that overcome export requirements, such as EU SPS restrictions) ▪ Development and sale of advanced irrigation systems (e.g. hydroponics) and other IT-related systems Potential investors include: ▪ Development finance organizations ▪ Governmental & private donor agencies ▪ Private sector players (with a potential focus on social and impact investing) competitions / support programs / etc. ▪ Launching public marketing campaigns to increasing attractiveness of agriculture as a career path (with a focus on youth in rural communities) – In addition to addressing urban migration, attracting youth to agriculture would be essential to ensure sustainability of the sector, and to facilitate adoption of new (e.g. digital) technologies ★	▪ IDAL	ABCDE
X.3 **Human Capital**	Agr.X.3.1	Develop agriculture human capital	Local talent should be nurtured to ensure local skills are developed across the agriculture value chain. Talent development programs would cover: ▪ Expanding and strengthening agricultural education offerings at public and private universities as well as TVET providers with a focus on skills related to modern cultivation techniques and technologies – Organized and systematic outreach to farmers and sector exports should be conducted to quantify the mismatch between supply and demand of various skills, and to identify areas where quality needs to be improved ▪ Working with start-up accelerators, venture capital firms, and other players to support innovation in agriculture through dedicated hackathons / pitch	▪ Ministry of Agriculture	ABCDE

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (11/12)

NON-EXHAUSTIVE

X.4

Legislation & Regulation

	Objective	Initiative	Owner[1]	Plays
Agr.X.4.1	Ensure water sustainability through improved management & conservation efforts	Given Lebanon's water stress levels and concerns about the long-term sustainability of agriculture in the face of increasing demand for water, and in order to sustain Lebanon's regional comparative advantage in water, water management and conservation efforts should be augmented, including: ▪ Updating data and analysis using global best practices in water management modelling, including analysis of renewable water supplies, wells, underground reserves, depletion rates and projected impact of climate change ★ ▪ Reforming regulations governing water usage rights generally (including usage of groundwater, digging of private wells, digital meters, etc.) and irrigation systems more specifically (e.g. restrictions on irrigation system efficiency, etc.) ▪ Improving enforcement capabilities (e.g. to tackle illegal wells) ▪ Incentivizing use of water-conserving & water management technologies (e.g. drip irrigation), including digital technologies (e.g. water control systems, water sensors, etc.) – To be conducted in close collaboration with extension services and private providers – To be supported with financing enablers when needed (e.g. Kafalat)	▪ Ministry of Energy & Water	ABCDE

20181002 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 15 priority initiatives that underpin the vision of the agriculture sector (12/12)

NON-EXHAUSTIVE

X.4

Legislation & Regulation *(contd.)*

	Objective	Initiative	Owner[1]	Plays
Agr.X.4.2	Improve formalization of agriculture sector and increase protection of farmers	The predominant informality of the agricultural sector has been a critical impediment to growth and development. Two key dimensions should be addressed: ▪ Land registration: Non-registration of large areas of farming land and absence of formal legally-binding title deeds prevents farmers from using their land as collateral, which increases accessibility of funds and cost of capital. Uncertainty surrounding land ownership also incentivizes against capital expenditure, which limits productivity ★ ▪ Farmer recognition & protection: Farmers should be legally recognized and registered, and should be provided access to structured social protection programs as well as legal protection under the applicable laws (e.g. labor law). Formalization would also facilitate financing, but also to facilitate government services and to improve attractiveness of the sector to youth. ▪ Access to insurance: Increasing access to health insurance, as well as property insurance against natural disasters (including through established mutual fund), Addressing these issues requires a dual-approach: ▪ Regulatory reforms are needed to create the right conditions for formalization – Further analysis would be needed to identify full spectrum of regulatory constraints that need to be addressed – especially those related to land policy ▪ A national registration drive should be launched, in collaboration with cooperatives and municipalities, proactively seeking to register farmers and farmland, while also offering expedited mechanisms to resolve disputes surrounding land ownership (requiring cooperation with local and national courts) – Formalization efforts should be accompanied with offers to enroll farmers in health & property insurance schemes	▪ Ministry of Agriculture	ABCDE

2018-2022 Investment

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Agriculture – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to agriculture

	Objective	Initiative
Fin.X.3.1	Facilitate local lending for agriculture	▪ Refer to initiative X.3.1 under Financial Services
Leg.2.10	Initiate the development of a cannabis regulatory framework (if aligned with national policy)	▪ Refer to initiative 2.10 under Legislation ★
Leg.2.11	Protect groundwater resource (Water Law 221/2000)	▪ Refer to initiative 2.11 under Legislation
Leg.2.12	Increase transparency on food wholesale markets and distributions	▪ Refer to initiative 2.12 under Legislation
Leg.2.13	Re-direct tobacco subsidies towards more productive areas	▪ Refer to initiative 2.13 under Legislation
Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Refer to initiative A.1 under Export & Branding
Exp.A.2	Expand export promotion	▪ Refer to initiative A.2 under Export & Branding

20181022 Internal

C.1 To prioritize alternative crops by region, LARI should conduct an in-depth assessment of value chains across multiple dimensions

Potential High Medium Low

ILLUSTRATIVE

	Potato	Tomato	Beef	Fish	Banana	Dairy	Apples	Tea	Sugar	Poultry	Avo-cado	Lemons	Wheat	Orange	Beans
1 Production value															
2 Regional import demand											★				
3 Competitive advantage															
4 Potential yield increase															
5 Quality															
6 Smallholders involved															
7 Agro-processing potential															
8 Calorific value															
Relative Transformation rank *(10 =highest)*	3	2	3	0	9	5	1	5	8	7	5	4	2	4	6

Illustrative
2018 1022 Internal

C.2 Tobacco farmers, and the government, would benefit from a new opt-in subsidy program

Cultivation of tobacco in Lebanon is **unproductive**, and has **negative consequences** on farmers

Introduction of an **alternative opt-in subsidy program** of tobacco would have **long-term benefits for both farmers and the government**

- On average, Tobacco farmers generate an annual **profit of ~4,000 USD / hectare[2],** whereas the cost to the government is **~6,000 USD / hectare**
- Majority of cultivated tobacco is **sold (raw) at a loss to Egypt[3],** as the **cost of production exceeds market value**
- The **income security** created by the subsidy, combined with the lack of **technical and financial support**, prevents farmers from organically transitioning to **more profitable crops**

Option 1: Unconstrained cash handout *(lifetime or 10-year)*

Annual **cash grant of ~5,000 USD** per Regie-registered hectare[1]

- No restrictions on land use
- No state purchase of Tobacco
- Farmers are encouraged to utilize **technical & financial support** to transform towards higher-value alternative crops

Option 2: Alternative crop purchase program

Government launches a **structured crop transformation program** for tobacco farmers, with extensive technical and financial support

Tobacco farmers who **commit** to the program will be offered a **guaranteed purchase price** *(on a per-kg basis)* equating to an expected **10,000 USD[4]** per registered hectare

- After successful implementation, market prices should exceed government guarantee, so farmers will naturally opt-out

2018 02 Internal

1 Based on average tobacco yield - value will need to be adjusted by region based on existing yields
2 Based on fixed sale price of 7.66 USD / kg
3 Only a small share is utilized in the local cigarette industry
4 To be adjusted based on cost of production of alternative crops to ensure increased profitability

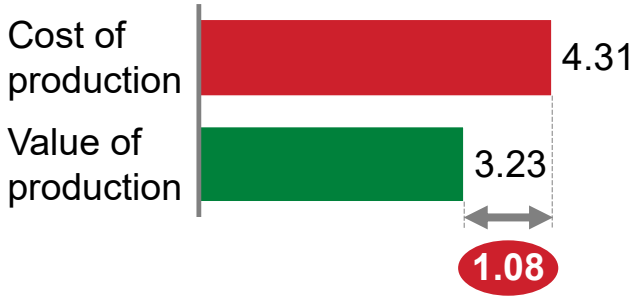
Source: REGIE; FAO; Expert interviews

C.2 Tobacco farms in Lebanon produce negative value, as cost of production far exceeds market value of produce

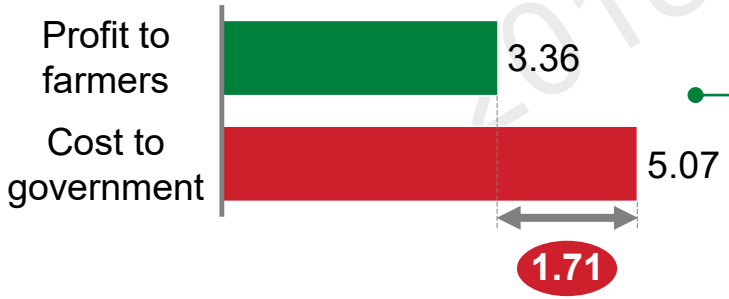
PRELIMINARY

USD / kg of tobacco produced (2015)

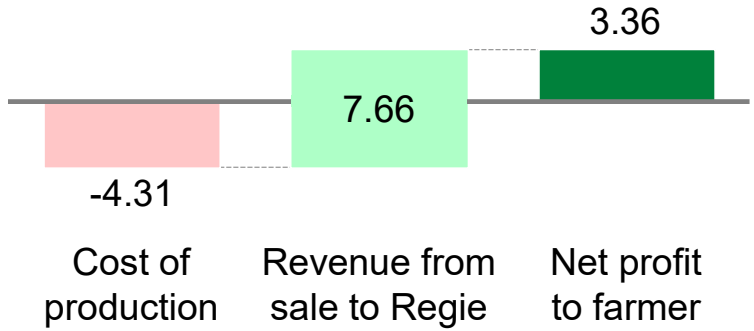
The cost of producing tobacco exceeds the value of production…



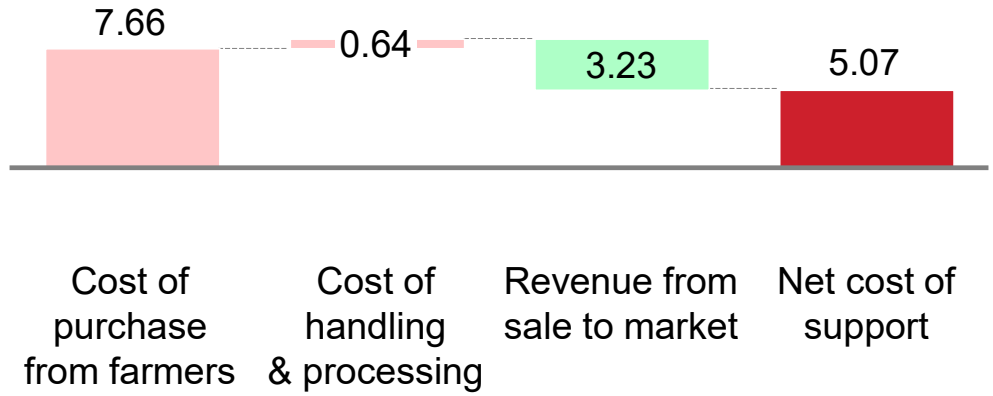
… and as a result, government losses exceed total profit to farmers



Farmer cash flows



Regie cash flows



Source: Regie Libanaise des Tabacs et Tombacs, FAO

C.2 Providing an alternative opt-in subsidy program would decrease government costs while increasing farmers' profits

PRELIMINARY

Current program

Farmers grow tobacco for a **fixed sale price** of 7.66 USD / kg of tobacco, which translates to **profit of ~4,000 USD / hectare[2]**

Alternative (additional) program

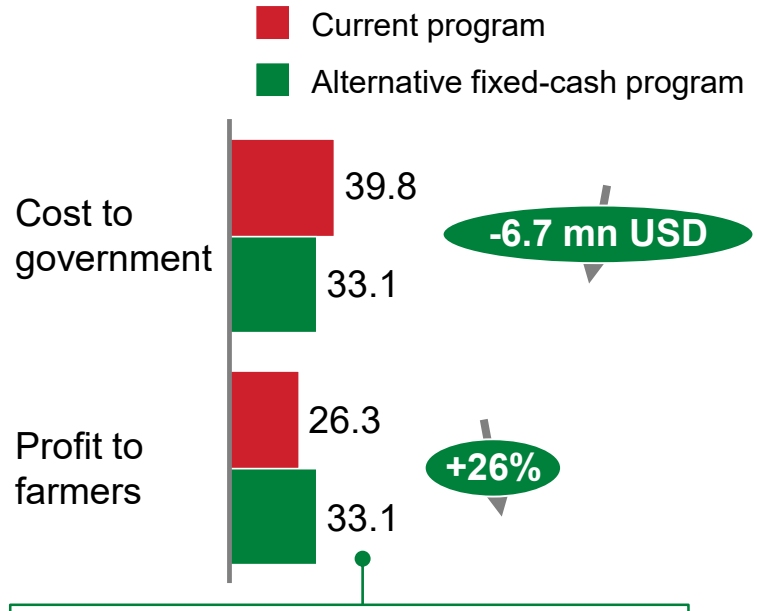
Farmers are offered a **fixed price** of **~5,000 USD / hectare[2]** for land currently registered with Regie (regardless of crop)

- Program is **opt-in**, so no change is imposed on farmers *(in the short term[1])*
- Farmers who opt-in will be provided **technical support and financing** to grow **alternative high-value crops** (to be specific based on further research)

20181022 |

Tobacco sector financials

USD million



Severe under-estimate which excludes land income *(assumes alternative crops provide no profit)*

1 In the long term, adjustments to the program may be necessary to improve sustainability
2 Based on average tobacco yield - value will need to be adjusted by region based on existing yields

Source: Regie Libanaise des Tabacs et Tombacs, FAO

X.1.4 SPS and TBT measures cover a large scope of standards and can be very specific & technical

Measure	Scope		Examples
SPS *(Sanitary and phyto-sanitary measures)*	Veterinary drugs	Materials in contact with the products	▪ Absence of foot and mouth disease in the country of origin for products with a bovine origin ▪ Tomatoes must not contain any trace of Tuta absoluta (tomato leafminer) ▪ Levels of residue Y must not exceed 3.2mg/kg in pears
	Plant protection products	MRL (maximum residue limit)	
	Plant health	Food additives	
	Animal health	Contaminants	
	Micro-biological criteria		
TBT ***(Technical barriers to trade)***	Definition/Identity	Packaging	▪ Size of oranges should be between 8cm and 15cm diameter inclusive ▪ Requirement to record the name of the region of origin of turkey barns on the packaging of the ham ▪ Minimum acetic acid content of vinegars of 5 grams per 100 ml
	Size	Production process	
	Quality standards	Transportation and storage	
	Chemical composition	Sample analysis	
	Labelling	Traceability	
	Branding		

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Source: Expert interviews

X.1.4 SPS measures deal with health issues whereas TBT measures deal with quality issues: SPS measures are consequently more critical

Examples of Sanitary and PhytoSanitary (SPS) criterias

- Pesticide content
- Levels of residue
- Presence of larvae
- Traces of veterinary drugs
- Presence of GMO

- Colour
- Size
- Taste
- Traceability
- Packaging

Examples of Technical Barriers to Trade (TBT) criteria

X.1.4 Case example: Egypt put in place a large range of SPS measures blocking imports of strategic agricultural products

ILLUSTRATION

Context

- **Broad use by Egypt** of NTM as tools for blocking imports
- **2 objectives:**
  - **To block imports of strategic products** for the Egyptian economy
  - To use these barriers as **negotiating levers** to open up export markets (e.g. lemons to the US versus potatoes to Egypt)
- **Resistance to US and European pressure** despite NTMs sometimes with no scientific basis

Principal current issues being encountered by US and European exporters, all contested by exporters as considered to have no scientific basis

- **Products:** Processed chicken
- **Rationale:** Slaughtering procedures considered to be non halal, despite factory inspections all considered as standard by the Egyptian sanitary authorities

- **Products:** Seed potatoes
- **Rationale:** Analysis of extended risk, despite 4 years of negotiations

- **products:** Beef
- **Rationale:** Treatment of steers based on synthetic hormones

- **Products :** Maize and wheat
- **Rationale:** Excessive level of Ambrosia seeds found in cereals

- **Products :** Beef
- **Rationale:** Requirements for the slaughter of cattle before the age of 48 months to limit the risk of BSE[1]

- **Products :** Processed chicken
- **Rationale:** Restriction on imports linked to the threat of bird flu

1 Bovine Spongiform Encephalopathy

SOURCE: USDA ; European Commission

Agriculture Appendix

20181022 Internal

Case study 1: Morocco's major Agriculture Transformation program

Context and objectives

- Morocco's Ministry of Agriculture defined "Plan Maroc Vert" (PMV) in 2007 to **stimulate agriculture and key value chains**, with 3 main objectives:
  - Modernize and generate targeted growth around the most competitive integrated crops within the framework of trade-based agriculture
  - Preserve social/territorial equilibria and existing structures of Morocco's rural environment
  - Preserve environmental equilibria for sustainable development

Approach

- **Ran a complete diagnosis of Agriculture Sector** at macro-economic and business level (e.g., by crops and value chains[1], type of players)
- **Formulated strategy** at the national level in 3 levels:
  - Portfolio strategy and target setting
  - 10-12 detailed strategies by crops / value chains
  - Transversal policies (e.g., land, water, etc.)
- Defined 16 **detailed regional plans**, including detailed deployment roadmap identifying ~900 concrete projects and investment opportunities
- **Change agent model of nucleus farms** enabled government to effectively reach large numbers of smallholder farmers
- **Sought greater water efficiency**
  - Farmers required to register their wells with meters in order to be eligible for subsidies, but deemed largely impossible to administer across 100,000+ wells
  - Focus on illegal drilling of new wells
  - Distinguishing a *reduction in the consumption* of water from the larger goal - *increasing the added-value (valorisation) of the use of water.*

Key findings and impact

- Substantial agriculture GDP growth (+43% in 2012 vs. 2005) and **tripling of smallholder incomes with 700k smallholders reached**
- **Improved water management** -by 2014, the annual rate of conversion to drip irrigation had been increased fivefold, with an average of 50,000 ha of land per year, compared to 10,000 ha before the PMV
- **Strong investment dynamic**: with >USD 3 bn investments by national players and international players and donors (e.g., World Bank, GEF, etc.)
- **Acceleration of structural reforms** : reorganization of the Ministry, full operationalization of ADA
- **Strong mobilization** of public and private players incl. farmers

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1 Including the tradeoffs in crop prioritization (e.g., water use, expert potential, smallholder income)

SOURCE: Expert interviews

Case study 2: Developing an agricultural transformation strategy in Ethiopia in 2010

Context and objectives

Context

- Although Ethiopia has significant endowments for agriculture, productivity was still significantly below potential 2010 despite years of prioritizing ag sector
- Core challenges included:
  - High degree of fragmentation,
  - Lack of access to inputs,
  - Underdeveloped irrigation potential,
  - Land potential and soil fertility,
  - Difficult market access, and gaps in key enablers (e.g., finance, infrastructure, and technology enablers)

Approach

- **Ethiopian Agricultural Extension System** was a key focus for investment and reform
- **Developed strategies to improve key prioritized agricultural inputs** to ensure locally adapted fertilizer blends and seed varieties available
- After diagnostic work to determine national, regional and international competitive advantage, **developed strategies for prioritized value chains -** to identify investment opportunities, policy enablers and institutional innovations needed
- Development of an **integrated agricultural growth program,** including the setting up of the Agricultural Transformation Agency (ATA) with evidence-based approach to policy innovations
- Development of **Special Economic Zones**

Key findings and impact

- **Transformation agency (ATA)** remains an internationally lauded transformation institution
- **Significant productivity growth,** cereal yields grew 7% CAGR from 2005-2012, after growing just 1% p.a. from 1995-2004
- **Output growth,** ag value added grows at 8% p.a. after 2005 compared with 2% during the prior 10 year period
- **Poverty decline**, rural poverty rate falls by nearly a quarter between 2004-2010 (39% to 30%)
-

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SOURCE: Expert interviews

Case study 3: Vietnamese agricultural transformation during 1990s

Context

Context

- **Three quarters of the population under the poverty line** in 1984
- After the Vietnam war, the country held a **socialist industrialization strategy**
- Centrally planning economy
- Cooperative land ownership structures

Approach

- **Entrepreneurial policy-making,** eventually leading to global integration
- **Moved from import-substitution to an export-orientation** strategy necessitating the reformulation of macroeconomic, trading and sectoral policies
- Development of **Special Economic Zones** and **Export Processing Zones**
- Encouraged **business enabling environment** and **foreign-owned businesses,** but still some protection of certain commodities and industries
- **Land reform** in the early 1990s facilitated land transfers and greater tenure security, but challenges in aggregation of land remain

Key findings and impact

- **Poverty, which had been stubborn for decades declines** from ~75% in 1984 to 35% by 1998
- **Cereal yields grew ~38% over the decade** ending in 1998 compared to ~30% the previous decade
- **Historically a net importer of rice, Vietnam now ranks among the top five global exporters** in products as diverse as shrimp, coffee, cashews, rice, and pepper
- **Challenges still ahead** - productivity increases not globally competitive, Vietnam seen as not eco-friendly, need to move toward more value-added

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SOURCE: Expert interviews

Case study 4: Kenya transforms fresh fruit and veg sector to exports to Europe

Context and objectives

Context

- Kenya's post colonial horticulture was produced by small scale farmers
- Industry was largely supply-driven
- Global FFV industry had not yet undergone its 'revolution'
- Cooperatives and producers' groups largely unable to implement traceability or quality standards, or to keep up with changing demands
- National associations not yet leading – KEPHIS (Kenya Plant Health Inspection Services) and KEBS (Kenya Bureau of Standards)

Approach

- Many exporters adopted **backward integration**, enabling control over raw materials and ensuring traceability and control
- Shift from spot markets and traditional wholesale markets to use of relational and vertical coordination mechanisms
- Shift from local procurement by individual stores, to centralized procurement using distribution centers
- Strict out-grower governance – smallholders operate under intensive oversight with audits (including record-keeping of planting schedules, seed procurement, production records for individual plots, pesticide use, storage, etc.)
- Able to meet rise in demand for 'high care' products (e.g. mixed salads, cut vegetables) produced under severe hygienic conditions
- Access to (outsourced) modernized pack-house facilities for purposes of quality assurance and food safety management systems within the leading companies – possible due to clustering economies

Key findings and impact

- Export of vegetables **more than doubled in volume** within 10 years
- **Vertically integrated** and **demand-driven** value chains
- Adopted the use of **private standards**, **quality and safety** mostly **driven by the EU retailers**
- Industry has been able to adapt to **consolidation of retail powers** and **increased regulatory frameworks**
- long-term mutual trading relationships among countries now exist
- Increased employment
- Market expansion, foreign direct investments, foreign know-how
- Public-private collaborations with considerable public sector leadership in standards

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SOURCE: Expert interviews

Aquaculture might be able to reduce reliance on imported fish, but government intervention will be required to overcome its challenges

Opportunity

Despite Lebanon's rich water sources, only ~20% of fish consumption is local, with ~80% imported

In 2017, Lebanon spent **155 million USD** on imported fish (compared to 2 million USD of exports)

This can be reduced by developing **off-shore aquaculture,** which does not currently exist[1] in Lebanon despite its coastal geography

Anticipated challenges

Capability building

- Aquaculture is a knowledge-intensive industry, so extensive **knowledge transfer** will be required from other countries

Competition

- The current market is highly **consolidated**, with a high degree of inorganic growth through mergers and acquisitions
- Lebanon's relatively **small scale** may prevent local players from reaching high levels of productivity and profitability

Geography

- Lebanon's coastline is highly **congested**, with very **expensive coastal real estate** and highly **polluted** waters in many areas

Consumption

- The **major types** of imported fish (salmon, tuna, sardines, shrimps) **may not be viable** for aquaculture in Lebanese waters
- Meanwhile, there is almost **no demand in Lebanon for seabass and seabream** – which is likely to be a key opportunity

Government priorities

Water zoning:

- Developing regulations related to **water zoning and usage rights**

Sector governance

- Developing a clear and comprehensive **sector governance framework** is needed, as the sector is relevant to multiple ministries (agriculture, water, industry)

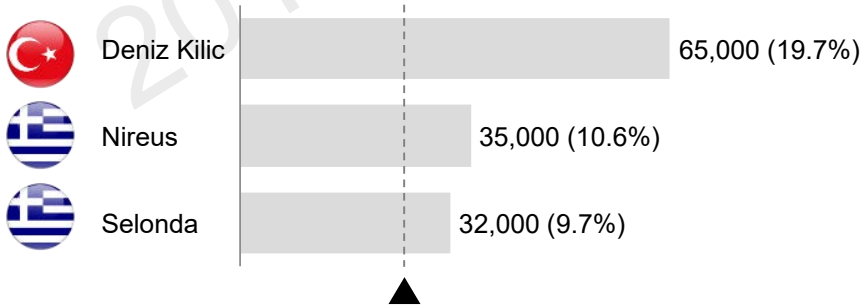
International partnerships

- Formal agreements with knowledgeable players (including governments of leading countries) would significantly accelerate the development of the sector

Lebanon's **natural opportunity** in aquaculture is likely in offshore farming of **seabass and seabream**

Global seabass / seabream aquaculture players

Tons produced in 2017 (% global production)



Quick win:

To kick-start the sector, the Lebanese government should facilitate and incentivize the development of **joint ventures** with Turkish and/or Greek aquaculture players

1 With the possible exception of one shrimp farm in Akkar

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SOURCE: Lebanese customs, IDAL, FAO, company websites, press search

Digitization and automation of farms are profoundly changing farming operations – 1/2

Context

- **Digitization and automation of farms are profoundly changing farming operations**
  - From labour-intensive to capital-intensive
  - Better-informed decisions through data analysis
  - Tailored approach to land management
- **The technology revolution will enable a new paradigm** in productivity improvements, quality control, and production resilience of farms through
  - Advanced automation
  - Advanced sensing and analytics
  - Microsegmentation

Implications

- **To stay competitive, developed markets will need to rapidly deploy advanced farming technologies to improve productivity**
  - E.g., GPS soil sampling, satellite imagery, and yield monitoring data analysis
- **To adapt to the revolution, farmers will need to develop their skills along 4 dimensions**
  - Management skills
  - Financial risk management skills
  - New technologies
  - Advanced analytics

Digitization and automation of farms are profoundly changing farming operations – 2/2

Automation and new equipment are transforming farming from a labour-intensive to a capital- intensive industry

- Traditional equipment (e.g., tractors) is being augmented with new technology to be remote-controlled or fully automated
- New equipment (e.g., drones) is being used to perform tasks that farmers could not have done on their own (e.g., pictures of land or parcels of the land)
- Routine tasks are being increasingly automated (e.g., measurements, soil preparation)

Example

Remote-controlled tractors enable a single individual to oversee the farming of larger portions of land

An increased amount of data is being gathered and analyzed, enabling farmers to make better informed decisions

- Sensors are increasingly used to gather a wide range of data points (e.g., weather, land yield, production output)
- Software solutions are used to process the data, track them in real time, and generate insights, all of which enables farmers to compare their operations with those of their peers as well as improve their decision making

Example

Yield monitors and variable-rate application control systems represented ~45% of the USD 1.2 billion spent on precision agriculture in 2011

Land management is evolving from the same approach for the entire farm to one that is tailored to each parcel of land

- To maximize land productivity, a granular approach is increasingly adopted
- Land characteristics and needs are assessed on a granular basis
- Solutions are determined exclusively for a given parcel of land
- Sophisticated equipment will administer the tailored solution to the targeted parcel of land

Example

Software solutions can identify areas with a below-average yield and help adjust fertilizing and watering accordingly

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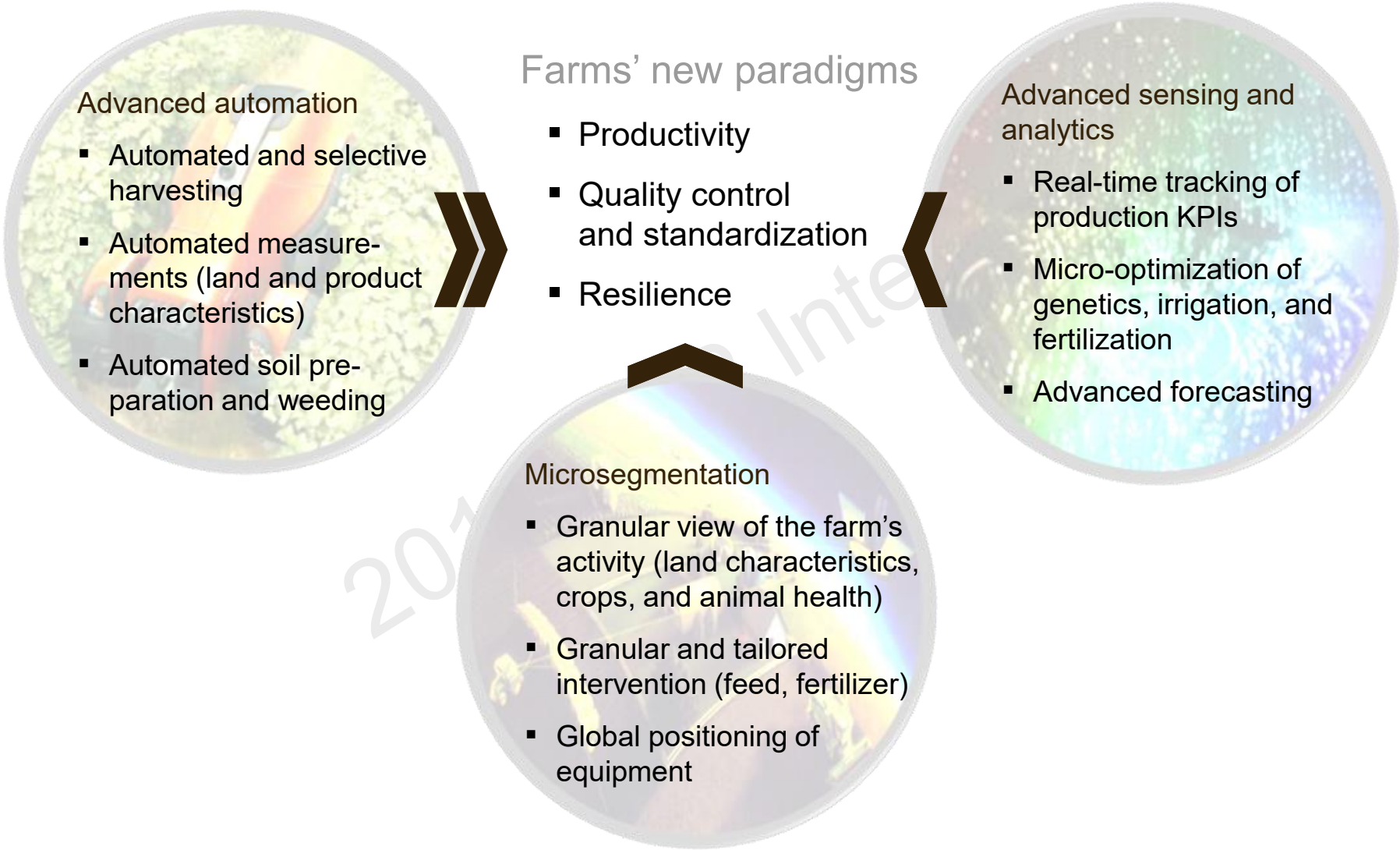
The technology revolution will enable a new paradigm in productivity improvements, quality control, and production resilience of farms



Case examples of technology revolutions in farming

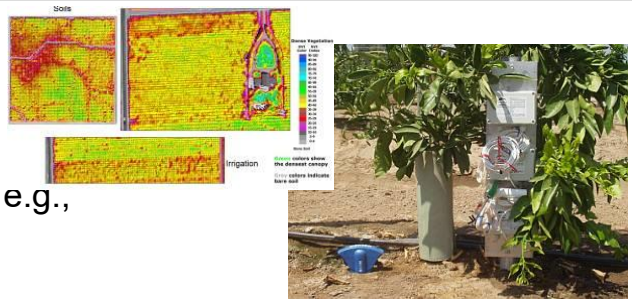
Specific examples

Advanced automation

- The cow-milking process is being automated
  - Milking conditions are assessed by a computer multiple times per day
  - Issues are relayed to farmers through alerts to their mobile devices
- Unmanned aerial or ground vehicles are used to perform traditional farming tasks (e.g., applying chemical products)

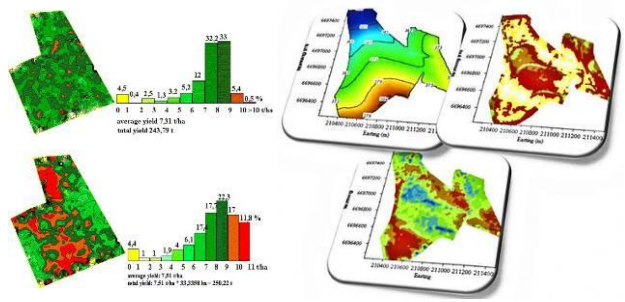
Advanced sensing and analytics

- An increased amount of data (e.g., nutrients in the soil, humidity, density of weeds) is gathered and analyzed to assess the optimal use of chemical products
- A wide range of sensors have become instrumental, e.g.,
  - Temperature control during storage and transportation
  - Soil respiration and moisture



Micro-segmenta-tion

- Land is broken into multiple parcels, each of which is optimized according to its requirements
  - Data is gathered to understand the land's performance
  - Sensors and GPS-tracking are leveraged to administer chemical products in the right quantity to the right land parcels



To remain competitive, farmers will need to develop their skills along 4 dimensions to adopt the technology revolutions

1 Improved management skills

Farm sizes are changing, with large-scale operations increasingly replacing family-size ones; farmers will need to gain more advanced management skills to control and optimize the output of large operations

2 Financial risk management skills

Pricing of agricultural commodities will become increasingly volatile; to smoothen out the impact, while ensuring the stability of operations and of their financial performance, farmers will need to master hedging techniques

3 Understanding new technologies

From automation to genomics, new technologies are emerging and evolving extremely fast; farmers, primarily those in mature agricultural markets, will need to embrace this new reality and rapidly develop the corresponding knowhow and capabilities

4 Advanced analytics

Similar to industries in other sectors of the economy, farm operations are becoming increasingly data-driven; tomorrow's farmers will have learned to gain access and capitalize on this unexploited asset to measure their operations, benchmark against peers, and make better informed decisions

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Data Disclaimer

All analysis related to international trade relies on data from Lebanese Customs and the World Bank's World Integrated Trade Solution (WITS), retrieved in May 2018. Data from WITS excludes uncategorized and unreported trade flows. Efforts to clean and process data were performed on a best-effort basis, including classification of agricultural / industrial / raw non-industrial tradeable goods, reconciliation of data discrepancies and inconsistent use of HS classification systems, and interpolation of results where necessary.

2018-10-22 Internal

Many stakeholders contributed to the assessment of the industry sector

Public sector stakeholders

HE Hussein Hajj Hassan
Ministry of Industry

Danny Gedeon
Ministry of Industry ★

Private sector stakeholders and federations

Antoine Moughanni
Syndicate of Jewelers

Fadi Gemayel
Association of Lebanese Industrialists

Neemat Frem
INDEVCO

ECOSOC
Industry Committee

International organizations

Cristiano Passini
UNIDO

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In addition, **extensive analytical research** was conducted based on datasets collected from **WITS (World Bank), Lebanese Customs,** and the **Ministry of Industry**

Industry – sector aspiration

Aspiration: A niche regional leader in creative and high-value industries and hub for regional processing

Current situation

- **Limited and unfocused government support**, with a decline in output and exports among most subsectors *(with notable exception of food products)*, largely driven by infrastructure-caused non-competitiveness
- **Absence of real industrial zones** which provide the infrastructure and services that are needed to achieve competitiveness

2025

A Emergence of **niche growth subsectors** which achieve high levels of competitiveness and growth through targeted government support *(e.g. pharma, food processing, perfumes)*

B Development of **multiple successful national integrated industrial parks (NIIPs)** which provide a significant competitive edge for industrial tenants *(including a zone focused on reconstruction of Syria)*

2035

- **Globally competitiveness and recognized excellence** in niche subsectors which optimally capitalize on Lebanon's strengths
- **Best-in-class** industrial parks offering world-class infrastructure and services

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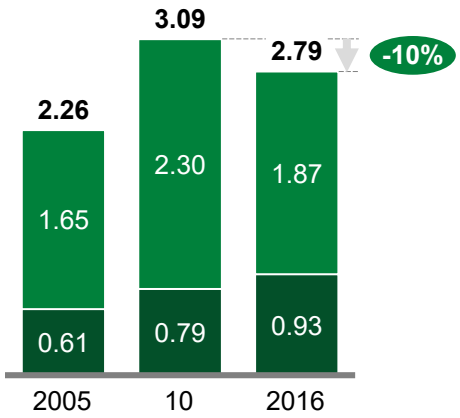
Targets

Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands	Real GDP, USD Bn (2017 prices)	Total employment, thousands
4.6	185	8.0	240	11.7	250

Industry – summary of diagnostic

Economic contribution

Real GDP value of industry
Bn USD in 2010 prices

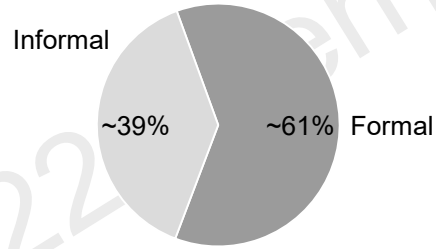


Growth rates
% Annual

	'05-'10	'10-'16
Food processing	6.9%	-3.4%
Non-food manufacturing	5.5%	2.6%

Employment 2016

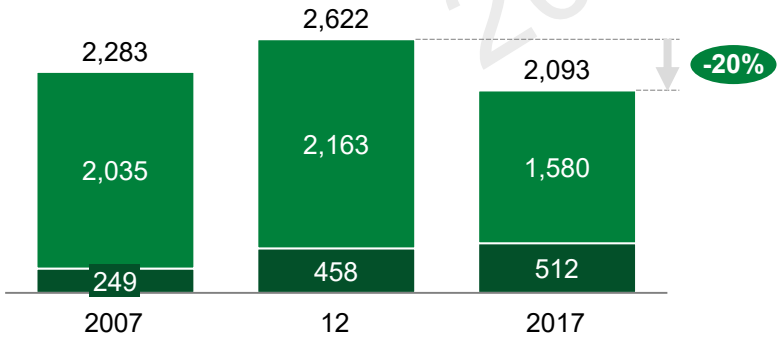
Total : ~194k



Trade

Industrial exports (excluding gold, diamonds, etc.)
Mn USD

Non-food exports Processed food exports



Top exports include:

- Processed food products
- Scrap & basic metals
- Machinery *(incl. household goods)*
- Perfumes and cosmetics
- Electric motors & generators
- Printed material *(e.g. books)*

Key challenges

- **Low competitiveness: High costs of factors of production…**
  - High cost of private electricity generation *(driven by poor/ unstable quality of power)*
  - Rising land and labor costs
  - Unfavorable business environment
  - Ineffective transportation network
- **… and low quality / standards…**
  - Shortage of skilled technical labor
  - Limited application of international standards
- **…aggravated by external market shocks**
  - Reduced regional demand for key products *(e.g. generators)*
  - Constraints on land transportation due to Syrian conflict

2018 1022 Verna

Source: CAS, Lebanese Customs, ILO, expert interviews

Industry – 2025 sector charter

Aspiration: A high-value, high-quality sector which generates sustainable wealth for farmers and rural communities

SECTOR PLAYS

A

Prioritizing (and focusing government intervention efforts) on high-potential subsectors which capitalize on Lebanon's strengths, including:

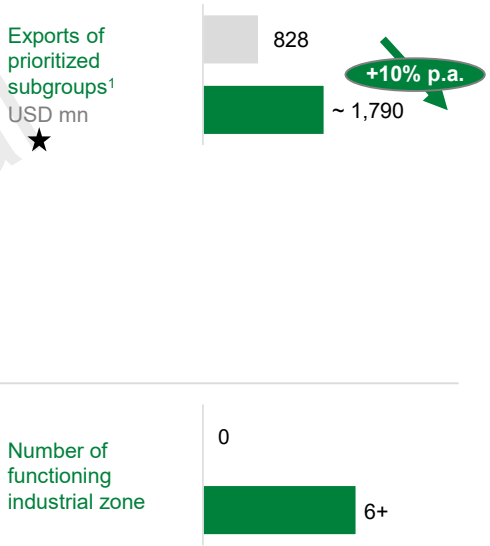
- **Food-processing industries** which rely on local agricultural production, with a focus on premium packaged goods based on Lebanon's fruit, vegetable, nut and dairy products
- **Consumer-facing products which rely heavily on creative design & marketing abilities**: jewellery, perfumes & cosmetics, soaps & sanitation products, and napkins / sanitary goods *(with a focus on high-end products which capitalize on Lebanon's positive image in fashion / design / etc.)*
- Industries which capitalize on the upcoming **post-conflict reconstruction** in Syria and Iraq, with a focus on subsectors where Lebanon can develop a competitive advantage: pre-fab manufacturing & furniture
- Subsectors which require **high skill levels**, especially in healthcare-related fields, with a focus on pharmaceuticals and cannabis-based medical products *(e.g. cannabinoids)*

B

Developing next-generation National Integrated Industrial Parks (NIIPs) to serve as areas of excellence which overcome comparative disadvantages

- Offerings to include world-class infrastructure *(including dedicated power & utilities)* as well as comprehensive support services *(including regulatory one-stop shops)* and sector-specific infrastructural support *(e.g. cold-storage facilities for food processing tenants)*
- Immediate focus should be on developing existing plans (Tripoli Special Economic Zone, three industrial zones proposed by MoI / UNIDO) as well as an additional zone focused on construction technology
  - There are several opportunities to strengthen existing plans for industrial zones (MoI / UNIDO), which must be assessed
  - Strong governance and oversight is needed to ensure coordination between industrial zones, Tripoli SEZ, and the broad economy, and to minimize cannibalization / destructive competition
- It will also be necessary to plan and develop additional industrial zones in other regions *(e.g. Beirut, southern Lebanon)* which focus on priority subsectors which are not covered by current industrial zone plans

2025 TARGETS



X GENERAL ENABLERS

X.1 Quality assurance
- Quality standards
- Compliance & enforcement

X.2 Financing
- Kafalat Industry
- Investment attraction

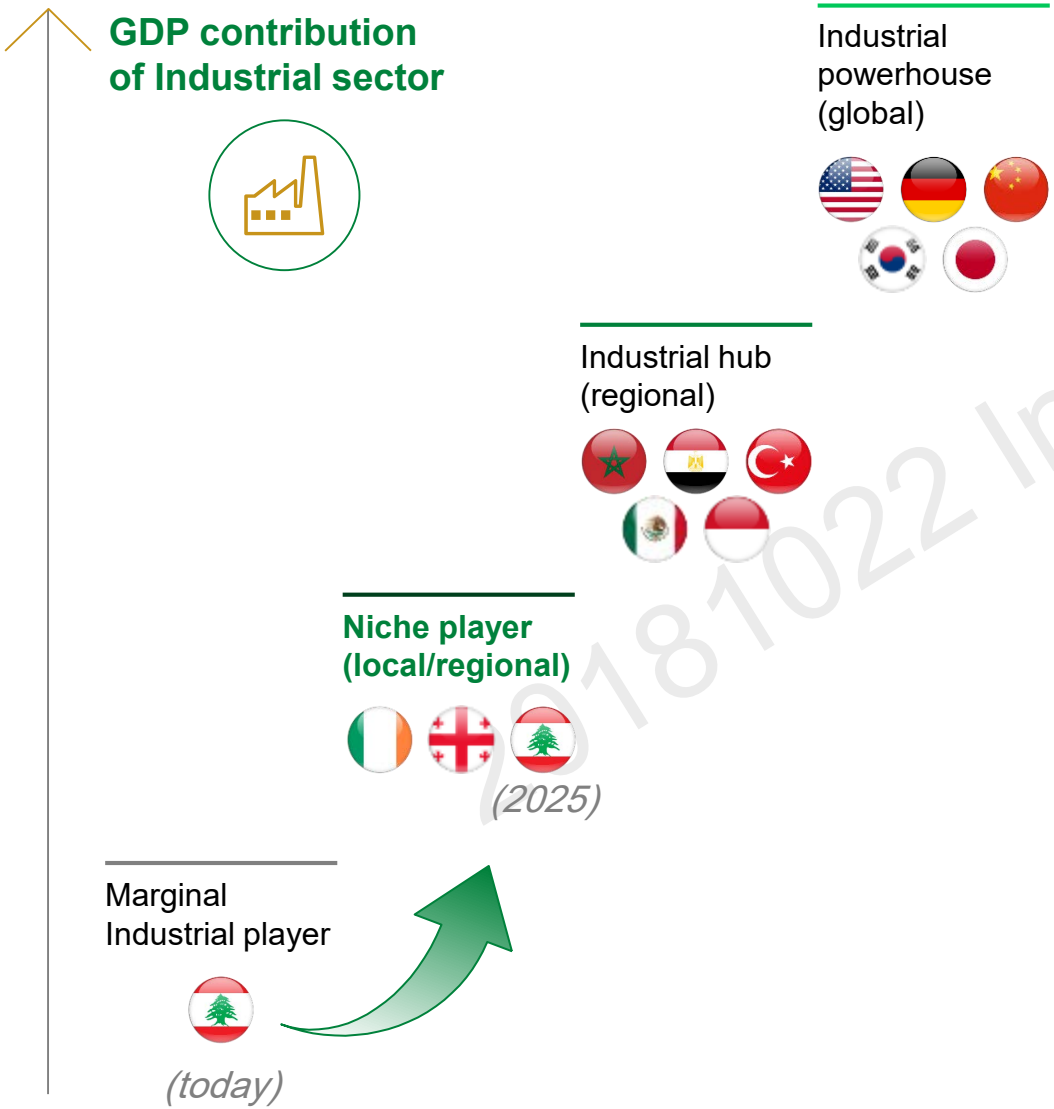
X.3 Human capital
- Technical & vocational training
- Supply-demand matching

X.4 General enablers
- Ease-of-doing-business regulations
- Infrastructure (e.g. power)

20181022 Informal

1 Food processing, furniture, jewellery, napkins & sanitation, perfumes & cosmetics, pharmaceuticals, prefabricated buildings, soaps & sanitation

Lebanon should aspire to be a niche regional industrial player by 2025



Lebanon's intrinsic features will prevent it from becoming a major industrial hub …

- Very **small population / economy** (also not bordering any major economy)
- Limited **government resources**
- Shortage of low-cost industrial **land**
- Relatively high cost of (Lebanese) **labor** (e.g. compared to Egypt)
- Poor power **infrastructure** (unlikely to become distinctive source of strength by 2025)

… but Lebanon can develop into a niche regional player if it:

- Improves **broad economic enablers** (e.g. ease of doing business, infrastructure, etc.)
- Focus on **specific subsectors** playing on the country's strength, receiving **targeted support** (in line with limited government capabilities)

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Beyond focusing on niche industries, Lebanon is currently not very well suited for any of the typical models of industrial development

Private-sector driven

1 Investment attracted by **large local market**

Focused on **local consumption** rather than export

Especially important for goods with typically high cost of transportation

2 Investment attracted by **efficiency** in part or all of a product's value chain

Focused on exports, and benefits from proximity to large markets

Criteria for selecting country include:

- Availability of low-cost skilled **labor**
- Efficient & effective **infrastructure** including power, roads and utility
- Supportive **regulatory environment** and high ease of doing business, including efficient **customs** and trade access

Government-driven

3 Supported by **government efforts** to build long-term competitive advantage

Requires **extensive government support**, including a combination of direct investment and significant regulatory enablement

Requirements for above growth models to succeed in Lebanon

Larger market through stronger market integration with neighbouring countries (Syria, Iraq, Jordan)

Complete & rapid turn-around of Infrastructure, including comprehensive reform of power sector

Overhaul of regulatory environment

Availability of affordable financing

Technical and vocational talent at lower costs

Significant reduction in government deficit public debt

Strengthening in government capabilities

Large focus of government resources on industry sectors

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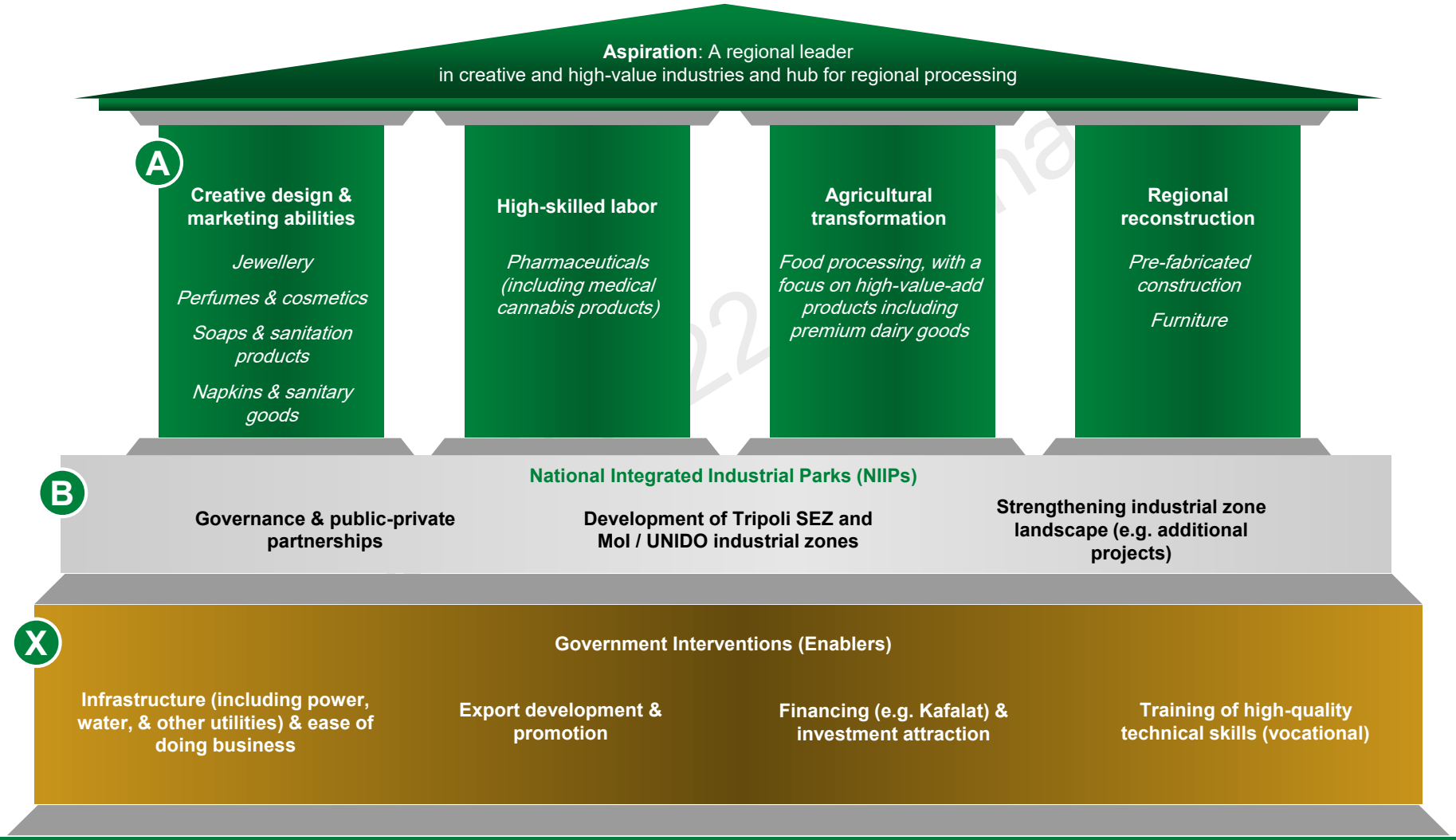
Industry sector overview



A Industrial subsector were prioritized based on assessment of four primary dimensions…

Size and maturity of local sector

Value of Lebanon exports (2017)

Recent performance & growth of local sector

Growth in Lebanon's exports (2012-17) ★

Market growth potential

Anticipated growth in exports based on import trends

Sector competitiveness

Competitiveness score based on input factors

Prioritization of subsectors is important to **focus government support** across several areas: **export promotion** and **investment attraction** efforts, **industrial zone** design & services offerings, **TVET** strengthening, and **infrastructure** investments

A … leading to 8 subsectors across 4 growth themes which capitalize on Lebanon's strengths

Leveraged strengths	Rich **agricultural production**	**Creative capabilities** in design & marketing	Availability of **high-skilled** labor ★	Proximity to **post-war reconstruction** zones in Syria and Iraq
Industrial focus	**Food processing** industries	Marketing-based **consumer-facing** products	**Pharmaceutical** industries	**Construction**-related sectors
Priority subgroups	*Food processing*	*Jewellery* *Soaps & sanitation products* *Perfumes & cosmetics* *Napkins & sanitary products*	*Pharmaceuticals*	*Furniture* *Pre-fabricated construction*
Potential plays	Establishing regional / global Lebanese agri-business brands, e.g. focus on premium fruits, nuts, vegetables, confectionary	Developing premium Lebanese brands, building on Lebanon's reputation for beauty/fashion and consumer know-how	Strengthening local capabilities and diversifying production towards generics (focused local / regional markets)	Developing capacity & access to be a leading player in reconstruction of Syria and Iraq

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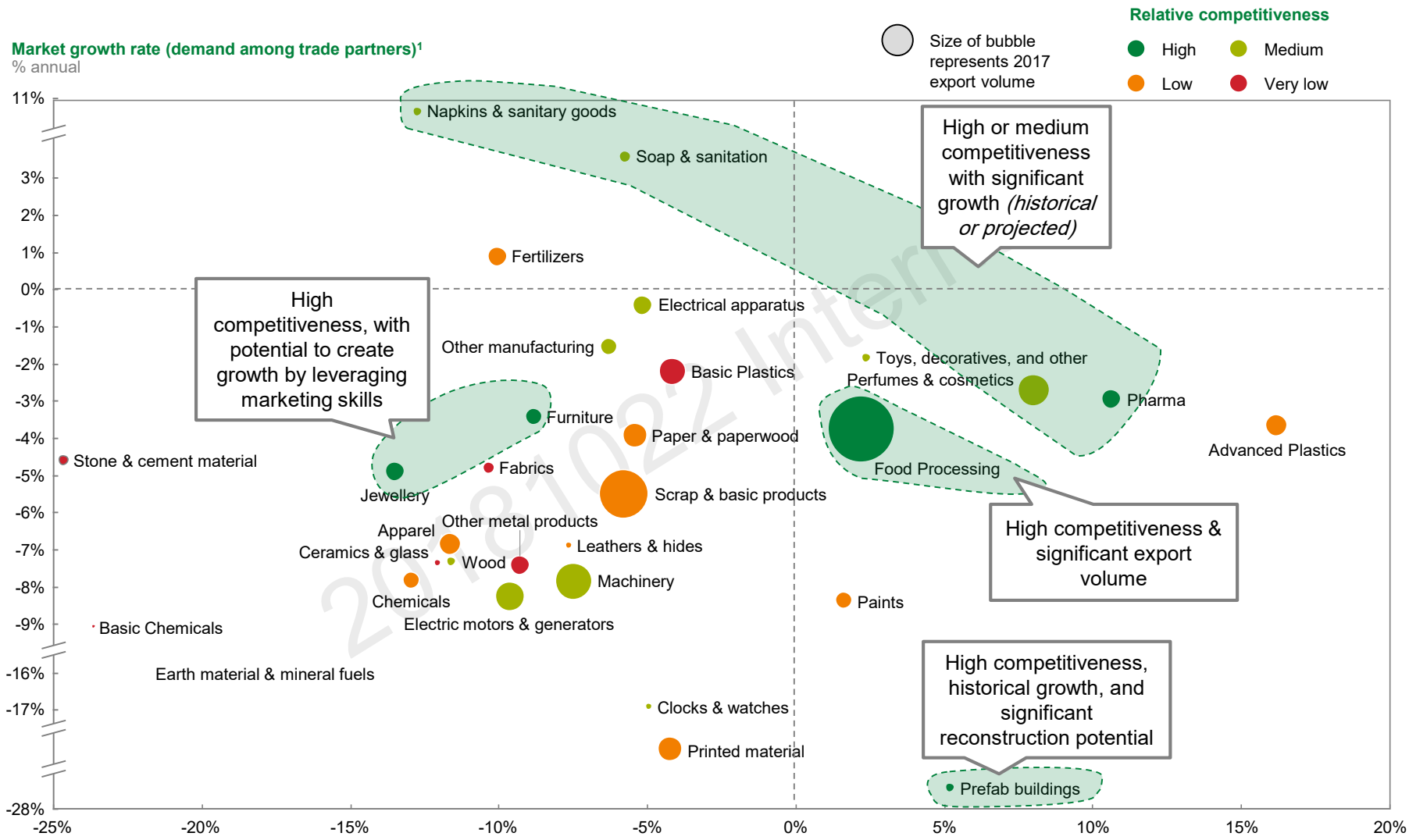
A Prioritization is based on an assessment of 31 subsectors across 4 main criteria

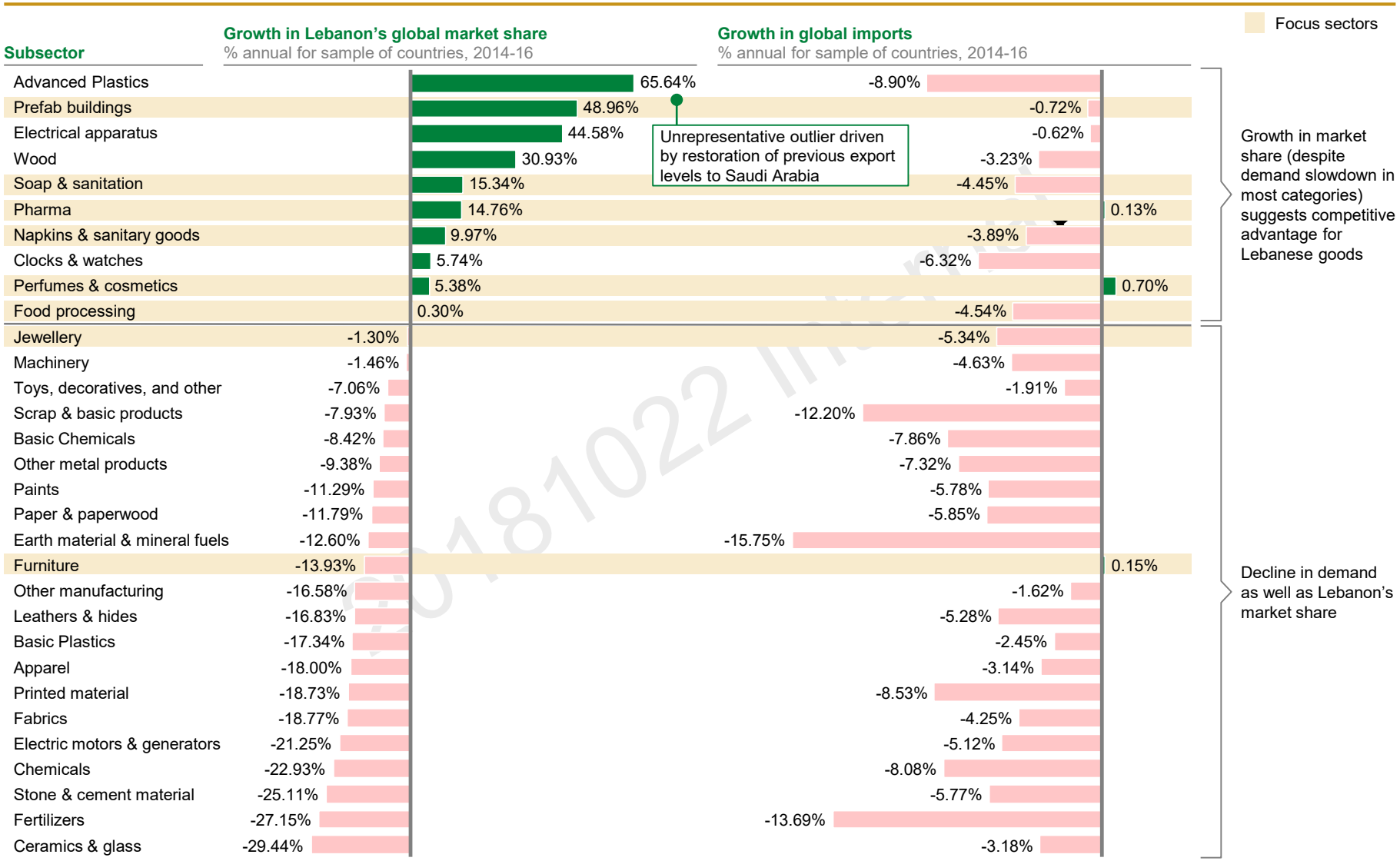


1 Based on analysis of import trends among Lebanon's trading partners, weighted by penetration of Lebanese goods. Does not account for exogenous factors such as the end of the war in Syria.

Source: Lebanese Customs, WITS, CoSeCo Analysis

A Focus sectors were mostly selected among subsectors with increasing market share, suggesting comparative advantage

PRELIMINARY & INDICATIVE



Note: Figures are based on a sample of countries based on data availability and are therefore indicative

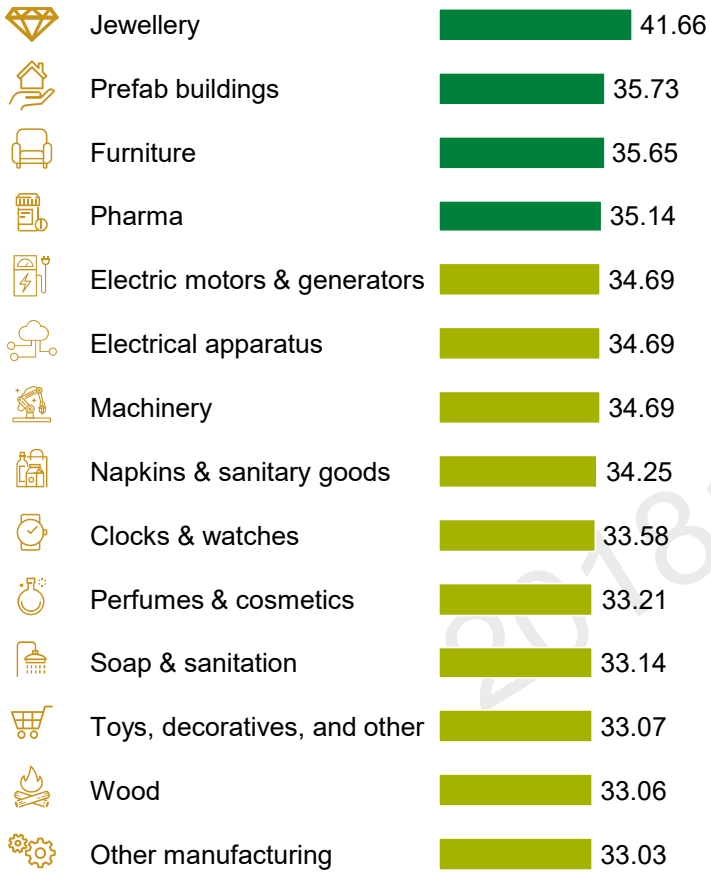
Source: Lebanese Customs, WITS

A Each subsector's competitiveness was scored based on assessment of comparative advantages relative to peers

Competitiveness score

Scored 1-100 based on factor competitiveness[1] relative to peer group

Competitiveness relative to other sectors: High, Medium, Low, Very low



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1 Competitiveness factors cover labor, power, trade & customs, market size, regulatory environment, and other enablers

Source: Ministry of Industry, Lebanese Customs, McKinsey CoSeCo, Expert interviews, team analysis

A High-growth markets have been identified for each of the priority sectors

Potential target countries for export growth

PRELIMINARY AND NOT EXHAUSTIVE

	Agri.	Design & marketing				High skill	Construction	
	Food processing	Soap & sanitation	Jewellery	Napkins & sanitary goods	Perfumes & cosmetics	Pharma	Prefab buildings	Furniture
Established markets[1] *Phase 1*	Qatar USA Oman	Saudi Arabia	Saudi Arabia Switzer-land USA	Saudi *Arabia*	Jordan Saudi Arabia USA Lithuania	Kuwait Jordan	Syria Iraq	Qatar Syria Iraq
Additional potential markets[2] *Phase 2*	Bulgaria Myanmar Ethiopia Cambodia Nepal	Bulgaria Vietnam Myanmar	India China Dominican Rep. Bahrain Morocco	China S. Korea Bulgaria	China Hong Kong Bulgaria Lithuania Myanmar	China Ireland Bulgaria Vietnam Croatia	Sweden Russia Ethiopia Nether-lands Indonesia	Czechia Slovakia Slovenia Bulgaria Hungary

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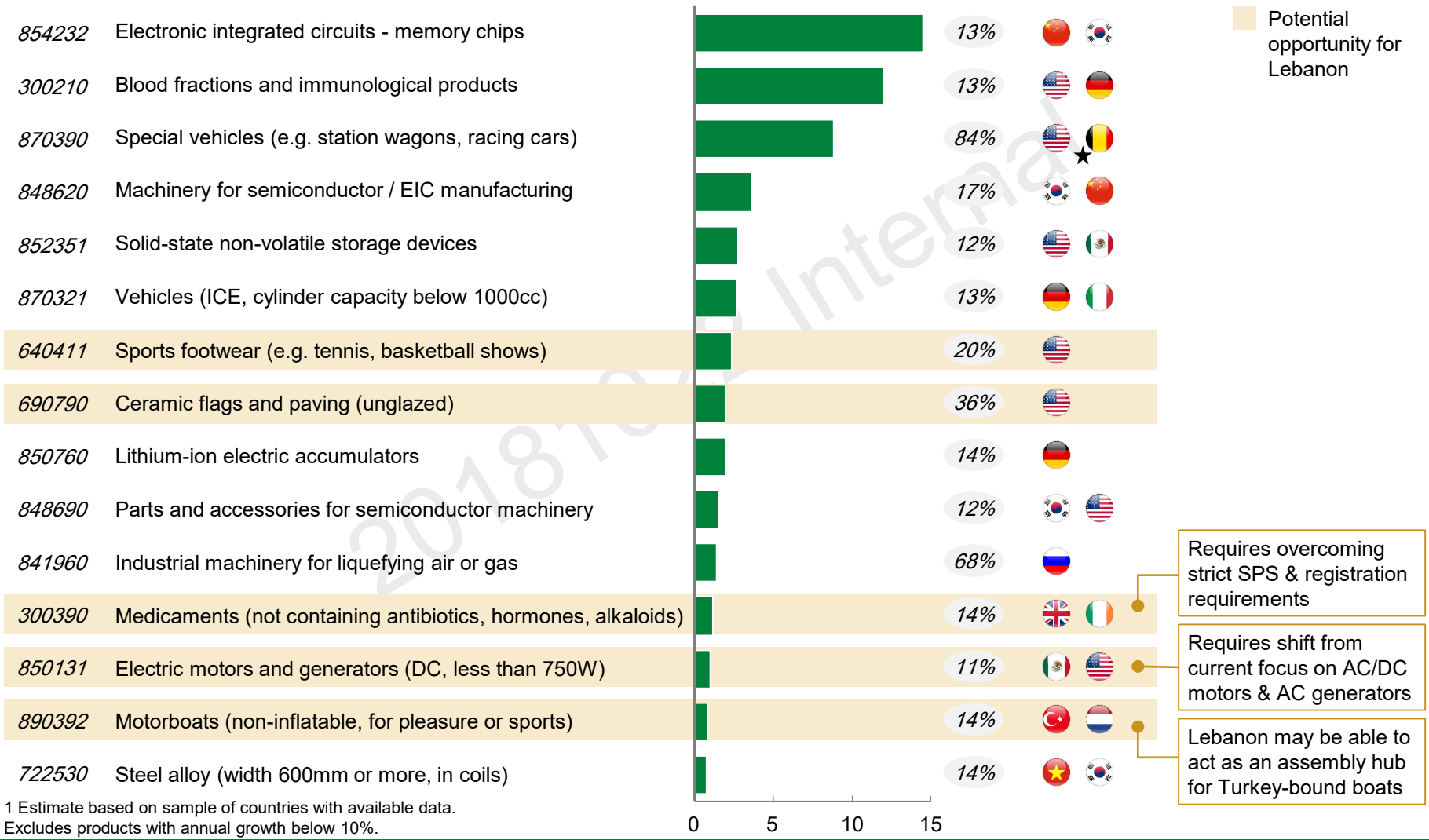
1 Countries where current Lebanese exports (in specific subgroup) exceed 1 million USD, and where Lebanon's "fair share" growth in exports (assuming no change in market share) exceeds 100k USD. Syria and Iraq added on an exceptional basis due to expected increase in demand
2 Markets where annual growth exceeds 10% and 10 million USD

Source: Lebanese Customs, WITS

A Additionally, Lebanon could take advantage of some of the highest-growth products around the world

PRELIMINARY & NON-EXHAUSTIVE



1 Estimate based on sample of countries with available data.
Excludes products with annual growth below 10%.

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Source: WITS

B New generation industrial zones can alleviate most of the constraints currently facing Lebanon's industrial sector (in the short term)

Production constraint[1]	Beneficial industrial zone features	Ability to address issue in industrial zone
Prohibitive **regulatory environment** and poor **government services**	▪ On-site one-stop-shop for all government services ▪ Ability to act as a "regulatory sandbox" with separate government regulations	✓
High cost and ineffectiveness of utilities (e.g. power, water)	▪ Dedicated shared off-grid electric generation network ★ ▪ High-quality water infrastructure, fiber telecom networks, etc. ▪ Shared waste management services	✓
High land prices (driven by real estate sector)	▪ Land dedicated for industrial purposes (protected from real estate pressure) ▪ Rent subsidies (e.g. for new movers)	✓
High **cost of logistics** due to congested and inefficient road network, border inspections, etc.	▪ Proximity to ports / land borders ▪ High-quality logistics infrastructure within zone, including customs control in zone	✓
Poor **access to international markets**	▪ Dedicated customs inspection & clearance operations ▪ Dedicated export promotion service & access to network of global partners	✓
Limited availability of **financing and investment** (local and foreign)	▪ Preferential treatment in access to government programs (e.g. Kafalat) ▪ Organized zone-centered investment promotion activities	✓
Increasing cost of labor, in part due to non-attractiveness of industrial jobs	▪ Shared HR and recruiting / talent attraction services	✓

1 Focused on supply-side constraints. Excludes demand-based constraints, such as internal and external competition.

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B Today, there are 4 major industrial zones under development

Zone		Focus areas	Current status	Format
Tripoli Special Economic Zone		Logistics & mixed industries *(including consumer chemicals)*	Masterplan complete – final preparations undergoing *(e.g. incl. regulatory environment)*	**Special economic zone** with separate regulatory environment, comprehensive tax incentives
MoI / UNIDO Industrial zones	**Terbol**	Food processing *(including agri-tech)*	Masterplan complete – Implementation underway (CDR)	**Industrial zone** with dedicated infrastructure and regulatory support, but limited services
	Baalbek	Waste management & recycling, construction material *(incl. prefab),* car services	Masterplan complete – Implementation underway (CDR)	
	Alkaa	Food processing *(TBC)*	Masterplan in progress	

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Improvement opportunities

- Improving **coordination and specialization between zones** to ensure strategic alignment
- Developing **additional industrial zones**, including one focused on **prefab construction**
- Strengthening **value proposition** for planned zones (e.g. industry specific services, vocational training centers)

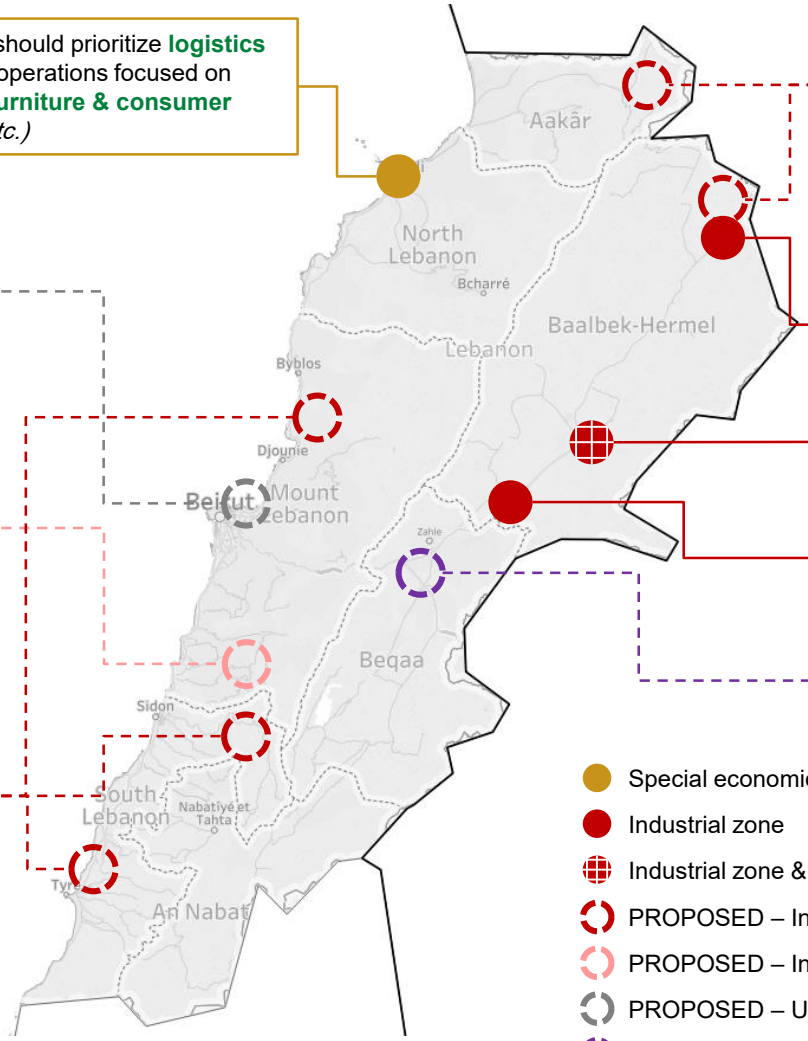
B Lebanon should establish a network of National Industrial Integrated Parks (NIIPs) with a clear focus and value proposition for each zone

Tripoli SEZ should be **export-oriented** and should prioritize **logistics support** for the port of Tripoli, with industrial operations focused on **packaging & assembly**, and potentially on **furniture & consumer chemicals** *(e.g. cosmetics, soap products, etc.)*

Jewellery sector could benefit from a **dedicated production zone** which can be encompassed in an **urban area** *(industrial zone unnecessary)*

Although MoI / UNIDO are no longer pursuing an industrial zone in **Jleiliye** (focused on food processing), **private sector** should be encouraged to independently develop zone based on **available masterplan**

Additional industrial zones are needed in the south, potentially focusing on **food processing** as well as priority sectors not currently covered by other sectors: **pharmaceuticals, napkins & sanitary goods, cosmetics, soap products, etc.**



A new industrial zone focused on **pre-fabricated construction & furniture** could unlock Syrian reconstruction opportunity

AlQaa zone expected to focus on food processing

Baalbek zone expected to focus on construction materials[1], co-located with service centers (car maintenance, recycling & waste management, etc.)

Terbol zone expected to focus on food processing

A **dry port** should be considered in proximity to major international highways *(potentially near Chtoura, or Rayak Airbase)*

- Special economic zone *(export-oriented industries)*
- Industrial zone
- Industrial zone & services center
- PROPOSED – Industrial zone
- PROPOSED – Industrial zone (previously proposed by MoI)
- PROPOSED – Urban production zone
- PROPOSED – Dry port

1 Industrial presence in zone driven by systematic relocation of existing players

B The National Industrial Integrated Parks should be defined along several criteria providing a very competitive environment

PRELIMINARY – TO BE DEEPENED

Assumed current hypothesis (based on masterplan) *Recommended*

				Next generation		Improvement potential
Zone setup & structure	Governance	Owned & managed by public sector	Government-owned, rented to private operator with limited government oversight	Government-owned, privately-operated under strict service agreement	Owned & managed by private sector	Limited
	Target industries	Unconstrained	Non-inclusive, but services & incentives targeted towards specific sectors	Partially constrained *(e.g. quota for specific sectors)*	Fully constrained *(e.g. plot allocation aligned in advance)*	Limited
	Access to plots	Plots for sale	Plots for rent	Plots for rent, pre-authorized for industrial construction	Plots for rent with prefabricated building *(ready to use)*	Limited
Value propos-ition	Infrastructure	Standard access to national infrastructure	Developed logistics infrastructure *(e.g. roads, ports, etc.)*	Shared / dedicated power & utilities *(incl. water, waste, etc.)*	Dedicated **sector-specific infrastructure** *(e.g. cold storage, packing facilities)*	High
	Support services	None / limited	Site management services *(e.g. security, maintenance, common areas etc.)*	**Centralized support services** *(e.g. transportation, training, HR, finance, etc.)*	Professional & sector-specific services *(e.g. consulting services)*	Medium
	Financial incentives	None / limited	Controlled rent	Targeted incentives for priority sectors *(e.g. infra, lending, etc.)*	Tax rebates & exemptions (e.g. economic free zone)	Medium
	Regulatory enablement	None / limited	Facilitation agreement with authorities	One-stop shop with single coordinator	Real one stop shop with delegation of power	Limited
	Export enablement	None / limited	Centralized pre-customs support *(e.g. documentation, weighing, etc.*	Preferential customs treatment at border	On-site customs representation *(incl. inspection services) ([BC*	High

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Source: UNIDO

B Summary of recommended parameters for the Industrial zones along the different dimensions

PRELIMINARY – TO BE DEEPENED

		Recommendation	Improvement potential
Zone setup & structure	Governance	Government-owned, privately-operated under strict service agreement	Limited
	Target industries	Non-inclusive, but services & incentives targeted towards specific sectors	Limited
	Access to plots	Plots for rent, pre-authorized for industrial construction	Limited
Value propos-ition	Infrastructure	Dedicated **sector-specific infrastructure** *(e.g. cold storage, packing facilities)*	High
	Support services	**Centralized support services** *(e.g. transportation, training, HR, finance, etc.)*	Medium
	Financial incentives	Targeted incentives for priority sectors *(e.g. infra, lending, etc.)*	Medium
	Regulatory enablement	One-stop shop with single coordinator	Limited
	Export enablement	On-site customs representation *(incl. inspection services) ([BC*	High

Source: UNIDO

Industry – priority initiatives (1/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
B National Integrated Industrial Parks	IND. B.1	Set-up governance structure to ensure strategic oversight and alignment among industrial zones	▪ Ministry of Industry	
	IND. B.2	Strengthen value proposition of planned zones through specialization and additional services	▪ Ministry of Industry	
	IND. B.3	Accelerate launch of planned zones in Tripoli, ★ Terbol, Baalbek and AlQaa	▪ Ministry of Industry	
	IND. B.4	Develop next-generation construction technology zone, potentially in AlQaa, targeting Iraq and Syria	▪ Ministry of Industry	
	IND. B.5	Plan second wave of industrial zones in Mount Lebanon, Beirut and the South	▪ Ministry of Industry	
	IND. B.6	Assess potential for dry port at international highway crossing (e.g. near Chtoura)	▪ Ministry of Industry	
X.1 Quality Assurance	IND. X.1.1	Adopt, enforce, and support compliance with industry quality standards	▪ LIBNOR	AB
X.2 Financing	IND. X.2.1	Strengthen investment attraction efforts (focused on domestic and diaspora investments)	▪ IDAL	AB
	IND. X.2.2	Activate investment article of law 360	▪ IDAL	AB

2019022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Industry – priority initiatives (2/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
X.3 Human Capital	IND. X.3.1	Increase availability of skilled technical labor (e.g. reorienting & strengthening TVET)	▪ Ministry of Industry	AB
X.4 General Enablers	IND. X.4.1	Selectively pursue new trade agreements (WTO, Agadir) ★	▪ Ministry of Economy & Trade	AB
X.4 General Enablers	IND. X.4.2	Improve customs access (incl. duration of physical inspections)	▪ Ministry of Interior	AB

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 12 priority initiatives that underpin the vision of the industry sector (1/5)

NON-EXHAUSTIVE

B

National Integrated Industrial Parks

	Objective	Initiative	Owner[1]
Ind.B.1	Set-up governance structure to ensure strategic oversight and alignment among industrial zones	Alignment of objectives and approach between MoI / UNIDO's industrial zones and the Tripoli Special Economic Zone (and any other relevant efforts, presently or in the future), would be needed, through: ▪ Regularly conducting organized discussion forum among all relevant stakeholders (including IDAL, ECOSOC, Tripoli Economic Zone Authority, etc..) to maintain an understanding of the specializations and targets of various efforts ▪ Identifying areas of potential overlap between the different efforts★e.g. destructive competition for the same tenants ▪ Addressing areas of overlap through clarified objective functions per zone, with alignment on allocation of target tenants and subsectors per zone ▪ Discussing areas of potential collaboration and synergy creation across the zones, including shared services (e.g. procurement) ▪ Setting-up a committee to ensure continuous collaboration and de-bottlenecking of issues	▪ Ministry of Industry
Ind.B.2	Strengthen value proposition of planned zones through specialization and additional services	The Ministry of Industry, in cooperation with UNIDO, has been developing economic zones with clear advantages for tenants, including affordable rent, access to high-quality infrastructure (e.g. 24/7 power, utility networks, etc.) and management services (site management, security, maintenance, etc.). The value proposition of these zones could be strengthened through providing a combination of the following: ▪ Centralized sector-specific services (e.g. cold storage facilities and ISO-certified food packaging facilities in food processing zones) ▪ Shared business services (e.g. training facilities, centralized HR and finance operations, etc.) ▪ Export-enabling infrastructure (e.g. on-site customs inspection zones) ▪ Close collaboration with export development and promotion agencies ▪ Providing targeted capability building sessions on required technical skills	▪ Ministry of Industry

2018-022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 12 priority initiatives that underpin the vision of the industry sector (2/5)

NON-EXHAUSTIVE

B

National Integrated Industrial Parks *(contd.)*

	Objective	Initiative	Owner[1]
Ind.B.3	Accelerate launch of planned zones in Tripoli, Terbol, Baalbek and AlQaa	Lebanon's existing pipeline of industrial zones (MoI / UNIDO zones as well as Tripoli Special Economic Zone) are essential to improving the country's competitiveness factors in industry. Therefore the launch of these zones should be accelerated, and provided additional attention potentially through: ▪ Clarifying milestones and horizon to develop and operate each zone, with direct oversight from the highest country authorities ▪ Establishing a governance structure, integrated with the Vision institutionalization mechanism ★ ▪ Creating transparency on timelines and bottlenecks, and publishing regular progress reports Key issues where accelerated progress is needed: ▪ Identification of private sector operators for the different zones ▪ Development of infrastructure (constrained partially by financing approvals)	▪ Ministry of Industry
Ind.B.4	Develop next-generation construction technology zone, potentially in AlQaa, targeting Iraq and Syria reconstruction	The current industrial zone landscape – including zones planned by MoI / UNIDO – do not sufficiently prepare Lebanon to fully leverage the Syrian (and Iraqi) reconstruction opportunity. Lebanon should swiftly seek to establish a new construction-focused economic zone targeting reconstruction in Syria. More specifically, to gain a competitive advantage, Lebanon should focus on prefab construction and other construction technologies, as well as secondary subsectors such as furniture. Priority next steps include: ▪ Size the potential export opportunity and identifying target markets & focus area ▪ Identify high-potential technologies & services and potential international partners to serve as anchor tenants ▪ Develop a perspective on key features required in the zone, including infrastructure, services, and incentives ▪ Identify an area of land to serve as the site for the zone – High-potential areas including subset of current Alqaa zone, or adjacent (unoccupied land) ▪ Develop detailed masterplan for the zone	▪ Ministry of Industry

2016 2032 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 12 priority initiatives that underpin the vision of the industry sector (3/5)

NON-EXHAUSTIVE

B

National Integrated Industrial Parks *(contd.)*

	Objective	Initiative	Owner[1]
Ind.B.5	Plan second wave of industrial zones in Mount Lebanon, Beirut and the South	To ensure regional development and to capitalize on untapped potential across Lebanon's territories, another "wave" of industrial zones should be planned, with the following criteria: ▪ Be located regions not serviced by current economic zone plans (e.g. Southern Lebanon, Mount Lebanon, Beirut) ▪ Be focused on priority sectors which are not addressed in current plans (including jewelry, napkins & sanitary goods, soap products, cosmetics, etc.) ★ Priority next steps include: ▪ Develop a demand analysis for industrial zones in the South of Lebanon, Mount Lebanon and Beirut, mapping areas to the priority subsectors ▪ Shortlist potential land plots along key transportation corridors for industrial zones ▪ Conduct discussions with local industrialists and authorities to understand subsector potential and skills gap in industry ▪ Develop the masterplans ▪ Tender the development and operation process to the private sector while launching tenant attraction activities within and outside of Lebanon	▪ Ministry of Industry
Ind.B.6	Assess potential for dry port at international highway crossing (e.g. near Chtoura)	Due to the current congestion at Beirut's port, and given the anticipated increase in exports in the coming years, Lebanon should consider developing a separate dry port which can facilitate trade by increasing storage & logistics capacity and alleviating pressure on existing infrastructure. Priority actions include: ▪ Developing projections for exports (by port of exit), trade routes and corresponding infrastructure requirements ▪ Assessing the activity per industrial zone and the respective target markets ▪ Developing list of activities needed within dry port including storage, custom clearance ▪ Assigning an authority to be responsible for the dry port, and align on roles vis-a-vis the private sector	▪ Ministry of Industry

2018 1022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 12 priority initiatives that underpin the vision of the industry sector (4/5)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.1 Quality Assurance	Ind.X.1.1	Adopt, enforce, and support compliance with industry quality standards	A key pre-requisite to unlocking export potential is quality improvement. Mechanism to review and approve suggested standards should to be accelerated (and potentially reformed) to ensure timely introduction of standards moving forward ▪ Strengthening standards associations (e.g. LIBNOR) and formalizing their standards – Prioritizing international standards to enforce – especially those relevant to technical barriers to trade which are inhibiting growth in the industrial sector. ▪ Developing a strong monitoring and enforcement mechanism to ensure compliance with safety and quality requirements, in parallel to training & technical support mechanisms to facilitate adoption of standards – In the short term, a "grace period" during which technical assistance is provided to support compliance transitions – In the medium term, compliance should be linked to permit procedures and/or access to financing (e.g. Kafalat) – In the long term, quality compliance can be used to tackle informal economy	▪ LIBNOR	AB
X.2 Financing	Ind.X.2.1	Strengthen investment attraction efforts (focused on domestic and diaspora investments)	To strengthen investment attraction efforts, a centralized and structured approach for reaching out to potential foreign investors should be developed, particularly from the active-investor Lebanese diaspora. ▪ Establishing the governance structure to ensure collaboration across the relevant stakeholders (including IDAL, MoI, MoET, MoFA) and allocating responsibilities to pitch investment projects to Lebanese diaspora ▪ Ensuring investment attraction approach takes into consideration the industrial zone strategy – e.g. specific outreach efforts may be needed for industrial zone investments, specifying approach and criteria for offering incentives – financial or otherwise – to investment partners	▪ IDAL	AB
	Ind.X.2.2	Activate investment article of law 360	Article 10 as part of law 360 allows IDAL to participate in the capital of joint-stock companies, as means to support businesses and attract international donations. The article should be activated after setting up the proper governance structure for such a fund, and align its objectives and scope of work with the broader Vision efforts	▪ IDAL	AB

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 12 priority initiatives that underpin the vision of the industry sector (5/5)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.3 Human Capital	Ind.X.3.1	Increase availability of skilled technical labor (e.g. reorienting & strengthening TVET)	The growing shortage in skilled technical local labor has been filled by foreign labor. The skill gap would need to be addressed through: ▪ Increasing quality and accessibility of training opportunities, such as technical & vocational education opportunities (TVET) as well as on-the-job training / apprenticeship programs – Round table discussions between the private sector, education institutions and the public sector to align on required skills and projected gap in the labor market ★ – Improving linkages between factories and the job market (e.g. building on the Ministry of Industry's efforts with the National Employment Office) ▪ Supporting innovation in the industrial sector through dedicated channels (e.g. pitch competitions, accelerators, etc.) in collaboration with funding players (e.g. venture capital firms)	▪ Ministry of Industry	AB
X.4 General Enablers	Ind.X.4.1	Selectively pursue new trade agreements (WTO, Agadir)	▪ Discussed separately	▪ Ministry of Economy & Trade	AB
	Ind.X.4.2	Improve customs access (incl. duration of physical inspections)	▪ Covered in another section	▪ Ministry of Interior	AB

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Industry – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to industry

	Objective	Initiative
Fin.X.3.4	Enhance access to finance to support industrial SMEs (focused on priority industry sectors)	▪ Refer to initiative X.3.4 under Financial Services
Leg.2.15	Resolve regulatory obstacles of industrial parks (e.g. amending Ministerial Decree 1660)	▪ Refer to initiative 2.15 under Legislation ★
Inf.3	Reform national infrastructure (incl. power, logistics, utilities)	▪ Refer to initiative 3 under Infrastructure
Inf.5	Prioritize financing to existing industrial zones (advancing to CIP cycle 1)	▪ Refer to initiative 5 under Infrastructure
Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Refer to initiative A.1 under Export & Branding
Exp.A.2	Expand export promotion	▪ Refer to initiative A.2 under Export & Branding

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Industry Appendix

20181022 Internal

Lebanese case example: Prefabricated buildings and construction material

History
- Established by Marwan Nakfour in 1995
- A 40,000 m2 manufacturing plant in Batroun with an office in Achrafieh

Activities and products
- Design, manufacture, delivery and install structural precast and post-tension concrete. Advantages are:
  - Affordable pricing
  - No permits needed
  - Turnkey house

Number of employees
- <100 employees

Export markets

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Lebanese case example: Pharmaceuticals

History

- Established in 1961 as a subsidiary of Merck, until 1989 when it was bought by its Lebanese shareholders
- Currently based in Zouk, run by the Ghorayeb family

ALGORITHM
Life in focus

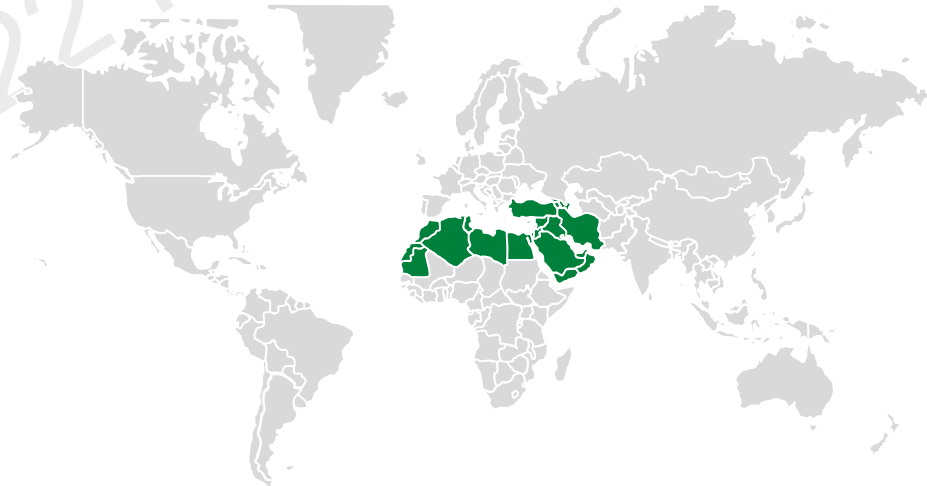
Activities and products

- Manufacturing and packaging non-sterile oral pharmaceuticals and creams, including:
  - Cardiometabolic
  - Gastroenterology
  - Infectiology
  - Neurology

Number of employees

- >500 employees

Export markets



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Lebanese case example: Consumer goods

History

- Established in 1974 in Beirut in cooperation with Spartan Chemical Company in USA
- Currently the company is headquartered in Choueifat and has 4 other factories / warehouses in Tripoli, Bekaa, Mkalles, Beer Hassan, run by Al Rifai family

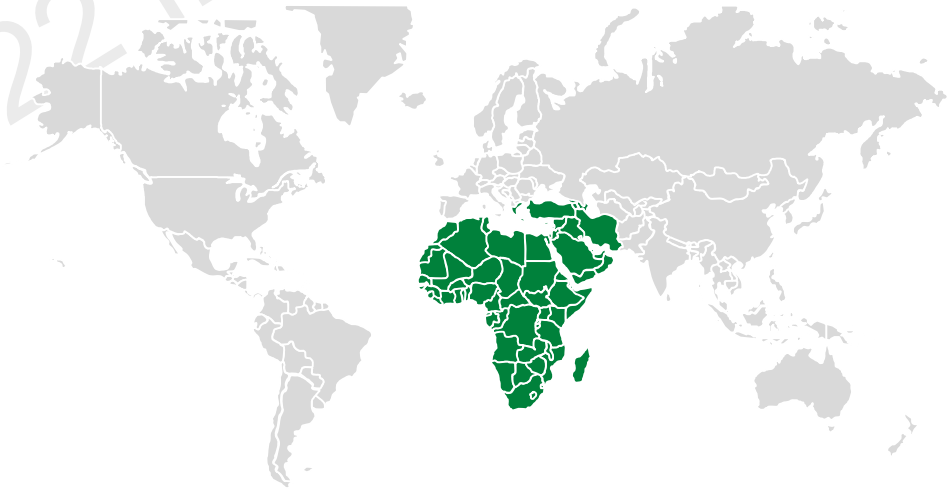
Activities and products

- Manufactures detergents and disinfectants, including
  - Hand soap
  - Shampoo
  - Dishwashing liquids
  - Floor Cleaners

Number of employees

- 200-300 employees

Export markets



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Lebanese case example: Food processing

History

- Subsidiary of Daher International Food Company, established in 1998
- Manufacturing facility covering 35,000 m2 and products sold through 22,000 points of sale throughout Lebanon

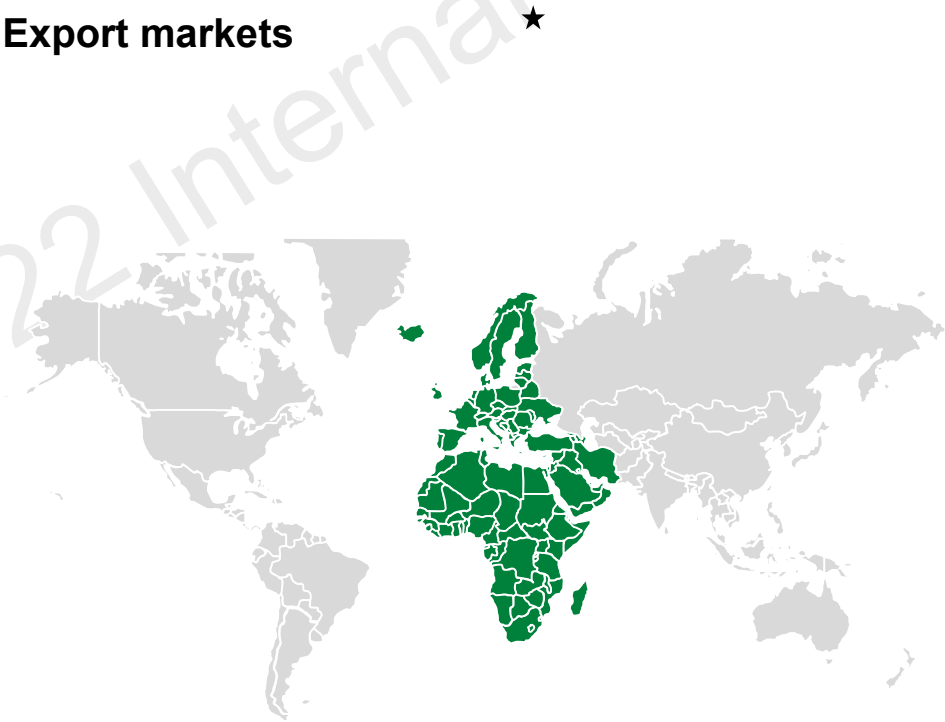
Activities and products

- Manufactures agro foods, focusing on breakfast meals
  - Breakfast cereals
  - Cereal Bars
  - Confectionary including chocolate bars

Number of employees

- >600 employees

Export markets



20181022 Internal

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

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B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

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B. Public administration reform requirements
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F. Country branding & export promotion

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VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

2018 10 22 Internal

Many stakeholders contributed to the assessment of the tourism sector

Public sector stakeholders

HE Ghassan Hasbani
Minister of Public Health

HE Ghattas Khoury
Minister of Culture

Georges Freiha
Advisor to the Minister

Michel Habis
Previous advisor to Minister of Tourism

Nada Sardouk
DG of Ministry of tourism

Atef Majdalani
Member of Parliament

HE Michel Pharaon
Former minister of tourism

State-owned enterprises stakeholders

Mohammed el Hout
CEO of MEA

Roland Khoury
CEO of Casino du Liban

Hassan Koraytem
Director of Beirut Port

Private sector stakeholders and federations

Pierre El Achkar
Lebanese Federation for Tourism

Jean Abboud
Association of Travel & Tourist Agents

ECOSOC
Tourism Committee

Tony el Rami
Syndicate of Owners of Restaurants, Cafes, Night Clubs and Pastries in Lebanon

Michel Elefteriades
CEO of entertainment businesses in Lebanon and abroad

Sleiman Haroun
Association of Hospitals

Benchmarked
~800+ routes to
conduct fair share analysis

Benchmarked
25+ markets
for marketing and connectivity strategies

Analyzed
50+ key anchors
for global tourist destinations

Conducted
primary research
of the preferences of target markets

Leveraged the key tourism resources of the region
WTTC and UNWTO
for in depth economic understanding of the sector

2022 Internal

Tourism – sector aspirations

Aspiration: A revived Riviera destination offering a unique combination of unrivalled entertainment, immersive culture and breath-taking sea views with regional niche offerings in business M&I segment and specialized medical tourism

Current situation

- **Unclear branding** of Lebanon and **tarnished image** in the media
- **Unfocused efforts in targeting source markets**
- **Lack of prioritization of product offering** and limited range of "ready-to-market products"
- **Lack of specialization** of hospitals in specific/medical services to attract medical tourists

2025

A **Fast growing tourism sector in 15 source countries with distinctive core tourism offering in "City&Entertainment", "Sun&Sea" and "Culture" across three anchor destinations and niche offering in ultra-luxury eco-tourism**

B **Preferred destination for Meeting and Incentives business travelers in GCC countries**

C **Clear branding of Lebanon in specialized medical tourism services targeting regional markets**

2035

- **Globally renowned** destination for **city breaks**, with world-class **gaming** and **entertainment** offerings
- Unique destination for regional and global **exhibition and conferences**
- **Centre of excellence** in specialized medical services
- **Sustainable** and **environmentally-friendly** tourism destination

2018/2022 Internal

Targets

	Current situation	2025	2035
Tourism[1] GDP, USD Bn	1.6	3.7	5.4
Total employment, K	89	185	211
Total number of tourists[2], Mn	1.9	4.2	6-7

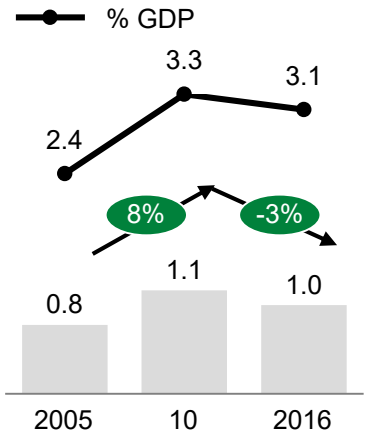
1 GDP contribution of hotels and restaurants is used as a proxy for tourism GDP, does not fully include contribution of medical tourism which will be mostly captured in the healthcare sector

2 Leisure, business and medical tourism

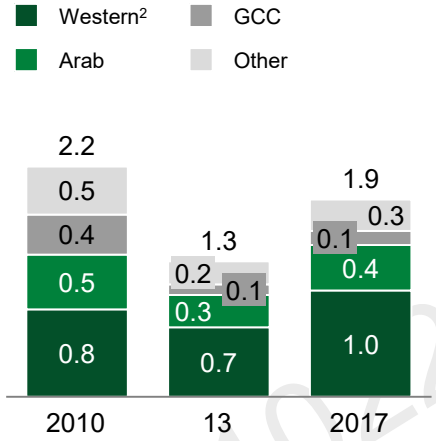
Tourism – summary of diagnostic

Economic contribution

Real GDP value of tourism[1]
Bn USD in 2010 prices



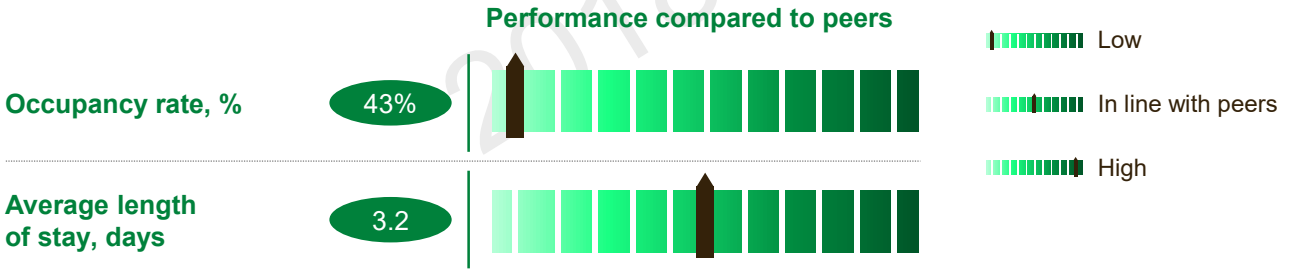
Number of tourists by nationality
Million tourists



Top nationalities

- Iraq (12%),
- France (9%),
- USA (9%),
- Canada (6%)

Performance metrics[3], 2017



Key challenges

- **Lack of proper tourism data** to ensure informed decision making
- **Low occupancy rates in hotels** are deterring private sector investments
- **Limited hospitality infrastructure** catering for the upper mass and luxury segments (especially outside Beirut)
- Absence of a brand image for Lebanon
- **Limited flight connectivity** and **high airfare prices** to European markets
- **Highly fragmented eco-system** with no forum for collaboration between all the different stakeholders

1 GDP contribution of hotels and restaurants is used as a proxy for tourism GDP
2 Includes Europe, Oceania and North America (US and Canada only); 3 Based on a sample hotel list provided by MoT

Source: Ministry of tourism, CAS

Tourism – 2025 sector charter

2017 2025

Aspiration: A revived Riviera destination offering a unique combination of unrivalled entertainment, immersive culture and breath-taking sea views with regional niche offerings in business M&I segment and specialized medical tourism

SECTOR PLAYS

A

Focus on attracting leisure tourists from 15 source countries by building core offerings in "City&Entertainment" ,"Sun&Sea" and "Culture" in three anchor destinations (Beirut, Byblos and Sour) and developing ultra-luxury "eco-tourism" hubs

- Grow number of leisure visitors by focusing on 15 countries in three types of markets: **Arab and GCC countries** (KSA, UAE, Kuwait, Iraq, Jordan and Egypt), **core European markets** (France, Germany, UK, Italy, Sweden, Turkey) and **countries with high number of Lebanese diaspora** (US, Canada, Australia) ★
- Build core **tourism offering in "City&Entertainment","Sun&Sea" and "Culture"** by focusing product development, infrastructure, incentives and marketing resources around the **three anchor destinations: Beirut, Byblos and Sour**; these destinations will be **"hub and spoke**" for ancillary offering in the hinterland
- Take a "bet" on developing **eco-tourism hubs** across **authentic** (B&B) **and ultra-luxury** (resorts) segments

B

Grow the Meeting & Incentive segment by focusing on 5 GCC destination (KSA, UAE, Kuwait, Qatar and Iraq) and promoting Lebanon as a high value for money destination for business tourists complimented with an attractive leisure offering

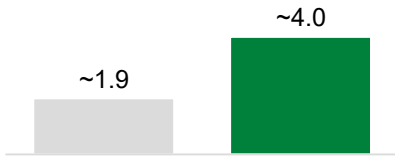
C

Position Lebanon as a "convenient" destination targeting regional medical tourists with a clear value proposition for high quality specialized medical services combined with an unparalleled leisure offering

- Incentivize the specialization of hospitals and promote Lebanon as a center of excellence in selected procedures complimented with unparalleled leisure tourism offering
- Target outbound medical tourists from regional source countries (Arab and GCC countries)

2025 TARGETS

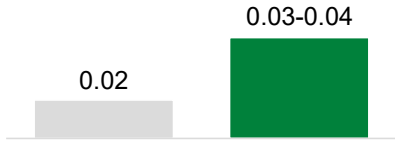
Number of leisure tourists, Mn



Majority of growth in the tourism sector would come from leisure tourists

Number of business tourists, Mn

Number of medical tourists, Mn



X ENABL-ERS

Infrastructure and connectivity

- Airport expansion
- Urban planning and transport infrastructure revamp
- Flight connectivity
- Hotel room capacity and quality

Marketing

- Marketing budget
- Branding
- Targeted marketing
- Media and perception management

Organization and regulations

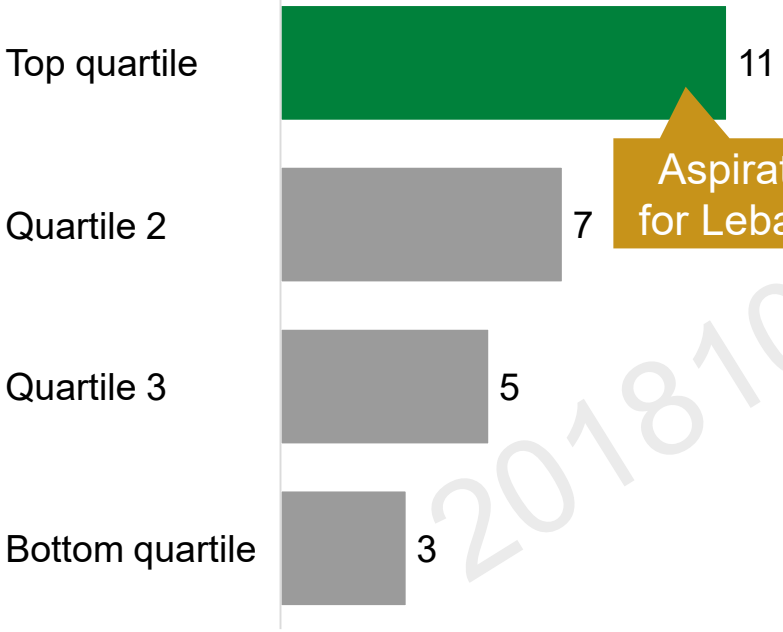
- Investments zones
- Enabling legislations
- Tourism board and stakeholder cooperation

20181022 Internal

Lebanon's 2025 target number of inbound tourists is achievable if historical growth rate is maintained

Fastest growing tourist destinations have been growing at 11%

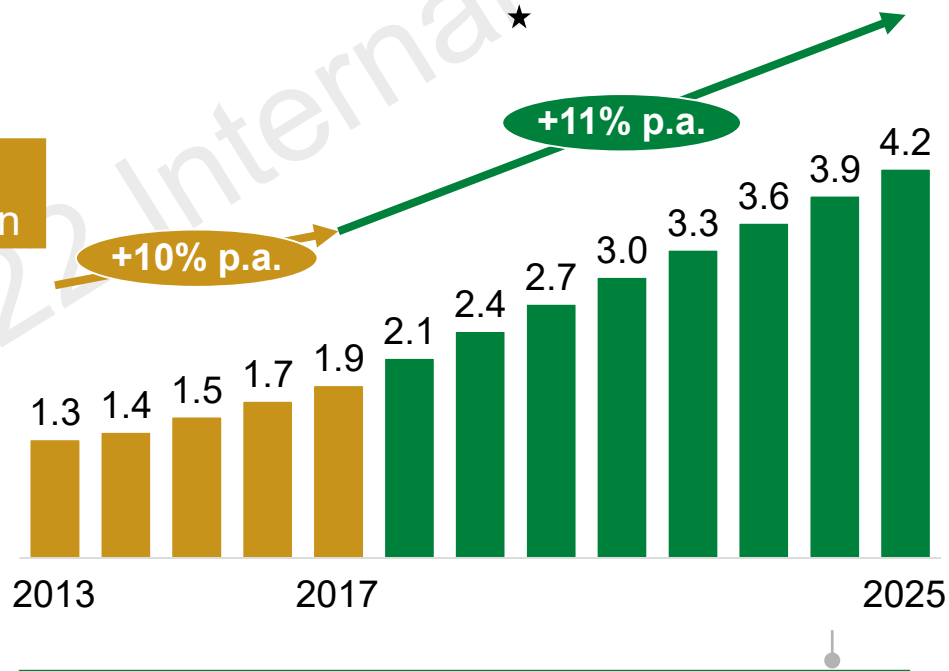
Annual growth in number of tourists across peer group, % (2010-2017)



Peer group countries were selected on the basis of number of tourists in 2010 (1-3 Mn)

Number of tourists in Lebanon should grow in line with top quartile

Total number of tourists, Mn



Lebanon' s target is in line with Lebanon's current growth rate and top quartile growth rates

20181022 Internal

Source: Euromonitor, Ministry of Tourism

Most of the growth in the number of tourists would come from leisure visitors

X% p.a. growth, 2017-2025

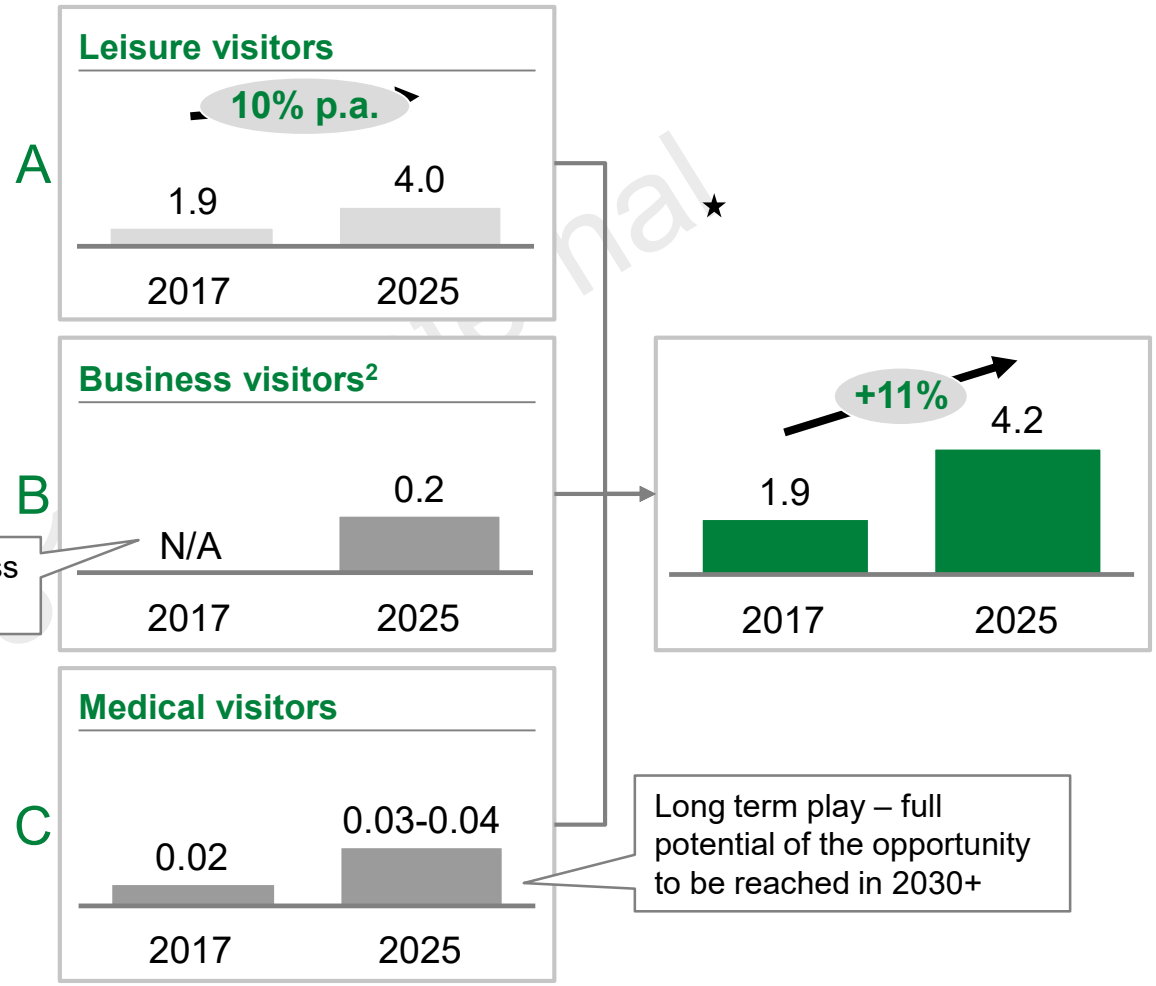
Assumptions and drivers

- Leisure tourism will grow by 10% p.a till 2025
- Leisure tourists includes **hotel and non-hotel** visitors
- Non-hotel visitors include VFR and visitors lodging in serviced apartments (e.g., AirBnb)

- Business tourists will mainly grow from the M&I segments

- Medical tourism will grow from attracting tourists in the region seeking specialized medical services

Target number of visitors, Mn



1 Non-hotel visitors includes service apartments, cruises, etc,. Assumed to equal 15% of leisure tourists
2 Includes IBT (independent business travellers) which are considered negligible in Lebanon and MICE tourists

Source: Ministry of Tourism, Syndicate of hospitals, Euromonitor

A The leisure tourism segment has the potential grow up by ~10% p.a. by 2025

Focus of this section | X% p.a. growth, 2017-2025

Assumptions and drivers

- Leisure tourism could grow by 10% p.a till 2025
- Leisure tourists includes **hotel and non-hotel** visitors
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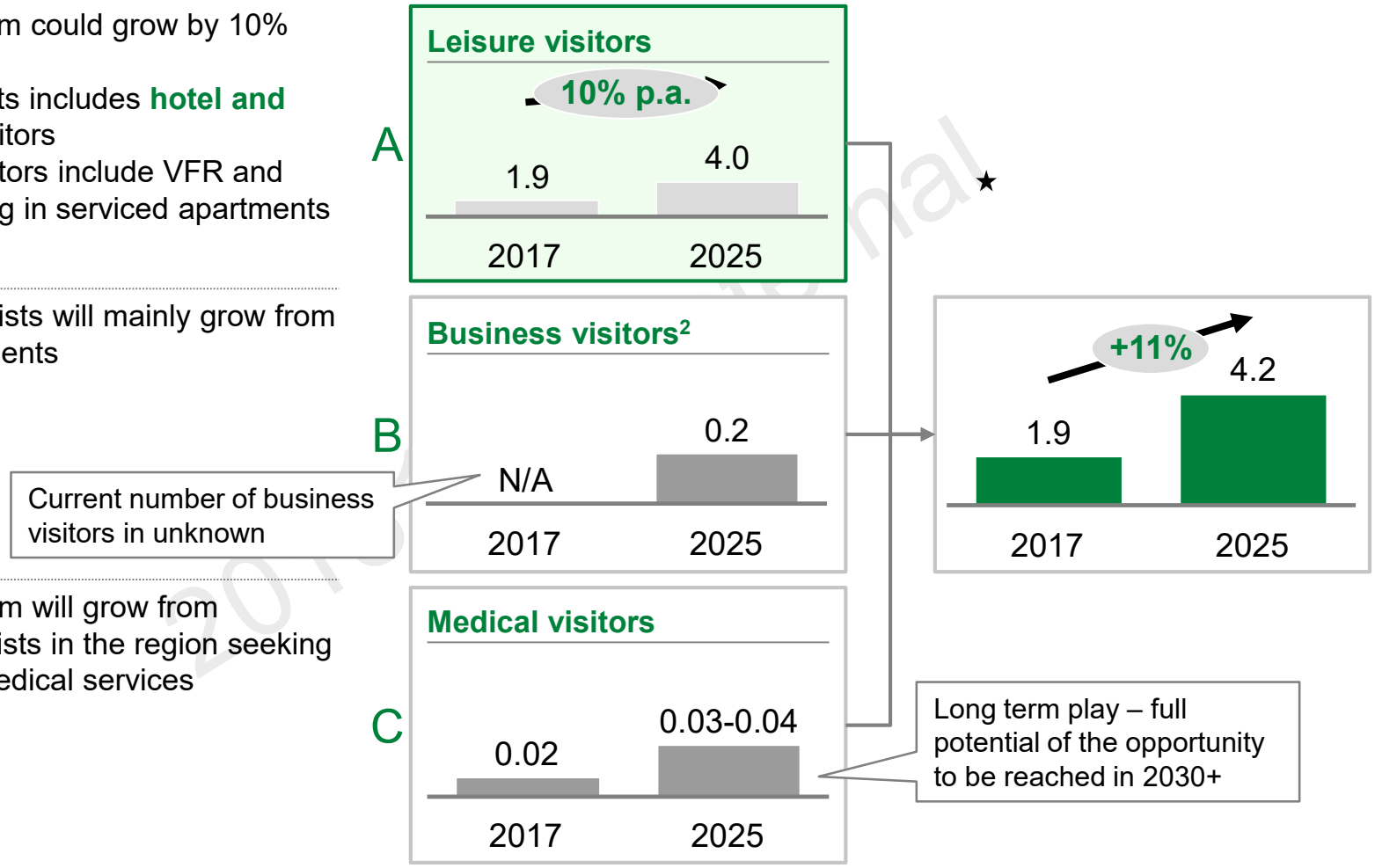

1 Non-hotel visitors includes service apartments, cruises, etc,. Assumed to equal 15% of leisure tourists
2 Includes IBT (independent business travellers) which are considered negligible in Lebanon and MICE tourists

Source: Ministry of Tourism, Syndicate of hospitals, Euromonitor

A Fifteen top source markets of tourists to Lebanon in 2025 were reached following extensive projections and analysis

Detailed next

Leisure visitors in 2016

- Identify current top source markets as per number of visitors
- Estimate the ratio of leisure to business visitors in each source market ★
- Calculate the country/city's current share of the top 15 source markets' outbound tourism

Leisure visitors in 2025

Estimate increase in number of leisure visitors as a result of natural growth

Utilize projections on growth in outbound leisure tourism from each source market to determine natural increase in number of visitors

Calculate the target market share that Lebanon could capture from outbound tourists in 15 markets

1. Determine Lebanon's fair share of outbound tourist for the 15 markets as per their distance to Lebanon based on an analysis of historical outbound tourist data
2. Set a ceiling for growth rate in outbound tourists to Lebanon from these 15 markets based on growth rate of comparable peers
3. If Lebanon's current market share of outbound tourists from a certain market is greater than the "fair share" calculated, maintain current market share
4. Adjust growth rates for country specific dynamics (e.g. diaspora markets in Lebanon)

Apply target market shares to projected outbound visitor growth for all source markets

2016 Q2 Internal

A Fair share of source markets was determined based on extensive international benchmarking

Fair market share **benchmarking was conducted on ~60 countries** through the following approach:

- Identification of **source markets** per destination country
- Classification of source markets **into a haul category** based on their distance in flight time to each destination country
- Identifying the **average market share** of each source received by destination countries
- Calculating the **average market share of each haul category** based on the benchmarking across destination countries and their sources

Haul	Distance by flight time, # of hours	Number of benchmarks[1]	Fair market share
Short	< 3	~375★	7.5%
Medium	3 - 6	~225	5.2%
Long	6 - 11.5	~165	2.1%
Very-long	> 11.5	~55	0.6%

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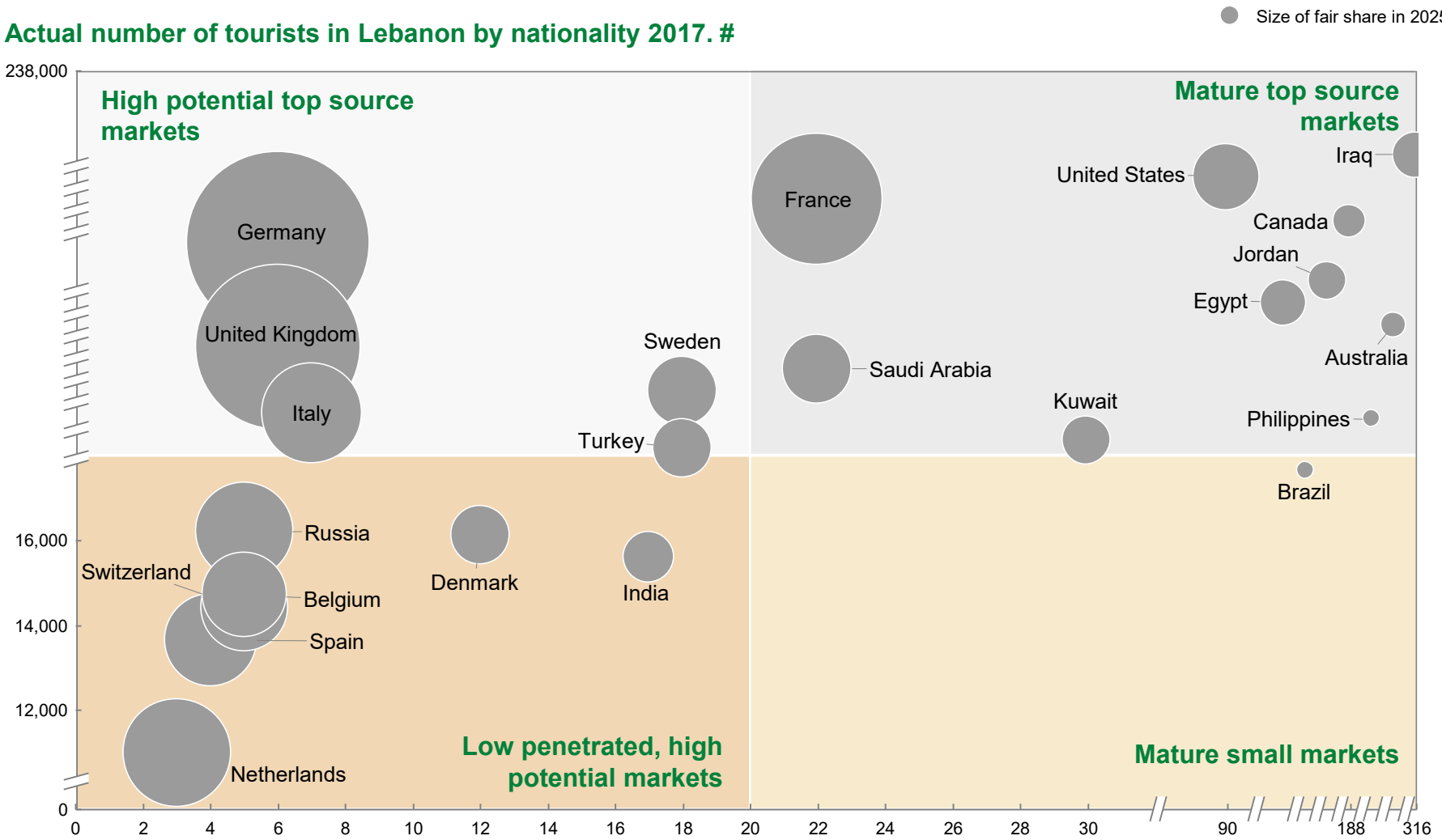
1 Number of benchmarks (source market to destination) utilized to determine the fair market share of the haul category

Source: Oxford economics

Source markets were classified into 4 categories



Note: Each countries selected for the analysis make up at least 1% of current total tourists

Source: Ministry of tourism, Oxford economics, UNWTO

A Top 15 markets were selected as priority for marketing Lebanon as a tourist destination

Target source countries strategy		Number of tourists 2016[2], '000 visitors	Target 2025 '000 visitors
Build on recent growth in GCC and Arab countries	Iraq	236	220-240
	Jordan	87	80-90
	Egypt	83	110-130
	Saudi Arabia	40	150-170
	Kuwait	26	90-110
	UAE (incl. expats)	N/A	60-75
Maintain growth in countries with high number of Lebanese diaspora[1]	United States	154	265-285
	Canada	100	100-110
	Australia	73	75-90
Grow share of outbound tourists from core European markets	France	146	570-590
	Germany	88	340-360
	United Kingdom	62	240-260
	Sweden	35	130-145
	Italy	30	110-125
	Turkey	25	90-110

In case travel ban is lifted

Top 15 markets account for ~70% of total target number of tourist

1 Since Lebanon is already capturing its fair share of tourists from these countries, targets are based on outbound market growth
2 by nationality

Source: Ministry of tourism, Oxford economics, UNWTO

A Tailored marketing campaigns, packages and offerings should be developed for each source market

Target source countries approach

GCC and Arab countries

Weekend destination for GCC nationals and expats in GCC countries during the months of summer (to counter hot GCC weather) and winter season (for a skiing weekend)

Lebanese diaspora markets

Long-stay vacation fueled by a "Back To The Roots" campaign/programs to increase share of visits from source diaspora markets

Core European markets

Mid-term stay building on potential extension to certain regional destinations such as Turkey, Egypt, Jordan

A Tourists from each source market seek different product offerings for leisure travel destinations

DIASPORA	EUROPE	GCC AND ARAB COUNTRIES
United States, Canada, Australia, France	Italy, Germany, UK, Sweden, Turkey	Saudi Araba, Kuwait, Iraq, Jordan, Egypt, United Arab Emirates

Main purpose of travel

DIASPORA	EUROPE	GCC AND ARAB COUNTRIES
Visiting family/ friends / relatives	Sun and beach	Nature (mountain, lake, landscape etc.)	Shopping	Family trips (beach, theme park)
Culture tourism (e.g. rural, religious)	Culture (e.g. religious, gastronomy, arts)	City trips	Sightseeing

Source: Eurobarometer

A Lebanon should develop three core offerings in city & entertainment, sun & beach and culture, while also taking a bet on eco-tourism

characteristics | product offering

City and entertainment	Sun and sea	Culture	Ecotourism
Big cities characterized by their vibrancy, excitement and diversity	**Costal locations/islands with direct access to the beach**	**Old cities/sites with rich heritage and history**	**Pristine, undisturbed and preserved natural areas**
Nightlife, gaming, shopping, dining, sightseeing	Relaxation on the beach, water activities, entertainment	Cultural heritages, historical & religious sites, museums	Glamping, hiking, adventure activities

A Three anchor cities should be further developed with enhanced day trip offerings to other sites in Lebanon

Key actions

Develop core offerings in three anchor destinations

Select three anchor destinations (Beirut, Byblos and Sour**) four unique core leisure tourism offerings and accommodation**

- **Beirut** would offer an **urban experience** (e.g. shopping, vibrant city nightlife, F&B) and a **cultural experience** (e.g. heritage sites, museums, exhibitions, religious monuments)
- Byblos would offer **culture, sun & beach and gaming activities**
- Sour would offer **culture, religion and sun & beach activities**

These three destinations would become priority tourism investment zones with dedicated incentives packages for private investors, public infrastructure investments, product development and marketing

Develop a hub-spoke model from anchor destinations to other cities with rich natural endowments

Develop other destinations with rich natural endowments through a "hub and spoke" model:

- Other tourists destinations such as Jeita, Baalbeck, Batroun, Saida etc. should be easily accessible through day trips from the three anchor destinations
- These areas should build on Lebanon's natural endowment in **culture** (e.g. Baalbeck), **adventure/nature** (Jeita, Tannourine), **sun & beach** (Batroun, Damour/Jiyeh) and **religious tourism**, accessible through day trips from the anchor cities

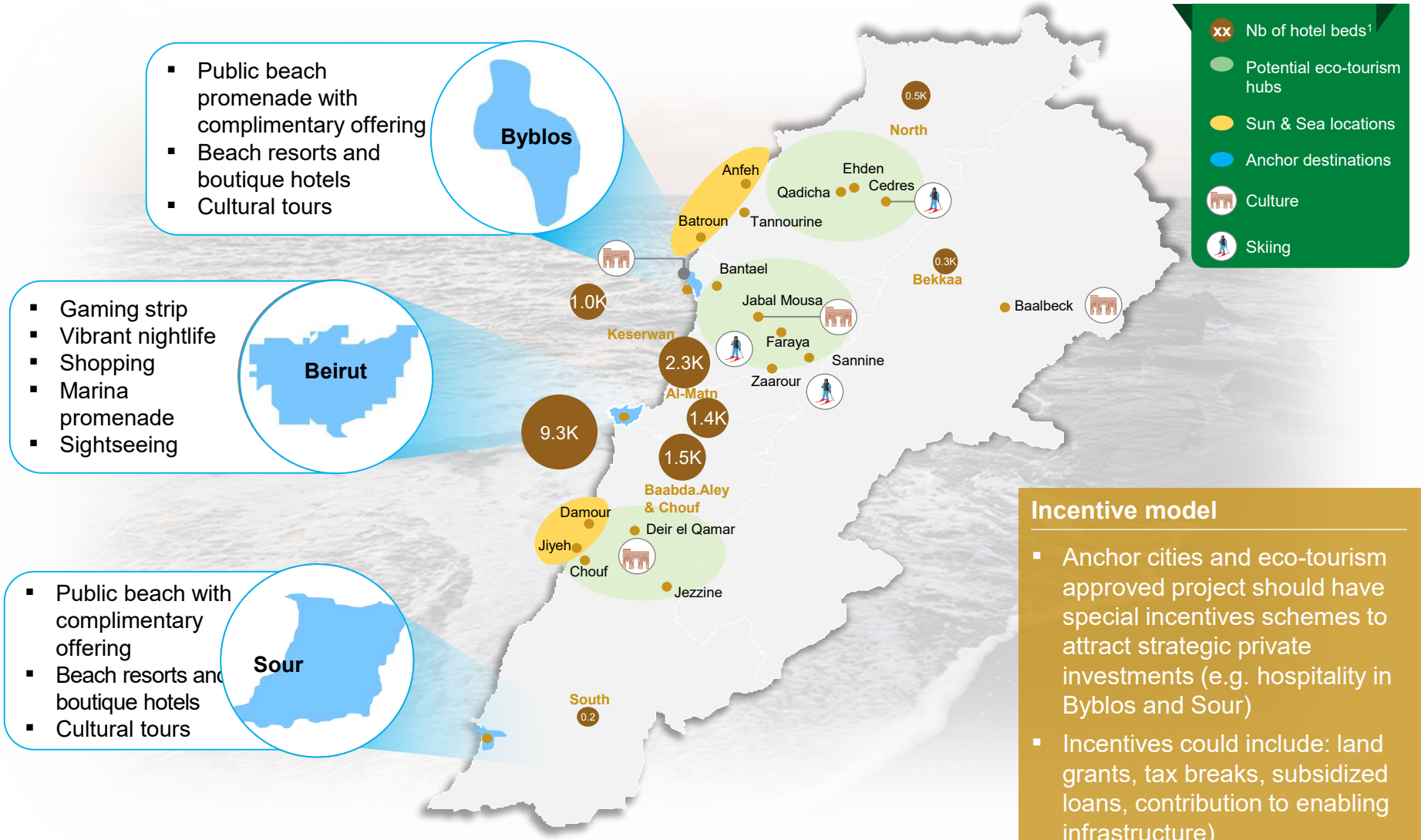
Take a "bet" on eco-tourism

Develop eco-tourism hubs offering activities and relaxation across two segments

- **Ultra-luxury segment:** Attract one first ultra-luxury in a natural region (e.g., Six Senses, Banyan Tree) as an anchor tenant for a broader eco-based luxury offering
- **Authentic B&B segment**: Continue supporting access to market of existing authentic B&B offerings in rural regions offering truly "Lebanese" experience clustered

20181022 Internal

A Beirut, Byblos and Sour should be developed as anchor tourism destinations each with its unique offering and identity



Incentive model

- Anchor cities and eco-tourism approved project should have special incentives schemes to attract strategic private investments (e.g. hospitality in Byblos and Sour)
- Incentives could include: land grants, tax breaks, subsidized loans, contribution to enabling infrastructure)

1 Number based on recommended sample of hotels from ministry of tourism

Source: Ministry of Tourism

B Business tourism in Lebanon has potential to grow to around 200K visitors by 2025

Focus of this section | X% CAGR, 2017-2025

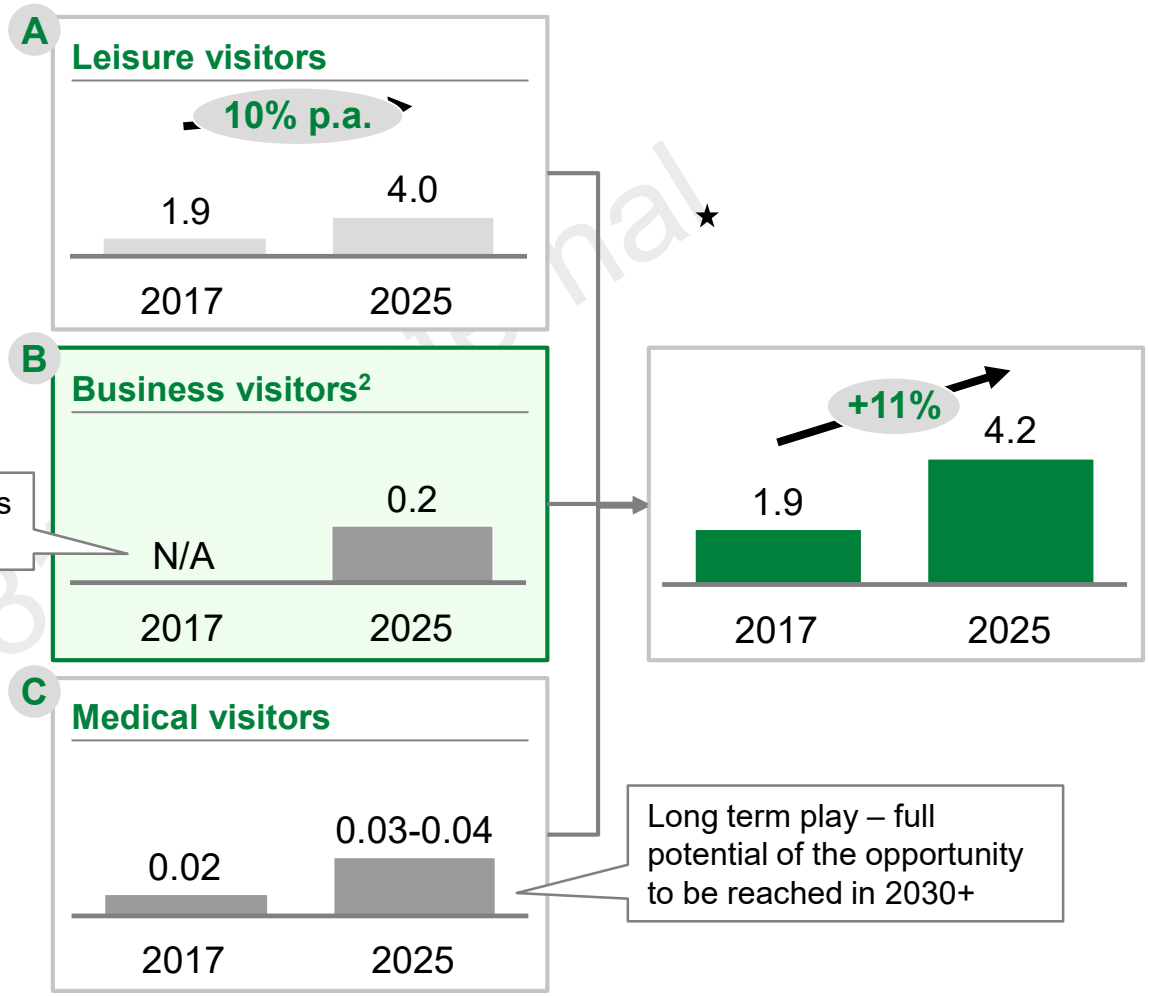
Assumptions and drivers

- Leisure tourism could grow by 10% p.a till 2025
- Leisure tourists includes **hotel and non-hotel** visitors
- Non-hotel visitors include VFR and visitors lodging in serviced apartments (e.g., AirBnb)

- Business tourists will mainly grow from the M&I segments

- Medical tourism will grow from attracting tourists in the region seeking specialized medical services

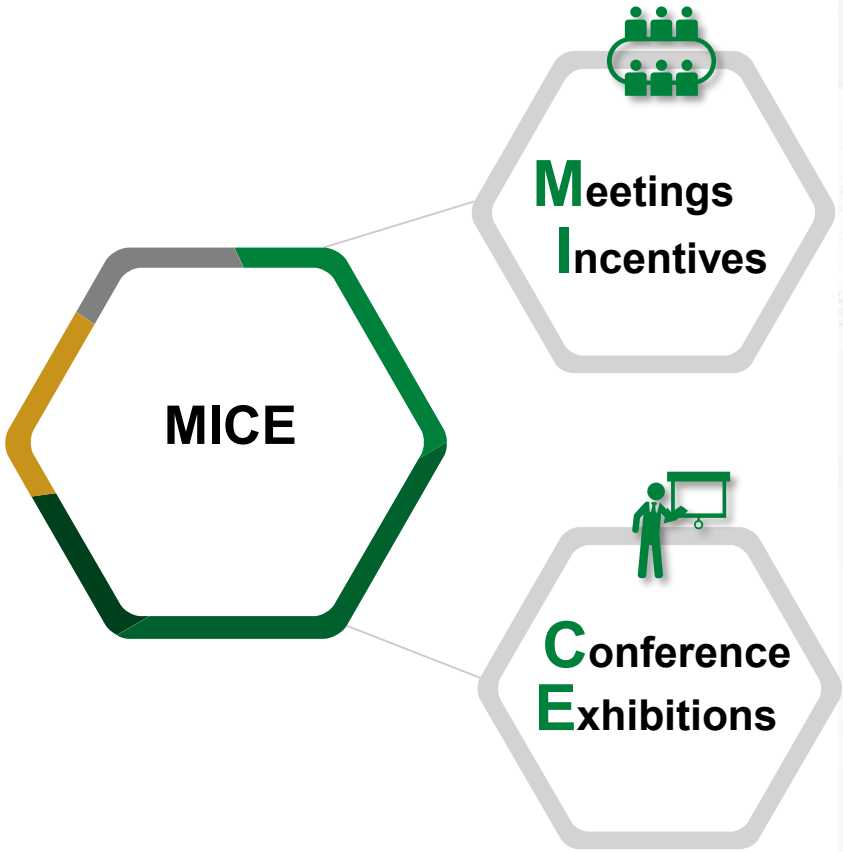
Target number of visitors, Mn



1 Non-hotel visitors includes service apartments, cruises, etc,. Assumed to equal 15% of leisure tourists
2 Includes IBT (independent business travellers) which are considered negligible in Lebanon and MICE tourists

Source: Ministry of Tourism, Syndicate of hospitals, Euromonitor

B Business tourism is defined as meetings, incentives, conference and exhibitions (MICE)



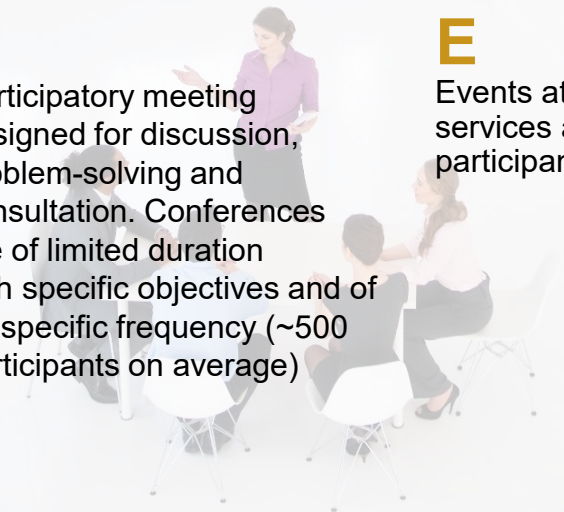
Definition

M
General term indicating the coming together of a number of people in one place, to confer or carry out a particular activity. Frequency: can be on an ad-hoc basis or according to a set pattern, e.g., annual general meetings, committee meetings, etc.

I
Meeting event as part of a program which is offered to its participants to reward a previous performance

C
Participatory meeting designed for discussion, problem-solving and consultation. Conferences are of limited duration with specific objectives and of no specific frequency (~500 participants on average)

E
Events at which products and services are displayed (~500 participants on average)



SOURCE: International Association of Professional Congress Organizers (IAPCO)

B Growth in business tourism would mainly be driven by the M&I segment

Relevant for Lebanon

	Meetings and incentives	Conference and exhibition
Strategic offering	⊕ ▪ Presence of a **synergetic leisure offering** that is able to attract business tourists and extend average lengths of stay	⊖ ▪ Lack of **large associations in Lebanon and lack of country branding in specific fields** which typically attract international conventions ⊕ ▪ Aspiration to become a **hub for dialogue and communication** (Ministry of Information)
Infrastructure	⊕ ▪ **High density** of 4/5 star hotels in Beirut with available meeting rooms	⊖ ▪ **Limited capacity** and lack of **proper convention and exhibition centres** in Lebanon (only Emile Lahoud center can cater for C&E segment)
Market size	⊕ ▪ Growing size of **regional source markets** in terms of meetings and incentives (companies are increasingly looking at nearer destinations to host meetings and incentives)	⊖ ▪ Presence of **massive over supply** in the region (GCC) with **very high quality**

Implication

Focus on M&I segment which can be complimented by Lebanon's leisure offering

De-prioritize C&E segments in the medium term due to major investments needed in:

- **Proper infrastructure** for convention and exhibition centres
- **Human capital** by setting up a dedicated entity that executes the national MICE strategy and a « bidding team »

Re-assess Lebanon's potential in C&E segment if Lebanon becomes a hub for dialogue and communication (based on the Ministry of Information's strategy) beyond 2025

SOURCE: Ministry of tourism interview

B Lebanon should capitalize on the regional and global trends shaping M&I

Detailed later

Key trends

1. Companies are increasingly looking at **nearer destinations** to host corporate meetings and incentives
2. Companies are becoming increasingly **rate conscious and value focused** in their expenditure on business travel
3. Companies are **outsourcing** the planning and organization of meetings and incentives to **third party organizers** who specialize in certain destinations
4. Companies are opting for **one-stop-shop destinations** that serve both **meeting and incentive needs**
5. **Executive learning** is **gaining traction** as a significant segment within Meetings and Incentives

Implication on Lebanon

Focus on **5 regional source markets** (Iraq, KSA, UAE, Qatar and Kuwait) given their proximity to Lebanon and Lebanon's cost competitiveness in these markets

Promote Lebanon as a **high value for money destination** to attract **budget conscious** organizers

Expand overall efforts to attract Meeting and Incentives **beyond corporates** to **include 3rd party organizers**

Provide a **combined corporate meeting and incentive offering** and promote Lebanon's complimentary **leisure offering**

Build an **executive learning offering** that **leverages universities in Beirut** (AUB, ESA)

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B Lebanon should focus on regional & global companies based in the GCC and Iraq to grow its share of business M&I tourists

Not target source country | Target source country | Low | In line with peers | High

Countries within vicinity of Lebanon[1]	Flight time, hour	Price competitiveness[2]	Rationale
Saudi Arabia	2.3	In line with peers	▪ Competitive flight airfare and hotel offering
Kuwait	2.3	In line with peers	
UAE	3.3	In line with peers	
Qatar	3.3	In line with peers	
Iraq	1.5	In line with peers	
Jordan	1.2	Low	▪ Strong competition from regional peers (Egypt, Turkey, Georgia) ▪ Low purchasing power due to devaluation of the currency
Egypt	1.3	Low	
Georgia	2.3	Low	▪ Strong competition from Eastern Europe
Greece	2.0	Low	
Turkey	2.0	Low	

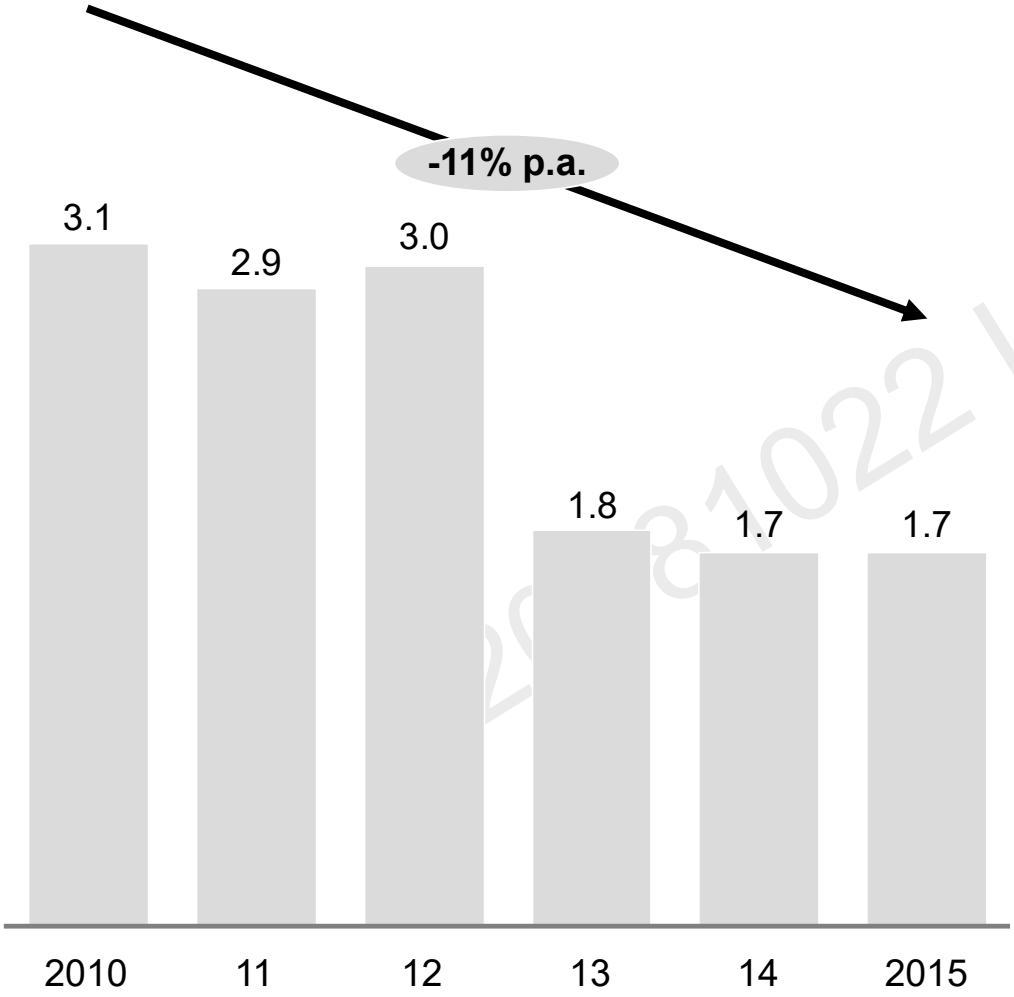
Note: Syria is excluded because of war

1 Countries considered are within 1-2 hours fight distance from Lebanon with the exception of UAE and Qatar who were added strategically as potential source countries (UAE has a strong diaspora Lebanese business community and Qatar has been isolated from many of its neighbouring peers due to political reasons); 2 Price competitiveness is based on airfares from source countries to destinations within 1-2 hours and average daily room rates per country; 3 Calculated based on outbound M&I (assumed 25% of total business tourists) market in each country and fair share of each country based on distance to Lebanon

Source: Euromonitor, Kayak.com, EY Middle East Hotel report

B1 Recently, companies have been seeking nearer destinations to host meetings and incentives

Average flight time from global corporate HQs to M&I event destinations, hours



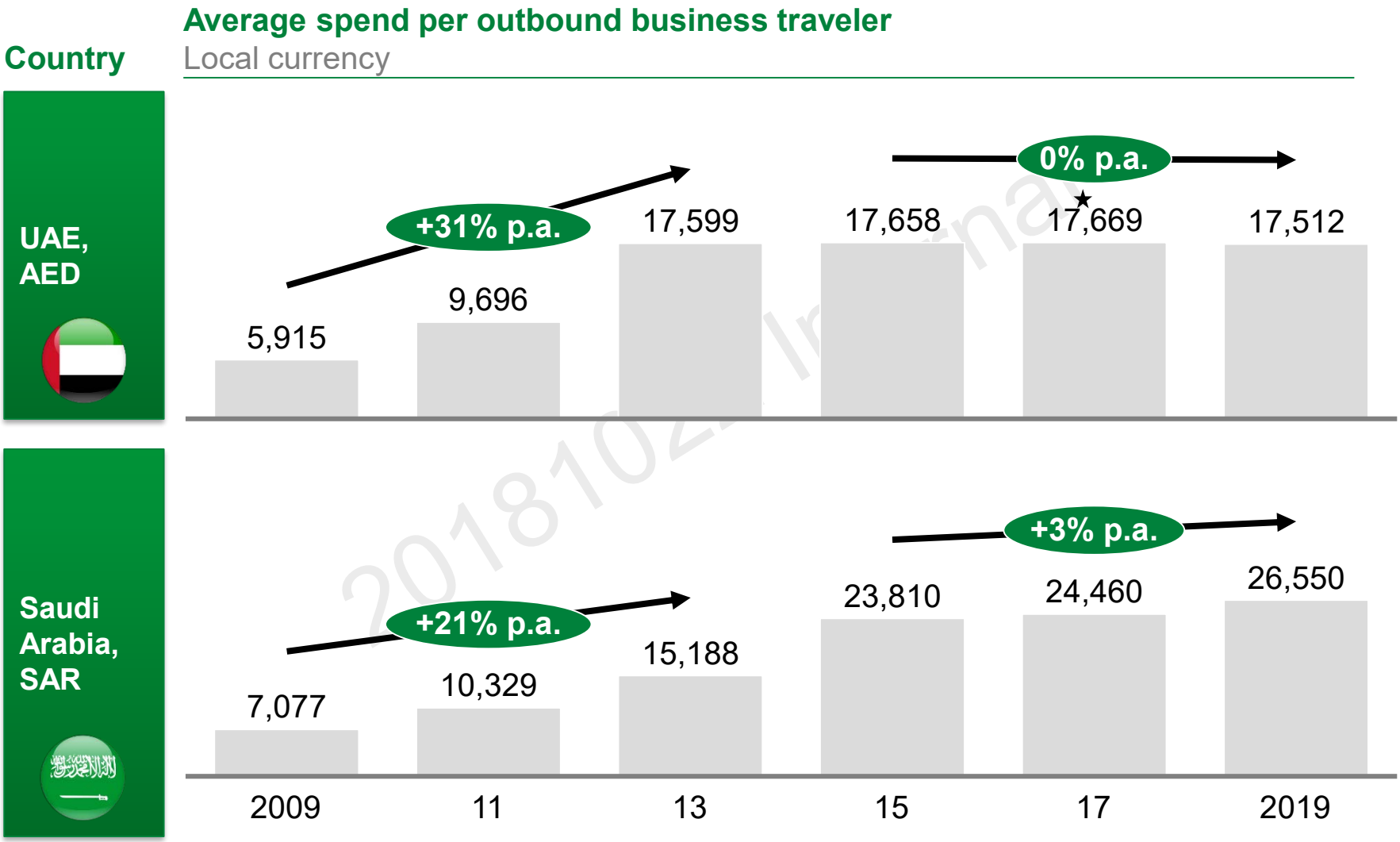
Considerations

- Companies are looking to reduce the cost of meeting and incentives:
- **Flight tickets** represent **the largest portion** of overall M&I costs (typically 30-50%)
- **Technological improvements** such as video conferencing are reducing the requirement for travel
- Domestic/regional destinations are better positioned to cater to the **unique requirements of neighboring markets** (e.g. cultural and linguistic similarities)
- Companies are becoming increasingly conscious around the **duration of** travel

2018 1022 Internal

SOURCE: BTS; Euromonitor; Press search; Team analysis

B2 Moreover, large corporations are becoming rate conscious in their expenditure on business travel



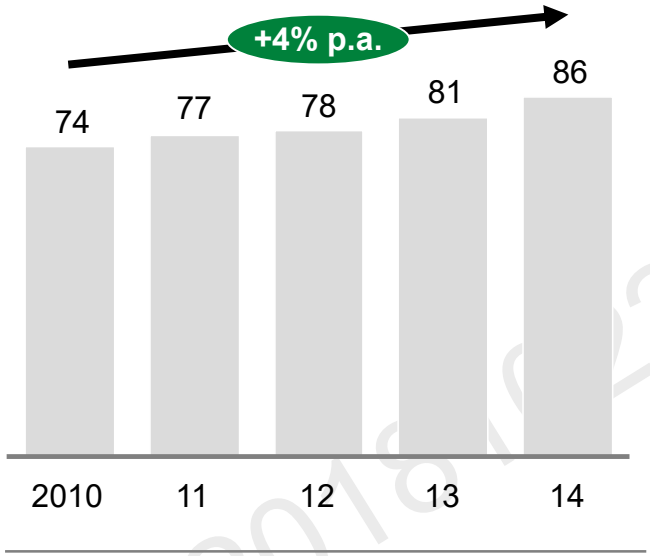
20181024 Internal

SOURCE: Euromonitor

B3 Lebanon should expand its overall efforts beyond corporates to include 3rd party organizers

Meetings and incentives are increasingly being outsourced to 3rd party organizers

Number of active 3rd party organizers in the GCC



Examples

mci

hala abu dhabi

BSL MIDDLE EAST

Lebanon should expand efforts to include 3rd party organizers

- Develop advertising and promotions **coherently with leisure segment** to promote Lebanon as a destination for business with a very attractive leisure offering
- Assign and train dedicated ministry employees to interact on a regular basis with 3rd party organizers and enable a **smooth and seamless service**

2018-02 Internal

SOURCE: Zawya; Hala Abu Dhabi; Team analysis

C Medical tourism could grow through specialization of medical services and convenient packages to patients

Focus of this section | X% CAGR, 2017-2025

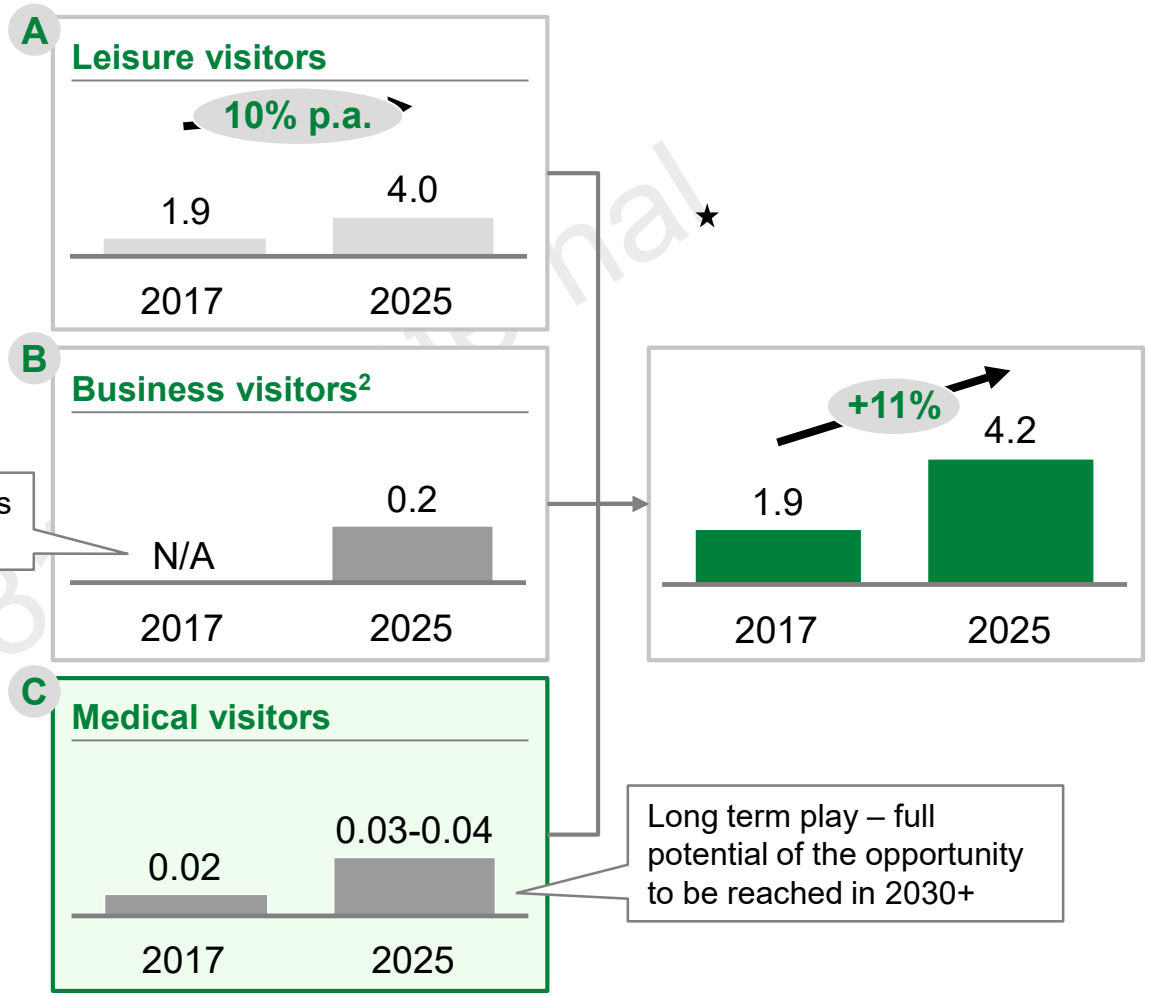
Assumptions and drivers

- Leisure tourism could grow by 10% p.a till 2025
- Leisure tourists includes **hotel and non-hotel** visitors
- Non-hotel visitors include VFR and visitors lodging in serviced apartments (e.g., AirBnb)

- Business tourists will mainly grow from the M&I segments

- Medical tourism will grow from attracting tourists in the region seeking specialized medical services

Target number of visitors, Mn



1 Non-hotel visitors includes service apartments, cruises, etc,. Assumed to equal 15% of leisure tourists
2 Includes IBT (independent business travellers) which are considered negligible in Lebanon and MICE tourists

Source: Ministry of Tourism, Syndicate of hospitals, Euromonitor

C Lebanon should position itself as a convenient, high quality, specialized medical tourism hub for the region

Potential play for Lebanon

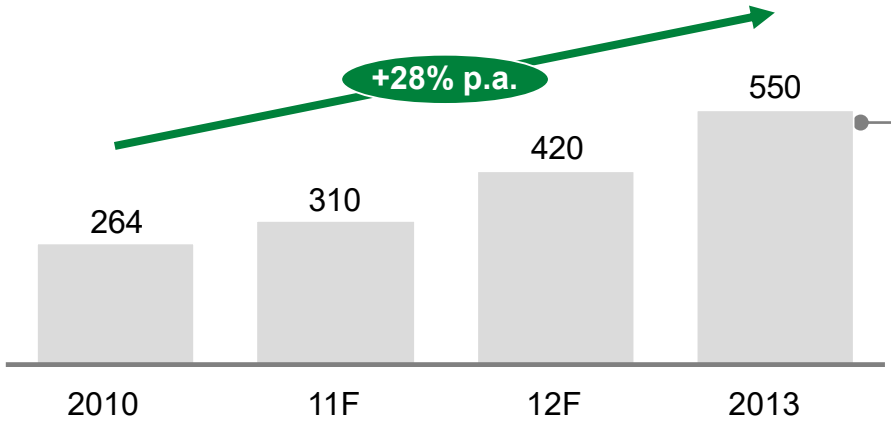
	Potential medical tourism plays	Key players
1 Globally renown high quality medical institute-ions	**World-class quality services & specialized treatments for high-end segments** ▪ Top-notch doctors and experts ★ ▪ Well-branded advanced research facilities / programs and top universities ▪ Excellent infrastructures and staff ▪ Targeting mostly sophisticated / wealthy patients from emerging countries	USA Singapore South Korea Germany
2 Convenient & relatively high quality destination	**Convenience for elective procedures across segments (depending on country)** ▪ Convenient and comparatively better offering than in home country ▪ Proximity or attractive regulations, e.g. procedures not allowed at home ▪ Privacy or opportunity to include holidays	Turkey Jordan Lebanon UAE
3 Low cost offerings	**Lower cost & good quality of services / infrastructures for mass/mid-range segments** ▪ Average primary (hospitals, etc.) and secondary (hotels, transportation) infrastructures, good doctors ▪ Clinically focused hospitals ▪ High patients volumes, low waiting time ▪ Catering patients from countries without insurance or with limited budget/time	India Malaysia Mexico Thailand

Internal

Source: Expert interviews

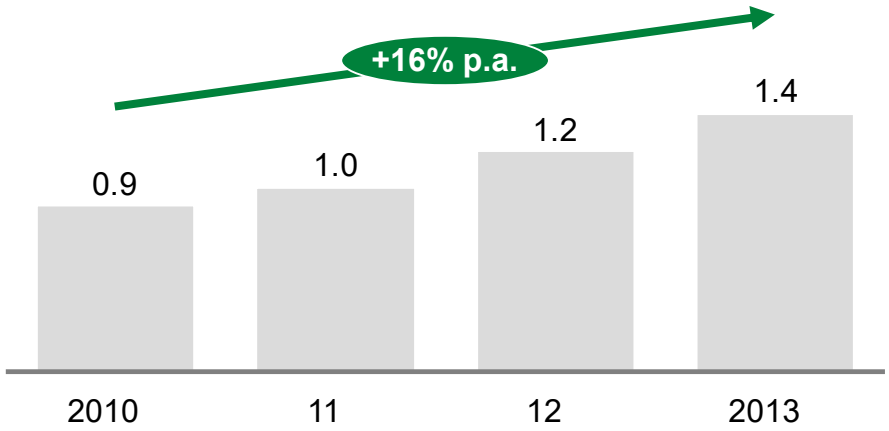
C Case Study: Turkey has targeted the medical tourism segment using a high-quality convenience play

Medical tourists
Thousands



Not comparable with total medical tourism market of ~5 Mn, as it includes wellness travelers

Medical tourism market
USD billion



Success factors

- Large tourism industry; **good local infrastructure and connectivity to international markets**
- Traditional focus on "**wellness**" **tourism** (large number of thermal springs and resorts)
- Highest number of **JCI-accredited hospitals** in the world
- **Cultural and geographical proximity to Middle East** source markets

Government initiatives

- Various **campaigns promoting** health tourism in Turkey; special **focus on Arab** world **markets**
- **Facilitation of** domestic and international **investments** in health and spa centers
- **2010-2023 government plan for medical and health tourism**

Source: Web and press search

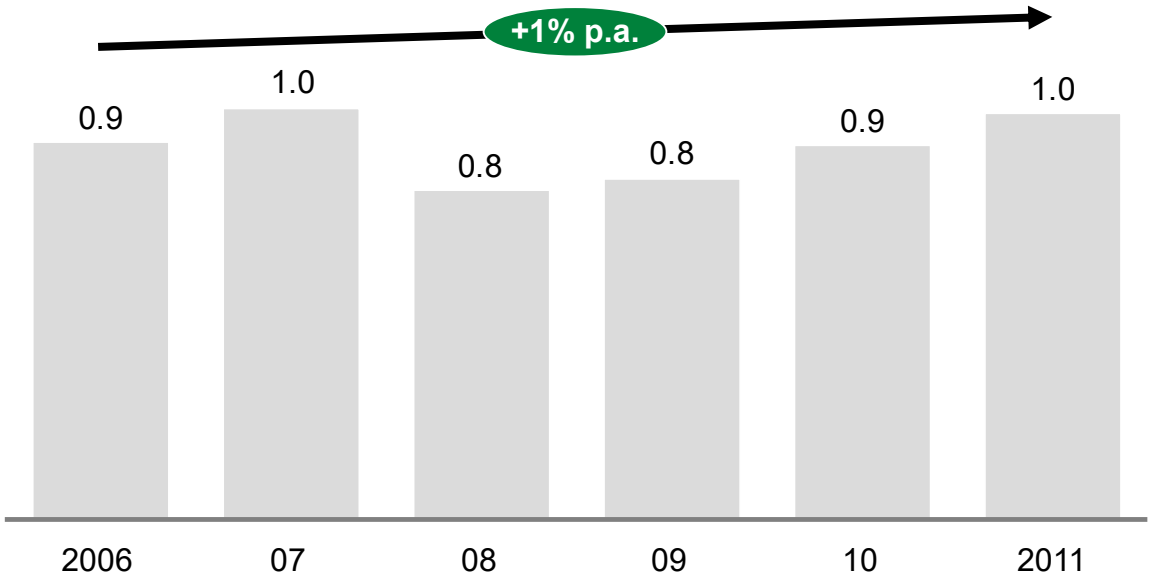
C Case Study: Jordan has targeted the relatively low-cost convenience medical tourism segment

Overview

- 250,000 medical tourists in 2015
- Ideal location placement in MENA
- Traditional focus on cardiology, orthopedics, cosmetic surgery, dentistry
- Low cost (66% compared to US) with high quality of infrastructures and doctors
- Tourist origin: Iraq (38%), Palestine (30%), Sudan (31%)

Medical tourism market

USD billion



Success factors

- Large tourism industry; good local infra-structure and connectivity to ME markets
- Medical Tourism Corporation (MTC) has arranged with its network hospitals in Jordan to have special guest suites designed to comfortably accommodate the patient and the accompanying guest
- MTC has made special arrangements with recovery resorts that have 24 x 7 nursing for any post-hospital discharge care

Government initiatives

- The Ministry of Health has set up a counter at the airport, which is meant specifically to guide medical tourists

Source: Middle East Medical Tourism Industry Report Profound 2011

C Special incentives need to be put in place in order to gear private sector investments towards specialization of medical services

CONTEXT

- Lebanon's healthcare system **lacks specialization** (i,.e. most hospitals offer several types of medical services and surgeries)
- Most Lebanese hospitals that are JCI accredited, **operate at full capacity**
- Lebanon's healthcare system is **highly fragmented** (~65% of hospitals have less than 100 beds) and hence **cannot benefit from an economy of scale while performing procedures**

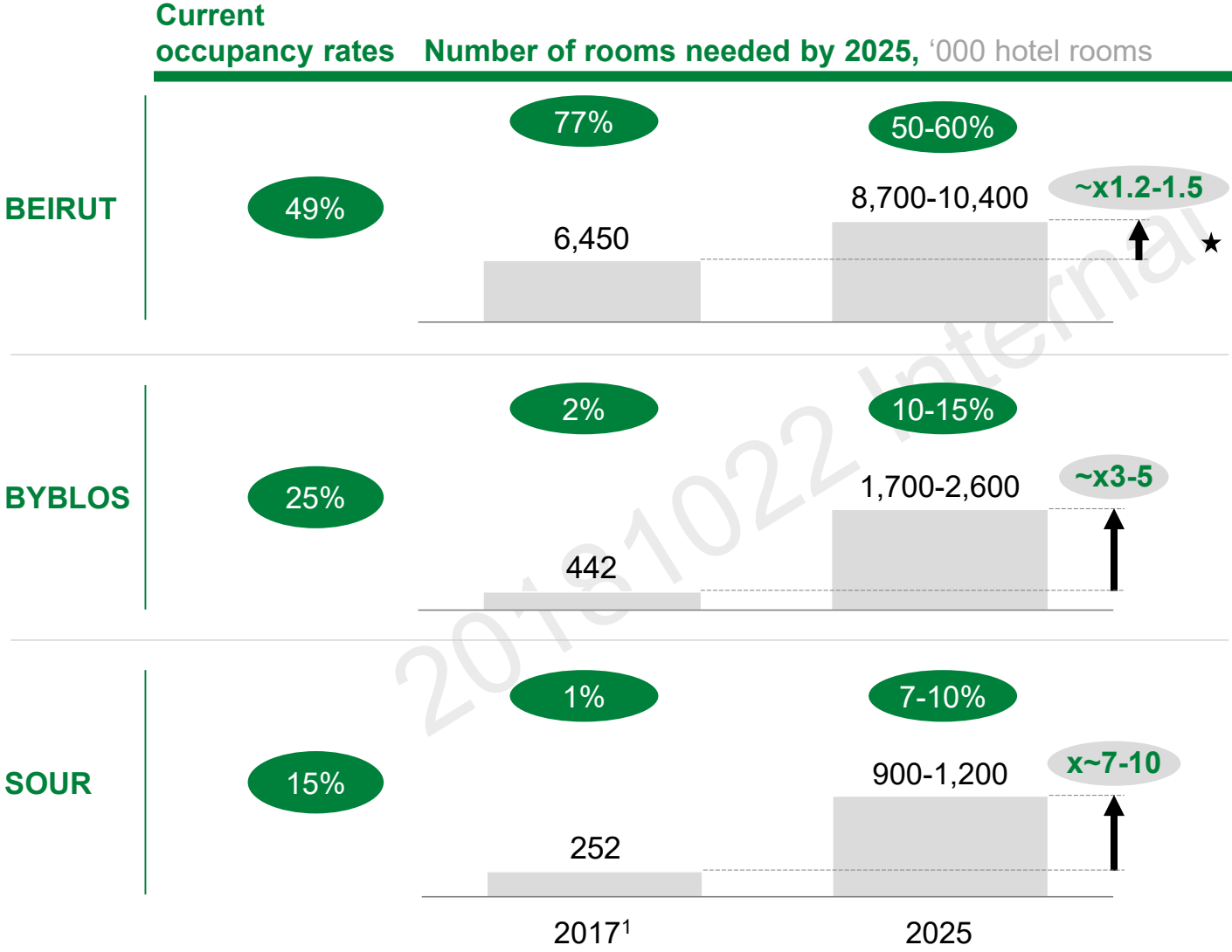
OPPORTUNITY

- Lebanon has the opportunity **to grow the number of its medical tourists by** position itself as a specialized hub for specific procedures
- **Special incentives** need to be put in place in order to gear **private sector investments** towards **specialization** of medical services
- **Private investment** in the sector is **needed** in order to:
  - Accommodate for the **additional tourists**
  - **Ensure high quality** of medical institutions with **specific specialization**
- Investment will be directed towards:
  - Greenfield investments to **build specialized institutions**
  - Brownfield investments to **consolidate existing healthcare facilities** and upgrade their offerings into **specific areas of specialization**

2018102...

Source: Syndicate of hospitals, Interviews

X1 Additional ~5 to 9.5K hotel rooms would be needed in Beirut, Byblos and Sour to accommodate for the increased number of tourists…



1 Estimated

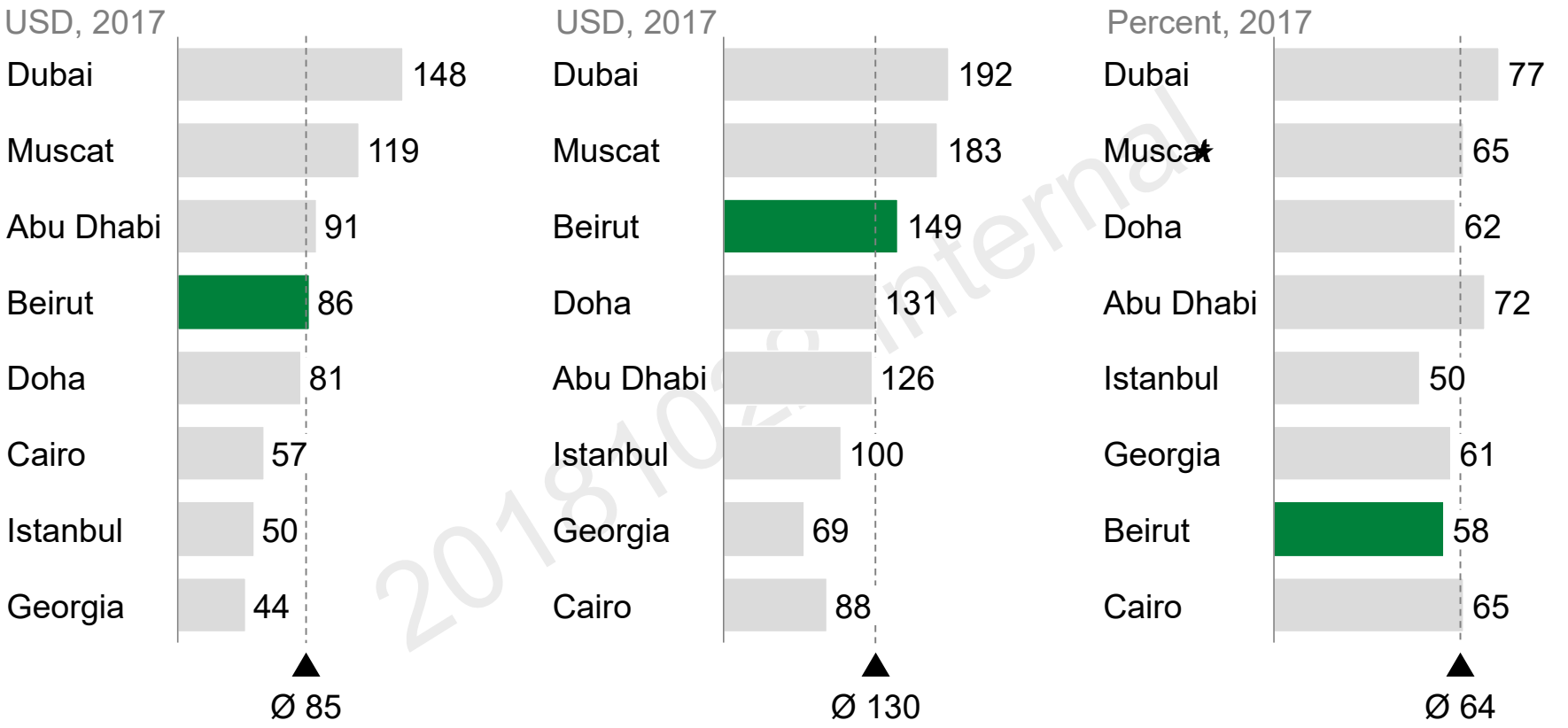
- Additional capacity is required starting **2022 for all three regions** (assuming 70% occupancy rates)
- Byblos and Sour should develop hotels in the upper mass/luxury segments (4-5 star hotels) starting 2018 (currently only one 5 star hotel in Byblos and zero in Sour)
- Renovation of existing hotels in Byblos and Sour is required staring 2018-2019 to accompany these location as tourist destinations

20181022 Internal

Source: Ministry of Tourism

X1 Efforts should be made to ensure higher occupancy rates, through targeted marketing & promotion efforts, to attract private sector investors

Revenue per av room = Average daily rate[1] × Hotel occupancy[1]



2018102 Internal

- **Marketing will be a critical short term lever to boost occupancy rates of existing hotels**
- **Aggressive incentives will be needed in the three destinations to attract further investments**

1 Input for Georgia and Egypt are for 2017

SOURCE: STR Global, Ministry of Tourism, EY Middle East Hotel Benchmark Survey

X1 Flight availability to source markets should cater for the target growth, and airfare prices should be evaluated vis-a-vis competing destinations

Available flights | Limited direct flights | No direct flights

Countries		Presence of direct flights	Frequency	Additional flighs per week needed	Flight prices compared to competing destinations[1]
Short flights	Saudi Arabia	●	▪ Jedda, Riyadh and Dammam (5 per day)	11	-8%
	Jordan	●	▪ Amman (4+ per day)	N/A	-37%
	Kuwait	●	▪ Kuwait (4+ per day)	8-13 ★	+10%
	Iraq	●	▪ Baghdad (2+ per day)	N/A	-26%
	Egypt	●	▪ Cairo (4+ per day)	4	-27%
	UAE	●	▪ Dubai (7+ per day) ▪ Abu Dhabi (2 per day)	N/A	-12%
Short-Medium haul flights	France	●	▪ Paris (3+ per day)	40	-20%
	Germany	●	▪ Frankfurt (2+ per day) ▪ Berlin (3 per week)	24	+32%
	United kingdom	●	▪ London(2+ per day)	17	-2%
	Italy	●	▪ Rome(1+ per day) ▪ Milano (4 per week)	8	+24%
	Turkey	●	▪ Istanbul (6+ per day)	7	-6%
	Sweden	●	▪ Stockholm (2 per week)	9	N/A
Long Haul flights	United States	●	▪ N/A	N/A	N/A
	Canada	●	▪ N/A	N/A	N/A
	Australia	●	▪ N/A	N/A	N/A

LCC bench-marks were excluded

2018 H22 Internal

1 Competing destinations are assumed to be destinations within similar flight distance to source market as Lebanon (4-7 competing destinations were used per source market)

Source: Kayak.com

X1 Lebanon should increase the frequency of flights to top source countries, provide more competitive airfares and expand airport capacity

Initiatives

A AIRPORT INFRA-STRUCTURE

Stage the airport expansion project in CIP across two phases (2022 and 2030) to accommodate for the additional anticipated traffic (1Mn additional foreigner by 2022)

B FLIGHT PRICES

Decrease flight prices to Lebanon by ~20% for European markets to ensure competitive airfare price

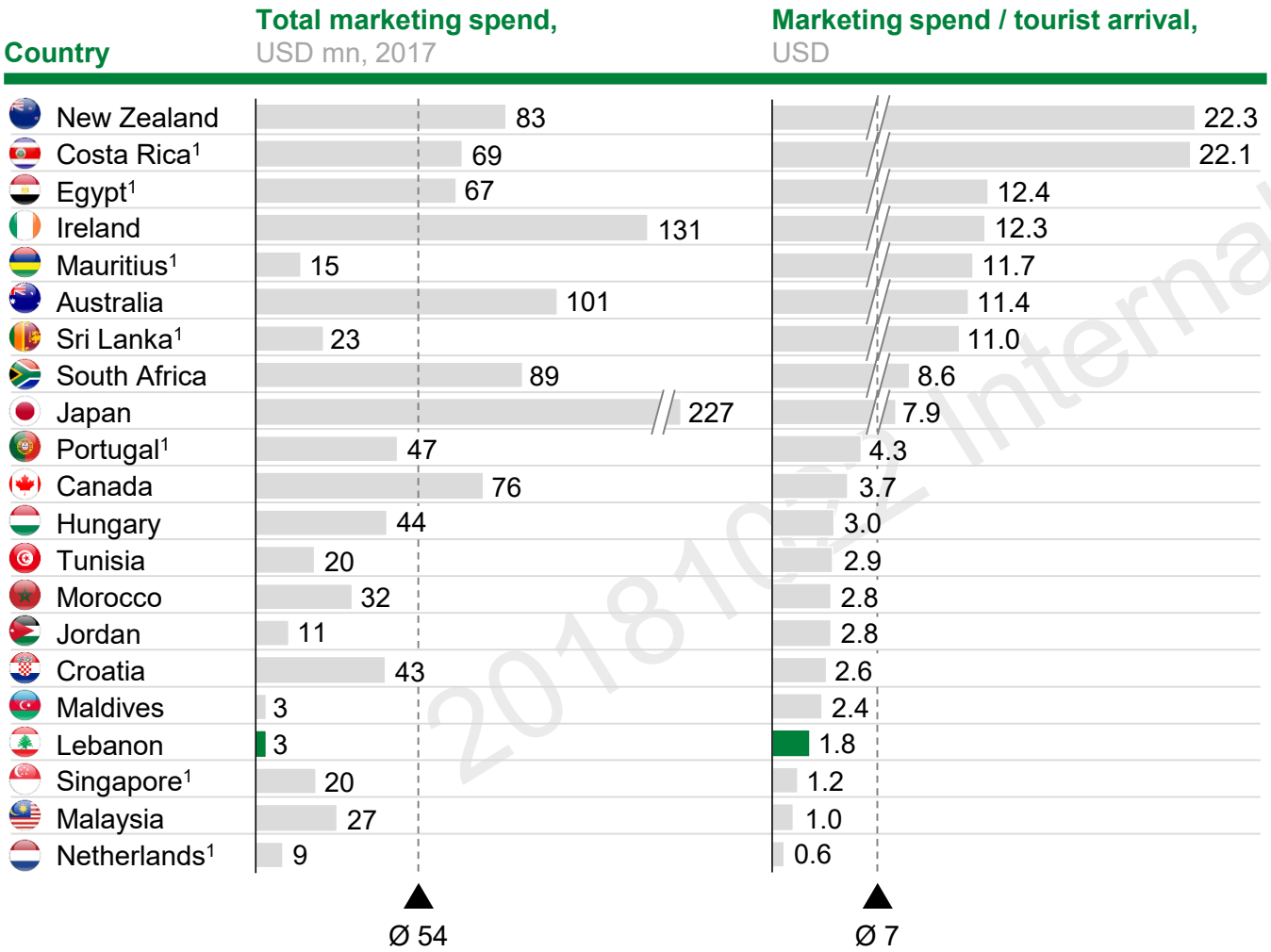
C FLIGHT CONNEC-TIVITY

Increase frequency of flights to accommodate for anticipated increase in tourists from source markets

Options

- Incentivize low cost airlines to increase frequency of flight/open new routes from Europe to Lebanon for specific months of the year (e.g. discounts of parking & landing fees, subsidizing flights)
- Reduce exit tax on flight prices to be in line with benchmarks
- Cross subsidize new routes through profitable MEA flights
- Incentivize MEA to rent and operate charter flights during peak season to source countries

X2 The tourism marketing budget should be increased by 5-10x between 2019-2025 to position Lebanon as a tourism destination



Lebanon's marketing budget

Total budget of MoT allocated to events and promotions is ~6.6 Mn USD

-50% is used for subsidizing festivals

-50% is used for marketing

Lebanon spends 1.8 USD/tourist arrival (~4 times lower than benchmarks)

5-9x increase in marketing budget is needed between 2019-2025

Tourism departments typically spend USD 7 per tourist. Less mature tourism sectors have higher budgets per tourist

1 Year 2016

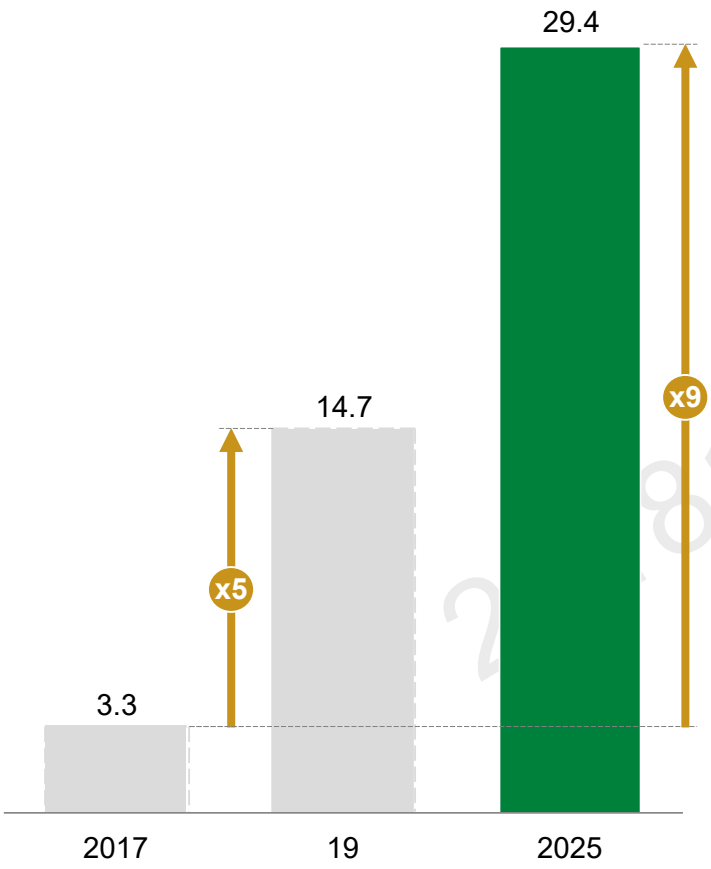
SOURCE: National Tourism Authorities Annual Reports, Press search

20181012 Internal

X2 Lebanon's marketing efforts should be targeted to selected source countries & focused on building unique brand images for each anchor city

Sample in initiative

Total marketing spend,
USD Mn



Guiding principles

Develop overall brand for Lebanon tourism and create a unique brand image for each anchor destination especially given the perceived instability of the country

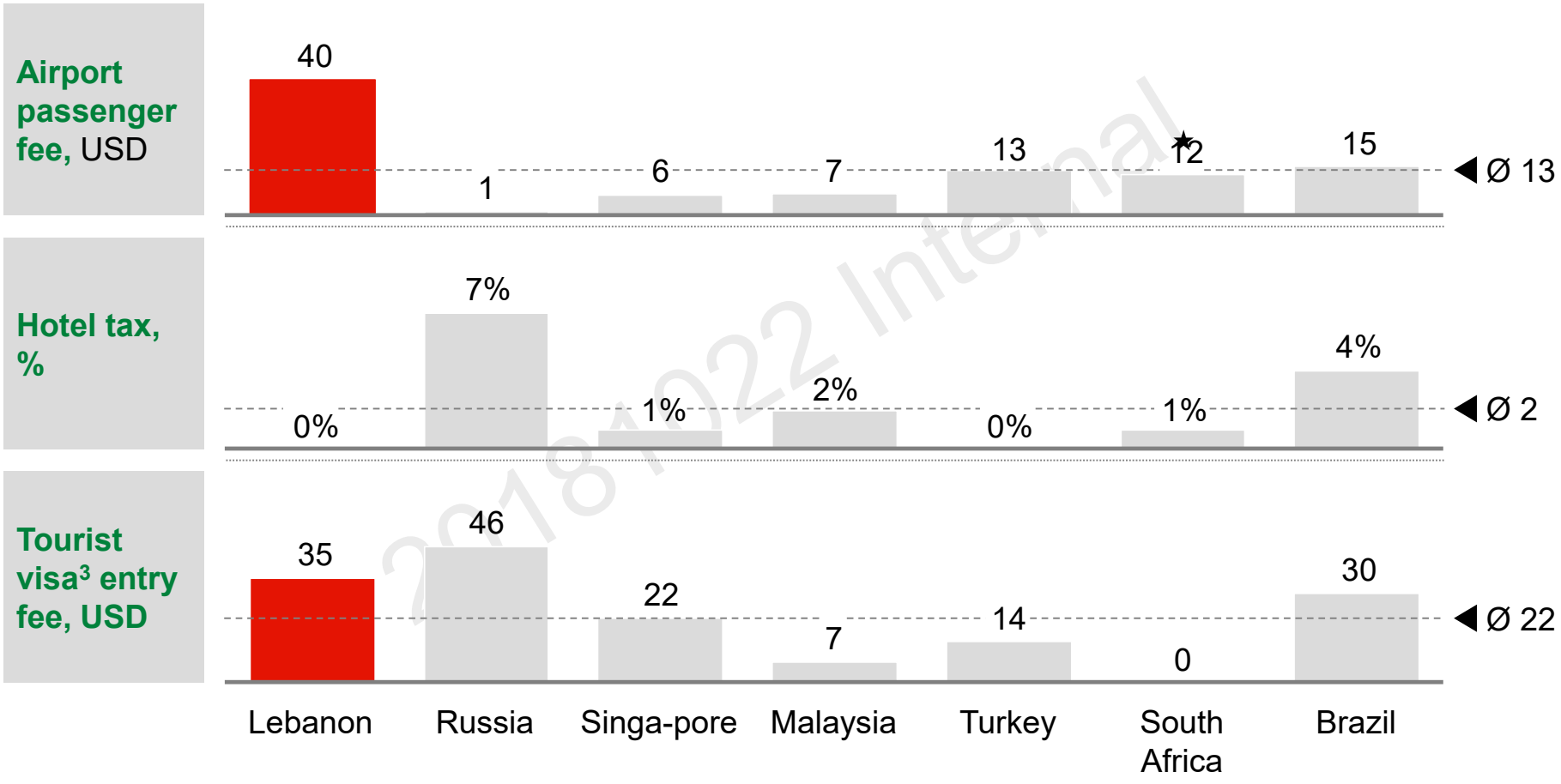
Focus marketing budget on **15 top source markets** and develop a go-to marketing strategies for each source market tailored to their behavioral trends and preferred mode of booking

Facilitate **direct access** of MoT to **marketing budget** (not through MoF) based on the yearly marketing plan; only exercise audit at the end of the year

Develop digital presence for the tourism ecosystem (MoT, private players, federations) through interactive apps, centralized portal, presence on international sites…

X2 One option to raise part of the marketing budget, would be through increasing hotel tax to be in line with peers

Lebanon is under taxed on hotel taxes compared to benchmarks



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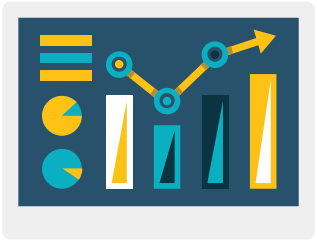
Selection of peer countries is based on level of taxation (moderately taxed countries)

X3 Four key responsibilities should be held across the tourism sector stakeholders

Data

- Data and research arm of the Ministry to expand knowledge base through airport departure surveys, brand trackers, etc. (e.g., diaspora vs international, business vs leisure, experience feedback from visitors, direct data integration with hotels)

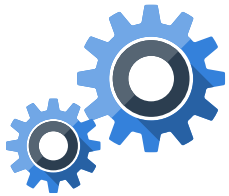


Marketing

- Marketing arm of the Ministry to aggressively market anchor destinations and develop their brand image, focus budget on target source markets, and leverage subsidies to festivals to enhance offerings

Development

- Development arm of the ministry to drive and gear investments in the sector towards anchor destination



Coordination

- Tourism board to drive the coordination between different stakeholders across the tourism ecosystem and implement the strategy
- Committees to drive the coordination of efforts in the anchor destination across private and public sector

20181022 Internal

X3 Three important committees need to be established in Beirut, Byblos and Sour to ensure efficient implementation of the strategy in the anchor cities

	Participants	Key agenda topics	Frequency of meeting
Beirut activation committee	▪ Tourism Board ▪ Beirut Municipality ▪ Government development authorities ▪ Third party developers ▪ Environmental agencies ▪ Hotel operators	▪ Align on **master plan** for Beirut and **upcoming development plans** for the city (pavement of roads for cycling, cleaning of the public beachfront and development of complimentary offering) ▪ **Create alignment and coordination between multiple stakeholders** to ensure developments are effectively contributing to master plans ▪ Provide updates on **the progress of developments and plans** (e.g. completion timelines etc.) ▪ Develop initiatives to **increase private sector investments** in the tourism sector	▪ **Bi-Monthly**
Byblos/Sour promotion committee	▪ Tourism Board ▪ Byblos Municipality ▪ Media partners ▪ Marketing representatives across private event organizers ▪ Government development authorities ▪ Third party developers ▪ Environmental agencies ▪ Key Tour operators	▪ Align on **master plan** for Byblos and **upcoming development plans** for the city ▪ Develop strategy to **incentivize private sector investment** in the **hospitality sector** (greenfield investment and refurbishment of existing hotels) ▪ **Develop a marketing strategy and coordinate marketing efforts** to ensure delivery of a consistent message ▪ **Ensure regular sharing of intelligence** (e.g. customer insights, potential new clients, client feedback)	▪ **Bi-Monthly**

20181022 Internal

X4 Reporting and analyzing data to drive informed decision making in the tourism sector requires a 3-step approach

1 Identify important insights to drive decision making in the tourism sector

- Prioritize insights to drive decision making
- Identify corresponding questions to answer
- Develop actions to respond to results

2 Develop data collection mechanism

- Identify data needed
- Define frequency and format of data collection
- Design stakeholder coordination model for data sharing

3 Analyze and report results in appropriate format

- Analyze results and report them through:
  - Publishing reports
  - Conducting regular townhall meetings
  - Sharing data

2018/1022

Detailed in the flagship project

Tourism – priority initiatives (1/3)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
A Build core tourism offering in anchor destinations and set-up eco-tourism hubs	TOU.A.1	Develop tourist friendly anchor destinations	▪ MoPWT ▪ Municipalities	
	TOU.A.2	Enhance access to/from anchor destinations to enable "hub and spoke" model	▪ MoT	
	TOU.A.3	Create an entertainment and gaming hub in Jounieh / Byblos ★	▪ MoT	
	TOU.A.4	Create a vibrant calendar of event that matches top countries' preferences	▪ MoT	
	TOU.A.5	Clean Lebanon's beaches and beachfront	▪ MoT	
	TOU.A.6	Enhance the public beach offering in Byblos and Sour	▪ MoT	
	TOU.A.7	Develop and protect eco-tourism hubs	▪ MoT	
B Grow the M&I segment	TOU.B.1	Develop offering in the M&I segment	▪ MoT	
	TOU.B.2	Facilitate the issuance of bulk visas for corporates	▪ MoT	
C Position Lebanon as a "convenient" destination for medical tourism	TOU.C.1	Incentivize the specialization of hospitals	▪ MoPH	

2018 1022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Tourism – priority initiatives (2/3)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
C	**Position Lebanon as a "convenient" destination for medical tourism**	TOU.C.2 Facilitate issuance of medical visas	▪ MoPH	
		TOU.C.3 Develop package offerings	▪ MoPH	
X.1	**Infrastructure and connectivity**	TOU.X.1.1 Increase accessibility to source markets (price and number of routes) ★	▪ MoT	ABC
		TOU.X.1.2 Improve tourist experience in airport upon arrival and departure	▪ MoPWT	ABC
		TOU.X.1.3 Attract one anchor tenant in ultra-luxury eco-tourism	▪ IDAL	ABC
		TOU.X.1.4 Encourage the development of authentic eco-tourism offering	▪ BDL	ABC
X.2	**Marketing and communication**	TOU.X.2.1 Increase marketing budget and ensuring direct access to budget	▪ MoT	ABC
		TOU.X.2.2 Launch an aggressive and targeted marketing campaign in source countries	▪ MoT	ABC
		TOU.X.2.3 Develop online presence for leisure and MICE tourism	▪ MoT	ABC

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Tourism – priority initiatives (3/3)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
X.3 Organization and regulation	TOU.X.3.1	Set up dedicated bodies to implement the marketing strategy and the initiatives in anchor destinations	▪ MoT	ABC
	TOU.X.3.2	Set up investment zones in anchor destinations	▪ IDAL	ABC
X.4 Data and analytics	TOU.X.4.1	Enhance research and data analysis to drive decision making ★	▪ MoT	ABC

20181022 Internal

We considered 22 priority initiatives that underpin the vision of the tourism (1/8)

NON-EXHAUSTIVE

A

Build core tourism offering in anchor destinations and set-up eco-tourism hubs

	Objective	Initiative	Owner[1]
Tou.A.1	Develop tourist friendly anchor destinations	Building tourism hubs around anchor cities (e.g. Beirut, Byblos, Tyre) will require infrastructure enhancement in those cities. A detailed study should be conducted to understand gap areas and potential projects in each of those cities, including: ▪ Building tourist friendly paths passing though the anchor destination's main attractions (paved roads for walking/cycling, signages) (e.g. Freedom road in Boston) ★ ▪ Building tourist information points and products in each anchor destination (e.g .map of the city with on recommended itinerary/attractions)	▪ Ministry of Public Works & Transportation ▪ Municipalities
Tou.A.2	Enhance access to/from anchor destinations to enable "hub and spoke" model	Tourism anchor cities should be complement with easy access to 'day-trip' destinations. Transportation options should be developed, through: ▪ Creating transparency and visibility of existing transport options (e.g. through app for real-time bus location and stops, equipping buses with multilingual signages) ▪ Developing a comprehensive country-wide public transport strategy, overhauling and regulating existing services to accommodate for Lebanese and foreign passengers	▪ Ministry of Tourism
Tou.A.3	Create an entertainment and gaming hub in Jounieh / Byblos	Lebanon is one of the few countries in the Middle East and Arab world to host gaming services. The current concession agreement through Casino Du Liban contains several improvement areas that could unlock the tourism potential of the gaming industry, allowing for: ▪ Renovating and expanding Casino du Liban, with enhanced offering (e.g. hotel, restaurants, night clubs) accommodating for high-end entertainment ▪ After thorough analysis, assessing the potential to expand the current license beyond the existing facility (e.g. within selected hotels in Lebanon) or extending licenses to new players ▪ Expansion could happen around a gaming and entertainment strip (e.g. building a model similar to Las Vegas) with tailored tourism offerings (e.g. F&B, night clubs, hotels), leveraging the accessibility created through the Jounieh Port	▪ Ministry of Tourism

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2018-022 Internal

We considered 22 priority initiatives that underpin the vision of the tourism (2/8)

NON-EXHAUSTIVE

A

Build core tourism offering in anchor destinations and set-up eco-tourism hubs

	Objective	Initiative	Owner[1]
Tou.A.4	Create a vibrant calendar of event that matches top countries' preferences	Despite having tourism offerings across all seasons, the number of tourists between November - April is almost half of the number of tourists between May and October. The country's calendar of events should be revisited, to augment the activity during the low season, through: ▪ Developing and promoting events around the low season (e.g. Skiing events, shopping festivals, Christmas markets, indoor sports events) ▪ Develop a set of clear eligibility criteria for support of tourism events (e.g. target number of audience, P&L of the event, target source market tourists)	▪ Ministry of Tourism
Tou.A.5	Clean Lebanon's beaches and beachfront	Promoting tourism would require positive messaging and branding for the country, coupled with initiatives tackling existing pain points. Particularly, sun & beach tourism would require accessible and clean beaches, through: ▪ Promoting and investing in technologies to clean Lebanon's beaches and restore acceptable compositions as per international guidelines ▪ Developing a national campaign, in collaborations with NGOs, schools and municipalities to clean public beachfront in Byblos ▪ Assessing the current areas for public beaches, and developing a governance structure to continuously monitor cleanliness and safety within those beaches ▪ For non-public beaches, develop strict criteria for beach access, including penalties for unlawful restriction of beach access	▪ Ministry of Tourism
Tou.A.6	Enhance the public beach offering in Byblos and Sour	Almost 30% of tourist travellers site 'sun and beach' as a main reason for selecting their tourism destinations. Lebanon should leverage its beach access and develop tourist-friendly destinations, including: ▪ Developing a public beach promenade in Byblos and Sour, potentially through private sector participation, providing a wide array of tourism offerings (e.g. F&B, shopping, nightlife) ▪ Setting up rules and regulations for behavioural conduct in public beach promenade (e.g. littering, loitering) and enforce them by placing police patrols on the sites	▪ Ministry of Tourism

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2018 Draft for Internal

We considered 22 priority initiatives that underpin the vision of the tourism (3/8)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
A **Build core tourism offering in anchor …** *(Cont'd)*	Tou.A.7	Develop and protect eco-tourism hubs	Apart from anchor city destinations, Lebanon should leverage is natural endowments to provide niche offerings through: ▪ Classifying specific rural areas as eco-tourism hubs and enforcing strict environmental regulations for entire area with implications on master planning ▪ Expanding the number and variety of natural reserves / parks, and provide access to information on these parks (e.g. through social media)★ ▪ Creating a label for "eco-tourism" and defining clear guideline for resorts to be classified as eco-tourism destination	▪ Ministry of Tourism
B **Grow the M&I segment**	Tou.B.1	Develop offering in the M&I segment	While several Convention and Exhibition offerings exist in the Middle East, an opportunity exist in the Meetings and Incentives field capitalizing on Lebanon's location and recreational offerings. M&I clients should be actively solicited, while adequate infrastructure should be provided through: ▪ Building an executive learning offering (e.g. e-MBA) that leverages universities in Beirut (e.g. AUB, ESA) ▪ Cooperating with Federation of Tourism to develop a catalogue showcasing Lebanon's value proposition for M&I segments (list of hotels with conference rooms, sample itinerary etc) ▪ Shortlisting target companies in the MENA region and approaching them with M&I options and offerings	▪ Ministry of Tourism
	Tou.B.2	Facilitate the issuance of bulk visas for corporates	Growing the M&I sector should be accompanied by a smooth interface with public sector authorities. Facilitating the growth in inbound M&I should happen through: ▪ Developing fast track and bulk visa applications for M&I attendees, potential facilitated through private sector vendors ▪ Automating the visa application and landing card procedures, simplifying the transfer of information from tourists	▪ Ministry of Tourism

2018 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 22 priority initiatives that underpin the vision of the tourism (4/8)

NON-EXHAUSTIVE

C

Position Lebanon as a "convenient" destination for medical tourism

	Objective	Initiative	Owner[1]
Tou.C.1	Incentivize the specialization of hospitals	While no exhaustive statistics exist on the level of specialization of Lebanese hospitals, empirical evidence suggests that hospitals have not been incentivized to specialize. Attracting medical tourists will require developing a clear value proposition, between specialization, convenience and proximity, through: ▪ Assessing the main purpose of travel of outbound medical tourists from Arab and GCC countries ▪ Shortlist specialization that exist and have the potential to grow in Lebanon ★ ▪ Incentivize the specialization of hospitals in the shortlisted procedures through revisiting existing laws and tax structures	▪ Ministry of Public Health
Tou.C.2	Facilitate issuance of medical visas	Growing the medical tourism sector should be accompanied by a smooth interface with the public sector authorities. Facilitating the growth in inbound medical tourism should happen through: ▪ Streamlining the visa, insurance and booking application for medical visas with proof of bookings in line with Schengen medical treatment visa, Indian medical visas etc.	▪ Ministry of Public Health
Tou.C.3	Develop package offerings	Growing the medical tourism sector should take into consideration the decision making process of medical tourists, including insurance approvals, through: ▪ Developing tailored packages for international insurances to incentivize them to channel their patients to Lebanon ▪ Creating medical packages that include examinations, multiple sessions and post-procedure treatments ▪ Creating comprehensive packages that combine medical offerings, with flights, visa, transport and hotels	▪ Ministry of Public Health

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 22 priority initiatives that underpin the vision of the tourism (5/8)

NON-EXHAUSTIVE

X.1 Infrastructure and connectivity

	Objective	Initiative	Owner[1]	Plays
Tou.X.1.1	Increase accessibility to source markets (price and number of routes)	Current flight availability to source markets does not cater for the expected growth in demand, and airfare prices are in general more expensive than competing destinations. Flight connectivity and prices should be tackled through: ▪ Incentivizing low cost airlines to increase frequency of flights/open new routes from core markets (e.g. through discounts of parking & landing fees) ▪ Assessing the feasibility for MEA to rent & operate charter flights during peak season to source countries ★ ▪ Negotiating with MEA the option to cross subsidize new routes through profitable MEA flights ▪ Potentially reducing exit tax on flight prices to be in line with benchmarks	▪ Ministry of Tourism	ABC
Tou.X.1.2	Improve tourist experience in airport upon arrival and departure	The airport infrastructure and experience is low compared to benchmarks. Improving the airport experience could be done through: ▪ Improving accessibility from airport to local destinations through organizing taxi and shuttle services at the airport, regulating prices and tailoring the offering to different segments ▪ Conducting regular training and assessment airport staff to ensure highest professionalism standards ▪ Streamlining the queuing process at the airport and introducing layout changes (e.g. S-shaped queuing lines), reducing queuing time at different steps in the airport (visa/immigration/security check) ▪ Enhance service and product offering ▪ Introduce wayfinding signs and boards to improve navigation at the airport	▪ Ministry of Public Works & Transporation	ABC
Tou.X.1.3	Attract one anchor tenant in ultra-luxury eco-tourism	The ultra-luxury eco-tourism sector should start with a pilot, allowing for proof of concept before scaling up the sector. The pilot would provide the following: ▪ Shortlisting areas in Lebanon with potential for an ultra-luxury eco-tourism attraction. Criteria for selection include a) proximity to airport, b) level of isolation, c) availability of land and others ▪ Designing special incentives (e.g. tax break, land grants) in line with global case studies ▪ Shortlisting and actively soliciting potential investors (e.g., Six Senses, Banyan Tree)	▪ IDAL	ABC

2018 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 22 priority initiatives that underpin the vision of the tourism (6/8)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.1 Infrastructure and connectivity	Tou.X.1.4	Encourage the development of authentic eco-tourism offering	Beyond luxury eco-tourism, authentic rural and eco-tourism offerings should continue to be supported through: ▪ Facilitating access to capital for existing authentic B&B offerings in rural regions offering the "Lebanese" experiences (e.g. culinary, traditional industries) ▪ Building on existing efforts to promote authentic B&B offerings through consolidation of efforts and organized support ★	▪ Banque du Liban	A
X.2 Marketing and communi-cation	Tou.X.2.1	Increase marketing budget and ensuring direct access to budget	On average, peer countries spend around 7 USD in marketing per tourist, whereas Lebanon currently spends less than 2 USD per tourist. As such, Lebanon's tourism offerings should be further marketed through: ▪ Increasing tourism marketing budget to 14 Mn in 2019 in line with global benchmarks, and growing it year-on-year with the growth in tourists ▪ Financing the marketing budget through potentially increasing bed tax (e.g. from 2-7%) and providing new value-added services to tourists (e.g., Meet & Greet, airport taxi fee)	▪ Ministry of Tourism	ABC
	Tou.X.2.2	Launch an aggressive and targeted marketing campaign in source countries	Lebanon's branding and image within target source markets has not been actively monitored and developed. Therefore, it would be essential to: ▪ Develop Lebanon's tourism brand, in line with the country brand, and translate it into clear messages and compelling visualization (e.g., color schemes, logo, visuals, etc) – Promote Lebanon as a high value for money Meetings & Incentives destination within regional multinational and large local corporations while also capitalizing on Lebanon's complimentary leisure offering – Participate in regional exhibitions and roadshows to promote Lebanon as a Medical Tourism destination, highlighting Lebanon's value proposition in specialty medicine (e.g. cardiology, oncology, plastic surgery) ▪ Develop a tailored marketing approach for each of the 15 source markets, in collaboration with the local consulate / embassy ▪ Sign contracts with identified tour operators in source countries with high share of B2B booking to prepare for 2019 season	▪ Ministry of Tourism	ABC

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2018 1022 Final

We considered 22 priority initiatives that underpin the vision of the tourism (7/8)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.2 Marketing and communication *(Cont'd)*	Tou.X.2.3	Develop online presence for leisure and MICE tourism	Currently, the Visit Lebanon initiative provides a stepping stone for growing digital presence of the tourism sector. These effort should be built on through: ▪ Leveraging technology including interactive apps, centralized portal, presence on international sites ▪ A tailored interactive digital portal should be developed for medical tourism, providing the following: ▪ Directories detailing available healthcare professionals, facilities, services etc. ★ ▪ Allowing to book and purchase medical and comprehensive packages online	▪ Ministry of Tourism	ABC
X.3 Organization and regulation	Tou.X.3.1	Set up dedicated bodies to implement the marketing strategy and the initiatives in anchor destinations	Implementing initiatives within the tourism sector requires collaboration of 20+ different entities. As such setting up a governance structure, in line with the Vision institutionalization mechanism, would be key, through: ▪ Setting-up a tourism board / task force to become the formal coordination channel between public and private tourism stakeholders, including MEA, General Security, Customs, Beirut Airport, Hotels, etc.. ▪ Setting-up committees for anchor cities (e.g. Tyre Tourism Committee, Byblos Tourism Committee, Beirut Tourism Committee) to drive relevant projects in each city and build the city's tourism brand image, in line with tourism and country brand	▪ Ministry of Tourism	ABC
	Tou.X.3.2	Set up investment zones in anchor destinations	Anchor tourism cities (Beirut, Byblos, Tyre) will require additional hotel capacity to be built, accommodating for the growth in number of tourists. As such, investment zones should be set up, to support with promoting anchor cities with dedicated incentives packages for private investments, public infrastructure investments, product development and marketing	▪ IDAL	ABC

2018 WB Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 22 priority initiatives that underpin the vision of the tourism (8/8)

NON-EXHAUSTIVE

X.4

Data and analytics

	Objective	Initiative	Owner[1]	Plays
Tou.X.4.1	Enhance research and data analysis to drive decision making	Any growth in the tourism sector should be accompanied by collection and analysis of the relevant data, monitoring progress and helping with proactive decision making. The tourism data analytics and research team would support with: ▪ Collecting and analyzing data across all steps of the tourist journey (prioritize key analyses, identify indicators and data sources, define data collection mechanism) ★ ▪ Working closely with Central Statistics Authority, and to recruit high caliber talent capable of conducting complex analytical exercises ▪ Leveraging live analysis (e.g. occupancy rates) in decision making (e.g. package promotion during low season)	▪ Ministry of Tourism	ABC

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Tourism – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to tourism

	Objective	Initiative
Fin.X.3.3	Enhance access to financing to incentivize construction of new hotels and renovation of existing hotels in anchor destinations	▪ Refer to initiative X.3.3 under Financial Services
Inf.1	Expand the airport capacity	▪ Refer to initiative 1 under Infrastructure ★
Inf.4	Enhance access to/from anchor destinations to enable “hub and spoke” model	▪ Refer to initiative 4 under Infrastructure
Leg.2.1	Amend the regulatory framework to extend gaming licenses beyond Casino du Liban	▪ Refer to initiative 2.1 under Legislation
Leg.2.2	Introduce, update, enforce laws to ensure environment standards are met as per international standards	▪ Refer to initiative 2.2 under Legislation
Leg.2.3	Stimulate investments in the tourism sector (Law 360)	▪ Refer to initiative 2.3 under Legislation
Leg.2.4	Incentivize the specialization of hospitals	▪ Refer to initiative 2.4 under Legislation
Exp.B.1	Establish the country brand and manage the perceived instability in the country	▪ Refer to initiative B.1 under Export & Branding

20181022 Internal

A.1 Example of tourist-friendly destination (1/2) The Boston Freedom Trail

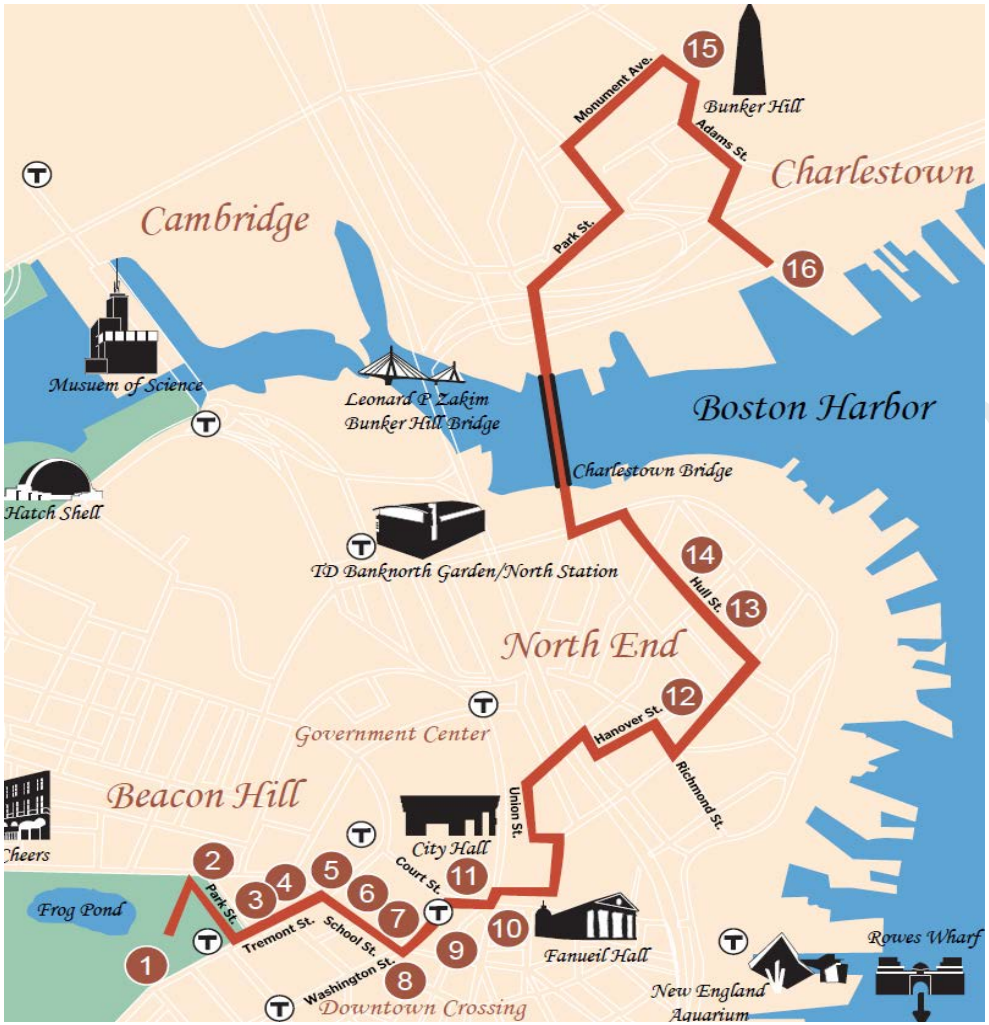
Overview

- **Description:** the Freedom Trail is a collection explanatory ground markers, graveyards, notable churches and buildings, and a historic naval frigate. **The sites tell the story of the American Revolution**
- **Length:** 2.5-mile-long (4.0 km)
- **Location:** path through **downtown Boston**, Massachusetts, largely marked by bricks
- **Cost: most of the sites are free** or suggest donations. The Old South Meeting House, the Old State House, and the Paul Revere House charge admission
- **Management:** overseen by the **City of Boston's Freedom Trail Commission** and partially **supported part by grants** from nonprofits and foundations, **private philanthropy**, and **Boston National Historical Park**
- **Facilities:** the trail is outside and is always open for walking. Public restrooms are available in some of the sites

Signs

SOURCE: Massachusetts Institute of Technology, SFPNN, The Freedom Trail Foundation

A.1 Example of tourist-friendly destination (2/2)
The Boston Freedom Trail



1. Boston Common
2. State House
3. Park Street Church
4. Granary Burial Ground
5. Kings Chapel
6. Ben Franklin and Old City Hall
7. Old Corner Bookstore
8. Old South Meeting House
9. Old State House
10. Boston Massacre Site
11. Faneuil Hall
12. Paul Revere House
13. Old North Church
14. Copp's Hill Burying Ground
15. Bunker Hill Monument
16. USS Constitution

The Boston Freedom trail passes by 16 locations of significance in US history

SOURCE: The Freedom Trail Foundation

A.4 Unlike other cities, most of Lebanon's tourism events happen within the span of 2 months

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
New York City		Fashion Week		Tribeca Film Festival Cherry Festival	International Food Festival NYC Design			US Tennis Open Fringe Festival	NYC Film Festival Fashion Week		Macy's Parade NY Comedy Festival	Time Square NYE	12
Dubai	Dubai Shopping Festival	Dubai Food Festival Dubai Jazz	Art Dubai GITEX Meydan Dubai WC	Dubai Fashion		Dubai Sports World Ramadan in Dubai	Dubai Summer Surprises			Design Week Dubai Fashion Forward		Dubai Film Festival Rugby Sevens	14
Singapore	Chinese New Year (Chingay Parade + River Hongbao)			World Gourmet Summit	Asia Fashion	Great Singapore Sale	Dragon Boat Festival		F1 Grand Prix	Diwali/ Deepavali		Xmas in the Tropics	10
			Fashion Steps Out @ Orchard					Mid-Autumn festival					
Lebanon		Al-Bustan Festival					The Baalbek International Festival The Byblos International Festival The Beiteddine Art Festival Zouk Mikael International Festival	Beirut Holidays Festival Ehdeniyat International Festival The Batroun International Festival					8
Montreal		Montréal en Lumière'				F1 Grand Prix	Jazz Festival	Osheaga Music and Arts Festival			Taste Montreal		5
Sydney				Sydney Carnival		Vivid Sydney				Crave Sydney Food Festival	Sydney Inter-national Art Series	New Year's Eve	5

6 key anchor event themes emerge across international benchmarks:
Food, Retail & Fashion, Sports, Art, Music and Lights

SOURCE: Press search; tourism websites; McKinsey team analysis

A.4

Guiding principles for developing tourism calendar of events

Guiding principles	
Optimize number of anchor events	International benchmarks of cities with vibrant event calendars indicate the necessity of **~5-15 anchor events per year**
Ensure offerings incorporate key themes	International benchmarks demonstrate the presence of **6 key themes** across anchor events including: **Food, Retail & Fashion, Sports, Art, Music and Lights**
Develop complimentary offerings	Anchor events should be supported by a **cohesive set of satellite events** in line with the overarching theme to ensure **city-wide activation** and **appeal across visitor segments**
Counter seasonality	Large scale events intended to drive tourism should be **aligned with key source market travel preferences and school holidays**
Ensure reoccurrence	Key anchor events should be **hosted during the same time period annually** to ensure visitors are able to reliably plan holidays based on the event

SOURCE: Press search; McKinsey team analysis

X.1.1 Case example – Athens Airport set up an incentive program to stimulate new traffic

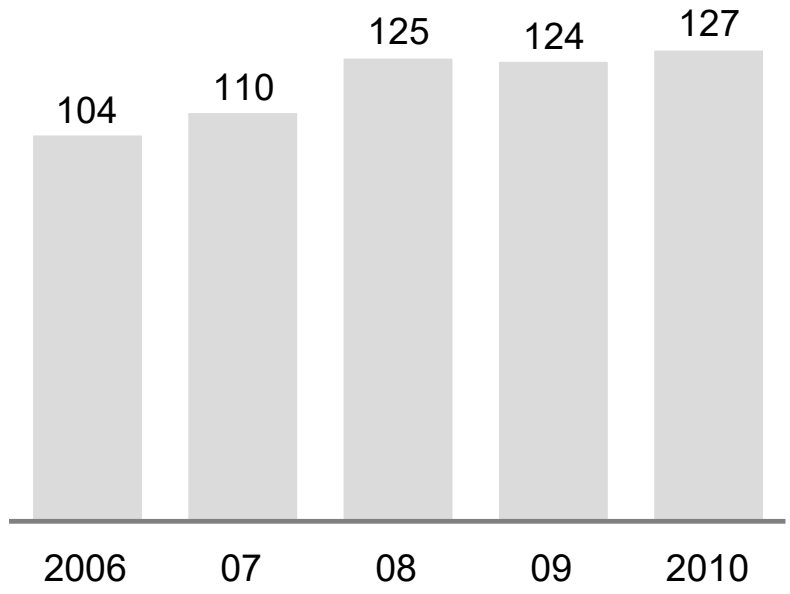
Incentives for new routes

- For adding 3 or more new international routes, parking & landing charges are heavily discounted
  - 100% discount for first 2 years
  - 50, 25 and 15% discount for following 3 years
- For introducing a new international long-haul1 route
  - 100% discount for first 3 years
  - 75 and 50% discount for following 2 years

Adding frequencies

- For additional long haul1 international frequencies
  - 100% and 50% discount in year 1 and 2
- For additional short-haul international or domestic frequencies
  - 50% discount on year 1 and 2
  - 25, 15 and 10% discount for the following 3 years

Total routes at Athens airport



- OAG 'Routes Airport marketing awards Europe 2009' – 5th consecutive year
- 15th World Route Development forum – Athens wins first place in Europe, 2009
- IATA's Eagle award for airline marketing support 2003

1 >4.5.hours

Source: Athense airport website; IATA; McKinsey

X.1.1

Prague airport has large variety of offers in their incentives scheme

Prague Airport

	Overview	Conditions
Discounts on airport fees	▪ Incentive designed for the airlines that meet specific requirements during the defined period ▪ Discount on landing fees of up to 95%	▪ Ranked among the five biggest carriers by number of passengers ★ ▪ Hub at Prague Airport, but not among the five biggest carriers ▪ Start opening new destination ▪ Increase the total seat capacity and frequency on existing connection
Co-branding	▪ Incentive that aims to promote airlines and airport through covering locations in other main cities	▪ Airlines eligible to incentive – Achieve an annual volume of more than 50,000 passengers – Start operating a new route – Increase the total seat capacity and frequency on any existing connection ▪ Prague Airport acquires the media in which the airline publish ist advertisement (e.g., print media, online banners, press releases) ▪ Creating „Fly with your airline via Prague to a number of destinations" campaings

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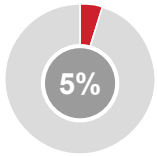
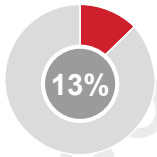
Source: Prague airport website; McKinsey

X.2.2

Template of qualitative Consumer research in source countries (1/2)

ILLUSTRATIVE

Weak preference for wholesale
Strong preference for wholesale

Country		Wholesale market share, Percent of total sales[1]	Additional insights	Go-to-market strategy
GCC	Saudi Arabia		▪ **Limited reliance** and preference for wholesale channels and group/tour packages ▪ Strong **emphasis and utilization of social media** channels with 86% of KSA males and 75% of KSA females using social media channels ▪ 38% of Saudi travelers indicate **reasonable cost** as a consideration for travel	▪ **B2C focus:** focus on creating both luxury and price sensitive family oriented value propositions to identify Abu Dhabi as the prime location for GCC weekend and public holiday getaways ▪ **Social media:** Aggressively utilize social media campaigns to create awareness of Abu Dhabi's offerings (e.g. sponsor Saudi snapchat bloggers to visit Abu Dhabi and post their experiences on social media) ▪ **Family offerings:** Aggressively publicize family friendly attractions that are unique to the Emirate (e.g. island value proposition, amusement parks, events calendar)
	UAE		▪ **Limited reliance** and preference for wholesale channels and group/tour packages ▪ High focus on nature offerings with 92% of tourists indicating visiting **parks or gardens as a key travel interest**	▪ **B2C focus:** Ensure differentiation from other domestic locations by creating a value that is as developed and luxurious as Dubai however with a focus on culture and nature as opposed to retail ▪ **Nature offerings:** Emphasize developed nature offerings unavailable in other UAE locations (e.g. islands, Al-Ain, mangroves etc.) ▪ **Cultural offerings:** Emphasize cultural offerings including world class museums and heritage sites unique to the Abu Dhabi Emirate

20181022 Internal

1 Percent share of total intermediary sales in 2014 attributed to packaged tour sales (includes online platform sales)
2 Based on DVS survey conducted in 2014

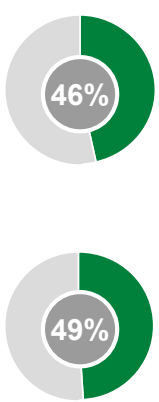
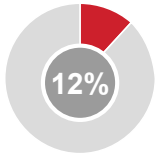
Source: Euromonitor, external interviews, DVS reports, team analysis

X.2.2

Template of qualitative Consumer research in source countries (2/2)

ILLUSTRATIVE

Weak preference for wholesale
Strong preference for wholesale

Country	Wholesale market share, Percent of total sales[1]	Additional insights	Go-to-market strategy
Western Europe United Kingdom Germany		▪ **Wholesale heavy markets** with strong preference for group tours and holiday packages ▪ Strong preferences for **nature and unique cultural experiences** that are differentiated from offerings in short- haul distances	▪ **B2B focus:** Develop strong partnerships with key tour operators including: – TUI and Thomas Cook in **both markets** – Flight Centre and Trailfinders in the **UK** – DER Touristik and FTI in **Germany** ▪ **Social media**: Utilize cost effective marketing tools (social media, paid search etc.) to build awareness across the region ▪ **Cultural offerings:** Emphasize unique Middle Eastern cultural experiences to differentiate Abu Dhabi from short haul options
North America United States		▪ **Limited reliance** and preference for wholesale channels and group/tour packages ▪ Strong preferences for a **variety of experiences** including nature, culture and retail	▪ **B2C focus:** Ensure strong usage of key consumer channels including outdoors, travel magazines, social media and online platforms ▪ **Social media:** Aggressively utilize cost effective marketing tools (e.g. social media, paid searches) to build awareness across the region ▪ **Cultural offerings:** Emphasize unique Middle Eastern cultural experiences that differentiate Abu Dhabi from competitive destinations ▪ **Film and Production:** Activate and create awareness in American markets about filming of high grossing movies in the city

2018 2022 Internal

1 Percent share of total intermediary sales in 2014 attributed to packaged tour sales (includes online platform sales)
2 Based on DVS survey conducted in 2014

Source: Euromonitor, external interviews, DVS reports, team analysis

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Disclaimer

A key pre-requisite for the Knowledge Economy sector would be to establish the institutional set-up governing the sector, including Ministerial governance.

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Our knowledge economy strategy has engaged a range of experts, benchmarks and sector reports (1/2)

Public sector stakeholders

HE Ghattas Khoury
Minister of Culture

HE Melhem Riachi
Minister of Information

HE Marwan Hamadeh
Minister of Education

Fadi Yarak
DG of Ministry of Education

HE Inaya Ezzeddine
Minister of State for Administrative reforms

Bahia Hariri
Parliament education committee

Tony Eid
TeleLiban

Nabil Itani
IDAL

Amine Moukheiber
Director of the Telecom Regulatory Authority

State-owned enterprise stakeholders

Emre Gurkan
CEO of Touch

Marwan Hayek
CEO of Alfa

Dr Fouad Ayoub
Dean of the Lebanese University

Conducted **10+ interviews** to understand local context of technology & digital

Benchmarked **10+ education hubs** for an understanding of key success factors

Benchmarked Lebanon outsourcing competitiveness using the **location readiness index**

20181022 Internal

Our knowledge economy strategy has engaged a range of experts, benchmarks and sector reports (2/2)

Private sector stakeholders and federations

Camil Moukarzel
Professional computer association

Mouhamad Rabah
President of Beirut Digital District

Ramy Boujawdeh
Berytech Deputy General Manager

Nadim Zaazaa
Director UK Lebanon Tech Hub

Sami Bou Saab
CEO of Speed

Pere Boutros Azar
General Secretariat of Catholic Schools

Sadek Sabbah
Media Producer

Walid Mansour
CIO of MEVP

Dr. Bijan Azad
American University of Beirut

Aouni El Kaaki
Syndicate of Journalists

Nazih Jebbawi
Syndicate of Secondary Teachers

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Conducted **10+ interviews** to understand local context of technology & digital

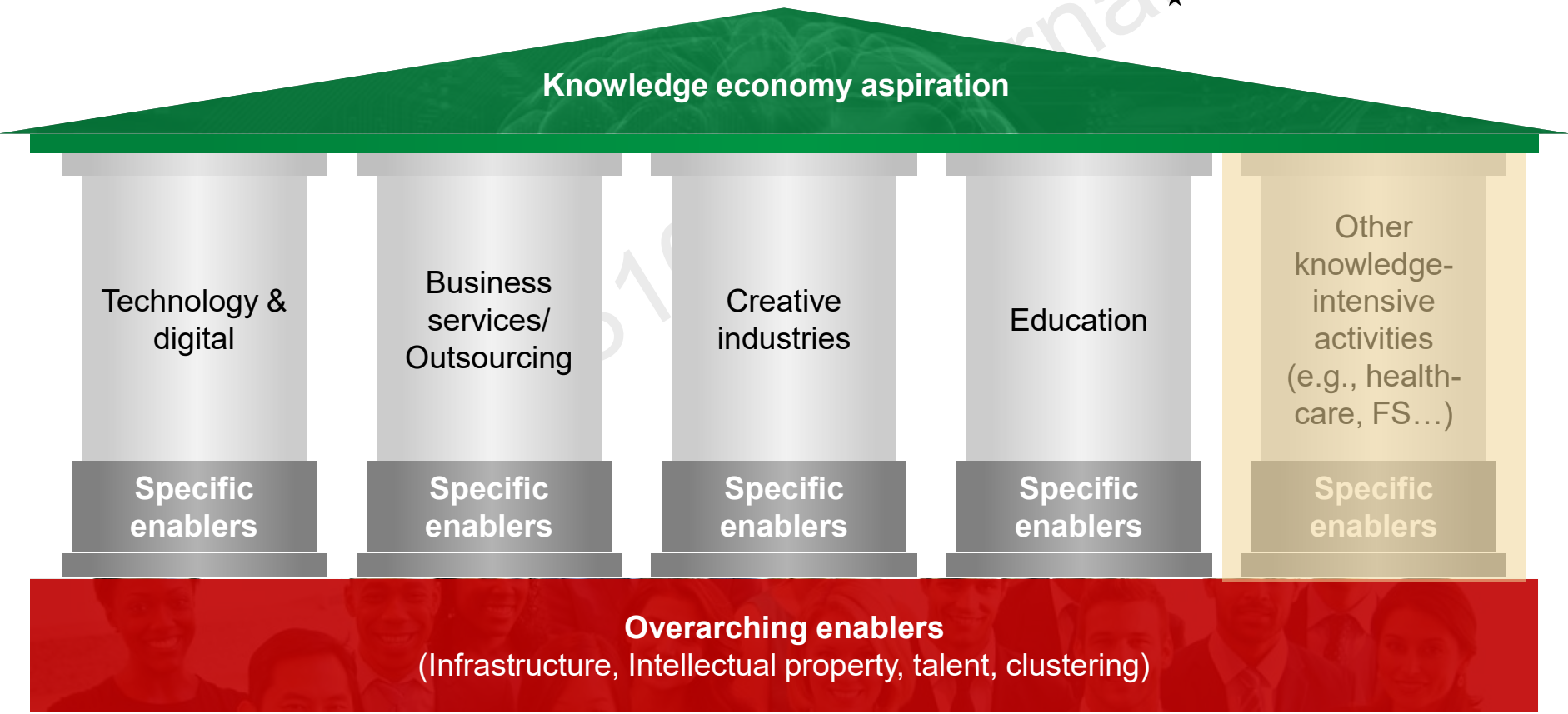
Benchmarked **10+ education hubs** for an understanding of key success factors

Benchmarked Lebanon outsourcing competitiveness using the **location readiness index**

In the context of Lebanon, knowledge economy is broadly defined as four focus sub-sectors

Covered in other sections

> "…the **knowledge economy** as **production** and **services** based on **knowledge-intensive activities** … The **key component** of a knowledge economy is a greater **reliance** on **intellectual capabilities** than on physical inputs or natural resources"



Source: The Knowledge Economy; Powell Snellman; OECD

Knowledge Economy sub-category description

Categories	Description
Technology & digital	Includes all players involved in the **innovation pipeline** from R&D (Universities and R&D centers), to IP & patenting (govt., commercialization offices) to commercialization of the product with an **emphasis on digital** (i.e. focus on digital startups)
Business services/ Outsourcing	Includes all plays whereby a **process** is **offshored** by a company to either a nearshore or remote location for efficiency gains. It **spans** the **whole** outsourcing **spectrum** from lower-skill call centers to higher-skill data analytics centers
Creative industries	Includes sectors whose primary resource is **creativity: core creative** industries (performing arts, music…), **core cultural** industries (movies, libraries), **wider cultural** industries (digital media, publishing) and **related** industries (architecture and fashion)
Education	Includes "**economic**" and "**exportable**" plays within **education:** attracting foreign students, exporting educational material (curriculums, books), building EdTech content, attracting Arabic language learners, exporting school brands

20181022 Internal

Knowledge Economy – sector aspirations

Aspiration: To become a knowledge-driven digital nation, at the forefront of innovation, acting as a talent hub for technology, outsourcing, creative industries and education

Current situation

- **Emerging** but nascent **technology** & digital industry, with limited access to global markets and **low digitization** across economic sectors & government
- **Small** and **fragmented outsourcing** industry, lacking regional recognition
- **Intrinsically competitive** in **creative** industries (fashion, movie) but facing **several challenges**
- **Strong** tertiary **education** system but **low** current **export potential** for the sector (e.g. low attraction of international)
- Lacking regulatory environment, digital & creative talent, limited access to funding and sub-par sector governance and infrastructure

2025

A **Regional technology leader** with players in FinTech, CreativeTech, EdTech & HealthTech; strong technology adoption across priority economic sectors and digital government

B **Regionally** renowned **outsourcing sector** with established brand, attracting captive centers for regional MNCs, along with flourishing domestic offering of research & analytics

C **Regional creative hub**, **globally** renowned for a set of **specific niches**

D **Educational hub**, attracting **regional students** across the board, and **international students** for **specific niches**

X Vibrant ecosystem, regionally renowned as the "go-to" hub for startups, offering best in class regulation, abundant funding and world-class digital talent

2035

- **Regional innovation hub** with several unicorns having a 1USD Bn+ valuation; **digitization** as the **key driver** of sector **productivity** across all sectors and **digital** as the **unique delivery** means of **government** and private sector services
- **Globally recognized** as the "Go-to" global **hub** for **research and analytics** with deep regional & cultural expertise
- **Creative** as a **core driver** of all Lebanese **economic sectors**
- **World-class education hub**, with leading tertiary institutions at a global level, attracting **international students across the board**

Targets

Current situation	2025	2035
Knowledge economy GDP, USD Bn: 1.4	Knowledge economy GDP, USD Bn: 3.8	Knowledge economy GDP, USD Bn: 5.6
Total employment, K: 44	Total employment, K: 105	Total employment, K: 123
Capacity for innovation, rank: 58	Capacity for innovation, rank: 30	Capacity for innovation, rank: 15

Note: GDP corresponds to ICT GDP

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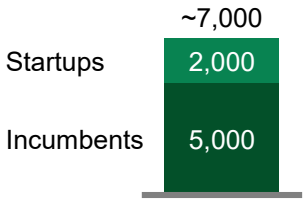
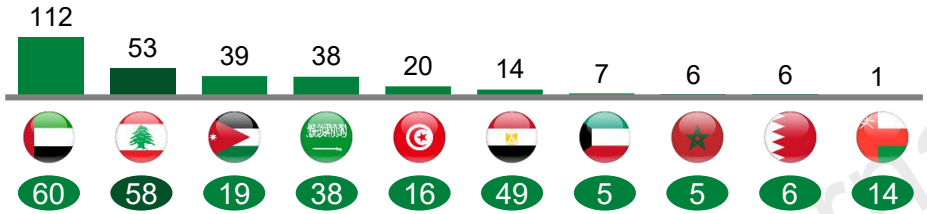
Knowledge Economy: Technology – summary of diagnostic

Economic contribution | Sector performance

Total jobs, 2017



Total value of VC deals, USD Mn 2017



Technology & innovation funnel, by stage of company

Digital producer

Idea generation / R&D	Commer-cialization	Start-up / early stage	Growth
▪ Sub-par R&D spend and lack of funding	▪ Low volume of patents	▪ Ease of doing business ▪ Gap in angel funding	▪ Lack of growth funding & access to markets

Digital eco-nomy

- Lebanon lags all Middle-Eastern countries on digitization index

Digital govern-ment

- Lebanon lags all GCC countries on the UN e-government readiness index (0.56 vs. 0.72) only slightly outranking Egypt & Jordan in the Middle East

Key challenges

- **Low availability of digital talent**
  - Despite Lebanon's strong talent base, access to talent was reported to be the main obstacle faced by domestic start-ups
  - Moreover regional entrepreneurs consider Lebanon as the top source for creative & marketing talent, but as lagging behind for core technical skills
- **Missing key regulatory requirements**
  - The sector suffers from sub-par regulations such as the current incorporation laws (preferred shares, stock-options), and a sub-par judicial system
  - For e.g. only 20% of entrepreneurs offer stock-option schemes whereas ~50% of the talent pool would be willing to accept it as compensation scheme

Source: ArabNet – The state of digital investment in MENA 2018; Wamda access to talent for MENA's entrepreneurs; Arabnet - Lebanese Innovation Economy - Tech Startups 2018; World Bank; Banque du Liban; Pitchbook; Market interviews

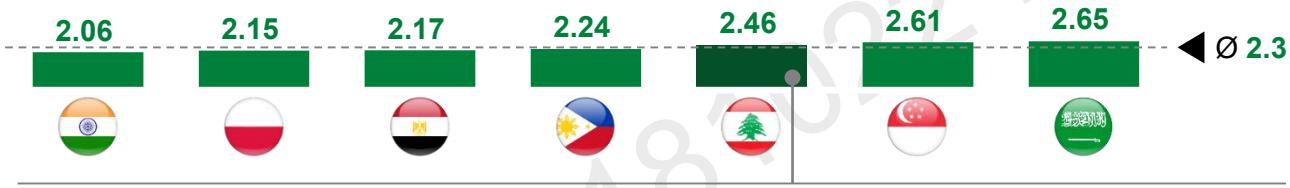
Knowledge Economy: Outsourcing – summary of diagnostic

The outsourcing sector is not well established with a small contribution to employment

Total number of jobs in outsourcing, 2017

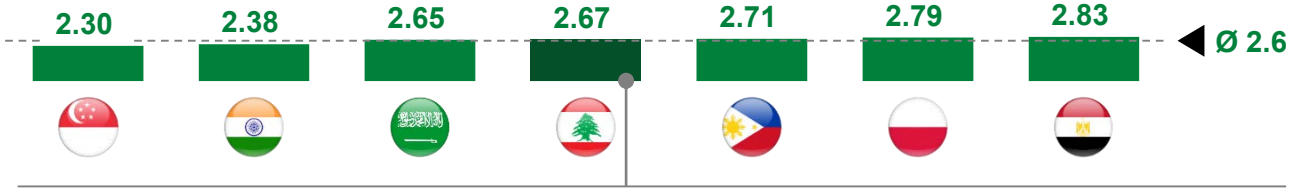
Despite possessing the intrinsic components (talent and cost), Lebanon lags on government-related components mainly infrastructure and business environment

Location readiness index for BPO, 2017, low index = high score



- **High** scoring on **talent** (1.5 vs 2.1) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Location readiness index for KPO, 2017, low index = high score



- **High** scoring on **talent** (2.1 vs 3.0) and **cost** (2.1 vs 2.2)
- **Low** scoring on **infrastructure** (4.2 vs 3.2), **regulation** (3.3 vs 2.8) and **risk** profile (3.7 vs 2.8)

Key challenges

- **Sub-par virtual and physical infrastructure**
  - Physical and virtual infrastructure lags with low broadband speeds (5Mbps, 127th globally) and high mobile connectivity costs
  - Un-empowered regulatory authority (TRA) leading to in lack of continuity and uniformity in the sector (e.g. stopping of the E1 lines for call centres)
- **Sub-optimal regulatory framework and environment with lack of incentives**
  - Sub-par ease of doing business environment
  - Required laws not in place: bankruptcy law, competition law, IP protection law
  - No zones in place offering tax-incentives and lower infrastructure costs (telecom & rental costs)
- **High country risk profile**
  - Low macro-economic and political stability, a key input to outsourcing location criteria

2018022 Internal

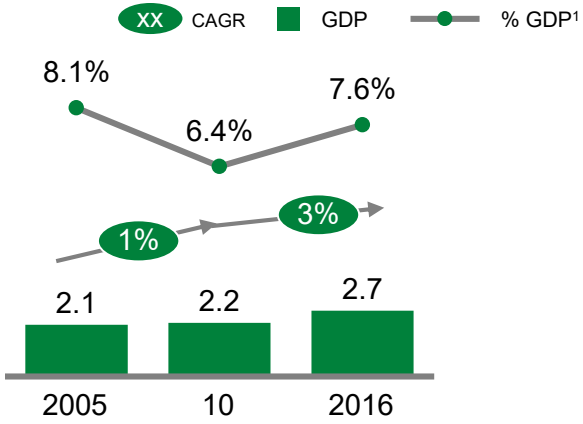
Source: Location Readiness Index database; IAOP: Global Outsourcing 100 2016; IDAL BPO Factbook 2016; SpeedTest; Expert Interviews

Knowledge Economy: Education – summary of diagnostic

Low | In line with peers | High

Economic contribution

Real GDP value of education
Bn USD in 2010 prices



Performance metric, 2015

Performance compared to peers

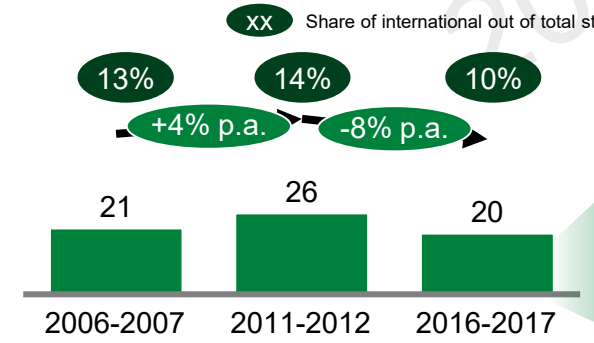
Quality of education, Universal scale score — 417

Public expenditure per student, PPP USD — 0-1000

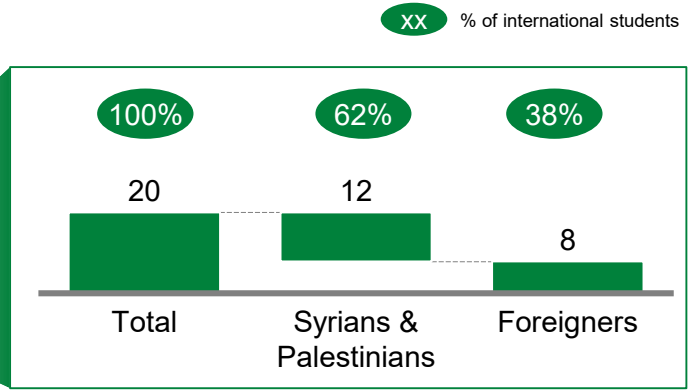
Number of universities in top 500, # — 2

Inbound International students – Higher education

Stock of international students 2017, '000 students



Split of international students by nationality 2017, '000 student



1 Excluding taxes and subsidies

Key challenges

- Declining performance of the education system (Quality of education system in Lebanon is classified as "Low")
- Outdated Curriculum (Latest update was in 1997)
- High regional competition in attracting international tertiary students
- Skill gap between the labour force demand and supply

2018-2022 Internal

Source: CAS, Ministry of education, World Bank. PISA scores

Knowledge Economy – 2025 sector charter

2017 2025

Aspiration: An knowledge-intensive and digital nation, at the forefront of innovation, acting as a talent hub for technology, outsourcing, creative industries and education

SECTOR PLAYS

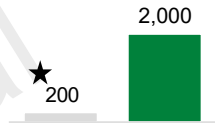
2025 TARGETS

A

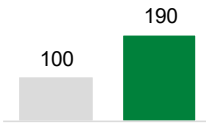
Become a highly productive digital economy at the forefront of innovation, acting as a digital talent hub

- Becoming a global digital producer through building on Lebanon's comparative advantages, as well as global segments outlook and funding size, and specialize in creative, financial and enterprise technologies
- Embracing digital disruptions through adopting technology in priority sectors
- Riding the government digitization-wave by digitizing government operation and services (G2G, G2B and G2C)

Total Number of Start-ups, #



Yearly VC funding, USD Mn

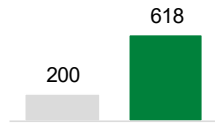


B

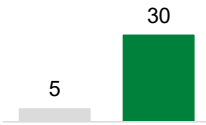
Position Lebanon as a leading regional outsourcing destination for "high-value add" BPO services and a global hub for middle east research & analytics service desks

- Capturing the regional GCC market, through providing high-value added BPO by leveraging key differentiators (culture & language) and justifying price premium by higher-quality services & specialization
- Capturing the global KPO market, leveraging competitive cost structure and STEM talent pool
- Developing a "Plug & Play" outsourcing park with world-class office space and state of the art infrastructure through a PPP

Total Exports USD Mn



Total number of jobs K



C

Become a regional creative hub, globally renowned for a set of specific niches

- Developing cross-cutting agenda to enable the entire creative ecosystem
- Selecting specific industries to become a regional and global hub

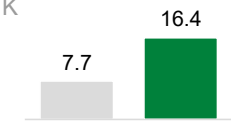
Number of priority sub-sectors

D

Become an educational hub, attracting regional students across the board, and international students for specific niches

- Regional play: Focusing on attracting international students from the region (GCC, Arab and North African countries) for undergraduate and medical studies
- Niche play: Focusing on attracting Western students in Middle Eastern and Arabic studies

Number of international students K



X ENABLERS

Education & talent pool
- Digital & creative talent
- Outsourcing-ready talent

Industry promotion
- Physical and virtual clusters for incentives &

Access to finance
- Abundant VC funding across the pipeline
- Easy access to credit for smaller enterprises

Industry governance
- Non-fragmented governance
- Global promotion campaigns

Physical, virtual infrastructure & clusters
- Telecommunications infrastructure
- Rental

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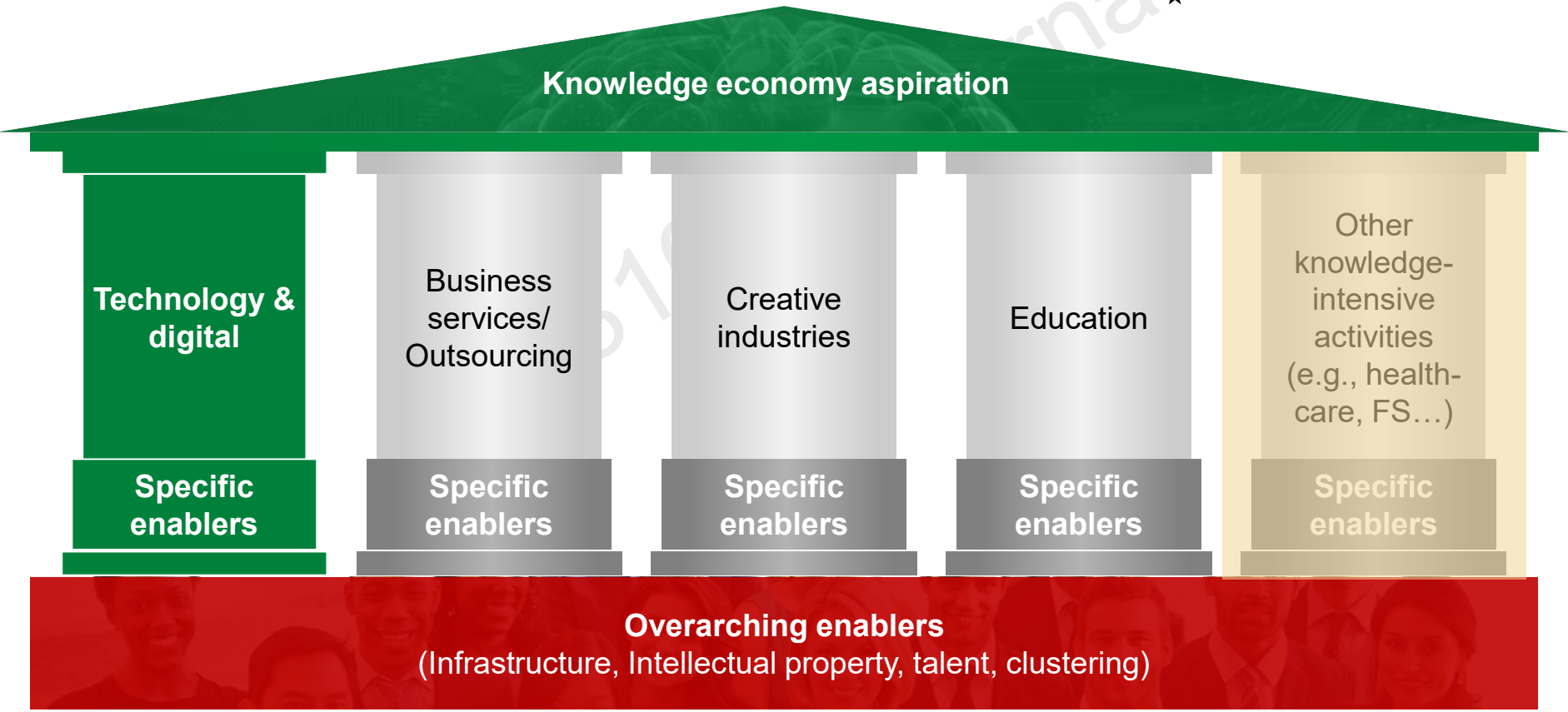
In the context of Lebanon, knowledge economy is broadly defined as four focus sub-sectors

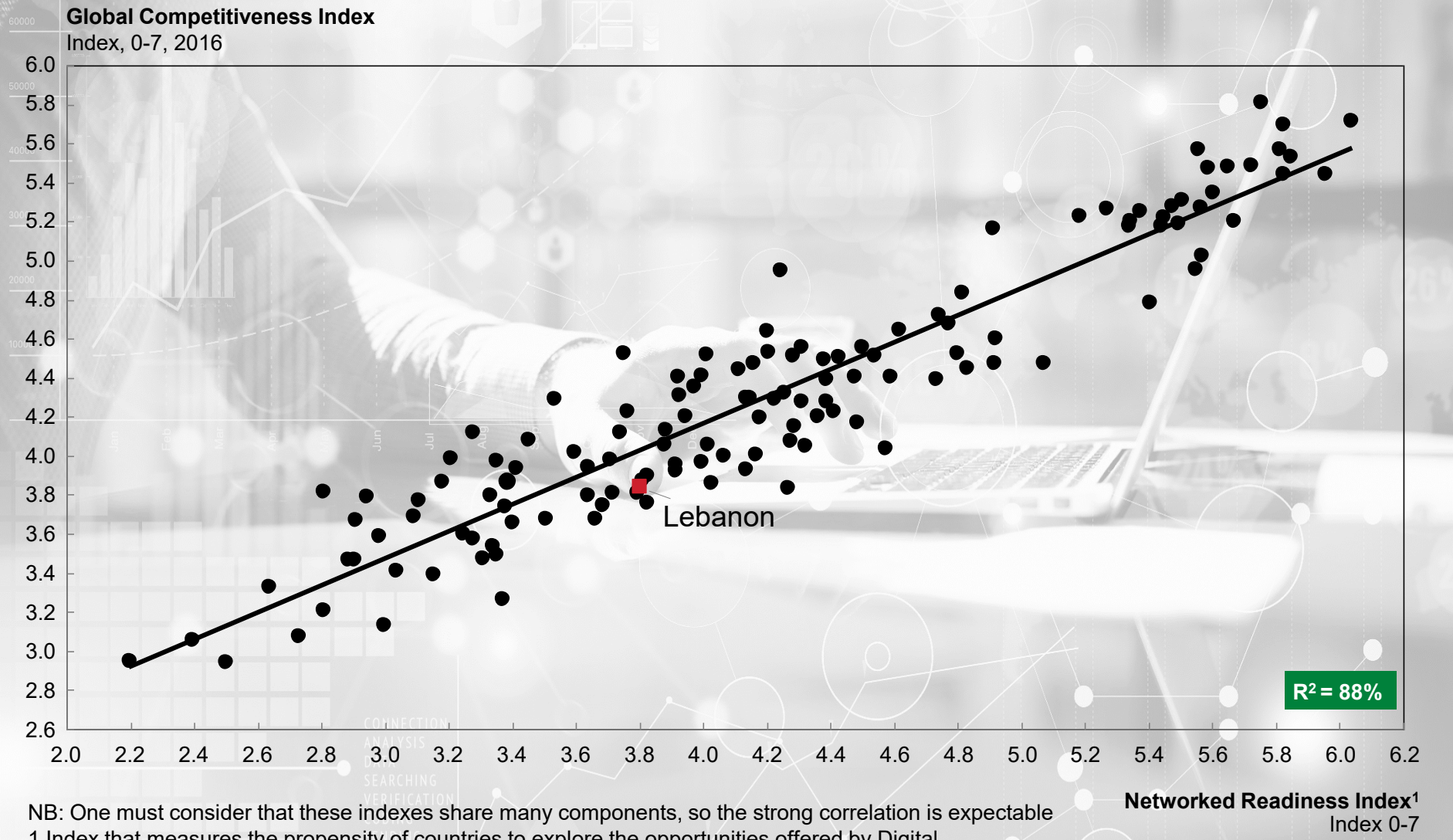
Detailed next | Covered in other sections

> "…the **knowledge economy** as **production** and **services** based on **knowledge-intensive activities** … The **key component** of a knowledge economy is a greater **reliance** on **intellectual capabilities** than on physical inputs or natural resources"



Source: The Knowledge Economy; Powell Snellman; OECD

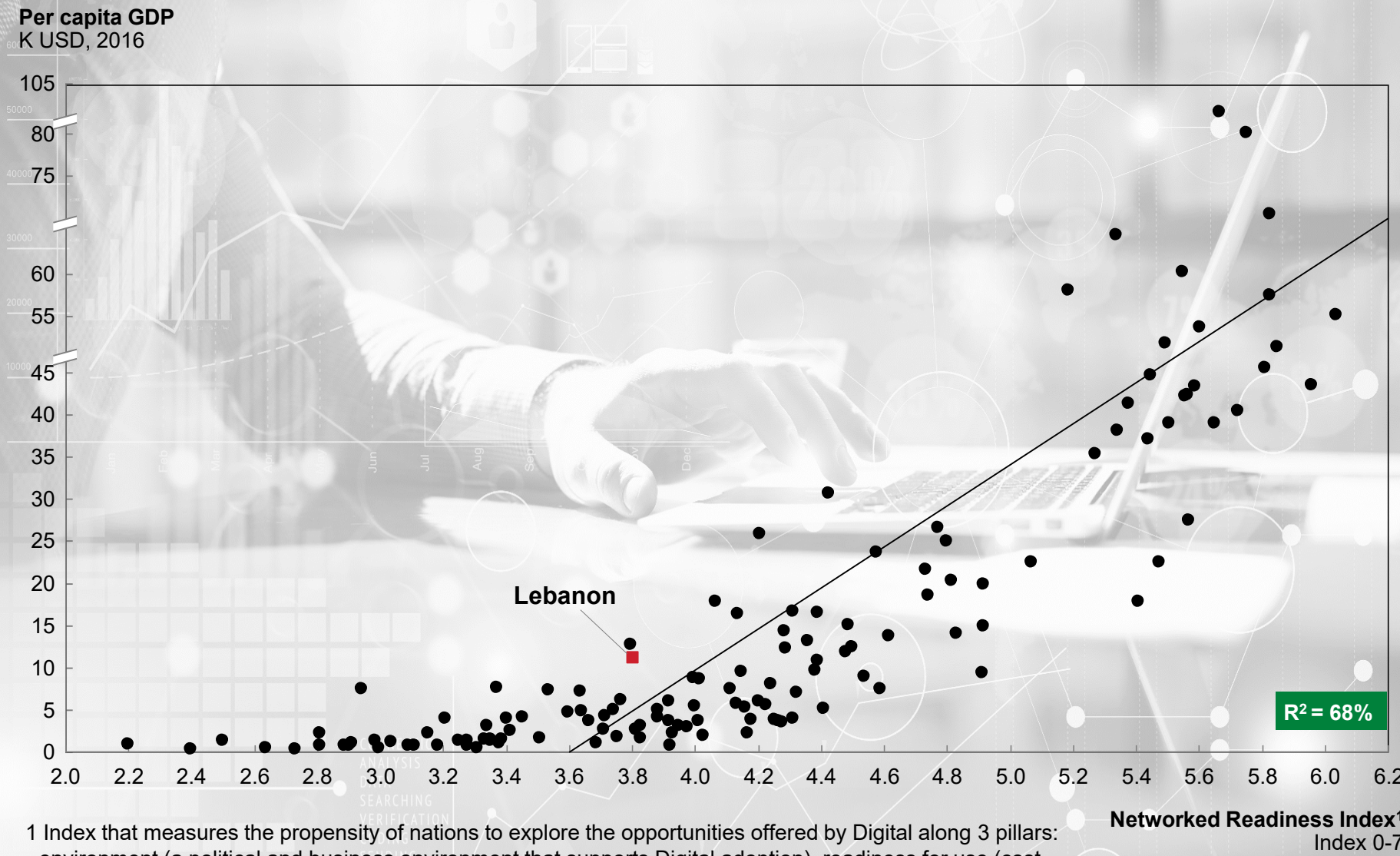
There is a strong correlation between digital development and country competitiveness



NB: One must consider that these indexes share many components, so the strong correlation is expectable
1 Index that measures the propensity of countries to explore the opportunities offered by Digital

Source: World Economic Forum

Moreover, digital development is highly correlated with a country's per capita GDP

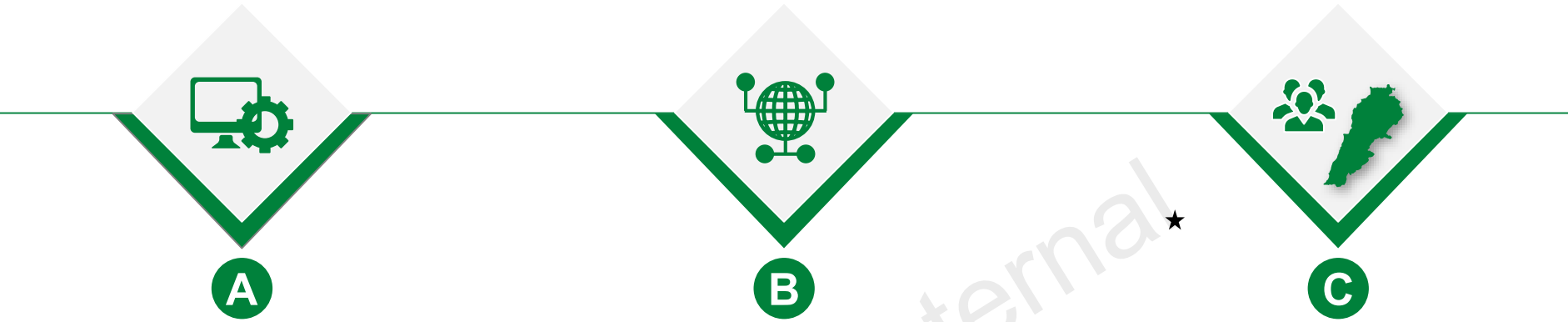


1 Index that measures the propensity of nations to explore the opportunities offered by Digital along 3 pillars: environment (a political and business environment that supports Digital adoption), readiness for use (cost, digital content, capability) and utilization (individual, company, government)

Source: World Economic Forum; IMF

A country's digital strategy typically revolves across three key pillars with overarching enablers

Not Detailed



A

Digital producer

- **Establishment** and **growth** of **digital companies** through support of IT and telecom sectors

B

Digital economy

- **Digitization** of core **processes across priority sectors**

C

Digital government

- **Digitization of government** operation and services (G2G, G2B and G2C)

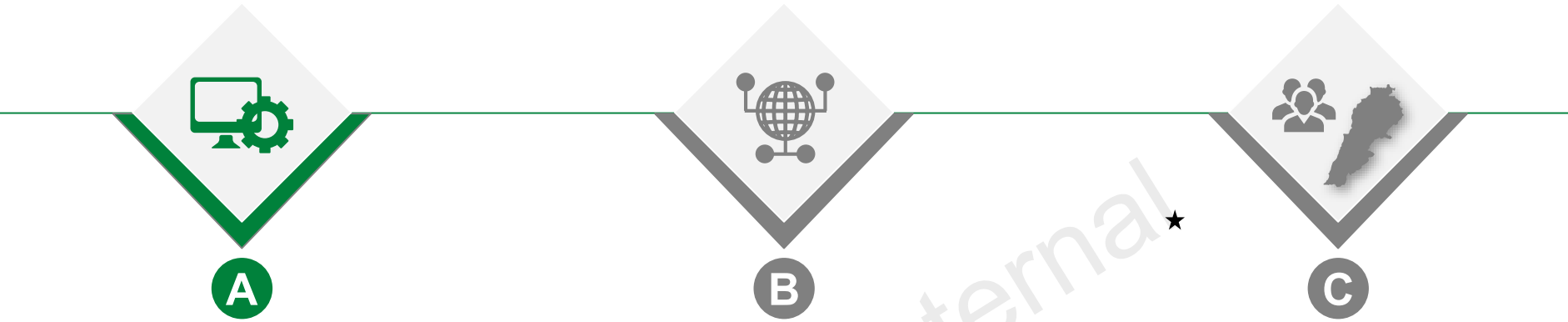
D

Environment & enablers

- Mobile & fixed infrastructure, payments, cybersecurity…

2018 1Q22 Internal

A country's digital strategy typically revolves across three key pillars with overarching enablers



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2018 1022 Internal

A To enable the growth of the sector, the government should work on growing mid-sized players while setting the right framework for startups

- Today, the **technology landscape** is dominated by **small companies** (75% of firms are below 25 employees) **and startups** (~300 startups employing ~2,000 employees)

Focus on enhancing the digital & technology ecosystem to enable high-growth of the start-up scene

Focus on growing current medium-sized companies into national champions

DESCRIPTION

- **Vibrant ecosystem**, regionally renowned as a "go-to" hub for startups, offering
  - Best in class regulation, abundant funding, world-class digital talent

- Targeted **program** to help ignite the **growth** of a set of **medium-sized businesses** through training, funding and access to markets

- Higher success rate than startups

2018/02 R

Source: IDAL IT Companies database; Arabnet

A Four dimensions can be tackled to address the main challenges hindering the effective growth and export potential of technology

Four key challenges hindering growth of startups

- Lack of **market accessibility**
- Lack of **growth funding**
- Pipeline **leakages**
- Country **stability**

1	2	3	4
Trade agreements	**Leveraging diaspora**	**Targeting pipeline leakages**	**Startup-corporates partnerships**
Leverage commerce attaches to further develop targeted relations	**Engage Lebanese entrepreneurs abroad** to help domestic startups with developing contacts abroad	**Engage domestic start-ups at the growth stage**, to understand their challenges and provide incentives	**Foster engagement of large corporates** towards startup to open up new markets

20181022 Internal

Source: Stakeholder interviews; Arabnet

A To realize the full growth and export potential, global hubs specialize and position themselves as centers of excellence around key focus sectors

Cities	Description	Focus sectors
Boston	▪ **50%** of **top** 18 **NIH hospitals** ▪ **Leading research** institutions & universities ▪ **9** of **top 10** major **drug companies** in the US ▪ **21%** of all US **BioTech VC** funding ▪ Massachusetts **life science initiative**	▪ HealthTech ▪ BioTech ▪ Pharma
Paris	▪ 200 Mn Euros **"French Tech"** initiative ▪ Most **CAC 40** companies with **VC arms** ▪ Large **global community** ▪ Ranked **11th** in startup ecosystem **valuation**	▪ HealthTech ▪ IoT ▪ FinTech ▪ Security ▪ Retail

20181022 Internal

Source: Press search; The Boston Foundation; Massachusetts Life Sciences Center website; Frentech website; Compass Global Startup Ecosystem ranking 2017; World Bank; World Economic Forum; NASDAQ; OECD; USPTO

A Regional success stories have specialized in areas extensively leveraging country's comparative advantages

anghami

- Advantage leveraged: **Creative industries**
- Anghami is the first legal music streaming platform and digital distribution company in the Arab World providing unlimited Arabic and International music to stream

careem

- Advantage leveraged: **Large base of corporates** & MNCs
- Careem is a transportation network company based in Dubai, with operations in 80 cities in 13 countries in the Middle East, North Africa, and South Asia

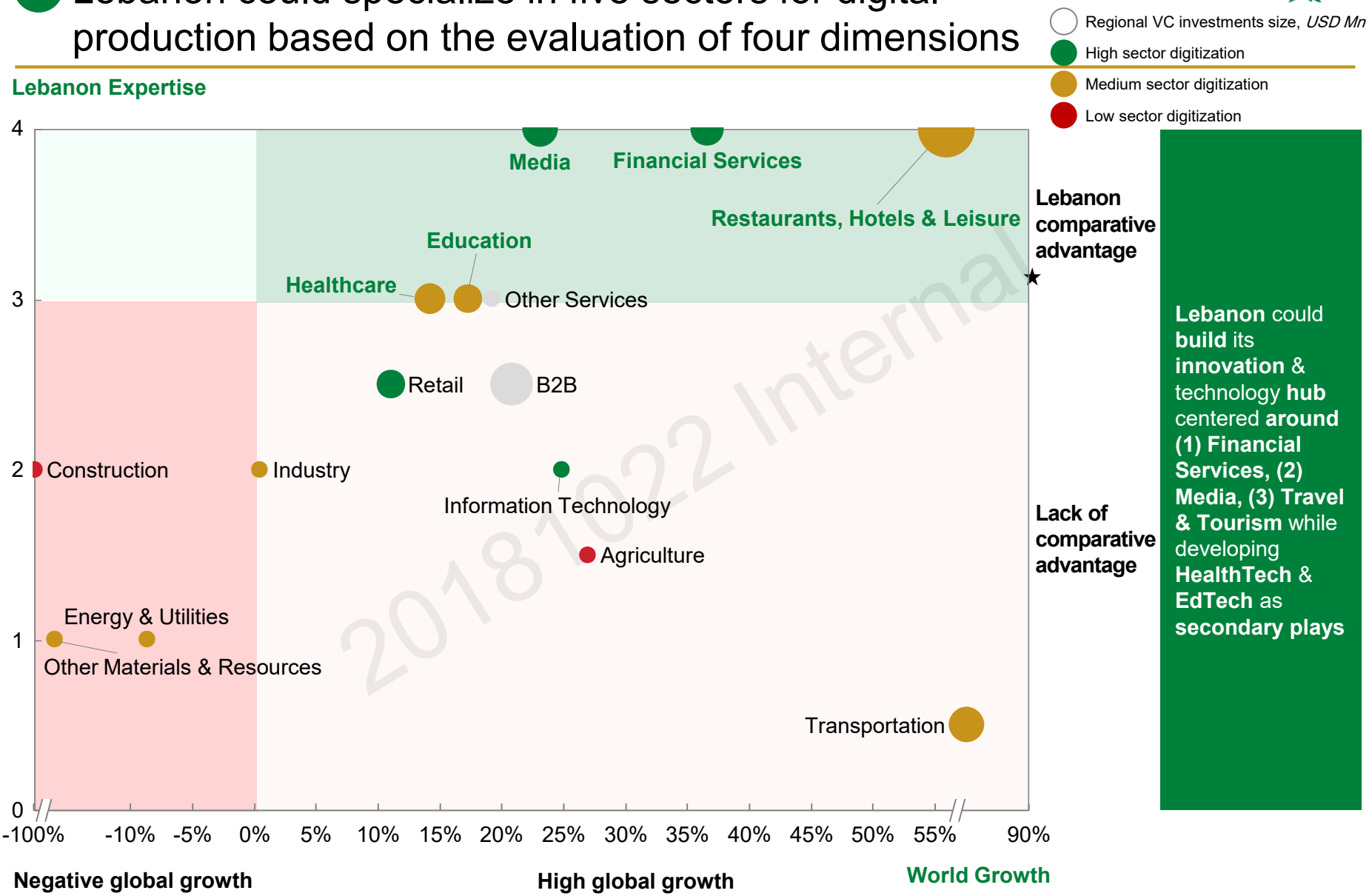
SOUQ.com fetchr

- Advantage leveraged: **Transportation & logistics**
- Souq.com is the largest ecommerce platform in the middle east
- Fetchr is an international express, mail delivery and logistics services company

20181022 Inf

Source: Press search

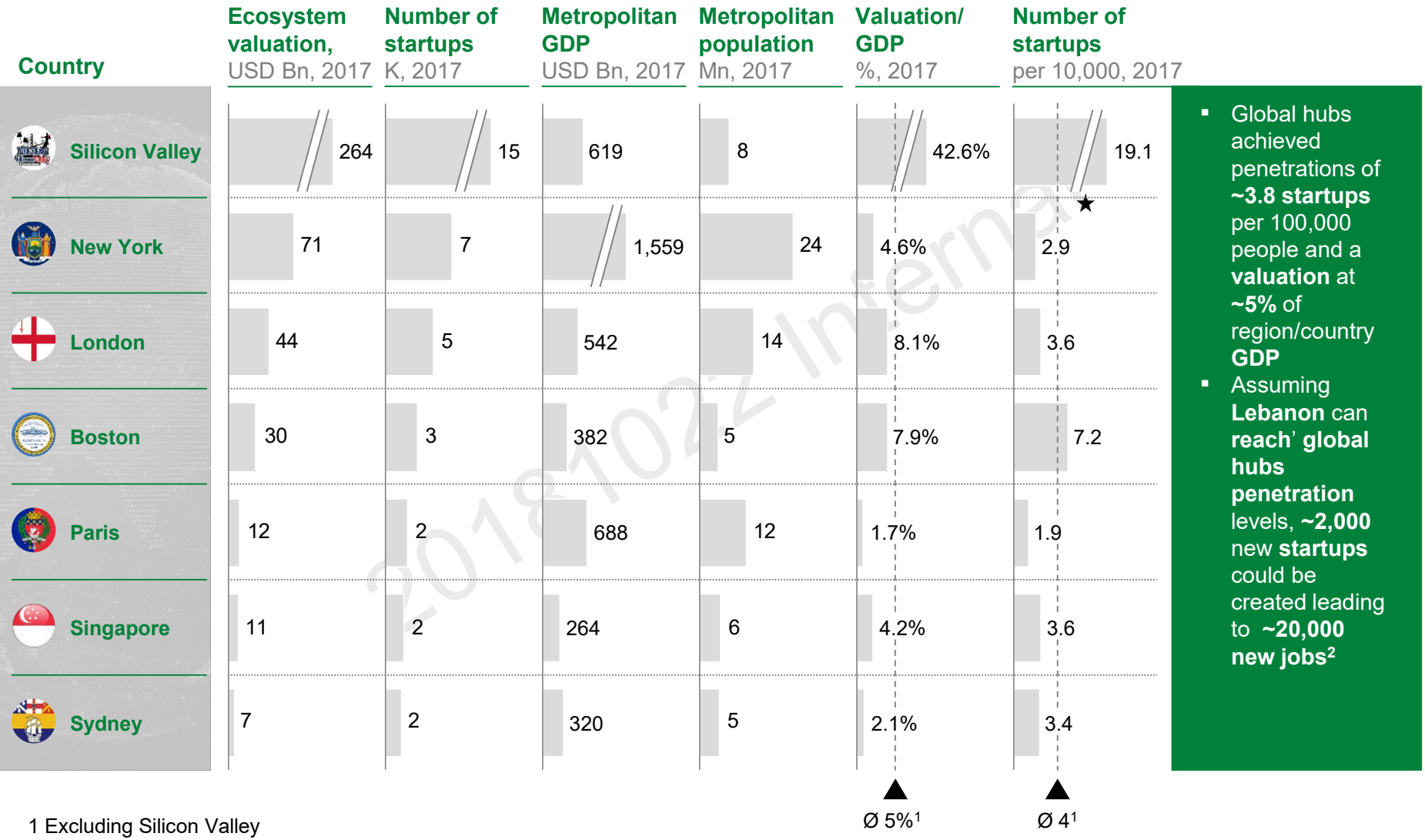
A Lebanon could specialize in five sectors for digital production based on the evaluation of four dimensions



Lebanon could **build** its **innovation** & technology **hub** centered **around (1) Financial Services, (2) Media, (3) Travel & Tourism** while developing **HealthTech** & **EdTech** as **secondary plays**

Source: Pitchbook; Arabnet; Expert & market interviews

A Global innovation & technology hubs managed to create ~4 companies per 10,000 for a total valuation of 5% GDP; Lebanon can create 20K jobs



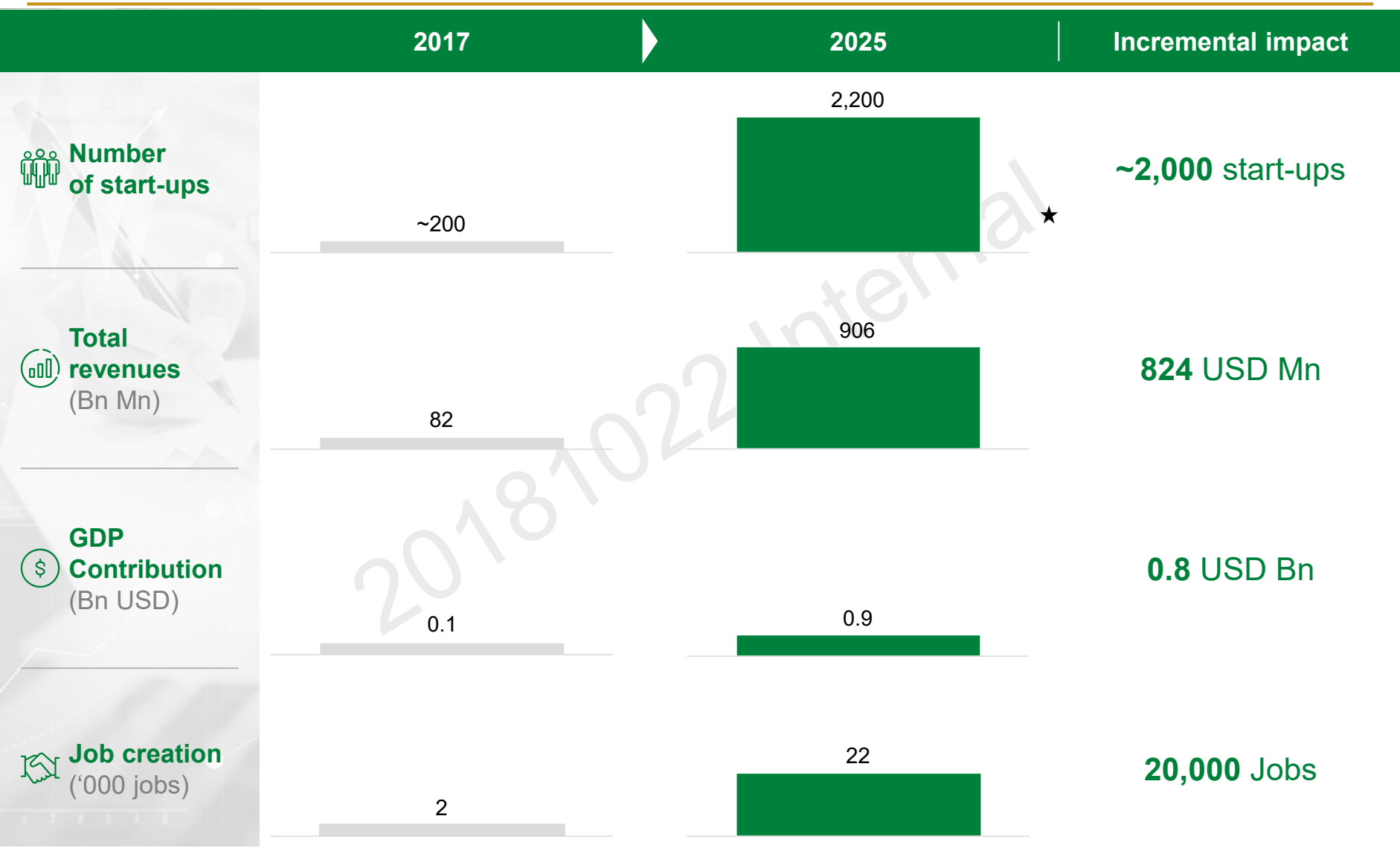
- Global hubs achieved penetrations of **~3.8 startups** per 100,000 people and a **valuation** at **~5%** of region/country **GDP**
- Assuming **Lebanon** can **reach' global hubs penetration** levels, **~2,000** new **startups** could be created leading to **~20,000 new jobs**[2]

1 Excluding Silicon Valley
2 Assuming 10 FTEs per startup

SOURCE: Compass Global Startup Ecosystem ranking 2017

A Achieving aspirations can result in a GDP impact of USD ~0.8 Bn and provide ~20K new jobs for the local economy in 2025

ESTIMATES



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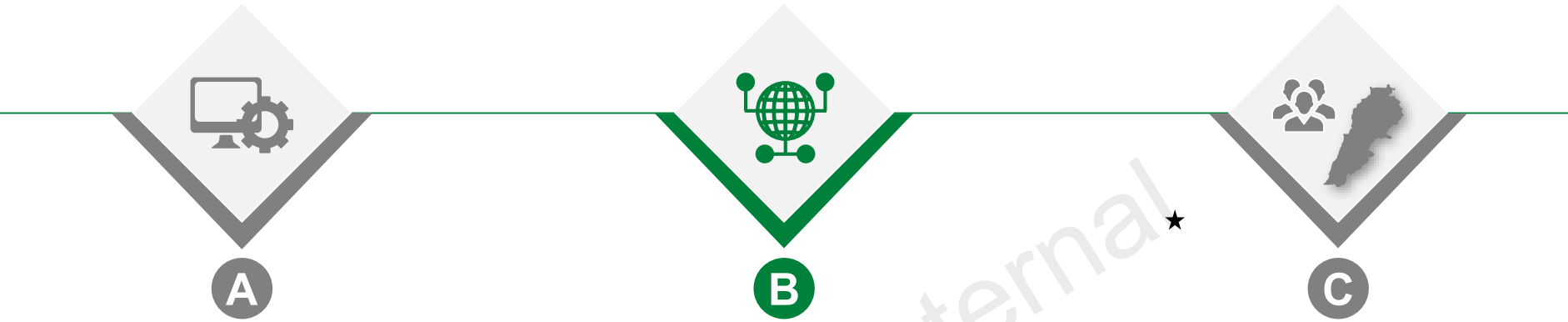
A country's digital strategy typically revolves across three key pillars with overarching enablers



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D

Environment & enablers

- Mobile & fixed infrastructure, payments, cybersecurity…

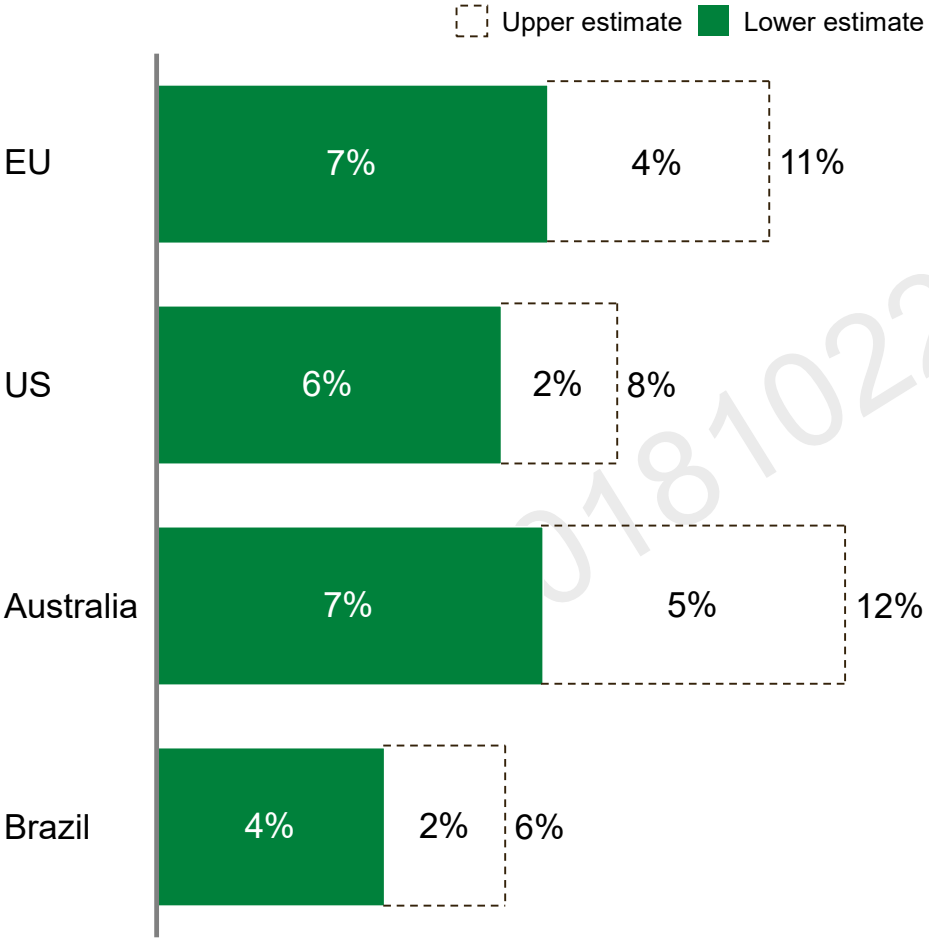
2018 1Q22 Internal

B Beyond digital production, Lebanon has the potential to capture a GDP uplift of 6-10% by 2025, from focused sector digitization

Countries can typically achieve a ~6-10% uplift in GDP from domestic sector digitization

Lebanon should focus on the digitization of 7 key sectors

GDP uplift from digitization, %, 2015-2025



Global level of digitization

Low Medium High

Priority sectors for digital production

Priority sectors from country vision

- Travel & tourism
- Media & creative technologies
- Financial services
- Healthcare
- Education
- Industry
- Agriculture

20181022 Draft

Source: IHS Markets

B Several digital disruptive trends are shaping the future of Lebanon's priority sectors

NOT EXHAUSTIVE

	Travel & Tourism	Media & creative	Financial Services	Healthcare	Education	Industry	Agriculture
1	**Online travel agencies** ▪ Explosion of online and mobile bookings Expedia	**3D Printing** ▪ 3D printing is a process in which material is joined under computer control	**Innovative FinTechs** ▪ Fully Digital Operations ▪ High service TransferWise ripple	**Remote diagnostic** ▪ Use of telecom. and IT to provide clinical health care from distance MEDGATE	**Unbundled offering** ▪ Offering "micro-credentials" for discrete skills in lieu of degrees mozilla OpenBadges	**Machine monitoring** ▪ Real-time machine monitoring to provide operator feedback	**Biologics** ▪ Microorganisms that enhance plant roots' ability to access nutrients
2	**Sharing economy** ▪ Airbnb: Innovative offering with corporate travel and group, tours and activities airbnb	**AR/VR** ▪ VR & AR as technology mediums to deliver creative output	**New attackers** ▪ Completely online banks ▪ Robotic advisory model ▪ Spending patterns air bank mBank	**Teleradiology** ▪ Tele-radiology refers to the electronic transmission of radiological images through the Internet MEDICA GROUP	**Blended learning** ▪ Combination of in-person and technology-based solutions Carnegie Mellon University	**IoT** ▪ Collect real-time after-sales data from sensors and customers (e.g., connect to factory operations, predictive quality control)	**Precision irrigation** ▪ Sensor driven drip-irrigation or mechanical to maximize area irrigated, reduce wastage, and optimize cost/ profitability
3	**Advanced analytics** ▪ Rising guest expectations: "know, recognize me" ▪ Proliferation of data (internal and 3rd party)	**Artificial intelligence** ▪ Study devices that perceive their environment and take actions to maximize the chances of success	**Incumbents perusing digital transformation** ▪ Cut costs or die ▪ Breakthrough digitization CA BBVA	**Omni-channel delivery** ▪ Delivering clinical services through a seamless experience	**Crowdsourcing platforms** ▪ Providers who consolidate courses and link education content providers to students UDACITY	**Advanced analytics** ▪ Implement advanced algorithms for spare parts forecasting and supply planning	**Drones** ▪ Enable live monitoring of the field to enable the farmer to make analytically driven decisions.

Source: Press Search

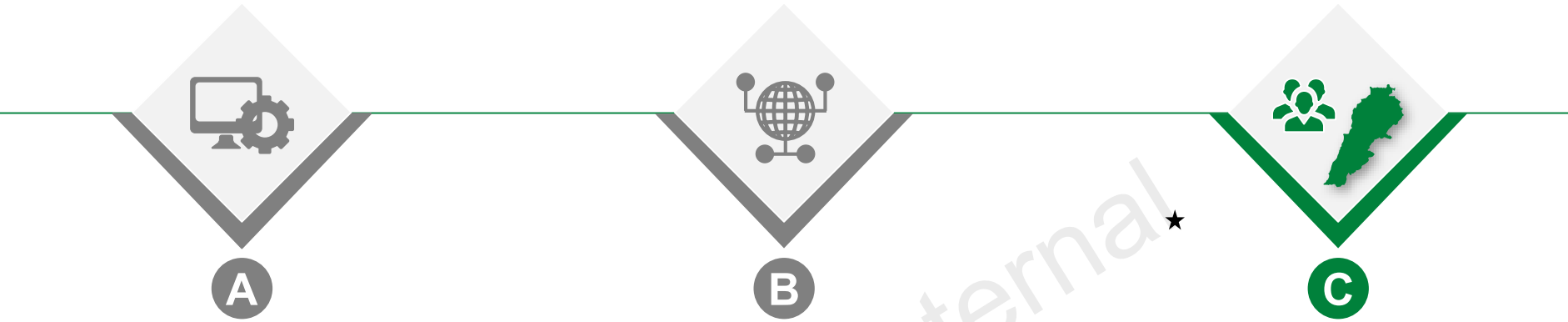
B Government interventions can aid companies through the digital adoption journey

NOT EXHAUSTIVE

Companies face critical challenges through the digital adoption journey		Government can typically intervene to help digital adoption across the different sectors
Do I know?	Awareness	Travel & tourism: ▪ **Can I afford it:** Work with vendors to ensure interoperability e.g. POS terminals ▪ **Do I know:** Show case digital adopters / improve observability
Am I allowed?	Regulation	Financial services: ▪ **Am I allowed:** Revise data privacy laws to allow data sharing between financial services and telco ▪ **Do I know:** Provide example case studies for digitalization, e.g., for smaller companies
Can I afford it?	Cost	Health care: ▪ **Can I afford it:** Drive and fund usage of personalized remote monitoring and care for chronic disease management in public healthcare institutions ▪ **How do I implement:** Invest in training of health care professionals to understand and leverage digital
		Education: ▪ **Do I know:** Launch digitization initiatives in "pilot" public schools and advertise results
Who do I buy from?	Access to partners / vendors	Industry: ▪ **Who do I buy from:** Connect machinery providers with IoT players to collaboratively implement solutions and pool resources to purchase ▪ **How do I implement:** Launch workforce training programs to help educate manufacturing base ▪ **Am I allowed:** Open regulation to enable the testing of autonomous delivery and remote maintenance support
How do I implement?	Talent	Agriculture: ▪ **Am I allowed:** Review regulations to enable testing of drones/autonomous ground vehicles

2021 Internal

A country's digital strategy typically revolves across three key pillars with overarching enablers



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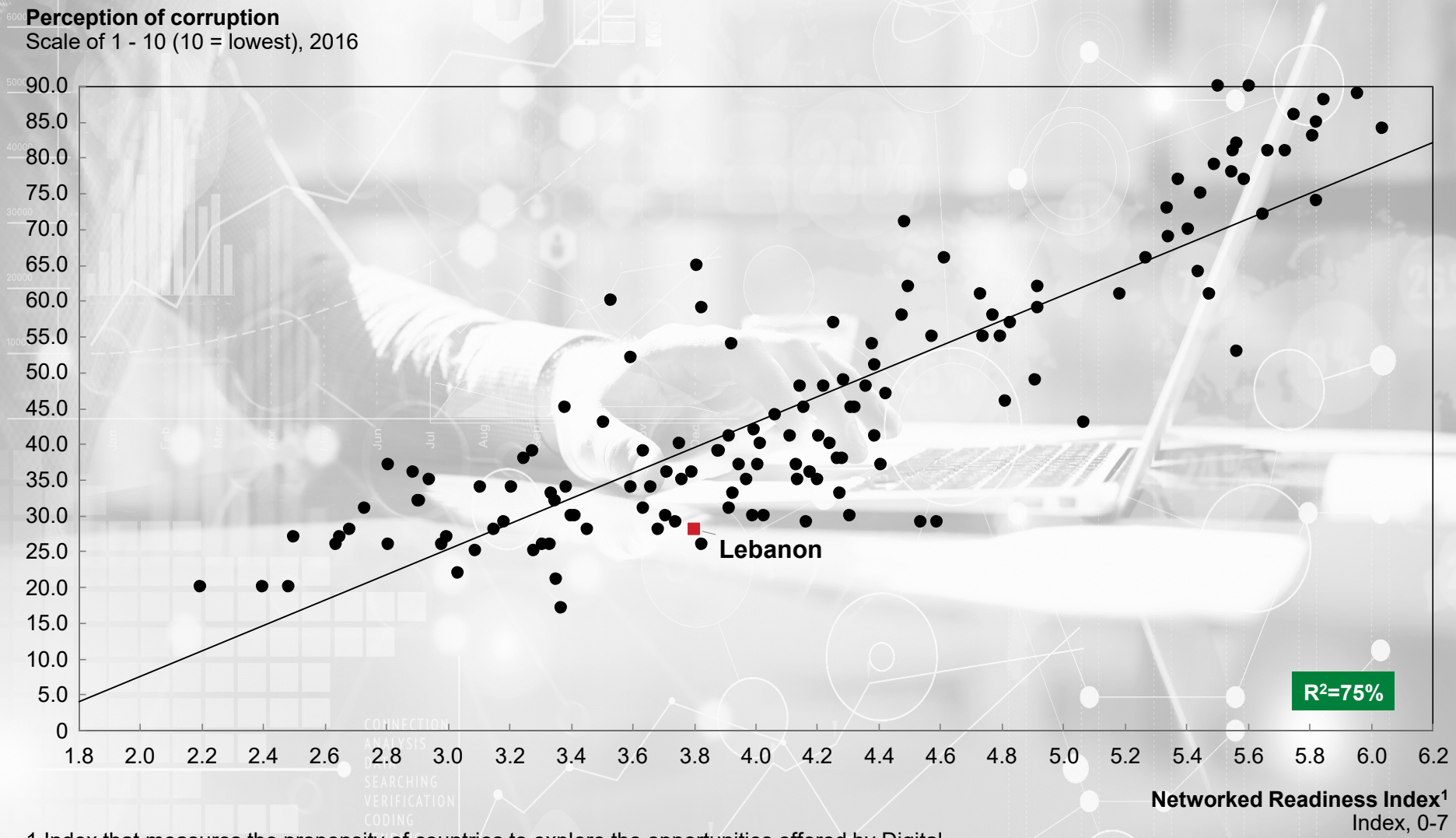
Environment & enablers

- Mobile & fixed infrastructure, payments, cybersecurity…

2018 1022 Internal

C A clear correlation exists between digital development and public sector transparency



1 Index that measures the propensity of countries to explore the opportunities offered by Digital

Source: Transparency International; World Economic Forum

C New technology disruptions are changing the service paradigm in the public sector

Personalized citizen and business identifiers help present an authenticated single view of the customer to all parts of governments

Mobility and portal devices help serve citizens seeking "anytime, anywhere" service delivery in the future

Analytics can help cope with big data and enable governments to make better use of data insights to be more proactive in public services

Cloud-based IT architectures can help governments gain flexibility and integrate services at reduced cost

New technologies and social media help collaborate and serve citizens more effectively engaging the public as co-producers of public value and improving accountability and transparency

Interactive governance can enable governments to build deeper, richer and more collaborative relationships with the people they serve

A **new generation of processes** and tools help build more **productive public services** that improve relationships and lives

Connected health uses knowledge and technology in new ways for more effective, efficient healthcare, such as mobilizing healthcare information electronically across organizations with a region, community or hospital system for improved outcomes at lower cost

- Digital government **strategy** currently **developed** by **OSMAR** to adopt disruptions and disseminate digital culture in the public sector

SOURCE: Press Search; Team Analysis

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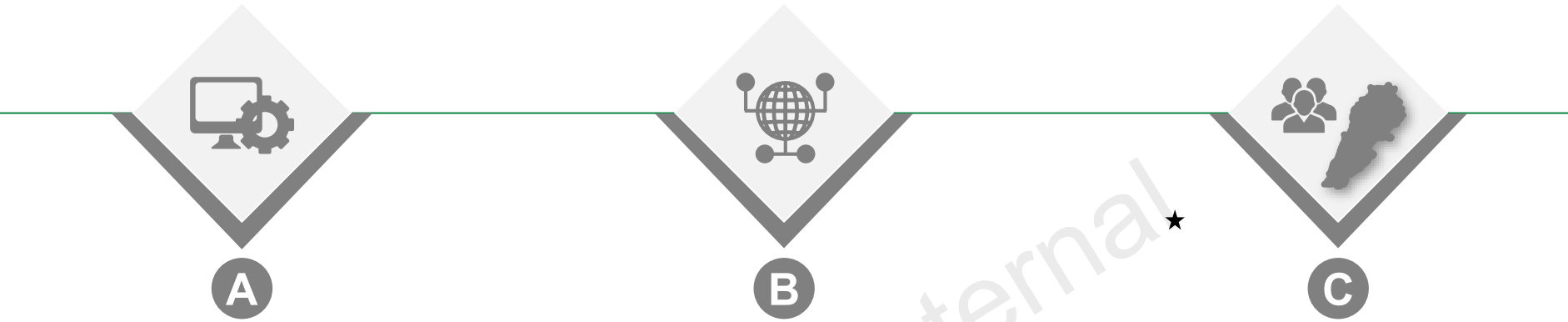

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2018 1022 Internal

D

Environment & enablers

- Mobile & fixed infrastructure, payments, cybersecurity…

D To strength its positioning as a digital country, Lebanon should tackle shortcomings across the different dimensions of innovation

1. R&D and IP Commercialization

2. Education & Skill Development

3. Access to Financing

4. Regulatory envt. & government support

5. Innovation hub & clusters

6. Physical & virtual infrastructure

7. Technology & Digital Governance

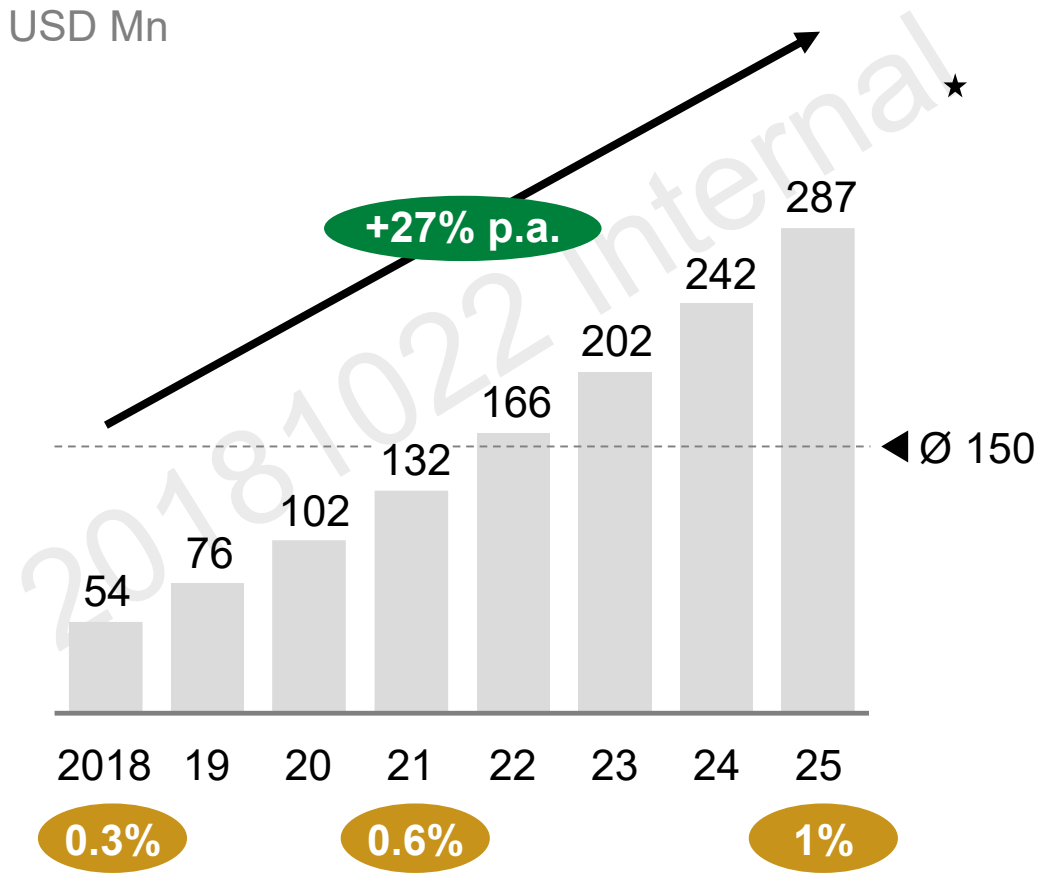
D1 To be in line with global innovation leaders, R&D spend should grow by ~20+% p.a.

Key learnings from global lessons

- R&D is a **long term game** with continuous spend even during economic downturn
- **Successful** countries spend at least **1-2% of GDP** on R&D
- The **public sector** needs to instigate the R&D efforts a typically provide **30%+** of total **R&D**

The government has a key role in driving growth in R&D spend, either through direct investments or through incentives

Yearly required public sector R&D spend



20181022 Internal

- **CNRS** can be leveraged to **drive** the **R&D agenda**
- **Spend requirement** could be **reduced** by **leveraging diaspora researchers** abroad

Source: Interviews, international benchmarks, CNRS website

D2 To nurture digital talent, the government, should follow global trends and invest in coding initiatives, supported by the private sector

National Initiatives

- **Code@SG:** Introduced in 2014, IMDA (Infocomm and Media Development Authority) works with relevant stakeholders to introduce **coding and computational thinking** to more students in schools through a combination of infocomm clubs, competitions, and enrichment programmes. The programme has **reached more than 130,000 students**

- **Curriculum overhaul:** In September 2014 coding was introduced to every child aged 5-16 years old, making the UK the **first major G20 economy in the world to implement** on a national level. The new curriculum teaches children how to code, and how to create their own programs; not just how to work a computer, but how a computer works and how to make it work for you

Global organizations

- **Code Club International:** Code club is an **international voluntary initiative** which aims to provide opportunities for children aged 9 to 13 to developing coding skills through free after-school clubs. It has **volunteers and clubs in over 125 countries** and has helped over 150,000 learn coding

- **Code.org:** Code.org is a non-profit dedicated to expanding access to computer science and increasing participation. Code.org organizes the annual **Hour of Code campaign** which has engaged **10% of all students in the world** and provides the **leading curriculum for K-12 computer science** in the largest school districts in the United States.

Active entrepreneurs involvement

- **École 42:** Brainchild of Xavier Niel, a French billionaire, Ecole 42 is a **teacher less coding school** in Paris started in 2013. A batch of 1000 students accepted on merit get tasks every morning which have 48 hours to complete them, so they are always juggling various projects, sort of like in real life.
- Students figure the tasks and mistakes themselves and are **graded by peers**. École 42 is both **project-based learning and peer-to-peer learning**

2018 1024 Internal

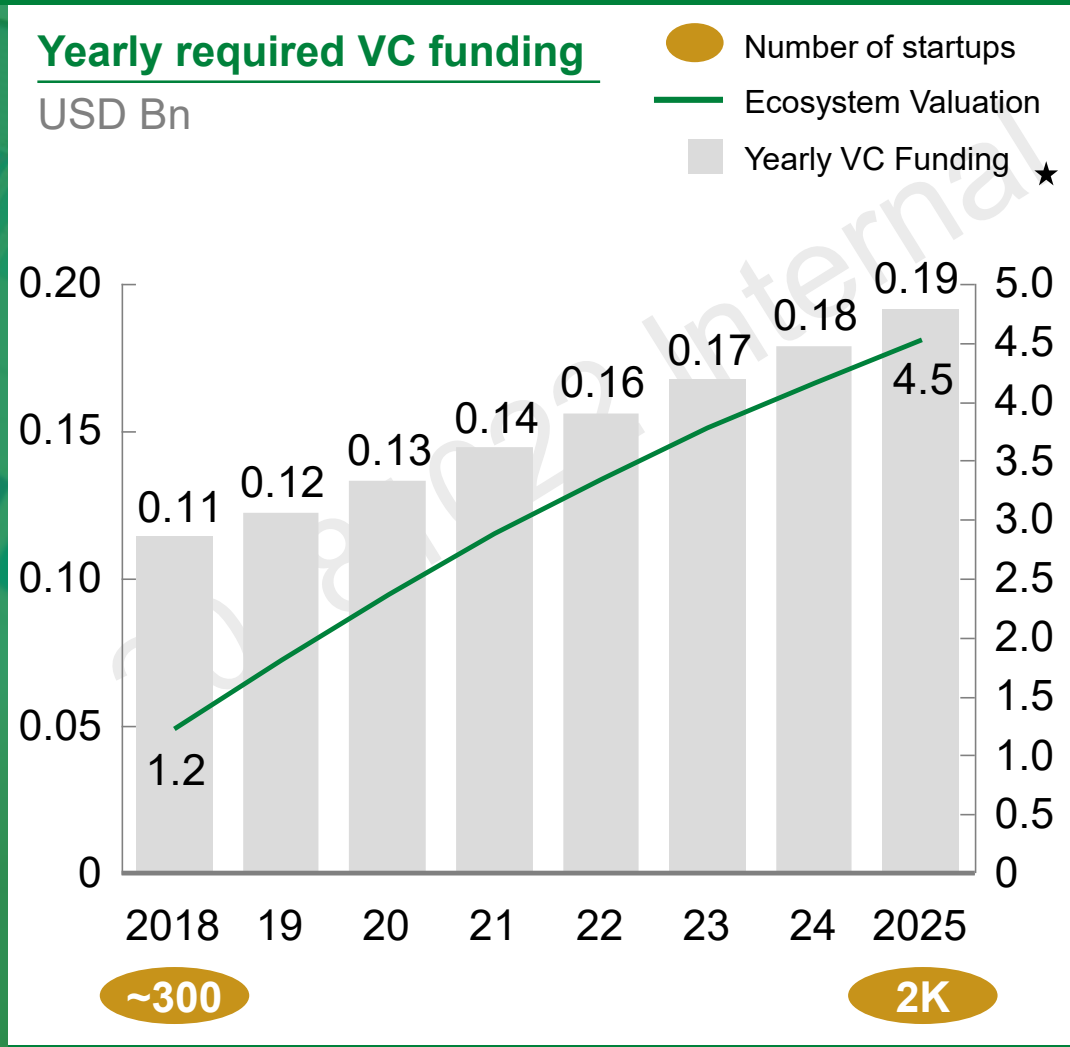
Source: Web Search; Press Search

D3 In order to sustain projected growth in start-up and reach ~4.2 USD Bn ecosystem valuation , ~100-180 USD Mn of VC funds are required

Key global learnings

- In leading innovation hubs, **VC investment** stands at **~0.2-0.3% of GDP**
- Typically **VC funding** constitutes **~30-40%** of a start-up's **equity**

Every year, ~100-180 USD Mn of VC funding should be secured to sustain the sector's projected growth



- Four different sources could be leveraged for funding
  - **Renewed** BDL **circular**
  - Attracting **international investors**
  - Raising **awareness** amongst **Lebanese** & **diaspora HNWI** for **angel** capital
  - Incentivizing **big corporations'** (and banks) to **launch their VC arms**

Source: Interviews; international benchmarks

D4 Several key regulatory requirements and government incentives were identified

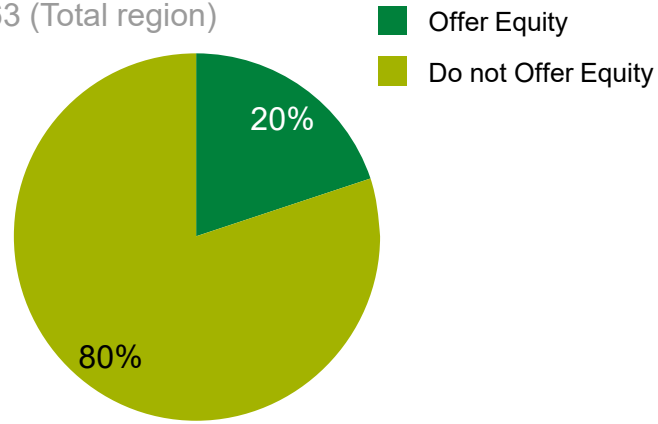
Key regulatory changes	Description
Bankruptcy law	Modernize insolvency and bankruptcy laws
Tax law	Introduce tax reductions/exemptions for startups
IP law	Modernize intellectual property laws to ensure IP protection
Capital markets	Activate capital markets to ensure IPO opportunities
Incorporation laws	Introduce startup friendly legal structure (e.g. stock options, preferred shares…)
Customs	Reduce custom duties and optimize clearance process specifically on hardware
Special fees	Introduce the "Free-zone" concept with subsidized utilities fees

I am willing to work for less money if I receive equity

% responses, N=1569

Percentage of entrepreneurs offering equity to their employees

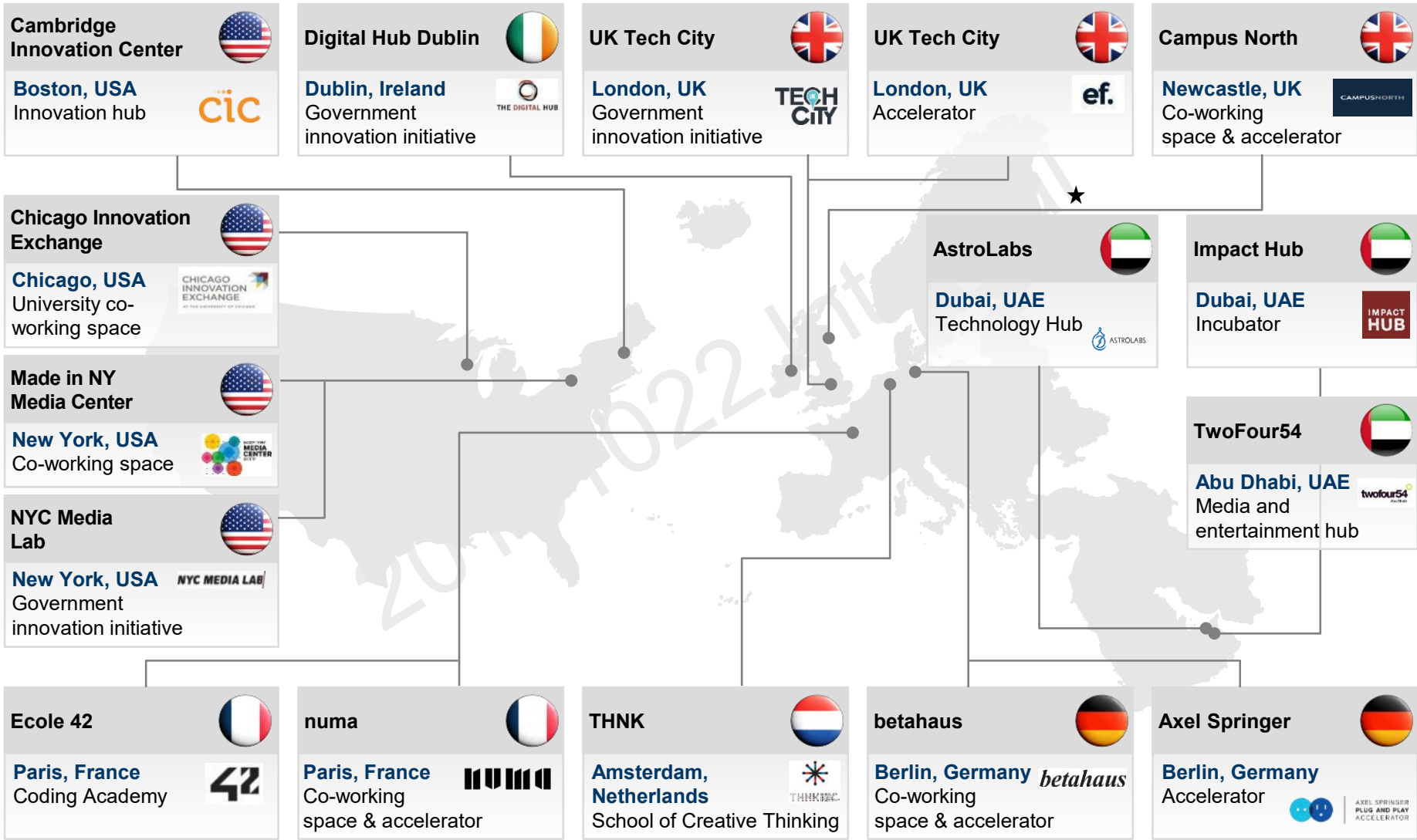
% responses, N=963 (Total region)



Internal

Source: Wamda; ArabNet; Beirut Digital District; Market interviews

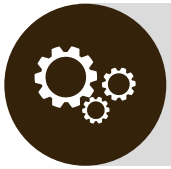
D5 Countries across the world have set up digital hubs to further enable the growth of the sector



D5 19 key insights summarize the main learnings from international hubs (1/2)

Business Model

1. Most sites had many **iterations** with the input of their **community** and cherished '**mistakes**' in evolving their business model
2. Four **context-specific archetypes** of **business models** were identified**:** Grassroots, University program, Government initiative, and Corporate facilitation
3. Most sites took **5+ years** before reducing initial reliance on **government financing** or **support**
4. Most sites measure impact through **qualitative success stories** and track only a **small number of quantitative KPIs**



Operations

5. Most sites center around **one core service offering** (e.g. co-working vs. training vs. accelerator) and build other services around it as support
6. Core service offering often serves as the 'bread and butter' **revenue stream** to support **OPEX** (while capex often covered by government)
7. Choice of **how** to offer **services** entails **tradeoffs** in terms of quantity vs. quality and ownership control vs. required team size due to **levels of engagement**

Marketing

8. **Assembling** and **engaging** the **community** was named the single **most important** marketing goal
9. **Traditional paid marketing** is the **least** popular tool and often not pursued at all
10. **Storytelling** and **showcasing success cases** focuses on celebrating the **community**, not the site

Source: Team site visits and meetings

D5 19 key insights summarize the main learnings from international hubs (2/2)

Physical Design

11 Sites often **did not plan ahead** for **scale,** and then **struggled** to keep up with needs for **expansion**

12 Sites offer **modular** and **modifiable** floor plans and furnishings to instill a sense of **ownership** ★

13 Users prefer **simple**, **unfinished** spaces with **raw** and down-to-earth appeal

14 **Recreational amenities** are often clearly **secluded** from working spaces

Digital Design

15 Leveraging **widely adopted** platforms / tools seen as most effective

16 Only few sites pursued more **sophisticated digital platforms,** mainly in order to **facilitate** international **expansion**

Collabora-tion

17 **Commercial** entities were the most **motivated** to engage in partnerships

18 International **expansion** is largely **opportunistic** and driven by **individuals / alumni**

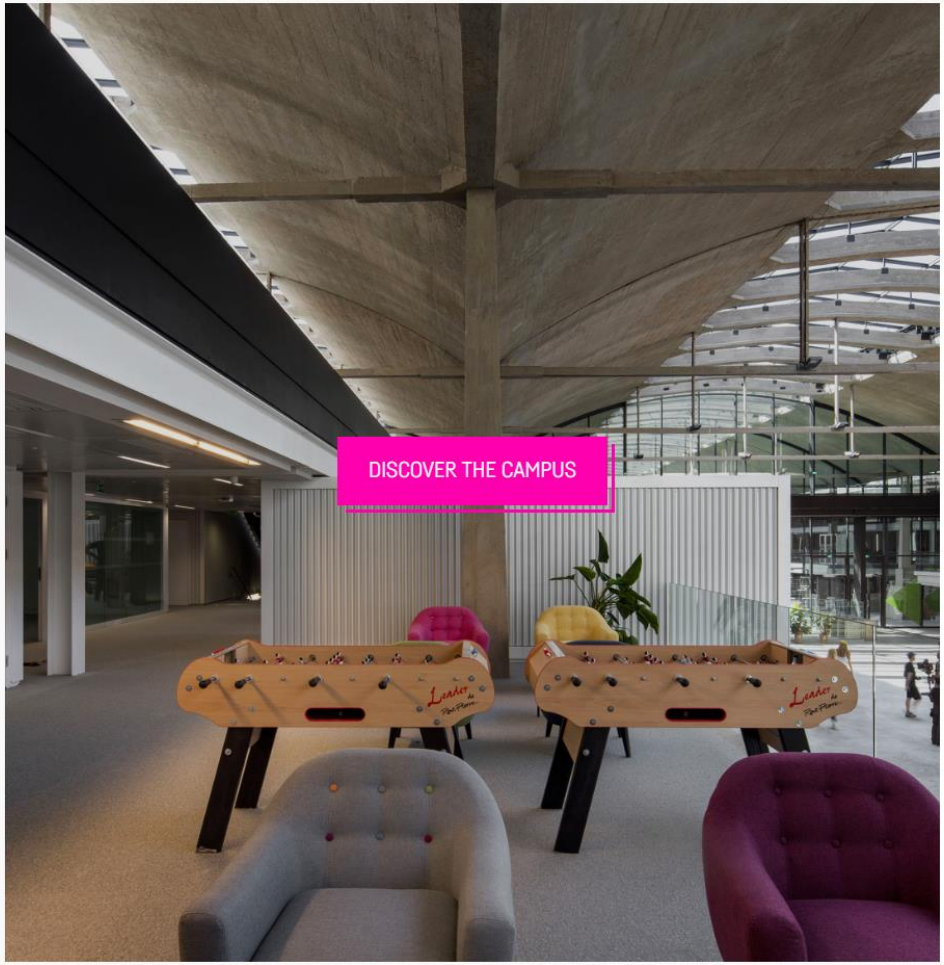
19 High potential for value-adding **international advisors**

2022 Internal

Source: Team site visits and meetings

D5 France founded Station F, one of the largest startup shared space in the world, offering a full-fledged array of support services

CASE STUDY



34,000 sq mts

1 Restaurant,
4 kitchens,
1 café,
1 bar

3000+ desks in the startup zone

24/7 access

26 international startups programs

8 event spaces

1 makerspace

Internal

Source: Station F website

D7 Illinois's Innovation Council serves as a potential model for a coordinating body

In 2011, Governor Pat Quinn announced the creation of the Illinois Innovation Council as part of his annual budget address. The Council aims to identify and advance strategies that accelerate innovation, economic growth, and job creation. It was recommended by the Governor's Economic Recovery Commission

Functions

- **Promote the role and importance of innovation** in economic development and quality of life
- Partner with academic institutions, businesses and government entities to **improve support for innovation and align public and private resources**
- **Attract innovation-driven enterprises and individuals** to Illinois in order to expand existing industry clusters and develop new ones
- **Develop policies** to cultivate and retain entrepreneurs, innovative researchers, and other enterprises
- **Recommend criteria to measure, index, and communicate Illinois' performance** as a global source for innovation
- **Establish grant or investment programs** to support innovators from research institutions, entrepreneurs, and others

Members

Profile	Example
Serial entrepreneurs	Co-Founder, Groupon
Research institutions	Provost, University of Chicago
Financiers	Managing Partner, Pritzker Group Venture Capital
Executives from large corporates	CIO, Hyatt Hotels
Support organizations	Co-Founder, Chicago Innovation Awards
Political leaders	Alderman, City of Chicago

25 total: meets 4x / year

Implementing partner

ILLINOIS SCIENCE & TECHNOLOGY COALITION

Non-profit, member organization that drives public-private partnerships between industry, research universities, federal labs and government to increase research and technology-based investment, talent, awareness and job growth in Illinois

Source: Illinois Innovation Network website; Illinois Science & Technology Coalition website; Illinois Press Release, Mar. 21, 2011

D7 A "Digital & Entrepreneur Task Force", consisting of experts from across the innovation funnel, could provide senior stakeholder input on strategy

Ecosystem component	Profile description
Entre-preneur support	▪ CEO(s) of **leading incubators** in priority sector(s)
Entre-preneurs	▪ Successful **serial entrepreneur** based in Lebanon ▪ Successful **new entrepreneur** based in Lebanon
Finance	▪ Partner(s) from **angel or seed funds** headquartered in the country ▪ Partner(s) from **venture capital or micro-/small-cap PE firms** headquartered in the country
Research	▪ Director of **Technology Transfer** from public and private universities in State ▪ Leaders of **other major public or private research institutions** in State
Corpo-rates	▪ Leader of new business creation effort of **major domestic corporation and banks** (e.g., head of corporate venture arm)
State	▪ **Minister** of **telecommunications** ▪ Members of **key State programs** supporting start-ups and SMEs
Talent	▪ Leadership from the **Lebanese University** and **leading private universities**

- Optimize for individuals with **time and passion** to commit, not simply a **prestigious title**
- Target ~**10-20 members**
- Ensure all **regions** of the state are represented
- Leverage **stakeholders who have been actively involved in the work** as potential members and/or source of referrals

Lebanon could establish an "Entrepreneur Council" to provide input on the country's innovation strategy

Potential council function	Illustrative role
Develop and refresh fact base	▪ Provide **critical intelligence** from members' respective parts of ecosystem ▪ Provide expert **perspective on impact of country-wide trends** on start-ups
Set country-wide new business creation strategy	▪ Support **prioritization** to ensure strategy remains focused ▪ Support development of **recommended actions** for government
"Quarterback" select strategic priorities	▪ Identify or serve as **initiative sponsors** ▪ Serve as **technical experts** on detailed designs of specific initiatives
Build consensus around fact base and strategy	▪ Build **consensus within, and surface concerns from, members' respective parts of ecosystem**

Source: Expert Interviews

D7 Lebanon could promote the industry and build a public promotion trademark campaign similar to France's "La French Tech"

The French Tech is a 200 MEUR public promotion trademark…

- The "French Tech" is a **collective trademark** launched on Nov 27th 2013 by the French Government, which encompasses:
  - **The French start-ups ecosystem**
  - **All French Public initiatives** aiming at supporting the creation and development of start-ups
- The French Tech initiative is **implemented by the French Tech Mission (~20 people)** in conjunction with the **Ministries of Economy and Finance** (General Directorate for Enterprises, General Directorate of the Treasury), **of Foreign Affairs** and the **General Commissariat for Investment**.
- Financing of the French Tech Initiative is part of the Future Investments Program (PIA): **200+ MEUR**

… that aims at federating, accelerating and spreading the success of the French start-ups ecosystem

One core ambition: "***Make France one of the greatest start-ups nations. The French champion start-ups will become creator of future jobs and growth***", with 3 main actions:

Federate

- Federate a community (of Public and Private actors) around one core brand and a structured network of **French Tech metropolis or thematic groups** (13 metropolis + 9 thematic networks)

Attract

- Spread the success of the French start-ups by creating an attractiveness platform, some hubs abroad and initiatives to welcome successful foreign entrepreneurs

Accelerate

- Accelerate start-ups development through several financing tools including a 200 MEUR investment funds and other French Tech subsidies (e.g. French Tech grants, French Tech Pass[1])

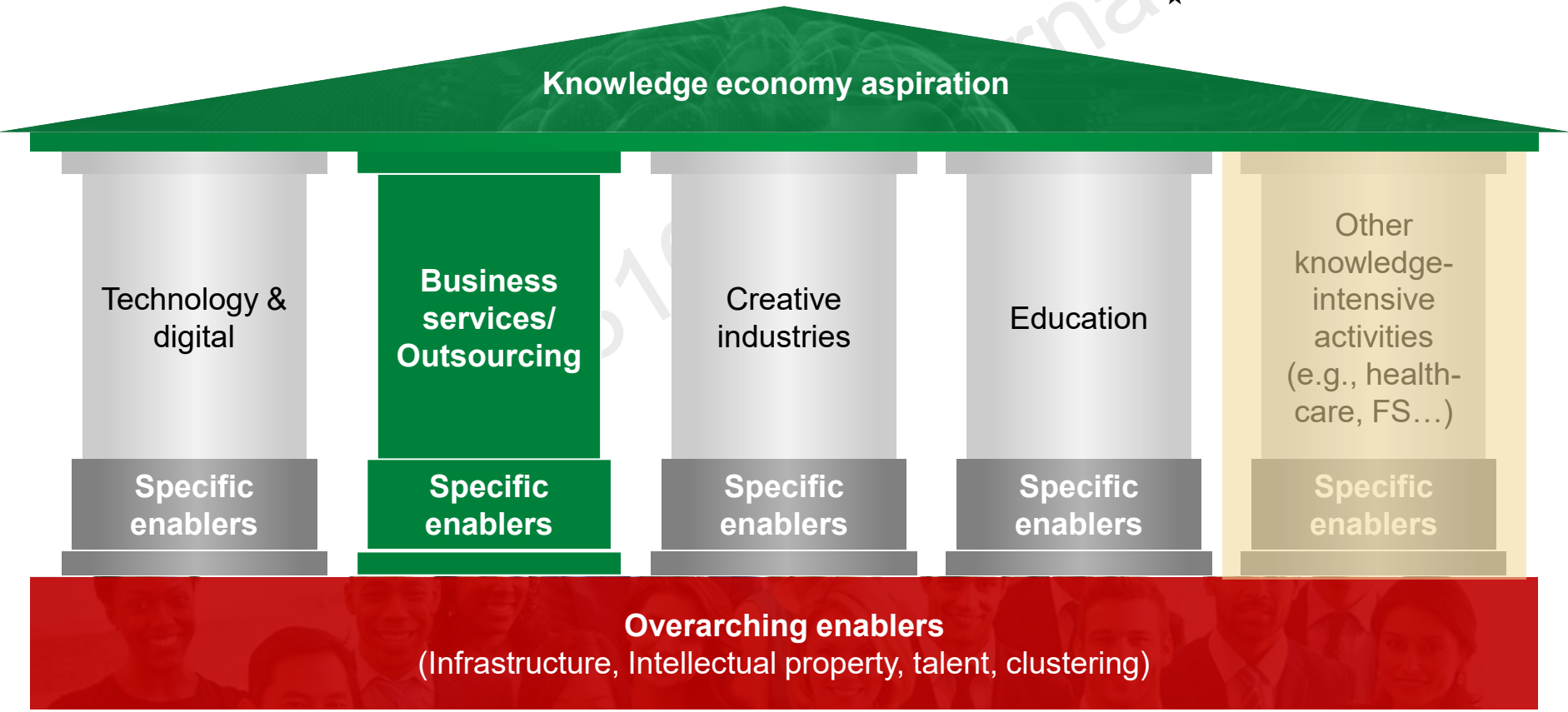
1 Premium and coordinated services for "hyper-growing" companies

Source: French Tech website

In the context of Lebanon, knowledge economy is broadly defined as four focus sub-sectors

Detailed next | Covered in other sections

> "…the **knowledge economy** as **production** and **services** based on **knowledge-intensive activities** … The **key component** of a knowledge economy is a greater **reliance** on **intellectual capabilities** than on physical inputs or natural resources"



Source: The Knowledge Economy; Powell Snellman; OECD

The process outsourcing, xPO, industry broadly covers four sub-sectors: CRM, BPO, KPO and ITO

Covered as part of Tech

	Definition	Sample Functions	Key Drivers
Customer relationship management (CRM)	Contracting of **voice processes** to a nearshore or remote third-party provider	▪ Call Center	▪ Pure **cost game** ▪ Requires **language knowledge** and **time-zone** ★
Business process outsourcing (BPO)	Contracting of **non-primary/support** business activities, functions and processes to a nearshore or remote third-party provider	▪ Human Resources ▪ Finance & Accounting	▪ Lower **cost** ▪ **No specialized** talent pool required
Knowledge process outsourcing (KPO)	Contracting of **knowledge-intensive functions** that are usually core to an organization	▪ Market research ▪ Marketing analytics ▪ Financial modeling and valuation	▪ Added **value** ▪ **Specialized** talent required but decent jobs generated
Information technology outsourcing (ITO)	Contracting of all or parts of the **IT functions** of a company to an external party	▪ Data Center ▪ Application development and management ▪ End-user IT Helpdesk	▪ Lower **cost** ▪ **Specialized** IT talent

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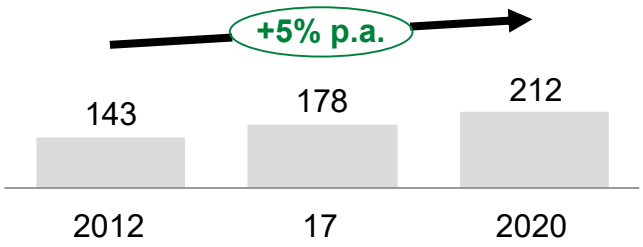
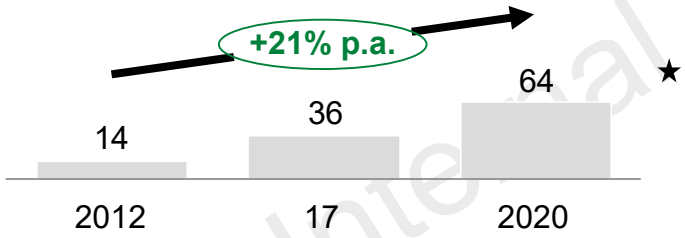
With the right government framework, the outsourcing sector presents a valuable opportunity with the potential to create 25-35K jobs

O&O is an attractive market currently worth ~USD 168 Bn …

BPO market size, USD Bn



KPO market size, USD Bn



… with over 100 other locations actively competing for a share of pie by carving out unique value propositions

Capturing a "fair share" would allow the creation of **~20,000** jobs in BPO and a further **~10,000** jobs in KPO by 2025

Source: Gartner: Forecast: IT Services Worldwide 2013-2019, 4Q15 Update; Evalueserve estimates; Factiva

Developing the Lebanon outsourcing sector would occur through 2 main "plays"

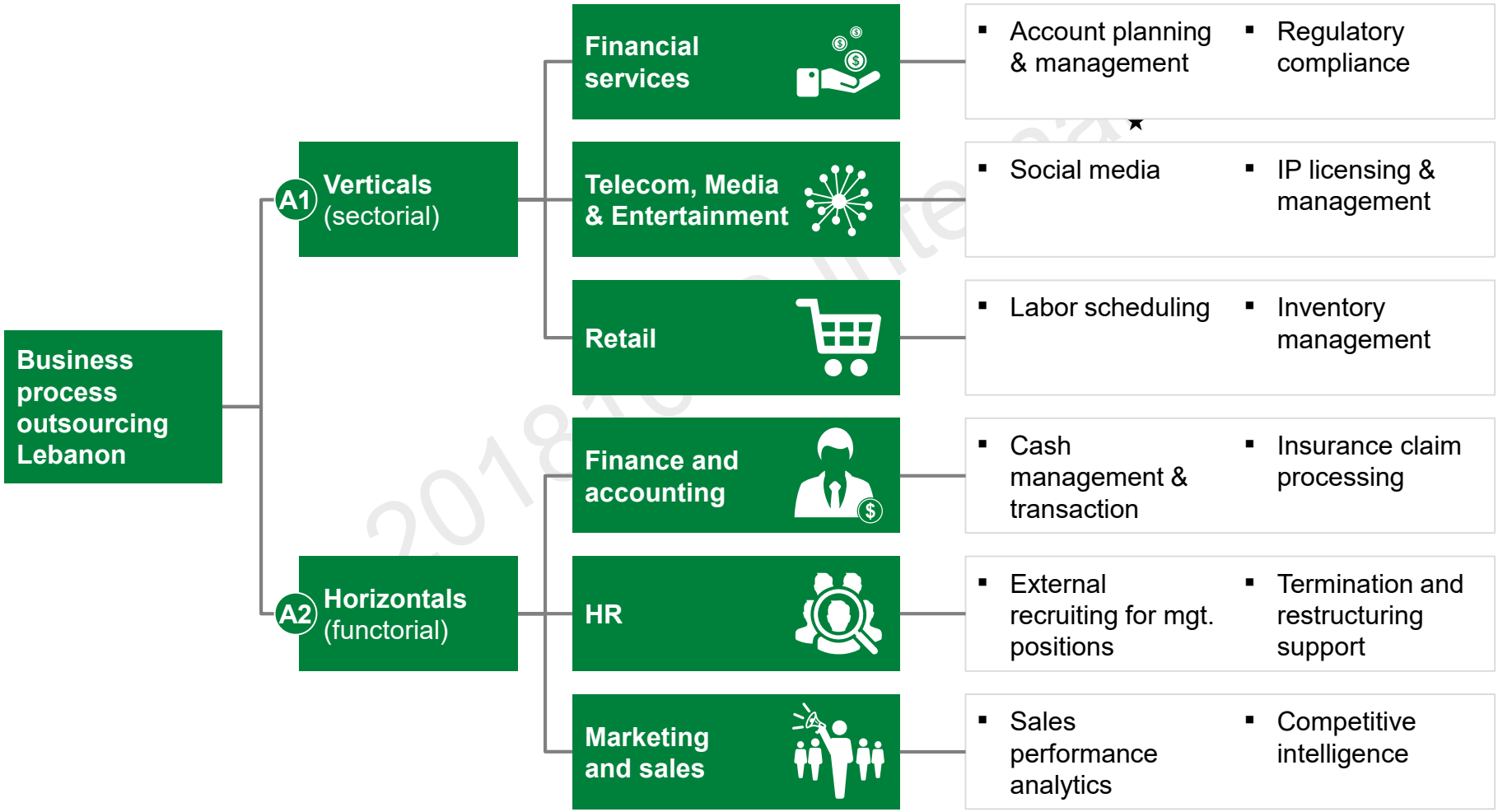
Job potential | Do not target | Strategically target | Actively target

Key advantages

- **Large and high-quality talent base** with business and STEM backgrounds offering
- **Cost competitiveness against GCC** countries
- **Specialized** knowledge in **financial services** and **creative industries**
- **Deep regional knowledge** and understanding of culture & language

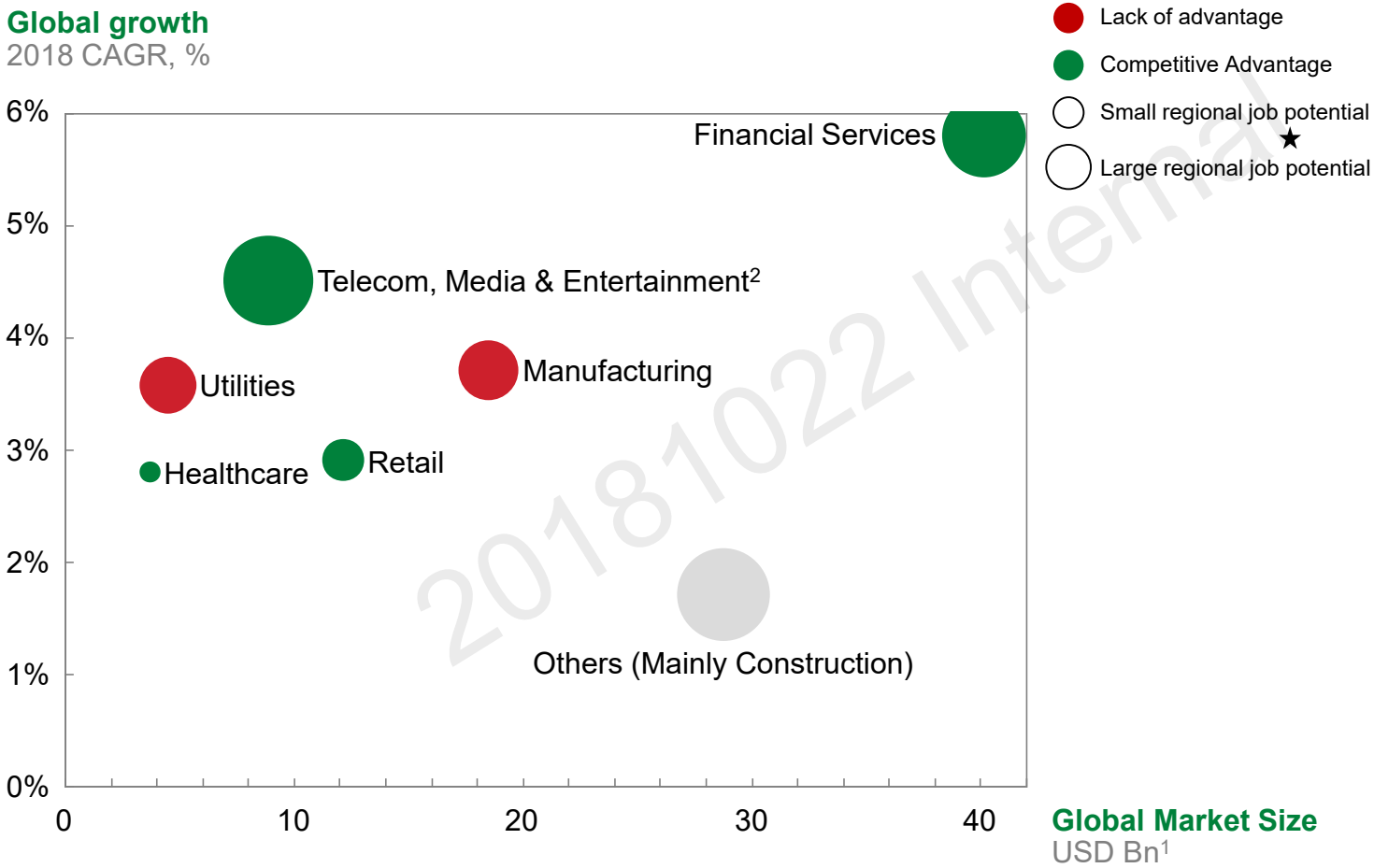
	Middle East regional	Global
CRM	▪ **Pure cost game, cannot compete** against **regional hubs** **Need to target to build industry foundations**	▪ **Pure cost game, cannot compete** against **global hubs** (i.e. Philippines & India)
BPO	**A** Proximity is a major factor ▪ "High-skill" services can be offered at a **premium** ▪ **Can compete** by specializing **~20k**	▪ **Cost is a major factor, cannot compete on costs** against global hubs and cannot offer superior quality to justify premium
KPO	**B** **Knowledge** intensive **services** offered **at a premium for specialization** and **higher quality** of services ▪ Can compete on type of offering against global hubs by leveraging Lebanon's key differentiators (e.g. regional knowledge to establish a GCC research desk) **~10k**	

A Lebanon's BPO value proposition is to be built around three sectorial & three functional plays



A1 The three verticals were prioritized based on the evaluation of the 7 BPO sectors across four dimensions

Lebanon should prioritize Financial services, TME & Retail based on global trends, regional opportunity and competitive advantage



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- Different **BPO verticals** were **assessed** according to **global market size & growth**, **regional opportunity** and Lebanon **Competitive advantage**
- **Lebanon** should **focus on** providing BPO services, specializing along three verticals
  - **Financial services**
  - **Telecom Media & Entertainment**
  - **Retail**

1 Excludes "low skill" CRM services, only includes HR, F&A and vertical core services
2 Includes Telecom, Hotels & Restaurants & travel

Source: Gartner; GCC Labor force surveys

A2 Lebanon should specialize in three functions, F&A, HR and M&S, with an emphasis on high-skill services

Actively target | Opportunistically target | Strategically target

	Finance & Accounting	HR Functions	Marketing & Sales	Customer relationship mgt.	Procurement
Rationale	▪ Large pool of "Business & Finance" grads (43k yearly graduates) ▪ High-quality talent for marketing & sales			▪ Pure cost game ▪ Credibility-building	▪ Lack of competitive advantage
Low skills required	▪ General ledger accounting ▪ Accounts payable ▪ Accounts receivable ▪ Travel & expense ▪ Standard management reporting	▪ Timesheet tracking ▪ Training design & delivery ▪ Payroll and benefit processing ▪ Retirement plan design	▪ Basic secondary information retrieval ▪ Marketing promotion activities ▪ Performance dashboards ▪ Sales management	▪ Low and medium complexity calls – Customer service – Inbound sales – Outbound sales – Internal helpdesk – Collections ▪ High complexity calls for internal helpdesk and collections ▪ Customer tech support	▪ Vendor inquiries ▪ Invoice payment ▪ Baseline analysis ▪ SLA/ standards monitoring ▪ Compliance management ▪ Vendor selection & contracting ▪ Process and systems implementation
	▪ Cash management & transaction processing ▪ Tax transaction, compliance & processing ▪ Insurance claim processing	▪ Temporary labour recruitment and coordination ▪ External recruiting for management positions (ex: universities) ▪ Termination & restructuring support	▪ Quantitative market research ▪ Competitive intelligence		
High skills Required					

Emphasis to be placed on higher-skills services

21022 Internal

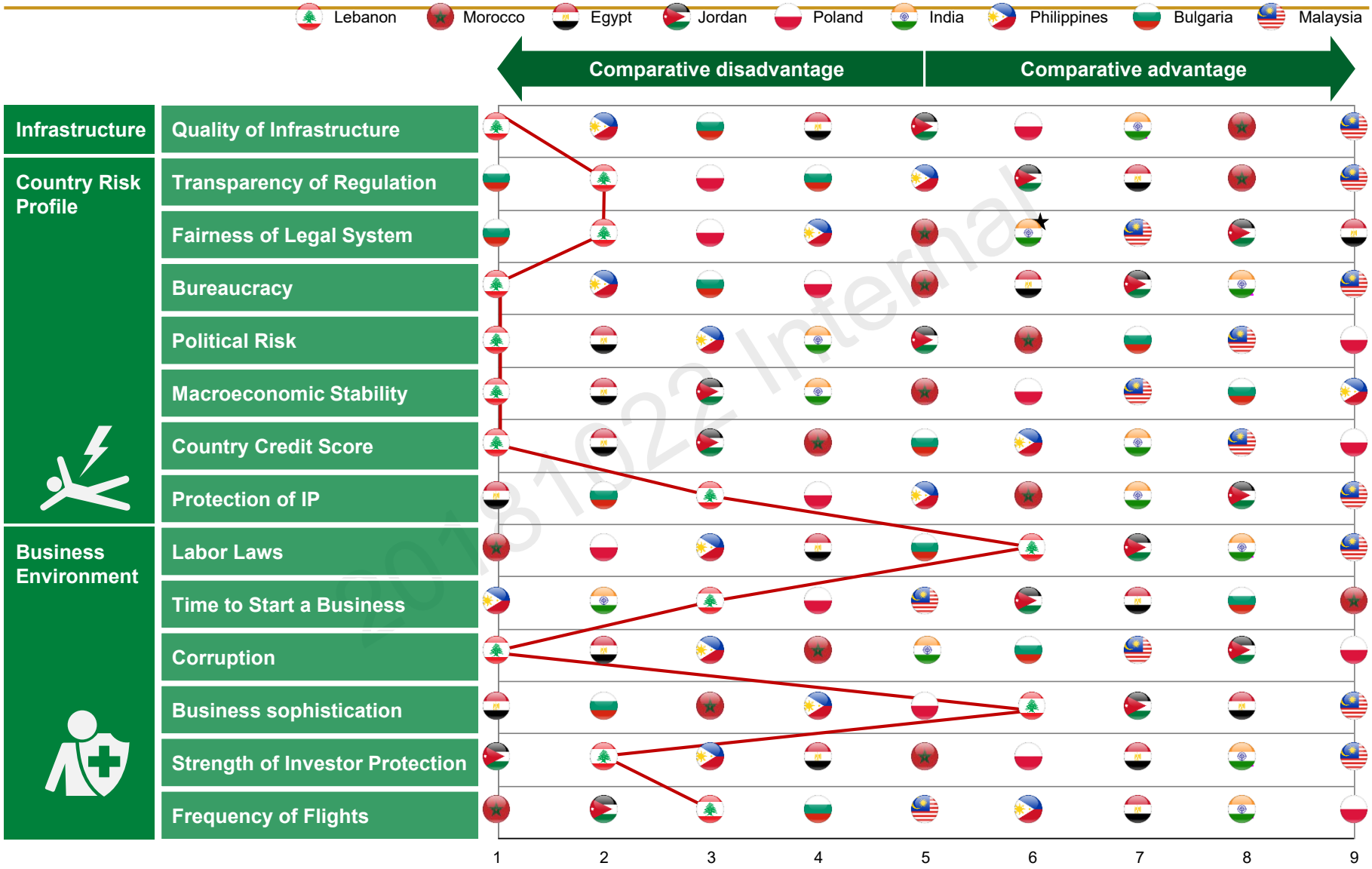
B The country should specialize as well in two main KPO functions: research & analytics and engineering

Lebanon Potential Plays

	Research & Analytics	Engineering	Supply Chain	Legal	Healthcare services
Rationale	▪ Large pool of STEM graduates ▪ High-quality talent for math and engineering		▪ No comparative advantage		
Example Services	▪ Research design and project planning ▪ Data analysis and report writing ▪ Market assessment ▪ Data cleansing ▪ Sales & marketing analytics ▪ Financial modeling and analytics ▪ Social media research ▪ Risk analysis and assessment	▪ Product development & commodity management ▪ Business platforms ▪ Plant solutions & services ▪ Geospatial technology solutions ▪ CAD design	★ **Specialization** should occur **through tailoring** services **to regional needs** & requirements: e.g. ▪ Market research desk with emphasis on GCC ▪ Arabic social media sentiment analysis		
Vendors & Providers	SUTHERLAND GLOBAL SERVICES Measurable Performance Delivered Globally EVALUESERVE Expert Knowledge Services	Infosys® TATA CONSULTANCY SERVICES	HCL GENPACT Global Business Impact	UNITEDLEX mindcrest Empowering Attorneys	AMRI Hungary Formerly known as ComGenex Inno pharm

2 Internal

C To enable the success of the sector, key shortcomings are to be addressed, mainly IP laws, business environment and infrastructure



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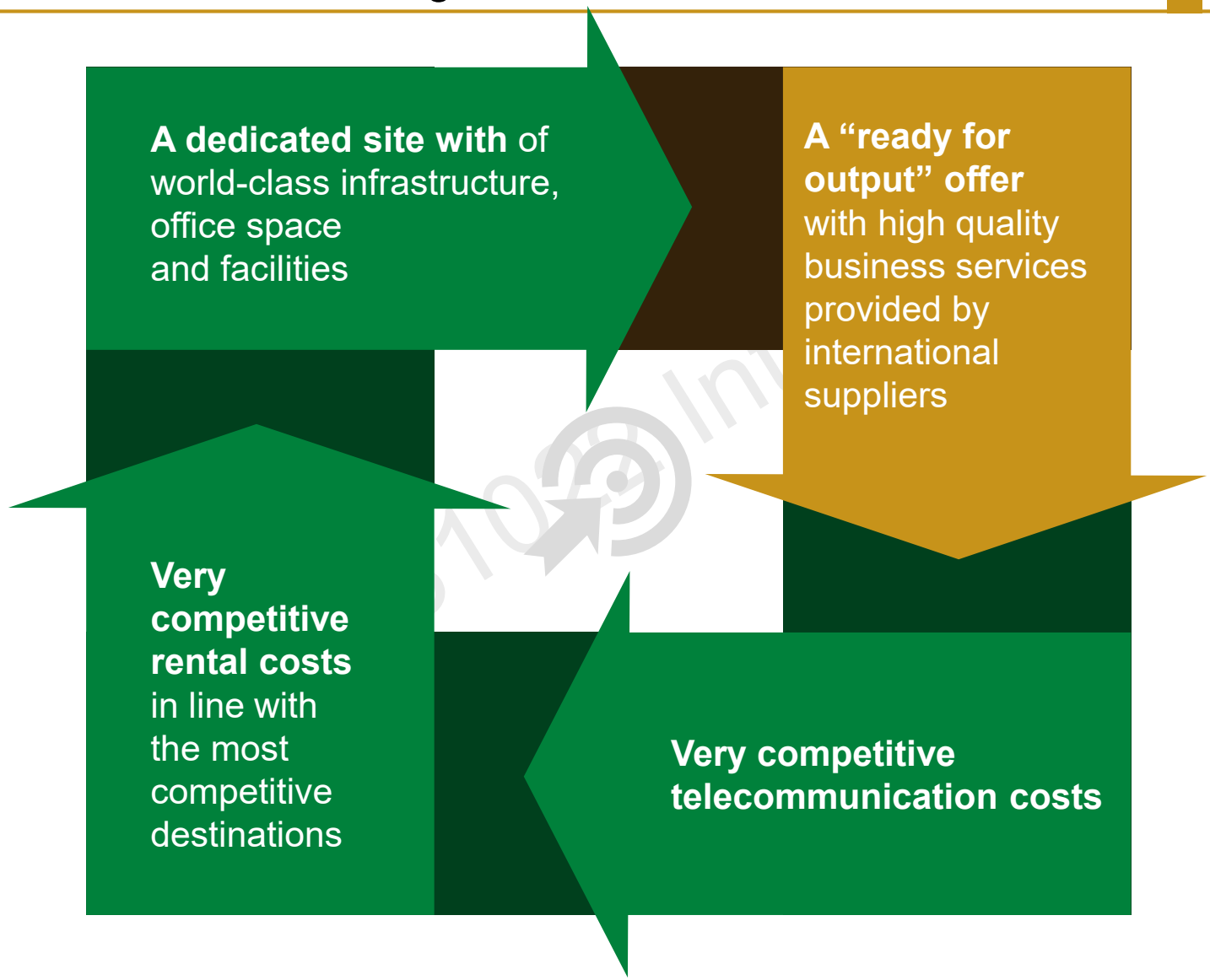
Source: Global Competitiveness Report 2018; Doing Business 2018; Corruption Perception Index 2017

C An outsourcing park could be developed, along with an offering targeting these different shortcomings

See next page



C The outsourcing park should be “ready for output”, offering high quality business services provided by international suppliers

Dedicated client services

On-site services

1 Business services

- Administrative facilitation: Single Point of Contact
- IT operations
- Recruiting support
- Office space organization support
- Business Center
- Others (events. Travel)

2 General services for the zone

- Telecoms
- Catering
- Transportation
- Hospitality (Hotels)
- Sports & leisure
- Postal and financial services
- Others (stores, daycare, etc.)

3 Facility Management

- Facility Management
- Security
- Reception desk & Help line
- Cleaning services
- Parkings
- Utilities (Power supply)

Case Study: Casanearshore, Landmark project of Morocco's offshoring strategy

CASANEARSHORE
Casablanca Nearshore Park

Full serviced dedicated park

- 300,000 m² of ready to use offices
- Full range of facility business and specialized services
- SLA special zone with dedicated telecom operator

Clear success within 5 years of launch

- Awarded Best Offshoring destination by the European Outsourcing Association
- **~400 Mn USD** in investments
- **20,000** additional jobs
- Already over **100 MNCs attracted**

accenture, hp, BDSI GROUPE BNP PARIBAS, OUTSOURCIA, logica, UBISOFT, TATA CONSULTANCY SERVICES, pwc, S2M, intelcia, Geoso, Atos, IBM, DELL, steria

Source: Casanearshore website

C Case Study: Rabat Technopolis, City of technology in the capital of Morocco

CASE STUDY

Park key assets

- Over 300,000 m² of work spaces and services
- 107 Ha of wooded park
- Loop telecom “carrier grad”
- SLA special area

Clear success within 5 years of launch

- Awarded Best Offshoring destination by the European Outsourcing Association
- **~375 Mn USD** in investments
- **30,000** jobs created on the park
- **~375 Mn USD** contribution to GDP bv 2015

CEGEDIM ACTIV

OBISOL Solutions & Innovations

econocom mobility on demand

AXA

percall

Technologies ALYOTECH

logica be brilliant together

GENPACT

Sofrecom

Source: Rabat Technopolis website

D Lebanon should aim at developing tailored programs to meet the prospective talent demand of the sector

Tertiary
Vocational
Certification

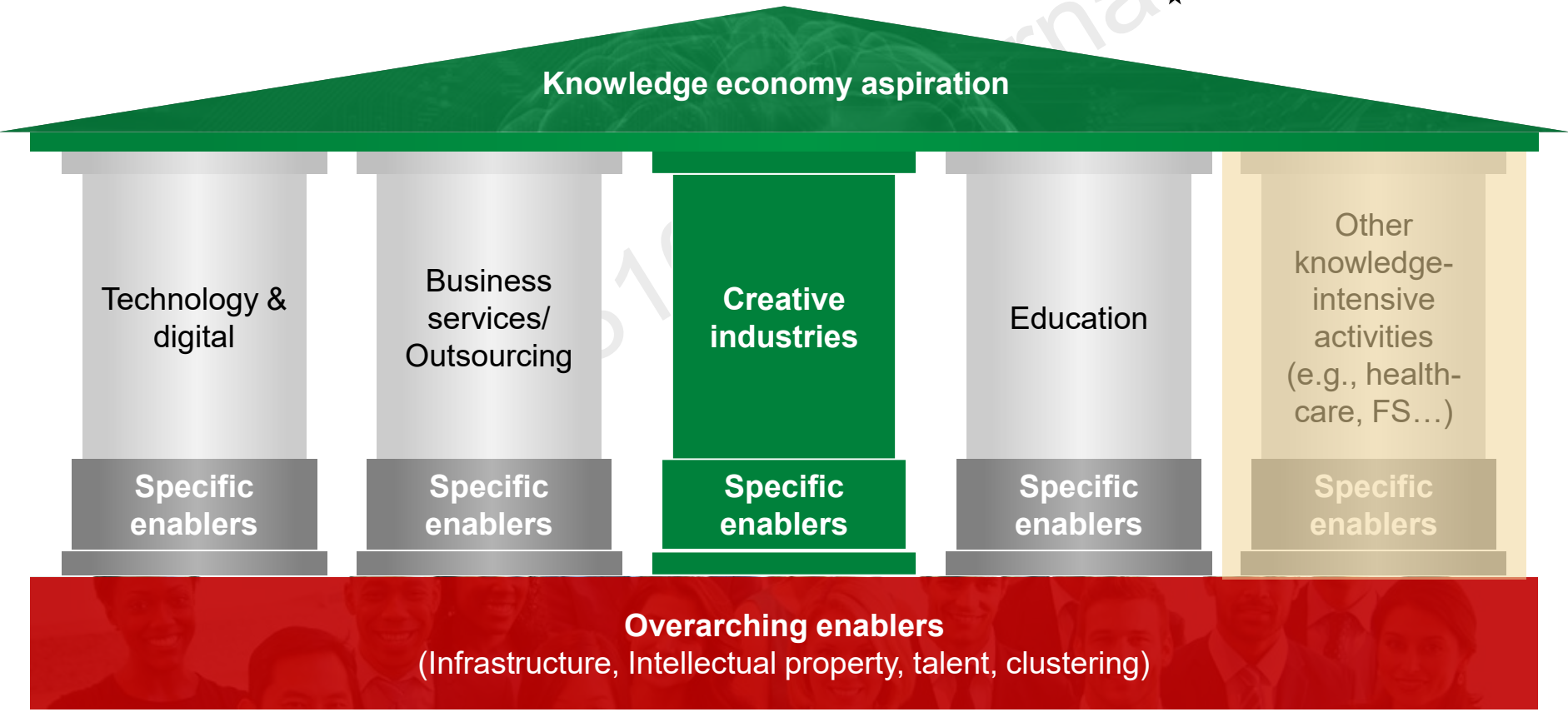
Skill level	Program	Example tracks to be pursued	Talent requirement, by 2025	Institution
High skill	Engineering	▪ Computer sciences & communications engineering ▪ Civil engineering	7.5K	
High skill	Mathematics & Finance	▪ Financial engineering ▪ Big data, analytics & software development ▪ Mathematics, statistic & econometrics	7.5K	
High skill	Management	▪ Offshoring Platform Manager (operations) ▪ Offshoring project management (feasibility study, editing, ...)	0.5K	
Medium skill	Administrative	▪ Accountants (GGC standards & Islamic banking, IFRS, ...) ▪ Back Office employees (payment methods manager, ...) ▪ Insurance Technicians	10-15K	
Low skill	Customer representative	▪ Customer service operators (passive / in-bound sales) ▪ IT Help Desk (first level: office, ..) ▪ Data archivists (filing of documents)	5-10K	

2018-022 Internal

In the context of Lebanon, knowledge economy is broadly defined as four focus sub-sectors

Detailed next | Covered in other sections

> "…the **knowledge economy** as **production** and **services** based on **knowledge-intensive activities** … The **key component** of a knowledge economy is a greater **reliance** on **intellectual capabilities** than on physical inputs or natural resources"



Source: The Knowledge Economy; Powell Snellman; OECD

Overview of Cultural and Creative Industries

The creative economy is defined by its primary resource **CREATIVITY**

> A complex system that derives its value from the facilitation of economic evolution – a system that manufacture attention, complexity identity and adaption through the primary resource of creativity

Culture and creativity are inextricably linked and feed of each other

- The creative industries have as their ecosystem a cultural heritage
- Culture, in turn, is continuously responding to new creativity

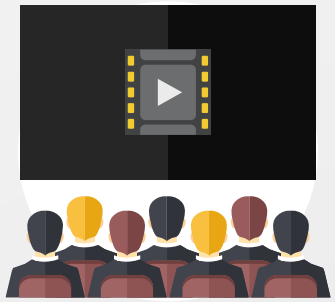
SOURCE: UNDP 2013 creative economy report

Culture and creative industries can be classified into 5 main family groups depending on the type of activity

Not covered

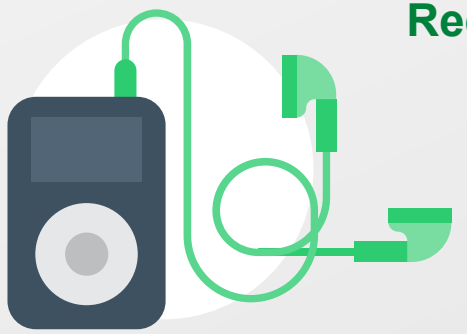
Film

Movies, TV, music clips



Recording and music

Sound recording, radio, music



Visual and performing arts

Theatre, dancing, painting, sculpting, poetry, literature

Design and media

Fashion, design, architecture, advertising, digital media, video and computer games

Cultural institutions

Museums, cultural heritages, libraries

SOURCE: The Work Foundation

Two key factors contribute to the growth of culture and creative industries in a country

Intrinsic competitive advantage (A)

- Human capital and talent
- Cultural heritage
- Culture and mindsets

CANNOT BE addressed through direct government intervention

Cultural and Creative INDUSTRIES

(B) **Government lead enablers**

- Oversight and organization
- Education
- Legislations
- Market access and distribution channels
- Financing
- Branding, events and outreach

CAN BE addressed through direct government intervention

Lebanon is intrinsically competitive in cultural and creative industries

Lebanon's has an intrinsic competitive advantage in the creative and cultural industries

- **Cultural heritage:** Lebanon's cultural heritage (e.g. UNESCO world heritage)
- **Human Capital and talent:** Success stories globally and regionally in creative industries (movies, music, theater, fashion)
- **Culture and mindset:** Lebanon has a very versatile culture (18 religions) and three spoken languages ★

Recent global success in filmography and movie production

Global recognition in high end fashion

ELIE SAAB

ZUHAIR MURAD

Export of Lebanese designers (media, UI/UX, advertisement) especially to the region

Recognized legacy and long standing success in the theatre and music industry

FAIRUZ

فيروز

RAHBANI PRODUCTIONS

Emerging successful modern music bands in Lebanon

مشروع ليلى
MASHROU' LEILA

The Wanton Bishops

> Cultural and creative emerge organically from communities and places, and cannot be easily 'invented' into Industries. Assessing the potential of the creative economy therefore requires careful tracing of what has come before … The particularities of geography and history matter enormously

SOURCE: UNESCO; UNDP; Press search

B At the same time, the cultural and creative ecosystem in Lebanon is facing 5 key challenges

Detailed later

Fragmented representation of the ecosystem in the government	▪ While several cultural and creative industries are represented in either the Ministry of Information of Ministry of culture. some are not represented at all in the government (e.g. fashion, design, digital media)
Educational gap in CC industries	▪ A gap exists between the need and the availability of trained technical talent, with the gap being filled by lower wage skilled non-Lebanese labor
Lack of needed governing laws	▪ Pending approval of enabling legislations to the CC industries (e.g. IP rights, secured transactions law) ▪ Lack of security for people employed in the sector especially given the precarious nature of the business
Difficulty accessing external markets	▪ Limited local market ▪ No structural support for export of services or access to external markets
Limited access to financing	▪ Perceived high risk of CC industries leading to difficulty in access to finance ▪ Limited risk-management from the banking sector in creative industries

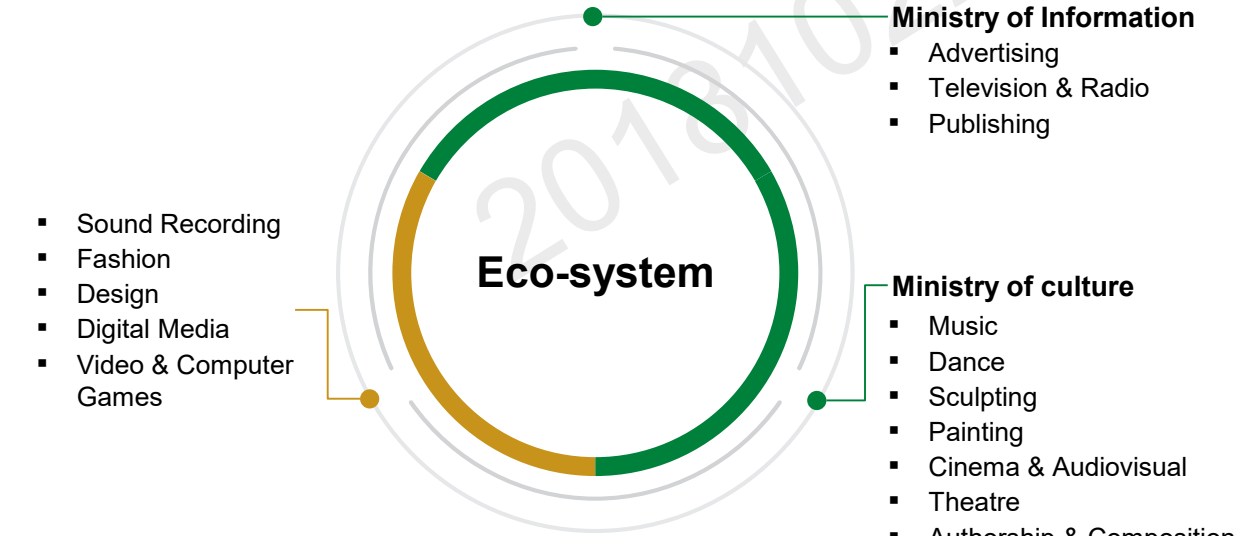
2022 Internal

Majority of CC industries are represented by two government entities; several industries however are not fully represented in the government

The ministry of Culture and ministry of information cover most of the creative and cultural industries …

… However, some industries remain not represented in the government

Represented Not represented



Source: Ministry of culture strategy

CASE STUDY: UK's creative industries contributes to ~5% of the country's GDP[1] and is growing at twice the rate of the economy

Macro-economic performance, 2016

91.8 Bn £
Idol group debut in the last 10 years

1 out of 8
UK businesses is in creative industries

~2 Mn
Jobs in creative industries

>5%
of UK economy's GVA

2x
The growth rate of the UK economy, one of the fastest growing industries in the UK

21.2 Bn[2] £
Creative industries service exports

UK Creative Industries split 2016 (£ Bn)

34.7	IT, Software & Games
15.4	Film & TV
12.3	Advertising
11.6	Publishing
8.2	Music, Arts & culture
4.2	Architecture
3.5	Design & Fashion
0.4	Crafts

1 Excluding taxes and subsidies

2 2015

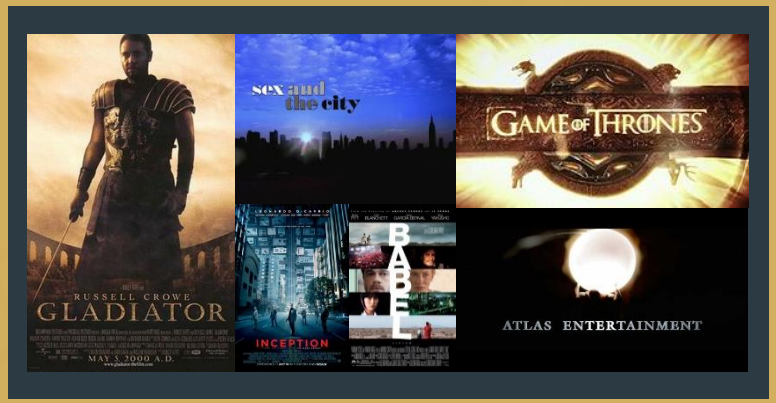
Source: Creative industries UK

CASE STUDY: Morocco has grown into a preferred location for filming of blockbuster movies, TV shows and movie clips

24+
movie blockbusters shot in Morocco

18
movie festival per year

78
foreign video production[1] in 2015



5
major foreign and local film studios

33
Mn euros earned revenues in 2015

16
co-production agreements and film exchanges

1 including movies, ads, TV series

Source: FT

CASE STUDY: South Korea is home of the fast growing K-Pop genre that is gaining worldwide market share and popularity

Size of the K-pop industry

406

Idol group debut in the last 10 years

494 Mn USD

Revenues in 2017

443 Mn USD

Korean Music Exports

6th

Largest **Music market size I 2017**

International awards in 2017

7	Japan Gold Disc Award
4	Yinyuetai V chart Awards
2	Mnet Asian Music Awards
1	Billboard Music Awards
1	MTV Europe Music Awards

K-pop songs on billboard charts in 2017[1]

185	Japan Hot 100
36	Billboard Philippines Hot 100[2]
17	China V chart(Top 30)
6	Canadian Hot 100
2	US Billboard Hot 100

1 Number of K-pop songs on billboard charts with at least one week.

2 Chart started on June 12th, 2017

Source: Billboard Charts; IFPI Global music report 2017 and 2018; ChosunBiz; Korea Annual Music Industry White Paper; Press search

The government should enable all CC industries while also implementing industry specific initiatives

	A Overarching strategy for the sector	B Industry specific initiatives
Description	▪ Sets an overall vision for the CC industries and the roadmap to achieve it ▪ Addresses common pain points to all CC industries ▪ Encourages entrepreneurship and individual initiatives across all CC industries	▪ Allows the country to compete on a regional and international level in a specific industry ▪ Creates a clear brand image for the country
Initiatives	▪ Government representation ▪ Access to financing ▪ Enabling legislation ▪ Access to markets	▪ Infrastructure and specialized space (e.g. theater, recording studios, movie sets) ▪ Special fiscal and non-fiscal incentives (e.g. tax breaks, facilitated permits) ▪ Branding, events and outreach (promotion, delegation, yearly events)

20181022 Interna

A Countries have developed strategies to enable the growth of CC industries by implementing interventions across the entire ecosystem

Detailed later

Government can enable Cultural & Creative industries to emerge and grow through looking at the entire ecosystem and identifying bottlenecks across the 5 stages of the creative pipeline

Strategy	Description	Initiative
Creative Britain	"A vision of creativity as the engine of economic growth for towns, cities and regions. It's also a vision of dynamic, innovative, successful creative businesses providing prosperity and fulfilling job opportunities right across the country"	The strategy covers the whole creative process from the grassroots to the global marketplace: ▪ Implementing culture in children education ▪ Linking education to the world of work (e.g. apprenticeships) ▪ Investing in creative and culture research
Creative industries development strategy	"Our vision is to develop a **vibrant and sustainable creative cluster to propel the growth of Singapore's Creative Economy"**	The strategy lists initiatives across three clusters of CC industries: Arts&Culture, design and media
Creative Industries, a Strategy for 21st Century	"Achieving a competitive creative industries sector is vital to Australia's prosperity, propelling a creative, imaginative nation in the 21st century."	The strategy has three main themes to enable its CCI: ▪ Leverage national foundations (investments in infrastructure, human capital and research) ▪ Optimise commercial capacity (access to markets, financing and business development) ▪ Grow creative content and services (incl. legislations, creative networks and spaces)

A CASE EXAMPLE: UK recognised the importance of creative industries and developed a strategy to enable it across different stages

Overview of the sector and strategy

Strategy
Creative Britain

Date
2008

GDP contribution
7.3%
(£60Bn)

Number of people employed in the sector
2 million

Initiatives: Initiatives of the strategy aim at nurturing talent in CC industries and providing support across different stages of the journey

1

Giving all children a creative education

Establishing a program in school piloting
5 hours of culture a week for children and young people

2

Turning talent into jobs

Nourishing creative talent through[1]:

- Partnerships between employers and skills providers
- End-to-end development of creative skills (14-25 years old)
- Apprenticeships in the creative industries

3

Supporting research and innovation

Providing funds and grants to[1]:

- Inspire new collaborative research and development ideas to the creative industry
- Investing in early stage companies
- Research the value of innovation in the creative industries

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1 Not exhaustive

B CASE EXAMPLE: In parallel, the UK launched sector specific initiatives to grow high potential creative industries

TV productions

- Up to 25% tax reductions tax reductions for qualifying expenses in the production process

Video games

- The government has set up a UK Games Fund that help video game companies grow with grants to support new projects and talent

Arts

- Tax breaks for philanthropists who donate a part of their inheritance to cultural bodies & charities
- State-franchised lottery system from which a part of the money generated goes to sponsoring art & culture organizations

Music

- The UK hosts a series of international music festivals that are internationally recognized and cater of all genres of music

B CASE EXAMPLE: Morocco aggressively grew its film industry through targeted initiatives and incentives

Fiscal enablers

- Rebates granted by Royal Air Maroc for the air transport of goods and passengers
- Symbolic tariffs for shooting films at historic sites and monuments
- VAT exemption for all goods and services acquired in Morocco

Non-Fiscal enablers

- Simplification of the procedure for temporary imports of arms and munitions required for film shoots
- Simplification of the customs-clearance procedure for importing and exporting film-shooting equipment
- Dedicated department (within the CCM) that further facilitate procedures and contacts with authorities involved in film shoot
- Deployment of government and army resources (e.g. tanks) to shoot scenes

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B In order to compete internationally in specific CC industries, Lebanon should provide enablers across three main areas

Select CC industries to grow through targeted initiatives

Enablers for selected CC industries

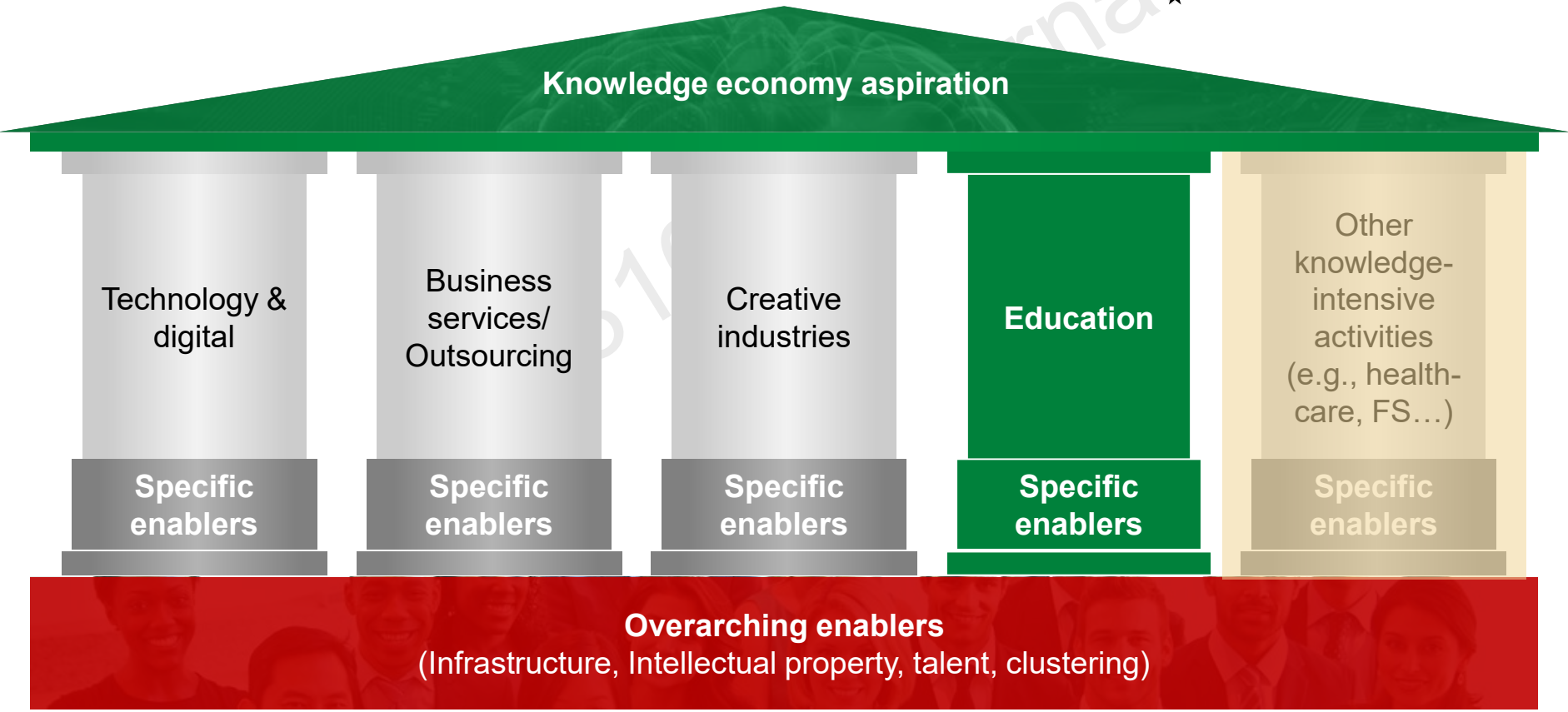
Branding	▪ Yearly festivals to promote the selected industry ▪ International delegation and familiarization tips for leaders in the industry ▪ Promotion in international fairs
Targeted incentives	▪ Fiscal incentives (E.g. Tax breaks, cash rebate) ▪ Non-fiscal incentives (E.g. facilitated permits)
Infrastructure	▪ Proper space for selected industry (E.g. theater, recording studio) ▪ Knowledge creative hub

2 Internal

In the context of Lebanon, knowledge economy is broadly defined as four focus sub-sectors

Detailed next | Covered in other sections

> "…the **knowledge economy** as **production** and **services** based on **knowledge-intensive activities** … The **key component** of a knowledge economy is a greater **reliance** on **intellectual capabilities** than on physical inputs or natural resources"



Source: The Knowledge Economy; Powell Snellman; OECD

Lebanon should focus on growing the educational sector through increasing number of inbound international students

Focus area

Type of exports	Definition	Includes	Share of education export[1]
Inbound international students for higher education	Foreign students that pursue tertiary education within a host country	▪ Tertiary education	~70%
Inbound international students for non-tertiary education	Foreign students that pursue other education within a host country	▪ Vocational education ▪ High school education ▪ K-12 education	~10%
Supplementary education services	Private education providers (other than schools) that **directly interact with students** and/or parents	▪ Enrichment, language, and remedial classes	~10%
Peripheral education services	Private providers of **services to school operators** that directly affect educational outcomes	▪ Curriculum developers (e.g., e-learning) ▪ Textbook publishers ▪ Educational software providers ▪ Teacher training institutions	~10%

Implications on Lebanon

- Highest share of education exports typically comes from **international students in higher education**
- Lebanon should focus on attracting **international students** to achieve economic growth from the education sector

1 Based on UK share of education exports for 2014

SOURCE: UK department of education

Globally, it has been observed that hosting international students in higher education institutions benefits the country in multiple ways

Economic benefits

International students contribute to the national income through:

- **Direct spends**, e.g., school fees
- **Indirect spends**, e.g., transportation fees
- **Spill-over effects**, e.g., tourist receipts from friends/family of international students

Improvement in overall quality of education

- Accelerated internationalization requires improving the **infrastructure,** standardizing **systems** (e.g. testing, admissions), upgrading the **curriculum which improves overall quality of education**
- Increasing **richness of research and innovation** from exchanges with source countries

Accelerated innovation

- Educational exchanges allow for sharing technology, ideas and knowledge between countries, resulting in proliferation of **niche, high-quality infrastructure and incubation centres**

Increase in global stature

- **Improved image of the host country**
  - Regarded as “safe, open and full of opportunities for youth”
  - Positive feedback loop by international students

Contents – Education

1 Targets

2 Source countries for international students ★

3 Enablers

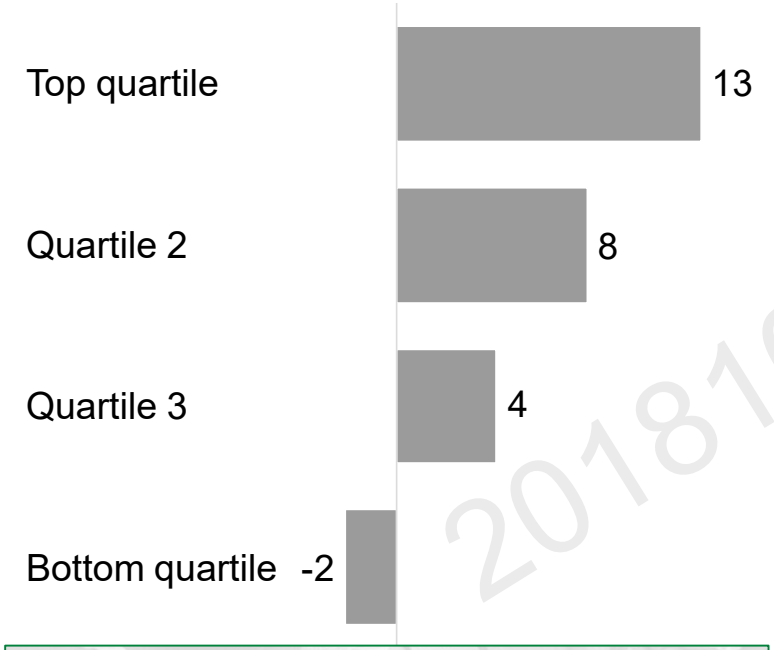
4 Organisation structure

2022 Internal

1 Lebanon should grow the number of international students in universities by 13% p.a., in line with fastest growth peer countries

Growing number of international students as per top quartile country…

Number of international students CAGR, %
(2011-2016)

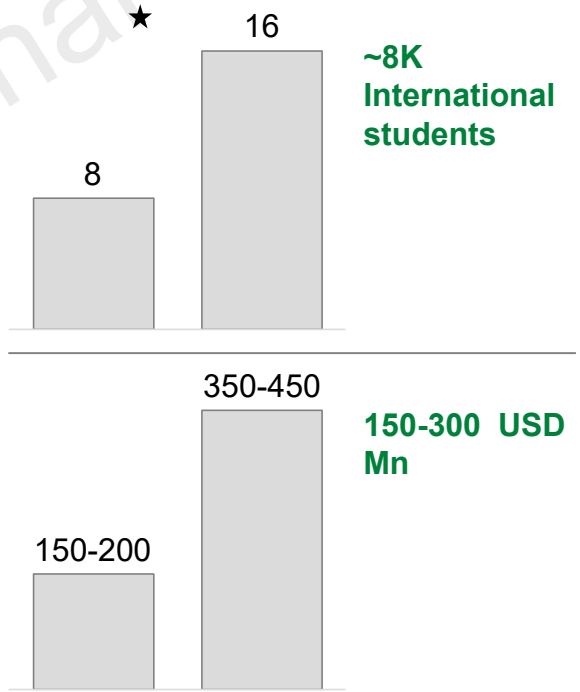


Peer group countries were selected on the basis of number of international students (5-20K)

…Will lead to doubling the number of international students and growing revenues by 150-300 Mn USD

Number of inbound international students (Mn students)[1]

Total revenues[2] (Mn USD)



1 Growth was assumed starting year 2020
2 Includes direct (tuition) and indirect cost

Source: UNESCO Institute for Statistics; Ministry of Education

1 Institution reputation is the most important reason for students to seek education abroad

UK EXAMPLE

International student motivations

Decision factors among international students studying in the UK
Scale from 4 = "very important" to 1 = "not important at all"

Reasons	Aggregate ranking
Institution reputation	**3.46**
Specific course of study	3.43
Earning potential	3.33
Personal safety	3.31
Research quality	3.27
Cost of living	3.17
Location	3.13
Opportunities for further studies	3.12
Cost of study	3.09
Work opportunities	3.01
Social life	3.01
University scholarship/bursary	2.87
Opportunity to work while studying	2.86
Visa process	2.61
Permanent residence	2.60

Institutional reputation can be measured through:

- **Global recognition**
- **Research output**
- **Employability of graduates**

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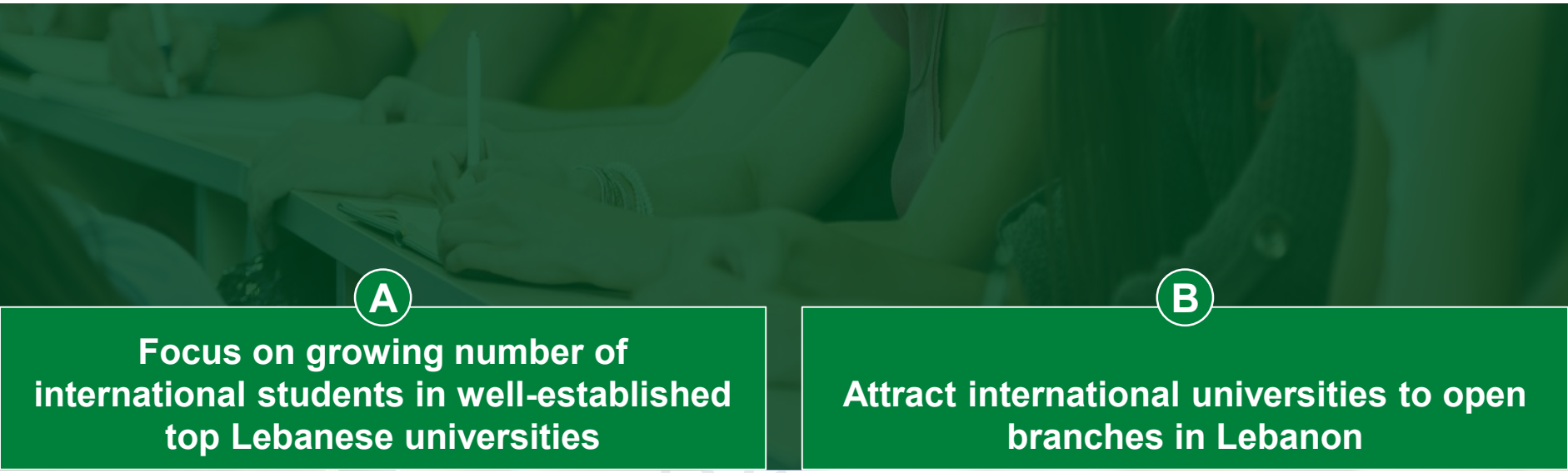
Source: UK international higher education unit, 2015

1 Lebanon could grow the number of international students in existing universities while attracting global universities to launch campuses



A Focus on growing number of international students in well-established top Lebanese universities

- Launch an aggressive marketing campaigns to promote top Lebanese universities (roadshow, education fairs)
- Offer incentives for universities to improve their research output
- Assess capacity constraints in top universities to accommodate for increased number of international without decreasing number of seats for Lebanese students

B Attract international universities to open branches in Lebanon

- Partner with international universities/institutions to open campuses in Lebanon (Growing trend in the GCC region which are competing with Lebanon as education hubs)

1A 5 universities can potentially drive the highest growth in international students

High Medium Low

Metrics	Global Ranking	Graduate employability ranking	Research output	Number of international students[1], K students	International students as % of student body in university[1]
Educational institutions attract international students through ▪ High global ranking ▪ High research output ▪ High employability of graduates					
AUB	237	High	41	1.5 ★	17%
USJ	500	Medium	301-500	0.6	6%
LAU	601-650	Medium	N/A	1.1	13%
Balamand	591-600	Medium	N/A	0.2	4%
USEK	651-700	Low	N/A	0.2	3%

20181022 Internal

- Capacity in the 5 selected universities needs to be assessed to ensure that international students are not taking the place of Lebanese students
- In case the universities are already operating at full capacity, the government should offer incentives for capacity expansion

1 Excluding Syrian and Palestinian students
Source: Ministry of Education; QS ranking

1B Moreover, global universities could launch campuses in Lebanon, provided that resources are available and support is provided

Successes examples of global expansions of universities

NEW YORK UNIVERSITY ABU DHABI

INSEAD

THE GOVERNMENT OF ABU DHABI

Singapore Government
Integrity · Service · Excellence

HMSDC
HARVARD MEDICAL SCHOOL DUBAI CENTER
INSTITUTE FOR POSTGRADUATE EDUCATION AND RESEARCH

RCSI BAHRAIN

GOVERNMENT OF DUBAI

MIT&MI

Technische Universität Berlin

Key reasons behind success

- Provision of **ample funding and resources** by host country
- Consensus on **common goals** in a specific area of study
- Ability for international university to **generate employment** in host country
- Provision of **world-class education and teaching staff** by international university
- Ability to **maintain international reputation**, ensuring continual enrolment
- Relatively **stable government and economy** in host country

1B Global university partnerships have benefits for both the university and the host city in the fields of research and education

	Partnerships	Type of Partnership	Benefit for incoming institution	Benefit for host country
NEW YORK UNIVERSITY ABU DHABI / THE GOVERNMENT OF ABU DHABI	**NYU and Government of Abu Dhabi**	Branch campus	▪ Endowments from Abu Dhabi Government	▪ Build Abu Dhabi's reputation as an education hub through high profile higher education institution
HMSDC / GOVERNMENT OF DUBAI	**Harvard Medical School Dubai (HMSDC) and Government of Dubai**	Branch campus	▪ USD 13.6 million from Dubai Government for the creation of the Maktoum-Harvard Library in Dubai Healthcare City ▪ Unique opportunities to experiment with healthcare	▪ Local medical students and graduates to train at Harvard Medical School, or its affiliated hospitals in Boston ▪ Build Dubai Health Care City's reputation
Technische Universität Berlin	**Technische Universität Berlin and Government of Egypt**	Branch campus via non-profit Public-Private Partnership	▪ Opportunity to leverage satellite campus to make research advancements in the area of sustainable development	▪ Leverage donation from TUB alumni to allow Egyptian students to further R&D in science, subject to German standards
INSEAD / Singapore Government Integrity · Service · Excellence	**INSEAD Singapore campus**	Branch campus	▪ Access to high growth region and provides international opportunities for faculty and students	▪ International exposure and development of an entrepreneurial focus for Singaporean students
RCSI BAHRAIN	**The Irish Royal Surgeon's college in Bahrain**	Branch campus	▪ Advance global healthcare and research and make use of land donated by Bahraini government	▪ Produce renowned healthcare researchers and professionals for Bahrain
MIT&MI	**MIT and MASDAR Institute**	Cooperative Program	▪ Leverage Abu Dhabi's capital and MASDAR's focus on sustainable development and renewable energy	▪ Potential to grow Abu Dhabi into a hub for renewable energy and also generate human capital

20181022 Internal

SOURCE: Press/Literature Search; Team Analysis

International students from regional and global destinations require a tailored approach for each target segment

A

Become a regional hub attracting students for neighbouring Arab counties

B

Become a niche of excellence in Middle Eastern and Arabic studies attracting students from all over the world

2A Regional hubs are emerging and are competing with traditional education hubs as more students are opting to stay closer to home

Trend

1 **Leading destinations like the US, the UK, Germany, France and Australia are steadily losing their share** due to increasing competition from emerging markets

- The US share of internationally mobile students dropped from 22% in 2000 to 19% in 2015, even as the absolute number of foreign students increased from approximately 475,000 to 900,000
- Between 1999 and 2015, the UK—where enrolment has flattened in recent years in the face of more restrictive visa policies—has witnessed a decline in share from 11% to 9%

2 **More students are opting to stay closer to home and study in universities which offer more affordable and culturally-relevant programmes.**

- As against a global average of 5% during 2011–16, the growth in inbound students in South and West Asia has been the fastest at 14%, followed by Central and Eastern European countries at 9%, , the Arab states at 8%, and East Asia and the Pacific at 3%.

3 **Egypt, Saudi Arabia and the United Arab Emirates (UAE)** are making efforts to recruit students from abroad. These three Arab countries hosted 4% of the global share of mobile students in 2014

- Egypt, Saudi Arabia and the United Arab Emirates (UAE) hosted 4% of the global share of mobile students in 2015.
- In the Arab states, the share of mobile students studying within the region increased from 22% to 31% between 2011 and 2016.
- Saudi Arabia, UAE and Jordan have outpaced the UK in attracting students from the Arab states and have become the third most popular destination (after France and the US) for students from the region.

181022 Internal

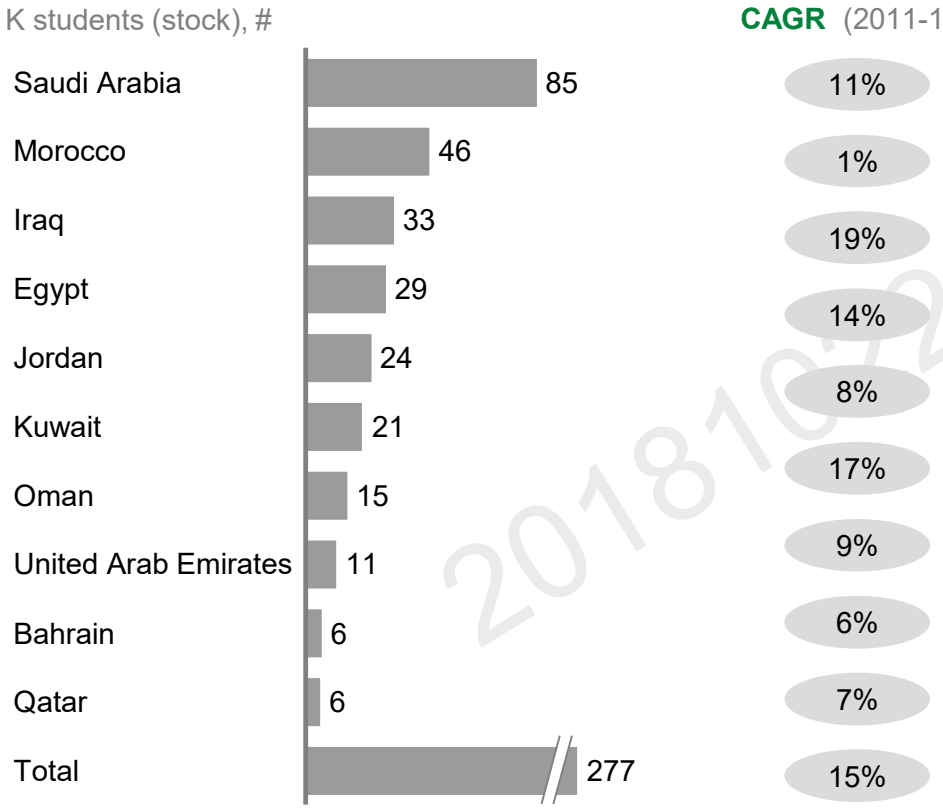
SOURCE: UNESCO Institute for Statistics

2A Lebanon could position itself as a regional hub targeting Arab students

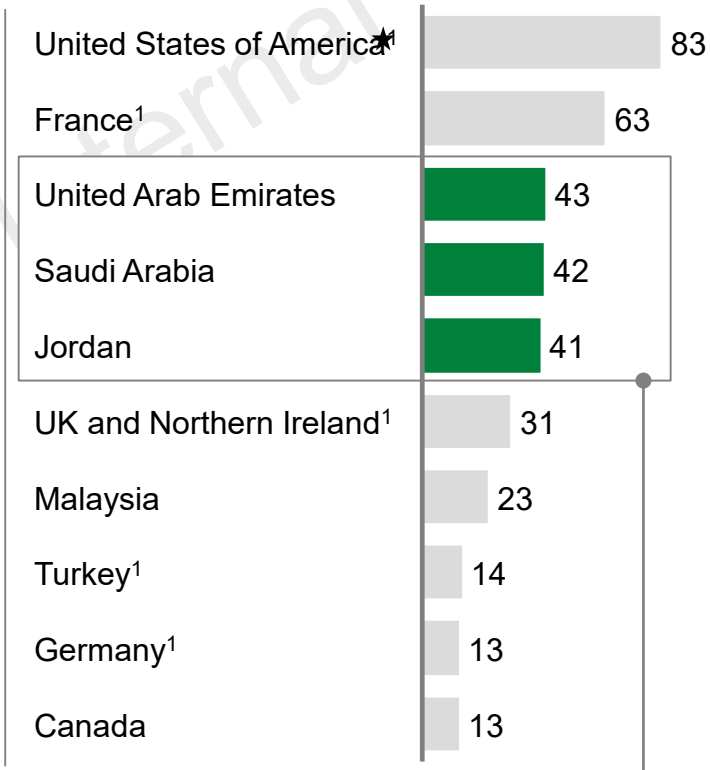
In 216, ~275 K students from Arab countries opted to study outside their countries…

…Out of which ~120K chose to study within the region

Outbound internationally mobile students from Arab Countries, 2016



Outbound students from Arab states by destination country, K students, 2016



1 2015

20181022 Internal

SOURCE: UNESCO Institute for Statistics

2B Lebanon should also develop a niche excellence for European and American students majoring in Middle Eastern and Arabic studies

Lebanon's competitive advantage	Description
Well-established centre for Middle Eastern and Arabic studies	▪ Majority of universities in Lebanon offer Middle Eastern and Arabic studies ★
Moderate and accepting country	▪ Highly tolerant and open country especially compared to the region ▪ Highly diverse community with high share of bi-lingual and tri-lingual Lebanese students which facilitates the communication and integration of international students
Rich and authentic Middle Eastern culture	▪ Diverse and immersive culture which emerged from various civilizations over thousands of years. ▪ Leader in Middle Eastern arts and literature (home to many poets and artists, leader in theatre and music)

18 022 Internal

3 In order to achieve the target number of international students, Lebanon should ensure that 4 key metrics are in place

A. Country metrics

1 Improved overall perception/ reputation of the country as an educational excellence hub

- Marketing and promotion
- Student academic results
- Graduates success stories

2 Superior offering compared to regional and international peers

- Quality of education
- Cost competitiveness

3 Adequate environment for students

- Visa approval process
- Student friendly housing facilities
- Proper transport infrastructure

4 Potential employment opportunities in the country

- Supply-demand of labor force in the country

3 Four initiatives could jumpstart the systematic attraction of international students

Current situation	Description	Implication on Lebanon
Low overall quality of the secondary education system despite strong reputation of Lebanese graduates globally and in the region	▪ Low quality of secondary education system (PISA scores) ▪ High relative share of students enrolled in top universities ▪ Strong reputation of Lebanese graduates in the region	1 Introduce reforms to enhance the overall quality of the educational system especially at the public school level (High quality teachers, specific standards for public schools)
Strong regional competition from Arab and GCC countries	▪ Fast growing number of international students in Arab and GCC countries vs declining share in Lebanon ▪ Top global higher education institutions in GCC countries due to high public sector investments (NYU, Sorbonne, INSEAD, Carnegie Mellon, UCL, Cornell, HEC)	2 Promote Lebanon as an educational hub to attract international students (Appointment of brand champion, Media management, participation in educational fairs)
Student friendly environment but poor transport infrastructure	▪ Low quality of public transportation ▪ Tri-linguistic country ▪ Lenient student visa process ▪ Availability of student housing on/off campus depending on university	3 Development of an information portal for international students (visa, housing, transport, culture, etc.)
Low potential employment opportunities in the country	▪ High unemployment rate (~15-25%) limiting job opportunities in Lebanon for international students in Lebanon	4 Supply the educational system with the right tools and information to graduate students with majors relevant to the economy (e.g. research, national surveys)

2018 Int

Source: PISA scores; Interviews

4 Similar to other emerging leaders, Lebanon should set up a nodal agency to develop and implement the international student strategy

Country	Nodal agency	Manner of appointment	Key responsibilities
Australia	Australian Education International (AEI)	Created via MoUs signed between all key government departments involved with international education	▪ Drafting the "International Students Strategy" ▪ Creating a marketing campaign
New Zealand	Education New Zealand (ENZ)	Formed by the government to lead the promotion of New Zealand education globally	▪ Strategy development ▪ Information dissemination and Marketing ▪ Coordination with agencies and educational institutes for quality enhancement
Malaysia	Education Malaysia Global Services (EMGS)	Wholly owned subsidiary of the Ministry of Higher Education established	▪ Administration of the Education Malaysia brand and website ▪ One stop center for international student services ▪ Responsible for achieving the country's international recruitment goals
Singapore	Economic Development Board (EDB)	Appointment of the lead government agency for planning and executing strategies to enhance Singapore's position as a global business center	▪ Strategy development ▪ Coordination with international stakeholders including international universities1

1 Marketing activities executed by the Singapore Tourism Board

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SOURCE: press search; government websites

Knowledge Economy – priority initiatives (1/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
A Technology & Digital	KNO.A.1	Ensure continuous pipeline of R&D funding	▪ Innovation Council/ Task Force	
	KNO.A.2	Reinforce footprint of technology transfer offices ★	▪ Innovation Council/ Task Force	
	KNO.A.3	Unlock Lebanese University's technology footprint	▪ Innovation Council/ Task Force	
B Outsourcing	KNO.B.1	Create an outsourcing park in a region outside Beirut & Mount Lebanon	▪ Ministry of Industry	
	KNO.B.2	Set-up the Outsourcing team within IDAL	▪ IDAL	
	KNO.B.3	Develop and conduct tenant attraction plan	▪ IDAL	
C Creative Industries	KNO.C.1	Take a bet on specific Creative & Cultural industries (2-3 industries)	▪ Ministry of Culture	
	KNO.C.2	Invest in creative & cultural industries infrastructure	▪ Ministry of Culture	
D Education	KNO.D.1	Attract international education institute to open branch in Lebanon	▪ Ministry of Education	
	KNO.D.2	Address capacity constraint in selected top universities	▪ Ministry of Education	

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Knowledge Economy – priority initiatives (2/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
D Education	KNO.D.3	Enhance overall education system within the country (specifically public secondary education)	▪ Ministry of Education	
	KNO.D.4	Enhance mobility for all educational institutions	▪ Ministry of Education	
	KNO.D.5	Provide transparency on job market supply-demand dynamics	▪ Ministry of Labor/ Ministry of Foreign Affairs	
X.1 Talent Pool & Education	KNO.X.1.1	Revamp secondary curriculum for technology	▪ Ministry of Education ▪ Innovation council/ task force	ABCD
	KNO.X.1.2	Revamp tertiary curriculum for technology	▪ Ministry of Education ▪ Innovation council/ task force ▪ Leb. Univ.	ABCD

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Knowledge Economy – priority initiatives (3/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
X.1 Talent Pool & Education	KNO.X.1.3	Revamp tertiary curriculum for outsourcing	▪ Ministry of Education ▪ Lebanese University ▪ IDAL	ABCD
X.2 Access to Finance	KNO.X.2.1 ★	Ensure continuous pipeline of VC funding	▪ Parliament ▪ BDL ▪ IDAL	ABCD
	KNO.X.2.2	Develop philanthropy grant creative and cultural industries	▪ Parliament	ABCD
X.3 Physical & Virtual Infrastructure	KNO.X.3.1	Develop the physical "Beirut Knowledge Village" cluster in Beirut	▪ Ministry of Industr.	ABCD
	KNO.X.3.2	Design and launch the "Smart Lebanon" virtual licensing scheme	▪ IDAL	ABCD
X.4 Industry Promotion	KNO.X.4.1	Develop and conduct country digital promotion campaign	▪ Innovation Council/ Task Force	ABCD
	KNO.X.4.2	Develop country branding of selected creative and cultural industries	▪ Ministry of Culture	ABCD
	KNO.X.4.3	Set up an information portal for international students	▪ Education board/task force	ABCD

2010 2022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Knowledge Economy – priority initiatives (4/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
X.4 Industry Promotion	KNO.X.4.4	Promote selected universities in target source countries	▪ Education board/task force	ABCD
	KNO.X.4.5	Strengthen the perception of Lebanese graduates employability in international markets ★	▪ Education task force ▪ Ministry of Foreign Affairs	ABCD
X.5 Governance	KNO.X.5.1	Set up the national innovation council as the Task Force to drive the implementation of the digital strategy	▪ Council of ministers	ABCD
	KNO.X.5.2	Set-up an Inclusive organization/task force for creative industries	▪ Council of ministers	ABCD
	KNO.X.5.3	Set up a task force to drive and implement the international education strategy	▪ Council of ministers	ABCD

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (1/9)

NON-EXHAUSTIVE

A

Technology & Digital

	Objective	Initiative	Owner[1]
Kno.A.1	Ensure continuous pipeline of R&D funding	R&D spend in Lebanon stands at 0.22% of GDP whereas the average of global and regional innovation hubs stands at ~1.7% of GDP. The country should as such increase the spend on R&D, with the government driving this increase in spend through for example: ▪ Dedicating government budget annually to R&D grants towards companies operating within the fields of the prioritized sectors ▪ Expanding the scope of circular 331 or any subsequent circular to include R&D project financing ★ ▪ Providing incentives for the private sector to allocate investments to R&D	▪ Innovation Council/Task Force
Kno.A.2	Reinforce footprint of technology transfer offices	Building on existing academic research, commercialization should be augmented to monetize and scale up current and future technologies, through: ▪ Raising awareness on the requirements to bring products to market ▪ Supporting the development of technology transfer offices in leading universities – *The role of transfer offices is to commercialize research output through engaging with the private sector to understand current needs* ▪ Setting up a governance structure, integrated with the Vision institutionalization mechanism, to ensure collaboration between universities and the private sector allowing for sharing of ideas and discussing market needs	▪ Innovation Council/Task Force
Kno.A.3	Unlock Lebanese University's technology footprint	The government should allow the Lebanese University (graduating 50% of tertiary education Lebanese students) to collaborate, with minimal restrictions, with the private sector particularly as relates to technology: ▪ Launching incubators and accelerators within the Lebanese University's branches throughout Lebanon. Space to be provided by the Lebanese University, while the incubators / accelerators to be operated / managed through private sector initiatives ▪ Opening up dialogues between the Lebanese University and tech. players (e.g. VCs, start-ups) to understand skill requirements (e.g. coding). Launch hackathons and trainings within the university's campuses ▪ Driving innovation within the Lebanese University through events and competitions (e.g. start-up competition across the Lebanese University's branches, with prizes including monetary and training compensations) – *Events to cover branches of the Lebanese University in the different regions, beyond just Beirut*	▪ Innovation Council/Task Force

2018-1629 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (2/9)

NON-EXHAUSTIVE

B

Outsourcing

	Objective	Initiative	Owner[1]
Kno.B.1	Create an outsourcing park in a region outside Beirut & Mount Lebanon	Typically, leading outsourcing hubs develop specialized parks to enhance the country competitiveness, through offering best-in-class infrastructure, tax incentives, centralized services, one-stop-shop for administrative services... (e.g. Casanearshore & Rabat Technopolis in Morocco). As part of the outsourcing sector strategy, the government should develop a full-fledged "Plug & Play" outsourcing park with world-class office space and state of the art infrastructure delivered through a PPP in a region outside Beirut (for e.g. Tripoli). The park should: ★ ▪ Provide specific incentives including competitive telecom costs, cheap electricity and low real estate costs; achieving these savings entails setting up the park in a "Tier II" region but close enough to education institutes (e.g. Jbeil) ▪ Provide a full-fledge offering comprising on-site training/skills development facilities, shared services such as business services (e.g., "one-stop shop", IT operations, recruiting support) and general services (e.g., childcare, night transportation, catering and facility management) ▪ Ensure PPP contract is structured in such a way as to incentivize private concessionaire to maximize area dedicated for outsourcing companies and minimize "mixed-used" allocations (e.g. provide cross-subsidized) ▪ Phase out the construction in order to start with a small proof of concept before expanding when tenant demand picks up	▪ Ministry of Industry
Kno.B.2	Set-up the Outsourcing team within IDAL	The outsourcing industry does not clearly fall under the mandate of any government entity. As such, a clear mandate should be provided and the agenda should be driven by an accountable entity, potentially through: ▪ Setting up an outsourcing team within IDAL to lead the outsourcing branding, promotion and outreach effort	▪ IDAL
Kno.B.3	Develop and conduct tenant attraction plan	In order to attract international players and drive the establishment of captive centers for large regional corporations, a tenant attraction effort should be conducted mainly through: ▪ Developing a long list of potential regional corporations to target for captive centers ▪ Developing a long list of potential global outsourcing companies to target ▪ Developing a tenant pitch pack and conducting tenant attraction plan through global visits & roadshows	▪ IDAL

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2019 Draft Internal

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (3/9)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
C Creative Industries	Kno.C.1	Take a bet on specific Creative & Cultural industries (2-3 industries)	Countries with a distinct creative edge have overarching strategies tackling all aspects of the creative & cultural industries (e.g. Creative Britain), while taking a bet on specific niches (e.g. TV production, Video Games, Arts & Music for the UK - Movie Industry for Morocco). As such, Lebanon should select 2-3 creative industries and incentivize their growth through: ▪ Organizing round tables with experts in the field to understand potential of the different creative industries (e.g. Fashion, film industry). ▪ Devising a mechanism to shortlist 2-3 creative industries to focus on, with high job creation and economic contribution potential ★ ▪ Launching a joint public-private sector initiative to support the selected sector (e.g. film industry), through either soft loans, investment attraction, support in marketing & promotion & distribution	▪ Ministry of Culture
	Kno.C.2	Invest in creative & cultural industries infrastructure	Selection of creative industries to focus on should be accompanied by the development of built-for-purpose infrastructure for the sector, through: ▪ Conducting round-table discussions to understand infrastructure requirements and gap areas within the selected creative industries (e.g. recording studio, theatre, exhibition centres) ▪ Develop business case for each project through understanding current and projected demand ▪ Solicit potential investors' interest to invest in the required infrastructure projects – *Understand investors' requirements and concerns to invest, tackle the concerns accordingly by prioritizing quick-wins*	▪ Ministry of Culture
D Education	Kno.D.1	Attract international education institute to open branch in Lebanon	As part of the international students attraction strategy, an incremental 8,000 international students are to be accommodated from now till 2025. In order to expand the current student capacity, the government should attract international universities to open branches in Lebanon through: ▪ Understanding the requirements needed to attract international institutions ▪ Assessing the feasibility of opening up branches in Lebanon and the impact on local universities ▪ Actively targeting ~5 schools and launching discussions to open branches in Lebanon	▪ Ministry of Education

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2018 - For Internal

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (4/9)

NON-EXHAUSTIVE

D

Education
(Contd.)

	Objective	Initiative	Owner[1]
Kno.D.2	Address capacity constraint in selected top universities	As part of the international students attraction strategy, an incremental 8,000 international students are to be accommodated from now till 2025. In order to expand the current student capacity, the government should support domestic universities in their expansion through: ▪ Engaging in dialogue with selected universities to understand capacity constraints/availability to accommodate target international students ▪ Assessing and launching incentive schemes and agreements with universities targeting international students	▪ Ministry of Education
Kno.D.3	Enhance overall education system within the country (specifically public secondary education)	In order to further enhance the attractiveness of the country as a destination for international students, the government should enhance the overall quality of the education system, to restore Lebanon's reputation as an education power house by: ▪ Restoring the prestige of the teacher position and offer better working conditions to incentivize good/top performers to pursue a career in teaching ▪ Setting clear KPT (Key Performance Targets) per public school (primary, secondary and tertiary) and regularly assessing that all public schools adhere to these standards	▪ Ministry of Education
Kno.D.4	Enhance mobility for all educational institutions	A key enabler to attracting international students is enhancing students & staff mobility through for example: ▪ Engaging in international agreement and policy dialogues with other governments and their higher education institutes (HEIs) ▪ Developing streamlined process for student visa ▪ Entering into MOUs and other co-operations for: – Staff exchanges – Development of institutional links – Co-operation in research and development – Recognition of qualifications and credit transfer – Exchange of information on education policy, systems, curriculum development, governance, education materials – Development of twinning programs	▪ Ministry of Education
Kno.D.5	Provide transparency on job market supply-demand dynamics	To enhance the employability of students, the government should supply the educational system with the right tools and information to graduate students with majors relevant to the economy through for example: ▪ Conducting national survey to understand the supply-demand gap in the labor force ▪ Conducting market research to understand labor demand in international markets (detailed in diaspora section)	▪ Ministry of Labor/ Ministry of Foreign Affairs

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2018 Draft-Internal

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (5/9)

NON-EXHAUSTIVE

X.1 Education & Talent Pool

	Objective	Initiative	Owner[1]	Plays
Kno.X.1.1	Revamp secondary curriculum for technology	Today, 71% of entrepreneurs cite lack of Lebanese talent with needed skills as a major bottleneck, with 60% of them citing coding and development as a hard to find skill. Innovation leaders have tackled the problem through a curriculum overall (e.g. UK introduced coding classes to all students aged 5-16). The government should as such update the curriculum at K-12 level to introduce coding classes: ▪ The curriculum should teach children how to code, and how to create their own programs; not just how to work a computer, but how a computer works and how to make it work for you ▪ Workshops should be conducted between MoE and private sector technology players including VCs and startups to understand required skills prior to updating the curriculum	▪ Ministry of Education ▪ Innovation council /task force	A B C D
Kno.X.1.2	Revamp tertiary curriculum for technology	Today, 71% of entrepreneurs cite lack of Lebanese talent with needed skills as a major bottleneck, with 60% of them citing coding and development as a hard to find skill. Innovation leaders have tackled the problem through a curriculum overall (e.g. UK introduced coding classes to all students aged 5-16). The government should as such update the tertiary curriculum at universities through for example: ▪ Developing a "Computer sciences" and "Software engineering curriculum" in the Lebanese University (that graduates ~50% of all students) ▪ Tailoring course offering towards the four prioritized sectors through conducting workshops with key private sector participants from the target segment to develop matrix of required skills in the near future and decided on course offering (e.g. Offer a blockchain course with emphasis on block-chain as a currency)	▪ Ministry of Education ▪ Innovation council /task force ▪ Lebanese University	A B C D
Kno.X.1.3	Revamp tertiary curriculum for outsourcing	In order to enhance the employability of graduates in the BPO & KPO sectors, the government should overhaul the relevant tertiary curriculum, through for example: ▪ Conducting roundtable discussion with key stakeholders in order to understand targeted initiatives on tertiary education as well as technical and vocational education classes, following BPO and KPO requirements. ▪ Encouraging the update of courses (particularly at the Lebanese University) to cater to the respective needs and required skills for BPO and KPO	▪ Ministry of Education ▪ Lebanese University ▪ IDAL	A B C D

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (6/9)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.2 Access to Finance	Kno.X.2.1	Ensure continuous pipeline of VC funding	Today, VC funding stands at ~0.12% of GDP, in-line with global & regional peers average of ~0.15%. Circular 331 issued by the BDL helped with the provision of venture funding across the country. In order to sustain the growth, the government should ensure a continuous pipeline of funding of ~150 USD Mn (Equivalent on average to ~0.12% of GDP) yearly through leveraging four different sources: ▪ Assessing the feasibility of renewing Circular 331 ▪ Designing and driving communication campaign, with the support of IDAL, to promote the Lebanese Innovation sector and attract foreign investors ▪ Designing and driving communication campaigns to raise awareness amongst Lebanese & Diaspora HNWI regarding angel funding ▪ Incentivizing large domestic corporations and banks to set-up their own VC funding arms through providing means of de-risking the investments (e.g. MIC1 and MIC2 VC fund)	▪ Parliament ▪ BDL ▪ IDAL	ABCD
	Kno.X.2.2	Develop philanthropy grant creative and cultural industries	Companies operating in the realm of creative industries typically face difficulties when obtaining credits from banks, driven by a limited understanding of their risk profile. As such, access to finance could be developed through a philanthropy grant to finance creative and cultural industries by: ▪ Reaching out to diaspora members interested in supporting creative and cultural industries ▪ Promoting Lebanese creative and cultural industries internationally to raise international grants	▪ Parliament	ABCD
X.3 Physical & Virtual Infrastructure	Kno.X.3.1	Develop the physical "Beirut Knowledge Village" cluster in Beirut	Countries across the world have set up digital hubs to further enable the growth of the sector (e.g. UK Tech City in London & Cambridge Innovation Center in Boston). In fact, innovation clusters are widely recognized as a major tool for economic development, promoting innovation, collaboration & localized access. The government should as such design and build the physical "Beirut Knowledge Village" cluster offering: ▪ Optimal regulatory framework with "one stop shop" and centralization of services offering ▪ Subsidized rental and telecommunications cost ▪ Best-in-class physical telecommunications infrastructure ▪ Required support (financing, government benefits and incentives)	▪ Ministry of Industry	ABCD

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2018 0122 Internal

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (7/9)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.3 Physical & Virtual Infrastructure *(Cont'd)*	Kno.X.3.2	Design and launch the "Smart Lebanon" virtual licensing scheme	In order to ensure regional development and that knowledge-intensive industries are not uniquely concentrated in physical cluster, the government should develop a virtual licensing system to offer the incentive packages for Knowledge intensive companies (The licensing scheme would also cover the physical clusters). In order to develop the incentives scheme, the government could: ▪ Shortlist the type of companies that would have access to the license ▪ Benchmark incentives given in other countries ▪ Develop the eligibility criteria for the licenses ★	▪ Ministry of Education	ABCD
X.4 Industry Promotion	Kno.X.4.1	Develop and conduct country digital promotion campaign	In order to promote the Lebanese "Innovation & Technology" sector globally the government should design and conduct a communication campaign ▪ The campaign could be part of a broader marketing campaign involving other sectors ▪ The campaign should ensure the country's participation in key international technology & digital events	▪ Innovation Council /Task Force	ABCD
	Kno.X.4.2	Develop country branding of selected creative and cultural industries	In order to develop and spur the growth of the export-driven portion of creative industries, the government should brand the country as a destination/hub for selected creative and cultural industries through: ▪ Sponsoring businesses to participate in international festivals and sending a delegation to promote Lebanon in these festivals ▪ Hosting international festivals for selected industry (e.g. music festival, movie festival, fashion festival…) ▪ Aggressively advertising success stories and emerging talent in the selected creative and cultural industry ▪ Inviting international leaders in the field to familiarize with the Lebanese creative and cultural industries eco-system and provide advertisement for Lebanon	▪ Ministry of Culture	ABCD
	Kno.X.4.3	Set up an information portal for international students	While regional and international students have been traveling to Lebanon for education, there efforts have been individual, with minimal support from formal Lebanese authorities. Inbound students should be provided with all the relevant information needed to decide to relocate to Lebanon, potentially through: ▪ Developing a website that serves as the first touchpoint for majority of international students ▪ Conducting digital campaigns through the website and social media to engage prospective students	▪ Education board / Task Force	ABCD

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

2018 McKinsey Internal

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (8/9)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.4 Industry Promotion (Cont'd)	Kno.X.4.4	Promote selected universities in target source countries	In order to attract international students, Lebanon should promote Lebanon as an educational hub through pushing selected universities in targeted source counties through for example: ▪ Participating in educational fairs in target countries with representation from selected universities ▪ Managing the perception of Lebanon in the media (refer to initiative Exp.B.1) ★	▪ Education board/task force	ABCD
	Kno.X.4.5	Strengthen the perception of Lebanese graduates employability in international markets	In order to further enhance the attractiveness of the country as a destination for international students, the government should actively promote the success stories of Lebanese graduates worldwide, within and outside of diaspora communities, through for example: ▪ Issuing reports and statistics on Lebanese graduates employability in international markets	▪ Intl. education board/ Ministry of Foreign Affairs	ABCD
X.5 Governance	Kno.X.5.1	Set up the national innovation council as the Task Force to drive the implementation of the digital strategy	Global innovation hubs have set-up councils as coordinating bodies to deliver the country or state digital & innovation strategy. As the technology and innovation sector does not clearly fall within the mandate of any government entity, the governance to deliver the strategy should be reinforced, mainly through: ▪ Setting-up the national innovation council composed of key selected senior stakeholders ▪ Setting-up the council's secretariat, responsible of the day-to-day management of the innovation strategy – The secretariat should ensure the following functions: ▫ Communication & promotion ▫ Data collection and analysis to create a single source of truth ▫ Refresh of strategy and follow-up on implementation of the different initiatives Reporting structure of council / task force to follow Vision institutionalization set-up	▪ Council of ministers	ABCD

2019-922 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 28 priority initiatives that underpin the vision of the knowledge economy sector (9/9)

NON-EXHAUSTIVE

X.5 Governance *(Cont'd)*

	Objective	Initiative	Owner[1]	Plays
Kno.X.5.2	Set-up an Inclusive organization / task force for creative industries	Today several creative industries (e.g. Sound recording, Fashion, Digital media...) do not fall within the mandate of any government entity. As such, and to ensure the delivery of the creative industries strategy, the governance should be reinforced, mainly through: ▪ Extending the mandate of the Ministry of Culture/Ministry of Information to remaining cultural and creative industries that currently do not have representation in the public sector ▪ Establishing a central industry coordinator / task force, tasked with overseeing Lebanon's cultural and creative industries initiatives while orchestrating the various roles played by the many stakeholder. Task force to be integrated with overall Vision institutionalization mechanism	▪ Council of ministers	ABCD
Kno.X.5.3	Set up a task force to drive and implement the international education strategy	Emerging education leaders (e.g. Australia, Malaysia) typically set-up a nodal agency to develop and implement the international student strategy (e.g. Australian Education International, Education Malaysia Global Services). Lebanon should set-up a similar dedicated agency to be integrated with the overall Vision institutionalization mechanism: ▪ The dedicated agency / task force should be formed in collaboration with the Ministry of Education and top universities in Lebanon. This task force should be integrated with the overall Vision institutionalization mechanism ▪ All key stakeholders should be involved in strategy development stage through consultations, roundtables and committees	▪ Council of ministers	ABCD

2018 Booz Integral

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Knowledge Economy – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to knowledge economy

	Objective	Initiative
Fin.X.3.2	Enhance access to financing for SMEs in the creative industries fields	▪ Refer to initiative X.3.2 under Financial Services
Inf.2	Implement Fiber strategy of MoT	▪ Refer to initiative 2 under Infrastructure ★
Leg.2.5	Revise regulatory environment for Knowledge Economy activities	▪ Refer to initiative 2.5 under Legislation
Leg.2.6	Amend Labor law for part timers including in Creative Industries	▪ Refer to initiative 2.6 under Legislation
Leg.1.1	Enhance ease of doing business	▪ Refer to initiative 1.1 under Legislation
Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Refer to initiative A.1 under Export & Branding
Exp.A.2	Expand export promotion	▪ Refer to initiative A.2 under Export & Branding

20181022 Internal

D.1 Branch campus example: New York University (NYU) and Government of Abu Dhabi

Description

New York University Abu Dhabi (NYUAD) was founded in 2010, as an outcome of a shared understanding between NYU and the emirate of Abu Dhabi regarding the essential roles and challenges of higher education in the 21st century.
The campus offers 22 undergraduate majors in liberal arts and science fields and engineering, and plans to eventually offer graduate programs as well.

Rationale

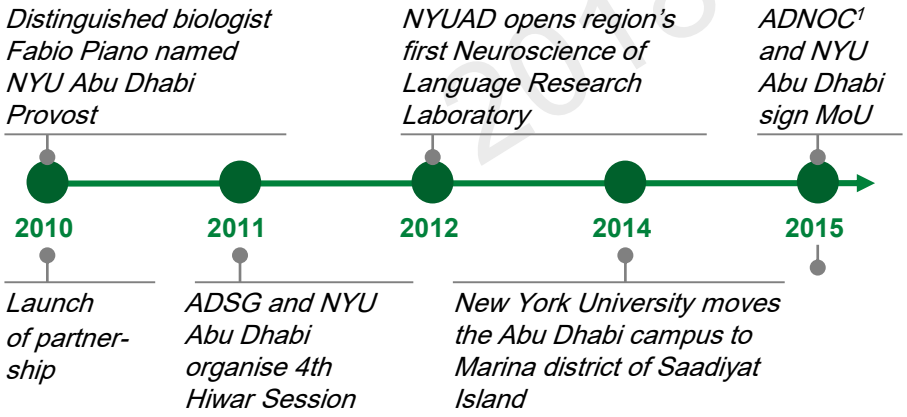
NYU's Rationale:

- Move was **part of NYU's rebranded 'Global Network University'** aimed at increasing movements of students and faculty across the various sites
- The **new resources** pledged by the government of UAE, have **created rare opportunities for departments to expand their ranks**, and also spend more on research, faculty exchanges and conferences.

Abu Dhabi's Rationale:

- Government of Abu Dhabi **aims at increasing the country's human capital**

Main milestones



1 Abu Dhabi national oil company

Partnership

Type of partnership

- Branch campus★

Governance Structure

- The Provost of NYUAD and the Chair of the Faculty Council Steering Committee (FCSC) jointly chair the Faculty Council
- The FCSC is an advisory committee that provides a bridge between the senior academic administration and the Faculty Council.
- The campus is wholly bankrolled by the Abu Dhabi government

Incentives

- Abu Dhabi has provided an initial donation of USD 50 million and paid for the campus
- Abu Dhabi government provides fellow-ships to all admitted UAE National students in the form of the Sheikh Mohamed bin Zayed NYUAD Scholarship for Exceptional Emirati Students.

Key facts and figures

- According to Fabio Piano, NYU Abu Dhabi Institute has awarded $38 million in grants for research centers and projects until 2013

2015 1022 Internal

SOURCE: Press search

D.1 Despite facing challenges in UAE, NYU-Abu Dhabi is an important contributor towards educational progress in the region

Impact	NEW YORK UNIVERSITY ABU DHABI	THE GOVERNMENT OF ABU DHABI
Strategic	+ Makes international student **exchanges** easier for NYU + Paves the way for **multiples faculty career tracks**	+ Adds **high-quality higher education offering** to a region seeking to build its human capital + Enables other forms of **partnerships** within the region (e.g., ADNOC)
Economic	+ **Endowment** received from Abu Dhabi can be partially reinvested in other programs - Continued financial support of Government of Abu Dhabi dependent on oil prices - Limited decision powers on tuition fees	+ Potential launch graduate programs may further attract **qualified workforce** to the region - Requires **expensive endowments** to attract high-profile institutions
Reputational	+ Builds **international image** of NYU - Potential **PR risk** in US with around 10,000 of the migrant construction workers employed at NYU's campus in Abu Dhabi were excluded from the protections of the university's labour guidelines ensuring fair wages, hours and living conditions - Risks linked to **intellectual integrity**: in March 2015, NYU Professor Andrew Ross was denied permission to visit the UAE after publishing numerous articles critical of labour conditions in the region	+ Sets up Abu Dhabi as a **high-profile education hub** - **Lack of renowned faculty** may discredit partnership in the long run
Other	- Lack of ability to protect **academic freedom** in terms of formulating curriculum	+ NYUAD inculcates **community engagement** through community service and internships and **encourages public participation** in many programs sponsored by the institute

SOURCE: Literature/Press Search

D.1 Branch campus example: George Mason University (GMU) and Ras el Khaimah (RAK)

Description George Mason University (GMU), Ras Al Khaimah (RAK) campus was initially designed to offer four-year undergraduate degree programs in business, information technologies, nursing and pharmacy. Later, a two-year master's program in business administration was added, along with undergraduate programs in engineering.

Main reasons for failure
- GMU had a disagreement with RAK regarding their funding, and investors decided to dramatically curtail subsidies
- Funding woes led to low enrolment growth, making the running of RAK campus a non-viable option

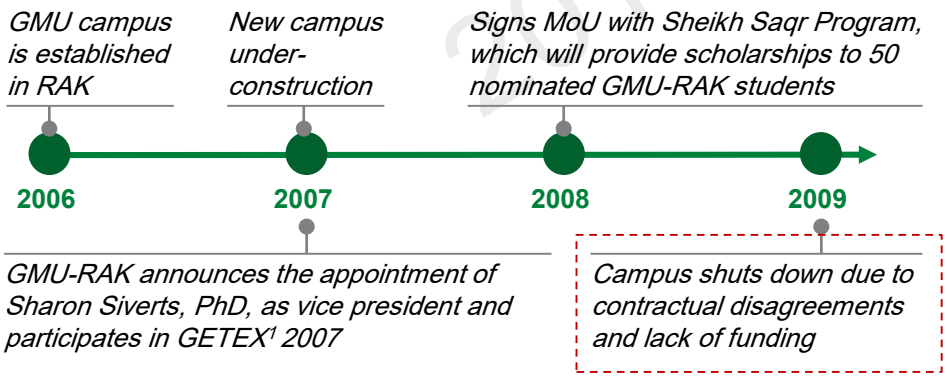
GEORGE MASON UNIVERSITY
Ras Al Khaimah Campus, UAE

Rationale

George Mason University Rationale:
- Opportunity for GMU to **capitalize on the provision of land and a world-class campus** in order to expand and grow its campuses
- Providing students at the Virginia campus, the **opportunity to transfer and gain a new cultural experience**

Ras Al Khaimah Rationale:
- Opportunity to **uplift education in the region** with the provision of full academic support and programming from GMU
- Opportunity for **students in RAK to transfer to GMU's Virginia campus**
- **International recognition** for degrees earned by GMU-RAK students

Main milestones



1 Abu Dhabi national oil company

Partnership

Type of partnership
- Branch campus

Governance Structure
- Dean of Academics provided by George Mason University
- Governing body composed of three full-time George Mason staff and three full-time members of the RAK Human Development Foundation (RAK-HDF)
- RAK-HDF has full oversight of the campus' budget, infrastructure, salaries and operating costs

Incentives
- GMU was given approximately 200 acres near the Emirates highway
- Agreements with RAK included a fully funded and constructed state-of-the-art campus

Key facts and figures
- Did not have any graduates due to the campus closing within three years of its initial opening

SOURCE: Press search

D.1 Funding woes and contractual disagreements between GMU and RAK were the biggest reasons for the closure of the campus in 2009

Challenges	Description
Strategic	▪ Global economic crisis affected funding, as investors started to dramatically **cut-down on subsidies** ▪ GMU and the RAK government started having **disagreements over the initial funding agreement** drawn out between the two parties ▪ GMU was **unable to meet investor expectations** in terms of profits, thus making the entire venture non-profitable and non-viable ▪ **GMU provided no funding support**, in spite of having ownership over the brand name and academic programs
Economic	▪ The push-back on funding led to **slower enrolment growth**, making it difficult for GMU-RAK to sustain the campus in a viable manner ▪ The campus was initially opened in RAK with the understanding that it would be a **self-sustaining university at the end of five years, which looked unachievable** when enrolment and funding took a hit
Reputational	▪ GMU worried that the conflicts over funding and administrative issues would **prevent the university from maintaining educational quality** and eventually affect accreditation ▪ News about the conflicts also had the possibility of further hampering student enrolment rates ▪ The initial agreement held between GMU and RAK did not pan out, as **classes were held in prefabricated buildings** that were not even located on the allotted 200 acres of land. Students who transferred with expectations of seeing a world-class campus, were disappointed with what was offered in reality.
Other	▪ During the very first year of the campus' opening, issues began when **professors and employees failed to receive compensation on time** ▪ RAK-HDF **conducted a routine audit, which affected timely payment** of compensation. The audit was unknown to the university's faculty.

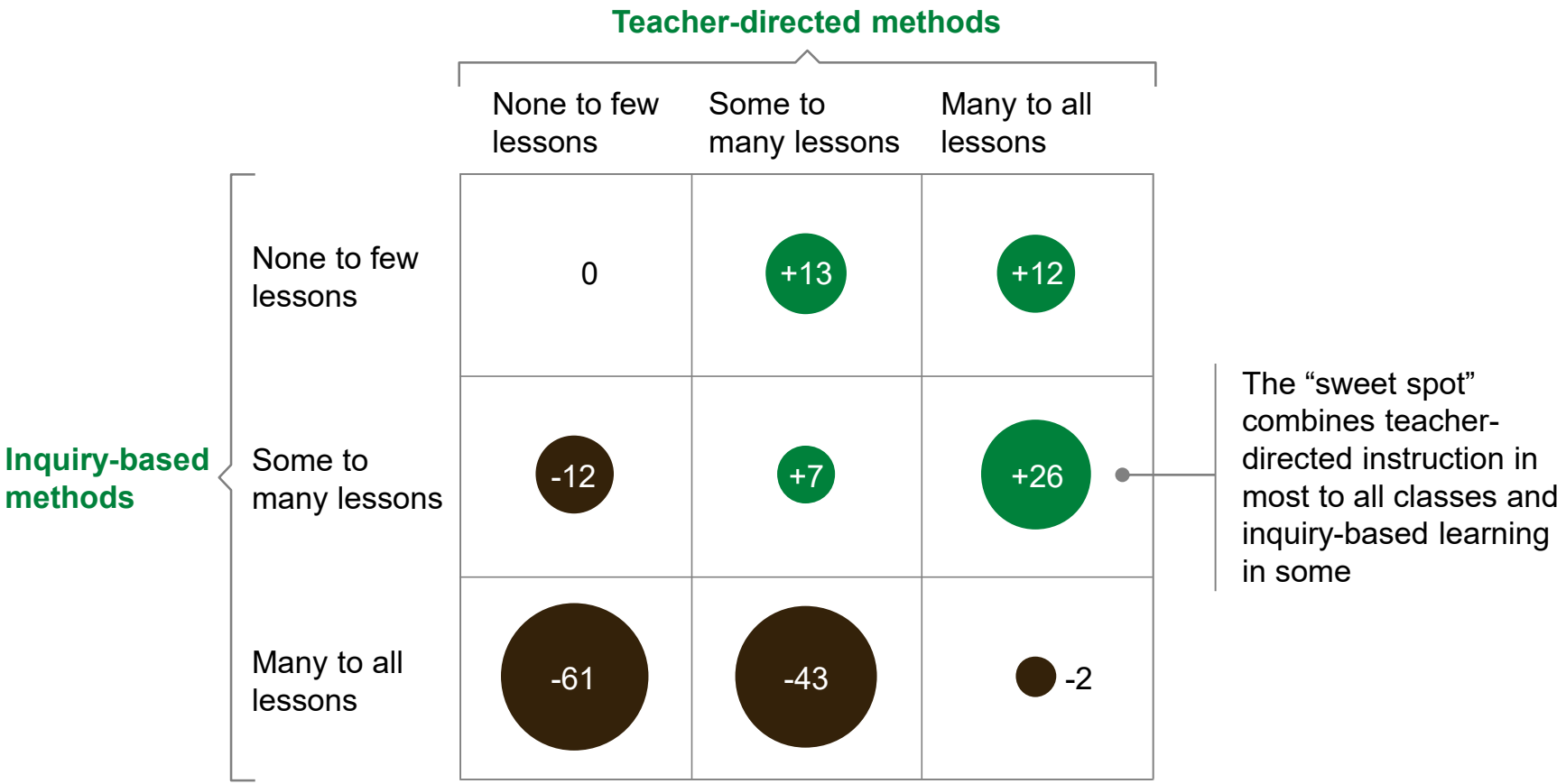
2018 1022 Internal

SOURCE: Literature/Press Search

D.3 Students who receive a blend of teacher-directed and inquiry-based instruction have the best outcomes

Average score increases OR Decreases

Point change in PISA[1] science score relative to baseline[2]



1 Program for International Student Assessment

2 Statistically significant expected change in score controlling for PISA's index for economic, social, and cultural status, public/private schools, and urban/rural location for all quadrants except for teacher-directed and inquiry-based instruction in all classes (-2), which was not significant at 93% confidence level

X.5.2 Ownership of the CC space must be resolved on the government's end

There exists a need for a central industry coordinator, tasked with overseeing Lebanon's CCI initiatives while orchestrating the various roles played by the many stakeholder

Roles and respon-sibilities

1. Maintains vibrant **channels of communication** between government entities and industry participants as well as between different industry participants
2. **Runs special programs** that do not fall under the preview of existing stakeholders
3. Fosters a nuanced **understanding** of the **individual needs** of the numerous subsectors as well as maintaining an understanding of **industry wide issues**
4. Periodical reviews and updates the ***Cultural and Creative Strategy*** to accommodate new developments
5. Coordinates efforts related to CC industries across different government entities

Benchmark & Pathfinders

- The UK's *Creative Britain*
- Malaysia's *Multi-media Super Corridor*
- Singapor's *Creative Industries Development Strategy*

SOURCE: Team Analysis

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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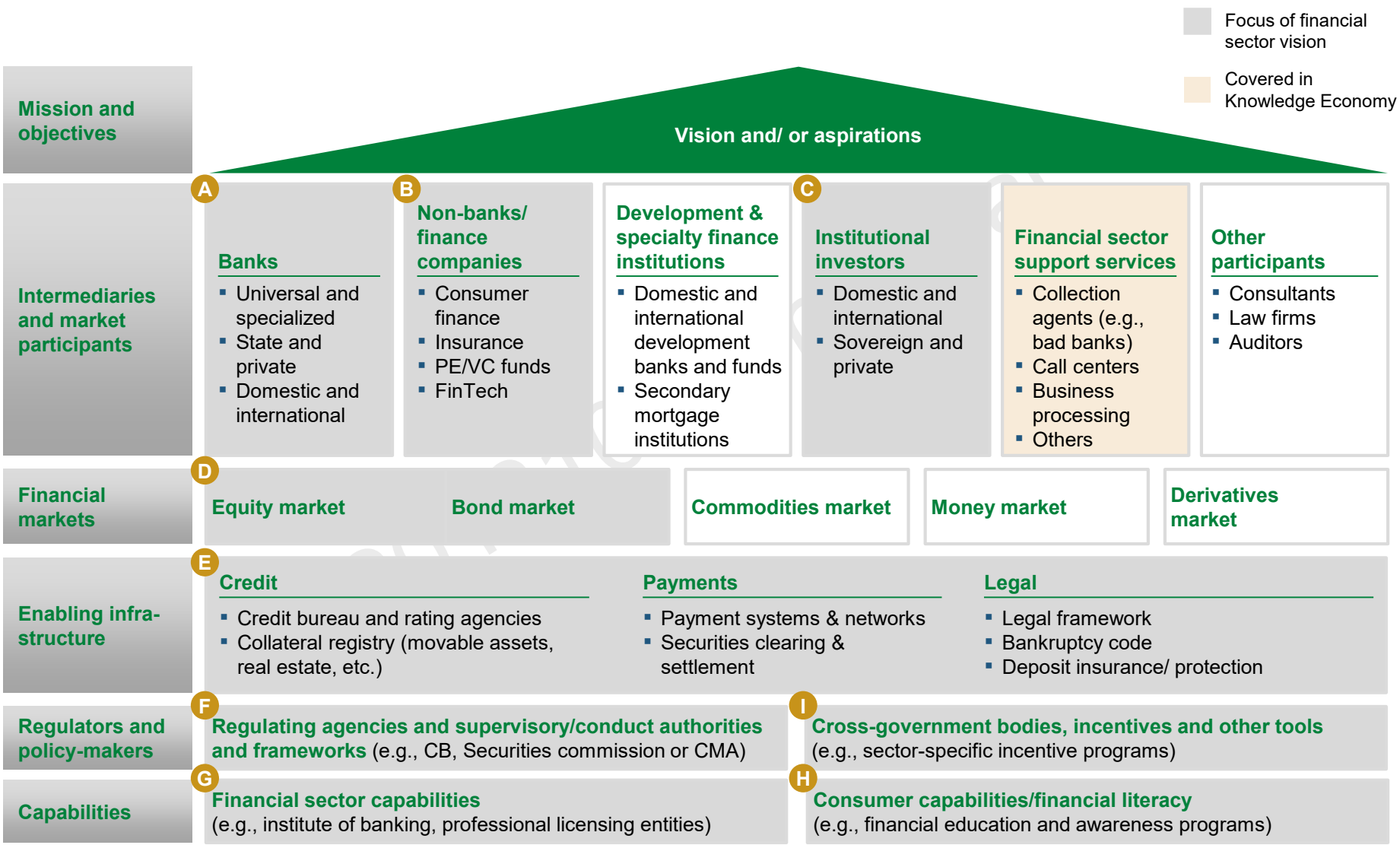
Financial services framework



Our financial services strategy has engaged a range of experts, benchmarks and sector reports

Public sector stakeholders

- **HE Riad Salameh** — Governor of the Central Bank
- **HE Ali Hassan Khalil** — Minister of Finance
- **Dr. Alain Bifani** — DG of the Ministry of Finance
- **Samir Hammoud** — Chairman of BCC
- **Firas Safieddine** — Vice Chairman of the CMA
- **Ghaleb Mahmasani** — Beirut Stock Exchange
- **Dr. Mohammad Karaki** — DG of the NSSF
- **Nadine El-Habbal** — Acting Head of the ICC

Private sector stakeholders and associations

- **Dr. Joseph Torbey** — Chairman of ABL
- **Max Zakkar** — President of the insurance companies association
- **Samir Hanna** — CEO of Bank Audi
- **Saad Azhari** — Chairman & GM of BLOM Bank
- **Several VC funds**

Conducted **15+ interviews** to understand local context of financial services

Benchmarked **60+ countries** for an understanding of global wealth pools

Benchmarked **10+ financial centers** to understand key success factors

Conducted **primary research** on the preferences of target wealth markets

Leveraged key global financial services data to understand current situation from the **World Bank**

2018 2022 Internal

Financial Services – sector aspiration

Aspiration: Supporting the economic growth through financing, becoming an "investment management & offshoring hub" while providing exportable centers of excellence across niche services, building on strong and resilient sector foundations

Current situation

- Financial services **overwhelmingly dominated by banking** with limited to no participation of other services (Insurance, Funds, Capital markets); **Banking** sector with **solid fundamentals** but **decreasing profitability** and **increasing risk**
- **Low penetration** of offshore **AUMs** with **basic product offering** (mainly deposits)
- **Lack** of regional & global recognition for specific **centers of excellence**
- **Missing key regulatory enablers** (e.g. PE Fund law)

2025

A **Healthy and resilient financial services sector** across all dimensions with a **full-fledged offering** (beyond banking) and significant depth **across all sub-sectors;** Increased **focus** of banking on **productive sectors** with optimal **efficiency** in terms of **costs** and **effectiveness** in managing **risk**

B **Investment management and offshoring hub** with **basic asset** offering **targeting regional investors** (Levant, Caspian Region & Africa)

C Best in class talent and innovative **centers of excellence** in **project finance**, **digital & analytics, actuarial studies, FinTech and research,** servicing domestic and regional markets

X **Superior enabling infrastructure** & regulatory **environment** supporting the sector development (e.g. PE Fund Law)

2035

- **Best-in-class full-fledged** financial services offering with **several regional "champions"**
- **Wealth management hub,** capturing high share of wallet through **complex financial products**, with **proactive approach** to **retain** global **players**
- **Evolving** "future-proof" **center of excellence** offering at the **forefront of innovation**

2018 Internal

Targets

Financial services GDP, USD Bn, (2017 prices)	Total employment, K	Financial services GDP, USD Bn, (2017 prices)	Total employment, K	Financial services GDP, USD Bn, (2017 prices)	Total employment, K
4.8	50	7.8	50	11.4	40-50
Total assets[2], %GDP	**Total AUMs[1], %GDP**	**Total assets, %GDP**	**Total AUMs, %GDP**	**Total assets, %GDP**	**Total AUMs, %GDP**
433%	14%	490%	30%	540%	50%

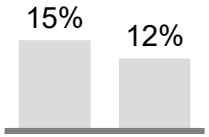
Note: Increase in GDP and stagnation in employment driven by an increase in productivity from 100,000 USD/FTE to 170,000 USD/FTE or 6.5% CAGR

1 Off Balance Sheet AUMs, excluding deposits, including securities
2 Total financial services assets including banking, non-banking financial institutions, investment banks & insurance

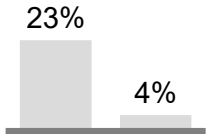
Financial Services – summary of diagnostic (1/4)

Banking

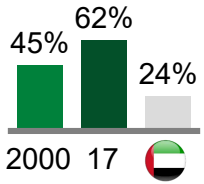
RoE, %



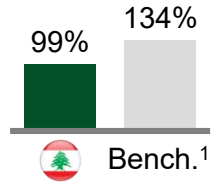
Deposit growth, %



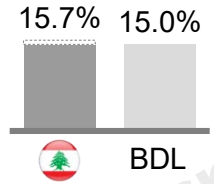
Sovereign exposure, %



Loan penetration, %GDP

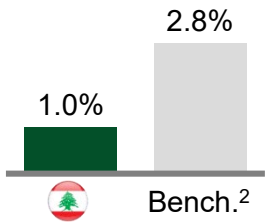


Capital adequacy ratio, %

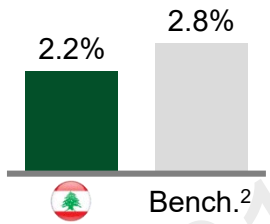


Insurance

Life penetration, GWP % GDP

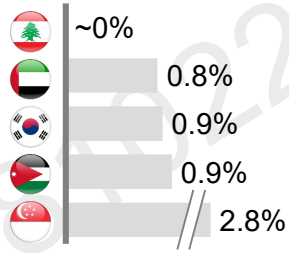


Non-Life penetration, GWP % GDP

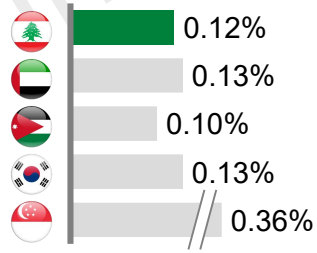


Private Equity/Venture Capital

Private Equity deals, % GDP

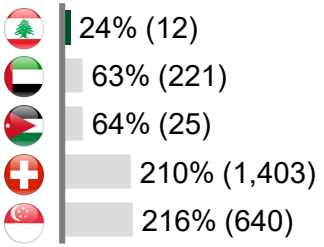


Venture Capital deals, % GDP

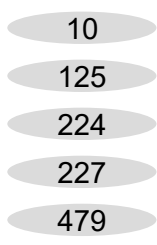


Capital markets

Market capitalization, % GDP (USD Bn)



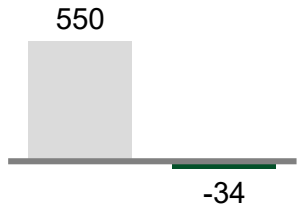
Listed companies, #



Pension funds

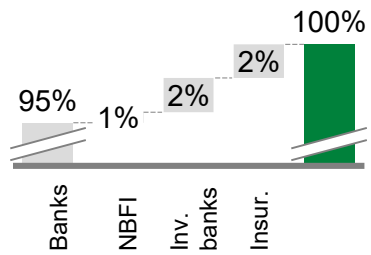
Pension surplus, USD Bn

Insurance deficit, USD Bn



Financial assets

Financial sector asset split, %



Key challenges

- **Lack of participation of non-banking financial services**
  - Domination of financial services by banking with ~95% of assets
- **Underdeveloped capital markets**
  - Lack of incentives to list
  - Limited foreign investments
- **Credit**
  - Although a large portion of credit information is provided by BDL, sector can benefit from a credit bureau
- **Legal**
  - Sub-par legal framework on three fronts: (1) E2E doing business cycle (2) Private equity and fund management laws (3) Digital banking & payments
- **Regulator**
  - Incomplete regulatory framework for capital markets (lack of sanctioning committee & tribunal)
- **Capabilities:**
  - Low financial inclusion and literacy, especially outside BML

1 Includes Singapore, Switzerland, UAE, Greece, South Korea, Jordan & Morocco

2 Includes UK, France, Italy, Netherlands, Spain, South Korea, Brazil, Hungary, KSA & Turkey

Source: IMF Article IV, Banque du Liban, BCC, ICC, World Bank, Pitchbook, Country central banks

Financial Services – summary of diagnostic (2/4)

A Banks

- **Declining profitability** of banks (RoE from 15% in 2011 to 12% in 2016), especially for smaller banks that do not have a diversified value proposition; low RoE for small banks signals potential for consolidation
  - **Margin compression** as a result of **increasing cost of funding** and **declining gross interest income** (due to heavy substitution of private sector lending with sovereign exposure)
  - **Average cost structure** of banking system (46-50% C/I v.s. ~30-40% for high performing regional benchmarks and 30% (or less) for global digital benchmarks)
  - **High rate** of **non-performing loans** compared to benchmarks[2] (6.5-9.2% vs. 5.8%), mainly driven by deteriorating economic conditions, coupled with underdeveloped underwriting capabilities for risky sectors (e.g. SMEs & Real Estate) ★
- **Reduced growth in assets** down from ~22% in 2009 to ~8% in 2017
- **High sovereign exposure** of asset-base (62% vs 24% for UAE; includes regulatory reserves)
- **Limited private sector lending especially on the retail front: Retail lending penetration** (30% of GDP; domestic loans only) **lower than** global **benchmarks**[1] (50% of GDP)
- **High concentration of overall private sector lending (particular corporate lending) in higher risk and nonproductive sectors such as real estate** (~25% real estate vs ~17% for Singapore)
- **Low capital cushion** on top of regulatory capital (~0.7% on top of 15% regulation) along with average bank **capital efficiency**, further hindering growth of the asset base
- **Low digital banking penetration** with 27% of adults having made a digital transaction vs. 60% benchmark[12]
- **Sector remains at the core of the Lebanese economy contributing** to more than **30%** of the government's **income tax** (Profits, capital gains, interest tax)

B Non-Banks finance companies

- **Limited participation** of **non-banking financial institutions** constituting only ~5% of total financial sector assets

Insurance

- Insurance sector has been **growing** steadily with GWP growing at **~4% p.a**. from 1.3 USD Bn in 2012 to 1.6 USD Bn in 2016
- Comparison to benchmarks shows a **low penetration of life** (1% of GDP) **and non-life** insurance (2% of GDP) compared to benchmarks[3] (3% for life and non-life)
- **ICC**[4] plays a **key role** in maintaining the soundness of the industry with some room for improvement
- **Mutuals and coops** provide **insurance plans & coverage** with **no oversight** from the ICC

Private equity and asset & fund management

- **Limited presence and activity of PE firms** with funding at ~0% of GDP vs. 0.8-2.8% benchmarks[1]

Venture capital & Fintech

- **VC funding** of ~0.12% of GDP in-line with benchmarks[1], but funding **lacks at angel stages**
- Fintech scene is emerging with ~10% share of all MENA Fintechs ranking Lebanon 3rd

2018 Confidential

1 Includes Singapore, UAE, Greece, South Korea & Jordan
2 Egypt, Jordan, Morocco, UAE
3 UK, France, Italy, Netherlands, Spain, South Korea, Brazil, Hungary, KSA & Turkey
4 Insurance control commission

Financial Services – summary of diagnostic (3/4)

C Institutional investors

Pension funds

- **Pension system** is mainly composed of public pension funds (**civil servants and military funds** for public sector personal and **NSSF** for private sector) and **private pensions** administered by **Labor unions** & professional orders
- NSSF faces several issues, mainly
  - **Use** of the **surplus** of the pension (~550 USD Mn surplus in 2011) **to cover** the **health** insurance **deficit** (~34 USD Mn deficit in 2011)
  - **Lack of investment** in **sovereign** securities
  - **Lack of visibility** on the fund's **contingent liabilities** putting at risk its solvency, liquidity & sustainability; **same pressure** applies to **public sector pensions**

D Equity and bond markets

- **Underdeveloped capital markets** with low market capitalization at ~21% GDP vs. ~60% regional benchmarks and ~200% for global financial hubs; with only 10 listed companies (o.w. 6 banks)
- **Lack of IPOs** vs. 0.3% of GDP in yearly startups IPO in developed countries
- **Lack of incentives** for domestic companies to list their shares
- **Limited foreign investments driven by sub-optimal business** & regulatory **environment**
- The capital market authority **(CMA)** was setup but still **lacks** a **sanctioning committee** and a **financial markets tribunal** to become fully operational

E Enabling infrastructure

Credit

- Although a large portion of **credit information** is **provided by BDL** through the CDR, sector **can benefit from** having a dynamic and commercialized **credit bureau** that can tailor credit reports across segments and sectors, using advanced analytics to support credit decisioning
- **Lack** of **collateral registry**

Payments

- Lebanon was historically the **regional leader** in setting up a National **payment system**
- While the Central Bank has had a thorough grasp on payment systems, **looking forward**, there is a **need for** continuous **modernization** and digitization of the underlying payments infrastructure to match digitization efforts of banks and future payment mechanisms and currencies that are being discussed by BDL

Legal

- Sub-par legal framework on three fronts: (1) E2E doing business cycle: **outdated** insolvency and **bankruptcy** laws, **banking tax** law (2) Private equity and fund management laws: lack of **private equity investment** law and (3) Digital banking and payments: lack of **e-signature law**

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Financial Services – summary of diagnostic (4/4)

F Regulating agencies

- **Incomplete** regulatory **framework** for **capital markets** (lack of sanctioning committee & tribunal)
- BDL's **risk regulation** today is **in-line with best practise**. **Going forward**, the regulatory environment should hit the **right balance** between allowing the future **modernization** and development of the sector while keeping the **highest risk management** standards
- The **Insurance Control Commission** (ICC), reporting to the Ministry of Economy, is **not fully independent**

G Cross-government bodies

- The Association of Banks in Lebanon, **ABL**, has been very **effective** in **international advocacy**; however, **gaps** exist when it comes to **local advocacy** with government and regulators **and promotion** of the **brand** and image of the sector

H Financial sector capabilities

- Lebanon enjoys a **high-quality talent pool** for financial services; BDL has over the years continuously **introduced new regulation on qualifications** to **further enhance** the talent pool's **quality** through trainings and certifications
- However, the country faces **issues in retaining talent** and expertise driven by **high retention costs** (i.e. better external opportunities)
- **Changing sector dynamics** as a result of **digitization** require a **shift in people's capabilities** with most financial institutions lacking readiness and planning for the transition

I Consumer capabilities

- **Lack** of **financial inclusion** with only **0.65** bank **accounts per capita** vs. 2.3 Singapore
- **Despite "overbanking" at the country-level, regional disparities** underline the financial inclusion issue with 52 branches & 94 ATMs per 100K adults in Beirut & Mount Lebanon vs. 15-18 and 27-29 in the other regions
- **Financial literary** of 44% **higher** than **regional** peers (30%) but **lower** than **advanced** economies (53%), driven by a lack of proper financial education in secondary schools (e.g. savings, expense management…)

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Financial Services – 2025 sector charter

2017 2025

Aspiration: Supporting the economic growth through financing, becoming an "investment management & offshoring hub" while providing exportable centers of excellence across niche services, building on strong and resilient sector foundations

SECTOR PLAYS

A

Deepen and strengthen the financial services sector to effectively enable and finance the country's economic development agenda

- Develop digital banking as an alternative delivery channel
- Ensure diversification of asset-base through enhancing the attractiveness of credit to priority productive sectors (e.g. PPPs with attractive returns)
- Enhance the capabilities of the banking sector (e.g. complex products, sector expertise), key pillar of Lebanon's financial services, while ensuring higher cost efficiency and effective risk management and capital deployment
- Develop and deepen the financial services beyond banking, to provide a full-fledge offering across the entire ecosystem (Insurance, PE/VC & Fund management, Capital markets, Pension funds)

B

Position Lebanon as an investment management and offshoring hub, targeting investors from untapped markets, mainly the Levant, Africa & the Caspian region, while focusing on the Lebanese diaspora

- Develop asset management & fund administration hub value proposition, while developing offshore booking center value proposition, with simple product offering (e.g. Fixed Income, deposit, PPP financing)
- Attract and retain offshore wealth penetrating three strategic untapped markets, mainly, the Levant, Africa & the Caspian region[1], while maintaining the growth of Lebanese diaspora assets; these markets will constitute the core of our target markets

C

Develop centers of excellence in specific niches with strong export potential, leveraging the country's talent pool and the geopolitical context

- Project finance targeting the core markets[2] (e.g. Syria & Iraq)
- Digital & analytics targeting the core[2] and regional markets (e.g. Levant & GCC)
- Actuarial studies targeting the core[2] and regional markets (e.g. Levant & GCC)
- Equity & investment research targeting the core[2], regional markets and global financial centers
- Fintech serving the global market

2025 TARGETS

FS GDP contribution, Bn USD 2017 prices: 4.8 → 7.8

Non-banking assets[3], % of total assets: 21% → 33%

Banking sovereign exposure, %: 50% → 37%

Total FS assets, %GDP: 433% → 490%

Assets under mgt., %GDP: 14% → 30%

Top 10 asset & fund managers[4], #: 3 → 7

Lebanese onshore HNWI wealth, % total: 40% → 55%

Global financial centre index, rank: N/A → Top 50

Total CoE financial exports[5], Mn USD: N/A → 500

Value of exports project finance deals, USD Bn: N/A → 1.5

X ENABLERS

Legislation & regulatory framework

- Legal & regulatory framework for fund management (e.g. PE fund law)
- Legal & regulatory framework for digital & analytics FS (e.g. E-signature)
- Wealth-related taxation & incentives (e.g. tax on capital gains)

Lending to priority sectors

- Incentivize lending to priority economic sectors of the Vision

Talent pool & education

- Talent pool for financial services delivery (Tertiary education revamp for asset management, digital & banking sector certifications
- Population financial education & literacy

20181022 Internal

1 Azerbaijan, Iran, Kazakhstan, Turkmenistan, Russia; 2 Levant, Africa, Caspian Region, Lebanese Diaspora 3 Non-banking includes non-banking financial institutions, investment banks & insurance 4 BlackRock, Vanguard, UBS, SSGA, Fidelity, Allianz, JP Morgan, BNY Mello, PIMCO, Amundi
5 Exports of financial services including, export of actuarial services, outsourcing of financial research services, exports of FinTech & digital outsourcing

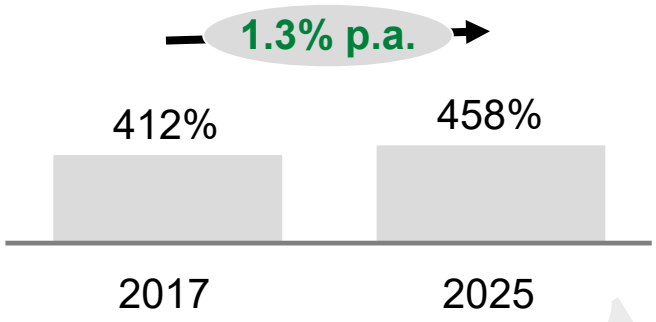
A Several key financial metrics will guide the strengthening of the banking sector…

Banking sector

Strength of the banking sector

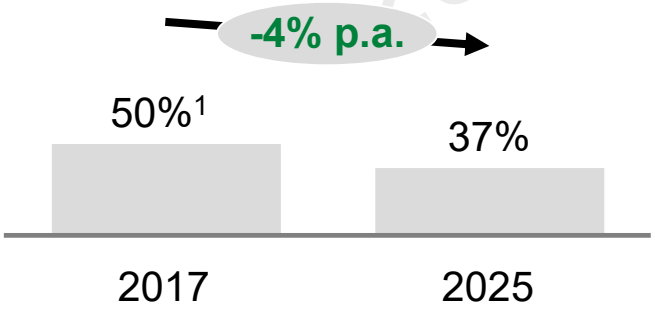
Total banking assets, %GDP

Size of the banking sector



Sovereign exposure, % total assets

Portion of banking assets with government risk

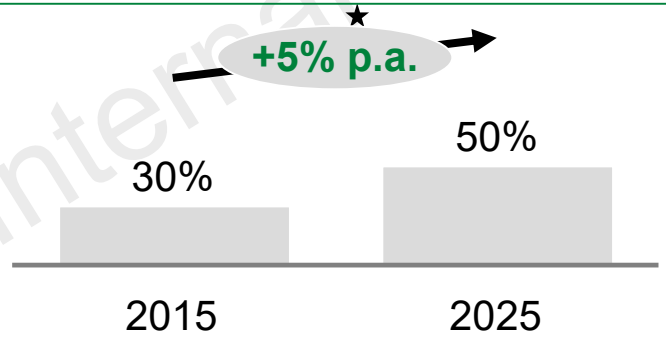


1 Excludes required reserves at BDL

Economic growth support

Retail loan penetration, %GDP

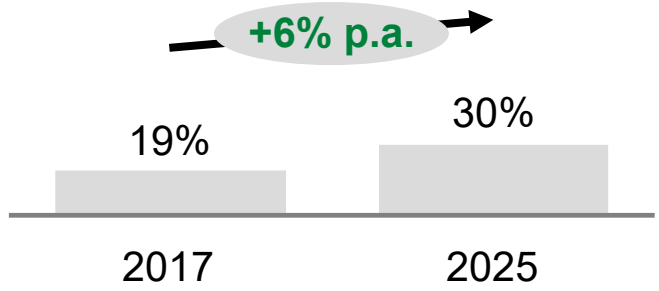
Access to financing for households



Portion of loan to priority sectors

% total corporate loans

Access to financing for priority sectors



20181022 Internal

Source: Banque du Liban; CAS

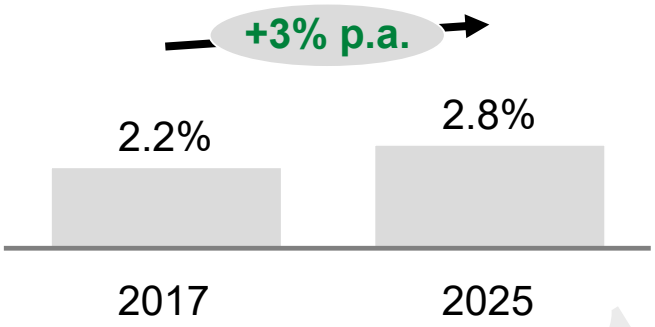
A … and the increase in contribution and depth of the non-banking financial services (1/2)

Insurance

Insurance penetration

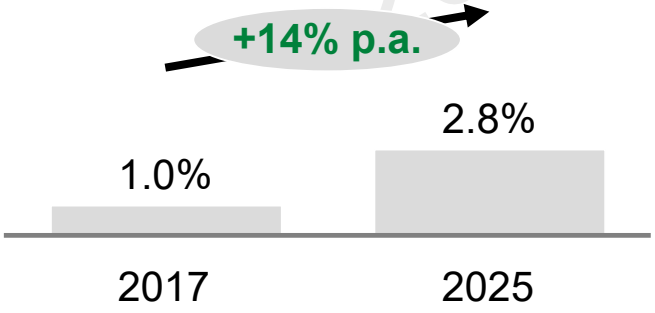
Non-life insurance GWP, %GDP

Depth and contribution of insurance sector



Life insurance GWP, %GDP

Depth and contribution of insurance sector

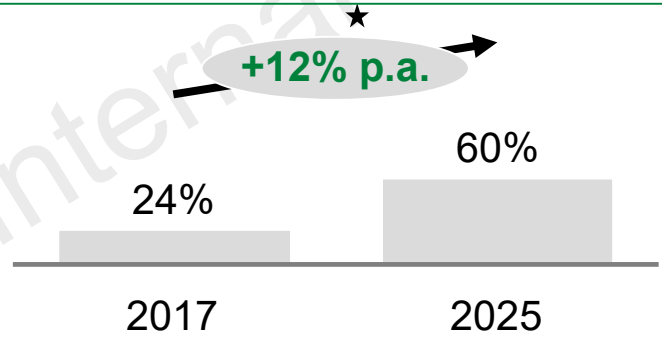


Capital markets

Depth of capital markets

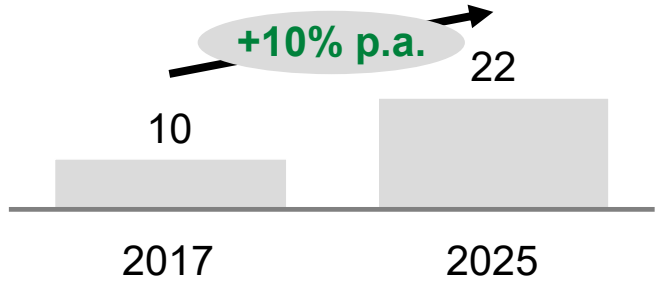
Stock exchange market capitalization, %GDP

Depth of capital markets



Total number of listed companies, #

Activity of capital markets



20181022 Internal

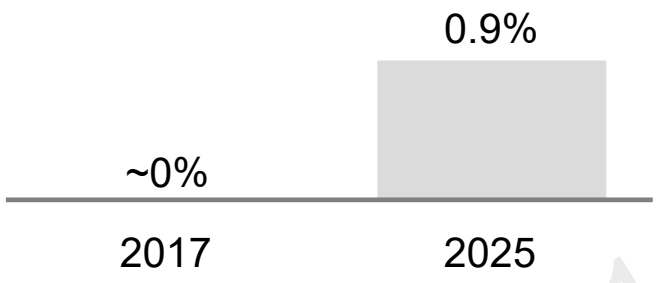
Source: ICC; CAS; Capital Markets Authority; Beirut stock exchange

A … and the increase in contribution and depth of the non-banking financial services (2/2)

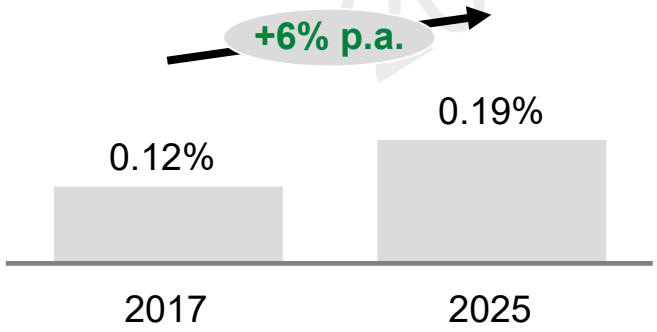
Private Equity

Private Equity & Venture Capital

Private Equity deal value, %GDP
Depth of PE deals



Venture Capital deal value, %GDP
Depth of VC deals

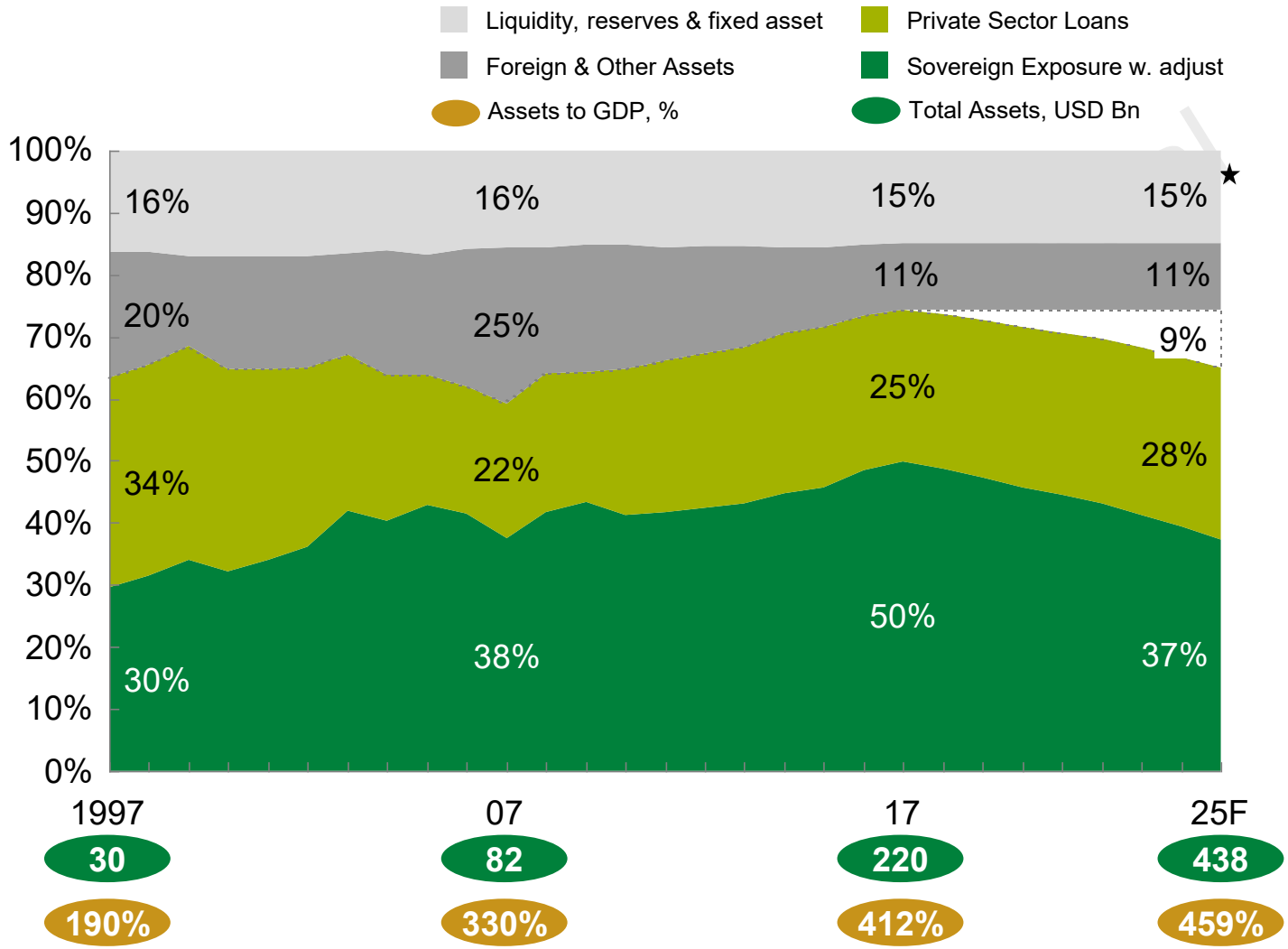


20181022 Internal

Source: Pitchbook

A Achieving balanced sovereign exposure while increasing loan penetration would still give room for ~40 USD Bn of productive investments

Commercial banks asset by asset-class, %



- Increasing retail loan penetration to benchmark will maintain banks' lending portfolio at ~28% of total assets
- Better fiscal situation will lead to a decrease in sovereign exposure, down to ~37%, giving a 9% (~40 USD Bn) room in the asset base for productive investments (domestically & abroad)

Source: Banque du Liban; CAS

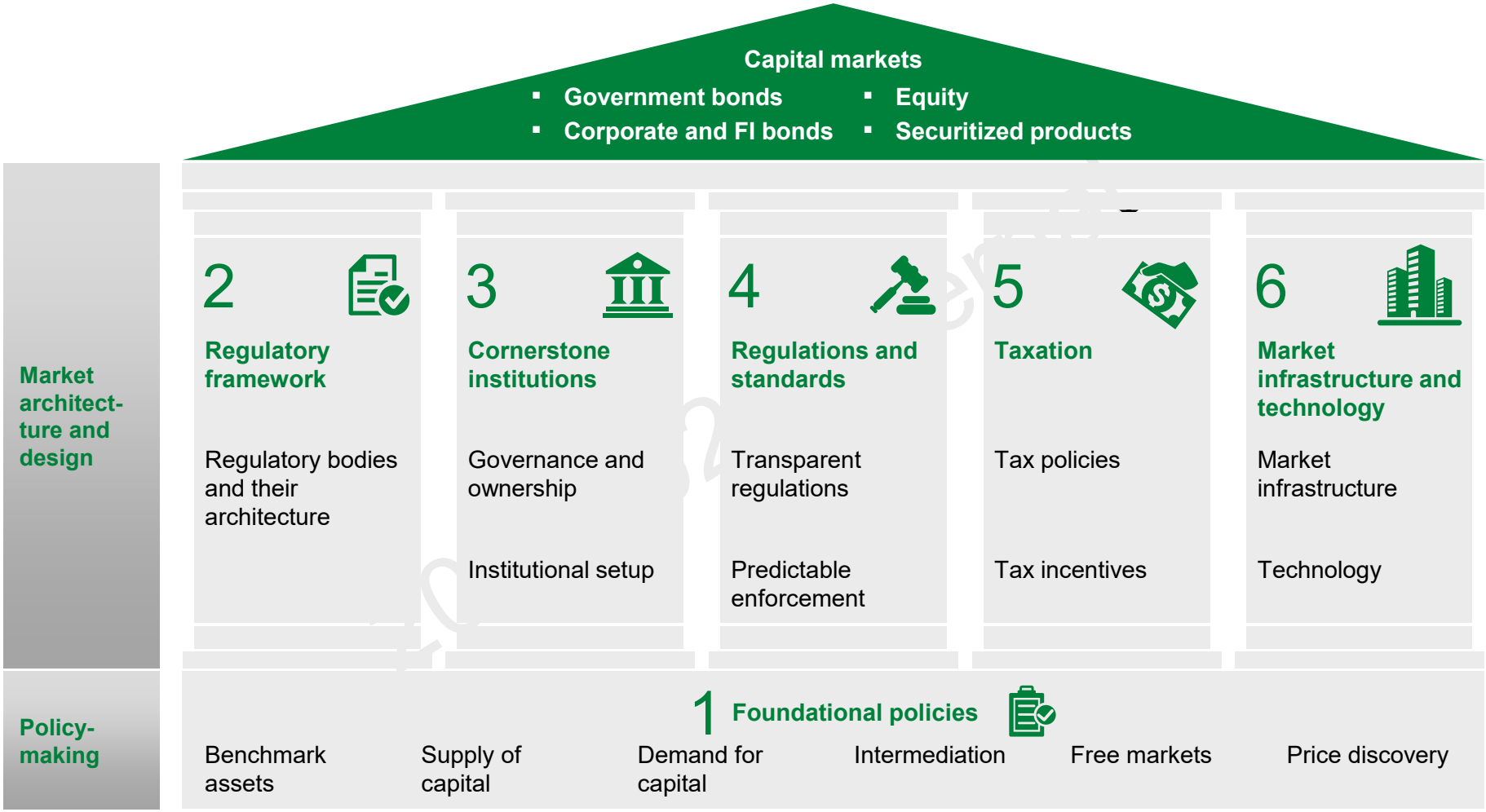
A Deepening and developing capital markets typically has several economic benefits

Benefits of debt capital markets	How can Lebanon benefit from capital markets?	How does the US benefit from capital markets?
Additional funding sources	▪ Diversification of existing funding for Govt., GREs and corporates away from banks ▪ Additional capital available to banks to lend to the wider economy (e.g. SME's) ▪ Supplementary financing for infrastructure and developmental projects	▪ Approximately 1,306 U.S. companies issued $1.5 trillion in corporate bonds to fund their operations and growth in 2015 ▪ The state and local governments regularly use municipal bond proceeds for infrastructure development (e.g. bridges, transportation systems, power plants)
Reduced funding costs	▪ Reduced funding cost due to availability of capital and increased competition	▪ Mortgage securities have helped individuals own homes by reducing borrowing costs
Reduced risk	▪ Reduction in exchange rate risks by providing an alternative source of multi-currency financing ▪ Reduction in maturity mismatch risk due to the availability of capital at various tenors	▪ Asset-backed security markets have allowed lenders to shift risks (e.g. auto loans, student loans, credit cards etc.)
Investors attraction	▪ Increased demand from international investors for high quality assets	▪ Corporate bond markets have promoted broader investor interest
Additional tools for monetary policy	▪ Provision of enhanced tools to monetary authority	

2018/022 Internal

Source: Press Search

A To further drive the growth and development of capital markets, Lebanon should tackle 6 dimensions



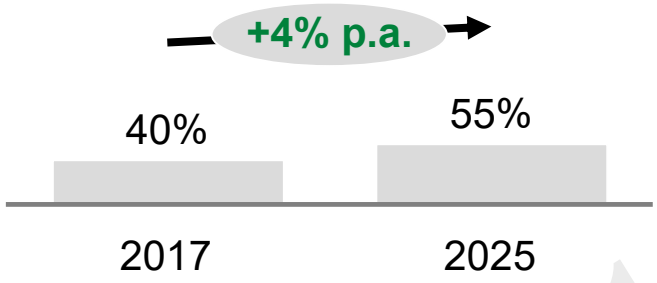
B Positioning Lebanon as an investment management and offshoring hub requires reaching a specific set of targets across different metrics

Regional wealth management and booking center

Asset attraction and retention

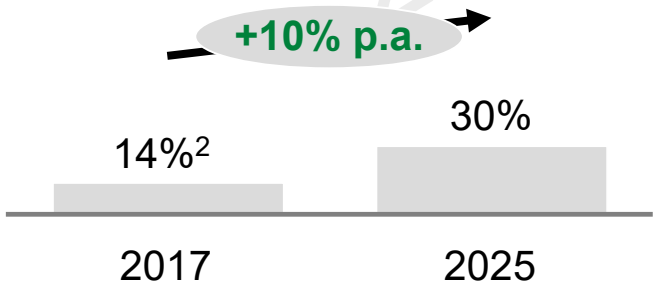
HNW wealth that remains within Lebanon, %

Competitiveness of local products and services to HNWIs



Assets under Management, % GDP

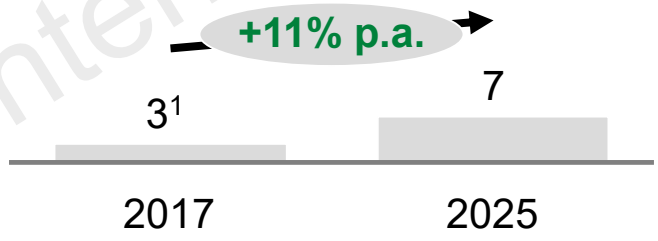
Attractiveness of wealth and asset management products and services



Ecosystem & environment

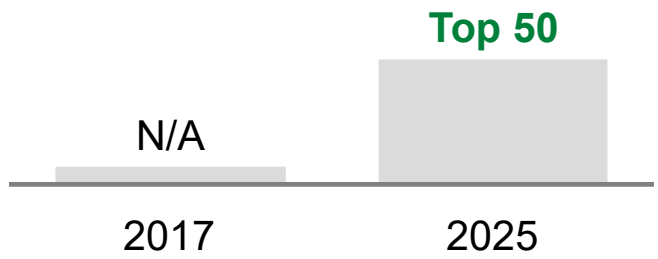
Number of top 10 asset and fund managers

Renowned as global financial hub



Global financial center index, rank

Market and regulatory environment for financial center



1 o.w. two representative offices for UBS and BNY Mellon 2 Computed assuming 25% of AUMs of local players are domestic based on Audi ratio

Source: McKinsey Private Banking Survey 2016; Bank Audi Investor Relations presentation Jun. 2017; Dec. 2016

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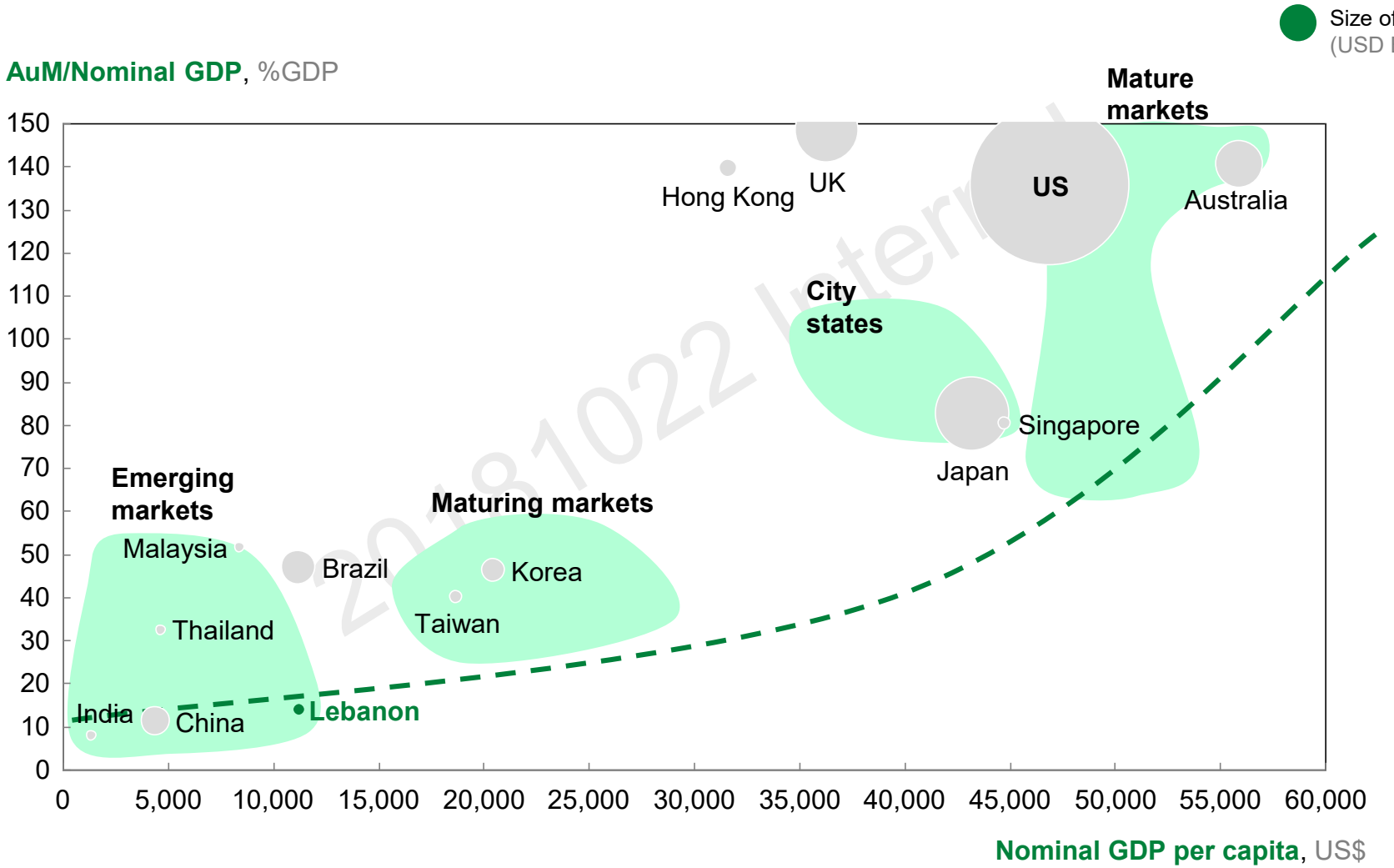
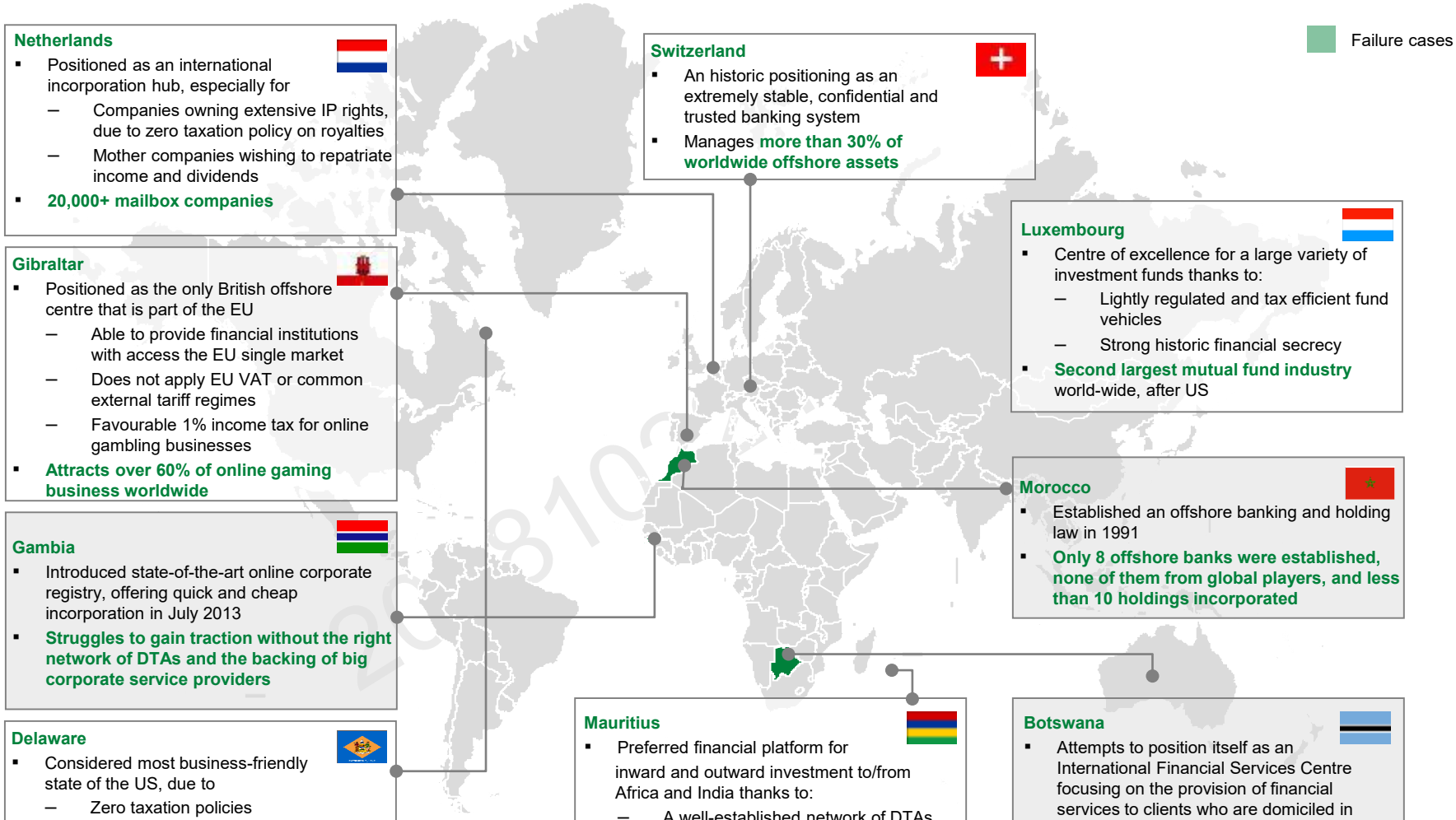
B Assets under management as a percent of GDP are amongst the lowest in Lebanon

Assets under management (AUM) to GDP vs. GDP per capita



Source: Asset Management Global Database; Global Insight

B Competition for financial hub models takes place on a global level



Source: Press search

B 13 dimensions define the hub model out of which 7 are of particular importance for offshore banking hubs

SEZ specific

A Regulatory conditions and admin. facilitation

A1 Doing Business
- Efficient processes for setting up and running a business
- Stable international currency for operations
- Capital controls
- Investment guarantees

A2 Taxes and incentives
- Corporate and capital gains taxes
- Existence of subsidies to investment

A3 Specific sector regulations
- Flexible framework for setting up a company
- Targeted sector-specific regulatory frameworks

T Talent pool and labor conditions

T1 Local talent pool
- Low cost of labor
- Availability of a large local labor pool
- High quality of the local labor pool

T2 Expats
- Low income tax rate
- Work permits and visas

I Real Estate

I1 Office real estate/ sup-porting infrastructure
- Office real estate
- Supporting logistical infrastructure
- Supporting infrastructure

I2 Housing infrastructure
- Expat standard housing

E Dedicated business services (on-site)

E1 Local supporting ecosystem
- Professional services presence
- Presence of facility management services

★

8 categories

Country specific

C Fundamental country conditions

C1 Political stability/ safety and legal environment
- Political stability
- High safety and security of people
- Legal and regulatory environment

C2 Macroeconomic stability
- Low level of inflation
- History of little to no budget deficit

C3 Airline connectivity & transport infrastructure
- Airline connectivity
- Logistical Infrastructure

C4 Attractiveness for expats in terms of quality of living
- Leisure
- Minimum bar in housing
- Education for the kids
- Hospitals and medical personnel

C5 Market access
- Double tax avoidance treaties (DTAs)
- Trade agreements
- Size of captive market
- Investment Protec-tion and Promotion Agreements

5 categories

20181022

Source: Expert interviews

B 7 dimensions are key focus for offshore banking and incorporation hubs

Categories	Dimensions	Criteria
A Regulatory conditions and admin faciliat.	A1 Doing business	▪ Efficient processes for setting up a corporate vehicle ▪ Stable international currency for operations ▪ No/low restriction on foreign exchange transactions
	A2 Taxes and incentives	▪ Low effective corporate tax rate ▪ Low/zero tax rate on capital gains, payments of dividends, royalties, and interest
	A3 Sector-specific regulations	▪ Low/no local content requirements for setting up an offshore vehicle ▪ Limited physical presence required for opening a bank account ▪ Flexible prudential framework for targeted financial services
E Dedicated business services (on-site)	E1 Local supporting ecosystem	▪ Presence of international banks, qualified lawyers and accountants
C Fundamental country conditions	C1 Political stability/ safety and legal environment	▪ Political stability and predictable regime ▪ Internationally recognized judiciary system or option for arbitration by extra-territorial jurisdiction ▪ Compliance with international norms (ML/TF[1] tax transparency) while maintaining financial secrecy ▪ Strong supervisory body for banks, lawyers and accountants
	C2 Macroeconomic stability	▪ Trusted banking system or free choice of bank account location
	C5 Market access	▪ Extensive network of DTA[2] treaties with relevant partners ▪ Extensive network of favorable IPPAs[3]

1 Money Laundering/Terrorism Finance 2 Double Tax Avoidance 3 Investment Protection and Promotion Agreements

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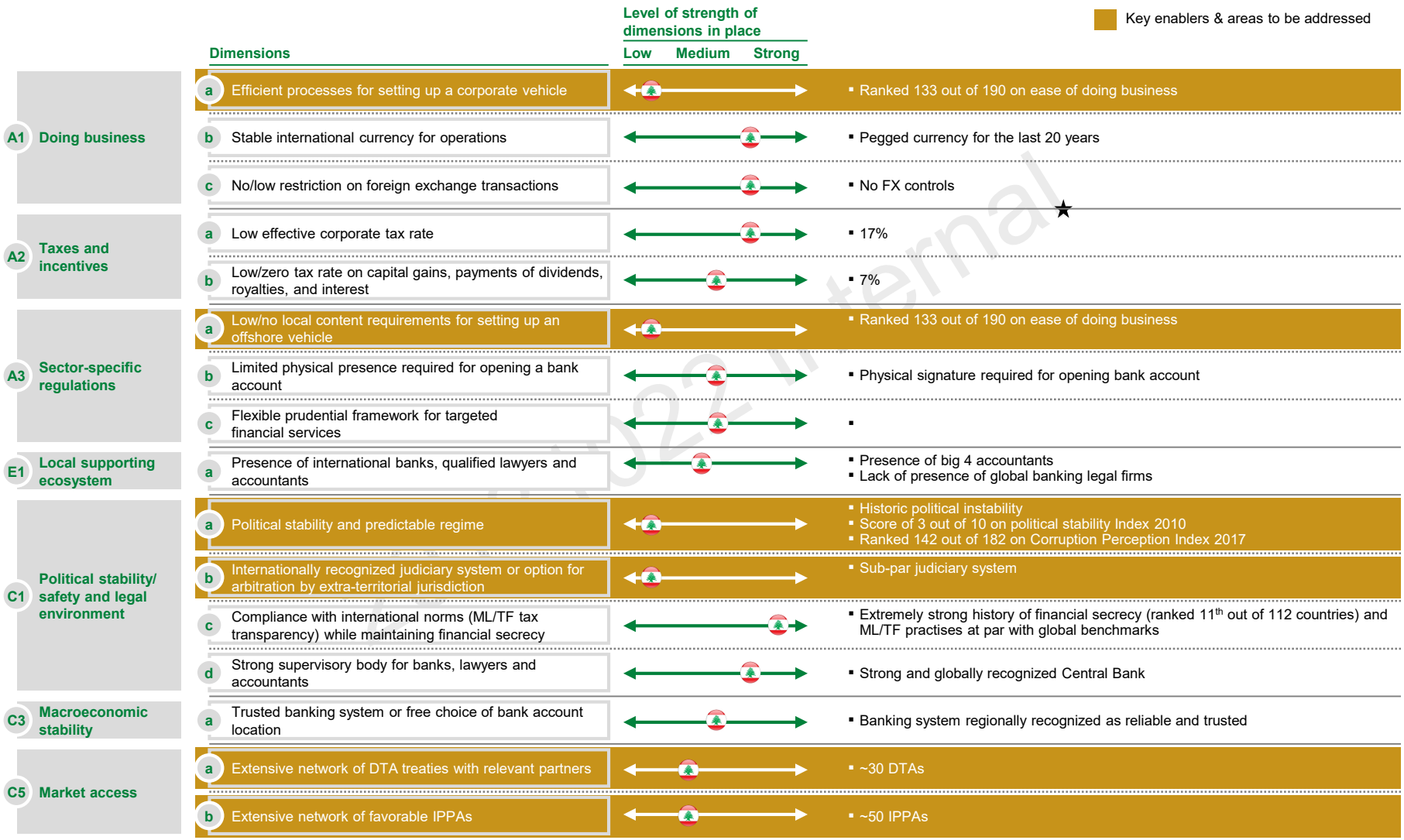
Source: Expert interviews

B Lebanon should address several shortcomings, despite strong fundamentals and banking secrecy



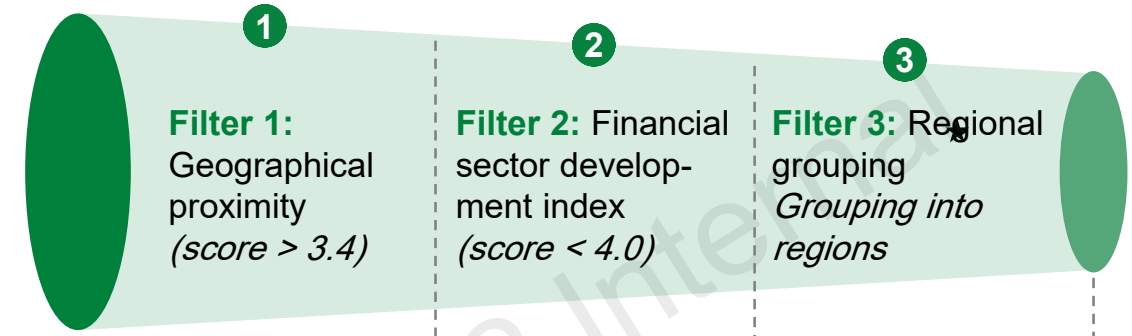
Source: Expert interviews; Ministry of Finance; Ministry of Foreign Affairs; WEF – Global Competitiveness Report; Corruption Perceptions Index; WB – Ease of Doing Business

B A 3-step analysis has been conducted in order to identify the 3 target regions for wealth attraction

Process for prioritization of target countries

XX Number of countries prioritized

- **Identification** of long list of 137 countries with relevant data availability
- **Evaluation** of the **attractiveness of the country based on geographical proximity, regional consideration & financial sector development**



Variable(s) at country level	▪ Geographical proximity to Lebanon	▪ Extent of financial services quality in target market	▪ Grouping into relevant and similar geographic regions
Rationale	▪ Elimination of countries with no geographical proximity (distance score above average of 3.4)	▪ Elimination of countries with developed financial sectors (financial sector score above average of 4.0)	▪ Filtering out of Europe as a region
	137	84	46

30

30 countries within 3 priority regions that Lebanon can target:

- Africa
- Levant & Turkey
- Caspian & eastern Asia region

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Source: Expert interviews; WEF Global Competitiveness Report

B Global wealth pools where then used to validate the chosen regional target markets

Countries	Total wealth pool, USD Tr	Private banking penetration, %	Offshore portion, %	Diaspora concentration	Preference
United States	13.7	55%	10%	●	Digital, omnichannel, wealth tiers
Japan	5.2	24%	10%		Price sensitive, digital, high-interaction model
China	5.0	43%	22%		Price sensitive, digital, high-interaction model
Others EMEA[1]	3.8	81%			Price sensitive, digital ★
Middle East	3.2	68%	90%	●	Not price sensitive, focus on solutions
Western Europe[2]	2.4	79%	29%	◐	Price sensitive, digital
UK	1.9	63%	26%		Price sensitive, digital
Germany	1.9	74%	32%	●	Price sensitive, digital
Russia & Poland	1.5	15%	40%		Premium service, conservative
Canada	1.4	57%	7%	●	Digital, Omnichannel, Wealth Tiers
Italy	1.3	85%	23%	◐	Price sensitive, digital
Others APAC[3]	1.3	38%	15%		Price sensitive, digital, high-interaction model
SE Asia[4]	1.1	64%	36%		Price sensitive, digital, high-interaction model
Brazil	0.9	67%	44%	●	Personal relationship, confidentiality & privacy
Australia	0.8	38%	25%	●	Digital, omnichannel, wealth tiers
Others Americas[5]	0.8	75%	44%	●	Personal relationship, confidentiality & privacy
Mexico	0.7	71%	44%	●	Personal relationship, confidentiality & privacy

Global plays Disaspora plays

- Based on the assessment of the top 17 global wealth pools, Lebanon should target **two global plays** (**Middle East, & Russia**) and **one diaspora play** (Latin & Central America)
- Capturing **~1% of these target markets** represents **50% of target asset-base**

1 Denmark, Finland, Ireland, Norway, Sweden, Czech Republic, Hungary, Romania, Slovakia, Oman, Kuwait 2 Spain, Portugal, France, Belgium, Netherlands, Luxembourg
3 Philippines, South Korea, Thailand, Vietnam 4 Malaysia, Indonesia, Singapore 5 Argentia, Chile, Columbia, Peru

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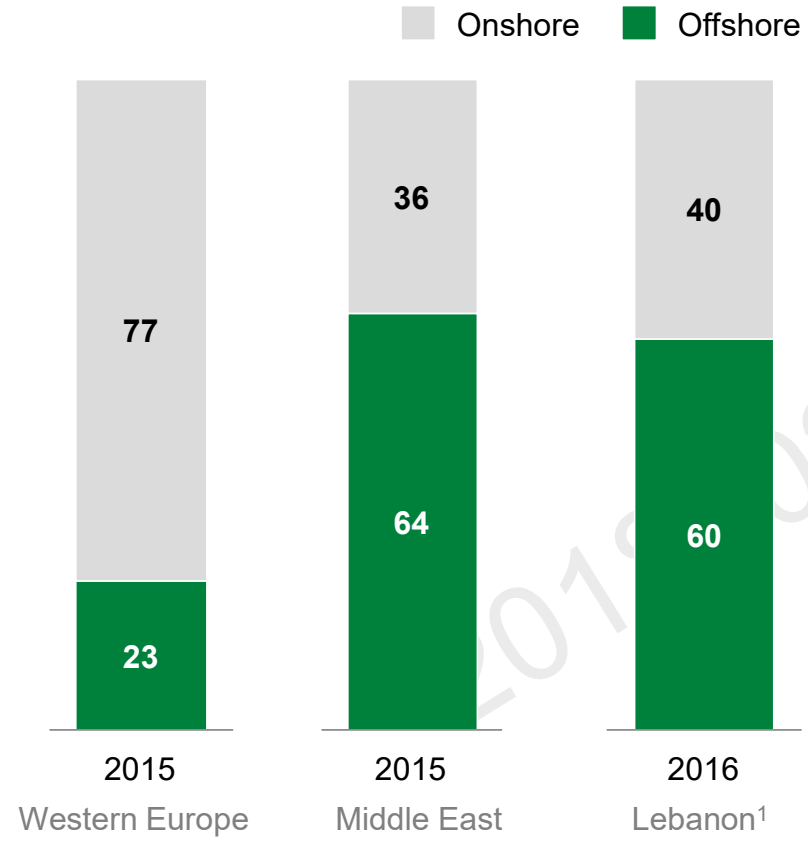
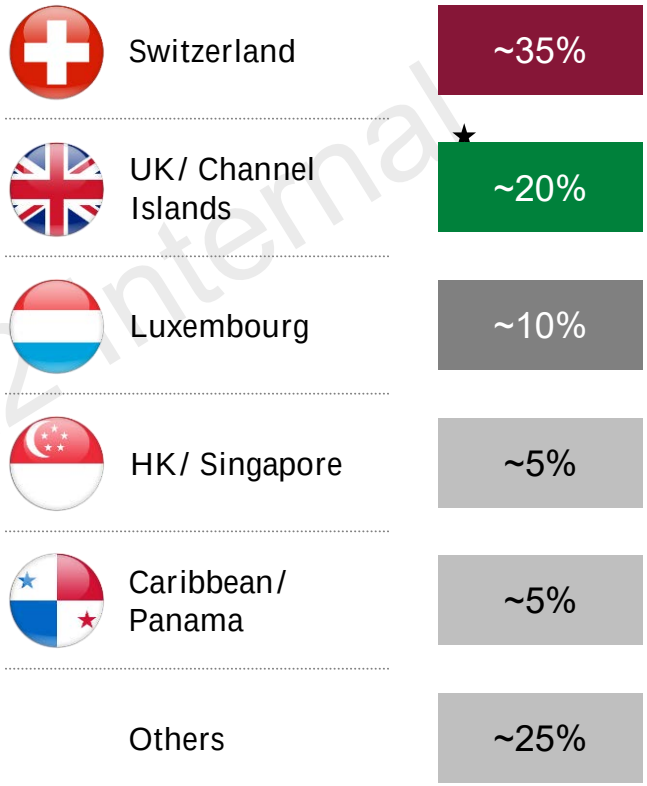
B An estimated ~60% of Lebanese HNW PFA is held offshore, driven largely by deposits and real estate investment in Swiss and UK centres

ESTIMATES

HNWI PFA, Onshore vs. Offshore, Percent



Lebanese HNWI Offshore PFA, Percent



- **Switzerland** and the **UK / Channel Islands** are the most popular jurisdictions
- Booked assets are primarily in **low-risk assets** (incl. deposits) and **real-estate** (deals, funds)

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Middle Eastern markets, including Lebanon, typically have higher proportion of offshore, driven by HNWI preferences for booking assets in more developed markets

1 Extrapolated from BDL deposits data and public bank financial data

Source: Private Banking Survey 2016; Bank Audi Investor Relations presentation Jun. 2017, Dec. 2016

B To retain majority of domestic wealth onshore, three key features are required in the financial ecosystem

☐ Levers to pull

- Provide **breadth** and **depth** of wealth management **products**
  - Investment opportunities in **varied asset classes**
  - Access to **regional and international markets**

- Create **high quality** customer **services**
- Push local **banks to provide private banking** services

- Ensure high standards of **confidentiality**
- Establish **strict regulations** to deal with any **breach of confidentiality**
- Establish regulations for **ethical walls** within banking departments

Source: Expert interviews

B BACKUP: Switzerland currently manages more than 30% of worldwide offshore assets

An historic positioning as an extremely stable, confidential and trusted banking system

- A **long history of family-run private banks**, e.g., Pictet & Cie, one of Europe's leading independent asset management specialists:
  - Established over 200 years ago in Geneva as a family business
  - Still owned and managed by 8 general partners, among which 1 direct family member
- A history of **neutrality and political independence**, helping to build international trust in the **independence of the banking system**
- Extremely strong **financial secrecy**
  - Codified in the Banking Law of 1934 to prevent Nazi's from investigating financial property of Jews in Switzerland
  - Legally equivalent to the doctor-patient professional secrecy oath
- Targeting **international private banks and their upscale clients**, on a world-wide basis

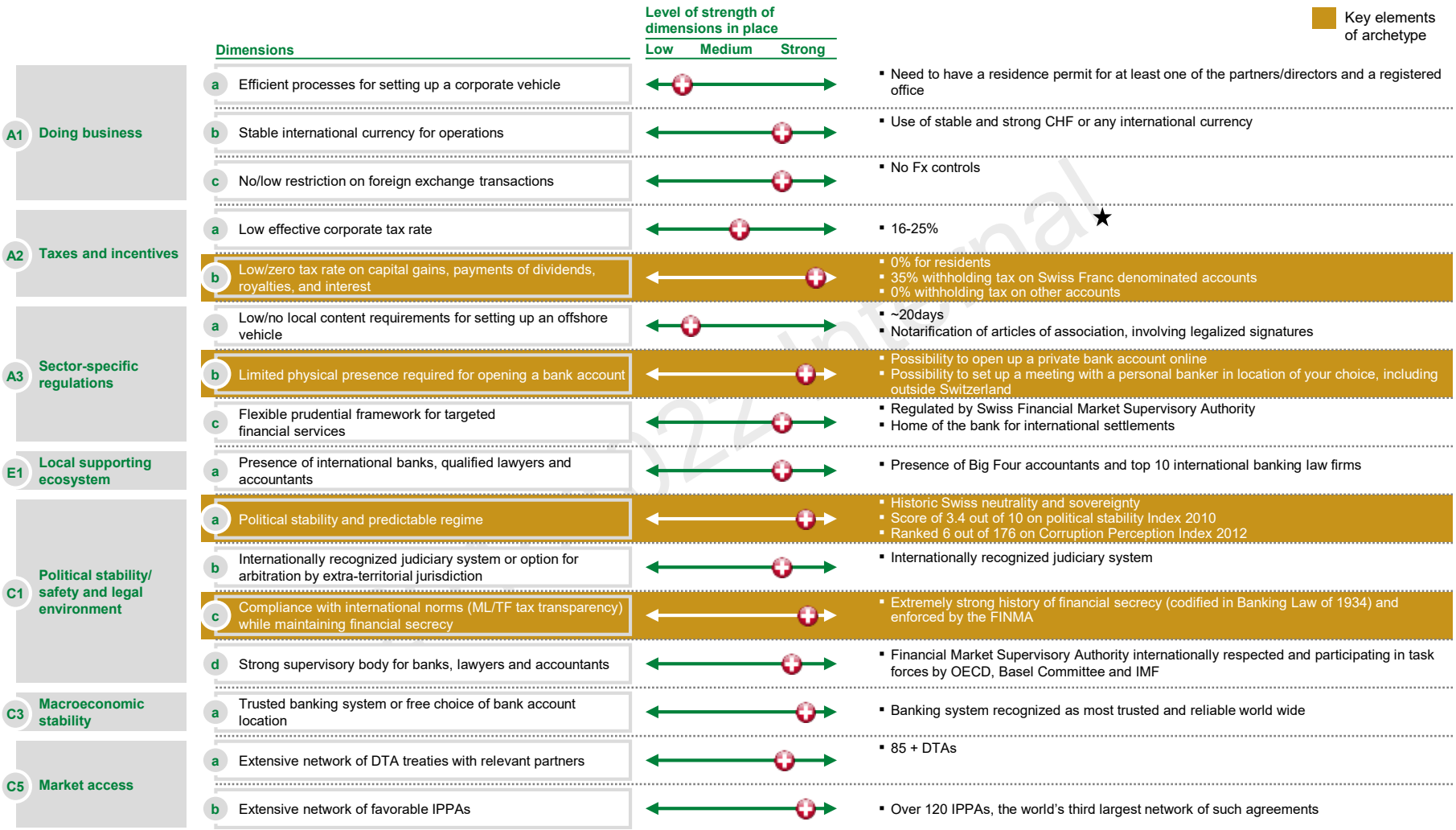
Achieved to become the world's leading private banking hub

- Considered **most prestigious and trustable banking system** in the world
- An estimated USD 2.8 trillion assets under management, of which **USD 2.1 trillion assets** from offshore wealth (~34% of worldwide offshore assets)
- Home of the **top 2 private banks worldwide**, UBS and Crédit Suisse
- Over **327 authorized banks and securities dealers**

UBS · Credit Suisse · Morgan Stanley · Pictet · Sarasin · Deutsche Bank · Goldman Sachs · Barclays

Source: Swiss National Bank; CNN

B BACKUP: Switzerland developed its value proposition around political neutrality combined with high financial secrecy



B BACKUP: Luxembourg became the second largest fund administration platform world-wide

Clear positioning as a highly competent and flexible platform for mutual funds, at European and worldwide level

- Initially a **steel-based economy**, located in the heart of Europe, at a crossroads of 3 languages
- Proactively introduced **targeted financial regulations**:
  - Swiftly **implemented the first UCITS[1] European directive**, establishing a common market for mutual funds, in local law in 1988
  - Has since then always been **at the forefront of implementing international norms**, combining international compliance with an **unequaled degree of flexibility in fund design** by developing different types of fund structures targeting different client risk profiles
- Introduced a **low taxation regime on capital gains**, combined to a non-cooperation policy for international tax sharing agreements
- Developed and attracted a wide range of **specialized services providers** such as lawyers, accountants, computer technicians, enabling fund managers to sub-contract non-core activities and benefit from economies of scale

The preferred hub for investment managers

- Manages **2.6 trillion USD assets**, accounting for 10% of the investment fund industry worldwide
- Second largest hub for mutual funds after the US (~50% of industry assets)
- Presence of all **top 20 asset managers and a total of 361 asset managers**

Deutsche Bank, DekaBank, State Street, UBS, Union Investment, BlackRock, Fortis Bank, Pioneer Investments, Schroders, Fidelity

1 Undertakings for Collective Investment in Transferable Securities

Source: 2013 Investment Company Fact Book

B BACKUP: Luxembourg developed its value proposition around highly tuned financial regulations supported by zero capital gains taxes

Key elements of archetype

		Dimensions	Level of strength of dimensions in place (Low – Medium – Strong)	
A1	Doing business	a Efficient processes for setting up a corporate vehicle		▪ Central fund administration must be located in Luxembourg
		b Stable international currency for operations		▪ Use of the EUR
		c No/low restriction on foreign exchange transactions		▪ No Fx controls
A2	Taxes and incentives	a Low effective corporate tax rate		▪ No corporate income tax ★
		b Low/zero tax rate on capital gains, payments of dividends, royalties, and interest		▪ Not subject to withholding tax except if EU savings directive (= EU exchange of information mechanism) applies ▪ Alternative options have been developed in those cases
A3	Sector-specific regulations	a Low/no local content requirements for setting up an offshore vehicle		▪ Need for multiple documents, such as the articles of incorporation, the development plan, data regarding the sponsor, scheme of the management, …
		b Limited physical presence required for opening a bank account		▪ No need to be resident ▪ Option to open account online, but documents to be sent by mail
		c Flexible prudential framework for targeted financial services		▪ No restriction on the eligible assets, but prior approval by the CCSF required; less stringent risk diversification requirements than abroad
E1	Local supporting ecosystem	a Presence of international banks, qualified lawyers and accountants		▪ Presence of all needed support services in custody, fund admini-stration and transfer agency, business and tax consultants, audit firms, international and local law firms,
C1	Political stability/ safety and legal environment	a Political stability and predictable regime		▪ Score of 3.6 out of 10 on Political Stability Index (2010) ▪ Ranked 12 out of 176 on CPI (2012)
		b Internationally recognized judiciary system or option for arbitration by extra-territorial jurisdiction		▪ Trusted jurisdiction, Luxembourgish jurisdiction itself considered a global center for arbitrage in financial services
		c Compliance with international norms (ML/TF tax transparency) while maintaining financial secrecy		▪ Not blacklisted on any list ▪ Ranked 3 out of 78 on Financial secrecy Index ▪ Will introduce automatic exchange of information as of 2015
		d Strong supervisory body for banks, lawyers and accountants		▪ Banking system supervised by Commission de Surveillance du Secteur Financier (CCSF), renowned to be accessible, open to dialogue and easy to contact
C3	Macroeconomic stability	a Trusted banking system or free choice of bank account location		▪ Extremely stable and trusted banking system
C5	Market access	a Extensive network of DTA treaties with relevant partners		▪ 92 DTA treaties with all EU-member states, including almost all OECD member states
		b Extensive network of favorable IPPAs		▪ 80 + IPPAs signed

Strictly confidential

B BACKUP: Financial secrecy, a cornerstone of most offshore banking hubs, is slowly disappearing under international pressure

Key drivers

- An increased **focus on the fight against terrorism and money laundering** post 9/11
- An increased **concern for fiscal justice in a context of global economic crisis**: an estimated **USD 250 billion loss in taxes** each year by governments worldwide as a result of wealthy individuals holding their assets offshore

2000	2009-2010	2013
▪ Establishment of the **Financial Action Task Force against money laundering and terrorism finance** (FATF) – Inter-governmental organization involving most global financial centers – **Listing non-cooperative countries** such as Bahamas, Cayman Islands or Liechtenstein – Most of these countries removed by 2007	▪ Vote of the **US Foreign Account Tax Compliance Act** (FATCA), forcing all signatory countries to communicate assets held by American citizens in their country ▪ Launch of **tax information sharing agreements between most OECD countries** ▪ Introduction of the **EU Savings Directive**, establishing stringent automatic information exchange agreements between EU countries	▪ **Investigation of 11 Swiss banks** accused of helping American residents in evading tax by the US, including the arrest and attempt to extradition of a former UBS top executive
▪ Switzerland and Luxembourg take part and cooperate sufficiently to not be black-listed	▪ **Switzerland does not sign** any information sharing agreements, but banks like UBS cooperate by disclosing the names of US citizens to US authorities ▪ **Luxembourg negotiates** to keep its financial secrecy in exchange for **introducing a selective withholding tax for EU residents**, while simul-taneously developing loopholes	▪ **Switzerland states its intent to sign the OECD information sharing agreements**, while not taking part in automatic information exchanges ▪ **Luxembourg plans to give up financial secrecy as of 2015**

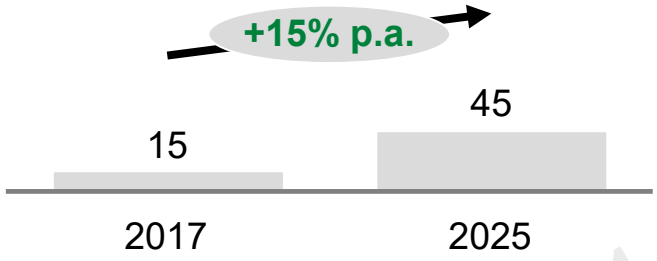
Source: WB Stolen Asset Recovery (STAR) initiative; Tax Justice Network; New York Times

C Developing the financial sector centers of excellence requires reaching a specific set of targets across different metrics

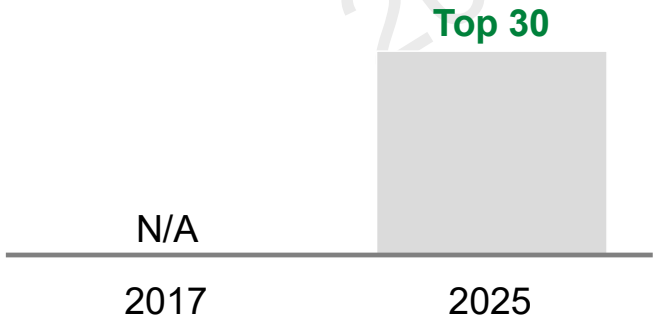
Centers of Excellence

FinTech

Number of FinTech, #
Fintech activity



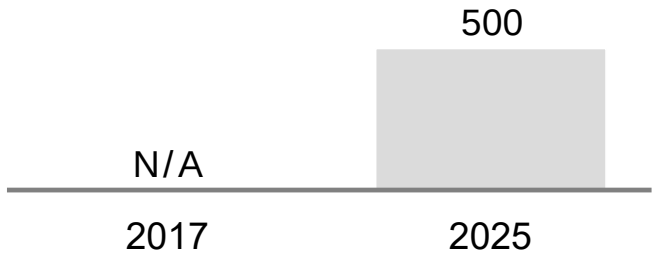
IFZ Global FinTech ranking, rank
Fintech ecosystem



Project finance, digital & actuarial

Value of project finance export deals, USD Bn
Project Finance export activity

Value of other CoEs Exports, USD Mn
Activity of Centers of Excellence



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C Four niche centers of excellence should be developed, leveraging Lebanon's comparative advantages and the regional context

Type	Niche play	Description	Rationale and potential
Finance	Project Finance	**Financing of long-term infrastructure**, industrial projects and public services based upon a non-recourse or limited recourse	▪ **Syria and Iraq reconstruction efforts** with prospective ~300 USD Bn infrastructure deals ★
Technology	FinTech	Vibrant hub with **large number of FinTechs**	▪ **Global digital & analytics trends** in financial services ▪ Large and **qualified talent pool** ▪ Lebanon's **prospective position** as a regional **tech hub**
Outsourcing	Digital & Analytic	Hub attracting **digital captive centers** for financial services players in the region	▪ Lebanon's **prospective positioning** as an **outsourcing hub** ▪ Large and **qualified talent pool** ▪ **Competitive cost structure** compared to target markets
	Equity research	**Research outsourcing desk for financial & equity** research, mainly targeting Arab & GCC countries	
	Actuarial sciences	**Actuarial sciences outsourcing** for insurance players, mainly targeting Arab & GCC countries	

2018 1 22 Internal

Source: Expert interviews

Financial Services – priority initiatives (1/4)

NON-EXHAUSTIVE

A Deepen & Strengthen the financial services

	Objective	Owner[1]	Plays
FIN. A.1	Develop detailed blueprint and strategy for the banking sector	▪ BDL ▪ BCCL ▪ ABL	
FIN. A.2	Diversify banking sector asset base from public sector ★	▪ BDL ▪ BCCL ▪ ABL	
FIN. A.3	Incentivize banking sector asset reallocation into productive private sectors	▪ BDL ▪ BCCL ▪ ABL	
FIN. A.4	Enhance capitalization and optimize balance sheets of Lebanese banks	▪ BDL ▪ BCCL	
FIN. A.5	Promote consolidation to enhance sustainability of underperforming banks	▪ BDL ▪ BCCL	
FIN. A.6	Enhance cost efficiency through digitization	▪ ABL ▪ All Banks	
FIN. A.7	Set-up a national credit bureau	▪ BDL ▪ ABL	
FIN. A.8	Issue a real estate price index to enhance valuation	▪ BDL ▪ Lebanon Credit Bureau ▪ Lebanon Collateral Reg. ▪ Ministry of Finance	

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Financial Services – priority initiatives (2/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
A Deepen & Strengthen the financial services	FIN. A.9	Design financial statement auditors certification	▪ BDL ▪ BCCL ▪ ABL	
	FIN. A.10	Accelerate growth of insurance sector ★	▪ ICC ▪ Insurance Comp-anies	
	FIN. A.11	Enhance NSSF investment vehicle and operating model	▪ NSSF	
	FIN. A.12	Conduct contingent liabilities estimation exercise & accordingly develop detailed plan	▪ Pension Funds (incl. NSSF)	
	FIN. A.13	Ignite capital markets through growing and promoting demand for capital	▪ Capital Markets Authority ▪ CoM ▪ BSE	
B Position Lebanon as investment management & offshoring hub	FIN. B.1	Promote Lebanon's asset management & offshore hub value proposition in target markets	▪ ABL ▪ Financial Institutions ▪ CMA	

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Financial Services – priority initiatives (3/4)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
B Position Lebanon as investment management & offshoring hub	FIN. B.2	Increase network of Double Taxation Agreements and IPPAs to cover target source markets	▪ MoF ▪ MoFA	
	FIN. B.3	Attract foreign players (banks, asset managers, specialized accountants & lawyers) to set up shop in Lebanon	▪ IDAL ▪ MoE, BdL	
C Develop centers of excellence in specific niches with strong export potential	FIN. C.1	Develop project finance capabilities to capitalize on ★ Syria & Iraq reconstruction efforts	▪ Financial Institutions	
	FIN. C.2	Ensure best-in-class ecosystem and framework for FinTech development	▪ BdL for licensing	
	FIN. C.3	Ensure best-in-class ecosystem for financial services outsourcing (digital & analytics, research & actuarial)	▪ BdL for licensing	
X.1 Legislation & Regulatory Framework	FIN. X.1.1	Maintain compliance to Money Laundering & Terrorism Financing legislation	▪ BDL ▪ BCCL	ABC
	FIN. X.1.2	Establish collateral registry	▪ BDL ▪ Parliament	ABC
X.2 Talent Pool & Education	FIN. X.2.1	Revamp tertiary education coursework in line with FS sector needs	▪ Ministry of Education	ABC
	FIN. X.2.2	Enhance capabilities of current and prospective financial sector employees	▪ Ministry of Education ▪ ABL	ABC
	FIN. X.2.3	Enhance financial awareness & literacy across all levels	▪ Ministry of Education ▪ ABL	ABC

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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Financial Services – priority initiatives (4/4)

NON-EXHAUSTIVE

X.3 Lending to priority sectors

	Objective	Owner[1]	Plays
FIN. X.3.1	Facilitate local lending for agriculture	▪ BDL ▪ Kafalat	ABC
FIN. X.3.2	Enhance access to financing for SMEs in the creative industries fields	▪ BDL ▪ Kafalat	ABC
FIN. X.3.3	Enhance access to financing to incentive construction of new hotels and renovation of existing hotels in anchor destinations ★	▪ BDL ▪ Kafalat	ABC
FIN. X.3.4	Enhance access to finance to support industrial SMEs (focused on priority industry sectors)	▪ BDL ▪ Kafalat	ABC

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 28 priority initiatives that underpin the vision of the financial sector (1/8)

NON-EXHAUSTIVE

A

Deepen & Strengthen the financial services

	Objective	Initiative	Owner[1]
Fin.A.1	Develop detailed blueprint and strategy for the banking sector	The banking sector has been operating without a consistent and unifying strategy to guide progress. As such, the sector, should develop an overarching detailed sector blueprint based on the high-level strategy and sector plays defined in the Lebanon Economic Vision. The detailed blueprint should mainly tackle three key objectives: ▪ Growing the asset base of the sector (Year-on-year asset growth has dropped from 23% in 2009 to 4% in 2017) ▪ Ensuring a sustainable and profitable sector growth (RoE has dropped from 15% in 2011 to 12% in 2016) ▪ Conducting digitization efforts across the sector	▪ BDL ▪ BCCL ▪ ABL
Fin.A.2	Diversify banking sector asset base from public sector	Currently, the asset base of the banking sector has a significantly high exposure to soveign risk with a 62% exposure vs. 24% benchmarks. The sovereign exposure of the assets should be further reduced through for example: ▪ Devising and enforcing limits to public sector placements ▪ Developing a list of revenue and expenditure reforms required from the government and jointly lobbying to get them enforced ▪ Incentivizing private sector lending (Covered under initiatives Fin.A.3 & Fin.X.3.1-4)	▪ BDL ▪ BCCL ▪ ABL
Fin.A.3	Incentivize banking sector asset reallocation into productive private sectors	Today, bank lending is concentrated in non-productive and higher-risk segments (e.g. real estate, construction & housing constitute 35% of credit). In order to further support the economic growth agenda, credit should be redirected towards productive sectors through for example: ▪ Devising and enforcing regulatory limits to concentration of banks in certain high risk and non-productive sectors (e.g. real estate) after assessing and studying the overall impact of such limits by the BDL ▪ Providing reserve or risk weight incentives to banks for deploying capital in certain productive sectors after assessing and studying the overall impact of such risk-weight reductions by the BDL	▪ BDL ▪ BCCL ▪ ABL
Fin.A.4	Enhance capitalization and optimize balance sheets of Lebanese banks	Lebanese banks currently operate with a relatively small buffer on top of the regulatory capital requirement by BDL (15.7% vs 15% regulation). As such sound practices of regular optimization of capital & balance sheets across all Lebanese banks should be promoted to: ▪ Enhance quality of capital ▪ Reduce Risk Weighted Assets (RWA) ▪ Efficiently deploy capital into high RaROC (Risk-adjusted return on capital) assets	▪ BDL ▪ BCCL

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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We considered 28 priority initiatives that underpin the vision of the financial sector (2/8)

NON-EXHAUSTIVE

A

Deepen & Strengthen the financial services *(contd.)*

	Objective	Initiative	Owner[1]
Fin.A.5	Promote consolidation to enhance sustainability of underperforming banks	▪ Smaller banks achieve on average lower RoEs. (For example, most Beta banks consistently acheive RoEs less than 9%). As such, the sustainability of underperforming Lebanese banks could be elevated by incentivizing consolidation through speficif benefits (e.g. continue giving out soft loans for mergers)	▪ BDL ▪ BCCL
Fin.A.6	Enhance cost efficiency and reach through digitization	▪ The sector witnesses a low digital banking penetration with 27% of adults having made a digital transaction vs. 60% benchmarks. The sector also has a significant portion of assets owned by non-residents (20% of deposits). As such, launching end-to-end digitization efforts (front and back office) to enhance customer experience and reach (in and outside Lebanon), enhance efficiency and reduce costs	▪ ABL ▪ All Banks
Fin.A.7	Set-up a national credit bureau	▪ Today, risk management practises are not at par with international standards, mainly driven by a lack of credit bureau. There is a need to set-up a "Lebanese credit bureau" to support banking services across the value chain (including lead generation, underwriting, servicing, and collection) ▪ The credit bureau should tap into all available data sources (e.g., mainly schools, TelCos, customs & tax authorities) and should provide credit scores & analytical reports across multiple sectors and subsectors (e.g. SME, Corporate, Real Estate…)	▪ BDL ▪ ABL
Fin.A.8	Issue a real estate price index to enhance valuation	▪ The lack of a real-estate index renders the valuation of collaterals relatively harder. The problem is further exacerbated with ~35% of credit going towards real estate, construction and housing *(Excluding other credit backed by a real estate collateral)*. As such, a real estate index could be developed and issued, to be used as a reference for valuation of house & land collaterals, for better risk management. ▪ The index to be based on data from Credit Bureau, Collateral Registry & Real Estate Registry	▪ BDL ▪ Lebanon Credit Bureau ▪ Lebanon Collateral Registry ▪ Ministry of Finance
Fin.A.9	Design financial statement auditors certification	▪ Debtors sometimes submit erronous financial statements leading to risk misjudgments. To overcome the issue, the government could develop and launch a certification mechanism for auditors ▪ Financial statements submitted with a loan application are to be vetted by certified auditors only	▪ BDL ▪ BCCL ▪ ABL

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 28 priority initiatives that underpin the vision of the financial sector (3/8)

NON-EXHAUSTIVE

A

Deepen & Strengthen the financial services *(contd.)*

	Objective	Initiative	Owner[1]
Fin.A.10	Accelerate growth of insurance sector	Insurance penetration is low compared to benchmarks across all Lines of Business (LOBs) (1% of GDP for life insurance vs. 2.8% benchmark and 2.2% of GDP for non-life insurance vs. 2.8% benchmark). The growth of the insurance sector should be further spurred, reducing the weight beared by the banking sector, through different levers, for example: ▪ Enhancing product development, marketing, sales and distribution across life products ▪ Increasing growth of non-life LOBs, by leveraging technology & advanced analytics ▪ Assessing the introduction of new compulsory insurance scheme (e.g. compulsary medical insurance) ▪ Introducing private pension funds	▪ ICC ▪ Insurance Companies
Fin.A.11	Enhance NSSF investment vehicle and operating model	Today, the NSSF places most of the assets under management in bank deposits, while using the surplus from the pension fund to cover losses from the health insurance. The operating model of the NSSF could be enhanced through for example: ▪ Augmenting the investment office of the NSSF and ensuring the independence of the fund (revamping the fund's governance structure) ▪ Diversifying the investment portfolio of the NSSF away from bank deposits into long term government securities	▪ NSSF
Fin.A.12	Conduct contingent liabilities estimation exercise & accordingly develop detailed plan	▪ The country's pension funds (including the NSSF) have limited visibility over their contingent liability which could drive liquidity and solvency problems going forward. As such, the issue should be addressed through conducting a thorough exercise of estimating and analyzing contingent liabilities of all the different pension funds (public pension, NSSF and private pensions) and devising a country-wide strategic pension system plan accordingly	▪ Pension Funds (incl. NSSF)
Fin.A.13	Ignite capital markets through growing and promoting demand for capital	Capital markets penetration is significantly lower than regional and global benchmarks (24% of GDP vs. 60% for regional benchmarks) There is a need to ignite the growth of capital markets through for example ▪ Assessing and then accelerating the partial privatization/listing of publicly-owned corporations (e.g. Liban Telecom) ▪ Funding major private-sector CIP infrastructure projects through debt & equity markets (e.g. SOLIDERE) ▪ Reviewing and enhancing incentives for listing companies on the Beirut Stock Exchange	▪ Capital Markets Authority ▪ Beirut Stock Exchange ▪ Council of Ministers

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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We considered 28 priority initiatives that underpin the vision of the financial sector (4/8)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
B **Position Lebanon as Investment management & offshoring hub**	Fin.B.1	Promote Lebanon's asset management & offshore hub value proposition in target markets	As part of the asset management and offshoring play, the country should develop & launch a thorough promotion campaign, targeting the core markets, mainly the Levant, the Caspian Region and Africa	▪ ABL ▪ Financial Institutions ▪ Capital Markets Authority
	Fin.B.2	Increase network of Double Taxation Agreements and IPPAs to cover target source markets	A key enabler to attracting foreign wealth into the country is to have an extensive network of double taxation agreements (DTAs) & Investment Promotion & Protection Agreements (IPPAs). As such the government should sign DTAs and IPPAs, to attract and protect investors, with all the target source countries, mainly the Levant, the Caspian Region and Africa	▪ Ministry of Finance ▪ Ministry of Foreign Affairs
	Fin.B.3	Attract foreign players (banks, asset managers, specialized accountants & lawyers) to set up shop in Lebanon	Presence of international players across the spectrum of asset management & offshoring (asset managers, banks, lawyers, accounting firms...) is critical to build a solid foundation. As such a roadshow pitching the country's value proposition to prospective players could be conducted mainly targeting: ▪ Global (top 20) asset & wealth managers ▪ PE and mutual funds ▪ Global accounting and law firms with banking specialization	▪ IDAL ▪ Ministry of Economy ▪ BdL ▪ All banks
C **Develop centers of excellence in specific niches with strong export potential**	Fin.C.1	Develop project finance capabilities to capitalize on Syria & Iraq reconstruction efforts	As part of building a center of excellence in project finance capitalizing on the reconstruction if Syria & Iraq, the financial services sector should invest in elevating project finance capabilities at Lebanese banks to build on the existing expertise through for example: ▪ Hiring world class experts that can help build local capabilities ▪ Sending Lebanese talent to conduct global level trainings and capability building programs ▪ Promoting rotational programs for project finance experts between Lebanese and international branches/subsidiaries	▪ Financial Institutions
	Fin.C.2	Ensure best-in-class ecosystem and framework for FinTech development	▪ *Detailed strategy for technology hub in Knowledge Economy section*	▪ BdL for regulation & licensing ▪ Other owners detailed in Knowledge Economy section

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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We considered 28 priority initiatives that underpin the vision of the financial sector (5/8)

NON-EXHAUSTIVE

C

Develop centers of excellence in specific niches with strong export potential *(contd.)*

	Objective	Initiative	Owner[1]
Fin.C.3	Ensure best-in-class ecosystem for financial services outsourcing (digital & analytics, research & actuarial)	▪ *Detailed strategy for outsourcing hub in Knowledge Economy section* ★	▪ BdL for regulation & licensing ▪ Other owners detailed in Knowledge Economy section

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 28 priority initiatives that underpin the vision of the financial sector (6/8)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.1 Legislation & Regulatory Framework	Fin.X.1.1	Maintain compliance to Money Laundering & Terrorism Financing legislation	As part of building an asset management and offshoring hub, the country could increase investor confidence while attracting foreign wealth through: ▪ Maintaining compliance to Money Laundering and Terrorism Financing laws (2015 ALM/CTF laws), continuously matching with international standards, best practices & FATF recommendations, while maintaining banking secrecy in place	▪ BdL ▪ BCCL	ABC
	Fin.X.1.2	Establish collateral registry	▪ While land and buildings are widely accepted as collateral for loans, the use of movable collateral (such as inventory, accounts receivables, crops and equipment) is restricted because of a lack of legal framework and registries to govern secured transactions.This limits lending to SMEs driven by a limited understanding of the associated risks – The government could establish a collateral registry for movable assets (e.g. equipment, vehicles) to support lending (e.g., SME lending for working capital) – Collateral registries are publicly available databases of interests in or ownership of assets (including movable), allowing borrowers to prove their creditworthiness and potential lenders to assess their ranking priority in potential claims against particular collateral	▪ BdL ▪ Parliament	ABC
X.2 Talent Pool & Education	Fin.X.2.1	Revamp tertiary education coursework in line with FS sector needs	The government should tailor the tertiary curriculum to meet the demands of the financial services sector arising from the different sector plays through: ▪ Conducting roundtable discussions to discuss steps towards revamping the educational curriculum for business-related majors and defining the profile of the talent of the future; sample interventions could include for example: – Introducing digital, agile-related and blockchain technologies – Placing emphasis on asset & wealth management courses – Introducing actuarial science curriculum in all major universities	▪ Ministry of Education	ABC
	Fin.X.2.2	Enhance capabilities of current and prospective financial sector employees	The BDL should capitalize on its current financial services sector employees capability building program (exams) through: ▪ Introducing advanced training courses for the sector's employees to support the priorities in the sector vision covering topics related to risk, digital, marketing and sales, complex underwriting, cybersecurity, AML etc.	▪ Ministry of Education ▪ ABL	ABC

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 28 priority initiatives that underpin the vision of the financial sector (7/8)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]	Plays
X.2 Talent Pool & Education *(contd.)*	Fin.X.2.3	Enhance financial awarness, inclusion & literacy across all levels	Today, financial inclusion is low with only 0.65 bank accounts per capita vs. 2.3 Singapore. Moreover significant regional disparities exist with 52 branches & 94 ATMs per 100K adults in Beirut & Mount Lebanon vs. 15-18 and 27-29 in the other regions. Financial literary, on the other hand, at 44%, is higher than regional peers (30%) but lower than advanced economies (53%). Financial awarness, inclusion & litteracy could be enhanced through for example: ▪ Introducing basic concepts at the early education stages across the country (e.g. savings, expense management…) ★ ▪ Educating middle class population on benefits of placing savings in mutual funds, unit-linked insurance and other medium-term products (e.g. better risk-return management) ▪ Educating corporations on the benefits of capital markets (e.g. lower cost and more flexible sources of funding)	▪ Ministry of Education ▪ ABL	ABC
X.3 Lending to Priority Sectors	Fin.X.3.1	Facilitate local lending for agriculture	Today, credit to the agriculture sector is limited when compared to the sector's GDP contribution (1% of loans vs. 2-3% GDP vs. 5.5% of loans and 1.5% GDP in developped countries). To support growth in the agriculture sector, and especially among small-holder farmers / SMEs, it is critical to improve access to financing. Thus, the well-established Kafalat Agriculture program, which has demonstrated success, could be expanded and strengthened, which would require: ▪ Improving the accessibility of Kafalat's programs to farmers and SME, in part by: – Providing application support and guidance (including financial literacy) for farmers and SMEs who require it – Strengthening marketing efforts in regions which have witnessed limited up-take – Working with banks and farmers to improve risk-modelling in the agriculture sector, to increase the banking sector's comfort with lending to farmers – (Potentially) Increasing Kafalat's available capital ▪ The expansion of Kafalat Agriculture should prioritize projects with high socioeconomic impact, including (but not limited to): – Funding transitions to alternative crops (e.g. for Tobacco farmers) – Funding purchase of productivity-enhancing or water-saving machinery / systems ▪ Moreover, access to Kafalat should be leveraged to support quality standards and other initiatives – For example, satisfaction of LIBNOR-enforced quality standards can be a prerequisite for Kafalat funding (or, could lead to a higher level of support)	▪ BDL ▪ Kafalat	ABC

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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We considered 28 priority initiatives that underpin the vision of the financial sector (8/8)

NON-EXHAUSTIVE

X.3 Lending to Priority Sectors *(contd.)*

	Objective	Initiative	Owner[1]	Plays
Fin.X.3.2	Enhance access to financing for SMEs in the creative industries fields	Companies operating in the realm of creative industries typically face difficulties when obtaining credits from banks, driven by a limited understanding of their risk profile. As such, access to finance could be enhance through for example: ▪ Extending the Kafalat loans program to include creative industries SMEs after assessing and studying the overall impact of such program by the relevant authorities & BDL ▪ Working with banks and creative companies to improve risk-modelling in the creative industries sector, to increase the banking sector's comfort with lending to these companies	▪ BDL ▪ Kafalat	ABC
Fin.X.3.3	Enhance access to financing to incentivize construction of new hotels and renovation of existing hotels in anchor destinations	To incentivize the construction and renovation of hotels in anchor destination, access to finance could be enhance through for example: ▪ Extending the Kafalat loans program to include hotel rennovation & construction in anchor destinations after assessing and studying the overall impact of such program by the relevant authorities & BDL	▪ BDL ▪ Kafalat	ABC
Fin.X.3.4	Enhance access to finance to support industrial SMEs (focused on priority industry sectors)	Idustrial investments face prohibitively-high lending rates. Enhancing access to finance for the priority industry sectors could be acheived through: ▪ Understanding the growth potential per Industry sub-sector and its impact on required financing ▪ Expanding the scope and accessibility of Kafalat program (loan guarantees) to cope with projected growth in demand ▪ Assessing the necessity of updating Kafalat's application process to include criteria relevant to priority sectors and conformity with LIBNOR standards ▪ Beyond Kafalat, Lebanon could also assess the opportunity to launch new financing program (e.g. similar to BdL's circular 331) targeting industrial players in focus sectors	▪ BDL ▪ Kafalat	ABC

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Financial Services – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to financial services

	Objective	Initiative
Leg.1.1	Enhance ease of doing business	▪ Refer to initiative 1.1 under Legislation
Leg.2.7	Revamp legislative environment for fund & asset management	▪ Refer to initiative 2.7 under Legislation ★
Leg.2.8	Revamp legislative environment for digital banking & fintech	▪ Refer to initiative 2.8 under Legislation
Leg.2.9	Complete set-up of capital markets authority	▪ Refer to initiative 2.9 under Legislation
Exp.B.1	Establish the country brand and manage the perceived instability in the country	▪ Refer to initiative B.1 under Export & Branding

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Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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The diaspora strategy has been formulated with the cooperation of several stakeholders from the public sector

Public sector stakeholders

Ministry of Foreign Affairs

HE Gebran Bassil
Minster of Foreign Affairs

Bilal Kabalan
DG of Ministry of Foreign Affairs

Wassim Boutros
Advisor to the minister of Foreign affairs

Central bank- Banque du Liban

HE Riad Salameh
Governor of the Central Bank

Chucri Mouannes
Head of Statistics & Economic Research Dept at BDL

Investment authority - IDAL

Dr. Nabil Itani
Head of IDAL

Leila Sawaya
UNDP Project manager

Ministry of tourism

Michel Habis
Previous advisor to Minister of Tourism

HE Michel Pharon
Former minister of tourism

Nada Sardou
DG of Ministry of tourism

Nadim Freiha
Advisor to Minister of Tourism

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Diaspora – sector aspiration

Aspiration: A proactive emigration policy, with a highly engaged Lebanese diaspora actively contributing to Lebanon's economic and social development

Current situation

- Low engagement effort and withering relationships with second and third diaspora generations
- High share of non-productive diaspora inflow (consumption, real-estate)
- Unorganised labour force immigration

2025

A **A proactive emigration policy** (e.g. tracking system for emigrants, G2G agreements)

B **Highly engaged diaspora with strong ties to Lebanon** (e.g. familiarization trip for young diaspora, "Lebanese diaspora day")

C **Major driver of the Lebanese economy through contributions in productive investments, knowledge and market access** (e.g. remittance for regional development, sponsorship/mentorship program, "Ambassador" program for export promotion)

D **Effective lobbying mechanism advocating for Lebanon's interest** (Diaspora advisory board)

2035

- Labour force trained for the global economy, with a clear labour force supply-demand management
- Promotion of Lebanon's interest globally in an organised and systematic way
- One global community with deep ties to Lebanese roots
- Core growth engine for the Lebanese economy

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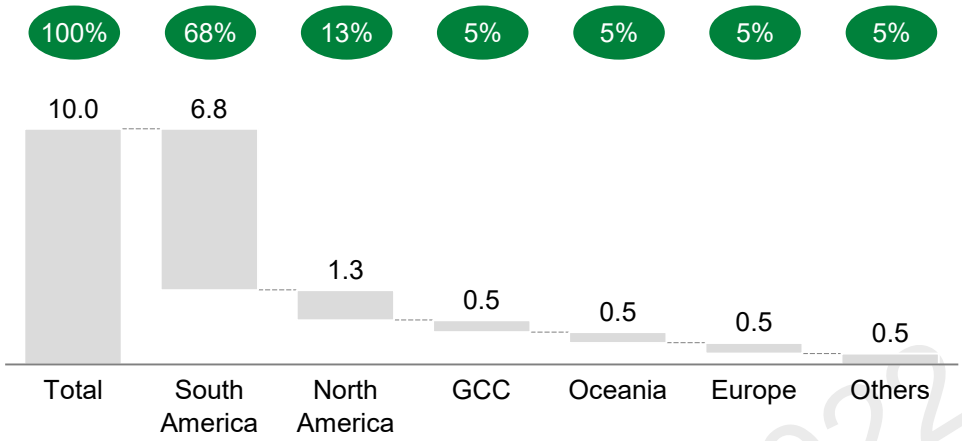
Diaspora – summary of diagnostic

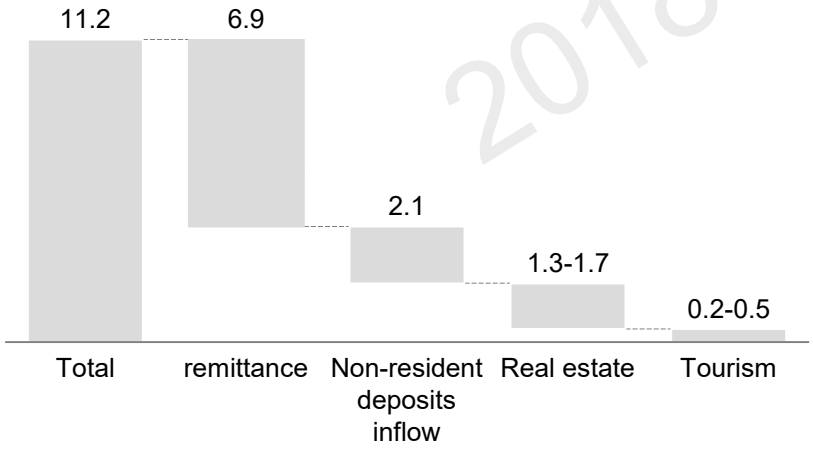
Size of diaspora, Mn resident



Top Diaspora countries are:

- Brazil
- Venezuela
- USA
- Canada
- Australia
- KSA
- Arab

Economic Contribution, 2016 USD Bn



Key facts, 2017:

Diaspora tourists, Mn	1
Real estate, '000 units	~7-9
Total non-resident deposits in bank, USD Bn	35
Top source countries for remittance:	

Key challenges

- **Absence of emigration policy and tracking system**
- **Withering relationship with second and third generation of diaspora (No pro-active approach to reinforce the Lebanese identity abroad)**
- **Absence of planning to channel diaspora contribution towards productive areas**

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Source: BDL, MoFA, IDAL, Order of Engineers

Diaspora – 2025 sector charter

2025 targets

Aspiration: A proactive emigration policy, with a highly engaged Lebanese diaspora actively contributing to Lebanon's economic and social development

SECTOR PLAYS

2025 TARGETS

A

"Seed": Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy and ensure a tracking system is in place to monitor emigration

- Coordinate the export of talent between job seekers and the foreign market through G2G agreements
- Track the country of residence and occupation of emigrants to pro-actively address emigration and drive decision making ★

G2G labour agreements, #

10

B

"Radiate": Develop a solid diaspora database to extend reach of engagement efforts and promote national identity to strengthen the bond between Lebanon and its diaspora

- Form vibrant communities in country of residence through visible national events (e.g. centennial events, Lebanon day)
- Strengthen ties with young diaspora generations through "Back to the Roots" familiarization program
- Revive the sense of belonging within all diaspora generations through special diaspora IDs
- Leverage multiple sources to build a diaspora database and extend reach of the engagement initiatives

Diaspora covered in directory, %

50-60

C

"Reap": Leverage the diaspora network to drive economic growth through encouraging productive investments, opening access to export markets, transferring knowledge/expertise and directing remittances to development projects

- Pro-actively approach diaspora investors with special incentives to encourage investments in productive sectors
- Establish an "ambassador" program of diaspora members to promote Lebanese exports
- Transfer expertise and knowledge from diaspora to local businesses through sponsorship/mentorship programs
- Direct remittances/ diaspora inflows towards productive development projects

Number of mega projects (e.g. hotels, factories) driven by diaspora, #

30

D

"Advocate": Harness and formalize advocacy i.e. lobbying power in centers of the world through establishing a diaspora advisory board

- Establish a diaspora advisory board with selected diaspora members to act as advisors to the government on economic matters and advocate for Lebanon's interest in global forums

X Enablers

Data and analytics
- Data analysis

Awareness and accountability
- Awareness and promotion
- Availability of information (One stop shop)
- Corruption

Organization
- Diaspora management unit

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The government should focus on engaging with its diaspora across the different stages of their journey

2025 horizon | 2035+ horizon

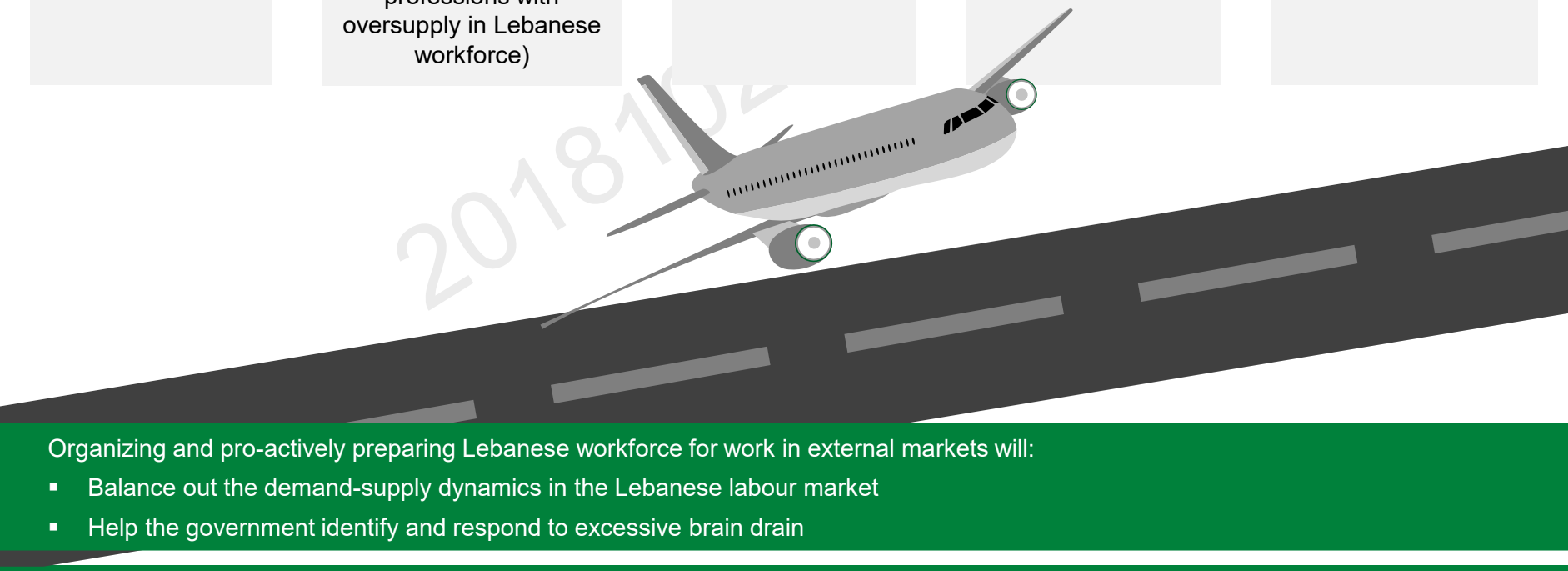
A Seed	B Radiate	C Reap	D Advocate	Next generation diaspora
Supporting job placement through G2G agreements ▪ Bi-lateral labor force agreement/MoUs ▪ Pre-departure training **Understanding workplace requirements and building skills accordingly** ▪ Language courses ▪ Education (Special programs/majors)	**Pro-actively engaging with diaspora** ▪ Diaspora community boards and national Lebanese events ▪ Familiarization programs for youth ▪ Diaspora ID program	**Re-directing capital inflows to productive areas** ▪ Remittances ▪ FDIs **Facilitating transfer of knowledge/ expertise** ▪ Mentorship and sponsorship programs **Opening access for Lebanese exports to external markets** ▪ Ambassador program	**Formalize advocacy/lobbying power of Lebanon** ▪ Diaspora advisory board	**Understanding the specs and enablers** ▪ Specs of the new diaspora generation ▪ Enablers to roll-out the next generation diaspora

X1	**Diaspora intelligence/database**		
X2	**Awareness & accountability**	▪ Raising awareness on diaspora initiatives	▪ Fighting corruption ▪ Building a one-stop shop portal
X3	**Organization**	▪ Setting up a dedicated unit for diaspora affairs	

A Lebanon should proactively address its emigration through organizing and preparing its labor for the global economy

Organize → **Prepare**

1	2	3	4	5
Set-up an emigration policy and a tracking system to monitor emigration out of the country	Create visibility on local and global labor markets and develop an emigration strategy accordingly (i.e. identify external markets with high demand for labor force, understand professions with oversupply in Lebanese workforce)	Sign bilateral labor force agreements/ MoUs with external markets	Align skills and programs in higher and vocational educational institutions to external market demand	Prepare prospective emigrants to work in external markets (language courses, pre-departure trainings)



Organizing and pro-actively preparing Lebanese workforce for work in external markets will:

- Balance out the demand-supply dynamics in the Lebanese labour market
- Help the government identify and respond to excessive brain drain

B Lebanon should focus on three programs to efficiently engage with its diaspora and build strong communities within host countries

Program name	Objective	Description	Case examples
"One Lebanon"	Form vibrant communities in country of residence	▪ Setting up a committee of influential diaspora members that promotes a two-way communication between the Lebanese government (MoFA) and diaspora communities through: – Developing a clear understanding of the issues,★ interests and concerns of diaspora communities abroad and reporting them to the Lebanese government – Briefing their respective communities of the priority areas for development of the Government	▪ Jamaica- Diaspora advisory board
"Back to the Roots"	Strengthen ties with the young diaspora gene-rations	▪ Develop an orientation program for Lebanese youth to familiarize them with Lebanon and raise awareness of the different projects happening across various fields ▪ Promote Lebanese universities among diaspora students as a destination for tertiary studies	▪ India - Know India program ▪ India - Scholarship program for Diaspora Children
"Truly Lebanese"	Revive the sense of be-longing within all diaspora gene-rations	▪ Revive the sense of belonging in diaspora generations through special diaspora IDs that grant their holders special benefits in Lebanon ▪ Enable the participation of diaspora in politics and civic engagement by setting up the necessary logistics mechanisms	▪ India - Overseas Citizenship of India scheme

Develop a rich diaspora database to extend and enhance reach of all engagement initiatives

2018 Internal

C Lebanon should leverage its diaspora to increase capital inflows, transfer knowledge and lobby in international mediums

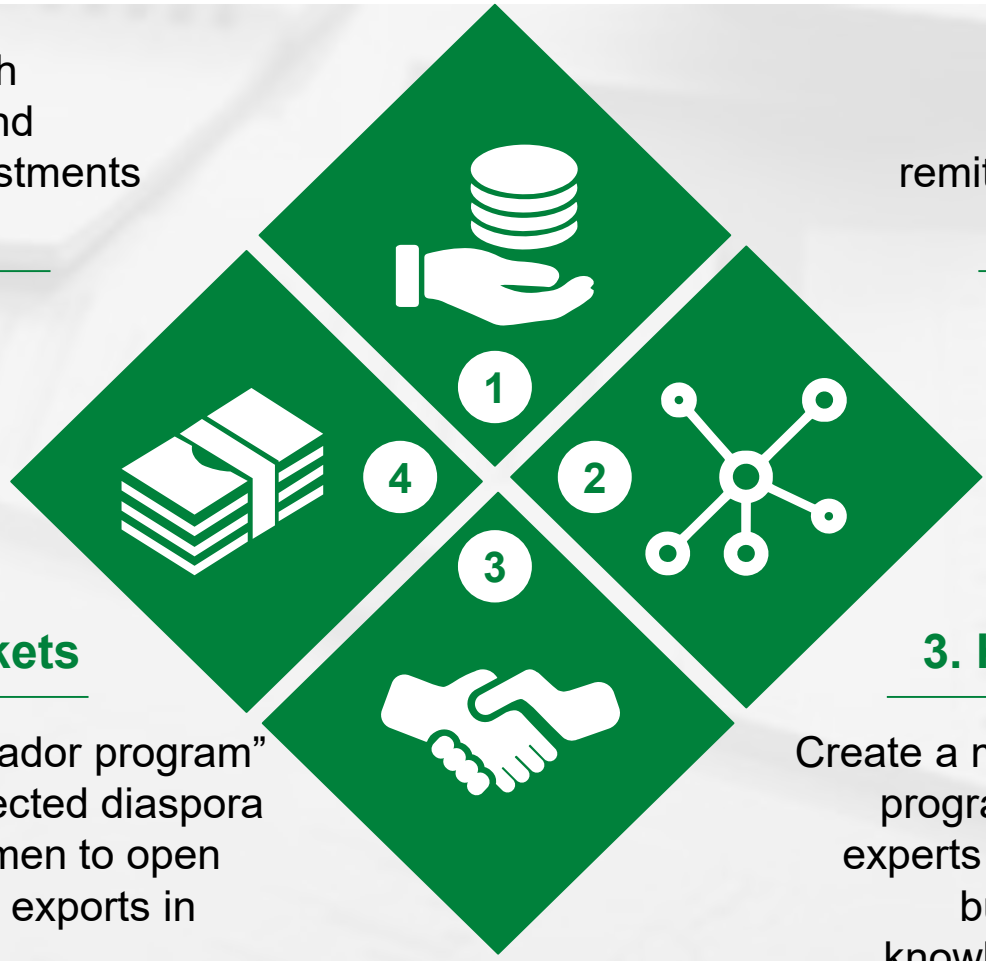
DETAILED MORE IN THE INITIATIVE SECTION

Pro-actively approach diaspora investors and encourage their investments in productive sectors

1. Investments

Increasing/re-directing remittances to development projects in the country

2. Remittances



4. Access to markets

Develop an “ambassador program” with strategically selected diaspora individuals/businessmen to open access for Lebanese exports in key markets

3. Knowledge transfer

Create a mentorship/sponsorship program to connect diaspora experts to local individuals and businesses and promote knowledge sharing/expertise

D The “diaspora advisory board” would advise the Lebanese government on international economic matters and advocate for Lebanon’s interest

Description

ILLUSTRATIVE

Objective

- The advisory board is a powerful asset to **navigate unfamiliar situations**, get **objective advice**, screen the **marketplace** and identify **future trends**
- The advisory board provides an **outside perspective** and access to a **broader network**
- The advisory board acts as a **powerful lobbying tool** to advocate for Lebanon’s interest internationally

Mandate

The mandate and purpose of the board are:

- **Provide advice** to the government on **enhancing the business environment** in Lebanon and on **attracting investments** and generate concrete **recommendations**
- **Enhance** the government’s **understanding of**, and communication relating to, **international economic matters** of relevance to the country
- Support **Lebanon's economic agenda** in international mediums and act as a lobbying committee advocating for Lebanon’s interest

Potential Profiles

Possible types of advisory board members

- Business executives (particularly retired executives)
- High-performing entrepreneurs
- Financial experts
- Consultants
- Business professors

Cadence

- The advisory board should convene **once a year**, and may convene **interim meetings** as and when necessary

20181022 Internal

X1 Building a diaspora intelligence is crucial to ensure proper engagement with diaspora

	Preparation	Collection	Monitoring
Purpose	▪ Preparing emigrants for employment abroad ▪ Identify and respond to excessive brain drain	▪ Engaging diaspora communities ▪ Fill domestic labour market gap ▪ Understanding stock and profile of emigrants worldwide	▪ Measuring the impact of diaspora initiatives ▪ Enhancing engagement with diaspora by leveraging ★ advanced analysis
Data type	▪ **Stock and profiles** of domestic labor (by occupation/skill level) ▪ **Number and profile** of population that emigrates ▪ **Occupational gaps** worldwide (by sector/skill level/destination country) ▪ **Education and training courses** needed to prepare domestic workers for the global market (by profession/skill level/geographic unit)	▪ **Size and characteristics** of diaspora communities ▪ Number of diaspora members **by skills profile** (incl. educational/training background, occupation, areas and years of work experience) ▪ Number of emigrants **by destination country**	▪ **Remittance volumes** (by migrant demographics, skill level/occupation, destination country, recipient location) ▪ **Diaspora FDIs** (by migrant demographics, skill level/occupation, destination country, recipient location) ▪ **Tourism spend** (number of emigrants visits as tourists geographies)
Mode of data collection	▪ MoFA	▪ Consulate databases ▪ NGO databases ▪ Senses by diaspora communities in host countries ▪ Surveys at the airport	▪ Central Bank database for inflows ▪ Surveys at the airport

20151022 Internal

Three enablers should to be in place to ensure success of the programs

Raise awareness about new initiatives in place

Raise awareness about the initiatives by:

- Promoting the initiatives through various modes of communication (traditional and digital media, conferences, visits)
- Active outreach to Lebanese communities abroad through embassies

Show early signs of change and a will to fight corruption

Fight corruption to restore faith of the diaspora in the Lebanese government and ensure their buy-in to the initiatives. It is done through:

- Providing full transparency on the output of each initiative
- Ensuring accountability across different initiatives (e.g. investments in development projects in the country)

Ensure availability and ease of access to information

Ensure all information related to the initiatives are available and easily accessible through a one-stop-shop portal accessible to all

2018-1022

X3 Lebanon could set up a dedicated entity to drive diaspora related initiatives after selecting an adequate operating model

		Entity	Roles and responsibilities
Ministry-level institutions	Armenia	Ministry of Diaspora	▪ Responsible for developing, implementing and continuously improving the state policy on development of the Armenia-Diaspora ▪ Contribute to the implementation of educational projects; the development of schools in the Armenian Diaspora
	Georgia	State ministry of diaspora affairs	▪ Responsible for strengthening of communication between the Georgians residing overseas and Georgian institutions ▪ Enhance the role of the Georgian Diaspora in the national economic development
Sub ministry-level institutions	Ethiopia	Diaspora Engagement Affairs General Directorate	▪ Conducts research on policies, initiatives, and legislation geared towards augmenting the engagement of the Diaspora with Ethiopia ▪ Disseminates information regarding developments in Ethiopia to Ethiopians abroad and diaspora especially reaching out to youth to stimulate their interest and understanding of their country of origin ▪ Maintains and updates a database of Ethiopians living abroad and liaises closely with Ethiopian missions abroad to encourage the participation of the Ethiopian diaspora in investment, tourism, trade and technology transfer.
	Romania	Department for Relations with the Romanians Abroad under Ministry of Foreign Affairs	▪ Compiles specific documents, to organise actions assigned to the Romanian communities and keep contact with them, as well as to represent the President at various events ▪ Improves the representation and consultation mechanisms for the Romanians abroad through their direct implication in defining the Romanian public policies
National - level institutions	Philippines	Commission on Filipinos Overseas	▪ Responsible for developing policy advocacy for emigration, socio-economic development, integration and re-integration, culture and education, Institutional development and organizational strengthening
	Mexico	Institute of Mexicans Abroad	▪ Promotes the appreciation of migration and dignified treatment of Mexicans living abroad ▪ Encourages the creation of meeting spaces and promote communication with and among Mexican communities living abroad

Source: Migrationpolicy.org

X3 This entity would be responsible for leading engagement efforts with diaspora as well as promoting and emigration efforts

Preparing Lebanese workforce for external markets

Engagement with diaspora

Description

Regulator role:

- Monitors and tracks emigration by requiring all prospective emigrants to register their information
- Identify and respond to excessive brain drain ★

Coordinator role:

- Facilitates generation of jobs through bilateral labor agreements with host countries
- Coordinates with educational bodies to communicate skills needed as per host countries labor demand

Service provider:

- Delivers services to ensure integration of emigrants in their host country (language courses, pre-departure training, work-visa facilitation)

Engagement programs lead:

- Acts like a central point of contact for diaspora communities
- Responsible for collecting diaspora intelligence and leveraging it to enhance engagement initiatives
- Operates the one stop shop portal for all information related to diaspora

20181022 Internal

Diaspora – priority initiatives (1/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
A "Seed": Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy	DIA.A.1	Organize and track emigration	▪ MoFA	
	DIA.A.2	Create visibility on local and global labor market	▪ Ministry of Labor ▪ MoFA	
	DIA.A.3	Develop G2G bi-lateral labor force agreements for export of talent ★	▪ MoFA	
	DIA.A.4	Align skills to demand of external markets	▪ MoFA	
	DIA.A.5	Prepare Lebanese labor force for work in external markets	▪ MoFA	
B "Radiate"- Strengthen the bond between Lebanon and its diaspora	DIA.B.1	Enhance the communication between the Lebanese government and its diaspora	▪ MoFA	
	DIA.B.2	Develop vibrant diaspora communities	▪ MoFA	
	DIA.B.3	Strengthen ties between diaspora youth and the country	▪ MoT ▪ MoFA	
	DIA.B.4	Revive sense of belonging in Lebanese diaspora through targeted program	▪ MoFA ▪ Embassies	
C "Reap"- Leverage diaspora as an engine for growth	DIA.C.1	Populate diaspora database	▪ MoFA	

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

20181022 Internal

Diaspora – priority initiatives (2/2)

NON-EXHAUSTIVE

		Objective	Owner[1]	Plays
C "Reap"- Leverage diaspora as an engine for growth	DIA.C.2	Create appetite to send remittances towards local development projects	▪ MoFA	
	DIA.C.3	Encourage diaspora investments in productive sectors	▪ MoFA	
	DIA.C.4	Facilitate access to information on investment and★ business opportunities	▪ IDAL	
	DIA.C.5	Transfer knowledge/ expertise	▪ MoFA	
D "Advocate" - Harness and formalize advocacy/lobbying power of Lebanon	DIA.D.1	Form a Diaspora Advisory Board	▪ Council of Ministers	
X.2 Awareness & accountability	DIA.X.2.1	Restore faith of the diaspora in the Lebanese government and ensure their buy-in in government programs	▪ MoFA	ABCD

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 16 priority initiatives that underpin the vision of the diaspora (1/8)

A

Seed: Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy

	Objective	Initiative	Owner[1]
Dia.A.1	Organize and track emigration	Today, there are no official statistics on the Lebanese diaspora (numbers range between 6 and 14 Mn), and the government does not track emigration with emigration happening on an individual manner. In order to leverage the extensive diaspora network the government should start by tracking & organizing emigration and develop a comprehensive program, mainly through: ▪ Pre-emigration registration in Lebanon ▪ Registration at local embassy upon arrival in external country ▪ Tracking system within host country for changes in information (e.g. address, occupation, marital status etc..)	▪ Ministry of Foreign Affairs
Dia.A.2	Create visibility on local and global labor market	Despite the Vision efforts to promote economic growth and create jobs, according to job creation forecasts emigration will continue to be sought by a portion of the Lebanese people. Several countries have managed to organize the emigration of their citizen (e.g. Philippines). The government should as such support and facilitate the process through developing a deeper understanding of the labor force fabric while understanding global labor market demand trends. ▪ To understand the structure of the labor force, the government should develop visibility on current stock and profiles of Lebanese diaspora labor force through for example: – Incentivizing all existing "First-generation" emigrants (holders of Lebanese passports) to register their information in the Lebanese embassies of their country of residence (Incentives could include granting free passports upon registration) – Requiring from all prospective emigrants to register their information and future occupation in MoFA ▪ To better understand global labor market trends, the government could launch targeted initiatives such as: – Coordinating with Lebanese embassies abroad (and foreign embassies in Lebanon) to study the labor supply-demand dynamics in their respective countries and identify occupational gaps in these countries – Developing a list of potential skillsets to export per country	▪ Ministry of Labor ▪ Ministry of Foreign Affairs

2018-0224 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 16 priority initiatives that underpin the vision of the diaspora (2/8)

A

Seed: Prepare, organize and invest in the next generation Lebanese workforce to be ready for the global economy

	Objective	Initiative	Owner[1]
Dia.A.3	Develop G2G bi-lateral labor force agreements for export of talent	While existing emigration efforts have been taking place on an individual basis, going forward formal relationships should be developed with host countries around labor and job placement, through the establishment of G2G agreements. Such agreements would cover: ▪ A shortlist of universities and majors for fast-track of emigration and job applications ▪ Data-sharing agreements on education and job market data as well as Lebanese emigrants registered in those countries	▪ Ministry of Foreign Affairs
Dia.A.4	Align skills to demand of external markets	After understanding global labor market trends and identifying relevant skillset in target markets, the government should support the development of these skills within Lebanese graduates through: ▪ Coordinating with universities/vocational institutions to offer majors in line with the demand of external markets ▪ Incentivizing students to pursue certain studies based on external market demand trends, in line with G2G agreement (e.g. through a guaranteed job upon graduation, tuition loans backed by foreign governments)	▪ Ministry of Foreign Affairs
Dia.A.5	Prepare Lebanese labor force for work in external markets	To unlock opportunities for prospective emigrants, preparation effort should be considered (benefiting from global case studies), focusing on prospective emigrants through: ▪ Offering basic language courses to prospective emigrants in coordination with host countries) ▪ Offering a pre-departure training on social and economic implication of living in host country (e.g. tax system, housing, healthcare)	▪ Ministry of Foreign Affairs

2018 1024 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 16 priority initiatives that underpin the vision of the diaspora (3/8)

B

Radiate - Strengthen the bond between Lebanon and its diaspora

	Objective	Initiative	Owner[1]
Dia.B.1	Enhance the communication between the Lebanese government and its diaspora	In order to efficiently engage with the Lebanese diaspora and build strong communities within host countries, a two-way communication should be established between the government and the Lebanese diaspora communities through: ▪ Set up governance structure for communication with the diaspora, ensuring coordination and data sharing across public and private institutions (e.g. Religious institutions, alumni clubs, professional associations, etc..) ★ ▪ Rallying all diaspora community groups in different countries under one central coordination unit led by diaspora influencers in their host countries ▪ Establishing a communication mechanism between the central unit and the government (MoFA) and advising on a communication mechanism between the central unit and the communities ▪ Collecting feedback, concerns and recommendations from the central unit and communicating Lebanon's priority areas for development	▪ Ministry of Foreign Affairs
Dia.B.2	Develop vibrant diaspora communities	Lebanese communities already exist in clusters all around the world. In line with events organized by other communities (e.g. Italians, Chinese, Indians), Lebanon should drive the launch of regular community events globally, in coordination with embassies and the private sector (e.g. centennial events, Diaspora day in Lebanon, Lebanon day abroad). These events would aim at maintaining the diaspora's sense of pride and belonging to the Lebanese identity, while also promoting Lebanese products abroad	▪ Ministry of Foreign Affairs
Dia.B.3	Strengthen ties between diaspora youth and the country	▪ To further strengthen and deepen the ties between the diaspora youth and Lebanon, organized, subsidized trips to Lebanon should be considered, benefiting from global experiences such as the Know India program and the Birth right program. Such a 'Back to the Roots' program should be launched through: ▪ Securing funding from donors, investors and lenders, while assessing the level of interest from Lebanese diaspora in the program – *The government could liaise with philanthropist emigrants to develop a fund to subsidize both programs* ▪ Piloting the program with a selected number of students (e.g. ~300 students). Derive the learnings and scale up the efforts ▪ During the trips, promoting Lebanese education institutions particularly tertiary institutions	▪ Ministry of Foreign Affairs

2016 © McKinsey

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 16 priority initiatives that underpin the vision of the diaspora (4/8)

B

Radiate - Strengthen the bond between Lebanon and its diaspora

	Objective	Initiative	Owner[1]
Dia.B.4	Revive sense of belonging in Lebanese diaspora through targeted program	Other countries with an extensive diaspora network have set-up successful schemes (e.g. India's Overseas Citizenship of India program) to revive the sense of belonging to the country. As such, the government could develop a comprehensive "Diaspora ID" program to recognize Lebanese diaspora (holders of foreign passports) through a special ID card as descendants of Lebanese ancestors. In order to successfully launch the program, the government should: ▪ Define clear eligibility criteria ★ ▪ Define privileges & incentives granted to holders of the ID ▪ Set up the process to apply for and receive the diaspora ID ▪ Coordinate with embassies in different countries to implement and drive the program The Diaspora ID holders would be granted special benefits in Lebanon	▪ Ministry of Foreign Affairs ▪ Embassies

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 16 priority initiatives that underpin the vision of the diaspora (5/8)

C

Reap - Leverage diaspora as an engine for growth

	Objective	Initiative	Owner[1]
Dia.C.1	Populate diaspora database	Today, there are no official statistics on the Lebanese diaspora (numbers range between 6 and 14 Mn) which hinders data-based decision making by the government, as well as limits the reach of any initiative conducted by the government and targeting the Lebanese diaspora. The government should as such set up data collection mechanisms across different sources to build a rich diaspora database (Data source can include the LDE conference, the Diaspora ID program, data collection procedures at the airport, information gathered from embassies, active outreach to diaspora communities, collaboration with foreign government through formalized G2G agreements). Building this database would require: ▪ Identifying indicators and data sources needed to answer the questions and formulate insights ▪ Setting up data collection mechanisms across the different stakeholders ▪ Building the analytics arm of MoFA that coordinates efforts related to data collection and analyses it for insightful decision making	▪ Ministry of Foreign Affairs
Dia.C.2	Channel remittances towards local development projects	Today, most remittances are directed towards non-productive sectors, mainly real estate and consumption. The government should work towards steering the remittances into more productive sectors through for example: ▪ Establishing an investment fund to re-direct remittances to development projects at the local community level ▪ Providing transparency on all development projects through a one centralized portal ▪ Linking diaspora to various development projects in the country and in their respective community/hometowns	▪ Ministry of Foreign Affairs

2018-2022 Interim Plan

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 16 priority initiatives that underpin the vision of the diaspora (6/8)

C

Reap - Leverage diaspora as an engine for growth

	Objective	Initiative	Owner[1]
Dia.C.3	Encourage diaspora investments in productive sectors	FDI into the country has witnessed a drop of ~1 USD Bn between 2010 and 2017. To spur the growth of diaspora-lead investments into the country's productive sectors, proactive campaigns should be launched, reaching out to prospective investors and devising a thorough strategy to attract investments towards productive sectors, mainly through: ▪ Developing pitch packs for potential investments (in line with the vision strategy) with special incentives tailored towards these investors ★ ▪ Establishing contact with diaspora investors and pro-actively approaching them with investment pitch packs and investment opportunities ▪ Developing an incentives-based remuneration scheme for the "special team", with pre-set targets and KPIs (e.g. 30 mega projects from diaspora investors)	▪ Ministry of Foreign Affairs
Dia.C.4	Facilitate access to information on investment and business opportunities	Attracting FDI should be coupled by an enhancement in the level of transparency around investment opportunities through developing a one-stop shop portal to: ▪ Provide online (possibly on IDAL's website) a live list of all investments opportunities within the different sectors ▪ Provide all procedural information related to investments within a certain sector (processes, legal requirement, stakeholders, overview of the sector and key players)	▪ IDAL
Dia.C.5	Transfer knowledge/ expertise	The joint knowledge and experience of the Lebanese diaspora should be leveraged to support the local economy, potentially through a mentorship/sponsorship program between local and diaspora-owned businesses. This could happen through: ▪ Pro-actively reaching out to diaspora and consolidating a list of experts in various fields interested in signing up to the program and volunteering to assist local business ▪ Matching local business seeking knowledge/expertise with diaspora experts in the relevant fields	▪ Ministry of Foreign Affairs

2018-2022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 16 priority initiatives that underpin the vision of the diaspora (7/8)

		Objective	Initiative	Owner[1]
D **Advocate - Harness and formalize advocacy/lobbying power of Lebanon**	Dia.D.1	Form a Diaspora Advisory Board	Several countries with an extensive diaspora network, have set-up diaspora advisory boards, that constitute powerful asset to navigate unfamiliar situations, get objective advice, screen the marketplace and identify future trends in the people's respective countries. These boards provide an outside perspective and access to a broader network, while acting as a powerful lobbying tool to advocate for the country's interest internationally. The government should as such, set-up a similar "Lebanon Diaspora Advisory Board" with clear mandate and selection criteria for members and meeting cadence to best serve its objectives ▪ The board would serve as an advisory body to the Diaspora task force, responsible for delivering the diaspora strategy, and should be integrated with the overall Vision institutionalization mechanism ▪ The board should have a secretary to drive the meeting agendas, set the cadence for the meetings and coordinate with the Lebanese government	▪ Council of Ministers

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 16 priority initiatives that underpin the vision of the diaspora (8/8)

X.2 Awareness & accountability

	Objective	Initiative	Owner[1]	Plays
Dia.X.2.1	Restore faith of the diaspora in the Lebanese government and ensure their buy-in in government programs	Regaining diaspora's confidence in the country's willingness to improve, highlight the upcoming changes & programs, would be key to promote their sense of belonging and pride. Therefore an integrated diaspora strategy should be developed and communicated to the Lebanese diaspora through various communication channels (traditional and digital media, conferences, visits). Sample communication approaches could include: ▪ Actively reaching out to Lebanese communities abroad through the network of embassies, providing information (e.g. by email, seminars, leaflets) ▪ Leveraging the prospective Lebanon Vision website to create a centralized portal of all the diaspora-related initiatives (investment opportunities, engagement efforts and export of talent) ▪ Showing early sign of fight against corruption early on through selecting a visible anti-corruption campaign (e.g. whistle-blower protection) ▪ Providing full transparency on the output of the Vision implementation, through PR and communication (reports, media) ▪ Ensuring accountability across different initiatives through consequence management	▪ Ministry of Foreign Affairs	ABCD

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Diaspora – additional relevant initiatives detailed within other sectors or enablers

NON-EXHAUSTIVE

Other initiatives related to diaspora

	Objective	Initiative
Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Refer to initiative A.1 under Export & Branding
Exp.A.2	Expand export promotion	▪ Refer to initiative A.2 under Export & Branding ★

20181022 Internal

A.2 EXAMPLE: Singapore is a potential market for labor force export in managerial and engineering professions

Unfilled For At Least Six Months

Occupation with highest number of vacancies

Software, Web & Multimedia Developer	1,060
Civil Engineer	590
Systems Analyst	380
Commercial & Marketing Sales Executive	350
Enrolled/Assistant Nurse (Excluding Registered Nurse)	260
Business Development Manager	240
Computer Technician (Including IT User Helpdesk Technician)	240
Mechanical Engineering Technician	220
Teaching & Training Professional	210
Information Technology Security Specialist	200

Top reasons for hard to fill vacancies

- Lack the necessary work experience
- Lack the necessary specialized skills
- Competition for local candidates from other employers is too stiff
- Find pay unattractive

Other consideration for labor

- Language compatibility
- Diplomatic relationship with Lebanon ★
- Case of hiring foreign labor
- Attractive salaries

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

2018 1033 Internal

Beyond activating productive sectors, the government should work towards overhauling the infrastructure, particularly across 3 areas

A **Launch Vision-critical infrastructure project**

Launch already planned infrastructure projects with high relevance to priority sectors, for example:

- Beirut rapid-bus public transport (500m USD according to CIP)
- Beirut airport rehab (500m USD according to CIP)
- Ras Baalbek-Syrian border highway 110m USD according to CIP)
- Fiber Network (100m USD according to CIP) ★

Launch new projects not covered in CIP e.g.

- Construction technology zone focused on export to Syria/Iraq
- Beirut Knowledge Hub park
- Sour, Byblos and Beirut walkway improvements

B **Grow Beirut's Efficiency**

Turn Beirut into the most efficient city in the Middle East

- Enhance the city's transportation & livability including waste management & pollution
- Improve the city's governance
- Develop a comprehensive urban plan

C **Reform Power Sector, once and for all**

Revise & update the 2010 electricity plan approved by the council of ministers

Revisit the distribution mechanism to shrink non-technical losses

Grow reliance on renewables and set clear power-mix targets

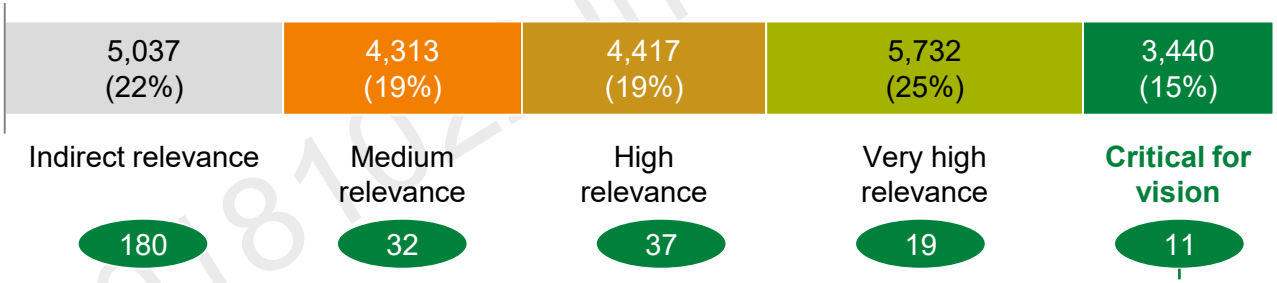
20181022 Internal

A Implementation of Capital Investment Plan should prioritize projects which are very relevant to the economic vision

Overview

- The Capital Investment Plan's ~270 projects will provided **much-needed infrastructure spending**[1] to Lebanon, and every effort must be made to ensure successful implementation
- **Several projects are highly relevant** to the economic growth generally, and to the economic vision more specifically
  - 11 projects (representing 15% of total CIP budget) are deemed to be vision-critical
- Thus, to ensure achievement of economic objectives, Lebanon should **prioritize vision-relevant projects** across several dimensions (including distribution of funds, allocation of resources, etc.) ★
- Moreover, a number of **additional vision-linked priority projects** need to be added to the government's agenda

CIP budget by direct relevance to economic vision, USD mn



Top-priority CIP projects include…

- Core power projects
- Expansion of Beirut airport, Tripoli port
- Deployment of Fiber network
- Industrial zones *(incl. Tripoli SEZ)*

Additional (new) priority projects include..

- Industrial construction zone *(among other additional industrial zones)*
- Beirut knowledge hub park
- Urban improvement and tourism zone development in Beirut, Sour, Byblos

1 Top-down analysis suggests that Lebanon's annual infrastructure spending requirements exceed 4 billion USD, which far outweighs proposed spending under CIP. Thus, CIP is likely to be an "underestimate" of required infrastructure efforts.

Source: PCM website

Note: Beyond vision relevance, several other criteria should be taken into consideration when prioritizing CIP projects (e.g. Social impact, feasibility, interdependencies, etc..)

20181024 Internal

B Achieving Lebanon's Economic Vision will require an efficient urban and business centre in Beirut

City planning & efficiency is a key enabler for economic development and growth

By 2030, 60% of the population – 5 billion people – will be city dwellers …

… and the top 600 global cities are expected to contribute to more than half of the world's GDP

Knowledge-intensive, small-sized countries, unlocked their growth potential, through **anchoring** their **development around** an efficient **urban center, at the heart of the economy**

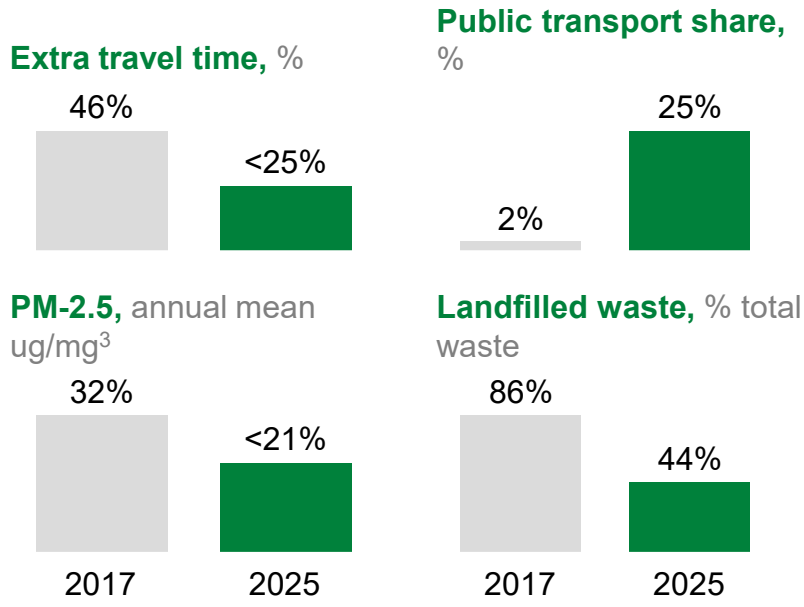
- **Singapore** positioned the city as a key regional hub, **attracting regional headquarters** for 100+ companies by 1990
- **Dubai** has developed a comprehensive strategy **anchored around** an **efficient urban zone** with SEZ around the city

Several gaps exist within Greater Beirut's efficiency that should be tackled as part of a broad city vision

Key challenges should be tackled…

- **Enhance overall livability** of the city, mainly **pollution** and **waste management**
- **Focus on growing improving offering and growing use of public transportation**, through prioritizing and incrementing relevant CIP initiatives
- **Develop a fully integrated urban plan**, with clear land use allocation
- **Reclaim illegally used land** particularly on Greater Beirut's beachfronts

… while tracking several key metrics to ensure success



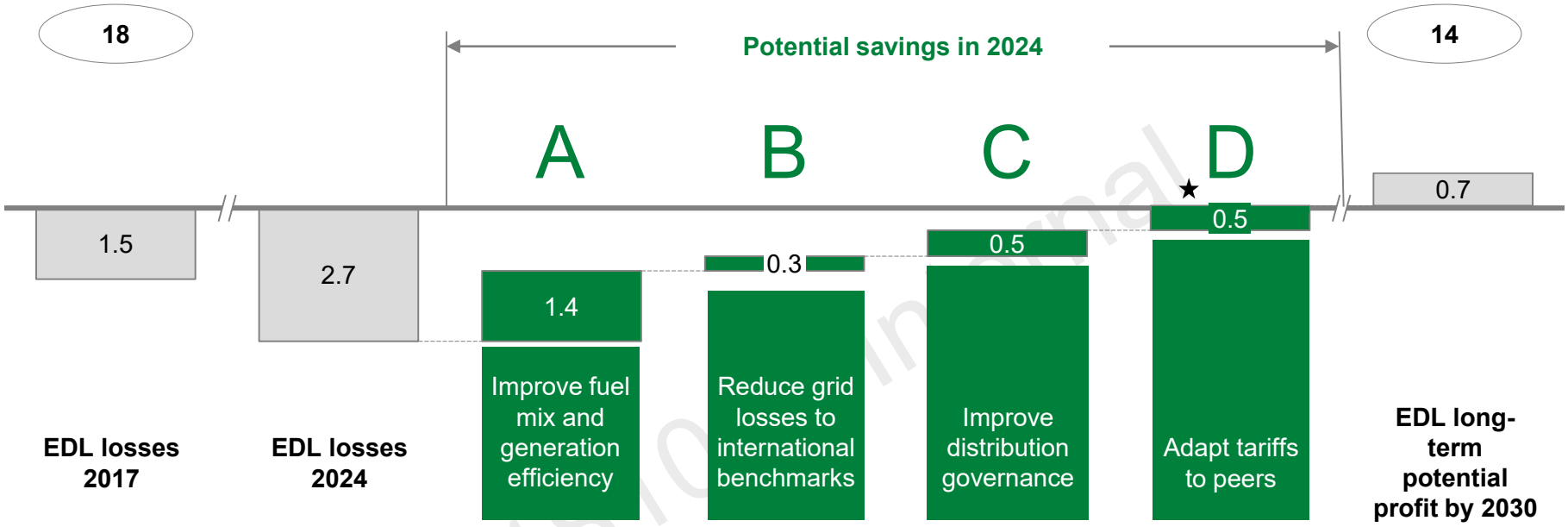
Source: C40 Cities, WHO Global Urban Ambient Air Pollution Database, Lebanon municipality of Beirut sustainable energy action plan, Capital Investment Program, Press Search, Transport Authority of Countries, TomTom Index; CIP, Land Transport Authority of Singapore, Gulf News, CAS, Ministry of Health

C Immediate action by the government to reform the power sector would eliminate the need for subsidies by 2024

Consumer burden , USD cents/kWh

X

Current EDL financial performance and potential development for 2024 and 2030, USD bn



EDL losses 2017

- Current government subsidy to cover EDL losses

EDL losses 2024

- Projected EDL loss by 2024 assuming current performance

- Facilitate installation of ~3000 MW state-of-art CCGTs
- Reduce diesel usage
- Facilitate installation of renewables

- Reduce T&D losses
- Reduce # of T&D interruptions to 0.9 and duration of interruptions to 60 min

- Eliminate non-technical losses
- Reduce connection time to 30 days

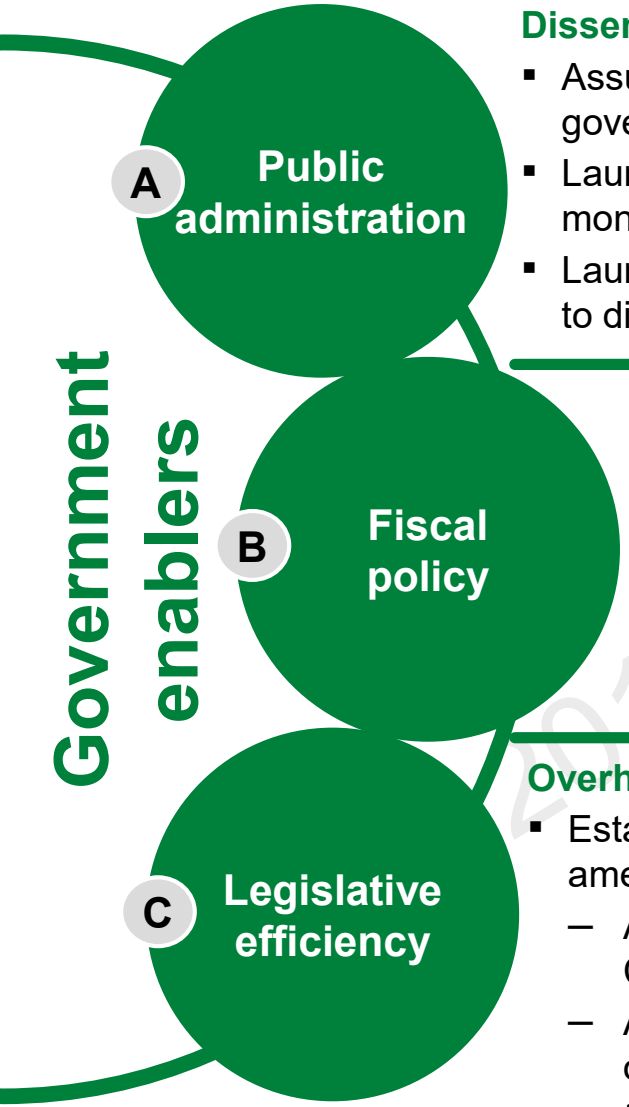
- Adapt tariffs to 12 USD cents/kWh on the short-term and to 14 USD cents/kWh by 2030

EDL long-term potential profit by 2030

Execution of sector recovery requires setting up proper governance and operating model of EDL i.e., restructuring and corporatization of EDL

2015 Internal

Three overarching government enablers should also be tackled to further fuel the economic growth



Disseminate radical reforms and high productivity mindset in public sector

- Assume the Vision economic targets as measures of performance of future governments and Ministers
- Launch government digitization overhaul, with private sector participation and monitoring
- Launch anti-corruption purge starting with a visible, symbolic initiative (e.g. law to disclose assets of elected officials, public sector whistleblower law)

Establish new fiscal rules and re-visit existing ones

- Elaborate on and publish Medium Term Expenditure Framework including the action plan to achieve 1% annual reduction in fiscal deficit
- Set a top-down government fiscal ceiling trickled to the Ministry level, following the Vision priority areas
- Launch revenue growth initiatives (e.g. Tobacco tax), moving from 40% to 70% tax collection effort

Overhaul parliament productivity

- Establish and approve a Legislative Agenda with key topics and legislations to amend or draft, following Vision recommendations:
  - Accelerate the approval of 11 business environment legislations, including Code of Commerce, E-signature and Bankruptcy Law
  - Amend, enforce or introduce legislations relevant for the prioritized sectors of the vision (e.g. Enforce Water Law 221-2000, amend Ministerial Decree 1660 on governance of industrial zones)

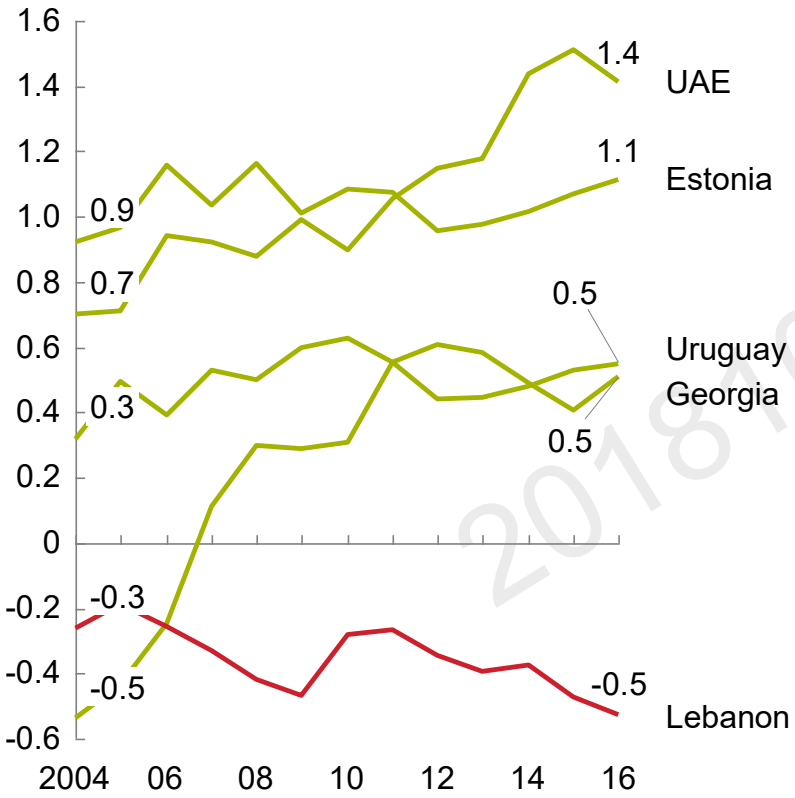
2018102 Internal

A To enhance the public administration's efficiency, three key priority dimensions will be tackled: digitization, corruption & productivity

2017 2025

Although several governments managed to enhance their effectiveness, Lebanon dropped 0.2

Government effectiveness[1] (quality of services)
Rating from -2.5 to 2.5 with -2.5 being the worst



To improve its efficiency, the government will work on three dimensions

Dimension	Description & initiatives	Targets
Productivity enhancement	▪ Set-up and activate spending monitoring framework ★ ▪ Implement performance management framework across governmental entities	**Government effectiveness,** percentile 35% → 70%
Government **Digitization**	▪ Set-up the Lebanon digital agency within OMSAR ▪ Initiate development of common IT platform ▪ Detail and activate the e-government strategy	**E-government index,** rank 73 → **Top 30**
Corruption eradication	▪ Develop the national anti-corruption vision & strategy with emphasis on awareness & prosecution ▪ Launch key "flagship" anti-corruption initiatives (whistleblower & assets)	**Corruption perception index,** rank 146 → **Top 50**

2018102 Internal

Source: Worldwide Governance Indicators - World Bank; Corrpution Perceptions Index 2017; UN e-government index

B Four broad categories of interventions can be leveraged to ensure fiscal discipline

2017 2025

Categories	Levers	Description	Example initiatives	Targets
Revenue optimization	Tax revenue	▪ Design targeted initiatives to reduce the current gap in tax collection and enhance tax effort form 42% to ~60-70% of total taxation capacity	▪ Enforce VAT ▪ Introduce tobacco tax ★	**Tax revenue,** % GDP 14% → 20%
	Non-tax revenue	▪ Leverage data analytics to assess leakages from non-tax revenues	▪ Enforce real estate registration fees	
Cost rational-ization	Salaries	▪ Stabilize and/or reduce Salaries & wages to bring it in line with global benchmarks	▪ Freeze hiring of public servants	**Government expenditures,** % GDP 27% → 20%
	Other OpEx	▪ Conduct analytical assessment of expenses to capture cost-cutting potential	▪ Investigate rental costs	
	EdL pay.	▪ Reduce ~1-2 USD Bn of yearly transfers to close the electricity deficit	▪ Revamp power sector to close deficit	
Medium-term expenditure framework		▪ Enhance current MTEF, in line with best practice, with a planning horizon beyond current budget cycle, setting revenue and expenditure estimates	▪ Revamp current MTEF by macro-fiscal department	**Forecast deviation from actuals,** % N/A → 10%
Fiscal rules		▪ Develop a set of enforceable rules to ensure fiscal discipline, mainly expenditures and public debt ceilings, at a granular level	▪ Enforce ceiling on salaries expenditures by ministry ▪ Debt to GDP < 120%	**Fiscal deficit,** % GDP -8% → -3%

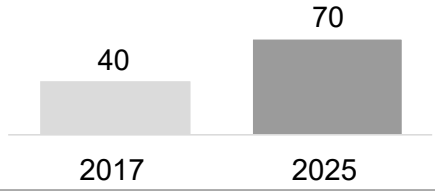
20181022 Internal

Note: Increase in tax effort and tax collection is not accounted for when modelling and projecting government Budget till 2025

C In order to ensure a conducive business environment, several legislations need to be passed

2025 Target

WGI: Regulatory quality rank, percentile rank



List of legislations/ laws

1 Cross-cutting legislations for all sectors have been identified and classified in order of priority

Drafting stage | XX Number of years since submission of draft

Dates back to 1942

	Laws/regulation	
Critical priority	Code of commerce	5
High priority	Competition law	5
	Closing a business	5
	Judicial mediation	
	Bankruptcy law	
	Insolvency practitioner law	
	Secure lending	
Priority	Equity compensation law	
	Preferred shares	4
	E-signature law	6
	IP Law	

2 Sector specific legislations have also been identified to ensure conducive business environment

Sector	Number of laws/regulation
Agriculture	4
Industry	1
Tourism	4
Financial services	2
Knowledge economy	4
Others	4

20181022 Internal

Source: Interviews

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

2018 1042 Internal

To enhance the public administration's efficiency, three key priority dimensions will be tackled: digitization, corruption & productivity

2017 2025

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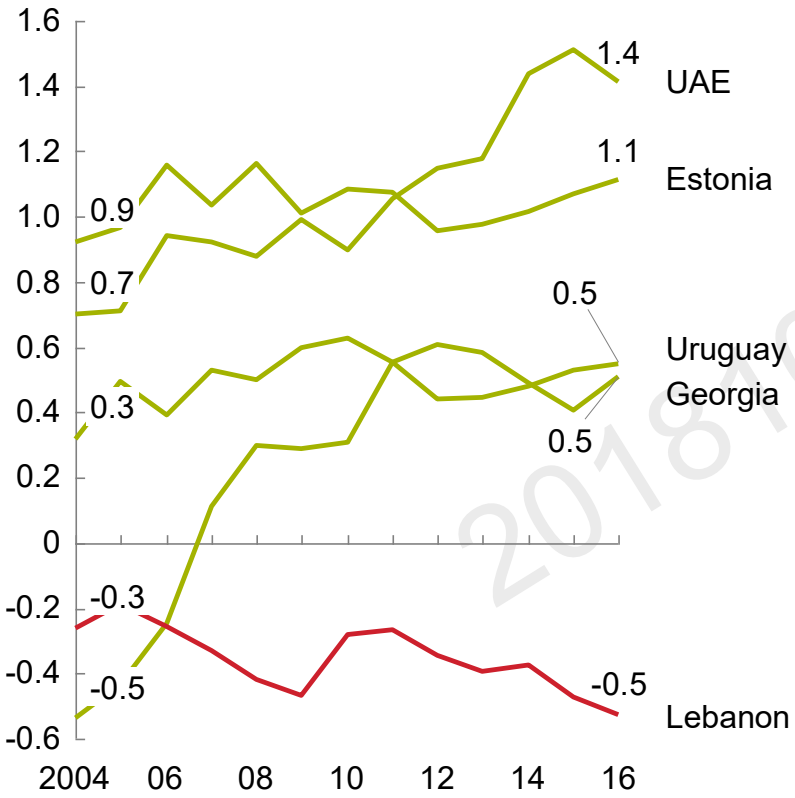

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2018102 Internal

Source: Worldwide Governance Indicators - World Bank; Corrpution Perceptions Index 2017; UN e-government index

Contents – Public Sector reform requirements

A **Strategy**

B Initiatives

20181022 In

Although Lebanon has witnessed a reduction in efficiency & quality of public services, inspiring countries managed to challenge the trend

Georgia went from being located as the 130th most efficient government in the world to rank 61 globally in 12 years

Government effectiveness[1] (quality of services)
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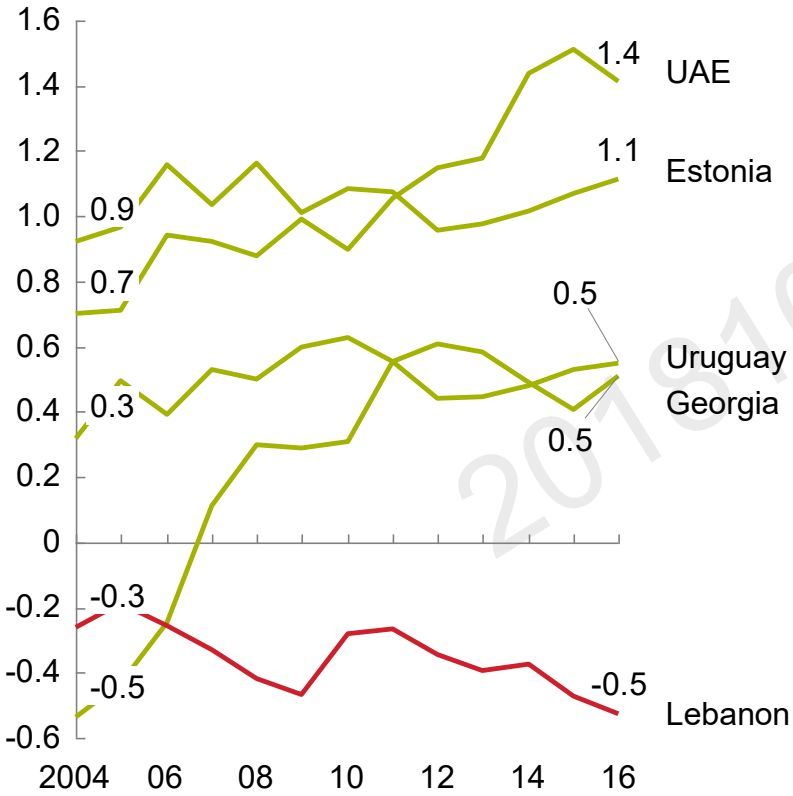


Percentile in the government effectiveness 2004

4%	Singapore
23%	Hungary
24%	Malta
26%	Italy
35%	Costa Rica
39%	Kuwait
44%	Cape Verde
50%	Romania
52%	Lebanon
53%	Egypt
64%	Georgia

n=204

Percentile in the government effectiveness 2016

0%	Singapore
23%	Malta
29%	Italy
29%	Georgia
31%	Hungary
33%	Costa Rica
44%	Cape Verde
52%	Romania
54%	Kuwait
65%	Lebanon
72%	Egypt

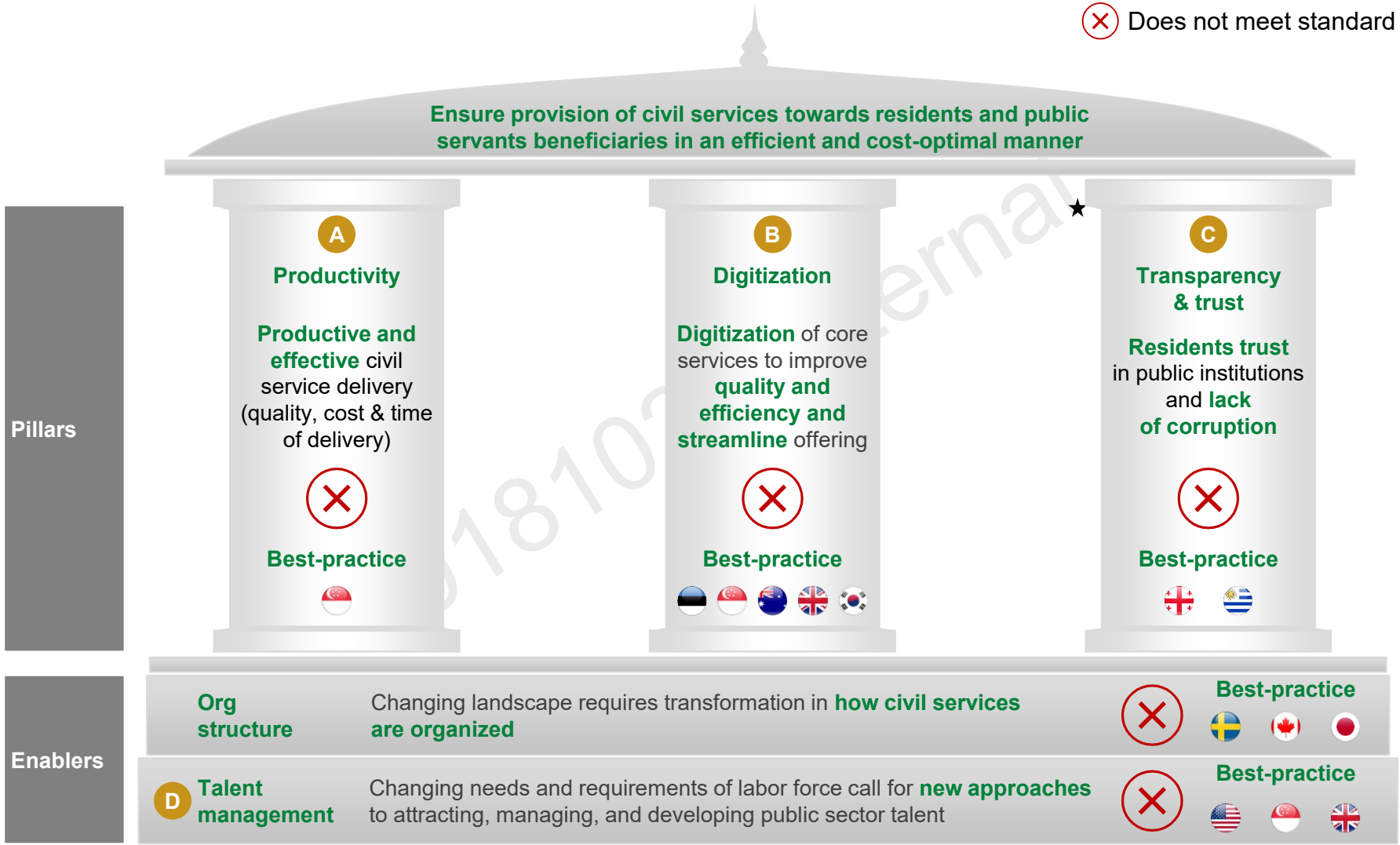
n=209

20181022 Internal

1 Defined as perceptions of the quality of public services, the quality of the civil service and the degree of its independence from political pressures

Source: Transparency International: Corruption Perceptions Index 2002-2016

Best in class provision of public services relies on three key pillars with Lebanon not meeting the standard across the board



Source: Team analysis; Expert interviews

A The government should focus its attention on improving productivity to drive better outcomes at lower expenditures

There is a shift in focus to addressing productivity

- Increasing need for governments to address public sector productivity due to three main challenges:
  - Growing government **expenditure**
  - Increasing **debt levels**
  - Decline in **quality of services** and citizen satisfaction
- Today, there is **3.5 Tn USD which can be saved globally** if all governments improve their productivity at the rate of the most countries

Lebanon could drive productivity gains through four key dimensions, following the examples of best practice countries

		From…	…to	Country examples
Input	**Improve expenditure control**	**No** annual **budget** and **lack of** detailed **tracking** of expenditure at ministerial level	**Capping** of **expenditures** and thorough **tracking** and control ★	Caps on budgets compel ministries to innovate to increase productivity Government productivity center for consulting
Input	**Introduce performance management**	**Lack** of **accountability** and **tracking** of **performance**	Best-in-class **performance management** with periodic decision-driven **assessment**	Strong performance management culture where performance is measured, monitored, and linked to promotions and compensation
Input	**Break inter-governmental silos**	**No** formalized **communication between** government **entities** and no data sharing	Minimal-to-**no mandate overlap** and **optimal data sharing** mechanism between entities	FARS system set up to aggregate traffic accident data from hospitals, police & vehicle registry for optimized decision making
Output	**Focus on customer centricity**	Provision of public services does **not take into account** citizen's **issues and feedback**	Government focused on priority issues with **services designed** to **meet** the **needs** and **expectations** of citizen	Australian Taxation Office combines insights from calls with customer-satisfaction feedback to identify problematic areas and their drivers

20181022 Internal

B Lebanon's government digitization agenda should focus on five key tasks

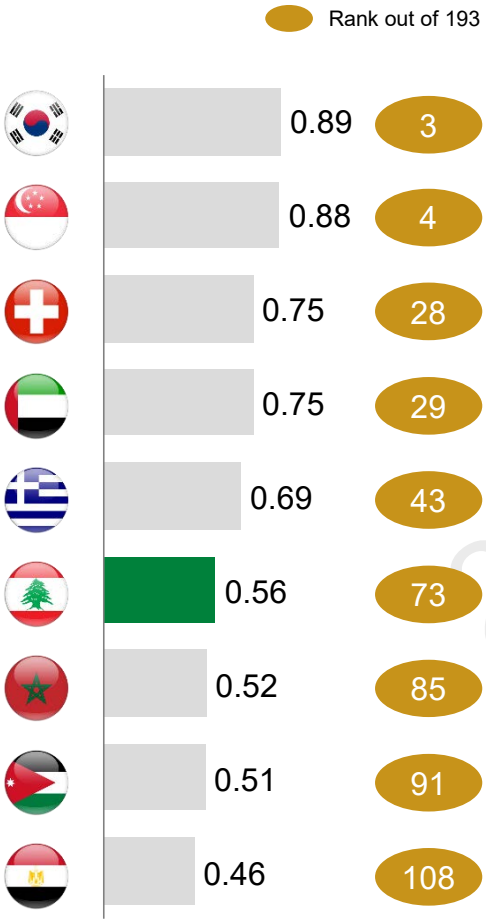
Tasks	Criteria for success
1 Set a clear digital strategy and targets	Set ambitious but measurable goals; adopt a unified management approach
2 Provide common IT platforms	Enable electronic identification, easy access to information, seamless data exchange and service level agreements (SLAs) across public-sector institutions
3 Define technical standards	Actively guide development of enterprise architecture, best practices in IT project management, and standardization of core IT
4 Facilitate change through legislation	Make aspirational digital goals more formal; scan administrative rules to remove obstacles to digitization
5 Incubate pilot projects and build critical skills	Support development of "lighthouse" case studies, strengthening internal capabilities in process

20181022 Internal

B Lebanon has yet to fully embrace digital disruptions, while other countries' governments have greatly benefited from digitization efforts

Lebanon's government still lags in terms of digitization

UN e-government survey,
2016 index



Other countries have achieved sizeable impact through digitization initiatives

Interactive services digitizing customer experience

- **Social media** helps engaging the public
- **Digital channels** serve citizens seeking "anytime, anywhere" service

Singapore government provides 4 national portals and **>400 agency websites** with strong social media presence ★ (e.g. Youtube, twitter)

Efficient processes anchored on automation and simplification

- **New generation of processes** and tools build more **productive services**

E-residency services provided to citizens led to 95% of **tax returns being filed electronically** by 2013

- E-cabinet system leads to 30 hours/week saving for each minister

Integrated data infrastructure

- **Personalized citizen** identifiers present unified view of customer
- **Cloud-based IT** architectures help integrate services at reduced cost

Gov.UK, single platform for UK Government combining **250+ government websites into 1**

- 2 Million daily visits within 2 years of launch

Smart decision making based on citizen data

- **Big data analytics help** enable governments to make better informed decisions

NYC Mayor's Office of Data Analytics uses big-data to understand citizen pain points and develop special city data initiatives (e.g. disaster response)

20181022 Internal

Source: Press search, Online research

B Case study: Digitization of government – United Kingdom

Scope of digitization

- Almost 20,000 government datasets are available online at “GOV.UK” since October 2012
- Completion of transition of over 300 agencies and arm’s length bodies, as well as HMRC, to “GOV.UK”, the single online home for government information and services in 2014
- 2014: already 16 exemplar services accessible to the public, and a further 4 will be available in Q1/15
- By October 2014, more than 3.7 million user transactions had been made across the 15 services publicly accessible at that time
- Current development of further cross-government platforms
- First digital delivery centers established for in-depth training for digital specialists, and project-specific programs to support the service teams

Outcome and impact of the collaboration

- Potentially saving between £1.7 and £1.8 billion a year by moving services from offline to digital channels (and more if they are fully redesigned in the process)
- Community of leading digital governments: Digital 5 group
- Partners: South Korea, Estonia, New Zealand and UK ★
- GOV.UK was built using open source technology
- No expensive software licensing costs
- In use by other governments e.g. Australia, Estonia, Norway
- Government Digital Inclusion Strategy: Target reduction of number of people who are offline by 25% by 2016

Key learnings

1

2 major platforms: „GOV.UK“ and „ GOV.UK verify“

2

- Efficiency savings of £210 million during 2013 to 2014 by:
- Scrutinizing digital and IT spend requests across government
- Moving websites across to GOV.UK
- Transforming online services

3

- Access of government information online higher than ever before: e.g. 1.98 million average visits per day in October 2014

4

- Replacement of 1,700 government websites with just one - GOV.UK

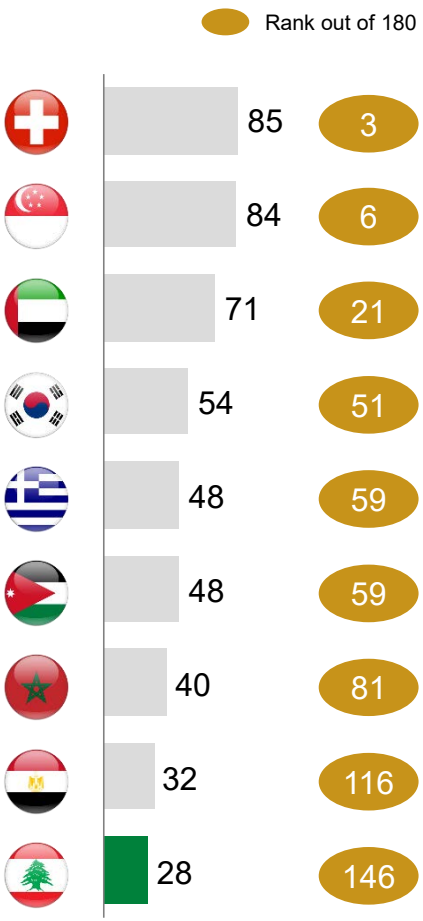
20181022 Internal

Source: Press articles, Government Digital Strategy: annual report 2014, Digital 5 reports , Mckinsey analysis

C While Lebanon ranks 146th in terms of corruption perception, several countries managed to reverse the trend through comprehensive efforts

Lebanon's government is highly perceived as corrupt

Corruption Perception index,
2017 index



Several countries have managed to fight and eradicate corruption in the public administration

	Georgia	Uruguay
Culture	▪ Active civil groups that are serious vigilantes ▪ Trust in the police services ▪ Progressive freedom of expression legislations	▪ Active organizations in civil society ▪ Civil interest in politics and confidence in their parties leading to a high opportunity cost for corrupt politicians ▪ Solid press freedom
Transparency	▪ Blacklist of companies violating standards on the website of the Procurement Agency ▪ Electronic contracting for increased transparency	▪ Public access to government information by law ▪ Clear regulations for public procurement processes, which promote fair competition
Simplification & digitization	▪ Ease of starting a business and process licenses (simpler than the average OECD) ▪ Unique process for registering a property ▪ Simplified import / export procedures	▪ Reduction of company formalization costs ▪ Clear and simple rules for sale and registration of property ▪ Online tax payment system to reduce evasion
Anti-corruption specific policies	▪ Criminalization of attempted corruption, active / passive bribery, embezzlement and money laundering punishable by 15 years of imprisonment ▪ Disclosure of officials' private assets ▪ Guaranteed protection of whistleblowers ▪ Police's force complete revamp	▪ Autonomous and independent judicial branch ▪ Bribes as a criminal offence punishable by up to 6 years in prison ▪ Money laundering punishable by up to 10 years in prison ▪ The Transparency and Public Ethics Board mandated to stop corruption
Impact	▪ **Moved** from the **89th percentile** to **25th percentile** in 12 years	▪ **Moved** from the **19th percentile** to **12th percentile** in 12 years

2018 2022 Internal

Source: Press search, Online research

C Successful countries typically focus their anti-corruption strategies on seven key dimensions

Best-practice framework for anti-corruption strategies

1 Inspiring vision

Long-term, simple, measurable, actionable, results oriented, and time-bound

2 Education and awareness

- Educate in strategies to combat corrupt behavior:
  - Authorities and political leaders
  - Public officials
  - Community
- Raise awareness on the effects of being corrupt

3 Prevention and risk mitigation

- Identify practices / processes with corruption risk
- Prioritize those with greater risk
- Mitigate risks through transparency available to everybody, simplification and digitalization

4 Investigation

- Investigate corrupt or corruption-susceptible behaviors
- Prioritize investigation resources
- Take effective legal actions

5 Prosecution

- Improve skills to judge efficiently
- Generate sufficient legal, economic and reputational incentives to stop corruption

6 Coordination

- Install clear inter-institutional governance
- Develop an integrated inter-institutional system of operations and communication

7 Institutional capacity

- Management capacity (central and territorial)
- Human capital
- Digital and technical capacity

C The government's anti-corruption strategy is to be pressure tested against a 22-point checklist along the 7 pillars

ILLUSTRATIVE

Not included | Partially included | Included

1	**Inspiring vision**	1	Long-term
		2	Simple
		3	Measurable
		4	Actionable
		5	Results oriented
		6	Time-bound
2	**Education and awareness**	7	Educate authorities and political leaders
		8	Educate public officials
		9	Educate the community
3	**Prevention and risk mitigation**	10	Identify practices / processes with corruption risk
		11	Prioritize those with greater risk
		12	Mitigate risks through transparency, simplification and digitalization
4	**Investigation**	13	Investigate corrupt or corruption-susceptible behaviors
		14	Prioritize investigation resources
		15	Take effective legal actions
5	**Prosecution**	16	Improve skills to judge efficiently
		17	Generate sufficient legal, economic and reputational incentives to stop corruption
6	**Coordination**	18	Install clear inter-institutional governance
		19	Develop an integrated inter-institutional system of operations and communication
7	**Institutional capacity**	20	Management capacity (central and territorial)
		21	Human capital
		22	Digital and technical capacity

2018/1022 Internal

C After the Rose Revolution in 2003, Georgia executed and sustained aggressive actions along all seven pillars to root out corruption

Pillars	Actions from 2003 to 2011
Inspiring vision	▪ Be in the **top 10 of the global competitiveness index** in 10 years (they started in position # 110)
Education and awareness	▪ Shared commitment among **national leadership** ▪ Installed an **anti-corruption culture** and changed the **mentality of public officials** from "I am the boss" to "the user is always right" ▪ Guaranteed the **whistleblowers protection**
Prevention and risk mitigation	▪ **Simplified bureaucracy:** the number of taxes decreased from 22 to 5 and the operating permits from 909 to 137 ▪ **Limited personal contact in processes** between citizens and public officials ▪ Strengthened efforts in **transparency, technology and monitoring**
Investigation	▪ Prioritized investigation in the **most corrupt institutions**, such as the Ministry of Education
Prosecution	▪ **Rapidly increased criminal and economic penalties** ▪ Dismissed, arrested and imprisoned **high profile corrupt officials**, generating a virtuous circle of reforms
Coordination	▪ Formed a **central team of legislators, led by the president**, who remained united, facilitating coordination ▪ Strategically coordinated **cross-cutting communications**, led by the president's anti-corruption message
Institutional capacity	▪ Installed a **corporate government** as first step ▪ Replaced key positions with **highly competitive and well-paid human capital**

GEORGIA

Business, energy, culture and wine in the fast-growing Caucasus

A zeal for reform pays dividends

The drive for transparency has brought about a comprehensive cultural change in Georgia. It has proved good for business, writes Justin Keay.

20181022 Intern

Source: World Bank, UNDP, Press Search

D Globally, several initiatives were launched to enhance talent attraction, retention & quality in order to meet higher quality standards

Talent themes	International examples
Plan workload and workforce	▪ Federal financial services agency uses **workload/workforce planning** to predict: – Impact of budget on workload – Gap in employees and therefore hiring targets
Attract and retain the right people	▪ Government follows **aggressive upstream recruitment** (e.g. via internship programs, scholarships, and career fairs) – Careers@Gov is a **government job and internship search engine** on web and mobile app ▪ Provide **competitive salaries** in line with **private sector benchmarks**
Grow and develop leaders	▪ Civil Service College provides **core skill training programs** related to public administration ▪ Personal Development Planning is a **yearly exercise** allowing civil servants to **discuss career path** with their superiors
Track and encourage high performance	▪ Create strong **performance management culture** where employee performance is measured, monitored, and linked to promotions and compensation
Engage employees	▪ Military Service uses **online forum created for commanders** to **build combat-ready teams** by sharing insights, experiences, lessons learned, tools, and methods
Create talent culture	▪ Norfolk County Council adopts **open leadership / staff conversations and feedback opportunities** to boost engagement and identify areas for improvement – For example, **"Outstanding Contribution" awards** were introduced after survey respondents asked for more recognition and praise

2015 2022 Internal

Source: McKinsey Center for Government analysis, literature search; Singapore Government websites; Interviews with current/previous Singapore Civil Servants

Contents – Public Sector reform requirements

A Strategy

B Initiatives

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Public administration – priority initiatives

NON-EXHAUSTIVE

		Objective	Owner[1]
A Productivity enhancement	PUB.A.1	Develop and implement performance management framework across governmental entities	▪ Office of the PM
B Government digitization	PUB.B.1	Set-up the Lebanon digital agency to lead the digitization effort	▪ Office of PCM ▪ OMSAR
	PUB.B.2	Initiate development of common IT platform ★	▪ Office of PCM ▪ OMSAR
	PUB.B.3	Detail and activate the e-government strategy with prioritization of most critical processes	▪ OMSAR
C Corruption eradication	PUB.C.1	Develop the national anti-corruption vision & strategy	▪ State Ministry for combatting corrupt.
	PUB.C.2	Launch key "flagship" anti-corruption initiatives	▪ State Ministry for combatting corrupt.
E Data systems	PUB.E.1	Enhance data & statistics capabilities within the government	▪ Central Authority of Statistics
F Institutionalization mechanism	PUB.F.1	Develop and set-up the formal institutionalization mechanism responsible for overseeing the implementation of the Economic Vision	▪ Short-term interim Lebanon Vision economic team

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

To effectively reform the public administration the government should focus on 8 priority initiatives (1/3)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
A Productivity enhancement	Pub.A.1	Develop and implement performance management framework across governmental entities	Enhancing productivity within the public sector is a pre-requisite to improving public sector services to citizens. While Lebanon still lacks formal accountability and performance tracking within the public sector, several countries have managed to introduce performance measures into the public servant evaluation (e.g. Singapore), providing case examples for a revamp of Lebanon's public sector through: ▪ Developing and imposing KPIs/KPTs for senior public sector positions and creating a set of standards to validate data for the key performance metrics ▪ Defining a rating system by which to measure employee performance and conducting annual reviews ▪ Linking ministry employee's performance to variable remuneration	▪ Office of the President of the council of ministers
B Government digitization	Pub.B.1	Set-up the Lebanon digital agency to lead the digitization effort	Successful government digitization normally relies on a central digital unit to drive the implementation of the digital strategy. In Lebanon a central digitization unit should be created to take ownership of the government's digital agenda. Key tasks to perform could include: ▪ Ensuring and facilitating coordination among public authorities & stakeholders ▪ Holding owners accountable to deliver the government's digital strategy	▪ Office of the President of the council of ministers ▪ OMSAR
	Pub.B.2	Initiate development of common IT platform	Successful global government digitization examples mainly rely on 5 key tasks, one of them being the provision of a common IT platform. The government should as such initiate the design of the main building blocks of the IT infrastructure, to be made available to all public authorities to reuse, mainly: ▪ The set-up and management of a unique electronic identity ▪ A portal system centralizing all the digital processes of the government ▪ A central data hub to centralize and enhance the access to information	▪ Office of the President of the council of ministers ▪ OMSAR
	Pub.B.3	Detail and activate the e-government strategy with prioritization of most critical processes	▪ *To build on OMSAR strategy once shared*	▪ OMSAR

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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To effectively reform the public administration the government should focus on 8 priority initiatives (2/3)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
C Corruption eradication	Pub.C.1	Develop the national anti-corruption vision & strategy	Today Lebanon ranks 146th out of 180 countries on Transparency International's Corruption Perceptions Index. Several countries have managed to reverse the trend such as Georgia (Moved from the 89th percentile to 25th percentile in 12 years) and Uruguay (Moved from the 19th percentile to 12th percentile in 12 years) through an agressive and comprehensive anti-corruption strategy. The government should as such develop & launch a detailed and comprehensive anti-corruption strategy, along with an inspiring vision, initially focusing on 2 key pillars mainly: ▪ Education & awareness ★ ▪ Prosecution	▪ State Ministry for combatting corruption
	Pub.C.2	Launch key "flagship" anti-corruption initiatives	In order to quickly regain the confidence of the Lebanese people and enhance the people's perception of government corruption, the government should launch several "flagship" initiatives targeting corruption, including: ▪ Passing a public sector whistle-blowers protection law ▪ Passing a law regarding the disclosure of private assets of public officials ▪ Launching a thorough corruption investigation lead by an independent authority ▪ Establishing an independent anti-corruption commission. Main responsibility includes conducting perception survey across government entities and publishing results comparing levels of corruption and improvement across entities ▪ Publishing clear regulations for public procurement processes to promote fair competition while blacklisting companies violating standards on the website of the relevant government authorities ▪ Launching a national reclamation campaign for Lebanon's beachfront	▪ State Ministry for combatting corruption
E Data systems	Pub.E.1	Enhance data & statistics capabilities within the government	▪ Today, country data & statistics do not allow agile decision-making (e.g. no exhaustive labour force survey conducted and no accurate visibility on unemployment rate). As such the government should augment the Central Authority for Statistic's capabilities & scope of work ensuring prompt and accurate analysis of data through for example: ▪ Extending the scope of work to include gathering and publishing data & statistics beyond national accounts (e.g. sector data, surveys with support of relevant stakeholders), while acting as the single source of truth regarding all government statistics ▪ Gathering, consolidating and publishing KPIs related to the Lebanon Economic Vision objectives ▪ Launching quick-wins mainly, conducting an exhaustive labour force survey and having the exercise done on a yearly basis (currently underway)	▪ Central Authority of Statistics

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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To effectively reform the public administration the government should focus on 8 priority initiatives (3/3)

NON-EXHAUSTIVE

F Institutionalization mechanism

	Objective	Initiative	Owner[1]
Pub.F.1	Develop and set-up the formal institutionalization mechanism responsible for overseeing the implementation of the Economic Vision	The interim economic team should work towards developing and setting-up the end-state mechanism that will be responsible of overseeing the implementation of the Economic Vision. The governance of the institutionalization mechanism should consist of: ▪ **The council of ministers:** With the highest levels of representation, the council will oversee the progress of execution, taking necessary measures to enforce accountability and ensure timely execution by all relevant stakeholders. ★ ▪ **The economic, social & environmental development authority** (PMDU: performance management & delivery unit)**:** Leads the coordination for the follow-up planning and execution phases. Reports to the council of ministers and has several responsibilities ▪ **Task forces:** Responsible and accountable for the implementation of the respective sector's agenda. Includes representatives from all relevant implementation stakeholders *(e.g. ministries)* as well as a representative from the PMDU who serves as secretariat. Operating model *(e.g. meeting frequency)* to be set by each committee. *Details of the mechanism can be found in the institutionalization mechanism chapter*	▪ Short-term interim Lebanon Vision economic team

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Moreover, 20 initiatives from the remaining sectors could be launched (1/4)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
Oil & gas	Oth.1	Prepare the regulatory framework for oil & gas	▪ Develop a clear strategy and direction for the oil & gas sovereign wealth fund and domestic usage of gas ▪ Continue to develop the regulatory and governance ecosystem (e.g. finalizing transparency-related regulations) for oil & gas	▪ Lebanese Petroleum Administration
Healthcare	Oth.2	Update regulations to incentivize the purchase of generic drugs	▪ Decrease spending on pharmaceuticals by introducing drug pricing reforms and incentivize the sales of more generic medicine (co-pay schemes, higher commissions ...) ★	▪ Ministry of Public Health
	Oth.3	Enhance healthcare data collection	Introduce a "Health card" to better leverage population health data and act as a catalyst for better hospital specialization	▪ Ministry of Public Health
	Oth.4	Protect household income	Protect household income by designing caps on insurance payments to make sure that no patient is impoverished due to medical procedures	▪ Ministry of Public Health
Real estate & construction	Oth.5	Develop public housing programs	▪ Develop an affordable housing program (outside of BdL) with the focus of absorbing current unmet demand (slums), encompassing the different levers ▪ Ensure proper sector incentives to allow for a revised mix of supplied units to match the demand mix	▪ Ministry of Social Affairs
	Oth.6	Update the urban masterplan for the country	▪ Revise current Lebanon master plan with an emphasis on Beirut's urban plan ▪ Enforce abidance to urban plan and construction guidelines	▪ Ministry of Public Works
	Oth.7	Enhance the legislative environment for real estate	▪ Streamline current real estate registration process and revise taxation on real estate ▪ Enforce real estate registration to close the gap of unregistered property and increase government revenue	▪ Ministry of Finance
	Oth.8	Revamp & review financing schemes for housing	▪ Review access to financing to reduce reliance on BdL for access to housing	▪ Ministry of Finance ▪ Banque du Liban

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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Moreover, 20 initiatives from the remaining sectors could be launched (2/4)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
Retail & commerce	Oth.9	Grant VAT amnesty for newly formalized businesses	▪ Grant VAT amnesty for 3 years from date of VAT registration	▪ Ministry of Economy & Trade
	Oth.10	Increase awareness on benefits of formalization	Launch a 1-year nationwide campaign to educate business-owners on the benefits of the ecosystem	▪ Ministry of Economy & Trade
	Oth.11	Register qualifying home businesses	Launch a special window to register home businesses that meet certain qualifying criterion. E.g., crafts businesses, home-based professional services	▪ Ministry of Economy & Trade
	Oth.12	Levy heavy penalties on informal businesses	Improve detection mechanisms and initiate stringent penalties on illegal businesses through shared data across different government institutions and the private sector (e.g. banks)	▪ Ministry of Economy & Trade
	Oth.13	Stop the support of the informal sector	Lay out policies prohibiting NGOs and quasi-government entities from providing support to informal businesses	▪ Ministry of Economy & Trade
Telecommunications	Oth.14	Improve the telecommunications infrastructure	▪ Sustain investments in mobile infrastructure to remain at the forefront of the sector ▪ Restart investing in the fixed broadband network, through the execution of the FTTH plan, under the umbrella of the Lebanon Digital Strategy 2020. Priority should be on dense regions providing the highest RoI and where majority of businesses are concentrated	▪ Ministry of Telecommunications
	Oth.15	Enhance the telecommunications regulatory framework	▪ Empower the Telecom Regulatory Authority (TRA) by fully transferring, from the Ministry of Telecommunications, the key regulatory responsibilities (i.e. tariffs setting, quality control, data collection & analysis, spectrum management), through applying the 2002 law 431 (or a revised version of the law) in full ▪ Assess and study the different options & schemes allowing for more competition and protection against disruptive sector dynamics, including the privatization of the mobile and fixed operators	▪ Ministry of Telecommunications

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Moreover, 20 initiatives from the remaining sectors could be launched (3/4)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
Urban efficiency	Oth.16	Improve the transport system within Beirut & Mount Lebanon	▪ Develop a detailed public transport plan targeting a public transport share of more than 15% (vs. 2% today) and decreasing vehicle ownership rates to ~250-400 per 1,000 people (from 700-800 today) ▪ Prioritize transportation projects from the CIP linked to upgrading Greater Beirut road network as well as uphauling the public transport system ▪ Develop and launch campaigns to increase awareness of benefits from public transport and car pooling	▪ Beirut & Mount Lebanon municipalities ▪ Ministry of Public Works
	Oth.17	Improve solid waste management in the Larger Beirut Area	▪ Develop detailed solid waste management plan for Beirut & Mount Lebanon with objective of reducing landfill portion to at least 65% as per global benchmarks, through upgrading recycling and composting facilities ▪ Assess the feasibility of developing WtE solutions with an emphasis on future technologies (e.g. plasma) that produce less emissions ▪ Develop and launch campaigns to increase awareness of source sorting importance	▪ Beirut & Mount Lebanon municipalities
	Oth.18	Upgrade the water network in Beirut	Upgrade water distribution in Beirut & Mount Lebanon with an emphasis on the outdated portion of the network	▪ Beirut & Mount Lebanon municipalities
	Oth.19	Improve the governance of the Larger Beirut Area	Revamp the governance of the greater Beirut area ensuring streamlined coordination amongst the different municipalities	▪ Beirut & Mount Lebanon municipalities

20181022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Moreover, 20 initiatives from the remaining sectors could be launched (4/4)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
Trade agreements	Oth.16	Improve framework for trade agreements & export	▪ Improve coordination among trade-related entities, including but not limited to: – Ministry of Agriculture – Ministry of Industry – Ministry of Economy and Trade – Ministry of Foreign Affairs and Emigrants – IDAL – Local chambers of commerce ★ ▪ Proactively support the private sector in overcoming technical and non-technical measures which are limiting exports, in order to maximize benefits of trade agreements: *Priority measures include SPS conditions on food exports, registration requirements for pharmaceutical products, and rule-of-origin constraints for industrial goods* ▪ Adopt a more proactive and analysis-driven approach to trade-related policy-making especially regarding 1) entering/renegotiating/withdrawing from trade deals, 2) imposing tariff and non-tariff measures on imports	▪ Ministry of Economy & Trade

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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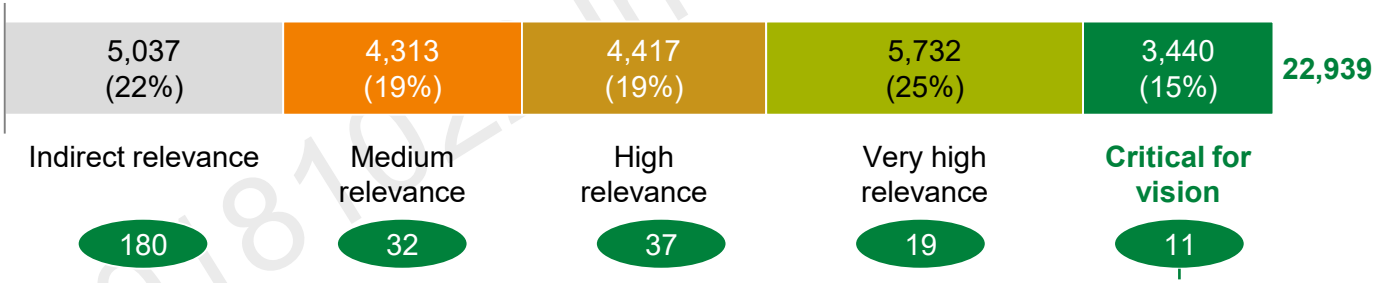
2018 1022 Internal

Implementation of Capital Investment Plan should prioritize projects which are very relevant to the economic vision

Overview

- The Capital Investment Plan's ~270 projects will provided **much-needed infrastructure spending**[1] to Lebanon, and every effort must be made to ensure successful implementation
- **Several projects are highly relevant** to the economic growth generally, and to the economic vision more specifically
  - 11 projects (representing 15% of total CIP budget) are deemed to be vision-critical
- Thus, to ensure achievement of economic objectives, Lebanon should **prioritize vision-relevant projects** across several dimensions (including distribution of funds, allocation of resources, etc.) ★
- Moreover, a number of **additional vision-linked priority projects** need to be added to the government's agenda

CIP budget by direct relevance to economic vision, USD mn



Top-priority CIP projects include…

- Core power projects
- Expansion of Beirut airport, Tripoli port
- Deployment of Fiber network
- Industrial zones *(incl. Tripoli SEZ)*

Additional (new) priority projects include..

- Industrial construction zone *(among other additional industrial zones)*
- Beirut knowledge hub park
- Urban improvement and tourism zone development in Beirut, Sour, Byblos

1 Top-down analysis suggests that Lebanon's annual infrastructure spending requirements exceed 4 billion USD, which far outweighs proposed spending under CIP. Thus, CIP is likely to be an "underestimate" of required infrastructure efforts.

Source: PCM website

Note: Beyond vision relevance, several other criteria should be taken into consideration when prioritizing CIP projects (e.g. Social impact, feasibility, interdependencies, etc..)

20181024 Internal

The economic vision has several implications on the implementation of the Capital Investment Plan (CIP) which need to be taken into account

Context

- Lebanon's **Capital Investment Plan** contains ~270 projects across various infrastructure sectors, including transportation, telecom, utilities (power, water, waste), tourism and industry *(but excluding healthcare, education, etc.)*
- Following the **CEDRE conference** in April 2018, Lebanon secured a total pledge of **~11.1 billion USD** in the form of loans and grants
- If materialized, CEDRE pledges would **cover Cycle 1 costs,** but would account for less than half of the total budget requirement for CIP (across all cycles)

Implications of Economic Vision

To ensure compatibility between the infrastructure agenda (including CIP) and the economic vision, the government needs to:

A **Prioritize vision-relevant CIP projects** in distribution of funding & allocation of implementation resources

B Add **new / additional infrastructure projects** which are required by the economic vision *(e.g. additional industrial zones)*

C Increase **infrastructure spending beyond CIP** to allow for sustainable growth

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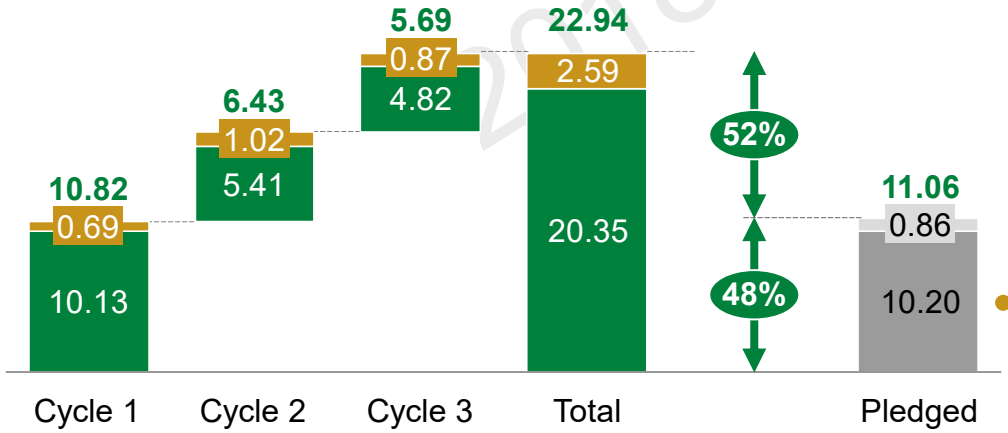
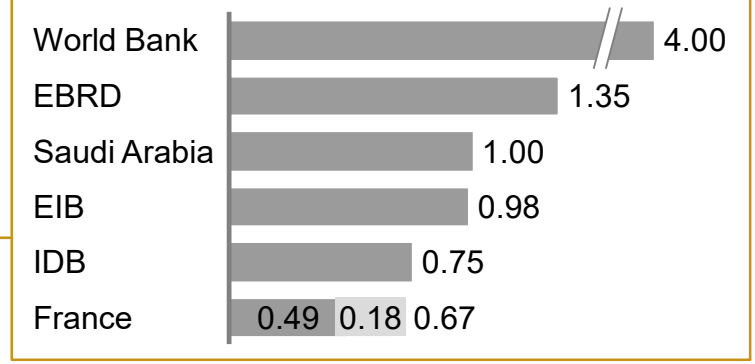
CIP Overview USD bn



Top donors, USD bn



Source: PCM website; Press search

A Prioritization of CIP projects needs to account for multiple dimensions beyond relevance to the economic vision

Prioritization of projects should be the key driver of:

- Distribution of available **funds** (both foreign and local)
- Prioritization and **scheduling** of planning & execution for activities
- Prioritization of project-associated reforms & regulatory enablers in the **legislative agenda**

Prioritization dimension

Economic impact including impact on GDP, trade balance, and job creation	**Social impact** including inclusivity of economic growth, poverty reduction improvement in quality of life & health outcomes, environmental impact, etc.	**Feasibility & risks** including availability of funding, feasibility (technical, regulatory, institutional capabilities, etc.), and financial risks (e.g. overspending)	**Direct relevance to economic vision** objectives and initiatives

Not covered in this document

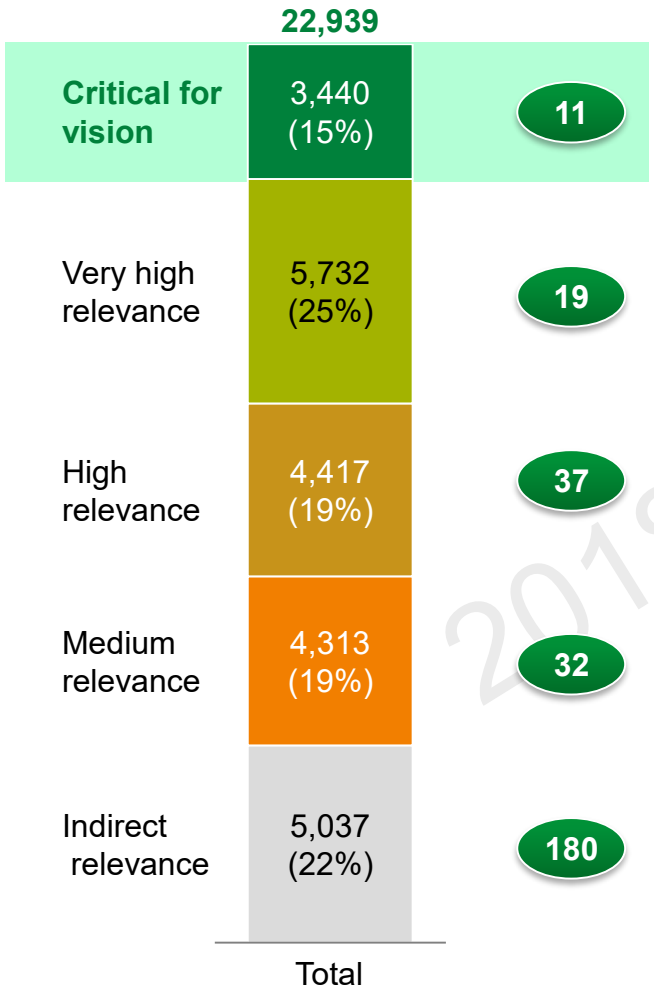
Covered in this document

Note: The World Bank has conducted a strategic assessment of all CIP projects, which provides a perspective on many of these dimensions and serves as a starting point for prioritization

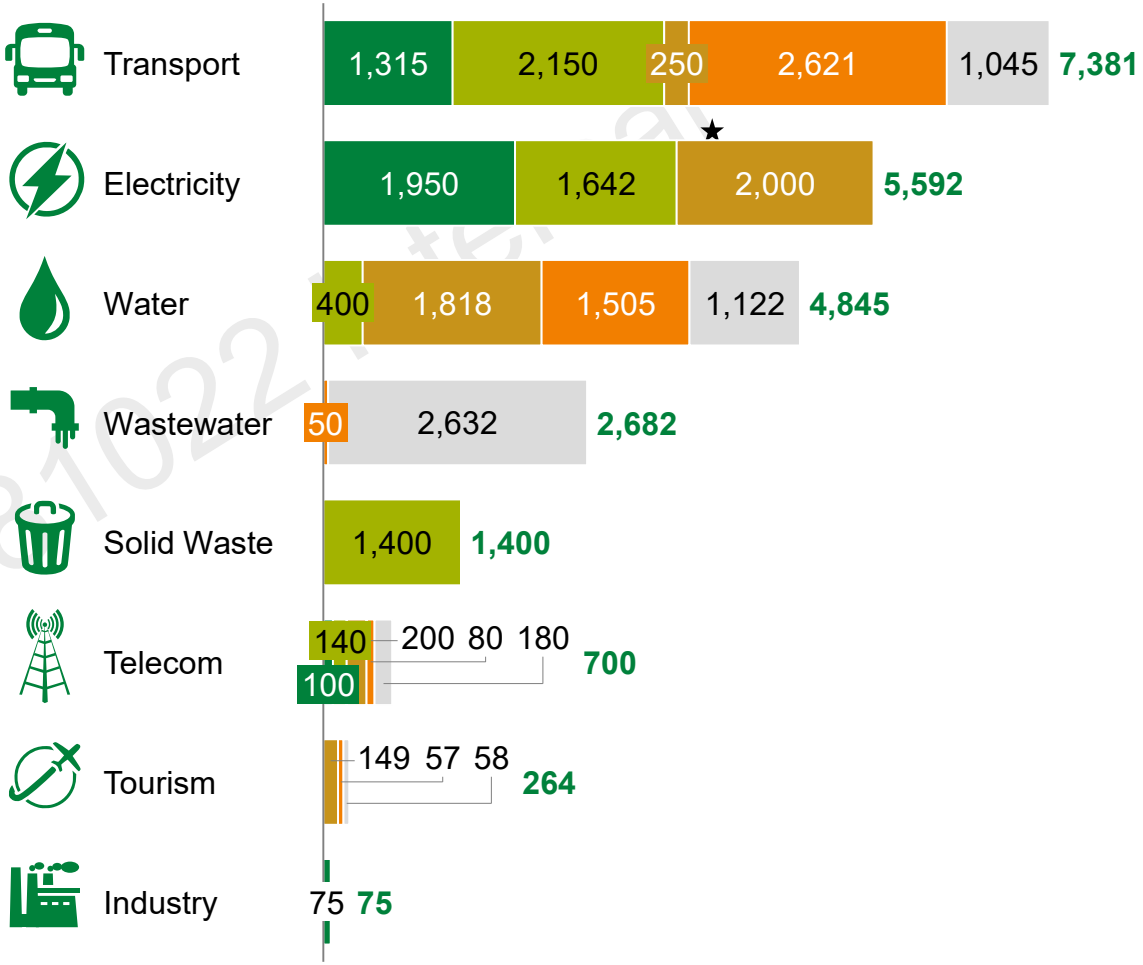
A Each CIP project's relevance to the economic vision was assessed, with 11 identified as being "vision-critical"

XX Number of projects / phases

CIP budget by relevance to economic vision, USD mn



CIP budget by sector USD mn



20181022 tel

Source: PCM

A 11 “vision-critical” CIP projects, with a total budget of 3.4 bn USD, should be prioritized for funding

Investment Land Expropriation

Code	Project topic	Cycle	Budget, USD mn
E01	IPP Power Plants (1GW)	1	1,200
TP10	Beirut rapid-bus public transport	1	500
TP16	Beirut Airport rehab	1	500
E04	Hydro power plants (0.3GW)	1	264
E09	DSP - Smart Meters	1	263
E06	Power transmission	1	224
TP06	Ras Baalbak- Syrian border highway	1	110
TP20	Tripoli Port rehab	3	150
TL01	Fiber network	1	100
IN01	Industrial zones (Alkaa, Baalbek, Terbol)	2	50
IN02	Tripoli Special Economic Zone	2	25
	Total		3,385 + 55 = 3,440

20181022 Internal

Source: PCM

B Beyond CIP projects, 5 additional priority projects should be added to the infrastructure agenda

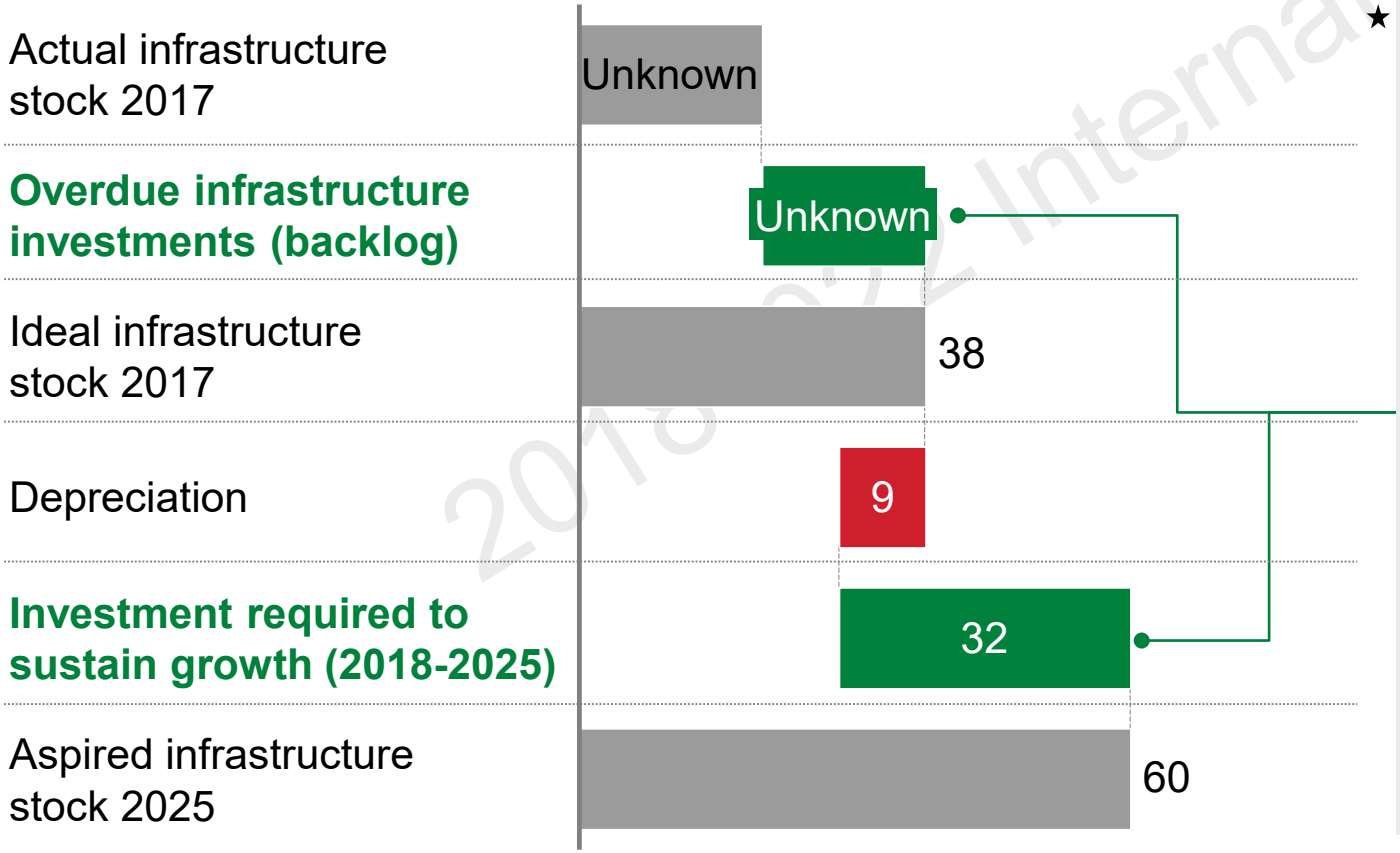
Project	Sector	Rationale	Proposed cycle
Construction technology zone	Industry	▪ To capitalize on the upcoming reconstruction in Syria and Iraq (especially within construction technology), Lebanon needs to immediately develop a dedicated construction technology zone	1 ★
Beirut knowledge hub park	Knowledge Economy	▪ A centralized knowledge hub park is required to develop growth in the knowledge economy sector, including technology, outsourcing, and creative industries. ▪ Offerings to include world-class infrastructure, subsidized rent, and regulatory enablement (one-stop-shop)	1
City livability & walkability improvement	Tourism	▪ Further developing walkways and public spaces in Beirut, Sour and Byblos is important to improve the urban experience which is necessary to strengthen tourism value proposition	2
Additional (phase 2) industrial zones	Industry	▪ Beyond currently-planned zones (including Tripoli SEZ, MoI/UNIDO industrial zones in Alkaa, Baalbek, Terbol), Lebanon would benefit from the establishment of additional zones in other regions (e.g. Beirut, South)	2
Tourism zones	Tourism	▪ Government needs to develop tourism zones in coordination with private players (via special investment packages) – e.g. beach promenades in Sour and Byblos	2

Further efforts are required to evaluate new projects' budget requirements, as well as their prioritization relative to existing CIP projects

20180822 Internal

C Beyond CIP, a top-down assessment should be conducted to understand required annual investment in infrastructure

Lebanon's Infrastructure stock USD billion



Between 2018 and 2025 *(Cycles 1, 2)*, **CIP** infrastructure spending is expected to be **~17.25 Bn USD,** or ~2 Bn USD per year

However, the same period will **require at least 32 Bn USD,** equating to ~4 Bn USD per year *(excluding overdue investments)*

Source: CAS, PCM; Expert interviews

Infrastructure – priority initiatives

NON-EXHAUSTIVE

Infrastructure

	Objective	Owner[1]	Part of CIP	CIP Code
INF.1	Expand the airport capacity	▪ MoPWT	✓	▪ TP16,17
INF.2	Implement Fiber strategy of MoT	▪ Ministry of Telecom	✓	▪ TL01
INF.3	Reform national infrastructure (incl. power, logistics, utilities)	▪ MoPWT ★	✓	▪ E01,04, 09,06 ▪ TP06, 20
INF.4	Enhance access to/from anchor destinations to enable “hub and spoke” model	▪ MoPWT	✓	▪ TP10
INF.5	Prioritize financing to existing industrial zones (advancing to CIP cycle 1)	▪ CDR ▪ MoPWT	✓	▪ IN01,02

20181022 Internal

We considered 5 priority initiatives related to the Vision's main infrastructure requirements

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
Infrastructure	Inf.1	Expand the airport capacity	The Beirut Rafic Hariri International Airport's visitors (inbound and outbound) has exceeded the airport capacity (8 million vs. 6 million). Moreover, the projected growth in the number of inbound tourists is expected to outpace the timeline set for the airport expansion. As such, the airport capacity expansion initiative within CIP should be prioritized and accelerated	▪ MoPWT
	Inf.2	Implement Fiber strategy of MoT	Lebanon's fixed network speed of ~6 Mbps ranks the country 130th worldwide, behind Syria, Iraq & Pakistan. Telecommunications infrastructure being a key enabler for knowledge-intensive activities (one of the 6 priority sectors), should be prioritized, and the launch of Fibre network implementation should be expedited as part of CIP	▪ Ministry of Telecom
	Inf.3	Reform national infrastructure (incl. power, logistics, utilities)	To enhance the country's competitiveness in industry (one of the six priority sectors) the launch of IPPs and other Power-related CIP projects should be prioritized and expedited	▪ MoPWT
	Inf.4	Enhance access to/from anchor destinations to enable "hub and spoke" model	To facilitate the transport of tourists to/from and within anchor destinations (Beirut, Byblos, Tyre), the public transport project within CIP should be prioritized, expedited and extended to cover key tourism areas creating smooth routes with day-trip destinations	▪ MoPWT
	Inf.5	Prioritize financing to existing industrial zones (advancing to CIP cycle 1)	▪ Currently, the two CIP projects related to industrial zones are allocated to Implementation Cycle 2: – IN1: Infrastructure for 3 industrial cities, Alkaa, Baalbek, and Terbol – Phase 2 – IN2: Infrastructure for the Tripoli Special Economic Zone ▪ Allocation of projects to cycle 2 was based on the assumption that short-term efforts can be covered by other sources (e.g. MoI / UNIDO zones to be financed by EIB, EBRD, and Government of Italy based on existing agreements at various levels of finalization). However, due to their importance in unlocking growth in the industrial sector, industrial zones should be given prioritized access to CIP funds in the event of any delays or shortages in other funding sources	▪ CDR ▪ MoPWT

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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VIII. FLAGSHIP PROJECTS

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2018 1022 Internal

Four broad categories of interventions can be leveraged to ensure fiscal discipline

2017 2025

Categories	Levers	Description	Example initiatives	Targets
Revenue optimization	Tax revenue	▪ Design targeted initiatives to reduce the current gap in tax collection and enhance tax effort form 42% to ~60-70% of total taxation capacity	▪ Enforce VAT ▪ Introduce tobacco tax ★	**Tax revenue,** % GDP 14% → 20%
	Non-tax revenue	▪ Leverage data analytics to assess leakages from non-tax revenues	▪ Enforce real estate registration fees	
Cost rational-ization	Salaries	▪ Stabilize and/or reduce Salaries & wages to bring it in line with global benchmarks	▪ Freeze hiring of public servants	**Government expenditures,** % GDP 27% → 20%
	Other OpEx	▪ Conduct analytical assessment of expenses to capture cost-cutting potential	▪ Investigate rental costs	
	EdL pay.	▪ Reduce ~1-2 USD Bn of yearly transfers to close the electricity deficit	▪ Revamp power sector to close deficit	
Medium-term expenditure framework		▪ Enhance current MTEF, in line with best practice, with a planning horizon beyond current budget cycle, setting revenue and expenditure estimates	▪ Revamp current MTEF by macro-fiscal department	**Forecast deviation from actuals,** % N/A → 10%
Fiscal rules		▪ Develop a set of enforceable rules to ensure fiscal discipline, mainly expenditures and public debt ceilings, at a granular level	▪ Enforce ceiling on salaries expenditures by ministry ▪ Debt to GDP < 120%	**Fiscal deficit,** % GDP -8% → -3%

20181022 Internal

Note: Increase in tax effort and tax collection is not accounted for when modelling and projecting government Budget till 2025

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Public finance – opportunities & priorities

A. Opportunities & priorities

Fiscal targets & rules

A1 Going forward government has committed to conduct both fiscal consolidation programs, through increasing the primary surplus by ~5%, 1% a year, as well as structural reforms e.g. fiscal governance and public-sector restructuring

- The government aims at achieving an incremental primary surplus of 5% over 5 years, one percentage point a year, through revenue measures (e.g. improved collection & reduction of loopholes), as well as a reduction in spending (e.g. reduction in transfers to EDL through power sector strategy) ★
- The government will also implement a set of fiscal reforms, to strength the fiscal governance, modernize the land administration system, reform customs, digitize the government, modernize & restructure the public sector and enhance the procurement process

A2 Achieving the target fiscal surplus while launching the CIP program requires either a reduction in expenditures by ~17% or an entailed nominal GDP growth of ~29% in the first year of the program!

- Assuming no reduction in expenditures is to be achieved, GDP would be required to grow by 29% in the first year of the program
- Assuming a nominal GDP growth rate of ~11% p.a. during the 5 years of the CIP program, an initial reduction of 17% in expenditures would be required to achieve the targeted primary surplus

A3 Stabilising the debt to GDP ratio or putting it back on a downward trajectory, requires varying levels of primary surplus depending on the GDP growth achieved

- If CIP manages to sustain a ~10% p.a. nominal GDP growth, then the government can operate at a ~3.7% primary deficit and maintain constant debt to GDP; reducing it to ~125% over 5 years requires the government to have a balanced primary budget
- However, if GDP growth remains at historical ~5% p.a., containing debt to GDP becomes more challenging: that would require a 3% yearly primary surplus with an upfront 33% reduction in current expenditures

Confidential

A2 Achieving the target surplus with CIP requires either a reduction in expenditures by ~17% or a GDP growth of ~29% in the first year!

PRELIMINARY

How to get there?

Fiscal targets

- Fiscal **primary surplus** of **5%** over 5 years, **one percentage point a year**
- **Launch** of the Capital Investment Program (**CIP**)
- **Revenues** as a **% of GDP** remains **constant** at historical **~20%**
- Putting **debt to GDP** on a **declining trajectory**

GDP growth rate

- Assumes that **no decrease in expenditures** will occur
- **GDP should grow** by **~29%** in the first year

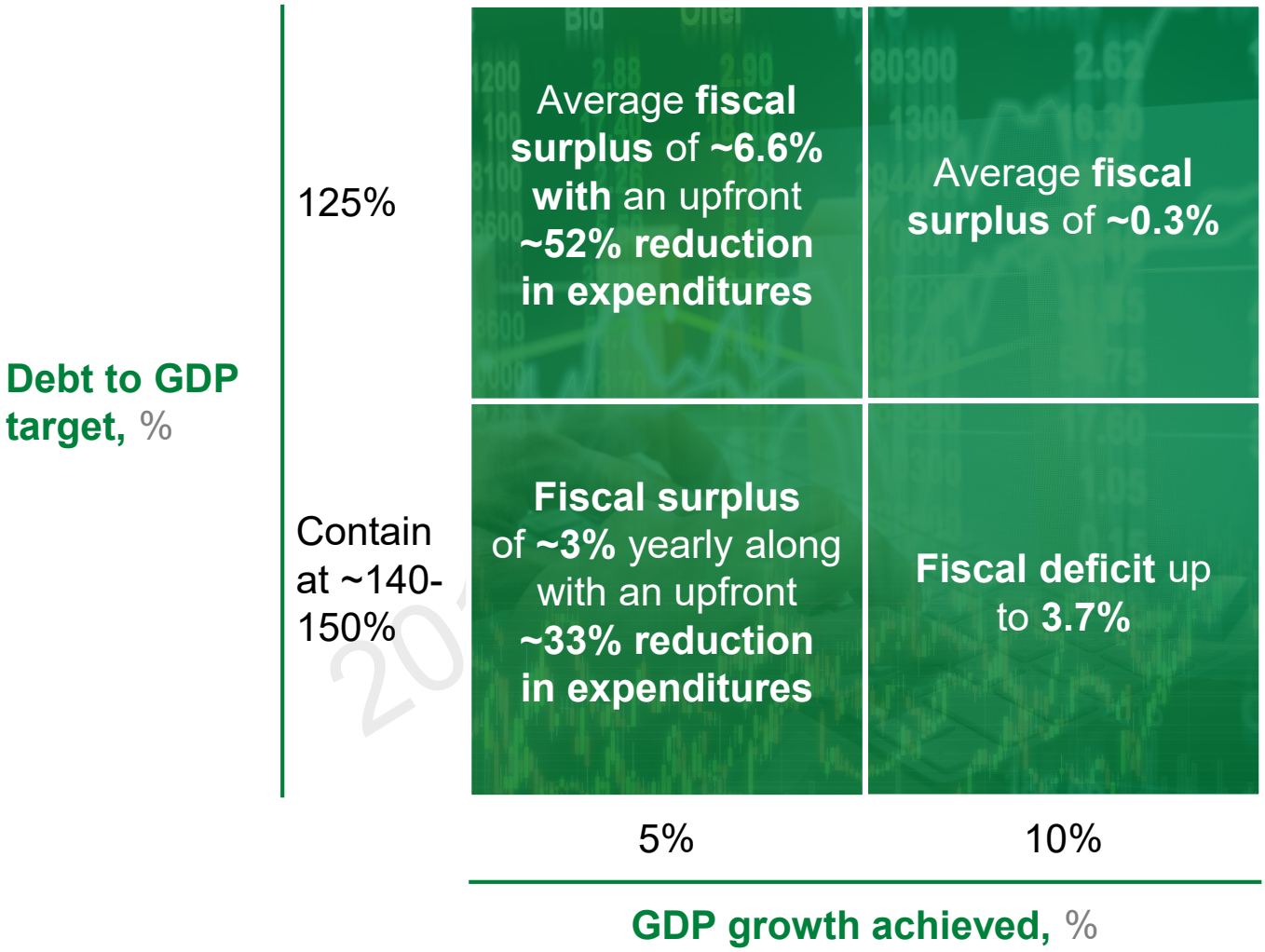
Reduction in expenditures

- **Assumes** that nominal **GDP growth maintains a ~11% p.a.** value during the 5 years of the program
- Government **expenditures** should be **reduced by ~17% or ~1.7 USD Bn** in the first year

20181022 Internal

A3 Stabilising the debt to GDP ratio requires varying levels of primary surplus depending on the GDP growth achieved

PRELIMINARY



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B Four key global learnings regarding programs for fiscal consolidation and cost reduction emerge

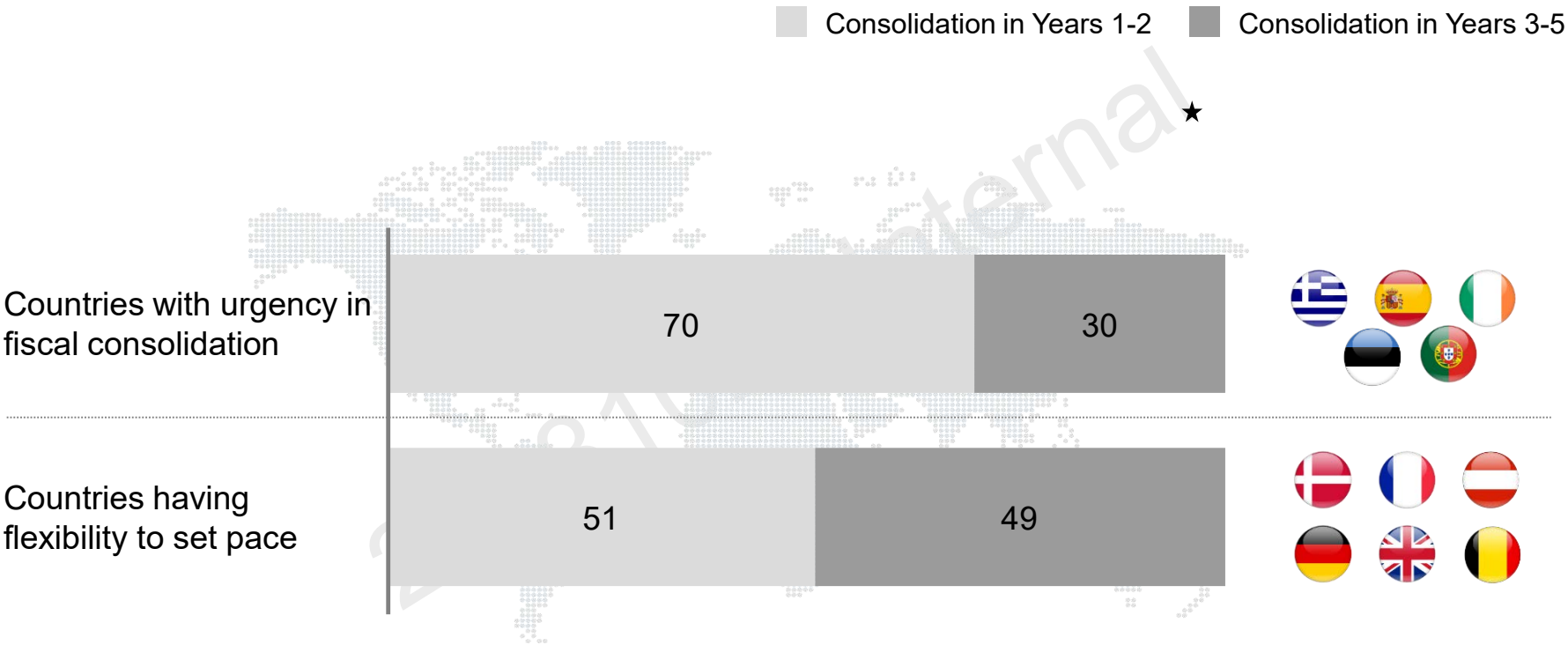
Learnings	Description
Reduction of spending on in public sector wages & salaries	▪ **Launch of staff reduction programs** – **Reduction** in the overall **number of civil servants** by non-replacement of some retirements and facilitated redundancies – **Cessation of the ' job for life' principle** for civil servants along with a harmonization of the status and employment conditions of civil servants across the ministries and standardization of working conditions – A **freeze** on public sector **salary increases** – **Administration cost reduction** plan for **state-owned companies**
Review of governance & modernisation of public sector	▪ **Reorganization and rationalization of central government administration:** – **Reduction** in the **number** of **government agencies** – **Mergers** of government **agencies** and **departments** with responsibilities for the same areas of public policy (e.g. tax, social security, etc.) – **Pooling** of **government departments** (for **HR** and ministerial **purchases**) with the creation of centralized or regional centers ▪ **Launch** of public sector **digitalization projects through e-gov strategy** (incl. e-ID, electronic billing by government departments, restructured websites, etc.) in a bid to reduce operational expenditures
Introduction of culture built around performance and indicators	▪ Introduction of a culture built around **performance and indicators** via a series of strategic **programs** with reporting obligations from the different governmental agencies ▪ **Performance** and quality monitoring of government departments – Submission of a performance plan from each public department – Set up of new rules to index salaries against performance

2015102 Internal

Source: Global case studies

B Experiences show that fiscal consolidations are typically front-loaded, in particular if the country faces an urgency to reduce the deficit

Front-loaded versus back-loaded consolidation[1], % consolidation



1 Average consolidation in first 2 years and years 3-5 across countries in this category

SOURCE: OECD Fiscal Consolidation Survey 2010

B The following four learnings are to be taken into consideration when implementing fiscal consolidation plans

Learnings	Implications for fiscal consolidation program design and implementation
Fiscal rules were implemented alongside fiscal reforms	▪ Support fiscal reform **with strong fiscal rules** ★
Typically run by MOF with further empowerment	▪ Many benchmark countries had **supplementary parliamentary, legal and constitutional measures** to ensure that reform could be pushed through ▪ **Senior MOF leader responsible** for driving program (e.g., Principal secretary) on internal committee basis
Build new unit for areas lacking to drive reform	▪ In some cases a **dedicated unit is formed** e.g., for privatization or for streamlining revenue collections
Having fiscal data is critical to ensure implementation	▪ Ministry needs to **ensure that fiscal data and reporting systems allow to capture accurately budget execution**

2018/02/22 Internal

B

Three different archetypes exist for fiscal consolidation

Option	*Fiscal stimulus*	*Balanced fiscal consolidation*	*Aggressive fiscal consolidation*
Description	Fiscal stimulus until economic growth accelerates	Gradual deficit reduction while sustaining minimum GDP growth rate ★	Aggressive front loaded fiscal consolidation
Impact on GDP	GDP growth accelerates[1]	GDP growth to remain positive but low compared to historic	Likely to generate severe recession
When does it make sense?	Government facing risks or shocks to the economy and has buffers to provide fiscal stimulus	Government has buffers to go for gradual reductions and faces pressures/expectations to maintain welfare or economy growing	Government facing high risk of insolvency or default on its debt
Typical time-line to impact (years)	6+	5-6	<4
Examples post 2009 global crisis			

1 Not sustainable over long term and will lead to accumulation of unsustainable debt

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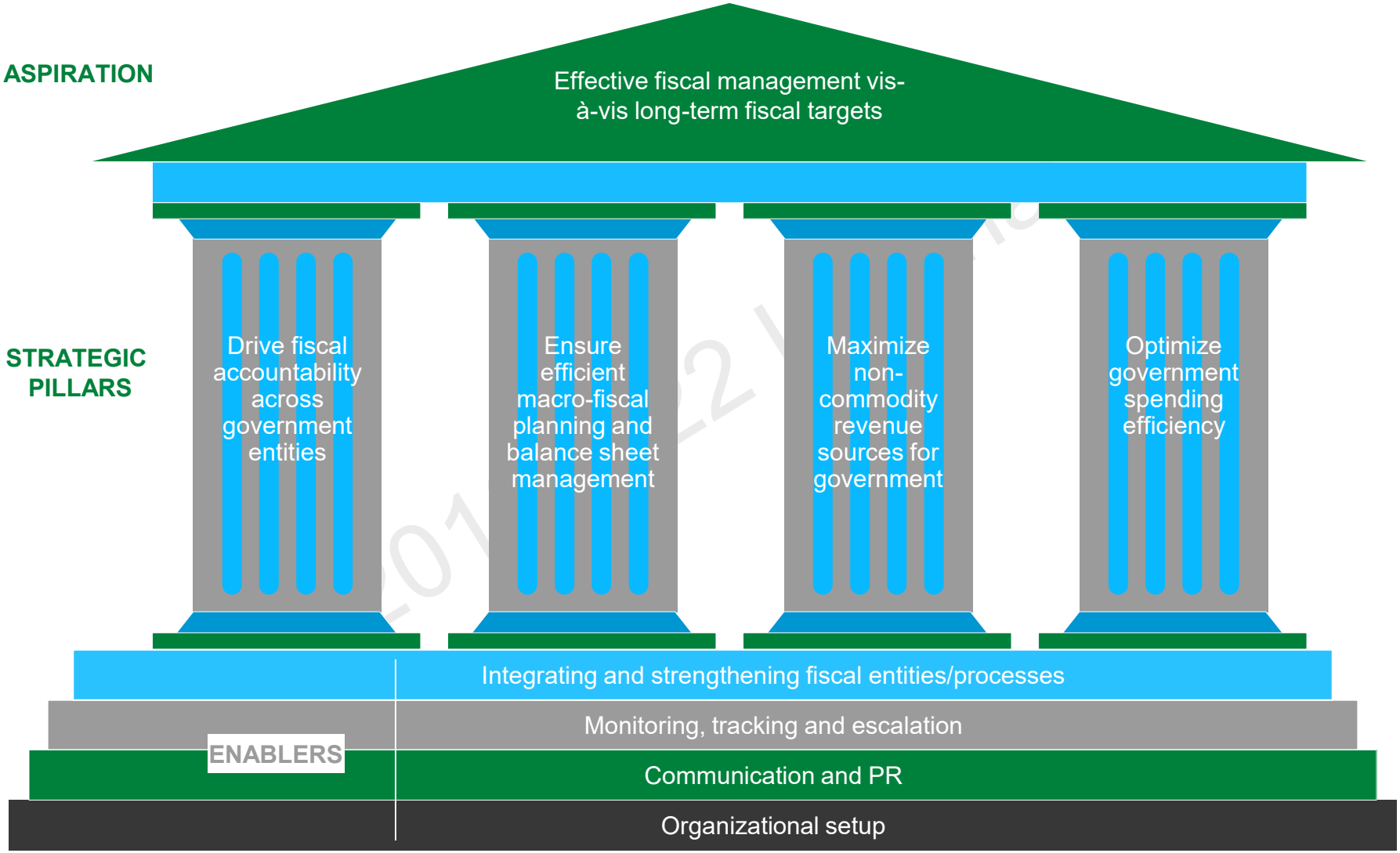
B An effect fiscal consolidation strategy should rely on four strategic pillars and four key enablers



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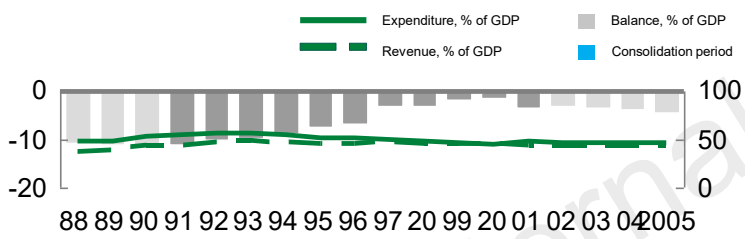
C

Italy introduced tax hikes to reign in its deficits and debt levels

Context

- **Public debt increased in 1994 to 120% of GDP**, over twice that of the EU-15
- **Consolidation was part of bigger reforms** which included decentralization of power towards regional governments

Fiscal balance, % of GDP



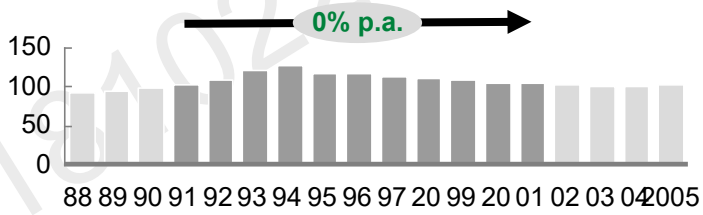
Credit rating prior to consolidation

Moody's	S&P	Fitch
-	-	-
No data	No data	No data

Program description

- **Planned length of program:** not stated (lasted for a decade, afterwards another program was needed)
- **Main Focus:** revenue increase
- **Planned improvement in fiscal balance:** 8 percentage points by 1997
- **Central government imposed expenditure** ceilings and limits to employment on the regions
- **Obtaining fiscal autonomy** improved the allocation and operational efficiency of regional government
- Currently Italy **is reversing trend of higher taxation** in order to better stimulate growth

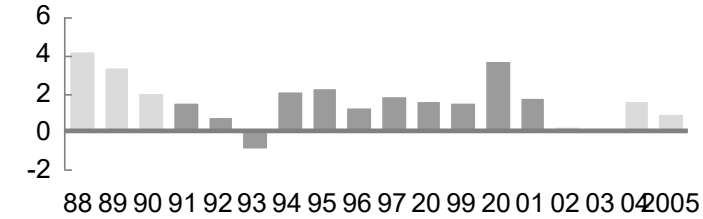
Public debt, % of GDP



Credit rating during consolidation

Moody's	S&P	Fitch
1996	1998	1998
Aa3	AA	AA-

Real GDP growth rate, % change



Credit rating after consolidation

Moody's	S&P	Fitch
2001	2003	2002
Aa3	AA	AA

2013102 internal

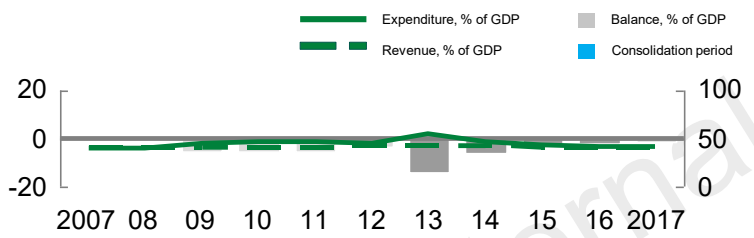
Source: IMF, Reuters, press search, Eikon Plus

C Slovenia's recovery was result of government expenditure reduction, prudent debt management, and revenue reforms

Context

- **Slovenia struggled to meet requirements of the EU Stability Pact** after previous boom
- **Labor productivity was lower than in EU counterparts, high debt (~80% in 2016)** were biggest issues
- **Large government sector** (largest employer, asset manager and debt holder) resulted in **weak corporate governance**

Fiscal balance, % of GDP



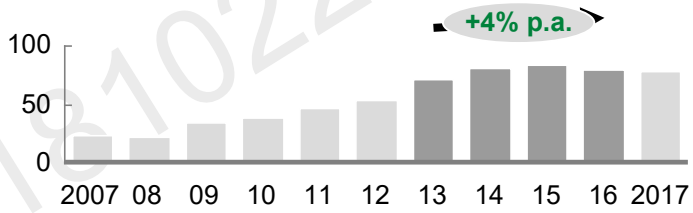
Credit rating prior to consolidation

Moody's	S&P	Fitch
2013	2013	2013
Baa2	A-	BBB+

Program description

- **Planned length of program:** until 2020, evaluated regularly by the EU
- **Main focus:** expenditure reduction, debt management and revenue reforms
- **Privatization began in 2013** – Slovenian Sovereign Holding helped improve the profitability of SOEs
- **Consolidation and restructuring of the banking sector** aimed to introduce more careful NPLs' management

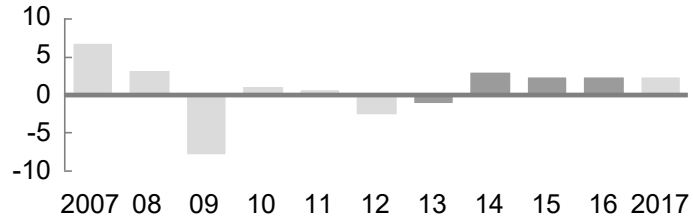
Public debt, % of GDP



Credit rating during consolidation

Moody's	S&P	Fitch
2015	2015	2015
Baa3	A-	BBB+

Real GDP growth rate, % change



Credit rating after consolidation

Moody's	S&P	Fitch
-	2017	-
No data	A+	No data

2018102 Internal

Source: IMF, Reuters, press search, Eikon Plus, OECD

C Long-term fiscal planning helped Jamaica stay on the right track after consolidation

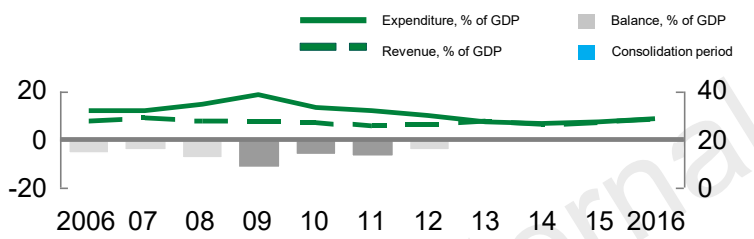
Context

- Jamaica had **growing debt and anemic economic growth** in the late 2000's
- A 3 years long stand-by with IMF (2009-2011) was later **boosted by a 4 – year Extended Fund Facility** (2013-2017)

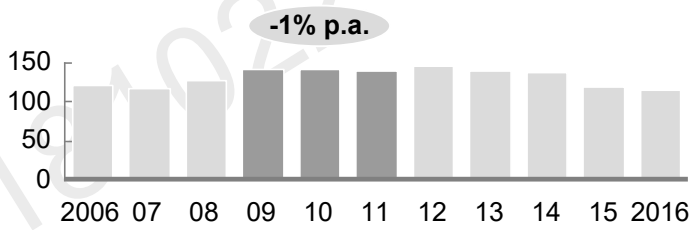
Program description

- **Planned length of program:** 3 years (2009-2011), with longer planning horizon
- **Main focus:** both expenditure and revenue reforms
- **Planned improvement:** debt-to-GDP ratio of 100% by 2020, 60% by 2026 (requires surpluses of 7% p.a., comparatively high and usually only achieved by oil producing countries)
- **Suppressing capital expenditures, rising taxes, reduction in wages** from 11 to 9% of GDP between 2012/13 to 2019/20
- **Buyback of the $US 3bn debt** owed under the Petrocaribe government is responsible for **an immediate reduction of debt by 10% of GDP**
- Hurricane Sandy interrupted the recovery in 2012

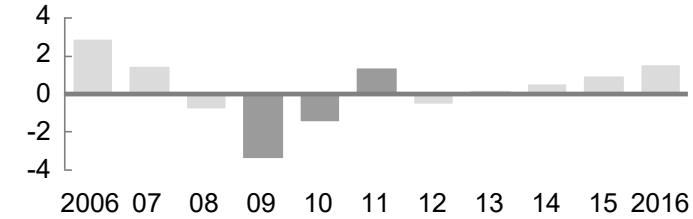
Fiscal balance, % of GDP



Public debt, % of GDP



Real GDP growth rate, % change



Credit rating prior to consolidation

Moody's 2009	S&P 2009	Fitch 2008
Caa1	CCC+	CCC

Credit rating during consolidation

Moody's	S&P	Fitch
-	-	-
No data	No data	No data

Credit rating after consolidation

Moody's 2014	S&P 2014	Fitch 2014
Caa3	B-	B-

Source: IMF, Reuters, press search, Eikon Plus

Fiscal policy – priority initiatives

NON-EXHAUSTIVE

Fiscal policy & public finance

	Objective	Owner[1]
FIS.1	Set-up and activate expenditure ceilings	▪ Ministry of Finance
FIS.2	Set-up medium term expenditure framework	▪ Ministry of Finance
FIS.3	Reduce government revenue leakages ★	▪ Ministry of Finance
FIS.4	Develop strategy for floating state-owned enterprises	▪ Ministry of Finance
FIS.5	Develop budget rationalization task force	▪ Ministry of Finance

20181022 Internal

We considered 5 priority initiatives related to the Vision's main fiscal policy requirements

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
Fiscal policy & public finance	Fis.1	Set-up and activate expenditure ceilings	After passing the first formal budget in 2018, the government should set up a suitable structure to ensure that the different ministries abide by the defined budget, mainly through: ▪ Seting-up a spending monitoring framework and ceiling per Ministry and ensure all government entities abide by the budget constraints imposed	▪ Ministry of Finance
	Fis.2	Set-up medium term expenditure framework	Lebanon has the third highest debt to GDP globally standing at ~150% of GDP. One of the pillars that countries with similar characteristics as Lebanon, that have managed to create sustainable economic growth, is to have fiscal discipline. As such the country should work towards putting debt level back on a downwards trajectory, mainly through: ▪ Developing & publishing medium term expenditure framework with strategy to reduce debt levels and guide the annual government budgeting procedure	▪ Ministry of Finance
	Fis.3	Reduce government revenue leakages	▪ Today, leakage in government revenues is significant with an overall tax effort (tax collected divided by theoretical tax capacity) standing at 42% compared to a global average of 70%. The government should detail out initiatives with timeline & owner, to formally reduce revenue leakages, gradually increasing the tax effort. As an example, sample initiatives include enforcing land border control, enforcing custom inspection and enforcing corporate and income tax reporting & collection	▪ Ministry of Finance
	Fis.4	Develop strategy for floating state-owned enterprises	▪ Privatisation of state-owned entreprises stimulates the growth of capital markets while at the same time offering a diversified source of government funding. The government should develop a strategy for the privatisation of state-owned enterprises with a clear rationale on which assets to keep and which to float/privatise	▪ Ministry of Finance
	Fis.5	Develop budget rationalization task force	▪ In order to contain the increase in government spending, a task force enforcing spending limits for operating expenditures based on benchmarks and analysis (e.g. water & electricity tariffs) could be set-up	▪ Ministry of Finance

2018 CEDRE Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

Economic Vision Outline

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   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
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   13. *Power and water*
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D. Institutional and policy enablers
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   2. *Ease of doing business*
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2018 1093 Internal

Disclaimer

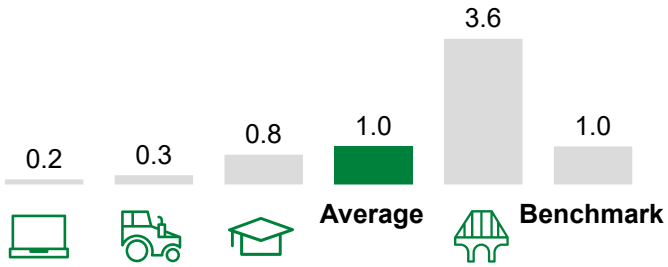
The legislative requirements have been assessed up to May 2018. Laws have been and continue to be passed beyond that date, necessitating a continuous updating and refresh of the legislative requirements and gap areas.

20181022 Internal

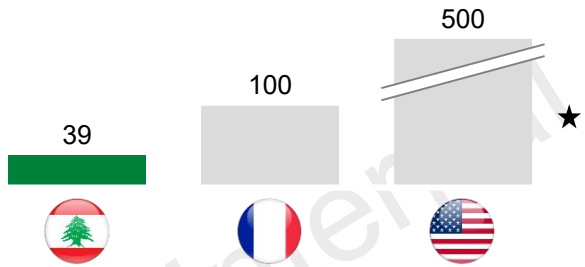
Lebanon's parliament lacks in terms of efficiency when compared to regional and global benchmarks

Parliament efficiency

Meetings of parliamentary committees
meetings per month, 2010-2017 average

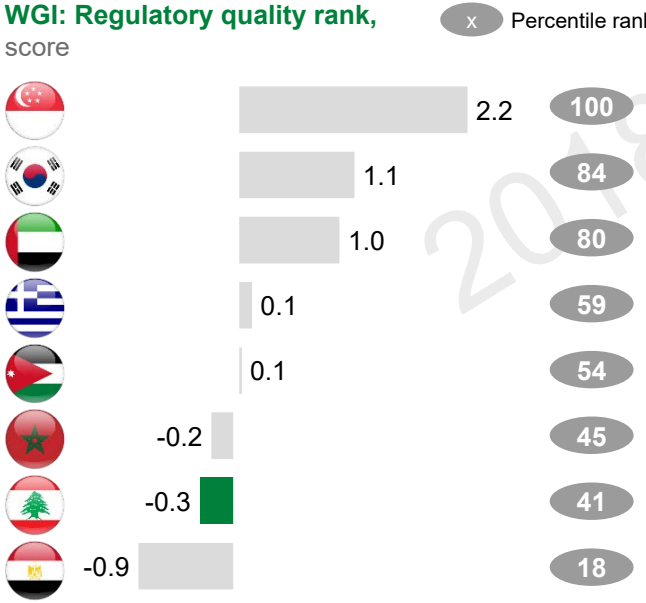


Number of laws passed
yearly laws passed, average



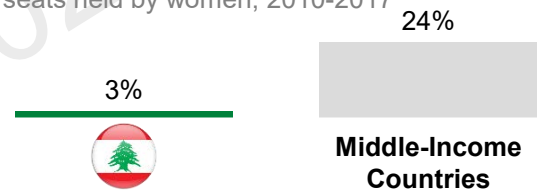
Parliamentary ranking

WGI: Regulatory quality rank, score

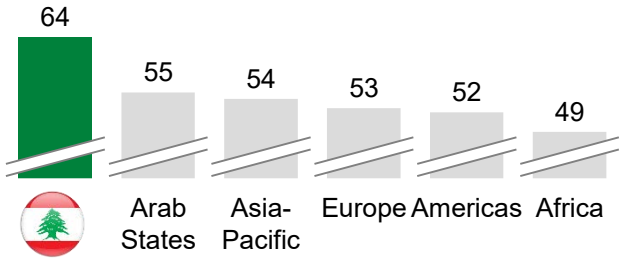


Parliament structure

Women participation in parliament
% seats held by women, 2010-2017



Age of parliament members
Average age, 2010-2017



Key highlights

- Frequency of parliamentary committees meetings is low when compared to benchmarks
  - 10 out of 16 committees meets less than once a month with 7 committees meeting less than once every two month
- Efficiency of parliament in terms of passing laws
  - In the 2009-2017 period (9 years), 352 laws were passed by the Lebanese parliament vs. ~400-500 laws during the 5-year presidential terms in France
- As such, Lebanon ranks low in terms of regulatory quality, ranking in the 40% percentile

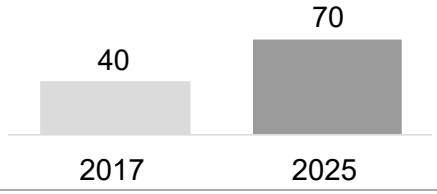
20181024 Internal

Source: WGI World Bank, Niyabatan Aani, Press Search, Parliementary Websites

In order to ensure a conducive business environment, several legislations need to be passed

2025 Target

WGI: Regulatory quality rank, percentile rank



List of legislations/ laws

1 Cross-cutting legislations for all sectors have been identified and classified in order of priority

Drafting stage | XX Number of years since submission of draft

Dates back to 1942

	Laws/regulation	
Critical priority	Code of commerce	5
High priority	Competition law	5
	Closing a business	5
	Judicial mediation	
	Bankruptcy law	
	Insolvency practitioner law	
	Secure lending	
Priority	Equity compensation law	
	Preferred shares	4
	E-signature law	6
	IP Law	

2 Sector specific legislations have also been identified to ensure conducive business environment

Sector	Number of laws/regulation
Agriculture	4
Industry	1
Tourism	4
Financial services	2
Knowledge economy	4
Others	4

20181022 Internal

Source: Interviews

1 General laws required for a conducive business environment

x Years in current stage

Law	Current stage of law	Description
G1. IP law	Not drafted	▪ Allows companies to register and own proprietary ideas and inventions
G2. Equity compensation	Being drafted	▪ Allows companies to grant stock options to employees
G3. Competition law 5		▪ Regulates anti-competitive practices (e.g., monopoly, collusion, exclusive dealing, misuse of patent, etc.) ★
G4. Closing a business 5		▪ Facilitates the process of closing a business (reduction of time and cost)
G5. Judicial mediation	Being reviewed by relevant Parliament Committee	▪ Speeds up court matters by allowing judges to send the proceeding directly to mediation
G6. Bankruptcy law		▪ Allows companies in distress to re-structure their debt
G7. Insolvency practitioner law		▪ Introduces right to license an insolvency practitioner to provide advise to business in distress
G8. E-signature law 6		▪ Grants legal recognition to e-signatures
G9. Code of commerce 5		▪ Modernizes the code of commerce for SAL, SARL and solo partnerships. Amendments include: Online creation of a company, soul partnership, suppressing minimum capital requirements
G10. Secure lending		▪ Facilitates access to capital through allowing loans on movable assets
G11. Preferred shares 4	Pending Parliament approval	▪ Allows non-financial companies to issue preferred shares

Overall 11 laws for ease of doing business are represented under initiative Leg.1.1

20181022 Internal

2 In addition, sectors need to be enabled through specific laws and regulations (1/4)

New
Amend/endorse
Enforce
More research is need to fully understand actions needed

Sector	Objective	Law/regulation	Action required	Description	Initiative number in the sector deep-dives
Tourism	Stimulate investments in the tourism sector	▪ Law 360		▪ Review incentive programs in the anchor destinations to attract investments ▪ Develop special incentive programs for eco-tourism to attract investments ▪ Activate IDAL's one-stop shop to ensure an easy process for obtaining licenses and permits	▪ Leg.2.3
	Extend gaming license	▪ Decree 6005		▪ Endorse decree 6005 which allows the extension of casino du Liban beyond the current facility in Maamelten ★ ▪ Amend regulations (if needed) to allow hotels and other facilities to obtain gaming licenses and build the Greater Beirut area as a gaming and entertainment hub	▪ Leg.2.1
	Enhance protection of the environment -1-	▪ Solid waste management law		▪ Approve solid waste management (SWM) draft law (sitting in the parliament since 2012) that sets up a SWM board, bans open dumping and burning of waste, and sets penalties for violations. ▪ Introduce and enforce regulations for littering in anchor destinations through the deployment of police force to monitor transgressions	▪ Leg.2.2
	Enhance protection of the environment -2-	▪ Waste water management law		▪ Update and enforce laws covering wastewater disposal, solid waste discharge, industrial wastewater discharge, and other water pollutants and ensure they are compliant with international standards	▪ Leg.2.2
Industry	Amend role of private sector in industrial parks / zones	▪ Ministerial Decree 1660		▪ Amend decree to allow formation of empowered "local committees" to oversee each industrial zone	▪ Leg.2.15
Retail	Encourage export of Lebanese brand names	▪ Franchise Law		▪ Allow the establishment of a legal and commercial relationship between the owner of an "exclusive name"[1] and someone who seeks to use that identification in a business	▪ Leg.2.14

1 Trademark, service mark, trade name, or advertising symbol

20181022 Internal

Source: Interviews

2 In addition, sectors need to be enabled through specific laws and regulations (2/4)

New
Amend/endorse
Enforce
More research is need to fully understand actions needed

Sector	Objective	Law/regulation	Action required	Description	Initiative number in the sector deep-dives
Health care	Incentivize hospitals to specialize	▪ Tariffs on hospitals		▪ Change current regulations on tariffs to incentivize hospitals to specialize instead of build new departments	▪ Leg.2.4
	Limit NSSF spend on drugs with available substitutes	▪ Pharmaceutical prescription regulatory framework		▪ Introduce/Enhance drug prescription regulations to reduce spend on patented drugs through creating transparency on ★ availability of generic/cheaper alternatives	▪ Leg.2.16
Agri-culture	Protect groundwater resource	▪ Water Law 221/2000		▪ Review and enforce regulatory framework for irrigation systems, including water rights *(e.g. private extraction of groundwater reserves / consumption of surface water)* ▪ Review and enforce governance model established in Water Law 221, including role of Regional Water Establishments	▪ Leg.2.11
	Increase transparency on food wholesale markets and distributions			▪ Assess opportunity to increase and enforce price transparency & fair pricing methods among wholesale food retailers and distributors	▪ Leg.2.12
	Regulate production and consumption of cannabis	▪ Regulatory framework for cannabis		▪ Develop a comprehensive regulatory framework for cannabis, covering the licensing & controls of production, processing, exports, local sales, consumption, etc., as well as governance and institutional mechanisms to implement	▪ Leg.2.10
	Re-direct tobacco subsidies towards more productive areas	▪ Tobacco Law		▪ Amend tobacco law to introduce a new (opt-in) alternative subsidy program, which may require new / separate governance structure *(note: alternatively, changes could occur through new law)*	▪ Leg.2.13

20181022 Final

Source: Interviews

2 In addition, sectors need to be enabled through specific laws and regulations (3/4)

New
Amend/endorse
Enforce
More research is need to fully understand actions needed

Sector	Objective	Law/regulation	Action required	Description	Initiative number in the sector deep-dives
Out-sourcing	Support the secure outsourcing of data to Lebanon	▪ Data protection & privacy Law		▪ Modernize the data protection law to make at par with best-practice (e.g. UK Data protection act 1998 DPA and France Law No. 2004-8021)	▪ Leg.2.5
Tech-nology	Support the development of E-Commerce	▪ Ecommerce Law		▪ Facilitate electronic transactions and personal information data transfers ★ ▪ *Law is drafted and currently in parliament*	▪ Leg.2.5
	Provide incentives for Knowledge firms	▪ Regulatory framework for virtual hub licencing		▪ Develop licensing requirements as well as incentive packages for "Knowledge-intensive" export-driven companies	▪ Leg.2.5
Financial services	Enable capital markets	▪ Capital market authority set-up law		▪ Establish a sanctioning committee and a financial markets tribunal	▪ Leg.2.9
	Enable growth of funds	▪ Private Equity fund law		▪ Allow the establishment of commercial entities best suited for firms offering PE & VC avenues (e.g. partner & limited partner structure)	▪ Leg.2.7

20181022 Internal

Source: Interviews

2 In addition, sectors need to be enabled through specific laws and regulations (4/4)

New
Amend/endorse
Enforce
More research is need to fully understand actions needed

Sector	Objective	Law/regulation	Action required	Description	Initiative number in the sector deep-dives
Creative industries	Amend Labour law for Creative Industries	▪ Labor law for creative industries		▪ Introduce amendments to the labour law through organizing dialogues with stakeholders to identify main reforms needed to address precarity of jobs in CC industries ★	▪ Leg.2.6
Other	Increase labor force participation and employment of women	▪ N/A		▪ Introduce amendments to the relevant legislation in order to enhance women participation in the labour force	▪ Leg.2.17

20181022 Internal

Source: Interviews

Legislative agenda – priority initiatives (1/2)

NON-EXHAUSTIVE

Legislative agenda

	Objective	Owner[1]
LEG.1.1	Enhance ease of doing business	▪ Parliament
LEG.2.1	Amend the regulatory framework to extend gaming licenses beyond Casino du Liban	▪ Parliament
LEG.2.2	Introduce, update, enforce laws to ensure environment standards are met as per international standards ★	▪ Parliament
LEG.2.3	Stimulate investments in the tourism sector (Law 360)	▪ Parliament
LEG.2.4	Incentivize the specialization of hospitals	▪ Parliament
LEG.2.5	Revise regulatory environment for Knowledge Economy activities	▪ Parliament
LEG.2.6	Amend Labor law for part timers including in Creative Industries	▪ Parliament
LEG.2.7	Revamp legislative environment for fund & asset management	▪ Parliament
LEG.2.8	Revamp legislative environment for digital banking & fintech	▪ Parliament
LEG.2.9	Complete set-up of capital markets authority	▪ Parliament

20181022 Internal

Legislative agenda – priority initiatives (2/2)

NON-EXHAUSTIVE

Legislative agenda

	Objective	Owner[1]
LEG.2.10	Initiate the development of a cannabis regulatory framework (if aligned with national policy)	▪ Parliament
LEG.2.11	Protect groundwater resource (Water Law 221/2000)	▪ Parliament
LEG.2.12	Increase transparency on food wholesale markets and distributions ★	▪ Parliament
LEG.2.13	Re-direct tobacco subsidies towards more productive areas	▪ Parliament
LEG.2.14	Encourage export of Lebanese brand names (Franchise law)	▪ Parliament
LEG.2.15	Resolve regulatory obstacles of industrial parks (e.g. amending Ministerial Decree 1660)	▪ Parliament
LEG.2.16	Develop a Pharmaceutical prescription regulatory framework	▪ Parliament
LEG.2.17	Increase labor force participation and employment of women to further ignite the economic growth	▪ Parliament

20181022 Internal

We considered 18 priority initiatives related to the country's legislative agenda (1/6)

NON-EXHAUSTIVE

Legislative agenda

	Objective	Initiative	Owner[1]
Leg.1.1	Enhance ease of doing business	▪ Doing business in Lebanon has been increasingly difficult in recent years. Lebanon has regressed in global ranks from 104 in 2012 to 133 in 2018. The government has identified a set of laws to enhance the business environment. However, 11 are still to be passed. The government should prioritize fully passing all 11 laws & regulations to enhance the overall ease of doing business environment.	▪ Parliament
Leg.2.1	Amend the regulatory framework to extend gaming licenses beyond Casino du Liban	As part of developping the Greater Beirut area as an anchor destination, globally renowned for city breaks, with world-class gaming and entertainment offerings, the gaming industry should be developped beyond the Casino du Liban. As such, the government could: ▪ Endorse decree 6005 which allows the extension of Casino du Liban beyond the current facility in Maamelten ▪ Amend regulations (if needed) to allow hotels and other facilities to obtain gaming licenses	▪ Parliament
Leg.2.2	Introduce, update, enforce laws to ensure environment standards are met as per international standards	To enhance the attaractiveness and appeal of anchor destinations, espacially for the sun & beach offering, the government should improve environment protection procedures & standards, through for example: ▪ Approving the solid waste management (SWM) draft law (sitting in the parliament since 2012) that sets up a SWM board, bans open dumping and burning of waste, while setting penalties for violations ▪ Introducing and enforcing regulations for littering in anchor destinations through the deployment of police force to monitor transgressions ▪ Updating and enforcing laws covering wastewater disposal, solid waste discharge, industrial wastewater discharge, and other water pollutants and ensure they are compliant with international standards	▪ Parliament
Leg.2.3	Stimulate investments in the tourism sector (Law 360)	In order to incentivize the construction of hotels in anchor destinations to cater for the prospective increase in the number of tourists, the government should review incentive programs to attract hotel investments, mainly through: ▪ Developing special incentive programs & packages tailored towards eco-tourism offerings to attract investments in the field ▪ Activate IDAL's one-stop shop to ensure an easy process for obtaining licenses and permits	▪ Parliament

2018 Mapp Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 18 priority initiatives related to the country's legislative agenda (2/6)

NON-EXHAUSTIVE

Legislative agenda *(Cont'd)*

	Objective	Initiative	Owner[1]
Leg.2.4	Incentivize the specialization of hospitals	Establishing a medical tourism hub requires the specialization of hospital. This could be achieved for example through: ▪ Changing the current regulations on tariffs that today incentivize hospitals to build new departments instead of specializing	▪ Parliament
Leg.2.5	Revise regulatory environment for Knowledge Economy activities	Today, the lack of several enablers inhibits the growth of Knowledge-intensive activities: mainly the lack of best-in-class IP law and the process for setting up a business especially for smaller companies and startups. As such the regulatory environment should be reviewed and brough up to "best-in-class" standards & global benchmarks. Key requirements include: ▪ Introducing a start-up friendly legal structure as per international standards (e.g. allowing stock options plans, reduce company incorporation set-up fees, revise regulation on voting, non-voting and preferred shares, revising the legal status for startups) ▪ Ensuring best-practice data protection law is in place (specifically for the outsourcing industry) ▪ Ensuring best in class IP protection & secured transactions laws are in place ▪ Ensuring e-commerce law is in place (specifically for the technology industry)	▪ Parliament
Leg.2.6	Amend Labor law for part timers including in Creative Industries	▪ In order to address precarity of jobs in creative & cultural industries, the government could introduce specific amendments to the labor law through organizing dialogues with key stakeholders in the field	▪ Parliament
Leg.2.7	Revamp legislative environment for fund & asset management	In order to ignite the growth of Private Equity & fund management activity (as part of increasing the penetration of non-banking financial services) the government should allow the establishment of commercial entities best suited for firms offering PE & VC avenues (e.g. partner & limited partner structure) mainly through: ▪ Passing the private equity investment law	▪ Parliament

2018-02 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 18 priority initiatives related to the country's legislative agenda (3/6)

NON-EXHAUSTIVE

Legislative agenda *(Cont'd)*

	Objective	Initiative	Owner[1]
Leg.2.8	Revamp legislative environment for digital banking & fintech	The financial sector witnesses a low digital banking penetration with 27% of adults having made a digital transaction vs. 60% benchmarks. Moreover, as part of the sector strategy, a center of excellence in Fintech should be set-up, capitalizing on the available talent, and Lebanon's prospective positioning as a technology hub. In order to support both aspects, the government should provide the required enabling regulatory and legal environment allowing for automation & digitization through for example: ▪ Developing a sandbox for banks to experiment with limited risk under the purview of the regulator (Bahrain is a best-in-class case example on that front) ▪ Passing the e-signature law	▪ Parliament ▪ BDL
Leg.2.9	Complete set-up of capital markets authority	Capital markets penetration is significantly lower than regional and global benchmarks (24% of GDP vs. 60% for regional benchmarks) There is a need to ignite the growth of capital markets; the Capital Markets Authority (CMA) being a key stakeholder, the government should complete the governance of the CMA through: ▪ Establishing a Sanctioning committee ▪ Establishing a capital markets court	▪ Parliament

2018 10 22 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 18 priority initiatives related to the country's legislative agenda (4/6)

NON-EXHAUSTIVE

Legislative agenda *(Cont'd)*

	Objective	Initiative	Owner[1]
Leg.2.10	Initiate the development of a cannabis regulatory framework (if aligned with national policy)	A key prerequisite to the development of a formal cannabis-based medical products industry is the development of a comprehensive regulatory framework which must cover many elements related cannabis, including but not limited to: ▪ Production: Growth of cannabis for medical products to be licensed, and subject to restrictions related to area of cultivation, quality standards, etc. License restrictions should be considered along a number of dimensions, including total cultivation area, number of players, volume of production, etc. ★ ▪ Processing: Producers of medical products to be separately licensed and governed, with close controls on supply chain (e.g. sourcing of raw materials, destination markets, etc.) – Licenses to specify the types of products permitted (e.g. oils, cannabinoids, etc.), but also allow for, and incentivize, product innovations (e.g. alternate delivery channels, combinations with food products, etc.) which will be an important driver of competitiveness in the global market ▪ Quality assurance: To enable exports, strict quality assurance efforts are needed, which may need to be separated from the other food-related quality assurance efforts ▪ Financing: Cannabis sector players may require dedicated financing schemes, as traditional providers of funding may be limited by legal / international restrictions ▪ Export infrastructure: Dedicated facilities (e.g. at the Port of Beirut) may be needed for inspection and processing of cannabis-based products ▪ Enforcement: Strict and effective controls will be needed to ensure that cultivation of cannabis occurs in line with the regulatory framework ▪ Taxation: Special taxation rules may be applied for cannabis growers and medical product producers, which may be used to fund the operationalization and enforcement of the cannabis regulatory framework Design of the regulatory framework for cannabis should be informed by similar recent efforts in Uruguay, Netherlands, Australia, Canada, Turkey, the United States (in select states, including California), as well as others	▪ Parliament

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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We considered 18 priority initiatives related to the country's legislative agenda (5/6)

NON-EXHAUSTIVE

Legislative agenda *(Cont'd)*

	Objective	Initiative	Owner[1]
Leg.2.11	Protect groundwater resource (Water Law 221/2000)	Given Lebanon's water stress levels and concerns about the long-term sustainability of agriculture in the face of increasing demand for water, and in order to sustain Lebanon's regional comparative advantage in water, the government should workd on several legislative changes related to water management and conservation, including: ▪ Reviewing and enforcing regulatory framework for irrigation systems, including water rights (e.g. private extraction of groundwater reserves / consumption of surface water) ★ ▪ Reviewing and enforcing the governance model established in Water Law 221, including role of Regional Water Establishments	▪ Parliament
Leg.2.12	Increase transparency on food wholesale markets and distributions	Lebanon's fragmented agricultural holdings (average holding size is 1.4 hectares per holding) and poor organization of farmers into cooperatives (according to MoA) has created market dynamics favouring wholesale markets and distributors over farmers. Market dynamics could be improved through: ▪ Assessing the opportunity to increase and enforce price transparency & fair pricing methods among wholesale agriculutural food retailers and distributors	▪ Parliament
Leg.2.13	Re-direct tobacco subsidies towards more productive areas	The tobacco subsidy program is costing the government ~40m USD per year with no significant economic contribution: Tobacco is a low-value crop, and market prices are lower than cost of its cultivation. At the same time, 45,000 people in rural areas depend (partially or fully) on tobacco cultivation for their livelihood. The government should ratify the legislation related to providing alternative options through: ▪ Amending the tobacco law to introduce a new (opt-in) alternative subsidy program, which may require new / separate governance structure (note: alternatively, changes could occur through new law)	▪ Parliament
Leg.2.14	Encourage export of Lebanese brand names (Franchise law)	▪ The government should pass the Franchise Law, allowing the establishment of a legal and commercial relationship between Franchisors and Franchisees	▪ Parliament

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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We considered 18 priority initiatives related to the country's legislative agenda (6/6)

NON-EXHAUSTIVE

Legislative agenda *(Cont'd)*

	Objective	Initiative	Owner[1]
Leg.2.15	Resolve regulatory obstacles of industrial parks (e.g. amending Ministerial Decree 1660)	Ministerial Decree 1660/ 1979 regulates the governance of industrial parks – including the mandate and authority of a private developer or operator. However, this decree requires certain amendments to empower private developers / operators to have a more significant role (under the supervision of the Ministry of Industry) ▪ Such an amendment is especially important to allow the creation of "one-stop-shop" coordination services, among others ★	▪ Parliament
Leg.2.16	Develop a Pharmaceutical prescription regulatory framework	One of the drivers behind NSSF's health insurance deficit is the expenditures on patented drugs instead of generic ones. ▪ Drug prescription regulations should be introduced/enhanced to reduce spend on patented drugs through creating transparency on availability of generic/cheaper alternatives	▪ Parliament
Leg.2.17	Increase labor force participation and employment of women to further ignite the economic growth	In 2009, labor force participation rate stood at ~49%, mainly driven by a low participation rate of women standing at 26%. Tapping into the inactive labor force can further drive economic growth. As such, the government should develop the required legislation supporting the entering of women into the labor force through: ▪ Conducting roundtable discussions with associations and representatives to understand the short-comings of the current regulatory framework as well as other factors affecting the participation of women in the labor force ▪ Short-listing ~5 initiatives to be launched to tackle the low labor force participation problem (e.g. Requiring part-time job employers to provide social security as well as benefits) ▪ Developing and passing the required legislation in parliament	▪ Parliament

2018 CEDRE Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

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2018 10 22 Internal

Several entities currently play a role in export promotion

MoET
Revise and develop new trade agreements

Ministry of Agriculture/ Industry
Develop the exportable products strategies

IDAL
Attract foreign investment into Lebanon

BdL & Kafalat
Enhance access to financing of producers

MoFA
Maintain network of embassies and diaspora ties

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Export promotion will require close collaboration across all relevant entities for optimal impact 1/2

ILLUSTRATIVE

1 MoET conducts trade analysis on global trade data to understand agricultural products imports globally and develops preliminary recommendation on profitable crops

2 MoA / MoI build on the MoET analysis to develop sector strategies prioritizing 5-10 products / crops for export

3 IDAL incentivizes foreign investments directed towards producing the prioritized products / crops stemming from the MoA/MoI sector strategy

4 BdL & Kafalat incentivizes financing to domestic manufacturers / farmers producing the prioritized products / crops

5 MoFA promotes Lebanese goods and services abroad through network of trade diplomats, ambassadors and consuls as well as diaspora

6 MoET reviews current trade agreements to ensure they cover the prioritized crops and develop new ones if required

7 MoFA assesses the requirements of the different markets, and matches to country produce in collaboration with MoI and MoA

Export promotion will require close collaboration across all relevant entities for optimal impact 2/2

PRELIMINARY

R = Responsible, A = Approver, S = Support, C = Consulted, I = Informed

Processes	MoA/MoI	IDAL	BdL/Kafalat	MoET	MoFA
Develop & continuously update the relevant sector strategy to determine the prioritized exportable products	R/A		★	C	C
Conduct global trade analysis to understand trends in product imports globally	A			R	S
Incentivize FDI into the production of **prioritized products** (Develop packages)	A	R			S
Incentivize access to finance of producers of the **prioritized products** (Develop packages)	A		R		S
Revise the **current trade agreements**	C			R/A	C
Develop new trade agreements to cater for the strategies developed by the relevant ministries	C			R/A	C
Develop & revise the network of trade diplomats to cater for the strategies developed by the relevant ministries	C			C	R/A
Promote Lebanese goods & services abroad through network of trade diplomats, ambassadors, consuls and diaspora	C			C	R
Leverage trade diplomats to assess the product requirements in target countries and revise offering	A			S/C	R

20181022 Internal

Export promotion & country branding – priority initiatives

NON-EXHAUSTIVE

		Objective	Owner[1]
A Export promotion	EXP.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	▪ Office of PCM
	EXP.A.2	Expand export promotion	▪ TBD
B Country branding	EXP.B.1	Establish the country brand and manage the perceived instability in the country	▪ MoFA

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1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 3 priority initiatives to enhance Lebanon's country branding and export promotion (1/2)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
A Export promotion	Exp.A.1	Centralize & consolidate export-support activities (e.g. within IDAL or new entity)	The export promotion ecosystem is fragmented with no clear roles and responsibilities (as well as overall) for each of the different entities envolved (MoFA, MoET, IDAL...). The government should as such clarify roles of all stakeholders with respect to export promotion: ▪ MoA / MoI: Develop strategies for Agricuture / Industry sectors, prioritizing key subsectors and crops with high potential for growth given comparative advantages and strategic focus ▪ Council of Ministers: Set policy guidelines for collaborative requirements with selected countries ▪ MoET: Ratify bilateral and multilateral trade agreements in line with Council of Ministers policy guidelines, optimizing for MoA / MoI sector strategies ▪ IDAL: Attract foreign investors for selected focus areas following MoA / MoI strategies. Investments to take into consideration export potential following existing bilateral / multilateral agreements ▪ MoFA: Promote Lebanese goods and services abroad through network of trade diplomats, embassadors and consuls. Assess requirements of the different markets, and match to country produce in collaboration with MoI and MoA. MoFA to leverage diaspora in access to markets	▪ Office of PCM
	Exp.A.2	Expand export promotion	Following the emphasis on export-driven productive sectors, a large share of growth in the agriculture and industry sectors will need to be export-driven, which requires strengthening export promotion activities, including: ▪ Participation in international fairs ▪ Marketing and promotion of Lebanon's brand as a producer of high-quality industrial and agricultural products ▪ Proactively identifying market opportunities (e.g. based on analysis of import and consumption trends) ▪ Engaging with embassies and diaspora in a systematic, organized, and proactive manner *Note: export development activities are covered separately* *Note: export promotion activities, which are currently performed by IDAL and multiple ministries, should be better organized to avoid duplication of efforts.* *Note: trade policy – including the establishment of new trade agreements – should be closely informed by export promotion activities, including the identification of market opportunities*	▪ TBD

2016/1022 Internal

1 Suggested owner. Most initiatives will require close collaboration with other public and private entities.

We considered 3 priority initiatives to enhance Lebanon's country branding and export promotion (2/2)

NON-EXHAUSTIVE

		Objective	Initiative	Owner[1]
B Country branding	Exp.B.1	Establish the country brand and manage the perceived instability in the country	The government should pro-actively manage the country's perception in the eyes of global media outlets as well as other governments through for example: ▪ Collaborating with interior state departments of target source countries (for both tourism and financial services) to tailor their warning messages associated with visits to Lebanon ▪ Establishing the "Lebanon brand" in harmony with Vision objectives and priority sectors, enhancing Lebanon's image internationally ▪ Signing MoUs with regulators and key financial sector custodians in key markets that are relevant for the vision and the sector plays (especially the financial hub play)	▪ MoFA

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2018 10 22 Internal

Governments have set up performance management & delivery units to act as “third line of defence”

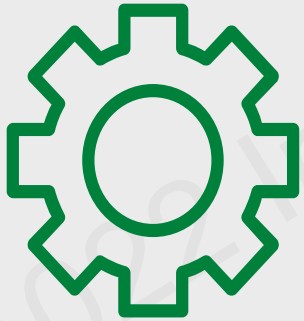
Historical structure Recent trend

Public sector performance management’s three lines of defence

Parliament

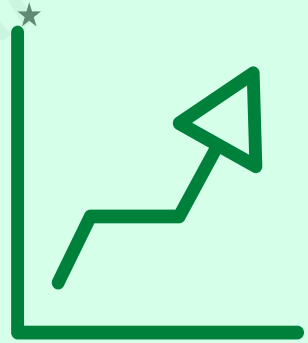
Examine and challenge the work of the government

Ministry PMO



Follow up on Independent project management function within each ministry

Performance management & delivery unit



Provide support & conduct performance management on cross-cutting government delivery programs

20181022 Internal

Establishing a performance management and delivery unit (PMDU) in Lebanon should follow a set of principles

WORK IN HARMONY	The follow-up structure should ensure **coordination** between and within the executive and legislative bodies to operate on the same goals and drive an **inter-ministerial delivery**
BE EMPOWERED	The follow-up team and the **head** of the authority should be **empowered,** through adequate tools and level of authority, with a **direct reporting link to decision makers** (country's top leadership)
BUILD AN AGILE WORKING ENVIRONMENT	Delivery **coordination** should take place **centrally**, while the relevant Ministries would be responsible for **execution** in collaboration with the relevant regional authorities (e.g. Municipalities) through the formation of **task forces**. At the same time, **agility** should be maintained to adapt and deploy resources on most pressing topics
CREATE TRANSPARENCY	**Transparency** should be created during the Vision follow-up phase through **publishing of** progress updates and **reports**
ATTRACT TOP TALENT	**Meritocracy** and independence should be maintained in driving the technical agenda of the Vision implementation, while ensuring consensus and political coverage

20190122 Internal

The unit should have a well-defined role across three key dimensions: planning, oversight, and operations

Planning	Oversight	Operations
No input	No oversight	No operational role
Financial guidelines / controls	Indirect oversight *(report-based)*	Escalation of risks & bottlenecks
Strategic guidelines	Formal governance *(e.g. via committee)*	Stakeholder coordination
Strategic planning	Accountability over implementation	Capability-building & technical support
Operational planning		Ownership of operational elements

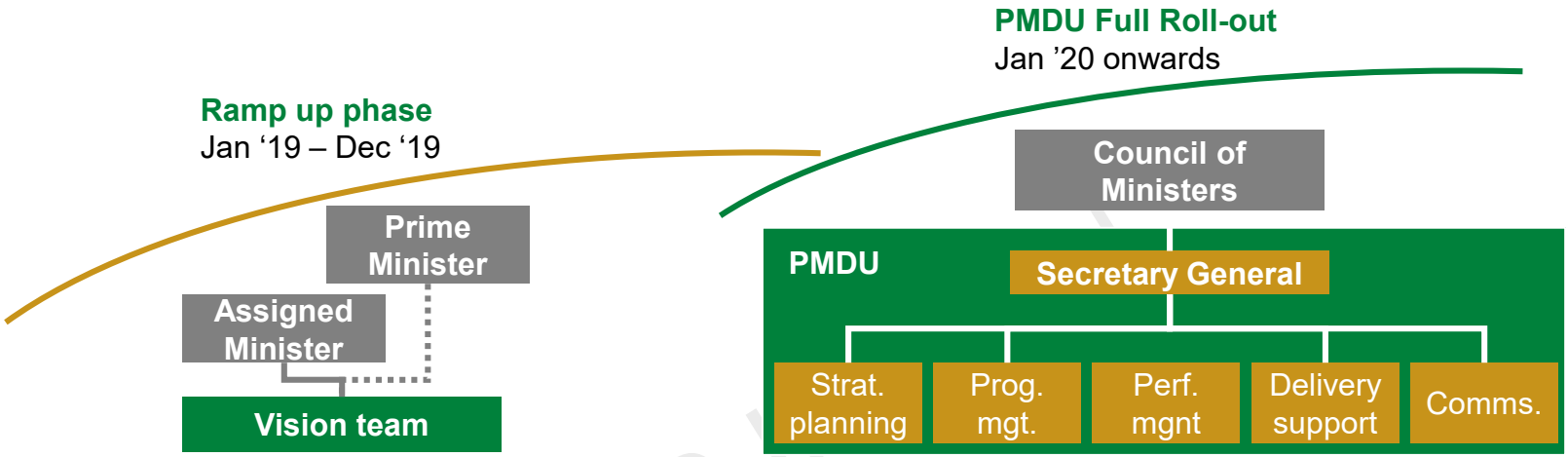
Level of involvement

Recommended for Lebanon

New entity should:

- Provide **strategic plans** with high-level initiative charters, without developing a full implementation roadmap for each initiative
- Maintain **close oversight** over implementation through formal membership in governance structure of initiatives and **active monitoring & reporting**
- Resolve bottlenecks through **coordination efforts** *(including with external / private players)* without being actively involved in supporting operations *(e.g. through capability building or technical support)*

Until the full institutionalization mechanism is set up, a Vision team would handle the ramp up phase



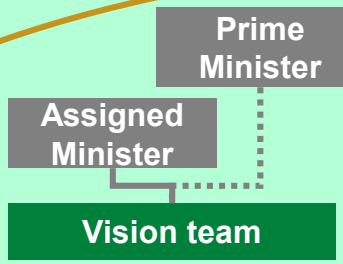
Description	▪ **Vision team incubated within an existing Ministry** – Headed by an assigned minister – Providing regular reports to the Prime Minister ▪ **Vision team covers all economic topics and initiatives, having PMDU-related functions including:** – Strategic Economic Planning – Program Management – Performance Management – Delivery Support – Communication	▪ **Performance Management and Delivery Unit (PMDU) acts as a standalone authority with constitutional legitimacy** – Parliament passes law establishing the unit – The Council of Ministers provides the Secretary General with a term mandate (e.g. 5 years) ▪ **PMDU covers Economic, Social and Environmental topics and initiative** – Strategic economic, social and environmental planning – Program management – Performance management – Delivery support – Communication
Required resources	▪ **10** FTEs	▪ **20** FTEs ▪ **1** Secretary General

20181022

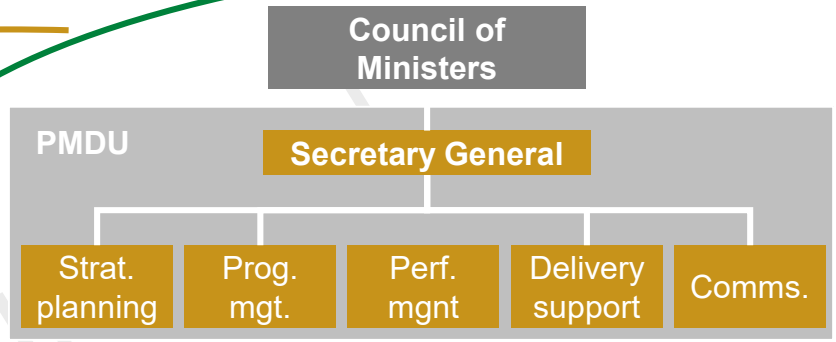
The interim Vision team

Detailed Next

Ramp up phase
Jan '19 – Dec '19



PMDU Full Roll-out
Jan '20 onwards



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Required resources	▪ **10** FTEs	▪ **20** FTEs ▪ **1** Secretary General

The interim Vision team would be headed by a Minister appointed by the Council of Ministers

	President to select minister	Ministry to set-up the interim team	Interim Vision team to be hired	Launch of the team
Description	The **Council of Ministers** assigns a Minister to support the Vision team and incubate it within his/her Ministry	**The ministry** is to **develop the processes** and to **set-up the structure** of the interim Vision team (with the support of an external 3rd party)	The **Vision team** is **to be hired** according to the structure put in place. The **job offerings** should **offer attractive compensation** and benefits for best-in-class talent	

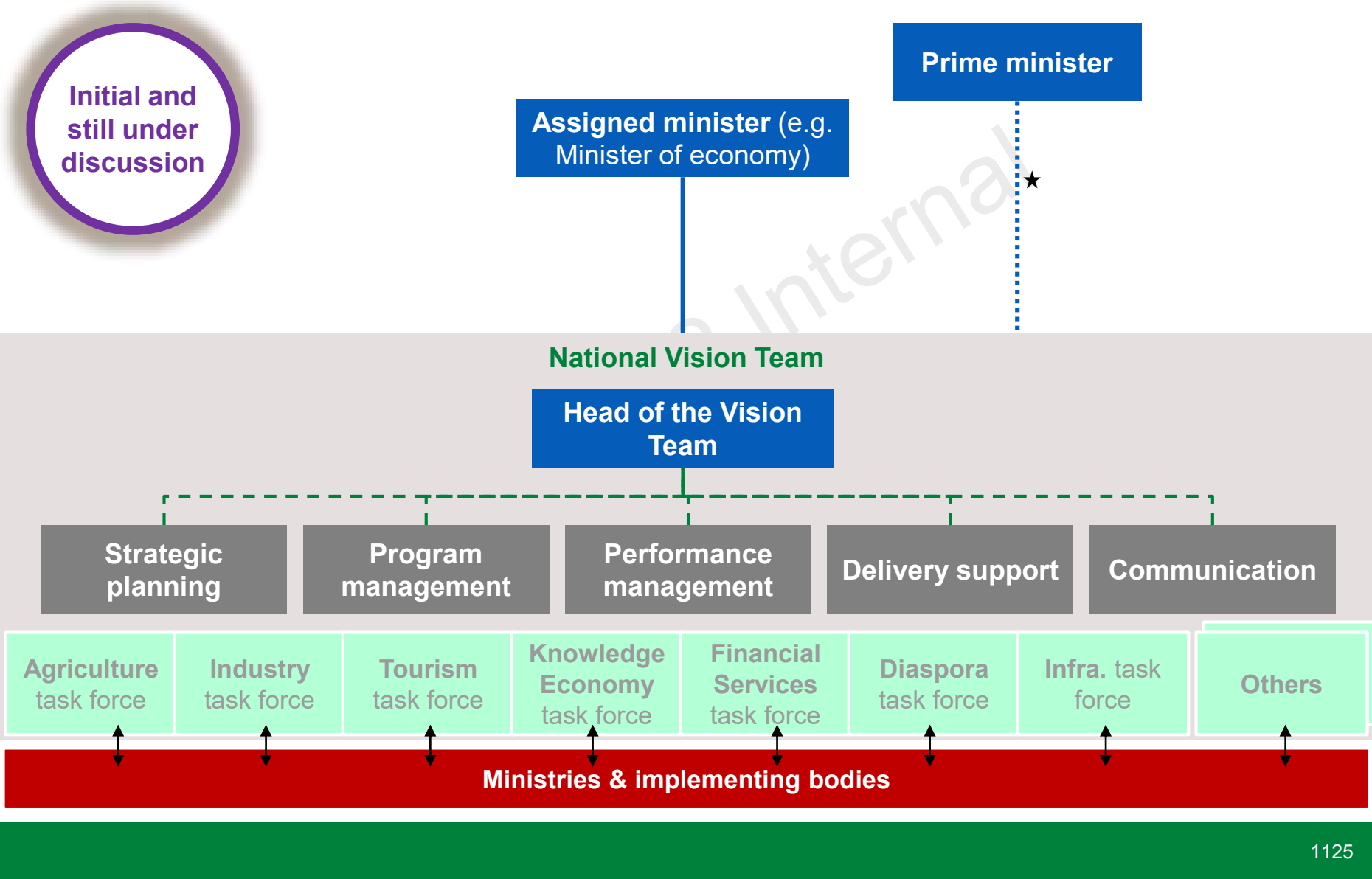
The interim Vision team should conduct nine key functions during its 12 month mandate

	Task	Timeline
General responsibilities	▪ **Recruit & train** the interim economic team	▪ 31 Dec 2018
Strategic planning	▪ **Develop (revise)** the proposed **prioritization mechanism**	▪ 31 Feb 2019
	▪ **Revise and detail out** the proposed list of **initiatives** ★	▪ 31 Feb 2019
	▪ **Prioritize the set of initiatives** to be launched in the first year of the implementation	▪ 15 Mar 2019
	▪ **Allocate the prioritized initiatives** to the different task forces	▪ 15 Mar 2019
Program management	▪ **Design, set-up & launch the different task forces** that will own the various initiatives of the Vision	▪ 31 Jan 2019
	▪ **Support the different task forces in detailing out the prioritized initiatives** into full-fledged implementation plans (developing 3-foot plans), through meetings, workshops etc…	▪ 31 Aug 2019
Performance management	▪ **Initiate the compilation of the different KPIs** put in place and start regularly collecting these metrics from the relevant authorities for continuous monitoring	▪ 30 Jun 2019
	▪ **Issue quarterly reports on the progress of the Vision**, mainly the progress on activating the task forces and developing the detailed implementation plans	▪ 30 Jun 2019

In parallel, the interim economic team should support in the drafting of the law related to the institutionalization of the mechanism and the formation of the PDMU: initiative PUB.F.1

Confidential - Internal

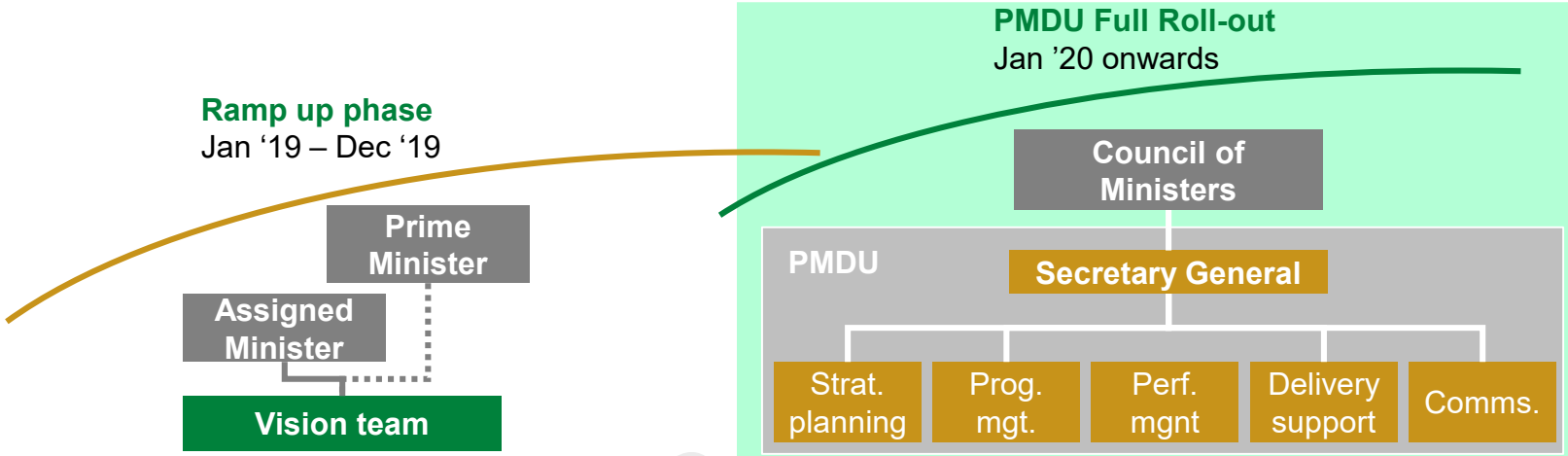
Governance of the interim Vision team



Internal

The Performance Management & Delivery Unit (PMDU)

Detailed Next



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Required resources	▪ **10** FTEs	▪ **20** FTEs ▪ **1** Secretary General

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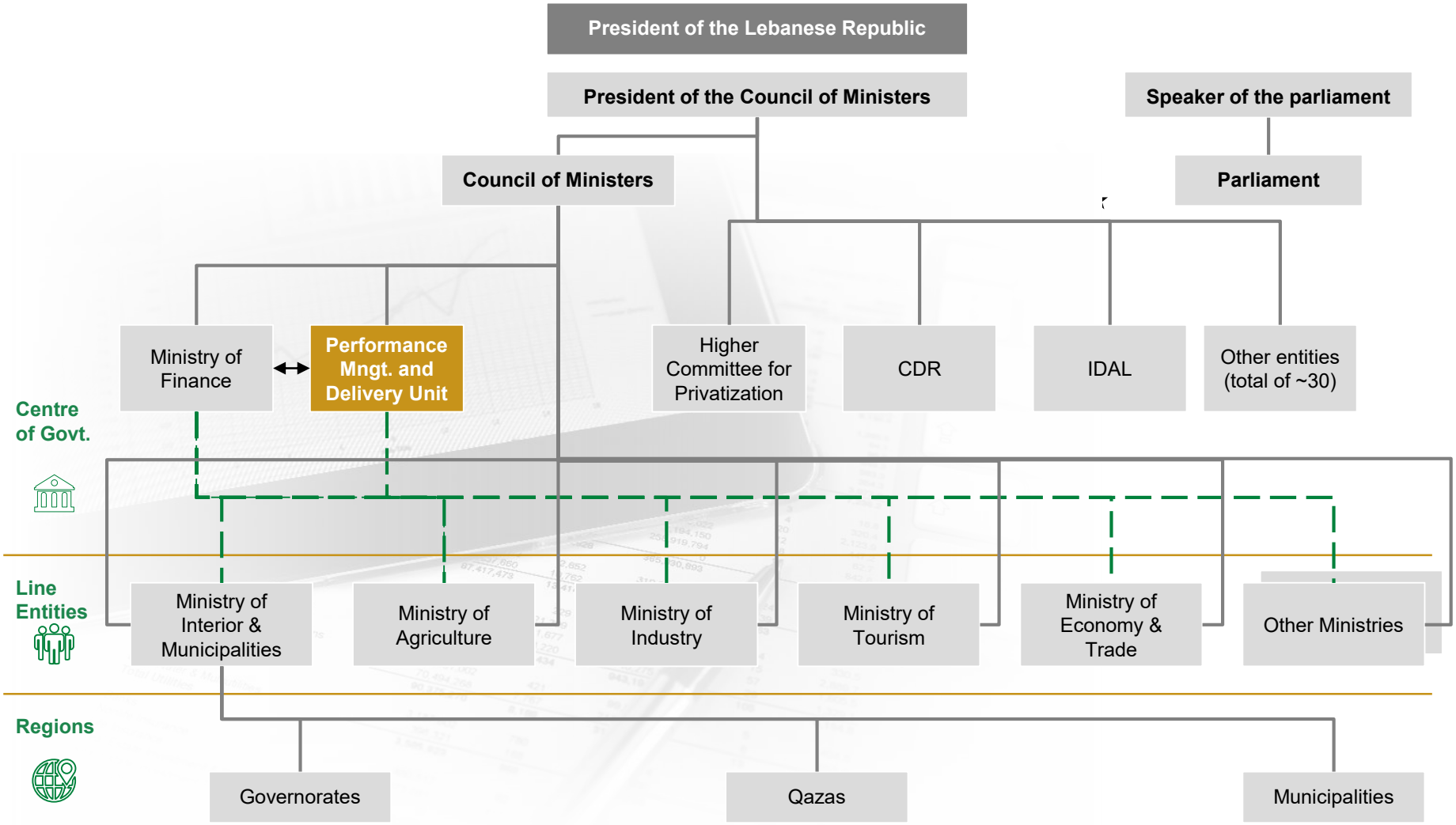
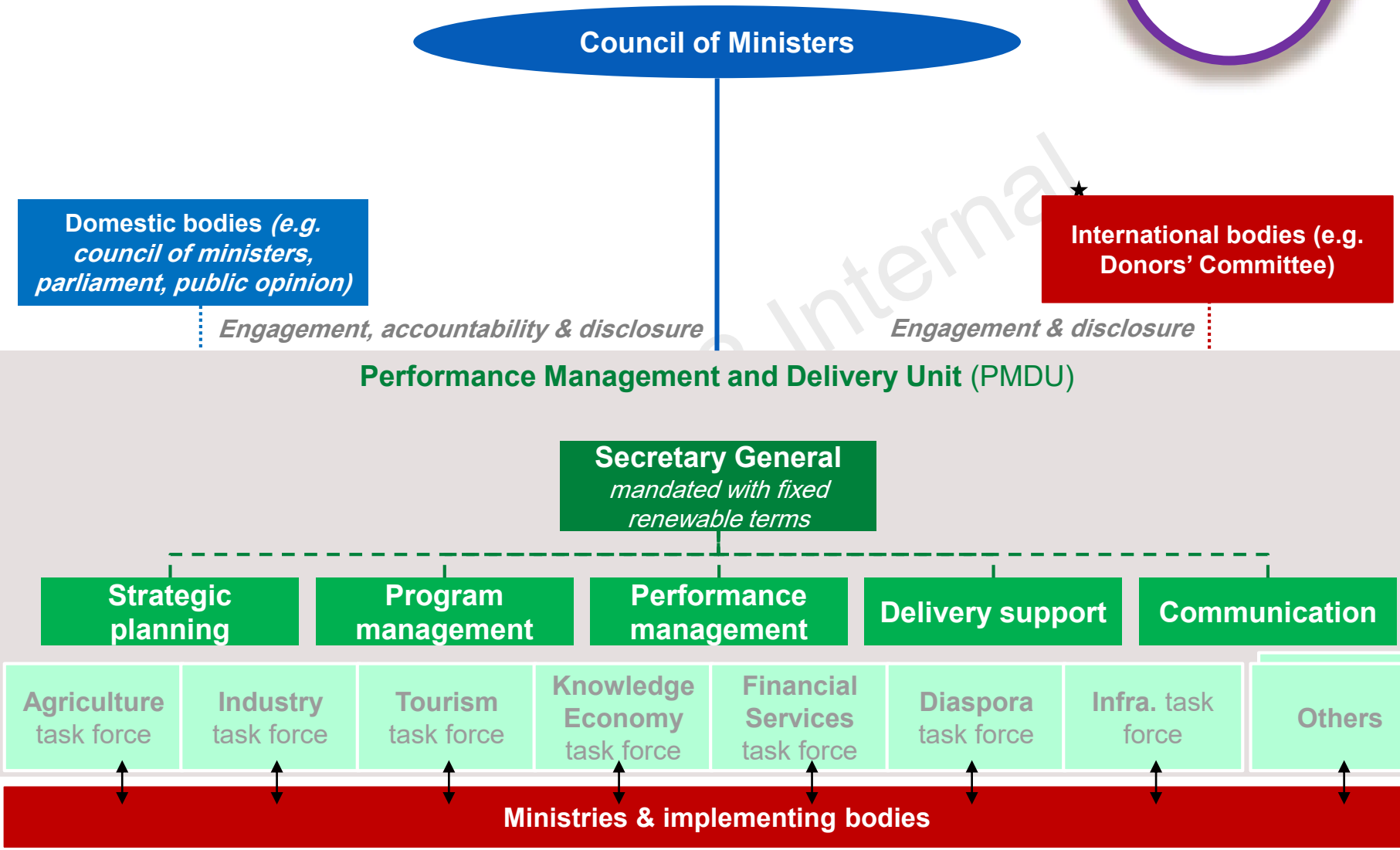
The PMDU should be and independent & self-standing authority to coordinate the Vision delivery with all relevant stakeholders



1 Performance management and delivery unit

The PMDU would report to the Council of Minister and be headed by an appointed Secretary General

Initial and still under discussion



Internal

Institutionalization mechanism: Roles and responsibilities

1 Council of Ministers

The Council of Ministers will oversee the progress of execution, taking necessary measures to enforce accountability and ensure timely execution by all relevant stakeholders. Key members include:

- President of the Lebanese Republic
- President of the Council of Ministers
- Deputy President of the Council of Ministers
- Minister of Finance
- Minister of Economy and Trade
- Minister of Foreign Affairs and Emigrants

2 Performance Management and Delivery Unit

Leads the coordination for the follow-up planning and execution phases. Reports to the Council of Ministers and has several responsibilities:

- **Strategic planning** including reconciliation of Programs stemming from the Vision with the medium term and annual budgets, as well as developing social and environmental strategies
- **Program management** including tracking the progress on large projects and ensuring proper coordination between all stakeholders involved in execution, including debottlenecking issues and coordinating with supporting entities
- **Performance management** through monitoring key performance indicators stemming from the Vision and issuing public reports on a regular basis. The reports would become the basis for accountability, consequence management and transparency with the public
- **Delivery support** for execution entities to de-bottleneck issues and provide the necessary expertise
- **Communication & public relations** including dialogue with the local and global community

3 Task forces

Responsible and accounting for the implementation of the respective sector's agenda. Includes representatives from all relevant implementation stakeholders *(e.g. ministries)* as well as a representative from the PMDU who serves as secretariat. Operating model *(e.g. meeting frequency)* to be set by each committee.

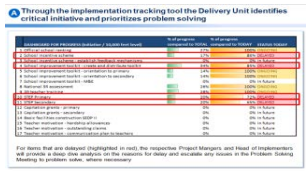
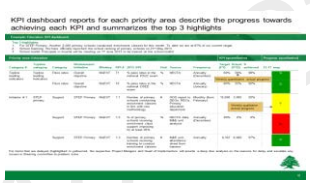
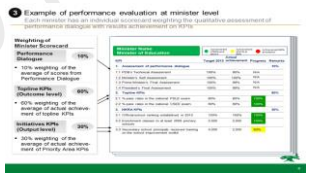
2018 1129 Internal

2 The PMDU should be organized along 5 key functions

Unit	Objective		Responsibilities
Strategic planning unit	Supporting ministries in developing and approving sector strategies	1	Coordinating review & refinement of planned initiatives by ministries & implementation bodies
		2	Assessing projects *(e.g. on economic & social impact, feasibility, etc.)* to determine prioritization
		3	Defining implementation agenda & schedule (project phasing, including start & end dates)
		4	Determining budget recommendations & coordinating fund delivery (in coordination with Ministry of Finance)
		5	Defining project objectives & KPIs (in coordination with Performance Management Unit)
		6	Developing & refining list of projects with ministries(based on changes in national priorities)
Program management unit	Overseeing implementation of all vision-related programs	1	Coordinating all sector committee activities (including formation, meeting scheduling & agenda, etc.)
		2	Forming detailed implementation roadmaps for each project (in coordination with committee)
		3	Overseeing progress for all sector initiatives (at a granular, day-to-day level)
		4	Identifying risks & bottlenecks for each project (including regulatory, technical, coordination issues)
		5	Facilitating coordination among different players (incl. external / private players) to resolve bottlenecks
Performance management unit	Tracking and consolidating performance and outcomes	1	Systematically collecting and quantifying information on project progress (through program management unit) across multiple dimensions, including milestone completion, spending (e.g. vs. budget estimates), etc.
		2	Working with relevant stakeholders & external entities (e.g. CAS) to assess project impact (based on quantitative project KPIs)
		3	Aggregating & analysing data to generate impact projections, budget implications, etc.
Delivery Support	Supporting government entities in debottlenecking issues	1	Assessing capabilities of government entities in implementing their respective initiatives
		2	Forming specialized teams on topics where capability gap areas exist (e.g. digital)
		3	Supporting government entities in their day-to-day implementation of initiatives and required coordination
Marketing & public relations unit	Developing image and brand recognition for the vision and its projects	1	Developing and implementing a marketing & PR strategy to promote economic vision, with the ultimate goal of securing public endorsement of the vision
		2	Publishing reports on vision objectives, progress and achievements
		3	Engaging with the press & civil society, as well as the general public (e.g. through social media)

2018 Draft

2 A set of tools would support the activities of the Authority across its five key functions (1/2)

	Relevant tools		What is it?	When is it used?
Strategic planning	1 **Initiative charter & implement plan**		▪ **Charter defining initiative** owner, goals, objectives, KPIs & timeline to be signed	▪ **At the launch of the implementation** of any initiative; updated to reflect changes
Program management	2 **Imple-mentation tracking tool**		▪ Tool to **monitor** the actual **implementation** of all activities described in the **plans**	★ ▪ During **status update meetings** and during **PSM**[1] to report progress and identify bottlenecks
Performance management	3 **Initiatives KPI dashboard**		▪ Tool to monitor the **progress of initiatives KPIs compared to targets**	▪ As basis to develop **weekly progress report** ▪ Presented during **steering committees**
	4 **Ministry KPI dashboard**		▪ **Dashboard listing all KPIs** relevant to specific **ministries**	▪ As basis to develop **weekly progress report** ▪ Presented during **steering committees**
Delivery support	5 **Delivery assess-ment tool**		▪ Tool used to **unearth barriers to progress** and risks to delivery across sub-initiatives	▪ During **status update meetings** and during **PSM**[1] to report progress and identify bottlenecks

Internal

1 Problem solving meetings

2 A set of tools would support the activities of the Authority across its five key functions (2/2)

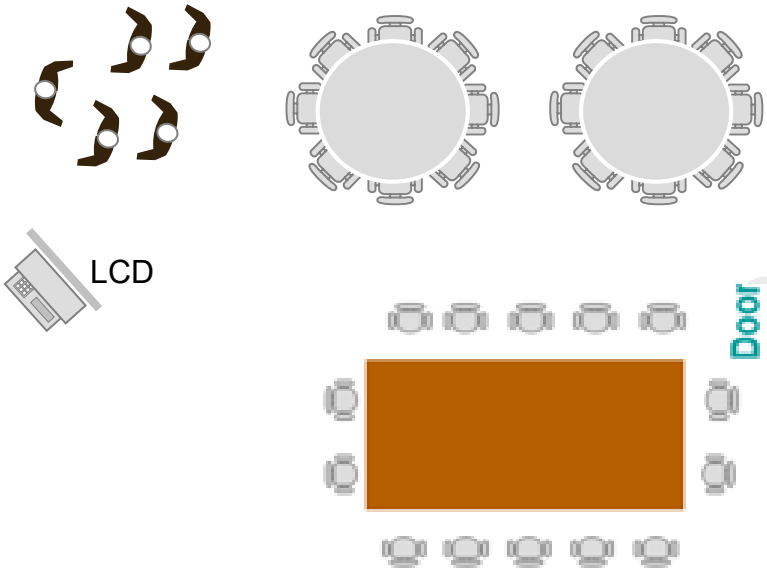
	Relevant tools		What is it?	When is it used?
Communication	6 Social media sentiment analysis		▪ **Social media analysis tools** e.g. Word cloud, trending keywords…	▪ **Periodically to assess** and understand **people's views** and response to Vision progress
	7 Published progress report		▪ **Report published to the public** summarizing progress & key achievements	★ ▪ **Monthly or annual report** published to the public for transparency on vision progress

20181022 Internal

2 An effective unit will require a physical office and a visual war room for proper functioning

Example of actual war room

Performance management dashboards



Program management dashboards

2 To ensure transparency and accountability, five types of reports should be regularly updated and circulated

PRELIMINARY AND NOT COMPREHENSIVE

Report	Frequency	Responsible…	Shared with…	Coverage	Content
Initiative charter / report	Monthly	Sector manager (on behalf of committee)	▪ Secretary general ▪ Performance management unit	Single initiative	Update on progress (status of activities), KPIs, etc.
Sector performance reports	Quarterly	Sector manager (on behalf of sector committee)	▪ Council of Ministers	Single sector committee ★	Overview of sector progress & performance, key risks & bottlenecks, etc.
Vision progress brief	Quarterly	Marketing & public relations unit *In coordination with performance management unit*	▪ Public	Comprehensive *Emphasis on sectors with high activity*	Update on overall vision program, including status of all sectors / initiatives *Emphasis on highlighting progress & achievements*
Vision realization annual report	Annual	Secretary General *In coordination with all Economic Dev. Authority units*	▪ Council of Ministers ▪ Public	Comprehensive / economy-wide *Emphasis on priority economic sectors*	Comprehensive
Economic Dev. Authority annual plan	Annual	Secretary General *In coordination with all Economic Dev. Authority units*	▪ Council of Ministers	Comprehensive	Detailed annual plan of ESEDA activities and priorities

20181022 Internal

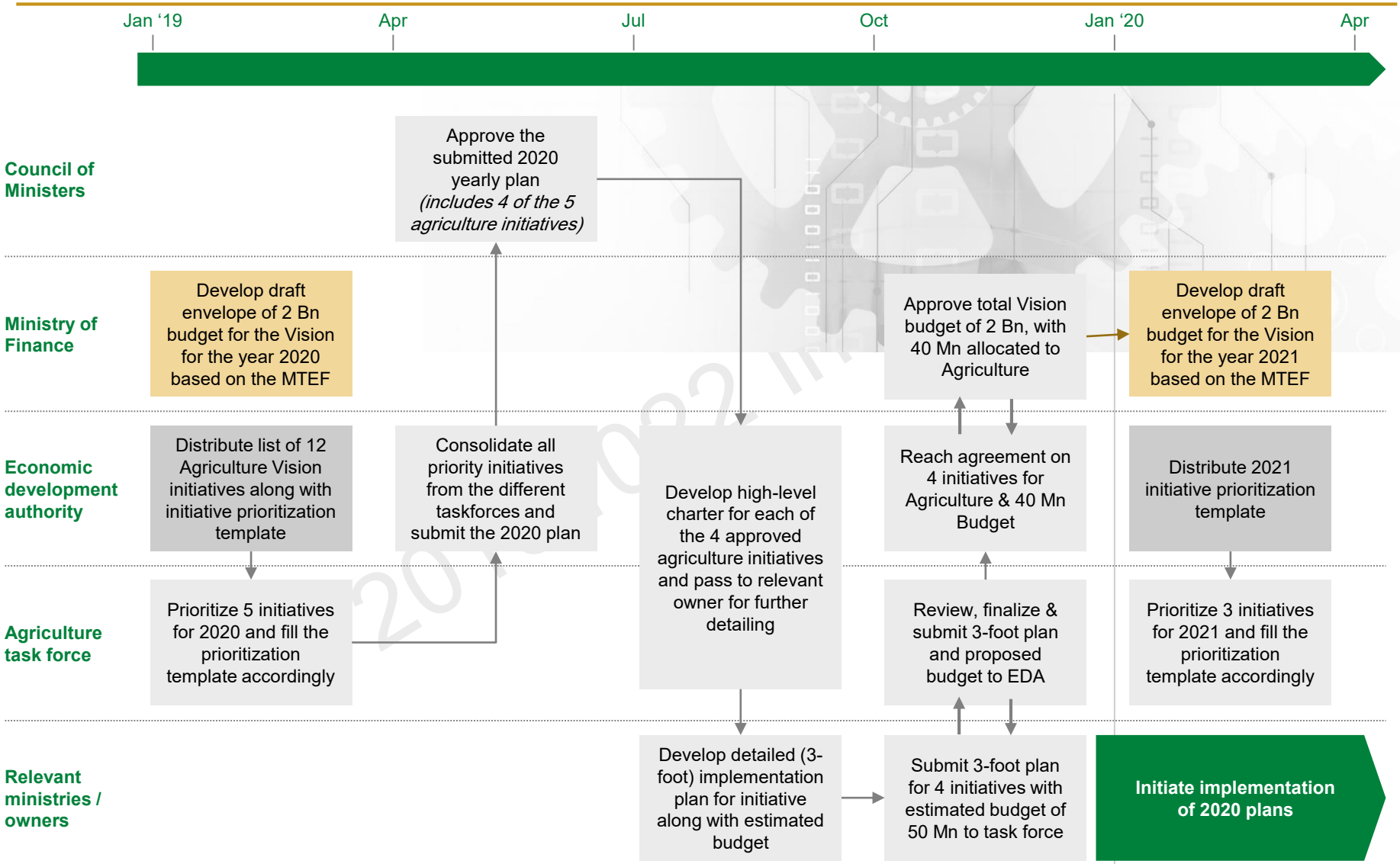
2 As part of its strategic planning function, the Unit should further detail the draft initiatives into full-fledged implementation plans

ILLUSTRATIVE

	Initiative Agr.C.1: Crop Transformation	Initiative Charter	Detailed 3-foot plan	Implementation phase
Description	One of 160 initiatives from the Lebanon Vision (e.g. Agr.C.1: Develop a crop transformation strategy)	Detailed initiative charter including approximate budget (e.g. 50 USD Mn), strategic objectives, high-level timeline etc.	Detailed day-to-day list of activities required to deliver initiative	
Additional input required to move to next phase	▪ Micro-climate map of Lebanon ▪ Soil testing results per area ▪ Crop demand in export markets	▪ Budget allocated to Agriculture as part of overall Vision ▪ Split of roles regarding initiative implementation	▪ Required third party contractors for crop transformation ▪ Role of cooperatives	

2 Detailed process for further refining the implementation plans on a yearly basis

ILLUSTRATIVE



3 Overview of the operating model of the task forces

PRELIMINARY AND NOT COMPREHENSIVE

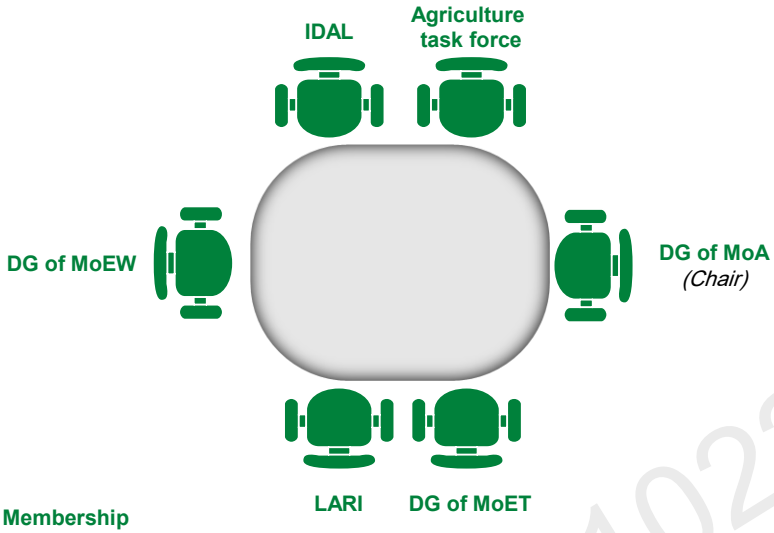
Formation and dissolution	▪ To be formed / dissolved based on strategic and implementation priorities following the request of the the Performance Management and Delivery Unit's Secretary General
Meeting frequency	▪ Weekly or bi-weekly, to be determined separately by each committee ★
Membership selection	▪ To be formed / dissolved based on strategic and implementation priorities following the request of the the Performance Management and Delivery Unit's Secretary General ▪ Weekly or bi-weekly, to be determined separately by each committee ▪ **Chair** to be appointed by the secretary general (on behalf of the Higher Committee), and could be a **minister** of sector-governing ministry – All committees must include a **representative from the Economic Development Authority to act as secretariat**, with primary responsibilities including setting meeting agenda, aligning committee around list of tasks & owners, following-up on task completion, identifying bottlenecks & solutions – Committee chair will be responsible for nominating other members, which should include **directors-general and director-level representatives** from all ministries & public entities which are directly involved in the implementation of sector initiatives

2018 1022 Internal

3 Example of a task force: Agriculture

ILLUSTRATIVE

Agriculture task force composition



Membership

- Relevant participants can be invited to the task force on a need-basis: e.g. members of parliament agriculture committee for discussing legislation bottlenecks

Key role & mandate

- Take ownership of the implementation of the agriculture initiatives
- Keep entities accountable to each other
- Ensure that all entities are aligned and deliver
- Coordinate efforts between the different entities

Meeting cadence

- Weekly

Example agenda items **Date: 17/06/2019**

- Provide an update on the progress of the different agriculture initiatives
- Present and discuss proposed alternative tobacco programs and agree on the path forward
- De-bottleneck issues related to soil-testing as part of the crop-transformation strategy

Task force "Action folder"

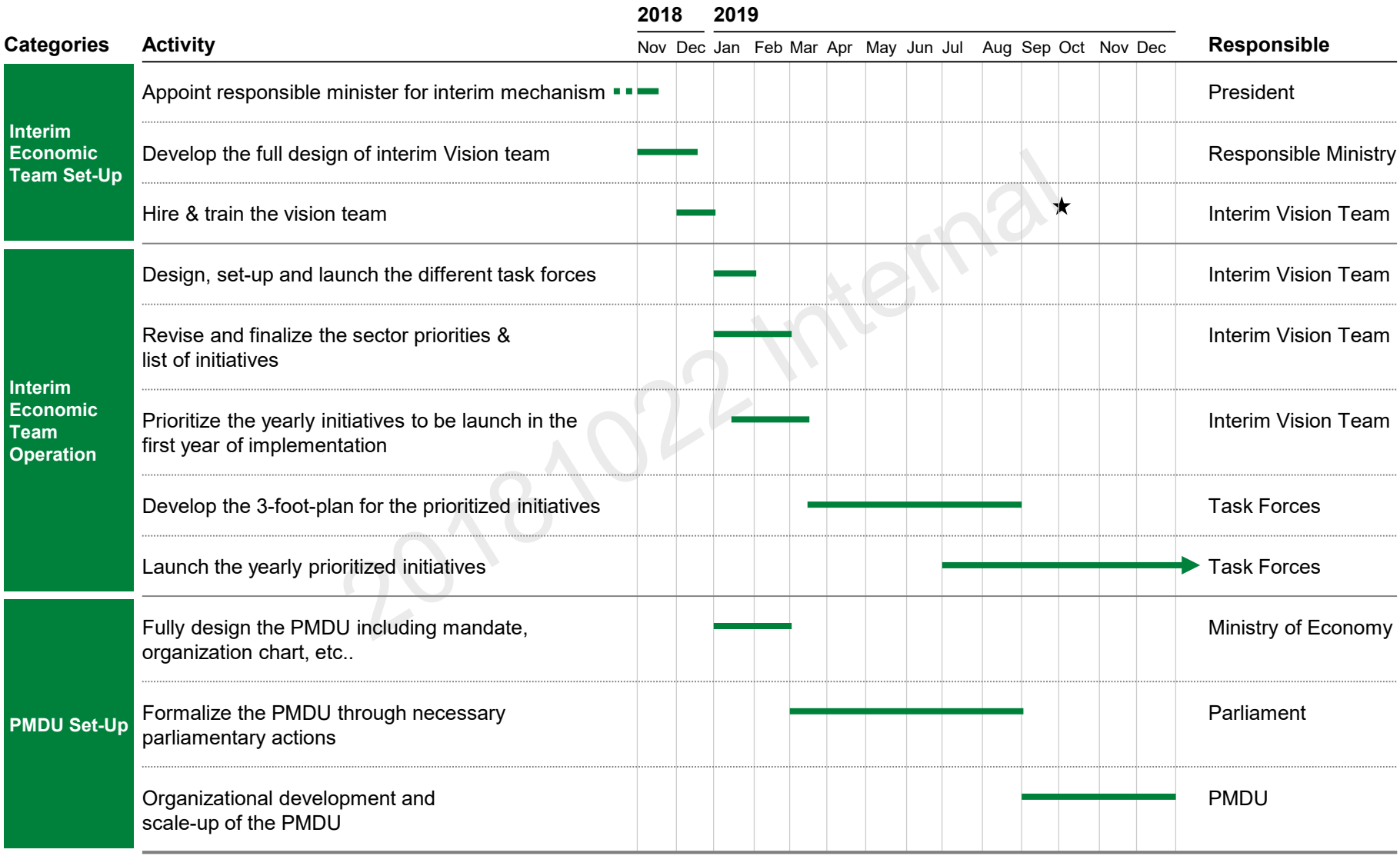
The task force will own the initiatives under the agriculture strategy, with each initiative having a unique accountable "lead"

	Objective	Owner[1]
AG. B.1	Improve efficiency and transparency in local markets, including wholesale markets and distributors	MoA
AG. C.1	Develop a crop transformation strategy	MoA
AG. C.2	Introduce an alternative subsidy program for Tobacco farmers	MoET
AG. C.3	Assess the effectiveness of the wheat subsidy and other subsidy programs	MoET
AG. D.1	Support export readiness of Lebanese products	MoA
AG. X.1.1	Revamp extension services	MoA
AG. X.1.2	Strengthen scope and scale of agricultural research	LARI
AG. X.1.3	Launch a program to strengthen co-operatives' capabilities	MoA
AG. X.1.4	Strengthen the quality assurance ecosystem including food inspection services	MoA
AG. X.2.1	Facilitate capital investment in Agriculture	IDAL
AG. X.3.1	Develop agriculture human capital	MoA
AG. X.4.1	Ensure water sustainability through improved management & conservation efforts	MoEW
AG. X.4.2	Improve formalization of agriculture sector and increase protection of farmers	MoA

20181022 Internal

Proposed timeline of next steps

PRELIMINARY



20181022 Internal

Case Example – Malaysia

JABATAN PERDANA MENTERI

PEMANDU

PERFORMANCE MANAGEMENT AND DELIVERY UNIT

Overview

- Formally established in 2009 as a unit under the Prime Minister's Department
- Chairman of the PEMANDU board is the Prime Minister of Malaysia
- Created to drive two programmes:
  - Government Transformation Programme (GTP): Designed to provide all Malaysians access to improved public services
  - Economic Transformation Programme (ETP): Designed to transform Malaysia into a high-income nation by 2020

Key roles and responsibilities

- Delivery Task Force (DTF) - National Key Results Areas (NKRAs)
  - Approve delivery plans and KPIs for all NKRAs (including variations) in the implementation year
  - Monitor progress and delivery of NKRA programmes, projects and activities against targets; provide ideas and solutions to remove roadblocks in implementation
  - Provide steer and direction on NKRA implementation strategies and policies and approve changes to that effect (if required) to meet the objectives
  - Approve requests for NKRA budget allocation (OE and DE) including incremental allocations from NKRAs in the implementation year and beyond
  - Final arbiter in dispute resolution on NKRA between implementing ministries and agencies at federal and state levels
- Steering Committee - National Key Economic Areas (NKEAs)
  - Provide ideas and solutions to alleviate roadblocks in implementation.
  - Evaluate and decide on new proposals (new Entry Point Projects (EPPs) / Business Opportunities (BOs), additional funding, changes to current plans)
  - Track and monitor progress of EPPs

Source: PEMANDU

Case Example – Singapore

MOF
MINISTRY OF FINANCE
SINGAPORE

Performance & Resource Management (PRM) Directorate

Overview

- A Central Ministry which aims to "create a better Singapore through finance"
- Vision
  - Advance leading ideas
  - Drive synergies across the government
  - Ensure fiscal prudence
- Strategic outcomes
  - Sound public finances
  - Growth with opportunity for all
  - High-performance government

Key roles and responsibilities

- Sound public finances
  - Managing Singapore's reserves to balance the present and future financial needs of Singapore
  - Ensuring the government's fiscal sustainability in the medium to long term
- Growth with opportunity for all
  - Promoting economic growth through the use of financial levers
  - Creating opportunities for a better life for all and building a strong community
  - Facilitating the growth of businesses and nurturing and entrepreneurial environment
  - Increasing opportunities for Singapore's businesses globally
- High performance government
  - Allocating government resources to achieve Whole-Of-Government objectives and achieving maximal outcome with available resources
  - Ensuring that government agencies are held accountable for the use of their resources
  - Achieving service-wide synergies in policies, programmes, processes, and systems
  - Anticipating future challenges and opportunities for the Whole-Of-Government and the nation

Source: Singapore MOF

Case Example – United Kingdom

HM TREASURY

CabinetOffice

Overview

- Evolution of performance management occurred under Tony Blair's administration between 1997 and 2007 and Gordon Brown's administration between 2007 and 2010
- Introduced top-down targets to hold government agencies accountable
- While numerous entities were involved, the most prominent entities were HM Treasury and the Prime Minister's Delivery Unit within the Cabinet Office (abolished in 2010)

Key roles and responsibilities

- Prime Minister's Delivery Unit (PMDU)
  - Managing performance policy, i.e. the Public Service Agreement framework; developing the public service reform agenda and approach to cross-departmental working
  - Capability building and cross-government learning on delivery, i.e. knowledge management; encouraging departmental delivery units; and running SRO network and training
  - Monitoring performance, i.e. data tracking and reporting
  - Unblocking delivery obstacles, i.e. priority reviews; problem solving; follow-up work with, and brokering between departments
- HM Treasury
  - Determining public spending: including departmental spending, public sector pay and pension, annually managed expenditure (AME) and welfare policy, and capital investment
  - Setting financial services policy: including banking and financial services regulation, financial stability, and ensuring competitiveness in the City
  - Overseeing the UK tax system: including direct, indirect, business, property, personal tax, and corporation tax
  - Delivering infrastructure projects across the public sector and facilitating private sector investment into UK infrastructure
  - Ensuring the economy is growing sustainably

! **Note: PMDU is historical (pre-2010)**

Source: Public Sector Budgeting and Targets in the UK (KNOW ID 787294), UK Institute for Gov't

Case Example – United States

Overview

- The Government Performance and Results Act (GPRA) was enacted in 1993, requiring agencies to do the following:
  - Develop five-year strategic plans, including results-oriented goals
  - Prepare annual performance plans that establish performance goals for the applicable year
  - Prepare annual performance reports that review success or failure in achieving the targeted performance
- The Office of Management and Budget (OMB) was tasked with producing an annual report on agency performance
- Performance Improvement Council (PIC) is composed of Performance Improvement Officers of Federal Agencies as well as senior officials from the OMB

Key roles and responsibilities

- Office of Performance & Personnel Management (within the OMB)
  - Leads the effort to drive mission-focused performance gains across the Federal government
  - Coordinates the Administration's goal-setting and performance review process for agencies' high priority performance goals and guides agency strategic and annual planning, performance reviews and performance reporting
  - Works closely with the U.S. Office of Personnel Management (OPM) to implement effective personnel policies and practices across the Federal government.
- Performance Improvement Council
  - Provides support to agency Performance Improvement Officers and other program officials to facilitate development of cross-agency and agency goals, including Priority Goals
  - Supports implementation planning and coordination on cross-cutting performance areas, including working with OMB, policy councils, and agencies on the Cross-Agency Priority (CAP) Goals
  - Delivers services for Federal Agencies that deepen performance improvement capability and facilitate sharing of effective practices. This includes the Performance Enthusiasts/Ambassadors program and in-person training program offerings to meet demand from agency staff
  - Leads cross-agency working groups on areas such as goal setting, agency performance reviews, and capability building to improve agency performance management capacity. These working groups allow agency leaders from across the Federal Government to collaborate and benchmark best practices and lessons learned that strengthen data-driven management and informed decision making
  - Responsible for establishing a Collaboration Studio to bring teams together and facilitate engagements that can spark cross-cutting performance improvements

Source: Office of Management and Budget, Performance Improvement Council

Case Example – Canada

Privy Council Office

Treasury Board of Canada Secretariat
www.tbs-sct.gc.ca

Overview

- The Treasury Board is a Cabinet committee of the Queen's Privy Council of Canada
- Treasury Board Secretariat serves as the administrative arm of the Treasury Board
- Vision: "Better government: with partners, for Canadians"
- Mission:
  - Effective People
  - Effective Policies
  - Effective management of the Public Purse

Key roles and responsibilities

- Treasury Board of Canada Secretariat
  - Supporting the Treasury Board as a committee of ministers
  - Fulfilling the statutory responsibilities of a central government agency
  - Providing advice and support to Treasury Board ministers in their role of ensuring value-for-money as well as providing oversight of the financial management functions in departments and agencies
  - Making recommendations and providing advice to the Treasury Board on policies, directives, regulations, and program expenditure proposals with respect to the management of the government's resources
  - Fulfilling responsibility for the comptrollership function of government
- Selected activities from specific branches with the secretariat
  - Holding responsibility for key policy and planning activities that underpin both government-wide management excellence and efficient and effective corporate governance within the Secretariat
  - Working with all departmental sectors to ensure that Treasury Board policy advice is coordinated and consistent
  - Providing leadership for governance and planning processes within the Secretariat to ensure coherence in corporate priorities, progress on key files, clear accountabilities, and continuous improvement
  - Conducting annual performance reviews in line with the Management Accountability Framework
  - Overseeing performance and compliance across the federal government

Source: Treasury Board of Canada Secretariat

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

2018 1022 Internal

Three identified flagship projects should be launched immediately to jumpstart the momentum of the Vision

Discussed next

Create immediate and visible impact *(Launch ~3 quick-win projects)*

- **Seamless end-to-end tourism journey** with a newly-overhauled airport experience
- **Penetration of 2-3 Lebanese crops into new export markets**[1]
- **"Lebanon 2020" centennial** nation-wide celebration[1]

Capture imminent opportunities

- **Construction technology zone on the border with Syria**, capitalizing on the Syria and Iraq reconstruction opportunity worth ~100-300 USD Bn, and housing millions of returning refugees

Build a flagship project symbolizing the Vision

- **"Smart Lebanon" Knowledge Hub** hosting creative, technology and outsourcing companies, within and outside real estate zones (e.g. Outsourcing park in Tripoli)

1 Initiatives to be detailed at a later stage

Tourists' experience in Lebanon can be improved by looking holistically at the journey

PRELIMINARY

Tourist journey has suffered from…

- Unclear value proposition of Lebanon as a tourist destination
- Unorganized and unclear process upon arrival to/from the airport
- Lack of "tourist friendly" cities

This is mainly driven by…

- Absence of a holistic view on the end to end tourist journey
- Complex ecosystem and lack of communication between stakeholders
- Absence of a data to drive decision making across the tourist journey

Improvement to the tourist journey will require…

- Mapping of the end to end tourist journey and understanding key pain points
- Designing the ideal tourist journey and assigning an owners to each part
- Define efficient feedback and data collection mechanisms to ensure constant improvement to the tourist journey

20181022 Internal

The tourism journey has several challenges that should be tackled

NON EXHAUSTIVE

Pre-arrival

- Lack of identity and clear value proposition for the tourism sector
- Unfocused marketing efforts on specific markets and sub-optimal use of marketing channels
- Absence of Lebanon product offering in B2B channels

Airport Arrival

- Disorganized immigration queuing and visa process
- Unorganized and unregulated taxi service at the exit
- Missing / low visibility of services crucial for tourists to kick-start their visit

In-country experience

- Unorganized public transport system with no proper signages
- Polluted cities and beaches
- Lack of proper maintenance of cultural sites and presence of standards for tourist guides

Airport departure

- Unclear check-in process
- Multiple security checks
- Gate anxiety prior to entering the gate (security check is after the shops)
- Limited retail and F&B offering

Aftercare/ Feedback

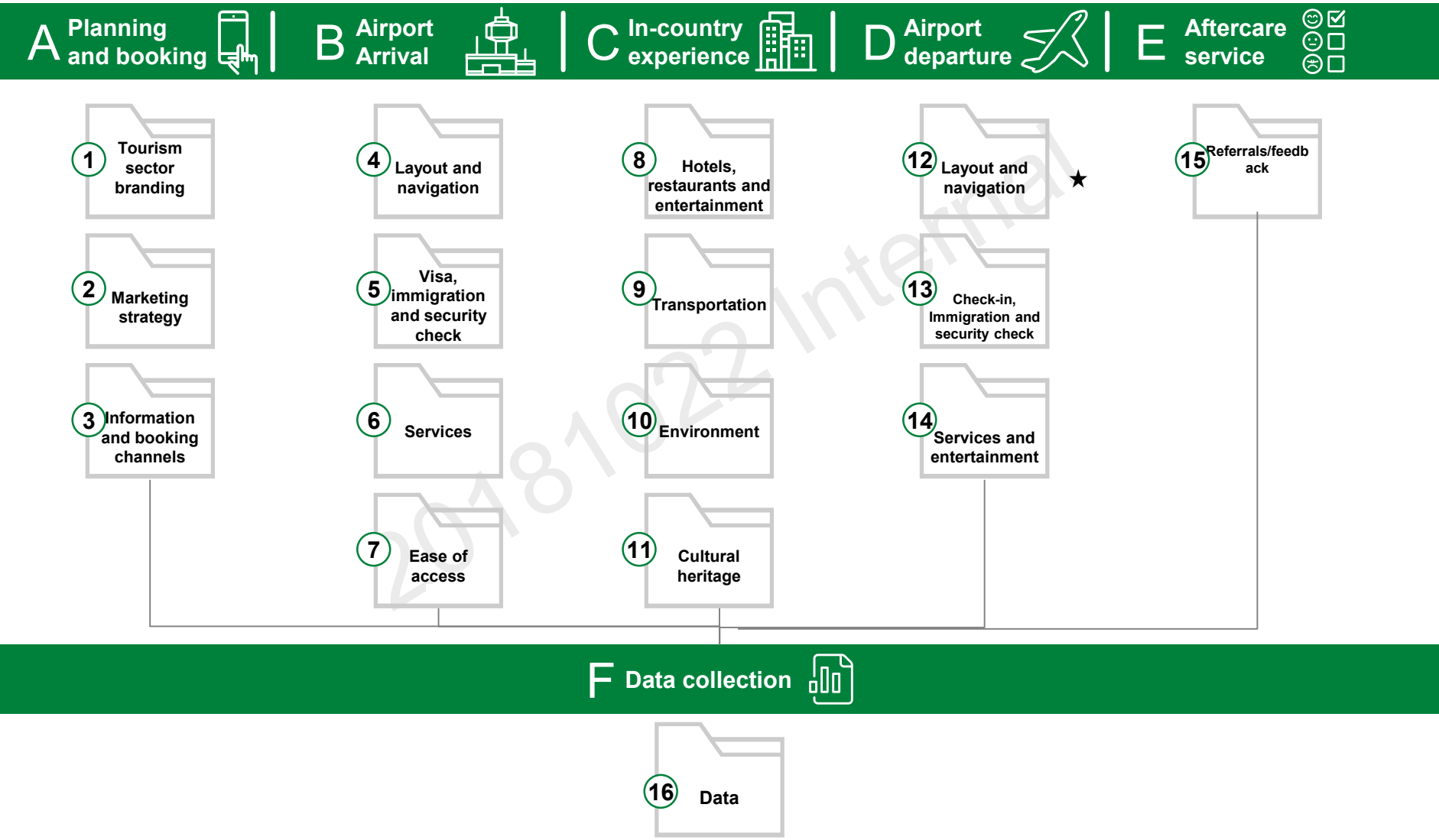
- No concrete efforts to actively encourage referrals and returns

Data collection

- Absence of data collection to drive informed decision making
- Lack of data sharing between stakeholders

20181022 Internal

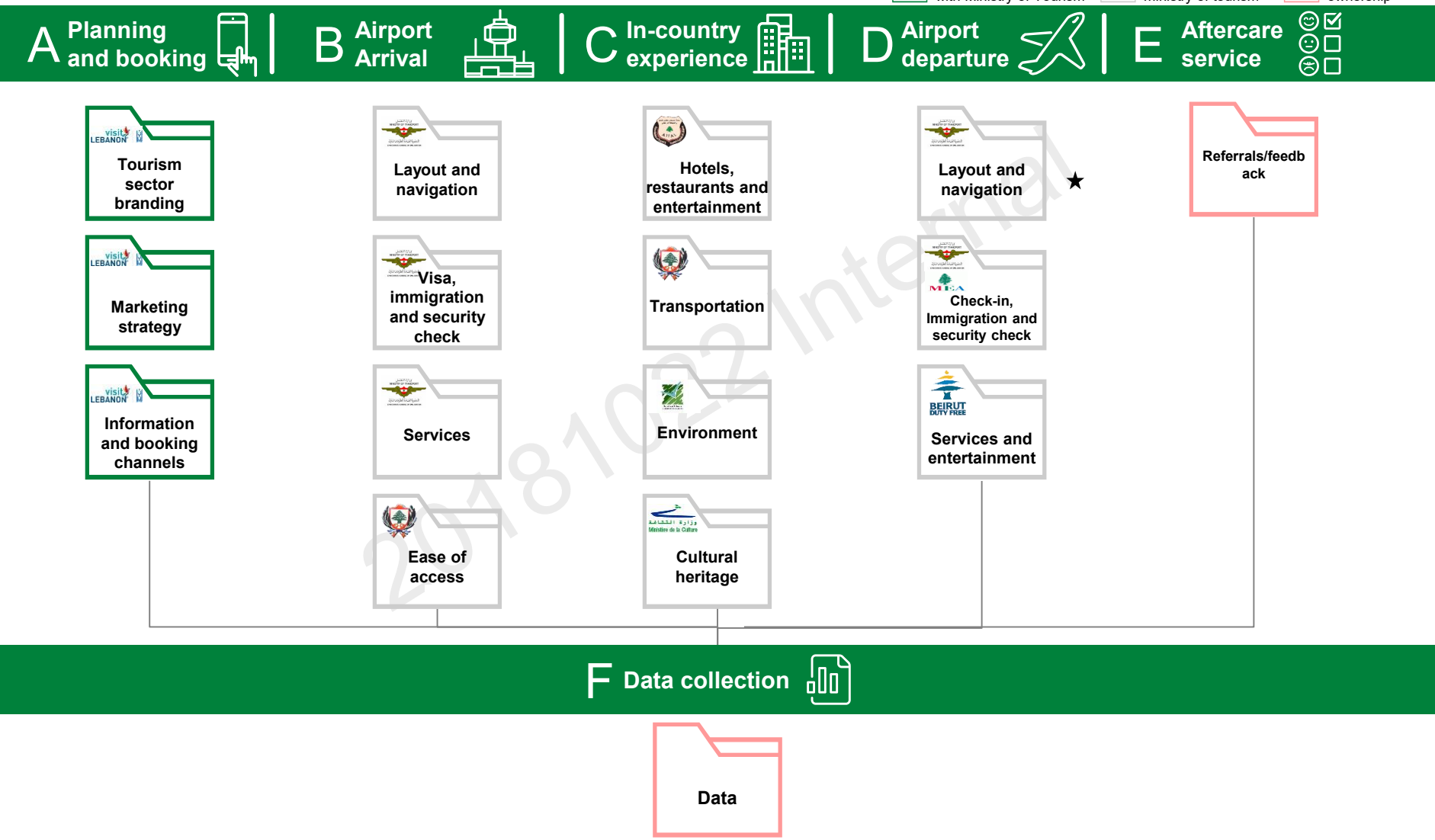
In the short term, improving a tourist's journey requires work on 16 folders across 6 stages



20181022 Internal

Out of the 16 folders, currently only 3 are being coordinated with the Ministry of Tourism and 2 do not have clear owners

Lead by/Coordination with Ministry of Tourism | No coordination with ministry of tourism | Absence of ownership



20181022 Internal

5 folders are addressed in this document with remaining topics to be detailed out by their respective owners in line with the tourism initiatives

Addressed in this section

A Planning and booking | **B Airport Arrival** | **C In-country experience** | **D Airport departure** | **E Aftercare service**

- Tourism sector branding
- Marketing strategy
- Information and booking channels
- Layout and navigation
- Visa, immigration and security check
- Services
- Ease of access
- Hotels, restaurants and entertainment
- Transportation
- Environment
- Cultural heritage
- Layout and navigation
- Check-in, Immigration and security check
- Services and entertainment
- Referrals /feedback

- 5 folders within the tourism journey are addressed in this section
- The remaining topics would be covered by their respective owners in coordination with the tourism task force

F Data collection

- Data

20181022 Internal

A Lebanon should develop a clear brand image for its tourism sector & promote it using a targeted go-to market campaign in source countries

Planning and booking

	Owner	Interdependency	Objective
Tourism sector branding	▪ Visit Lebanon	▪ Ministry of economy and trade	▪ *Clear identity and brand for Lebanon's tourism sector translated into punchy messages and compelling visualization, in line with Lebanon's "umbrella" country brand* ★
Marketing strategy	▪ Visit Lebanon	▪ Embassies	▪ *Focused marketing strategy on priority source markets with targeted go-to-market strategy based on traveler behavior*
Information and booking channels	▪ Visit Lebanon	▪ Association of travel and tourist agents in Lebanon ▪ Lebanon Hotel Association	▪ *Availability of information online and secured contracts with tour operators in priority source countries with high share of B2B booking*

20181022 Internal

B Lebanon should improve the arrival experience of its tourists at the airport across 4 dimensions

Airport Arrival

	Owner	Interdependency	Objective
Layout and navigation	▪ Ministry of Public work and transport	▪ Visit Lebanon ▪ Directorate General of Civil Aviation	▪ *Unique and memorable arrival experience infused with a local flavor* ▪ *Clear universal signs and directions to navigate through the airport (E.g. info boards for baggage claim, universal signs for immigration/visa/exit)*
Visa, immigration and security check	▪ Directorate General of Civil Aviation	▪ Ministry of Interior ▪ Ministry of Finance	▪ *Streamlined visa process on arrival (one-stop-shop with POS payment and e-visa option)* ▪ *Friendly and professional staff at visa, immigration and security check* ▪ *Quick and clear process to pass through immigration and security check with minimum quieting time*
Services	▪ Directorate General of Civil Aviation	▪ Telco companies ▪ Banks/currency exchange offices ▪ MoT ▪ Car rental companies ▪ Tour operators	▪ *Availability of business class treatment (e.g. Meet and greet)* ▪ *Improved access to information upon arrival (WIFI, information leaflets)* ▪ *24/7 availability of services necessary to launch tourist journey with regulated prices and visible stations (ATM, currency exchange, rent a car, tours)*
Ease of access	▪ Ministry of Public work and Transport	▪ Directorate General of Civil Aviation	▪ *Organized and regulated taxi service at the airport with tailored offering to different segments* ▪ *Safe and secure exit from the airport with dedicated waiting areas*

20181022 Internal

C Tourist's in-country experience should be enhanced through training of staff, organising transportation and setting strict environmental regulations

	Owner	Interdependency	Objective
In-country experience			
Hotels, restaurants & entertainment	▪ Lebanon Hotel Association ▪ Syndicate of Owners of restaurants cafes, night-clubs, and pastries and pastries in Lebanon	▪ Ministry of tourism	▪ *Friendly and multi-lingual tourist facing staff in hotels/restaurants and entertainment venues* ▪ *Availability of information online with accurate reference for top attractions on popular tourist platforms (e.g. TripAdvisor)*
Transportation	▪ Ministry of Public Work	▪ Municipalities ▪ Ministry of tourism	▪ *Facilitated movement of tourists in the country through creating transparency around available transport options for different preferences (private vs public)* ▪ *Availability of public and private transport options in anchor destinations with connection to key nearby attractions through public transport* ▪ *Tourist-friendly walking paths in anchor destinations (information points, paved roads)*
Environment	▪ Ministry of Environment	▪ Municipalities	▪ *Cleaned beachfront with restored environmental indicators within acceptable international limits* ▪ *Clean and attractive anchor destinations with strict monitoring for domestic and industrial waste* ▪ *Well maintained and preserved eco-tourism hubs through strict environmental regulations for entire area and implications on area on master planning*
Activities	▪ Ministry of Culture	Association of travel and tourist agents in Lebanon	▪ *Well maintained cultural heritages with availability of complimentary offering (authentic F&B and retail offering)* ▪ *Well trained, informed and professional tour guides*

20181022 Internal

D Departure experience should be improved by implementing structural layout changes and enhancing the retail and F&B offering

Airport departure

	Owner	Interdependency	Objective
Layout	▪ Ministry of Public work and transport	▪ Visit Lebanon ▪ Directorate General of Civil Aviation	▪ *Unique and memorable departure experience infused with a local flavor* ▪ *Maximized time in the duty free with minimum gate anxiety (e.g. place security check before duty free area, eliminate 1st security check prior to check-in counters)* ▪ *Clear universal signs and directions to navigate through the airport with introduction of screens when necessary (E.g. screens for appropriate counter for check-in)* ▪ *Comfortable seating areas with available amenities (toilets, resting areas, mobile power stations)*
Services and entertainment	▪ Beirut Duty Free	▪ Directorate General of Civil Aviation	▪ *Availability of business class treatment (e.g. Meet and greet)* ▪ *Improved access to information upon arrival (WIFI)* ▪ *Wide variety of F&B outlets1 with enhanced retail assortment to provide unique and exclusive retail experience*
Check-in, Immigration and security check	▪ Directorate General of Civil Aviation	▪ MEA and other airlines	▪ *Friendly and professional staff at check-in, immigration and security check* ▪ *Quick and clear process to pass through immigration and security check with minimum quieting time*

2018-022 Internal

1 Suggested initiatives to be reassessed in light of the airport expansion project (timeline and scope of work)

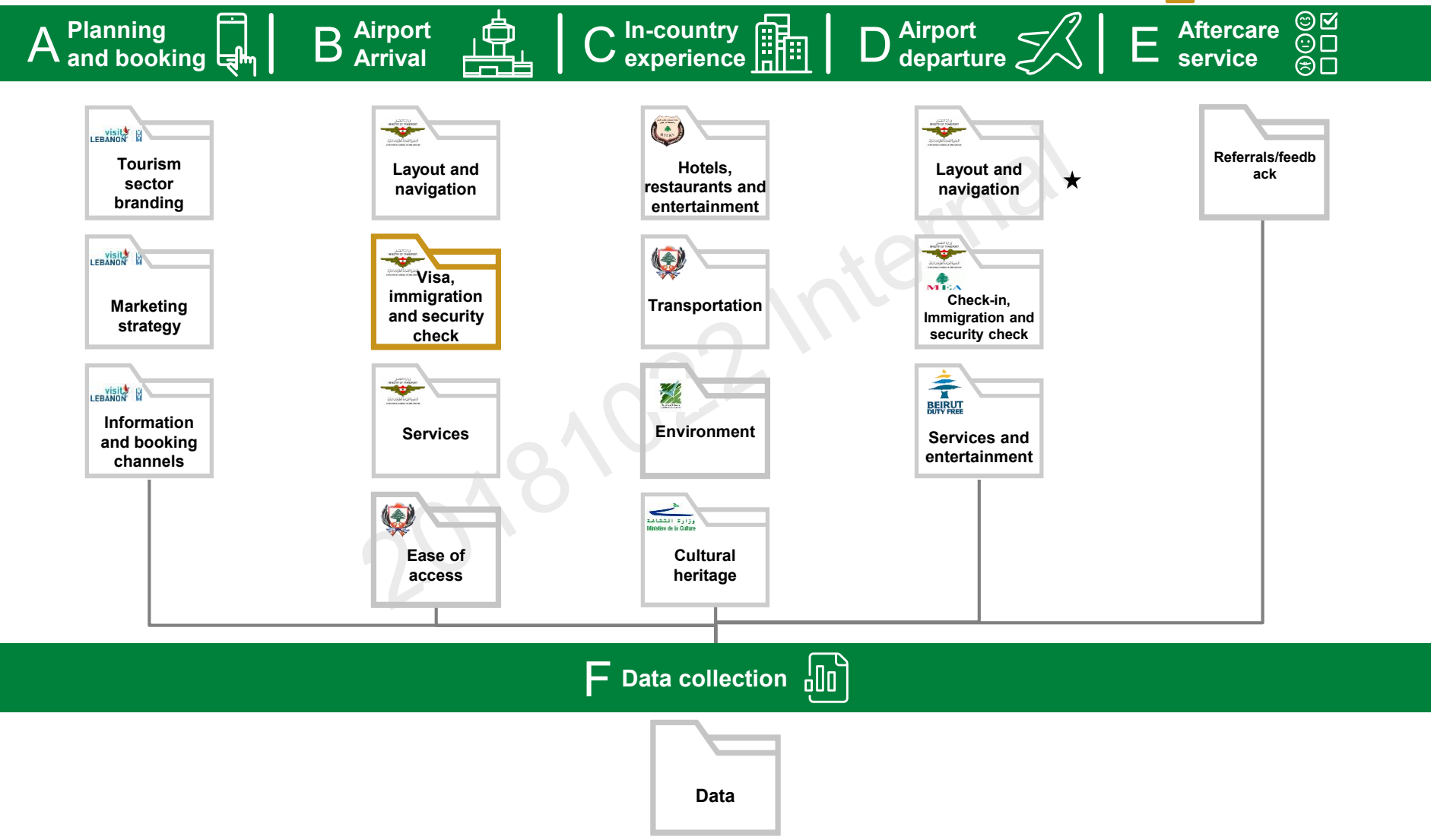
E/F Generation of referrals/feedback and data collection is crucial to continuously enhance tourism journey encourage returns

		Owner	Interdependency	Objective
Aftercare service	**Referrals Feedback**	▪ Ministry of tourism	▪ Lebanon Hotel Association ▪ Syndicate of Owners of restaurants cafes, night-clubs, and pastries and pastries in Lebanon	▪ *Generation of more user generated content e.g. on Facebook, Tripadvisor through encouraging people to share their experiences, post reviews, and stay engaged with the country in other ways*
Data collection	**Data**	▪ Ministry of tourism	▪ Internal and external data sources (detailed later)	▪ *Fully operational data arm of the ministry that is able to develop insights and intelligence across all steps of the journey in order to enhance tourist experience as well as improve sector performance:*

2018 1022 Internal

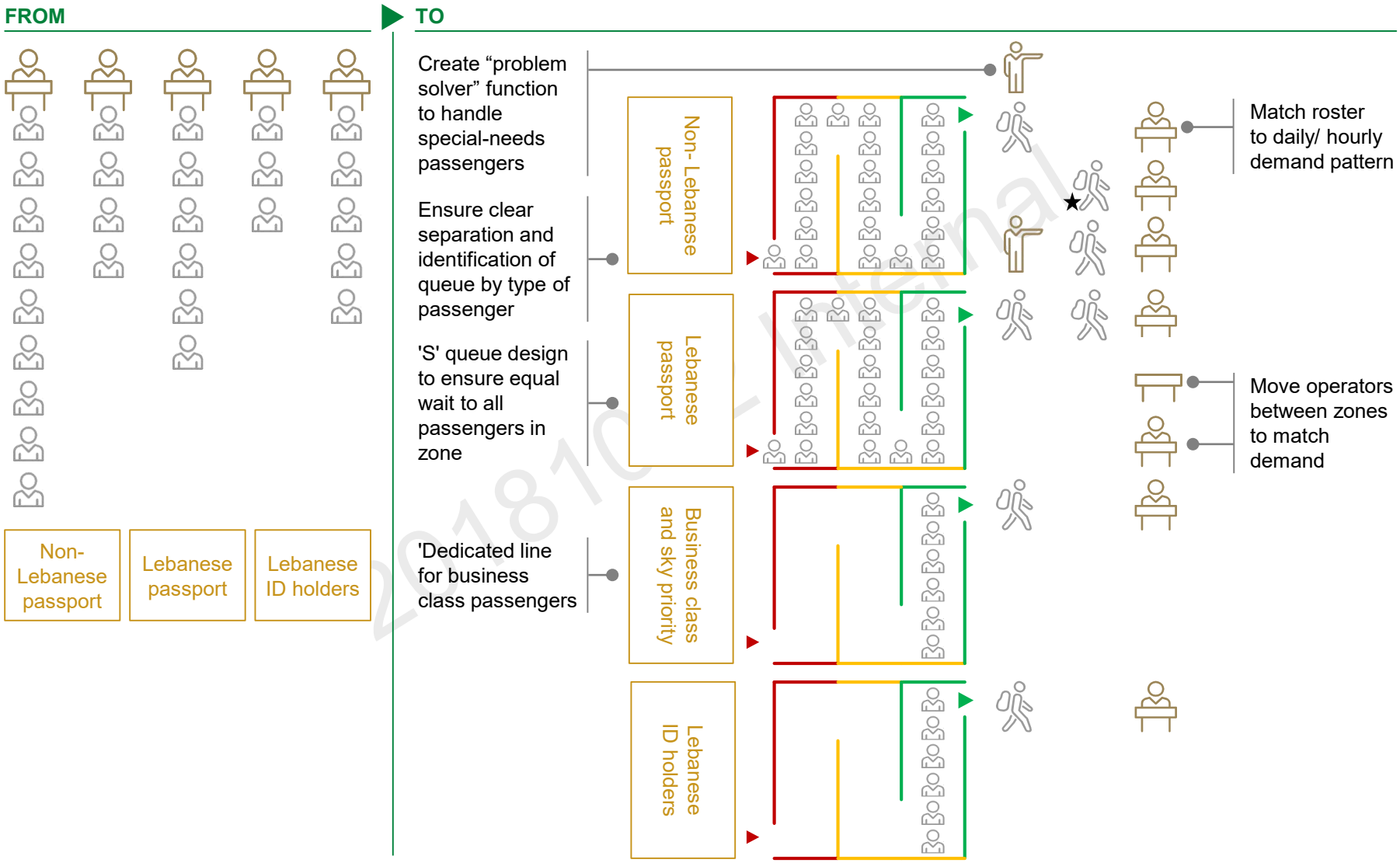
Airport arrival – Visa, immigration and security check

Addressed in this section



20181022 Internal

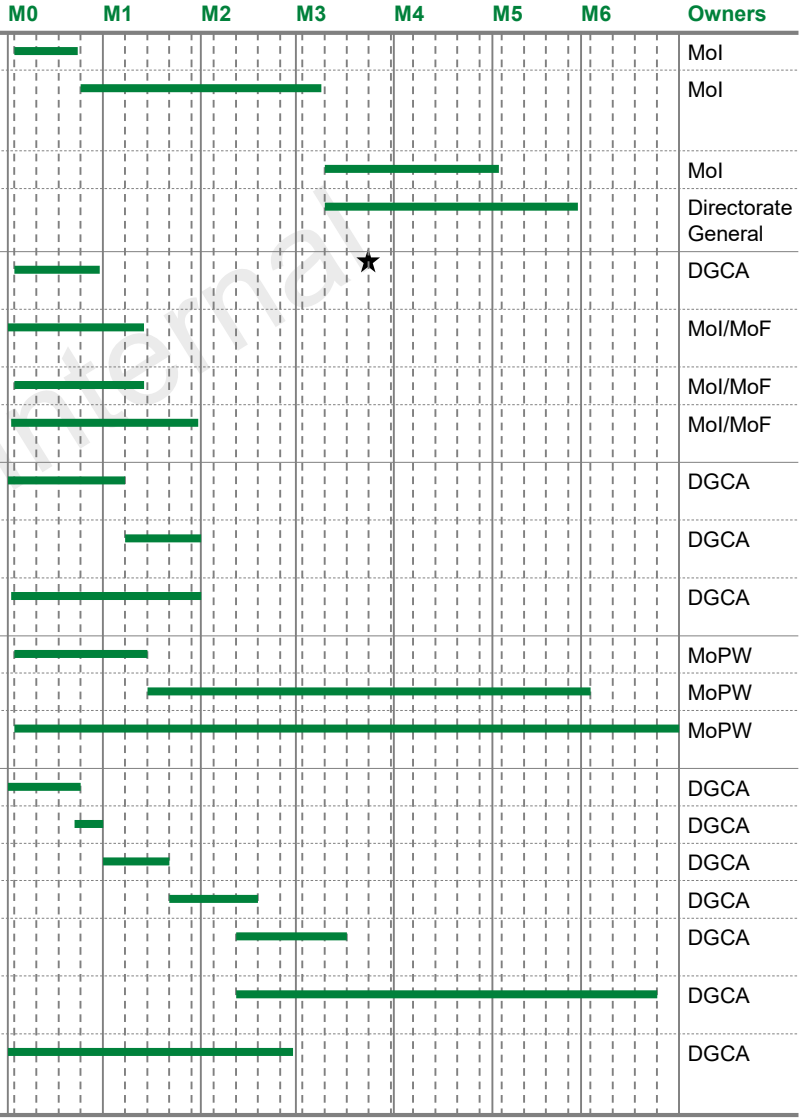
Through implementing simple measures, queuing time at immigration can be significantly reduced



20181C - Internal

Airport arrival – Visa, immigration and security check implementation timeline

TO BE UPDATED AT LAUNCH OF THE IMPLEMENTATION MECHANISM



	Activity	Owners
Offer option for online visa	Understand legal requirements and approval needed to initiate e-visa services	MoI
	Present a comprehensive proposal to issue e-visas for countries that currently require visa on arrival with technical and legal requirement (e-visa process, documentations, security checks, staffing and skill requirement)	MoI
	Set-up a portal for e-visa applications	MoI
	Set-up back-office operations to process e-visa applications	Directorate General
Set-up a one stop shop for visa issuance	Improve wayfinding signs to arrive to the visa station and make sure the station is visible	DGCA
	Set-up a one stop shop for visa on arrival (include visa approval and payment in one station)	MoI/MoF
	Offer payment through POS system at visa on arrival station	MoI/MoF
	Develop a system to monitor revenues form visa issuance on a daily basis to limit corruption	MoI/MoF
Ensure clarity in process and documents needed at immigration	Create a video illustrating the step by step process for getting through the airport and documents needed at each steps	DGCA
	Showcase videos on screens in the airport hallways upon disembarking from the airport	DGCA
	Built a visible station right before immigration with a clear signage referring to the paper that the tourist needs to fill and present at immigration.	DGCA
Reinforce training of airport staff on professional conduct	Develop a training for airport staff on professional conduct	MoPW
	Finalize training of all airport staff	MoPW
	Enforce strict regulations to uphold highest professional conduct	MoPW
Optimize layout and streamline immigration process to reduce passenger processing time	Introduce a dedicated line for business class passenger	DGCA
	Ensure clear separation and identification of queue by type of passenger	DGCA
	Introduce 'S' queue design to ensure equal wait to all passengers in zone	DGCA
	Create “problem solver” function to handle special-needs passengers	DGCA
	Develop new roster schedule to ensure all stall are filled at all times (e.g. visa counter, immigration lines)	DGCA
	Study weekly flows and processing time by time of passengers (e.g. Lebanese vs non-Lebanese) and match roster to daily/hourly demand pattern	DGCA
	Understand the root causes behind long processing time of foreign passport holder and resolve it accordingly (e.g. update IT systems, streamline process in the backend)	DGCA

2018-2022 Internal

Airport arrival – Ease of access

Addressed in this section

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- **Ease of access**
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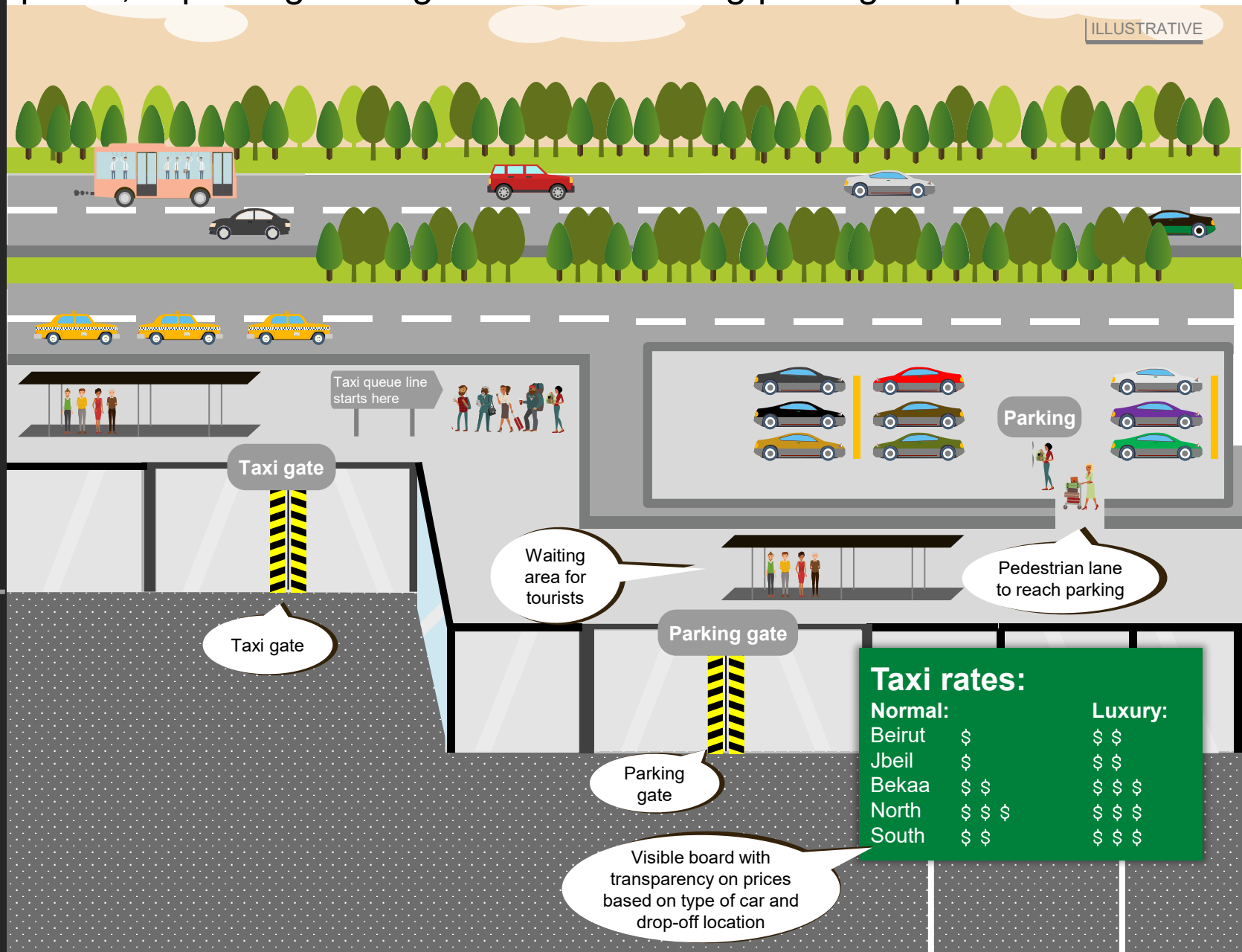
- Environment
- Cultural heritage
- Layout and navigation ★
- Check-in, Immigration and security check
- Services and entertainment
- Referrals/feedback

F Data collection

- Data

20181022 Internal

Airport exit can be improved by organizing taxi exit, regulating prices, improving waiting area and securing passage to pedestrians



Airport arrival – Ease of access implementation timeline

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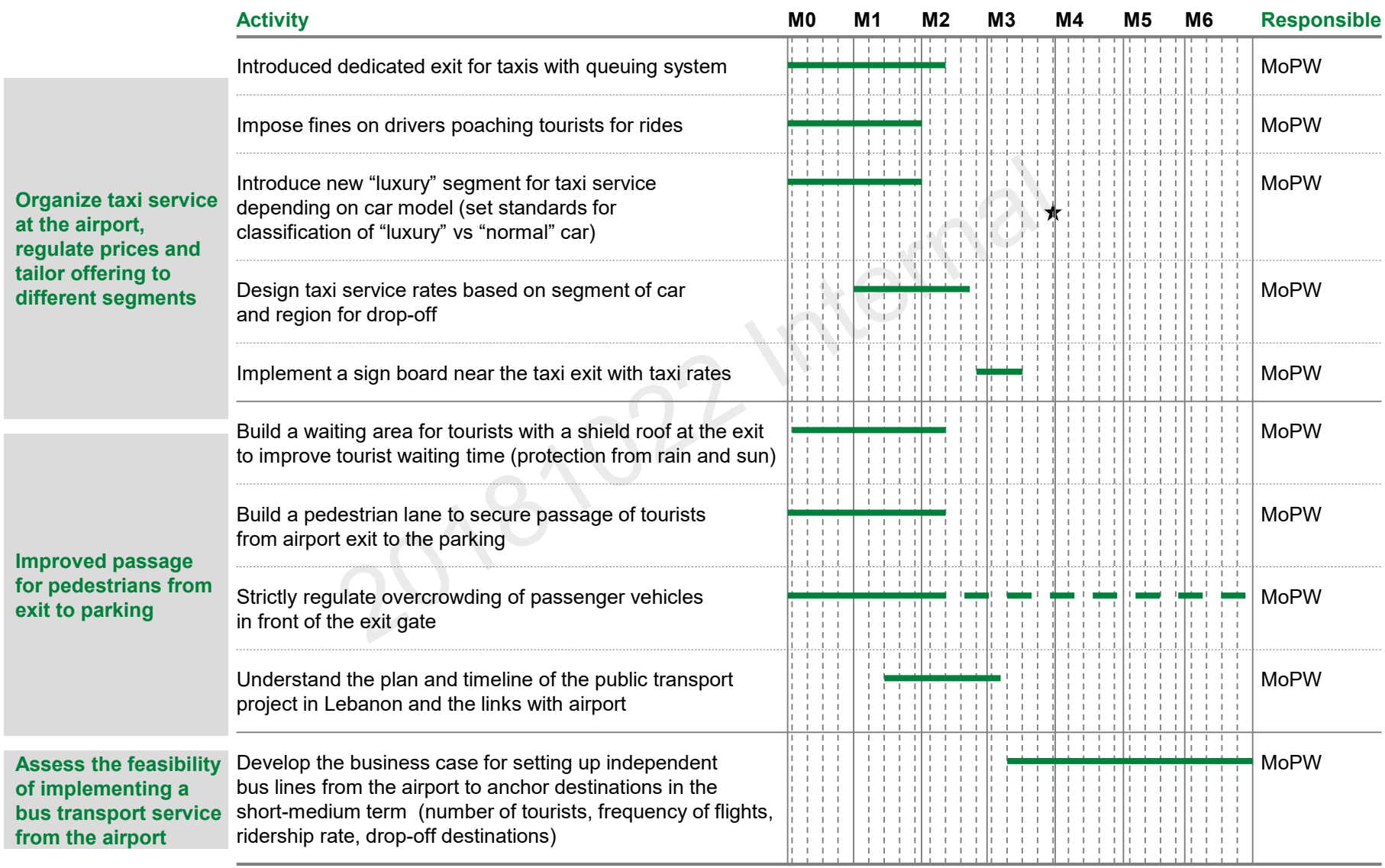

20181022 Internal

In country experience - Environment

Addressed in this section

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- Referrals/feedback

F Data collection

- Data

20181022 Internal

As part of the tourism strategy, Lebanon could focus on 4 initiatives related to the environment

	1	2	3	4
	Clean Lebanon's beaches and update water regulations	Develop and protect eco-tourism areas	Upkeep cleanliness in anchor destination	Update solid waste management regulations & develop sustainable waste management solution
Initiative in strategy	Tourism A.5	Tourism A.7	Legislation 2.2	Legislation 2.2

SOURCE: Interviews with MoFA; World Bank

The Ministry of Environment should implement a series of preventive and proactive measures to address water pollution

		Promoting positive behavior	Enforcing regulations
Preventive measure	**Individual**	▪ Launch **public awareness campaigns** on social and economic impact of polluting waterbodies	▪ Introduce and enforce **regulations for littering** in seaside destinations through deployment for police force, setting up signages and installation of cameras
	Corporate	▪ Support **green filter installation** (e.g., special financial and technical support)	▪ Create **map of water pollution levels** by region. Update and enforce regulatory framework tackling water treatment by municipalities and industries
Proactive measures		▪ Explore technologies to clean Lebanon's water bodies ▪ Coordinate with MEHE to implement **mandatory volunteer cleaning programs** in schools ▪ Rally NGO for a **national mobilization campaign** to clean Lebanon's beach front	▪ Impose significant **fines/legal consequences** for illegal sea dumping practices and lack of abidance with environmental standards ▪ Conduct regular **testing for pollution levels** by region, and ensure compliance of neighboring municipalities and industrial factories

2018-2022 Internal

Aftercare service – Referrals/feedback

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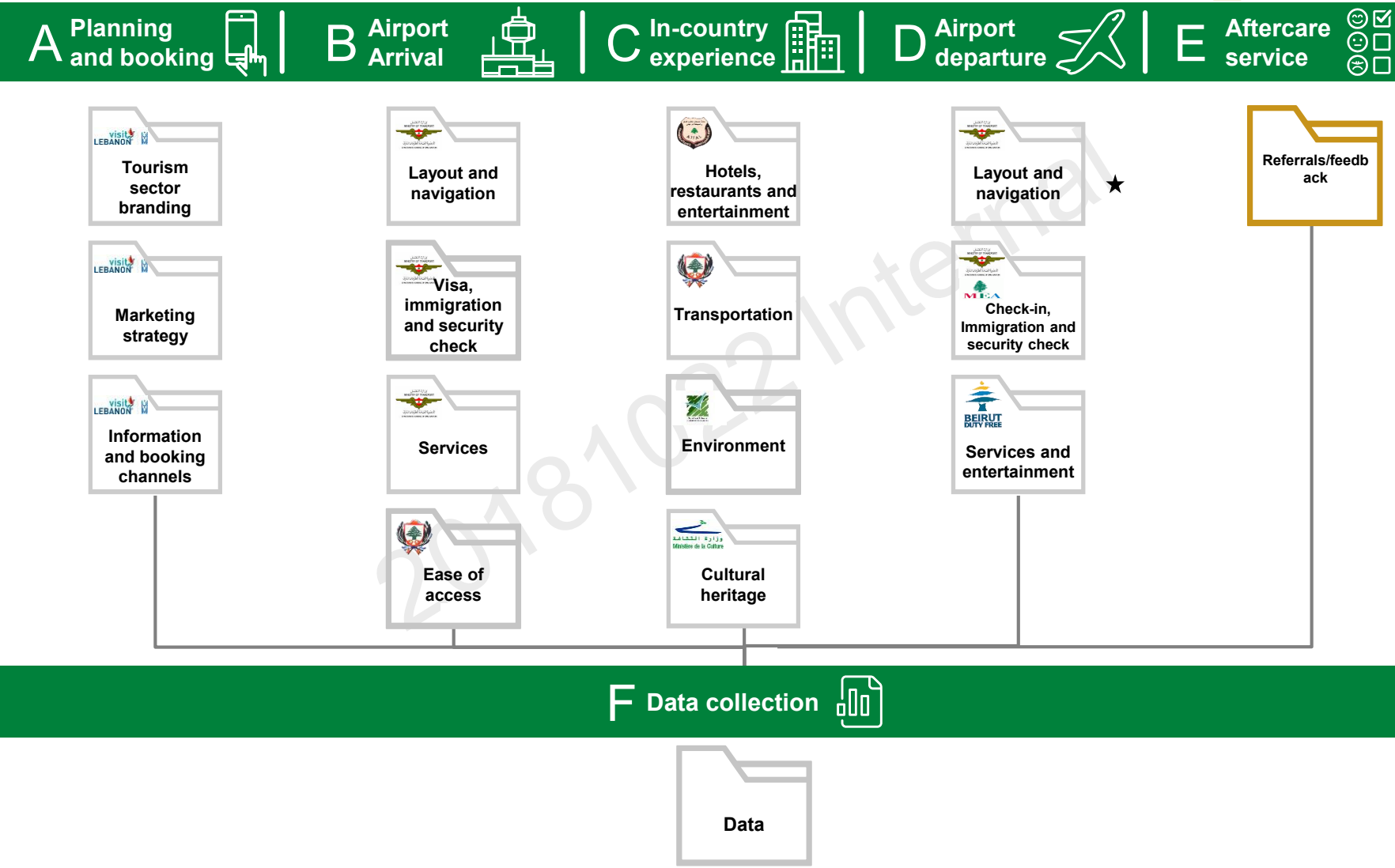


20181022 Internal

Lebanon should encourage and promote user generated content and referrals to promote Lebanon as a tourism destination

Platform/Channel

Social media to create, share and push user generated content

- Develop a vibrant and active social media presence to push, promote and interact with tourists
- Encourage tourists to engage on social media and publish context about their visit in Lebanon to further increase reach to broader audience

Partnerships to understand customer satisfaction and store content

- Partner with different travel channels/ platforms to organize, aggregate and store user generated content for marketing
- Aggregate and organize tourist feedback and reviews on social media to formulate understanding on client satisfaction

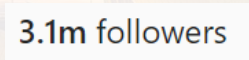
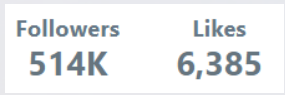
20161022 Internal

Tourism Australia's Social Media Program focuses on stimulating conversations about Australia through key platforms

CASE STUDY

TOURISM AUSTRALIA

1 Social Media

Channel	Description
	▪ TA's facebook page has a high level of engagement and concentrates on **showcasing beautiful and unique images** from all over Australia ▪ It mainly **posts user-generated content**, which **encourages fans to continue sharing** their own stories and experiences on an ongoing basis ▪ Every Friday the **best images from the week are chosen and featured in the Friday fan photo album**, which receives thousands of likes, shares and comments
	▪ TA's Instagram profile **showcases the best shots** from around Australia on a daily basis, which are **chosen from followers** who upload and tag their photos with #seeaustralia
	▪ Twitter accounts provide interesting news, photos, updates and facts about Australia ▪ TA also **retweets pictures posted by other users** thereby promoting user generated content
	▪ TA's Pinterest profile organizes stunning photos from all around Australia into location and subject categories.

SOURCE: Tourism Australia, Press search

Tourism Australia has partnered with Adobe & Livefyre to introduce new arrangements with Tripadvisor

CASE STUDY

Channel	Description
2 Partnerships livefyre Adobe	▪ TA **partnered with Livefyre and Adobe** to aggregate user-generated content from social media and deliver it on australia.com ▪ Adobe marketing cloud, including Livefyre provided TA with a **unified platform** ▪ Livefyre helped **automate tedious tasks** of finding, moderating, storing and organizing massive amounts of content ▪ **Impact:** - 66% increase in time on site - 30% rise in site engagement - 77% increase in leads
tripadvisor®	▪ Entered into a partnership with TripAdvisor content relating to key Australian tourist destinations which is now available on www.nothinglikeaustralia.com, with the content powered by the Australian Data Warehouse (ATDW) ▪ With the help of TripAdvisor, visitors are able to read reviews from over 30,000 great Australian holiday experiences on nothinglikeaustralia.com

SOURCE: Press search

Data collection – Data

Addressed in this document

A Planning and booking | **B Airport Arrival** | **C In-country experience** | **D Airport departure** | **E Aftercare service**

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- Check-in, Immigration and security check
- Services and entertainment
- Referrals/feedback

F Data collection

Data

20181022 Internal

Reporting and analyzing data to drive informed decision making in the tourism sector requires a 3-step approach

1 Identify important insights to drive decision making in the tourism sector

- Prioritize insights to drive decision making
- Identify corresponding questions to answer
- Develop actions to respond to results

2 Develop data collection mechanism

- Identify data needed
- Define frequency and format of data collection
- Design stakeholder coordination model for data sharing

3 Analyze and report results in appropriate format

- Analyze results and report them through:
  - Publishing reports
  - Conducting regular townhall meetings
  - Sharing data

2018/1022

1 The Ministry of Tourism should prioritize 4 insights that are needed to drive decision making

Insight	Key questions/analysis required	Indicators	Data sources	Challenges with indicators
Hospitality sector performance	▪ What is the performance hospitality sector at specific month/year? ▪ Where are tourists sating during their stay? ▪ Does the performance of the sector varies at different star ratings, zones, regions, or specific hotels?	▪ Type of accommodation ▪ Occupancy rate of hotels ▪ Hotel revenues ▪ RevPar ▪ Total room capacity ▪ No of guests ▪ Guests nationalities	▪ Hotel database ▪ Entry paper at airport ★	▪ Data collected covers a sample of hotels only ▪ DG does not report data from “entry paper” ▪ Hotel do not report accurate data
Number of tourists	▪ What is the number of tourists (Lebanese and non-Lebanese) at specific month/year? ▪ How is the tourism sector performing compared to the targets? ▪ What is the number of tourists from source markets?	▪ Number of Lebanese and non-Lebanese tourist arrival	▪ Passport scan at arrival	▪ Lebanese residents holder of dual passports are reported as tourists ▪ Non-resident Lebanese are not reported as tourists
Source market behavior	▪ What are the spend habits of visitors? ▪ How long is the average length of stay of visitors? ▪ What are the preferred hotels and attractions for priority markets?	▪ Number of visitors ▪ Average length of stay ▪ Spend behavior ▪ Average spend ▪ Preferred hotels by nationality ▪ Preferred attractions by nationality	▪ Hotel database ▪ Departure survey ▪ Mastercard ▪ Global Blue	▪ Data collected covers a sample of hotels only ▪ Absence of cooperation with external vendors (Master Card)
Tourist satisfaction	▪ How happy are tourists with their overall experience in Lebanon? ▪ What are the major pain points faced during the visit to Lebanon?	▪ Referrals/Returns ▪ TripAdvisor Rating ▪ Social Media Sentiment	▪ Departure survey ▪ Brandwatch ▪ Tripadvisor	▪ Absence of cooperation with external vendors ▪ No effort to conduct departure survey

20181022 Internal

2 These insights should be gathered from several stakeholders systematically

Detailed later

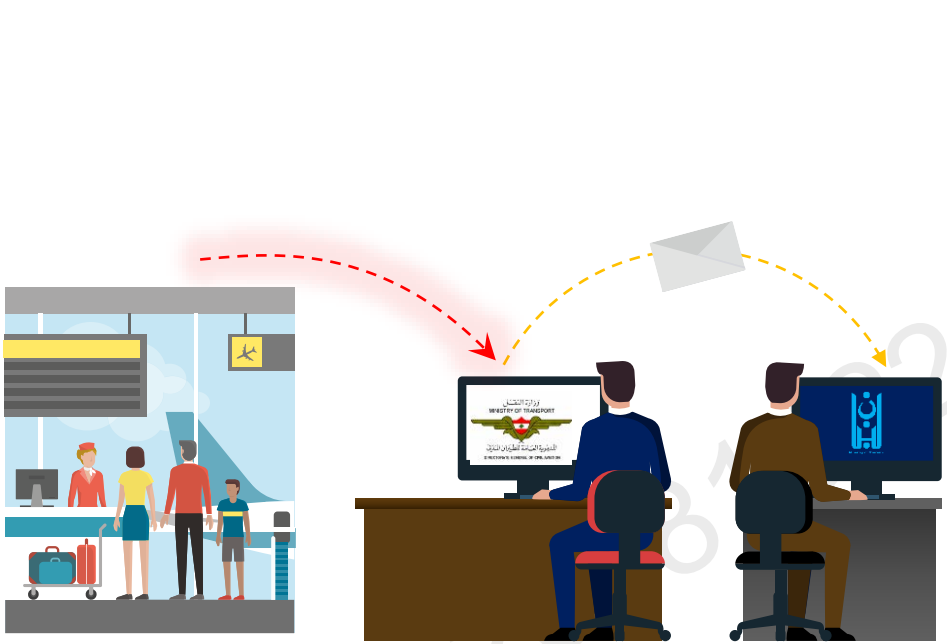
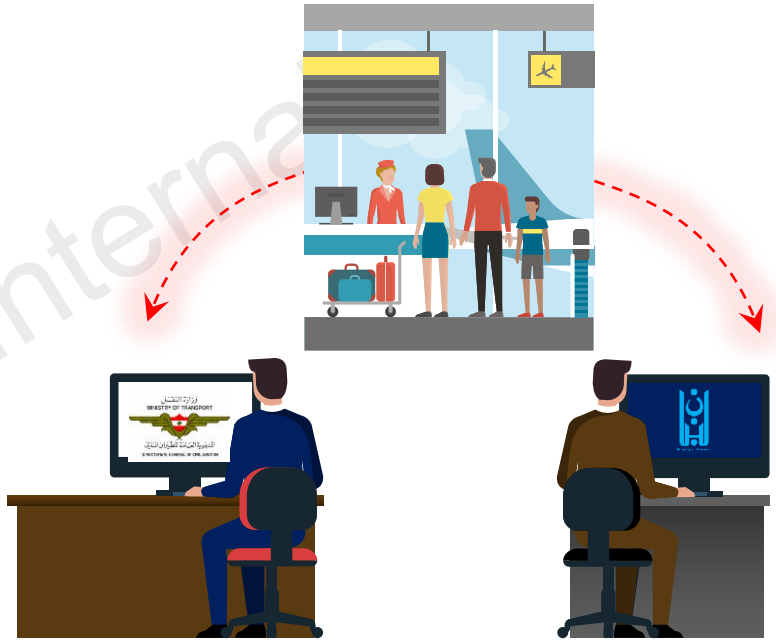
	Stakeholders	Frequency and data collection/sharing mechanism
A Integrate ID passport reader at airport arrival with MoT systems	▪ Directorate general of Civil Aviation ▪ General Security	▪ **Real-time reporting**, integrating the DGCA's system with Ministry of Tourism's central database for relevant information[1] ★
B Simplify and automate "entry card" for foreigners	▪ Directorate general of Civil Aviation ▪ General Security	▪ DGCA to scan and compile information from the "Entry Cards" in appropriate format[2] and share with MoT on a **weekly basis**
C Integrate hotel reporting with 'Visit Lebanon' portal	▪ Hotels	▪ Hotels to report information **real-time** within the 'Visit Lebanon' portal, integrated with the Ministry of Tourism's central database
D Launch tourist departure satisfaction survey	▪ Ministry of Tourism	▪ **Bi-yearly** departure survey conducted on sample survey of 200 respondents ▪ Survey results to be published, with clear decision-making tackling the low satisfaction areas
E Coordinate with external sources to leverage their data	▪ Master Card ▪ Global Blue ▪ TripAdvisor ▪ Brandwatch	▪ Ministry of Tourism to select KPIs to monitor, and solicit external private sector players for the relevant data **on a regular basis**

1 Sharing aggregate information, excluding personal information

2 Format to be developed by MoT based on data needed and shared with DGCA

20181022 Internal

2A MoT's system should be integrated with the passport ID reader at airport arrival for real time data sharing of information

	Current state	Future state
		
Foreign passport holders	▪ Shared reports between the DGCA and MoT on a monthy/bi-monthly basis with usual delays	▪ Automated reporting of visits from foreign passport holders with real time data sharing with MoT through integration of systems
Lebanese passport holders residing abroad	▪ No tracking of Lebanese passport holders residing abroad	▪ Automated reporting of visits from Lebanese residing abroad (Conditioned by building a database of all Lebanese passport holders living abroad: see diaspora initiative xxx) ▪ Passport ID reader to be integrated with expat database with real-time reporting to MoT

2018-2022 Internal

2B Digitize “entry card” for foreigners and modify it to include only information that cannot be obtained automatically from passport

From…

ETRANGERS *FOREIGNERS*

MEA
ENTREE - *ENTRY*

Ecrire Lisiblement *Write Clearly*

Prénom *First Name*

Nom *Family Name*

Prénom du Pére *Father's Name*

Date de Naissance *Date of Birth* Jour/ *Day* | Mois/ *Month* | Année /Year

Nationalité *Nationality*

Sexe/Sex: M☐ F☐

Lieu de Naissance *Place of Birth*

No. du Pass. *Passport No.*

Lieu de Délivrance Place of Issue

Date de Délivrance *Date of issue* Jour/ *Day* | Mois/ *Month* | Année /Year

Date d' Expiration Expiry Date Jour/ *Day* | Mois/ *Month* | Année /Year

Venant de *Coming from*

Profession *Occupation*

Motif de Visite *Purpose of Visit* ☐ Travail *Business* ☐ Etude *Study* ☐ Hospitalisation *Hospitalization* ☐ Privé *Private* ☐ Tourisme *Tourism* ☐ Séjour *Residence*

L'adresse au Liban: (Doit étre bien precise sous peine de poursuite judiciaire) (Informer la Sureté Générale en cas de changement)

Address in Lebanon: *(To be specified accurately under the ability of legal pursuit) (Notify the general security in case of any change)*

☐ Hotel *Hotel* ☐ Appt. Meublé *Furnished Apt.* ☐ Maison Privée *Private home* ☐ Autre *Other*

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To…

ETRANGERS *FOREIGNERS*

MEA
ENTREE - *ENTRY*

Ecrire Lisiblement *Write Clearly*

Prénom *First Name*

Nom *Family Name*

Nationalité *Nationality*

Sexe/Sex: M☐ F☐

Profession *Occupation*

Pays de Residence *Country of residence*

★ Venant de *Coming from*

Type de visiteur *Type of visitor* ☐ Resident Libanais avec passport etranger *Lebanese resident with foreign passport* ☐ De descendance libanaise *Of Lebanese descent* ☐ Etranger *Foreigner*

Motif de Visite *Purpose of Visit* ☐ Travail *Business* ☐ Etude *Study* ☐ Hospitalisation *Hospitalization* ☐ Privé *Private* ☐ Tourisme *Tourism* ☐ Séjour *Residence* ☐ Visite famille et amis *Visit friends and family*

L'adresse au Liban: (Doit étre bien precise sous peine de poursuite judiciaire) (Informer la Sureté Générale en cas de changement)

Address in Lebanon: *(To be specified accurately under the ability of legal pursuit) (Notify the general security in case of any change)*

☐ Hotel *Hotel* ☐ Appt. Meublé *Furnished Apt.* ☐ Maison Privée *Private home* ☐ Autre *Other*

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Add a section on type of visitor to categorize arrivals in: Lebanese resident with foreign passport, diaspora or foreigner

Ad a section for visit friends and family to assess the effectiveness of tourism marketing campaign

Remove information that can be collected from passport scanner (e.g. passport No., date of issuance, expiration date etc.

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2C Hotel reporting should be automated, possibly through Visit Lebanon initiatives, to eliminate existing data collection issues

PRELIMINARY

Hotel data reporting present four important issues

Compliance
~50% of the hotels do not report data[1]

Comprehensiveness
Data capture doesn't include all valuable indicators for the ministry of tourism (e.g. Revues from hotels)

Frequency and timeliness
Hotels report data only once per month, limiting the ministry's ability to identify patterns and take short-term action

Accuracy
Multiple hotels report inaccurate data for tax evasion reasons

Short and medium term actions should be taken to address these issues

Short term

Meet with hotels to discuss data challenges and potential solutions

Add new fields to the e-Revenue system and ask hotels to start reporting them

Ask hotels to report data on weekly basis

Future state

Automate the reporting process to have higher accuracy and timeliness of data

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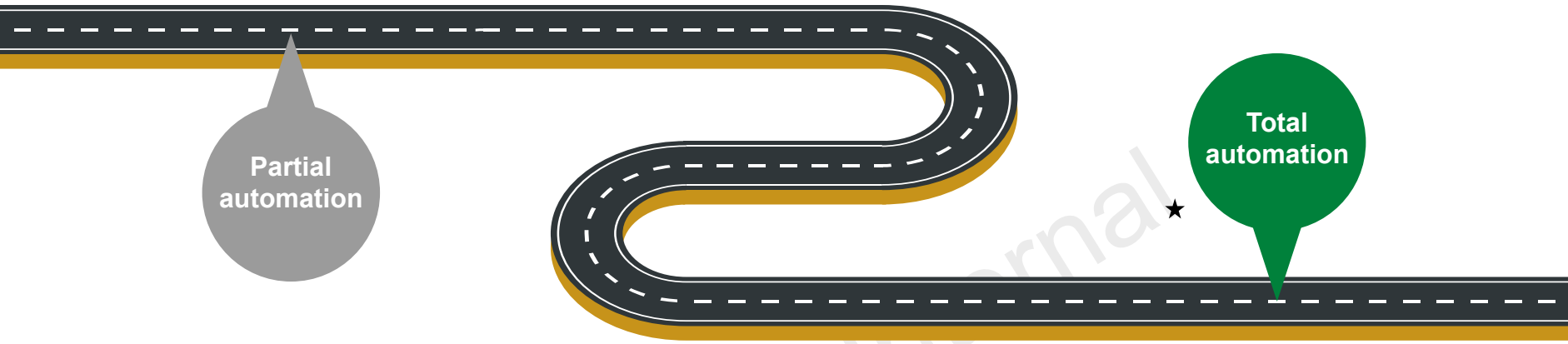
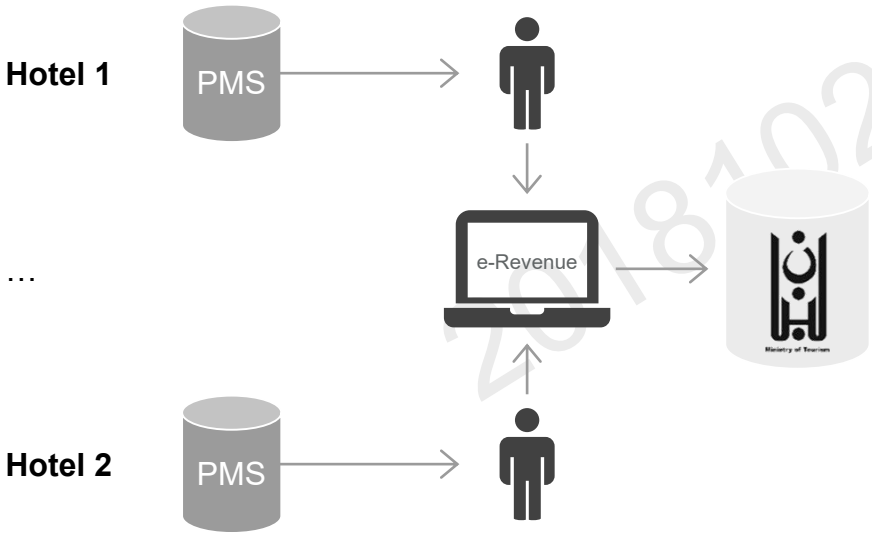
1 data is collected from a sample of 198 hotels only

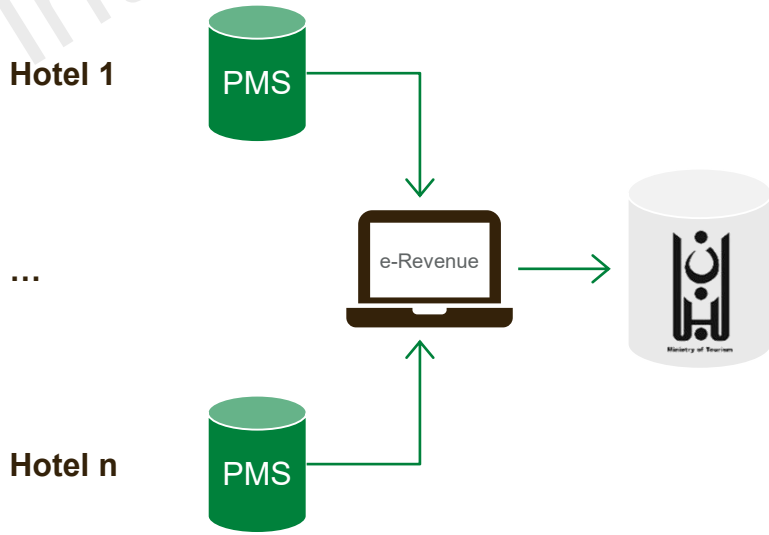
2C Automatic reporting would smoothen future data capturing

CONCEPTUAL





Hotels get data from PMS and enter it manually in the e-Revenue system



Automated reporting process that requires little or no human effort

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SOURCE: Press search

2D Tourism surveys should be deployed following a set of principles

	Guiding principles
1 **Defining purpose**	▸ Understanding survey objective ▸ Deciding on how results will be used ▸ Identifying target population
2 **Drafting survey**	▸ Drafting questions that add value for analysis ▸ Calculating survey completion time
3 **Piloting run**	▸ Testing on a small sample ▸ Modifying survey questions if needed
4 **Selecting data collection method & respondents**	▸ Choosing data collection method ▸ Selecting respondents, random sampling or other method ▸ Avoiding selection bias (e.g. ensuring that % respondents is representative and proportional to actual population)
5 **Executing surveys**	▸ Ensuring high response rates ▸ Reducing execution bias (e.g. respondent composition is proportional to key population breakdowns)
6 **Analyzing results**	▸ Interpreting the data collected ▸ Creating insights from survey results based on output envisioned

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Source: Expert interviews; OECD, team analysis

2D A customer satisfaction survey could be conducted at the airport upon departure of tourists

Detailed later

ILLUSTRATIVE

	1 Defining purpose	2 Drafting survey	3 Piloting run	4 Selecting data collection method & respondents	5 Executing surveys	6 Analyzing results
Description	Develop a survey that aims at improving journey , encouraging return visits and providing a platform for tourists to be heard	Draft a survey with the below characteristics: ▪ 10-12 questions ▪ ~5-10 min to complete ▪ Mix of multiple choice questions and scale rating	Pre-launch, test survey on a sample of 50 respondents to evaluate: ▪ Time needed to fill survey ▪ Completion rate ▪ Ease of comprehension of the questions ▪ Quality of answers	▪ Define sample characteristics to run survey[1] ▪ Create survey application form to be accessed through tablets ▪ Run survey in the airport upon departure (after immigration) through deploying volunteers to collect input on tablets	▪ Run survey at the airport upon departure twice per year ▪ Close survey upon getting 200 respondents with target sample size mix	▪ Analyse survey results and identify priority key actions to improve customer journey ▪ Report survey results in the form of a townhall with stakeholders and develop action plan to implement key priority actions

1 E.g. Target split for source countries, diaspora vs non-diaspora, Arabic speaker vs non-Arabic speakers)

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2D Sample survey

ILLUSTRATIVE

1. **Are you:**
   - ☐ Lebanese resident
   - ☐ Diaspora
   - ☐ Lebanese non-resident
   - ☐ Foreign visitor

2. **Nationality** ★

3. **Country of residence:**

4. **Purpose of travel**
   - ☐ Business
   - ☐ Leisure
   - ☐ Hospitalization
   - ☐ Study
   - ☐ Work

5. **Average length of trip (in days)** Enter number

6. **Approximate spent during stay (excl. ticket)**
   - ☐ Less than 500 USD
   - ☐ 500-1000 USD
   - ☐ 1000-2500 USD
   - ☐ 2500-4000 USD
   - ☐ More than 4000 USD

7. **Please rate your level of agreement for the below statements (1 to 5, low to high)**

	1 (low)	2	3	4	5 (high)
How would you rate your overall experience in Lebanon	☐	☐	☐	☐	☐
How likely are you to visit Lebanon again	☐	☐	☐	☐	☐
How likely are you to recommend Lebanon as a tourism destination for others	☐	☐	☐	☐	☐

8. **What was your favorite activity:**
   - ☐ Eating at restaurants
   - ☐ Outdoor activities
   - ☐ Exploring the rural areas
   - ☐ Relaxing on the beach
   - ☐ Clubbing and gaming
   - ☐ Shopping
   - ☐ Visiting cultural sites
   - ☐ Other

9. **How can we improve your experience in Lebanon**

10. **Please enter your e-mail address**

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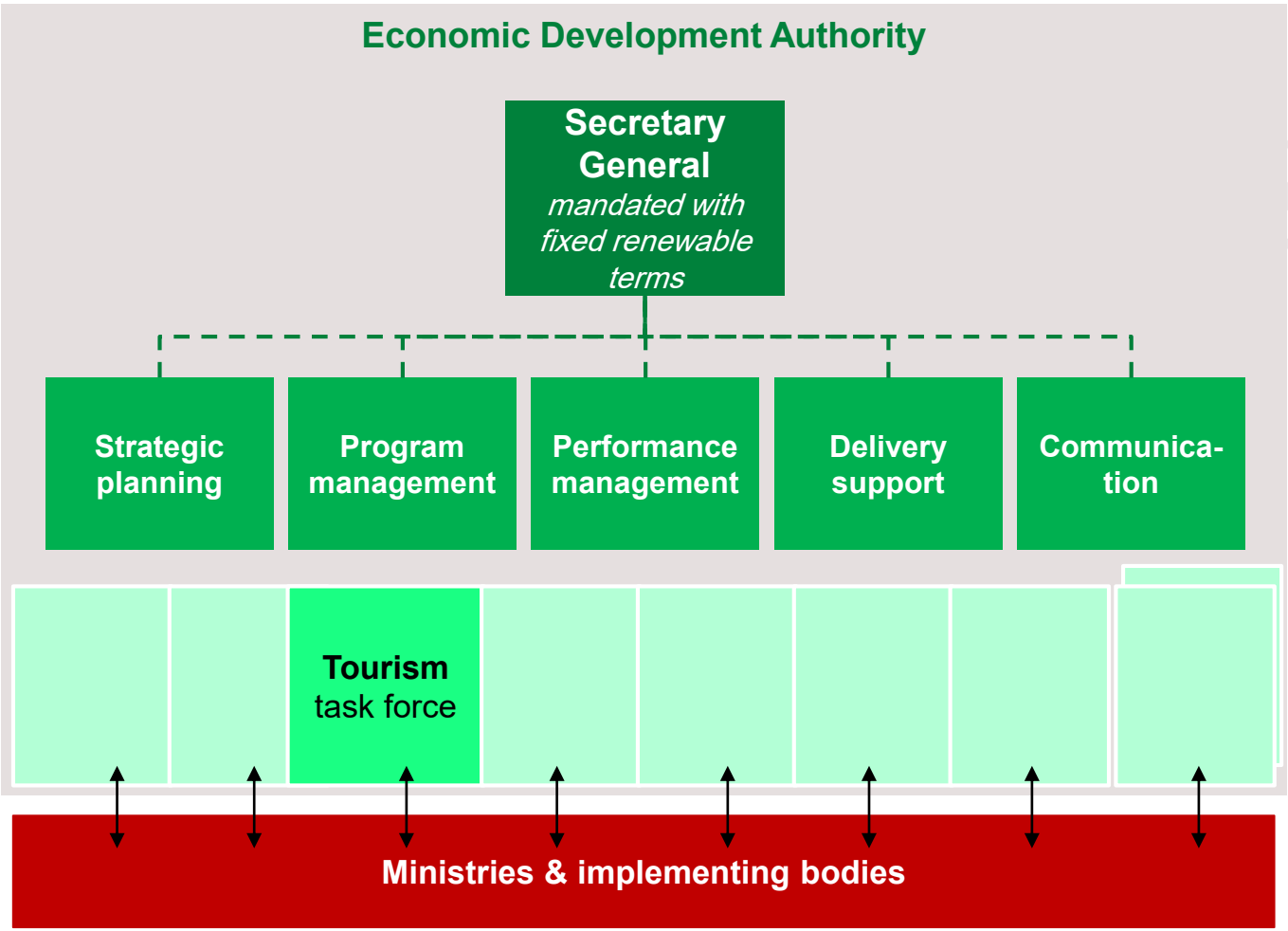
3 Outcomes of surveys and data findings should be regularly communicated with the relevant stakeholders and made public

	Description
Communication channels with external stakeholders	
1 Published reports	▪ Publishing standardized reports regularly to communicate performance updates, announcements, and insights to the sector
2 Regular town hall meetings	▪ Town hall meetings with key stakeholders to share [client] strategy and other sensitive details that cannot be published
3 SLAs and data sharing	▪ Continuous insights and raw data sharing with stakeholders through SLAs

Internal

The tourism task force should become the node for coordination of all tourism-related initiatives



The tourism task force should coordinate closely with the respective owners to implement the initiatives across all "folders"

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Three identified flagship projects should be launched immediately to jumpstart the momentum of the Vision

Discussed next

Create immediate and visible impact *(Launch ~3 quick-win projects)*

- **Seamless end-to-end tourism journey** with a newly-overhauled airport experience
- **Penetration of 2-3 Lebanese crops into new export markets**[1]
- **"Lebanon 2020" centennial** nation-wide celebration[1]

Capture imminent opportunities

- **Construction technology zone on the border with Syria**, capitalizing on the Syria and Iraq reconstruction opportunity worth ~100-300 USD Bn, and housing millions of returning refugees

Build a flagship project symbolizing the Vision

- **"Smart Lebanon" Knowledge Hub** hosting creative, technology and outsourcing companies, within and outside real estate zones (e.g. Outsourcing park in Tripoli)

1 Initiatives to be detailed at a later stage

Contents – Industrial Construction Zone

The Syrian reconstruction opportunity

Building a comparative advantage for Lebanon

Initial perspective on industrial construction zone

- Location assessment
- Tenant strategy
- Governance
- Technology focus

Impact assessment

Implementation roadmap

Appendix

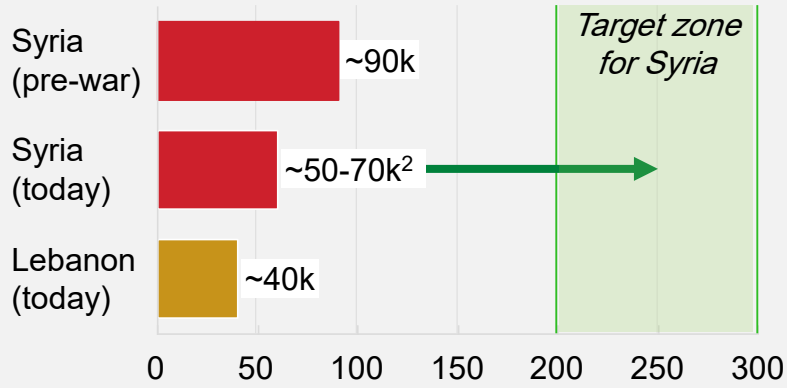
The Syrian conflict has destroyed 1-2 million homes, contributing to a total reconstruction cost of 100-350 billion USD

1-2 million homes — Damaged or destroyed

200-300k homes/year[1] — Estimated post-war construction requirement

100-350 USD bn — Estimated total cost of reconstruction[3]

Comparison of estimated production capacity, # housing units/year

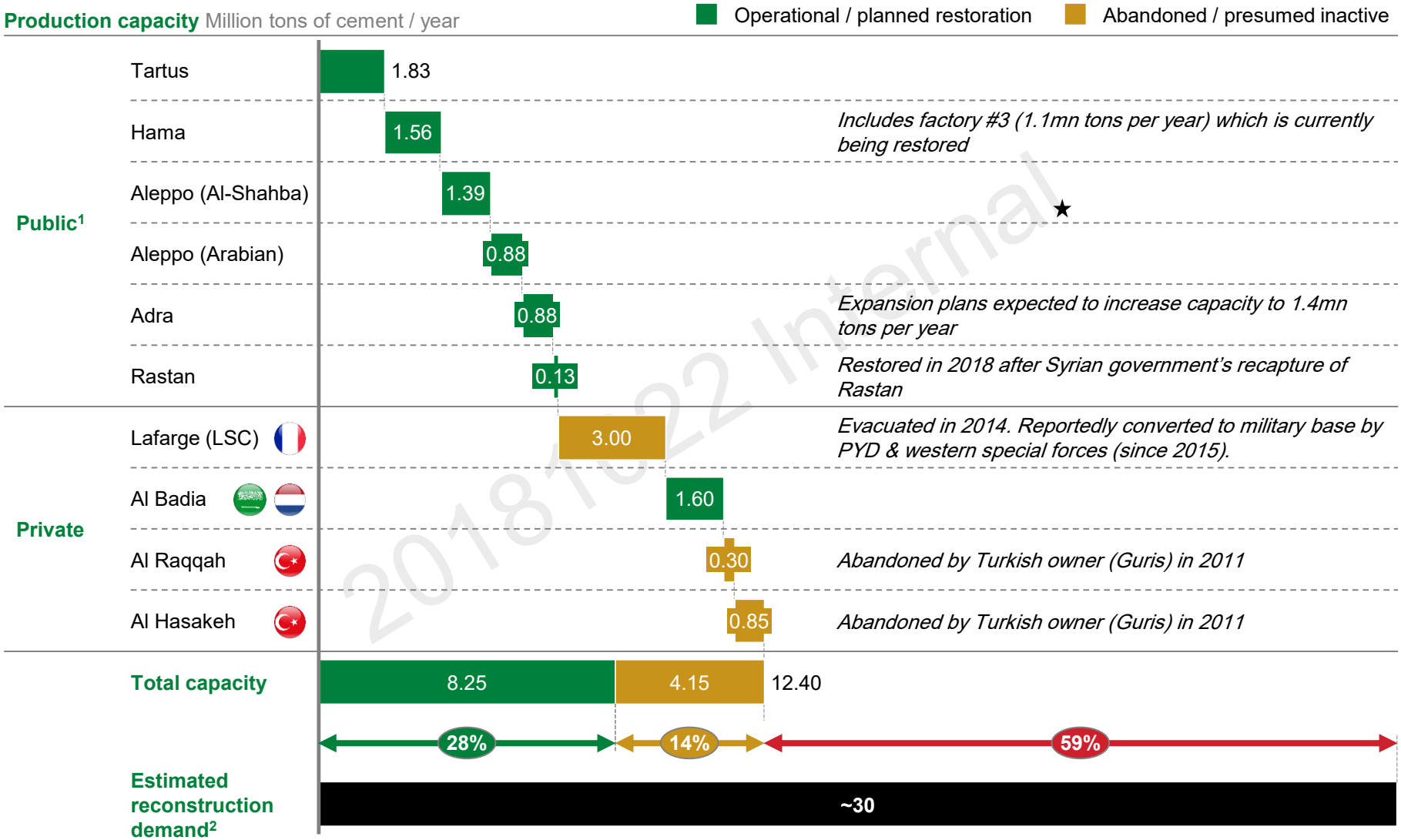


- Syria's domestic construction capacity will only be able to meet **20-30%** of demand
- Annual supply gap will be **at least 100,000 units**, which is overwhelming larger than Lebanon's total production capacity of ~40,000 units
  - E.g. to capture 20% of the supply gap, Lebanon will need to increase its capacity by 50%
- Thus, in all likelihood, Lebanon's reconstruction efforts will **not be limited by demand**

1 Including natural growth rate of 100,000 homes/year; 2 Based on damage/destruction of cement factories; 3 Not limited to housing

Source: World Bank, Middle East Initiative, cement factory websites, press search

After losing 1/3rd of its cement production capacity during the conflict, Syria's domestic supply of cement represents < 30% of demand



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1 Owned by the Ministry of Industry's General Organization for Cement and Building Materials (GOCBM) 2 Assumed construction of housing 300,000 units every year, but does not account for non-housing demand for cement

Source: Middle East Initiative, Syrian Ministry of Industry, press search, company websites

Contents – Industrial Construction Zone

- The Syrian reconstruction opportunity
- **Building a comparative advantage for Lebanon**
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  - Tenant strategy
  - Governance
  - Technology focus
- Impact assessment
- Implementation roadmap
- Appendix

Lebanon's comparative advantages at a glance

A Why Lebanon?

- **Geographical proximity** to major reconstruction areas, including Homs, Aleppo, and Damascus countryside *(Douma, Eastern Ghouta, etc.)*
- Relatively **positive investment & business environment** *(compared to Syria, Iraq)* which will continue to improve through reforms
- Availability of **high-skilled labor** in relevant fields *(e.g. architecture, engineering)* with strong **understanding of Syria's housing needs** *(e.g. due to similar preferences)*
- Strong **cultural & language ties** *(e.g. vs. Iran , Turkey)* and a favourable **political** relationship with Syria *(e.g. vs. Turkey, Saudi Arabia and Jordan)*
- A **liberal** environment with **high standards of living** which enable a positive **lifestyle** for foreigners *(e.g. compared to Syria, Iraq)*

B Why Industrial Construction?

- Industrial construction allows **savings in cost and production time** as well as higher quality, which will be very relevant in the reconstruction in Syria *(e.g. partially to facilitate return of refugees)*
- Industrial construction allows Lebanon to capture a significant share of reconstruction value, as it **transfers "value-add" from construction sites to factories** (to be located inside Lebanon)
- Lebanon **prefabricated construction sector is well-established**, externally focused, and growing *(prefab material is one of Lebanon's fastest growing exports)*

C Why Industrial Zone?

- Industrial zone will offer **highly effective and efficient infrastructure** including utilities *(e.g. power)* and industrial infrastructure *(e.g. storage areas, loading docks)*
- Industrial zone will offer **financial enablers** including competitive land lease offers, prioritized access to financial support programs *(e.g. Kafalat),* and customized investment attraction packages
- Industrial zone will offer **regulatory enablers** including a one-stop shop which coordinates all regulatory affairs *(e.g. licensing)*
- Industrial zone will offer **extensive support services** including business operations support, facilitated access to suppliers / service providers, research facilities, site management & security, etc.
- Co-location of industrial construction firms (and adjacent services) creates **economies of scale** *(e.g. bulk purchasing, machinery sharing, etc.)* which improve profitability

Global experience shows that competitiveness in construction technology requires an optimal positioning across four dimensions

✓ Advantage provided by zone ✗ Comparative disadvantage ✓ Comparative advantage

Availability of talent	▪ Technology construction requires more **high-skill knowledge-intensive labor** vs. regular ▪ **Lebanon has a larger pool of talent** than regional competitors ★	✓
Maturity of the industry	▪ Ramping-up **technological requirements and know-how** is lengthy ▪ **Lebanon** has a **more established** industry **than Jordan** and proportionally **at-par with Turkey**	✓
Distance to export markets	▪ **Cost of transportation** is a major cost component ▪ **Specific target** markets are **closer to Lebanon** than regional competitors	✓
Physical infrastructure *(power, roads…)*	▪ **Physical infrastructure in Lebanon is lagging** compared to regional peers ▪ Construction **zone** will provide **best-in-class infrastructure** (power, telecom) **and connectivity** (revised road & ports)	✓
Cost competitiveness	▪ Major cost components include **steel and cement** ▪ Lebanon **lags competitiveness** on cost of material when compared to Jordan & Turkey	✗

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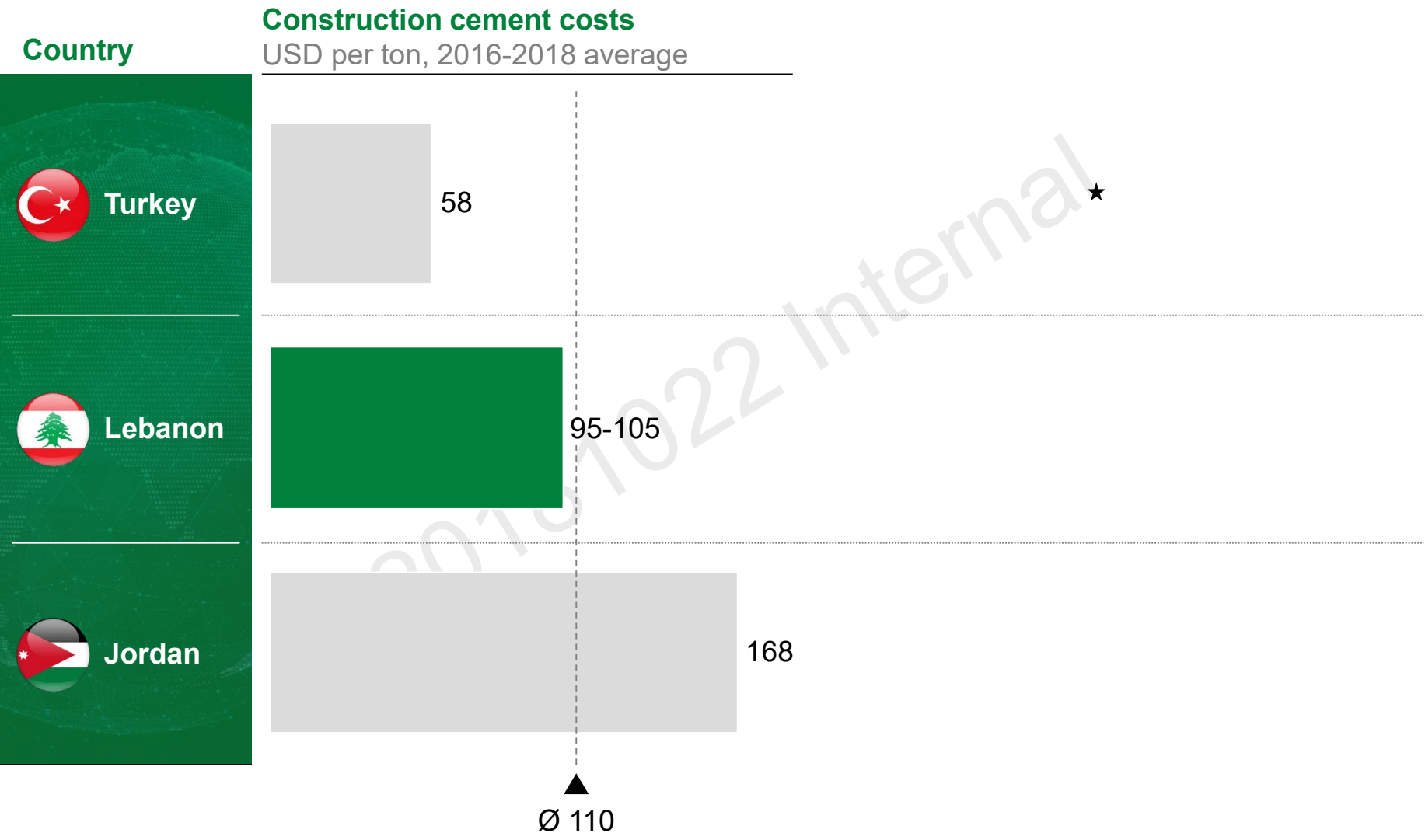
Source: McKinsey innovation hub practice; expert interviews

Cement costs are lower than Jordan but ~2x Turkey's costs



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Source: CW Research; Expert interviews

B What is industrial construction?

Industrial construction entails **large-scale**, **centralized** production of units using **automated & optimized** industrial technologies which allow for **integration** across the value chain

B Industrialized construction offers several advantages which are very relevant to Syrian reconstruction

Advantages of industrialized construction

Reduced costs

20%-40% ↓

Minimization of waste due to the accurate production of precast concrete elements and reduced maintenance costs

Critical in Syria

Due to declines in income & purchasing power

Short construction time (and better quality)

~50% ↓

Optimized process and production in a controlled environment leads to efficiency and quality

Critical in Syria

Due to overwhelming supply-demand gap

Higher productivity; fewer on-site personnel

~30% ↓

Reduced labor cost and improved productivity

Creation of high-skill employment opportunities as jobs move from site to factory

Critical in Lebanon

Due to shortage of skilled job openings for Lebanese graduates & workers

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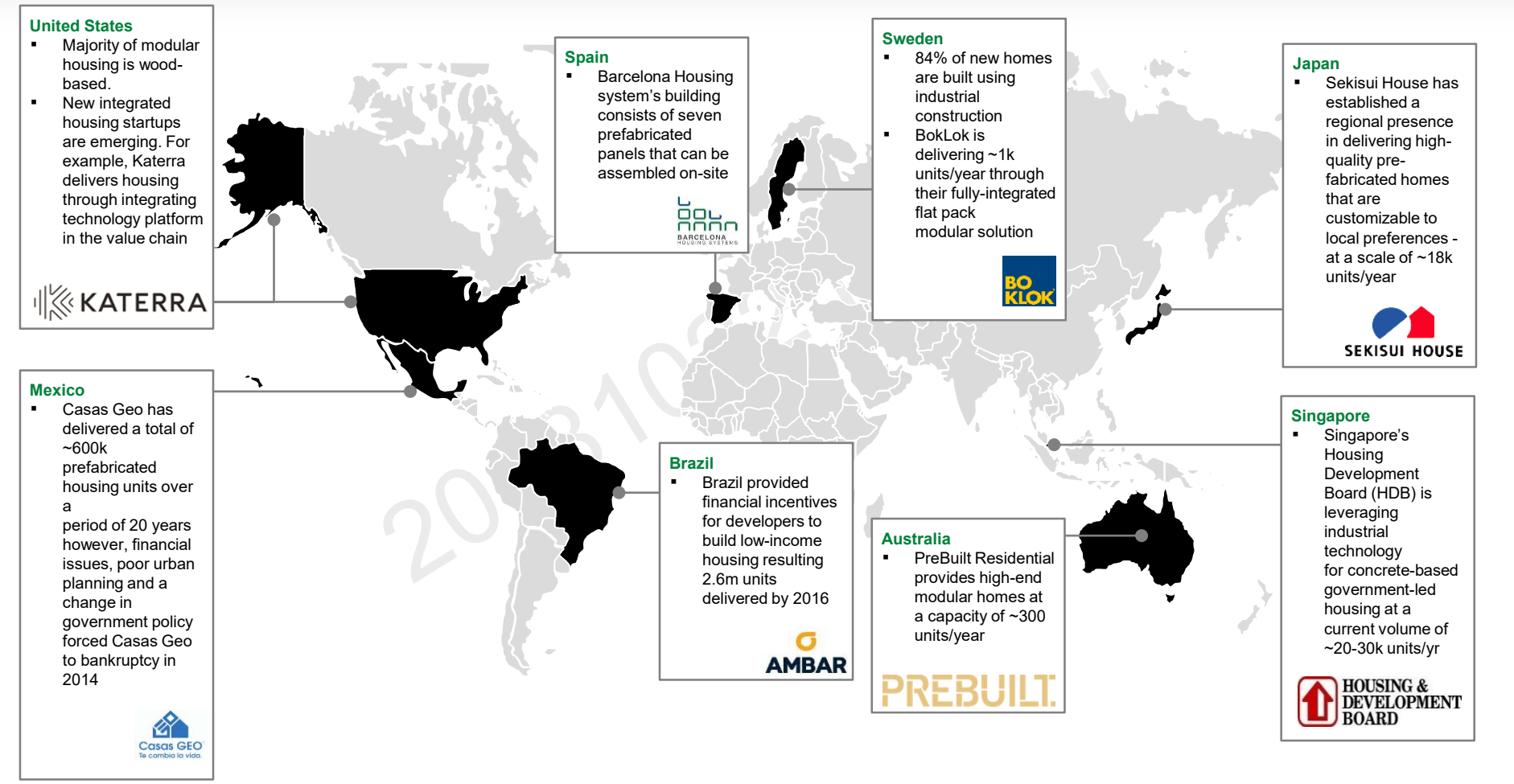
B Industrial construction technologies have been successfully leveraged for housing across the world…



United States
- Majority of modular housing is wood-based.
- New integrated housing startups are emerging. For example, Katerra delivers housing through integrating technology platform in the value chain

KATERRA

Spain
- Barcelona Housing system's building consists of seven prefabricated panels that can be assembled on-site

BARCELONA HOUSING SYSTEMS

Sweden
- 84% of new homes are built using industrial construction
- BokLok is delivering ~1k units/year through their fully-integrated flat pack modular solution

BO KLOK

Japan
- Sekisui House has established a regional presence in delivering high-quality pre-fabricated homes that are customizable to local preferences - at a scale of ~18k units/year

SEKISUI HOUSE

Mexico
- Casas Geo has delivered a total of ~600k prefabricated housing units over a period of 20 years however, financial issues, poor urban planning and a change in government policy forced Casas Geo to bankruptcy in 2014

Casas GEO
Te cambia la vida

Brazil
- Brazil provided financial incentives for developers to build low-income housing resulting 2.6m units delivered by 2016

AMBAR

Australia
- PreBuilt Residential provides high-end modular homes at a capacity of ~300 units/year

PREBUILT

Singapore
- Singapore's Housing Development Board (HDB) is leveraging industrial technology for concrete-based government-led housing at a current volume of ~20-30k units/yr

HOUSING & DEVELOPMENT BOARD

SOURCE: Sekisui House; Housing Development Board (Singapore); Prebuilt Australia; Boklok; Katerra; press search; team analysis

B … as well as in Syria and the Middle East

The “Masaken Barzeh” area in **Damascus** is almost entirely prefabricated

Karmod – a leading Turkish prefab company – has developed several modular housing compounds in **Iraq** ★

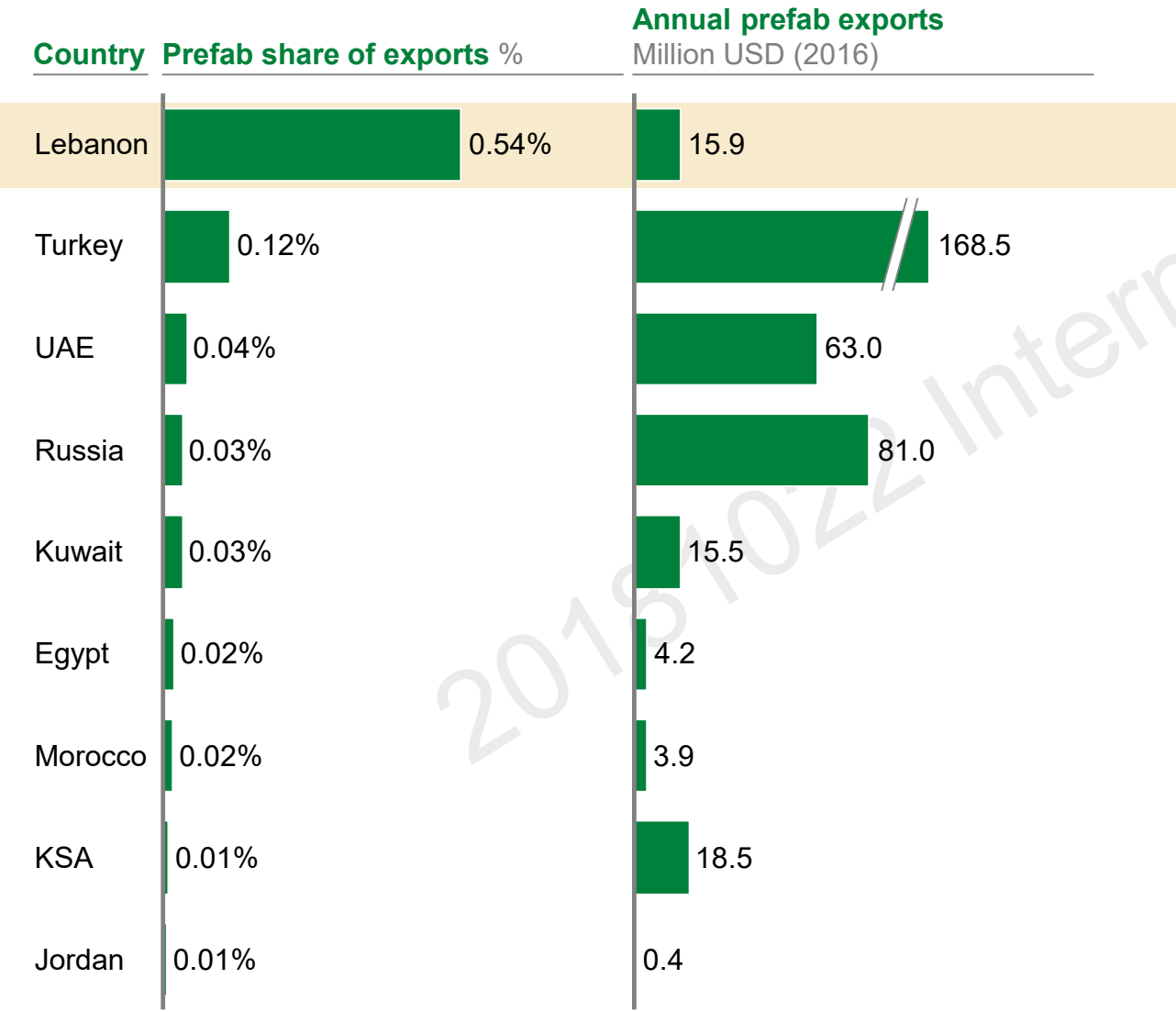
2500 units build in 12 months (2014-15)

1880 units built in 7 months (2013)

Internal

Source: Karmod website; Press search

B Lebanon has the advantage of having a relatively well-established prefab sector which accounts for a significant share of exports



Sample of Lebanese players

DALAL STEEL INDUSTRIES
The Pre-Engineered Advantage

MEGAPREFAB SAL
Precast & Post-tension Specialists

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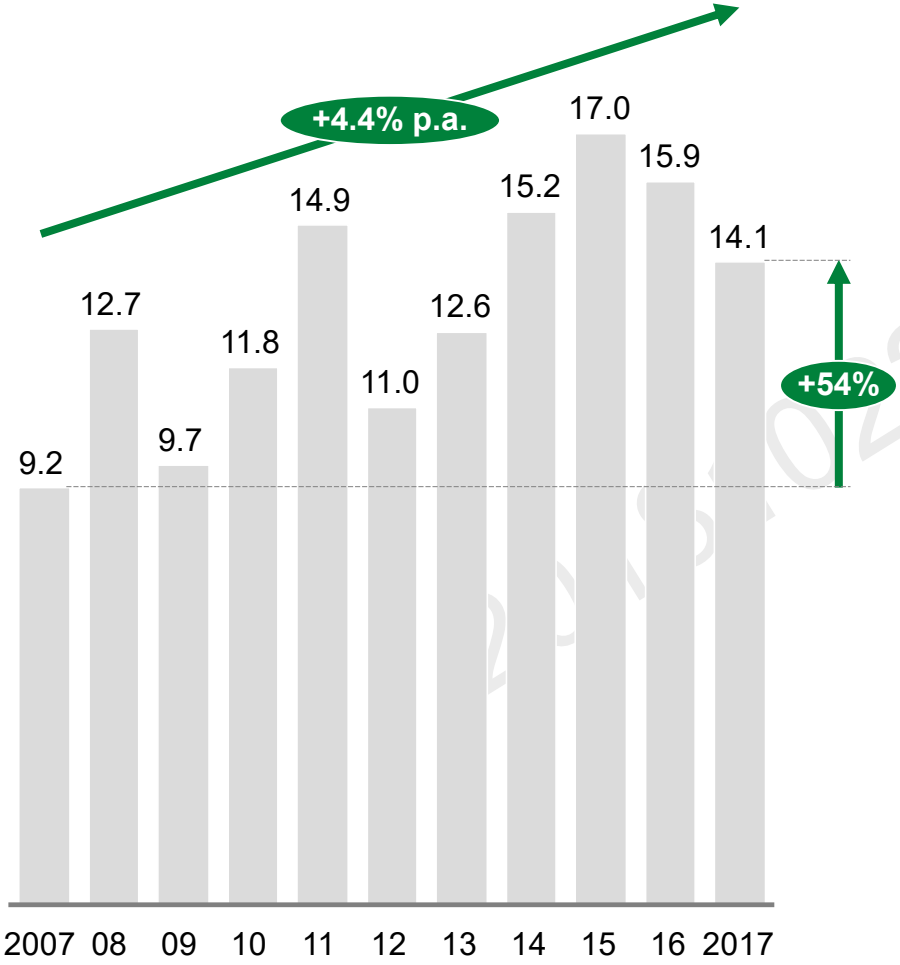
Source: WITS; Lebanese Customs; Press search

B Exports of prefabricated buildings grew by over 50% over the last 10 years, with destinations across the Middle East and western Africa

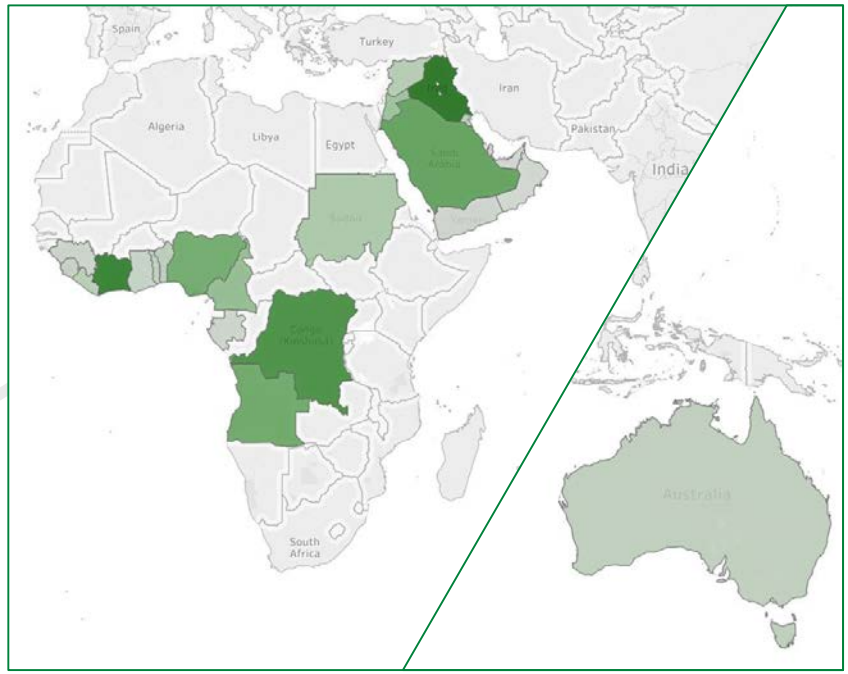
Lebanon's annual exports of prefabricated buildings

Million USD



Geographical breakdown of export destinations

Total exports 2007-2017



Top 5 export markets for prefabricated buildings:

- Iraq
- Ivory Coast
- Congo
- Saudi Arabia
- Angola

Source: Lebanse Customs

C An industrial construction zone in Lebanon can create a strong value proposition for Lebanon across four dimensions

Services

Site management *(e.g. security, maintenance)*

General services *(e.g. Meeting space, F&B outlets, employment office, etc.)*

Functional services *(e.g. engineering offices, research labs, central procurement & sales offices, etc.)*

Infrastructure

Dedicated **power infrastructure** *(including off-grid systems, e.g. PV)*

Dedicated **water & utility** systems

Dedicated **waste management** system

Central **loading docks & storage areas** (e.g. for cement, steel, etc.)

On-site **customs pre-screening** facility

Financial enablers

Competitive long-term **land lease** programs

★ Prioritized access to national **financial support programs** *(e.g. Kafalat)*

Customized **investment attraction packages** *(via IDAL)*

Favorable **tax regime**

Favorable **capital regulations** *(e.g. repatriation controls)*

Regulatory enablers

Regulatory **coordination services** *(e.g. on-stop shop)*

Favorable **labor policy** *(e.g. hiring & firing regulations)*

Independent **dispute resolution** mechanism

Requires extensive regulatory action to develop independent regulatory ecosystem (e.g. similar to Tripoli SEZ), and further assessment is required to assess feasibility / impact

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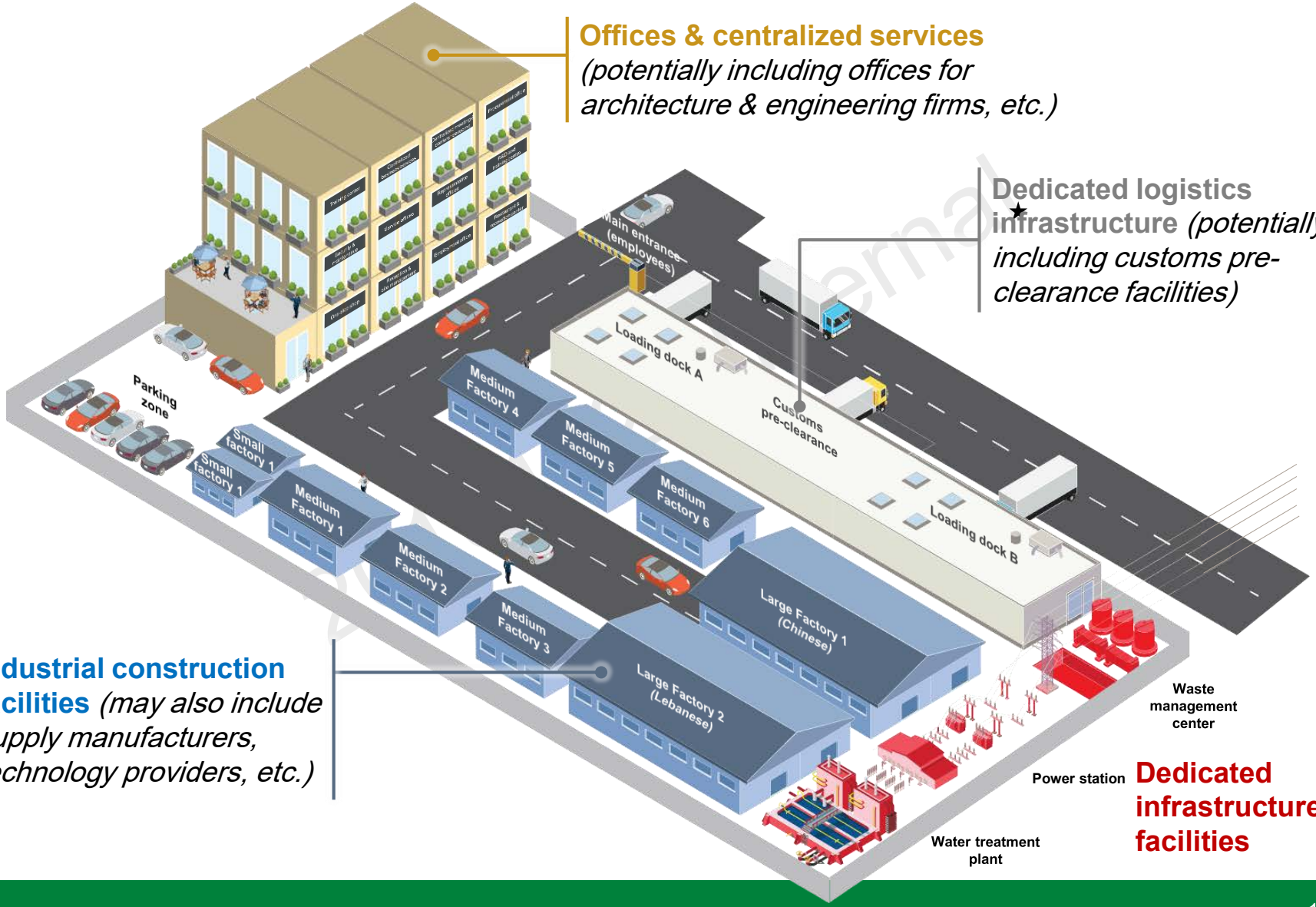
Illustrative visualisation of industrial construction zone

ILLUSTRATIVE EXAMPLE



Beyond infrastructure, the industrial construction zone should seek to develop 12 key services *(with varying levels of priority)*

Excludes infrastructure (power & utilities) and customs facilities

Type

Site management | Regulatory enablement | Market | Required | Medium
General services | Functional services | Financial enablement | High | Low

Office / service	Description	Priority
A Site operator offices	Offices for zone-operating entity, including zone administration offices, reception area, maintenance team offices, etc.	●
B Security offices	Central security office, managing zone security as well as personnel access, vehicle registration, emergency services, etc.	●
C Restaurant(s) & recreation center	Common area to be used by all zone employees, including F&B outlets and possibly recreation areas as well	●
D Meeting & conference space	Area to be used by tenants for individual purposes (e.g. client meetings) and for zone-wide events (e.g. training lectures, conferences, etc.)	●
E Regulatory coordination office	One-stop shop which coordinates all regulatory and legal procedures for zone tenants, inluding licensing & registration, employee visas, export licences, etc.	●
F Central procurement office	Supports zone tenants with identification of local suppliers (e.g. cement & ceramics factories), supply negotiations, and procurement (including bulk purchasing on behalf of multiple tenants)	●
G Industry offices	Functional or representative offices for relevant industry players, including input suppliers (e.g. cement factories), architects, engineers, etc.	●
H Employment office	Supports hiring through job postings, distribution of candidate profiles, coordination with National Employment Office, etc. Also acts as a single point of contact for job seekers.	●
I Central sales office	Centralized sales service which provides sales services on behalf of all zone tenants and acts as a single destination for interested buyers	●
J Finance coordination office	Facilitates financial support for zone tenants (e.g. corporate loans, investment) by coordinating and negotiating with IDAL, banks, international agencies and other funders (e.g. local & international VCs)	●
K Research lab(s)	Performs research on latest developments in industrial construction technologies, and promotes / facilitates adoption by zone tenants	●
L Centralized business services	Provides centralized admin & business support to zone tenants, e.g. HR, marketing, finance, etc.	●

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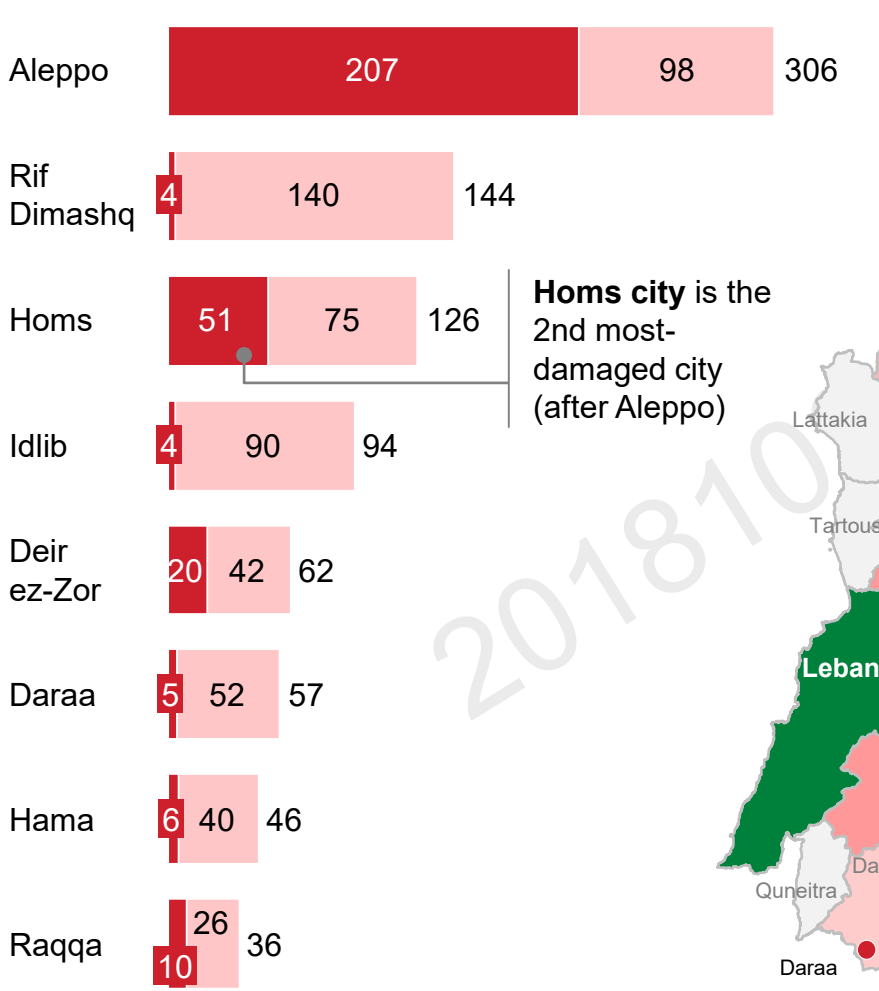
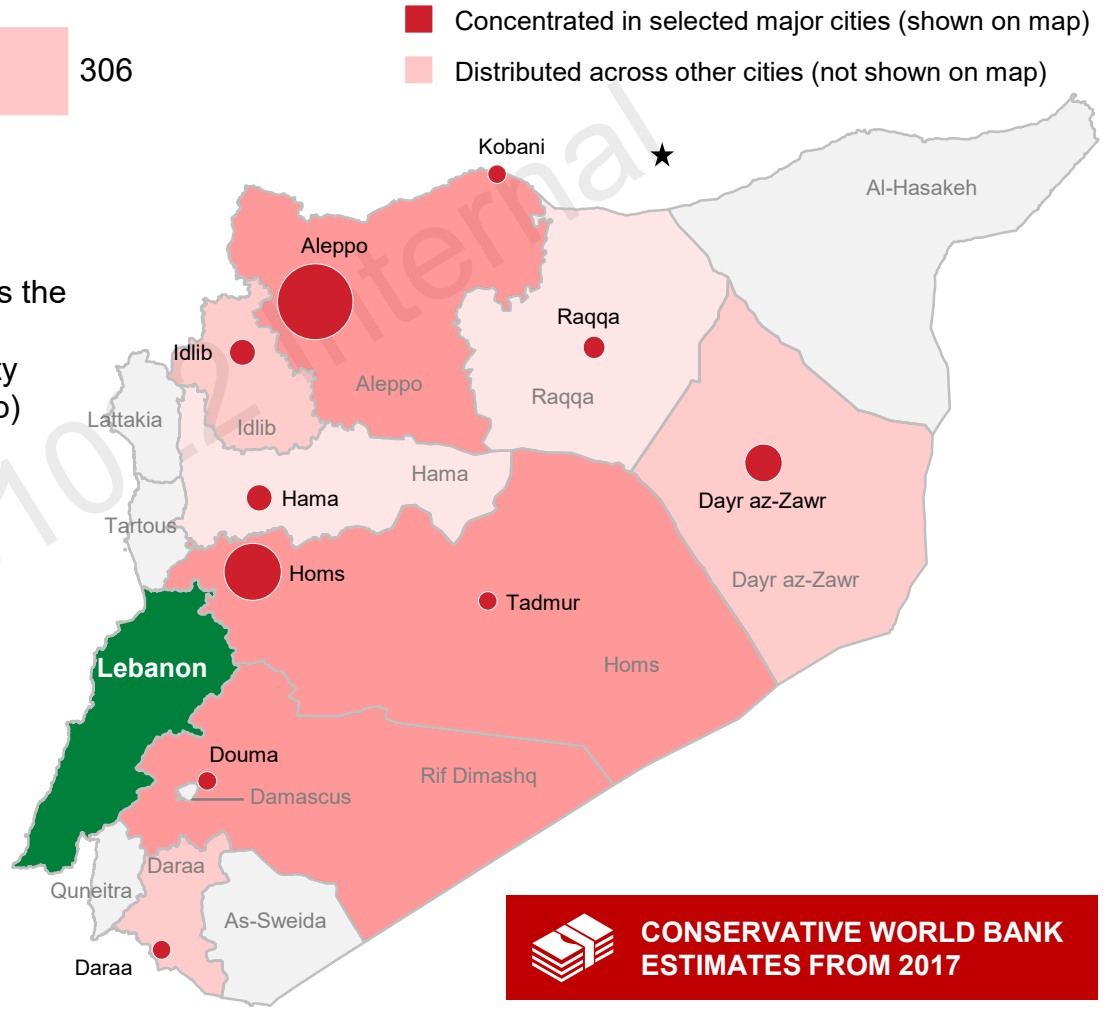
Homs is likely to be one of the most important reconstruction markets for Syria, followed by Rif Dimashq and Aleppo

Governorate-level distribution of damage to housing in Syria (2017)

of housing units which were destroyed or damaged, '000



Homs city is the 2nd most-damaged city (after Aleppo)



CONSERVATIVE WORLD BANK ESTIMATES FROM 2017

20181012 Internal

Source: World Bank

A preliminary assessment was conducted for four locations near the Syrian border: Abboudiye, Chadra, Al Qaa, and Masnaa

PRELIMINARY

Cement production facility | Major port | X Cement production capacity *(mn tons/year)*

ABBOUDIYE

- Abboudiye is a border town which lies along the main international highway connecting Tripoli to Homs

CHADRA / MACHTA HASAN / MACHTA HAMMOUD

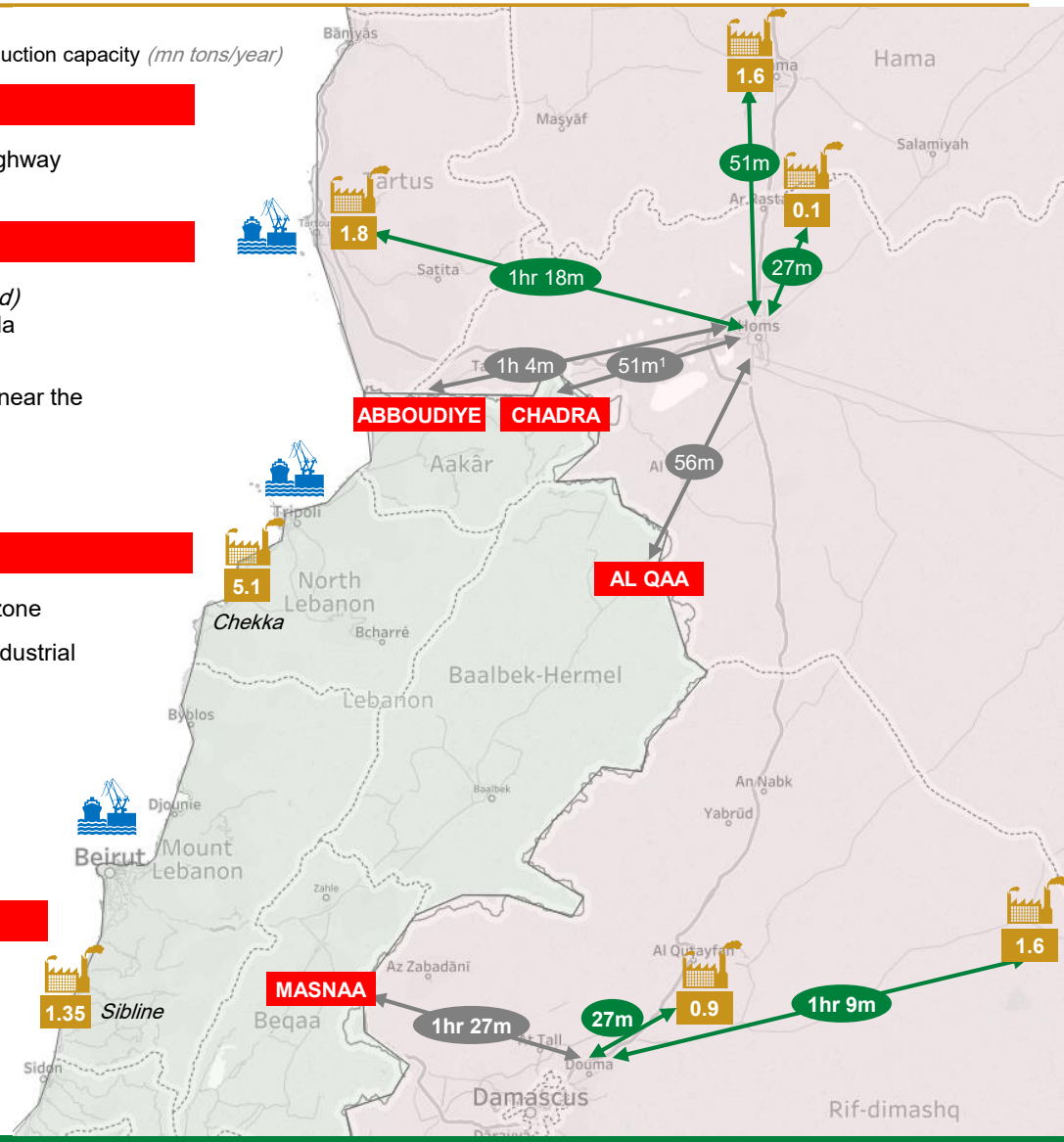
- Chadra *(along with neighboring Machta Hasan and Machta Hammoud)* are the nearest towns to the border crossing which connects to Hadida and Homs in Syria
- Although the cities themselves are in a hilly area, there are flat lands near the border crossing which could host an industrial zone
- Access to the area *(e.g. from Tripoli)* is not ideal due to the vast surrounding mountainous terrain

AL QAA

- Al Qaa's flat geography makes its land a prime host for an industrial zone
  - Land in Al Qaa has already been allocated to one of the three industrial zones being developed by MoI and UNIDO *(which will likely focus on food processing)*. There may be an opportunity to use part of this land – or adjacent vacant land – for an industrial construction zone *(enabling infrastructure synergies)*
- Al Qaa lies along the international highway which connects Baalbek to the Syrian border *(continuing to Al Qusayr and Homs)*, and is very close to Hermel *(20 minute drive)*

MASNAA / MAJDAL ANJAR / ANJAR

- Masnaa is the last Lebanese town along the international Beirut-Damascus highway
- Flat areas surrounding in Majdal Anjar and Anjar may be well-prepared to host an industrial zone



1 Assumes free access along the Chadra/Hadida border

Source: Syrian Ministry of Industry, press search, company websites

While each location has a different value proposition, Al Qaa might be best-prepared to host an industrial construction zone

PRELIMINARY

Assessment of relative site advantage, *Driving distance*

		Abboudiye	Al Qaa	Chadra	Masnaa
Proposed **target** construction market		Homs (city)	Homs (city)	Homs (city)	Douma & E. Ghouta
Distance to target construction market[1]		1h 4m	56m	51m	1h 27m
Target's **proximity to Syrian cement** factory[2]		51m	51m	51m	27m
Comparative proximity to target market		✓	✓	✓	✗
Local **geographic accessibility**		●	●	●	●
Proximity to **major Lebanese cities**		●	●	●	●
Proximity to cement facility	Chekka	1h 7m	2h 20m	1h 32m	2h 15m
	Sibline	3h 1m	2h 44m	2h 53m	1h 41m
Proximity to port (e.g. for steel imports)	Port of Tripoli	52m	2h 8m	1h 17m	2h 28m
	Port of Beirut	2h 12m	2h 18m	2h 19m	1h 12m

*Lebanon can serve **Homs** competitively, whereas Damascus suburbs will be better-served by Syrian facilities* ★

Chadra is disadvantaged by its relative isolation in a mountainous terrain

***Abboudiye** has the most convenient access to major input providers*

20181022 Internal

Preliminary analysis suggests that **Abboudiye** or **Al Qaa** might be best-suited to host an industrial construction zone focused on Syrian reconstruction

- Lebanon is geographically better-equipped to address reconstruction in **Homs** *(rather than the suburbs of Damascus)*, and therefore a zone near **Masnaa** would not be optimal
- **Chadra**'s geographic isolation and distance from major cities threatens the feasibility of establishing an industrial zone

Further analysis is required to assess socioeconomic and environmental impact, land availability, infrastructure readiness, etc.

1 Transportation can be a major driver of cost and competitiveness for industrial construction components (especially 3D modular components)
2 Excluding factories with annual production below 500,000 tons

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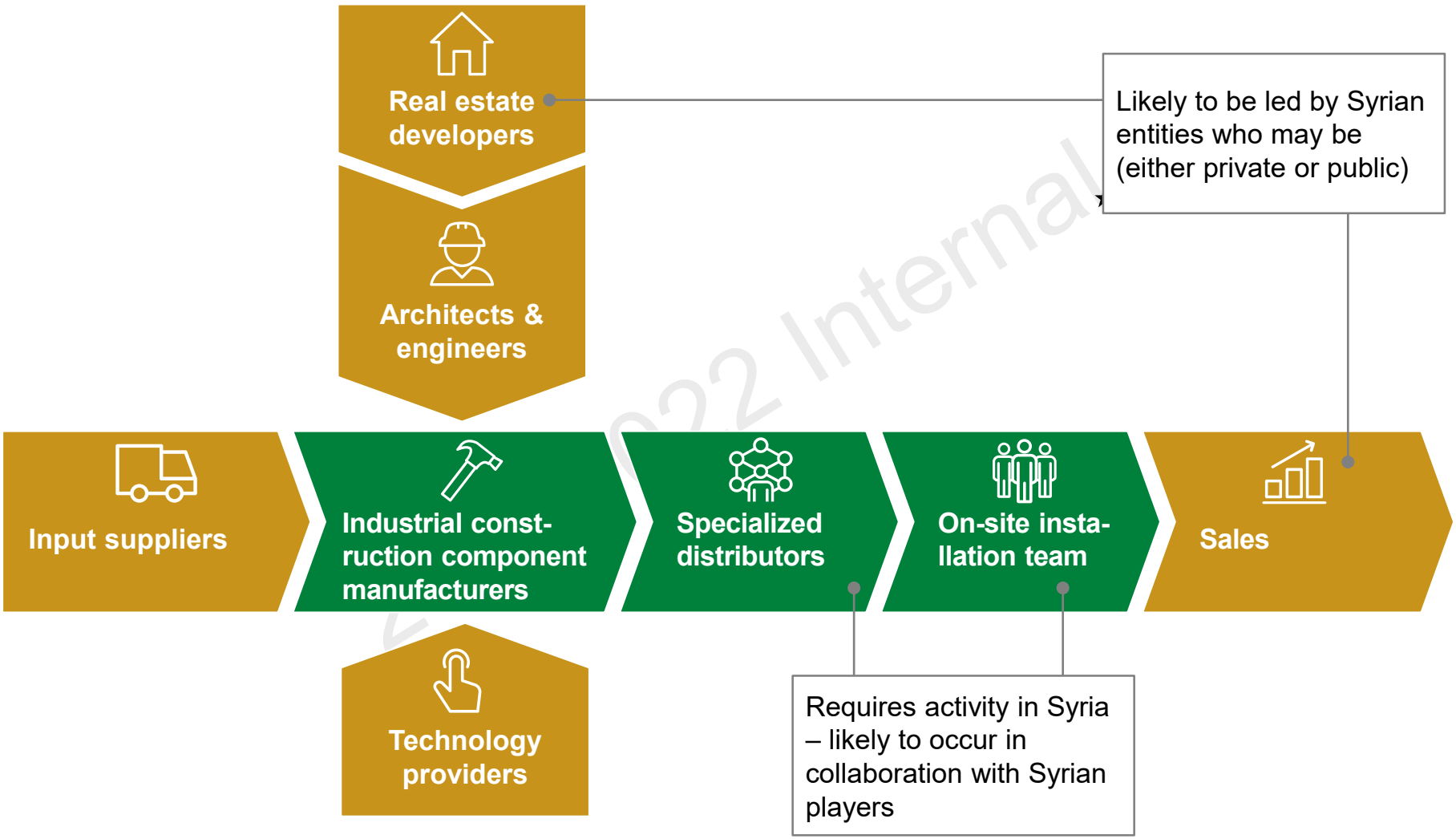
Industrial construction zone should attract players across the entire value chain (1/2)



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Industrial construction zone should attract players across the entire value chain (2/2)

Level of importance ◔ ◑ ● Primary Secondary

Player type	Description of activities	Importance in zone
Input suppliers	Producing necessary input materials, including cement and steel as well as ceramics, pipes, HVAC materials, furniture, paints, etc.	◔ Zone tenants should seek to leverage and support existing supply chain providers in Lebanon (e.g. cement & ceramics factories) to the extent possible
Industrial construction factories	Manufacturing industrial construction components, ranging from pre-cast concrete panels to 3D modular elements	● Core industrial construction activity (focus of zone) ★
Specialized logistics providers	Transporting industrial construction material from factory to construction site, using specialized large-size trucks	◑ Critical adjacent service which is ideally offered by industrial construction factory itself *(but may occur with Syrian partners, as activities occur inside Syria)*
On-site installation team	Perform on-site installation of industrially-produced components	◑ Critical adjacent service which is ideally offered by industrial construction factory itself *(but may occur with Syrian partners, as activities occur inside Syria)*
Construction technology providers	Provide and maintain industrial construction technologies *(including machinery, IT solutions, etc.)* for manufacturing facilities	◔ Although it is possible to rely on partnerships with international providers, tenants would benefit from local players
Architecture and engineering services	Provide architecture, design and engineers services	◔ Collaboration with architects/engineers is very important, but does not strictly require co-location in the zone, especially since Lebanon already has many well-established players
Real estate developers	Typically own land (or coordinate with land owner) and oversee all project development elements, including awarding of contracts to construction companies	○ Although close coordination developers is needed, it may be more effective to work Syrian developers or existing Lebanese developers
Real estate sales offices	Responsible for marketing and sales of residential units	○ Requires presence inside Syria. Lebanon firms can be involved *(especially in preparation of marketing material, reach-out to Syrians in Lebanon)* but there is a limited need to be co-located in industrial zone

Services often provided by individual industrial construction companies

2018-022 Internal

Lebanon's industrial construction zone can attract 4 types of players, which should be prioritized to different extents

Approach	Comments	Accelerated time to impact	Preliminary assessment of priority
A Incubating **new local players**	Incubating new start-ups is an efficient way to **leap-frog technologies** / adopt best-in-class techniques, but **requires high-risk investment**	6-12 months ★	**Medium**
B **Expanding capacities** and capabilities of local players	Lebanon has **several well-established players** with high growth potential, but may **require support** to adopt latest technologies & to develop specific capabilities in low-income housing	3-6 months	**High**
C Developing new **joint venture efforts** between local players & regional / global leaders	Joint ventures allow local industry players to effectively adopt **global best-practice** *(e.g. latest technological advances)* while also leveraging **external funding source**	12-18 months	**Very high**
D **Attracting regional & global leaders** to set up operations in Lebanon	Attracting global players requires significant efforts, but can lead to the creation of **significant scale** in a relatively short period of time	12-24 months	**High**

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A differentiated strategy would be required to attract different types of players

Approach	Top priorities	Suggested approach	Critical zone dependencies
A Incubating **new local players**	▪ Availability of start-up capital financing ▪ Functional & marketing support ▪ Recruiting ▪ Regulatory	▪ Create partnerships with local & international VCs ▪ Creating connections with local industry players and suppliers ▪ Facilitating registration & licensing ▪ Supporting recruiting efforts	▪ Finance office ▪ Supply coordination office ▪ One-stop-shop ▪ Employment office ★
B **Expanding capacities** and capabilities of local players	▪ Financing to support expansion	▪ Provide prioritized access to Kafalat & other financing mechanisms	▪ Finance office
C Developing new **joint venture efforts** between local players & regional / global leaders	▪ Overcoming legal & regulatory burdens	▪ Support legal negotiations with support of established Lebanese legal firms	▪ One-stop-shop (including coordination with local legal firms)
D **Attracting regional & global leaders** to set up operations in Lebanon	▪ Overcoming legal & regulatory burdens ▪ Access to local talent ▪ Establishing relationships with local partners & suppliers ▪ Financial incentives to off-set high levels of risk	▪ Facilitating registration & licensing, including residence for foreign employees ▪ Supporting recruiting efforts ▪ Creating connections with local industry players and suppliers ▪ Providing special investment packages	▪ One-stop-shop ▪ Employment office ▪ Supply coordination office ▪ Finance office ▪ Special labor policy ▪ Special tax policy (e.g. subsidies)

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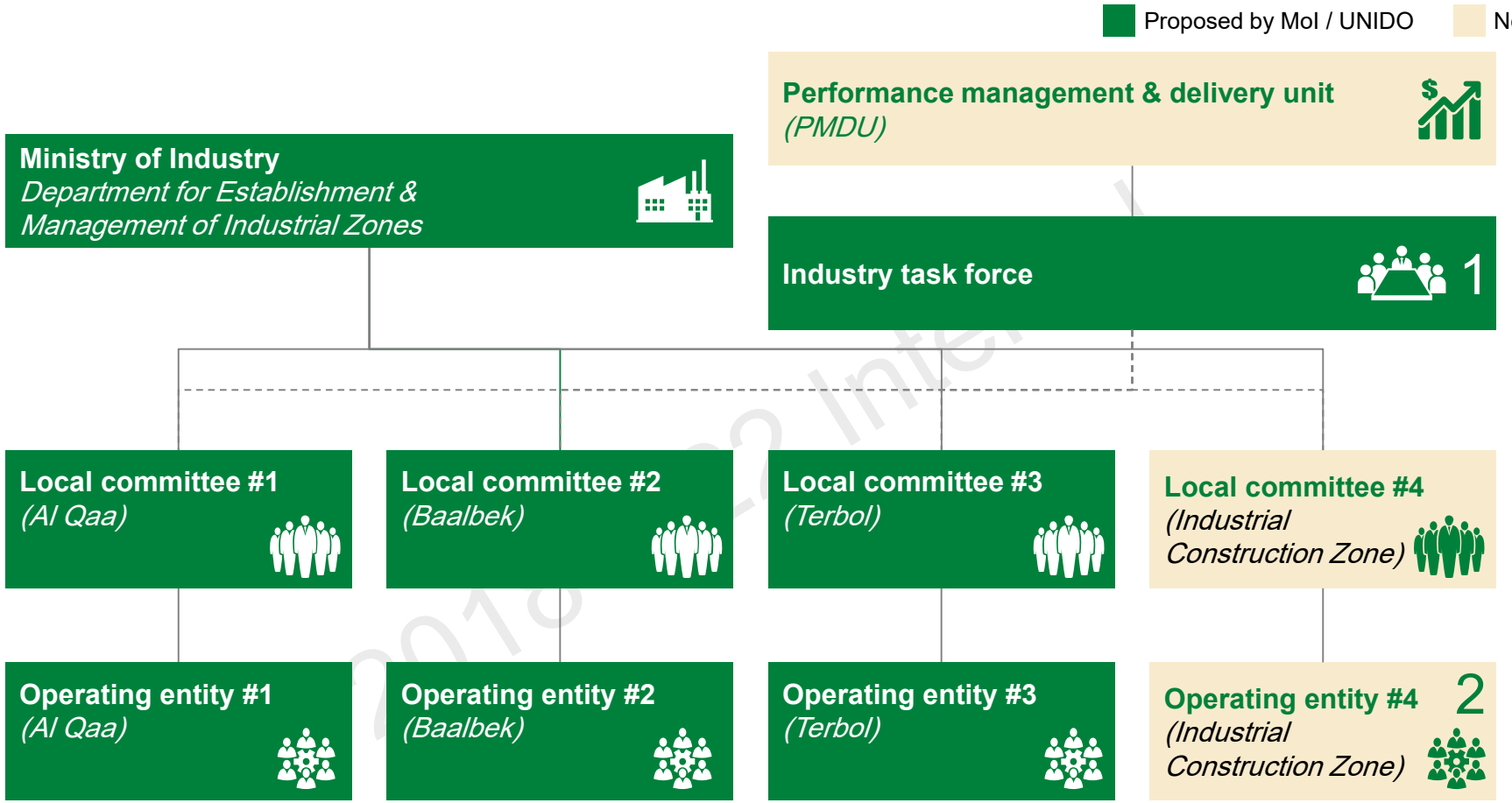
Industrial Construction Zone should follow the framework and governance adopted by MoI / UNIDO for the other industrial zones



1 The working group proposed in the MoI / UNIDO masterplan can serve as a the industry "task force" reporting to the Economic Development Authority *(which will oversee a task force for each priority sector)*

2 To avoid creation of parallel structures, Industrial Construction Zone should follow the governance structure proposed by MoI / UNIDO for the other industrial zones

Source: UNIDO

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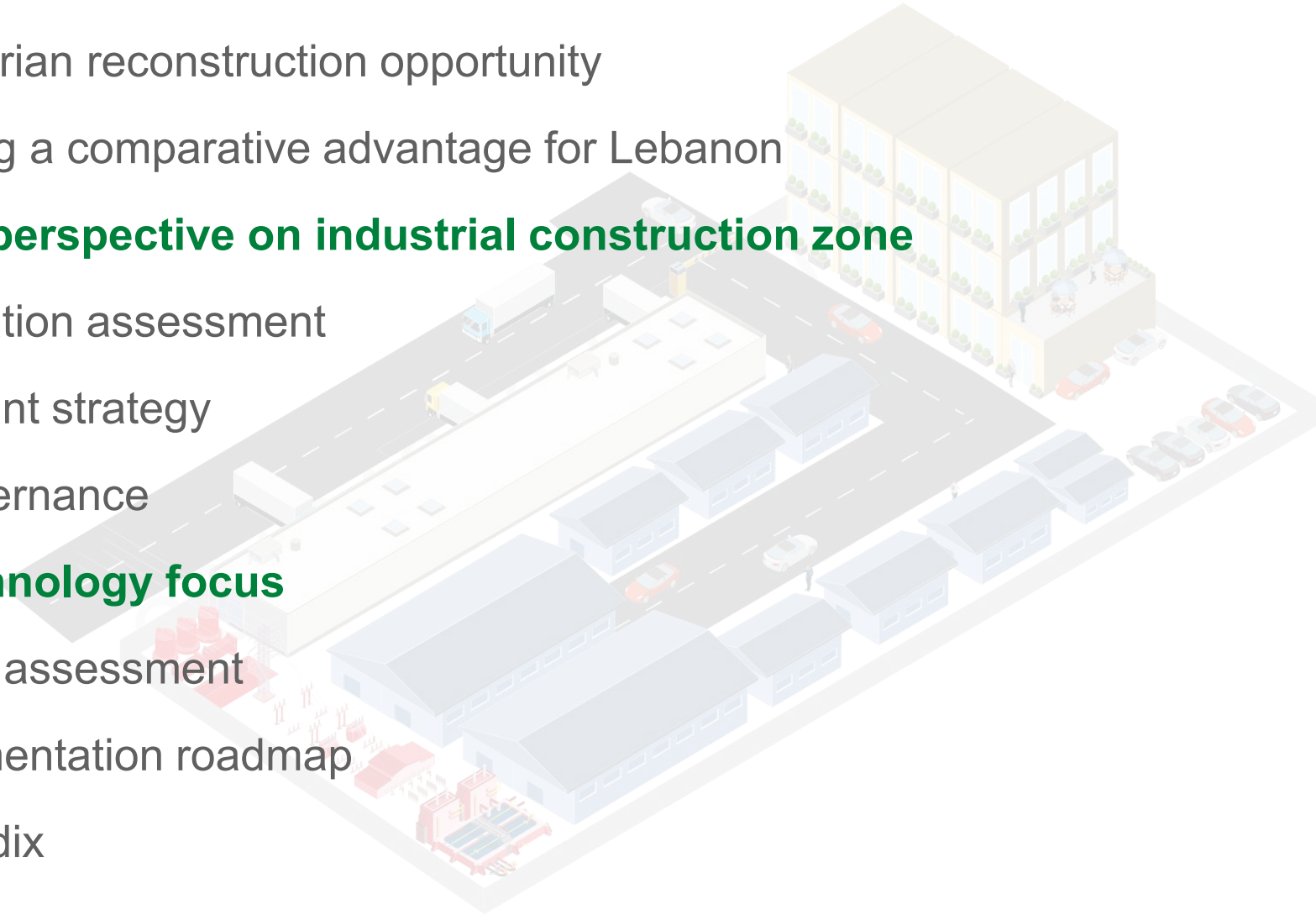

Industrial construction zone should prioritize structural and modular technologies which capture a large share of construction value chain

Structural technologies | Modular technologies

	Industrial construction technology	Description
Medium priority ~25-30% of value chain can be industrialized *(in Lebanon)*	1 Light gauge steel frames	Galvanized steel sheets, roll formed into profiles used for framing
	2 Precast concrete frames	Reinforced concrete framing elements, including columns & beams precast in factory
	3 Precast concrete panels	Large concrete walls and slab panels prefabricated in factory
	4 Structurally insulated panels	Insulating foam core sandwiched between two structural facings, typically metal sheet or cement
	5 Glassfiber reinforced panels	High strength fiber glass is embedded into gypsum, light weight concrete and plastic to for form panels, improved structural properties
High priority Up to ~75% of value chain can be industrialized *(in Lebanon)*	6 Volumetric pre-cast construction	Extension of precast concrete panels systems
	7 Modular homes	Sectional prefabricated buildings that consist of multiple modules constructed indoors on assembly lines (3D or flatpack)
	8 Complete factory built homes	Completely constructed and assembled offsite in a factory

2016/022 Interim

SOURCE: MGI; Prillhofer Official website; understanding construction; precast website; Prebuilt construction; Building Construction Authority (Singapore); inhabitat; the constructor; Lindbäcks, press search

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Industrial construction zone will create a combination of medium-skill and high-skill jobs across both Lebanon and Syria…

	Industrial zone facility	On-site installation
High-skill	Management (10%)	
	Design & engineering (6%)	
	Quality assurance (1%)	
	Factory workers (28%)	
	Transport & logistics (8%)	
	Technicians (14%)	
Medium-skill		On-site installation (33%)

~67% of jobs

~33% of jobs

~2 in 3 jobs created will be medium- and high-skilled jobs suitable for Lebanese worker, with many likely to emerge from the existing construction sector *(currently in decline)*

Excluding indirect jobs (e.g. cement factories, steel importers, etc.)

… and will also indirectly support job creations in adjacent industries

Construction material

- Cement
- Steel
- Sanitary works
- Plaster ★
- Electrical units
- Doors
- Ceramic tiles
- Paint (specialized)

Services

- Engineering
- Architecture
- Real estate services
- Transportation

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Key milestones

Milestone description	Target deadline
Masterplan complete	January 1st, 2019
Real estate developer onboarded	February 1st, 2019
Construction begins	June 1st, 2019
Industrial zone operational (1-3 tenants)	March 1st, 2020
10th zone tenant onboarded	March 1st, 2021

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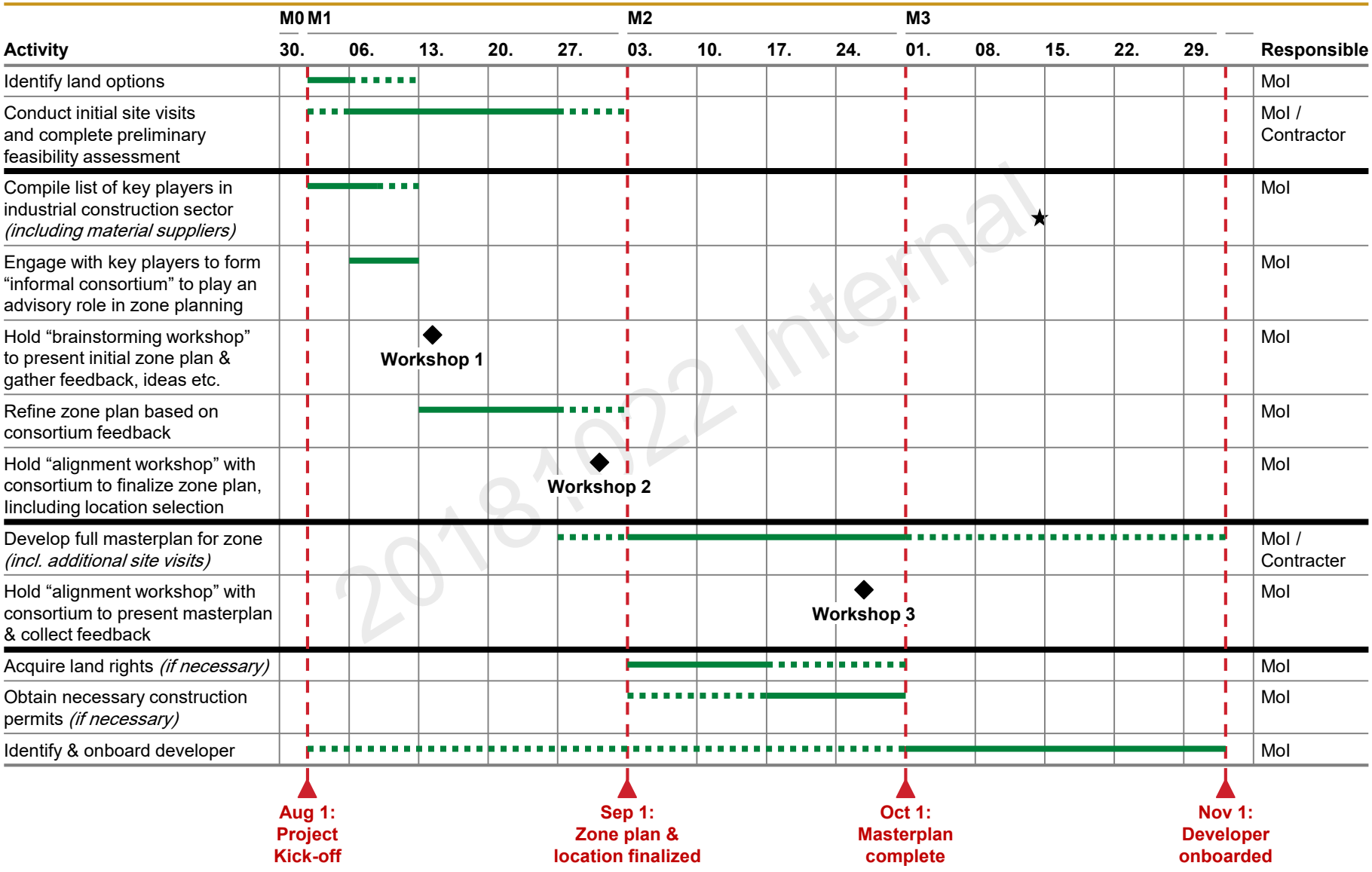
Preliminary timeline for construction technology zone

ILLUSTRATIVE



20181022 Internal

APPENDIX

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Tanger Free Zone: a manufacturing and services base to Europe, within an integrated logistics hub

Integrated infrastructure set-up

- Tanger Med port and integrated logistics platform
- 3000 Ha land reserve
- Open to multiple sectors (export focused)
- Tax free zone with integrated no customs control
- Shared business services at international standards

Tanger Med Cluster

- **500** companies
- **~2 Bn USD** in private investments
- **~50 000** additional jobs
- Export revenues of **2 Bn USD** in 2012
- Attracted international players in automotive, aeronautics and services

RENAULT · LEAR CORPORATION · EUROPAC · SOCIETE GENERALE · Volkswagen · YAZAKI · EATON Powering Business Worldwide

SOURCE: Tanger Free Zone website

Industrialized construction was deployed as an affordable solution for massive housing shortages

WHAT IS 'INDUSTRIALIZED CONSTRUCTION'?

- A building system in which the structural components are manufactured in a controlled environment. These structural components are transported to the final location and assembled at the location

Key characteristics

1. **Centralized production**
   - Pre-fabrication of components at the factory
2. **Mass production**
   - Large number of product units to justify the investment
3. **Optimization/automation**
   - Optimized production processes in terms of automation and mechanization
4. **Standardization**
   - Standardization of components but still maintaining flexibility of design
5. **Integration**
   - Interaction of building design, production planning and production/construction

Examples ★

1. Both UK and Sweden used industrialized construction to meet shortages in a quick time post-WWII
2. Singapore used industrialization to revolutionize the construction sector and deliver quality housing products
3. Today, start-ups in the US and Australia are using industrialization to solve issues in quality and productivity in the construction sector

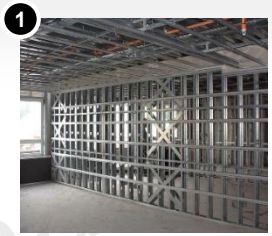
20181022 Final

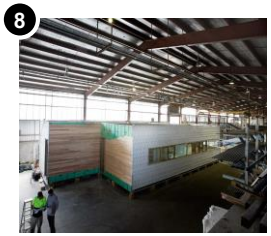
SOURCE: Prillhofer website; press search; team analysis

There are several structural and modular technologies that can be used to industrialize housing construction

Structural technologies | Modular technologies

Approach	Type		Description
Super structure techno-logies	Prefabri-cation	Light gauge steel frames	1	Galvanized steel sheets, roll formed into profiles used for framing
		Precast concrete frames	2	Reinforced concrete framing elements, including columns and beams precast in factory
		Precast concrete panels	3	Large concrete walls and slab panels prefabricated in factory
		Structurally insulated panels	4	Insulating foam core sandwiched between two structural facings, typically metal sheet or cement
		Glassfiber reinforced panels	5	High strength fiber glass is embedded into gypsum, light weight concrete and plastic to for form panels, improved structural properties
		Volumetric precast construction	6	Extension of precast concrete panels systems
		Modular homes	7	Sectional prefabricated buildings that consist of multiple modules constructed indoors on assembly lines (3D or flatpack)
		Complete factory built homes	8	Completely constructed and assembled offsite in a factory
	In-situ	Mortar-less block construction	9	Concrete masonry units laid dry and subsequently grouted, partially grouted, or surface bonded
		Light weight/foam concrete blocks	10	Made from cast concrete, i.e. Portland cement and aggregate, usually sand and fine gravel for high-density blocks
		Tunnel formwork	11	Steel formwork system that allows casting of walls and slabs in one operation
		Lightweight/reusable formwork	12	Light weight reusable panel forms made from aluminum or plastic
		Insulated concrete forms	13	Made from polystyrene foam or beads, used as stay-in-place forms which are dry stacked and filled with concrete





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SOURCE: MGI; Prillhofer Official website; understanding construction; precast website; Prebuilt construction; Building Construction Authority (Singapore); inhabitat; the constructor; Lindbäcks, press search

Structural and modular technologies differ in focus on the housing value chain, with modular covering the larger part of the chain

Building construction value chain

Value chain of 'Build' costs	Excavation / infra	Foundation	Structure	Erection	MEP	Plastering & coating	Flooring & misc.
% of total build cost	~2%	~7%	~25%	~11%	~15%	~19%	~21% ★
Structural technologies			Structural technologies focus only on the structure part of the value chain with potential to impact 25 – 30% of the value chain				
Modular technologies			**Modular technologies span additional components in the value chain have the potential to impact an additional ~45%of the value chain**				

Considerations

- To enable housing technologies especially modular technologies, certain levers can be leveraged:

1. **Standardization and design-to-value**
2. **Full integration of the supply chain (economies of scale through procurement)**
3. **Full integration of design and logistics**

2017 – 22 Internal

SOURCE: Expert interviews; Team analysis

In addition to impacting the value chain, industrialization technologies impact the approach and process of housing construction projects

Design and procurement	Approvals and testing	Manufacture	Supply chain coordination	Site work	Post-construction
▪ Components selected on digital marketplace with full transparency on lifetime costs	▪ Streamlined approvals process and testing at production facility	▪ High-quality offsite manufacture facilitated through automation and new lightweight materials	▪ Supply chain, with tools such as just-in-time and just-in-sequence, replaces project management as the predominant coordination challenge	▪ Site work is minimized to assembly of components and packages facilitated through universal interfaces supported by technology	▪ Lifetime guarantees on components and packages

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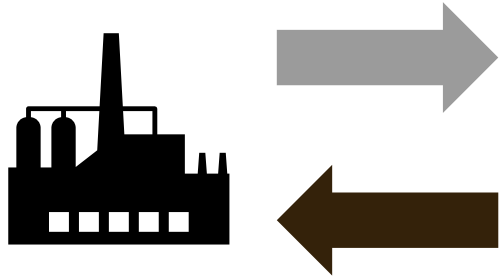
Industry

Large-scale manufacturers of components and work packages



Owner

Contractor or manu-facturer

Collaborative working team

Lebanese case example: Dalal Steel Industries

DALAL
STEEL INDUSTRIES
The Pre-Engineered Advantage

Dalal Steel Industries (DSI) is one of Lebanon's top prefab companies, with **experience across a wide range of technologies and solutions** (including affordable housing)

DSI has a **global footprint**, having exported its products to over 20 countries including:

Illustrative sample of DSI projects

Source: DSI

Lebanese case example: MegaPrefab

History
- Established by Marwan Nakfour in 1995
- A 40,000 m2 manufacturing plant in Batroun with an office in Achrafieh

Activities and products
- Design, manufacture, delivery and install structural precast and post-tension concrete. Advantages are:
  - Affordable pricing
  - No permits needed
  - Turnkey house

Number of employees
- <100 employees

Export markets

20181022 Internal

Private sector players globally are leveraging industrial technology to deliver homes, but with differing technologies, scale and building materials

NOT EXHAUSTIVE

Company	Country	Technology	Sample highlights
sembcorp	Singapore	Prefabricated / modular (PPVC)	Used specialized composite material and PPVC to build a dormitory in 4 months
Dragages Singapore	Singapore	Prefabricated / modular (PPVC)	Currently building the tallest modular building in the world (40-stories)
MODERNA Homes	Singapore	Prefabricated / modular (PPVC)	Piloted PPVC technology successfully on numerous projects ★
LINDBÄCKS	Sweden	Modular	Manufactures 20 apartments per week
BO KLOK	Sweden	Flatpack modular	Successful collaboration with Ikea in 1200 prefabricated homes per year
SEKISUI HOUSE	Japan	Prefabricated	Built a total of 2.2 million prefabricated homes in Japan over its lifetime
BARCELONA HOUSING SYSTEMS	Spain	Prefabricated	Unique system of 7 panels that can be assembled on site. Pipeline of 45,000 units
VISION MODULAR SYSTEMS UK LTD	UK	Modular	Built the 2nd largest modular building in the world
KATERRA	USA	Modular / prefabricated[1]	Fully-integrated timber housing company
PUTIAN HOMES	China	Prefabricated / modular	Has their own system for prefabricated and modular housing
CNBM	China	Precast / prefabricated	Signed a £2.5B deal in the UK to build 6 prefabricated housing factories
PREBUILT	Australia	Modular	Develops ~300 mid-income homes annually with a fully-integrated approach
POLCOM MODULAR	Poland	Modular	Shipped a 300-room hotel modules to the US
Casas GEO	Mexico	Prefabricated	Delivered ~600k prefabricated homes in Mexico
AMBAR	Brazil	Prefabricated	Develops energy-efficient affordable housing at high-scale in Brazil

20181022 Internal

1 Katerra's Spokane Factory produces prefabricated structural elements, while their Phoenix factory has an advanced manufacturing lines with additional components (Katerra). The Phoenix factory will produce modular assemblies (Construction Dive)

SOURCE: Sembcorp; Dragages; Moderna Homes; Lindbäcks; Boklok; Sekisui House; Barcelona Housing system; Katerra; Putian Homes; CNBM; Prefbuilt Residentials; Casas Geo; Ambar; Construction Dive; press search; expert calls; team analysis

In Sweden, BokLok is delivering ~1k units/year through their fully-integrated flat pack modular solution

Boklok Concept

- Prefabricated homes (flat pack) designed and manufactured as a collaboration between construction company Skanska and furniture manufacturer Ikea
- ~1,200 flat pack houses sold in Sweden annually
- 80% manufactured off-site
- 1 day to install on-site
- Is available for sale in Ikea stores in Europe, UK, and the US
- Products include block of flats, terraced houses, flexible flats
- Wooden construction

Recent Projects

- 250 residential units will be built in Southern Gunsta, Sweden
- Municipality plans to build a total 1,500 units

Future projects

SOURCE: Boklok; Skanska; press search

Sweden's Lindbäcks uses a fully industrialized and automated process to manufacture 20 fully-functional apartments every week (1/4)

Lindbäcks in-factory production processes

Production capacity

- Lindbäcks' current factory in Öjebyn has an annual capacity of ~800 apartments
- In December 2017, launch of a second factory1 will triple Lindbäcks' production capacity to **~2400 apartments per year**
- Factories utilize latest **Randek** machinery to industrialize and automate construction processes

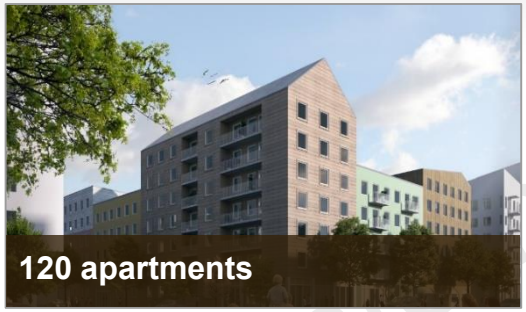
Process

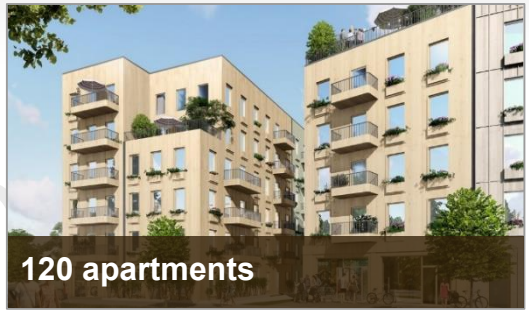
- Lindbäcks produces **fully-functional volumetric modules**, which are complete with:
  - Floor, walls, and ceilings
  - Painting
  - Doors and windows
  - Kitchens and tiled bathrooms
  - Heating, water, and electrical installations

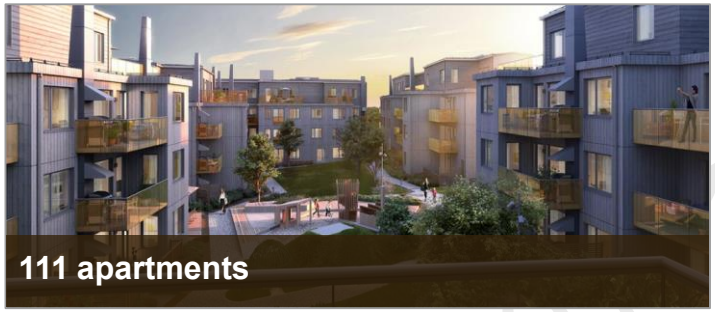
1 In Haraholmen

SOURCE: Lindbäcks, press search

Lindbäcks can be adapted to a wide range of housing design preferences (2/4)







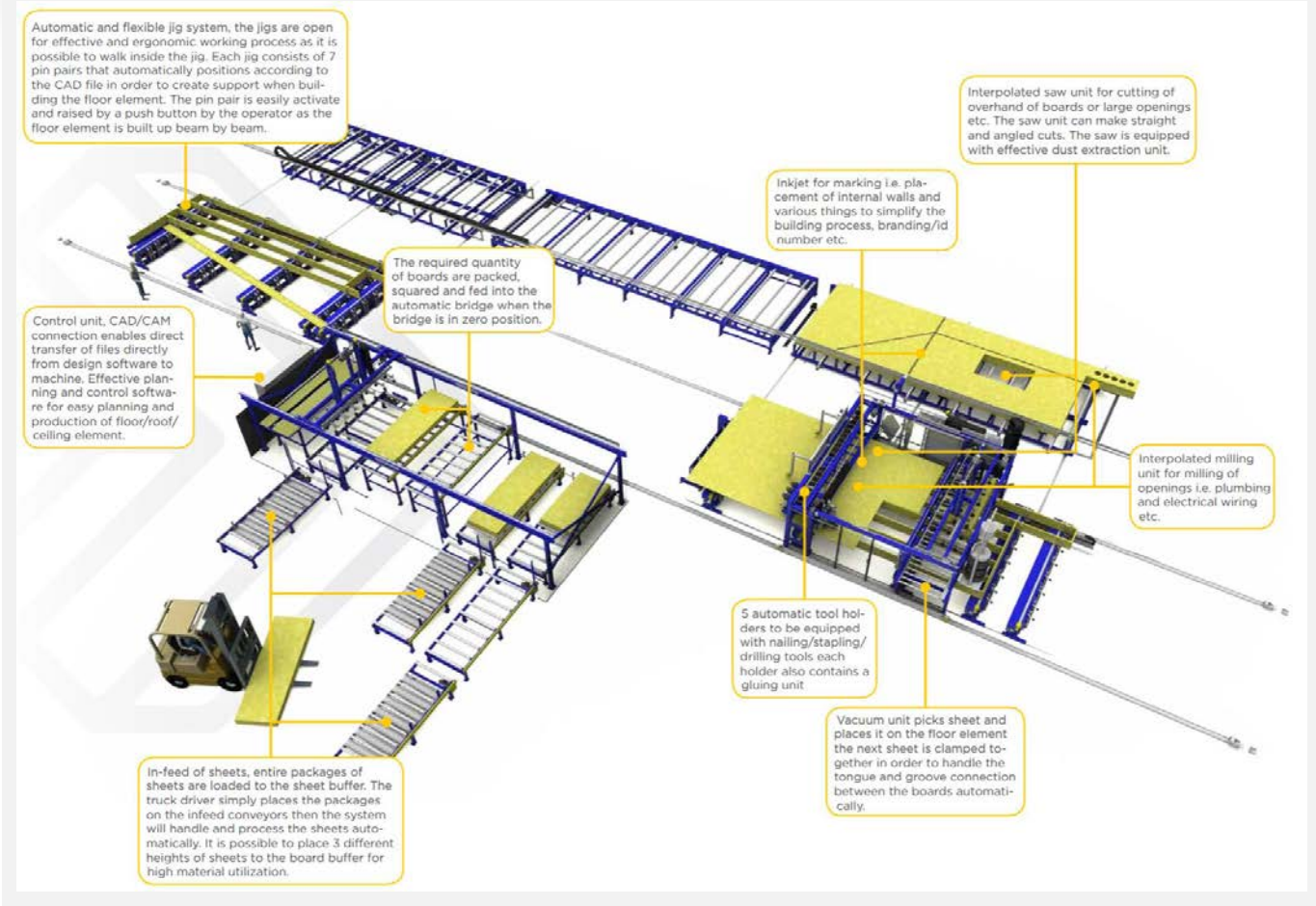
SOURCE: Lindbäcks

Lindbäcks uses Randek's high-end industrial construction machinery which can automate a variety of construction tasks (3/4)

The **AUTOFLOOR** system is an integrated solution for producing floor and roof components

Automated functions include:

- Nailing
- Milling of openings
- Sheet cuttings
- Gluing
- Inkjet markings
- Sheet addition and handling



SOURCE: Randek

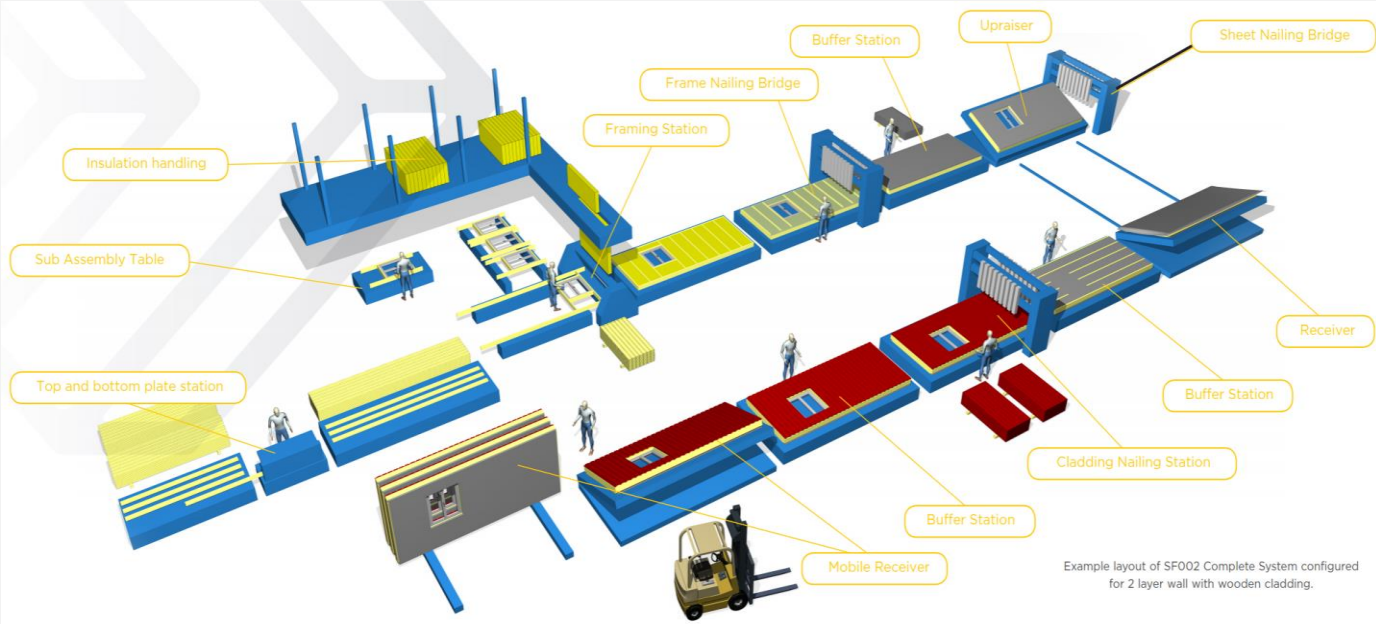
Lindbäcks uses Randek's high-end industrial construction machinery which can automate a variety of construction tasks (4/4)

The **SF002 COMPLETE SYSTEM** is an comprehensive solution for the production of insulated walls

SF002 is very flexible, and can be configured for a wide range of:

- Wall layers (1/2/3)
- Wall length
- Wall width
- Wall height

SF002 machines are controlled by CAD-generated data, with minimal need for programming



Example layout of SF002 Complete System configured for 2 layer wall with wooden cladding.

Technical description	Min	Max
Wall dimensions		
Wall length	1200 mm	4800 mm - 12000 mm
Wall height	2100 mm	3300 mm
Wall thickness (Main framework. Total wall thickness by demand)	63 mm	250 mm
Production line (with stations for Max wall length of 8,4 meters and U-shaped layout)		
Length	60 meters	
Width	36 meters	
Area	2100 m2	

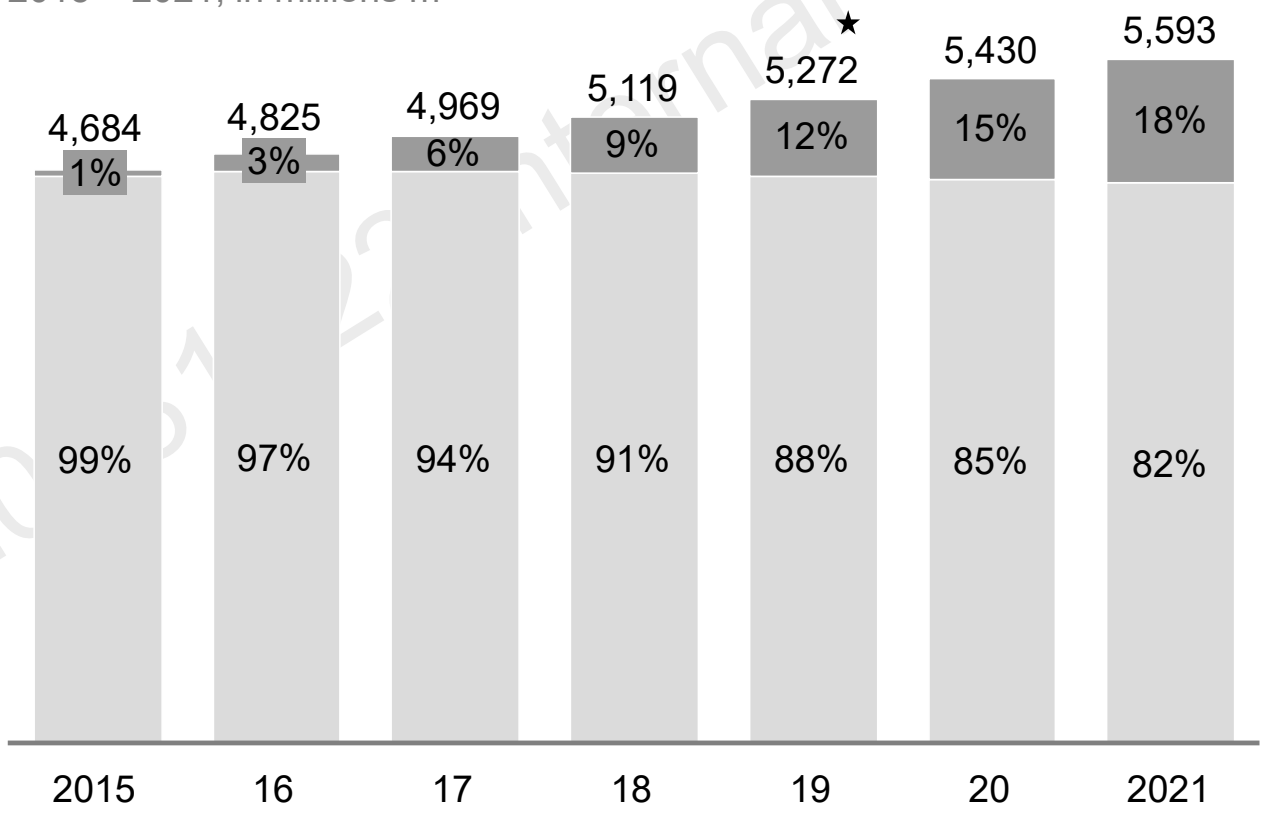
SOURCE: Randek

China's modular market is set up for export, however China is projecting growth in domestic modular construction over the next 4 years

- Chinese modular companies typically use a majority of their capacity to support external demand
- In China, modular is typically used in high-rise buildings (and typically hotels) with minimal use in residential projects
- The government is encouraging modular construction in commercial buildings – main driver is sustainability and recyclability of modules

Current baseline and targets for area built using industrial construction in China[1]

2015 – 2021, in millions m^2



1 This includes all construction activities (residential and commercial)

SOURCE: China industry information network; press search; expert calls

Putian Home provides fully-integrated affordable housing around the world, with a capacity of 3,000 units yearly

Overview

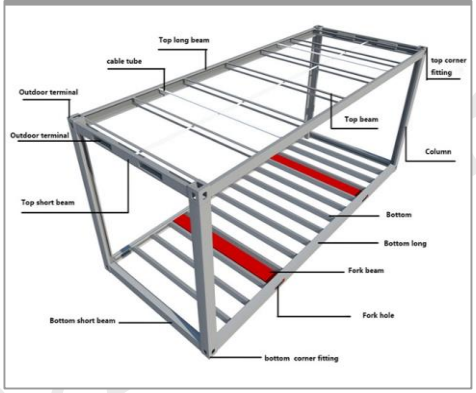
Company Information

- Fully-integrated housing solution
- 4 main building categories:
- Heavy steel structure building
- Light steel Villa
- Container homes
- Modular homes (shipped as precast concrete elements)
- Annual capacity of ~300,000 m2 for all types of building

Specifications for light steel villas

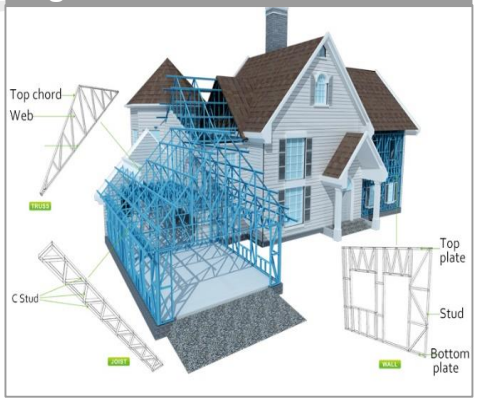
- Lifespan of 50 years
- Designed for earthquake, wind, and fire
- Reduced construction time by 50% (from traditional construction)
- Provides different options for finishes (e.g. different windows and doors types

Container



Modular Homes

Light Steel Villa



Modular Homes

CNBM[1] is one of the largest building materials companies in the world and has completed two projects in the GCC (1/3)

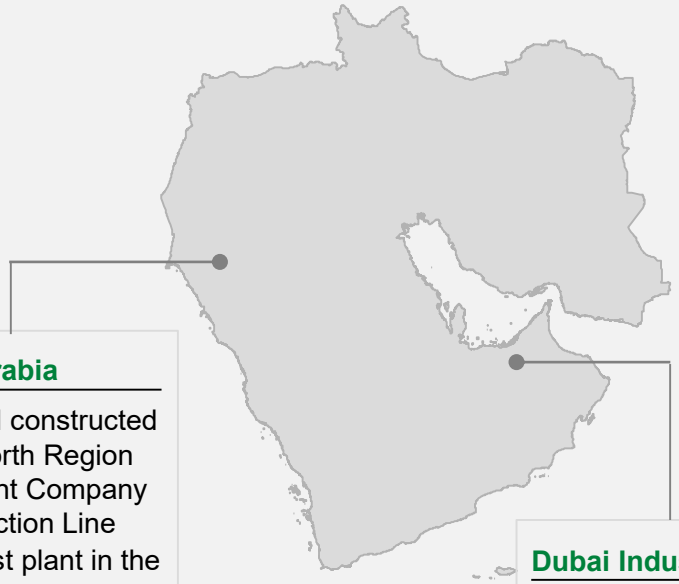
Company overview

- The largest building materials group in China (and 2nd largest worldwide)
- Wholly state-owned
- 9 subsidiary companies

Services

- **Building materials**
  - Cement: Has an annual capacity of ~160m tons Environmentally-friendly material systems: including Light gauge steel frame systems and wood frame systems
  - Light weight building materials
  - Other material (glass, composite, and refractory materials
- **Engineering**
  - Includes design, engineering and construction of buildings and plants
  - Equipment manufacturing
- **Technology**
  - Research in new materials (e.g. high-performance cement)

GCC Projects



Saudi Arabia

- CNBM constructed the North Region Cement Company Production Line
- Biggest plant in the north region of Saudi
- Completed in 22 months
- Capacity of 6000 tons per day

Dubai Industrial Park

- Middle East's largest building material sales base and logistics & storage service platform

1 China National Building Material Company

One of CNBM's subsidiary, BNBM[1] manufactures 4 types of prefabricated housing (2/3)

Company overview

- Manufacturing subsidiary that focuses on housing/buildings including new materials and new construction technologies.
- Has an affordable housing segment

Prefabricated building types

- **Light Steel Frame System**
  - Suitable for 1-3 story buildings
- **Steel and Wood Composite Structure System**
  - Light steel structure and wooden enclosure
- **3. 2″ X 4″ Wood Structure System**
  - Suitable for 1-3 story buildings
  - Environmentally-friendly
- **Heavy Steel / Steel-concrete Frame-wall System**
  - Suitable for a maximum of 30 story's
  - Heavy steel or concrete beam and column
  - Manufacturing is based on industrialization, quick assembly, continuity, and standardization

Sample housing projects

Qingbaijiang Garden Village, China (2010)

Shitang Road New Village (2012)

Dali Villas, China (2014)

High-End Residences, Zambia (~4,000 units, 2013)

1 Beijing New Building Material Company

SOURCE: CNBM; BNBM; Thomson Reuters

CNBM signed a £ 2.5B deal with Your Housing Group (YHG) to build 6 factories in the UK (3/3)

Project details

YHG group signed a £ 2.5B deal to set-up a joint venture with CNBM to deliver prefabricated energy-efficient affordable housing

Developer

Your HOUSING GROUP

Industrial provider

CNBM

Technology provider

BARCELONA HOUSING SYSTEMS

Partnership type

Joint venture

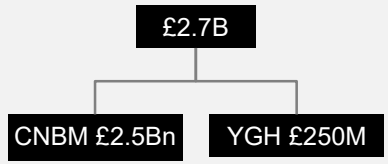
Energy

WE LINK GROUP

Foundations

ECO FOUNDATION SYSTEMS INC.
The Groundscrew Specialists

Total contract value



Execution plan

- 6 factories to be built in UK – Over 5 years to supply 25,000 units annually for affordable housing
- Light Gauge Steel frame and panelized components – Technology supplied by Barcelona Housing System
- CNBM will provide the financing and engineering / construction experience
- Solar powered – Energy efficient
- Expected Employment : 1,000 people

SOURCE: Global construction review; Telegraph; CNBM; BHS; Eco foundations; WeLink; Your Housing Group

Economic Vision Outline

Covered in this section

I. EXECUTIVE SUMMARY

II. INTRODUCTION AND METHODOLOGY

A. Methodological approach to the study
B. Stakeholder engagement and syndication process
C. Reviewed documentation

III. CONTEXT AND DIAGNOSTIC

A. Chapter summary
B. Economic perspective
   1. *Macro-economic evolution*
   2. *Trade profile (exports & imports)*
C. Sector diagnostics
   1. *Natural resources (oil & gas)*
   2. *Agriculture*
   3. *Industry*
   4. *Tourism*
   5. *Knowledge economy (e.g. tech)*
   6. *Financial services*
   7. *Education*
   8. *Healthcare*
   9. *Real estate and construction*
   10. *Retail and commerce*
   11. *Logistics and transportation*
   12. *Telecommunications*
   13. *Power and water*
   14. *Diaspora*
   15. *Urban efficiency*
D. Institutional and policy enablers
   1. *Public finance*
   2. *Ease of doing business*
   3. *Monetary policy*
   4. *Economic development activation*
   5. *Trade & international agreements*

IV. THE VISION: LEBANON'S ECONOMIC ASPIRATIONS

A. Chapter summary
B. Burning platform
C. Lebanon's growth imperatives
D. Economic aspirations and macro-economic targets
E. Sector prioritization mechanism and rationale

V. SECTORAL ENGINES FOR LEBANON'S ECONOMIC GROWTH

A. Chapter summary
B. Sector deep-dives
   1. *Agriculture*
   2. *Industry*
   3. *Tourism*
   4. *Knowledge economy*
   5. *Financial services*
   6. *Diaspora*

VI. REQUIRED ENABLERS TO SUPPORT THE ASPIRATIONS

A. Chapter summary
B. Public administration reform requirements
C. Infrastructure including CIP initiatives
D. Public finance requirements
E. Main legislative requirements
F. Country branding & export promotion

VII. INSTITUTIONALIZATION MECHANISMS

A. Chapter summary
B. Governance set-up: orchestration and delivery
C. Path forward

VIII. FLAGSHIP PROJECTS

A. Tourism end-to-end journey
B. Construction technology zone
C. Smart Lebanon licensing and clusters

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Three identified flagship projects should be launched immediately to jumpstart the momentum of the Vision

Discussed next

Create immediate and visible impact *(Launch ~3 quick-win projects)*

- **Seamless end-to-end tourism journey** with a newly-overhauled airport experience
- **Penetration of 2-3 Lebanese crops into new export markets**[1]
- **"Lebanon 2020" centennial** nation-wide celebration[1]

Capture imminent opportunities

- **Construction technology zone on the border with Syria**, capitalizing on the Syria and Iraq reconstruction opportunity worth ~100-300 USD Bn, and housing millions of returning refugees

Build a flagship project symbolizing the Vision

- **"Smart Lebanon" Knowledge Hub** hosting creative, technology and outsourcing companies, within and outside real estate zones (e.g. Outsourcing park in Tripoli)

1 Initiatives to be detailed at a later stage

Innovation clusters are widely recognised as a major tool for economic development, promoting innovation, collaboration & localized access

Why are hubs a successful model?

Advantages

Innovation through competition

- Creates competition between rivals driving more innovation, increasing productivity levels
- Paves the way for increased future productivity by shaping the pace and direction of innovation
- Stimulates the formation of new businesses, which expand and further strengthen the cluster

Collaboration

- Limits dispersed market transactions by localization of buyers and sellers
- Fosters better coordination and trust because of repeated exchanges between buyers and sellers

Localized access

- Provides better access to an experienced talent pool – lowers the cost of recruiting, and makes it easier to attract talent due to low risk of relocation
- Offers a deeper supplier base; reduces transportation costs, inventory cost, and risk of overcharging; makes it easier to provide ancillary services and after-market support

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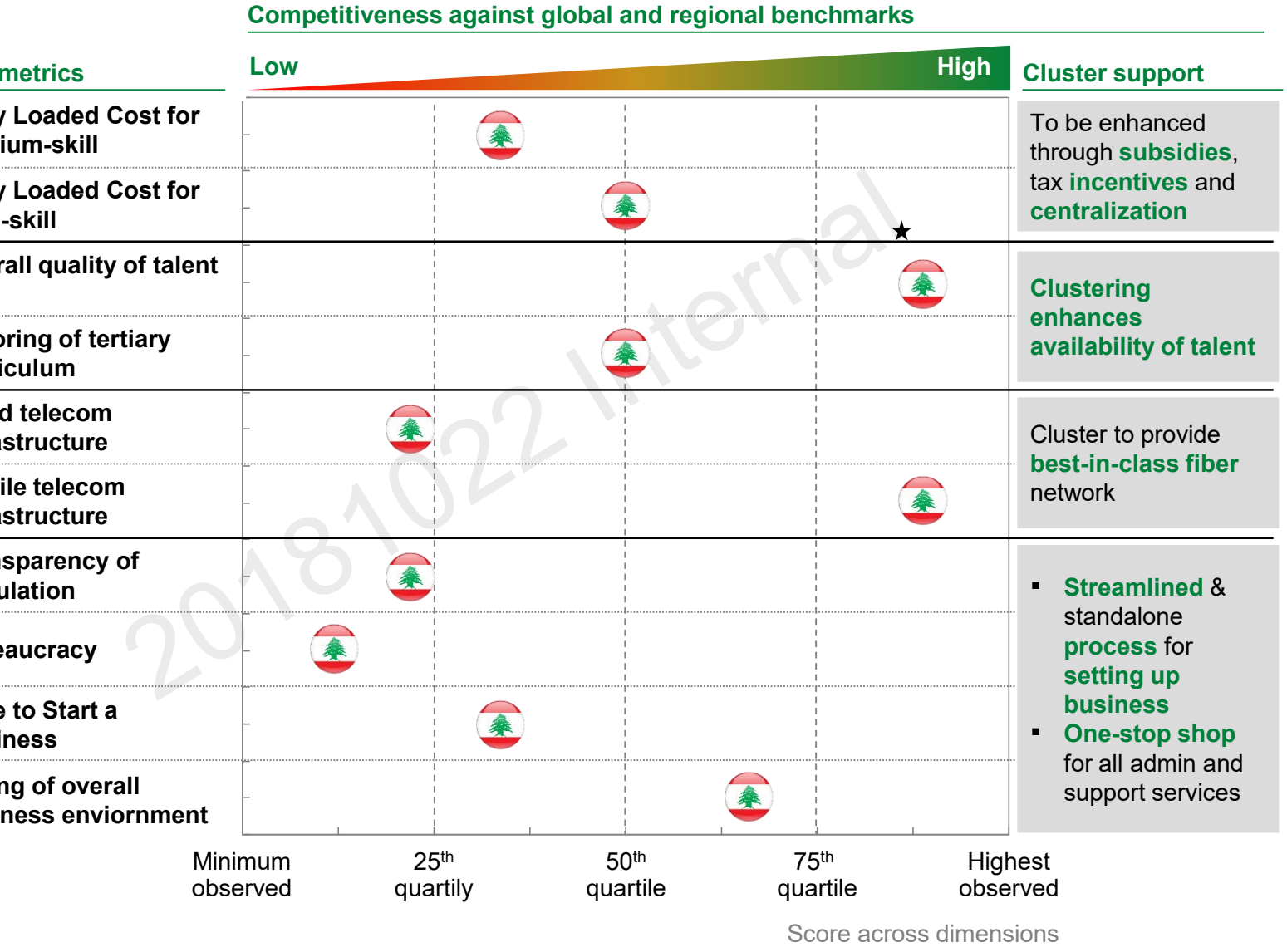
Source: Michael E. Porter, Clusters and the New Economics of Competition; team analysis

Physical clusters will support enhancing the country's competitiveness across the different key success factors for knowledge activities



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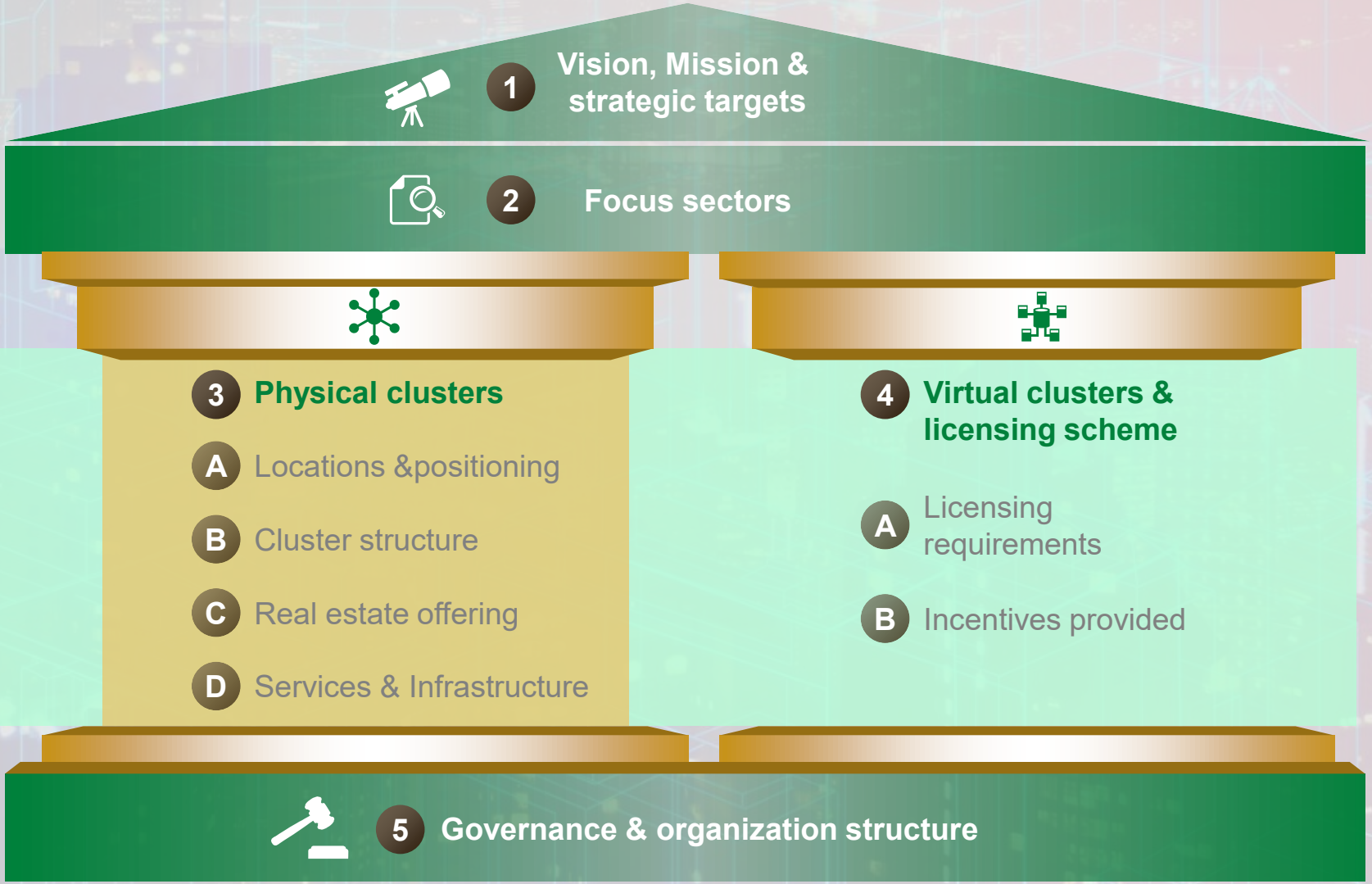
Source: Location readiness index; Payscale; Global competitiveness report; Speedtest; World Bank

The “Smart Lebanon” innovation hub should be built around five key dimensions



1 The “Smart Lebanon” initiative would serve as the flagship of the Country’s Knowledge economy agenda

Vision

“A flourishing cluster serving as the corner stone of a knowledge-intensive and digital nation”

Mission

- Develop a framework for the operation of “Knowledge” firms providing a best-in-class ecosystem
- Provide world class infrastructure to fuel the growth of knowledge-intensive sectors
- Provide centralized services to enhance ease of setting up a business
- Develop a licensing system to guarantee incentives & benefits

1 The success of the hub could be guided by four qualitative and quantitative targets

Success of the initiative could be measured through four main targets

~20,000
people strong "Smart Lebanon" community

50+
international events & conferences yearly

5
Unicorns at 1USD Bn + valuation by 2035

"Android was founded here" achievement

International Case examples

Quantitative indicators

- **80,000 people**: Annual walk throughs
- **$150mn: Alumni firm valuations**
- **1.46mn:** Employment in digital industry
- **700:** Annual Events

Qualitative indicators

- €30M Startup found first investor
- Students found high paying jobs
- Android was started here
- Whenever a startup leaves

2 In the context of the "Smart Lebanon" initiative, five focus sub-sectors should be targeted

> **"…the knowledge economy as production and services based on knowledge-intensive activities … The key component of a knowledge economy is a greater reliance on intellectual capabilities than on physical inputs or natural resources"**

1.Technology & digital

Includes all players involved in the innovation pipeline from R&D to IP & patenting to commercialization of the product

2.Business services/ Outsourcing

Includes all plays whereby a process is offshored by a company to either a nearshore or remote location for efficiency gains

3.Creative industries

- Core creative (performing arts, music…)
- Core cultural (movies, libraries)
- Wider cultural (digital media, publishing)
- Related (architecture and fashion)

4.Financial Services

Includes asset management companies as well as financial services exports (e.g. equity research desk)

5.Education

Includes "economic" and "exportable" plays within education, mainly, attracting foreign students and exporting educational material (curriculums, books)

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Source: The Knowledge Economy, Powell Snellman, OECD

3A Five criteria should be assessed to decide on the location of the cluster

Choice of location for clusters need to take into account several constraints

- Employee's housing & living requirements
- Investor's accessibility requirements
- Technical constraints of land plot

Detailed next

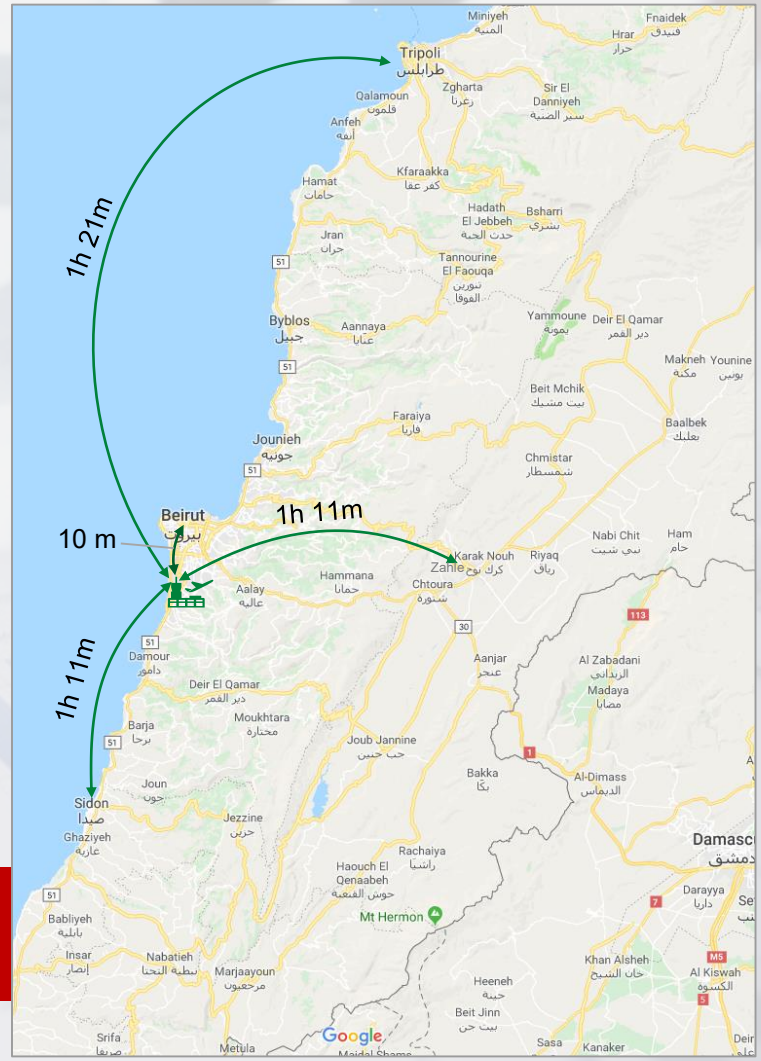
	Dimensions	Criteria
Regional selection	F1 Logistics	▪ F1.1 : Real estate prices ▪ F1.2 : Distance from airport ▪ F1.3 : Location infrastructure readiness
	F2 Education & talent pool	▪ F2.1 : Density of educational institutions
Land plot selection	F3 Physical plot	▪ F3.1 : Size of the land ▪ F3.2 : Build-up area (e.g. regulation on building height)
	Land availability	▪ F3.3 : Possibility of zone extensions
	F4 Environment & livability	▪ F4.1 : Security ▪ F4.2 : Proximity of residential offering ▪ F4.3 : Proximity of retail offering ▪ F4.4 : Overall look & feel
	F5 Positioning & integration	▪ F5.1 : Alignment with the area's urban plan ▪ F5.2 : Opportunity cost of land

3A A preliminary assessment reveals that physical clusters could be developed in Tripoli & Greater Beirut

PRELIMINARY

Assessment of relative site advantage

	GBA[1]	Tripoli	South	Zahle
Real estate prices, K USD/unit	200	45	74	28
Distance to Airport	10m	1h 21m	1h 11m	1h 11m
Education institutions density	High	Medium	Low	Low
Location infrastructure readiness	✓	✓	✗	✗



Preliminary recommendation

Physical clusters are to build in Beirut & Tripoli, with virtual licensing system developed to cover all the other regions within the country's territory

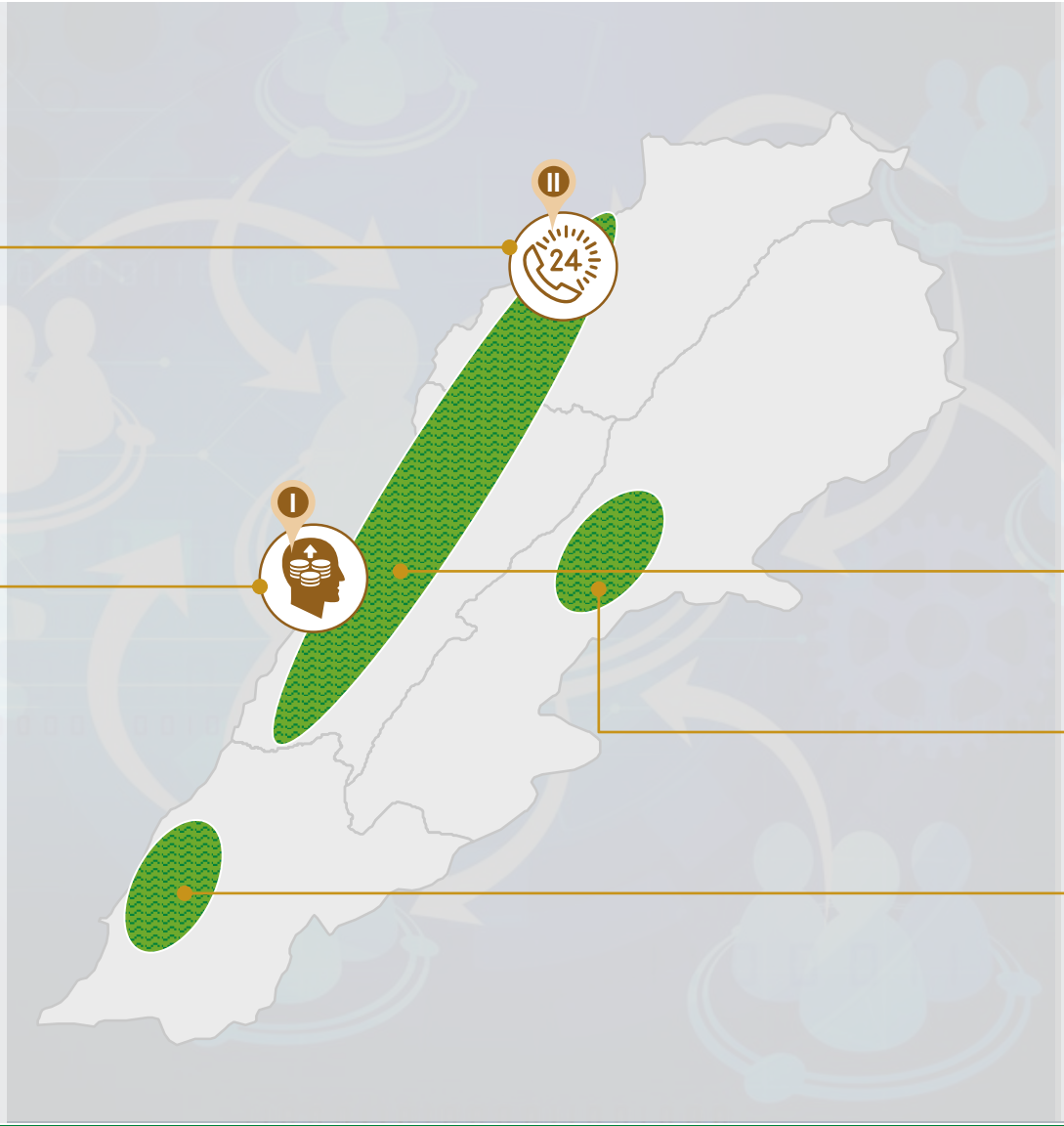
1 Greater Beirut Area

Source: Ministry of Finance Real Estate Registry, Google Maps, Press search

3A "Smart Lebanon" would be anchored around two physical clusters and scattered "virtual" corridors

Tripoli Outsourcing park for business and knowledge intensive outsourcing services

Beirut Knowledge Village, including a digital, creative, education and financial districts, in partnership with leading institutions



ILLUSTRATIVE

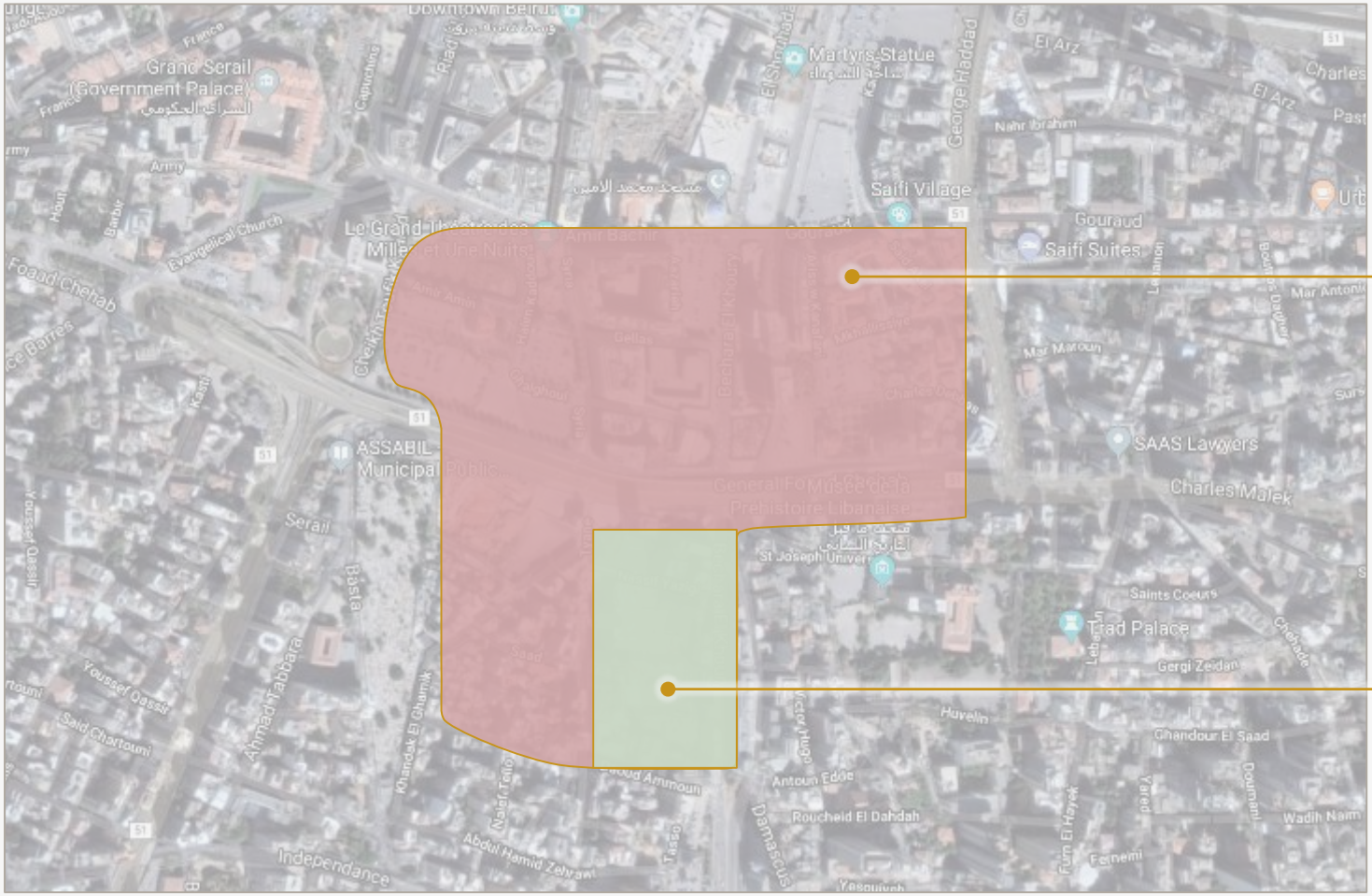
- Virtual Knowledge clusters
- Knowledge cluster (1)
- Outsourcing cluster (2)

Export-oriented companies in **possession of "Smart Lebanon" license**, operating outside physical clusters

3A The Beirut Knowledge Village could be designed as a collection of districts, with Beirut Digital District being one of them

ILLUSTRATIVE

Beirut Digital District Knowledge Village remaining districts



The Beirut Knowledge Village could be built as an aggregation of several "Districts", BDD being one of them

Beirut Digital district already set up in the area with plans for expansion

3A The Tripoli Outsourcing Park could be established as a remote extension of the SEZ currently under development

ILLUSTRATIVE

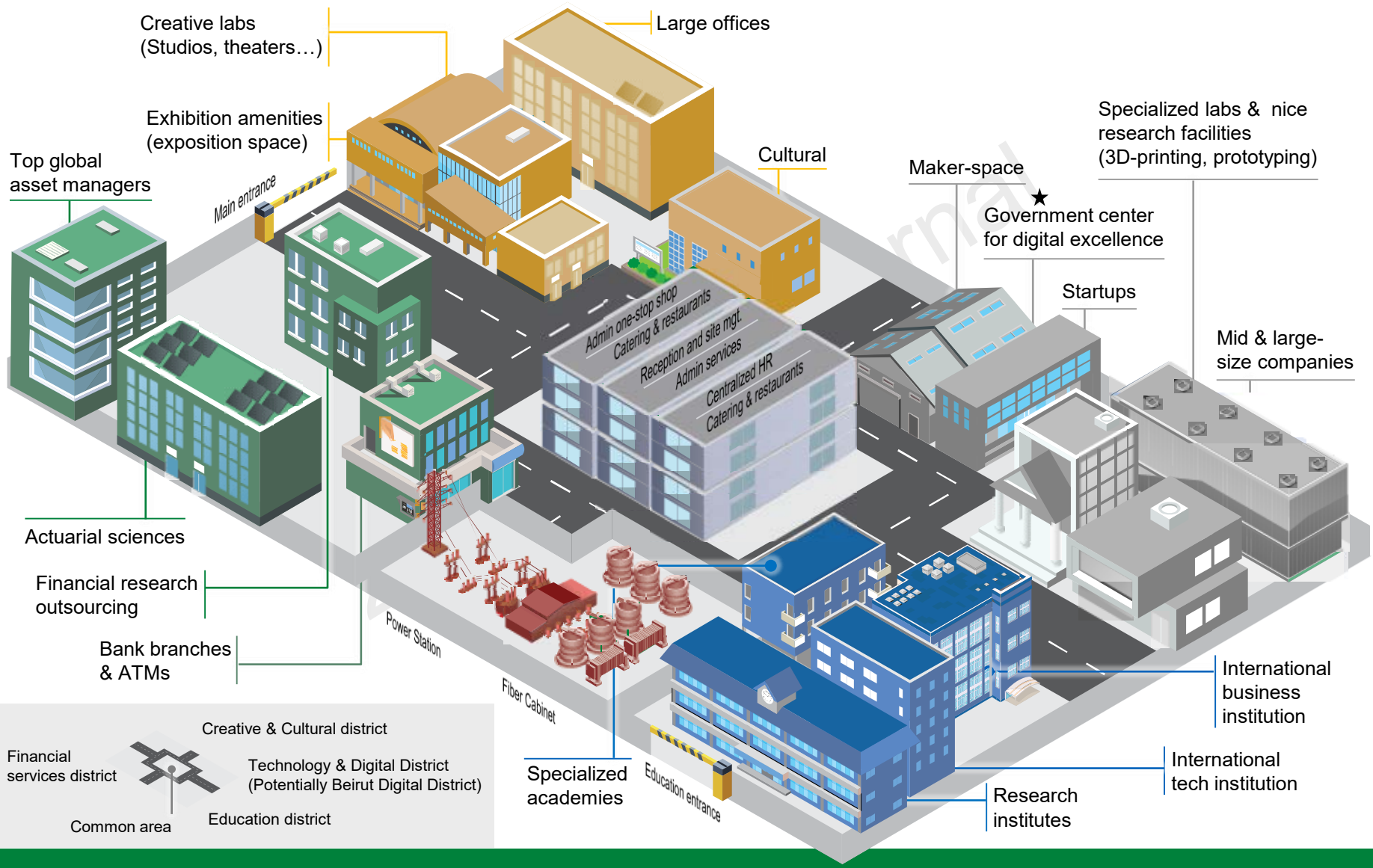
Tripoli Outsourcing park Tripoli Special Economic Zone

Tripoli Special Economic Zone currently under construction

Tripoli Outsourcing Park for business outsourcing services

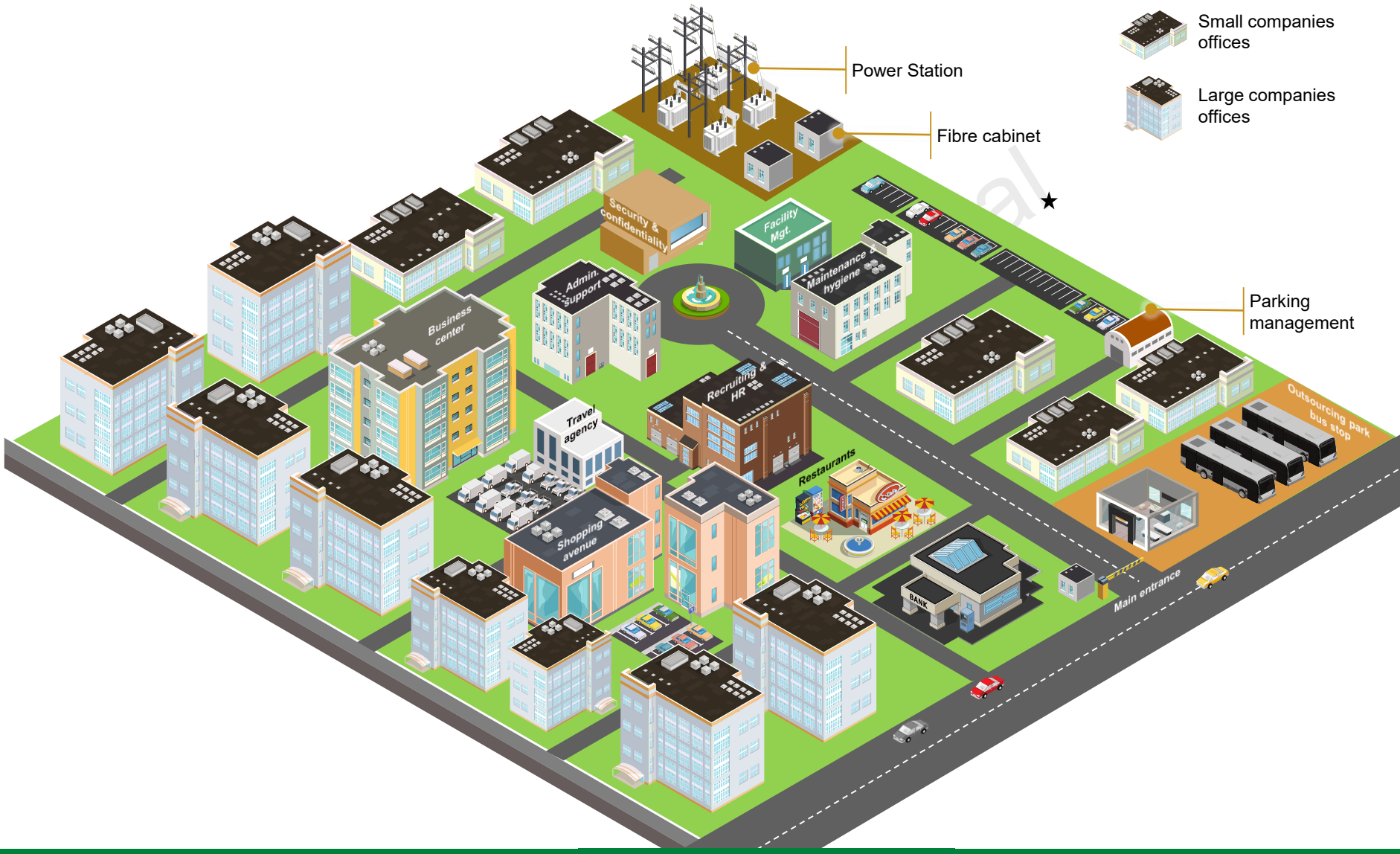
3B Cluster Concept 1/2
Illustrative visualization of Beirut Knowledge cluster

ILLUSTRATIVE



3B Cluster Concept 2/2
Illustrative visualization of Tripoli Outsourcing Park

ILLUSTRATIVE



3B The physical clusters would require a total of ~300K sqm of buildup area and would house ~25-30K jobs

Outsourcing

~100 companies
~15,000 jobs
~140K m²

Technology

~ 100-500 companies
~10,000 jobs
~90K m²

Creative

~2,000 jobs
~18K m²

Financial services

~20 companies
~500 jobs
~5K m²

Education

~2 universities
~5,000 international students
~30K sqm

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3B Case Study: Casanearshore, Landmark project of Morocco's offshoring strategy

CASANEARSHORE
Casablanca Nearshore Park

CASE STUDY

Full serviced dedicated park

- 300,000 m² of ready to use offices
- Full range of facility business and specialized services
- SLA special zone with dedicated telecom operator

Clear success within 5 years of launch

- Awarded Best Offshoring destination by the European Outsourcing Association
- **~400 Mn USD** in investments
- **20,000** additional jobs
- Already over **100 MNCs attracted**

IBM, Atos, logica, accenture, steria, OUTSOURCIA, S2M, TATA CONSULTANCY SERVICES, Geoso, intelcia group, BDSI GROUPE BNP PARIBAS, pwc, hp, UBISOFT, DELL

Source: Casanearshore website

3B Case Study: Rabat Technopolis, City of technology in the capital of Morocco

CASE STUDY

Clear success within 5 years of launch

- Awarded Best Offshoring destination by the European Outsourcing Association
- **~375 Mn USD** in investments
- **30,000** jobs created on the park
- **~375 Mn USD** contribution to GDP by 2015

Park key assets

- Over 300,000 m² of work spaces and services
- 107 Ha of wooded park
- Loop telecom “carrier grad”
- SLA special area

Source: Rabat Technopolis website

3B Case Study: TECHNOPARK® Zürich is a melting pot of small start-up type companies and corporate R&D subsidiaries

Park key assets

- Hosts > high tech companies, services, applied research institutions, university spin-offs
- 1,750 collaborators
- Member of European Technopark alliances
- Support companies with services
  - Coding, consulting
  - Infrastructure, all facilities
  - Flexible rent schemes
- Companies stay for 1 month to 10 years, and can contribute to Technopark service activities

Objectives of Technopark Zürich

- Establish a centre for technology transfer by connecting collaborators in the technology space
  - Attracting small businesses, connecting established corporate technology teams
  - Mix of disciplines and industries
  - Setting incentives for entrepreneur-ship by offering business plan competitions

LEVITRONIX®

KUROS

nanograde®

MICRONAS

SOURCE: Interviews; press search

3C The physical clusters real estate offering should be diverse and flexible, with four potential offerings targeting different tenants size

Large-Size | Mid-Size | SME | Startups

Increasing customization

		Offering	Target segment
1 **Open-space "ready for use" desks**		**Lease of ready-to-use work desks**: ▪ Large, open floor plans, with simple and easy-to-move furniture ▪ "Rent-a-desk" service tailored towards fresh startups needs	
2 **Ready-for-output office space offering**		**Lease of ready-to-use office space** of variable size: ▪ Fully equipped trays: e.g. divided offices, IT pre wiring, air conditioning, floor covering, etc. ▪ Possibility of installation in a few days	Critical for small players with limited investment capacity, allowing for a fast, cheap and risk-free set-up in the zone
3 **Empty office spaces ready for fit-out**		**Sales or lease of empty office space of various size, ready for fit-out:** • Offices ready for fit-out • Offices fit-out can be tailored to the needs of the tenants according to their specific requirements	Critical offering for medium to large size global players & MNCs, especially captive centers
4 **Serviced land offering for on-demand construction**		**Sale or lease of serviced land* for large investors** having specific requirements, with a possibility for building construction according to the investors' specifications	Critical offering for medium to large size global players & MNCs, especially captive centers

3D

The physical clusters should provide a wide array of service offerings

Critical Services* | Indispensable services | Optional services (depends on the need)

NOT EXHAUSTIVE

Tenant-specific services

C Business services

- C1 IT operations
- C2 Recruiting & HR
- C3 Business Center
- C4 Set-up support
- C5 Travel agency
- C6 ★ Events management
- C7 Administrative support services

B General services

- B1 Telecommunications
- B2 Catering & Restauration
- B3 Public Transport
- B4 Kindergarten
- B5 Sports & Recreation
- B6 Postal & financial services
- B7 Local stores

Services related to the operations of the park

A Services related to the operations of the park

- A1 Facility Management
- A2 Security & confidentiality services
- A3 Welcome desk & helpline
- A4 Maintenance & Hygiene services
- A5 Parking management
- A6 Utilities (Power supply)

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* Services required for minimum operations of tenants: any failure in provision of one of these services has direct consequences on the activity of the different tenants

3D The services would be phased according to criticality (1/3)

H1 : At zone launching
H2 : After critical mass

● High ○ Low

Services related to the operations of the park

	Description	Details	Criticality for tenants	Implementation phase
A1 Facility Management	▪ Management of subcontracts with service providers ▪ Technical maintenance of the area and premises (e.g. plumbing, ventilation, air conditioning) ▪ Management of safety systems (e.g. fire protection)		◔	H1
A2 Security & confidentiality services	▪ Zone security services: guard, entrance/exit control (e.g. entry card system), video surveillance ▪ Security and access control to client buildings (ensuring protection of customer confidentiality)	▪ Should be accounted for from zone inception	◔	H1
A3 Welcome desk & helpline	▪ Physical reception and telephone helpdesk for visitors (e.g. processing inquiries) ▪ Internal help line for the zone: centralization and processing of all customer requests (e.g. essential technical assistance)	▪ Dedicated space at the zone entrance	◔	H2
A4 Maintenance & Hygiene services	▪ Maintenance and cleaning of the site and the facilities (common areas), incl. maintenance of interior green spaces in the area, hygiene and office maintenance services for tenants		◔	H1
A5 Parking management	▪ Management and allocation of parking spaces to tenants and visitors	▪ Should be accounted for from zone inception	◔	H1
A6 Utilities (Power supply)	▪ Provision of water and electricity: in particular, provision of sufficient electricity capacity to absorb long-term demand for the site ▪ Establishment and management of backup infrastructure for power supply (e.g. dual network connection points, emergency generator)	▪ Should be accounted for from zone inception	●	H1

3D The services would be phased according to criticality (2/3)

H1 : At zone launching
H2 : After critical mass

● High ○ Low

General Services

	Description	Details	Criticality for tenants	Implementation phase
B1 Telecommunications	▪ Voice and data telecommunication services at par with the highest international standards of quality and price ▪ Area-specific infrastructure managed by a single specialized operator ▪ Possibility of connecting customers to any operator ▪ Flexible solutions allowing a constant upgrade to the best technologies available on the market ▪ Guaranteed quality of service by strict SLAs ▪ Competitive prices regularly benchmarked internationally	• Best-in-class quality of services (SLA, continuous availability, back-up solutions) • Should be accounted for from zone inception	●	H1
B2 Catering & Restauration	▪ Restaurant services offering **tailored for corporations**: – Collective on-site catering – Meal tray delivery services	• Dedicated space in the center of the zone	◔	H1
B3 Public transport	▪ Public transport servicing the zone with a specific stop ▪ Transport of the employees from the zone to their place of residence (city or surrounding districts)	• Bus arrival and employee waiting area	◑	H1
B4 Kindergarten	▪ Kindergarten for employee's children	• Dedicated covered area	○	H2
B5 Sports & Recreation	▪ Relaxation area: reading, table tennis ... (social works) ▪ Sports area: gym, sports, bike/jogging circuit and locker rooms	• Sports hall & Gym • Dedicated space in the center of the zone	○	H2
B6 Postal & Financial services	▪ Postal and financial services, grouped around the centre of the zone: Mainly 1 or 2 banks branches amongst leading banks, along with post office	• Dedicated space in the center of the zone	◑	H2
B7 Local stores	▪ Small-size "shopping centre" grouping different shops with a dual offering: – Products related to tenants activities: e.g. office automation, small computer equipment – Products for employees: kiosk/bookstore, supermarket ...	• Dedicated space in the center of the zone	◔	H2

3D The services would be phased according to criticality (3/3)

H1 : At zone launching
H2 : After critical mass

● High ○ Low

Business Services

	Description	Details	Criticality for tenants	Implementation phase
C1 IT operations	▪ Installation and maintenance of hardware equipment: dedicated services company physically present in the zone for emergency requests ▪ Optional added-value services including: – Provision of shared IT services for the tenants – Provision of data centers with high-end security systems (both technical and non-technical risks)	• Dedicated technical rooms and required wiring to be accounted for at zone inception	●	H1
C2 Recruiting & HR	▪ Sourcing & recruiting services for low to medium-skill profiles in coordination with specialized training institutes and universities – provision of interim staff	• Dedicated space in the center of the zone	◔	H1
C3 Business Center	▪ Provision of meeting rooms for zone's tenants ▪ Complete services offering including telecom, executive assistant etc…	• Dedicated 2-4 meeting rooms	◑	H1
C4 Set-up support	▪ Advice on the arrangement and furnishing of office trays (incl. Sale / rental - no showrooms) ▪ Moving service / help with installation / small jobs		◑	H2
C5 Travel agency	▪ Ticketing services for tenants ▪ Group bookings and business trips organization		◔	H2
C6 Events management	▪ Management and operation of the conference center ▪ Event organization and promotion of the clusters	• Dedicated conference center	◔	H2
C7 Administrative support services	▪ Administrative support services for tenants – Fiduciary and accounting services – Notary and lawyer services	• Dedicated space in the center of the zone	◑	H2

3D The cluster would also house a "One-Stop-Shop" offering administrative assistance towards investors, at par with best-in-class standards

Purpose of the one stop shop

- **Centralization of all the key administrative services** in the same dedicated area of the zone with delegation of authority
- **Speed and simplification of procedures** by the dedication of full-time staff solely for the needs of investors in the park

		Description of services	On-zone presence
Commercial Counter	**Zone developer & manager**	▪ Marketing & sales ▪ Investors' single point of contact for operational, business and general services ▪ Where applicable, usage of delegated administrative powers (e.g. construction and setting up a business authorization)	▪ Local branch ▪ Part-time at 40%
Administrative counter – Recurrent administrative procedures	**Beirut & Tripoli Municipalities**	▪ Construction permits ▪ Auditing & signature of document	▪ Local branch ▪ Part-time at 40%
	IDAL	▪ Simplification & speed-up of opening a business procedures ▪ Orientation and investor-support	▪ Full-time agency or local branch
	Tax authorities	▪ Simplification of tax & fiscal procedures: VAT, taxes on salaries & wages, income tax, etc.	▪ Full-time agency or local branch
	Customs	▪ Grouping of on-site customs services – Control of goods – Administrative forms and paperwork for admissions and exists	▪ Full-time agency or local branch
	Ministry of Labor	▪ Reimbursement & subsidization of training costs ▪ Issuance of work and residence permits for foreigners ▪ Provision of jobseekers database for vacancy matching ▪ Provision of key administrative procedures: – Registration of employees – Declaration of salaries – Contributions and benefits payments	▪ Full-time agency or local branch

4A The “Smart Lebanon” licensing could be handled by IDAL and the commercial registry

License are to be granted by either IDAL or the commercial registry

- Foreign Investor license application to be filled and submitted to IDAL by foreign investor
- IDAL to verify eligibility and alignment with licensing requirements

- Domestic company license application to be filled and submitted to the commercial registry

License are to be granted by either IDAL or the commercial registry

	Foreign investment		Domestic firm	
	Greenfield	Brownfield	Greenfield	Brownfield
Outsourcing & business services	License eligibility: ▪ All capital investments exceeding 1 USD Mn ▪ Export portion of revenues exceeds 30%	License eligibility: ▪ Number of Lebanese jobs exceeds 100 ▪ Export portion of revenues exceeds 30%	License eligibility: ▪ All registered companies within the target sectors ▪ Achieved export portion of revenues to exceed 30% before three years after grant of license	
Digital & technology				
Creative industries				
Financial services				
Education				

4B To drive growth, companies meeting the licensing criteria should be provided with incentives across five key categories

Several countries offer different incentives to attract foreign investments in outsourcing & technology parks

India

- 10-year **income tax holiday**
- **Customs duty/VAT exemption** on imported capital equipment
- Additional incentives by provincial Govt. e.g., **subsidy on electricity rates, land rates** etc.

Philippines

- 4 to 8 years **income tax holiday**
- Special 5% tax rate on gross income after the lapse of ITH
- **Tax and duty exemption** on imported capital equipment

Czech Republic

- **Subsidy for training and retraining**
  - 35% (30% in Prague) of three-year training costs for center less than 100 jobs and five-year training costs for others

Morocco

- **Corporate tax 0% for first five years** and 50% thereafter for revenues in foreign currency
- **No VAT**
- **Exemption on customs** duty
- **Free capital transfer**

Lebanon could develop a new incentive package or leverage the ones provided by IDAL

Corporate income taxes	**5-10 years income tax holiday** with reduced corporate income tax thereafter
Customs duty & VAT	**Exemption on customs** duty and **VAT** for imports related to the companies' operations
Utilities & telecom subsidies	**Reduced rates** for fixed & mobile **internet** as well as **electricity and water**
Training costs subsidies	**Subsidization** of ~50% of **training costs** for
Foreigner worker visa process	**Streamlined** and easier **visa issuance** process for foreign workers

- **Detailed package should be tailored towards each industry**
- **Incentives packages provided by IDAL could be leveraged in the short term**

4B The incentives provided would vary according to the sector, the location and the greenfield/brownfield operations of the company

PRELIMINARY

Greenfield Inside Zone | Greenfield Outside Zone | Brownfield Inside Zone | Brownfield Outside Zone

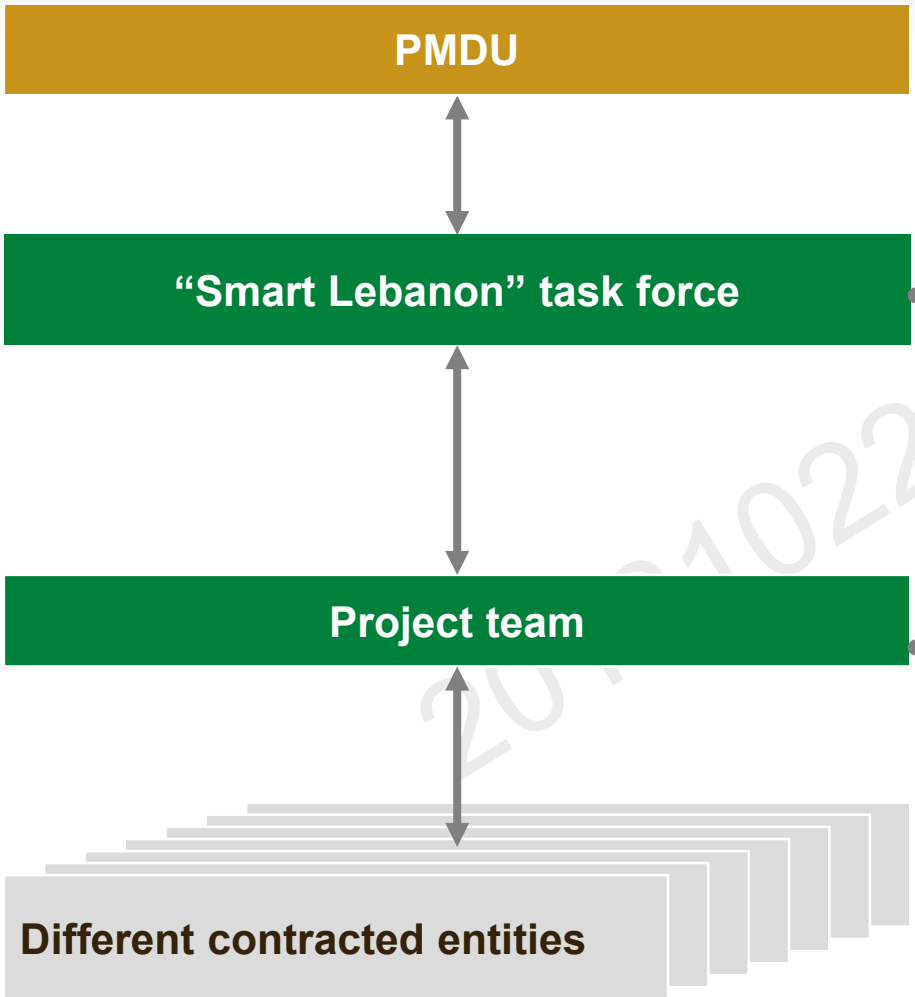
Four guiding principles were followed when allocating incentives:

- Taxation incentives are to be solely within clusters to counter tax evasion efforts
- Utilities subsidies are to be provided across the board
- Training subsidies are only relevant to outsourcing
- Foreign-visa streamlining are to be offered only to sectors where knowledge-transfer would be required

		Out-sourcing	Digital & technology	Creative industries	Financial services	Education
Corporate income taxes	**5-10 years income tax holiday** with reduced corporate income tax thereafter				★	
Customs duty & VAT	**Exemption on customs** duty and **VAT** for imports related to the companies' operations					
Utilities & telecom subsidies	**Reduced rates** for fixed & mobile **internet** as well as **electricity and water**					
Training costs subsidies	**Subsidization** of ~50% of **training costs** for					
Foreigner worker visa process	**Streamlined** and easier **visa issuance** process for foreign workers					

20191022 Internal

5 A task force, comprised of private and public sector officials, will be accountable for the delivery, supported by a lean managerial team



- Optimize for **individuals** with **time and passion** to commit, not simply a **prestigious title**
- Target ~**10-20 members**
  - Key public sector entities involved (Ministry of Culture, Ministry of telecommunications, Ministry of Economy, Ministry of Public Works, Central Bank of Lebanon, IDAL)
  - Private sector practitioners (culture, technology, education and financial services)
  - Contracted private sector partners (in case of PPP)
- Role is to **guide overall direction** of the implementation of the flagship project

- Utilize a **lean**, **executive team** (4-7 members) who have **private sector** and/or **real estate** development **expertise** along with project manager representative from partner (in case of PPP)

Key milestones for Tripoli Outsourcing park

TIMELINE DEPENDANT ON APPROVAL OF ECONOMIC PLAN BY THE GOVERNMENT

Milestone description	Target deadline
Masterplan complete	December 1st, 2018
Real estate developer onboarded	December 31st, 2018
Construction begins	January 1st, 2019
Outsourcing park operational (25 tenants)	May 1st, 2020
100th park tenant onboarded	May 1st, 2021

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Key milestones for Beirut Knowledge Village

TIMELINE DEPENDANT ON APPROVAL OF ECONOMIC PLAN BY THE GOVERNMENT

Milestone description	Target deadline
Masterplan complete	December 1st, 2018
Real estate developer onboarded	December 31st, 2018
Construction begins	January 1st, 2019
Knowledge Village operational (25 tenants)	May 1st, 2020
100th Knowledge Village tenant onboarded	May 1st, 2021

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Key milestones for “Smart Lebanon” licensing scheme

TIMELINE DEPENDANT ON APPROVAL OF ECONOMIC PLAN BY THE GOVERNMENT

Milestone description	Target deadline
Discussion & negotiation around incentives (mainly tax exemptions and utilities & telecom subsidies)	January 1st, 2019 ★
Incentives & licensing requirements drafted	March 30th, 2019
Incentives & licensing scheme approved by Parliament	June 30th, 2019
First “Smart Lebanon” licensing given out	July 15th, 2019
500 licenses given out to eligible companies	December 31st, 2019

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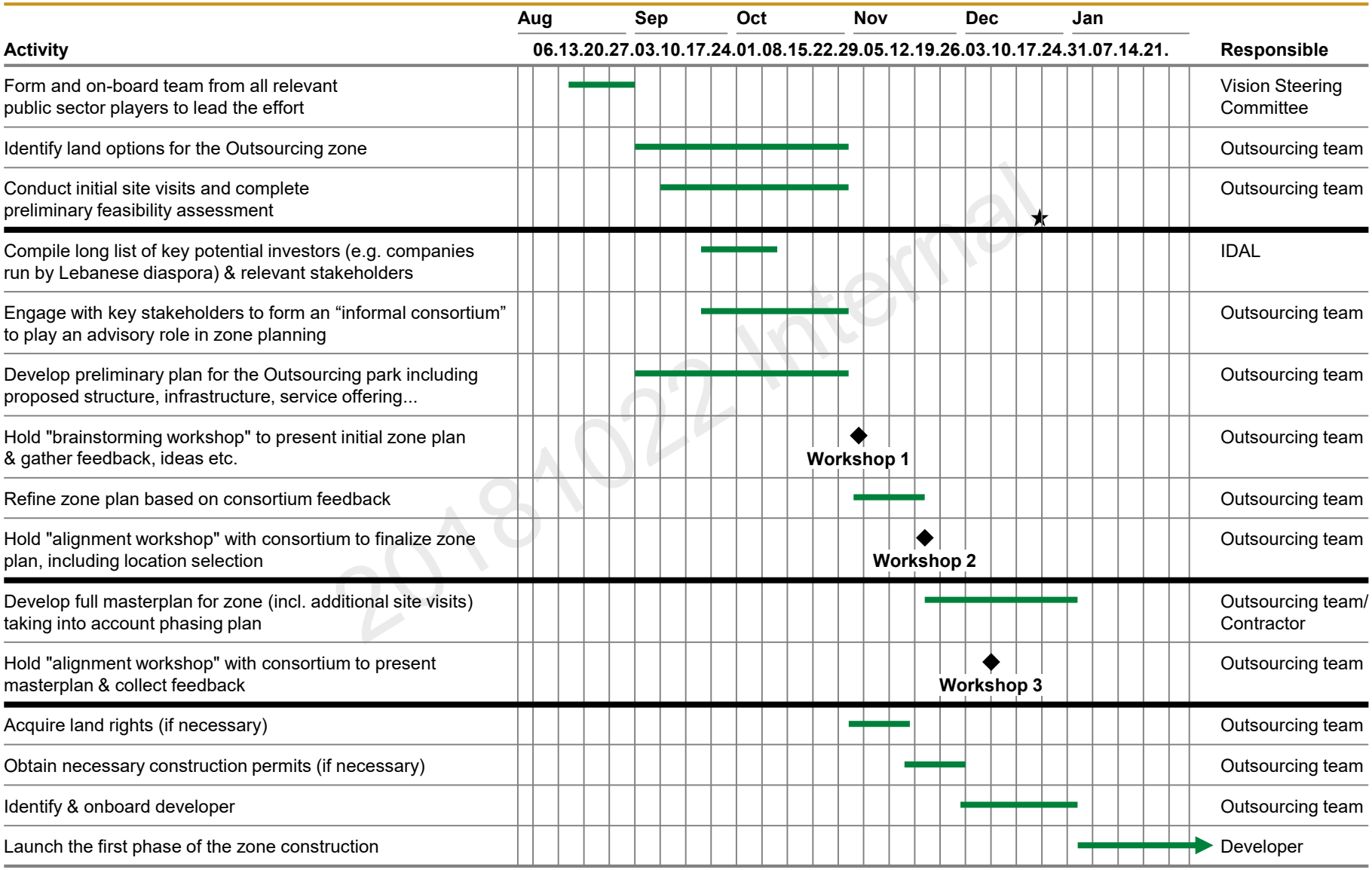
Gantt Chart for Tripoli Outsourcing park

VERY PRELIMINARY



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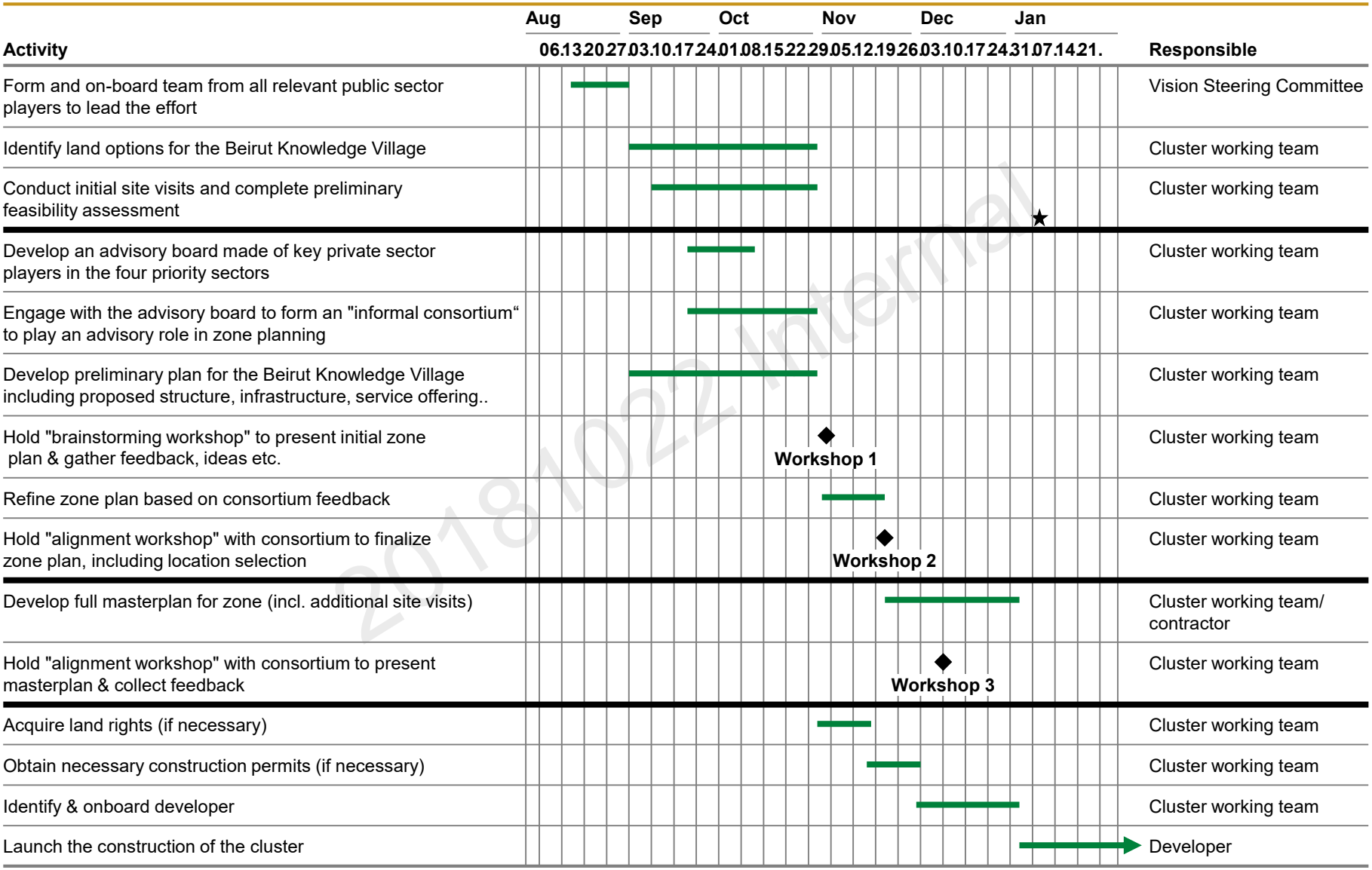
Gantt Chart for Beirut Knowledge Village

VERY PRELIMINARY



Activity	Responsible
Form and on-board team from all relevant public sector players to lead the effort	Vision Steering Committee
Identify land options for the Beirut Knowledge Village	Cluster working team
Conduct initial site visits and complete preliminary feasibility assessment	Cluster working team
Develop an advisory board made of key private sector players in the four priority sectors	Cluster working team
Engage with the advisory board to form an "informal consortium" to play an advisory role in zone planning	Cluster working team
Develop preliminary plan for the Beirut Knowledge Village including proposed structure, infrastructure, service offering..	Cluster working team
Hold "brainstorming workshop" to present initial zone plan & gather feedback, ideas etc.	Cluster working team
Refine zone plan based on consortium feedback	Cluster working team
Hold "alignment workshop" with consortium to finalize zone plan, including location selection	Cluster working team
Develop full masterplan for zone (incl. additional site visits)	Cluster working team/ contractor
Hold "alignment workshop" with consortium to present masterplan & collect feedback	Cluster working team
Acquire land rights (if necessary)	Cluster working team
Obtain necessary construction permits (if necessary)	Cluster working team
Identify & onboard developer	Cluster working team
Launch the construction of the cluster	Developer

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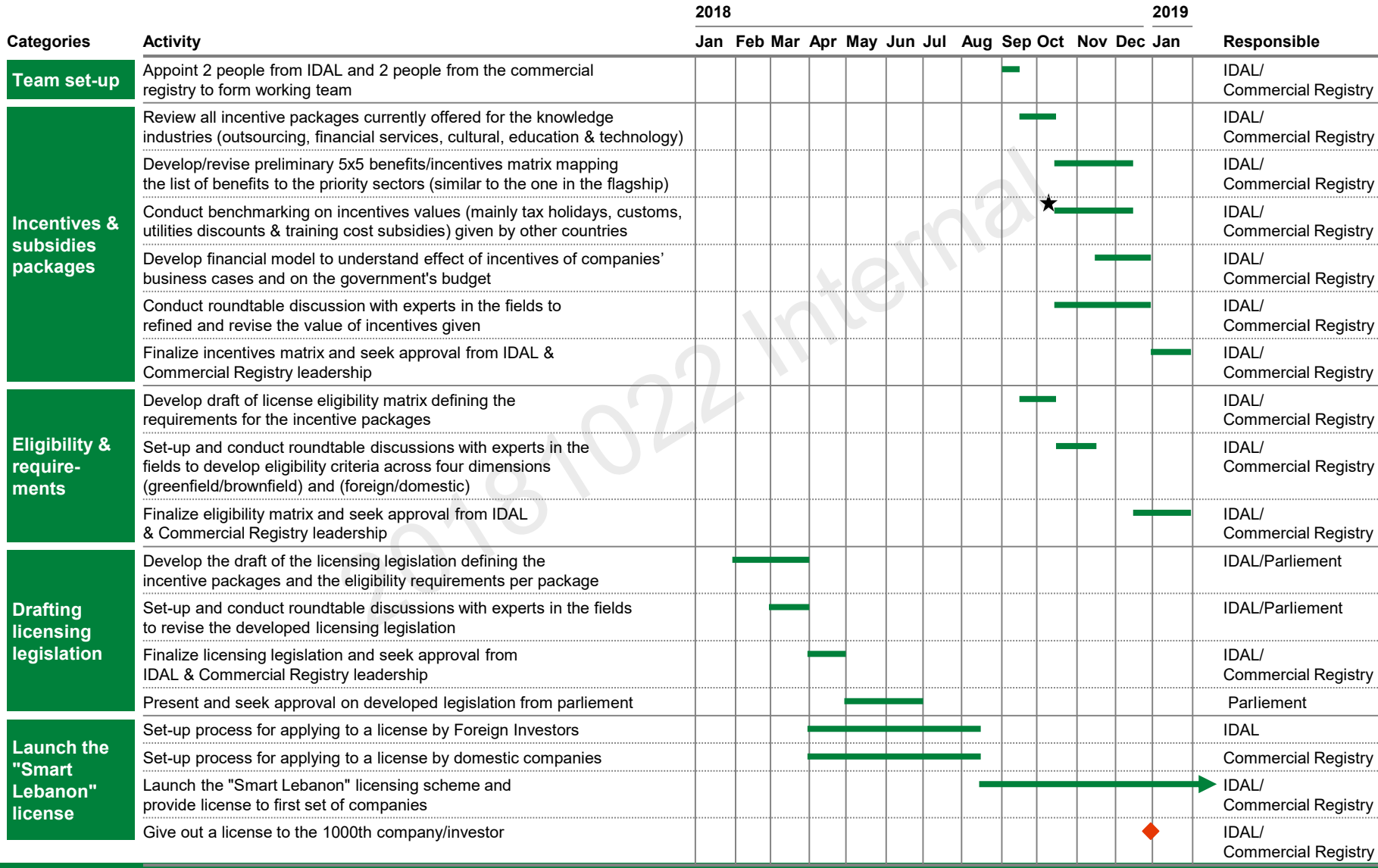
Gantt Chart for “Smart Lebanon” licensing

VERY PRELIMINARY



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